

New Folders -- Phase 12 Standard

Product-Specific Suitability (Folders 24-29)

350 hypotheticals

Item 1 of 350

NON-COMPLIANT

Topic: complex_products_unsophisticated_investor

Difficulty: medium

Source: 26_Options

Fact Pattern

Margaret Dolan, age 63, is a retired elementary school teacher living in suburban Ohio. She has a pension providing \$3,200 per month, Social Security income of \$1,800 per month, a savings account with \$45,000, and a rollover IRA containing \$310,000 that represents her entire retirement nest egg beyond her pension. She has no prior experience trading options or any securities beyond a target-date mutual fund held in her former employer's 403(b) plan. On her new account application at Redstone Financial Services in March 2023, she indicated her investment objective was 'income and capital preservation,' her risk tolerance was 'conservative,' and her liquid net worth was approximately \$355,000. Her financial advisor, Craig Bellamy, age 34, suggested during their second meeting that Margaret could 'generate extra monthly income' on her IRA holdings by selling weekly put options on individual technology stocks, including Tesla, Nvidia, and Amazon. Bellamy told her this strategy was 'basically like collecting rent' and described it as low-risk. He upgraded her options approval level to Level 3 (which permitted uncovered put writing) by noting on the internal approval form that she had '3 years of options experience' and characterizing her risk tolerance as 'aggressive growth.' Margaret signed the options agreement, later stating she did not understand what 'uncovered puts' meant and believed she was simply agreeing to receive dividends or interest-like payments. Between April and August 2023, Bellamy executed 47 short put trades in Margaret's IRA, generating approximately \$14,200 in premium income but also resulting in assignment losses of \$61,500 when several tech stocks declined sharply during a market pullback in late July. Additionally, the frequent trading generated \$8,900 in commissions for Bellamy. By September 2023, Margaret's IRA had declined from \$310,000 to \$253,800, a loss of approximately 18%. When Margaret called Redstone's branch manager to complain, she learned for the first time that her account had been approved for uncovered options writing and that her application had listed her as an aggressive investor with prior options experience.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Bellamy committed multiple serious violations of applicable regulatory standards.

1. ****Options Account Approval Falsification (FINRA Rule 2360(b)(16))**:** FINRA Rule 2360 requires that before approving a customer for options trading, the firm and registered representative must exercise due diligence to ascertain essential facts about the customer, including investment experience, financial situation, and investment objectives. Bellamy falsified Margaret's application by stating she had 3 years of options experience when she had none, and by misrepresenting her risk tolerance as 'aggressive growth' when she had clearly indicated 'conservative' and 'income and capital preservation.' This is a direct violation of the account approval requirements and constitutes falsification of books and records.

2. ****Failure to Deliver OCC Options Disclosure Document**:** Under FINRA Rule 2360(b)(11), the OCC Options Disclosure Document ('Characteristics and Risks of Standardized Options') must be provided to the customer at or before the time the account is approved for options trading. There is no indication Margaret was provided this document or that its contents were explained, as she did not understand what uncovered puts were.

3. ****Unsuitable Options Strategy (FINRA Rule 2360(b)(19) and Regulation Best Interest)**:** Under Reg BI's Care Obligation (17 CFR 240.15l-1), a broker-dealer must exercise reasonable diligence, care, and skill to ensure that a recommendation is in the retail customer's best interest. Uncovered put writing on volatile individual technology stocks is among the highest-risk options strategies available and is categorically unsuitable for a 63-year-old retired teacher with no options experience, conservative risk tolerance, capital preservation objectives, and limited liquid assets. The strategy exposed her entire retirement savings to potentially unlimited downside risk.

4. ****Excessive Trading**:** The execution of 47 short put trades over five months in a conservative retirement account, generating \$8,900 in commissions against \$14,200 in premium income, suggests the trading was driven by commission generation rather than customer benefit, implicating quantitative unsuitability concerns.

5. ****FINRA Regulatory Notice 21-15 Considerations**:** FINRA RN 21-15 specifically reminded firms of their obligations regarding options account approvals and highlighted concerns about the approval of complex options strategies for inexperienced retail investors, particularly in the post-Robinhood era of expanded retail access. The notice emphasized that firms must have robust supervisory systems to prevent approval of options trading levels inconsistent with customer profiles.

6. ****Supervisory Failures (FINRA Rule 2360(b)(20) and FINRA Rule 3110)**:** Redstone Financial Services failed in its supervisory obligations by not detecting the discrepancy between Margaret's stated customer profile and the options approval level granted. The branch manager or designated options principal should have flagged the Level 3 approval for an account with stated conservative objectives.

****Likely Regulatory Outcome**:** Bellamy faces potential sanctions including fines, suspension, or bar from the industry for falsifying customer records, recommending unsuitable options strategies, and violating his best interest obligations. Redstone Financial Services faces potential fines and required remediation for supervisory failures. Margaret would likely prevail in an arbitration claim for damages of approximately \$56,200 (the net account decline) plus commissions of \$8,900, potentially with interest.

Item 2 of 350

NON-COMPLIANT

Topic: excessive_churning

Difficulty: hard

Source: 26_Options

Fact Pattern

Margaret Hensley, age 71, is a retired elementary school teacher living in suburban Atlanta with an annual pension income of \$42,000 and total liquid savings of approximately \$310,000, most of which represents her life savings accumulated over a 38-year teaching career. In March 2022, she opened a brokerage account with Pinnacle Wealth Advisors after meeting registered representative Darren Cofield at a retirement planning seminar hosted at her church. Ms. Hensley told Cofield during her account opening interview that she wanted to generate modest supplemental income to help cover rising healthcare costs, that she had no prior experience trading securities beyond owning a few mutual funds in her 403(b), and that she could not afford to lose a significant portion of her savings. Cofield documented her risk tolerance as 'moderate' and her investment objective as 'income with capital preservation.' Despite this profile, Cofield recommended that Ms. Hensley apply for options trading approval at the highest tier offered by the firm, which permitted uncovered call writing, multi-leg spread strategies, and short put selling. On the application, Cofield listed her investment experience as '10+ years' and her risk tolerance as 'speculative,' which Ms. Hensley later stated she did not review or understand before signing. The firm's options principal approved the application without contacting Ms. Hensley or noting the discrepancies with her new account form. Between April 2022 and February 2023, Cofield executed 247 options transactions in Ms. Hensley's account, including repeated cycles of buying and selling short-dated weekly SPY put spreads, iron condors on volatile individual equities like Tesla and AMC Entertainment, and naked call writes on meme stocks. The account had an annualized turnover rate of 38.4 and a cost-to-equity ratio of 71%. Total commissions and fees generated during this period were \$64,200, while the account suffered net realized and unrealized losses of \$119,500. Ms. Hensley's account value declined from \$310,000 to approximately \$126,300 in under eleven months. Ms. Hensley stated she received monthly account statements but did not understand the options terminology or the extent of the trading activity. Cofield told her during periodic phone calls that 'the strategies were working but the market was difficult' and that 'they needed to keep trading to recover losses.' When Ms. Hensley's daughter, a CPA, reviewed the statements in March 2023, she immediately recognized the excessive activity and filed a complaint with the firm. An internal review found that Cofield had similarly churned options accounts for three other elderly clients during the same period, generating over \$180,000 in combined commissions. Cofield was terminated for cause in April 2023.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Darren Cofield committed multiple serious violations across several regulatory frameworks.

****Excessive Trading / Churning:****

Under FINRA Rule 2111 (Suitability) and Regulation Best Interest (Reg BI) under the Securities Exchange Act of 1934, a broker must have a reasonable basis to believe that a recommended transaction or series of transactions is suitable and in the customer's best interest. The quantitative suitability obligation under FINRA Rule 2111.05(c) specifically addresses excessive trading. An annualized turnover rate of 38.4 and a cost-to-equity ratio of 71% are dramatically above the thresholds that regulators and arbitration panels have consistently found indicative of churning. Courts and

FINRA arbitration panels have generally found turnover rates above 6 and cost-to-equity ratios above 20% to be presumptive evidence of excessive trading. The figures here are extreme. Cofield exercised de facto control over the account--Ms. Hensley lacked the sophistication to understand the trades and relied entirely on Cofield's recommendations, satisfying the control element of a churning claim even without formal discretionary authority.

****Unsuitable Options Strategy Recommendations:****

Under FINRA Rules 2360 (Options) and 2361 (Options Account Supervision), member firms and registered representatives must ensure that options transactions are suitable for the customer. Naked call writing and speculative multi-leg strategies on volatile meme stocks are categorically unsuitable for a 71-year-old retiree with no options experience, limited income, a stated objective of income with capital preservation, and savings that represent her entire financial safety net. FINRA Regulatory Notice 21-15 specifically reminded firms of their obligations regarding options account approval and supervision, emphasizing that firms must have robust procedures to evaluate whether customers meet the criteria for the options trading levels they are approved for.

****Fraudulent Account Application:****

Cofield falsified Ms. Hensley's options application by inflating her experience to '10+ years' and changing her risk tolerance to 'speculative,' directly contradicting the information on her new account form. This constitutes a violation of FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) and potentially securities fraud under Section 10(b) of the Exchange Act and Rule 10b-5.

****Supervisory Failures:****

The firm's options principal approved the highest-tier options trading level without reconciling the glaring discrepancies between the options application and Ms. Hensley's new account form, and without contacting the customer. This is a violation of the firm's supervisory obligations under FINRA Rules 3110 (Supervision) and 2360(b)(5), which require the options principal to specifically approve each account for options trading based on an assessment of the customer's financial situation, investment objectives, and experience.

****Reg BI Violations:****

Reg BI's Care Obligation requires that brokers exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile. The Disclosure Obligation requires full and fair disclosure of material facts, including costs. Cofield's pattern of recommending speculative, high-frequency options trades to generate commissions while telling Ms. Hensley the strategies were 'working' violates both obligations. The Conflict of Interest Obligation is also implicated, as Cofield's commission-driven motivation was the clear driver of the trading activity.

****OCC Options Disclosure Document:****

Firms are required to deliver the OCC Options Disclosure Document (ODD) to customers at or before the time the account is approved for options trading. Even if it was delivered, the fact that Ms. Hensley had no understanding of options terminology suggests either it was not meaningfully provided or the firm failed in its obligation to ensure the customer understood the risks before approving her for the highest options trading level.

****Likely Regulatory Outcome:****

Cofield faces potential sanctions including a substantial fine, disgorgement of commissions, a lengthy suspension, or a permanent bar from the securities industry. The firm faces potential liability for supervisory failures, restitution to Ms. Hensley and the other affected clients, and significant fines. Ms. Hensley would likely recover her losses plus interest in a FINRA arbitration proceeding. FINRA enforcement could also pursue an action against the approving options principal for failure to discharge supervisory responsibilities.

Item 3 of 350

NON-COMPLIANT

Topic: failure_to_know_customer

Difficulty: medium

Source: 26_Options

Fact Pattern

Gerald Novak, age 62, is a retired postal worker living in suburban Ohio. He receives a \$2,400 monthly pension and \$1,100 in Social Security, totaling \$42,000 in annual fixed income. He has \$285,000 in a rollover IRA, which constitutes approximately 90% of his liquid net worth, and \$18,000 in a savings account. Gerald has no prior experience trading options or any derivatives; his investment history consists entirely of certificates of deposit and a target-date mutual fund inside his former employer's 401(k). When Gerald opened an account with registered representative Darren Cho at a mid-size broker-dealer in March 2023, he told Darren he wanted to generate a little extra monthly income without taking big risks and described himself as a conservative investor. On the new account form, Gerald listed his risk tolerance as "low" and his investment objective as "income with preservation of capital."

Darren, who had recently attended a continuing education webinar on short-dated options strategies, believed that selling weekly put options on the S&P 500 ETF (SPY) would be an easy way for Gerald to earn premium income. Without conducting any further inquiry into Gerald's financial situation, tax status, emergency fund needs, or understanding of options mechanics, Darren submitted an options account application requesting Level 3 approval -- which at his firm permits uncovered (naked) put and call writing. On the application, Darren listed Gerald's investment experience as "5+ years of active trading including options," his risk tolerance as "aggressive," his annual income as "\$100,000-\$150,000," and his liquid net worth as "\$750,000." The firm's options principal approved the application the same day based on the information provided.

Beginning in April 2023, Darren directed Gerald to sell naked weekly put options on SPY in his IRA, collecting premiums averaging \$800-\$1,200 per week. Gerald did not understand the risk of assignment or the potential for losses exceeding the premiums received. Darren never provided Gerald with the standardized options risk disclosure document prior to or at the time of account approval.

In early June 2023, the S&P 500 experienced a sharp three-day decline of approximately 5.8%. Gerald was assigned on multiple put contracts and suffered realized losses of \$47,300 in a single week. Over the following two weeks, Darren continued the same strategy, and Gerald incurred an additional \$22,600 in losses. By mid-July 2023, Gerald's IRA had declined from \$285,000 to \$197,400 -- a loss of \$87,600, or roughly 31% of his retirement savings. Gerald filed a written complaint with the firm in August 2023, stating he never understood the risks, never received any written options disclosure materials, and that Darren had misrepresented his financial profile on the account paperwork.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Darren Cho committed multiple serious violations.

1. ****Failure to Know the Customer (FINRA Rule 2090):**** The cornerstone obligation of every broker-dealer and registered representative is to use reasonable diligence to know the essential facts concerning every customer. Darren

failed to conduct any meaningful inquiry into Gerald's actual financial circumstances, tax situation, liquidity needs, or investment knowledge. He filled out the options application with fabricated information -- overstating Gerald's income by roughly 3x, his liquid net worth by roughly 2.5x, and entirely inventing multi-year options trading experience that did not exist. This is a textbook failure to know the customer.

2. ****Options Account Approval Failures (FINRA Rule 2360):**** Under Rule 2360(b)(16), a registered representative must obtain specific background and financial information from the customer before recommending options, and the branch or options principal must approve the account based on accurate information. The options application contained materially false information supplied by the representative, rendering the firm's approval process meaningless. Additionally, the approval of Level 3 (uncovered writing) privileges for a 62-year-old retiree with no options experience, low risk tolerance, and limited assets is facially inappropriate even if the information had been accurate.

3. ****Failure to Deliver the OCC Options Disclosure Document:**** Under FINRA Rule 2360(b)(11), the current Options Clearing Corporation disclosure document ("Characteristics and Risks of Standardized Options") must be furnished to the customer at or before the time the account is approved for options trading. Gerald states he never received this document, and the fact pattern confirms it was never provided. This is a standalone violation irrespective of suitability.

4. ****Unsuitable Recommendation (FINRA Rule 2111 / Regulation Best Interest):**** Selling naked (uncovered) put options exposes the writer to substantial downside risk -- potentially the full notional value of the underlying security minus the premium received. This strategy is wholly incompatible with Gerald's stated objectives of income with preservation of capital, his low risk tolerance, his lack of options knowledge, his age (62, nearing or in retirement), and his concentrated reliance on his IRA as his primary retirement asset. Under Reg BI's Care Obligation (17 CFR 240.15l-1), Darren was required to exercise reasonable diligence, care, and skill to ensure any recommendation was in Gerald's best interest considering his investment profile. A naked put-writing program in a retiree's IRA with no prior options experience fails this standard on every dimension.

5. ****Falsification of Records:**** By entering fabricated financial information on the options application, Darren likely also violated FINRA Rule 4511 (books and records) and potentially FINRA Rule 2010 (standards of commercial honor), as falsifying customer account documents is considered conduct inconsistent with just and equitable principles of trade.

****FINRA Regulatory Notice 21-15**** is directly relevant here. It reminded member firms of their obligations when approving options accounts, specifically emphasizing that firms must have reasonable procedures to (a) collect accurate customer information, (b) assess whether options trading is appropriate for the customer, and (c) ensure delivery of the OCC disclosure. The notice was prompted in part by the surge in retail options trading during the "Robinhood era" and specifically called out concerns about inexperienced investors being approved for complex or high-risk options strategies.

****Likely Regulatory Outcome:**** Darren would face potential suspension or bar from the industry, monetary fines, and disgorgement of commissions. The firm could face supervisory failure charges for its options principal's rubber-stamp approval of a facially inconsistent application. Gerald would have strong grounds for a customer arbitration claim seeking compensatory damages of at least \$87,600 plus costs and interest. The falsification of account records could also trigger a statutory disqualification review.

Item 4 of 350**NON-COMPLIANT**

Topic: complex_products_unsophisticated_investor

Difficulty: medium

Source: 26_Options

Fact Pattern

Margaret Dawson, age 62, is a retired school librarian living in Tucson, Arizona. She has a fixed annual income of \$38,000 from her pension and Social Security. Her total liquid net worth is approximately \$210,000, held primarily in a rollover IRA from her former employer's 403(b) plan. She has no prior experience trading options or any securities beyond a target-date mutual fund she held through her employer plan. On her new account form at Greenleaf Securities, she indicated her investment objective as 'income and preservation of capital,' her risk tolerance as 'low,' and her investment experience as 'limited.' She told her advisor, Kevin Brasch, that she wanted to generate a little extra monthly income to supplement her pension but could not afford to lose her retirement savings.

In March 2023, Brasch recommended that Dawson open an options trading account. He told her that selling weekly put options on high-beta technology stocks like Tesla and Nvidia was 'basically like collecting rent' and that the premiums would give her \$1,500 to \$2,500 per month in extra income. He described the strategy as 'low risk' and compared it to selling insurance policies. Brasch submitted an options account application on Dawson's behalf, listing her investment experience as 'good' and her risk tolerance as 'moderate/high.' He approved her for Level 3 options trading, which permitted uncovered put writing. Dawson was not provided with the standardized options risk disclosure booklet at or before the time her account was approved; Brasch later said he assumed she could find it online.

Between March and August 2023, Brasch directed Dawson to sell short puts on Tesla (strike prices ranging from \$180 to \$230) and Nvidia (strike prices ranging from \$250 to \$320) on a weekly basis. Dawson collected approximately \$14,200 in total premiums during this period. However, during a sharp technology sector pullback in late July 2023, several of Dawson's short puts were assigned. She was forced to purchase 300 shares of Tesla at \$210 per share and 200 shares of Nvidia at \$290 per share when the market prices had fallen well below those levels. The resulting unrealized losses totaled approximately \$41,000. Because Dawson's IRA could not support the margin requirements, Greenleaf liquidated several of her mutual fund positions at a loss to cover the assignments. By September 2023, Dawson's account had declined from \$210,000 to approximately \$158,000 -- a loss of roughly 25% of her retirement savings. Dawson stated she did not understand what 'assignment' meant until it happened and that Brasch never explained the possibility that she could be required to buy shares at prices above the market.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Brasch committed multiple serious violations.

1. ****Options Account Approval -- FINRA Rule 2360(b)(16):**** Before approving a customer for options trading, a registered representative and the firm must exercise due diligence to ascertain essential facts about the customer, including investment objectives, financial situation, investment experience, and risk tolerance. Brasch falsified Dawson's account application by upgrading her experience from 'limited' to 'good' and her risk tolerance from 'low' to 'moderate/high.' Approving a 62-year-old retired librarian with no options experience for Level 3 (uncovered put writing)

is a clear account approval failure. The branch office manager or designated options principal who signed off on this approval also bears supervisory liability under FINRA Rule 2360(b)(18).

2. ****Failure to Deliver OCC Options Disclosure Document -- FINRA Rule 2360(b)(11):**** The OCC's standardized risk disclosure document ('Characteristics and Risks of Standardized Options') must be furnished to the customer at or before the time the account is approved for options trading. Brasch conceded this was never delivered. This is a standalone violation regardless of suitability considerations.

3. ****Unsuitable Recommendation -- FINRA Rule 2111 and Regulation Best Interest:**** Selling uncovered (or cash-secured) short puts on high-beta technology stocks is an advanced, high-risk strategy that exposes the investor to substantial downside -- potentially the full strike price times the number of contracts. This strategy was fundamentally inconsistent with Dawson's stated objectives of income and capital preservation, her low risk tolerance, her age and retirement status, her limited liquid net worth, and her complete lack of options knowledge. Under Reg BI's Care Obligation (17 CFR 240.15l-1(a)(2)(ii)), the advisor must have a reasonable basis to believe the recommendation is in the customer's best interest, considering the customer's investment profile and the potential risks, rewards, and costs. No reasonable advisor could conclude that uncovered put selling on volatile equities was in the best interest of this customer.

4. ****FINRA Regulatory Notice 21-15 Considerations:**** This notice specifically reminded firms to strengthen options account approval processes and to ensure that options approval levels are consistent with the customer's actual profile. It was issued in response to concerns about retail investors -- particularly inexperienced ones -- being approved for complex options strategies through inadequate or automated approval processes. Brasch's manual falsification of Dawson's profile is precisely the type of conduct the notice targeted.

5. ****Misrepresentation:**** Brasch described uncovered put selling as 'low risk' and analogous to 'collecting rent,' which materially misrepresented the risk of the strategy. He failed to explain the concept of assignment. This constitutes a violation of the obligation to provide fair and balanced disclosure.

****Likely Regulatory Outcome:**** Brasch would face individual liability including a substantial fine, disgorgement of commissions, and a suspension or bar. Greenleaf Securities would face supervisory failure charges for approving the account and failing to detect the falsified application and the pattern of unsuitable trading. Dawson would likely recover her losses (approximately \$52,000 net of premiums received, plus consequential damages) through arbitration or a regulatory restitution order. The firm's options supervision procedures would likely be subject to a detailed review and remediation requirement.

Item 5 of 350

NON-COMPLIANT

Topic: excessive_churning

Difficulty: hard

Source: 26_Options

Fact Pattern

Marcus Daley, age 58, is a retired postal worker living in Columbus, Ohio, with an annual pension income of \$52,000 and a rollover IRA containing \$310,000 -- the entirety of his retirement savings. He opened a brokerage account in March 2022 with registered representative Tanya Reeves at Patriot Edge Securities, a mid-size broker-dealer. On his new account form, Marcus indicated a moderate risk tolerance, an investment objective of capital preservation and income, limited investment knowledge, and a five-year investment time horizon aligned with his plan to begin drawing down the IRA at age 63. He had never traded options before. During the onboarding process, Reeves told Marcus that she could 'generate monthly income like clockwork' using a conservative covered call strategy on blue-chip stocks. She assisted him in completing the options account application, marking his experience level as 'extensive' and his risk tolerance as 'speculative,' and obtained approval for Level 4 options trading, which permitted uncovered (naked) writing and complex multi-leg spreads. Marcus later stated he did not understand what the different approval levels meant and was never given the Options Disclosure Document to review before he began trading.

From April 2022 through November 2023, a period of approximately 20 months, Reeves executed 487 options transactions in Marcus's IRA. The trading began modestly with covered calls on holdings of Johnson & Johnson and Procter & Gamble, but by June 2022, Reeves had moved into weekly expiration iron condors on the S&P 500 ETF (SPY), short strangles on Tesla, and naked put writing on volatile biotech names including Moderna and BioNTech. Many positions were opened and closed within days or even the same day. The account's annualized turnover rate was 41.2, and the cost-to-equity ratio reached 67%. Total commissions and fees paid during the period were \$89,400. Marcus's account value declined from \$310,000 to \$141,000, a loss of \$169,000, of which \$89,400 was attributable to transaction costs alone. Reeves earned approximately \$62,500 in personal production credits from the account.

Marcus received monthly statements but testified that Reeves told him the losses were 'paper losses' caused by temporary market volatility and that the strategy would 'come back strong.' He said he trusted her because she was recommended by a friend at his church. In December 2023, Marcus's daughter, a CPA, reviewed his statements and immediately flagged the volume of trading and the magnitude of losses. She helped Marcus file a complaint. Internal records at Patriot Edge showed that the branch manager approved the Level 4 options authorization but never conducted a follow-up review of the account despite the firm's written supervisory procedures requiring quarterly suitability reviews of active options accounts. No exception reports were generated because the firm's surveillance system was configured to flag only equity churning, not options activity.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Tanya Reeves committed multiple serious violations, and Patriot Edge Securities failed in its supervisory obligations.

****Options Account Approval Violations:**** Under FINRA Rule 2360(b)(16), a member firm must exercise due diligence to

ascertain the essential facts about a customer before approving an options account, including investment objectives, financial situation, investment experience, and risk tolerance. The Options Clearing Corporation's Options Disclosure Document (ODD) must be furnished to the customer at or before the time the account is approved. Reeves falsified Marcus's application by marking his experience as 'extensive' and his risk tolerance as 'speculative,' when his actual profile -- moderate risk tolerance, capital preservation objective, limited knowledge, and no prior options experience -- was plainly inconsistent with Level 4 (uncovered writing) approval. The failure to deliver the ODD is an independent violation of FINRA Rule 2360(b)(11)(A)(1). FINRA Regulatory Notice 21-15 specifically reminds firms that options account approval must reflect the customer's actual profile and that firms cannot rely on application information they know or should know is inaccurate.

****Quantitative Unsuitability / Excessive Trading (Churning):**** Under FINRA Rule 2111 and Regulation Best Interest (Reg BI), a recommendation must be suitable and in the customer's best interest. Excessive trading -- churning -- is a recognized violation under both frameworks. The hallmarks of churning are present here: (1) the advisor exercised de facto control over the account (Marcus had no options knowledge and relied entirely on Reeves's recommendations); (2) the trading was excessive in light of the customer's objectives (an annualized turnover rate of 41.2 is astronomically high -- courts and arbitration panels have found turnover ratios above 6 to be presumptively excessive); and (3) the cost-to-equity ratio of 67% meant the account needed to generate a 67% annual return merely to break even after costs, which is virtually impossible to achieve consistently. The account lost \$169,000, with \$89,400 (over 52%) attributable solely to commissions and fees. This is a textbook churning case.

****Qualitative Unsuitability:**** Even setting aside the volume of trading, the specific strategies employed -- naked put writing on volatile biotech stocks, short strangles on Tesla, and weekly iron condors -- carry risk of rapid, substantial loss and are wholly inconsistent with a 58-year-old retiree's capital preservation objective, moderate risk tolerance, limited experience, and reliance on his IRA as his sole retirement savings. Under FINRA Rule 2360(b)(19) and Reg BI's Care Obligation (17 CFR 240.15l-1(a)(2)(ii)), these strategies should never have been recommended to this customer.

****Supervisory Failures:**** Patriot Edge Securities violated FINRA Rules 3110 and 2360(b)(20) by failing to conduct the quarterly suitability reviews required by its own written supervisory procedures and by configuring its surveillance system to exclude options activity from exception reporting. The branch manager's approval of Level 4 authorization without meaningful diligence into the customer's actual profile compounds the failure.

****Likely Regulatory Outcome:**** Reeves faces suspension or bar, disgorgement of commissions, and fines. The firm faces significant fines, potential restitution orders, and a finding of supervisory failure. In a customer arbitration, Marcus would have strong claims for compensatory damages of up to the full \$169,000 loss, potentially with interest, and the churning and falsification of documents could support a claim for punitive damages.

Item 6 of 350

NON-COMPLIANT

Topic: excessive_churning

Difficulty: hard

Source: 26_Options

Fact Pattern

Margaret Holloway, age 71, is a retired school librarian living in Tallahassee, Florida. She has a fixed annual income of \$38,000 from Social Security and a small pension, liquid savings of approximately \$185,000 in a brokerage account, and a modest home valued at \$210,000. She has no prior experience trading options or any derivative instruments. When she opened her account with Vista Ridge Financial Services in March 2022, she indicated on her new account form that her investment objective was 'income and preservation of capital' and her risk tolerance was 'conservative.' She told her advisor, Craig Dennehy, that she wanted to generate a small supplemental income stream to help cover her prescription drug costs, which had risen substantially.

Dennehy, a registered representative with 14 years of experience, recommended that Margaret apply for options trading. He assisted her in completing the options account application, marking her investment experience as 'extensive' and her risk tolerance as 'speculative,' which differed from what she had stated on her brokerage account documents. The firm's options principal approved the application for Level 3 options trading -- which permits selling uncovered puts and calls -- after a cursory review that did not flag the discrepancies between the brokerage account profile and the options application.

Between April 2022 and November 2023, Dennehy executed 347 options transactions in Margaret's account. The trading strategy consisted primarily of short-dated weekly options on high-volatility technology stocks, including selling naked puts on companies like Rivian Automotive, Palantir Technologies, and Coinbase Global. Many positions were opened and closed within the same week. The account's annualized turnover rate reached 41.2, and the cost-to-equity ratio was 78%. Total commissions and fees generated during the 20-month period amounted to \$61,400. Margaret's account value declined from \$185,000 to \$67,300 -- a loss of approximately \$117,700, or 63.6% of her original portfolio.

Dennehy earned \$42,800 in personal commissions from the account during this period, making Margaret one of his top five revenue-generating clients. Monthly account statements were mailed to Margaret, but she later told investigators she did not understand the options terminology on the statements and trusted Dennehy to manage the account appropriately. She said she called Dennehy in June 2023 after noticing her balance had dropped below \$140,000 and he reassured her that the strategy was 'working through a rough patch' and that she would 'make it all back and then some.' She did not authorize individual trades but had given Dennehy verbal discretion to trade the account, though no written discretionary authorization was ever executed or filed with the firm.

Vista Ridge's supervisory system flagged the account twice -- once in August 2022 and once in February 2023 -- for exceeding internal activity thresholds. On both occasions, the branch manager, Tina Lowell, marked the alerts as 'reviewed -- no action required' without contacting Margaret or conducting any independent analysis of the trading pattern. The firm had no automated exception report specifically designed to monitor options churning in accounts belonging to senior investors.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Dennehy committed multiple serious violations, and Vista Ridge Financial Services failed in its supervisory obligations.

****Options Account Approval Violations (FINRA Rule 2360(b)(16)):** The options account application contained information that materially contradicted Margaret's brokerage account profile. Her actual risk tolerance was conservative with income and capital preservation objectives, yet the options application listed her as speculative with extensive experience. FINRA Rule 2360(b)(16) requires that a registered options principal (ROP) review and approve each options account, considering the customer's investment objectives, financial situation, employment status, investment experience, and age. The ROP's approval of Level 3 options privileges -- including uncovered writing -- for a 71-year-old retired librarian with conservative objectives and no options experience was a clear approval failure. The OCC Options Disclosure Document, which must be provided to customers at or before account approval, is designed to ensure customers understand the risks; however, even proper delivery of the ODD would not cure the fundamental unsuitability of the account approval.

****Excessive Trading / Churning:** The trading activity constitutes textbook churning. Under FINRA Rule 2111 (Quantitative Suitability) and Regulation Best Interest's Care Obligation (17 CFR 240.15I-1), a broker who exercises de facto control over an account must not engage in excessive trading. The hallmarks of churning are present: (1) Control -- Dennehy exercised de facto control through unauthorized verbal discretion, and Margaret, an unsophisticated senior investor, relied entirely on his judgment. (2) Excessive activity -- An annualized turnover rate of 41.2 is extraordinarily high; enforcement precedent generally considers turnover rates above 6 as presumptively excessive. A cost-to-equity ratio of 78% means the account needed to generate a 78% return simply to break even after costs, which is plainly excessive. (3) Scienter -- Dennehy's awareness that Margaret was his top revenue client, combined with the extreme trading volume, supports an inference that the trading was conducted for his benefit, not hers. The \$61,400 in total commissions and fees represented approximately 33% of Margaret's original account value.

****Regulation Best Interest Violations:** Under Reg BI (effective June 30, 2020), Dennehy owed Margaret a best interest obligation comprising disclosure, care, conflict of interest, and compliance obligations. His recommendations of speculative, short-dated naked options on volatile technology stocks to a 71-year-old conservative retiree failed the Care Obligation, which requires reasonable diligence, care, and skill in making recommendations consistent with the customer's investment profile. The Conflict of Interest Obligation was also violated because his commission incentive to churn the account was never mitigated.

****Unauthorized Discretion:** Dennehy exercised discretionary authority without written authorization from the customer and without the firm's acceptance of the account as discretionary, violating FINRA Rule 3260.

****FINRA Regulatory Notice 21-15 Considerations:** RN 21-15 specifically addresses options account approval and supervision practices. It reminds firms that options account applications must be reviewed with care, that discrepancies between account documents should be investigated, and that firms should have robust supervisory systems for options trading, including heightened supervision for accounts involving complex strategies and senior investors.

****Supervisory Failures (FINRA Rules 3110, 3120):** Vista Ridge failed in multiple supervisory capacities. The branch manager dismissed two automated surveillance alerts without investigation or customer contact. The firm lacked tailored exception reports for options churning in senior investor accounts. The ROP approved an options application containing facially inconsistent information. These failures violate FINRA Rule 3110's requirement for a system of supervision reasonably designed to ensure compliance with securities laws and regulations.

****Senior Investor Considerations:** Margaret's age (71), fixed income, limited sophistication, and reliance on her advisor make this case particularly egregious. FINRA has repeatedly emphasized heightened scrutiny for

recommendations to senior investors, and state regulators have adopted enhanced protections for vulnerable adults.

****Likely Regulatory Outcome:**** Dennehy faces potential sanctions including a lengthy suspension or permanent bar from the industry, disgorgement of commissions, and substantial fines. Vista Ridge faces potential fines, required remediation, enhanced supervisory undertakings, and restitution to Margaret. The customer would also have strong grounds for a FINRA arbitration claim seeking compensatory damages of approximately \$117,700 plus interest, fees, and potentially punitive damages given the egregious nature of the misconduct.

Item 7 of 350

NON-COMPLIANT

Topic: complex_products_unsophisticated_investor

Difficulty: medium

Source: 26_Options

Fact Pattern

Margaret Hensley, age 63, is a retired elementary school teacher in Tulsa, Oklahoma, with an annual pension income of \$42,000 and total liquid savings of approximately \$185,000 held in an IRA rollover account. She has no prior experience trading options or any derivative instruments. Her investment experience is limited to certificates of deposit and a target-date mutual fund offered through her employer's 403(b) plan. In March 2023, she met with Kevin Pratt, a registered representative at Heartland Wealth Partners, to discuss generating additional income to supplement her pension and cover rising healthcare costs. During the meeting, Pratt described a strategy he called a 'weekly income engine' that involved repeatedly selling short put options on volatile technology stocks such as NVIDIA, AMD, and Tesla. Pratt told Margaret that selling puts was 'basically getting paid to wait for a stock you'd want to own anyway' and characterized the risk as 'very manageable.' He did not discuss the possibility of assignment, the potential for substantial losses if the underlying stocks dropped sharply, or the margin requirements associated with uncovered short puts. Pratt submitted an options account application on Margaret's behalf, listing her investment objective as 'speculation,' her risk tolerance as 'aggressive,' her annual income as \$90,000, and her liquid net worth as \$400,000 -- all figures that significantly overstated her actual financial profile. The branch manager approved the account for Level 4 options trading (uncovered puts and calls) on the same day without conducting any independent verification or speaking with Margaret. Over the following five months, Pratt executed 47 short put transactions in Margaret's IRA. In August 2023, a broad technology sector sell-off resulted in multiple assignments, and Margaret was forced to purchase shares of NVIDIA and Tesla at prices far above the market. By September 2023, her account had declined from \$185,000 to approximately \$61,000 -- a loss of roughly \$124,000, or 67% of her retirement savings. Margaret stated in a subsequent complaint that she never understood what selling a put option meant, was never provided the options disclosure document, and believed Pratt was placing her in a 'conservative income strategy.'

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Pratt committed multiple serious violations. First, under FINRA Rule 2360(b)(16), a registered representative must have a reasonable basis for believing that options transactions are suitable for a customer based on the customer's financial situation, investment objectives, experience, and knowledge of options. Margaret Hensley was a 63-year-old retiree with no options experience, limited investment knowledge, a conservative income need, modest savings, and a low risk tolerance. Selling uncovered short puts on volatile technology stocks is one of the most aggressive options strategies available and was entirely inconsistent with her actual profile. This constitutes a clear suitability violation.

Second, Pratt falsified material information on the options account application by inflating Margaret's income from \$42,000 to \$90,000, her liquid net worth from \$185,000 to \$400,000, and mischaracterizing her investment objective as 'speculation' and risk tolerance as 'aggressive.' Fabricating or materially misrepresenting customer information on account documents violates FINRA Rules 2360 and 4511 (books and records requirements), as well as Regulation Best Interest's Care Obligation under Reg BI Rule 15l-1, which requires the advisor to exercise reasonable diligence

and have a reasonable basis to believe a recommendation is in the customer's best interest based on the customer's actual investment profile.

Third, under FINRA Rule 2360(b)(16)(b), a branch office manager or Registered Options Principal (ROP) must approve each options account after reviewing the customer's background and financial information. The branch manager's same-day rubber-stamp approval of a Level 4 account for a 63-year-old retired teacher with no options experience and modest savings, without any independent verification or customer contact, represents a supervisory failure under FINRA Rule 3110.

Fourth, FINRA Rule 2360(b)(11)(a)(i) and the OCC's 'Characteristics and Risks of Standardized Options' disclosure document require that the ODD be delivered to customers at or before the time the account is approved for options trading. Margaret stated she was never provided the ODD, which is a standalone violation.

Fifth, FINRA Regulatory Notice 21-15 specifically warned member firms about the risks of onboarding customers into complex options strategies without adequate due diligence, particularly in the context of increased retail participation in options markets. It emphasized that firms must ensure account approval processes are robust and that customers genuinely understand the risks.

The likely regulatory outcome would include significant monetary sanctions against both Pratt and the firm, disgorgement of commissions, potential restitution to Margaret, a lengthy suspension or permanent bar for Pratt given the falsification of records, and supervisory deficiency findings against the branch manager and the firm. Margaret would also have a strong arbitration claim for her \$124,000 in losses plus costs and fees.

Item 8 of 350**NON-COMPLIANT**

Topic: inappropriate_risk_profile

Difficulty: medium

Source: 26_Options

Fact Pattern

Margaret Tisdale, age 67, is a retired elementary school teacher in Omaha, Nebraska, with a fixed annual income of \$42,000 from her pension and Social Security. She has \$310,000 in a traditional IRA, \$85,000 in a savings account, and owns her home outright. She has no prior experience trading options or any securities beyond mutual funds held in her retirement account. In March 2023, Margaret visited the branch office of her brokerage firm to discuss ways to generate modest additional income from her IRA without jeopardizing her retirement savings. Her financial advisor, Kyle Devereaux, age 34, conducted a brief meeting during which he explained that options could produce 'consistent monthly income that's much better than CDs or bonds.' Kyle had Margaret complete a new account application in which he marked her risk tolerance as 'aggressive,' her investment objective as 'speculation,' her annual income as \$75,000, and her liquid net worth as \$600,000 -- figures Margaret later said she never provided and that did not reflect her actual financial situation. Kyle approved Margaret's account for Level 4 options trading, which permitted uncovered (naked) call and put writing. Over the next five months, Kyle recommended Margaret sell naked puts on volatile technology stocks including Tesla, Nvidia, and AMD. He executed 47 naked put transactions in her IRA, generating approximately \$18,400 in premium income but exposing her account to theoretically substantial downside risk. In August 2023, a sharp market pullback caused assignment on several positions, resulting in unrealized losses of \$74,000. Margaret's IRA balance dropped from \$310,000 to approximately \$237,000. She was also charged \$6,200 in total commissions and fees across the transactions. Margaret filed a complaint in October 2023 stating she never understood what naked options were, never told Kyle she wanted aggressive or speculative investments, and believed she was getting a safe income strategy. Kyle's branch manager had approved the Level 4 options authorization after reviewing the inflated figures on the account form without conducting any independent verification or speaking directly with Margaret.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kyle Devereaux committed multiple serious violations. Under FINRA Rule 2360(b)(16), a member firm must exercise due diligence to learn the essential facts about a customer before approving an options account, including financial situation, investment experience, and investment objectives. The firm must also determine that options trading is suitable for the customer based on these facts. Kyle fabricated or inflated key data points on Margaret's new account form -- listing her income as \$75,000 when it was \$42,000, her liquid net worth as \$600,000 when it was approximately \$395,000, and her risk tolerance and objectives as aggressive/speculation when she explicitly sought conservative income. This constitutes falsification of account records, a standalone violation.

Under FINRA Rule 2360(b)(16)(B), the branch office manager or Registered Options Principal (ROP) who approved the account had an independent duty to review the application for reasonableness. Approving Level 4 (uncovered writing) authorization for a 67-year-old retired teacher with no options experience and modest fixed income, based solely on inflated paperwork, represents a supervisory failure under FINRA Rule 3110.

Under Reg BI's Care Obligation (Rule 15l-1 under the Securities Exchange Act of 1934), Kyle was required to exercise

reasonable diligence, care, and skill to understand the risks and rewards of his recommendations and to have a reasonable basis to believe the recommendations were in Margaret's best interest given her actual investment profile. Naked put writing on volatile technology stocks in a retirement account for a risk-averse retiree with no options experience is plainly unsuitable and not in the customer's best interest.

FINRA Regulatory Notice 21-15 specifically reminds firms of their obligations regarding options account approvals, emphasizing that firms must have robust procedures to assess whether customers meet the criteria for the level of options trading approved, particularly in light of increased retail participation. The approval of Level 4 trading for this customer profile represents precisely the type of failure the Notice addresses.

Additionally, the OCC Options Disclosure Document must be provided to customers at or before the time the account is approved. Even if delivered, Margaret's lack of understanding of naked options suggests either it was not provided or not adequately explained, which compounds the disclosure failures.

The likely regulatory outcome includes disciplinary action against Kyle for falsification of records, unsuitable recommendations, and breach of Reg BI. The branch manager faces supervisory violation charges. Remedies would likely include restitution of approximately \$74,000 in losses plus \$6,200 in commissions and fees, potential fines, suspensions, and enhanced supervisory requirements for the firm.

Item 9 of 350

NON-COMPLIANT

Topic: excessive_churning

Difficulty: hard

Source: 26_Options

Fact Pattern

Margaret Yoon, age 58, is a retired school librarian living in suburban Phoenix, Arizona. She has a fixed annual income of \$42,000 from her pension and Social Security, liquid savings of approximately \$310,000 in a brokerage account, and a modest home valued at \$275,000 with no mortgage. Her stated investment objectives on her new account application in January 2023 were income generation and capital preservation, and she indicated a conservative risk tolerance. She had no prior experience trading options or any derivatives product. Her financial advisor, Craig Bowden, who had been in the industry for six years, approved her for a Level 3 options account -- permitting spreads, covered calls, cash-secured puts, and multi-leg strategies -- after a 20-minute phone call in which he described options as 'a way to squeeze extra income out of your portfolio, like collecting rent.' He did not provide her with the standardized options risk disclosure booklet, nor did he document any discussion of the specific risks of the strategies he intended to employ. Between February 2023 and November 2023, Bowden executed 214 options trades in Margaret's account. The strategies included iron condors on high-volatility meme stocks, short strangles on earnings-week positions, and frequent rolling of losing positions into new contracts. The account generated \$47,600 in total commissions and fees during this ten-month period. Margaret's account experienced a turnover rate of approximately 18.4 on an annualized basis, and the cost-to-equity ratio exceeded 62%. Her account value declined from \$310,000 to \$189,000, a loss of \$121,000, of which nearly 40% was attributable to commissions and transaction costs alone. When Margaret called Bowden in December 2023 to ask why her account had dropped so significantly, he told her the losses were 'temporary paper losses due to market conditions' and recommended she authorize Level 4 trading to 'recover faster with more advanced strategies.' Margaret instead contacted a securities attorney. A subsequent review of the trading records showed that approximately 70% of the positions were closed within five trading days, many at small losses that were compounded by the per-contract commission structure. Bowden's branch manager had approved the Level 3 account application without conducting any independent review of Margaret's financial profile or discussing the account with her directly.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Craig Bowden committed multiple serious violations of applicable regulatory standards. First, under FINRA Rule 2360(b)(19), a member firm must obtain and consider a customer's financial situation, investment experience, and objectives before approving an options account, and must provide the OCC Options Disclosure Document (ODD) before or at the time of account approval. Bowden failed to deliver the ODD, which is an independent procedural violation regardless of suitability. Second, the account approval itself was deficient. FINRA Rule 2360(b)(16) requires a Registered Options Principal (ROP) to approve the account based on an informed assessment of the customer's profile. The branch manager's rubber-stamp approval without independent review of Margaret's conservative profile, limited income, retirement status, and zero options experience constitutes a supervisory failure. A Level 3 account permitting multi-leg strategies such as iron condors and short strangles was facially unsuitable for a 58-year-old retired librarian with conservative objectives and no derivatives experience. Third, the trading activity constitutes excessive trading (churning) under FINRA Rule 2111 and Regulation Best Interest. An annualized turnover rate of 18.4

dramatically exceeds the threshold courts and regulators have consistently treated as presumptively excessive (typically a turnover rate above 6 raises a strong inference of churning). The cost-to-equity ratio of 62% means Margaret's account would have needed to generate over 62% in returns merely to break even after costs -- an absurd hurdle for a conservative income-oriented account. Under Reg BI's Care Obligation (17 CFR 240.15I-1), Bowden was required to exercise reasonable diligence, care, and skill, and to consider reasonably available alternatives, costs, and the customer's profile. Generating \$47,600 in commissions on a \$310,000 account in ten months, through 214 rapid-fire options trades on volatile underlying securities, is antithetical to an income-generation and capital-preservation mandate. Fourth, the recommendation to escalate to Level 4 trading after catastrophic losses is an additional violation demonstrating a pattern of disregard for the customer's interests. FINRA Regulatory Notice 21-15 specifically addresses concerns about options account approval processes and emphasizes that firms must have robust systems to evaluate whether customers meet the criteria for the level of options trading approved, with particular attention to retail investors who lack experience. The likely regulatory outcome includes FINRA enforcement action against both Bowden and his firm, potential disgorgement of commissions, restitution to Margaret, suspension or bar of Bowden, and significant fines against the firm for supervisory failures under FINRA Rules 3110 and 2360(b)(20). Margaret would also have strong grounds for a customer arbitration claim seeking recovery of her \$121,000 in losses plus the \$47,600 in excessive commissions.

Item 10 of 350**NON-COMPLIANT****Topic:** inappropriate_risk_profile**Difficulty:** medium**Source:** 26_Options**Fact Pattern**

Margaret Dunleavy, age 71, is a retired elementary school teacher living in Tallahassee, Florida. She has a fixed annual income of \$38,000 from her pension and Social Security combined. Her liquid net worth consists of \$215,000 in a traditional IRA, which represents nearly all of her retirement savings, and \$12,000 in a checking account. She has no other meaningful assets aside from her home, which is paid off. In March 2023, Margaret visited the local branch office of Pinnacle Securities after seeing an advertisement about "generating extra monthly income from your portfolio." She met with financial advisor Derek Hollis, who had been registered for four years. During their initial conversation, Margaret explained she was looking for ways to supplement her pension income by perhaps \$300 to \$500 per month, but emphasized she could not afford to lose her retirement savings because she had no other financial safety net. She described herself as someone who had only ever owned certificates of deposit and a handful of blue-chip mutual funds. Derek had Margaret complete a new account application and options agreement. On the form, Derek marked her investment objective as "speculation" and her risk tolerance as "high," telling Margaret these designations were "just standard form language" needed to "unlock the income strategies" he wanted to use. He told her not to worry about the terminology. He also checked a box indicating she had three years of options trading experience, which Margaret later said was untrue--she had never traded options. The branch's registered options principal, Sandra Voss, approved the account for Level 4 options trading, which permitted uncovered (naked) call and put writing, within 48 hours. Sandra did not speak with Margaret directly and relied solely on the application as filled out by Derek. Over the next five months, Derek executed 47 separate options trades in Margaret's IRA, including selling naked puts on volatile technology and biotech stocks such as Rivian Automotive, Palantir Technologies, and Moderna. Several positions were concentrated, with single naked put positions representing notional exposure exceeding \$40,000. In August 2023, a sharp market pullback resulted in multiple assignments, and Margaret's account value dropped from \$215,000 to \$127,400--a loss of approximately \$87,600, or 40.7% of her retirement savings. Total commissions and fees paid during this period were \$6,280. When Margaret called Derek in a panic after receiving her August statement, he told her the losses were "temporary" and recommended she deposit additional funds to meet margin calls. Margaret did not have additional funds. She subsequently filed a written complaint with the firm.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, financial advisor Derek Hollis committed multiple serious violations, and the registered options principal Sandra Voss failed in her supervisory obligations.

****Options Account Approval Violations (FINRA Rule 2360(b)(16)):** FINRA Rule 2360 requires that before approving a customer's account for options trading, the firm and the Registered Options Principal (ROP) must exercise due diligence to ascertain the essential facts about the customer, including investment objectives, financial situation, investment experience, and risk tolerance. The ROP must specifically approve the account and the level of options trading permitted. Sandra Voss approved Margaret's account for Level 4 (naked writing) without any direct contact with the customer and based solely on an application that contained materially inaccurate information entered by the

advisor. This constitutes a failure of the supervisory obligations under Rule 2360(b)(16)(B), which requires the ROP to make a determination that options trading is appropriate for the customer.

****Falsification of Account Documentation:**** Derek marked Margaret's risk tolerance as "high" and her investment objective as "speculation," and fabricated three years of options experience. This misrepresentation of customer information on the options agreement is a violation of FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade) and undermines the entire account approval framework. FINRA Regulatory Notice 21-15 specifically reminded firms of their obligations when approving options accounts, emphasizing that firms must have reasonable procedures to verify that account information is accurate and that approval decisions are based on a genuine assessment of the customer's profile.

****Suitability and Regulation Best Interest Violations:**** Under Regulation BI's Care Obligation (17 CFR 240.15l-1), a broker-dealer must exercise reasonable diligence, care, and skill to understand the risks and rewards of a recommended securities transaction and have a reasonable basis to believe the recommendation is in the customer's best interest. Naked put writing on volatile technology and biotech stocks is among the highest-risk options strategies, carrying theoretically substantial loss potential. Recommending this strategy for a 71-year-old retiree with limited income, no investment experience, a concentrated and irreplaceable retirement account, and explicitly stated capital preservation needs is a clear violation. Under FINRA Rule 2111 (Suitability), the strategy fails all three components: reasonable-basis suitability (naked puts on volatile stocks for income generation carries extreme risk), customer-specific suitability (Margaret's age, income, net worth, experience, and stated objectives are fundamentally incompatible with speculative naked writing), and quantitative suitability (47 trades in five months generating \$6,280 in commissions suggests excessive activity).

****OCC Options Disclosure Document:**** Firms are required to deliver the OCC's Options Disclosure Document (ODD), titled "Characteristics and Risks of Standardized Options," to customers at or before the time an options account is approved. The ODD explicitly warns about the risks of uncovered writing. There is no indication Margaret was provided with or understood this document, and Derek's characterization of the account form as "standard language" suggests he affirmatively minimized the risk disclosures.

****FINRA RN 21-15 Considerations:**** This Regulatory Notice, issued in 2021, highlighted concerns about firms' options account approval processes, particularly in the context of the rapid growth of retail options trading. It emphasized that firms must have robust procedures for collecting and verifying customer information, that approval processes must involve meaningful review rather than rubber-stamping, and that firms must consider whether complex or risky strategies are appropriate for retail investors with limited experience.

****Likely Regulatory Outcome:**** Derek Hollis faces potential sanctions including a significant fine (likely \$25,000-\$100,000+), suspension or bar from the industry, and obligation to pay restitution. Sandra Voss faces supervisory failure charges under FINRA Rule 3110 for inadequate review of the options account approval. The firm, Pinnacle Securities, faces potential fines, required restitution of approximately \$87,600 plus commissions of \$6,280, and potential systemic remediation requirements for its options approval process. Margaret would also likely prevail in a FINRA arbitration claim for compensatory damages.

Item 11 of 350**NON-COMPLIANT****Topic:** options_unsuitable**Difficulty:** hard**Source:** 26_Options**Fact Pattern**

Marcus Calloway, age 23, works as a barista in Portland, Oregon, earning approximately \$31,000 per year. He has a checking account with \$4,200, a savings account with \$2,800, no retirement accounts, and \$18,000 in student loan debt. In March 2023, Marcus opened a brokerage account online with Trident Securities after seeing social media posts about traders making large profits on same-day expiring S&P 500 index options (commonly called ODTE options). His account application listed his investment experience as 'beginner,' his risk tolerance as 'moderate,' his investment objective as 'growth,' and his liquid net worth as \$7,000. His registered representative, David Nguyen, age 34, reviewed the application and approved Marcus for Level 3 options trading, which at Trident Securities permitted selling uncovered index options and trading complex multi-leg strategies. Nguyen did not speak with Marcus by phone or video, nor did he request any additional documentation or clarification regarding Marcus's stated financial profile. Nguyen later told his branch manager that he approved the higher tier because 'the kid said he watches YouTube videos about options and seemed eager to learn.' Over the next four months, Marcus executed over 340 trades in ODTE SPX options, predominantly selling short strangles and iron condors with notional exposure frequently exceeding \$150,000 per position. Trident's platform did not impose any position-size limits relative to Marcus's account equity. On July 14, 2023, an unexpected mid-day spike in market volatility caused Marcus's short strangle positions to move sharply against him. By the close of trading, his account showed a deficit of \$37,400 -- meaning he not only lost his entire \$6,500 account balance but owed the firm an additional \$30,900. Marcus was unable to pay the deficit. He filed a complaint stating he was never informed of the risks of selling uncovered options, was never provided any risk disclosure document for options trading, and did not understand that he could lose more than the money in his account. An internal review revealed that Trident's options approval process relied solely on self-reported customer data with no supervisory override or secondary review for customers under age 25 with limited income and assets. David Nguyen had approved 87 other accounts for Level 3 options that quarter, including 14 belonging to customers with liquid net worth under \$10,000.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, David Nguyen and Trident Securities committed multiple serious violations. Under FINRA Rule 2360(b)(16), a registered representative and the firm must exercise due diligence to ascertain the essential facts about a customer before approving an options account, including the customer's financial situation, investment experience, investment objectives, and the nature of the options strategies to be employed. The rule requires that a Registered Options Principal (ROP) or designated supervisory person approve the account specifically for options trading after determining that the customer's profile supports the level of options activity requested. Here, Nguyen approved a 23-year-old with \$7,000 in liquid net worth, \$31,000 in income, beginner-level experience, and significant debt for Level 3 options trading -- the highest risk tier permitting uncovered short options -- without any meaningful diligence or conversation. This is a textbook failure of the account approval process under Rule 2360(b)(16)(B), which requires a reasonable basis for believing the customer has sufficient knowledge and financial resources for the approved strategies.

Additionally, FINRA Rule 2360(b)(11) requires that every customer approved for options trading receive the OCC Options Disclosure Document (ODD) at or before the time the account is approved. Marcus's complaint states he never received any risk disclosure document, which is a standalone violation even before any trading occurred.

Under Regulation Best Interest, the broker-dealer and associated person owe a duty of care requiring them to have a reasonable basis for believing a recommendation -- and here, the approval of a strategy tier -- is in the customer's best interest considering the customer's investment profile. Approving a customer with minimal assets, no investment experience, and significant debt for strategies carrying theoretically unlimited loss potential (short strangles) plainly violates this standard. The care obligation under Reg BI requires consideration of reasonably available alternatives and the costs, risks, and rewards of the recommended course of action.

FINRA Regulatory Notice 21-15 specifically addresses concerns about options account opening and approval, emphasizing that firms must have robust supervisory systems for approving options accounts and cannot rely exclusively on unverified self-reported customer data, particularly where the information is internally inconsistent or where the customer profile raises red flags. Trident's system, which imposed no supervisory override for young, low-income, low-asset customers seeking the highest options tier, reflects a systemic supervisory failure under FINRA Rules 3110 and 2360(b)(16)(C).

The volume and notional size of Marcus's trading -- 340 trades in four months with notional exposure exceeding \$150,000 per position on a \$6,500 account -- also raises quantitative suitability concerns. No reasonable basis exists for believing that a customer with Marcus's profile could sustain losses inherent to these strategies.

The likely regulatory outcome includes significant monetary sanctions against Trident Securities for supervisory failures, potential suspension or bar for Nguyen, mandatory restitution of the \$37,400 deficit to the customer, and possible broader enforcement action given the 87 other similarly approved accounts. FINRA enforcement has increasingly targeted options account approval failures in the wake of the expansion of retail options trading, and this fact pattern -- combining a vulnerable young customer, zero diligence, missing disclosure documents, and catastrophic losses -- represents an egregious set of violations.

Item 12 of 350**NON-COMPLIANT**

Topic: complex_products_unsophisticated_investor

Difficulty: medium

Source: 26_Options

Fact Pattern

In March 2022, Gerald Hoffman, a 58-year-old high school custodian in suburban Columbus, Ohio, opened an account with Patriot Financial Group through advisor Derek Slattery. Gerald had a household income of approximately \$52,000, a savings account of \$38,000, a small pension, and an IRA rollover of \$127,000 from a previous employer. Gerald told Derek during their initial meeting that he wanted to grow his retirement savings modestly before he planned to retire at 65. He described himself as a cautious investor who had only ever owned a target-date mutual fund through his old 401(k). He had no prior experience with options, futures, or any leveraged products, and his stated risk tolerance on the new account application was 'moderate.' During the account opening process, Derek explained that options could generate 'extra monthly income' on stocks Gerald already liked, and that the strategies were 'low risk, almost like collecting rent.' Derek approved Gerald for Level 3 options trading, which permitted naked put writing and multi-leg spread strategies, without requiring Gerald to complete any options education module or reviewing the options disclosure document with him. The OCC Options Disclosure Document was mailed to Gerald but arrived after the first trades had already been placed. Over the next four months, Derek executed 34 options trades in Gerald's IRA, including 12 naked put positions on volatile technology stocks such as a semiconductor ETF and a cloud computing company, as well as several iron condor positions on an index fund. Gerald did not understand any of the trade confirmations he received and assumed Derek was implementing the conservative income strategy they had discussed. By August 2022, a sharp market selloff resulted in multiple naked puts being assigned, forcing the purchase of shares Gerald could not afford to hold. The account lost approximately \$41,000, representing roughly 32% of Gerald's IRA balance. When Gerald called to ask what happened, Derek told him the losses were 'temporary paper losses' and recommended doubling down by selling additional puts at lower strike prices. Gerald instead filed a complaint with the firm's compliance department. A subsequent internal review found that Derek had approved 14 other clients with similar profiles for Level 3 or higher options trading during the same period, and that none had received the options disclosure document prior to their first trade.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, advisor Derek Slattery committed multiple violations across several regulatory frameworks.

****Options Account Approval Failures (FINRA Rule 2360):**** FINRA Rule 2360(b)(16) requires that before approving a customer for options trading, a member firm must exercise due diligence to ascertain the essential facts about the customer, including investment objectives, financial situation, investment experience, and the nature of other investments. The firm must also determine that the customer's options trading level is appropriate given these factors. Derek approved Gerald--a 58-year-old custodian with \$52,000 income, moderate risk tolerance, no options experience, and a conservative growth objective--for Level 3 options trading, which includes naked put writing. This level of approval was plainly inconsistent with Gerald's profile. Naked put writing exposes a customer to substantial loss potential and requires significant market sophistication and financial capacity to absorb potential assignment obligations. The approval was a clear violation of the account approval requirements under Rule 2360.

****Failure to Deliver OCC Options Disclosure Document (FINRA Rule 2360(b)(11)):** The rule requires that each customer receive the current OCC Options Disclosure Document (ODD) at or prior to the time the account is approved for options trading. In Gerald's case, the ODD was mailed after the account was approved and arrived after the first trades were executed. This is a direct procedural violation. The ODD is a critical investor protection document designed to ensure customers understand the characteristics and risks of standardized options before trading commences.

****Reg BI - Care Obligation (17 CFR § 240.15l-1):** Under Regulation Best Interest, a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill when making recommendations to retail customers. The care obligation requires consideration of the potential risks, rewards, and costs of the recommendation in light of the customer's investment profile. Recommending a portfolio of naked put positions on volatile technology stocks to a near-retirement, low-income, unsophisticated customer with moderate risk tolerance fails the care obligation on every dimension. The strategy exposed Gerald to potential losses far exceeding his risk tolerance and financial capacity, and was inconsistent with his stated conservative growth objective.

****FINRA Regulatory Notice 21-15:** This notice specifically addresses firms' obligations regarding options account opening and approval processes in the wake of increased retail options activity. It emphasizes that firms must establish robust supervisory systems to ensure options approvals are consistent with customers' financial profiles and experience levels, and that firms should not rely solely on self-reported customer information when other indicators suggest an approval is inappropriate. The pattern of 14 other similarly situated clients receiving inappropriate Level 3 approvals suggests a systemic supervisory failure at the firm level.

****Likely Regulatory Outcome:** Derek Slattery would likely face individual sanctions including a fine, suspension, and potential bar from the industry. The firm, Patriot Financial Group, would likely face enforcement action for supervisory failures under FINRA Rule 3110, given the pattern of inappropriate approvals across multiple customer accounts. Gerald would have strong grounds for recovery through FINRA arbitration, potentially recovering the \$41,000 in losses plus consequential damages. The firm's compliance system for options approvals would likely be subject to a targeted examination, and the firm could face additional fines and a requirement to undertake a comprehensive review of all options accounts opened during the relevant period.

Item 13 of 350

NON-COMPLIANT

Topic: senior_investor_exploitation

Difficulty: medium

Source: 26_Options

Fact Pattern

Margaret Hollis, age 78, is a retired elementary school teacher living in Tucson, Arizona. She has a fixed annual income of \$34,000 from Social Security and a small pension. Her total liquid net worth is approximately \$185,000, held primarily in a rollover IRA that she depends on to supplement her monthly expenses, including \$1,800 per month in prescription drug costs for a chronic heart condition. She has no prior experience with options, futures, or any leveraged financial products. On her new account form at Ridgeline Securities, she indicated her investment objective as "income and preservation of capital" and her risk tolerance as "low." Her financial advisor, Craig Dempsey, age 36, had recently completed an internal training module on options strategies and was eager to grow his book of business. In March 2023, Dempsey called Margaret and told her that he had a way to "generate extra monthly income like clockwork" from her IRA. He described a strategy involving selling uncovered (naked) put options on volatile small-cap biotech stocks, telling her the premiums collected would add roughly \$1,200 to \$1,500 per month to her income. He did not provide her with the standardized options risk disclosure document, nor did he explain that selling naked puts could expose her to losses many times the premium collected if the underlying stocks declined sharply. Dempsey submitted an options application on Margaret's behalf, listing her investment experience as "moderate," her risk tolerance as "speculative," and her liquid net worth as \$400,000 -- none of which matched the information Margaret had provided on her original account application. The branch manager approved the account for Level 4 options trading (uncovered writing) after a cursory review, noting only that the application appeared complete. Between March and August 2023, Dempsey executed 47 naked put transactions in Margaret's IRA across five biotech names. For the first three months, the strategy generated approximately \$4,100 in net premium income. However, in July 2023, two of the underlying biotech stocks dropped more than 60% after failed clinical trials. Margaret was assigned on multiple contracts, resulting in forced purchases totaling \$112,000 at prices far above the current market value. By August 2023, her IRA had declined from \$185,000 to approximately \$61,000 -- a loss of \$124,000, representing 67% of her retirement savings. When Margaret called the branch to inquire about the losses, Dempsey told her the market would "bounce back" and recommended she sell additional puts to "average down" and recover her losses. Margaret's adult daughter, a CPA, intervened and filed a written complaint with the firm. An internal review revealed the discrepancies between Margaret's original new account form and the options application Dempsey had submitted.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, financial advisor Craig Dempsey committed multiple serious violations.

1. ****Options Account Approval and Suitability (FINRA Rule 2360(b)(16))**:** FINRA Rule 2360 requires that before approving a customer for options trading, the firm must obtain comprehensive background and financial information and make a determination that options trading is suitable for the customer. Naked put writing on volatile biotech stocks is among the highest-risk options strategies available and is wholly unsuitable for a 78-year-old retiree with \$185,000 in total liquid assets, low risk tolerance, an income/preservation objective, and zero options experience. The strategy exposed Margaret to theoretically substantial losses on an account she depended on for living and medical expenses.

2. ****Falsification of Account Documents****: Dempsey materially falsified Margaret's options application by inflating her liquid net worth from \$185,000 to \$400,000, changing her risk tolerance from "low" to "speculative," and misrepresenting her investment experience as "moderate." This constitutes a violation of FINRA Rules 2010 (Standards of Commercial Honor and Principles of Trade), 4511 (Books and Records), and potentially federal anti-fraud provisions. Falsifying customer records to obtain options approval is a well-established basis for sanctions including bars from the industry.

3. ****Failure to Deliver OCC Options Disclosure Document****: The OCC's standardized risk disclosure document, "Characteristics and Risks of Standardized Options," must be delivered to the customer at or before the time the account is approved for options trading, per FINRA Rule 2360(b)(11)(A). Dempsey never provided this document to Margaret, depriving her of mandatory risk disclosures.

4. ****Regulation Best Interest (Reg BI) -- Care Obligation****: Under Reg BI's Care Obligation (17 CFR 240.15l-1), a broker-dealer must exercise reasonable diligence, care, and skill when making a recommendation, considering the customer's investment profile including age, financial situation, needs, objectives, and risk tolerance. Recommending uncovered put writing on speculative biotech stocks to a 78-year-old retiree with low risk tolerance and dependence on her IRA for medical expenses is a textbook violation of the Care Obligation. There is no reasonable basis to conclude this strategy was in Margaret's best interest.

5. ****Reg BI -- Disclosure Obligation****: Dempsey failed to disclose the material risks of the strategy, particularly the potential for catastrophic loss, and affirmatively mischaracterized the strategy as safe "clockwork" income.

6. ****Supervisory Failures (FINRA Rule 3110)****: The branch manager's cursory approval of a Level 4 options account for a customer whose original account form was inconsistent with the options application represents a supervisory failure. FINRA RN 21-15 specifically highlighted concerns about firms' options account approval processes, emphasizing that firms must have robust procedures to review options applications for consistency with existing account information and to ensure strategies are suitable. The branch manager's failure to identify the glaring discrepancies between the two documents is a textbook supervisory deficiency.

7. ****Senior Investor Exploitation****: FINRA has identified protection of senior investors as a priority. Margaret's age (78), health conditions, fixed income, and financial dependence on her IRA are all factors that should have heightened the advisor's and the firm's duty of care. Recommending the most aggressive options strategy to one of the most vulnerable customer profiles is an aggravating factor.

8. ****Post-Loss Conduct****: Dempsey's recommendation after the losses that Margaret sell additional naked puts to "average down" further demonstrates disregard for her interests and compounds the original violations.

****Likely Regulatory Outcome****: Dempsey faces potential industry bar for falsification of records and unsuitable recommendations. The firm faces significant fines for supervisory failures in options account approval. Margaret is likely entitled to full restitution of her \$124,000 in losses. The branch manager may face individual supervisory sanctions. This fact pattern is consistent with enforcement priorities described in FINRA RN 21-15 regarding inadequate options approval processes and the wave of enforcement actions following the expansion of retail options trading.

Item 14 of 350**NON-COMPLIANT****Topic:** options_unsuitable**Difficulty:** hard**Source:** 26_Options**Fact Pattern**

Marcus Ellison, age 24, worked as a barista in Portland, Oregon, earning approximately \$31,000 annually. He had a savings account with \$8,200, no prior investment experience, and approximately \$14,000 in student loan debt. In March 2024, Ellison opened an account online with Apex Edge Securities, a discount brokerage that had recently launched a mobile-first trading platform marketed heavily on social media with slogans like 'Unlock Your Financial Freedom' and 'Trade Like a Pro.' During the account opening process, Ellison completed an online questionnaire in which he indicated his investment objective was 'speculation,' his risk tolerance was 'aggressive,' his annual income was \$31,000, his liquid net worth was \$8,200, and his investment experience was 'none.' The platform's automated approval system granted Ellison Level 3 options trading privileges within minutes, which permitted selling uncovered (naked) calls and puts, as well as complex multi-leg spread strategies. No human at the firm reviewed the application before approval. No one from the firm contacted Ellison to discuss his understanding of options, the risks of naked writing, or whether such strategies aligned with his actual financial situation. The platform did present a hyperlink to the Options Disclosure Document during onboarding, but it was embedded in a scrollable terms-of-service page, and the system did not verify or track whether Ellison opened or read it. Ellison's assigned registered representative, Kevin Orozco, was listed as the supervisory point of contact on the account but never spoke with or communicated with Ellison at any point. Beginning in April 2024, Ellison--guided by tips from an online trading community--began selling naked put options on a volatile biotech stock, GenVara Therapeutics (ticker: GVTX), which was trading around \$45 per share. Over the next six weeks, Ellison sold 15 naked put contracts at various strike prices between \$40 and \$50, collecting approximately \$3,400 in total premiums. In mid-May 2024, GenVara announced a failed Phase III clinical trial, and the stock dropped to \$11 per share overnight. Ellison was assigned on 12 of the 15 contracts, obligating him to purchase 1,200 shares at strike prices averaging \$46, for a total obligation of approximately \$55,200. After accounting for the premiums collected and the market value of the assigned shares, Ellison faced a net loss of approximately \$38,600--more than four times his total liquid net worth. His account went into a margin deficit, and the firm liquidated his positions at a realized loss of \$34,100. Apex Edge Securities subsequently sent Ellison a collections notice for the remaining \$4,500 debit balance. Ellison filed a complaint in August 2024, alleging that he should never have been approved for Level 3 options and that no one at the firm ensured he understood what naked options writing entailed.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, multiple violations occurred at both the firm and individual representative level. Under FINRA Rule 2360(b)(16), a member firm must exercise due diligence to learn the essential facts about a customer before approving an options account, including the customer's investment objectives, employment status, estimated annual income, estimated net worth, investment experience, and marital status. The firm must also make a determination that options trading is suitable for the customer based on these facts. Here, Apex Edge Securities' automated system approved a 24-year-old customer with \$31,000 in income, \$8,200 in liquid net worth, no investment experience, and outstanding student debt for Level 3 options privileges--including the ability to sell naked puts and calls, which carry theoretically unlimited risk (naked calls) or substantial risk (naked puts). This approval was facially unreasonable. FINRA Regulatory Notice 21-15

specifically addresses concerns about firms' options account approval processes, warning that automated or algorithm-driven approval systems must still satisfy the substantive requirements of options account approval. The Notice emphasizes that firms cannot rely solely on customer self-reported selections such as 'aggressive' risk tolerance or 'speculation' as investment objective without reconciling those selections against other profile information--here, the customer's minimal income, negligible net worth, and zero experience directly contradicted the suitability of naked writing strategies. The firm was further required under FINRA Rule 2360(b)(16)(B) to furnish the OCC Options Disclosure Document at or before the time the account is approved, in a manner designed to ensure the customer receives and has the opportunity to review it. Burying a hyperlink within a scrollable terms-of-service page, with no mechanism to confirm the customer accessed or reviewed the document, fails to satisfy this delivery obligation. Representative Kevin Orozco, as the registered options principal or supervisory contact assigned to the account, had an independent obligation to review the account application and ensure suitability. His complete failure to contact or communicate with Ellison constitutes a supervisory failure under FINRA Rule 2360(b)(16)(A)(ii) and a violation of Regulation Best Interest's Care Obligation under Rule 15l-1(a)(2)(ii), which requires that the broker-dealer and associated person exercise reasonable diligence, care, and skill in making recommendations--or here, in approving an account that would facilitate self-directed trading in strategies with catastrophic loss potential. While Ellison's trades were self-directed, the firm's approval of the account level itself constitutes an implicit recommendation that the customer is suitable for those strategies, and regulators have consistently held that account-level approval decisions carry suitability obligations. The likely regulatory outcome includes: (1) a significant fine against Apex Edge Securities for systemic options approval failures, potentially in the range of \$500,000 to several million dollars depending on how many similarly situated customers were affected; (2) an order to remediate affected customers, including Ellison, potentially including forgiveness of the \$4,500 debit balance and restitution of losses; (3) potential suspension or fine for Orozco for failure to supervise; and (4) potential undertakings requiring the firm to overhaul its automated options approval system to incorporate human review for higher-risk approval levels, particularly for customers with limited income, net worth, or experience.

Item 15 of 350**NON-COMPLIANT****Topic:** excessive_churning**Difficulty:** hard**Source:** 26_Options**Fact Pattern**

Margaret Coburn, age 71, is a retired elementary school teacher living in Tucson, Arizona. She has a fixed annual income of \$38,000 from her pension and Social Security, liquid savings of approximately \$185,000 in a brokerage account, and an additional \$60,000 in a savings account that she considers her emergency fund. She has no prior options trading experience and listed her investment objective as 'income and preservation of capital' when she opened her account in January 2022. Her risk tolerance was documented as 'low' on her new account form. Margaret's registered representative, Daniel Voss, age 34, approved her for Level 3 options trading in February 2022, which permitted spreads, covered and uncovered writing, and multi-leg strategies. Voss told Margaret that he could 'generate extra monthly income like clockwork' using options on blue-chip stocks she already owned. Over the following 14 months, Voss executed 347 options transactions in Margaret's account, including iron condors on the S&P 500 ETF, short strangles on individual tech equities, and weekly credit spreads on volatile biotech names. The account generated approximately \$41,200 in total commissions and fees for the firm during that period. Margaret's account value declined from \$185,000 to \$97,400, a loss of \$87,600. The annualized turnover rate in the account was 28.4, and the cost-to-equity ratio was approximately 54%. Many of the short strangles involved undefined-risk positions where theoretical losses were unlimited. On at least 19 occasions, margin calls were triggered in the account, and Voss liquidated positions at losses to meet those calls without prior consultation with Margaret. Margaret stated in a subsequent complaint that she did not understand what an iron condor or a strangle was, that she believed Voss was purchasing 'safe dividend stocks,' and that she only learned of the losses when her February 2023 account statement showed her balance had been cut nearly in half. Voss's branch manager had signed off on the Level 3 options approval despite Margaret's stated low risk tolerance and lack of experience, and no supervisory review of the account's trading activity was conducted until after Margaret filed her complaint.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Daniel Voss violated multiple regulatory requirements, and the firm failed in its supervisory obligations. The analysis proceeds on several grounds:

1. ****Options Account Approval Failure (FINRA Rule 2360(b)(16))****: The approval of Margaret Coburn for Level 3 options trading was facially unsuitable. FINRA Rule 2360(b)(16)(B) requires that prior to approving a customer's account for options trading, a Registered Options Principal (ROP) must consider the customer's investment objectives, employment status, estimated annual income, estimated net worth, investment experience, age, and other relevant information. Margaret was a 71-year-old retired teacher with no options experience, low risk tolerance, and a capital preservation objective. Approving her for Level 3, which includes undefined-risk strategies like short strangles, was a clear violation. The OCC Options Disclosure Document, which must be provided at or before account approval, specifically warns about the risks of uncovered writing--risks fundamentally incompatible with Margaret's profile.
2. ****Quantitative Unsuitability / Excessive Trading (FINRA Rule 2111 and Reg BI Care Obligation)****: The trading activity

in Margaret's account was excessive by any objective measure. An annualized turnover rate of 28.4 and a cost-to-equity ratio of 54% vastly exceed the thresholds that regulators and arbitration panels have historically considered indicative of churning. Courts and arbitration panels have generally found turnover ratios above 6 and cost-to-equity ratios above 20% to be strong evidence of excessive trading. Voss exercised de facto control over the account--Margaret did not understand the strategies being employed and relied entirely on Voss's direction, satisfying the control element of a churning claim even in a nominally non-discretionary account.

3. ****Qualitative Unsuitability****: Even if the volume of trading had been lower, the individual strategies were unsuitable. Short strangles on volatile biotech stocks carry theoretically unlimited risk and are categorically inappropriate for a 71-year-old retiree with low risk tolerance, limited income, and a preservation-of-capital objective. FINRA Regulatory Notice 21-15 specifically emphasized that firms must have robust controls to ensure options account approvals and ongoing trading activity are consistent with customer profiles, particularly in light of increased retail options activity.

4. ****Reg BI Violations****: Under Regulation Best Interest's Care Obligation, Voss was required to exercise reasonable diligence, care, and skill in making each recommendation. Recommending 347 options trades--many involving undefined risk--to an unsophisticated retiree seeking capital preservation fails this standard. The Disclosure Obligation was also likely violated, as Margaret stated she believed safe dividend stocks were being purchased, indicating she was never meaningfully informed about the nature and risks of the strategies.

5. ****Supervisory Failures (FINRA Rules 3110 and 2360(b)(20))****: The branch manager approved Level 3 options despite a customer profile that was incompatible with such approval. FINRA Rule 2360(b)(20) requires that a firm's written supervisory procedures include mechanisms for reviewing options account activity to detect and prevent unsuitable trading patterns. No supervisory review was conducted for 14 months despite 347 trades, 19 margin calls, and a near-50% account decline. This represents a systemic supervision failure.

****Likely Regulatory Outcome****: Voss faces potential sanctions including fines, disgorgement of commissions, suspension or bar from the industry. The firm faces liability for supervisory failures. Margaret would likely prevail in a FINRA arbitration claim for compensatory damages of approximately \$87,600 in account losses plus \$41,200 in excessive commissions, and potentially punitive damages given the egregious nature of the conduct. The firm could also face a FINRA enforcement action resulting in significant fines and undertakings to revise its options approval and supervisory procedures.

Item 16 of 350**NON-COMPLIANT**

Topic: complex_products_unsophisticated_investor

Difficulty: medium

Source: 26_Options

Fact Pattern

Marcus Webb, age 22, opened a brokerage account in March 2022 with \$4,800 he had saved from his part-time job at a restaurant while attending community college. Marcus had no prior investment experience and listed his annual income as \$19,000. On the account application, he indicated his investment objective was 'growth' and his risk tolerance was 'moderate.' Marcus had heard from friends and social media influencers that options trading was a fast way to grow a small account. His registered representative, Darren Holt, age 34, approved Marcus for Level 3 options trading within two days of account opening, which permitted uncovered put writing, spreads, and straddles. Darren did not conduct any in-person or phone conversation with Marcus to assess his understanding of options; the approval was handled entirely through an online questionnaire where Marcus self-reported two years of options experience and 'extensive' knowledge of derivatives -- claims that were inconsistent with his age, education, employment history, and the fact that his account was his first brokerage relationship. Darren's branch manager later acknowledged that the online questionnaire answers were not cross-referenced against other account opening data. Over the following four months, Marcus executed 147 options trades, predominantly selling naked puts on volatile meme stocks and buying short-dated out-of-the-money call options. By July 2022, Marcus had lost \$11,300 -- his entire initial deposit plus \$6,500 in margin debt the firm extended after his Level 3 approval. The firm sent Marcus a margin call, and when he could not meet it, liquidated his positions at a realized loss. Marcus filed a complaint alleging the firm should never have approved him for advanced options strategies.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Darren Holt and the firm violated multiple applicable standards governing options account approval and suitability. Under FINRA Rule 2360(b)(16), a registered representative and the firm must exercise due diligence to learn the essential facts about a customer before approving an options account, including the customer's investment objectives, employment status, estimated annual income, net worth, investment experience, and liquid net worth. The rule requires specific supervisory approval by a Registered Options Principal (ROP) who must consider whether the customer's financial situation, investment experience, and stated objectives are consistent with the level of options trading being approved. Here, Marcus was a 22-year-old community college student earning \$19,000 per year at a part-time restaurant job, with only \$4,800 in savings and zero verifiable investment experience. Approving him for Level 3 options -- which includes uncovered writing and complex multi-leg strategies -- was plainly inconsistent with his profile.

FINRA Regulatory Notice 21-15 specifically addresses concerns about firms using digital platforms and automated processes to onboard customers for complex products like options. It reminds firms that they cannot rely solely on customer self-reported information when other information in the firm's possession (such as age, income, employment, and account history) contradicts those representations. Marcus's claim of two years of options experience and 'extensive' derivatives knowledge was facially inconsistent with his age, the fact that this was his first brokerage account, and his limited income. Darren and the branch had an obligation to investigate these inconsistencies before granting approval, and they failed to do so.

The OCC Options Disclosure Document must be delivered to the customer at or before the time the account is approved for options trading. While the fact pattern does not indicate whether this was provided, the substantive failure here goes beyond disclosure: even if the ODD was delivered, delivery alone does not cure an approval that is fundamentally unsuitable.

Under Regulation Best Interest (Reg BI), Darren owed Marcus a duty under the Care Obligation to exercise reasonable diligence, care, and skill in making recommendations and ensuring that the investment strategy involving options was in Marcus's best interest given his profile. Approving a young, inexperienced, low-income investor for the most aggressive tier of options trading -- and then extending margin credit that allowed losses to exceed his deposit -- fails this standard.

FINRA Rule 2361 further requires firms to have written supervisory procedures specific to options and to designate an ROP responsible for approving accounts. The branch manager's admission that the online questionnaire was not cross-referenced against other data suggests a systemic supervisory failure.

The likely regulatory outcome includes potential disciplinary action against both Darren and the firm, including fines, restitution to the customer, and possible suspension. The firm may also face an enforcement action for supervisory failures in its options approval process, consistent with recent enforcement trends targeting firms that use automated or streamlined approval workflows without adequate safeguards for inexperienced retail investors.

Item 17 of 350**NON-COMPLIANT****Topic:** options_unsuitable**Difficulty:** hard**Source:** 26_Options**Fact Pattern**

Marcus Delgado, age 23, worked as a barista in Portland, Oregon, earning approximately \$31,000 per year. He had \$8,200 in a brokerage account, no other savings, \$14,000 in student loan debt, and no prior investment experience beyond purchasing fractional shares of a few technology stocks over the previous six months. In March 2023, Marcus applied online for options trading through his brokerage firm, Apex Direct Securities. On the electronic application, Marcus listed his investment objective as 'speculation,' his risk tolerance as 'aggressive,' his annual income as \$31,000, his liquid net worth as \$8,200, and his investment experience as 'limited -- less than one year.' He indicated zero years of options trading experience. Despite these answers, the firm's automated approval system granted Marcus Level 3 options privileges, which permitted naked call writing, multi-leg spread strategies, and uncovered put selling. No registered options principal personally reviewed the application before approval was granted. The firm's algorithm approved any applicant under age 30 who selected 'aggressive' risk tolerance, regardless of income, net worth, or experience inputs, as the firm's internal product team believed younger clients represented a growth demographic. Within two weeks, Marcus's assigned financial advisor, Jennifer Pruitt, encouraged him to begin selling naked puts on a volatile biotech stock trading at \$85 per share. Jennifer told Marcus this was 'basically free money as long as the stock doesn't crash.' She did not provide him with any options disclosure document before the trades. Over the next 45 days, Marcus sold twelve naked put contracts across three biotech names. When one of the biotech stocks dropped 62% following a failed FDA trial in May 2023, Marcus was assigned on five contracts and faced a margin call of \$27,400 -- more than three times his entire account value. He could not meet the call, and the firm liquidated his account at a realized loss of \$19,800. Marcus filed a complaint alleging the firm should never have approved him for that level of options trading and that his advisor pushed him into strategies he did not understand. Jennifer Pruitt had been registered for 14 months at the time and had four other clients under age 25 with similar account profiles and similar naked option positions. The firm had no written supervisory procedures specific to reviewing options account approvals for customers with limited income, limited net worth, or no options experience.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, both the financial advisor Jennifer Pruitt and the firm Apex Direct Securities committed multiple violations.

1. ****Options Account Approval Failures (FINRA Rule 2360(b)(16))**:** FINRA Rule 2360 requires that a registered options principal (ROP) specifically approve each options account after reviewing the customer's financial situation, investment objectives, and experience. The rule mandates consideration of the customer's investment objectives, employment status, estimated annual income, estimated net worth, estimated liquid net worth, marital status, age, investment experience, and any other relevant information. Here, Marcus had virtually no investment experience, zero options experience, minimal income (\$31,000), negligible liquid net worth (\$8,200), and significant debt (\$14,000 in student loans). The firm's automated system approved Level 3 options privileges -- including naked writing -- without any human ROP review, solely because the applicant was young and selected 'aggressive' risk tolerance. This is a clear violation of the requirement that a registered options principal exercise diligence in approving the account and

determine that options trading is appropriate for the customer.

2. ****Failure to Deliver the OCC Options Disclosure Document****: Under FINRA Rule 2360(b)(11), the OCC's Options Disclosure Document (ODD) -- 'Characteristics and Risks of Standardized Options' -- must be furnished to the customer at or prior to the time the account is approved for options trading. Jennifer Pruitt did not provide this document to Marcus at any point before he began trading. This is a standalone violation.

3. ****Unsuitable Recommendation -- Reg BI and FINRA Rule 2111****: Under Regulation Best Interest's Care Obligation (17 CFR 240.15l-1), a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill when making a recommendation, considering the customer's investment profile including financial situation, needs, objectives, experience, and risk tolerance. Naked put writing is among the highest-risk options strategies, carrying theoretically substantial downside exposure. Recommending naked put sales on volatile biotech stocks to a 23-year-old with \$8,200 in total liquid assets, no options experience, and \$31,000 in annual income is patently unsuitable. The potential obligation from even a modest assignment could (and did) exceed Marcus's entire net worth multiple times over. Jennifer's characterization of naked put selling as 'basically free money' also raises concerns about misleading communications under FINRA Rule 2210.

4. ****Supervisory Failures (FINRA Rules 3110 and 2360(b)(20))****: The firm had no written supervisory procedures addressing options account approval for customers with limited resources or experience. FINRA Rule 2360(b)(20) requires firms to establish and maintain specific written procedures for the review and approval of options accounts. The algorithmic approval system that bypassed ROP review based solely on age and self-selected risk tolerance is a systemic supervisory failure. Additionally, the pattern of four other similarly situated young clients with naked options positions suggests a broader supervisory breakdown.

5. ****FINRA Regulatory Notice 21-15 Considerations****: RN 21-15 specifically addressed concerns arising from the proliferation of options trading by inexperienced retail investors, including through app-based platforms. It reminded firms of their obligations under Rules 2360 and 2361 regarding account approval, margin requirements, and the need for meaningful human review -- particularly for complex or high-risk strategies. The firm's conduct here is precisely the type of practice RN 21-15 targeted.

****Likely Regulatory Outcome****: The firm would likely face enforcement action for systemic options approval failures, inadequate supervisory procedures, and failure to deliver the ODD. Jennifer Pruitt would likely face individual liability for unsuitable recommendations and failure to deliver disclosure documents. Potential sanctions include fines, disgorgement, restitution to Marcus, suspension or bar for Pruitt, and a requirement that the firm overhaul its options approval process. The pattern involving multiple similarly situated young clients could elevate this to a more significant enforcement matter. Marcus's complaint for \$19,800 in losses, plus the margin deficit, would likely succeed in arbitration.

Item 18 of 350**NON-COMPLIANT****Topic:** senior_investor_exploitation**Difficulty:** hard**Source:** 26_Options**Fact Pattern**

Margaret Dalton, age 79, is a retired elementary school teacher living in suburban Ohio on a fixed income consisting of a \$2,100 monthly pension and \$1,850 in Social Security benefits. Her total liquid net worth is approximately \$410,000, held primarily in a rollover IRA that represents her entire retirement savings. She has no other significant assets aside from her home, which is fully paid off. Mrs. Dalton's investment experience is limited to owning a handful of blue-chip stocks and a balanced mutual fund for over twenty years; she has never traded options or derivatives of any kind. In March 2023, her long-time advisor retired, and her account was transferred to Kyle Brunner, a 31-year-old registered representative at the same branch office. During their first meeting, Mrs. Dalton explained that her primary goals were capital preservation, modest income generation to supplement her pension, and leaving a portion of her savings to her two grandchildren. She explicitly stated she could not afford to lose principal and described herself as conservative. Brunner told Mrs. Dalton that he could 'significantly boost her monthly income without much risk' by implementing a covered call writing program on individual equities. He submitted an options account application on her behalf, listing her risk tolerance as 'moderate/aggressive,' her investment objective as 'speculation,' her annual income as \$85,000, and her liquid net worth as \$750,000 -- all figures that materially overstated her actual financial profile. The branch manager approved the account for Level 3 options trading, which permitted naked put writing and spread strategies, in addition to covered calls. No record exists that the branch manager spoke with Mrs. Dalton or independently verified any of the application information. The OCC Options Disclosure Document was mailed to Mrs. Dalton, but Brunner never discussed its contents with her, and she later stated she did not recall receiving or reading it. Over the next nine months, Brunner executed 147 options trades in Mrs. Dalton's IRA. While the strategy initially involved covered calls on large-cap stocks, it quickly evolved into selling naked puts on volatile technology and biotech names, including positions on stocks trading above \$300 per share with notional exposure exceeding \$180,000 on individual trades. In several instances, puts were assigned and Mrs. Dalton was forced to purchase shares at prices well above the current market value, creating immediate unrealized losses. Rather than closing these losing positions, Brunner sold additional puts at lower strikes to 'average down,' compounding the concentrated exposure. By December 2023, Mrs. Dalton's IRA had declined from \$410,000 to approximately \$191,000 -- a loss of roughly \$219,000, or 53% of her retirement savings. Commissions and fees during the nine-month period totaled \$34,600. When Mrs. Dalton called the branch in January 2024 after receiving her year-end statement, she was confused and distressed. She told the branch receptionist she had 'no idea what any of these trades were' and that she had only authorized 'something simple to get a little extra income.' Brunner did not return her calls for two weeks.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kyle Brunner committed multiple serious violations, and the branch manager also bears supervisory liability.

****Options Account Approval Violations (FINRA Rule 2360(b)(16)):**** The options account application contained materially false information. Brunner listed Mrs. Dalton's income as \$85,000 (actual: approximately \$47,400), liquid net worth as \$750,000 (actual: \$410,000), risk tolerance as 'moderate/aggressive' (actual: conservative), and investment

objective as 'speculation' (actual: capital preservation and income). FINRA Rule 2360(b)(16)(A) requires that member firms exercise due diligence to learn essential facts about each customer before approving an options account. Falsifying customer information on an options application to obtain higher-level approval is a well-established violation.

****Supervisory Failure (FINRA Rule 2360(b)(16)(B) and FINRA Rule 3110):**** The branch manager approved Level 3 options trading -- which includes naked put writing -- for a 79-year-old retired schoolteacher with a conservative profile and limited investment experience, without any independent verification or direct contact with the customer. This represents a failure of the supervisory review process mandated for options account approvals. The branch manager's reliance on the inflated application figures without question was unreasonable given the customer's age and account history.

****OCC Disclosure Document (FINRA Rule 2360(b)(11)):** While the OCC Options Disclosure Document was apparently mailed, FINRA Rule 2360(b)(11)(A) requires that the document be furnished to the customer at or prior to the time the account is approved for options trading. Merely mailing the document without ensuring receipt or any discussion of the risks of the specific strategies to be employed -- particularly naked put writing -- is insufficient, especially for a senior investor with no options experience.

****Regulation Best Interest / Suitability Violations:** Under Reg BI's Care Obligation (17 CFR 240.15l-1(a)(2)(ii)), the advisor must exercise reasonable diligence, care, and skill to understand the potential risks and rewards of a recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest. Naked put writing on volatile biotech and tech stocks, with notional exposure exceeding \$180,000 per trade, in the IRA of a 79-year-old conservative retiree whose entire retirement savings was at stake, is fundamentally unsuitable and cannot satisfy a best interest standard. FINRA RN 21-15 specifically highlights concerns about firms approving retail customers for complex options strategies without adequate due diligence, and identifies automated or cursory account approval processes as a significant risk area.

****FINRA Rule 2361 (Suitability of Options):**** This rule reinforces that no member shall recommend an options transaction unless there is a reasonable basis to believe the customer has the knowledge and experience to evaluate the risks, the financial ability to bear the risks, and the recommendation is consistent with the customer's investment objectives. Mrs. Dalton met none of these criteria for naked put writing.

****Quantitative Unsuitability:** The 147 trades in nine months in a retirement account designed for capital preservation strongly suggests excessive trading (churning). The \$34,600 in commissions and fees on an initial account value of \$410,000 represents an annualized cost-to-equity ratio of approximately 11.3%, far exceeding commonly accepted thresholds.

****Likely Regulatory Outcome:** Brunner faces potential sanctions including fines, disgorgement of commissions, suspension, or a permanent industry bar. The branch manager faces supervisory sanctions. The firm is likely liable for restitution of Mrs. Dalton's losses. The falsification of the options application is an aggravating factor that regulators treat with particular seriousness. Given Mrs. Dalton's age and the magnitude of the losses relative to her total savings, this case also implicates FINRA's heightened scrutiny of senior investor exploitation (FINRA Rule 2165 and related guidance). A customer arbitration claim would likely result in a substantial award.

Item 19 of 350**NON-COMPLIANT****Topic:** inappropriate_risk_profile**Difficulty:** medium**Source:** 26_Options**Fact Pattern**

Margaret Holloway, age 68, is a retired elementary school teacher living in Tucson, Arizona. She has a fixed annual income of \$42,000 from her state pension and Social Security. Her total liquid net worth is approximately \$285,000, held primarily in a rollover IRA from her teaching career. She has no prior experience trading options or any leveraged products, and her prior investment history consists solely of holding a target-date retirement fund and a small allocation to municipal bond funds. In March 2023, Margaret visited the branch office of her brokerage firm to discuss ways to generate additional income to help cover rising healthcare costs. Her financial advisor, Kevin Dandridge, age 34, had recently completed an internal training module on options strategies and was eager to implement what he had learned. During the meeting, Margaret expressed that she could not afford to lose any significant portion of her retirement savings and that she simply wanted modest supplemental income. Kevin noted on her new account form that her investment objective was 'income' and her risk tolerance was 'moderate.' He then recommended that Margaret open an options trading account approved for Level 3 trading, which at their firm permitted the sale of uncovered (naked) put options on individual equities. Kevin explained to Margaret that selling puts was 'essentially like getting paid to agree to buy stocks you'd want to own anyway at a discount,' and characterized the strategy as low-risk. He did not provide her with the standardized options disclosure document prior to opening the account, nor did he document any discussion of the risks of naked put writing, including the possibility of substantial losses if the underlying stocks declined sharply. The branch manager approved the Level 3 options account the same day based on the information Kevin submitted, which listed Margaret's net worth and income but did not flag her lack of options experience or her stated inability to absorb significant losses. Over the next five months, Kevin directed Margaret to sell naked puts on several volatile technology and biotech stocks, including positions in companies with market capitalizations under \$2 billion. In September 2023, a broad market selloff caused three of Margaret's short put positions to move deep in-the-money. She was assigned on all three, requiring her to purchase the shares at prices well above the current market. The resulting unrealized losses totaled \$74,000 -- roughly 26% of her total retirement savings. Margaret was also assessed a margin call of \$31,000, which she could not meet without liquidating portions of her bond fund holdings at a loss. She filed a complaint with the firm in October 2023, stating she never understood she could lose more than the premiums she collected and that Kevin had assured her the strategy was safe for retirees.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Dandridge committed multiple serious violations. First, under FINRA Rule 2360(b)(16), a member firm must deliver the OCC Options Disclosure Document (ODD) to a customer at or before the time the account is approved for options trading. Kevin failed to provide this document to Margaret, depriving her of the standardized risk disclosures that are a prerequisite to informed consent. Second, FINRA Rule 2360(b)(19) requires that a registered options principal (ROP) or branch manager evaluate the customer's investment objectives, financial situation, investment experience, and ability to bear risk before approving an options account and the specific level of trading authority. Margaret had zero options experience, a fixed and modest income, stated she could not afford significant losses, and her sole objective was supplemental income. Approving her for Level 3 -- uncovered put writing -- was a clear failure of

the account approval process. The branch manager's same-day approval without flagging these red flags constitutes a supervisory failure under FINRA Rule 2360(b)(19)(B). Third, under Regulation Best Interest (Reg BI), specifically the Care Obligation, Kevin was required to exercise reasonable diligence, care, and skill in making recommendations. Naked put selling on small-cap, volatile stocks exposes the seller to losses that can far exceed the premiums received, and the margin requirements can force liquidation of other holdings. This strategy was wholly inconsistent with Margaret's conservative profile, limited income, dependence on her retirement savings, and lack of sophistication. FINRA Regulatory Notice 21-15 specifically highlights concerns about options account approvals and the need for firms to ensure that approval processes meaningfully consider whether the customer's profile supports the level of options trading granted. The Notice calls out deficiencies where firms rely on customer-submitted data without verifying consistency against known customer attributes -- exactly what occurred here when the branch manager approved the account without noting the disconnect between Level 3 authority and Margaret's experience and risk tolerance. Kevin's characterization of naked put writing as 'low-risk' and 'safe for retirees' was materially misleading, violating FINRA Rule 2210 (communications with the public) standards regarding fair and balanced presentation. The likely regulatory outcomes include: (1) disgorgement of commissions earned on the options transactions; (2) restitution to Margaret for her losses; (3) potential suspension or bar for Kevin for recommending an unsuitable strategy and failing to deliver required disclosures; (4) a fine and censure for the firm for supervisory failures in the options account approval process; and (5) potential enhanced supervisory requirements imposed on the branch. The \$74,000 loss representing 26% of a 68-year-old retiree's total liquid net worth from a strategy she did not understand is a textbook case of options unsuitability.

Item 20 of 350**NON-COMPLIANT****Topic:** excessive_churning**Difficulty:** hard**Source:** 26_Options**Fact Pattern**

Margaret Dawson, age 71, is a retired school librarian living in Tallahassee, Florida, with an annual pension income of \$42,000, a \$280,000 rollover IRA, and \$65,000 in a savings account. She had no prior experience trading options and described her investment objective as capital preservation with modest income supplementation to cover prescription drug costs. Her risk tolerance was documented as "conservative" on her new account form. In March 2022, her financial advisor, Kevin Hurley, at a mid-sized broker-dealer, recommended Mrs. Dawson open an options-enabled brokerage account to "generate extra monthly income through safe strategies." Hurley approved her for Level 3 options trading, which permitted spreads, straddles, and uncovered (naked) put writing. Over the next fourteen months, Hurley executed 347 options trades in Mrs. Dawson's account, primarily involving weekly and bi-weekly expirations on volatile technology stocks including Tesla, NVIDIA, and Amazon. The trading included repeated sequences of buying and selling vertical call spreads and iron condors on the same underlying securities within days, often closing positions at small losses only to re-enter nearly identical positions the same week. The account generated \$61,400 in total commissions and fees during this period. The annualized turnover rate in the account was approximately 38 times, and the cost-to-equity ratio exceeded 74%. Mrs. Dawson's account value declined from \$280,000 to \$149,000 over the fourteen months, a loss of approximately \$131,000, of which \$61,400 was attributable to transaction costs alone. When Mrs. Dawson called Hurley in May 2023 expressing concern about her dwindling account balance, he told her the losses were "temporary market noise" and recommended she deposit an additional \$30,000 from her savings account to "average into better positions." Mrs. Dawson's daughter, a CPA, reviewed the account statements in June 2023 and discovered the volume of trading. Mrs. Dawson stated she had never been provided the standardized options disclosure document prior to her first trade and did not understand the meaning of terms like "iron condor" or "naked put." Hurley's branch manager had signed off on the Level 3 options approval without conducting an independent interview with Mrs. Dawson or documenting any rationale for why the elevated approval level was appropriate for her profile.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Hurley committed multiple serious violations. First, under FINRA Rule 2360(b)(16), a member firm must exercise due diligence to ascertain the essential facts about a customer before approving options trading, including the customer's financial situation, investment experience, and investment objectives. The branch manager's approval of Level 3 options trading -- permitting uncovered puts, straddles, and complex spread strategies -- for a 71-year-old retired librarian with no options experience, conservative risk tolerance, and a capital preservation objective was a clear account approval failure. FINRA RN 21-15 specifically reminded firms to strengthen their options account approval programs and highlighted concerns about firms granting elevated options approval levels without adequate due diligence, particularly for unsophisticated retail investors. Second, the failure to deliver the OCC Options Disclosure Document ('Characteristics and Risks of Standardized Options') prior to or at the time of account approval is a direct violation of FINRA Rule 2360(b)(11)(A)(1), which mandates delivery of this document at or before the time the account is approved for options trading. Without this disclosure, Mrs. Dawson could not have made an informed decision about

the risks she was undertaking. Third, the trading activity itself constitutes classic excessive trading (churning) in violation of FINRA Rule 2111 (suitability) and Regulation Best Interest. An annualized turnover rate of 38 and a cost-to-equity ratio of 74% are far beyond the thresholds commonly used to establish churning -- courts and arbitration panels have routinely found turnover rates above 6 and cost-to-equity ratios above 20% to be presumptive evidence of excessive trading. The 347 trades in 14 months in weekly expirations on volatile tech stocks in an account belonging to a conservative, elderly, inexperienced investor had no rational investment purpose and served primarily to generate commissions for Hurley. Under Reg BI's Care Obligation (17 CFR 240.15l-1), Hurley was required to exercise reasonable diligence, care, and skill to ensure that the series of recommended transactions was in Mrs. Dawson's best interest and did not place his own financial interests ahead of hers. The massive commission generation relative to account size demonstrates Hurley prioritized his compensation over his client's welfare. Additionally, FINRA Rule 2361 requires firms to have written supervisory procedures specific to options, and the branch manager's rubber-stamp approval without an independent customer interview or documented rationale represents a supervisory failure under FINRA Rules 3110 and 3120. The likely regulatory outcome would include disgorgement of commissions, restitution to Mrs. Dawson, significant fines against both Hurley and the firm, potential suspension or bar of Hurley, and a supervisory deficiency finding against the branch manager.

Item 21 of 350**NON-COMPLIANT**

Topic: complex_products_unsophisticated_investor

Difficulty: hard

Source: 26_Options

Fact Pattern

Marcus Whitfield, age 22, opened a brokerage account in March 2023 with a registered representative named Todd Brennan at a mid-sized online broker-dealer. Marcus had just started his first full-time job as a warehouse logistics coordinator earning \$41,000 per year. He had \$8,200 in savings, no prior investment experience, and indicated on his new account form that his investment objective was 'growth' and his risk tolerance was 'moderate.' He had never purchased a stock or mutual fund before and told Todd during their initial phone call that he wanted to 'learn how to invest' and had been watching YouTube videos about people making money with options trading.

Todd approved Marcus for Level 3 options trading within two days of account opening, which permitted the purchase of calls and puts, covered call writing, cash-secured puts, spreads, and naked put writing. Todd did not conduct any additional inquiry beyond the new account form, did not ask Marcus whether he understood concepts like implied volatility, theta decay, assignment risk, or margin requirements, and did not provide the Options Disclosure Document before approval. The firm's options approval matrix recommended that Level 3 be limited to customers with at least two years of options trading experience, a minimum liquid net worth of \$50,000, and an investment objective of 'speculation.' Todd overrode these parameters in the system by manually entering that Marcus had '2+ years' of options experience and a liquid net worth of \$55,000, neither of which was accurate.

Between April and September 2023, Todd recommended a series of options strategies to Marcus. In April, Todd recommended Marcus sell cash-secured puts on three volatile biotech stocks--Axion Therapeutics, Genuvex Corp, and NovaPrime Biologics--each with strike prices near the money and 30-day expirations. Marcus allocated \$6,500 of his \$8,200 in savings to collateralize these positions. In June, after two of the puts were assigned and Marcus found himself holding \$4,800 worth of biotech shares he hadn't intended to own, Todd recommended Marcus sell covered calls against those positions at strike prices well below Marcus's cost basis, effectively locking in losses if the calls were exercised. In August, Todd recommended Marcus enter a series of vertical put spreads on a semiconductor ETF, requiring Marcus to deposit an additional \$3,000 he borrowed from a personal line of credit. Todd was aware Marcus was borrowing money to fund these trades.

By September 2023, Marcus's account had declined from \$8,200 to \$1,740, a loss of approximately 79%. Marcus had also accumulated \$3,000 in personal debt from the credit line. The combined options commissions and fees across all trades totaled \$1,180. Marcus filed a complaint with the firm stating he did not understand the strategies Todd had recommended and that he had never received any written disclosure about options risks. An internal review revealed Todd's manual overrides of the options approval matrix and the absence of any record that the Options Disclosure Document had been delivered to Marcus prior to or at the time of account approval.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Todd Brennan committed multiple serious violations of applicable regulatory standards.

1. ****Options Account Approval Failures (FINRA Rule 2360(b)(16))****: FINRA Rule 2360 requires that before approving a customer for options trading, a registered representative and the firm must exercise due diligence to ascertain the customer's investment objectives, financial situation, employment status, investment experience, and knowledge of options. Todd failed to conduct any meaningful inquiry into Marcus's understanding of options concepts and approved him for Level 3 options--which includes complex strategies like naked put writing and spreads--despite Marcus having zero investment experience, minimal savings, and moderate risk tolerance. The firm's own internal options approval matrix required at least two years of options experience, \$50,000 in liquid net worth, and a speculative investment objective for Level 3 approval. Todd fraudulently overrode these parameters by entering false information (fabricating 2+ years of experience and \$55,000 in net worth), which constitutes falsification of books and records in violation of FINRA Rules 4511 and 2010 (standards of commercial honor and just and equitable principles of trade).
 2. ****Failure to Deliver the OCC Options Disclosure Document****: Under FINRA Rule 2360(b)(11), the OCC Options Disclosure Document (ODD) must be furnished to the customer at or prior to the time the account is approved for options trading. The internal review confirmed no ODD was delivered to Marcus. This is a standalone violation regardless of whether the strategies were otherwise suitable.
 3. ****Unsuitable Recommendations Under Reg BI and FINRA Rule 2111****: Under Regulation Best Interest's Care Obligation (17 CFR 240.15I-1), a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill when making recommendations, considering the customer's investment profile including financial situation, risk tolerance, and investment experience. Selling cash-secured puts on volatile biotech stocks was wholly unsuitable for a 22-year-old first-time investor with \$8,200 in total savings and moderate risk tolerance. The subsequent covered call strategy that locked in losses and the vertical put spreads funded by borrowed money further compounded the unsuitability. FINRA Regulatory Notice 21-15 specifically highlights the risks of complex options strategies being offered to inexperienced retail investors and emphasizes heightened supervisory obligations, including robust account approval processes and meaningful assessment of customer knowledge.
 4. ****Encouraging Borrowing to Fund Speculative Trading****: Todd's awareness that Marcus was borrowing \$3,000 from a personal credit line to fund additional options trades, combined with his continued recommendations, demonstrates a disregard for Marcus's financial welfare and further supports a finding that the recommendations were not in Marcus's best interest.
 5. ****Likely Regulatory Outcome****: Todd faces potential sanctions including fines, suspension, or a bar from the securities industry for falsifying records, failing to deliver the ODD, and making unsuitable recommendations. The firm faces supervisory liability under FINRA Rule 3110 for failing to detect or prevent Todd's manual overrides of the options approval matrix. Marcus would likely prevail in an arbitration claim seeking compensatory damages of approximately \$9,460 (the \$6,460 account loss plus \$3,000 in debt incurred), plus commissions and fees of \$1,180. Enforcement action consistent with precedents in the Robinhood-era enforcement environment--where regulators have specifically targeted inadequate options approval processes for unsophisticated retail customers--is highly probable.
-

Item 22 of 350**NON-COMPLIANT****Topic:** options_unsuitable**Difficulty:** medium**Source:** 26_Options**Fact Pattern**

Margaret Tillman, age 63, is a retired school librarian living in Tucson, Arizona. She has a fixed annual income of \$38,000 from her pension and Social Security. Her total liquid net worth is approximately \$210,000, held primarily in a rollover IRA and a small taxable brokerage account with \$47,000. She has no prior experience trading options or any derivative instruments. Her stated investment objectives on her new account form are "income" and "preservation of capital," and she marked her risk tolerance as "conservative." In January 2023, Margaret opened an account with Ridgeline Financial Partners after seeing an advertisement promising "strategies to boost your retirement income." Her advisor, Kyle Brunner, age 29, completed the options account approval paperwork on her behalf. On the application, Brunner listed Margaret's investment experience as "intermediate" and her risk tolerance as "moderate/aggressive," which differed from what Margaret had indicated on her original new account form. The branch manager approved the account for Level 3 options trading, which permitted uncovered put writing and multi-leg spread strategies. Over the next five months, Brunner recommended that Margaret execute a series of complex multi-leg options trades -- primarily iron condors and short strangles -- on high-volatility technology stocks including Tesla, Nvidia, and Amazon, timed around those companies' quarterly earnings announcements. Brunner told Margaret these were "safe income plays" that would generate "steady monthly cash like collecting rent." Between January and June 2023, Margaret executed 34 multi-leg options trades in her taxable account. The aggregate premiums she collected totaled approximately \$6,800, but her realized losses on positions that moved against her totaled \$29,400. Additionally, she paid \$2,100 in commissions and fees. By June 2023, her taxable account had declined from \$47,000 to approximately \$22,300 -- a loss of over 52%. Margaret states she did not understand the risk of the strategies, was never provided with a standardized options risk disclosure booklet, and believed her advisor when he described the trades as conservative income-generating strategies. Brunner's branch manager conducted no independent review of the options trades after the initial account approval despite the rapid losses.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kyle Brunner violated multiple regulatory requirements regarding options suitability, account approval, and customer protection.

****Options Account Approval Failures (FINRA Rule 2360(b)(16)):** FINRA Rule 2360 requires that before approving a customer's account for options trading, the firm must exercise due diligence to learn the essential facts about the customer, including investment objectives, financial situation, investment experience, and risk tolerance. The branch manager approved Margaret for Level 3 options trading -- which includes uncovered writing and complex multi-leg strategies -- despite her actual profile as a conservative, income-oriented retiree with zero options experience. The approval was based on falsified information entered by Brunner, who inflated her experience level and risk tolerance on the options application. This constitutes a failure of the account approval process under Rule 2360(b)(16)(B).

****Falsification of Customer Information:** Brunner recorded Margaret's investment experience as "intermediate" and

her risk tolerance as "moderate/aggressive" on the options application, directly contradicting the "conservative" risk tolerance and lack of options experience documented on her original new account form. This misrepresentation of customer information to obtain an unsuitable account approval level is a serious violation.

****OCC Options Disclosure Document (ODD):**** The Options Clearing Corporation requires, and FINRA Rule 2360(b)(11)(A)(1) mandates, that a copy of the OCC's standardized options disclosure document ("Characteristics and Risks of Standardized Options") be provided to every customer at or before the time the account is approved for options trading. Margaret states she never received this document, which constitutes a clear violation of this delivery requirement.

****Suitability and Regulation Best Interest (Reg BI):**** Under Reg BI's Care Obligation (17 CFR 240.15l-1), a broker-dealer must exercise reasonable diligence, care, and skill when making recommendations to retail customers, considering the customer's investment profile including age, financial situation, risk tolerance, and investment objectives. Short strangles and iron condors on high-volatility technology stocks timed around earnings announcements are among the riskiest options strategies available. Academic research has demonstrated that retail investors trading complex multi-leg options around earnings announcements experience significant average losses (often exceeding -16% over short holding periods) due to overestimation of volatility and the lottery-like payoff structures. Recommending these strategies to a 63-year-old conservative retiree with no options experience, limited liquid assets, and income/preservation objectives is a textbook suitability violation.

****FINRA Regulatory Notice 21-15:**** This notice specifically addresses concerns about options account approvals and complex options trading by retail investors, emphasizing that firms must have robust supervisory systems for options account approval that go beyond rubber-stamping applications. The notice highlights that firms should consider whether customers truly understand the risks of complex options strategies and whether those strategies align with their stated objectives. The branch manager's failure to conduct any post-approval review despite rapid and significant losses further violates supervisory obligations under FINRA Rules 3110 and 2360(b)(16).

****Misrepresentation:**** Brunner's characterization of short strangles and iron condors as "safe income plays" comparable to "collecting rent" constitutes a materially misleading description of strategies that carry substantial and potentially unlimited risk (particularly short strangles). This violates FINRA Rule 2210 (communications with the public) and Reg BI's Disclosure Obligation.

****Likely Regulatory Outcome:**** Brunner faces potential sanctions including fines, disgorgement of commissions, suspension, or a bar from the industry. The firm faces potential liability for supervisory failures under FINRA Rule 3110. Margaret would likely prevail in a FINRA arbitration claim for damages of approximately \$24,700 (the net loss) plus fees and costs. The branch manager could face individual liability for approving the account on falsified information and for failing to supervise the trading activity.

Item 23 of 350**NON-COMPLIANT**

Topic: complex_products_unsophisticated_investor

Difficulty: medium

Source: 26_Options

Fact Pattern

Margaret Kowalski, age 63, is a retired elementary school teacher living in Dayton, Ohio. She has a pension paying \$3,200 per month, Social Security benefits of \$1,850 per month, a savings account with \$45,000, and a rollover IRA containing \$310,000 invested in a mix of bond funds and a stable value fund. She has no prior experience trading stocks individually and has never used options or derivatives of any kind. Her stated investment objective on her new account application was "income and capital preservation," and she marked her risk tolerance as "conservative." In March 2023, she opened an account with Derek Halloran, a registered representative at a mid-size broker-dealer, after attending a free dinner seminar at a local restaurant. The seminar was titled "Supercharge Your Retirement Income." During her initial meeting, Halloran told Margaret that she could "easily double her monthly income" using a strategy involving selling weekly put options on high-volatility technology stocks such as Tesla, Nvidia, and Amazon. He described the strategy as "collecting rent, just like being a landlord" and told her the premiums she would collect were "practically risk-free income." He did not provide her with a copy of the options disclosure document prior to account approval. Halloran submitted her options account application to his firm's principal, listing her investment experience as "moderate" and her risk tolerance as "aggressive growth," which contradicted the information Margaret had provided. The principal approved the account for Level 3 options trading, which permitted uncovered put writing. Between March and August 2023, Halloran executed 74 short put transactions in Margaret's IRA, generating \$18,400 in premiums but also resulting in assignment losses of \$67,000 when several of the underlying tech stocks dropped sharply during a market pullback in June and July. Margaret's IRA balance fell from \$310,000 to \$224,000, a loss of approximately 27.7%. Halloran earned \$11,200 in commissions on these trades. When Margaret called the firm in August to complain, she said she had never understood what a "put option" was and believed she was simply earning extra dividends on safe investments. She stated she had never seen or signed any options agreement and did not know her account had been approved for uncovered writing.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Halloran committed multiple serious violations. First, under FINRA Rule 2360(b)(16), a registered representative must obtain approval from a designated Registered Options Principal (ROP) before any customer options account is opened, and the ROP must base the approval on a review of the customer's actual financial situation, investment experience, and investment objectives. Halloran falsified Margaret's application by listing her experience as 'moderate' and her risk tolerance as 'aggressive growth,' directly contradicting the conservative, income-oriented profile she actually provided. This misrepresentation of customer information on an account application is itself a serious violation.

Second, FINRA Rule 2360(b)(11)(a)(i) requires that the current OCC Options Disclosure Document ('Characteristics and Risks of Standardized Options') be provided to the customer at or before the time the account is approved for options trading. Margaret was never furnished with this document, depriving her of the mandated risk disclosures about options strategies, including the substantial risks of writing uncovered puts.

Third, under Regulation Best Interest and FINRA Rule 2360's specific suitability provisions, a broker must have a reasonable basis to believe that the recommended options strategy is suitable for the particular customer based on her investment profile. Selling uncovered (naked) puts on high-volatility technology stocks is among the riskiest options strategies available. It exposes the writer to theoretically massive losses if the underlying stock declines significantly. This strategy is fundamentally incompatible with a 63-year-old retired teacher with no options experience, conservative risk tolerance, and stated objectives of income and capital preservation. FINRA Regulatory Notice 21-15 specifically reminds firms that account approval and supervision processes for options must be robust, particularly in light of increased retail participation, and that firms must ensure customers understand the risks before being approved for complex strategies.

Fourth, the ROP who approved the account for Level 3 (uncovered writing) failed in supervisory duties under FINRA Rule 2360(b)(16)(B) by not verifying the accuracy of the application or questioning why a retired teacher with no options experience would be approved for the highest-risk options tier.

The characterization of uncovered put selling as 'practically risk-free' and analogous to 'collecting rent' constitutes a materially misleading representation about the risks of the strategy. The resulting 27.7% loss in a retirement account underscores the unsuitability and harm.

Likely regulatory outcomes include: potential suspension or bar for Halloran; fines and restitution orders against both Halloran and the firm; potential supervisory sanctions against the approving principal; and the firm could face additional sanctions for inadequate supervisory systems related to options account approval under FINRA Rules 2360 and 3110.

Item 24 of 350**NON-COMPLIANT****Topic:** options_unsuitable**Difficulty:** hard**Source:** 26_Options**Fact Pattern**

Margaret Oleska, age 71, is a retired school librarian living in suburban Milwaukee, Wisconsin. She has a fixed monthly income of \$2,800 from Social Security and a small pension. Her total liquid net worth is approximately \$185,000, held primarily in a rollover IRA and a taxable brokerage account. She has no prior experience trading options or any leveraged products, and her investment history consists exclusively of certificates of deposit, Treasury bonds, and a single blue-chip equity mutual fund she has held for over fifteen years. In March 2024, Margaret's grandson recommended she open an account with a mid-sized online brokerage firm. During the onboarding process, her assigned advisor, Derek Pallone, age 34, conducted a brief fifteen-minute phone call during which he asked Margaret about her financial goals. Margaret stated that she wanted to generate a little extra monthly income to supplement her pension and Social Security, and that she could not afford to lose any meaningful portion of her savings because she had no other safety net. She described herself as a conservative investor and said she had never used margin or traded anything other than bonds and mutual funds. Despite this conversation, Derek completed Margaret's options account application indicating her investment objective as 'speculation,' her risk tolerance as 'aggressive,' and her investment experience as 'extensive -- more than 10 years of options trading.' He approved her for Level 4 options trading, which at this firm permitted uncovered (naked) call and put writing, as well as complex multi-leg spread strategies. Derek told Margaret that selling covered calls on shares of stock she already owned would be a safe way to earn additional income, but he did not explain the other strategies her account authorization would permit. He did not provide or confirm delivery of the standardized options risk disclosure document published by the clearinghouse. Over the following five months, Derek recommended and executed a series of increasingly complex trades in Margaret's taxable account: initially covered calls on 200 shares of a large-cap utility stock she owned, but quickly escalating to iron condors on the S&P 500 index, short strangles on high-volatility biotech equities, and ultimately naked put writing on a leveraged semiconductor ETF. Margaret did not understand the mechanics of any of these strategies and relied entirely on Derek's assurances that they were 'basically the same thing as collecting rent on a property.' By August 2024, a sudden market correction caused her naked put positions to move deeply in the money. She received a margin call of \$47,000, which she was unable to meet. The firm liquidated her positions at a realized loss of \$61,200 -- roughly one-third of her total life savings. Margaret's account records show she generated approximately \$3,400 in net premium income before the losses, and Derek's firm collected \$8,900 in commissions and fees across 43 options transactions during the five-month period. An internal compliance review later revealed that the firm's options principal had batch-approved 114 new Level 4 options accounts during a single afternoon in March 2024, spending an average of forty-five seconds per application, and had not flagged any inconsistencies between Margaret's stated profile during the phone call and the information Derek entered on the application.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Pallone committed multiple serious violations of applicable regulatory standards, and the firm's supervisory infrastructure failed at every level.

****Options Account Approval Failures (FINRA Rule 2360(b)(16)):** Before approving a customer for options trading, member firms must exercise due diligence to ascertain the essential facts about the customer -- including investment objectives, financial situation, investment experience, and risk tolerance. The registered options principal (ROP) is required to review and individually approve each options account, confirming that the level of authorization is appropriate for the customer's profile. Here, the ROP batch-approved 114 accounts in a single afternoon at approximately 45 seconds per application, which is facially inadequate and constitutes a wholesale failure of supervisory review under FINRA Rules 2360(b)(16)(B) and 3110.

****Falsification of Customer Information:** Derek recorded Margaret's investment objective as 'speculation,' her risk tolerance as 'aggressive,' and her options experience as 'extensive -- more than 10 years,' all of which directly contradicted what she communicated during the intake call. Entering false customer information to obtain a higher options approval level is a violation of FINRA Rule 2360(b)(16)(A)(i)-(ii) and constitutes a violation of just and equitable principles of trade under FINRA Rule 2010. This is consistent with the pattern of account-opening deficiencies described in FINRA Regulatory Notice 21-15, which specifically warned firms about the dangers of approving customers for options strategies inconsistent with their actual profiles.

****Failure to Deliver the OCC Options Disclosure Document:** FINRA Rule 2360(b)(11) requires that the current Options Clearing Corporation (OCC) Options Disclosure Document ('Characteristics and Risks of Standardized Options') be furnished to each customer at or prior to the time the account is approved for options trading. Derek did not provide or confirm delivery of this document to Margaret. This is a standalone violation and also deprived Margaret of material information about the risks of the strategies executed in her account.

****Regulation Best Interest Violations:** Under SEC Regulation BI (17 CFR § 240.15l-1), a broker-dealer must act in the retail customer's best interest at the time of a recommendation and may not place its own interests ahead of the customer's. The Care Obligation requires that the advisor exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile. Naked put writing and short strangles on high-volatility biotech names are among the most aggressive strategies available and carry theoretically unlimited or extremely large loss potential. These strategies are categorically unsuitable for a 71-year-old retired librarian with \$185,000 in total savings, no options experience, conservative risk tolerance, an income-generation objective, and no capacity to absorb margin calls. The escalation from covered calls to naked puts and short strangles, generating \$8,900 in commissions against only \$3,400 in net premium income, further evidences that Derek's recommendations were driven by revenue generation rather than the customer's interest, implicating the Conflict of Interest Obligation under Reg BI.

****FINRA Rule 2360(b)(19) -- Suitability of Options Transactions:** This rule independently requires that every options recommendation be suitable for the particular customer, with specific attention to the customer's financial situation, investment experience, and investment objectives. Level 4 strategies such as uncovered writing are explicitly designated for only the most experienced, well-capitalized, and risk-tolerant customers. Margaret met none of these criteria.

****Likely Regulatory Outcome:** Derek faces potential sanctions including fines, disgorgement of commissions, suspension, or a bar from the industry. The firm faces potential action for supervisory failures under FINRA Rules 3110 and 3120, including the ROP's deficient account approval process. Margaret would likely prevail in a customer arbitration claim for the \$61,200 in realized losses plus commissions paid, and possibly consequential damages. This fact pattern closely mirrors the types of options-related failures that led to FINRA's heightened enforcement focus in the post-2020 retail trading surge, as detailed in Regulatory Notice 21-15.

Item 25 of 350**NON-COMPLIANT****Topic:** failure_to_know_customer**Difficulty:** medium**Source:** 26_Options**Fact Pattern**

Marcus Brennan, a registered representative at Coastal Securities in Tampa, Florida, opened an options trading account in March 2022 for Dolores Vega, a 71-year-old retired school librarian. Mrs. Vega had a fixed annual income of \$34,000 from Social Security and a small pension, liquid savings of approximately \$185,000 in a money market account and CDs, and no prior experience trading securities of any kind. She visited Brennan's office after seeing an advertisement promising 'income-enhancing strategies for retirees.' During their initial meeting, which lasted approximately 25 minutes, Brennan asked Mrs. Vega to complete an account application. Mrs. Vega indicated on the form that her investment objective was 'income' and her risk tolerance was 'conservative.' She told Brennan she wanted to earn a little more interest than her CDs were paying but could not afford to lose her savings, as they represented her emergency fund and supplemental retirement cushion. Brennan noted on the options account application that Mrs. Vega had '2 years options experience' and an 'aggressive' risk tolerance, which contradicted what she had stated verbally and on her general brokerage application. He approved her for Level 3 options trading, which permitted uncovered put writing and spread strategies. Brennan did not provide Mrs. Vega with the standardized options risk disclosure booklet prior to or at the time of account approval. Over the following four months, Brennan executed 37 options trades in Mrs. Vega's account, including selling uncovered puts on volatile technology stocks such as Shopify and Roku. By August 2022, a series of put assignments resulted in Mrs. Vega being forced to purchase shares she could not afford to hold. Her account declined from \$185,000 to \$97,400, a loss of \$87,600. When Mrs. Vega called the firm to complain, she told the branch manager she had never heard of a 'naked put' and did not understand what had happened to her money. A subsequent internal review revealed that no updated financial profile had been obtained after the initial meeting, no options disclosure document delivery was documented, and the options approval form contained information inconsistent with Mrs. Vega's general new account form.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Marcus Brennan committed multiple serious violations related to options account approval, customer knowledge, and suitability. Under FINRA Rule 2360(b)(16), a member firm must exercise due diligence to ascertain the essential facts about every customer prior to approving an options account, including the customer's investment objectives, financial situation, investment experience, and the nature of other investments. Brennan failed to accurately capture Mrs. Vega's profile: she verbally stated and documented on her general account application that she was conservative with an income objective and had no securities experience, yet Brennan's options application falsely recorded 2 years of options experience and an aggressive risk tolerance. This falsification of customer information is a direct violation of the know-your-customer requirements embedded in FINRA Rules 2360 and 2090.

Further, FINRA Rule 2360(b)(16)(B) and the OCC Options Disclosure Document (ODD) delivery requirements mandate that a copy of the current ODD be provided to every customer at or before the time the account is approved for options trading. The internal review confirmed no ODD delivery was documented, which constitutes an independent violation.

Under Regulation Best Interest's Care Obligation (17 CFR 240.15I-1), Brennan had a duty to exercise reasonable diligence, care, and skill in recommending options strategies, and to have a reasonable basis to believe that the recommendations were in Mrs. Vega's best interest based on her actual profile. Level 3 options authorization--permitting uncovered put writing--is categorically unsuitable for a 71-year-old conservative retiree with limited income, no investment experience, and savings that represent her financial safety net. Naked put selling carries substantial risk of loss, including the obligation to purchase shares at prices far above market value, which is exactly what occurred here.

FINRA Regulatory Notice 21-15 specifically addressed heightened concerns regarding options account approvals, emphasizing that firms must have robust supervisory systems to evaluate whether options approval levels are consistent with customer profiles and that approval should not be automated or rubber-stamped without meaningful review. The inconsistency between Vega's general account form and her options application should have been caught by supervisory review.

The likely regulatory outcome includes disgorgement of commissions, restitution to Mrs. Vega for the \$87,600 in losses, a fine against both Brennan and the firm, a potential suspension or bar for Brennan based on the falsification of customer records, and heightened supervisory requirements imposed on the firm. The firm itself faces liability under FINRA Rule 2360(b)(16)(C) for failing to supervise the options approval process and for failing to detect the conflicting account documentation.

Item 26 of 350**NON-COMPLIANT**

Topic: inappropriate_risk_profile

Difficulty: medium

Source: 26_Options

Fact Pattern

Margaret Colvin, age 71, is a retired elementary school teacher in Tucson, Arizona. She has a fixed annual income of \$38,000 from her pension and Social Security, liquid savings of \$185,000 in a money market account, and an IRA valued at \$310,000 invested primarily in Treasury bonds and investment-grade municipal bond funds. She has no prior experience trading options or any leveraged products. In March 2023, Margaret visited the branch office of her brokerage firm to discuss ways to generate a modest amount of additional income from her IRA without jeopardizing her principal. Her advisor, Kevin Hartwell, age 34, suggested that selling cash-secured put options on large-cap stocks would be a conservative way to collect premium income. Kevin completed Margaret's new options account application, listing her risk tolerance as 'moderate' and her investment objective as 'speculation,' even though Margaret told him she was conservative and simply wanted income. Kevin approved her account for Level 3 options trading, which at the firm permitted naked put writing, spreads, and straddles. He did not provide Margaret with the standardized options disclosure document before her first trade. Over the next five months, Kevin executed 47 short put option trades in Margaret's IRA on volatile technology and biotech stocks, including positions on companies like a mid-cap semiconductor firm and an early-stage pharmaceutical company. Many of the puts were written at strike prices close to the money with expirations of one to two weeks. In August 2023, several positions were assigned during a market downturn, forcing Margaret's account to purchase approximately \$127,000 worth of stock in three speculative companies. By October 2023, those stock positions had declined in value by 41%, resulting in unrealized losses of approximately \$52,000. Margaret's total IRA value fell from \$310,000 to \$244,000. Margaret states she never understood what a put option was, was never told she could be forced to buy stock, and believed Kevin was simply placing conservative income trades.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Kevin Hartwell committed multiple serious violations across several regulatory frameworks.

****Options Account Approval Failures (FINRA Rule 2360(b)(16)):** Before approving a customer for options trading, a registered representative and a Registered Options Principal (ROP) must exercise due diligence to learn the essential facts about the customer, including investment objectives, financial situation, investment experience, and risk tolerance. Kevin deliberately mischaracterized Margaret's risk tolerance as 'moderate' and her investment objective as 'speculation' when she explicitly stated she was conservative and sought income. Approving a 71-year-old retired teacher with no options experience for Level 3 options trading -- which includes naked put writing -- is a clear failure of the account approval process. The firm's supervisory system also failed if an ROP reviewed and approved this application without flagging the inconsistencies.

****Failure to Deliver the OCC Options Disclosure Document:** Under FINRA Rule 2360(b)(11), the OCC's 'Characteristics and Risks of Standardized Options' disclosure document must be provided to the customer at or before the time the account is approved for options trading. Kevin did not provide this document to Margaret before her first

trade, depriving her of the opportunity to understand the fundamental risks, including assignment risk.

****Suitability and Reg BI Violations (FINRA Rule 2111; Regulation Best Interest):**** Under Reg BI's Care Obligation, an advisor must have a reasonable basis to believe that a recommendation is in the customer's best interest based on the customer's investment profile. Writing short puts on volatile technology and biotech stocks is an aggressive, speculative strategy wholly inconsistent with Margaret's conservative risk tolerance, her fixed-income investment history, her age, her limited liquid net worth, and her complete lack of options experience. Even cash-secured puts on speculative underlying securities carry the risk of forced stock acquisition at unfavorable prices, which is exactly what occurred. The 47 trades in five months also raise concerns about excessive trading (quantitative suitability).

****FINRA Regulatory Notice 21-15 Considerations:**** This notice specifically highlighted concerns about options account approvals in the wake of increased retail participation, emphasizing that firms must have robust systems to evaluate whether customers truly understand options risks and whether approved trading levels are appropriate for the customer's profile. Margaret's case is a textbook example of the deficiencies the notice was designed to address.

****Likely Regulatory Outcome:**** Kevin faces potential sanctions including fines, suspension, or a bar from the industry. The firm faces potential fines for supervisory failures under FINRA Rules 3110 and 2360(b)(20). Margaret would likely prevail in an arbitration claim for compensatory damages of approximately \$66,000 (the decline from \$310,000 to \$244,000), plus potential fees and costs. The case closely mirrors recent enforcement actions in the post-Robinhood era targeting inadequate options account approvals and unsuitable options recommendations to inexperienced retail investors.

Item 27 of 350

NON-COMPLIANT

Topic: excessive_churning

Difficulty: hard

Source: 26_Options

Fact Pattern

Gerald Whitfield, age 58, is a semi-retired mechanical engineer who transitioned to part-time consulting in 2021. He has an annual income of approximately \$95,000, a brokerage account valued at \$340,000, a 401(k) worth \$620,000, and a home valued at \$475,000 with no mortgage. Gerald's stated investment objectives on his new account form were income generation and capital preservation, and he indicated a moderate risk tolerance. He had limited prior experience with options--he had sold a handful of covered calls on stock positions at a previous brokerage over a five-year period. His advisor, Marcus Daly, at a mid-sized broker-dealer, approved Gerald for Level 3 options trading, which permitted spreads, straddles, and uncovered writing, after a 15-minute phone conversation in which Marcus described options as 'a great way to boost your retirement income.' Gerald signed the options agreement and acknowledged receiving the options disclosure document electronically, though he later stated he never opened the PDF.

Between March 2022 and February 2023, Marcus executed 287 options trades in Gerald's account, predominantly short-dated weekly SPX and SPY options including iron condors, strangles, and butterfly spreads. The average holding period for positions was 2.3 days. Total commissions and fees generated during this twelve-month period were \$47,200, representing approximately 13.9% of the account's average equity. Gerald's account experienced a net loss of \$61,400 during this period. Many positions were closed and immediately replaced with nearly identical strategies at slightly different strike prices--sometimes on the same trading day. Marcus's internal notes characterized the activity as 'active income generation per client request,' but the firm's trade blotter showed that Gerald initiated contact on only 14 occasions during the year, while Marcus placed trades on 193 separate trading days. Gerald's quarterly statements showed the cumulative losses, but Marcus reassured Gerald during their periodic calls that 'the strategy needs time to work' and that 'drawdowns are normal with income strategies.' In March 2023, Gerald reviewed his annual tax documents and discovered the extent of his losses and the commissions paid. He filed a complaint with the firm, which was denied after an internal review that lasted two weeks. Gerald subsequently retained an attorney.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Marcus Daly violated multiple regulatory standards governing options suitability, account approval, and excessive trading (churning).

****Options Account Approval Failures (FINRA Rule 2360(b)(16)):** The approval of Gerald for Level 3 options trading--which includes uncovered writing and complex multi-leg strategies--was inappropriate given his limited options experience (only basic covered calls), his moderate risk tolerance, and his stated objectives of income generation and capital preservation. FINRA Rule 2360 requires that a member firm exercise due diligence to learn the essential facts about a customer before approving options trading, including investment experience, financial situation, and investment objectives. A 15-minute phone call was insufficient due diligence for approving a customer with Gerald's profile for advanced options strategies. The OCC Options Disclosure Document must be provided and its receipt confirmed

before options trading begins; while it was sent electronically, the advisor made no effort to ensure Gerald understood its contents.

****Excessive Trading/Churning:**** The 287 trades over 12 months, with a turnover rate and cost-to-equity ratio of approximately 13.9%, strongly indicate churning. Under FINRA Rule 2111 (quantitative suitability) and Regulation Best Interest's care obligation, an advisor must have a reasonable basis that the frequency and volume of transactions are suitable and in the customer's best interest. A cost-to-equity ratio above 6-8% has historically been viewed by FINRA and courts as presumptive evidence of excessive trading, and 13.9% far exceeds that threshold. The 2.3-day average holding period, the pattern of closing and immediately reopening nearly identical positions, and the fact that Marcus--not Gerald--initiated the vast majority of trading activity all point to churning.

****FINRA Regulatory Notice 21-15 Concerns:**** RN 21-15 specifically addresses options account opening and approval, emphasizing that firms must have robust supervisory systems to evaluate whether complex options strategies are appropriate for retail customers. The firm's approval of Level 3 options for a customer with Gerald's profile, combined with a cursory approval process, reflects a failure of the supervisory framework contemplated by RN 21-15.

****Reg BI Violations:**** Under Regulation Best Interest, Marcus had a care obligation to exercise reasonable diligence, care, and skill in making recommendations, and to consider reasonably available alternatives. The strategy employed--frequent short-dated complex options trades generating nearly \$47,200 in commissions against an account averaging roughly \$340,000--was not in Gerald's best interest. The cost component alone made it virtually impossible for the strategy to achieve Gerald's stated objectives of income and capital preservation.

****Likely Regulatory Outcome:**** Marcus faces potential sanctions including fines, disgorgement of commissions, suspension, or barment. The firm faces supervisory failure charges under FINRA Rules 3110 and 2360 for inadequate oversight of both the account approval and the trading activity. Gerald would likely prevail in a FINRA arbitration claim for churning and unsuitability, with potential recovery of losses (\$61,400) plus commissions (\$47,200), and potentially consequential damages.

Item 28 of 350**NON-COMPLIANT****Topic:** inappropriate_risk_profile**Difficulty:** medium**Source:** 26_Options**Fact Pattern**

Margaret Kowalski, age 71, is a retired elementary school teacher living in Dayton, Ohio, on a fixed income of approximately \$3,200 per month from her pension and Social Security. She has a total liquid net worth of \$185,000, nearly all of which is held in a traditional IRA that she relies on for supplemental income to cover medical expenses and property taxes. She has no prior experience trading options or any leveraged products, and her investment history consists solely of holding a target-date retirement fund and a certificate of deposit at her local bank. In March 2023, Mrs. Kowalski met with Kevin Braddock, a registered representative at Meridian Financial Partners, after attending a free dinner seminar titled "Boosting Your Retirement Income in Uncertain Times." During the seminar and the subsequent one-on-one meeting, Braddock told Mrs. Kowalski that she could safely generate an extra \$800 to \$1,200 per month in income by selling weekly put options on high-volatility technology stocks such as Tesla and Nvidia inside her IRA. Braddock described the strategy as "basically like collecting rent" and compared it to owning dividend-paying stocks. He did not provide her with the Options Disclosure Document or discuss the risk of assignment, and he characterized the maximum loss as "very unlikely." On the new account application, Braddock listed Mrs. Kowalski's risk tolerance as "aggressive," her investment objective as "speculation," her annual income as \$65,000 (more than double her actual income), and her liquid net worth as \$400,000. He approved her for Level 3 options trading, which permitted uncovered put writing. Mrs. Kowalski signed the forms without fully understanding them, trusting Braddock's characterization. Over the next four months, Braddock executed 47 short put trades in her IRA. Initially, she collected approximately \$4,600 in premiums. However, in late June and July 2023, several positions moved sharply against her. She was assigned on five contracts in Tesla during a week when the stock dropped 12%, forcing purchases totaling \$87,500 in her \$185,000 account. Unable to hold the assigned shares and needing liquidity, the positions were closed at a realized loss of \$23,400. By August 2023, Mrs. Kowalski's IRA had declined from \$185,000 to \$146,200, a loss of nearly \$38,800, or 21% of her retirement savings. She contacted the branch manager after receiving her quarterly statement and expressed shock at the losses, stating she had never agreed to speculative trading and did not understand what a put option was.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Braddock committed multiple serious violations. First, under FINRA Rule 2360(b)(16), a member firm must exercise due diligence to ascertain the essential facts about a customer before approving an options account, including the customer's financial situation, investment experience, and investment objectives. Braddock materially falsified Mrs. Kowalski's account application by inflating her income from approximately \$38,400 to \$65,000 and her liquid net worth from \$185,000 to \$400,000, and by listing her risk tolerance as 'aggressive' and objective as 'speculation' when she was a conservative, income-dependent retiree with no options experience. This constitutes a failure in the account approval process and potentially a separate violation for falsifying records.

Second, under OCC rules and industry practice codified through FINRA Rule 2360(b)(11), the Options Disclosure Document (ODD) must be provided to the customer at or before the time the account is approved for options trading.

Braddock's failure to deliver the ODD deprived Mrs. Kowalski of the standardized risk disclosures she was entitled to receive, a standalone violation.

Third, the strategy itself--selling weekly uncovered puts on highly volatile technology stocks in the IRA of a 71-year-old retired teacher with no options experience, limited income, and moderate savings--is patently unsuitable under FINRA Rule 2360(b)(19) and Regulation Best Interest's care obligation. The strategy exposed her to substantial downside risk (theoretically the full value of the underlying stock less the premium received) in an account that constituted essentially all of her investable assets and that she depended on for living expenses. FINRA Regulatory Notice 21-15 specifically highlights concerns about firms approving customers for complex options strategies without adequate due diligence into their actual financial profiles and experience levels, and warns against the gamification and oversimplification of options risk--exactly what Braddock did by comparing short put selling to 'collecting rent.'

Fourth, the volume of trading (47 trades in four months) in a small retirement account further supports a finding of unsuitability and potentially excessive trading.

The likely regulatory outcome would include disgorgement of commissions, restitution of losses to the customer, a fine against both Braddock and the supervising firm, potential suspension or bar of Braddock, and heightened supervisory requirements imposed on Meridian Financial Partners for its failure to supervise the options account approval process. The branch manager and/or registered options principal who approved the account could also face individual liability for failing to meaningfully review the application against available customer information.

Item 29 of 350**NON-COMPLIANT**

Topic: senior_investor_exploitation

Difficulty: hard

Source: 26_Options

Fact Pattern

Margaret Halloran, age 79, is a retired elementary school teacher living in Tucson, Arizona. She has a fixed monthly income of \$2,800 from Social Security and a small pension. Her total liquid net worth is approximately \$340,000, held primarily in a rollover IRA that she accumulated over 35 years of teaching. She has no other significant assets besides her home, which is paid off, and she lists her investment objective as 'preservation of capital and income generation.' On her new account form at Ridgeline Securities, she indicated 'limited' investment experience, having only ever owned mutual funds and certificates of deposit. Her stated risk tolerance was 'low,' and she noted that she could not afford to lose more than 10% of her portfolio without material impact to her standard of living.

In March 2023, her financial advisor, Derek Simmons (age 34, three years of experience), recommended that Margaret apply for Level 3 options trading approval on her IRA account, which would permit strategies including selling uncovered (naked) put options and multi-leg spread strategies. Simmons told Margaret that selling put options on 'quality blue-chip stocks' was essentially 'like getting paid to wait to buy stocks you'd want to own anyway' and described it as a 'conservative income strategy.' He told her it was 'safer than owning the stock outright.' He did not provide her with the Options Disclosure Document prior to or at the time of account approval.

The branch manager, Patricia Yuen, approved Margaret's Level 3 options application within two hours of submission, despite the account paperwork clearly reflecting Margaret's low risk tolerance, limited experience, preservation-of-capital objective, and advanced age. There is no documentation in the file reflecting any supervisory analysis of why Level 3 approval was appropriate for this customer profile, and no record that the branch conducted a follow-up conversation with Margaret.

Between April and September 2023, Simmons executed 47 short put transactions in Margaret's IRA, primarily on technology and biotech stocks including positions in Nvidia, Tesla, and several small-cap biotech companies. Many of the puts were written at strike prices close to the current market price (at-the-money), requiring substantial margin or cash reserves. In August 2023, a sharp pullback in technology stocks resulted in multiple assignments, forcing Margaret's account to purchase over \$185,000 worth of volatile tech and biotech shares. By October 2023, the account had declined to \$204,000 -- a loss of approximately \$136,000, or 40% of her liquid net worth. Margaret discovered the losses when she attempted to take her annual required minimum distribution and found her account balance dramatically reduced.

Simmons generated approximately \$14,200 in commissions from the options activity during this six-month period. Margaret filed a written complaint with the firm in November 2023, stating she never understood what options were, was never given any disclosure document, and believed her money was being invested conservatively in 'income-producing accounts.'

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, this fact pattern presents multiple serious violations by both the financial advisor and the supervising branch manager.

****Options Account Approval Failures:****

Under FINRA Rule 2360(b)(16), a member firm must exercise due diligence to learn essential facts about a customer before approving an options account, including investment objectives, financial situation, investment experience, and the nature of the account (here, a retirement IRA). The branch manager, Patricia Yuen, approved Level 3 options trading -- which includes uncovered put writing -- for a 79-year-old retiree with limited investment experience, low risk tolerance, a preservation-of-capital objective, and complete financial dependence on her portfolio and fixed income. Level 3 approval for this customer profile is facially unreasonable, and the absence of any documented supervisory rationale for the approval constitutes a supervisory failure under FINRA Rule 2360(b)(16)(B), which requires a designated registered options principal (ROP) to approve accounts based on specific due diligence criteria.

****Failure to Deliver OCC Options Disclosure Document:****

FINRA Rule 2360(b)(11)(A) requires that the current Options Disclosure Document (ODD), published by the Options Clearing Corporation, be provided to the customer at or prior to the time the account is approved for options trading. Simmons failed to deliver the ODD to Margaret, depriving her of the standardized risk disclosures mandated by regulation. This is an independent violation.

****Suitability and Reg BI Violations:****

Under FINRA Rule 2360(b)(19) and Regulation Best Interest (Reg BI, 17 CFR § 240.15l-1), the advisor must have a reasonable basis for believing that options recommendations are suitable for the specific customer. Selling short puts -- particularly at-the-money puts on volatile technology and biotech stocks -- in the IRA of a 79-year-old retiree with low risk tolerance and a preservation-of-capital objective is patently unsuitable. The strategy exposed Margaret to the obligation to purchase volatile equities at prices near market highs, which is antithetical to capital preservation. The Reg BI Care Obligation required Simmons to exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile, and to have a reasonable basis for believing the recommendations were in the customer's best interest. This standard was clearly violated.

FINRA Regulatory Notice 21-15 specifically reminded firms of their obligations regarding options account opening, approval, and supervision, emphasizing that the surge in retail options trading (the so-called 'Robinhood era') required heightened attention to customer profiles, particularly for complex strategies. The Notice highlighted that firms must not approve options strategies that are inconsistent with the customer's stated objectives and risk tolerance.

****Senior Investor Exploitation:****

Margaret's age, limited sophistication, and financial vulnerability place this squarely within the category of senior investor exploitation that regulators have prioritized. The concentration of activity (47 trades in six months), the generation of \$14,200 in commissions, and the ultimate 40% loss of liquid net worth in a retirement account for a 79-year-old on fixed income are aggravating factors.

****Likely Regulatory Outcome:****

Simmons would likely face significant sanctions including fines, disgorgement of commissions, suspension, or a bar from the industry. The branch manager, Yuen, would likely face supervisory failure charges under FINRA Rules 3110 and 2360(b)(16)(B) for rubber-stamping an obviously inappropriate options approval. The firm, Ridgeline Securities, could face fines, restitution orders, and enhanced supervisory requirements. Margaret would likely be awarded restitution through arbitration or a regulatory proceeding. This is a textbook example of an unsuitable options recommendation combined with a supervisory approval failure and a failure to deliver required disclosure documents.

Item 30 of 350**NON-COMPLIANT****Topic:** options_unsuitable**Difficulty:** medium**Source:** 26_Options**Fact Pattern**

Margaret Kowalski, age 67, is a retired elementary school teacher living in suburban Cleveland, Ohio. She has a pension providing \$3,200 per month, Social Security income of \$1,900 per month, and a rollover IRA valued at \$410,000 that represents her primary liquid savings. She also maintains a checking account with approximately \$12,000. Mrs. Kowalski has no mortgage but carries \$4,500 in credit card debt. Her investment experience consists solely of owning a target-date mutual fund through her former employer's 403(b) plan and a certificate of deposit at her local bank. She has never traded individual stocks or any derivative products. On her new account form at Ridgeline Financial Services, she indicated her investment objective as 'income and capital preservation,' her risk tolerance as 'conservative,' and her time horizon as '5-10 years.' She told her advisor, Derek Simmons, that she wanted her IRA to generate some additional monthly income to help cover rising healthcare costs and occasional travel to visit her grandchildren.

In March 2023, Simmons recommended that Mrs. Kowalski open an options trading account. He told her that selling options was 'basically like collecting rent on stocks you already own or want to own' and that it was a safe way to boost her monthly income by \$800 to \$1,200. Without providing her with the standardized options disclosure document or waiting for her to review it, Simmons had her sign the options agreement and immediately upgraded her account to Level 3 options approval, which permitted naked put writing, spreads, and straddles. His branch manager approved the options application the same day without conducting an independent review or speaking with Mrs. Kowalski.

Over the following five months, Simmons executed 47 options trades in her IRA. Initially, he sold covered calls on blue-chip stocks he purchased for her account. However, by May 2023, he had transitioned to selling naked puts on volatile technology and biotech stocks, including positions on three companies with market capitalizations under \$2 billion. In July 2023, he began placing short straddles on earnings announcements. On August 14, 2023, a biotech company whose stock Mrs. Kowalski had sold naked puts on announced a failed drug trial, and the stock dropped 62% overnight. She was assigned on the puts and forced to purchase 500 shares at \$85 per share when the market price was \$32.30. The total loss on that single position was \$26,350. By September 2023, Mrs. Kowalski's IRA had declined from \$410,000 to \$298,000, a loss of approximately \$112,000 or 27.3%. Commissions and fees on the options trades totaled \$6,400. When Mrs. Kowalski called Simmons in distress after receiving her September statement, he told her the losses were 'temporary' and recommended she sell additional naked puts to 'recover the losses faster.' She subsequently filed a written complaint with Ridgeline's compliance department.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Simmons committed multiple serious violations of applicable regulatory standards.

****Options Account Approval Failures:****

Under FINRA Rule 2360(b)(16), a member firm must exercise due diligence to ascertain the essential facts about a

customer before approving an options account. The firm must consider the customer's investment objectives, financial situation, investment experience, and other relevant information. Approving Mrs. Kowalski for Level 3 options trading -- which includes naked put writing and straddles -- was wholly inappropriate given her conservative risk tolerance, income-and-preservation objectives, lack of any options or individual stock experience, and dependence on the IRA as her primary liquid asset. The branch manager's same-day approval without independent review or customer contact represents a failure of the supervisory approval process required under FINRA Rule 2360(b)(16)(B).

****Failure to Deliver the OCC Options Disclosure Document:****

FINRA Rule 2360(b)(11)(A)(1) requires that the current Options Clearing Corporation Disclosure Document ('Characteristics and Risks of Standardized Options') be furnished to each customer at or prior to the time the account is approved for options trading. Simmons failed to provide this document to Mrs. Kowalski, depriving her of the standardized risk disclosures she was entitled to before trading commenced.

****Suitability and Regulation Best Interest Violations:****

Under Regulation Best Interest's Care Obligation and FINRA Rule 2111, a broker-dealer and its associated persons must have a reasonable basis for believing that a recommendation is in the customer's best interest based on the customer's investment profile. Naked put writing on volatile small-cap biotech and technology stocks and short straddles around earnings announcements are among the highest-risk options strategies available. These strategies expose the customer to substantial or theoretically unlimited losses. Recommending these strategies to a 67-year-old retired teacher with conservative risk tolerance, no options experience, an income objective, and reliance on this account for retirement healthcare expenses fails both the reasonable-basis and customer-specific suitability requirements.

****FINRA Regulatory Notice 21-15 Considerations:****

FINRA RN 21-15 specifically reminded member firms of their obligations regarding options account opening, approval, and supervision, particularly in the context of the expansion of self-directed and digital account approval processes. The notice emphasized that firms must have robust supervisory systems to prevent approval of complex options strategies for customers whose profiles do not support such trading. The perfunctory same-day approval without meaningful review is precisely the type of deficiency the notice targeted.

****Quantitative Unsuitability:****

The 47 options trades over five months in a \$410,000 retirement account, generating \$6,400 in commissions and fees, raises additional concerns about excessive trading under FINRA Rule 2111.05(c).

****Post-Loss Recommendation:****

Simmons's recommendation to sell additional naked puts to 'recover losses faster' after Mrs. Kowalski had already lost \$112,000 compounds the suitability violations and reflects a disregard for the customer's interests.

****Likely Regulatory Outcome:****

Simmons would likely face significant sanctions including fines, disgorgement of commissions, suspension or bar from the industry. The firm, Ridgeline Financial Services, faces liability for supervisory failures under FINRA Rules 3110 and 3120 and potential customer restitution. Mrs. Kowalski would likely prevail in arbitration seeking recovery of her approximately \$112,000 in losses plus commissions.

Item 31 of 350**NON-COMPLIANT****Topic:** senior_investor_exploitation**Difficulty:** medium**Source:** 27_Private_Placements_DPPs**Fact Pattern**

Margaret Dawson, age 79, is a retired schoolteacher living in Tucson, Arizona. She has a fixed annual income of \$38,000 from Social Security and a modest state pension. Her total liquid net worth is approximately \$310,000, held primarily in certificates of deposit and a small balanced mutual fund at her local brokerage branch. She has no other real estate beyond her paid-off home, valued at approximately \$185,000. Her stated investment objectives on file are capital preservation and income generation, and her risk tolerance is documented as conservative. She has no prior experience investing in alternative or illiquid products. In March 2022, her financial advisor, Kevin Roark, age 34, recommended that Margaret invest \$125,000--roughly 40% of her liquid assets--into a non-traded real estate investment trust called Meridian Healthcare Properties REIT, which focused on acquiring skilled nursing facilities and medical office buildings. The REIT carried a minimum seven-year holding period with no guaranteed redemption program, upfront fees totaling 12% (including selling commissions, dealer manager fees, and offering and organizational expenses), and distributed a stated annual yield of 6.5%, though the prospectus disclosed that distributions could be funded in part from offering proceeds rather than operating cash flow. Roark told Margaret that the investment was 'like owning real estate without the hassle' and that the 6.5% distribution would supplement her pension income reliably. He did not discuss the illiquidity risk, the lack of a secondary market, the possibility that distributions could constitute a return of her own capital, or the impact of the 12% front-end load on her principal. Roark's branch office had a revenue-sharing arrangement with the REIT's sponsor, and Roark personally received a 7% commission on the sale. Roark did not present any alternative income-generating investments such as investment-grade bond funds, dividend equity funds, or Treasury securities. By late 2023, the REIT suspended its distribution payments and announced it was exploring strategic alternatives after several of its nursing facility tenants defaulted on leases. Margaret's account statement showed her \$125,000 investment valued at approximately \$68,000, and she had no ability to liquidate the position. She filed a complaint in January 2024 stating that Roark never explained the risks and that she would never have agreed to lock up nearly half her savings in something she could not access.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Roark committed multiple violations of applicable regulatory standards.

1. ****FINRA Rule 2111 (Suitability):**** Under the quantitative, reasonable-basis, and customer-specific suitability obligations, Roark was required to have a reasonable basis for believing the recommendation was suitable for Margaret given her specific financial situation and needs. Margaret was a 79-year-old retiree with conservative risk tolerance, a capital preservation objective, limited liquid assets (\$310,000), and no experience with alternative investments. Recommending that she concentrate approximately 40% of her liquid net worth in a single illiquid, non-traded REIT with a seven-year holding period and significant front-end costs is facially unsuitable for this customer profile. The customer-specific suitability prong of Rule 2111 was clearly violated.

2. **FINRA Regulatory Notice 10-22 (Reasonable Investigation Duty for Private Placements and DPPs):** RN 10-22 requires that broker-dealers and their registered representatives conduct a reasonable investigation of the securities they recommend, including an analysis of the issuer's financial condition, the risks of the offering, the use of proceeds, and the front-end costs. Roark failed to disclose or investigate whether the distributions were supported by actual operating income or were being funded by return of capital from offering proceeds--a critical red flag identified in numerous non-traded REIT enforcement actions. His characterization of the product as 'like owning real estate without the hassle' was materially misleading and omitted the substantial risks of illiquidity, capital loss, and distribution sustainability.

3. **Regulation Best Interest (Reg BI, Rule 15l-1):** Under the Care Obligation of Reg BI, Roark was required to exercise reasonable diligence, care, and skill in making this recommendation, considering the investment's risks, rewards, and costs in light of Margaret's profile. He was also required to consider reasonably available alternatives. Roark failed to present any alternative income-generating products--such as investment-grade bond funds, Treasury securities, or dividend-paying equity funds--that would have been far more appropriate for a conservative 79-year-old investor seeking income and capital preservation. Under the Disclosure Obligation, he failed to disclose the material conflict of interest arising from his 7% personal commission and the branch's revenue-sharing arrangement with the REIT sponsor. Under the Conflict of Interest Obligation, the firm failed to establish, maintain, and enforce policies to mitigate the incentive created by the enhanced commission structure.

4. **FINRA Rule 2010 (Standards of Commercial Honor):** Roark's conduct--making materially misleading statements, omitting critical risk disclosures, and recommending a concentrated illiquid position to a vulnerable senior investor for the purpose of generating substantial commission income--falls below the standards of commercial honor and just and equitable principles of trade.

5. **NASAA Guidance on DPP Suitability:** State regulators have consistently identified concentration of illiquid DPP or non-traded REIT investments exceeding 10% of a customer's liquid net worth as presumptively unsuitable, particularly for senior investors. Margaret's 40% concentration far exceeds any reasonable threshold.

Likely Regulatory Outcome: Roark faces potential sanctions including fines, disgorgement of commissions, suspension or bar from the industry, and the firm faces supervisory failure charges. Margaret would likely prevail in arbitration seeking compensatory damages for the approximately \$57,000 loss plus the ongoing illiquidity harm. The pattern here closely mirrors enforcement trends seen in non-traded REIT cases involving senior investors, where regulators and arbitration panels have consistently found liability for advisors who placed elderly, conservative clients into illiquid alternative products at high concentrations without adequate disclosure or investigation.

Item 32 of 350**NON-COMPLIANT**

Topic: high_fees_unsuitable

Difficulty: medium

Source: 27_Private_Placements_DPPs

Fact Pattern

Margaret Dawson, age 71, is a retired elementary school teacher in Tulsa, Oklahoma, with a fixed annual income of \$42,000 from her pension and Social Security. Her total liquid net worth is approximately \$310,000, held primarily in a rollover IRA and a modest brokerage account. She has no other significant assets besides her home, which is paid off. Margaret has consistently described herself as a conservative investor with a primary objective of capital preservation and generating supplemental income to cover medical expenses and property taxes. She has no prior experience with alternative investments or private securities.

In March 2022, her financial advisor, Kevin Stadler, recommended that Margaret invest \$125,000--roughly 40% of her liquid net worth--into a non-traded real estate investment trust called Meridian Healthcare REIT III. Kevin explained the product as a "safe real estate income fund" that paid a 6.5% annualized distribution. He told Margaret that the investment was "similar to owning rental property without the hassle" and emphasized the monthly income checks she would receive.

Kevin did not explain, and the account documentation did not prominently disclose to Margaret, that the total upfront costs associated with the investment were approximately 15%, broken down as follows: a 7% selling commission paid to Kevin's broker-dealer, a 3% dealer manager fee, and approximately 5% in offering and organizational expenses. This meant that of Margaret's \$125,000 investment, only approximately \$106,250 was actually deployed into real estate assets. Kevin also did not meaningfully discuss the fact that the REIT had no established public trading market, carried a minimum recommended holding period of seven years, and that any early redemption--available only after a one-year lock-up--would be subject to significant penalties and was limited to a small quarterly redemption pool that the REIT's board could suspend at its discretion.

By October 2023, Meridian Healthcare REIT III suspended its distribution payments and announced a revised estimated net asset value that reflected a 30% decline from the original offering price. Margaret, now 72, needed access to funds for an unexpected \$18,000 roof repair and discovered she could not liquidate her position. She filed a complaint with her broker-dealer in December 2023, stating she was never told the investment was illiquid, that the fees were so high, or that she could lose a significant portion of her principal. Kevin's notes in the client file contained a signed general acknowledgment form but no documented discussion of the fee structure, liquidity restrictions, or why such a concentrated illiquid position was appropriate for a 71-year-old retiree living on a fixed income with limited savings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Stadler violated multiple applicable regulatory standards in recommending this non-traded REIT to Margaret Dawson.

****FINRA Rule 2111 (Suitability):**** This rule requires that a broker have a reasonable basis to believe a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. There are three component obligations:

1. ***Reasonable-Basis Suitability:** The advisor must perform adequate due diligence on the product itself. FINRA Regulatory Notice 10-22 specifically addresses this duty in the context of private placements and other complex products, requiring member firms and their associated persons to conduct a reasonable investigation of the securities they recommend. Non-traded REITs carry significant risks--illiquidity, high upfront costs that erode returns, distribution sustainability risk, and valuation uncertainty. Kevin's characterization of the product as a 'safe real estate income fund' suggests he either failed to understand these risks or deliberately minimized them. His failure to discuss the 15% total load, the lack of a secondary market, and the conditional and limited redemption program strongly indicates inadequate product-level diligence.

2. ***Customer-Specific Suitability:** Margaret was a 71-year-old retiree with \$310,000 in liquid assets, a fixed income of \$42,000, conservative risk tolerance, capital preservation objectives, and no experience with alternative investments. Recommending that she place 40% of her liquid net worth into an illiquid, high-fee product with a seven-year recommended hold and no guaranteed liquidity mechanism is facially unsuitable. Her age and reliance on her savings for unexpected expenses (as evidenced by the roof repair) created a clear need for liquidity that this investment could not provide. NASAA guidance on non-traded REITs and direct participation programs has historically recommended concentration limits--many states impose a 10% liquid net worth cap for non-traded REIT investments. A 40% allocation dramatically exceeds any reasonable threshold.

3. ***Quantitative Suitability:** While this is typically applied to excessive trading, the 15% upfront cost load is relevant to the overall suitability analysis. The customer needed to earn back 15% in gains merely to break even, which is inconsistent with a conservative, income-oriented profile.

****Regulation Best Interest (Rule 15l-1):**** If Kevin was acting as a broker-dealer representative after June 30, 2020 (which he was, given the March 2022 recommendation), Reg BI's Care Obligation required him to exercise reasonable diligence, care, and skill in making the recommendation, considering the investment's risks, rewards, and costs, and the customer's investment profile. He was required to have a reasonable basis to believe the recommendation was in the customer's best interest and did not place his own financial interest ahead of the customer's. The 7% selling commission created an obvious financial incentive that appears to have driven the recommendation. The Disclosure Obligation under Reg BI required full and fair disclosure of all material facts about the recommendation, including conflicts of interest--Kevin's failure to explain the fee structure and illiquidity terms violated this component. The Conflict of Interest Obligation required the firm to have policies to identify and mitigate conflicts arising from compensation; recommending the highest-commission product to a conservative retiree without documented mitigation is a clear failure.

****FINRA Rule 2010 (Standards of Commercial Honor):**** Kevin's misleading characterization of the REIT as 'safe' and 'similar to owning rental property' while omitting the 15% cost load, illiquidity, and risk of principal loss constitutes conduct inconsistent with just and equitable principles of trade.

****FINRA RN 10-22 (Reasonable Investigation):**** This notice emphasizes that broker-dealers and their representatives have an affirmative obligation to investigate the issuer, its management, the business prospects, the assets held, the claims being made, and the risks of the security before recommending it. The duty is heightened for unregistered, illiquid products like non-traded REITs. Kevin's notes reflect no such investigation, and his sales pitch suggests he relied solely on marketing materials.

****Likely Regulatory Outcome:**** Kevin and his firm face significant exposure. Precedent from enforcement actions

involving non-traded REITs (including GPB Capital-related cases, where firms were sanctioned for inadequate due diligence on illiquid alternative investments and unsuitable concentration in customer accounts) suggests potential outcomes including: disgorgement of commissions, restitution to the customer, fines against both the advisor and the firm, and possible suspension or bar of the advisor. The firm's supervisory system also appears deficient for allowing a 40% concentration in an illiquid product for a conservative elderly retiree without triggering a supervisory review or exception report. Margaret's complaint has substantial merit.

Item 33 of 350**NON-COMPLIANT**

Topic: illiquid_real_estate_investment

Difficulty: hard

Source: 27_Private_Placements_DPPs

Fact Pattern

Marcus Webb, a registered representative with Pinnacle Financial Group in Scottsdale, Arizona, managed accounts for several clients including Dorothy and Earl Hastings, both aged 74, retired public school teachers from Flagstaff. The Hastings had a combined pension income of \$62,000 per year and held \$415,000 in liquid savings, which represented their entire life savings apart from a modest home valued at \$185,000. Their account documents listed their risk tolerance as 'moderate-conservative,' their investment objectives as 'income and capital preservation,' their time horizon as '5-7 years,' and their liquidity needs as 'may need funds for assisted living or medical expenses within 2-4 years.' Dorothy had recently been diagnosed with early-stage Parkinson's disease, a fact Webb was aware of because the Hastings mentioned it during their annual review meeting in March 2022.

Between April and August 2022, Webb recommended that the Hastings invest a total of \$165,000--roughly 40% of their liquid savings--across three separate non-traded real estate investment trusts: \$60,000 in Starboard Healthcare Properties REIT (investing in skilled nursing facilities), \$55,000 in Meridian Industrial REIT (investing in warehouse and logistics properties), and \$50,000 in Coastal Hospitality REIT (investing in boutique hotels and resort properties). Each product carried upfront commissions and fees totaling between 9% and 12%, meaning approximately \$16,500 to \$19,800 in total costs were deducted from the Hastings' investments at the time of purchase. All three products had minimum holding periods of seven years, with no established secondary market, and redemption programs that were limited, discretionary, and could be suspended at any time by the REIT sponsor.

Webb told the Hastings that these investments were 'like owning real estate without the headaches,' would generate 'steady monthly income between 6% and 7.5%,' and were 'much safer than the stock market because they're backed by real property.' He did not discuss the illiquidity of the products in detail, nor did he explain that distribution payments could include return of capital rather than actual earnings, which would erode their principal over time. He also did not inform them that Coastal Hospitality REIT had been in operation for less than 18 months and had no track record of sustained distributions.

Webb's due diligence file for these three products contained only the marketing brochures provided by the sponsors and brief notes from a single conference call with a Starboard wholesaler. He did not independently investigate the sponsors' financial statements, the property portfolios, the track records of the management teams, or the fee structures beyond what was presented in sales materials. His firm's compliance department had approved all three products for sale on the firm's platform but had not set concentration limits for non-traded REITs in client accounts.

By December 2023, Coastal Hospitality REIT suspended its distribution payments and announced a 35% reduction in estimated share value due to underperforming hotel assets. Meridian Industrial REIT reduced its distribution from 6.5% to 2.1%. Only Starboard continued paying its stated distribution, though subsequent filings revealed that 80% of those distributions consisted of return of capital. The Hastings, now needing funds for Dorothy's escalating medical care, attempted to redeem their shares and discovered that all three REITs had suspended or severely limited their share redemption programs. Their \$165,000 investment was effectively locked up and had an estimated combined value of approximately \$105,000--a paper loss of roughly \$60,000, not including the upfront fees already paid.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Marcus Webb committed multiple serious violations of applicable regulatory standards in recommending these three non-traded REITs to the Hastings.

****Suitability Violations (FINRA Rule 2111):****

Under FINRA Rule 2111, a registered representative must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, and risk tolerance.

1. ****Customer-Specific Suitability:**** The Hastings were 74-year-old retirees with moderate-conservative risk tolerance, capital preservation and income objectives, a known near-term need for liquidity due to Dorothy's Parkinson's diagnosis, and a stated time horizon of 5-7 years with possible need for funds within 2-4 years. Recommending that they concentrate 40% of their liquid net worth in products with seven-year minimum holding periods, no guaranteed liquidity, and discretionary redemption programs directly contradicted every element of their stated investment profile. The products were fundamentally incompatible with their liquidity needs, risk tolerance, and time horizon.

2. ****Quantitative Suitability (Concentration):**** Placing 40% of the Hastings' entire liquid savings into a single illiquid asset class--non-traded REITs--created an excessive and unsuitable concentration. FINRA and NASAA have consistently taken the position that non-traded REIT concentration above 10% of liquid net worth raises serious suitability red flags, and many state regulators impose explicit concentration limits in the range of 10% of net worth for these products. A 40% allocation is dramatically above any reasonable threshold.

3. ****Reasonable-Basis Suitability:**** Webb also failed reasonable-basis suitability. He did not perform adequate independent analysis of the three products before recommending them. His due diligence file consisted only of sponsor marketing materials and notes from a wholesaler call--hardly the independent investigation necessary to form a reasonable basis for recommending complex, illiquid products.

****Reasonable Investigation Duty (FINRA Regulatory Notice 10-22):****

FINRA RN 10-22 imposes an affirmative obligation on broker-dealers and their representatives to conduct a reasonable investigation of private placements and similar offerings before recommending them. This includes independent review of the issuer's financial condition, the business model, the management team's track record, the fee and compensation structure, and the risks disclosed (and not disclosed) in offering documents. Webb's reliance solely on sponsor-provided marketing materials and a wholesaler sales call falls far short of this standard. Notably, he failed to investigate that Coastal Hospitality REIT had less than 18 months of operating history and no sustained distribution track record, which should have been a material red flag.

****Regulation Best Interest (SEC Rule 15l-1, Reg BI):****

For recommendations made after June 30, 2020, Reg BI's Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill in making recommendations and must consider reasonably available alternatives. Webb failed the Care Obligation by not evaluating whether liquid alternatives (e.g., publicly traded REITs, diversified bond funds, or income-oriented balanced funds) could have met the Hastings' income needs without the illiquidity risk. He also failed the Disclosure Obligation by not adequately explaining the illiquid nature of the investments, the

return-of-capital component of distributions, or the risks of redemption program suspension. His misleading characterization of the investments as 'much safer than the stock market' and his description of distributions as 'steady monthly income' without disclosing the return-of-capital mechanism constituted materially misleading statements.

****FINRA Rule 2010 (Standards of Commercial Honor):****

Webb's misleading statements about safety, income stability, and the nature of distributions also constitute a violation of FINRA Rule 2010's requirement for just and equitable principles of trade.

****NASAA Guidance:****

NASAA has issued extensive guidance regarding non-traded REIT suitability, including recommended concentration limits, enhanced disclosure requirements, and the need for representatives to consider liquidity needs when recommending illiquid DPP products. The Hastings' situation--elderly, moderate-conservative, dependent on savings for medical care--exemplifies the type of investor NASAA guidance is designed to protect from unsuitable non-traded REIT recommendations.

****Firm-Level Failures:****

Pinnacle Financial Group's failure to establish concentration limits for non-traded REITs in client accounts represents a supervisory deficiency. While the firm approved the products for sale, the absence of guardrails such as concentration limits or enhanced suitability screening for elderly or liquidity-dependent clients constitutes a failure of reasonable supervision under FINRA Rules 3110 and 3120.

****Likely Regulatory Outcome:****

Webb faces likely sanctions including fines, disgorgement of commissions (approximately \$8,250-\$9,900 based on his share of the 9-12% upfront fees), suspension or bar from the industry, and possible restitution to the Hastings. The firm faces potential fines and censure for supervisory failures. Historically, enforcement actions involving non-traded REIT over-concentration in elderly clients' accounts--such as the numerous cases arising from GPB Capital, Inland American, and similar products--have resulted in significant monetary sanctions, customer restitution, and individual bars. The combination of unsuitable concentration, inadequate due diligence, misleading sales practices, and vulnerable elderly clients with known medical and liquidity needs makes this a compelling enforcement case.

Item 34 of 350**NON-COMPLIANT**

Topic: inappropriate_risk_profile

Difficulty: medium

Source: 27_Private_Placements_DPPs

Fact Pattern

In March 2021, financial advisor Derek Stanton met with his client, Barbara Henning, a 68-year-old retired schoolteacher living in Tulsa, Oklahoma. Barbara had a total liquid net worth of approximately \$410,000, consisting of \$285,000 in her IRA rollover account and \$125,000 in a taxable brokerage account. Her annual pension income was \$38,000, supplemented by \$18,400 in Social Security benefits. On her new account form, Barbara indicated her investment objective was 'income with preservation of capital,' her risk tolerance was marked as 'conservative,' her time horizon was listed as '5-10 years,' and her liquidity needs were noted as 'moderate' since she anticipated needing funds for potential assisted living costs within the next several years. Barbara had no prior experience with alternative investments and her investment history consisted entirely of certificates of deposit, Treasury bonds, and a small allocation to a balanced mutual fund. During their meeting, Derek presented Barbara with materials about a non-traded REIT called Meridian Healthcare Properties, which invested in skilled nursing facilities and senior living centers across the Southeast. Derek told Barbara that the investment would provide steady quarterly distributions of 6.5% annually and was 'perfect for retirees looking for reliable income.' He recommended she invest \$120,000 -- roughly 29% of her liquid net worth -- into the non-traded REIT. Derek did not discuss the seven-to-ten year expected hold period, the lack of a secondary market, the fact that distributions could be funded partially from offering proceeds or borrowings rather than operating cash flow, or the upfront fees and commissions totaling approximately 12% of her investment. He also did not mention that the REIT's prospectus disclosed significant risks related to its concentration in skilled nursing facilities, an industry facing reimbursement pressures from Medicare and Medicaid changes. Barbara signed the subscription documents that same day. By late 2022, Meridian Healthcare Properties had suspended its distribution payments and announced that its estimated per-share value had declined by 40%. Barbara, now needing liquidity for a move to an assisted living community, discovered she could not readily sell her shares and faced a substantial loss on nearly a third of her retirement savings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Stanton violated applicable suitability and best interest standards in multiple respects.

****Applicable Standards:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. Rule 2111 encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

2. ****Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act):**** For recommendations made after June 30, 2020, broker-dealers must act in the retail customer's best interest at the time a recommendation is made, without

placing the financial interest of the broker-dealer ahead of the customer. This includes a Care Obligation requiring the advisor to exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation.

3. **FINRA Regulatory Notice 10-22:** This notice reminds firms of their obligation to conduct a reasonable investigation of private placements and direct participation programs before recommending them. The advisor and firm must investigate the issuer and its management, the business prospects, the assets held, the claims made, and the risks involved.

4. **FINRA Rule 2010 (Standards of Commercial Honor):** Requires adherence to high standards of commercial honor and just and equitable principles of trade.

Analysis of Violations:

Customer-Specific Suitability Failure: Barbara's profile -- a 68-year-old conservative retiree with moderate liquidity needs, no alternative investment experience, and dependence on her savings for potential assisted living -- is fundamentally incompatible with a non-traded REIT carrying a 7-10 year hold period, no secondary market, and significant concentration risk. The 29% concentration of her liquid net worth in a single illiquid product directly conflicts with her stated need for capital preservation and potential near-term liquidity. NASAA guidelines have historically recommended that non-traded REIT investments not exceed 10% of a client's liquid net worth for suitable investors, and Barbara's profile suggests even that threshold would be aggressive.

Reasonable-Basis Suitability / Investigation Failure: Under FINRA RN 10-22, Derek had a duty to understand the product thoroughly before recommending it. His failure to disclose the illiquidity, the source-of-distribution risk (distributions potentially funded by return of capital rather than earnings), the 12% upfront load, and the concentration risk in skilled nursing facilities suggests he either failed to investigate the product or understood these risks and withheld material information.

Reg BI Care Obligation Violation: The recommendation was made in 2021, after Reg BI's effective date. Derek failed to exercise reasonable diligence, care, and skill by not considering the costs of the investment (12% front-end load significantly eroding Barbara's principal), the illiquid nature of the product relative to her anticipated liquidity needs, and the mismatch between the product's risk profile and Barbara's conservative investment objectives. He also appears to have placed his financial interest (earning the substantial commission embedded in the 12% load) ahead of Barbara's interest.

Disclosure Failures: Derek's characterization of the REIT as 'perfect for retirees looking for reliable income' without disclosing the material risks -- illiquidity, distribution sustainability concerns, industry-specific risks, and high fees -- constitutes a misleading recommendation.

Likely Regulatory Outcome: This fact pattern closely mirrors enforcement actions brought against advisors in non-traded REIT cases (similar to patterns seen in GPB Capital and other illiquid alternative investment enforcement matters). Derek and his firm would likely face sanctions including fines, disgorgement of commissions, restitution to Barbara, and a potential suspension. The firm could face additional liability for supervisory failures if it did not have adequate procedures for reviewing non-traded REIT recommendations to elderly, conservative clients with liquidity needs. State regulators following NASAA guidelines would likely view the concentration level and client profile as clear evidence of unsuitability.

Item 35 of 350**NON-COMPLIANT****Topic:** senior_investor_exploitation**Difficulty:** hard**Source:** 27_Private_Placements_DPPs**Fact Pattern**

Margaret Ellison, age 79, is a retired elementary school teacher living in Columbus, Ohio. She has a fixed annual income of \$38,000, consisting of \$22,000 from Social Security and \$16,000 from a modest state pension. Her total liquid net worth is approximately \$410,000, held primarily in a brokerage account and a bank savings account. She has no other significant assets besides her home, which is valued at \$185,000 and is fully paid off. Mrs. Ellison has described her investment objectives as capital preservation and income generation, and her risk tolerance has been documented as conservative on every account form since she opened her brokerage account in 2014. She has no prior experience with alternative investments, private placements, or real estate programs, and her investment history consists entirely of Treasury bonds, certificates of deposit, and a small allocation to a diversified equity mutual fund.

In March 2021, her financial advisor, Daniel Pruitt, age 42, who has been her advisor since 2017, invited Mrs. Ellison to an in-office seminar titled 'Retirement Income Solutions for Today's Low-Rate Environment.' During the seminar, Pruitt presented a non-traded real estate investment trust called Meridian Healthcare Properties REIT, which invested in senior living facilities and medical office buildings. The REIT had a minimum investment of \$25,000, paid a stated distribution rate of 6.5%, carried upfront fees and commissions totaling approximately 12% (including a 7% selling commission to the broker-dealer and a 5% offering and organizational expense load), and had no established secondary market. The offering documents disclosed a redemption program that was subject to quarterly caps and could be suspended at the discretion of the REIT's board of directors. The projected investment horizon was seven to ten years.

Pruitt recommended that Mrs. Ellison invest \$175,000 -- approximately 42.7% of her liquid net worth -- into the Meridian Healthcare Properties REIT. He told her the distributions would 'replace the income she was losing from maturing CDs' and described the investment as 'like owning real estate without the headaches.' He did not discuss the illiquid nature of the investment in detail, nor did he explain that the stated distribution rate could be funded in part from return of capital rather than operating income. He did not present any alternative income-generating investments such as investment-grade bond funds, dividend-paying equity funds, or structured CDs. Mrs. Ellison signed the subscription documents in April 2021.

In August 2022, Mrs. Ellison's husband passed away unexpectedly, and she needed to access funds for medical bills, funeral expenses, and ongoing assisted living costs for herself. She submitted a redemption request for \$80,000 of her REIT holdings in September 2022, but the REIT's board had suspended its share redemption program two months earlier due to a surge in redemption requests across its investor base. Mrs. Ellison was unable to access any of her \$175,000 investment. Meanwhile, the REIT reduced its distribution rate from 6.5% to 3.2%, citing declining occupancy rates in its senior living portfolio. When Mrs. Ellison's daughter contacted the broker-dealer's compliance department to complain, she discovered that Pruitt had recommended the same non-traded REIT to at least fourteen other clients over the age of 70 in his book of business, with concentration levels ranging from 30% to 55% of their liquid net worth.

Pruitt's firm had an internal policy limiting non-traded REIT allocations to no more than 10% of a client's liquid net worth for clients over 70 with conservative risk profiles. Pruitt did not seek or obtain any exception to this policy. Pruitt earned approximately \$12,250 in commissions on Mrs. Ellison's transaction alone.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Daniel Pruitt committed multiple serious violations in recommending the Meridian Healthcare Properties non-traded REIT to Margaret Ellison.

****FINRA Rule 2111 (Suitability) Analysis:****

Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance.

1. ****Customer-Specific Suitability (Rule 2111.05):**** Mrs. Ellison was a 79-year-old retiree with a conservative risk profile, capital preservation objectives, limited income, no experience with alternative investments, and a foreseeable need for liquidity given her age and life circumstances. A non-traded REIT with a 7-10 year investment horizon, no secondary market, a suspendable redemption program, 12% upfront costs, and significant illiquidity risk is fundamentally incompatible with her documented profile. The recommendation fails customer-specific suitability on nearly every dimension.

2. ****Quantitative Suitability / Concentration:**** Allocating 42.7% of a 79-year-old conservative investor's liquid net worth to a single illiquid alternative investment is an egregious concentration. The advisor's own firm had an internal policy capping non-traded REIT exposure at 10% for clients over 70 with conservative profiles. NASAA guidelines on non-traded REITs generally recommend concentration limits of 10% of liquid net worth (or in some states, 10% of net worth excluding home and home furnishings). Pruitt exceeded this by more than four times without seeking any exception.

3. ****Reasonable-Basis Suitability:**** Under FINRA Regulatory Notice 10-22, broker-dealers and their associated persons have a duty of reasonable investigation (reasonable-basis suitability) regarding private placements and other complex products before recommending them. This includes understanding the risks, the structure of distributions (including whether distributions may constitute return of capital), the liquidity constraints, and the fee structure. Pruitt's failure to explain that distributions could be funded by return of capital, and his characterization of the REIT as simply 'like owning real estate without the headaches,' suggests he either failed to conduct adequate due diligence or deliberately obscured material risks.

****Regulation Best Interest (Rule 15l-1) Analysis:****

If Pruitt's recommendation occurred after June 30, 2020 (which it did -- March/April 2021), Regulation Best Interest applies. Under Reg BI's Care Obligation, the advisor must exercise reasonable diligence, care, and skill in making recommendations, must understand the risks and rewards of the product, must consider the customer's investment profile, and must not place his own financial interest ahead of the customer's. The \$12,250 commission created a significant financial incentive, and the pattern of recommending the same high-commission product to at least fourteen senior clients suggests the advisor prioritized his compensation over client welfare. Under Reg BI's Conflict of Interest Obligation, the firm and advisor must identify, disclose, and mitigate or eliminate conflicts associated with compensation-driven recommendations. There is no evidence Pruitt adequately addressed these conflicts.

****FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade):****

Pruitt's pattern of overconcentrating elderly, conservative clients in an illiquid, high-commission product -- in direct violation of his firm's own internal policies -- constitutes conduct inconsistent with just and equitable principles of trade.

****GPB Capital Precedent / Enforcement Context:****

This fact pattern mirrors enforcement actions seen in the GPB Capital cases and non-traded REIT enforcement sweeps, where advisors recommended illiquid alternative investments to unsuitable clients, failed to conduct reasonable due diligence, ignored concentration limits, and prioritized commissions. Multiple broker-dealers and advisors faced sanctions, fines, bars, and restitution orders in similar circumstances.

****Likely Regulatory Outcome:****

Pruitt faces potential FINRA enforcement action including fines, disgorgement of commissions, restitution to Mrs. Ellison and other affected clients, suspension, or a permanent bar from the securities industry. The broker-dealer faces potential supervisory failure charges for failing to enforce its own concentration policy. Mrs. Ellison and other similarly situated clients would likely prevail in arbitration claims for damages including the difference between her invested amount and the current value of her holdings, plus consequential damages related to her inability to access funds during a family emergency.

Item 36 of 350**NON-COMPLIANT**

Topic: illiquid_investments

Difficulty: medium

Source: 27_Private_Placements_DPPs

Fact Pattern

Margaret Dalton, age 71, is a retired elementary school teacher living in suburban Ohio. Her total liquid net worth is approximately \$410,000, consisting of a \$290,000 IRA rollover from her pension and \$120,000 in a savings account. She receives \$2,800 per month from Social Security and a small \$600 monthly pension supplement. Her risk tolerance, as documented on her new account form completed in March 2021, was listed as "moderate" with investment objectives of "income" and "preservation of capital." She told her advisor, Kevin Marsh, that she wanted safe, income-producing investments and specifically mentioned that she might need to access some of her savings for potential assisted living costs within the next three to five years, as she had recently been diagnosed with early-stage Parkinson's disease.

Marsh, who worked at a mid-sized independent broker-dealer, recommended that Margaret invest \$175,000 -- approximately 43% of her liquid net worth -- into two non-traded real estate investment trusts. The first was a \$100,000 allocation to Inland American Real Estate Trust, a non-traded REIT focused on commercial office and retail properties, and the second was \$75,000 into a non-traded REIT specializing in healthcare facilities. Both products carried upfront fees and commissions totaling approximately 12% to 13% of the invested amount, meaning roughly \$21,000 to \$22,750 of Margaret's investment went to fees and broker compensation before a single dollar was deployed into real estate assets. The offering documents for both products stated that shares were illiquid, that no public trading market existed, that redemption programs were limited and could be suspended at any time, and that investors should be prepared to hold the investment for an indefinite period, potentially seven to ten years or longer.

Marsh earned approximately \$12,250 in gross commissions on the two transactions. His firm's product due diligence department had approved both non-traded REITs for sale but had also issued internal guidance recommending that no more than 25% of any client's liquid net worth be concentrated in illiquid alternative investments, and that the products were generally unsuitable for clients over age 70 who had near-term liquidity needs.

By late 2022, Margaret's Parkinson's symptoms had progressed, and her family sought to liquidate her non-traded REIT holdings to fund her move to an assisted living facility. The redemption program for one of the REITs had been suspended entirely, and the other allowed only limited quarterly redemptions at a price reflecting a 15% discount to the original purchase price. Margaret's family was able to redeem only \$18,000 of the \$75,000 healthcare REIT investment, and nothing from the Inland American position. As of early 2024, Margaret's family estimates that the combined current value of her non-traded REIT holdings, if they could be liquidated, would be approximately \$115,000 -- a loss of roughly \$60,000 from her original \$175,000 investment, not including the opportunity cost of having those funds unavailable during a critical period of medical need.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Marsh violated applicable suitability and best interest standards in multiple respects.

****Applicable Standards:****

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, and risk tolerance. This rule encompasses three obligations: reasonable-basis suitability (general product understanding), customer-specific suitability (match to the individual), and quantitative suitability (not excessive in volume).

Under SEC Regulation Best Interest (Rule 15l-1), broker-dealers and their associated persons must act in the retail customer's best interest at the time of the recommendation, without placing their own financial interest ahead of the customer's. The Care Obligation under Reg BI requires reasonable diligence, care, and skill in making recommendations, including understanding the risks, rewards, and costs of the product, and having a reasonable basis to believe the recommendation is in the customer's best interest given her profile.

FINRA Regulatory Notice 10-22 imposes a heightened reasonable investigation duty on firms and their representatives when recommending private placements and illiquid alternative investments, including non-traded REITs. Firms must conduct thorough due diligence on these products and ensure that the specific features -- particularly illiquidity, high fees, and long time horizons -- are appropriate for the individual customer.

NASAA guidance on Direct Participation Programs and non-traded REITs further establishes that many states impose concentration limits (often 10% of net worth, excluding home equity) and that suitability determinations must account for the investor's age, liquidity needs, and total exposure to illiquid products.

****Analysis of Violations:****

1. ****Customer-Specific Suitability (FINRA Rule 2111):**** Margaret was 71 years old, retired, had a documented need for capital preservation and income, had explicitly stated she might need access to funds within three to five years for assisted living, and had been diagnosed with a progressive neurological condition. Non-traded REITs, with their seven-to-ten-year hold periods, suspension-prone redemption programs, and structural illiquidity, were fundamentally incompatible with her stated objectives and near-term liquidity needs.

2. ****Concentration:**** Allocating 43% of Margaret's liquid net worth to illiquid non-traded REITs was excessive and violated even the firm's own internal guidance limiting such investments to 25% of liquid net worth for any client, with additional restrictions for clients over 70. This internal threshold, while not itself a regulatory rule, demonstrates that even Marsh's own firm recognized the unsuitability of this level of concentration.

3. ****Cost and Fee Considerations:**** The 12-13% upfront load on both products meant that approximately \$21,000-\$22,750 was extracted from Margaret's investment immediately, creating a significant drag on returns. Under Reg BI's Care Obligation and Cost Disclosure Obligation, Marsh was required to consider reasonably available alternatives that could achieve Margaret's income objectives at lower cost and with better liquidity, such as traded REITs, dividend-paying equity funds, or investment-grade bond funds.

4. ****Conflict of Interest:**** Marsh earned approximately \$12,250 in commissions -- substantially more than he would have earned recommending lower-cost, liquid alternatives. Under Reg BI's Conflict of Interest Obligation, the firm and Marsh were required to identify and mitigate this conflict. The high commission structure of non-traded REITs creates a powerful incentive to recommend them over more suitable products, and there is no evidence Marsh or the firm adequately addressed this conflict.

5. ****Reasonable Investigation Duty (FINRA RN 10-22):**** Marsh failed to conduct adequate due diligence regarding the

match between these specific illiquid products and Margaret's individual circumstances. A reasonable investigation would have revealed that the products' illiquidity features were directly at odds with her documented needs.

6. ****FINRA Rule 2010 (Standards of Commercial Honor):**** The totality of the circumstances -- recommending heavily front-loaded, illiquid products to an elderly, retired client with known near-term medical and liquidity needs, in apparent disregard of the firm's own internal guidelines -- constitutes conduct inconsistent with just and equitable principles of trade.

****Likely Regulatory Outcome:****

Marsh would likely face FINRA enforcement action resulting in a fine, disgorgement of commissions, restitution to Margaret, and a suspension of 6-12 months or longer. The firm could face supervisory failure charges under FINRA Rules 3110 and 3120 for failing to enforce its own concentration limits and for approving the transactions despite the clear mismatch with the customer profile. State securities regulators could also bring actions under NASAA guidelines regarding unsuitable DPP recommendations. Margaret or her family would have a strong arbitration claim for compensatory damages of approximately \$60,000 in realized losses plus the opportunity cost of illiquidity during a critical period of medical need.

Item 37 of 350**NON-COMPLIANT****Topic:** failure_to_know_customer**Difficulty:** medium**Source:** 27_Private_Placements_DPPs**Fact Pattern**

Gerald Hutchins, age 71, is a retired postal worker living in Toledo, Ohio, on a fixed income consisting of a \$2,400 monthly pension and \$1,850 in Social Security benefits. His total liquid net worth is approximately \$285,000, held primarily in a traditional IRA rollover from his federal employee retirement plan. Gerald has no prior experience investing in anything other than certificates of deposit and a conservative bond mutual fund. He has a high school education and describes himself as someone who 'doesn't like to lose money.' In March 2021, Gerald attended a free dinner seminar hosted by financial advisor Danielle Pryor at a steakhouse in suburban Toledo. The seminar was titled 'Retirement Income Strategies for Uncertain Times.' After the seminar, Gerald scheduled a one-on-one meeting with Pryor at her office. During the meeting, which lasted approximately 35 minutes, Pryor asked Gerald only a handful of questions: his age, approximate account size, and whether he was 'comfortable with long-term investments.' Gerald answered that he was 71, had about \$285,000, and said he supposed long-term was fine as long as his money was safe. Pryor did not ask about Gerald's monthly expenses, his total income, his tax situation, any other assets or liabilities, his health status, his beneficiaries, his prior investment experience, or his actual risk tolerance beyond the single question. No written customer profile questionnaire, risk assessment, or investment policy statement was completed. Two weeks later, Pryor recommended that Gerald invest \$175,000--approximately 61% of his liquid net worth--into a non-traded real estate investment trust called Heartland Realty Income Trust II. The product carried a 7-year hold period with no meaningful secondary market, an upfront commission of 7%, and offered a projected (but not guaranteed) distribution yield of 6.5%. The offering documents noted significant risks including illiquidity, potential suspension of distributions, loss of principal, and concentration in commercial retail properties in the Midwest, a sector already under stress. Pryor told Gerald the investment would 'pay him like clockwork every month' and was 'as safe as a CD but with better returns.' She did not discuss the illiquidity, the lack of a secondary market, the risk of distribution suspensions, or the possibility that Gerald might need access to these funds for medical expenses or other emergencies. Pryor earned a \$12,250 commission on the transaction. By late 2022, Heartland Realty Income Trust II suspended its distributions entirely and wrote down its net asset value by 38%, reducing Gerald's investment value to approximately \$108,500. Gerald, who had been relying on the monthly distributions to supplement his pension and Social Security, was forced to take additional withdrawals from his remaining IRA balance to cover living expenses, triggering unexpected tax consequences.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Danielle Pryor violated multiple regulatory standards governing suitability and the duty to know her customer. Under FINRA Rule 2111 (Suitability), a broker-dealer or associated person must have a reasonable basis for believing a recommendation is suitable for a customer based on the customer's investment profile. That profile must include, at a minimum, the customer's age, other investments, financial situation and needs, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, risk tolerance, and any other information the customer discloses. Pryor conducted virtually no meaningful customer profiling. She asked only three cursory questions--age, approximate account size, and a vague question about 'long-term investments'--and failed to document any of the

critical suitability factors. She did not ascertain Gerald's monthly expenses, total income, tax situation, health status, liquidity needs, actual risk tolerance, or prior investment experience. This represents a clear failure under the 'know your customer' component of FINRA Rule 2111(a) and is inconsistent with the reasonable-basis and customer-specific suitability obligations.

Additionally, FINRA Regulatory Notice 10-22 imposes a heightened reasonable investigation duty on firms and associated persons recommending private placements and other complex, illiquid products. This notice requires that the recommending broker conduct due diligence not only on the product but also ensure that the customer's profile supports the recommendation. Pryor's failure to gather essential customer information made it impossible for her to satisfy this duty.

Under Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act), broker-dealers owe retail customers a duty to act in their best interest at the time of recommendation, which encompasses the Care Obligation. This obligation requires the advisor to exercise reasonable diligence, care, and skill in understanding the product, understanding the retail customer's investment profile, and having a reasonable basis to believe the recommendation is in the customer's best interest. Pryor's superficial intake process, combined with placing 61% of a 71-year-old retiree's liquid assets into an illiquid non-traded REIT with a 7-year lockup, fails the Care Obligation on multiple levels. The concentration was excessive, the product's illiquidity was incompatible with a retiree who might need access to funds, and the misleading characterization of the product as 'safe as a CD' constituted a material misrepresentation.

NASAA guidelines on non-traded REIT suitability have historically recommended concentration limits (often 10% of liquid net worth for non-traded REITs and DPPs) and require thorough documentation of customer profiles. A 61% concentration would far exceed any reasonable threshold.

FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade) is also implicated by Pryor's misleading statements comparing the non-traded REIT to a CD and her omission of material risk factors.

The GPB Capital enforcement actions and numerous non-traded REIT disciplinary proceedings have established that regulators take an aggressive posture toward advisors who recommend illiquid alternative investments without adequate know-your-customer documentation and without disclosing material risks. The likely regulatory outcome would include disgorgement of commissions, restitution to the customer, fines, a suspension or bar from the industry, and potential supervisory liability for Pryor's firm for failing to ensure adequate customer profiling was completed before approving the transaction.

Item 38 of 350**NON-COMPLIANT**

Topic: senior_investor_exploitation

Difficulty: medium

Source: 27_Private_Placements_DPPs

Fact Pattern

Margaret Olsen, age 79, is a retired school librarian living in suburban Des Moines, Iowa. She has a fixed annual income of \$34,000 from Social Security and a small pension. Her total liquid savings amount to approximately \$285,000, held primarily in certificates of deposit and a money market account at her local bank. She also owns her home outright, valued at roughly \$180,000. Margaret has no other sources of income and relies on her savings to supplement her fixed income for medical expenses, property taxes, and daily living costs. She has consistently described herself as a conservative investor with a primary objective of capital preservation and income generation. She has no prior experience with alternative investments, limited partnerships, or private securities of any kind.

In February 2022, her financial advisor, Kevin Driscoll, age 41, who had been managing her accounts for three years, recommended that she invest \$140,000--nearly half of her liquid net worth--into a non-traded real estate investment trust called Heartland Realty Income Trust II. The product carried a 7% upfront commission, a minimum seven-year holding period with no guaranteed liquidity, and offered projected (but not guaranteed) annual distributions of 6.5%. Kevin told Margaret the investment was 'like a CD but with better returns' and emphasized the monthly income she could expect. He did not discuss the illiquid nature of the investment, the lack of a secondary market, the possibility that distributions could be funded from offering proceeds or borrowings rather than actual earnings, or the substantial upfront load that would reduce her invested principal from day one.

Kevin's firm had recently added Heartland Realty Income Trust II to its product shelf after a brief due diligence review that consisted of reading the sponsor's marketing brochure. No independent analysis of the sponsor's track record, financial statements, property portfolio, or fee structure was conducted. The firm's compliance department did not review the recommendation to Margaret before it was executed.

By October 2023, Heartland Realty Income Trust II had suspended distributions entirely, citing declining occupancy rates and rising interest costs. The trust's estimated per-share value was written down by 38%. Margaret, now 80, found herself unable to access \$140,000 of her savings, with no distributions being paid and a dramatically reduced account value. She had begun deferring medical procedures due to cash flow concerns and was considering selling her home.

Kevin earned approximately \$9,800 in gross commissions from the transaction. Records show he made similar recommendations to eleven other clients over age 70 during the same period, collectively investing over \$1.6 million into the same non-traded REIT.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Driscoll violated multiple regulatory standards governing suitability, reasonable diligence, and the duty to act in the customer's best interest.

****Customer-Specific Suitability (FINRA Rule 2111.05):**** Margaret's profile--a 79-year-old retiree with \$285,000 in liquid assets, fixed income of \$34,000, conservative risk tolerance, capital preservation objectives, and no experience with alternative investments--made a \$140,000 allocation to an illiquid, non-traded REIT fundamentally unsuitable. The concentration of nearly 49% of her liquid net worth in a single illiquid product with a seven-year lockup and no guaranteed distributions directly contradicted her stated need for safety, liquidity, and income reliability. Under FINRA Rule 2111, the advisor must have a reasonable basis to believe that the recommendation is suitable for the particular customer based on that customer's investment profile.

****Reasonable-Basis Suitability and Due Diligence (FINRA Regulatory Notice 10-22):**** RN 10-22 imposes a heightened reasonable investigation duty on member firms and their associated persons when recommending private placements and other complex, illiquid products. The firm's due diligence was grossly inadequate--reviewing only a sponsor marketing brochure without conducting independent analysis of the sponsor's track record, financials, property portfolio, or fee structures. This failure to conduct a reasonable investigation means the firm and advisor lacked a reasonable basis to recommend the product to any customer, let alone a conservative elderly investor.

****Regulation Best Interest (SEC Rule 15l-1):**** Under Reg BI's Care Obligation, a broker-dealer and associated person must exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation and must have a reasonable basis to believe the recommendation is in the retail customer's best interest at the time it is made, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. Kevin failed all prongs: he did not understand or disclose the risks of the product; he prioritized his \$9,800 commission over Margaret's interests; and the recommendation bore no rational relationship to her needs. The Conflict of Interest Obligation under Reg BI also required disclosure and mitigation of the compensation incentive, which Kevin did not address.

****Misleading Characterization:**** Describing the non-traded REIT as 'like a CD but with better returns' was materially misleading and violates FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade). CDs are FDIC-insured, liquid, and carry virtually no principal risk. A non-traded REIT has none of these characteristics. This misrepresentation likely induced Margaret to invest based on a fundamentally inaccurate understanding of the product.

****NASAA Guidance on DPP Recommendations:**** NASAA has repeatedly identified non-traded REITs sold to seniors and conservative investors in excessive concentrations as a primary enforcement concern. Many state securities regulators have adopted concentration limits (often 10% of liquid net worth) for non-traded REITs. A 49% concentration for a 79-year-old conservative investor vastly exceeds any reasonable concentration threshold.

****Pattern of Conduct:**** The fact that Kevin made similar recommendations to eleven other elderly clients, investing over \$1.6 million collectively, suggests a sales practice driven by compensation rather than individualized suitability analysis, potentially constituting a pattern of senior investor exploitation.

****Supervisory Failures:**** The firm's failure to conduct adequate product-level due diligence and its compliance department's failure to review the recommendation before execution represent supervisory violations under FINRA Rules 3110 and 3120.

****Likely Regulatory Outcome:**** Kevin faces potential sanctions including fines, disgorgement of commissions, suspension or bar from the industry, and customer restitution. The firm faces potential fines, supervisory violation findings, and mandatory remediation. This fact pattern closely mirrors enforcement actions in the non-traded REIT space, including actions related to GPB Capital and similar illiquid alternative products sold to unsuitable investors. State regulators may pursue additional actions under NASAA guidelines. Margaret would likely prevail in a customer arbitration seeking recovery of her losses plus consequential damages.

Item 39 of 350**NON-COMPLIANT**

Topic: alternative_investments_unsuitable

Difficulty: medium

Source: 27_Private_Placements_DPPs

Fact Pattern

Margaret Colvin, age 71, is a retired elementary school teacher living in Tulsa, Oklahoma. Her total liquid net worth is approximately \$410,000, consisting of a \$320,000 traditional IRA rollover from her pension and \$90,000 in a bank savings account. She receives \$2,400 per month in Social Security and a small \$600 per month annuity payment. Her monthly expenses, including medication for a chronic heart condition, total roughly \$2,800. She has no other sources of income and has described her investment objective as 'preservation of capital with modest income.' On her new account form, her risk tolerance is marked as 'conservative,' and she has no prior experience with alternative investments, private placements, or real estate programs. In March 2021, her financial advisor, Kevin Braddock, recommended that she invest \$175,000 -- approximately 43% of her liquid net worth -- into a non-traded real estate investment trust called Pinnacle Income REIT II. The REIT had a minimum seven-year holding period, no secondary market for shares, paid distributions partially from return of capital rather than operating income, carried upfront fees and commissions totaling 12%, and invested primarily in commercial office properties. Braddock told Mrs. Colvin the investment would 'pay her a steady 6.5% distribution like clockwork' and compared it to a certificate of deposit, stating it was 'basically the same thing but with a better yield.' He did not explain the illiquidity, the lack of a public trading market, the risk that distributions could be reduced or suspended, the nature of return-of-capital distributions, or the impact of the high front-end load on her invested principal. Braddock earned a \$13,125 commission on the transaction. By late 2022, Pinnacle Income REIT II suspended all distributions and announced it was exploring a potential wind-down of the fund after significant tenant vacancies in its office portfolio. Mrs. Colvin was unable to access her capital and filed a complaint in January 2023 stating she was never told the money could be locked up or that distributions could stop.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Braddock violated multiple regulatory standards in recommending the Pinnacle Income REIT II to Margaret Colvin.

****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, time horizon, liquidity needs, and risk tolerance. Under Rule 2111's three-part suitability framework:

- ***Reasonable-basis suitability:** Braddock was required under FINRA Regulatory Notice 10-22 to conduct a reasonable investigation into the non-traded REIT before recommending it. This includes understanding the product's features, risks, fees, liquidity restrictions, and the financial health of the sponsor. There is no indication Braddock performed any independent due diligence or understood the risks of the Pinnacle REIT's commercial office concentration, return-of-capital distribution structure, or wind-down risk.

- ***Customer-specific suitability:** Mrs. Colvin's profile -- a 71-year-old retiree with conservative risk tolerance,

preservation-of-capital objectives, limited liquid net worth, ongoing medical expenses, and no alternative investment experience -- makes a 43% concentration in an illiquid, high-fee, non-traded REIT fundamentally unsuitable. She needed accessible funds for living expenses and medical costs, and the seven-year lockup created an unacceptable liquidity mismatch.

- ***Quantitative suitability:** While this prong typically applies to excessive trading, the sheer concentration of 43% of liquid assets in a single illiquid product is relevant to the overall suitability analysis.

****Regulation Best Interest (Rule 15l-1):** If Braddock was acting in a broker-dealer capacity at the time of the recommendation, Reg BI's Care Obligation required him to exercise reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile and the product's risks, rewards, and costs. He was required to consider reasonably available alternatives. Comparing a non-traded REIT to a CD is materially misleading and demonstrates a failure of the Care Obligation. The Disclosure Obligation required him to disclose all material facts, including conflicts of interest such as the \$13,125 commission, the illiquidity, the nature of return-of-capital distributions, and the possibility of distribution suspensions.

****FINRA Rule 2010 (Standards of Commercial Honor):** Braddock's mischaracterization of the REIT as comparable to a CD -- omitting the illiquidity, lack of principal protection, fee structure, and distribution risk -- constitutes a violation of just and equitable principles of trade.

****FINRA RN 10-22 (Reasonable Investigation Duty for Private Placements):** This notice specifically reminds firms and their associated persons of the obligation to conduct a reasonable investigation of the issuer and the securities they recommend, particularly for illiquid offerings like non-traded REITs. The duty extends to understanding the business plan, the financial condition of the sponsor, fee structures, and specific risk factors. Braddock's failure to explain or apparently even understand the product's fundamental risks is indicative of a failure to perform this investigation.

****NASAA Guidance on Unsuitable DPP Recommendations:** State securities regulators have long warned that non-traded REITs and similar direct participation programs should generally not exceed 10% of an investor's liquid net worth, especially for conservative, elderly, income-dependent investors. A 43% concentration vastly exceeds any reasonable concentration guideline.

****Likely Regulatory Outcome:** Braddock would likely face FINRA enforcement action including fines, disgorgement of commissions, a suspension or bar, and potential restitution to Mrs. Colvin. His firm could face supervisory failure charges if it failed to implement reasonable controls around non-traded REIT sales to elderly, conservative investors. Mrs. Colvin would have strong grounds for recovery in FINRA arbitration.

Item 40 of 350

NON-COMPLIANT

Topic: alternative_investments_unsuitable

Difficulty: medium

Source: 27_Private_Placements_DPPs

Fact Pattern

Margaret Okonkwo, age 71, is a retired school librarian living in Toledo, Ohio, with an annual pension income of \$42,000 and Social Security benefits of \$21,600. Her total liquid net worth is approximately \$310,000, held primarily in a rollover IRA (\$245,000) and a savings account (\$65,000). She has no other sources of income and relies on periodic IRA withdrawals to supplement her pension for living expenses, medical co-pays, and property taxes on her home. She described her risk tolerance as conservative on her new account form and listed her investment objectives as capital preservation and income generation. She has no prior experience with alternative investments, limited partnerships, or real estate programs.

In March 2022, her financial advisor, Dale Sutherland, who had been managing her IRA for two years, recommended she invest \$125,000 -- roughly 51% of her IRA -- into a non-traded Real Estate Investment Trust called Meridian Healthcare Properties REIT, which focused on acquiring skilled nursing facilities and assisted living centers across the Midwest. The REIT carried a minimum seven-year hold period with no guaranteed liquidity or redemption program, paid a stated but non-guaranteed distribution of 6.5% annually, and charged upfront offering costs of approximately 12% (including a 7% selling commission and 5% in organizational and offering expenses). Sutherland told Margaret the investment was "like owning a piece of real estate without the headaches" and emphasized the monthly income distributions, comparing them favorably to CD rates, which at the time were approximately 0.5%. He did not discuss the illiquidity, the lengthy hold period, the lack of a secondary market, the possibility that distributions could be funded by return of capital rather than earnings, or the substantial upfront fees that would immediately reduce the value of her investment by roughly \$15,000. No documentation in Margaret's file reflects that Sutherland conducted any independent investigation into the REIT's financial condition, property portfolio quality, management track record, or fee structure beyond reading the summary marketing brochure provided by the sponsor's wholesaler.

By late 2023, Meridian Healthcare Properties REIT suspended its distribution payments due to rising operational costs and declining occupancy rates at several of its facilities. The REIT's board estimated the net asset value per share had declined approximately 30% from the original offering price. Margaret, who had been counting on the monthly distributions to cover her prescription medication costs and property tax installments, was forced to liquidate a significant portion of her remaining IRA holdings at unfavorable market prices to meet her expenses. She filed a complaint in January 2024 alleging that the recommendation was inappropriate for someone in her financial situation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dale Sutherland violated applicable suitability and best interest standards in multiple respects.

****Concentration and Suitability Analysis Under FINRA Rule 2111:****

FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis for believing a recommendation is suitable for a particular customer based on that customer's investment profile, including age,

financial situation, tax status, investment objectives, investment experience, time horizon, liquidity needs, and risk tolerance. Margaret was a 71-year-old retiree with conservative risk tolerance, capital preservation and income objectives, limited liquid assets, no alternative investment experience, and ongoing reliance on her IRA for living expenses. Recommending that she concentrate 51% of her IRA in a single illiquid, non-traded REIT with a seven-year minimum hold period and no guaranteed distributions was plainly unsuitable under both customer-specific and quantitative suitability components of Rule 2111.

****Reg BI - Regulation Best Interest (Rule 15l-1):****

If this transaction occurred under a Reg BI framework (applicable to broker-dealer recommendations to retail customers after June 30, 2020), the Care Obligation under Reg BI required Sutherland to exercise reasonable diligence, care, and skill in making the recommendation, to understand the risks and costs of the non-traded REIT, and to have a reasonable basis to believe the recommendation was in Margaret's best interest at the time, considering her specific profile. The recommendation failed the Care Obligation because it exposed a conservative, income-dependent retiree to severe illiquidity risk and concentration risk, and Sutherland apparently failed to consider reasonably available alternatives (e.g., investment-grade bonds, Treasury securities, or traded REITs with daily liquidity) that could have met her income needs without the extreme liquidity constraints.

****FINRA Regulatory Notice 10-22 - Reasonable Investigation Duty:****

RN 10-22 specifically addresses the obligation of broker-dealers and their associated persons to conduct a reasonable investigation of private placements and similar offerings before recommending them to customers. This includes examining the issuer's financial statements, management background, property assets, fee structures, use of proceeds, and risk factors -- not simply relying on marketing materials provided by the sponsor or its wholesaler. Sutherland's file contained no evidence of any independent due diligence beyond the sponsor's marketing brochure. This failure to investigate independently is a standalone violation, irrespective of whether the investment ultimately lost value.

****Non-Traded REIT Enforcement Precedent:****

Regulatory enforcement actions against firms selling non-traded REITs (including high-profile cases involving firms like GPB Capital, American Realty Capital, and others) have consistently found violations where: (1) upfront costs were not adequately disclosed, (2) concentration exceeded reasonable thresholds for the customer's profile (many regulators and firms use a 10-15% guideline for alternative/illiquid investments relative to liquid net worth), (3) distributions funded by return of capital were misleadingly described as income, and (4) advisors failed to adequately explain illiquidity risks. Margaret's investment at 51% of her IRA far exceeded any reasonable concentration threshold, and Sutherland's comparison of the REIT's distributions to CD rates was materially misleading given the vastly different risk profiles.

****NASAA Guidance:****

The North American Securities Administrators Association has issued specific guidance identifying non-traded REITs as frequently unsuitable for elderly, conservative, and income-dependent investors, and has flagged concentration levels, illiquidity, and fee opacity as recurring suitability concerns.

****FINRA Rule 2010 - Standards of Commercial Honor:****

Sutherland's failure to disclose the 12% upfront costs, the illiquidity, and the risk that distributions could represent return of capital rather than investment income constitutes conduct inconsistent with just and equitable principles of trade under FINRA Rule 2010.

****Likely Regulatory Outcome:****

Sutherland and his firm would likely face sanctions including fines, disgorgement of commissions, restitution to the customer, potential suspension or bar, and a heightened supervisory plan. In a customer arbitration, Margaret would have strong claims for unsuitable recommendation, failure to disclose material risks, and failure to conduct reasonable due diligence. Damages would likely include the difference between her initial investment and its current value, plus consequential damages from being forced to liquidate other IRA holdings at unfavorable prices.

Item 41 of 350**NON-COMPLIANT**

Topic: failure_to_know_customer

Difficulty: medium

Source: 27_Private_Placements_DPPs

Fact Pattern

In September 2021, registered representative Mark Devlin recommended that his client, Patricia Owens, invest \$175,000 into a Regulation D private placement offering structured as a direct participation program in a portfolio of commercial real estate developments across the Southeast United States. The offering memorandum disclosed a minimum seven-year hold period, no secondary market, and estimated annual distributions of 6-8% that were not guaranteed. Patricia was 71 years old, a retired elementary school teacher receiving a pension of \$3,400 per month and Social Security of \$1,800 per month. Her total liquid net worth was approximately \$410,000, held primarily in a traditional IRA and a savings account. She had no prior experience with private placements, alternative investments, or real estate syndications. Her account opening documents at the broker-dealer listed her investment objective as 'income' and her risk tolerance as 'moderate.' Devlin had been introduced to Patricia through her nephew, who was also a client. During their two meetings--one in person and one by phone--Devlin described the investment as 'like owning rental property without the hassle' and emphasized the projected income distributions. He did not ask Patricia about her liquidity needs, her health status, or whether she had any anticipated large expenses. He did not inquire about her other sources of income beyond what was on the original new account form completed three years earlier, nor did he update her financial profile before making the recommendation. Patricia signed the subscription documents. Fourteen months later, the sponsor announced it was suspending distributions due to construction delays and cost overruns. Patricia contacted Devlin requesting a return of her capital and was informed that redemption was not available. The \$175,000 represented approximately 43% of her total liquid assets.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Mark Devlin violated applicable suitability and best interest standards on multiple grounds.

****Failure to Know the Customer (FINRA Rule 2111 -- Customer-Specific Suitability):**** FINRA Rule 2111 requires that a registered representative have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, which includes age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, risk tolerance, and any other information the customer may disclose. Devlin failed to update Patricia's financial profile before making the recommendation. Her account documentation was three years old, and he made no effort to ascertain her current liquidity needs, health status, anticipated expenses, or whether her financial circumstances had changed since retirement. This constitutes a clear failure to know the customer.

****Concentration and Illiquidity Concerns:**** Allocating \$175,000 -- approximately 43% of Patricia's liquid net worth -- to a single illiquid private placement with a seven-year minimum hold period is facially unsuitable for a 71-year-old retiree living on a fixed income with moderate risk tolerance and an income-oriented investment objective. FINRA Regulatory Notice 10-22 specifically addresses the heightened obligation broker-dealers and their representatives have when recommending private placements, including the duty to conduct a reasonable investigation into the investment and to

ensure the recommendation is consistent with the customer's profile. The concentration risk alone raises serious red flags.

****Reasonable-Basis Suitability:**** Under FINRA Rule 2111's reasonable-basis component, Devlin was required to perform due diligence sufficient to understand the risks and features of the DPP offering. His characterization of the investment as 'like owning rental property without the hassle' understated the material risks -- including illiquidity, distribution suspension risk, and total loss of capital -- suggesting inadequate investigation or misleading communication.

****Regulation Best Interest (Reg BI -- Rule 15l-1):**** If Devlin's broker-dealer was subject to Reg BI (effective June 30, 2020), the Care Obligation under Reg BI required him to exercise reasonable diligence, care, and skill in making the recommendation, including understanding the customer's investment profile and evaluating the recommendation in light of that profile. Recommending a heavily illiquid, long-duration alternative investment representing 43% of a retired fixed-income client's liquid assets without even updating her financial information fails the Care Obligation.

****FINRA Rule 2010 (Standards of Commercial Honor):**** The failure to gather and consider essential customer information before recommending a high-risk, illiquid product also implicates FINRA Rule 2010, which requires adherence to high standards of commercial honor and just and equitable principles of trade.

****NASAA Guidance:**** NASAA has issued guidance specifically cautioning against unsuitable DPP recommendations to elderly, fixed-income investors, emphasizing that concentration in illiquid products is presumptively unsuitable absent compelling justification.

****Likely Regulatory Outcome:**** Devlin and his firm would likely face enforcement action, including potential fines, disgorgement, restitution to the customer, and suspension. The firm could also face supervisory failure charges if it lacked adequate procedures to flag the concentration and the failure to update customer information before a private placement subscription was processed. GPB Capital enforcement precedents have demonstrated regulators' willingness to pursue significant sanctions for failures in private placement due diligence and suitability analysis.

Item 42 of 350

NON-COMPLIANT

Topic: inappropriate_risk_profile

Difficulty: medium

Source: 27_Private_Placements_DPPs

Fact Pattern

Margaret Olsen, age 72, is a retired schoolteacher living in Columbus, Ohio, with a fixed annual income of \$46,000 consisting of Social Security benefits and a modest state pension. She has a total liquid net worth of approximately \$285,000, held primarily in certificates of deposit and a conservative balanced mutual fund. Her investment objectives, as documented on her new account form completed in March 2021, were listed as "capital preservation" and "income generation," with a risk tolerance marked as "low." She had no prior experience with alternative investments, limited partnerships, or any illiquid securities. Her advisor, Craig Devereaux, who had been her advisor for three years at a mid-sized independent broker-dealer, recommended in April 2021 that she invest \$95,000--approximately one-third of her liquid net worth--into a non-traded real estate investment trust called Heartland Realty Income Trust III. The REIT had a seven-year estimated hold period, no secondary market for shares, offered a stated distribution yield of 6.5%, and carried upfront fees and commissions totaling 11.5%, meaning roughly \$10,925 of Margaret's investment went to fees and selling compensation at the time of purchase. Devereaux told Margaret the investment would "pay her like clockwork every quarter" and described it as "just like owning rental property without the headaches." He did not discuss the illiquidity of the product, the possibility that distributions could be funded from offering proceeds or borrowings rather than operating income, or the lack of a public trading market. He also did not explain the early redemption restrictions, which limited share repurchases to cases of death or disability during the first two years and capped all redemptions at 5% of outstanding shares per year thereafter. Margaret signed the subscription documents but later told a family member she thought she could "get her money back anytime, like a CD." In September 2022, the REIT suspended its distribution payments and announced a 30% write-down in estimated share value, reducing Margaret's position to approximately \$58,975 before accounting for the upfront fees already paid. She filed a complaint with her state securities regulator in November 2022, stating that Devereaux never explained the risks and that the investment was completely inconsistent with her goals and financial situation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Devereaux violated applicable suitability and best interest standards in multiple respects.

****Customer-Specific Suitability (FINRA Rule 2111.05):**** Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommended transaction is suitable for the particular customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, risk tolerance, liquidity needs, time horizon, and investment experience. Margaret Olsen was a 72-year-old retiree with a low risk tolerance, capital preservation and income objectives, modest fixed income, and no experience with alternative or illiquid investments. Concentrating roughly 33% of her liquid net worth in a single non-traded REIT with a seven-year hold period, no secondary market, and substantial upfront costs is facially inconsistent with her documented profile. The recommendation fails customer-specific suitability.

****Quantitative Concentration:**** NASAA guidelines and numerous enforcement actions have established that

non-traded REITs should generally not exceed 10% of a customer's liquid net worth for investors with modest means, and many states explicitly cap concentration at that level. A 33% allocation far exceeds any reasonable concentration threshold for a conservative, elderly investor.

****Reasonable-Basis Suitability and Due Diligence (FINRA Regulatory Notice 10-22):**** RN 10-22 imposes a heightened reasonable investigation duty on broker-dealers recommending private placements and other complex products. The advisor must understand the product's features, risks, and economics before recommending it. Devereaux's characterization of the REIT as comparable to owning rental property and his failure to disclose that distributions could be paid from sources other than operating cash flow suggest he either failed to conduct adequate due diligence on the product or deliberately omitted material information.

****Disclosure Failures and Fair Dealing (FINRA Rule 2010):**** Devereaux's omission of key risk factors--illiquidity, redemption restrictions, distribution sustainability concerns, and the 11.5% front-end load--violated the obligation of fair dealing with customers. Margaret's belief that she could access her money at any time demonstrates that the advisor created a materially misleading impression of the investment.

****Regulation Best Interest (SEC Rule 15l-1):**** If the recommendation occurred after June 30, 2020 (which it did, in April 2021), Reg BI's Care Obligation required Devereaux to exercise reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile and the product's risks, rewards, and costs. The Disclosure Obligation required him to provide full and fair disclosure of all material facts, including costs, conflicts of interest, and the nature of the product's illiquidity. Both obligations were violated.

****Likely Regulatory Outcome:**** Devereaux and his firm face potential sanctions including disgorgement of commissions, restitution to the customer, fines, and possible suspension. The broker-dealer's supervisory system may also be cited for failure to supervise if it did not flag the concentration or the suitability mismatch. State regulators may pursue action under NASAA's non-traded REIT suitability standards as well. Margaret has strong grounds for recovery through arbitration or a state administrative proceeding.

Item 43 of 350

NON-COMPLIANT

Topic: alternative_investments_unsuitable

Difficulty: hard

Source: 27_Private_Placements_DPPs

Fact Pattern

Gerald Whitman, age 58, is a recently retired high school principal in Columbus, Ohio. He rolled over his \$410,000 pension into an IRA and also has \$85,000 in a savings account, a paid-off home valued at \$260,000, and Social Security income of \$2,400 per month. His wife, age 56, works part-time earning \$18,000 annually. Gerald's new account form listed his risk tolerance as 'moderate,' his investment objectives as 'income and capital preservation,' his time horizon as 10-15 years, and his investment experience as 'limited -- mostly held pension and savings accounts.' He told his financial advisor, Craig Delmonico, that he needed reliable income to supplement Social Security and did not want to take chances with money he could not replace.

In March 2021, Delmonico recommended that Gerald invest \$125,000 from his IRA into a non-traded real estate investment trust focused on commercial office properties, emphasizing 'steady 6.5% distributions' and describing the product as 'like owning real estate without the hassle.' In June 2021, Delmonico recommended an additional \$80,000 into a Regulation D private placement in an energy exploration limited partnership structured as a direct participation program, highlighting potential tax benefits and projected 8% annual returns. In September 2021, Delmonico placed another \$60,000 of Gerald's IRA into a second non-traded REIT that invested in hospitality properties.

In total, \$265,000 of Gerald's \$410,000 IRA -- approximately 64.6% -- was now concentrated in illiquid alternative investments. Delmonico earned a combined \$21,200 in commissions across the three transactions. The offering documents for all three products disclosed holding periods of 7-10 years with no guaranteed secondary market, early redemption penalties of up to 10%, and risk factors including potential loss of principal. Delmonico did not document any independent investigation into the financial health, track record, or management of any of the three issuers beyond reviewing the sales materials provided by the sponsors' wholesalers. He did not contact the issuers' management, review audited financials, or examine prior program performance.

By late 2022, the office-focused non-traded REIT suspended distributions citing declining occupancy rates and remote work trends. The hospitality REIT reduced its estimated share value by 30%. The energy limited partnership sent K-1s showing losses but Gerald, holding the investment in an IRA, received no tax benefit from those losses. Gerald requested redemption from all three products and learned that early withdrawal would cost him approximately \$24,000 in penalties, and that his energy LP interest had no redemption mechanism at all. Gerald filed a complaint alleging his advisor placed him in investments completely at odds with his stated needs and never performed adequate research on the products.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Delmonico committed multiple violations across several regulatory frameworks.

****Concentration in Illiquid Alternatives (FINRA Rule 2111 -- Suitability):**** Under the quantitative suitability component of

FINRA Rule 2111, a recommendation must be suitable not only on a transaction-by-transaction basis but also in light of the customer's overall portfolio. Placing 64.6% of a recently retired client's IRA -- his primary retirement asset -- into illiquid alternative investments with 7-10 year lockups is facially unsuitable for a 58-year-old retiree with moderate risk tolerance, limited investment experience, and stated objectives of income and capital preservation. NASAA guidelines on non-traded REITs and DPPs have historically recommended concentration limits of 10% of net worth (exclusive of home and automobile) for illiquid investments, and many states have adopted such limits. Gerald's liquid net worth was approximately \$495,000 (\$410,000 IRA + \$85,000 savings), meaning \$265,000 in illiquid products represented roughly 53.5% of his liquid assets -- far exceeding any reasonable concentration threshold.

****Failure of Reasonable Investigation Duty (FINRA Regulatory Notice 10-22):**** RN 10-22 imposes an affirmative obligation on broker-dealers and their associated persons to conduct a reasonable investigation of private placements and other Regulation D offerings before recommending them. This includes examining the issuer's financial condition, management, business prospects, and the accuracy of representations in offering documents. Delmonico relied solely on wholesaler-provided marketing materials without conducting any independent due diligence -- he did not review audited financials, contact management, examine prior program track records, or verify the representations made in sales literature. This is a direct violation of the reasonable-basis suitability obligation under Rule 2111 as elaborated by RN 10-22.

****Tax Benefit Mismatch (Energy LP in IRA):**** Recommending a tax-advantaged energy exploration DPP inside a tax-deferred IRA eliminated the primary economic benefit of the partnership structure (pass-through deductions and depletion allowances). K-1 losses inside an IRA provide no tax benefit to the investor. This demonstrates a failure of customer-specific suitability analysis and raises questions about whether Delmonico understood the product he was recommending.

****Regulation Best Interest (SEC Rule 15l-1):**** For recommendations made after June 30, 2020, Reg BI's Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill in making a recommendation and consider reasonably available alternatives. Delmonico failed to consider lower-cost, liquid income-producing alternatives (e.g., bond funds, dividend equity funds, publicly traded REITs) that would have been far more consistent with Gerald's objectives. The Cost Obligation under Reg BI also requires consideration of cost -- Delmonico earned \$21,200 in commissions (approximately 8% average load), and these high costs were not weighed against the client's interests.

****FINRA Rule 2010 -- Standards of Commercial Honor:**** The overall pattern -- unsuitable concentration, failure to investigate, product-account mismatch, and high commissions -- reflects conduct inconsistent with just and equitable principles of trade under Rule 2010.

****Likely Regulatory Outcome:**** Delmonico faces potential FINRA enforcement action including fines, disgorgement of commissions, suspension, and customer restitution. Based on precedent from GPB Capital and non-traded REIT enforcement sweeps, his firm could also face supervisory failure charges if it lacked adequate procedures for reviewing alternative investment concentration and due diligence. Gerald would likely prevail in a FINRA arbitration claim for compensatory damages including lost principal, redemption penalties, and opportunity costs.

Item 44 of 350**NON-COMPLIANT**

Topic: illiquid_real_estate_investment

Difficulty: medium

Source: 27_Private_Placements_DPPs

Fact Pattern

Margaret Dawson, age 71, is a retired school teacher living in suburban Ohio. She receives \$2,800 per month in pension income and \$1,950 per month in Social Security benefits. Her total liquid net worth is approximately \$410,000, held primarily in a traditional IRA rollover account valued at \$340,000 and a savings account with \$70,000. She owns her home outright, valued at \$185,000. Mrs. Dawson has no other sources of income and has described her investment objectives as capital preservation and income generation. On her new account form, her risk tolerance is marked as 'moderate,' and her time horizon is listed as 5-7 years. She has no prior experience with alternative investments or private placements.

In March 2022, her financial advisor, Kevin Burroughs, who works for Pinnacle Wealth Partners, recommended that Mrs. Dawson invest \$120,000 from her IRA into a non-traded real estate investment trust called Harvest Commercial Properties REIT, Inc. The product had a minimum seven-year hold period with no established secondary market for shares. The offering documents disclosed a front-end load of 7%, meaning approximately \$8,400 of her investment went to commissions and offering costs rather than being invested in real estate assets. The REIT's stated distribution yield was 5.5%, though the prospectus supplement noted that distributions could be funded from offering proceeds and borrowings, not solely from operating cash flow.

Burroughs told Mrs. Dawson that the investment was 'basically like owning real estate without the hassle' and described the distribution payments as 'reliable monthly income, similar to a CD but with a better rate.' He did not discuss the illiquid nature of the investment in detail, nor did he explain that her ability to access the \$120,000 would be severely restricted for at least seven years. He did not present any alternative investment options, such as investment-grade bond funds, dividend-paying equity funds, or certificates of deposit, which could have provided income with substantially greater liquidity. Burroughs also did not conduct any independent investigation into Harvest Commercial Properties REIT beyond reviewing the sponsor's marketing materials and a one-page due diligence summary provided by his firm's product sponsor division.

The \$120,000 investment represented approximately 29% of Mrs. Dawson's total liquid net worth and roughly 35% of her IRA. By late 2023, Harvest Commercial Properties REIT suspended its share repurchase program, effectively eliminating even the limited liquidity mechanism that had been available. In early 2024, Mrs. Dawson needed funds for unexpected medical expenses totaling \$38,000 but was unable to access any portion of her REIT investment. She was forced to deplete most of her savings account and borrow against a credit card at 22% interest.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Burroughs likely violated multiple regulatory standards in recommending this non-traded REIT to Mrs. Dawson.

****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, risk tolerance, and other relevant information. There are three components of suitability: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Reasonable-Basis Suitability: Burroughs failed to conduct adequate due diligence on the Harvest Commercial Properties REIT. FINRA Regulatory Notice 10-22 makes clear that broker-dealers and their associated persons have a duty to conduct a reasonable investigation of the securities they recommend, particularly with respect to private placements and complex products. Reviewing only the sponsor's marketing materials and a one-page summary is wholly insufficient. An advisor recommending a non-traded REIT must understand the product's fee structure, distribution policies (including whether distributions are funded from operations or return of capital), redemption limitations, valuation methodology, the sponsor's track record, and the underlying real estate portfolio.

Customer-Specific Suitability: The recommendation was unsuitable for Mrs. Dawson's specific profile. She is a 71-year-old retiree with limited income, moderate risk tolerance, capital preservation objectives, and a 5-7 year time horizon. Allocating 29% of her liquid net worth (and 35% of her IRA) to an illiquid product with a minimum seven-year hold period and no secondary market is inconsistent with her stated objectives and liquidity needs. Many state securities regulators, consistent with NASAA guidelines, have established concentration limits for non-traded REITs--typically 10% of liquid net worth for general investors and sometimes lower for seniors. The 29% concentration here far exceeds any reasonable threshold.

****Regulation Best Interest (Rule 15l-1):**** If the transaction occurred after June 30, 2020 (which it did, in March 2022), the Care Obligation under Reg BI requires that the advisor exercise reasonable diligence, care, and skill in making the recommendation. The advisor must understand the risks, rewards, and costs of the recommendation, consider reasonably available alternatives, and have a reasonable basis to believe the recommendation is in the customer's best interest and does not place the advisor's interest ahead of the customer's. Burroughs failed on all counts: (1) he did not adequately understand the product's risks, including the possibility of distribution suspensions and the lack of liquidity; (2) he did not present or consider alternatives such as bond funds, dividend-paying stocks, or CDs; (3) the 7% front-end load created a significant financial incentive for Burroughs that likely influenced his recommendation; and (4) the product was manifestly not in the best interest of a 71-year-old capital-preservation-oriented retiree with limited assets.

The Disclosure Obligation under Reg BI also required Burroughs to disclose all material facts about the recommendation, including costs, risks, and conflicts of interest. His comparison of the REIT to a CD was materially misleading--CDs are FDIC insured, highly liquid, and carry no market risk, whereas a non-traded REIT is illiquid, uninsured, subject to real estate market risk, and may return capital disguised as distributions.

****FINRA Rule 2010 (Standards of Commercial Honor):**** Burroughs' misleading characterization of the REIT as comparable to a CD, and his failure to disclose the severe illiquidity, constitutes conduct inconsistent with just and equitable principles of trade.

****Likely Regulatory Outcome:**** Burroughs and Pinnacle Wealth Partners face potential enforcement action for suitability violations, failure to conduct reasonable due diligence, and misleading sales practices. Remedies could include disgorgement of commissions, restitution to Mrs. Dawson, fines, and suspension. The firm may also face supervisory failure charges if it did not have adequate procedures to review suitability of non-traded REIT recommendations to elderly clients with limited liquid net worth. NASAA enforcement trends and recent non-traded REIT enforcement actions (including patterns seen in cases involving firms like GPB Capital distributors) suggest regulators take an aggressive posture on excessive concentration of illiquid alternative investments for senior investors.

Item 45 of 350**NON-COMPLIANT**

Topic: inappropriate_risk_profile

Difficulty: medium

Source: 27_Private_Placements_DPPs

Fact Pattern

Gerald Whitmore, age 71, is a retired postal worker living in suburban Tampa, Florida. He receives \$2,400 per month in Social Security and a small pension of \$1,100 per month. His total liquid net worth is approximately \$285,000, held primarily in a traditional IRA rollover from his former employer's 401(k). Gerald has no other significant assets aside from his home, which is valued at \$190,000 with a remaining mortgage balance of \$62,000. He has minimal investment experience, having only ever owned target-date mutual funds inside his employer plan. During his initial meeting with advisor Stacy Pham at Ridgeview Capital Partners in March 2022, Gerald stated his primary goal was capital preservation and income generation to supplement his monthly expenses, which totaled roughly \$3,800 per month. He described himself as 'very cautious' and said he could not afford to lose his savings because it was 'all he had.' On his new account form, Pham recorded Gerald's risk tolerance as 'moderate' rather than 'conservative,' explaining to Gerald that 'moderate just means we'll be thoughtful about where we put your money.' In April 2022, Pham recommended Gerald invest \$140,000 -- nearly half his liquid net worth -- into a non-traded real estate investment trust called Pinnacle Healthcare Properties REIT, which carried a minimum seven-year hold period, no secondary market, upfront fees totaling 12% (including selling commissions, dealer manager fees, and offering expenses), and distributions that were partially funded from offering proceeds rather than operating cash flow. Pham also recommended an additional \$45,000 into a Regulation D private placement in a startup oil and gas exploration limited partnership, SunBelt Energy Partners LP, which required investors to be accredited (Gerald barely qualified based on the firm's internal calculations using his IRA value and home equity) and carried substantial risk of total loss. Pham earned a combined commission of approximately \$19,400 on the two transactions. Gerald was not informed that the non-traded REIT's distributions were partially return of capital, nor was he told that the oil and gas partnership had no operating history. By late 2023, Pinnacle Healthcare Properties REIT suspended its distribution payments and announced a 40% write-down in net asset value. SunBelt Energy Partners LP sent a letter to investors indicating the partnership's exploratory wells were nonproductive and that investors should expect no return of capital. Gerald's combined losses exceeded \$120,000.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, advisor Stacy Pham committed multiple violations. First, under FINRA Rule 2111 (Suitability), a registered representative must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, liquidity needs, time horizon, and investment objectives. Gerald was a 71-year-old retiree with limited income, modest savings, no investment sophistication, a stated conservative risk tolerance, and a primary objective of capital preservation and income supplementation. Concentrating nearly 65% of his liquid net worth (\$185,000 of \$285,000) into illiquid, high-risk alternative investments -- a non-traded REIT and a Reg D oil and gas limited partnership -- was plainly unsuitable under customer-specific suitability analysis.

Second, Pham appears to have inflated Gerald's risk tolerance on the new account form by recording 'moderate' instead of 'conservative,' despite Gerald's own stated preference for caution. This mischaracterization of the client's risk

profile is a common fact pattern in enforcement actions and constitutes a violation of FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade), as it involves dishonesty in the documentation process and facilitates unsuitable recommendations.

Third, under FINRA Regulatory Notice 10-22, member firms and their associated persons have a heightened duty of reasonable investigation (reasonable-basis suitability) when recommending private placements and other complex products. Pham had an obligation to investigate and understand the material features and risks of both the non-traded REIT and the oil and gas DPP -- including the source of REIT distributions, the lack of operating history of SunBelt Energy Partners, total fee loads, illiquidity, and risk of total loss -- before recommending them. The failure to disclose that distributions were partially return of capital and that the oil and gas partnership had no operating history suggests either a failure to conduct this investigation or a deliberate omission of material information.

Fourth, the concentration of illiquid investments is a key concern under NASAA guidance, which has specifically warned about unsuitable DPP and non-traded REIT recommendations to elderly and conservative investors. Many states and regulators apply concentration limits (commonly 10% of liquid net worth for non-traded REITs), and here Gerald's allocation far exceeded any reasonable threshold.

Fifth, under Regulation Best Interest (SEC Rule 15l-1), if Pham was acting in a broker-dealer capacity for a retail customer, she had an obligation under the Care Obligation to exercise reasonable diligence, care, and skill to understand the risks and rewards of the recommendation and to have a reasonable basis to believe the recommendation was in the customer's best interest at the time, considering the customer's investment profile and the potential risks, rewards, and costs. The \$19,400 in commissions also raises concerns under the Cost Obligation, as less costly and more liquid alternatives clearly existed to meet Gerald's stated objectives.

The likely regulatory outcome would include restitution to Gerald for losses attributable to the unsuitable recommendations, disgorgement of commissions, fines against both Pham and the firm, potential suspension of Pham, and possible additional sanctions against Ridgeview Capital Partners for supervisory failures in approving these transactions for an unsuitable customer.

Item 46 of 350**NON-COMPLIANT****Topic:** illiquid_real_estate_investment**Difficulty:** medium**Source:** 27_Private_Placements_DPPs**Fact Pattern**

Margaret Holloway, age 71, is a retired elementary school teacher living in Tucson, Arizona. Her total liquid net worth is approximately \$410,000, consisting of a \$285,000 IRA rollover from her state pension, a \$95,000 money market account, and \$30,000 in a checking account. She receives \$2,800 per month in Social Security and a small \$650 monthly annuity payment. She has no other sources of income. On her new account form, her investment objective was listed as 'income with preservation of capital,' and her risk tolerance was marked 'moderate.' She told her advisor, David Pham, that she needed her savings to last through retirement and wanted steady income she could rely on without worrying about losing principal. In March 2021, Pham recommended that Margaret invest \$150,000 -- roughly 36% of her liquid net worth -- into a non-traded real estate investment trust called Heartland Realty Income Trust II, which focused on acquiring Class B and C office and retail properties in secondary Midwestern markets. The offering documents disclosed a 7% annualized distribution, front-end fees and commissions totaling 12% (meaning only \$132,000 of Margaret's \$150,000 would actually be invested in real estate assets), no public market for the shares, a minimum anticipated hold period of seven to ten years, limited redemption provisions (capped at 5% of outstanding shares per year with a two-year lockout), and risk factors noting that distributions could be funded from offering proceeds or borrowings rather than operating income. Pham told Margaret that the investment was 'like owning rental property without the headaches' and that the 7% distribution was 'practically guaranteed income.' He did not discuss the illiquidity restrictions, the front-end load, or the possibility that distributions could be paid from her own invested capital. He also did not inquire about Margaret's health status; she had recently been diagnosed with early-stage chronic kidney disease and anticipated significant medical expenses in the coming years. Pham's firm had conducted no independent due diligence on Heartland Realty Income Trust II beyond reviewing the sponsor's marketing materials and offering memorandum summary. The firm's compliance manual stated that non-traded REIT allocations should generally not exceed 10% of a client's liquid net worth for clients over age 65, but no exception approval was sought or granted for Margaret's purchase. By late 2022, Heartland Realty suspended its distribution payments and announced a 35% write-down in estimated share value due to declining occupancy in its retail and office portfolio, reducing Margaret's investment value to approximately \$85,800. Margaret filed a complaint in January 2023 stating she was never told her money would be locked up, that she needed access to funds for medical bills, and that Pham assured her the income was safe.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, David Pham violated multiple applicable regulatory standards in recommending the Heartland Realty Income Trust II investment to Margaret Holloway.

****FINRA Rule 2111 (Suitability):**** This rule requires that a broker have a reasonable basis for believing a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, risk tolerance, and other relevant information. There are three components: (1) reasonable-basis suitability, (2) customer-specific suitability, and (3) quantitative

suitability.

Reasonable-Basis Suitability: Under FINRA Regulatory Notice 10-22, member firms and their associated persons have a duty to conduct a reasonable investigation of the securities they recommend, particularly with respect to private placements and complex products like non-traded REITs. Pham's firm failed to conduct independent due diligence beyond reviewing sponsor marketing materials. FINRA has repeatedly emphasized that reliance on issuer-provided materials alone is insufficient; firms must independently verify material claims about the investment's risks, fees, and business model. This failure independently violates the reasonable investigation duty.

Customer-Specific Suitability: Margaret was a 71-year-old retiree with limited income, a stated objective of income with capital preservation, moderate risk tolerance, and foreseeable liquidity needs due to her health condition. Concentrating approximately 36% of her liquid net worth in an illiquid, non-traded REIT with a 7-10 year hold period, 12% front-end costs, and significant market risk was plainly unsuitable. NASAA guidelines and many state securities regulators have established concentration limits for non-traded REITs -- often 10% of liquid net worth -- and the firm's own compliance manual capped allocations at 10% for clients over 65. No exception was obtained. Additionally, Pham failed to inquire about Margaret's health status and anticipated medical expenses, which would have revealed critical near-term liquidity needs wholly incompatible with this illiquid product.

****Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act):**** If applicable (for recommendations made after June 30, 2020, by broker-dealers to retail customers), Reg BI imposes a Care Obligation requiring the advisor to exercise reasonable diligence, care, and skill in making recommendations, consider reasonably available alternatives, and ensure the recommendation is in the retail customer's best interest without placing the advisor's financial interest ahead of the customer's. The 12% front-end load generated significant compensation for Pham, and the recommendation was made without considering lower-cost, more liquid income-generating alternatives (e.g., bond funds, dividend equity funds, or publicly traded REITs) that would have been more consistent with Margaret's profile. This violates the Care Obligation. Reg BI's Disclosure Obligation was also violated: Pham affirmatively misrepresented the safety of distributions and failed to disclose illiquidity, fee load, and the risk that distributions could be return of capital.

****FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade):**** Pham's misleading statements -- characterizing the 7% distribution as 'practically guaranteed income' and comparing the investment to hassle-free rental property ownership without disclosing material risks -- constitute conduct inconsistent with just and equitable principles of trade.

****GPB Capital Enforcement Precedent:**** FINRA and SEC enforcement actions involving non-traded alternative investment programs (such as the GPB Capital cases) have resulted in significant sanctions against firms and advisors who failed to conduct adequate due diligence, recommended overconcentration in illiquid products, and made misleading statements about expected returns. The pattern here -- inadequate firm-level investigation, overconcentration, misrepresentations about income stability, failure to disclose illiquidity and fees -- closely mirrors the fact patterns that led to bars, suspensions, fines, and restitution orders in those cases.

****Likely Regulatory Outcome:**** Pham faces potential suspension or bar, disgorgement of commissions, and restitution to Margaret. The firm faces potential fines and sanctions for supervisory failures, including failure to enforce its own written concentration limits and failure to conduct reasonable due diligence under RN 10-22. Margaret's arbitration claim would likely be found meritorious, with damages calculated from the difference between her \$150,000 investment and its current diminished value, potentially plus consequential damages related to her inability to access funds for medical expenses.

Item 47 of 350**NON-COMPLIANT****Topic:** illiquid_real_estate_investment**Difficulty:** medium**Source:** 27_Private_Placements_DPPs**Fact Pattern**

Margaret Dawson, age 72, is a retired elementary school teacher living in Tallahassee, Florida. Her annual income from her pension and Social Security totals approximately \$48,000. She has a total liquid net worth of \$310,000, consisting of \$185,000 in an IRA rollover from her teaching career, \$90,000 in a savings account, and \$35,000 in a brokerage account holding blue-chip dividend stocks. She owns her home outright, valued at approximately \$210,000. Her investment objectives, as documented on her account opening forms, are income generation and capital preservation, and her stated risk tolerance is conservative. She has no prior experience investing in alternative products or private placements. In March 2021, her financial advisor, Kevin Barlow, who had been her advisor for six years, recommended that she invest \$125,000 -- roughly 40% of her liquid net worth -- into the Meridian Real Estate Income Trust, a non-traded real estate investment trust focused on commercial office and retail properties. The product carried an upfront commission of 7%, had no public trading market, offered only a limited share repurchase program capped at 5% of outstanding shares per quarter, and featured a minimum recommended holding period of eight years. Kevin told Margaret that the investment would pay a projected 6.5% annual distribution, which he described as 'much better than what CDs are paying right now,' and emphasized that real estate was a 'safe, tangible asset.' He did not discuss the illiquidity risks, the possibility that distributions could be funded from offering proceeds rather than actual income, the concentration risk of allocating such a large portion of her portfolio to a single illiquid product, or the fact that the trust's portfolio was heavily weighted toward office properties at a time when remote work trends were significantly impacting office occupancy. Kevin did not document any analysis of whether the product was appropriate given Margaret's age, income needs, or liquidity requirements. Kevin's branch manager approved the transaction after a cursory review. By late 2023, the trust suspended its share repurchase program and reduced its distribution from 6.5% to 2.1%. Margaret, who had been relying on the distributions to supplement her pension income, contacted Kevin seeking to liquidate her position but was told there was no available mechanism to sell her shares. She has effectively lost access to \$125,000 of her retirement savings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Barlow violated applicable suitability and best interest standards in multiple respects.

****Applicable Regulatory Framework:****

Under FINRA Rule 2111 (Suitability), a financial advisor must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, risk tolerance, liquidity needs, time horizon, and other relevant factors. This rule encompasses three components: reasonable-basis suitability (the advisor must understand the product), customer-specific suitability (the recommendation must be appropriate for the particular customer), and quantitative suitability.

Under Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934), which was fully effective by June 30, 2020 and therefore applicable to the March 2021 recommendation, broker-dealers and their associated persons must act in the retail customer's best interest at the time of the recommendation, without placing the advisor's financial interest ahead of the customer's. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in understanding the product, evaluating whether it is in the customer's best interest given her profile, and considering reasonably available alternatives.

FINRA Regulatory Notice 10-22 imposes heightened due diligence obligations on member firms and their registered representatives when recommending private placements and other complex, illiquid products. Advisors must conduct a reasonable investigation into the product, including its business model, management, risks, and financial condition, before making any recommendation.

NASAA guidelines on direct participation programs and non-traded REITs further specify that concentration in illiquid products should generally not exceed 10% of a customer's liquid net worth, and many states have adopted this standard or similar caps.

****Specific Violations:****

1. ****Customer-Specific Suitability / Reg BI Care Obligation:**** Margaret was 72 years old, retired, conservative in risk tolerance, and dependent on her investment income. Allocating approximately 40% of her liquid net worth to a single illiquid, non-traded REIT with an eight-year minimum holding period was fundamentally inconsistent with her stated objectives of capital preservation and income generation and her need for accessible funds. Her age and retirement status demanded liquidity and stability, not long-duration illiquid commitments.
2. ****Concentration Risk:**** The \$125,000 investment represented roughly 40% of Margaret's \$310,000 in liquid assets, vastly exceeding the 10% concentration guideline established by NASAA and commonly referenced by regulators for non-traded REIT investments. This excessive concentration magnified the harm when the product underperformed.
3. ****Reasonable-Basis Suitability / Reasonable Investigation Duty:**** Kevin failed to conduct or document any meaningful due diligence on the Meridian Real Estate Income Trust. Under FINRA RN 10-22, he was obligated to investigate the product's risks, including the sustainability of its distributions, the composition and risk profile of its underlying assets (particularly office properties facing secular headwinds from remote work), and the realistic prospects for liquidity. His characterization of real estate as a 'safe, tangible asset' was misleading and demonstrated a lack of understanding of the specific risks of non-traded REITs.
4. ****Disclosure Failures:**** Kevin failed to disclose material risks, including illiquidity, the possibility that distributions could be funded from return of capital rather than earnings, the product's heavy office-property concentration, and the limited and discretionary nature of the share repurchase program. Under Reg BI's Disclosure Obligation and FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade), these omissions constitute serious violations.
5. ****Supervisory Failures:**** The branch manager's cursory approval of a \$125,000 illiquid investment for a 72-year-old conservative retiree suggests inadequate supervisory review, potentially violating firm obligations under FINRA Rule 3110.

****Likely Regulatory Outcome:****

Kevin Barlow faces potential sanctions including fines, suspension, or a bar from the industry. His firm faces potential liability for supervisory failures. Based on enforcement patterns seen in GPB Capital cases, non-traded REIT enforcement sweeps, and similar actions, regulators have imposed significant sanctions on advisors and firms that recommended illiquid alternative products to elderly, conservative investors without proper due diligence, disclosure,

and suitability analysis. Margaret would likely prevail in a customer arbitration seeking rescission or damages, including the lost principal, reduced distributions, and potentially consequential damages related to her inability to access her retirement funds.

Item 48 of 350**NON-COMPLIANT****Topic:** illiquid_investments**Difficulty:** medium**Source:** 27_Private_Placements_DPPs**Fact Pattern**

Margaret Olsen, age 71, is a retired elementary school teacher living in Tucson, Arizona. Her total liquid net worth is approximately \$410,000, consisting of a \$310,000 IRA rollover from her pension and \$100,000 in a savings account. She receives \$2,800 per month in Social Security and a small \$600 monthly pension supplement. She has no other sources of income. On her new account form, her risk tolerance was marked as 'moderate,' her investment objective was listed as 'income with capital preservation,' her time horizon was noted as '5-7 years,' and her liquidity needs were described as 'may need funds for assisted living within 3-5 years.' In March 2022, her financial advisor, Derek Pruitt, recommended that Margaret invest \$155,000 -- roughly 50% of her IRA -- into a non-traded real estate investment trust called Heartland Senior Housing REIT, which focused on developing memory care and assisted living facilities across the Midwest. The product carried a 7% upfront commission, had no public market for shares, offered only a limited quarterly share repurchase program capped at 2.5% of outstanding shares per quarter, imposed an estimated seven-to-ten year hold period before any liquidity event, and disclosed in its offering memorandum that distributions could be funded in part from offering proceeds rather than operating cash flow. Derek told Margaret the investment would 'pay you like clockwork -- 6.5% distributions, better than any CD you'll find' and described the product as 'basically like owning real estate without the hassle.' He did not discuss the share repurchase limitations, the possibility that distributions could be reduced or suspended, or the risk that she might be unable to access her capital if she needed funds for assisted living. Derek's firm had conducted only a cursory review of the Heartland offering, relying primarily on materials provided by the sponsor without independently verifying the sponsor's track record, financial condition, or the reasonableness of the projected returns. By late 2023, Heartland suspended its distribution program and froze its share repurchase plan, citing construction cost overruns and occupancy shortfalls. Margaret's shares were internally revalued at \$6.10 per share, down from her \$10.00 purchase price, representing an unrealized loss of approximately \$59,600. She now faces the prospect of needing assisted living funds within 18 months with no ability to liquidate the position.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Pruitt violated multiple applicable regulatory standards in recommending this investment to Margaret Olsen.

****Suitability Analysis under FINRA Rule 2111:****

FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, risk tolerance, and other relevant information. Rule 2111 encompasses three components: (1) reasonable-basis suitability, (2) customer-specific suitability, and (3) quantitative suitability.

***Customer-Specific Suitability:** Margaret is a 71-year-old retiree with limited income, moderate risk tolerance, a stated objective of income with capital preservation, and an explicitly documented need for liquidity within 3-5 years for

potential assisted living costs. Concentrating approximately 50% of her IRA (\$155,000 of \$310,000) in a non-traded REIT with a seven-to-ten year illiquidity horizon directly contradicts her stated liquidity needs and capital preservation objective. NASAA guidelines on non-traded REITs and illiquid direct participation programs generally recommend concentration limits of no more than 10% of liquid net worth in such products for most investors, and some states impose specific percentage caps. A 37.8% concentration of her total liquid net worth (\$155,000 of \$410,000) in a single illiquid product for a 71-year-old retiree with near-term liquidity needs is patently unsuitable.

Reasonable-Basis Suitability and FINRA Regulatory Notice 10-22: FINRA RN 10-22 imposes a heightened reasonable investigation duty on broker-dealers recommending private placements and other Regulation D offerings. The firm and its representatives must conduct a reasonable investigation of the offering -- including the issuer's financial condition, management, business prospects, the use of proceeds, and the reasonableness of projected returns -- before recommending the product. Derek's firm relied solely on sponsor-provided materials without independent verification of the sponsor's track record, financial health, or return projections. This cursory diligence fails the reasonable investigation standard articulated in RN 10-22.

****Regulation Best Interest (Reg BI) -- SEC Rule 15l-1:****

If Derek's recommendation occurred in the context of a broker-dealer recommendation to a retail customer (which it did, post-June 30, 2020 effective date), Reg BI's Care Obligation requires that he exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of the recommendation, consider reasonably available alternatives, and have a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made. Recommending a heavily illiquid, high-commission product that directly conflicts with the customer's documented liquidity timeline and preservation objective fails the Care Obligation. The 7% upfront commission also triggers scrutiny under the Cost component -- Derek should have considered lower-cost, more liquid income-generating alternatives.

****Disclosure Failures and FINRA Rule 2010:****

Derek's characterization of the non-traded REIT as paying 'like clockwork' and being 'basically like owning real estate without the hassle,' without disclosing the severe liquidity restrictions, the risk of distribution suspension, or the potential for return of capital masquerading as income, constitutes misleading and omissive communication. This violates FINRA Rule 2010's requirement to observe high standards of commercial honor and just and equitable principles of trade.

****GPB Capital Precedent Context:****

The enforcement landscape surrounding illiquid alternative investments -- exemplified by the GPB Capital cases where firms faced sanctions for inadequate due diligence, failure to disclose risks, and unsuitable recommendations of illiquid private placements to retail investors -- strongly supports a finding of violation here. Regulators have consistently sanctioned advisors and firms for recommending illiquid DPPs and non-traded REITs to elderly, income-dependent customers without proper due diligence and disclosure.

****Likely Regulatory Outcome:****

Derek and his firm face potential sanctions including fines, disgorgement of commissions, restitution to the customer, and suspension or bar. The firm's inadequate supervisory and due diligence procedures compound liability. Margaret would also likely prevail in a customer arbitration claim seeking compensatory damages for the unrealized losses and the illiquidity trap created by this recommendation.

Item 49 of 350**NON-COMPLIANT**

Topic: inappropriate_risk_profile

Difficulty: medium

Source: 27_Private_Placements_DPPs

Fact Pattern

Margaret Donovan, age 71, is a retired elementary school teacher living in Tucson, Arizona. She has a fixed annual income of \$38,000 from her pension and Social Security. Her total liquid net worth is approximately \$310,000, held primarily in certificates of deposit and a moderate allocation bond mutual fund. She also owns her home, valued at roughly \$190,000, free and clear. On her new account form completed in February 2021, her stated investment objectives were "income" and "preservation of capital," her risk tolerance was marked "conservative," her time horizon was listed as "5-7 years," and her liquidity needs were noted as "moderate" given upcoming dental surgery expenses she estimated at \$15,000-\$20,000.

Her financial advisor, Thomas Caldwell, who had been her advisor for three years, recommended she invest \$125,000 -- roughly 40% of her liquid assets -- into a non-traded real estate investment trust called Heartland Income REIT IV. The REIT's offering documents disclosed upfront selling commissions and organizational costs totaling 13.5%, meaning approximately \$16,875 of Margaret's investment went to fees before a single dollar was deployed into real estate assets. The prospectus also stated that the REIT had no public trading market, that investors should not expect to be able to sell their shares for at least five to seven years, and that distributions might be funded in part from offering proceeds rather than from operating cash flow. The REIT used an affiliated property management company that charged above-market management and acquisition fees.

Caldwell told Margaret during a meeting at her home that the REIT would "pay her like clockwork" with a projected 6.5% annual distribution and that it was "basically like owning rental properties without the headaches." He did not discuss the possibility that distributions could be funded by return of capital, the significant upfront cost drag, or the lack of a secondary market. He also did not present any alternative income-generating investments, such as investment-grade bond funds or dividend-paying equity ETFs, which would have offered substantially greater liquidity.

By late 2023, the REIT suspended distributions and revised its estimated per-share net asset value downward by 38%. Margaret, now 73 and facing additional medical expenses, was unable to access her capital. She filed a complaint with her broker-dealer in January 2024, stating she was never told the investment was illiquid or that she could lose a substantial portion of her principal.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Thomas Caldwell violated multiple regulatory standards governing suitability and the duty to act in the customer's best interest.

****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. Rule 2111 encompasses three components: (1) reasonable-basis suitability, (2) customer-specific

suitability, and (3) quantitative suitability.

Regarding **customer-specific suitability**, Margaret's profile -- a 71-year-old retiree with conservative risk tolerance, income and capital preservation objectives, moderate liquidity needs, and a 5-7 year time horizon -- is fundamentally inconsistent with a 40% concentration in a non-traded REIT carrying 13.5% upfront fees, no secondary market, and a minimum hold period of five to seven years. NASAA guidance has consistently identified non-traded REITs as unsuitable for investors who need liquidity, who have conservative risk profiles, or for whom a high concentration in illiquid products would jeopardize financial security.

Regarding **reasonable-basis suitability**, FINRA Regulatory Notice 10-22 imposes a heightened reasonable investigation duty on firms and representatives recommending private placements and other complex products. Caldwell was obligated to understand the material risks and structural features of Heartland Income REIT IV -- including the return-of-capital distribution practice, the affiliated management fee structure, and the severe illiquidity -- and to convey those risks to the customer. His characterization of the REIT as paying "like clockwork" and being "basically like owning rental properties" was materially misleading and omitted critical risk disclosures.

****Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act):**** For broker-dealers and their associated persons, Reg BI's Care Obligation requires that the advisor exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile, and evaluating reasonably available alternatives. Caldwell failed this standard by not considering or presenting more liquid income-generating alternatives (e.g., investment-grade bond funds, dividend ETFs) that would have better matched Margaret's conservative profile and liquidity needs. The Disclosure Obligation also required that Caldwell disclose all material facts about the recommendation, including the 13.5% fee load, the return-of-capital distribution risk, and the illiquidity constraints -- none of which were adequately communicated.

****FINRA Rule 2010 (Standards of Commercial Honor):**** Caldwell's misleading oral representations about the nature and safety of the REIT, combined with his failure to disclose material risks, constitute conduct inconsistent with just and equitable principles of trade.

****Concentration:**** The \$125,000 allocation represented approximately 40% of Margaret's liquid net worth in a single illiquid product. Many firms have internal concentration limits for non-traded REITs (commonly 10% of liquid net worth or less for conservative investors), and NASAA model rules suggest similar thresholds. This allocation vastly exceeded any reasonable concentration limit for a client of Margaret's profile.

****Enforcement Precedent:**** This fact pattern closely mirrors enforcement actions seen in the non-traded REIT space, including cases involving GPB Capital and numerous other sponsors, where advisors were sanctioned for recommending illiquid alternative investments to elderly, conservative investors without adequate due diligence, disclosure, or suitability analysis. Likely regulatory outcomes include fines, disgorgement of commissions, restitution to the customer, and a potential suspension or bar for Caldwell. The broker-dealer firm could face supervisory failure charges if it did not maintain adequate controls over non-traded REIT concentration and suitability review.

Item 50 of 350**NON-COMPLIANT****Topic:** failure_to_know_customer**Difficulty:** medium**Source:** 27_Private_Placements_DPPs**Fact Pattern**

Marcus Vreeland, a registered representative at Horizon Wealth Partners in Tampa, Florida, was introduced in March 2021 to a new client, Dorothy Keating, a 71-year-old retired school librarian. Mrs. Keating had recently lost her husband and inherited approximately \$620,000 in liquid assets, consisting of \$410,000 in a rollover IRA and \$210,000 in a joint savings account that was retitled in her name alone. She had no prior investment experience beyond a passbook savings account and certificates of deposit. Her sole sources of income were a \$1,850 monthly pension and \$2,100 in Social Security benefits. She told Vreeland during their first meeting that she wanted to keep her money safe and accessible because she was worried about future medical expenses, as she had recently been diagnosed with early-stage Parkinson's disease. Vreeland had Mrs. Keating complete a new account form, but he filled out most of it himself, checking boxes for 'moderate' risk tolerance and 'growth and income' as her investment objective. He did not ask about her monthly living expenses, her health insurance coverage, her estate planning goals, or whether she had any other financial advisors. He did not document any notes from their initial meeting. Within six weeks, Vreeland recommended that Mrs. Keating invest \$175,000 of her IRA into a non-traded real estate investment trust called Palomar Healthcare Properties REIT, which carried a 7% upfront commission, a minimum seven-year hold period, no guaranteed distributions, and severe early redemption restrictions. He also recommended she place \$95,000 from her savings into a Regulation D private placement offering from a company called SunBridge Senior Living Fund II, LP, a limited partnership that was developing assisted living facilities. The private placement had a minimum five-year lockup, carried significant risk of total loss, required investors to be accredited, and had a stated minimum investment of \$50,000. Vreeland did not verify whether Mrs. Keating met accredited investor thresholds, nor did he provide her with the private placement memorandum before she signed the subscription agreement. He told her both investments would 'generate steady income to supplement her retirement' and described them as 'similar to owning rental properties without the hassle.' Mrs. Keating signed the documents, trusting Vreeland's guidance. By 2023, Palomar Healthcare Properties REIT had suspended distributions and announced a potential 40% write-down in net asset value. SunBridge Senior Living Fund II defaulted on its construction loan and entered receivership, rendering Mrs. Keating's \$95,000 investment effectively worthless. Mrs. Keating, now facing mounting medical bills, was unable to access any of the \$270,000 she had invested and filed a complaint with her state securities regulator.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Marcus Vreeland committed multiple serious violations. First, he failed to satisfy his fundamental 'know your customer' obligation under FINRA Rule 2111 (the suitability rule), which requires a broker to use reasonable diligence to know the essential facts about a customer, including the customer's age, financial situation, tax status, investment objectives, risk tolerance, liquidity needs, time horizon, and other relevant information. Vreeland filled out the new account form himself, mischaracterizing Mrs. Keating's risk tolerance as 'moderate' and her objective as 'growth and income' when her own stated goals were safety and accessibility. He failed to inquire about her monthly expenses, health insurance, medical prognosis, estate plans, or overall financial picture. This constitutes a clear failure to know the customer.

Second, Vreeland violated FINRA Regulatory Notice 10-22, which imposes a heightened reasonable-basis suitability obligation on broker-dealers recommending private placements and other complex, illiquid products. RN 10-22 requires the firm and representative to conduct a reasonable investigation into the issuer, its management, the business prospects, the assets held, the claims being made, and the intended use of proceeds. There is no evidence Vreeland conducted any due diligence on either Palomar Healthcare Properties REIT or SunBridge Senior Living Fund II. He also failed to provide Mrs. Keating with the private placement memorandum before she signed the subscription agreement, depriving her of material information necessary to make an informed decision.

Third, the recommendations were quantitatively unsuitable. Mrs. Keating had \$620,000 in total liquid assets, and Vreeland placed \$270,000 (approximately 43.5%) into illiquid, high-risk products with multi-year lockup periods, for a 71-year-old retiree with a progressive neurological disease, limited income, no investment experience, and an expressed need for liquidity. Non-traded REITs and Reg D private placements are inherently illiquid and carry significant risks, including total loss of principal, making them wholly inappropriate for a customer in Mrs. Keating's situation.

Fourth, regarding the private placement, Vreeland apparently failed to verify whether Mrs. Keating qualified as an accredited investor under SEC Regulation D, Rule 501(a). With \$620,000 in assets (much of it in a retirement account), a pension of \$1,850/month, and Social Security of \$2,100/month (approximately \$47,400 annual income), she likely did not meet the \$200,000 individual income threshold or the \$1 million net worth threshold (excluding primary residence). Selling Reg D securities to a non-accredited investor without proper verification is a violation of the offering terms and potentially of federal securities law.

Fifth, Vreeland's description of the products as 'similar to owning rental properties without the hassle' and as generating 'steady income' was misleading and omitted material risk factors, violating FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) and potentially constituting a misrepresentation.

Under Regulation Best Interest (Rule 15l-1), which applied to recommendations made after June 30, 2020, Vreeland failed the Care Obligation by not exercising reasonable diligence, care, and skill in making the recommendation, and failed the Disclosure Obligation by not adequately disclosing the risks, fees (including the 7% front-end load on the non-traded REIT), and illiquidity of the investments.

The likely regulatory outcome includes significant sanctions. Based on enforcement precedents—including actions resembling the GPB Capital cases and numerous non-traded REIT enforcement actions brought by FINRA and state regulators—Vreeland faces potential suspension or bar from the industry, substantial fines, and an order to pay restitution. His firm, Horizon Wealth Partners, faces supervisory failure liability for allowing these transactions to proceed without adequate review. NASAA guidance specifically warns against recommending illiquid DPP products to elderly investors with liquidity needs and limited investment experience, and state regulators have been aggressive in pursuing such cases. Mrs. Keating would likely prevail in arbitration and recover damages equal to her investment losses plus interest.

Item 51 of 350**NON-COMPLIANT**

Topic: illiquid_real_estate_investment

Difficulty: medium

Source: 27_Private_Placements_DPPs

Fact Pattern

Margaret Olsen, age 71, is a retired schoolteacher living in Tucson, Arizona. She has a fixed annual income of \$38,000 from her pension and Social Security. Her total liquid net worth is approximately \$310,000, held primarily in a traditional IRA rollover account and a small savings account. She has no other significant assets aside from her home, which she owns outright. Margaret's stated investment objectives on her account documents are capital preservation and income generation. Her risk tolerance is marked as conservative. She has no prior experience with alternative investments, limited partnerships, or private placements, and her investment history consists entirely of certificates of deposit, Treasury bonds, and a balanced mutual fund.

In March 2021, her financial advisor, Dale Whitford, recommended that Margaret invest \$125,000--approximately 40% of her liquid net worth--into a non-traded real estate investment trust called Meridian Healthcare Properties REIT. The REIT invested in skilled nursing facilities and senior living communities across the Southeast. The offering memorandum disclosed that the REIT had no established public trading market, distributions were not guaranteed and could be paid from offering proceeds rather than operating cash flow, the estimated holding period was seven to ten years, and early redemption was subject to significant restrictions and a 10% penalty during the first three years. Upfront fees and commissions totaled approximately 12%, meaning roughly \$15,000 of Margaret's \$125,000 investment was consumed by selling costs.

Dale told Margaret the investment would provide her with a steady 6.5% annual distribution and was 'as safe as owning real estate directly, but without the hassle.' He did not discuss the lack of liquidity, the lengthy holding period, the possibility that distributions could be funded by return of capital rather than actual income, or the substantial upfront costs. Dale did not document any analysis of whether Margaret could afford to have \$125,000 locked up for up to a decade given her age and fixed income, nor did he explore whether less expensive and more liquid income-producing alternatives--such as investment-grade bond funds or dividend-paying equity funds--might be more appropriate. Dale's firm did not maintain a due diligence file on Meridian Healthcare Properties REIT, and no supervisory principal reviewed the transaction for suitability before it was executed.

By late 2022, the REIT suspended quarterly distributions citing declining occupancy rates at its properties. In early 2023, the REIT's board revised its estimated net asset value downward by 35%, reducing Margaret's investment value to approximately \$72,000 on paper--though she could not liquidate her shares due to the redemption restrictions. Margaret, now 73 and facing unexpected dental surgery costs of \$18,000, was unable to access the funds.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dale Whitford violated multiple applicable regulatory standards in recommending this non-traded REIT to Margaret Olsen.

****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on information obtained through reasonable diligence concerning the customer's investment profile. There are three components:

1. ***Reasonable-basis suitability:*** The advisor must perform adequate due diligence to understand the product before recommending it. Dale's firm did not maintain a due diligence file on Meridian Healthcare Properties REIT, and there is no evidence Dale conducted any independent investigation into the offering's risks, fee structure, or financial condition. FINRA Regulatory Notice 10-22 specifically imposes a heightened reasonable investigation duty on firms recommending private placements and other alternative investments, requiring member firms to conduct a searching inquiry into the issuer, its management, business prospects, assets, and the intended use of proceeds. The complete absence of a due diligence file constitutes a clear violation.

2. ***Customer-specific suitability:*** The advisor must have a reasonable basis to believe the recommendation is suitable for the particular customer. Margaret was a 71-year-old retiree with a conservative risk tolerance, capital preservation objectives, limited income, and no experience with alternative investments. Allocating 40% of her liquid net worth to an illiquid, long-duration alternative investment with a seven-to-ten year holding period and no guarantee of distributions is fundamentally incompatible with her profile. At her age, the possibility that she would need access to these funds for healthcare or other retirement expenses was foreseeable and significant.

3. ***Quantitative suitability:*** While this component typically applies to excessive trading, the sheer concentration--40% of liquid assets in a single illiquid product--raises serious concerns about over-concentration in an unsuitable asset class.

****Regulation Best Interest (Rule 15l-1):**** If Dale's firm was subject to Reg BI (applicable to broker-dealer recommendations to retail customers after June 30, 2020), the Care Obligation required Dale to exercise reasonable diligence, care, and skill in making this recommendation. He was required to understand the potential risks, rewards, and costs of the recommendation, have a reasonable basis to believe it was in Margaret's best interest (not merely suitable), and consider reasonably available alternatives. Dale failed on all three counts: he did not understand or disclose the risks (illiquidity, return-of-capital distributions, lengthy lock-up); the recommendation plainly was not in the best interest of a 71-year-old conservative retiree; and he failed to consider more liquid, lower-cost income-producing alternatives such as investment-grade bond funds or dividend-paying equity funds. The Disclosure Obligation was also violated, as Dale affirmatively mischaracterized the investment as being 'as safe as owning real estate directly' and failed to disclose material features including the 12% upfront cost load, redemption restrictions, and the risk that distributions could be paid from offering proceeds.

****FINRA Rule 2010 (Standards of Commercial Honor):**** Dale's misleading characterization of the REIT's safety and his omission of material risk factors constitute conduct inconsistent with just and equitable principles of trade.

****NASAA Guidance:**** State securities regulators through NASAA have issued guidance that non-traded REITs should generally not be recommended to customers for whom liquidity is important, and many states impose concentration limits (often 10% of liquid net worth) for non-traded REIT investments. Margaret's 40% concentration far exceeds typical state-level thresholds.

****Supervisory Failures:**** The firm's failure to maintain a due diligence file and the absence of any supervisory review of the transaction before execution constitute violations of FINRA Rules 3110 and 3120 regarding supervisory systems and procedures.

****Likely Regulatory Outcome:**** Dale and his firm would likely face enforcement action, including fines, disgorgement of commissions, restitution to Margaret, potential suspension for Dale, and censure of the firm. Customer arbitration would likely result in an award of compensatory damages reflecting Margaret's losses, potentially including the full amount invested minus any distributions received, plus interest.

Item 52 of 350**NON-COMPLIANT****Topic:** illiquid_investments**Difficulty:** hard**Source:** 27_Private_Placements_DPPs**Fact Pattern**

Gerald Ostrowski, age 71, is a retired high school principal living in suburban Milwaukee, Wisconsin. He has a fixed income consisting of a state pension paying \$54,000 annually and Social Security benefits of \$26,400 per year. His liquid net worth totals approximately \$410,000, held primarily in a rollover IRA (\$310,000) and a taxable brokerage account (\$100,000). Gerald's wife, Doris, age 69, has early-stage Alzheimer's disease and requires increasing levels of home care, currently costing the couple approximately \$2,800 per month out of pocket, with projected costs rising significantly over the next several years. Gerald told his financial advisor, Kyle Denning, that his primary objectives were capital preservation and generating reliable income to cover Doris's escalating medical expenses, and that he could not afford to lose principal. Gerald described himself as conservative and noted he might need to access large portions of his savings within two to three years if Doris required placement in a memory care facility, which could cost \$7,000 to \$9,000 per month in their area.

In March 2021, Denning recommended that Gerald invest \$155,000 from his IRA into a non-traded REIT focused on senior housing and healthcare properties, citing the product's 6.5% annualized distribution yield and telling Gerald that the investment was 'perfect for your situation since it invests in the exact kind of facilities Doris might use someday.' Denning also recommended \$75,000 from the taxable account into a Regulation D private placement offering structured as a limited partnership interest in a portfolio of medical office buildings, with a stated target return of 8-10% annually. The private placement had a minimum seven-year hold period with no redemption rights, and the offering memorandum disclosed significant risks including potential total loss of capital. The non-traded REIT had a share redemption program but it was subject to quarterly limitations, board discretion, and had been temporarily suspended at a prior sponsor-affiliated fund during COVID-19. Combined, these two illiquid investments represented approximately \$230,000, or 56% of Gerald's total liquid assets.

Denning earned a 7% commission on the non-traded REIT sale (\$10,850) and a 3.5% placement fee on the private placement (\$2,625), for total compensation of \$13,475 on the two transactions. Denning's firm had conducted only a cursory review of the private placement sponsor, relying primarily on marketing materials provided by the issuer rather than performing independent investigation of the sponsor's track record, financial statements, or the underlying properties. The firm's compliance department had flagged the non-traded REIT for a concentration limit of 30% of liquid net worth for clients over age 65, but Denning's allocation of \$155,000 represented 37.8% of Gerald's liquid net worth in that single product alone. Denning submitted the paperwork noting Gerald's risk tolerance as 'moderate' and his time horizon as '7-10 years,' neither of which was consistent with the information Gerald had provided during their meetings. By late 2022, the non-traded REIT had suspended its distribution payments and its share redemption program, and the private placement sponsor sent a letter to investors disclosing construction delays and cost overruns that would delay any distributions for at least 18 months. Gerald, now facing \$4,200 per month in care costs for Doris, was unable to access any of the \$230,000 and was forced to liquidate other holdings at a loss to cover expenses.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kyle Denning committed multiple serious violations of applicable regulatory standards.

1. **Suitability -- FINRA Rule 2111:** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommendation is suitable for the customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, risk tolerance, and any other information disclosed by the customer. Denning violated all three components of the suitability obligation:

- **Reasonable-basis suitability:** Denning's firm failed to conduct adequate due diligence on the Reg D private placement. FINRA Regulatory Notice 10-22 imposes a duty of reasonable investigation on broker-dealers recommending private placements and direct participation programs. The firm relied solely on issuer-provided marketing materials rather than independently verifying the sponsor's financial condition, track record, and the viability of the underlying real estate assets. This failure to perform meaningful due diligence is a direct violation of the reasonable investigation duty.

- **Customer-specific suitability:** Gerald was 71 years old, retired on fixed income, explicitly stated he was conservative, had a two-to-three-year liquidity need for his wife's escalating medical care, and could not afford to lose principal. Recommending that 56% of his liquid net worth be placed into illiquid products -- one with a seven-year lockup and no redemption rights, and another with a historically unreliable redemption program -- was fundamentally unsuitable given Gerald's clearly articulated short-term liquidity needs and conservative risk tolerance.

- **Quantitative suitability:** While typically applied to excessive trading, the concentration of 56% of liquid assets in illiquid, high-risk products for a retiree with known near-term liquidity demands is analogous to an unsuitable concentration that, taken together, was excessive for this customer profile.

2. **Regulation Best Interest (SEC Rule 15l-1):** For broker-dealers and their associated persons, Reg BI requires that recommendations be in the retail customer's best interest, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation, without placing the financial professional's interest ahead of the customer's. Several Reg BI component obligations were violated:

- **Care Obligation:** Denning failed to exercise reasonable diligence, care, and skill in making the recommendation. A reasonable advisor would not have recommended \$230,000 in illiquid investments to a 71-year-old retiree who explicitly stated he might need access to his savings within two to three years for his wife's memory care placement.

- **Disclosure Obligation:** There is no indication Denning adequately disclosed the material liquidity risks, including the possibility that the non-traded REIT could suspend its redemption program (as a related fund had done previously) or that the private placement had a hard seven-year lockup.

- **Conflict of Interest Obligation:** Denning earned \$13,475 in commissions and placement fees on these transactions. His financial incentive to recommend high-commission illiquid products created a material conflict of interest that does not appear to have been mitigated or disclosed.

3. **FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade):** Denning falsified Gerald's account documentation by recording his risk tolerance as 'moderate' and his time horizon as '7-10 years,' when Gerald had clearly communicated a conservative posture and a two-to-three-year liquidity horizon. Falsifying customer records to circumvent suitability or compliance controls is a standalone violation of FINRA Rule 2010 and may also constitute a books-and-records violation.

4. ****NASAA Guidance on Unsuitable DPP Recommendations:**** NASAA has issued extensive guidance and proposed policy revisions regarding non-traded REITs, including concentration limits. The firm's own internal compliance policy set a 30% concentration limit for clients over 65 in non-traded REITs, but Denning exceeded that threshold (37.8% in the non-traded REIT alone, 56% total in illiquid products), which constitutes a violation of the firm's supervisory procedures.

5. ****Firm Supervisory Failures:**** The firm's failure to independently investigate the Reg D offering sponsor and its failure to enforce its own concentration limits suggest a supervisory breakdown under FINRA Rules 3110 and 3120. The compliance department flagged the concentration issue but there is no indication the firm took action to prevent the sale.

****Likely Regulatory Outcome:**** Denning would likely face FINRA enforcement action resulting in disgorgement of commissions, fines, restitution to the customer, and a potential suspension or bar. The firm could face separate sanctions for supervisory failures and for failing to meet its reasonable investigation duty under FINRA RN 10-22. State securities regulators could also pursue action under NASAA guidelines. Gerald would have strong grounds for a customer arbitration claim seeking full recovery of his losses, given the egregiousness of the suitability violations, document falsification, and the exploitation of a vulnerable elderly client with a spouse requiring medical care.

Item 53 of 350**NON-COMPLIANT**

Topic: illiquid_real_estate_investment

Difficulty: hard

Source: 27_Private_Placements_DPPs

Fact Pattern

Margaret Ellison, age 72, is a retired elementary school teacher living in Tucson, Arizona. Her annual pension income is \$48,000, and she has a total liquid net worth of approximately \$410,000, consisting of \$285,000 in an IRA, \$95,000 in a savings account, and \$30,000 in a checking account. She also owns her home outright, valued at approximately \$220,000. Margaret's stated investment objectives on her account documents are income and preservation of capital. Her risk tolerance is listed as conservative. She has no prior experience investing in alternative or illiquid products and has only owned mutual funds and certificates of deposit throughout her life. Her health has been declining; she was recently diagnosed with early-stage kidney disease and anticipates rising medical expenses over the next several years.

In March 2022, her financial advisor, Craig Winslow, age 44, with twelve years of experience at Ridgeline Securities Group, a mid-sized independent broker-dealer, recommended that Margaret invest \$125,000 from her IRA into the Heartland Realty Income Fund II, a non-traded real estate investment trust focused on acquiring Class B and Class C commercial office properties in secondary markets across the Midwest. The fund had a minimum holding period of seven years with no share repurchase program during the first three years, and a limited quarterly repurchase program thereafter capped at 2.5% of outstanding shares per quarter. The fund charged an upfront load of 7%, an annual asset management fee of 1.25%, and a separate acquisition fee of 2% on deployed capital. The offering documents disclosed that the fund was newly formed, had no operating history, and that distributions could be funded in whole or in part from offering proceeds or borrowings rather than operating cash flow.

Craig had attended a single due diligence conference call hosted by the fund's wholesaler in January 2022, lasting approximately 30 minutes. He did not independently review the fund's private placement memorandum, the financial statements of the sponsor entity, or the track record of the management team. His firm, Ridgeline Securities Group, had approved the Heartland fund for sale on its platform after a product review committee meeting in which the product was discussed for approximately fifteen minutes. No written due diligence report was prepared, and the committee did not evaluate the sponsor's prior fund performance or the viability of the targeted asset class in a rising interest rate environment.

Craig told Margaret that the investment would provide her with "reliable monthly income of around 6% annually" and described it as "similar to owning rental property without the hassle." He did not discuss the seven-year illiquidity period, the lack of a secondary market, the possibility that distributions might not come from actual earnings, or the impact of the front-end load and fees on her returns. He also did not discuss how investing 30% of her liquid net worth in a single illiquid product could affect her ability to cover anticipated medical costs. Craig earned a commission of \$8,750 on the transaction. Margaret received distributions for the first eight months totaling approximately \$5,000, but the fund suspended distributions entirely in December 2022 citing declining occupancy rates in its portfolio properties. By mid-2023, the fund's estimated share value had been written down by 28%. Margaret needed funds for a medical procedure in April 2023 but was unable to access her investment due to the repurchase program not yet being active.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Winslow violated multiple regulatory requirements in recommending the Heartland Realty Income Fund II to Margaret Ellison.

****Suitability under FINRA Rule 2111:****

FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, and risk tolerance.

Three independent components of suitability were violated here:

1. ****Reasonable-Basis Suitability:**** Craig failed to perform adequate due diligence on the product itself. He attended only a 30-minute wholesaler call and did not review the private placement memorandum, the sponsor's financial condition, or the management team's track record. FINRA Regulatory Notice 10-22 specifically addresses the heightened duty of reasonable investigation that applies to private placements and other complex, illiquid products. The notice makes clear that member firms and their representatives must conduct a searching inquiry into the issuer, its management, business prospects, assets, claims to assets, and the intended use of proceeds. Neither Craig nor his firm satisfied this standard. The firm's product review committee spent only fifteen minutes on the product and prepared no written due diligence report.
2. ****Customer-Specific Suitability:**** Margaret is a 72-year-old retiree with conservative risk tolerance, income and capital preservation objectives, declining health, anticipated medical expenses, and a moderate liquid net worth of \$410,000. Concentrating approximately 30% of her liquid assets in a single illiquid, non-traded REIT with a seven-year lockup, no immediate repurchase program, no operating history, and substantial fee drag is facially unsuitable for this customer profile. The recommendation ignored her liquidity needs and time horizon, both of which are explicitly listed as factors under Rule 2111.
3. ****Quantitative Suitability:**** While this component typically applies to excessive trading, the concentration of 30% of liquid assets in a single illiquid alternative investment raises serious concerns about over-concentration that are analogous.

****Reg BI (Rule 15l-1) Care Obligation:****

For broker-dealers subject to Regulation Best Interest, the Care Obligation under Rule 15l-1(a)(2)(ii) requires the advisor to exercise reasonable diligence, care, and skill in making the recommendation, to understand the potential risks, rewards, and costs of the recommendation, and to have a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made and does not place the financial professional's interest ahead of the customer's. Craig's recommendation fails this standard. The 7% front-end load generating an \$8,750 commission, combined with the ongoing fees, created a significant cost drag that was not in Margaret's interest given lower-cost income alternatives available to her. Craig also failed to consider reasonably available alternatives that would have been less costly and more liquid.

****Disclosure Failures under Reg BI and FINRA Rule 2010:****

Craig affirmatively misled Margaret by characterizing the investment as providing "reliable" income "similar to owning rental property" without disclosing the illiquidity constraints, the risk that distributions could be paid from offering proceeds rather than earnings, and the lack of a secondary market. This constitutes a material omission and potentially a misleading statement, violating FINRA Rule 2010's requirement for high standards of commercial honor and just and equitable principles of trade. Under Reg BI's Disclosure Obligation, the advisor was required to provide full and fair disclosure of all material facts relating to the recommendation, including conflicts of interest such as the commission.

****NASAA Guidance:****

NASAA has issued extensive guidance on unsuitable DPP and non-traded REIT recommendations, particularly cautioning against sales to elderly investors with conservative profiles and limited liquidity. State regulators have consistently found that non-traded REIT sales to elderly, conservative investors in concentrations above 10-15% of liquid net worth are presumptively unsuitable.

****GPB Capital Enforcement Precedent:****

The fact pattern here mirrors the issues seen in the GPB Capital enforcement actions, where firms failed to conduct adequate due diligence on the issuer and sponsor, approved products for sale without rigorous review, and allowed representatives to sell illiquid products to unsuitable customers. Multiple firms and representatives faced sanctions including fines, suspensions, and restitution orders.

****Likely Regulatory Outcome:****

Craig Winslow would likely face a FINRA enforcement action resulting in a significant fine, a suspension of at least several months, and an order to pay restitution to Margaret Ellison. Ridgeline Securities Group would likely face a separate action for supervisory failures, including failure to establish and maintain a reasonable supervisory system for reviewing and approving sales of illiquid alternative products (FINRA Rules 3110 and 3120), and failure to conduct the reasonable investigation required under RN 10-22. The firm could face fines, a censure, and an obligation to review all similar sales on its platform.

Item 54 of 350**NON-COMPLIANT**

Topic: senior_investor_exploitation

Difficulty: medium

Source: 27_Private_Placements_DPPs

Fact Pattern

Margaret Ellison, age 79, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,400 per month from her pension and \$1,850 per month from Social Security. Her total liquid net worth is approximately \$415,000, held primarily in a rollover IRA containing mutual funds and certificates of deposit. She has no other significant assets aside from her home, which is paid off and valued at roughly \$210,000. Mrs. Ellison's stated investment objectives on her account documents are income and preservation of capital, and her risk tolerance is listed as conservative. She has no prior experience with alternative investments, private placements, or real estate programs.

In June 2021, her financial advisor, Craig Denham, age 42, who had been managing her accounts for approximately three years, invited her to his office to discuss what he described as an opportunity to earn higher income than her CDs were generating. During that meeting, he recommended she invest \$125,000 -- roughly 30% of her liquid net worth -- into a non-traded real estate investment trust called Patriot Realty Income Fund III. The product carried a 7% front-end sales commission, had a minimum seven-year hold period with no established secondary market, and disclosed in its offering memorandum that distributions could be paid from offering proceeds rather than operating income. Redemption provisions were extremely limited: investors could request quarterly redemptions only after a two-year lockup, and even then, redemptions were capped at 5% of outstanding shares per quarter at the board's discretion and were subject to a 10% early redemption fee.

Denham told Mrs. Ellison the investment would provide stable monthly income of approximately 6.5% annually and characterized it as similar to owning rental properties without the hassle. He did not discuss the illiquidity restrictions in detail, nor did he explain that distributions might not come from actual earnings. He also did not mention that her age and life expectancy made a seven-year-plus illiquid commitment particularly problematic. Mrs. Ellison signed the subscription documents the same day.

By March 2023, the REIT had suspended its distribution payments and reduced its estimated share value by 38%. Mrs. Ellison, who had been relying on the distributions to supplement her fixed income, was unable to redeem her shares. She filed a complaint with Denham's firm in April 2023, stating she was never told she could lose access to her money for years or that distributions could be cut. Denham's firm's internal records show he earned a \$8,750 commission on the sale. Supervisory records indicate the branch manager approved the transaction after a cursory review and did not flag the concentration level or the customer's age as risk factors.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Denham violated multiple regulatory standards in recommending this non-traded REIT to Margaret Ellison.

****Suitability Analysis under FINRA Rule 2111:****

FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a

recommended transaction or investment strategy is suitable for the customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance.

Here, Mrs. Ellison was 79 years old with conservative risk tolerance, income and capital preservation objectives, no experience with alternative investments, and dependence on her investment portfolio for living expenses. A non-traded REIT with a seven-year-plus hold period, no liquid secondary market, and the possibility of return-of-capital distributions is fundamentally inconsistent with her profile.

****Customer-Specific Suitability:**** The recommendation failed customer-specific suitability. At age 79, a seven-year illiquid commitment means Mrs. Ellison would potentially not have access to 30% of her liquid assets until age 86 or beyond. Her reliance on investment income for daily expenses made illiquidity particularly dangerous.

****Quantitative Suitability / Concentration:**** Allocating approximately 30% of a conservative senior investor's liquid net worth to a single illiquid alternative investment represents an unsuitable concentration. Many firms and state regulators cap non-traded REIT exposure at 10% of liquid net worth for most investors, and even lower for seniors.

****Reasonable-Basis Suitability and FINRA Regulatory Notice 10-22:**** FINRA RN 10-22 specifically addresses the heightened duty of reasonable investigation (due diligence) that broker-dealers and their representatives owe when recommending private placements and other complex products. The advisor must understand the product's risks, including illiquidity, fee structure, distribution policies, and conflicts of interest. Denham's failure to communicate that distributions could be funded from offering proceeds rather than operating income -- and his characterization of the product as akin to hassle-free rental property ownership -- suggest he either failed to understand the product or deliberately misrepresented it.

****Regulation Best Interest (Reg BI) -- SEC Rule 15l-1:**** For recommendations made after June 30, 2020, Reg BI's Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile and the product's risks, rewards, and costs. The advisor must consider reasonably available alternatives. Given Mrs. Ellison's profile, lower-cost, liquid income-producing alternatives (e.g., investment-grade bond funds, dividend equity funds, or even agency mortgage REITs with daily liquidity) were readily available. The Disclosure Obligation under Reg BI also required full and fair disclosure of material facts, including the illiquidity, the distribution source risk, and the conflicts inherent in the 7% front-end load generating an \$8,750 commission.

****FINRA Rule 2010 -- Standards of Commercial Honor:**** Misrepresenting or omitting material features of an illiquid investment to a vulnerable senior investor violates the just and equitable principles of trade under FINRA Rule 2010.

****NASAA Guidance:**** NASAA has issued extensive guidance on non-traded REITs and DPP suitability, emphasizing concentration limits (often 10% of liquid net worth), enhanced suitability obligations for senior investors, and the need for clear disclosure of illiquidity, fees, and distribution practices. This recommendation exceeded any reasonable concentration threshold.

****Supervisory Failures:**** The branch manager's cursory approval without flagging the customer's age, concentration, or the mismatch between product characteristics and customer profile suggests a failure of the firm's supervisory system under FINRA Rules 3110 and 3120.

****GPB Capital Precedent:**** Enforcement actions in the GPB Capital cases established that firms and advisors face significant liability when they recommend illiquid alternative investments without adequate due diligence and without ensuring customer-specific suitability, particularly when red flags (such as advanced age, conservative profile, and income dependence) are ignored.

****Likely Regulatory Outcome:**** Denham would likely face sanctions including fines, disgorgement of commissions, suspension, and potentially a bar. The firm could face additional fines and remediation orders for supervisory failures. Mrs. Ellison would likely prevail in arbitration seeking recovery of her losses plus the \$8,750 commission.

Item 55 of 350**NON-COMPLIANT**

Topic: illiquid_real_estate_investment

Difficulty: hard

Source: 27_Private_Placements_DPPs

Fact Pattern

Margaret Kowalski, age 71, is a retired schoolteacher living in suburban Cleveland, Ohio. She receives \$2,400 per month from her pension and \$1,850 per month in Social Security benefits. Her total liquid net worth is approximately \$410,000, consisting of \$285,000 in an IRA rollover account, \$90,000 in a savings account, and \$35,000 in a checking account. She owns her home outright, valued at approximately \$185,000. Margaret describes herself as a conservative investor whose primary objectives are capital preservation and income generation to supplement her fixed retirement income. She has no prior experience investing in alternative or illiquid products, having historically held certificates of deposit, Treasury bonds, and a small allocation to a balanced mutual fund.

In March 2022, Margaret's financial advisor, Derek Hollins, who had managed her IRA for approximately four years, invited her to his office to discuss 'an exciting opportunity to boost her monthly income.' During the meeting, Derek recommended that Margaret invest \$140,000 from her IRA into a non-traded real estate investment trust called Pinnacle Healthcare Properties REIT, which invested in medical office buildings and senior living facilities across the southeastern United States. The REIT had a stated distribution yield of 6.5% annually and carried upfront fees totaling 12%, including a 7% sales commission, a 3% dealer manager fee, and 2% in offering and organizational expenses. The offering documents disclosed a minimum seven-year hold period with no established secondary market and noted that distributions could be funded from offering proceeds rather than operating income.

Derek told Margaret that the investment was 'basically like owning real estate without the hassle' and compared the 6.5% yield favorably to the 1.8% she was earning on her CDs at the time. He mentioned the healthcare focus made it 'recession-proof' and said several of his retired clients were 'very happy' with the income. He did not discuss the upfront fee load in specific dollar terms, the illiquidity risks in the context of her age and potential need for funds, the possibility that distributions might not be sourced from actual rental income, or the fact that the share price could decline significantly. He did not present any alternative income-generating investments for comparison.

Derek's firm had conducted a limited review of Pinnacle Healthcare Properties REIT before adding it to their approved product list. The firm's due diligence file contained the offering memorandum, a one-page summary prepared by the sponsor's wholesaler, and a brief email exchange between the firm's compliance officer and the sponsor's investor relations department. No independent analysis of the REIT's financial projections, property valuations, management track record, or fee structure was performed. The firm received a total compensation package equal to 8.5% of each sale, including trailing fees.

The \$140,000 investment represented approximately 34% of Margaret's total liquid net worth and 49% of her IRA. Within fourteen months, Pinnacle Healthcare Properties suspended its distribution payments citing cash flow difficulties related to tenant vacancies at several senior living properties. By December 2023, the REIT's estimated per-share value had been marked down by 38%, reducing Margaret's investment to approximately \$75,700 in stated value -- though no redemption program was available. Margaret contacted Derek in January 2024 asking to liquidate the position because she needed funds for unexpected home repairs totaling \$12,000, and Derek informed her that she could not access the money. Margaret filed a complaint with her state securities regulator in February 2024, alleging that she was never told she could lose access to her money or that the distributions might stop.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hollins violated multiple regulatory standards in recommending the Pinnacle Healthcare Properties non-traded REIT to Margaret Kowalski.

****Suitability Analysis under FINRA Rule 2111:****

FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance.

1. ***Reasonable-Basis Suitability*:** Derek and his firm failed to conduct adequate due diligence on the non-traded REIT itself. FINRA Regulatory Notice 10-22 specifically addresses the heightened duty of reasonable investigation that firms owe when recommending private placements and other complex, illiquid products. The notice states that firms must conduct a searching inquiry into the issuer, its management, its business prospects, the assets backing the securities, and the intended use of proceeds. The firm's due diligence -- limited to the offering memorandum, a wholesaler-prepared summary, and a cursory email exchange -- falls far short of this standard. No independent analysis of property valuations, management track record, financial projections, or the sustainability of the stated 6.5% distribution yield was performed. This is a clear reasonable-basis suitability failure.

2. ***Customer-Specific Suitability*:** Margaret was 71 years old, retired, conservative, reliant on fixed income, had no experience with alternative investments, and had a limited liquid net worth. A \$140,000 allocation to a non-traded REIT with a minimum seven-year hold period, 12% upfront fees, and no secondary market was fundamentally unsuitable for her profile. The investment consumed 34% of her liquid assets and 49% of her IRA, creating dangerous concentration and liquidity risk for a retiree who might need access to her savings. Her stated objectives -- capital preservation and income generation -- are directly contradicted by a speculative, illiquid product whose distributions could be funded from return of capital rather than actual income.

3. ***Quantitative Suitability / Concentration*:** The 34% concentration of liquid net worth in a single illiquid alternative product for a 71-year-old conservative retiree is excessive by any reasonable measure. NASAA guidelines on non-traded REITs have historically recommended concentration limits of 10% or less of liquid net worth for these products, and many states impose such limits as a condition of offering registration.

****Reg BI (Rule 15l-1) Analysis:****

If Derek's recommendation was made in a broker-dealer capacity to a retail customer, Regulation Best Interest applies. The Care Obligation under Reg BI requires that the broker exercise reasonable diligence, care, and skill in making the recommendation, understand the potential risks, rewards, and costs of the recommendation, and have a reasonable basis to believe the recommendation is in the retail customer's best interest and does not place the broker's interest ahead of the customer's. Derek failed all prongs: he did not adequately understand or communicate the risks, did not consider the product's costs in context (the 12% upfront load immediately destroyed \$16,800 of Margaret's investment), and did not consider reasonably available alternatives such as investment-grade bond funds, dividend-paying equity funds, or even traded REITs with daily liquidity. The Disclosure Obligation was also violated -- Derek failed to disclose the specific dollar impact of the fee load, failed to adequately explain illiquidity risk relative to her circumstances, and failed to disclose the firm's 8.5% compensation arrangement which created a material conflict of interest.

****FINRA Rule 2010 (Standards of Commercial Honor):****

Derek's misleading characterizations -- describing a speculative non-traded REIT as 'basically like owning real estate without the hassle' and calling it 'recession-proof' -- constitute misleading and deceptive conduct inconsistent with just and equitable principles of trade under FINRA Rule 2010. Omitting material information about illiquidity, fee impact, and distribution sourcing from return of capital further compounds this violation.

****GPB Capital Enforcement Precedent:****

This fact pattern closely mirrors the issues raised in enforcement actions related to GPB Capital and similar non-traded alternative investments, where firms and advisors were sanctioned for inadequate due diligence, unsuitable recommendations to elderly and conservative investors, excessive concentration in illiquid products, and failure to disclose material risks and conflicts of interest.

****SEC Regulation D Considerations:****

While Reg D provides registration exemptions for the issuer, it does not relieve broker-dealers or their representatives from their independent suitability and due diligence obligations when recommending these offerings to customers.

****Likely Regulatory Outcome:****

Derek Hollins faces significant liability including potential FINRA sanctions (fine, suspension, or bar), state regulatory action (the complaint was filed with the state securities regulator, and NASAA member states have been aggressive in pursuing non-traded REIT suitability cases), and potential customer arbitration damages. The firm also faces supervisory liability for its inadequate due diligence process and failure to supervise the suitability of the recommendation. Expected remedies could include disgorgement of commissions, restitution to Margaret, fines, and enhanced supervisory requirements.

Item 56 of 350**NON-COMPLIANT**

Topic: alternative_investments_unsuitable

Difficulty: medium

Source: 27_Private_Placements_DPPs

Fact Pattern

Margaret Chen, age 72, is a retired elementary school teacher living in suburban Phoenix, Arizona. She has a modest net worth of approximately \$410,000, consisting of \$285,000 in her IRA rollover account, \$75,000 in a savings account, and a paid-off home valued at roughly \$250,000. Her annual income is \$38,000, drawn entirely from Social Security and a small state pension. On her new account form, she listed her risk tolerance as 'conservative,' her investment objective as 'income and preservation of capital,' her time horizon as '1-5 years,' and her liquidity needs as 'high' because she anticipated needing funds for potential assisted living costs within the next three to four years. She had no prior experience with alternative investments or private placements.

In March 2022, her financial advisor, Derek Walton, age 44, with eleven years of industry experience, recommended that Margaret invest \$140,000 -- approximately 49% of her IRA -- into a non-traded real estate investment trust called Meridian Healthcare Properties REIT, which focused on skilled nursing facilities and senior living centers. The product carried a 7% upfront commission to the selling broker, a stated distribution yield of 6.5%, a minimum seven-year hold period before any anticipated liquidity event, and early redemption was limited to 'extraordinary circumstances' such as death or disability, with a 10% redemption penalty during the first three years. The offering memorandum disclosed 23 pages of risk factors, including the illiquid nature of the shares, the possibility that distributions could be funded from offering proceeds rather than operating income, and the risk of total loss of principal.

Walton told Margaret during a single 45-minute meeting that the REIT would provide 'steady monthly checks like clockwork' and was 'basically like owning a bunch of real estate without the hassle.' He did not discuss the liquidity restrictions, the length of the hold period, or the fact that early redemptions would be penalized. He did not document any independent investigation into the REIT's financial condition, management team, or the feasibility of its stated distribution rate. He did not present any alternative income-producing investments for comparison. Walton earned a \$9,800 gross commission on the transaction.

By late 2023, Meridian Healthcare Properties REIT suspended its distribution payments and wrote down the estimated share value by 38%, reducing Margaret's \$140,000 investment to an estimated value of \$86,800. Margaret, now 73, needed to begin drawing down funds for in-home care but could not access the capital without accepting further losses through the early redemption penalty. She filed a complaint with her state securities regulator in January 2024.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Walton violated multiple applicable standards in recommending the non-traded REIT to Margaret Chen.

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker have a reasonable basis to believe a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, liquidity needs, investment objectives, and time horizon. Margaret was a 72-year-old

retiree with conservative risk tolerance, a short time horizon (1-5 years), high liquidity needs, and no experience with alternative investments. A non-traded REIT with a minimum seven-year hold period, severe early redemption restrictions, and a 10% redemption penalty is fundamentally incompatible with every element of her stated profile. The concentration of approximately 49% of her IRA in a single illiquid product further aggravates the unsuitability. This fails both the customer-specific suitability obligation and the quantitative suitability component.

2. ****FINRA Regulatory Notice 10-22 (Reasonable Investigation Duty for Private Placements and DPPs):**** RN 10-22 imposes on member firms and their associated persons a duty to conduct a reasonable investigation of the issuer and the securities being offered before recommending them to customers. Walton did not document any independent due diligence into the REIT's financial condition, the management team's track record, the sustainability of the 6.5% distribution rate, or whether distributions were being paid from operating cash flows versus return of capital from offering proceeds. This constitutes a failure of the reasonable-basis suitability inquiry required under both Rule 2111 and RN 10-22.

3. ****SEC Regulation Best Interest (Rule 15l-1):**** If Walton was acting in a broker-dealer capacity (which the commission structure indicates), Reg BI's Care Obligation required him to exercise reasonable diligence, care, and skill to understand the risks and rewards of the recommendation, consider reasonably available alternatives, and ensure the recommendation was in the customer's best interest without placing his own financial interest ahead of the customer's. The \$9,800 commission created a significant financial incentive, and Walton failed to present any alternative income-producing investments. He also failed to consider lower-cost, more liquid alternatives such as investment-grade bond funds, Treasury securities, or traded REITs that would have aligned with Margaret's stated objectives. The Disclosure Obligation was also violated because Walton affirmatively mischaracterized the product by omitting material information about liquidity restrictions, hold periods, and redemption penalties.

4. ****FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade):**** Walton's misleading characterization of the REIT as providing income 'like clockwork' without disclosing material risks, combined with the omission of key product features, constitutes conduct inconsistent with just and equitable principles of trade.

5. ****NASAA Guidance on Unsuitable DPP Recommendations:**** State regulators, consistent with NASAA positions, have consistently found that recommendations of illiquid DPPs and non-traded REITs to elderly, conservative investors with short time horizons and high liquidity needs are per se unsuitable. Concentration levels exceeding typical firm guidelines (often 10-25% of liquid net worth for alternative investments) further support a finding of unsuitability.

****Likely Regulatory Outcome:**** Walton and his firm face potential sanctions including fines, disgorgement of commissions, restitution to the customer, suspension or bar, and potential state enforcement action. The GPB Capital enforcement actions and numerous non-traded REIT enforcement cases demonstrate that regulators aggressively pursue brokers who recommend illiquid alternative investments to unsuitable customers without adequate due diligence. Margaret would likely prevail in arbitration or a regulatory complaint seeking full restitution of her losses plus the redemption penalty costs.

Item 57 of 350**NON-COMPLIANT****Topic:** inappropriate_risk_profile**Difficulty:** medium**Source:** 27_Private_Placements_DPPs**Fact Pattern**

Gerald Whitfield, age 71, is a retired postal worker living in Tallahassee, Florida. He has a fixed monthly income of \$2,800 from his pension and \$1,400 from Social Security. His total liquid net worth is approximately \$215,000, held primarily in a traditional IRA rollover and a small savings account of \$18,000. Gerald completed a new account form in March 2022 indicating his investment objective as "income and preservation of capital," his risk tolerance as "conservative," his time horizon as "3-5 years," and his liquidity needs as "moderate" since he periodically draws from his IRA to cover medical expenses related to his Type 2 diabetes. Gerald's investment experience was listed as limited, consisting only of certificates of deposit and a small allocation to a balanced mutual fund. His advisor, Craig Dutton, who had been registered for six years with a mid-size independent broker-dealer, recommended that Gerald invest \$140,000 -- roughly 65% of his liquid net worth -- into two non-traded real estate investment trust programs. The first was a \$90,000 allocation to the Pinnacle Healthcare Properties REIT, which had a minimum seven-year hold period, no secondary market, distributions that were not guaranteed, and total front-end fees (including selling commissions, dealer manager fees, and offering expenses) of approximately 12%. The second was a \$50,000 investment in the Atlas Industrial Logistics REIT, which carried similar illiquidity restrictions, a projected hold period of eight to ten years, and front-end load costs totaling 11.5%. Craig told Gerald that both products would generate "steady quarterly income like a CD but with better returns," and described them as "very safe real estate backed by hard assets." Craig did not discuss the illiquidity risk in detail, did not explain that distributions could be funded from offering proceeds or borrowings rather than operating cash flow, and did not document any analysis of whether Gerald's overall portfolio could withstand having nearly two-thirds of his assets locked up for seven to ten years. Craig's broker-dealer had issued an internal product memo on non-traded REITs that set a concentration limit of 25% of liquid net worth for conservative investors over age 65, but Craig did not reference or follow this guidance. Gerald received two quarterly distributions from Pinnacle but in early 2023, both REITs suspended distributions. Gerald needed to access funds for an unexpected surgery in June 2023 and discovered he could not liquidate either position without accepting a discount of over 30% through an informal secondary market bulletin board. He filed a complaint with his broker-dealer in August 2023.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Dutton violated multiple applicable standards in recommending these non-traded REIT investments to Gerald Whitfield.

****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile including age, financial situation, tax status, investment objectives, investment experience, time horizon, liquidity needs, and risk tolerance. Rule 2111 encompasses three obligations: (1) reasonable-basis suitability, (2) customer-specific suitability, and (3) quantitative suitability.

On customer-specific suitability, Gerald's profile -- a 71-year-old retiree with conservative risk tolerance, limited

investment experience, a 3-5 year time horizon, moderate liquidity needs driven by ongoing medical expenses, and a modest liquid net worth of \$215,000 -- is fundamentally incompatible with an aggregate \$140,000 allocation (65% concentration) in illiquid, non-traded REITs with 7-10 year hold periods and no guaranteed distributions. The recommendation directly contradicts Gerald's stated objectives of income and capital preservation, given the products' illiquidity risk, distribution suspension risk, and high front-end fees that immediately erode principal.

****FINRA Regulatory Notice 10-22:**** This notice specifically addresses the heightened duty of reasonable investigation when recommending private placements and other complex, illiquid products. It reminds firms and representatives that they must conduct a thorough analysis of the offering, including the issuer's financial condition, the risks disclosed in offering materials, and the product's suitability for the specific customer. Craig's failure to analyze whether Gerald could withstand having 65% of his liquid assets locked up, and his failure to adequately discuss illiquidity, distribution source risks, and fee drag, demonstrates a failure of this reasonable investigation duty.

****Regulation Best Interest (Rule 15l-1):**** Under Reg BI's Care Obligation, a broker must exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation, and must have a reasonable basis to believe the recommendation is in the retail customer's best interest at the time it is made, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. Craig's recommendation fails this standard because: (a) the concentration level was excessive and directly contrary to the firm's own internal guidelines limiting conservative elderly investors to 25% in non-traded REITs; (b) the products' illiquidity was incompatible with Gerald's documented moderate liquidity needs; (c) the time horizons of the products (7-10 years) far exceeded Gerald's stated 3-5 year horizon; and (d) total front-end costs of 11.5-12% significantly impaired the income and capital preservation objectives Gerald had identified.

****FINRA Rule 2010 (Standards of Commercial Honor):**** Craig's characterization of non-traded REITs as "very safe" and comparable to CDs, without disclosing the material differences in risk, liquidity, and fee structure, constitutes misleading communications and a failure to deal fairly with the customer.

****NASAA Guidance on DPP/Non-Traded REIT Suitability:**** State securities regulators have issued extensive guidance warning about the particular risks of recommending illiquid DPPs to elderly, conservative, income-dependent investors. Many states have adopted concentration limits (typically 10-25% of liquid net worth) for non-traded REITs, and Craig's 65% concentration far exceeds any reasonable threshold.

****Firm Supervisory Failures:**** The broker-dealer's internal memo established a 25% concentration limit for this customer profile, but Craig disregarded it without documentation. This also raises supervisory concerns under FINRA Rules 3110 and 3120 regarding the firm's failure to detect and prevent the excessive concentration.

****GPB Capital Precedent:**** Recent enforcement actions involving illiquid alternative investments have resulted in significant sanctions where brokers placed unsuitable concentrations of illiquid products with elderly, conservative investors. The pattern here -- high concentration, conservative elderly client, misleading product descriptions, ignored firm guidelines -- closely mirrors the fact patterns that have led to restitution orders, suspensions, and fines.

****Likely Regulatory Outcome:**** Craig faces potential sanctions including disgorgement of commissions, restitution to Gerald, fines, and a suspension. The firm could face supervisory deficiency charges. In arbitration, Gerald would likely recover damages reflecting the difference between his investment and its current liquidation value, plus the front-end fees that eroded his principal.

Item 58 of 350**NON-COMPLIANT**

Topic: illiquid_real_estate_investment

Difficulty: medium

Source: 27_Private_Placements_DPPs

Fact Pattern

Margaret Townsend, age 72, is a retired schoolteacher living in Columbus, Ohio. She has a fixed annual income of \$38,000 from her pension and Social Security. Her total liquid net worth is approximately \$310,000, held primarily in a money market account and a small bond mutual fund. She has no other sources of income and relies on her savings to supplement her pension for daily living expenses, medical costs, and occasional travel to visit her grandchildren. Her risk tolerance on her new account form is marked as 'conservative,' and her investment objectives are listed as 'income' and 'preservation of capital.' She has no prior experience with alternative investments or private securities.

In March 2022, her financial advisor, Craig Milner, who works for a mid-size independent broker-dealer, recommended that Margaret invest \$125,000 -- roughly 40% of her liquid net worth -- into a non-traded real estate investment trust called Horizon Healthcare Properties REIT. The REIT invested in skilled nursing facilities and senior living communities across the Midwest. The offering documents disclosed upfront fees and commissions totaling 12%, a minimum recommended holding period of seven years, no established secondary market for shares, and distributions that were partially funded by offering proceeds rather than operating income. The sponsor had a limited track record, having launched only one prior program that had suspended distributions in 2020.

Craig told Margaret that the investment was 'as safe as owning real estate directly' and emphasized the projected 6.5% annual distribution rate. He did not discuss the illiquidity of the product, the lengthy holding period, the possibility that distributions could be reduced or suspended, or the fact that nearly \$15,000 of her investment would go toward fees and commissions before any money was deployed into properties. Craig's branch manager approved the transaction after a cursory review of the paperwork. The firm's due diligence file on the Horizon REIT contained only the sponsor's marketing materials and a one-page summary prepared by the wholesaler.

By late 2023, the REIT had reduced its distribution rate to 2.1%, and the estimated share value was written down by 30%. Margaret, who needed the income to cover rising prescription drug costs, attempted to redeem her shares but was told the REIT's share repurchase program had been suspended indefinitely. She filed a complaint in January 2024 alleging that the investment was unsuitable and that she was not told about the risks.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, the financial advisor violated multiple regulatory standards in recommending this non-traded REIT to Margaret Townsend.

****Suitability Analysis under FINRA Rule 2111:****

FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. This rule encompasses three components: (1) reasonable-basis suitability, (2) customer-specific suitability, and

(3) quantitative suitability.

***Customer-Specific Suitability:** Margaret is a 72-year-old retiree with conservative risk tolerance, income and capital preservation objectives, a modest \$310,000 in liquid assets, and reliance on those assets for living expenses. Concentrating approximately 40% of her liquid net worth in a single illiquid, non-traded REIT with a seven-year holding period is fundamentally inconsistent with her profile. Non-traded REITs carry significant risks including illiquidity, lack of a secondary market, distribution uncertainty, and high upfront costs. A customer who needs access to funds for medical expenses and daily living should not have such a large allocation in a product with no realistic exit mechanism for years.

***Reasonable-Basis Suitability:** Under FINRA Regulatory Notice 10-22, member firms and their associated persons have a duty to conduct a reasonable investigation of the securities they recommend, particularly in the private placement and non-traded REIT context. The firm's due diligence file contained only the sponsor's marketing materials and a wholesaler summary -- this falls far short of the independent, thorough investigation required. The advisor and firm failed to investigate the sponsor's limited track record (one prior program that had already suspended distributions), the sustainability of the projected distribution rate, and the extent to which distributions were funded by offering proceeds rather than operating income.

****Regulation Best Interest (Reg BI) -- Rule 15l-1:****

If this transaction occurred after June 30, 2020, Reg BI's Care Obligation applies, requiring the advisor to exercise reasonable diligence, care, and skill in making recommendations. The advisor must understand the potential risks, rewards, and costs of the recommendation and have a reasonable basis to believe it is in the customer's best interest at the time of the recommendation. Recommending a highly illiquid, high-fee product to a 72-year-old conservative investor who depends on her savings for living expenses cannot meet this standard. Additionally, Reg BI's Disclosure Obligation required the advisor to disclose material facts about the recommendation, including all fees, conflicts of interest (the 12% upfront load generated significant compensation for the advisor), and risks. Craig failed to disclose the illiquidity, fee structure, and distribution risks.

****FINRA Rule 2010 -- Standards of Commercial Honor:****

Craig's characterization of the non-traded REIT as 'as safe as owning real estate directly' was materially misleading. Non-traded REITs carry substantially different risks from direct real estate ownership, including lack of control, lack of liquidity, blind pool risk, and sponsor risk. This misrepresentation violates standards of just and equitable principles of trade.

****NASAA Guidance and Concentration Concerns:****

NASAA guidelines on DPP and non-traded REIT sales have historically recommended concentration limits (often 10% of liquid net worth for non-accredited investors). A 40% concentration in a single illiquid alternative product vastly exceeds any reasonable concentration threshold.

****Supervisory Failures:****

The branch manager's cursory review of the transaction and the firm's inadequate due diligence file also suggest supervisory failures under FINRA Rule 3110, which requires firms to establish and maintain a system to supervise the activities of their associated persons that is reasonably designed to achieve compliance with applicable rules.

****GPB Capital Parallels:****

This fact pattern echoes enforcement actions against firms that sold illiquid alternative investments (such as GPB Capital private placements) without conducting adequate due diligence, without properly vetting the sponsor's track record, and without ensuring customer-specific suitability. In those cases, firms faced significant fines, restitution orders, and suspensions.

****Likely Regulatory Outcome:****

Craig Milner would likely face sanctions including fines, disgorgement of commissions, suspension, and possible bar from the industry. The firm would likely face enforcement action for supervisory failures and inadequate due diligence. Margaret would be entitled to restitution of her losses, potentially through arbitration or a regulatory settlement. The violations here are clear and involve multiple overlapping failures: unsuitable recommendation, inadequate due diligence, material misrepresentations, excessive concentration, and supervisory deficiencies.

Item 59 of 350**NON-COMPLIANT**

Topic: inappropriate_risk_profile

Difficulty: medium

Source: 27_Private_Placements_DPPs

Fact Pattern

Gerald Whitmore, age 71, is a retired postal worker living in Pensacola, Florida, with an annual pension income of \$38,000 and Social Security benefits of \$21,600. His total liquid net worth is approximately \$285,000, consisting of \$190,000 in an IRA rollover, \$60,000 in a savings account, and \$35,000 in a brokerage account holding blue-chip dividend stocks. Gerald's new account form, completed in March 2022, listed his investment objective as "income with capital preservation," his risk tolerance as "conservative," his time horizon as "5-10 years," and his liquidity needs as "moderate" given his reliance on investment income to supplement his pension. Gerald's financial advisor, Nathan Collier, had been introduced to Gerald through a church group. In June 2022, Collier recommended that Gerald invest \$125,000 -- \$90,000 from his IRA and \$35,000 from his brokerage account -- into a non-traded real estate investment trust called Meridian Coastal Properties REIT, which focused on commercial office and retail properties along the Gulf Coast. The offering documents disclosed a 7% front-end load, a minimum seven-year hold period with no established secondary market, distributions that could be paid from offering proceeds rather than operating cash flow, and risks related to tenant vacancy and hurricane exposure. Collier told Gerald the investment would "pay like clockwork -- 6.5% annually -- better than any CD or bond you'll find," and described it as "basically like owning rental property without the headaches." Collier did not discuss the illiquidity of the investment, the possibility that distributions could be reduced or suspended, or the fact that the REIT had only been operating for 14 months with limited audited financial results. Collier's firm received a 7% selling commission on the transaction. After the investment, Gerald's portfolio was approximately 44% concentrated in this single illiquid non-traded REIT. By early 2024, Meridian Coastal suspended distributions entirely, citing reduced occupancy rates and hurricane damage to two properties, and informed investors that redemption requests would not be honored for at least another three years. Gerald, now 73 and facing rising medical expenses, was unable to access the funds and filed a complaint with his state securities regulator.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Nathan Collier violated applicable suitability and best interest standards in multiple respects.

1. ****Customer-Specific Suitability (FINRA Rule 2111.05):**** Gerald's documented profile -- conservative risk tolerance, income with capital preservation objective, moderate liquidity needs, reliance on investment income, age 71 -- is fundamentally inconsistent with a \$125,000 allocation to an illiquid, non-traded REIT with a seven-year minimum hold, no secondary market, and significant concentration risk. Under FINRA Rule 2111, a recommendation must be suitable based on the customer's investment profile, including age, financial situation, risk tolerance, liquidity needs, and time horizon. A 44% concentration in a single illiquid alternative product for a conservative retiree with moderate liquidity needs fails this standard.

2. ****Reasonable-Basis Suitability and Due Diligence (FINRA Regulatory Notice 10-22):**** RN 10-22 imposes a heightened reasonable investigation duty on firms and representatives selling private placements and other complex products. Collier was obligated to conduct a reasonable investigation into Meridian Coastal's financial condition,

operating history, the source of its distributions, and the specific risks in its offering documents. The REIT had only 14 months of operations and limited audited results, and distributions could be paid from offering proceeds -- a significant red flag. There is no indication Collier investigated these issues or communicated them to Gerald.

3. ****Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act):**** For broker-dealer recommendations to retail customers, Reg BI's Care Obligation requires the advisor to exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of the recommendation and to have a reasonable basis to believe the recommendation is in the customer's best interest, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. Collier's misleading characterization of the REIT as equivalent to a CD or bond, his failure to disclose illiquidity and distribution risk, and the excessive concentration all indicate a failure to meet this standard. Additionally, the Disclosure Obligation under Reg BI requires disclosure of material facts about the recommendation, including risks and conflicts such as the 7% selling commission.

4. ****Misleading Communications (FINRA Rule 2010):**** Collier described the non-traded REIT as paying "like clockwork" and compared it to rental property "without the headaches," omitting the very real risks of distribution suspension, illiquidity, and capital loss. This amounts to misleading, exaggerated representations inconsistent with FINRA's ethical standards of commercial honor and just and equitable principles of trade.

5. ****Concentration:**** NASAA guidelines on non-traded REITs and DPPs have recommended concentration limits (often 10% of liquid net worth for non-traded REITs). Gerald's 44% concentration far exceeds any reasonable concentration threshold.

****Likely Regulatory Outcome:**** Collier and his firm face potential disciplinary action including fines, disgorgement of commissions, customer restitution, suspension, or bar. The state regulator may pursue an enforcement action for an unsuitable recommendation, and Gerald may recover damages through arbitration. GPB Capital and similar enforcement precedents demonstrate regulators' willingness to impose significant sanctions in cases involving illiquid alternative investments sold to unsuitable customers with misleading representations.

Item 60 of 350**NON-COMPLIANT**

Topic: high_fees_unsuitable

Difficulty: medium

Source: 27_Private_Placements_DPPs

Fact Pattern

Margaret Ellison, a 72-year-old retired elementary school teacher in Tucson, Arizona, had accumulated \$410,000 in her retirement accounts, consisting primarily of a traditional IRA rollover from her pension and a small taxable brokerage account. Her monthly income was approximately \$2,800 from Social Security and a modest \$600 state pension supplement, totaling \$3,400 per month. She described herself as a conservative investor who needed income to supplement her fixed retirement payments and wanted to preserve her principal for potential long-term care expenses. She had no prior experience with alternative investments or private placements.

In March 2021, her financial advisor, Craig Denton, who had been her advisor for three years, recommended she invest \$165,000--roughly 40% of her total retirement savings--into a non-traded real estate investment trust called Meridian Healthcare Properties Fund III. The fund invested in skilled nursing and assisted living facilities across the southeastern United States. Denton told Margaret the investment would pay a 6.5% annualized distribution and was 'backed by real healthcare properties that people always need.' He described it as 'safer than stocks because it's tied to real estate.'

What Denton did not adequately explain was the fee structure. The offering carried a front-end sales load of 7%, meaning \$11,550 of Margaret's investment went immediately to commissions and dealer fees. Additionally, the fund charged an annual asset management fee of 1.25%, an annual property management fee of 2.0% assessed on gross rental revenues, an acquisition fee of 2.5% on each property purchased, and a disposition fee of 1.5% on property sales. Internal fund documents estimated total first-year costs to investors at approximately 13.8% when all fees were aggregated, though this figure was buried on page 87 of a 142-page private placement memorandum. Denton gave Margaret the PPM but only walked her through the first 15 pages covering the investment overview and projected distributions.

The fund also imposed a minimum seven-year hold period before any share redemption program would become available, and even then, redemptions were limited to 5% of outstanding shares per quarter on a first-come, first-served basis, with a 5% early redemption fee for shares held less than five years from the redemption program's activation. Margaret signed the subscription documents, including a questionnaire where Denton had checked the boxes indicating her risk tolerance was 'moderate' and her investment time horizon was '7-10 years,' despite their previous conversations and her existing account documentation reflecting a conservative risk profile and income-oriented objectives.

By September 2023, the fund had suspended distributions citing cash flow difficulties related to staffing shortages and Medicaid reimbursement delays at several of its properties. Margaret, now 74, needed the income she had been counting on and attempted to redeem her shares. She was informed the redemption program had not yet been activated and no timeline was available. Her \$165,000 investment had an estimated net asset value of approximately \$118,000 based on the fund's most recent valuation, representing a 28.5% decline. Margaret filed a complaint stating she was never told about the full extent of the fees, did not understand the investment was essentially illiquid, and that her advisor had changed her risk profile documents without her knowledge to make the investment appear suitable.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Denton violated multiple regulatory standards in recommending the Meridian Healthcare Properties Fund III to Margaret Ellison.

****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile. This includes three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

1. ****Customer-Specific Suitability Failure:**** Margaret was a 72-year-old conservative, income-dependent retiree with \$410,000 in total savings and no experience with alternative investments. Recommending that she place 40% of her retirement assets into an illiquid, high-fee, non-traded REIT with a seven-year minimum hold period was patently unsuitable for her profile. Her documented objectives were income generation and capital preservation, yet this product carried extreme illiquidity risk and a fee structure that virtually guaranteed significant capital erosion in the early years. The concentration of 40% of her retirement savings in a single illiquid alternative product is grossly disproportionate to her risk tolerance and liquidity needs, particularly given her age and reliance on investment income.

2. ****Reasonable-Basis Suitability / FINRA Regulatory Notice 10-22 Duty:**** Under RN 10-22, broker-dealers and their registered representatives have a duty to conduct a reasonable investigation of private placements and other Regulation D offerings before recommending them to customers. This includes understanding the issuer's financial condition, the product's fee structure, the business model, and the risks. Denton failed to adequately explain the layered fee structure--totaling approximately 13.8% in the first year--to Margaret, and only reviewed the first 15 pages of a 142-page PPM. The duty of reasonable investigation requires more than simply handing a PPM to a customer; the advisor must understand the product thoroughly and communicate material facts, including the full cost impact.

3. ****Regulation Best Interest (Reg BI - Rule 15l-1):**** If Denton acted in a broker-dealer capacity (which the facts suggest), the Care Obligation under Reg BI required him to exercise reasonable diligence, care, and skill in making the recommendation. He was required to understand the potential risks, rewards, and costs of the recommendation, and have a reasonable basis to believe the recommendation was in the customer's best interest at the time, considering the customer's investment profile and the potential risks, rewards, and costs associated with the recommendation. The excessive and opaque fee structure, combined with the severe illiquidity and Margaret's conservative profile, make it clear this recommendation could not have been in her best interest. The Disclosure Obligation also required full and fair disclosure of all material facts relating to fees and costs, which was not provided.

4. ****FINRA Rule 2010 (Standards of Commercial Honor):**** Denton's apparent alteration of Margaret's risk tolerance from 'conservative' to 'moderate' and her investment time horizon to '7-10 years' on the subscription documents--contradicting her existing account documentation and stated objectives--constitutes a serious violation of just and equitable principles of trade. Falsifying or manipulating customer records to make an unsuitable recommendation appear suitable is a hallmark of sales practice abuse and could independently support disciplinary action.

5. ****NASAA Guidance on DPP Suitability:**** State regulators through NASAA have long emphasized that non-traded REITs and other direct participation programs should generally constitute no more than 10% of an investor's liquid net worth for most customers, and that advisors must ensure customers understand the illiquid nature, high fee loads, and speculative risks of these products. A 40% concentration in a single non-traded REIT for a conservative retiree dramatically exceeds any reasonable allocation threshold.

****GPB Capital Enforcement Precedent:**** The GPB Capital cases demonstrated regulatory willingness to pursue both issuers and the broker-dealers who sold private placements without conducting adequate due diligence and without ensuring customer suitability. The pattern here--high fees, illiquidity, inadequate disclosure, and unsuitable recommendations to vulnerable investors--mirrors the fact patterns that led to significant sanctions in those matters.

****Likely Regulatory Outcome:**** Denton faces potential sanctions including fines, disgorgement of commissions (the \$11,550 front-end load), suspension or bar from the securities industry, and restitution to the customer. His broker-dealer firm also faces supervisory liability if it failed to have adequate systems to flag the concentration, the risk profile discrepancy, and the suitability of this product for this customer. Margaret's complaint would likely succeed in arbitration or a regulatory proceeding, with damages measured as the difference between her investment and its current value, plus lost opportunity costs on the capital.

Item 61 of 350**NON-COMPLIANT**

Topic: alternative_investments_unsuitable

Difficulty: medium

Source: 27_Private_Placements_DPPs

Fact Pattern

Margaret Olson, age 72, is a retired elementary school teacher living in Tucson, Arizona. Her total liquid net worth is approximately \$340,000, consisting of a \$280,000 IRA rollover from her pension and \$60,000 in a savings account. She receives \$2,100 per month in Social Security and a small \$400 monthly pension supplement. Her annual income is approximately \$30,000. Margaret has no other sources of income and relies on her savings to cover medical expenses and supplement her fixed income. She has consistently described her risk tolerance as conservative on account opening documents, and her investment objectives are listed as capital preservation and income. She has no prior experience with alternative investments, private placements, or real estate partnerships.

In March 2022, Margaret's financial advisor, Dean Hargrove, recommended she invest \$140,000 -- roughly 41% of her liquid net worth -- into a non-traded real estate investment trust called Pinnacle Healthcare Properties REIT, which focused on acquiring skilled nursing facilities and assisted living centers. The product carried a 7% upfront commission and load, had no secondary market, imposed a minimum seven-year hold period before any potential liquidity event, and disclosed in its offering memorandum that distributions were not guaranteed and could be funded from offering proceeds rather than operating cash flow. The REIT's sponsor had been in operation for only three years and had not completed a full capital-raising cycle on any prior offering.

Dean told Margaret the investment was "like owning real estate without the headaches" and emphasized the projected 6.5% annual distribution rate, comparing it favorably to her savings account yielding 0.4%. He did not discuss the illiquidity restrictions, the possibility that distributions could be reduced or suspended, or the fact that the sponsor had no track record of returning capital to investors. He also did not discuss the upfront fee structure, which consumed \$9,800 of Margaret's investment immediately. Dean's branch manager approved the transaction after a brief review of the paperwork but did not speak with Margaret or independently evaluate whether the concentration level was appropriate for her profile.

By late 2023, the REIT suspended its distribution payments and announced it was exploring strategic alternatives due to occupancy declines at its properties. Margaret attempted to redeem her shares through the REIT's limited share repurchase program but was told the program had been suspended indefinitely. She filed a complaint in January 2024 stating she was never told she could lose access to her money and that she needed those funds for upcoming medical procedures.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dean Hargrove violated applicable suitability and best interest standards on multiple grounds.

****Concentration and Suitability (FINRA Rule 2111):**** Under FINRA Rule 2111, a representative must have a reasonable basis to believe that a recommended transaction is suitable for the customer based on the customer's

investment profile, including age, financial situation, risk tolerance, liquidity needs, investment objectives, and time horizon. Margaret is a 72-year-old retiree with conservative risk tolerance, capital preservation objectives, limited income, and dependence on her savings for medical and living expenses. Recommending that she place 41% of her liquid net worth into an illiquid, non-traded REIT with a seven-year hold period is fundamentally inconsistent with her profile. NASAA guidelines and numerous enforcement actions have established that concentrations exceeding 10-20% of liquid net worth in illiquid alternative investments are presumptively unsuitable for conservative, elderly, income-dependent investors.

****Reasonable Investigation Duty (FINRA Regulatory Notice 10-22):**** RN 10-22 imposes a duty on firms and representatives to conduct a reasonable investigation into the merits and risks of private placements and other alternative investments before recommending them. This includes evaluating the sponsor's track record, the offering's fee structure, the likelihood that distributions are sustainable, and the realistic liquidity timeline. Dean recommended a product from a sponsor with only three years of operating history and no completed capital cycle, yet he performed no independent diligence on the sponsor's financial condition or the sustainability of the 6.5% projected distribution. The fact that distributions could be funded from offering proceeds rather than operations -- a material risk factor -- was not communicated to Margaret.

****Disclosure Failures and Reg BI (Rule 15l-1):**** Under Regulation Best Interest, a broker-dealer and its associated persons must act in the retail customer's best interest at the time of a recommendation. The Care Obligation requires consideration of reasonably available alternatives and an understanding of the risks, rewards, and costs of the recommendation. Dean failed to disclose the 7% upfront load (\$9,800), the illiquidity restrictions, the suspension risk for distributions, or the lack of a secondary market. He affirmatively mischaracterized the investment as comparable to owning real estate 'without the headaches,' omitting the critical distinction that non-traded REITs carry significant illiquidity and valuation risk unlike direct property ownership. The Disclosure Obligation under Reg BI was also violated by the failure to disclose the material conflict created by the 7% commission, which far exceeded what Margaret would have paid for suitable alternatives like investment-grade bond funds or Treasury securities.

****Supervisory Failures (FINRA Rule 3110):**** The branch manager's approval without any direct contact with the customer or independent evaluation of the concentration level constitutes a supervisory failure. Given Margaret's age, risk profile, and the size of the allocation relative to her net worth, heightened supervision was warranted.

****Fair Dealing (FINRA Rule 2010):**** The cumulative effect of the unsuitable recommendation, misleading characterization of the product, omission of material risks, and excessive concentration constitutes conduct inconsistent with just and equitable principles of trade under Rule 2010.

****Likely Regulatory Outcome:**** Dean Hargrove would likely face sanctions including fines, disgorgement of commissions, a suspension, and potential restitution to Margaret. The firm would face additional liability for supervisory failures. Based on patterns in GPB Capital and non-traded REIT enforcement actions, regulators have imposed significant penalties -- including bars -- for recommending illiquid alternative investments to elderly, conservative customers at inappropriate concentration levels without adequate disclosure or due diligence.

Item 62 of 350**NON-COMPLIANT****Topic:** inappropriate_risk_profile**Difficulty:** medium**Source:** 27_Private_Placements_DPPs**Fact Pattern**

Gerald Hoffman, age 71, is a retired postal worker living in Tucson, Arizona, with an annual pension income of \$42,000 and Social Security benefits of \$21,600. His total liquid net worth is approximately \$310,000, held primarily in a traditional IRA rollover and a small savings account. Gerald's wife passed away in 2022, and he relies on his retirement savings to supplement his fixed income for daily living expenses and occasional medical costs. On his new account form completed in January 2024, Gerald indicated a 'conservative' risk tolerance, a primary investment objective of 'capital preservation and income,' a 5-year investment time horizon, and no prior experience with alternative investments. His financial advisor, Dale Ericson, who works at a mid-sized independent broker-dealer, recommended that Gerald invest \$85,000 -- approximately 27% of his liquid net worth -- into a non-traded Real Estate Investment Trust called Pinnacle Healthcare Properties REIT, which focused on acquiring skilled nursing facilities and medical office buildings. The REIT carried an upfront commission of 7%, had a minimum seven-year expected hold period before any liquidity event, no established secondary market, and distributions that were partially funded through offering proceeds rather than operating cash flow. Dale told Gerald the investment would provide 'steady monthly income like a CD but with better returns,' and described the REIT as 'essentially as safe as owning real estate directly.' Dale did not discuss the illiquidity risks, the lack of a public market for the shares, the possibility that distributions could be reduced or suspended, or the fact that the REIT's net asset value could decline substantially. Dale's firm had conducted only a cursory due diligence review of the REIT sponsor, relying primarily on marketing materials provided by the wholesaler and not independently verifying the sponsor's track record, financial condition, or the reasonableness of the projected returns. Within 18 months, Pinnacle Healthcare Properties REIT suspended its distribution payments and announced a 40% write-down in its estimated per-share net asset value, reducing Gerald's \$85,000 investment to an estimated value of roughly \$48,000. Gerald, who had been counting on the monthly distributions to cover prescription drug costs, was forced to liquidate other savings at an inopportune time.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dale Ericson violated multiple regulatory standards in recommending the non-traded REIT to Gerald Hoffman.

****Suitability Analysis under FINRA Rule 2111:****

FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, risk tolerance, and other relevant information.

Rule 2111 imposes three component obligations: (1) reasonable-basis suitability -- requiring the advisor to understand the product and have a reasonable basis to believe it could be suitable for at least some investors; (2) customer-specific suitability -- requiring that the recommendation be suitable for the particular customer; and (3) quantitative suitability.

Here, customer-specific suitability was clearly violated. Gerald was a 71-year-old retiree with conservative risk tolerance, a capital preservation objective, a 5-year time horizon, modest liquid assets of \$310,000, and dependence on investment income for daily expenses. A non-traded REIT with a seven-year minimum hold period, no secondary market, 7% front-end load, and distributions partially funded by offering proceeds is fundamentally inconsistent with Gerald's profile. Allocating 27% of his liquid net worth to a single illiquid alternative investment far exceeded any reasonable concentration for a conservative retiree.

****Reasonable-Basis Suitability and FINRA Regulatory Notice 10-22:****

FINRA RN 10-22 specifically addresses a member firm's obligation to conduct a reasonable investigation of private placements and other non-conventional investments before recommending them. The notice emphasizes that firms cannot rely solely on issuer-prepared offering materials and must independently investigate the issuer's representations, the feasibility of the business plan, the experience and track record of the sponsor, and the reasonableness of projected returns. Dale's firm conducted only a cursory review relying on wholesaler marketing materials, failing this reasonable investigation duty. This independently violates reasonable-basis suitability.

****Regulation Best Interest (Rule 15l-1):****

If this recommendation was made after June 30, 2020 (which it was, occurring in January 2024), Reg BI applies. The Care Obligation under Reg BI requires that the broker exercise reasonable diligence, care, and skill in making the recommendation, understand the potential risks, rewards, and costs of the recommendation, and have a reasonable basis to believe the recommendation is in the customer's best interest and does not place the financial professional's interest ahead of the customer's. The 7% upfront commission created a significant financial incentive, and the advisor's misleading characterization of the REIT as 'essentially as safe as owning real estate directly' and comparable to a CD demonstrates a failure to exercise reasonable care and a potential violation of the Disclosure Obligation as well.

****FINRA Rule 2010 (Standards of Commercial Honor):****

Dale's misleading statements -- comparing a highly illiquid, speculative non-traded REIT to a CD and omitting material risk disclosures -- constitute conduct inconsistent with just and equitable principles of trade under FINRA Rule 2010.

****NASAA Guidance:****

NASAA has issued extensive guidance on non-traded REIT suitability, including recommending concentration limits (often 10% of liquid net worth for non-traded REITs and DPPs). The 27% concentration here far exceeds typical state-level guidelines.

****GPB Capital Precedent:****

This fact pattern mirrors enforcement actions in the GPB Capital cases, where firms were sanctioned for failing to conduct adequate due diligence on alternative investment sponsors, relying on issuer marketing materials, and recommending illiquid products to unsuitable customers. Multiple broker-dealers faced significant fines and restitution orders.

****Likely Regulatory Outcome:****

Dale would likely face sanctions including disgorgement of commissions, restitution to the customer, fines, and a potential suspension. His firm would likely face supervisory deficiency findings for inadequate due diligence and failure to establish reasonable concentration limits. State regulators could bring parallel actions under NASAA guidelines. Gerald would likely recover damages through arbitration or regulatory restitution.

Item 63 of 350**NON-COMPLIANT****Topic:** inappropriate_risk_profile**Difficulty:** hard**Source:** 27_Private_Placements_DPPs**Fact Pattern**

Gerald Pitman, age 71, is a retired postal worker living in suburban Memphis, Tennessee, with an annual pension income of \$42,000 and Social Security benefits of \$22,800. His total liquid net worth is approximately \$385,000, held primarily in a rollover IRA containing index funds and a small allocation to investment-grade bond funds. Gerald's wife, Elaine, age 69, was recently diagnosed with early-stage Parkinson's disease, and the couple anticipated rising healthcare expenses over the next several years. Gerald had no prior experience with alternative investments and had consistently indicated on his account documentation that his risk tolerance was 'conservative,' his investment objectives were 'income and preservation of capital,' and his time horizon was 'short-term (1-3 years).' In March 2022, his financial advisor, Troy Beckett, who had been Gerald's advisor for eleven years, recommended that Gerald invest \$115,000 -- roughly 30% of his liquid net worth -- into a non-traded real estate investment trust called Prestige Healthcare Properties REIT. The REIT invested in skilled nursing facilities and senior living communities and carried a minimum seven-year hold period with no established secondary market. The offering documents disclosed upfront commissions and fees totaling 12%, meaning approximately \$13,800 of Gerald's investment went to commissions, dealer-manager fees, and offering costs before any capital was deployed. Troy told Gerald that the investment was 'perfect for someone in your situation' because it focused on healthcare real estate, which Troy described as 'recession-proof.' Troy did not discuss the illiquidity risk, the seven-year hold period, or the possibility that distributions could be funded from offering proceeds rather than operating income. Troy's firm had conducted only a cursory review of the REIT sponsor's track record and had not performed independent due diligence on the underlying portfolio of nursing facilities, several of which were located in states experiencing significant Medicaid reimbursement cuts. Gerald signed the subscription documents after a single 40-minute meeting. By late 2023, the REIT suspended quarterly distributions, citing occupancy declines and rising operating costs at several of its properties. Gerald attempted to redeem his shares through the REIT's limited share repurchase program but was told the program had been suspended indefinitely. As of early 2024, the REIT's estimated per-share value had declined by 35%, leaving Gerald's position worth approximately \$65,700. Gerald filed a complaint with his advisor's firm, stating that he was never told the money could be locked up for years and that he needed the funds to cover his wife's increasing medical bills.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Troy Beckett committed multiple serious violations in recommending the Prestige Healthcare Properties REIT to Gerald Pitman.

****Suitability Analysis under FINRA Rule 2111:****

FINRA Rule 2111 requires that a broker have a reasonable basis to believe a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, time horizon, liquidity needs, and risk tolerance. Rule 2111 encompasses three obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

1. ****Customer-Specific Suitability Failure:**** Gerald was a 71-year-old conservative retiree with a short-term time horizon, limited liquid assets (\$385,000), dependence on fixed income, no experience with alternative investments, and an imminent need for liquidity due to his wife's Parkinson's diagnosis. A non-traded REIT with a seven-year hold period, no secondary market, and a 12% front-end load is fundamentally incompatible with every stated element of Gerald's investment profile. Concentrating approximately 30% of his liquid net worth in a single illiquid product is egregiously unsuitable.

2. ****Reasonable-Basis Suitability Failure:**** Under FINRA Regulatory Notice 10-22, member firms and their associated persons have an affirmative obligation to conduct a reasonable investigation of private placements and other complex products before recommending them. This includes independent due diligence into the issuer, the sponsor's track record, the business model's viability, and the use of offering proceeds. Troy's firm performed only a cursory review and did not independently evaluate the underlying nursing facility portfolio or the risk of Medicaid reimbursement cuts. This falls far short of the reasonable investigation duty articulated in RN 10-22.

3. ****Regulation Best Interest (Reg BI -- SEC Rule 15l-1):**** If this recommendation occurred after June 30, 2020 (which it did, being March 2022), the Care Obligation under Reg BI required Troy to exercise reasonable diligence, care, and skill in making the recommendation, to understand the risks and rewards of the product, and to have a reasonable basis to believe the recommendation was in Gerald's best interest without placing Troy's financial interest ahead of Gerald's. The 12% front-end commission structure created a significant financial incentive for Troy, and his failure to disclose the illiquidity, hold period, and distribution risks demonstrates he prioritized his own compensation over Gerald's needs. The Disclosure Obligation under Reg BI was also violated because Troy affirmatively mischaracterized the investment as 'perfect' and 'recession-proof' without disclosing material risks.

4. ****FINRA Rule 2010 (Standards of Commercial Honor):**** Troy's misleading statements -- characterizing a highly illiquid, speculative non-traded REIT as 'perfect' for a conservative retiree with imminent liquidity needs -- constitute conduct inconsistent with just and equitable principles of trade.

5. ****NASAA Guidance on DPP Recommendations:**** The North American Securities Administrators Association has consistently warned that non-traded REITs and DPPs are frequently recommended to unsuitable investors, particularly elderly customers with conservative profiles and liquidity needs. NASAA's model guidelines generally suggest that illiquid DPPs should not exceed 10% of an investor's liquid net worth, and Gerald's 30% concentration far exceeds any reasonable threshold.

6. ****Precedent from GPB Capital Enforcement Actions:**** The pattern here mirrors the GPB Capital cases where advisors recommended complex, illiquid private placements without adequate due diligence, to customers whose profiles were fundamentally unsuitable, and where firms failed to supervise the recommendation process. Regulators imposed significant sanctions in those cases.

****Likely Regulatory Outcome:**** Troy and his firm face potential sanctions including fines, disgorgement of commissions, restitution to Gerald, suspension or bar for Troy, and supervisory deficiency findings against the firm. In arbitration, Gerald would likely recover a substantial portion of his losses given the clear unsuitability of the recommendation across every relevant dimension.

Item 64 of 350**NON-COMPLIANT**

Topic: alternative_investments_unsuitable

Difficulty: hard

Source: 27_Private_Placements_DPPs

Fact Pattern

Gerald Whitfield, age 71, is a retired postal worker living in Tulsa, Oklahoma, with an annual pension income of \$42,000 and Social Security payments of \$22,800. His total liquid net worth is approximately \$385,000, held primarily in a traditional IRA rollover from his federal pension. Gerald has no prior experience with alternative investments and described his risk tolerance on his new account form as 'conservative.' His stated investment objectives were income generation and capital preservation. Gerald's wife, age 69, has early-stage dementia, and the couple faces rising healthcare costs estimated at \$3,500 per month for in-home care.

In March 2021, Gerald's financial advisor, Todd Brennan, of Heartland Financial Partners in Tulsa, recommended that Gerald invest \$115,000 -- approximately 30% of his liquid net worth -- into a non-traded real estate investment trust called Patriot Realty Income Trust II. The product carried a 7% upfront commission paid to the advisor, a stated distribution yield of 6.5%, and required a minimum seven-year holding period with no guaranteed secondary market for early redemptions. The offering documents disclosed that distributions could be funded from offering proceeds and borrowings rather than operating cash flow, and that the share value would not be independently appraised until 18 months after the close of the offering.

Todd told Gerald the investment was 'like owning rental property without the headaches' and emphasized the monthly income checks. Todd did not discuss the illiquidity constraints, the possibility that distributions could be a return of capital, or the fact that Gerald might not be able to access his principal for years. Todd's firm had an internal guideline limiting alternative investment concentration to 20% of a client's liquid net worth for clients over 65, but Todd did not seek a supervisory override or document any rationale for exceeding the threshold.

Additionally, Todd conducted no independent investigation into the sponsor of Patriot Realty Income Trust II beyond reviewing the marketing brochure provided by the wholesaler. He did not examine the sponsor's track record, prior program performance, litigation history, or financial condition. The sponsor had previously managed two earlier non-traded REITs, both of which had suspended distributions within three years and ultimately liquidated at prices representing losses of 40% to 55% for investors.

By September 2022, Patriot Realty Income Trust II suspended its distribution payments and announced it was halting its share repurchase program indefinitely. Gerald, now facing \$3,500 per month in care costs for his wife and reduced income, attempted to redeem his shares and was told no redemptions were available. He filed a complaint with his advisor's firm in November 2022, seeking recovery of his \$115,000 investment.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Todd Brennan committed multiple violations of applicable regulatory standards.

1. **Suitability -- FINRA Rule 2111:** Under FINRA Rule 2111, a financial advisor must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on that customer's investment profile. Gerald's profile -- a 71-year-old conservative retiree with limited liquid assets, no alternative investment experience, income-oriented objectives, capital preservation needs, and significant anticipated healthcare expenses -- is fundamentally incompatible with an illiquid, non-traded REIT requiring a seven-year minimum hold. The recommendation fails all three components of suitability analysis:

- **Reasonable-basis suitability:** Todd failed to conduct adequate due diligence on the product itself, relying solely on wholesaler marketing materials. Under FINRA Regulatory Notice 10-22, member firms and their associated persons have a duty to conduct a reasonable investigation of the securities they recommend, particularly for complex products like non-traded REITs and DPPs. This includes reviewing the sponsor's track record, prior program performance, fee structure, and financial condition. The sponsor's two prior failed programs -- both resulting in 40-55% investor losses -- should have been discovered and would have been highly material to any suitability determination.

- **Customer-specific suitability:** Gerald's conservative risk tolerance, dependence on investment income, limited net worth, advanced age, and foreseeable liquidity needs (wife's dementia care) all contraindicate a concentrated illiquid investment. A 30% allocation to a single illiquid product with no redemption guarantee is excessive for this investor profile.

- **Quantitative suitability:** While this prong typically applies to excessive trading, the concentration level (30% of liquid net worth in a single illiquid product) effectively locked up a disproportionate share of Gerald's accessible capital.

2. **Regulation Best Interest (Reg BI) -- Rule 15l-1:** If Todd's firm is a broker-dealer, Reg BI's Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, considering the investor's investment profile and the potential risks, rewards, and costs of the recommendation. The Care Obligation specifically requires that the advisor have a reasonable basis to believe the recommendation is in the customer's best interest and does not place the advisor's interest ahead of the customer's. The 7% upfront commission created a significant financial incentive for Todd to recommend this product, and his failure to disclose material risks (illiquidity, return-of-capital distributions, lack of secondary market) and failure to consider reasonable alternatives (e.g., listed REITs, investment-grade bond funds, dividend-paying equity funds) suggests his own compensation interest took precedence over Gerald's needs.

3. **Failure to Follow Firm Supervisory Procedures -- FINRA Rule 2010:** Todd's firm had a 20% concentration limit for alternative investments for clients over age 65. Todd exceeded this limit without obtaining supervisory approval or documenting any justification. This violates the firm's written supervisory procedures and constitutes conduct inconsistent with just and equitable principles of trade under FINRA Rule 2010.

4. **FINRA RN 10-22 -- Reasonable Investigation Duty:** FINRA Regulatory Notice 10-22 specifically addresses obligations related to the sale of private placements and other complex products. It emphasizes that broker-dealers and their representatives must conduct a reasonable investigation concerning the issuer and the securities being offered. Todd's failure to investigate the sponsor's track record -- which would have revealed two prior program failures with significant investor losses -- is a clear violation of this standard.

5. **NASAA Guidance on DPP Recommendations:** State regulators through NASAA have consistently identified non-traded REIT sales to elderly, conservative investors with liquidity needs as a primary area of concern. Many states impose concentration limits (often 10% of net worth excluding home and home furnishings) and require that advisors adequately disclose illiquidity risks. Todd's recommendation likely violates applicable state suitability standards as well.

GPB Capital Enforcement Precedent: The GPB Capital cases demonstrated that regulators will pursue enforcement actions where advisors fail to conduct adequate due diligence on alternative investment sponsors and recommend illiquid products to unsuitable investors. The pattern here -- reliance on wholesaler materials, failure to investigate sponsor history, concentration in illiquid products for vulnerable clients -- mirrors the conduct that led to significant regulatory sanctions in those matters.

****Likely Regulatory Outcome:**** Todd faces potential FINRA disciplinary action including fines, suspension, or bar. The firm faces supervisory failure charges for inadequate enforcement of its own concentration guidelines. Gerald would likely prevail in an arbitration claim seeking full restitution of his \$115,000 investment plus interest, based on unsuitability, failure to disclose material risks, and violation of firm procedures. State securities regulators could also pursue administrative action under applicable state securities laws.

Item 65 of 350

NON-COMPLIANT

Topic: senior_investor_exploitation

Difficulty: medium

Source: 27_Private_Placements_DPPs

Fact Pattern

Margaret Hollings, age 79, is a retired schoolteacher living in Tucson, Arizona. Her husband passed away in 2021, leaving her with a \$410,000 IRA rollover, a \$95,000 savings account, and Social Security income of \$2,350 per month. She has no pension and relies on periodic IRA withdrawals to supplement her living expenses, which total approximately \$3,800 per month. She has described her investment objective as "income and preservation of capital" on every account opening document since 2016. Her risk tolerance is listed as "conservative" and she has no prior experience with alternative investments or private placements. In February 2023, her financial advisor, David Pruitt, age 42, recommended that Mrs. Hollings invest \$175,000 -- approximately 35% of her total liquid assets -- into a non-traded real estate investment trust called Pinnacle Healthcare Properties REIT, which was structured as a Regulation D offering available only to accredited investors. The REIT had a minimum seven-year hold period, no secondary market, distributions that were not guaranteed, and an upfront load of 12% comprised of selling commissions, dealer manager fees, and offering expenses. Pruitt told Mrs. Hollings that the REIT would "pay her like clockwork, better than any CD," and compared the expected 6.5% annualized distribution to the 0.5% she was earning on her savings account. He did not discuss the illiquidity restrictions, the risk that distributions could be paid from offering proceeds rather than operating income, or the possibility of principal loss. Pruitt's firm had received a due diligence package from the REIT sponsor but Pruitt acknowledged in a later internal review that he never read the private placement memorandum. He earned a 7% gross commission on the sale. By late 2024, the REIT suspended distributions entirely and notified investors that the estimated per-share value had declined by 40% from the original offering price. Mrs. Hollings, now 81, has been unable to redeem her shares and has had to increase withdrawals from her remaining IRA balance to cover monthly expenses, accelerating the depletion of her retirement savings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, David Pruitt violated multiple regulatory standards in recommending the Pinnacle Healthcare Properties REIT to Mrs. Hollings.

****Suitability under FINRA Rule 2111:**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. Three distinct obligations apply:

1. ****Reasonable-basis suitability:**** The advisor must perform reasonable diligence to understand the nature of the security being recommended. Pruitt admitted he never read the private placement memorandum (PPM). FINRA Regulatory Notice 10-22 specifically addresses the heightened duty of reasonable investigation that applies to private placements and direct participation programs (DPPs). The Notice makes clear that associated persons must conduct a reasonable investigation of the issuer and the securities, including review of the PPM, financial statements, business plan, and risk factors. Pruitt's failure to read the PPM is a textbook violation of reasonable-basis suitability.

2. ****Customer-specific suitability:**** Mrs. Hollings is a 79-year-old widow with conservative risk tolerance, income and capital preservation objectives, a fixed income of \$2,350/month, total liquid assets of approximately \$505,000, and a monthly shortfall requiring regular portfolio withdrawals. Concentrating 35% of her liquid assets in an illiquid, non-traded REIT with a seven-year lockup and no guaranteed distributions is fundamentally incompatible with her profile. She needed accessible funds to cover living expenses -- an illiquid investment directly contradicts that need.

3. ****Quantitative suitability:**** While this prong typically addresses excessive trading, the extreme concentration in a single illiquid product for a client with her profile also raises concerns about over-concentration.

****Regulation Best Interest (Reg BI), Rule 15l-1:**** For broker-dealers and their associated persons, Reg BI requires that recommendations be in the retail customer's best interest without placing the financial interest of the broker ahead of the customer. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in making the recommendation, to understand the risks and rewards of the security, and to consider reasonably available alternatives. Pruitt's 7% commission created a significant financial incentive that appears to have influenced the recommendation. His failure to disclose the illiquidity, distribution risks, and the high upfront load of 12% constitutes a failure under the Disclosure Obligation. The comparison of a speculative non-traded REIT distribution to a CD is materially misleading.

****FINRA Rule 2010 (Standards of Commercial Honor):**** Making misleading comparisons between a non-traded REIT and a CD, omitting material risk disclosures about illiquidity and potential principal loss, and failing to conduct basic due diligence all constitute conduct inconsistent with just and equitable principles of trade.

****FINRA Regulatory Notice 10-22:**** This Notice specifically warns that non-traded REITs and other DPPs present heightened risks and imposes an affirmative duty of reasonable investigation on member firms and their representatives. The Notice highlights that firms must ensure the suitability of DPP recommendations, particularly for customers who are elderly, have limited income, or require liquidity.

****NASAA Guidance on DPPs and Non-Traded REITs:**** State regulators have issued extensive guidance noting that non-traded REITs are generally unsuitable for elderly investors who need income and liquidity. Many states impose concentration limits (often 10% of liquid net worth) for non-traded REITs, which this recommendation would far exceed.

****SEC Regulation D Considerations:**** While Reg D governs the offering exemption, the advisor still owes all applicable suitability and best interest obligations when recommending such offerings to retail customers.

****Senior Investor Protections:**** Mrs. Hollings' age, dependence on investment income, cognitive vulnerability concerns associated with advanced age, and lack of sophistication with alternative investments all amplify the egregiousness of this recommendation.

****Likely Regulatory Outcome:**** This fact pattern closely mirrors numerous enforcement actions involving non-traded REIT sales to seniors, including patterns seen in GPB Capital and other high-profile cases. Pruitt would likely face FINRA enforcement resulting in disgorgement of commissions, restitution to the customer, fines, a suspension or bar, and potential state regulatory action. The firm could face supervisory failure charges if it did not have adequate procedures to flag concentration, age, and suitability concerns.

Item 66 of 350**NON-COMPLIANT**

Topic: inappropriate_risk_profile

Difficulty: medium

Source: 27_Private_Placements_DPPs

Fact Pattern

Margaret Hollis, age 71, is a retired elementary school teacher living in Tulsa, Oklahoma. She receives a monthly pension of \$3,200 and Social Security income of \$1,850 per month. Her total liquid net worth is approximately \$410,000, almost entirely held in certificates of deposit and a conservative bond mutual fund at her local bank. She has no other sources of income and no family members who provide financial support. Mrs. Hollis has described herself on every account document as having a "conservative" risk tolerance with investment objectives focused on "preservation of capital" and "income generation." She has no prior experience investing in alternative products, limited partnerships, or any illiquid securities.

In March 2022, her financial advisor, Dale Prescott, who had been managing her accounts for approximately two years, recommended that Mrs. Hollis invest \$125,000 -- roughly 30% of her liquid assets -- into a non-traded real estate investment trust called Meridian Healthcare Properties REIT. The offering was structured as a Regulation D private placement with a minimum seven-year holding period, no secondary market, and distributions that were not guaranteed but projected at 6.5% annually. The offering memorandum disclosed front-end fees and commissions totaling 12%, meaning approximately \$15,000 of Mrs. Hollis's investment was consumed by costs before a single dollar was deployed into real estate assets. Prescott earned a gross commission of \$8,750 on the transaction.

Prescott's firm had received the offering materials from the sponsor only three weeks before the recommendation. Internal records show no evidence that the firm conducted any independent investigation of the REIT sponsor's management team, track record, financial condition, or the underlying healthcare property portfolio. The due diligence file contained only the sponsor-provided marketing brochure and private placement memorandum. No third-party reports, property appraisals, or background checks on the sponsor's principals were obtained.

When Mrs. Hollis asked Prescott about the safety of the investment, he told her it was "like owning real estate without the hassle" and emphasized the projected 6.5% yield, comparing it favorably to the 1.8% she was earning on her CDs. He did not discuss the illiquidity, the lack of a secondary market, the seven-year lockup, the possibility that distributions could be funded from investor capital rather than operating income, or the substantial front-end load. The new account form for the alternative investment was pre-filled by Prescott's assistant and listed Mrs. Hollis's risk tolerance as "moderate growth" and her investment objective as "growth and income," which contradicted every other account document on file.

By late 2023, Meridian Healthcare Properties REIT suspended all distributions due to declining occupancy rates in its skilled nursing facilities. Mrs. Hollis, who had been counting on the income to supplement her pension, contacted Prescott requesting a redemption. She was informed that no redemption program existed and her capital was locked up until at least 2029. The estimated value of her shares had declined to approximately \$78,000, representing a paper loss of over \$47,000 from her original investment. Mrs. Hollis filed a complaint with Prescott's firm in January 2024.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dale Prescott violated multiple regulatory standards governing the recommendation of private placements and illiquid alternative investments.

****Suitability -- FINRA Rule 2111:**** This rule requires that a broker-dealer or associated person have a reasonable basis for believing a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. Rule 2111 encompasses three sub-obligations: (1) reasonable-basis suitability, (2) customer-specific suitability, and (3) quantitative suitability.

Reasonable-Basis Suitability: Prescott and his firm failed to perform adequate due diligence on the Meridian Healthcare Properties REIT before recommending it. FINRA Regulatory Notice 10-22 specifically addresses the heightened duty of reasonable investigation that firms owe when recommending private placements. The notice makes clear that firms cannot simply rely on offering documents provided by the sponsor; they must conduct independent investigation into the issuer's management, financial condition, business prospects, and the accuracy of claims made in the offering materials. Here, the firm's due diligence file contained nothing beyond sponsor-provided marketing materials. No third-party verification, no independent property appraisals, and no background checks were performed. This is a clear failure of reasonable-basis suitability.

Customer-Specific Suitability: Mrs. Hollis's documented profile -- age 71, conservative risk tolerance, capital preservation and income objectives, reliance on fixed income sources, limited liquid net worth, and zero experience with alternative investments -- made a 30% allocation to an illiquid, high-fee, non-traded REIT with a seven-year lockup fundamentally unsuitable. Concentrating nearly one-third of a retiree's liquid assets in a single illiquid product contradicts every element of her stated investment profile. NASAA guidelines and numerous enforcement actions (including those arising from GPB Capital and various non-traded REIT cases) have consistently found that excessive concentration of retirement assets in illiquid alternative investments constitutes a suitability violation.

****Regulation Best Interest (Rule 15l-1):**** Under Reg BI's Care Obligation, Prescott was required to exercise reasonable diligence, care, and skill in making the recommendation, understanding the risks and rewards of the product, and forming a reasonable basis to believe the recommendation was in Mrs. Hollis's best interest without placing his financial interest ahead of hers. The \$8,750 commission created a significant financial incentive, and there is no evidence Prescott considered reasonably available alternatives that would have met Mrs. Hollis's income needs without the illiquidity risk and excessive front-end costs. Under the Disclosure Obligation, Prescott failed to disclose material facts including the illiquidity, fee structure, lack of redemption, and risks related to distribution sustainability. His characterization of the REIT as "like owning real estate without the hassle" was misleading and omitted critical risk information.

****Falsification of Account Documents -- FINRA Rule 2010:**** The pre-filled new account form that changed Mrs. Hollis's risk profile from "conservative" to "moderate growth" and her objectives from "preservation of capital" to "growth and income" -- contradicting all other account records -- constitutes a serious violation. FINRA Rule 2010 requires associated persons to observe high standards of commercial honor and just and equitable principles of trade. Altering or misrepresenting customer profile information to make an unsuitable recommendation appear suitable is a well-established basis for disciplinary action.

****Likely Regulatory Outcome:**** Based on enforcement precedent in non-traded REIT and private placement cases, Prescott faces potential sanctions including fines, disgorgement of commissions, suspension or bar from the industry, and restitution to Mrs. Hollis. The firm faces potential liability for supervisory failures, inadequate due diligence procedures, and failure to detect the contradictory account documentation. Regulators would likely find multiple violations including unsuitable recommendation of an illiquid investment to a conservative elderly retiree, failure to conduct reasonable investigation under FINRA RN 10-22, failure to satisfy the Care and Disclosure Obligations under

Reg BI, and falsification of customer records in violation of FINRA Rule 2010.

Item 67 of 350

NON-COMPLIANT

Topic: alternative_investments_unsuitable

Difficulty: medium

Source: 27_Private_Placements_DPPs

Fact Pattern

Gerald Hutchins, age 71, is a retired school principal living in Dayton, Ohio, with an annual pension income of \$62,000 and Social Security benefits of \$28,000. His total liquid net worth is approximately \$410,000, consisting of \$290,000 in an IRA rollover, \$85,000 in a joint brokerage account with his wife, and \$35,000 in a savings account. Gerald's wife, Patricia, age 69, has early-stage Alzheimer's disease, and the couple anticipates significant long-term care expenses in the coming years. Gerald's account documents list his risk tolerance as 'moderate' and his investment objectives as 'income and preservation of capital.' In March 2022, his financial advisor, Derek Sloane, recommended that Gerald invest \$125,000 from his IRA into a non-traded real estate investment trust called Pinnacle Healthcare Properties REIT, which focused on medical office buildings and senior care facilities. The REIT had a minimum seven-year hold period, no secondary market for shares, offered a stated distribution yield of 6.5%, and carried an upfront load of 12% including selling commissions and offering expenses. Derek told Gerald that the investment was 'perfect for someone in his situation' because it invested in healthcare properties, which Derek described as 'recession-proof,' and would provide steady monthly income. Derek did not discuss the illiquidity of the investment, the impact of the 12% upfront costs on Gerald's principal, or the risk that distributions could be funded from offering proceeds rather than operating cash flow. Derek earned a \$8,750 commission on the sale. After the investment, approximately 30.5% of Gerald's liquid net worth was concentrated in this single illiquid product. Within 14 months, Pinnacle Healthcare Properties REIT suspended distributions citing declining occupancy rates at several properties and announced that its estimated per-share value had dropped 31% below the original offering price. Gerald, now needing funds for Patricia's home care aide, was unable to liquidate his position or access the invested capital.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Sloane violated applicable suitability and best interest standards in multiple respects.

****Concentration and Illiquidity:**** Under FINRA Rule 2111 (Suitability), a representative must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, liquidity needs, risk tolerance, and investment objectives. Gerald was a 71-year-old retiree with a moderate risk tolerance, income and capital preservation objectives, and a clearly foreseeable need for liquidity due to his wife's Alzheimer's diagnosis. Allocating \$125,000 -- over 30% of his liquid net worth -- to a single non-traded REIT with a seven-year hold period and no secondary market was patently unsuitable for a customer with these characteristics. NASAA guidance and multiple FINRA enforcement precedents (including actions stemming from non-traded REIT over-concentration) have repeatedly held that concentration above 10-20% of liquid net worth in illiquid alternative investments is presumptively unsuitable for retired investors with income needs.

****Failure of Reasonable-Basis Suitability:**** FINRA Regulatory Notice 10-22 imposes a heightened reasonable investigation duty on broker-dealers and their representatives when recommending private placements and other illiquid alternative investments. Derek had an obligation to investigate and understand the material risks of Pinnacle Healthcare

Properties REIT -- including the risk that distributions could be paid from offering proceeds (return of capital), the impact of the 12% front-end load on principal, and the severe illiquidity constraints -- before making any recommendation. His failure to disclose these features to Gerald suggests he either did not perform this investigation or disregarded its results.

****Reg BI Considerations:**** Under SEC Regulation Best Interest (Rule 15l-1), effective since June 30, 2020, Derek was required to act in the retail customer's best interest at the time of the recommendation, which includes satisfying the Care Obligation (reasonable diligence, care, and skill in evaluating the recommendation in light of the customer's profile) and the Disclosure Obligation (full and fair disclosure of all material facts including risks, costs, and conflicts of interest). The 12% upfront load and \$8,750 commission created a significant conflict of interest that was not disclosed or mitigated. The recommendation failed the Care Obligation because it did not reflect consideration of Gerald's age, liquidity needs, risk tolerance, or the reasonably foreseeable need for funds related to Patricia's care.

****FINRA Rule 2010 (Standards of Commercial Honor):**** The omission of material information about illiquidity, fee impact, and distribution-funding risks, combined with the misleading characterization of the investment as 'recession-proof' and 'perfect,' constitutes conduct inconsistent with just and equitable principles of trade.

****Likely Regulatory Outcome:**** Derek and his firm face potential FINRA enforcement action including fines, disgorgement of commissions, restitution to the customer, and possible suspension or bar. The firm may also face supervisory failure charges if it lacked adequate procedures for reviewing non-traded REIT concentration limits and suitability for elderly clients with liquidity needs. This fact pattern closely mirrors enforcement trends seen in GPB Capital and non-traded REIT cases where advisors concentrated elderly, income-dependent clients in illiquid products with high commissions.

Item 68 of 350**NON-COMPLIANT**

Topic: alternative_investments_unsuitable

Difficulty: medium

Source: 27_Private_Placements_DPPs

Fact Pattern

Gerald Whitfield, age 71, is a retired high school principal living in Tucson, Arizona. He receives a pension of \$4,200 per month and Social Security of \$2,100 per month, giving him a combined annual income of approximately \$75,600. His total liquid net worth is \$410,000, the vast majority of which is held in a rollover IRA from his former employer's 403(b) plan. He also has \$38,000 in a savings account that serves as his emergency fund. Gerald's wife passed away in 2021, and he is the sole financial decision-maker for his household. He has no prior experience with alternative investments and described his investment objective as "income and capital preservation" on his new account form. His stated risk tolerance is "conservative." In March 2023, Gerald's financial advisor, Brian Kessler, recommended that Gerald invest \$125,000 from his IRA into a non-traded real estate investment trust called Meridian Hospitality Income REIT, which focused on acquiring boutique hotel properties in secondary U.S. markets. The REIT carried upfront fees and commissions totaling 12%, had no established secondary market for its shares, offered a projected but non-guaranteed distribution of 6.5%, and had a stated investment horizon of seven to ten years before any potential liquidity event. Kessler told Gerald the investment was "like a bond that pays you rent checks" and emphasized the monthly income distributions. Kessler did not discuss the illiquidity of the investment, the possibility that distributions could be funded from offering proceeds or borrowings rather than operating income, or the concentration risk the product would create in Gerald's portfolio. The \$125,000 investment represented roughly 30% of Gerald's total liquid net worth. Kessler earned a \$9,375 commission on the transaction. By late 2024, Meridian Hospitality Income REIT suspended distributions, citing declining hotel occupancy rates and rising debt service costs. Gerald, now 73 and needing reliable income from his IRA to supplement his pension and Social Security, was unable to liquidate his position and faced a potential loss of more than 40% of his invested capital based on the REIT's revised estimated share value.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Brian Kessler violated multiple suitability and best interest standards in recommending the Meridian Hospitality Income REIT to Gerald Whitfield.

****Applicable Standards:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, risk tolerance, and other relevant information. Rule 2111 encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

2. ****Regulation Best Interest (SEC Rule 15l-1):**** Under Reg BI's Care Obligation, a broker must exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation and must have a reasonable

basis to believe the recommendation is in the retail customer's best interest at the time it is made, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation.

3. **FINRA Regulatory Notice 10-22:** This notice specifically addresses the heightened obligation of broker-dealers to conduct reasonable-basis due diligence on private placements, including non-traded REITs. It requires firms and their representatives to investigate the issuer and its management, the business prospects of the issuer, the assets held or to be acquired, the claims being made, and the intended use of proceeds, including the level of fees and compensation.

4. **FINRA Rule 2010 (Standards of Commercial Honor):** Kessler's misleading characterization of the non-traded REIT as being "like a bond that pays you rent checks" is a violation of standards of commercial honor and equitable principles of trade, as it materially misrepresented the risk profile of the product.

Analysis of Violations:

- **Customer-Specific Suitability Failure:** Gerald was a 71-year-old conservative retiree with limited income, modest liquid assets, no experience with alternative investments, and stated objectives of income and capital preservation. A non-traded REIT with a 7-10 year illiquidity horizon, 12% upfront costs, and hotel-sector concentration risk was fundamentally incompatible with his profile. His age and reliance on IRA funds for living expenses made liquidity a critical factor.

- **Concentration Risk:** The \$125,000 investment represented approximately 30% of Gerald's total liquid net worth. NASAA guidelines on non-traded REITs generally recommend concentration limits of no more than 10% of liquid net worth for such illiquid products. Many states have adopted these or similar thresholds. The recommendation grossly exceeded reasonable concentration levels.

- **Failure to Disclose Material Risks:** Kessler failed to disclose the illiquid nature of the investment, the risk that distributions could be paid from sources other than operating income (return of capital), and the concentration risk the position created. These are material omissions that further violate the Disclosure Obligation under Reg BI and the general fair dealing standards under FINRA rules.

- **Misleading Characterization:** Comparing a non-traded REIT focused on boutique hotel properties to a bond is materially misleading. Bonds have defined maturities and repayment obligations; a non-traded REIT in the hospitality sector carries equity risk, operational risk, interest rate risk, and severe liquidity risk.

- **Reasonable-Basis Suitability / Due Diligence under RN 10-22:** There is no indication that Kessler conducted independent due diligence into the REIT's financial condition, management, debt structure, or the sustainability of its projected distributions. The subsequent suspension of distributions and significant decline in estimated share value suggest that the product's risks were either not investigated or were ignored.

- **Reg BI Cost Considerations:** The 12% upfront load (\$15,000 in fees and commissions on a \$125,000 investment) significantly impaired the investment's ability to generate net positive returns for Gerald, particularly over any reasonable time horizon for a 71-year-old retiree. Kessler's \$9,375 commission created a significant conflict of interest that should have been disclosed and managed.

Likely Regulatory Outcome: Kessler and his firm face potential enforcement action for unsuitable recommendations, failure to conduct adequate due diligence, and misleading sales practices. Remedies could include disgorgement of commissions, restitution to the customer, fines, suspension, or barring of the representative. The firm could also face supervisory failure charges if it lacked adequate procedures for reviewing alternative investment recommendations to elderly, conservative clients. Cases involving non-traded REITs sold to elderly conservative investors with high concentration levels have been a persistent enforcement priority, as reflected in the GPB Capital enforcement actions

and numerous non-traded REIT arbitration awards.

Item 69 of 350**NON-COMPLIANT****Topic:** high_fees_unsuitable**Difficulty:** medium**Source:** 27_Private_Placements_DPPs**Fact Pattern**

Margaret Holloway, age 71, is a retired elementary school teacher living in suburban Ohio. She receives a pension of \$3,400 per month and Social Security of \$1,800 per month, totaling approximately \$62,400 annually. Her liquid savings consist of \$285,000 in a traditional IRA and \$42,000 in a savings account. She owns her home outright, valued at approximately \$190,000. Her investment objectives, as documented on her new account form in March 2024, are income and preservation of capital. Her risk tolerance is listed as conservative. She has no prior experience with alternative investments and describes herself as someone who prefers CDs and bond funds.

Her financial advisor, Derek Simmons, who has been registered for four years and works at a mid-sized independent broker-dealer, recommended in April 2024 that Margaret invest \$175,000 from her IRA into a non-traded real estate investment trust called Pinnacle Healthcare Properties REIT. The REIT invests in medical office buildings and senior care facilities and has a stated distribution rate of 6.5%. Derek emphasized the monthly income stream and described the investment as 'like owning real estate without the hassle.'

The offering documents for Pinnacle Healthcare Properties REIT disclosed the following fee structure: a 7% upfront sales commission paid to the selling broker-dealer, a 3% dealer manager fee, organizational and offering costs of 1.5%, and ongoing annual asset management fees of 1.25%. In total, approximately 11.5% of Margaret's \$175,000 investment, or roughly \$20,125, was absorbed by fees before a single dollar was deployed into real estate assets. The REIT had a minimum seven-year hold period with no established secondary market, and early redemption was limited to a quarterly share repurchase program capped at 5% of outstanding shares per year, subject to board discretion.

Derek did not discuss any alternative income-producing investments with Margaret, such as bond funds, Treasury securities, or listed REITs, nor did he explain the total cost structure in plain terms. He provided the prospectus but did not walk her through the fee disclosures. Margaret's account records show that prior to this recommendation, her IRA was invested entirely in a balanced mutual fund with an annual expense ratio of 0.55%. Following the investment, approximately 61% of Margaret's IRA was concentrated in this single illiquid product. Six months after the investment, Margaret needed \$30,000 for unexpected home repairs and was unable to access any of her funds in the REIT due to the quarterly redemption window having already passed, with the next cycle not opening for four months.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Simmons likely violated multiple regulatory requirements in recommending the Pinnacle Healthcare Properties non-traded REIT to Margaret Holloway.

****Suitability under FINRA Rule 2111:**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, investment objectives, risk tolerance, liquidity needs, and time horizon. Margaret is a

71-year-old retiree with conservative risk tolerance, income and capital preservation objectives, no alternative investment experience, and limited liquid assets. Concentrating 61% of her IRA in a single illiquid, non-traded REIT with a seven-year hold period is fundamentally inconsistent with her documented profile. This fails both the customer-specific suitability obligation and the quantitative suitability component, as the concentration in a single illiquid product is excessive for a retiree dependent on her savings.

****Regulation Best Interest (Rule 15l-1):**** For broker-dealers, Reg BI requires that recommendations be in the retail customer's best interest, considering the customer's investment profile without placing the financial or other interest of the broker ahead of the customer's interest. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in making the recommendation, including understanding the risks, rewards, and costs of the product and considering reasonably available alternatives. Derek failed to present or discuss any alternatives such as listed REITs, investment-grade bond funds, or Treasury securities, all of which would have provided income with significantly lower fees and greater liquidity. The 7% upfront commission created a significant financial incentive that appears to have driven the recommendation. The Disclosure Obligation under Reg BI also required full and fair disclosure of material facts, including the cost impact. Derek's failure to walk Margaret through the 11.5% total upfront cost load was a disclosure deficiency.

****FINRA Regulatory Notice 10-22:**** This notice specifically addresses member firms' obligations regarding non-traded REITs and direct participation programs. It requires firms to conduct a reasonable investigation of the product, including its fees, the track record of the sponsor, and the risks of illiquidity. It also requires firms to ensure that concentration limits are enforced. Many firms and state regulators impose concentration limits of 10% or less of liquid net worth for non-traded REITs. Margaret's \$175,000 investment represents approximately 53% of her total liquid net worth (\$327,000), far exceeding any reasonable concentration threshold.

****FINRA Rule 2010 (Standards of Commercial Honor):**** The overall pattern of conduct--recommending an unsuitable, high-fee, illiquid product to a conservative, elderly retiree without discussing alternatives or adequately explaining costs--raises serious concerns about just and equitable principles of trade.

****NASAA Guidance:**** The North American Securities Administrators Association has issued multiple statements and model rules regarding DPP and non-traded REIT suitability, including concentration limits (typically 10% of net worth excluding home), enhanced suitability standards for seniors, and the obligation to explain illiquidity risk clearly. Derek's recommendation violates these standards on multiple fronts.

****Precedent from enforcement actions (e.g., GPB Capital cases):**** Regulators have brought significant enforcement actions against broker-dealers and advisors who recommended illiquid private placements and non-traded products to unsuitable customers, particularly where high upfront commissions incentivized the recommendation and where the advisor failed to conduct or document a reasonable basis investigation.

****Likely Regulatory Outcome:**** Derek and his firm face potential sanctions including fines, restitution of the approximately \$20,125 in upfront fees, disgorgement of commissions, suspension or bar for the advisor, and supervisory deficiency findings against the firm if it failed to maintain adequate procedures for reviewing non-traded REIT recommendations. Margaret may also have a viable arbitration claim for damages including the cost differential and any losses attributable to the illiquidity trap that prevented her from accessing funds for home repairs.

Item 70 of 350**NON-COMPLIANT**

Topic: inappropriate_risk_profile

Difficulty: medium

Source: 27_Private_Placements_DPPs

Fact Pattern

Gerald Hutchinson, age 71, is a retired postal worker living in Tucson, Arizona, with a fixed annual income of \$38,000 from his pension and Social Security. His total liquid net worth is approximately \$210,000, held primarily in certificates of deposit and a money market account at his local bank. Gerald has no prior experience investing in anything other than CDs and a small whole-life insurance policy he purchased decades ago. On his new account form at Ridgeline Financial Group, his registered representative, Darren Kowalski, documented Gerald's risk tolerance as 'moderate' and his investment objective as 'growth and income.' In March 2021, Darren recommended that Gerald invest \$95,000--approximately 45% of his liquid net worth--into a non-traded real estate investment trust called Meridian Healthcare Properties REIT, which carried a minimum seven-year hold period, no public secondary market, and early redemption fees of up to 12% of principal during the first three years. The offering documents disclosed a front-end load of 10%, meaning roughly \$9,500 of Gerald's investment went to commissions and offering costs. Darren told Gerald the investment would provide 'steady quarterly distributions like a CD but with better returns,' and characterized the REIT as 'basically the same as owning rental property without the hassle.' Darren did not discuss the illiquid nature of the investment or the fact that distributions could be funded from offering proceeds or borrowings rather than actual operating income. Gerald signed the subscription documents. By late 2022, Meridian Healthcare Properties suspended its distribution payments and announced a 35% reduction in estimated net asset value per share due to rising interest rates and declining occupancy in its properties. Gerald, who had been relying on the quarterly distributions to supplement his pension income, contacted Darren seeking to redeem his shares. He was informed that the early redemption program had been suspended and that no liquidity event was anticipated for at least another four years. Gerald's \$95,000 investment was now valued at approximately \$55,000 on paper, with no ability to access any of it. Darren's firm had conducted no independent due diligence on the Meridian REIT offering beyond reviewing the issuer-provided marketing materials and prospectus summary. The firm's product review committee had not convened to evaluate the offering, and no written reasonable-basis suitability analysis existed in the firm's files. Darren had received a 7% gross commission on the transaction, well above the typical 1-2% he earned on mutual fund sales.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Darren Kowalski violated applicable suitability and best interest standards in multiple respects.

****Reasonable-Basis Suitability (FINRA Rule 2111.05(a)):** Before recommending any security, a registered representative and the member firm must perform reasonable diligence to understand the nature of the product, including its risks and rewards, sufficient to form a reasonable basis for the recommendation. FINRA Regulatory Notice 10-22 specifically reminds broker-dealers that they must conduct a reasonable investigation of the issuer and the securities in Regulation D and private placement offerings. Here, Ridgeline Financial Group performed no independent due diligence--no product committee review, no written analysis, and no investigation beyond issuer-provided marketing materials. This is a clear failure of reasonable-basis suitability.

****Customer-Specific Suitability (FINRA Rule 2111.05(b)):** The recommendation must be suitable for the particular customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, risk tolerance, liquidity needs, and time horizon. Gerald was a 71-year-old retiree on a fixed \$38,000 annual income who needed liquidity and income preservation. Concentrating 45% of his liquid net worth in an illiquid non-traded REIT with a seven-year hold period and 12% early redemption penalties is fundamentally inconsistent with his profile. His documented risk tolerance of 'moderate' does not support an illiquid alternative investment of this magnitude, and even that characterization may have been inflated given his actual investment history of only CDs and money markets.

****Regulation Best Interest (SEC Rule 15l-1, Care Obligation):** Under Reg BI, a broker-dealer must exercise reasonable diligence, care, and skill when making a recommendation, considering the customer's investment profile and ensuring that the recommendation does not place the financial professional's interest ahead of the customer's. The 7% gross commission created a significant financial incentive that appears to have driven the recommendation. Darren's misleading comparison of the REIT to a CD and his failure to disclose the illiquidity, distribution risk, and fee structure represent failures under both the care and disclosure obligations of Reg BI.

****FINRA Rule 2010 (Standards of Commercial Honor):** Darren's characterization of the non-traded REIT as 'basically the same as owning rental property without the hassle' and as comparable to a CD misrepresented the risk profile and constituted misleading statements inconsistent with just and equitable principles of trade.

****NASAA Guidance on Non-Traded REITs and DPPs:** NASAA has issued extensive guidance warning that non-traded REITs are generally unsuitable for elderly investors with limited income and liquidity needs. Many state securities regulators impose concentration limits (often 10% of liquid net worth) for non-traded REITs, making a 45% allocation grossly excessive under any standard.

****Likely Regulatory Outcome:** Darren and his firm would likely face enforcement action resulting in disgorgement of commissions, restitution to the customer, fines, potential suspension for Darren, and supervisory sanctions against the firm for failure to conduct due diligence and maintain a reasonable supervisory system. This fact pattern closely mirrors enforcement patterns seen in non-traded REIT cases involving elderly, conservative investors, such as those pursued in the GPB Capital matter and similar actions.

Item 71 of 350**NON-COMPLIANT**

Topic: inappropriate_risk_profile

Difficulty: medium

Source: 28_Structured_Products

Fact Pattern

Margaret Ellison, age 71, is a retired elementary school teacher living in suburban Ohio. She receives a monthly pension of \$2,800 and Social Security benefits of \$1,650 per month. Her total liquid savings amount to approximately \$340,000, held primarily in certificates of deposit and a money market account at her local bank. She has no prior experience with equities, options, or structured products. On her new account form completed in March 2022, her stated investment objectives were 'income' and 'preservation of capital,' and her risk tolerance was marked as 'conservative.' She told her financial advisor, Kevin Marsh, that she wanted to generate a little more income than her CDs were paying but could not afford to lose any of her principal because the \$340,000 represented her entire emergency fund and long-term care cushion.

In April 2022, Marsh recommended that Mrs. Ellison invest \$150,000--roughly 44% of her liquid net worth--into three separate reverse convertible notes, each linked to a different single equity underlier: a large-cap technology stock, a mid-cap biotech company, and an energy sector stock. Each note had a 12-month maturity, offered a stated coupon of 11% to 14%, and contained a knock-in barrier set at 70% of the initial stock price. Marsh explained to Mrs. Ellison that the products paid 'much higher interest than CDs' and described them as 'similar to bonds but with better yields.' He did not explain the equity-linked downside risk, the knock-in barrier mechanism, or the possibility that she could receive shares of stock worth significantly less than her principal at maturity. He did not provide the product-specific pricing supplements or discuss the embedded put option she was effectively selling.

By April 2023, when the notes matured, the biotech underlier had fallen 42% from its initial reference price, breaching the knock-in barrier. Mrs. Ellison received shares of the biotech stock instead of her \$50,000 principal on that note, and those shares were worth approximately \$29,000 at maturity. The technology-linked note returned full principal plus coupon, and the energy-linked note also returned full principal plus coupon. After accounting for all coupon payments received across the three notes (totaling approximately \$18,750), Mrs. Ellison still suffered a net loss of approximately \$2,250 on the combined position, but more critically, she was left holding volatile biotech shares she neither understood nor wanted, with ongoing market risk. She filed a complaint stating she was never told she could lose her principal or receive stock instead of cash.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Marsh violated multiple applicable regulatory standards in recommending reverse convertible notes to Margaret Ellison.

****Suitability Analysis under FINRA Rule 2111:****

FINRA Rule 2111 requires that a registered representative have a reasonable basis to believe that a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, risk tolerance, liquidity needs, time horizon, and other relevant factors. There are three

component obligations: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

- ***Reasonable-Basis Suitability:** Marsh appears to have lacked a sufficient understanding of the reverse convertible products themselves if he characterized them as 'similar to bonds but with better yields.' Reverse convertibles are structured notes with embedded equity put options, meaning the investor bears downside equity risk while earning an enhanced coupon. FINRA Regulatory Notice 10-09 specifically reminds firms that registered representatives must understand the risks, terms, and costs of reverse convertibles before recommending them. A representative who cannot articulate the knock-in barrier mechanism, the embedded short put, or the potential for principal loss in the form of depreciated shares fails reasonable-basis suitability.

- ***Customer-Specific Suitability:** Mrs. Ellison's profile--age 71, conservative risk tolerance, capital preservation and income objectives, no prior experience with equities or structured products, and the fact that the \$340,000 represented her entire financial cushion--made reverse convertibles clearly unsuitable for her. These products expose investors to equity-like downside risk, which is fundamentally incompatible with a capital preservation objective. FINRA RN 09-73 (Suitability for Complex Products) emphasizes heightened suitability obligations when recommending complex products to retail investors, particularly those who lack sophistication. Allocating 44% of her liquid net worth to these instruments dramatically magnified the risk.

****Regulation Best Interest (Reg BI) Analysis:****

Under Reg BI's Care Obligation, a broker-dealer and associated person must exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation and must have a reasonable basis to believe the recommendation is in the retail customer's best interest based on the customer's investment profile and the potential risks and rewards. Recommending equity-linked downside risk instruments to a 71-year-old conservative investor with capital preservation needs plainly fails this standard.

Reg BI's Disclosure Obligation also requires that material facts about the recommendation be disclosed, including risks and conflicts. Marsh's omission of the knock-in barrier mechanics, the possibility of receiving depreciated stock at maturity, and the embedded option component constitutes a material disclosure failure.

****FINRA Rule 2010 (Standards of Commercial Honor):****

Mischaracterizing reverse convertibles as similar to bonds is misleading and inconsistent with the just and equitable principles of trade required by FINRA Rule 2010.

****FINRA Regulatory Notice 12-03 (Heightened Supervision for Complex Products):****

RN 12-03 outlines firms' obligations when selling complex products, including ensuring adequate training for representatives, performing a reasonable-basis suitability analysis of the product itself, and implementing heightened supervisory procedures. The firm's supervisory system should have flagged a concentration of 44% of a conservative retiree's liquid assets in reverse convertibles.

****Likely Regulatory Outcome:****

Marsh and his firm face potential enforcement action for unsuitable recommendations, failure to disclose material risks, and supervisory failures. Remedies could include disgorgement, restitution to Mrs. Ellison for her net losses and the ongoing market risk of the biotech shares, fines, and potential suspension. In arbitration, Mrs. Ellison would likely recover compensatory damages reflecting her losses net of coupon income, plus potentially consequential damages related to the forced equity position she did not want.

Item 72 of 350**NON-COMPLIANT****Topic:** high_fees_unsuitable**Difficulty:** medium**Source:** 28_Structured_Products**Fact Pattern**

In March 2022, financial advisor Derek Hollis of Pinnacle Wealth Partners recommended that his client, Barbara Finnegan, age 71, invest \$185,000 in a series of reverse convertible notes linked to three volatile biotechnology stocks. Mrs. Finnegan was a retired elementary school teacher with a fixed annual income of \$42,000 from her pension and Social Security. Her total liquid net worth was approximately \$310,000, held primarily in certificates of deposit and a money market account. Her stated investment objectives on file were capital preservation and income generation, and her risk tolerance was listed as conservative. Mrs. Finnegan had no prior experience with structured products, options, or any derivative-linked instruments. During the recommendation, Hollis described the reverse convertibles as 'like a CD but with a better coupon,' emphasizing the 11.5% annualized coupon rate while omitting meaningful discussion of the downside conversion risk or the fact that she could receive shares of a biotech stock trading at a fraction of the initial reference price. The embedded fees on the products totaled approximately 4.75%, which were not separately disclosed but were built into the pricing structure. Hollis earned a gross commission of \$8,788 on the transactions. Within seven months, two of the three underlying biotech stocks fell below their knock-in barrier levels by more than 35%. At maturity in September 2022, Mrs. Finnegan received physical delivery of depreciated biotech shares worth a combined \$107,400 instead of her \$185,000 principal, resulting in a loss of \$77,600 -- partially offset by the \$10,637 in coupon payments she received over the six-month term. Mrs. Finnegan stated in a subsequent complaint that she never understood she could lose her principal or that she might end up holding volatile biotech stocks, and that Hollis told her the investment was 'basically guaranteed income.' Her account application showed no changes were made to reflect any updated risk profile before the purchases, and the firm's supervisory review consisted solely of an automated order-entry check with no independent assessment of the product's suitability for a conservative retiree.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hollis violated multiple regulatory standards governing the sale of structured products to retail investors. Under FINRA Rule 2111 (Suitability), a financial advisor must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, investment objectives, experience, and time horizon. Mrs. Finnegan was a 71-year-old conservative retiree with limited liquid assets, no experience with structured products, and explicitly stated objectives of capital preservation and income generation. Reverse convertible notes are complex instruments that expose investors to significant downside equity risk while capping upside returns at the coupon payment. They are fundamentally inconsistent with a capital preservation objective, particularly when linked to volatile biotech stocks.

Under Regulation Best Interest (Reg BI), the advisor owed Mrs. Finnegan a duty under the Care Obligation to exercise reasonable diligence, care, and skill in making the recommendation, to understand the risks and rewards of the product, and to have a reasonable basis to believe it was in her best interest given her profile. Hollis failed this standard by recommending a product whose risk-return profile was diametrically opposed to her stated needs. The Disclosure Obligation under Reg BI also required full and fair disclosure of all material facts, including the nature of the downside

risk and the embedded fees. Hollis's characterization of the product as 'like a CD but with a better coupon' and 'basically guaranteed income' was materially misleading and likely constituted a violation of FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade).

FINRA Regulatory Notice 10-09 specifically warns firms about the sale of reverse convertibles to retail investors, emphasizing that these products may be unsuitable for investors seeking principal protection or who do not understand the complex payoff structures. FINRA RN 09-73 further highlights concerns about complex products and the heightened supervisory obligations firms bear when allowing their sale, including ensuring that representatives adequately understand and can explain the products. FINRA RN 12-03 reinforces that firms must ensure complex products are sold only to investors for whom they are suitable and that heightened supervision is required.

The embedded fees of 4.75% (\$8,788 commission) further aggravate the unsuitability, as the high cost burden made it even less likely Mrs. Finnegan would achieve her income and preservation objectives on a risk-adjusted basis. The firm's supervisory failure -- relying solely on automated order-entry checks without independent suitability review for a complex product sold to a conservative elderly customer -- constitutes a violation of FINRA's supervisory obligations under Rule 3110.

The likely regulatory outcome would include restitution to Mrs. Finnegan for her net losses (approximately \$66,963 after coupon payments), disgorgement of commissions, potential fines against both Hollis and the firm, a suspension or bar for Hollis depending on the scope of similar conduct, and enhanced supervisory requirements imposed on the firm. An arbitration panel would likely find in Mrs. Finnegan's favor on claims of unsuitability, misrepresentation, and failure to supervise.

Item 73 of 350**NON-COMPLIANT****Topic:** inappropriate_risk_profile**Difficulty:** medium**Source:** 28_Structured_Products**Fact Pattern**

Margaret Dalton, age 71, is a retired elementary school teacher living in Tucson, Arizona. She has a fixed annual income of \$38,000 from her pension and Social Security. Her total investable assets are approximately \$310,000, the majority of which is held in a traditional IRA that constitutes her primary source of savings for medical expenses and supplemental living costs. On her new account form, completed in March 2023, Margaret indicated a conservative risk tolerance, a primary investment objective of capital preservation, a time horizon of three to five years, and limited investment experience consisting solely of certificates of deposit and a balanced mutual fund held for over a decade. She told her advisor, Kevin Royce, that she could not afford to lose any principal because she had no other financial safety net beyond her pension.

In April 2023, Royce recommended that Margaret invest \$155,000 -- roughly half of her liquid net worth -- into a 14-month reverse convertible note linked to the common stock of a mid-cap biotechnology company. The note offered a 12.5% annualized coupon, which Royce emphasized during three phone conversations and one in-person meeting. Royce described the product as 'like a CD but with a better interest rate' and told Margaret the coupon payments would help supplement her pension income. He did not explain the knock-in barrier at 70% of the initial stock price, nor did he describe the scenario under which Margaret could receive shares of the underlying biotech stock instead of her principal at maturity. The product's offering documents, totaling 94 pages, were mailed to Margaret but she later stated she did not read them and relied entirely on Royce's oral explanations.

By June 2024, the biotech stock had fallen 42% from its reference price due to a failed Phase III clinical trial. At maturity, Margaret received 3,875 shares of the biotech company valued at approximately \$89,900 instead of her \$155,000 in principal. Including the coupon payments she had received totaling approximately \$18,100, her net loss was roughly \$46,900. Margaret filed a complaint in August 2024 alleging that Royce never explained the downside risk structure and that the investment was wholly inconsistent with her stated financial needs and risk profile. Royce's firm's internal records show that no structured product training was completed by Royce in the 18 months prior to the sale, and the branch manager approved the transaction after a cursory review that lasted under two minutes.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Royce violated multiple applicable suitability and best interest standards in recommending the reverse convertible note to Margaret Dalton.

****Applicable Standards and Analysis:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on reasonable diligence to ascertain the customer's investment profile. Rule 2111 encompasses three component

obligations:

- ***Reasonable-basis suitability:*** The advisor must understand the product being recommended. Royce had completed no structured product training and mischaracterized the reverse convertible as similar to a CD. Reverse convertibles are complex instruments that embed a short put option; they expose the investor to full downside equity risk below the knock-in barrier while capping upside at the coupon. Royce's failure to understand or accurately convey the product's mechanics is a clear reasonable-basis suitability violation.

- ***Customer-specific suitability:*** Margaret was 71, retired, conservative, seeking capital preservation with a short time horizon, and had no experience with complex products. Allocating 50% of her investable assets to a product linked to a volatile mid-cap biotech stock is fundamentally inconsistent with her documented profile. FINRA Regulatory Notice 12-03 specifically warns that concentration in complex products amplifies suitability concerns.

- ***Quantitative suitability:*** While this component is less directly implicated, the sheer dollar amount relative to Margaret's total assets (\$155,000 of \$310,000) reflects an excessive concentration that compounds the customer-specific violation.

2. ****Regulation Best Interest (Reg BI):**** Under the SEC's Regulation Best Interest, Royce was required to act in Margaret's best interest at the time of the recommendation. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in understanding the product, evaluating it against the customer's profile, and considering reasonably available alternatives. A 12.5% coupon reverse convertible linked to a single volatile biotech equity was clearly not in the best interest of a 71-year-old conservative retiree who explicitly stated she could not afford principal loss. The Disclosure Obligation was also violated: Royce affirmatively misrepresented the product as CD-like, omitted the knock-in barrier mechanism, and failed to explain the stock delivery risk at maturity.

3. ****FINRA Regulatory Notice 10-09:**** This notice specifically addresses reverse convertibles and warns firms that these products may be unsuitable for investors seeking principal protection. It highlights that the high coupon reflects the embedded risk of the short put position and that investors must understand they may receive depreciated stock instead of principal. Royce's failure to explain these features directly contravenes the guidance.

4. ****FINRA Regulatory Notice 09-73:**** This notice addresses complex products broadly and emphasizes that firms must ensure adequate training for representatives selling such products and must have robust supervisory procedures. The fact that Royce had no structured product training in the prior 18 months, and the branch manager's approval was cursory (under two minutes for a \$155,000 structured note sale to a conservative retiree), reflects a supervisory failure under this guidance.

5. ****FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade):**** Royce's affirmative mischaracterization of the product as CD-like, combined with his omission of critical risk features, rises to the level of a violation of just and equitable principles of trade. This is not merely a failure of adequate disclosure but an affirmative misrepresentation that induced the customer to invest.

****Likely Regulatory Outcome:**** Royce would likely face disciplinary action including fines, suspension, and potential barring from the industry. The firm would face supervisory failure charges for inadequate training requirements, insufficient review procedures for complex product sales to retail customers, and failure to implement heightened scrutiny for concentrated positions in structured products held by elderly, conservative investors. Margaret would have strong grounds for recovery in arbitration, including compensatory damages for her net losses of approximately \$46,900, and potentially additional relief. The firm's compliance failures -- lack of advisor training and inadequate supervisory review -- would likely result in separate sanctions against the branch manager and potentially the firm's compliance infrastructure.

Item 74 of 350**NON-COMPLIANT****Topic:** failure_to_know_customer**Difficulty:** hard**Source:** 28_Structured_Products**Fact Pattern**

Gerald Whitfield, age 71, is a retired postal worker living in Tampa, Florida, with an annual pension income of \$38,000 and Social Security benefits of \$22,800. His total liquid net worth is approximately \$285,000, held primarily in a rollover IRA and a small taxable brokerage account. Gerald has a high school education and no prior experience with any investments beyond certificates of deposit and a money market fund. He visited the branch office of his brokerage firm in March 2024 seeking guidance on generating modest supplemental income without putting his retirement savings at significant risk. His new account form, completed hastily during the initial meeting, listed his investment objective as 'growth' and his risk tolerance as 'moderate,' though Gerald later stated he told the advisor he 'couldn't afford to lose any of this money' and simply wanted 'something safe that pays a little better than the bank.' His advisor, Craig Linden, age 34, had been registered for four years and had recently attended an internal product training session on structured notes offered through the firm's capital markets desk. During the initial meeting, which lasted approximately 25 minutes, Craig did not ask Gerald about his familiarity with derivatives, options, equity-linked instruments, or structured products. Craig did not inquire about Gerald's tax situation, his monthly living expenses, or whether he had any other sources of emergency funds. No investment profile questionnaire beyond the new account form was completed. Two weeks later, Craig called Gerald and recommended he invest \$190,000 -- roughly 67% of his liquid net worth -- into a 14-month reverse convertible note linked to the common stock of a mid-cap biotechnology company, Veritex Genomics Inc. The note offered a 12.5% annualized coupon but carried full downside equity risk if Veritex shares fell below a 70% knock-in barrier at maturity. Craig described the product to Gerald as a 'high-yield income note' and told him it would 'pay you over twelve percent a year, which is way better than any CD.' Craig did not explain the knock-in barrier mechanism, the possibility that Gerald could receive depreciated shares of Veritex instead of his principal, or the fact that the note's upside was capped at the coupon while the downside was equivalent to owning the underlying stock. Craig also did not disclose that the firm earned a 2.75% selling concession on the transaction, totaling \$5,225. Gerald agreed to the purchase based on Craig's description. By January 2025, Veritex Genomics had declined 44% due to a failed clinical trial, breaching the knock-in barrier. At maturity in May 2025, the stock had partially recovered but was still down 31%. Gerald received shares of Veritex worth approximately \$131,100 instead of his \$190,000 principal, resulting in a loss of approximately \$58,900 before accounting for the coupon payments he received totaling roughly \$23,750. His net loss was approximately \$35,150. Gerald filed a complaint stating he never understood the product, was never told he could lose principal, and believed he was buying something similar to a CD.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, the financial advisor violated multiple applicable standards. First, under FINRA Rule 2111 (Suitability), a registered representative must have a reasonable basis for believing a recommendation is suitable for a particular customer based on that customer's investment profile, which includes age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, risk tolerance, and any other information the customer discloses. Craig Linden failed at the most fundamental level -- the 'know your customer' obligation -- by not gathering essential information about Gerald Whitfield's actual investment experience, familiarity with complex instruments,

monthly expenses, liquidity needs, emergency reserves, or tax circumstances. The new account form was completed hastily and inaccurately reflected Gerald's objectives and risk tolerance, which Gerald's own statements directly contradict. FINRA Regulatory Notices 09-73 and 10-09 specifically warn member firms that reverse convertibles are complex products combining a debt instrument with a put option written by the investor, and that firms must ensure customers understand the product's risks, including the possibility of receiving depreciated stock instead of principal. FINRA RN 12-03 further emphasizes heightened scrutiny for complex products and states that a registered representative cannot satisfy suitability obligations without understanding the product and ensuring the customer also understands the risks. Craig's characterization of the reverse convertible as a 'high-yield income note' comparable to a CD was materially misleading and violates FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade). Under Regulation Best Interest (Reg BI), which applies to broker-dealer recommendations to retail customers, Craig was required to satisfy the Care Obligation by exercising reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile and the product's risks, rewards, and costs. The Disclosure Obligation required Craig to disclose material facts about the recommendation, including the firm's \$5,225 selling concession. Craig failed both. Additionally, concentrating 67% of a 71-year-old retiree's liquid net worth in a single reverse convertible linked to a volatile mid-cap biotech stock is quantitatively unsuitable under any reasonable analysis. The customer-specific suitability analysis fails on virtually every metric: Gerald's age, limited income, lack of sophistication, conservative actual risk tolerance, income-oriented objective, and inability to absorb losses all point to unsuitability. A likely regulatory outcome would include findings of violation of FINRA Rules 2111 and 2010, as well as Reg BI, potential suspension or bar for the representative, restitution to the customer, and possible supervisory failures charged against the firm for inadequate review of a complex product sale to an evidently unsuitable customer.

Item 75 of 350**NON-COMPLIANT****Topic:** failure_to_know_customer**Difficulty:** medium**Source:** 28_Structured_Products**Fact Pattern**

Margaret Dalton, age 74, is a retired elementary school teacher living in Tallahassee, Florida. She receives a pension of \$3,200 per month and Social Security of \$1,850 per month, bringing her total fixed income to approximately \$60,600 annually. She has \$410,000 in savings, of which \$280,000 is held in an IRA rollover account at Beacon Ridge Financial Services. Margaret has no prior experience investing in anything other than certificates of deposit, Treasury bonds, and a single balanced mutual fund that her previous advisor selected for her in 2011. She has described herself on account opening documents as having a "conservative" risk tolerance, with investment objectives listed as "income" and "preservation of capital." She is a widow and her primary financial concern, expressed repeatedly during meetings, is making sure she does not outlive her savings and can cover potential long-term care expenses.

In March 2023, her newly assigned advisor, Kevin Roarke, age 32, who had been with Beacon Ridge for 14 months, recommended that Margaret invest \$150,000 of her IRA in a series of reverse convertible notes linked to a basket of three technology stocks -- a semiconductor company, a cloud computing firm, and a social media platform. The notes had a 14-month maturity, offered a 9.8% annualized coupon, and included a 70% knock-in barrier, meaning Margaret's principal would be converted to shares of the worst-performing stock if any of the three stocks fell below 70% of its initial price at any point during the term. The issuer was a mid-sized European investment bank.

Kevin presented the product to Margaret primarily by emphasizing the 9.8% coupon, telling her it was "almost like a CD but with a much better rate." He did not provide her with any written materials describing the knock-in barrier, the contingent downside exposure, or the issuer credit risk. He did not document any discussion of the specific risks of reverse convertibles, the mechanics of the worst-of basket structure, or the fact that her principal could be converted into depreciated shares of a single volatile stock. Margaret signed the purchase authorization, later stating she believed she was buying something similar to a high-yield bond.

Kevin's customer account records contained no updated financial profile for Margaret since her account was reassigned to him in January 2023. The original new account form from 2019 listed her liquid net worth at \$450,000 and age as 70. No notes existed reflecting any conversation about her current health, expenses, liquidity needs, or understanding of structured products. Kevin did not conduct or document any analysis comparing the reverse convertibles to simpler income-producing alternatives such as Treasury securities, agency bonds, or high-quality corporate bonds.

By August 2023, the semiconductor stock in the basket had declined 38% from its reference price, breaching the knock-in barrier. At maturity in May 2024, the social media stock was the worst performer at 61% of its initial value. Margaret's \$150,000 principal was converted into shares of the social media company worth approximately \$91,500, resulting in a net loss of approximately \$58,500 before accounting for the coupon payments she received totaling roughly \$14,700. Her net loss was approximately \$43,800, representing more than 10% of her total retirement savings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Roarke violated multiple regulatory obligations in his recommendation and sale of reverse convertible notes to Margaret Dalton.

****Failure to Know the Customer (FINRA Rule 2111 -- Reasonable-Basis, Customer-Specific, and Quantitative Suitability):****

FINRA Rule 2111 requires that a financial advisor have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile. This profile includes, among other factors, the customer's age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance.

Kevin failed the most fundamental element of the suitability obligation: he did not update or verify Margaret's customer profile after being assigned her account. The account form was nearly four years old and did not reflect her current financial circumstances, health status, or liquidity needs. FINRA Regulatory Notice 12-03 explicitly states that advisors must attempt to gather and analyze relevant customer information before making recommendations and must update that information as circumstances change, especially when a new advisor inherits an account.

****Reasonable-Basis Suitability:****

FINRA Regulatory Notice 10-09 specifically addresses structured products, including reverse convertibles, and warns that these instruments have complex payoff structures that require thorough analysis. The notice states that firms and advisors must understand the product, including its risks, rewards, and costs, before recommending it. Kevin compared the product to a CD, demonstrating either a fundamental misunderstanding of reverse convertibles or a deliberate misrepresentation. A reverse convertible is an unsecured debt obligation of the issuer combined with a short put option on the reference asset -- it is categorically different from a certificate of deposit. Kevin's failure to understand or convey this distinction constitutes a reasonable-basis suitability violation.

****Customer-Specific Suitability:****

Margaret was a 74-year-old retired teacher with conservative risk tolerance, income and capital preservation objectives, no experience with structured products or equities, and heavy dependence on her savings for retirement and potential long-term care. Allocating \$150,000 -- roughly 54% of her IRA and 37% of her total savings -- to a worst-of basket reverse convertible linked to three volatile technology stocks was grossly inconsistent with her stated objectives and risk profile. FINRA RN 09-73 emphasizes heightened suitability obligations when recommending complex products to retail investors, particularly seniors. The concentrated exposure to a single sector and the contingent principal loss mechanism made this recommendation unsuitable on its face.

****Reg BI (Regulation Best Interest) Violations:****

Under Reg BI's Care Obligation, Kevin was required to exercise reasonable diligence, care, and skill in making his recommendation, including understanding the risks and rewards of the reverse convertibles, considering Margaret's individual profile, and evaluating reasonably available alternatives. He did none of these things. He failed to consider simpler alternatives (Treasuries, investment-grade corporate bonds, CDs) that would have met her income needs without exposing her to potential significant principal loss. The Disclosure Obligation under Reg BI also required that Kevin disclose material facts about the recommendation, including risks and conflicts of interest. His characterization of the product as similar to a CD was materially misleading.

****FINRA Rule 2010 (Standards of Commercial Honor):****

Kevin's misleading description of the reverse convertible as being "almost like a CD" and his failure to provide written risk disclosures violate the ethical standards required of associated persons under Rule 2010.

****Likely Regulatory Outcome:****

Kevin and Beacon Ridge Financial Services face significant exposure. A FINRA examination or customer complaint would likely result in findings of unsuitable recommendations, failure to know the customer, and inadequate disclosure. Potential sanctions include disgorgement of commissions, restitution to the customer (estimated at \$43,800 in net losses), fines, a suspension or bar for Kevin, and supervisory deficiency findings against the firm. The firm's supervisory system would also be scrutinized for permitting a relatively junior advisor to sell complex structured products to a senior retail investor without enhanced review protocols, as contemplated by FINRA RN 10-09 and RN 12-03.

Item 76 of 350**NON-COMPLIANT****Topic:** structured_products_unsuitable**Difficulty:** medium**Source:** 28_Structured_Products**Fact Pattern**

In March 2022, financial advisor Derek Langston of Crestview Financial Group recommended that his client, Helen Barrows, age 71, invest \$120,000 in reverse convertible notes linked to the common stock of a mid-cap semiconductor company. Mrs. Barrows was a retired elementary school teacher with a fixed pension of \$3,200 per month and Social Security income of \$1,850 per month. Her total liquid net worth was approximately \$385,000, held primarily in a traditional IRA and a savings account. Her account opening documents indicated a conservative risk tolerance, an investment objective of capital preservation and income, a time horizon of 5-10 years, and limited investment experience confined to certificates of deposit and a single balanced mutual fund she had held since 2009. Langston told Mrs. Barrows that the reverse convertibles offered a 12.75% annualized coupon over a 6-month term and described them as 'like a CD but with a much better interest rate.' He did not explain that the notes contained an embedded short put option on the reference stock, that her principal could be converted into shares of the underlying semiconductor company if the stock declined below a knock-in barrier set at 75% of the initial price, or that her maximum gain was capped at the coupon while her downside exposure mirrored outright stock ownership below the barrier. He also did not disclose that the notes were unsecured senior obligations of the issuing bank, exposing her to issuer credit risk, or that the fair value of the notes at issuance was estimated at approximately \$952 per \$1,000 face value, reflecting embedded issuer compensation. At maturity in September 2022, the reference stock had fallen 34% from its initial level, breaching the knock-in barrier. Mrs. Barrows received \$7,650 in coupon payments but was delivered shares worth approximately \$79,200, resulting in a net loss of approximately \$33,150 on her \$120,000 investment. The \$120,000 allocation represented roughly 31% of her total liquid assets. When Mrs. Barrows called Langston to ask why she had received stock instead of her principal, he told her the market had been 'unpredictable' and suggested she hold the shares for a recovery. She subsequently filed a complaint with the firm.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Langston violated multiple regulatory standards in recommending reverse convertible notes to Helen Barrows.

****Applicable Standards:****

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and investment experience. This rule encompasses three components: (1) reasonable-basis suitability, requiring the advisor to understand the product; (2) customer-specific suitability, requiring the recommendation to match the individual client's profile; and (3) quantitative suitability.

Under Regulation Best Interest (Reg BI), a broker-dealer must act in the retail customer's best interest at the time of a recommendation, satisfying the Disclosure Obligation, Care Obligation, Conflict of Interest Obligation, and Compliance

Obligation. The Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in understanding the product, evaluating risks and rewards, and ensuring the recommendation is in the customer's best interest without placing the advisor's financial interest ahead of the customer's.

FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) requires just and equitable principles of trade.

****FINRA Regulatory Notices:****

FINRA Regulatory Notice 09-73 specifically addresses reverse convertibles and structured products, warning firms that these complex instruments combine a debt instrument with a derivative component (typically a short put option) and expose investors to significant downside risk. The notice emphasizes that the products are not equivalent to conventional debt instruments and must not be marketed as such.

FINRA Regulatory Notice 10-09 reiterates that firms must conduct rigorous suitability analyses for complex products, ensure that associated persons understand the products they recommend, and provide balanced disclosure of risks.

FINRA Regulatory Notice 12-03 (Complex Products) provides heightened supervisory and suitability guidance, requiring firms to consider whether customers have the financial sophistication to understand complex payoff structures and whether such products align with customers' stated objectives.

****Analysis of Violations:****

1. ****Customer-Specific Suitability / Care Obligation Violation:**** Mrs. Barrows was a 71-year-old retiree with conservative risk tolerance, capital preservation objectives, limited investment experience, and dependence on fixed income. Reverse convertible notes linked to a volatile mid-cap semiconductor stock carry equity-like downside risk and are fundamentally inconsistent with conservative, capital-preservation objectives. The 31% concentration of her liquid assets in a single structured note amplified the unsuitability.

2. ****Reasonable-Basis Suitability Violation:**** Langston's description of the product as 'like a CD but with a much better interest rate' demonstrates either a fundamental misunderstanding of the product or willful misrepresentation. Reverse convertibles are not principal-protected, carry embedded derivative risk, and bear issuer credit risk--none of which characterize CDs.

3. ****Disclosure Failures (Reg BI Disclosure Obligation):**** Langston failed to disclose the embedded short put option, the knock-in barrier mechanism, the conversion feature, the issuer credit risk, and the day-one markdown (fair value of ~\$952 vs. \$1,000 face value). These omissions prevented Mrs. Barrows from making an informed investment decision.

4. ****Conflict of Interest Obligation:**** The embedded issuer compensation reflected in the \$48-per-note markdown suggests meaningful compensation flowing to the advisor/firm, creating a conflict that was neither disclosed nor mitigated.

5. ****FINRA Rule 2010 Violation:**** Characterizing a reverse convertible as comparable to a CD constitutes a misleading representation that violates just and equitable principles of trade.

****Likely Regulatory Outcome:**** Langston and Crestview Financial Group would likely face enforcement action. Probable sanctions include restitution of Mrs. Barrows's losses (approximately \$33,150), disgorgement of commissions earned on the transaction, a fine against the firm for supervisory failures, a suspension or bar for Langston depending on the severity of the misrepresentation, and potential additional fines under FINRA Rules 2111 and 2010. The firm's failure to implement the heightened supervisory procedures called for by RN 12-03 for complex product sales to

unsophisticated retail investors would compound liability.

Item 77 of 350**NON-COMPLIANT**

Topic: senior_investor_exploitation

Difficulty: medium

Source: 28_Structured_Products

Fact Pattern

Margaret Hendricks, age 79, is a retired school librarian living in Tucson, Arizona. She has a fixed monthly income of \$2,450 from Social Security and a small pension. Her total liquid savings amount to approximately \$310,000, held in a brokerage account at Southwest Capital Advisors. Her account documents list her risk tolerance as 'conservative,' her investment objective as 'income and preservation of capital,' her investment experience as 'limited -- CDs and savings bonds only,' and her time horizon as '1 to 3 years.' Mrs. Hendricks suffers from early-stage cognitive decline, a fact her son mentioned to the advisor during an in-person meeting in January 2024.

Her advisor, Dale Furman, age 42, with 11 years of industry experience, recommended in February 2024 that Mrs. Hendricks invest \$185,000 -- roughly 60% of her liquid net worth -- into a basket of three reverse convertible notes linked to individual equities: \$65,000 in a 12-month reverse convertible linked to Tesla, Inc. (TSLA) with a 12.5% coupon and a 70% knock-in barrier; \$60,000 in a 14-month reverse convertible linked to AMD (Advanced Micro Devices) with an 11.8% coupon and a 65% knock-in barrier; and \$60,000 in an 18-month reverse convertible linked to Coinbase Global, Inc. (COIN) with a 14.2% coupon and a 60% knock-in barrier. Furman told Mrs. Hendricks these products would provide 'steady high income, like a CD but better,' and described them as 'safe short-term notes that pay you interest every month.' He did not explain that the principal was at risk if the underlying stock fell below the knock-in barrier, nor did he explain the concept of knock-in barriers, the lack of upside participation, or the issuer credit risk. He provided no written materials specific to the product payoff structures, and the trade confirmations were the only documentation she received.

Furman earned a total gross commission of approximately \$9,250 across the three transactions, which was roughly double what he would have earned placing the funds in agency bonds or Treasury securities. The branch manager approved all three trades without requesting documentation of the customer's understanding of the products.

By November 2024, Tesla shares had declined 34%, breaching the knock-in barrier on the TSLA-linked note. By January 2025, Coinbase had dropped 42%, also breaching its barrier. Upon maturity of the Tesla-linked note in February 2025, Mrs. Hendricks received physical settlement in Tesla shares worth approximately \$41,600 instead of her \$65,000 principal, representing a loss of \$23,400 before accounting for coupon payments received. She was confused and distressed, telling her son she 'didn't know she could lose money on a note.' Her son filed a written complaint with the firm in March 2025. The AMD-linked note remained above its barrier but had not yet matured.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dale Furman committed multiple serious violations in recommending these reverse convertible notes to Mrs. Hendricks.

****Applicable Standards and Analysis:****

1. **FINRA Rule 2111 (Suitability):** This rule requires that a broker-dealer or associated person have a reasonable basis for believing a recommendation is suitable for a particular customer based on that customer's investment profile. The rule encompasses three components:

- **Reasonable-basis suitability:** The advisor must understand the product he is recommending. FINRA Regulatory Notice 10-09 specifically addresses reverse convertibles and warns that these are complex structured products combining a debt instrument with a put option -- meaning the investor bears downside equity risk. The advisor must understand the knock-in barrier mechanics, issuer credit risk, and the asymmetric payoff (capped upside via coupon, full downside equity exposure). The advisor's characterization of these products as similar to CDs suggests either a fundamental misunderstanding of the product or deliberate misrepresentation.

- **Customer-specific suitability:** Mrs. Hendricks is a 79-year-old retiree with conservative risk tolerance, limited investment experience (only CDs and savings bonds), a short time horizon, and early-stage cognitive decline. She depends on her savings for living expenses. Reverse convertibles linked to highly volatile single-name equities (Tesla, AMD, Coinbase) are speculative instruments wholly inconsistent with her stated objectives of income and capital preservation. FINRA RN 09-73 emphasizes that complex products require heightened suitability analysis and that firms must consider whether a customer has the sophistication to understand the risks.

- **Quantitative suitability:** Concentrating approximately 60% of the client's liquid assets in three volatile reverse convertibles creates excessive risk exposure for a conservative elderly investor.

2. **Regulation Best Interest (Reg BI):** Under Reg BI's Care Obligation, Furman was required to exercise reasonable diligence, care, and skill in making the recommendation. He was required to consider reasonably available alternatives, the costs of the transactions, and the customer's investment profile. Recommending volatile equity-linked structured notes to a cognitively declining 79-year-old with no equity experience, while safer income-producing alternatives (Treasuries, agency bonds, CDs) existed, fails the Care Obligation. The Disclosure Obligation was also violated: Furman failed to disclose the material risks, the nature of the knock-in barrier, and the conflict of interest arising from his enhanced compensation (\$9,250 vs. roughly half that amount in alternative products).

3. **FINRA Rule 2010 (Standards of Commercial Honor):** Describing reverse convertibles as 'safe short-term notes' akin to CDs constitutes a materially misleading characterization. This violates the ethical standards expected of associated persons.

4. **FINRA RN 12-03 (Complex Products):** This notice reminds firms that heightened supervision is required for complex product sales, including ensuring the customer can understand the product's features and risks. The branch manager's rubber-stamp approval without verifying the customer's comprehension constitutes a supervisory failure.

5. **Senior Investor Protections:** The advisor was on notice of Mrs. Hendricks' cognitive decline through her son's disclosure. Proceeding with complex structured product recommendations to an investor with known cognitive impairment, without involving a trusted contact person or escalating to compliance, raises additional concerns under senior investor protection frameworks.

Likely Regulatory Outcome: Furman faces potential sanctions including fines, disgorgement of commissions, suspension, or a bar. The firm faces supervisory failure charges for the branch manager's inadequate review. Mrs. Hendricks would likely prevail in arbitration seeking compensatory damages for the losses sustained, plus potentially the return of commissions. The firm could also face enhanced supervisory obligations going forward.

Item 78 of 350**NON-COMPLIANT****Topic:** high_fees_unsuitable**Difficulty:** medium**Source:** 28_Structured_Products**Fact Pattern**

Margaret Kowalski, age 71, is a retired elementary school teacher living in Scranton, Pennsylvania. She has a pension providing \$3,200 per month, Social Security income of \$1,800 per month, and total liquid savings of approximately \$285,000 held in an IRA rollover account at a regional broker-dealer. Her account application lists her risk tolerance as 'conservative,' her investment objective as 'income and preservation of capital,' her investment experience as 'limited -- primarily CDs and money market funds,' and her time horizon as '5-10 years.' She told her financial advisor, Derek Fontaine, that she wanted safe investments that would supplement her pension and Social Security, and that she could not afford to lose principal because the \$285,000 was essentially her emergency fund and long-term care reserve.

In March 2023, Fontaine recommended that Mrs. Kowalski invest \$160,000 -- roughly 56% of her liquid savings -- into a series of three reverse convertible notes linked to individual equities. The first was a \$60,000 reverse convertible tied to Tesla Inc. with a 14-month maturity, paying a 12.5% annual coupon. The second was a \$50,000 reverse convertible linked to Coinbase Global Inc. with a 12-month maturity and an 11.8% coupon. The third was a \$50,000 reverse convertible tied to Moderna Inc. with a 13-month maturity paying an 11.2% coupon. Each note carried a knock-in barrier set at 70% of the initial reference price.

Fontaine told Mrs. Kowalski that these products were 'like CDs but with higher interest rates' and that she would 'almost certainly get her money back plus attractive income.' He did not explain that if any of the underlying stocks fell below the knock-in barrier, she could receive shares of the depreciated stock instead of her full principal. He did not discuss the creditworthiness of the issuing bank, the lack of secondary market liquidity, or the fact that her upside was capped at the coupon while her downside exposure mirrored holding the individual equities. The embedded fees across the three notes totaled approximately \$8,640, representing a roughly 5.4% upfront cost built into the pricing, in addition to the \$1,200 in commissions Fontaine earned on the transactions.

By early 2024, Tesla shares had declined 33% from the reference price, breaching the knock-in barrier. Coinbase shares fell 38%, also breaching the barrier. At maturity, Mrs. Kowalski received depreciated shares of Tesla and Coinbase instead of her principal on those two notes. Her combined loss on the three positions, net of coupons received, was approximately \$47,500 -- a 16.7% loss on her total liquid savings. She subsequently filed a complaint stating she never understood the products and believed she was purchasing something similar to certificates of deposit.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Fontaine violated multiple regulatory standards in recommending these reverse convertible notes to Margaret Kowalski.

****Suitability under FINRA Rule 2111:**** Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommendation is suitable for the customer based on the customer's investment profile,

including age, financial situation, risk tolerance, investment objectives, experience, time horizon, and liquidity needs. There are three component obligations -- reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

***Customer-Specific Suitability:** Mrs. Kowalski was a 71-year-old retiree with conservative risk tolerance, limited investment experience confined to CDs and money market funds, an objective of income and capital preservation, and the \$285,000 represented essentially all of her liquid reserves for emergencies and long-term care. Reverse convertibles are complex structured products with equity-like downside risk. Allocating 56% of her liquid savings to reverse convertibles linked to highly volatile individual equities (Tesla, Coinbase, and Moderna) was fundamentally incompatible with her stated objectives and risk tolerance. FINRA Regulatory Notice 10-09 specifically warns that reverse convertibles expose investors to significant downside risk and are generally unsuitable for investors seeking capital preservation.

***Reasonable-Basis Suitability:** FINRA Regulatory Notice 09-73 and 12-03 emphasize that firms and representatives must understand complex products before recommending them and must be able to explain the risks, costs, and payoff structures. Fontaine's characterization of these notes as 'like CDs but with higher interest rates' demonstrates either a fundamental misunderstanding of the product or intentional misrepresentation. Either way, reasonable-basis suitability was not satisfied.

****Regulation Best Interest (Reg BI):**** Under Reg BI's Care Obligation, Fontaine was required to exercise reasonable diligence, care, and skill in making his recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. He failed this obligation by concentrating more than half of a conservative retiree's liquid assets in volatile, equity-linked structured notes. Under Reg BI's Disclosure Obligation, he was required to disclose all material facts about the recommendation, including risks and costs. He failed to explain the knock-in mechanism, the possibility of receiving depreciated stock, the issuer credit risk, the illiquidity, or the embedded fees totaling approximately \$8,640 (5.4%). The Cost component of the Care Obligation is also implicated: the total compensation of approximately \$9,840 (embedded fees plus commissions) was excessive relative to available alternatives that would have better served Mrs. Kowalski's stated objectives, such as Treasury securities, investment-grade bonds, or actual CDs.

****FINRA Rule 2010 (Standards of Commercial Honor):**** Fontaine's misleading comparison of reverse convertibles to CDs constitutes conduct inconsistent with just and equitable principles of trade. This mischaracterization was material and deprived the customer of the ability to make an informed investment decision.

****Concentration:**** FINRA Regulatory Notice 12-03 highlights the risks of concentration in complex products. Placing 56% of a conservative retiree's liquid net worth in three reverse convertibles, each linked to a single highly volatile equity, represents an unsuitable concentration that magnified the risk.

****Likely Regulatory Outcome:**** Fontaine would likely face sanctions including fines, suspension or bar from the securities industry, and disgorgement of commissions. The firm would likely face supervisory failure charges if it did not have adequate procedures to flag and review structured product sales to elderly, conservative investors. Mrs. Kowalski would likely prevail in a FINRA arbitration claim seeking compensatory damages for her approximately \$47,500 in losses, plus potentially the embedded fees, on theories of unsuitability, misrepresentation, and failure to disclose material risks and costs.

Item 79 of 350**NON-COMPLIANT**

Topic: complex_products_unsophisticated_investor

Difficulty: medium

Source: 28_Structured_Products

Fact Pattern

Margaret Hollis, age 71, is a retired elementary school teacher living in Tucson, Arizona. She has a fixed income consisting of a \$2,400 monthly pension and \$1,850 per month in Social Security benefits. Her total liquid savings amount to approximately \$340,000, held primarily in certificates of deposit and a money market account. She has no prior experience with any securities beyond a small allocation to a balanced mutual fund in her 403(b) retirement account, which she rolled over to an IRA upon retirement. Her stated investment objectives on her account opening documents are capital preservation and income generation, and her risk tolerance is marked as 'conservative.' She told her advisor, Kevin Driscoll, that she wanted something 'safe that pays a little better than the bank.'

In March 2023, Driscoll recommended that Mrs. Hollis invest \$150,000--approximately 44% of her liquid net worth--into a 14-month reverse convertible note linked to the common stock of a mid-cap biotechnology company, Veridian Therapeutics (ticker: VRDN). The note offered a 12.5% annual coupon, paid monthly. However, the principal repayment at maturity was contingent on the performance of VRDN stock: if VRDN shares declined by more than 25% from their initial price at any point during the note's term (a knock-in barrier), Mrs. Hollis would receive shares of VRDN stock at maturity instead of her \$150,000 in cash, meaning she could lose a substantial portion of her principal.

Driscoll's notes from the meeting state that he explained the product was 'like a CD but with a higher rate' and that 'the coupon payments would supplement her pension nicely.' He did not document any discussion of the knock-in barrier, the contingent principal risk, the credit risk of the issuing bank, or the fact that the product was linked to a single volatile biotech stock. He did not provide Mrs. Hollis with the product's offering circular prior to the sale, though one was delivered to her by mail approximately five days after the transaction settled.

During the holding period, VRDN shares fell 38% after the company reported negative Phase III clinical trial results. The knock-in barrier was breached. At maturity in May 2024, Mrs. Hollis received 4,310 shares of VRDN stock valued at approximately \$93,700 instead of her \$150,000 principal--a loss of over \$56,000 on the principal, partially offset by roughly \$21,875 in coupon payments received over the term, resulting in a net loss of approximately \$34,000. Mrs. Hollis, who did not understand what a reverse convertible was, called Driscoll's office in tears, saying she had 'no idea she could lose money on this' and that she 'never would have agreed to anything involving stocks.'

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Driscoll violated applicable suitability and best interest standards in multiple respects.

****Applicable Regulatory Framework:****

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on factors including age, financial situation,

investment objectives, risk tolerance, investment experience, time horizon, liquidity needs, and other relevant profile information. This rule encompasses three obligations: (1) reasonable-basis suitability (the advisor must understand the product), (2) customer-specific suitability (the product must fit the specific customer), and (3) quantitative suitability (no excessive activity).

Regulation Best Interest (Reg BI) further heightens the standard for broker-dealers, requiring that recommendations be in the retail customer's best interest at the time of the recommendation, without placing the financial professional's interests ahead of the customer's. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, considering reasonably available alternatives.

FINRA Regulatory Notice 10-09 specifically addresses reverse convertibles, warning firms that these products carry risks that may not be readily apparent to retail investors. The notice emphasizes that reverse convertibles expose investors to significant downside equity risk despite their bond-like appearance, and that firms must ensure customers understand the contingent nature of principal repayment. FINRA Regulatory Notice 09-73 provides broader guidance on structured products, noting that their complexity demands heightened scrutiny of suitability and thorough disclosure. FINRA Regulatory Notice 12-03 further addresses complex products, requiring that firms implement enhanced suitability procedures, including ensuring the advisor understands the product and that the customer can comprehend and bear the risks.

FINRA Rule 2010 (Standards of Commercial Honor) requires adherence to high standards of commercial honor and just and equitable principles of trade.

****Analysis of Violations:****

1. ****Customer-Specific Suitability Failure:**** Mrs. Hollis is a 71-year-old retiree with conservative risk tolerance, capital preservation objectives, no securities experience beyond a balanced mutual fund, and reliance on the invested funds as a significant portion of her liquid savings. A reverse convertible linked to a single volatile biotech stock is fundamentally inconsistent with every element of her investment profile. The product carries equity downside risk, concentration risk in one issuer, credit risk of the note issuer, and illiquidity during the term. Recommending this product to this customer plainly fails customer-specific suitability under Rule 2111 and the Care Obligation of Reg BI.
2. ****Concentration and Portfolio Risk:**** Allocating \$150,000--44% of Mrs. Hollis's liquid net worth--to a single structured note linked to one biotech stock represents a dangerous concentration that is unsuitable for any conservative investor, let alone a retiree dependent on these savings.
3. ****Disclosure and Understanding Failures:**** Driscoll's characterization of the reverse convertible as 'like a CD but with a higher rate' was materially misleading. Unlike a CD, the principal is at risk, and the product is not FDIC-insured. His failure to explain the knock-in barrier, contingent principal risk, and single-stock exposure prior to the sale violated the enhanced disclosure obligations emphasized in RN 10-09, RN 09-73, and RN 12-03. The offering circular was not provided until after the transaction settled, depriving Mrs. Hollis of the ability to make an informed decision.
4. ****Reg BI Considerations:**** Driscoll's recommendation appears motivated by the higher compensation typically associated with structured product sales compared to CDs or treasury securities. Under Reg BI's conflict-of-interest obligations, Driscoll was required to disclose and mitigate such conflicts. There is no evidence he considered reasonably available alternatives--such as treasury securities, high-quality corporate bonds, or FDIC-insured CDs--that would have met Mrs. Hollis's stated objectives without exposing her to equity downside risk.
5. ****Rule 2010 Violation:**** Describing a reverse convertible as being 'like a CD' to a 71-year-old unsophisticated investor falls below the standards of commercial honor and just and equitable principles of trade.

****Likely Regulatory Outcome:****

Driscoll would likely face a FINRA enforcement action resulting in a fine, disgorgement of commissions, restitution to Mrs. Hollis for her net losses, and a potential suspension. His firm would face supervisory violations under FINRA Rules 3110 and 3120 for failing to maintain enhanced supervisory procedures for complex product sales as recommended by RN 12-03. Mrs. Hollis would have a strong claim in a FINRA arbitration proceeding for compensatory damages.

Item 80 of 350**NON-COMPLIANT****Topic:** senior_investor_exploitation**Difficulty:** hard**Source:** 28_Structured_Products**Fact Pattern**

Margaret Dalton, age 79, is a retired elementary school teacher living in Tucson, Arizona. She has a fixed monthly income of \$2,400 from her pension and \$1,650 from Social Security. Her total liquid net worth is approximately \$410,000, held primarily in certificates of deposit and a money market account at her local bank. She has no prior experience with equities, options, or any derivative instruments. Her stated investment objectives on her new account form, completed in February 2023, are capital preservation and income generation. Her risk tolerance is marked as 'conservative.' She told her advisor, Kevin Rayburn, age 34, that her primary goal was to ensure she had enough money to cover potential assisted living costs, which she estimated could run \$6,000-\$8,000 per month, and that she 'could not afford to lose any of this money.' Margaret's late husband had handled all investment decisions, and she told Rayburn she did not understand stocks or bonds well but trusted him to 'do the right thing.' Rayburn, who worked for Pinnacle Wealth Advisors, a mid-sized independent broker-dealer, had recently attended an internal product training session on structured notes. His branch manager had emphasized that structured products carried higher commissions -- typically 2.5% to 3.5% -- compared to 0.25% on CDs and treasuries. Between March and June 2023, Rayburn recommended that Margaret invest \$295,000 -- roughly 72% of her liquid assets -- into three separate reverse convertible notes. The first, for \$100,000, was a 14-month reverse convertible linked to Tesla Inc. common stock, offering a 12.5% annual coupon with a 70% knock-in barrier. The second, for \$100,000, was a 12-month reverse convertible linked to a basket of three semiconductor stocks (NVIDIA, AMD, and Micron), offering an 11.8% coupon with a 65% knock-in barrier. The third, for \$95,000, was an 18-month reverse convertible linked to Coinbase Global Inc., offering a 16.2% coupon with a 60% knock-in barrier. Rayburn earned a total of \$9,735 in commissions across the three transactions. When presenting the products, Rayburn described them to Margaret as 'like CDs but with better interest rates' and showed her only the coupon payments she would receive, which he projected at approximately \$36,400 over the life of the notes. He did not explain the knock-in barrier mechanism, the possibility that she could receive shares of the underlying stocks instead of her principal at maturity, or the fact that her principal was fully at risk if the reference stocks declined below the barrier levels. He did not provide her with the offering circulars or term sheets until after she had signed the purchase agreements, and even then, he told her 'the fine print is just legal boilerplate.' Margaret signed all documents without reading them. Rayburn did not document any discussion of alternative investments such as Treasury securities, high-grade corporate bonds, fixed annuities, or FDIC-insured CDs, which at the time were yielding between 4.5% and 5.2% for comparable maturities. He also did not note any consideration of Margaret's ability to absorb losses or her stated need for capital preservation. By October 2023, Coinbase stock had fallen 42% from its reference price, breaching the 60% knock-in barrier. At maturity in September 2024, Margaret received 1,583 shares of Coinbase stock valued at approximately \$53,200 instead of her \$95,000 principal, a loss of \$41,800 on that note alone. The Tesla-linked note matured in May 2024 without breaching its barrier, and Margaret received her full \$100,000 principal plus the coupon. The semiconductor basket note was still outstanding as of the complaint date but had experienced one constituent stock (Micron) trading within 3% of its barrier level. In November 2024, Margaret's daughter, who holds a CPA license, reviewed her mother's account statements and filed a written complaint with Pinnacle Wealth Advisors, stating that the investments were entirely inappropriate for her mother and that Rayburn had misrepresented the nature of the products.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Rayburn committed multiple serious violations in his recommendations to Margaret Dalton.

****Suitability Analysis under FINRA Rule 2111:****

FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile. This rule encompasses three components: (1) reasonable-basis suitability, (2) customer-specific suitability, and (3) quantitative suitability.

***Reasonable-Basis Suitability:** Rayburn's description of reverse convertibles as 'like CDs but with better interest rates' demonstrates a fundamental failure to understand -- or a willful misrepresentation of -- the products he was recommending. Reverse convertibles are complex structured products that combine a debt instrument with a short put option on an underlying equity or basket. The investor bears downside equity risk in exchange for an above-market coupon. FINRA Regulatory Notice 10-09 specifically warns that reverse convertibles are not suitable substitutes for traditional fixed-income products and that firms must ensure registered representatives understand the products' risks before recommending them. FINRA Regulatory Notice 09-73 further emphasizes that complex products like structured notes require heightened scrutiny regarding whether the registered representative has an adequate understanding of the product features, risks, and costs.

***Customer-Specific Suitability:** Margaret's profile is the archetype of an investor for whom reverse convertibles are unsuitable. She is 79 years old, has conservative risk tolerance, stated capital preservation and income objectives, has no experience with equities or derivatives, has limited liquid assets (\$410,000), and explicitly stated she 'could not afford to lose any of this money.' Concentrating 72% of her liquid net worth in three reverse convertibles -- each linked to highly volatile equities (Tesla, semiconductors, Coinbase) -- directly contradicts every element of her investment profile. FINRA Regulatory Notice 12-03 on complex products specifically states that firms must consider whether a customer has the financial sophistication and ability to absorb potential losses before recommending such products.

****Regulation Best Interest (Reg BI) Analysis:****

Under Reg BI's Care Obligation (17 CFR 240.15l-1), Rayburn was required to exercise reasonable diligence, care, and skill in making recommendations and to consider reasonably available alternatives. At the time of the recommendations, FDIC-insured CDs and Treasury securities were yielding 4.5%-5.2%, which would have provided Margaret with meaningful income (\$18,450-\$21,320 annually on \$410,000) without any principal risk. Rayburn's failure to even document consideration of these alternatives is a clear violation. The Disclosure Obligation under Reg BI also required Rayburn to disclose the material facts about the recommendations, including all risks and conflicts of interest such as the significantly higher commissions he earned.

****Misrepresentation and Fair Dealing (FINRA Rule 2010):****

Rayburn's characterization of reverse convertibles as 'like CDs but with better interest rates' constitutes a material misrepresentation. CDs are FDIC-insured, principal-protected instruments. Reverse convertibles carry full downside equity risk below the barrier and are unsecured obligations of the issuer. Describing the offering circular as 'legal boilerplate' further compounded the misrepresentation and deprived Margaret of the opportunity to understand the products' risks. This violates FINRA Rule 2010's requirement for high standards of commercial honor and just and equitable principles of trade.

****Senior Investor Considerations:****

FINRA has repeatedly emphasized heightened obligations when dealing with senior investors, particularly regarding complex products. Margaret's age (79), cognitive vulnerability (reliance on a deceased spouse for all prior financial decisions, explicit trust in the advisor), limited income, and dependence on her savings for potential assisted living expenses all warranted extreme caution. The concentration of 72% of her liquid assets in volatile structured products

was reckless.

****Supervisory Failures:****

Pinnacle Wealth Advisors may also face liability under FINRA Rules 3110 and 3120 for failing to supervise Rayburn's recommendations. The branch manager's emphasis on higher commissions from structured products, without corresponding emphasis on suitability obligations, suggests a culture that prioritized revenue over client welfare.

****Likely Regulatory Outcome:****

Rayburn faces potential sanctions including suspension or bar from the industry, fines, and disgorgement of commissions (\$9,735). Margaret would likely recover her losses (at minimum the \$41,800 realized loss on the Coinbase note, plus any losses on the semiconductor note) through FINRA arbitration. Pinnacle Wealth Advisors faces potential fines and supervisory violation charges. The fact that one of the three notes matured without loss does not cure the suitability violation, as the analysis is conducted at the time of recommendation, not based on outcome.

Item 81 of 350**NON-COMPLIANT****Topic:** failure_to_know_customer**Difficulty:** medium**Source:** 28_Structured_Products**Fact Pattern**

Margaret Holloway, age 74, is a retired elementary school teacher living in Tallahassee, Florida. She receives \$2,800 per month in pension income and \$1,950 per month in Social Security. Her total liquid savings amount to approximately \$410,000, held in a brokerage account and a money market fund. She has no other significant assets aside from her home, which is paid off and valued at \$185,000. Mrs. Holloway has always invested conservatively, holding certificates of deposit and Treasury bonds for most of her life. She opened a brokerage account in March 2022 with advisor Kevin Brashear at a regional broker-dealer after her previous advisor retired. During the new account opening process, Brashear spent approximately 20 minutes with Mrs. Holloway. He recorded her investment objective as 'income' and her risk tolerance as 'moderate' on the new account form. He did not ask about her familiarity with structured products, her investment time horizon, her liquidity needs, or her prior experience with any securities beyond CDs and Treasuries. He did not document her tax situation or her estate planning goals. In April 2022, Brashear recommended that Mrs. Holloway invest \$175,000 -- roughly 43% of her liquid savings -- into a 14-month reverse convertible note linked to the common stock of a mid-cap biotechnology company. The note offered a 12.5% annualized coupon. Brashear told Mrs. Holloway it was 'like a CD but with a better interest rate' and described the coupon payments as 'guaranteed income.' He did not explain that the note's principal repayment was contingent on the performance of the underlying biotech stock, that she could receive shares of the stock instead of her principal if the stock declined below a 70% barrier, or that her maximum gain was capped at the coupon while her downside exposure was essentially equivalent to owning the volatile underlying equity. He did not provide her with the pricing supplement or the product's risk disclosure document. He did not discuss the credit risk of the issuing bank. By the note's maturity in June 2023, the underlying biotech stock had fallen 48% after a failed clinical trial. Mrs. Holloway received shares of the biotech company worth approximately \$91,000 instead of her \$175,000 principal, resulting in a loss of approximately \$84,000 before accounting for the roughly \$21,875 in coupon payments she received. Her net loss was approximately \$62,125, representing over 15% of her total liquid net worth. When she called Brashear in distress, he told her she should hold the shares and wait for them to recover. She subsequently filed a complaint with the broker-dealer.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Brashear committed multiple serious violations. First, he failed to satisfy his know-your-customer obligation under FINRA Rule 2111(a), which requires a broker to use reasonable diligence to know the essential facts about a customer, including their financial situation, investment experience, risk tolerance, time horizon, liquidity needs, and other relevant profile information before making any recommendation. Brashear spent only 20 minutes with Mrs. Holloway, failed to inquire about her familiarity with structured products, did not explore her liquidity needs (critical for a 74-year-old retiree dependent on fixed income), and did not document her tax situation or investment time horizon. The cursory account opening process is precisely the type of deficiency highlighted in FINRA Regulatory Notices 09-73 and 12-03, which emphasize that complex products such as reverse convertibles require heightened scrutiny of customer profiles and enhanced suitability analysis.

Second, the recommendation itself was unsuitable under both FINRA Rule 2111's reasonable-basis, customer-specific, and quantitative suitability components, as well as Regulation Best Interest. A reverse convertible linked to a single volatile biotech stock is an aggressive, complex instrument with equity-like downside risk. FINRA Regulatory Notice 10-09 specifically warns that reverse convertibles expose investors to principal loss tied to the performance of an underlying asset and that they are not equivalent to conventional fixed-income products. Recommending that a 74-year-old conservative retiree allocate 43% of her liquid savings to such a product is a clear customer-specific suitability failure. The product's risk-return profile -- capped upside with uncapped downside -- was fundamentally inconsistent with her income objective and conservative history.

Third, Brashear's characterization of the reverse convertible as 'like a CD but with a better interest rate' and his description of the coupon as 'guaranteed income' were materially misleading. Unlike a CD, the principal of a reverse convertible is at risk, and the investor bears the credit risk of the issuer as well as the market risk of the underlying equity. This misrepresentation violates FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) and Regulation BI's disclosure obligation, which requires full and fair disclosure of all material facts, including risks and conflicts of interest.

Fourth, Brashear failed to provide Mrs. Holloway with the pricing supplement or risk disclosure documents, depriving her of the opportunity to understand the product's payoff structure, barrier levels, and risk factors. FINRA RN 12-03 emphasizes that firms and their representatives must ensure customers understand complex products before investing.

The likely regulatory outcome would include findings of unsuitable recommendation, failure to know the customer, and misrepresentation. Brashear could face disgorgement of commissions, restitution to Mrs. Holloway for her losses, fines, a suspension or bar, and the firm could face supervisory failure charges if it did not have adequate procedures to review structured product sales to elderly, conservative retail customers. In arbitration, Mrs. Holloway would have strong grounds for a full recovery of her net losses plus interest, costs, and potentially punitive damages given the egregiousness of the misrepresentation.

Item 82 of 350**NON-COMPLIANT****Topic:** senior_investor_exploitation**Difficulty:** medium**Source:** 28_Structured_Products**Fact Pattern**

Margaret Holloway, age 79, is a retired elementary school teacher living in Dayton, Ohio. She has a fixed annual income of \$34,000 from her pension and Social Security. Her total liquid net worth is approximately \$285,000, held primarily in a money market account and a small portfolio of Treasury bonds. She has no prior experience with equities, options, or any derivative-linked instruments. Her stated investment objectives on her new account form are capital preservation and income generation, and her risk tolerance is marked as conservative. In February 2023, her financial advisor, Derek Simmons, at a regional broker-dealer, recommended that Mrs. Holloway invest \$175,000--roughly 61% of her liquid assets--into a series of three reverse convertible notes. The first was a 12-month reverse convertible linked to Tesla Inc. common stock with a 14.5% annual coupon and a 70% knock-in barrier, with a face value of \$75,000. The second was a 9-month reverse convertible linked to a basket of three biotechnology stocks (Moderna, BioNTech, and Novavax) with a 17.2% coupon and a 65% barrier, face value \$50,000. The third was a 14-month reverse convertible tied to Coinbase Global Inc. with a 19.8% coupon and a 60% barrier, face value \$50,000. Simmons earned a total of approximately \$7,800 in commissions across the three transactions. During the recommendation process, Simmons told Mrs. Holloway that the products were 'like CDs but with better interest rates' and that 'the coupon payments are guaranteed regardless of what happens in the stock market.' He did not explain that she could lose a substantial portion of her principal if the underlying stocks declined below the knock-in barriers, nor did he explain the concept of being 'put' shares of the underlying equities at maturity. He did not provide any written materials describing the payoff structure. Mrs. Holloway signed the purchase documents believing she was buying fixed-income instruments with enhanced yields. By January 2024, Tesla stock had declined 31% from the initial reference price, triggering the knock-in on the first note, and the Coinbase-linked note's underlying had fallen 44%, also breaching its barrier. At maturity, Mrs. Holloway received shares of Tesla worth approximately \$51,750 instead of her \$75,000 principal on the first note, and shares of Coinbase worth approximately \$28,000 instead of \$50,000 on the third note. In total, she lost approximately \$45,250 in principal across the two notes, partially offset by coupon payments of roughly \$22,600 received across all three notes, resulting in a net loss of approximately \$22,650. Mrs. Holloway filed a complaint stating she never understood she could lose her principal investment and believed she was purchasing safe, income-producing instruments.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Simmons violated multiple regulatory standards in recommending these reverse convertible notes to Margaret Holloway.

****Applicable Standards and Analysis:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile including age, financial situation, risk tolerance, investment objectives, investment

experience, and other factors. There are three components--reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

- **Customer-Specific Suitability:** Mrs. Holloway is a 79-year-old retiree with conservative risk tolerance, capital preservation and income objectives, no experience with complex instruments, limited liquid assets (\$285,000), and dependence on fixed income. Reverse convertibles are complex structured products that embed a short put option sold by the investor to the issuer. They expose the holder to significant downside equity risk and are fundamentally unsuitable for a conservative, elderly investor seeking capital preservation. Allocating 61% of her liquid net worth to three highly volatile underlying references (Tesla, a biotech basket, and Coinbase) created catastrophic concentration risk entirely inconsistent with her profile.

- **Reasonable-Basis Suitability:** FINRA Regulatory Notice 09-73 specifically warns that reverse convertibles involve risks that may not be obvious to retail investors, and that firms must ensure representatives understand the products' features and risks before recommending them. FINRA Regulatory Notice 10-09 further emphasizes that complex products such as reverse convertibles require heightened suitability scrutiny, including an assessment of whether the customer can understand the product's payoff structure. FINRA Regulatory Notice 12-03 reinforces that firms should consider implementing heightened supervision for complex products and should consider whether a less complex alternative could achieve the customer's objectives.

2. **Regulation Best Interest (Reg BI):** Under the SEC's Regulation Best Interest, applicable to broker-dealer recommendations to retail customers, Simmons was required to act in Mrs. Holloway's best interest at the time of the recommendation. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, including understanding the risks and rewards of the product and having a reasonable basis to believe the recommendation is in the customer's best interest. Recommending volatile equity-linked derivatives to a 79-year-old conservative investor for the majority of her liquid net worth plainly fails this standard. The Disclosure Obligation required Simmons to disclose all material facts, including the risk of principal loss and the embedded put structure--which he affirmatively misrepresented as being 'like CDs.'

3. **FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade):** Simmons's mischaracterization of the products as similar to CDs with guaranteed returns, and his failure to explain the knock-in barrier mechanism and principal-at-risk nature, constitutes a material misrepresentation and omission. This violates just and equitable principles of trade.

Specific Violations:

- Recommending products with embedded equity downside risk to a conservative, elderly investor with no equity or derivatives experience.
- Concentrating 61% of the client's liquid assets in complex structured products linked to highly volatile underlyings.
- Materially misrepresenting the products as similar to CDs and failing to disclose the knock-in barrier risk and potential for principal loss.
- Failing to provide written offering materials or ensure the client understood the payoff structure.
- Earning \$7,800 in commissions suggests potential conflicts that were not disclosed or mitigated.

Likely Regulatory Outcome: Simmons would likely face a FINRA enforcement action resulting in disgorgement of commissions, restitution to the customer, a fine, and a suspension or bar from the industry. The firm could face supervisory failure charges under FINRA Rules 3110 and 3120 if it lacked adequate procedures for reviewing structured product recommendations to senior investors. Mrs. Holloway's arbitration claim would likely succeed given the clear unsuitability, misrepresentations, and concentration of her assets in instruments entirely at odds with her stated objectives.

Item 83 of 350**NON-COMPLIANT****Topic:** inappropriate_risk_profile**Difficulty:** medium**Source:** 28_Structured_Products**Fact Pattern**

Margaret Tillman, age 71, is a retired elementary school teacher living in Tucson, Arizona. She has a fixed annual income of \$38,000 from her pension and Social Security combined. Her total liquid net worth is approximately \$285,000, held primarily in a money market account and a ladder CD portfolio at her local bank. She has no prior experience with equities, options, or any derivative-linked investments. In March 2023, Margaret visited the branch office of her brokerage firm to inquire about alternatives to her maturing CDs, which were yielding approximately 4.5%. She told her advisor, Kevin Driscoll, that she could not afford to lose any of her savings and that her primary objective was capital preservation with modest income generation. Kevin recommended that Margaret invest \$180,000--roughly 63% of her liquid assets--into a basket of three reverse convertible notes linked to individual technology stocks: one linked to Tesla, Inc., one linked to Advanced Micro Devices, Inc., and one linked to Nvidia Corporation. Each note had a 12-month term, offered a coupon of 11.5% per annum paid monthly, and included a knock-in barrier set at 70% of the initial stock price. Kevin explained to Margaret that the notes would pay her 'a much higher interest rate than CDs' and described them as 'income products similar to bonds.' He did not explain that if any of the underlying stocks declined below the 70% barrier at any point during the term, she could receive shares of the depreciated stock at maturity instead of her principal, potentially resulting in significant losses. He did not discuss the lack of meaningful upside participation, the issuer credit risk, the illiquidity of the notes on the secondary market, or the fact that the high coupon was compensation for bearing substantial downside equity risk. Margaret signed the account documents, which listed her risk tolerance as 'moderate growth'--a designation she later said Kevin had selected without discussing it with her. Her prior account records at the firm consistently reflected a 'conservative' risk profile. By March 2024, Tesla shares had declined approximately 38% from the reference price, breaching the knock-in barrier. At maturity, Margaret received Tesla shares worth approximately \$37,200 in lieu of her \$60,000 principal on that note, resulting in a loss of \$22,800 on that single position. The other two notes matured above their barriers, returning principal plus coupons. In total, Margaret earned approximately \$20,700 in coupon income across the three notes but suffered the \$22,800 principal loss, netting a loss of roughly \$2,100 before taxes--on an investment she believed carried no risk to her principal.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Driscoll violated applicable suitability and best interest standards in multiple respects.

1. ****Customer-Specific Suitability (FINRA Rule 2111.05(a)):** Margaret's documented investment profile--age 71, retired, fixed income of \$38,000, conservative risk tolerance, capital preservation objective, and zero experience with equities or derivatives--was fundamentally inconsistent with an allocation of 63% of her liquid net worth to reverse convertible notes linked to volatile individual technology stocks. Reverse convertibles expose the investor to full downside equity risk below the knock-in barrier while capping upside to the coupon. This payoff structure is antithetical to a capital preservation objective. Under FINRA Rule 2111, an advisor must have a reasonable basis to believe a recommendation is suitable for the particular customer based on that customer's investment profile.

2. **Reasonable-Basis Suitability:** Even apart from Margaret's profile, Kevin was required under FINRA Rule 2111 to understand the product well enough to evaluate its risks and features. Describing reverse convertibles as 'income products similar to bonds' demonstrates either a fundamental misunderstanding of the product or a deliberate mischaracterization. FINRA Regulatory Notice 10-09 specifically warns that reverse convertibles are complex products combining a debt instrument with a put option written by the investor, and that the high coupon compensates for substantial risk of principal loss.

3. **Concentration Suitability:** Allocating \$180,000 (63% of liquid assets) to three reverse convertibles--all linked to individual high-volatility technology stocks--created excessive concentration risk for a conservative retiree. FINRA Regulatory Notice 12-03 emphasizes that firms must apply heightened supervisory and compliance procedures to complex products, particularly when sold to retail investors who may not understand the payoff structures.

4. **Regulation Best Interest (Reg BI):** Under the SEC's Regulation Best Interest, a broker-dealer and its associated persons must act in the retail customer's best interest at the time of the recommendation, which includes satisfying the Care Obligation (understanding the product, evaluating risks, and having a reasonable basis for recommending it to the specific customer) and the Disclosure Obligation (providing full and fair disclosure of material facts, including risks and conflicts). Kevin failed both obligations: he did not disclose the knock-in put risk, issuer credit risk, or illiquidity, and the recommendation was not in Margaret's best interest given her profile.

5. **Risk Profile Manipulation (FINRA Rule 2010):** Changing Margaret's risk tolerance designation from 'conservative' to 'moderate growth' without her knowledge or a meaningful discussion violates FINRA Rule 2010's requirement for just and equitable principles of trade. This practice--sometimes called 'profile gaming'--is specifically flagged by FINRA as a red flag for unsuitable sales.

6. **Heightened Supervision Failures (FINRA RN 12-03 and RN 09-73):** The firm's supervisory system should have flagged the sale of three reverse convertibles to a 71-year-old conservative retiree with no equity experience. FINRA Regulatory Notice 09-73 and 12-03 both call for enhanced suitability review, post-sale surveillance, and training when complex structured products are recommended to retail customers.

Likely Regulatory Outcome: Kevin faces potential enforcement action for unsuitable recommendations, failure to disclose material risks, and possible falsification of customer records. Potential sanctions include disgorgement of commissions, restitution to Margaret for her losses, fines, and a suspension or bar. The firm faces potential supervisory failure charges if it did not implement the heightened supervisory procedures called for by FINRA guidance on complex products.

Item 84 of 350**NON-COMPLIANT****Topic:** high_fees_unsuitable**Difficulty:** medium**Source:** 28_Structured_Products**Fact Pattern**

Gerald Patterson, age 71, is a retired postal worker living in Columbus, Ohio, with an annual pension income of \$38,000 and total liquid savings of approximately \$215,000, most of which was held in a traditional IRA at a regional broker-dealer. Gerald described his investment objectives as income generation and capital preservation, and on his new account form his risk tolerance was marked as 'conservative.' He had no prior experience with structured products, options, or derivatives of any kind, and his formal education ended with a high school diploma. In March 2022, his financial advisor, Daniel Reeves, recommended that Gerald invest \$140,000--roughly 65% of his liquid retirement savings--into a series of three reverse convertible notes linked to individual technology stocks: one linked to shares of a mid-cap semiconductor company, another to a cloud computing firm that had recently gone public, and a third to a social media company whose stock had declined 30% over the prior year. Each note had a 14-month maturity, offered a stated coupon of 11.5% to 13.2%, and carried embedded fees totaling approximately 3.8% to 4.5% of the notional amount, which were not clearly broken out on the trade confirmations Gerald received. Daniel explained the products to Gerald primarily by emphasizing the 'above-market interest rates' and describing them as 'like CDs but with better returns,' without meaningfully explaining the knock-in barrier feature, the possibility that Gerald could receive depreciated shares of the underlying stock instead of his principal at maturity, or the fact that the coupon payments did not compensate for the downside equity risk Gerald was assuming. Daniel did not provide Gerald with the offering documents or prospectus supplements before executing the trades, and Gerald later stated in a written complaint that he believed the notes were principal-protected. By May 2023, two of the three underlying stocks had fallen below their knock-in barriers--the semiconductor stock declined 42% and the social media stock declined 55%--resulting in Gerald receiving shares worth approximately \$58,000 and \$41,000 respectively instead of his original \$46,000 and \$47,000 invested in those notes, representing combined losses of approximately \$34,000 on those two positions alone. Including the embedded fees across all three notes, Gerald's total cost drag was approximately \$5,800. Gerald filed a complaint with his broker-dealer in July 2023, stating he never understood the products could lose principal and that the fees were never disclosed to him in a way he could understand.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Daniel Reeves violated multiple regulatory requirements. Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, and experience. Gerald was a 71-year-old conservative retiree with no structured product experience, modest savings, and stated objectives of income generation and capital preservation. Reverse convertibles are complex products that expose investors to significant downside equity risk in exchange for above-market coupon payments, and they are generally unsuitable for conservative, elderly investors seeking capital preservation. FINRA Regulatory Notice 09-73 specifically warns firms about reverse convertibles, emphasizing that the high stated yields can mask significant risks and that firms must ensure customers understand they are effectively selling a put option on the underlying stock. FINRA Regulatory Notice 10-09 further addresses complex products and requires that firms conduct a

reasonable-basis suitability analysis--assessing whether any customer should be recommended the product--as well as customer-specific suitability analysis. Daniel failed both prongs: the products were inappropriate for Gerald's profile, and Daniel did not ensure Gerald understood the payoff structure, instead affirmatively misleading him by comparing the notes to CDs.

Under Regulation Best Interest (Reg BI), broker-dealers and their associated persons owe a duty to act in the retail customer's best interest at the time a recommendation is made, encompassing the Disclosure Obligation, Care Obligation, Conflict of Interest Obligation, and Compliance Obligation. Daniel failed the Care Obligation by recommending a concentration of 65% of Gerald's liquid retirement assets in high-risk structured notes linked to volatile individual technology stocks. He failed the Disclosure Obligation by not clearly explaining the embedded fees (totaling approximately \$5,800) or the material risks of the products, and by not providing offering documents. His characterization of reverse convertibles as 'like CDs' was materially misleading.

FINRA Regulatory Notice 12-03 reinforces heightened obligations when recommending complex products, including ensuring the advisor understands the product and can explain its features, risks, and costs to the customer. Daniel's failure to explain the knock-in barrier, the possibility of receiving depreciated stock, and the asymmetric risk profile (capped upside via coupon, uncapped downside via equity exposure) demonstrates a failure to meet this standard.

Additionally, the misleading comparison to CDs and the failure to deliver offering documents likely violate FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade), which requires brokers to observe high standards of commercial honor and just and equitable principles of trade.

The likely regulatory outcome would include findings of suitability violations and Reg BI violations, potential disgorgement of commissions and embedded fees earned on the transactions, restitution to Gerald for his losses, a fine against the advisor and potentially the firm for supervisory failures, and a suspension or bar for Daniel Reeves depending on his disciplinary history.

Item 85 of 350

NON-COMPLIANT**Topic:** inappropriate_risk_profile**Difficulty:** medium**Source:** 28_Structured_Products**Fact Pattern**

In March 2022, Gerald Whitfield, a registered representative at a mid-sized broker-dealer in Tampa, Florida, recommended that his client, Dorothy Menendez, age 74, invest \$185,000 in a series of reverse convertible notes linked to a basket of three biotechnology stocks. Mrs. Menendez was a retired school librarian with an annual pension income of \$42,000, total liquid savings of approximately \$310,000 (representing her life savings and late husband's death benefit), and no prior experience with structured products, options, or equities beyond a small mutual fund position. Her account documents listed her risk tolerance as 'moderate' and her investment objectives as 'income and preservation of capital.' She told Whitfield during their meeting that she wanted something 'safe, like a CD, but with a little better return.' Whitfield presented the reverse convertibles as 'enhanced income notes that pay a generous 11.5% annual coupon,' emphasizing the monthly income payments. He did not explain the knock-in barrier feature set at 70% of the initial stock prices, nor did he describe the possibility that she could receive shares of a depreciated biotech stock instead of her principal at maturity. He did not discuss the issuer's credit risk, the lack of principal protection, or the fact that her maximum upside was capped at the coupon while her downside exposure was equivalent to owning the worst-performing stock in the basket. The product term sheets, totaling 97 pages of dense disclosure, were handed to Mrs. Menendez at the point of sale and she signed an acknowledgment form. Within eight months, one of the underlying biotech stocks fell 48% after a failed FDA trial, breaching the knock-in barrier. At maturity in March 2023, Mrs. Menendez received shares of the depreciated stock worth approximately \$107,000 instead of her \$185,000 principal, resulting in a net loss of roughly \$78,000 even after accounting for the coupon payments she had received totaling approximately \$21,275. Her total loss was approximately \$56,725. She filed a complaint stating she never understood she could lose her principal and believed the product was similar to a certificate of deposit.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Gerald Whitfield violated applicable suitability and best interest standards in multiple respects.

****Applicable Standards:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, risk tolerance, and any other information the customer discloses.
2. ****Regulation Best Interest (Reg BI):**** Under the SEC's Regulation Best Interest, a broker-dealer must act in the retail customer's best interest at the time of a recommendation without placing its own financial interest ahead of the customer's. The Care Obligation requires the broker to exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile. The Disclosure Obligation requires full and fair disclosure of all material facts relating to the recommendation, including risks and conflicts of interest.

3. **FINRA Rule 2010 (Standards of Commercial Honor):** Requires adherence to high standards of commercial honor and just and equitable principles of trade.

4. **FINRA Regulatory Notice 10-09:** This notice specifically addresses reverse convertibles and reminds firms that these products involve complex risk/return profiles, including the risk of significant principal loss. It emphasizes that firms must ensure customers understand that reverse convertibles are not equivalent to conventional debt instruments, and that suitability analysis must account for the embedded put option sold by the investor to the issuer.

5. **FINRA Regulatory Notice 09-73:** Addresses non-traditional products and reminds firms to perform reasonable-basis, customer-specific, and quantitative suitability analyses, and to ensure adequate training and supervision for complex products.

6. **FINRA Regulatory Notice 12-03:** Addresses heightened supervision requirements for complex products and emphasizes that firms must ensure the associated persons recommending such products understand their features, risks, and costs, and that suitable investors are identified.

Analysis:

- **Customer-Specific Suitability Failure:** Mrs. Menendez was a 74-year-old retiree with modest fixed income, limited liquid savings constituting her entire financial safety net, no experience with structured products or equities, a moderate risk tolerance, and stated objectives of income and capital preservation. Reverse convertibles linked to volatile biotech stocks are unsuitable for such a profile because they expose the investor to equity-like downside risk (equivalent to writing a put option) while capping the upside at the coupon. The concentration of \$185,000 (approximately 60% of her liquid assets) in these products dramatically amplified the risk.

- **Reasonable-Basis Suitability Failure:** Even setting aside this specific customer, a reasonable advisor would recognize that reverse convertibles linked to a basket of biotechnology stocks--among the most volatile equity sectors--carry substantial risk of principal loss. The 70% knock-in barrier on highly volatile underlyings provided limited protection.

- **Disclosure and Care Failures:** Whitfield failed to explain the knock-in barrier mechanism, the possibility of receiving depreciated stock at maturity, the issuer credit risk, or the asymmetric risk/return profile. Handing the customer a 97-page term sheet at the point of sale without meaningful explanation does not satisfy disclosure obligations. Mrs. Menendez's belief that the product was CD-like demonstrates a fundamental misunderstanding that Whitfield either created or failed to correct.

- **Misleading Characterization:** Describing reverse convertibles as 'enhanced income notes' without adequate risk disclosure amounts to a misleading characterization under FINRA Rule 2010.

Likely Regulatory Outcome: Whitfield and his firm face potential liability for unsuitable recommendations, failure to act in the customer's best interest, and inadequate disclosure. Likely outcomes include arbitration awards or regulatory sanctions including disgorgement of commissions, restitution to the customer, fines, suspension or bar from the industry, and potential supervisory deficiency findings against the firm for inadequate training and supervision regarding complex structured products.

Item 86 of 350**NON-COMPLIANT**

Topic: high_fees_unsuitable

Difficulty: medium

Source: 28_Structured_Products

Fact Pattern

Gerald Hutchins, age 71, is a retired postal worker living in Tallahassee, Florida. He receives \$2,400 per month in pension income and \$1,800 per month in Social Security. His total liquid savings amount to approximately \$285,000, held in a brokerage account that he opened in 2016. His account application lists his risk tolerance as 'conservative,' his investment objectives as 'income and preservation of capital,' his annual income as \$50,400, and his investment experience as limited to certificates of deposit and money market funds. Gerald has a high school education and no prior experience with structured products or derivatives.

In March 2023, his financial advisor, Craig Bellamy, recommended that Gerald invest \$140,000 -- approximately 49% of his liquid savings -- into a series of three reverse convertible notes linked to individual technology stocks: one tied to shares of a mid-cap semiconductor company, one tied to a cloud computing firm, and one tied to a social media company. Each note had a 14-month maturity, offered a stated coupon of 11.5% to 13.2%, and included a knock-in barrier set at 70% of the initial stock price. The embedded fees and commissions across the three notes totaled approximately \$8,400, representing an effective cost of roughly 6% of the invested principal. Craig's firm received an additional selling concession of 2% from the issuing bank, which was disclosed in the prospectus supplement but was never verbally explained to Gerald.

Craig pitched the notes to Gerald by emphasizing the 'high monthly income' the coupons would provide and described them as 'like a CD but with a better rate.' He did not explain the downside risk that Gerald could receive depreciated shares of the underlying stocks instead of his principal if any stock fell below the 70% barrier. He did not provide Gerald with the prospectus supplement or any written materials describing the payoff structure. Gerald signed the purchase documents, believing he was buying a fixed-income product with guaranteed return of principal.

By January 2024, the semiconductor stock had declined 38% from its reference price, breaching the knock-in barrier. At maturity in May 2024, Gerald received shares of the semiconductor company worth approximately \$86,800 instead of his \$46,667 principal on that note, resulting in a loss of approximately \$13,200 on that tranche alone (after accounting for coupons received). On the other two notes, the barriers were not breached and Gerald received his principal plus coupons, but after subtracting the \$8,400 in total fees, his net gain across all three positions over 14 months was approximately negative \$4,900. Gerald filed a complaint stating he never understood he could lose principal and believed he was purchasing safe, income-generating instruments similar to bank CDs.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Bellamy violated multiple regulatory standards in recommending these reverse convertible notes to Gerald Hutchins.

****Suitability Analysis under FINRA Rule 2111:****

FINRA Rule 2111 requires that a financial advisor have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, experience, and time horizon.

- **Reasonable-Basis Suitability:** Reverse convertible notes are complex structured products that combine a debt instrument with an embedded put option sold by the investor to the issuer. As highlighted in FINRA Regulatory Notice 10-09 and RN 09-73, firms and representatives must understand the features, risks, and costs of complex products before recommending them. Craig's description of the notes as 'like a CD but with a better rate' demonstrates either a fundamental misunderstanding of the product or a deliberately misleading characterization, either of which fails reasonable-basis suitability.

- **Customer-Specific Suitability:** Gerald is a 71-year-old retiree with conservative risk tolerance, capital preservation objectives, limited investment experience (CDs and money markets only), modest fixed income, and no experience with structured products or equity-linked instruments. Reverse convertibles linked to volatile individual technology stocks are high-risk, equity-linked instruments wholly inconsistent with his stated profile. Concentrating 49% of his liquid net worth in three such notes vastly exceeds any reasonable allocation for a conservative retiree.

- **Quantitative Suitability:** The total embedded costs of approximately 6% plus the additional 2% selling concession (8% total cost to the customer) are excessive for a 14-month investment, particularly for a conservative income-seeking retiree. FINRA RN 12-03 specifically warns about high costs embedded in structured products and the obligation to consider whether such costs render a recommendation unsuitable.

Regulation Best Interest (Reg BI):

Under Reg BI's Care Obligation, Craig was required to exercise reasonable diligence, care, and skill in making this recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. He failed to consider reasonably available alternatives (such as investment-grade bonds, Treasury securities, or high-yield savings accounts) that would have been far more consistent with Gerald's objectives. The Disclosure Obligation required that he provide full and fair disclosure of material facts, including the risk of principal loss, the knock-in barrier mechanism, and all costs and conflicts of interest. His failure to provide the prospectus supplement, explain the put option risk, or disclose the selling concession violated these obligations.

FINRA Rule 2010 (Standards of Commercial Honor):

Describing a reverse convertible note as being 'like a CD but with a better rate' is materially misleading. CDs are FDIC-insured and guarantee return of principal; reverse convertibles carry significant equity market risk and no principal protection. This misrepresentation violates the just and equitable principles of trade under FINRA Rule 2010.

FINRA Regulatory Notices 09-73 and 10-09:

These notices specifically address the heightened obligations associated with recommending complex products, including reverse convertibles. They require that advisors ensure customers understand the product's payoff structure, perform enhanced due diligence, and provide clear risk disclosures. Craig's failure to explain the barrier mechanism, downside conversion to shares, and the overall payoff structure contravenes these guidance standards.

Likely Regulatory Outcome:

Craig Bellamy and his firm face potential enforcement action including monetary fines, disgorgement of commissions, customer restitution, suspension, and potential bar from the industry. In arbitration, Gerald would likely recover his net losses plus the excessive fees, and possibly damages for the unsuitable concentration of his retirement savings in high-risk structured products.

Item 87 of 350**NON-COMPLIANT**

Topic: complex_products_unsophisticated_investor

Difficulty: medium

Source: 28_Structured_Products

Fact Pattern

Margaret Delacroix, age 71, is a retired elementary school teacher living in Baton Rouge, Louisiana. She has a fixed annual income of \$38,000 from her state pension and Social Security. Her total liquid savings amount to approximately \$310,000, held primarily in a money market account and a small bond mutual fund. She has no prior experience with any investment beyond certificates of deposit and her pension fund. Her risk tolerance, as documented on her new account form completed in March 2022, was marked as 'conservative,' and her stated investment objectives were 'income' and 'preservation of capital.' She told her financial advisor, Kevin Hartwell, that she wanted her money to last through retirement and could not afford to lose principal.

In April 2022, Hartwell recommended that Mrs. Delacroix invest \$175,000--more than 56% of her liquid savings--into a series of three reverse convertible notes linked to the common stock of a mid-cap biotechnology company. Each note had a 14-month maturity, offered a stated coupon of 11.5% per annum, and included a knock-in barrier set at 70% of the reference stock's initial price. Hartwell described the investment to Mrs. Delacroix as 'like a CD but with a much higher interest rate,' and told her the coupon payments would supplement her pension income nicely. He did not explain that the notes were unsecured obligations of the issuing bank, that she bore full downside equity risk below the barrier, or that her principal could be converted into shares of the biotechnology stock if the barrier was breached. He did not provide or discuss the pricing supplement or any written materials describing the knock-in feature, the maximum return cap, or the lack of principal protection.

The embedded sales concession on each note was 2.75%, generating a total commission to Hartwell of approximately \$4,812. No alternative income-producing investments--such as Treasury bonds, agency securities, or investment-grade corporate bond funds--were discussed or documented.

By June 2023, when the notes matured, the reference biotechnology stock had fallen approximately 42% from its initial price, well below the 70% knock-in barrier. Mrs. Delacroix received her coupon payments totaling roughly \$18,500 but had her principal converted into shares then worth approximately \$101,500, resulting in a net loss of roughly \$55,000 on a \$175,000 investment. She contacted the firm's branch manager in July 2023, stating she never understood she could lose principal and believed she was purchasing a product similar to a bank CD.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Hartwell likely violated multiple regulatory standards in recommending the reverse convertible notes to Mrs. Delacroix.

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a financial advisor have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile including age, financial situation, risk tolerance, investment objectives, investment experience, and other relevant

factors. Rule 2111 encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

- ***Customer-Specific Suitability:** Mrs. Delacroix was a 71-year-old retiree with conservative risk tolerance, limited income, no experience with complex products, and stated objectives of income generation and capital preservation. Reverse convertibles linked to a single mid-cap biotech stock are among the riskiest structured products available to retail investors--they expose the holder to the full downside of equity risk while capping upside returns. Concentrating over 56% of her liquid savings in such instruments was fundamentally misaligned with her profile.

- ***Reasonable-Basis Suitability:** There is no indication Hartwell understood the product's risk characteristics well enough to recommend it to any investor. FINRA Regulatory Notice 09-73 specifically warns that structured products such as reverse convertibles carry risks that may not be immediately apparent, including credit risk of the issuer, market risk of the reference asset, and liquidity risk. FINRA Regulatory Notice 10-09 further highlights the complexity of reverse convertibles and the obligation of firms and representatives to ensure these products are only recommended to investors who understand and can bear the risks.

2. ****Regulation Best Interest (Reg BI):** Under the SEC's Regulation Best Interest, a broker-dealer and its associated persons must act in the best interest of a retail customer when making a recommendation, and must not place their own financial interest ahead of the customer's interest. Reg BI's Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. The Disclosure Obligation requires full and fair disclosure of all material facts relating to conflicts of interest. Hartwell's failure to explain the knock-in barrier, the conversion feature, the unsecured nature of the notes, and the distinction from a CD constitutes a clear violation of the disclosure requirements. The \$4,812 commission created a material conflict that was neither disclosed nor mitigated.

3. ****FINRA Rule 2010 (Standards of Commercial Honor):** Describing a reverse convertible--a product with embedded short put option risk--as being 'like a CD but with a much higher interest rate' constitutes a materially misleading characterization. CDs are FDIC-insured instruments with no principal risk. This misrepresentation violates the standards of commercial honor and just and equitable principles of trade.

4. ****FINRA Regulatory Notices 09-73, 10-09, and 12-03:** These notices collectively emphasize that firms must (a) conduct robust due diligence on structured products before offering them, (b) train registered representatives to understand the products' features and risks, (c) ensure that product-specific suitability determinations are made for each customer, (d) provide clear and balanced disclosure of both risks and potential rewards, and (e) supervise the sale of complex products with heightened scrutiny. Hartwell's conduct--failing to discuss alternatives, failing to provide the pricing supplement, mischaracterizing the product, and concentrating more than half of the client's savings in a single volatile reference asset--runs afoul of all of these directives.

****Likely Regulatory Outcome:** A regulatory examination or arbitration proceeding would likely find multiple violations. Hartwell could face sanctions including fines, disgorgement of commissions, suspension, or a bar from the industry. The firm could face supervisory failure charges if it lacked adequate procedures for reviewing structured product recommendations to unsophisticated retail investors. Mrs. Delacroix would likely prevail in a customer arbitration claim seeking compensatory damages for the approximately \$55,000 in principal losses, plus potential consequential damages.

Item 88 of 350**NON-COMPLIANT**

Topic: failure_to_know_customer

Difficulty: medium

Source: 28_Structured_Products

Fact Pattern

In March 2022, financial advisor Derek Hoffman at a mid-sized broker-dealer in Tampa, Florida, recommended that his client, 71-year-old retired postal worker Margaret Beaulieu, invest \$85,000--approximately 40% of her total liquid savings of \$210,000--into a series of reverse convertible notes linked to a basket of three biotechnology stocks. Margaret had a fixed monthly income of \$2,400 from Social Security and a small pension of \$900 per month. She had no prior experience with structured products, options, or any derivative instruments. Her account opening documents from 2019 listed her investment objective as "income with capital preservation" and her risk tolerance as "conservative." She told Hoffman during their initial meeting that she wanted safe investments that would supplement her retirement income and that she could not afford to lose her principal.

Hoffman had attended a product training session hosted by the issuing bank in January 2022 but never administered any questionnaire or assessment to determine whether Margaret understood the payoff structure of reverse convertibles, including the conditional downside exposure to equity risk, the knock-in barrier feature, or the possibility that she could receive depreciated shares of the underlying biotechnology stocks instead of her principal at maturity. He did not document any conversation in which he explained these risks. Internal emails recovered during a later compliance review showed that Hoffman's branch manager had flagged the recommendation for review, noting that the customer profile appeared inconsistent with the product, but Hoffman responded that the 14% annualized coupon would "more than make up for any risk" and the trade was processed without further escalation.

By September 2022, one of the three underlying biotech stocks had fallen 58% from its reference price, breaching the knock-in barrier set at 70% of the initial level. At maturity in March 2023, Margaret received shares of the worst-performing stock valued at approximately \$36,500 instead of her \$85,000 principal, representing a loss of roughly \$48,500, or 57% of her invested amount. She continued to receive the coupon payments totaling approximately \$11,900 over the 12-month term, but her net loss was still approximately \$36,600. Margaret filed a complaint stating she never understood that she could lose her principal and believed the product was similar to a certificate of deposit.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hoffman violated applicable suitability and best interest standards on multiple grounds.

****Failure to Know the Customer (FINRA Rule 2111 -- Customer-Specific Suitability):**** Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, risk tolerance, and other relevant information. Margaret Beaulieu was a 71-year-old retiree with conservative risk tolerance, a capital preservation objective, limited fixed income, and zero experience with structured products or derivatives. The reverse convertible notes Hoffman recommended carried significant equity downside risk--the investor could receive depreciated shares worth far less than the principal invested.

This product was fundamentally inconsistent with her stated objectives and risk tolerance.

****Failure to Perform Reasonable Diligence (FINRA Rule 2111 -- Reasonable-Basis Suitability):**** FINRA Regulatory Notice 12-03 emphasizes that representatives must understand the risks and features of recommended products, particularly complex ones, before recommending them. While Hoffman attended a training session, he failed to conduct any assessment of whether Margaret could understand the reverse convertible's payoff mechanics, knock-in barrier, or the conditional principal-at-risk feature. FINRA Regulatory Notices 09-73 and 10-09 specifically warn firms about heightened suitability obligations when recommending complex products such as reverse convertibles and other structured notes to retail investors, particularly those who are elderly, have conservative profiles, or lack sophistication.

****Concentration Risk:**** Investing approximately 40% of Margaret's total liquid savings in a single structured product category--especially one linked to volatile biotechnology equities--represented an unsuitable concentration given her age, income limitations, and inability to absorb significant losses.

****Regulation Best Interest (Reg BI):**** Under Regulation Best Interest, Hoffman was required to act in the customer's best interest at the time of the recommendation, which includes understanding the product's risks and costs, considering reasonably available alternatives, and not placing his own interest (commissions on structured product sales are typically higher than on plain-vanilla bonds or CDs) ahead of the customer's. The 14% coupon was compensation for bearing substantial downside equity risk--risk that was wholly inappropriate for this customer.

****Supervisory Failures (FINRA Rule 2010, FINRA Rule 3110):**** The branch manager flagged the inconsistency between the customer profile and the product but allowed the trade to proceed based on Hoffman's unsupported assertion about the coupon compensating for risk. This represents a supervisory failure.

****Likely Regulatory Outcome:**** Hoffman would likely face sanctions including fines, disgorgement of commissions, suspension, and potential restitution to the customer. The firm could face supervisory violation charges. Margaret's complaint would likely succeed in arbitration given the clear mismatch between her profile and the product, the lack of documented disclosure, and the ignored supervisory red flag.

Item 89 of 350**NON-COMPLIANT**

Topic: structured_products_unsuitable

Difficulty: hard

Source: 28_Structured_Products

Fact Pattern

Gerald Whitfield, age 71, is a retired postal worker living in suburban Cleveland, Ohio. He has a fixed monthly income of \$2,850 from Social Security and a small pension, totaling approximately \$34,200 per year. His total liquid net worth is approximately \$310,000, held primarily in a traditional IRA rollover account that represents virtually all of his retirement savings. Gerald has a high school education, no prior investment experience beyond certificates of deposit and a money market account, and his new account form at Ridgepoint Securities lists his risk tolerance as 'conservative,' his investment objective as 'income and capital preservation,' his time horizon as '1-5 years,' and his liquid net worth as \$310,000. Gerald's wife, Diane, age 69, has early-stage dementia and requires increasing home health aide expenses projected at \$3,000 per month within two years.

In March 2023, Gerald's financial advisor at Ridgepoint Securities, Victor Saldana, age 38, recommended that Gerald invest \$185,000 -- roughly 60% of his entire retirement savings -- into a series of three reverse convertible notes. The first was a \$75,000 14-month reverse convertible linked to Tesla, Inc. common stock, paying a 12.5% annual coupon. The second was a \$60,000 12-month reverse convertible linked to a basket of three biotechnology stocks (Moderna, BioNTech, and Novavax), paying a 14.8% annual coupon. The third was a \$50,000 18-month reverse convertible linked to Coinbase Global, Inc. stock, paying a 16.2% annual coupon.

Victor explained to Gerald that these were 'high-yield income notes that pay monthly interest like a bond' and told him they were 'a great alternative to CDs since rates are still low.' Victor did not explain the knock-in barrier feature on any of the notes, did not discuss the possibility that Gerald could receive shares of the underlying stock instead of his principal back at maturity, and did not explain that his downside risk was essentially equivalent to owning the most volatile single stocks in the market. Victor's notes from the meeting state only: 'Client wants higher income. Discussed structured notes. Client agreed.' No written materials describing the payoff structure, risks, or worst-case scenarios were provided to Gerald. Gerald signed the purchase documents, which contained dense disclosure language about barrier levels, knock-in events, and physical settlement, but Victor told him 'that's all just standard legal language.'

Victor earned a total sales credit of \$7,585 across the three transactions, which was approximately 2.3 times the commission he would have earned selling Gerald a diversified bond fund or Treasury ladder producing comparable income. Ridgepoint Securities' internal product review committee had flagged reverse convertibles linked to single high-volatility stocks as requiring enhanced supervision and documentation of customer understanding, but no supervisor reviewed Victor's transactions with Gerald until a post-trade review four months later.

By September 2023, Tesla stock had declined 28%, breaching the 70% knock-in barrier on the first note. By January 2024, the biotechnology basket had declined 41%, breaching the 65% barrier on the second note. The Coinbase-linked note's barrier was breached in November 2023 when Coinbase stock dropped 33%. At maturity of the first two notes, Gerald received shares of the depreciated underlying stocks instead of his principal. His combined losses on the three reverse convertibles totaled approximately \$94,500, representing over 30% of his total retirement savings. Gerald was forced to liquidate the depreciated shares at a loss to cover Diane's home health aide costs. Gerald filed a complaint with Ridgepoint Securities in February 2024, stating he never understood he could lose his principal and believed he was purchasing 'something like a bond that paid monthly interest.'

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Victor Saldana committed multiple serious violations in recommending these reverse convertible notes to Gerald Whitfield.

****Applicable Regulatory Framework:****

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. This rule encompasses three distinct obligations: (1) reasonable-basis suitability (understanding the product itself), (2) customer-specific suitability (matching the product to the specific customer), and (3) quantitative suitability (ensuring the overall volume/concentration is not excessive).

Under Regulation Best Interest (Reg BI), broker-dealers and their associated persons must act in the retail customer's best interest at the time a recommendation is made, without placing their own financial interest ahead of the customer's. This includes the Care Obligation (understanding the risks and rewards of the recommendation and having a reasonable basis to believe it is in the customer's best interest), the Disclosure Obligation (providing full and fair disclosure of material facts including conflicts of interest), and the Conflict of Interest Obligation (identifying and mitigating conflicts such as heightened compensation incentives).

FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) requires all business conduct to observe high standards of commercial honor and just and equitable principles of trade.

FINRA Regulatory Notices 09-73 and 10-09 specifically address structured products and reverse convertibles, emphasizing that firms must ensure registered representatives understand the products they recommend, that customers understand the risks (including the risk of receiving depreciated shares), and that concentration in these products relative to a customer's portfolio must be carefully evaluated. FINRA RN 12-03 further highlights complex products and the heightened obligations associated with recommending them to retail investors.

****Specific Violations:****

1. ****Customer-Specific Suitability / Care Obligation Violation:**** Gerald was a 71-year-old conservative retiree with no investment experience, a short time horizon, income and capital preservation objectives, and critical near-term liquidity needs (wife's medical care). Reverse convertibles linked to single high-volatility stocks (Tesla, Coinbase) and volatile biotech baskets are among the most aggressive structured products available. They expose the investor to full downside equity risk while capping upside at the coupon. These products are fundamentally inconsistent with every element of Gerald's investment profile. No reasonable advisor could conclude these were suitable or in Gerald's best interest.

2. ****Concentration Violation:**** Allocating \$185,000 -- approximately 60% of Gerald's entire liquid net worth and retirement savings -- to reverse convertibles linked to volatile underliers represents a grossly excessive concentration, particularly given his age, conservative profile, and lack of alternative income sources. FINRA guidance in RN 09-73 specifically warns against over-concentration in structured products.

3. ****Disclosure / Explanation Failure:**** Victor failed to explain the fundamental mechanics of the products -- the

knock-in barrier, physical settlement risk, and the possibility of receiving depreciated stock instead of principal. He affirmatively mischaracterized the products as 'like CDs' and dismissed contractual risk disclosures as 'standard legal language.' This violates the disclosure obligation under Reg BI and the reasonable-basis suitability requirement under Rule 2111, which requires the advisor himself to understand the product. FINRA RN 10-09 specifically states that firms must not only provide written disclosures but must also take steps to ensure retail investors actually understand the payoff structures and risks of reverse convertibles.

4. ****Conflict of Interest:**** Victor earned approximately 2.3 times the compensation he would have earned from suitable alternatives. Under Reg BI's Conflict of Interest Obligation, this compensation differential should have been disclosed and mitigated. There is no evidence Victor disclosed this conflict or that the firm mitigated it.

5. ****Supervisory Failures:**** Ridgepoint's internal product review committee had flagged reverse convertibles linked to single volatile stocks as requiring enhanced supervision and documentation of customer understanding. No supervisor reviewed the transactions before execution, and the post-trade review occurred four months later -- far too late to prevent the harm. This constitutes a failure of the firm's supervisory obligations under FINRA Rules 3110 and 3120.

6. ****FINRA Rule 2010 Violation:**** Victor's affirmative misrepresentations about the nature of the products and dismissal of risk disclosures constitute conduct inconsistent with high standards of commercial honor and just and equitable principles of trade.

****Likely Regulatory Outcome:****

Victor Saldana would likely face FINRA enforcement action including a substantial fine, disgorgement of commissions, suspension or bar from the securities industry, and an order to pay restitution to Gerald. Ridgepoint Securities would likely face supervisory violation charges, a censure, a significant fine, and an obligation to pay restitution. In a customer arbitration, Gerald would have strong claims for compensatory damages of approximately \$94,500 plus consequential damages, with the possibility of punitive damages given the egregiousness of the misrepresentations. The facts present a textbook case of the harms that FINRA Regulatory Notices 09-73, 10-09, and 12-03 were designed to prevent.

Item 90 of 350**NON-COMPLIANT**

Topic: complex_products_unsophisticated_investor

Difficulty: medium

Source: 28_Structured_Products

Fact Pattern

Margaret Kowalski, age 71, is a retired elementary school teacher living in suburban Toledo, Ohio. She has a pension providing \$3,200 per month, Social Security income of \$1,850 per month, and a total liquid net worth of approximately \$285,000, nearly all of which is held in a traditional IRA rollover account at a regional broker-dealer. Her investment objectives, as documented on her new account form completed in January 2023, are 'income' and 'preservation of capital,' and her risk tolerance is marked as 'conservative.' She has no prior experience with options, derivatives, or structured products, and her account history over the prior decade consisted entirely of Treasury bonds, certificates of deposit, and a single investment-grade corporate bond fund.

In March 2023, her financial advisor, Derek Simmons, attended a product training webinar hosted by the firm's structured products desk. Following the webinar, Simmons began recommending structured notes to several clients. On April 10, 2023, during a routine portfolio review meeting, Simmons recommended that Margaret invest \$140,000 -- roughly 49% of her liquid net worth -- into two reverse convertible notes. The first was a \$75,000 reverse convertible linked to the common stock of a mid-cap biotechnology company, offering a 12.5% annualized coupon with a 25% downside barrier and a 14-month maturity. The second was a \$65,000 reverse convertible linked to a basket of three technology stocks, offering an 11.8% annualized coupon with a 30% barrier and a 12-month maturity.

Simmons explained to Margaret that the products would provide 'higher income than her CDs' and described the coupon payments as similar to bond interest. He did not explain the contingent repayment of principal, the possibility that she could receive shares of a depreciated stock instead of her cash investment at maturity, or the fact that her upside was capped at the coupon while her downside exposure was essentially that of an equity holder below the barrier. He did not provide the offering documents prior to the meeting and instead had her sign the purchase paperwork at the end of their 40-minute session. Internal notes from the meeting reflect only 'client agreed to structured note purchases for income enhancement.'

The firm's written supervisory procedures required a principal to review all structured product transactions over \$50,000 for retail clients over age 65. However, the branch manager, Lisa Pratt, approved both trades the same afternoon they were entered, spending what electronic audit trails suggest was less than three minutes reviewing the orders. There is no documentation that Pratt reviewed Margaret's account profile, investment objectives, or risk tolerance before approving the transactions.

By August 2023, the biotechnology stock underlying the first reverse convertible had fallen 38%, breaching the 25% barrier. At maturity in June 2024, Margaret received 1,420 shares of the biotech stock then worth approximately \$44,300 -- a loss of over \$30,000 on that single position. The basket-linked note also breached its barrier in October 2023, and at its April 2024 maturity, Margaret received shares worth approximately \$47,100, representing a loss of roughly \$17,900. In total, Margaret lost approximately \$48,000 on the two positions, or about 17% of her entire liquid net worth, while receiving approximately \$16,800 in coupon payments, for a net loss of over \$31,000.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, financial advisor Derek Simmons violated applicable suitability and best interest standards on multiple grounds, and the branch manager's supervisory failures compounded the violations.

****Applicable Standards:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, risk tolerance, and any other information disclosed by the customer. The rule encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.
2. ****Regulation Best Interest (Reg BI):**** For recommendations made after June 30, 2020, broker-dealers must act in the retail customer's best interest at the time the recommendation is made, without placing their own financial interests ahead of the customer's. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, and to consider reasonably available alternatives.
3. ****FINRA Rule 2010 (Standards of Commercial Honor):**** Requires adherence to high standards of commercial honor and just and equitable principles of trade.
4. ****FINRA Regulatory Notices 09-73, 10-09, and 12-03**** specifically address concerns about structured products, including reverse convertibles, and emphasize that firms must ensure representatives understand the products they recommend, that the products are suitable for the specific customers to whom they are recommended, and that adequate disclosure is provided.

****Analysis of Violations:****

****Customer-Specific Suitability (Rule 2111.05(a))**** Margaret is a 71-year-old retiree with conservative risk tolerance, income and capital preservation objectives, no experience with structured products or derivatives, and a portfolio history of fixed-income and cash-equivalent instruments. Reverse convertibles are fundamentally equity-risk instruments dressed in a coupon-bearing wrapper. The investor is short a put option on the underlying equity (or basket), meaning that below the barrier, the investor bears full equity downside. This payoff profile is directly contrary to Margaret's stated objectives of capital preservation and conservative risk tolerance. Allocating nearly half of her liquid net worth to two such instruments dramatically concentrated her portfolio in equity-linked risk she neither understood nor desired.

****Reasonable-Basis Suitability (Rule 2111.05(a))**** FINRA RN 09-73 specifically warned that reverse convertibles expose investors to significant downside risk and that the coupon payments compensate for the embedded short put option, not for credit risk as in a traditional bond. Simmons's characterization of the coupon as similar to 'bond interest' demonstrates either a fundamental misunderstanding of the product's payoff structure or a deliberate mischaracterization -- both of which fail reasonable-basis suitability. An advisor cannot have a reasonable basis for recommending a product he either does not understand or misrepresents.

****Reg BI Care Obligation:**** Under Reg BI, Simmons was required to exercise reasonable diligence, care, and skill, including understanding the risks and rewards of the reverse convertibles and having a reasonable basis to believe the recommendations were in Margaret's best interest. Simmons failed to consider reasonably available alternatives (such as investment-grade bonds, Treasury securities, or CD ladders) that would have provided income consistent with her conservative profile without exposing her to contingent equity losses. The concentration of 49% of liquid assets in two correlated structured notes linked to volatile sectors (biotech and technology) further demonstrates a failure of care.

****Disclosure Failures:**** FINRA RN 10-09 emphasizes the importance of fair and balanced disclosure for structured products. Simmons failed to explain the contingent nature of principal repayment, the possibility of receiving depreciated shares, the embedded short put option, the cap on upside potential, or the credit risk of the issuer. He did not provide offering documents before obtaining Margaret's signature. These failures also implicate FINRA Rule 2010.

****Supervisory Failures:**** FINRA Rule 3110 requires firms to establish and maintain a system to supervise the activities of each associated person. The firm's own WSPs required heightened review of structured product transactions over \$50,000 for clients over age 65. Branch manager Lisa Pratt's cursory three-minute approval, with no documented review of the customer's profile, objectives, or risk tolerance, constitutes a failure to reasonably supervise. FINRA RN 12-03 specifically noted that firms must have robust supervisory systems for complex products and must not rely on cursory or rubber-stamp approvals.

****Concentration:**** Investing 49% of a 71-year-old conservative retiree's liquid net worth in two equity-linked structured notes with barrier features represents an unsuitable concentration, particularly given that these assets constituted her primary financial cushion beyond fixed pension and Social Security income.

****Likely Regulatory Outcome:**** Simmons would likely face individual liability for unsuitable recommendations and Reg BI violations, potentially resulting in a suspension, fine, and disgorgement of commissions. The firm would likely face supervisory failure charges. Margaret would have strong grounds for a customer arbitration claim seeking compensatory damages of approximately \$31,000 (net losses after coupon payments), plus interest and costs. Depending on the egregiousness found, punitive damages or attorney fees could also be awarded. The firm could also face an enforcement action related to its systemic supervisory deficiencies regarding structured product sales to senior retail investors.

Item 91 of 350**NON-COMPLIANT****Topic:** structured_products_unsuitable**Difficulty:** hard**Source:** 28_Structured_Products**Fact Pattern**

Margaret Kowalski, age 74, is a retired elementary school teacher living in suburban Cleveland, Ohio. She has a pension providing \$3,200 per month, Social Security income of \$1,900 per month, and total liquid savings of approximately \$410,000, almost all of which is held in a traditional IRA that she has been drawing from for required minimum distributions. Her account documents list her risk tolerance as 'conservative,' her investment objective as 'income with capital preservation,' her investment experience as 'limited -- mostly certificates of deposit and a target-date mutual fund through her employer plan,' and her time horizon as '5-10 years.' She has no prior experience with derivatives, options, or structured products of any kind.

In September 2024, her financial advisor, Derek Halloran, who had been managing her IRA for three years, called her to discuss what he described as 'a CD alternative that pays much higher interest.' He recommended she invest \$175,000 -- approximately 43% of her liquid net worth -- into a 14-month reverse convertible note linked to the common stock of a mid-cap biotechnology company, Veridian Therapeutics Inc. (ticker: VRDN). The note offered a 12.5% annualized coupon, paid monthly, with a knock-in barrier set at 70% of VRDN's initial stock price. If at maturity or at any point during the term the stock fell below the 70% barrier, Margaret would receive shares of VRDN stock instead of her principal, meaning she could lose a substantial portion of her investment. The product carried a 2.75% upfront sales concession paid to Halloran's broker-dealer.

During the call, Halloran explained the coupon payments and the maturity date but did not explain the knock-in barrier mechanism, the possibility of receiving depreciated shares instead of cash at maturity, or the fact that her maximum gain was capped at the coupon while her downside exposure was essentially the same as owning the underlying stock below the barrier. He did not provide or discuss the product's offering memorandum or pricing supplement prior to the transaction. Margaret agreed to the purchase based on the conversation, believing she was buying something similar to a high-yield CD.

Halloran also did not document any analysis of why a reverse convertible tied to a single volatile biotech stock was appropriate for Margaret's stated objectives and risk profile. His branch manager approved the trade after a cursory review that flagged no issues.

By January 2025, Veridian Therapeutics had fallen 41% from the reference price after a failed Phase III clinical trial, breaching the knock-in barrier. At the note's maturity in November 2025, the stock was trading at \$18.40, down 52% from the initial reference price of \$38.25. Margaret received 4,575 shares of VRDN valued at approximately \$84,180, representing a loss of roughly \$90,820 in principal (before accounting for the approximately \$18,200 in coupon payments she had received over the term). Her net loss was approximately \$72,620, or roughly 41.5% of the amount invested.

Margaret filed a complaint with the broker-dealer in December 2025, stating she never understood the product could result in a loss of principal and that she believed she was purchasing a fixed-income instrument similar to a bank CD. She noted that she would never have agreed to a product linked to a single biotech stock had the risks been clearly explained.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Halloran violated multiple regulatory standards in recommending the reverse convertible note to Margaret Kowalski.

****Suitability Analysis under FINRA Rule 2111:****

FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile. This rule encompasses three components: (1) reasonable-basis suitability (the advisor must understand the product), (2) customer-specific suitability (the product must match the specific customer's profile), and (3) quantitative suitability (the overall pattern of transactions must not be excessive).

Here, the customer-specific suitability obligation was clearly violated. Margaret was a 74-year-old retiree with conservative risk tolerance, an objective of income with capital preservation, limited investment experience confined to CDs and a target-date fund, and a moderate time horizon. A reverse convertible note linked to a single volatile mid-cap biotechnology stock is fundamentally incompatible with this profile. The product's payoff structure gives the investor full downside exposure to the underlying equity below the barrier while capping the upside at the coupon -- precisely the opposite of what a capital preservation investor needs. FINRA Regulatory Notice 09-73 specifically warns firms about reverse convertibles, noting that the complexity and risk of these products make them potentially unsuitable for retail investors, particularly those with conservative objectives or limited sophistication.

****Concentration Risk:****

The \$175,000 investment represented approximately 43% of Margaret's liquid net worth, concentrated in a single structured product tied to a single equity. This level of concentration in a complex, risky instrument further aggravates the suitability violation.

****Reg BI (Regulation Best Interest) Analysis:****

Under Regulation Best Interest, which applies to broker-dealer recommendations to retail customers, Halloran was required to act in Margaret's best interest at the time of the recommendation and not place his own financial interests ahead of hers. The regulation's Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making the recommendation, including understanding the risks and rewards and having a reasonable basis to believe the recommendation is in the customer's best interest based on her profile.

The 2.75% upfront sales concession created a significant financial incentive for Halloran to recommend this product over more suitable alternatives (such as actual CDs, Treasury securities, or investment-grade bonds), raising a conflict of interest that was neither mitigated nor disclosed. The Conflict of Interest Obligation under Reg BI required the firm to identify, disclose, and mitigate this conflict, which does not appear to have occurred.

The Disclosure Obligation under Reg BI was also violated. Halloran failed to provide the offering memorandum or pricing supplement before the transaction and failed to explain the knock-in barrier, the equity conversion risk, or the asymmetric payoff structure. By describing the product as a 'CD alternative,' he affirmatively mischaracterized the nature and risk of the investment.

****FINRA Rule 2010 -- Standards of Commercial Honor:****

Halloran's description of the reverse convertible as a 'CD alternative that pays much higher interest' without disclosing the material risks -- particularly the possibility of receiving depreciated stock and losing a substantial portion of principal

-- constitutes conduct inconsistent with just and equitable principles of trade under FINRA Rule 2010.

****Relevant FINRA Regulatory Guidance:****

FINRA Regulatory Notice 10-09 reminds firms of their obligations regarding complex products, emphasizing that firms must perform a reasonable-basis suitability analysis before offering a complex product, ensure that registered representatives understand the product's features and risks, and that the product is suitable for the specific customer. FINRA Regulatory Notice 12-03 reinforces heightened scrutiny for complex products and calls on firms to consider whether their registered representatives can effectively explain the product to customers, a standard Halloran clearly failed to meet.

****Supervisory Failure:****

The branch manager's cursory approval of this trade -- given the obvious red flags of a conservative, elderly, unsophisticated investor purchasing a reverse convertible linked to a volatile biotech stock with 43% of her liquid assets -- constitutes a supervisory failure under FINRA Rules 3110 and 3120.

****Likely Regulatory Outcome:****

Halloran and his firm would likely face FINRA enforcement action for violations of Rules 2111 and 2010, as well as Reg BI. Potential sanctions include disgorgement of the sales concession, restitution to the customer for her net losses (approximately \$72,620), fines, and a suspension or bar for the advisor. The branch manager and firm could face additional supervisory violation charges. In arbitration, Margaret would have strong grounds for recovery of her full net losses plus costs and interest.

Item 92 of 350**NON-COMPLIANT****Topic:** high_fees_unsuitable**Difficulty:** medium**Source:** 28_Structured_Products**Fact Pattern**

In March 2022, financial advisor Derek Hollins at a mid-sized broker-dealer in Tampa, Florida, recommended that his client, Patricia Langdon, age 71, invest \$85,000 in Barclays-issued reverse convertible notes linked to the common stock of a large technology company. Mrs. Langdon was a retired elementary school teacher with a fixed annual income of \$42,000 from her pension and Social Security. Her total liquid net worth was approximately \$310,000, held primarily in certificates of deposit and a conservative bond mutual fund. Her account opening documents listed her investment objective as 'income with capital preservation' and her risk tolerance as 'low.' She had no prior experience with structured products, options, or equities beyond owning a small position in a dividend-paying utility stock. The reverse convertible notes had a 12-month term, paid an annualized coupon of 11.5%, and included a knock-in barrier set at 70% of the initial stock price. The embedded fees and costs associated with the notes totaled approximately 4.8% of the notional amount, which was not clearly broken out in the term sheet but was reflected in an estimated fair value of \$952 per \$1,000 note at issuance. Hollins told Mrs. Langdon the product was 'like a CD but with a much better interest rate' and did not explain the downside risk of receiving shares of the reference stock if the barrier was breached. He also did not explain the embedded option component or the credit risk to the issuer. During the 12-month term, the reference technology stock declined 38%, breaching the knock-in barrier. At maturity, Mrs. Langdon received shares of the reference stock worth approximately \$52,700 instead of her \$85,000 principal, plus the \$9,775 in coupon payments, resulting in a net loss of approximately \$22,525, or roughly 26.5% of her invested capital. Mrs. Langdon filed a complaint stating she never understood she could lose principal and believed the product was similar to a bank CD. Internal records showed that Hollins earned a gross commission of \$3,400 on the sale, which was approximately twice the commission he would have earned placing Mrs. Langdon in a comparable investment-grade corporate bond.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hollins violated multiple regulatory standards in recommending the reverse convertible notes to Patricia Langdon.

****Suitability under FINRA Rule 2111:**** FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. This rule encompasses three components: (1) reasonable-basis suitability, (2) customer-specific suitability, and (3) quantitative suitability.

On reasonable-basis suitability, Hollins' characterization of the reverse convertible as 'like a CD but with a much better interest rate' strongly suggests he either did not understand the product himself or deliberately misrepresented it. FINRA Regulatory Notice 09-73 specifically warns that reverse convertibles are complex products combining a debt instrument with a put option written by the investor, exposing the holder to significant downside equity risk. FINRA Regulatory Notice 10-09 further emphasizes that firms and advisors must conduct adequate due diligence to understand the risks, costs, and features of structured products before recommending them.

On customer-specific suitability, Mrs. Langdon's profile -- age 71, retired, low risk tolerance, income-with-capital-preservation objective, limited liquid net worth of \$310,000, and no experience with structured products or options -- made her a clearly unsuitable candidate for a reverse convertible note. The product exposed approximately 27% of her liquid net worth to downside equity risk on a single volatile technology stock, directly contradicting her stated objective of capital preservation. FINRA RN 12-03 reinforces the obligation to ensure complex products are only sold to investors who understand the risks and for whom the products are suitable.

****Regulation Best Interest (Reg BI):**** Under Reg BI's Care Obligation, Hollins was required to exercise reasonable diligence, care, and skill to understand the product and to have a reasonable basis to believe the recommendation was in the customer's best interest at the time it was made, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. The 4.8% embedded cost, which was nearly double what a comparable corporate bond would have cost, combined with the significant principal-at-risk nature of the product, demonstrates that this recommendation was not in Mrs. Langdon's best interest. Under Reg BI's Disclosure Obligation, Hollins failed to disclose material facts about the product's risks and costs, instead affirmatively mischaracterizing the product as CD-like.

****FINRA Rule 2010 (Standards of Commercial Honor):**** Hollins' misleading comparison of a reverse convertible to a CD constitutes conduct inconsistent with just and equitable principles of trade. This misrepresentation likely induced Mrs. Langdon to invest in a product she would not have otherwise purchased.

****High Fee / Cost Concerns:**** The 4.8% embedded cost is particularly relevant. FINRA has emphasized in multiple regulatory notices that the costs embedded in structured products -- which are often opaque -- must be weighed against the potential benefits and disclosed to investors. The elevated commission Hollins received (approximately double what he would have earned on a suitable alternative) suggests the recommendation may have been motivated by compensation rather than client interest, further supporting a Reg BI conflict-of-interest concern.

****Likely Regulatory Outcome:**** Hollins would likely face disciplinary action including potential fines, suspension, and an order to pay restitution to Mrs. Langdon. The firm could face supervisory failure charges under FINRA Rule 3110 if it did not have adequate procedures to review structured product recommendations to retail customers, particularly elderly customers with conservative profiles. Mrs. Langdon's arbitration claim for the approximately \$22,525 net loss, plus fees and costs, would have strong prospects for recovery.

Item 93 of 350

NON-COMPLIANT

Topic: high_fees_unsuitable

Difficulty: hard

Source: 28_Structured_Products

Fact Pattern

In March 2021, financial advisor Derek Sloane at Piedmont Capital Group recommended that his client, Gloria Fuentes, age 71, invest \$185,000 into a series of three structured notes. Mrs. Fuentes was a retired elementary school teacher with a fixed pension of \$3,200 per month, Social Security income of \$1,850 per month, and total liquid savings of approximately \$410,000, the majority of which was held in a traditional IRA rollover. Her stated investment objectives were capital preservation and income generation. On her new account form, her risk tolerance was marked as 'moderate,' though during her recorded intake call she told Sloane she 'could not afford to lose any of the money' and needed it to supplement her retirement income for medical expenses and daily living. Sloane recommended three products: (1) a \$75,000 allocation to a 2-year reverse convertible note linked to Tesla, Inc. common stock with a 12.5% annual coupon and a 30% downside barrier, carrying an embedded issuer fee of 3.75%; (2) a \$60,000 allocation to a 3-year autocallable contingent coupon note linked to a worst-of basket of three semiconductor stocks (AMD, NVIDIA, and Qualcomm), paying a contingent quarterly coupon of 9.2% annually with a 25% knock-in barrier and an embedded fee of 4.1%; and (3) a \$50,000 allocation to a 5-year principal-protected note linked to the Euro Stoxx 50 index with a participation rate of only 62% and an embedded fee estimated at 5.25%, which included a 2.0% selling concession to Sloane's firm. In total, Mrs. Fuentes paid approximately \$7,825 in embedded fees across the three products at issuance. Sloane did not provide Mrs. Fuentes with any independent pricing analysis and did not discuss the economic value of the notes at issuance relative to their face value. He told her the principal-protected note was 'completely safe' and described the reverse convertible as a 'high-yield bond alternative.' He did not explain the worst-of basket mechanism, the meaning of knock-in barriers, or the possibility that she could receive shares of a depreciated stock instead of her principal. He did not discuss the issuer's credit risk on any of the notes. Sloane's branch manager approved all three transactions after a cursory review of the account paperwork. By March 2022, Tesla stock had declined 38% from the initial strike price, breaching the barrier on the reverse convertible. At maturity in March 2023, Tesla was trading 42% below the initial price, and Mrs. Fuentes received 310 shares of Tesla valued at approximately \$43,400 instead of her \$75,000 principal--a loss of \$31,600 before accounting for coupon payments received. The autocallable note's worst performer, AMD, had declined 33% by the first observation date, suspending coupon payments for three consecutive quarters. Mrs. Fuentes, distressed and confused, called Sloane's office repeatedly asking why she was not receiving income from the products she was told would generate reliable cash flow. She ultimately filed a complaint with the firm.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Sloane committed multiple serious violations in recommending these structured products to Gloria Fuentes.

****Applicable Standards:****

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including

age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, risk tolerance, and any other information disclosed by the customer. This rule encompasses three obligations: reasonable-basis suitability (understanding the product), customer-specific suitability (matching the product to the customer), and quantitative suitability.

Under Regulation Best Interest (Reg BI), broker-dealers must act in the retail customer's best interest at the time of the recommendation, satisfying the Disclosure Obligation, Care Obligation, Conflict of Interest Obligation, and Compliance Obligation. The Care Obligation requires that the broker exercise reasonable diligence, care, and skill in making recommendations and consider reasonably available alternatives.

FINRA Rule 2010 (Standards of Commercial Honor and Principles of Trade) requires brokers to observe high standards of commercial honor and just and equitable principles of trade.

FINRA Regulatory Notice 10-09 specifically addresses structured products and reminds firms that the complexity, embedded costs, and credit risk of structured products demand heightened suitability scrutiny. It emphasizes that firms must ensure representatives understand the products they recommend and that the products are suitable given the customer's profile. FINRA Regulatory Notice 09-73 similarly addresses reverse convertibles and cautions that the high coupons on these products compensate investors for assuming significant downside equity risk, and that they should not be characterized as fixed-income or bond alternatives. FINRA Regulatory Notice 12-03 addresses complex products generally and reinforces that firms must have adequate supervisory procedures and ensure that customers understand the material features and risks of complex products before purchase.

****Analysis of Violations:****

1. ****Customer-Specific Suitability / Care Obligation Violation:**** Mrs. Fuentes was a 71-year-old retiree with limited liquid savings, fixed income, capital preservation objectives, and an expressed inability to tolerate loss. Allocating \$185,000 (approximately 45% of her liquid savings) to structured notes--two of which carried significant principal risk--is fundamentally inconsistent with her investment profile. The reverse convertible and the autocallable worst-of note exposed her to potential losses of 30-100% of principal, which is antithetical to capital preservation. Even the principal-protected note, while nominally safe, carried a 5-year lockup with no liquidity, significant issuer credit risk, and poor economic value due to the low participation rate and high embedded fees.

2. ****Reasonable-Basis Suitability Violation:**** Sloane's characterization of the reverse convertible as a 'high-yield bond alternative' and the principal-protected note as 'completely safe' strongly suggests he either did not understand these products or deliberately misrepresented them. Reverse convertibles are synthetic short put positions with capped upside; they are not bond alternatives. The principal-protected note was subject to issuer credit risk and opportunity cost, which he failed to disclose or discuss.

3. ****Misrepresentation and Failure to Disclose Material Information (FINRA Rule 2010, Reg BI Disclosure Obligation):**** Sloane failed to explain the worst-of basket mechanism, knock-in barriers, the possibility of physical delivery of depreciated shares, issuer credit risk, embedded fees totaling approximately \$7,825, or the economic value of the notes at issuance relative to their face value. These are all material facts necessary for an informed investment decision.

4. ****Excessive Embedded Fees:**** The embedded fees across the three products (ranging from 3.75% to 5.25%) are exceptionally high relative to alternative investments that would have been more suitable for Mrs. Fuentes's profile, such as Treasury securities, CDs, investment-grade bond funds, or fixed annuities. Under Reg BI's Care Obligation and the cost considerations embedded in FINRA Rule 2111, the advisor was required to consider reasonably available alternatives and the costs associated with the recommendation. The high fees created a significant drag on returns and primarily benefited Sloane and his firm.

5. ****Supervisory Failure:**** The branch manager's cursory approval of these transactions for a 71-year-old retiree with capital preservation objectives represents a failure of the firm's supervisory system, potentially violating FINRA Rules 3110 and 3120. FINRA RN 12-03 specifically calls on firms to implement heightened supervision for complex product recommendations to retail investors.

6. ****Concentration Risk:**** Placing 45% of Mrs. Fuentes's liquid retirement savings into structured notes--illiquid instruments with significant credit and market risk--created dangerous concentration that was wholly inappropriate for her profile.

****Likely Regulatory Outcome:**** Sloane would likely face FINRA enforcement action for suitability violations under Rule 2111, Reg BI violations, and violations of Rule 2010 for misrepresentations and omissions. Potential sanctions include fines, disgorgement of commissions, suspension or bar from the industry. The firm would likely face supervisory failure charges. Mrs. Fuentes would have strong grounds for recovery in FINRA arbitration for compensatory damages, including net losses on the reverse convertible (approximately \$31,600 minus coupons received), any losses on the autocallable note, the embedded fees paid, and potentially consequential damages.

Item 94 of 350**NON-COMPLIANT****Topic:** failure_to_know_customer**Difficulty:** medium**Source:** 28_Structured_Products**Fact Pattern**

In March 2024, financial advisor Derek Simmons of Ridgeway Capital Partners in Tampa, Florida, met with new client Gloria Medina, a 71-year-old retired elementary school teacher. Mrs. Medina had recently lost her husband and received approximately \$340,000 in life insurance proceeds. She had an existing portfolio of \$185,000, mostly in certificates of deposit and a money market account at her local bank. Her monthly income consisted of \$2,100 in Social Security and a small teacher's pension of \$1,450 per month. Mrs. Medina told Simmons during their initial meeting that she wanted to keep her money safe, generate some additional monthly income, and ensure she had funds available for potential medical expenses. She described herself as someone who had never invested in anything beyond bank products and did not understand the stock market. Simmons had Mrs. Medina complete a new account form, but he filled in most of the fields himself during the meeting. He marked her risk tolerance as 'moderate' and her investment objective as 'growth and income.' He did not ask her about her tax situation, her existing debts (she still carried a \$48,000 mortgage), her health insurance coverage, or her experience with any financial products beyond CDs. Simmons did not document any conversation about her investment knowledge or experience. Within two weeks, Simmons recommended that Mrs. Medina invest \$200,000 of her life insurance proceeds into three reverse convertible notes: \$80,000 in a 12-month reverse convertible linked to Tesla stock paying a 12.5% coupon, \$60,000 in a 9-month reverse convertible linked to a basket of biotech stocks paying 11.2%, and \$60,000 in an 18-month reverse convertible linked to Amazon stock paying 9.8%. Simmons told Mrs. Medina these were 'like CDs but with better interest rates' and that they were issued by a major bank, so they were safe. He did not explain the knock-in barrier feature, the possibility that she could receive shares of a depreciated stock instead of her principal, or that the coupon payments were compensation for bearing significant downside equity risk. Mrs. Medina signed the paperwork. By December 2024, the Tesla-linked reverse convertible had breached its 70% knock-in barrier after Tesla shares dropped 38%, and Mrs. Medina received Tesla shares worth approximately \$49,600 instead of her \$80,000 principal. The biotech basket note also breached its barrier, and she received shares valued at roughly \$39,000 instead of her \$60,000. In total, Mrs. Medina lost over \$51,000 in principal value across the two notes, partially offset by approximately \$14,500 in coupon payments received. When she called Simmons in distress, he told her the market would recover and suggested she hold the shares. Mrs. Medina filed a complaint with the firm stating she never understood these were anything other than safe, bank-issued income products.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Simmons committed multiple serious violations in his handling of Gloria Medina's account.

****Failure to Know the Customer (FINRA Rule 2111 -- Reasonable-Basis, Customer-Specific, and Quantitative Suitability):****

The most fundamental violation is Simmons's failure to conduct adequate due diligence on his customer. FINRA Rule 2111 requires that a broker have a reasonable basis to believe a recommendation is suitable based on reasonable diligence to ascertain the customer's investment profile, including age, financial situation, tax status, investment

objectives, investment experience, investment time horizon, liquidity needs, risk tolerance, and any other information the customer may disclose. Simmons filled in the new account form himself, marked Mrs. Medina's risk tolerance as 'moderate' when her own statements clearly indicated she was conservative, did not document her investment knowledge (which was essentially zero beyond CDs), failed to inquire about her debts, health insurance, or tax situation, and did not assess her liquidity needs despite her stated concern about medical expenses. This constitutes a textbook failure to know the customer.

****FINRA Regulatory Notice 10-09 (Reverse Convertibles):****

FINRA RN 10-09 specifically addresses reverse convertibles, warning that these products have complex payoff structures combining a debt instrument with a put option. The notice emphasizes that firms and their associated persons must understand these products before recommending them and must ensure the recommendation is suitable given the customer's profile. The notice explicitly warns against characterizing reverse convertibles as alternatives to traditional fixed-income products like CDs, which is precisely what Simmons did.

****FINRA Regulatory Notice 12-03 (Complex Products):****

RN 12-03 addresses heightened supervision obligations for complex products sold to retail investors. It states that firms must have reasonable grounds for believing that a customer can understand and bear the risks of complex products. A 71-year-old retired teacher with no investment experience beyond CDs, seeking safety and income, with significant liquidity needs, is the paradigm of a customer for whom reverse convertibles are unsuitable.

****FINRA Regulatory Notice 09-73 (Non-Traditional Products):****

RN 09-73 reinforces the obligation to ensure customers understand the products being recommended to them and that adequate disclosure is made regarding risks, costs, and features.

****Regulation Best Interest (Reg BI):****

Under the SEC's Regulation Best Interest, Simmons was required to act in Mrs. Medina's best interest at the time of the recommendation. The Care Obligation under Reg BI requires reasonable diligence, care, and skill in making recommendations, including understanding the risks and rewards of the product and having a reasonable basis to believe the recommendation is in the customer's best interest. Recommending concentrated positions in volatile equity-linked structured notes to a 71-year-old conservative widow with no investment sophistication and significant liquidity needs clearly fails the Care Obligation. The Disclosure Obligation was also violated, as Simmons affirmatively mischaracterized the products as similar to CDs.

****FINRA Rule 2010 (Standards of Commercial Honor):****

Simmons's misrepresentation of reverse convertibles as being 'like CDs but with better interest rates' constitutes a material misrepresentation in violation of FINRA Rule 2010, which requires adherence to high standards of commercial honor and just and equitable principles of trade. Reverse convertibles carry fundamentally different risk profiles than CDs -- they are unsecured obligations with embedded short put options -- and comparing them to FDIC-insured bank products is misleading.

****Customer-Specific Suitability Failures:****

Even setting aside the failure to gather complete information, the information Simmons did have -- a 71-year-old widow, retired on fixed income, no investment experience, seeking safety and income, needing liquidity for medical expenses -- made these recommendations patently unsuitable. Concentrating \$200,000 (nearly 60% of her total investable assets) in high-risk structured notes linked to volatile equities is inconsistent with every stated and reasonably inferred objective.

****Likely Regulatory Outcome:****

Simmons would likely face FINRA enforcement action including fines, suspension or bar, and disgorgement of commissions. Mrs. Medina would likely prevail in arbitration and recover her losses, including the approximately

\$51,000 in principal losses minus coupon income received, plus potentially consequential damages, interest, and attorneys' fees. The firm, Ridgeway Capital Partners, could also face supervisory failure charges under FINRA Rules 3110 and 3120 if its supervisory systems failed to flag these unsuitable recommendations.

Item 95 of 350**NON-COMPLIANT****Topic:** senior_investor_exploitation**Difficulty:** medium**Source:** 28_Structured_Products**Fact Pattern**

Margaret Dalton, age 78, is a retired elementary school teacher living in Scottsdale, Arizona. She receives \$2,400 per month in Social Security and a \$1,100 monthly pension. Her total liquid savings amount to approximately \$340,000, held in a brokerage account at a regional broker-dealer. Mrs. Dalton's account documents, completed when she opened the account in 2017, list her risk tolerance as "conservative," her investment objective as "income and capital preservation," her investment experience as "limited -- CDs and money markets," and her time horizon as "short-term (1-3 years)." She has no prior experience with equities, options, or structured products.

In March 2022, her financial advisor, Kevin Pratt (age 34, three years of experience at the firm), contacted Mrs. Dalton and recommended she invest \$210,000 -- approximately 62% of her liquid net worth -- into a series of three reverse convertible notes. The notes were linked to the common stock of three separate technology companies: a large-cap semiconductor manufacturer, a mid-cap cloud computing company, and a small-cap social media firm. Each note had a 14-month maturity, offered a stated coupon of 11.5% to 14.75%, and included a knock-in barrier set at 65% of the initial stock price. If any of the underlying stocks declined below the barrier at any point during the term and closed below the initial price at maturity, the investor would receive shares of the worst-performing stock instead of the return of principal.

Pratt told Mrs. Dalton that the products were "like CDs but with better interest rates" and described them as "income-generating notes that pay you every month." He did not explain the knock-in barrier mechanism, the possibility that she could receive depreciated shares instead of her principal, or the fact that her upside was capped at the coupon while her downside was equivalent to owning the worst-performing stock. He did not provide her with the pricing supplement or the base prospectus prior to the transaction. He also did not discuss the credit risk of the issuing bank, the illiquidity of the notes on the secondary market, or the embedded costs and fees (which totaled approximately 2.75% of the notional amount per note, paid to the firm as a selling concession).

By January 2023, the small-cap social media stock had declined 58% from its initial price, breaching the knock-in barrier. At maturity in May 2023, the stock remained below its initial reference price. Mrs. Dalton received shares of the small-cap social media company worth approximately \$87,400 in lieu of her \$70,000 principal on that note -- but the shares continued to decline, and by September 2023, those shares were worth only \$41,200. On the other two notes, the underlying stocks also experienced volatility; one note returned principal at maturity, while the second breached its barrier and converted into shares of the semiconductor company then worth \$52,100 against a \$70,000 investment. In total, Mrs. Dalton received approximately \$93,300 in principal value (shares and cash) plus \$27,825 in coupon payments, against her original \$210,000 investment -- a net loss of approximately \$88,875.

When Mrs. Dalton's daughter reviewed the account statements in late 2023 and asked Pratt to explain the losses, he stated that "markets were tough" and that "these things happen with any investment." He did not acknowledge any failure to disclose the risks. Mrs. Dalton subsequently filed a complaint with the firm, stating she never understood she could lose her principal and believed she was purchasing something similar to a certificate of deposit.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Pratt committed multiple serious violations in recommending these reverse convertible notes to Mrs. Dalton.

****Suitability Violations (FINRA Rule 2111):****

Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, experience, and liquidity needs.

1. ****Customer-Specific Suitability:**** Mrs. Dalton is a 78-year-old retiree with conservative risk tolerance, a capital preservation objective, limited investment experience (CDs and money markets), and a short-term time horizon. Reverse convertibles are complex structured products with embedded short put options that expose the investor to significant downside equity risk. Concentrating 62% of her liquid net worth in three reverse convertibles linked to volatile technology stocks is fundamentally incompatible with her stated objectives and risk profile. This fails the customer-specific suitability component of Rule 2111.

2. ****Reasonable-Basis Suitability:**** Pratt also appears to have lacked a reasonable-basis understanding of the products themselves, as evidenced by his characterization of reverse convertibles as "like CDs but with better interest rates." FINRA Regulatory Notice 12-03 emphasizes that representatives must understand the risks and features of complex products before recommending them. FINRA Regulatory Notice 09-73 specifically addresses suitability obligations for reverse convertibles and warns firms that the high coupons on these products compensate investors for taking on significant risk -- risk that must be clearly communicated.

3. ****Quantitative Suitability/Concentration:**** Investing \$210,000 out of \$340,000 in liquid savings (62%) in a single product type -- especially one with significant principal risk -- represents excessive concentration for any conservative investor, let alone a 78-year-old retiree dependent on her savings.

****Regulation Best Interest (Reg BI):****

For recommendations made after June 30, 2020, Reg BI's Care Obligation requires that the broker exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. The Disclosure Obligation requires the broker to provide full and fair disclosure of all material facts relating to the scope and terms of the relationship, including material conflicts of interest. Pratt failed both obligations: he did not exercise reasonable care in matching the product to the customer, and he failed to disclose the key risks (knock-in barrier, equity conversion, loss of principal, illiquidity, credit risk) and costs (2.75% selling concession per note).

****FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade):****

Pratt's misleading comparison of reverse convertibles to CDs constitutes a misrepresentation of a material fact -- the risk profile of the investment. This violates FINRA Rule 2010's just and equitable principles of trade. CDs are FDIC-insured, principal-guaranteed instruments; reverse convertibles carry full equity downside risk. Telling a senior investor with no equity experience that these products are "like CDs" is materially misleading.

****FINRA Regulatory Notice 10-09 (Sales Practice Obligations for Structured Products):****

RN 10-09 reminds firms that structured products require heightened scrutiny regarding suitability, particularly with respect to retail investors who may not understand complex payoff structures. The Notice emphasizes that firms must ensure customers receive and understand the offering documents, including the pricing supplement, before purchase.

Pratt's failure to provide the pricing supplement or base prospectus prior to the transaction is a further violation.

****Senior Investor Considerations:****

FINRA has repeatedly emphasized heightened obligations when dealing with senior investors (age 65+), who may be more vulnerable to misleading sales practices and who typically cannot recover from significant investment losses due to limited time horizons and fixed income streams. Mrs. Dalton's age, dependence on fixed income, and lack of investment sophistication all warranted additional caution -- not aggressive placement into complex, high-risk structured products.

****Likely Regulatory Outcome:****

Pratt and his firm face potential disciplinary action including fines, disgorgement of commissions, restitution to Mrs. Dalton, and suspension or bar for Pratt. The firm may also face supervisory failure charges if it did not have adequate procedures in place to review structured product recommendations to senior investors. Mrs. Dalton would likely prevail in a FINRA arbitration claim seeking compensatory damages of approximately \$88,875 plus interest, and potentially attorneys' fees.

Item 96 of 350**NON-COMPLIANT**

Topic: complex_products_unsophisticated_investor

Difficulty: medium

Source: 28_Structured_Products

Fact Pattern

In March 2023, financial advisor Derek Hollings, working out of a mid-sized broker-dealer in Tampa, Florida, met with his client Margaret Doyle, a 71-year-old retired elementary school teacher. Mrs. Doyle had a total liquid net worth of approximately \$340,000, consisting of \$210,000 in a traditional IRA and \$130,000 in a taxable brokerage account. Her annual income was \$38,000, composed entirely of Social Security benefits and a modest state pension. On her new account form, her investment objectives were listed as 'income' and 'preservation of capital,' and her risk tolerance was marked as 'conservative.' Mrs. Doyle had no prior experience with options, derivatives, or structured products, and her prior holdings consisted exclusively of certificates of deposit, a money market fund, and a diversified bond mutual fund. During the meeting, Hollings recommended that Mrs. Doyle invest \$75,000 from her IRA into a series of three reverse convertible notes, each with a face value of \$25,000 and a three-month term. The notes were linked to three separate single-stock underliers: a mid-cap retail apparel company with an implied volatility of 52%, a biotechnology firm with an implied volatility of 61%, and a social media company with an implied volatility of 47%. The notes offered annualized coupon rates ranging from 11.5% to 14.75%. Each note contained a knock-in barrier set at 65% of the initial stock price, meaning that if any reference stock declined 35% or more at any point during the term, the investor could receive shares of the depreciated stock at maturity instead of the return of principal. Hollings told Mrs. Doyle that the notes were 'like CDs but with a much better interest rate' and described them as 'safe income products issued by a major bank.' He did not explain the embedded put option, the knock-in barrier mechanism, the possibility of receiving depreciated shares, or the credit risk of the issuing bank. He did not provide the pricing supplement or prospectus at the time of the recommendation, though the firm's records show these documents were mailed to Mrs. Doyle five days after the trade was executed. Hollings earned a total commission of \$2,625 on the three transactions, which was approximately 3.5% of the invested amount. By the end of the three-month term, the biotechnology stock had declined 42% from its initial level, triggering the knock-in provision. Mrs. Doyle received 1,785 shares of the biotech stock valued at approximately \$14,500 instead of the return of her \$25,000 principal on that note. Including the coupon payments received across all three notes, she suffered a net loss of approximately \$8,100 on the \$75,000 investment. When Mrs. Doyle called Hollings to ask what had happened, he explained for the first time that she could receive stock instead of cash, and she stated she had never understood that was possible. She subsequently filed a complaint with the firm.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hollings violated multiple regulatory standards in recommending reverse convertible notes to Margaret Doyle.

****Suitability under FINRA Rule 2111:**** FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, risk tolerance, and any other information disclosed to the broker. There are three components: (1) reasonable-basis suitability, (2) customer-specific suitability, and (3) quantitative

suitability.

On reasonable-basis suitability, Hollings had an obligation to understand the products he was recommending. Reverse convertible notes are complex structured products with embedded short put options that expose investors to significant downside equity risk. FINRA Regulatory Notice 10-09 specifically warns firms about the risks of reverse convertibles and emphasizes that these products are not equivalent to conventional debt instruments. FINRA Regulatory Notice 09-73 addresses the heightened obligations when recommending complex products, including ensuring the advisor understands the product's features, risks, costs, and payoff structure. FINRA Regulatory Notice 12-03 further reinforces the obligation to perform due diligence on complex products and to ensure customers understand them. Hollings's characterization of these notes as 'like CDs but with a much better interest rate' strongly suggests either that he did not understand the product himself or that he deliberately misrepresented its risk profile.

On customer-specific suitability, Mrs. Doyle's profile is fundamentally incompatible with reverse convertibles. She was 71 years old, retired, living on fixed income, had conservative risk tolerance, sought income and preservation of capital, had no experience with derivatives or structured products, and the \$75,000 recommendation constituted approximately 22% of her total liquid net worth and 36% of her IRA. Reverse convertibles linked to high-volatility single stocks expose the investor to significant principal loss and are categorically unsuitable for a conservative retiree whose primary objectives are capital preservation and income.

****Regulation Best Interest (Reg BI):**** Under Reg BI's Care Obligation (17 CFR § 240.15l-1), Hollings was required to exercise reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. The Disclosure Obligation required that he provide full and fair disclosure of all material facts relating to the recommendation, including risks and conflicts of interest. Hollings failed the Care Obligation by recommending a product wholly inconsistent with Mrs. Doyle's stated objectives and risk tolerance. He failed the Disclosure Obligation by not explaining the embedded put option, the knock-in barrier, the possibility of receiving depreciated stock, or the issuer credit risk. The pricing supplement was not provided until after the trade was executed, depriving Mrs. Doyle of any opportunity to review the terms before committing her funds.

****FINRA Rule 2010 (Standards of Commercial Honor):**** Hollings's misleading comparison of reverse convertibles to CDs--products insured by the FDIC with no principal risk--constitutes conduct inconsistent with just and equitable principles of trade. This misrepresentation is particularly egregious given the substantial differences in risk profile between CDs and reverse convertibles.

****Concentration:**** Allocating \$75,000 (22% of liquid net worth) to three single-stock-linked reverse convertibles with implied volatilities ranging from 47% to 61% created an unsuitable concentration of risk for a conservative, retired investor.

****Likely Regulatory Outcome:**** Hollings would likely face sanctions including fines, disgorgement of commissions, suspension, and potentially a bar from the industry. The firm could face supervisory failure charges if it did not have adequate procedures to flag reverse convertible sales to elderly, conservative, unsophisticated customers. In arbitration, Mrs. Doyle would have strong grounds for recovery of her losses plus costs, given the clear mismatch between her profile and the recommended products, combined with the misleading sales presentation.

Item 97 of 350**NON-COMPLIANT****Topic:** high_fees_unsuitable**Difficulty:** medium**Source:** 28_Structured_Products**Fact Pattern**

Margaret Hollis, age 71, is a retired elementary school teacher living in suburban Phoenix, Arizona. She has a fixed monthly income of \$2,800 from her pension and \$1,450 from Social Security. Her total liquid savings amount to approximately \$285,000, held primarily in certificates of deposit and a money market account at a local bank. She has no other significant assets aside from her home, which is valued at approximately \$190,000 with no mortgage. Mrs. Hollis has consistently described herself as a conservative investor whose primary goals are capital preservation and generating modest supplemental income to cover medical expenses and daily living costs. She has no prior experience with options, derivatives, or complex financial instruments and has a high school education.

In March 2023, Mrs. Hollis met with financial advisor Derek Campion after being referred by a friend at her church. During their initial meeting, she explained that she could not afford to lose any of her savings and needed predictable income. Campion told her he had an investment that would pay her a "much higher coupon than any CD" and described it as "similar to a bond but better." He recommended she invest \$165,000--roughly 58% of her liquid net worth--into a single reverse convertible note linked to the common stock of a mid-cap biotechnology company. The note had a 14-month term, offered a 12.5% annualized coupon, and included a knock-in barrier set at 70% of the stock's initial price. The embedded fees and markups on the product totaled approximately 4.8%, or roughly \$7,920, which were not separately itemized on the trade confirmation but were instead built into the pricing of the note.

Campion did not provide Mrs. Hollis with any written materials explaining how the reverse convertible's payoff worked, nor did he explain that if the biotechnology stock declined below the 70% barrier at any point during the term, she could receive shares of the stock instead of her principal at maturity--shares that could be worth substantially less than her original investment. He did not discuss the issuer's credit risk or the fact that the high coupon reflected the significant downside risk she was assuming. He also did not explain that the 4.8% in embedded costs meant she was effectively starting at a loss, or that similar income could potentially be generated through far simpler, lower-risk instruments given her profile.

By January 2024, the biotechnology stock had fallen 41% from its initial reference price, breaching the knock-in barrier. At maturity in May 2024, the stock was trading at 54% of its initial price. Mrs. Hollis received shares of the biotechnology company worth approximately \$89,100 instead of her \$165,000 principal. Including the coupon payments she received over the term (approximately \$24,063 before taxes), her net loss was over \$51,800, representing roughly 18% of her total pre-investment liquid savings. When she contacted Campion to ask what had happened, he told her the market "just didn't cooperate" and suggested she hold the shares in hopes of a recovery. Mrs. Hollis filed a complaint with Campion's broker-dealer in July 2024.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Campion violated applicable suitability and best interest standards in multiple respects.

****Applicable Regulatory Framework:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, risk tolerance, and any other information disclosed by the customer. Rule 2111 encompasses three components: reasonable-basis suitability (understanding the product), customer-specific suitability (matching the product to the customer), and quantitative suitability (avoiding excessive activity).
2. ****Regulation Best Interest (Reg BI):**** Under the SEC's Regulation Best Interest, a broker-dealer must act in the best interest of the retail customer at the time a recommendation is made, without placing the financial or other interest of the broker-dealer ahead of the retail customer. This includes a Care Obligation (understanding risks, costs, and alternatives and having a reasonable basis that the recommendation is in the customer's best interest), a Disclosure Obligation (full and fair disclosure of material facts including costs and conflicts), and a Conflict of Interest Obligation.
3. ****FINRA Regulatory Notices 09-73, 10-09, and 12-03:**** These notices specifically address the sale of structured products, including reverse convertibles, to retail investors. RN 09-73 reminds firms that complex products such as reverse convertibles require heightened suitability scrutiny, particularly when sold to unsophisticated or elderly investors. RN 10-09 emphasizes that structured products with principal risk, embedded derivatives, and complex payoff structures demand that advisors understand the products themselves before recommending them and must ensure that customers understand the risks. RN 12-03 further reinforces that complex products should only be recommended when there is a reasonable basis to believe the customer can understand the product's features and risks, and that the product is suitable given the customer's profile.
4. ****FINRA Rule 2010 (Standards of Commercial Honor and Just and Equitable Principles of Trade):**** Misleading a customer about the nature and risks of a product violates fundamental standards of fair dealing.

****Analysis of Violations:****

***Customer-Specific Suitability Failure:** Mrs. Hollis was a 71-year-old retiree with limited income, no investment sophistication, a conservative risk tolerance, capital preservation as her primary goal, and no experience with derivatives or complex instruments. A reverse convertible linked to a single volatile mid-cap biotech stock is among the highest-risk structured products available to retail investors. The product's payoff structure is asymmetric--the investor's upside is capped at the coupon, while the downside includes full equity risk below the barrier. This is fundamentally incompatible with a conservative, capital-preservation-oriented investor profile. Concentrating 58% of her liquid net worth in a single such instrument dramatically amplified the unsuitability.

***Reasonable-Basis Suitability Failure:** Campion described the product as "similar to a bond but better," which is materially misleading. A reverse convertible is an unsecured obligation of the issuer that embeds a short put option on an underlying equity. It bears both issuer credit risk and significant equity downside risk--characteristics entirely unlike a traditional bond. Campion either failed to understand the product himself (a reasonable-basis failure) or deliberately mischaracterized it (a Rule 2010 violation).

***Disclosure Failures:** Under Reg BI's Disclosure Obligation, Campion was required to disclose all material facts relating to the scope and terms of the relationship, including fees, costs, and conflicts of interest. The 4.8% embedded markup (\$7,920) was never separately disclosed or explained to Mrs. Hollis. She was not informed of the knock-in barrier mechanism, the possibility of receiving depreciated stock instead of cash at maturity, or the issuer credit risk. These are material omissions.

Care Obligation Failure (Reg BI): Campion failed to exercise reasonable diligence, care, and skill in making the recommendation. He did not evaluate reasonably available alternatives (such as investment-grade bonds, Treasury securities, or CD ladders) that could have met Mrs. Hollis's income needs without exposing her to catastrophic principal loss. The high embedded fees suggest the recommendation may have been driven by compensation rather than the customer's best interest.

Concentration: Placing 58% of a retiree's liquid savings into a single structured product linked to one volatile stock violates basic diversification principles and heightens the unsuitability finding.

****Likely Regulatory Outcome:****

This fact pattern presents a strong case for FINRA enforcement action or arbitration liability. The combination of an elderly, unsophisticated customer; a high-risk, complex product; material misrepresentations; inadequate disclosure of fees; and excessive concentration would likely result in findings of suitability and Reg BI violations. Remedies could include full restitution of losses (approximately \$51,800), disgorgement of commissions, fines, a suspension or bar for Campion, and supervisory sanctions against the broker-dealer if it failed to implement adequate structured product review procedures as recommended in FINRA RN 12-03.

Item 98 of 350**NON-COMPLIANT****Topic:** failure_to_know_customer**Difficulty:** medium**Source:** 28_Structured_Products**Fact Pattern**

In March 2022, Gerald Whitfield, a 71-year-old retired postal worker living in Tucson, Arizona, visited the branch office of his brokerage firm to discuss rolling over his \$340,000 pension lump sum distribution. Gerald had no prior investment experience beyond a savings account and a small certificate of deposit. His stated investment objective on his new account form was capital preservation, and he indicated a low risk tolerance. He told his advisor, Derek Simmons, that he needed the money to last through retirement and wanted to generate modest income to supplement his \$2,100 monthly Social Security benefit. Gerald had a high school education and had never purchased any securities. Derek Simmons had recently attended a wholesaler lunch presentation on a suite of reverse convertible notes linked to the common stock of three mid-cap biotechnology companies. The notes offered a 12.5% annual coupon paid monthly over a 14-month term, with the principal at maturity subject to conversion into shares of the worst-performing underlying stock if any of the three stocks fell below a 70% knock-in barrier. Derek recommended that Gerald invest \$255,000--approximately 75% of his rollover assets--into two tranches of these reverse convertible notes, each linked to different baskets of biotech equities. Derek explained to Gerald that the product paid a 'guaranteed high interest rate' and described it as 'like a CD but with a better return.' He did not discuss the knock-in barrier, the possibility of receiving depreciated stock instead of principal at maturity, or the credit risk of the issuing bank. Gerald signed the paperwork the same day. Derek's notes in the client file contained only a single sentence: 'Client wants income; recommended structured note for yield.' No record of any discussion regarding Gerald's understanding of derivatives, equity-linked risk, or the specific payoff mechanics of reverse convertibles was documented. By the maturity date in May 2023, one of the underlying biotech stocks had fallen 58%, breaching the knock-in barrier. Gerald received shares worth approximately \$146,000 instead of his \$255,000 principal, resulting in a loss of roughly \$109,000 before accounting for coupon payments received of approximately \$26,500, for a net loss of about \$82,500.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Simmons violated multiple regulatory standards in recommending these reverse convertible notes to Gerald Whitfield.

****Failure to Know the Customer (FINRA Rule 2111 - Suitability):**** Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, investment objectives, risk tolerance, investment experience, time horizon, and liquidity needs. Gerald was a 71-year-old retiree with no securities experience, a low risk tolerance, a capital preservation objective, and dependence on the invested funds for retirement income. Reverse convertibles linked to volatile biotech equities are complex, equity-risk-bearing instruments wholly inconsistent with this profile. The recommendation failed all three components of suitability: reasonable-basis suitability (the advisor does not appear to have understood the product's risks himself, given his characterization of it as 'like a CD'), customer-specific suitability (the product was inappropriate for Gerald's profile), and quantitative suitability (concentrating 75% of the client's liquid assets in a single complex product type).

****Regulation Best Interest (Reg BI):**** Under Reg BI's Care Obligation, a broker-dealer must exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. Derek failed to consider less risky income-generating alternatives and concentrated the vast majority of Gerald's retirement assets in a high-risk structured product. Reg BI's Disclosure Obligation also required that Derek provide full and fair disclosure of material facts, including the risk of principal loss through share conversion, the knock-in barrier mechanism, and the credit risk of the issuer. Describing the product as a 'guaranteed' high-interest instrument 'like a CD' constituted a materially misleading characterization.

****FINRA Regulatory Notices 09-73, 10-09, and 12-03:**** FINRA RN 09-73 specifically addresses reverse convertibles and warns firms that these products carry risks that may not be readily apparent to retail investors, including the risk of receiving depreciated shares at maturity. It emphasizes that firms must ensure representatives understand the products they recommend and that the products are suitable given the customer's profile. RN 10-09 reinforces heightened suitability obligations for complex products, stressing that a customer's desire for yield alone does not make a complex, equity-linked product suitable. RN 12-03 further elaborates on complex products and the obligation to train representatives, perform meaningful due diligence, and ensure customers genuinely understand the risks before purchase.

****FINRA Rule 2010 (Standards of Commercial Honor):**** Describing a reverse convertible as 'like a CD but with a better return' without disclosing the equity-linked downside risk violates the ethical standards of just and equitable principles of trade.

****Documentation Deficiency:**** Derek's single-sentence notation in the client file fails to demonstrate any meaningful analysis of suitability, any discussion of product risks, or any effort to ascertain Gerald's understanding of the payoff structure. This absence of documentation itself constitutes a supervisory and compliance concern.

****Likely Regulatory Outcome:**** Derek would likely face enforcement action including fines, disgorgement of commissions, restitution to the customer, and a potential suspension or bar. The firm could face supervisory failure charges for inadequate review of complex product sales to vulnerable retail customers. Gerald would have strong grounds for a customer arbitration claim seeking full compensatory damages.

Item 99 of 350**NON-COMPLIANT****Topic:** failure_to_know_customer**Difficulty:** medium**Source:** 28_Structured_Products**Fact Pattern**

Gerald Whitfield, age 71, is a retired postal worker in Tucson, Arizona, with a pension providing \$3,200 per month and Social Security of \$1,800 per month. He has \$340,000 in savings, most of which is in a traditional IRA rollover from his employer plan. Gerald has a high school education and no prior experience investing in anything beyond certificates of deposit and a stable value fund inside his former 401(k). In March 2023, Gerald visited the branch office of his brokerage firm to discuss options for generating additional income from his IRA without taking excessive risk. He told his advisor, Dawn Parekh, that he could not afford to lose principal because the IRA represented his only liquid savings and he anticipated needing the funds to cover future medical expenses and potential long-term care costs. Gerald's new account form listed his investment objective as "income" and his risk tolerance as "conservative." Dawn Parekh had recently attended an internal training session on structured products and was aware that the firm paid a 2.5% sales concession on reverse convertible notes, compared to 0.75% on Treasury bonds and 1.0% on investment-grade corporate bonds. In April 2023, Dawn recommended that Gerald invest \$200,000 of his IRA in three separate reverse convertible notes linked to individual equities: \$70,000 in a 12-month reverse convertible linked to shares of a mid-cap biotechnology company, \$70,000 in a 10-month reverse convertible linked to a semiconductor manufacturer, and \$60,000 in a 14-month reverse convertible linked to an electric vehicle startup. Each note offered a coupon between 11% and 14.5% and contained a knock-in barrier set at 70% of the initial reference price. Dawn told Gerald that these products would "pay you like a high-yield savings account but better" and emphasized the double-digit coupon rates. She did not explain that the notes were unsecured obligations of the issuing bank, that Gerald bore full downside equity risk if any underlying stock fell below the knock-in barrier, or that his maximum gain was capped at the coupon payment regardless of how much the underlying stocks appreciated. She did not discuss the meaning of the knock-in feature, the credit risk of the issuer, or the lack of liquidity in the secondary market. Gerald signed the purchase documents, believing he was buying something similar to a certificate of deposit with a higher interest rate. Dawn did not document any discussion of Gerald's understanding of the payoff structure and did not record any rationale for why these particular products were appropriate for him. She did not update his customer profile to reflect the equity-linked risk he was taking on. By February 2024, the biotechnology stock had declined 42%, breaching its barrier, and the semiconductor stock had fallen 35%, also breaching its barrier. At maturity, Gerald received physical delivery of depreciated shares on two of the three notes, resulting in combined losses of approximately \$58,000 in principal. The EV startup note matured above its barrier, and Gerald received his principal plus the coupon. Gerald filed a complaint with the firm stating he never understood these were equity-risk products and believed he was purchasing fixed-income instruments.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dawn Parekh violated multiple regulatory requirements in recommending reverse convertible notes to Gerald Whitfield.

****Know-Your-Customer and Reasonable-Basis Suitability (FINRA Rule 2111):**** FINRA Rule 2111 requires that a

broker have a reasonable basis for believing a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, investment objectives, liquidity needs, and investment experience. Gerald was a 71-year-old conservative retiree with no equity experience, an income objective, a stated inability to bear principal loss, and anticipated medical and long-term care expenses. Reverse convertibles are complex structured products that expose the investor to significant downside equity risk in exchange for enhanced coupon payments. They are fundamentally unsuitable for a conservative, income-oriented retiree who cannot tolerate principal loss. Dawn failed the customer-specific suitability obligation entirely.

****FINRA Regulatory Notices 09-73 and 10-09:**** FINRA RN 09-73 reminds firms that structured products, including reverse convertibles, are complex instruments requiring heightened suitability analysis. FINRA RN 10-09 specifically addresses reverse convertibles and warns that they combine a debt instrument with a put option sold by the investor, meaning the investor bears equity downside risk. The notice emphasizes that firms must ensure customers understand the payoff structure, including the knock-in barrier, the cap on upside, the credit risk of the issuer, and the potential for principal loss or delivery of depreciated shares. Dawn failed to explain any of these features and affirmatively mischaracterized the products as similar to high-yield savings accounts.

****FINRA RN 12-03 (Complex Products):**** This notice requires heightened supervision and due diligence for complex products, including a determination that the registered representative understands the product and that the customer's profile supports the recommendation. There is no evidence Dawn assessed whether Gerald understood the products or documented any suitability rationale.

****Regulation Best Interest (Reg BI):**** Under Reg BI's Care Obligation (17 CFR 240.15l-1), a broker-dealer must exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile, and must have a reasonable basis to believe the recommendation is in the customer's best interest and does not place the financial professional's interest ahead of the customer's. The 2.5% sales concession on reverse convertibles versus lower concessions on Treasuries and investment-grade bonds creates a clear conflict. Dawn's failure to consider lower-risk income alternatives and her motivation by compensation strongly suggest the recommendation was driven by her financial interest, not Gerald's. Under Reg BI's Disclosure Obligation, material facts about the risks, payoff structure, and conflicts of interest should have been disclosed. Dawn's misleading characterization of the products violated this obligation.

****FINRA Rule 2010 (Standards of Commercial Honor):**** Misrepresenting a reverse convertible as akin to a high-yield savings account, when it in fact carries equity-linked downside risk and issuer credit risk, constitutes conduct inconsistent with just and equitable principles of trade.

****Failure to Update Customer Profile:**** Dawn did not update Gerald's account documentation to reflect the equity-linked risk exposure, further demonstrating a failure to know her customer and maintain accurate records.

****Likely Regulatory Outcome:**** Dawn and her firm face potential sanctions including fines, disgorgement of commissions, restitution to Gerald, suspension or bar for Dawn, and enhanced supervisory requirements for the firm. The firm may also face liability for failure to supervise under FINRA Rule 3110, given that no supervisor flagged the concentration of a conservative retiree's IRA in volatile equity-linked structured products. Gerald's losses of approximately \$58,000 would likely be recoverable in a FINRA arbitration proceeding.

Item 100 of 350**NON-COMPLIANT****Topic:** complex_products_unsophisticated_investor**Difficulty:** medium**Source:** 28_Structured_Products**Fact Pattern**

Margaret Holloway, age 71, is a retired elementary school teacher living in Tucson, Arizona. She receives a monthly pension of \$2,800 and Social Security benefits of \$1,650 per month. Her total liquid savings amount to approximately \$285,000, held primarily in certificates of deposit and a money market account at her local bank. She has no prior experience with any securities beyond a small position in a balanced mutual fund held in her 403(b) retirement account, which she rolled over to an IRA upon retirement in 2017. Her stated investment objectives on her new account application are capital preservation and income generation, and her risk tolerance is marked as 'conservative.' She told her advisor, Kevin Daly, that her primary concern was making sure her savings lasted through retirement and that she could not afford to lose principal. In March 2023, Daly recommended that Margaret invest \$140,000--nearly half of her liquid savings--into a 24-month reverse convertible note linked to a basket of three technology stocks: a semiconductor manufacturer, a social media company, and a cloud computing firm. The note offered a 12.5% annual coupon, which Daly emphasized during two meetings at his office. According to Margaret's later account, Daly described the product as 'like a CD but with a much better interest rate' and told her it was 'basically guaranteed to pay back your principal unless something really extreme happens in the market.' Daly did not provide Margaret with the product's pricing supplement or term sheet prior to her signing the purchase documents. He did not explain that if any of the three reference stocks declined by more than 30% from its initial price at any observation date, she could receive shares of the worst-performing stock instead of her full \$140,000 principal at maturity. He also did not discuss the credit risk of the issuing bank, the lack of secondary market liquidity, or the fact that her upside was capped at the coupon with no participation in any appreciation of the underlying stocks. By January 2024, the semiconductor stock in the basket had fallen approximately 38% from its initial reference price due to an industry downturn. Margaret received her coupon payments totaling roughly \$8,750 over ten months, but when she contacted Daly about the investment's status, she learned for the first time that she was likely to receive shares of the semiconductor company at maturity rather than her \$140,000. The estimated value of those shares, if delivered, would be approximately \$86,800, representing a loss of over \$53,000 on her principal. Margaret filed a complaint with the firm stating she never understood the product's downside risk and would never have agreed to the investment had it been properly explained.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Daly violated multiple regulatory standards in recommending the reverse convertible note to Margaret Holloway.

1. ****Suitability -- FINRA Rule 2111:**** This rule requires that a broker have a reasonable basis for believing a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, investment objectives, experience, and time horizon. Margaret was a 71-year-old retired teacher with conservative risk tolerance, capital preservation objectives, limited liquid savings, no experience with complex securities, and dependence on her savings for retirement income. A reverse convertible note linked to a basket of volatile technology stocks is an inherently speculative product where the investor bears full downside equity

risk in exchange for an enhanced coupon. The recommendation was unsuitable on its face under both the customer-specific and reasonable-basis components of Rule 2111. Under the reasonable-basis obligation, Daly appears not to have understood the product himself, given his mischaracterization of it as similar to a CD. Under the customer-specific obligation, the product was fundamentally inconsistent with every element of Margaret's stated profile.

2. ****Concentration Risk:**** Allocating \$140,000--approximately 49% of Margaret's total liquid savings--to a single complex structured product with significant principal risk constitutes an unsuitable concentration, particularly for a conservative retiree with limited assets.

3. ****Regulation Best Interest (Reg BI):**** Under the Care Obligation of Reg BI, a broker-dealer must exercise reasonable diligence, care, and skill in making recommendations, including understanding the risks and rewards of the product and having a reasonable basis to believe the recommendation is in the customer's best interest. Daly failed on all counts. The Disclosure Obligation requires that material facts about the recommendation be disclosed, including risks and conflicts. Daly's comparison of the note to a CD and his failure to deliver the term sheet or explain the knock-in barrier, the potential for physical delivery of depreciated shares, and the credit risk of the issuer constitute clear disclosure failures.

4. ****Fair Dealing -- FINRA Rule 2010:**** This rule requires high standards of commercial honor and just and equitable principles of trade. Describing a reverse convertible as 'like a CD but with a much better interest rate' and 'basically guaranteed' to return principal is materially misleading and violates fair dealing obligations.

5. ****FINRA Regulatory Notices 09-73, 10-09, and 12-03**** all specifically address structured products including reverse convertibles and principal-protected notes. RN 10-09 focuses specifically on reverse convertibles and warns firms that these products expose investors to full downside equity risk and are generally unsuitable for conservative investors seeking principal protection. RN 12-03 reiterates heightened suitability obligations for complex products and emphasizes the need for advisors to understand and explain payoff structures, including worst-case scenarios. RN 09-73 addresses principal-protected notes and warns against overstating the safety of structured products.

****Likely Regulatory Outcome:**** Daly and his firm face significant liability. Probable outcomes include customer arbitration resulting in compensatory damages of approximately \$53,000 (the principal loss) plus potentially foregone interest she would have earned in CDs. Regulatory sanctions could include fines, suspension or bar for Daly, and supervisory deficiency findings against the firm for failing to ensure adequate training, review, and approval of complex product sales to retail customers. The firm's supervisory system is also implicated if there was no heightened review process for structured product sales to elderly, conservative investors.

Item 101 of 350**NON-COMPLIANT**

Topic: illiquid_investments

Difficulty: hard

Source: 29_Crypto_Digital_Assets

Fact Pattern

Margaret Colvin, age 71, is a retired schoolteacher in Tucson, Arizona, with a fixed monthly income of \$3,200 from her pension and Social Security. Her total liquid savings amount to approximately \$410,000, held primarily in a traditional IRA and a taxable brokerage account. She has no other sources of income and relies on periodic withdrawals from her savings to cover medical expenses and property taxes. Her stated investment objectives on her account opening documents were "income generation" and "capital preservation," and her risk tolerance was marked as "conservative." She has no prior experience with digital assets or alternative investments.

In March 2024, her financial advisor, Derek Statham, age 38, presented Margaret with what he described as a "high-yield digital savings opportunity" through a platform called NovaYield. NovaYield offered a product in which customers deposited stablecoins (specifically USDC) into pooled lending accounts, and the platform promised annual percentage yields of 9.5%. Derek explained that stablecoins were "pegged to the dollar" and therefore "essentially the same as cash, just earning better interest than a bank CD." He did not explain that once deposited, the stablecoins would be lent to institutional borrowers and DeFi protocols at NovaYield's discretion, that the deposits were not insured by any government agency, or that customers could face withdrawal restrictions or lockup periods of up to 90 days.

Derek recommended that Margaret move \$185,000--roughly 45% of her total liquid net worth--into the NovaYield product. He assisted her in converting dollars to USDC through a third-party exchange, then transferring the USDC to a NovaYield wallet. Margaret signed a participation agreement, but Derek did not walk her through the 47-page terms of service, which included provisions granting NovaYield full rehypothecation rights over deposited assets and stating that depositors were unsecured creditors in the event of insolvency.

For approximately five months, Margaret received monthly yield payments totaling about \$7,300. In August 2024, NovaYield announced it was pausing all withdrawals due to "market conditions and liquidity constraints." By October 2024, the platform filed for bankruptcy protection. Margaret's \$185,000 in deposited USDC was frozen, and as of July 2025, she has recovered nothing. She has been forced to delay elective knee surgery and has fallen behind on property tax payments.

Derek earned a \$5,550 referral fee from NovaYield for directing Margaret's assets to the platform, a fact he did not disclose to her. His firm's internal compliance manual listed crypto-related yield products as requiring heightened supervisory review for clients over age 65 or those with conservative risk profiles, but no such review was conducted. Derek had recommended the same NovaYield product to at least fourteen other clients, nine of whom were retirees over age 65.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Statham committed multiple serious violations of applicable regulatory standards.

****Suitability and Best Interest Violations:****

Under FINRA Rule 2111 (Suitability) and Regulation Best Interest (Reg BI) under the Exchange Act, a financial professional must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, liquidity needs, investment objectives, and investment experience. Margaret Colvin is a 71-year-old conservative retiree with limited fixed income, no investment experience in digital assets, stated objectives of income generation and capital preservation, and a critical need for liquidity to cover medical and tax expenses. Recommending that she place 45% of her liquid net worth into an unregistered, illiquid crypto-yield product with 90-day lockup provisions and rehypothecation risk is fundamentally unsuitable and fails to satisfy Reg BI's Care Obligation (17 CFR §240.15l-1(a)(2)(ii)).

The NovaYield product bears hallmarks of the unregistered securities identified in enforcement actions against BlockFi, Celsius, Gemini Earn, and Genesis. Under the SEC's application of the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)) and the SEC's 2019 Framework for "Investment Contract" Analysis of Digital Assets, pooled crypto-lending products in which investors deposit assets with an expectation of profit derived from the managerial efforts of the platform operator are investment contracts and therefore securities. NovaYield's product--pooling deposited stablecoins, lending them at the platform's discretion, and distributing yield--almost certainly constitutes an unregistered security. Recommending an unregistered security to a retail customer compounds the suitability violation.

****Disclosure and Conflict of Interest Violations:****

Derek failed to disclose the \$5,550 referral fee he received from NovaYield. Under Reg BI's Disclosure Obligation (17 CFR §240.15l-1(a)(2)(i)), broker-dealers and their associated persons must disclose all material facts relating to conflicts of interest associated with a recommendation. For investment advisers, Section 206 of the Investment Advisers Act of 1940 imposes a fiduciary duty requiring full and fair disclosure of all material conflicts. The undisclosed referral fee is a material conflict that could influence the recommendation and its concealment is a standalone violation.

Additionally, Derek's characterization of stablecoins as "essentially the same as cash" and the yield product as a "digital savings opportunity" constitutes a material misrepresentation in violation of Exchange Act §10(b) and Rule 10b-5, as well as potentially FINRA Rule 2210 (Communications with the Public), which prohibits misleading statements. Stablecoins are not FDIC-insured, depositors were unsecured creditors, and the product carried significant illiquidity and credit risk--none of which was communicated.

****Supervisory Failures:****

Derek's firm failed to conduct the heightened supervisory review required by its own internal compliance manual for crypto-yield product recommendations to clients over 65 with conservative profiles. This constitutes a violation of FINRA Rule 3110 (Supervision) and exposes the firm to liability.

****CFTC Jurisdictional Considerations:****

To the extent USDC or other crypto assets involved may be classified as commodities, the CFTC has asserted jurisdiction over fraud and manipulation in crypto commodity markets under Sections 6(c)(1) and 9(a)(2) of the Commodity Exchange Act. The misrepresentations made to Margaret could also implicate CFTC anti-fraud authority.

****Likely Regulatory Outcome:****

Derek faces potential sanctions including fines, disgorgement of the referral fee, suspension or bar from the industry, and restitution to Margaret and other affected clients. The firm faces supervisory failure charges. The pattern of recommending this product to at least fourteen clients--nine of them elderly retirees--suggests a systemic practice that would likely draw heightened enforcement scrutiny. Margaret would also have strong grounds for a FINRA arbitration claim seeking recovery of her \$185,000 plus consequential damages.

Item 102 of 350**NON-COMPLIANT****Topic:** crypto_assets_unsuitable**Difficulty:** hard**Source:** 29_Crypto_Digital_Assets**Fact Pattern**

Marcus Webb, age 71, is a retired postal worker living in Tampa, Florida, with an annual pension income of \$42,000 and Social Security benefits of \$22,800. His total liquid savings amount to approximately \$385,000, held primarily in a traditional IRA (\$310,000) and a savings account (\$75,000). His wife, age 69, has early-stage dementia and requires in-home care costing roughly \$3,200 per month. Marcus's stated investment objectives on his new account form, completed in January 2024 with advisor Danielle Pryor at Ridgeline Wealth Partners, were capital preservation and income generation, with a conservative risk tolerance. Marcus noted on the form that he had no experience with digital assets, options, or alternative investments, and that he expected to begin drawing down his IRA within two years to cover his wife's escalating care costs.

In February 2024, Danielle recommended that Marcus allocate \$155,000--approximately 50% of his IRA--into a portfolio of digital assets. Specifically, she recommended \$60,000 into Bitcoin, \$40,000 into Ethereum, \$30,000 into Solana, and \$25,000 into a yield-bearing crypto lending product offered by a platform called NovaYield, which promised a fixed 9.2% annual percentage yield on stablecoin deposits. Danielle told Marcus that the NovaYield product was 'essentially like a high-yield savings account but on the blockchain' and that the stablecoin peg meant 'your principal is safe.' She did not disclose that NovaYield was not registered as a securities issuer or broker-dealer, nor did she mention that several similar platforms had recently faced enforcement actions and asset freezes. She also did not explain that the yield was generated by NovaYield re-lending deposited assets to institutional borrowers and DeFi protocols with varying credit risk.

Danielle earned a 2.5% upfront placement fee on the NovaYield deposit (\$625) and her firm received a 1.75% ongoing advisory fee on the entire crypto allocation. She documented the recommendation in a brief email to Marcus stating, 'Crypto is the future--this will help you keep up with inflation and generate income.' No written suitability analysis or risk disclosure specific to digital assets was placed in Marcus's file. She did not discuss concentration risk, liquidity constraints, the volatility history of the recommended tokens, or the possibility of total loss on the NovaYield platform.

By August 2024, Bitcoin had declined 22%, Ethereum 31%, and Solana 47% from the purchase prices. In September 2024, NovaYield suspended withdrawals citing a 'liquidity event,' and Marcus was unable to access his \$25,000 stablecoin deposit. By December 2024, NovaYield entered receivership proceedings, and depositors were told recoveries might range from 10 to 30 cents on the dollar. Marcus's total crypto portfolio had declined to approximately \$82,000, representing a loss of roughly \$73,000, or 47% of the amount invested. Marcus filed a complaint with Ridgeline's compliance department in October 2024, stating that Danielle never explained the risks and that he would never have agreed to put half his retirement savings into cryptocurrency.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Danielle Pryor committed multiple serious violations of applicable regulatory standards.

1. ****Regulation Best Interest (Reg BI) - Care Obligation (17 CFR §240.15l-1(a)(2)(ii)(B)):** Under Reg BI's Care Obligation, a broker-dealer or associated person must exercise reasonable diligence, care, and skill when making a recommendation, including understanding the potential risks, rewards, and costs of the recommendation and having a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made. Allocating 50% of a 71-year-old retiree's IRA--his primary source of liquidity for imminent medical expenses--into highly volatile digital assets and an unregistered yield product is facially unreasonable given his stated conservative risk tolerance, capital preservation objective, near-term income needs, and zero experience with digital assets. The recommendation fails both the reasonable-basis and customer-specific components of suitability and best interest analysis.
2. ****Investment Advisers Act §206 (Fiduciary Duty):** If Danielle or Ridgeline Wealth Partners operates in an advisory capacity (as suggested by the ongoing 1.75% advisory fee), the anti-fraud provisions of §206(1) and §206(2) of the Investment Advisers Act impose a fiduciary duty to act in the client's best interest with full and fair disclosure of all material facts. Danielle's characterization of NovaYield as 'essentially like a high-yield savings account' was materially misleading. She failed to disclose: (a) the platform's unregistered status; (b) the counterparty and credit risks inherent in crypto lending; (c) the enforcement environment surrounding similar platforms like BlockFi, Celsius, Gemini Earn, and Genesis, which faced SEC enforcement actions for offering unregistered securities in the form of yield-bearing crypto products; and (d) the concentration risk of placing 50% of retirement assets in a single volatile asset class.
3. ****SEC Howey Test & Digital Asset Framework (2019):** The NovaYield product--where investors deposit assets with the expectation of profit derived from the managerial efforts of the platform in re-lending to third parties--almost certainly constitutes an investment contract (security) under the Howey test (investment of money in a common enterprise with expectation of profits derived from efforts of others). Recommending an unregistered security without disclosing its regulatory status or the associated risks compounds the violation. The SEC's enforcement actions against BlockFi (February 2022, \$100M settlement), Celsius, and Genesis/Gemini Earn demonstrate the agency's view that such products are securities requiring registration under the Securities Act of 1933.
4. ****Exchange Act §10(b) and Rule 10b-5:** Danielle's affirmative misrepresentation that the NovaYield product was akin to a savings account and that 'principal is safe' constitutes a material misstatement in connection with the purchase of a security. The omission of known risks--including the platform's unregistered status and the recent wave of enforcement actions against analogous platforms--satisfies the elements of fraud under §10(b).
5. ****FINRA Rule 2111 (Suitability) and FINRA Rule 2210 (Communications):** If Danielle is a FINRA-registered representative, her recommendation violates FINRA's suitability rule on all three levels: reasonable-basis (crypto lending products carry extreme counterparty risk), customer-specific (a conservative 71-year-old retiree with imminent liquidity needs and no crypto experience), and quantitative (50% concentration in a single speculative asset class). FINRA's guidance on digital assets, including Regulatory Notice 22-08 (complex products), emphasizes heightened diligence for complex or novel products. Her email characterization of crypto as 'the future' without balanced risk disclosure also likely violates communications standards.
6. ****CFTC Jurisdiction:** To the extent Bitcoin and possibly Ethereum are classified as commodities under the Commodity Exchange Act, the CFTC has fraud and manipulation authority under CEA §6(c)(1). However, the primary violations here arise under securities law given the nature of the NovaYield product and the advisory relationship.
7. ****Documentation Failures:** The absence of any written suitability analysis, risk disclosure documentation, or rationale in Marcus's file violates both Reg BI's Compliance Obligation (requiring written policies and procedures) and general books-and-records requirements.

****Likely Regulatory Outcome:** Danielle faces potential disciplinary action including fines, disgorgement of fees, suspension or bar from the industry. Ridgeline Wealth Partners faces supervisory failure liability. Marcus has strong

grounds for a FINRA arbitration claim seeking full compensatory damages of approximately \$73,000 plus the likely total loss on the NovaYield deposit. Regulators could also pursue the firm for failure to supervise under FINRA Rules 3110 and 3120. The egregiousness of recommending an unregistered yield product to an elderly, unsophisticated retiree with conservative objectives and imminent liquidity needs represents a textbook violation of virtually every applicable investor protection standard.

Item 103 of 350

NON-COMPLIANT

Topic: illiquid_investments

Difficulty: hard

Source: 29_Crypto_Digital_Assets

Fact Pattern

Marcus Whitfield, age 71, is a retired postal worker living in Raleigh, North Carolina, with an annual pension income of \$42,000, Social Security benefits of \$22,800, and total liquid savings of approximately \$310,000 held across a traditional IRA and a taxable brokerage account. His wife, Dorothy, age 69, has early-stage dementia and requires in-home care costing roughly \$3,200 per month out of pocket. Marcus's stated investment objectives were capital preservation and income generation, and on his new account form he indicated a conservative risk tolerance with a five-year time horizon, noting that the couple might need to access a significant portion of their savings for potential assisted living facility costs within two to three years.

In March 2023, Marcus's financial advisor, Kevin Ostrowski, who had been his advisor for eleven years, recommended that Marcus allocate \$85,000--approximately 27% of his liquid net worth--into a tokenized real estate investment platform called VaultBrick Digital. VaultBrick issued blockchain-based tokens representing fractional ownership interests in a portfolio of commercial real estate properties. The tokens were sold exclusively through VaultBrick's proprietary platform and could only be redeemed during quarterly liquidity windows, subject to a 5% early redemption penalty and a cap limiting total quarterly redemptions to 10% of outstanding tokens. VaultBrick advertised projected annual yields of 9.5% paid in USDC stablecoin, and the offering materials disclosed that if redemption requests exceeded the quarterly cap, investors would be placed on a waitlist with no guaranteed timeline for liquidity.

Kevin told Marcus that VaultBrick was 'like owning real estate but easier' and emphasized the 9.5% yield as a way to cover Dorothy's care costs. Kevin did not discuss the redemption caps, the early redemption penalty, or the possibility that Marcus could be unable to access his funds when needed. Kevin also did not mention that VaultBrick tokens had no secondary trading market and that the platform had been operational for only seven months with no track record of honoring redemption requests at scale. Kevin received a 3.5% upfront commission (\$2,975) from VaultBrick for the placement, which was higher than the 1.2% commission he typically earned on the fixed-income products he had previously recommended to Marcus.

By September 2023, VaultBrick suspended all redemptions citing 'market conditions and portfolio rebalancing needs.' Marcus submitted a redemption request in October 2023 when Dorothy's condition worsened and the family needed funds for a memory care facility deposit of \$15,000. The request was denied. As of January 2025, VaultBrick has not reopened its redemption window, and the tokens have no ascertainable market value. Marcus has been unable to recover any of his \$85,000 investment.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Ostrowski committed multiple serious violations across several regulatory frameworks.

****Regulation Best Interest (Reg BI) -- Care Obligation (17 CFR §240.15l-1(a)(2)(ii)(B)):****

Reg BI requires that a broker-dealer or associated person exercise reasonable diligence, care, and skill in making a recommendation, considering the investment's risks, rewards, and costs in light of the customer's investment profile. Marcus was a 71-year-old retiree with conservative risk tolerance, a short time horizon (2-3 years for potential assisted living needs), and dependence on his liquid savings for his wife's escalating medical care costs. An illiquid tokenized real estate product with quarterly redemption windows, 10% redemption caps, a 5% early redemption penalty, only seven months of operating history, no secondary market, and suspension risk was fundamentally incompatible with Marcus's stated needs and profile. The recommendation failed the care obligation.

****Reg BI -- Disclosure Obligation (17 CFR §240.15l-1(a)(2)(ii)(A)):****

Kevin failed to disclose material facts about the investment, including the redemption caps, the early redemption penalty, the absence of a secondary market, and the platform's extremely limited operating history. He also failed to adequately disclose the conflict of interest created by the 3.5% commission--nearly three times his typical compensation--creating a material incentive to recommend VaultBrick over more suitable alternatives.

****Reg BI -- Conflict of Interest Obligation (17 CFR §240.15l-1(a)(2)(ii)(D)):****

The elevated commission structure represents a financial conflict that should have been identified, disclosed, and mitigated. Kevin's recommendation appears to have been driven at least in part by the higher compensation, to Marcus's detriment.

****Investment Advisers Act §206 (if Kevin operates in a dual capacity or advisory capacity):****

Section 206(1) and (2) of the Investment Advisers Act prohibit fraudulent and deceptive conduct by investment advisers. Recommending a highly illiquid, unproven digital asset product to a conservative elderly client with near-term liquidity needs, while omitting material risk disclosures and being motivated by higher compensation, would constitute a breach of fiduciary duty under §206.

****SEC Digital Asset Framework (April 2019) -- Howey Test Application:****

VaultBrick tokens--representing fractional interests in a pooled commercial real estate portfolio, sold with an expectation of profit derived from VaultBrick's management efforts--likely constitute investment contracts (securities) under the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)). If VaultBrick tokens were not registered as securities or sold pursuant to a valid exemption, Kevin's sale of unregistered securities compounds the violation. This parallels enforcement actions against platforms like BlockFi, Celsius, Gemini Earn, and Genesis, where yield-bearing crypto products were deemed unregistered securities.

****FINRA Rule 2111 (Suitability):****

Under quantitative, reasonable-basis, and customer-specific suitability requirements, Kevin failed on all three prongs. He lacked a reasonable basis for believing VaultBrick was suitable for any investor given its seven-month track record and structural illiquidity (reasonable-basis suitability). He failed to match the product to Marcus's conservative profile and near-term liquidity needs (customer-specific suitability). And the 27% concentration in a single illiquid alternative product was excessive for this client's profile (quantitative suitability).

****Exchange Act §10(b) and Rule 10b-5:****

Kevin's omission of material facts--redemption restrictions, lack of operating history, absence of a secondary market, and the elevated commission--while making affirmative representations that the product was 'like owning real estate but easier,' constitutes a potential violation of the antifraud provisions. Material omissions in connection with the purchase of a security are actionable under §10(b) and Rule 10b-5.

****Likely Regulatory Outcome:****

Kevin faces potential SEC and/or FINRA enforcement action, including disgorgement of commissions, monetary fines, suspension or bar from the industry, and potential liability in a customer arbitration proceeding. Marcus would likely prevail in a FINRA arbitration claim seeking full restitution of the \$85,000 plus consequential damages. If VaultBrick

tokens are found to be unregistered securities, both Kevin and VaultBrick could face additional liability under Securities Act §12(a)(1) for selling unregistered securities.

Item 104 of 350

NON-COMPLIANT

Topic: illiquid_investments

Difficulty: hard

Source: 29_Crypto_Digital_Assets

Fact Pattern

Margaret Olsen, age 71, is a retired school librarian in Topeka, Kansas, with an annual pension income of \$42,000 and total liquid savings of approximately \$310,000 held in a brokerage account. She has no other significant assets aside from her home, valued at roughly \$185,000 with no mortgage. Her stated investment objectives are capital preservation and modest income generation. She described herself on her new account form as having a conservative risk tolerance and no prior experience with alternative investments or digital assets. In March 2023, her financial advisor, Derek Langston, who had been managing her account for two years, recommended that Margaret allocate \$95,000--approximately 31% of her liquid savings--into a tokenized real estate fund called TerraNova Digital Holdings. The fund was structured as a series of blockchain-based tokens representing fractional ownership interests in a portfolio of commercial properties under development in secondary U.S. markets. The tokens had no secondary market or exchange listing, and the offering documents disclosed a minimum three-year lock-up period with no redemption rights, and potential extensions of up to five years at the fund sponsor's discretion. The fund's projected annual yield was 11-14%, paid in a proprietary stablecoin called TNV-USD, which itself was not redeemable for U.S. dollars except through a single affiliated platform that operated limited redemption windows quarterly. Langston told Margaret that the investment was 'like owning real estate but easier, all on your phone,' and compared the projected returns favorably to her existing bond ladder yielding approximately 4.2%. He did not provide Margaret with any written risk disclosures beyond the 94-page private placement memorandum, which she later said she never read and was not walked through. Langston earned a 4.5% placement fee--\$4,275--on the transaction, which was not separately itemized on Margaret's trade confirmation but was embedded in the token purchase price. By November 2024, the TerraNova fund had suspended all distributions, citing liquidity constraints related to construction delays and rising interest rates. The TNV-USD stablecoin depegged from the dollar, trading at \$0.63 on the affiliated platform during its last open redemption window in September 2024, before the platform itself went offline in October 2024. Margaret's \$95,000 investment is now effectively inaccessible, and she has received total distributions of only \$3,100 in TNV-USD tokens that she was unable to convert to cash. She filed a complaint in January 2025 stating that Langston never explained the lock-up, the risks of the stablecoin payment mechanism, or the possibility that she could lose access to her principal for years.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Langston committed multiple serious violations in recommending the TerraNova Digital Holdings tokens to Margaret Olsen.

****Applicable Standards:****

1. ****Regulation Best Interest (Reg BI) -- Care Obligation (Rule 15l-1(a)(2)(ii)(B)):** Under Reg BI's Care Obligation, a broker-dealer or associated person must exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of any recommendation and must have a reasonable basis to believe that the recommendation is in

the retail customer's best interest at the time it is made. This analysis must consider the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, liquidity needs, and time horizon.

Margaret is a 71-year-old retiree with conservative risk tolerance, capital preservation objectives, modest income, and \$310,000 in total liquid savings. A 31% concentration in a single illiquid, speculative, blockchain-based real estate token with a 3-to-5-year lock-up and distributions paid in an unproven proprietary stablecoin is fundamentally incompatible with her profile. The recommendation fails the customer-specific component of the Care Obligation.

2. ****FINRA Rule 2111 (Suitability):**** The recommendation also fails all three components of suitability under FINRA's framework: (a) reasonable-basis suitability--the complex, illiquid, and layered risk structure (tokenized real estate + stablecoin payment mechanism + single-platform redemption) raises serious questions about whether the product is suitable for any conservative retail investor; (b) customer-specific suitability--the product is clearly inconsistent with Margaret's age, risk tolerance, income needs, and liquidity requirements; and (c) quantitative suitability--a 31% allocation to a single illiquid alternative investment constitutes an excessive concentration for a retiree reliant on her savings.

3. ****Reg BI -- Disclosure Obligation:**** Langston failed to provide adequate disclosure of material facts. He did not explain the lock-up terms, the stablecoin payment mechanism and its risks, the absence of a secondary market, or the potential for extended illiquidity. His characterization of the investment as 'like owning real estate but easier' was materially misleading and minimized the substantial differences between direct real estate ownership and speculative tokenized interests. This violates the Disclosure Obligation under Reg BI (Rule 15l-1(a)(2)(i)).

4. ****Reg BI -- Conflict of Interest Obligation:**** The 4.5% placement fee (\$4,275) embedded in the token price and not separately itemized created a material conflict of interest that incentivized Langston to recommend the product. Under Reg BI's Conflict of Interest Obligation (Rule 15l-1(a)(2)(iv)), broker-dealers must establish policies to identify and disclose or eliminate conflicts. The failure to clearly disclose this embedded compensation is a violation.

5. ****Exchange Act §10(b) and Rule 10b-5:**** Langston's misleading characterization of the investment and omission of material risk factors--including the lock-up, stablecoin risks, and platform dependency--could constitute a material misrepresentation or omission in connection with the purchase of a security, potentially violating the antifraud provisions.

6. ****SEC Digital Asset Framework (2019) and Howey Test Application:**** The TerraNova tokens likely constitute securities under the Howey test--they represent an investment of money in a common enterprise with the expectation of profits derived from the efforts of others (the fund sponsor developing the properties). As securities, all applicable broker-dealer and suitability obligations attach.

7. ****Investment Advisers Act §206 (if Langston has dual registration or advisory obligations):**** The recommendation, if made in an advisory capacity, would violate the fiduciary duty under §206, which imposes obligations of loyalty and care on investment advisers. Recommending a highly illiquid, speculative digital asset to a conservative 71-year-old retiree at a 31% concentration would constitute a breach of both the duty of care and the duty of loyalty (given the undisclosed compensation).

****Likely Regulatory Outcome:**** Langston faces potential FINRA disciplinary action, SEC enforcement for Reg BI violations and potential fraud, customer arbitration liability for compensatory damages of approximately \$91,900 (principal minus distributions received), and possible disgorgement of the placement fee. Aggravating factors include the customer's age and vulnerability, the magnitude of the concentration, the lack of meaningful disclosure, and the embedded compensation conflict.

Item 105 of 350**NON-COMPLIANT****Topic:** illiquid_investments**Difficulty:** hard**Source:** 29_Crypto_Digital_Assets**Fact Pattern**

Margaret Olsen, age 71, is a retired school librarian in Tucson, Arizona, with an annual pension income of \$42,000 and total liquid savings of \$310,000, consisting of a \$180,000 traditional IRA and \$130,000 in a money market account. She has no other sources of income and relies on her savings to supplement her pension for living expenses, prescription medications, and occasional visits to see her grandchildren in Portland. She has always described herself as a conservative investor and told her advisor, Derek Huang, that her primary goals were capital preservation and generating modest income to cover a projected \$1,200 monthly shortfall between her pension and her expenses. She stated explicitly during their March 2023 meeting that she could not afford to lose principal and needed access to her funds within 30 to 90 days if medical expenses arose.

Derek Huang, a registered advisor with 14 years of experience at Ridgeline Wealth Partners, had recently attended a conference in Miami where he was introduced to a platform called YieldVault Digital, which offered tokenized participation interests in a pooled lending protocol. The product worked by accepting investor funds in U.S. dollars, converting them to stablecoins, and deploying those stablecoins into decentralized finance lending pools. YieldVault marketed an annualized yield of 11.5% and described its tokens as 'digital income certificates.' The offering documents disclosed a 12-month lock-up period during which investors could not redeem, and after the lock-up, redemptions were subject to a 45-day processing window contingent on available liquidity in the underlying pools. The documents also noted that YieldVault's tokens had not been registered with any federal agency and that the underlying DeFi protocols carried smart contract risk, counterparty risk, and the possibility of total loss.

In April 2023, Huang recommended that Margaret invest \$155,000--exactly half of her liquid savings--into YieldVault Digital tokens. He told her the product was 'like a high-yield CD but powered by blockchain technology' and that the 11.5% return would 'more than solve her income gap.' He did not discuss the 12-month lock-up in detail, mentioning only that 'there's a short waiting period before you can take money out.' He did not explain the conversion of her dollars into stablecoins, the mechanics of DeFi lending pools, smart contract risk, or the fact that redemptions after the lock-up were not guaranteed on any fixed timeline. He did not provide her with the full offering memorandum; instead, he gave her a four-page marketing brochure that emphasized the yield and included testimonials from other investors. Margaret signed the subscription documents, including a 22-page risk disclosure she said she did not fully read.

By November 2023, YieldVault Digital suspended all redemptions after one of the underlying DeFi protocols suffered a \$90 million exploit. Margaret's \$155,000 was frozen. In January 2024, YieldVault filed for bankruptcy protection. Margaret has recovered nothing. She has since had to delay a knee replacement surgery because she cannot access sufficient funds, and she has borrowed \$8,000 from her daughter to cover living expenses. Derek Huang earned a 3.5% placement fee--\$5,425--on Margaret's investment in YieldVault.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Huang committed multiple serious violations across several regulatory frameworks.

1. ****Regulation Best Interest (Reg BI) -- Care Obligation (17 CFR §240.15l-1(a)(2)(ii)(B)):** Under Reg BI's Care Obligation, a broker-dealer or associated person must exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of a recommendation and have a reasonable basis for believing the recommendation is in the retail customer's best interest at the time it is made. Huang recommended that a 71-year-old retiree with conservative risk tolerance, a stated need for capital preservation, and a requirement for liquidity within 30-90 days invest 50% of her liquid savings in a product with a 12-month lock-up, contingent post-lock-up redemptions, unregistered token structure, and exposure to smart contract exploits in DeFi protocols. This recommendation was fundamentally inconsistent with Margaret's investment profile, time horizon, and liquidity needs. The Care Obligation was clearly violated.
2. ****Reg BI -- Disclosure Obligation (17 CFR §240.15l-1(a)(2)(ii)(A)):** Huang failed to disclose or adequately explain material facts about the investment, including the true nature of the lock-up period, the conversion of funds into stablecoins, the mechanics and risks of DeFi lending, the unregistered status of the tokens, and the contingent nature of redemptions. Providing a marketing brochure instead of the offering memorandum, and characterizing the product as similar to a 'high-yield CD,' constituted materially misleading descriptions that violated the Disclosure Obligation.
3. ****Investment Advisers Act §206 (Anti-Fraud Provisions):** If Huang also operated in an advisory capacity (which his role at a wealth management firm suggests), Section 206(1) and 206(2) of the Investment Advisers Act prohibit fraud and deceit upon clients. Describing a high-risk, illiquid, unregistered DeFi-linked token as comparable to a CD is a materially misleading statement constituting a breach of fiduciary duty.
4. ****SEC Digital Asset Framework (2019) and Howey Test Application:** YieldVault's 'digital income certificates' almost certainly constitute securities under the Howey test: investors contributed money into a common enterprise (the pooled lending protocol) with an expectation of profits (11.5% yield) derived from the efforts of others (YieldVault's management of DeFi deployments). As unregistered securities, their offer and sale likely violated Securities Act §5. Huang's recommendation of an unregistered security to a retail client deepens his regulatory exposure. This parallels enforcement actions against platforms like BlockFi (which settled for \$100 million in February 2022 over unregistered crypto lending products), Celsius, and Gemini/Genesis (charged in connection with unregistered offer and sale of securities through yield-generating crypto products).
5. ****Exchange Act §10(b) and Rule 10b-5:** Huang's affirmative mischaracterization of the product as comparable to a CD, his omission of material risk factors, and his failure to provide the full offering documents constitute potential fraud in connection with the purchase of a security under Section 10(b) and Rule 10b-5.
6. ****FINRA Rule 2111 (Suitability) and Rule 2010 (Standards of Commercial Honor):** If Huang is FINRA-registered, his recommendation fails all three components of suitability analysis: (a) Reasonable-basis suitability -- a reasonable advisor who understood DeFi smart contract risk and the illiquidity features would not have deemed this suitable for any conservative retiree; (b) Customer-specific suitability -- the product contradicts every element of Margaret's stated profile; (c) Quantitative suitability -- concentrating 50% of liquid assets in a single illiquid, high-risk product is excessive. Additionally, FINRA's guidance on digital assets emphasizes that firms must evaluate whether crypto-related products are appropriate given a customer's financial situation and needs.
7. ****Concentration and Illiquidity Risk:** Investing 50% of a retiree's liquid assets in a single illiquid product with a hard lock-up is a hallmark suitability violation frequently cited in FINRA arbitration and enforcement matters. The resulting inability to access funds for medical care underscores the real-world harm.
8. ****Compensation Conflict:** The 3.5% placement fee (\$5,425) created a material conflict of interest that Huang was obligated to disclose and mitigate under Reg BI's Conflict of Interest Obligation (17 CFR §240.15l-1(a)(2)(ii)(D)).

****Likely Regulatory Outcome:**** Huang faces potential SEC enforcement action under §206 and §10(b), FINRA disciplinary proceedings for suitability violations under Rules 2111 and 2010, potential disgorgement of fees, monetary penalties, suspension or bar from the industry, and significant exposure in customer arbitration for compensatory damages equal to the \$155,000 principal loss plus consequential damages.

Item 106 of 350**NON-COMPLIANT**

Topic: senior_investor_exploitation

Difficulty: hard

Source: 29_Crypto_Digital_Assets

Fact Pattern

Gerald Haworth, age 79, is a retired postal worker living in Clearwater, Florida, with a fixed monthly income of \$2,840 from Social Security and a small pension. His total liquid savings consist of \$385,000 in a traditional IRA and \$42,000 in a savings account, which he has described to his advisor as his 'safety net for medical bills and end-of-life expenses.' Mr. Haworth has mild cognitive decline, which his daughter, Linda, disclosed to his financial advisor, Marcus Reeves, during an in-person meeting in March 2023. Mr. Haworth's account paperwork lists his risk tolerance as 'conservative,' his investment objective as 'capital preservation,' and his time horizon as '1-3 years.' He has no prior experience with digital assets, blockchain technology, or alternative investments of any kind.

In April 2023, Marcus Reeves recommended that Mr. Haworth transfer \$175,000 from his IRA into a self-directed IRA and use those funds to purchase a basket of digital assets, including Bitcoin, Ethereum, Solana, and Avalanche. Reeves told Mr. Haworth that 'crypto is the new gold' and that these tokens would 'protect his purchasing power better than Treasury bonds ever could.' Reeves also recommended that Mr. Haworth deposit \$60,000 of the crypto holdings into a yield-generating platform operated by a company called NovaYield Digital, which promised annual percentage yields of 12.5% on deposited crypto assets. NovaYield Digital was not registered as a broker-dealer or as an investment company, and its yield program had not been registered with any federal agency. Reeves did not disclose that he received a \$4,200 referral fee from NovaYield for each client he onboarded with deposits exceeding \$50,000.

Reeves did not provide Mr. Haworth with any written risk disclosures specific to digital assets, did not discuss the volatility history of the recommended tokens, did not explain the custodial risks of the NovaYield platform, and did not discuss the possibility of total loss. He did not consult with Linda or suggest that Mr. Haworth involve a trusted contact person despite knowing about the cognitive decline. Reeves documented the recommendation in his internal notes simply as 'client interested in growth allocation with digital asset exposure.'

By November 2023, the crypto portfolio had declined 38% in value, and in January 2024, NovaYield Digital froze all customer withdrawals, citing liquidity problems. Mr. Haworth lost approximately \$127,000 in total -- \$67,000 from the decline in the crypto basket and \$60,000 locked in the NovaYield platform, which subsequently filed for bankruptcy in March 2024. Linda Haworth filed a complaint with the advisor's firm in April 2024, alleging her father was exploited and that the recommendations were wholly inappropriate.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Marcus Reeves committed multiple serious violations across several regulatory frameworks.

****Regulation Best Interest (Reg BI) -- Care Obligation:**** Under Reg BI's Care Obligation, a broker-dealer or associated person must exercise reasonable diligence, care, and skill when making a recommendation to a retail customer. The recommendation must be in the customer's best interest and must consider the customer's investment profile, including

age, financial situation, risk tolerance, investment objectives, and time horizon. Mr. Haworth was a 79-year-old retiree with a conservative risk tolerance, a 1-3 year time horizon, capital preservation as his stated objective, limited liquid savings, and no experience with digital assets. Recommending that he allocate roughly 45% of his IRA (\$175,000 of \$385,000) to highly volatile, speculative digital assets directly contradicts every element of his investment profile. This constitutes a clear violation of the Care Obligation under Reg BI.

****Reg BI -- Disclosure Obligation:**** Reeves failed to disclose the \$4,200 referral fee he received from NovaYield Digital, which constitutes a material conflict of interest. Reg BI requires full and fair disclosure of all material facts relating to conflicts of interest associated with a recommendation at or before the time of the recommendation. The undisclosed compensation creates a clear inference that the recommendation was motivated by the advisor's financial interest rather than the client's needs.

****Reg BI -- Conflict of Interest Obligation:**** Beyond mere disclosure, Reg BI requires firms and associated persons to establish, maintain, and enforce policies to identify, mitigate, and in some cases eliminate conflicts of interest. The referral fee arrangement with NovaYield created a direct financial incentive to recommend a product that was unsuitable. No mitigation or elimination of this conflict occurred.

****SEC Digital Asset Framework (2019) and Howey Test Analysis:**** Under the SEC's 2019 Framework for 'Investment Contract' Analysis of Digital Assets, many crypto yield products constitute securities under the Howey test -- they involve an investment of money in a common enterprise with an expectation of profits derived from the efforts of others. NovaYield Digital's yield-bearing product, offering 12.5% APY on deposited crypto, closely mirrors the unregistered lending/yield products at the center of enforcement actions against BlockFi (settled February 2022, \$100M penalty), Celsius Network (bankruptcy, fraud charges), Gemini Earn, and Genesis. By directing client funds into an unregistered yield product, Reeves facilitated a transaction in an unregistered security, potentially violating Section 5 of the Securities Act of 1933 and Exchange Act §10(b) and Rule 10b-5 (anti-fraud provisions) to the extent any material misrepresentations or omissions were involved.

****Investment Advisers Act §206 (if acting in advisory capacity):**** If Reeves was acting in an investment advisory capacity with respect to the IRA recommendation, §206(1) and §206(2) of the Investment Advisers Act impose fiduciary duties prohibiting fraud and requiring full disclosure of conflicts. The failure to disclose compensation and the unsuitable recommendation would violate both subsections.

****FINRA Rules -- Suitability (Rule 2111) and Senior Investor Protections (Rule 2165):**** Under FINRA Rule 2111, the recommendation must be suitable based on the customer's investment profile. A speculative, concentrated crypto allocation for a conservative, elderly, cognitively declining investor with a short time horizon fails the customer-specific suitability requirement. Additionally, FINRA Rule 2165 provides a framework for member firms to place temporary holds on disbursements when there is a reasonable belief of financial exploitation of a senior investor (age 65+) or a person with mental or physical impairment. Reeves was aware of Mr. Haworth's cognitive decline and should have escalated concerns, involved a trusted contact person, or at minimum flagged the situation for supervisory review. His failure to do so represents a significant deficiency.

****CFTC Jurisdiction Considerations:**** To the extent that Bitcoin and Ethereum are classified as commodities (as the CFTC has asserted jurisdiction), recommending leveraged or speculative positions in these assets to an unsuitable retail customer could implicate CFTC anti-fraud and anti-manipulation provisions under the Commodity Exchange Act §6(c)(1) and CFTC Rule 180.1.

****Documentation Deficiency:**** Reeves' internal notes characterizing the recommendation as 'client interested in growth allocation with digital asset exposure' are misleading. The client's documented profile indicated no such interest, and this notation appears designed to create a false paper trail to justify the recommendation after the fact.

****Likely Regulatory Outcome:**** Reeves faces potential disciplinary action including fines, disgorgement of the \$4,200 referral fee, suspension or bar from the industry, and liability for customer restitution. The firm faces supervisory failure charges for inadequate oversight. State securities regulators may also pursue action under elder financial exploitation statutes. This case involves exploitation of a vulnerable senior investor, undisclosed conflicts, unsuitable recommendations, and facilitation of investment in unregistered securities -- a combination that regulators treat with maximum severity.

Item 107 of 350**NON-COMPLIANT**

Topic: alternative_investments_unsuitable

Difficulty: hard

Source: 29_Crypto_Digital_Assets

Fact Pattern

Harold Reeves, age 71, is a retired postal worker in Dayton, Ohio, with a fixed annual income of \$38,000 from his pension and Social Security. His total liquid savings amount to \$215,000, held in a traditional IRA that is his sole retirement nest egg. Harold has no prior experience investing in anything beyond certificates of deposit and a target-date mutual fund selected by his former employer's 401(k) plan. His account opening documents list his risk tolerance as 'conservative,' his investment objective as 'preservation of capital,' and his time horizon as '1-3 years,' as he anticipates needing the funds to supplement his income and cover potential assisted-living costs for his wife, Dorothy, 74, who was recently diagnosed with early-stage dementia.

In March 2022, Harold's financial advisor, Craig Ellison, age 34, invited Harold to a 'Wealth Growth Seminar' at a local hotel conference room. During the seminar, Craig presented several digital asset yield-generating programs, emphasizing one product offered by a platform called NovaYield. NovaYield allowed customers to deposit various cryptocurrencies--primarily Bitcoin and Ethereum--and receive advertised annual percentage yields of 9.5% to 17.2%. Craig described these returns as 'like a high-yield savings account but better' and told attendees the yields were generated through institutional lending and proprietary algorithmic trading strategies. Craig did not disclose that NovaYield's yield product had not been registered with any federal agency, that customer deposits were pooled and re-lent to institutional borrowers at the platform's discretion, or that depositors had no guarantee of principal return. He also did not mention that two similar platforms had recently been subject to federal enforcement actions for offering unregistered securities in the form of yield-bearing crypto accounts.

After the seminar, Craig met with Harold privately and recommended that Harold liquidate \$155,000 of his IRA holdings--approximately 72% of his total savings--and use the proceeds to purchase Bitcoin and Ethereum through a self-directed IRA custodian, then transfer those assets into a NovaYield earn account. Craig told Harold that the 9.5% yield on Bitcoin deposits was 'practically risk-free' and that Harold could withdraw his funds 'at any time.' Craig prepared the paperwork, including a one-page risk disclosure that Harold signed, though Harold later stated he did not understand the document and Craig told him it was 'just a formality.' Craig earned a \$4,650 referral commission from NovaYield for the deposit and a \$1,200 advisory fee from Harold.

By November 2022, NovaYield had frozen all customer withdrawals, citing liquidity constraints caused by declining crypto prices and the collapse of a major counterparty. Harold's \$155,000 in deposited crypto assets had declined in market value to roughly \$62,000 at the time of the freeze, and he has been unable to access any funds. Harold filed a written complaint with Craig's firm in January 2023, stating he was never told his retirement savings could be locked up or lost. Craig's firm conducted an internal review and found that Craig had recommended the same NovaYield product to fourteen other clients over age 65 with conservative risk profiles, generating over \$58,000 in combined referral commissions.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Ellison committed multiple serious violations of applicable regulatory standards.

****1. Suitability and Best Interest Violations (FINRA Rule 2111 & Regulation Best Interest):****

Under FINRA Rule 2111, a broker must have a reasonable basis for believing a recommendation is suitable based on the customer's investment profile, including age, financial situation, risk tolerance, liquidity needs, time horizon, and investment objectives. Under Regulation Best Interest (Reg BI), a broker-dealer must act in the retail customer's best interest and satisfy the Care Obligation (requiring reasonable diligence, care, and skill in making recommendations) and the Disclosure Obligation.

Harold's profile--71 years old, conservative risk tolerance, preservation-of-capital objective, 1-3 year time horizon, reliance on the IRA as his sole retirement savings, and an anticipated near-term need for funds to cover assisted-living expenses--is fundamentally incompatible with a recommendation to concentrate 72% of his liquid net worth in volatile, unregistered digital asset yield products. The recommendation failed customer-specific suitability, reasonable-basis suitability (given the undisclosed risks of NovaYield's unregistered product), and quantitative suitability (excessive concentration).

****2. SEC Framework for Investment Contract Analysis (Howey Test) and Unregistered Securities:****

Under the SEC's 2019 Framework for 'Investment Contract' Analysis of Digital Assets and the Supreme Court's test from SEC v. W.J. Howey Co., NovaYield's yield product almost certainly constitutes a security. Customers invested money (crypto assets), in a common enterprise (pooled and re-lent by NovaYield), with an expectation of profits (9.5%-17.2% APY), derived from the efforts of others (NovaYield's lending and trading operations). This analysis mirrors enforcement actions against BlockFi (settled February 2022), Celsius, Gemini Earn, and Genesis, all of which were found to have offered unregistered securities in the form of yield-bearing crypto accounts. Craig recommended an unregistered security without disclosing its regulatory status, violating Exchange Act §10(b) anti-fraud provisions and Investment Advisers Act §206 fiduciary duties to the extent Craig was acting in an advisory capacity.

****3. Failure to Disclose Material Information:****

Craig failed to disclose: (a) NovaYield's product was not registered; (b) principal was not guaranteed; (c) withdrawal could be restricted; (d) similar platforms had faced enforcement; (e) his \$4,650 referral commission, creating a material conflict of interest. Under Reg BI's Disclosure Obligation and Conflict of Interest Obligation, these omissions are independent violations.

****4. Misleading Statements:****

Describing a volatile, unregistered crypto yield product as 'practically risk-free' and 'like a high-yield savings account' constitutes a material misrepresentation under Exchange Act §10(b) and Rule 10b-5, as well as FINRA Rule 2210 (communications with the public).

****5. CFTC Jurisdiction Considerations:****

To the extent Bitcoin and Ethereum are treated as commodities under the Commodity Exchange Act (as the CFTC has asserted), Craig's recommendations and NovaYield's pooling activities may also implicate CFTC anti-fraud authority under CEA §6(c)(1) and CFTC Rule 180.1.

****6. Pattern of Conduct:****

The fact that Craig made identical recommendations to fourteen other elderly, conservative clients--generating over \$58,000 in referral commissions--suggests the recommendations were commission-driven rather than client-driven, further evidencing a violation of the Care Obligation under Reg BI and FINRA Rule 2111.

****Likely Regulatory Outcome:**** Craig faces potential FINRA disciplinary action (suspension or bar, disgorgement of

commissions, restitution), SEC enforcement for recommending unregistered securities and making material misrepresentations, and state regulatory action. The firm faces supervisory failure liability under FINRA Rules 3110 and 3120 for failing to detect and prevent a pattern of unsuitable recommendations. Harold would likely prevail in a FINRA arbitration claim for compensatory damages of approximately \$155,000 plus consequential damages.

Item 108 of 350**NON-COMPLIANT****Topic:** illiquid_investments**Difficulty:** hard**Source:** 29_Crypto_Digital_Assets**Fact Pattern**

Marcus Okonkwo, age 58, is a municipal bus driver in Cleveland, Ohio, earning \$62,000 annually. He has \$410,000 in a traditional IRA, \$38,000 in a savings account, and owns his home outright valued at \$185,000. Marcus is recently divorced and listed his investment objective as 'income generation for retirement in 7 years' with a 'moderate' risk tolerance. He has no prior experience with digital assets or alternative investments. In September 2023, his financial advisor, Danielle Ferraro, recommended that Marcus allocate \$205,000 -- exactly half of his IRA -- into a tokenized real estate fund called BlockBrick Capital Token. The fund pooled investor capital to acquire commercial properties, converted ownership shares into blockchain-based tokens, and promised a 14.2% annual yield paid in USDC stablecoin, distributed quarterly. Danielle explained to Marcus that the tokens were 'just like owning a piece of a building, except digital,' and described the yield as 'basically guaranteed because rent is rent.' She did not disclose that the tokens had no secondary market, that redemptions were restricted to one narrow 15-day window per year subject to fund manager approval, or that the fund imposed a 4-year soft lock-up with a 12% early redemption penalty. She also did not mention that BlockBrick Capital Token had launched only five months earlier with no audited financials and was domiciled in the Cayman Islands. The fund's private placement memorandum, which Danielle did not provide to Marcus, stated that tokens 'may constitute securities under applicable law' and that the offering was limited to accredited investors with a \$200,000 minimum. Marcus's annual income and net worth did not meet accredited investor thresholds. Danielle earned a 5.5% placement fee (\$11,275) on the transaction. By March 2024, BlockBrick suspended all redemptions indefinitely, citing 'liquidity challenges in the underlying portfolio.' Marcus has been unable to access any of his \$205,000. He filed a complaint in June 2024 stating that Danielle never explained the lockup, the risks, or the accredited investor requirement, and that he would never have invested half his retirement savings in something he could not access.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Danielle Ferraro committed multiple serious violations across several regulatory frameworks.

****Securities Classification and the Howey Test:**** Under the SEC's 2019 Framework for 'Investment Contract' Analysis of Digital Assets and the foundational Howey test, BlockBrick Capital Tokens almost certainly constitute securities. Investors pooled money into a common enterprise (commercial real estate fund), with an expectation of profits (14.2% yield) derived primarily from the efforts of others (the fund managers acquiring and managing properties). The fund's own PPM acknowledged the tokens 'may constitute securities.' This classification triggers the full panoply of federal securities laws.

****Investment Advisers Act §206 -- Fiduciary Duty:**** As a fiduciary under §206(1) and §206(2) of the Investment Advisers Act, Danielle owed Marcus a duty of care and loyalty. Recommending that a 58-year-old moderate-risk pre-retiree with no digital asset experience place 50% of his retirement savings into a five-month-old, Cayman Islands-domiciled, illiquid tokenized fund with a 4-year lockup and no audited financials is a clear breach of the duty of

care. The concentration alone -- \$205,000 of a \$410,000 IRA -- is excessive for any illiquid alternative product given Marcus's profile and 7-year retirement horizon.

****Regulation Best Interest (Reg BI):**** If Danielle acted in a broker-dealer capacity, Reg BI's Care Obligation required her to exercise reasonable diligence, care, and skill in making the recommendation, considering Marcus's investment profile including his age, financial situation, risk tolerance, liquidity needs, and time horizon. Recommending a product with a 4-year soft lockup and annual-only redemption windows to a client approaching retirement who needs income and liquidity is fundamentally inconsistent with his stated objectives. The Disclosure Obligation under Reg BI required full and fair disclosure of all material facts, including the lockup terms, redemption restrictions, early withdrawal penalties, the fund's lack of audited financials, and the 5.5% placement fee. Danielle failed on all counts.

****Accredited Investor Standards:**** BlockBrick's PPM limited the offering to accredited investors with a \$200,000 minimum. Under Regulation D, accredited individual investors must have income exceeding \$200,000 (\$300,000 jointly) for the prior two years or net worth exceeding \$1,000,000 excluding primary residence. Marcus earns \$62,000 and has a net worth (excluding home) of approximately \$448,000. He does not qualify. Danielle facilitated the sale of a restricted offering to a non-accredited investor, potentially exposing the issuer to a loss of its Reg D exemption and creating liability under Section 12(a)(1) of the Securities Act for selling unregistered securities.

****Exchange Act §10(b) and Rule 10b-5:**** Danielle's statement that the yield was 'basically guaranteed because rent is rent' constitutes a material misrepresentation. Yield from a tokenized real estate pool depends on occupancy rates, property values, fund management, and the solvency of the fund itself -- none of which are guaranteed. Omitting the lockup, redemption restrictions, 12% early withdrawal penalty, lack of audited financials, and offshore domicile constitutes omission of material facts. Together, these misrepresentations and omissions satisfy the elements of fraud under §10(b).

****FINRA Rules 2111 and 2210:**** If Danielle is a registered representative, FINRA Rule 2111 (Suitability) requires reasonable-basis suitability (understanding the product), customer-specific suitability (matching the recommendation to the customer), and quantitative suitability. A five-month-old unaudited tokenized fund with extreme illiquidity fails reasonable-basis suitability for virtually any retail client, and is particularly unsuitable for Marcus's profile. Describing the tokens as 'just like owning a piece of a building' without disclosing the digital asset structure, lockup, and risk characteristics also raises concerns under FINRA Rule 2210 regarding fair and balanced communications.

****Enforcement Precedent Context:**** Enforcement actions against platforms like BlockFi, Celsius, Gemini Earn, and Genesis demonstrate that regulators aggressively pursue unregistered yield-bearing digital asset products. The SEC has consistently treated crypto lending and yield products as unregistered securities. BlockBrick's yield tokens bear the same hallmarks.

****Likely Regulatory Outcome:**** Danielle faces potential disgorgement of the \$11,275 placement fee, restitution of Marcus's \$205,000, civil penalties, suspension or bar from the industry, and potential referral for fraud. The firm employing Danielle faces supervisory failure charges for allowing a non-accredited investor to access a restricted offering with no evidence of due diligence review. Marcus may also have a private right of action for rescission under Section 12(a)(1) of the Securities Act.

Item 109 of 350

NON-COMPLIANT

Topic: complex_products_unsophisticated_investor

Difficulty: hard

Source: 29_Crypto_Digital_Assets

Fact Pattern

Margaret Tilson, age 71, is a retired elementary school teacher living in suburban Ohio on a fixed income of approximately \$2,800 per month from her pension and Social Security. She has a total liquid net worth of \$185,000, almost entirely held in a money market account and a small bond mutual fund. She has no investment experience beyond certificates of deposit and the bond fund, which was set up for her by a previous advisor in 2015. Her stated investment objective on her new account paperwork, completed in March 2023, was 'preservation of capital with modest income.' Her risk tolerance was marked as 'conservative.' In April 2023, her financial advisor, Derek Huang, age 34, at a dually registered broker-dealer and investment advisory firm, recommended that Mrs. Tilson move \$74,000--approximately 40% of her liquid assets--into a combination of three positions: \$30,000 into a crypto lending platform's 'Earn' product, which promised an annual percentage yield of 7.8% paid in-kind in a dollar-pegged stablecoin; \$24,000 into direct purchase of Ethereum through a brokerage subsidiary; and \$20,000 into a tokenized real estate income product offered by a decentralized finance protocol, which advertised monthly distributions of 9.2% annualized yield sourced from commercial property rents settled on-chain. Huang told Mrs. Tilson during a recorded phone call that the Earn product was 'basically like a high-yield savings account but better,' that Ethereum was 'the next blue chip,' and that the tokenized real estate product was 'just like owning a REIT but with better technology.' He did not explain that the crypto lending platform had not registered its yield product with any federal regulator, nor did he disclose that two similar lending platforms had recently frozen customer withdrawals and entered bankruptcy proceedings. He did not discuss the mechanics of smart contract risk, counterparty risk with the lending platform, the volatility history of Ethereum, or the lack of investor protections associated with decentralized finance protocols. Mrs. Tilson signed a one-page digital acknowledgment that stated she 'understood the risks of digital asset investments,' but Huang did not walk her through the document or ask her any questions to confirm her understanding. By November 2023, the crypto lending platform suspended withdrawals indefinitely, Ethereum had declined 38% from her purchase price, and the tokenized real estate protocol suffered a smart contract exploit that drained its liquidity pools. Mrs. Tilson's combined losses across all three positions totaled approximately \$61,400, representing roughly one-third of her entire life savings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Huang violated multiple regulatory standards in his handling of Mrs. Tilson's account.

1. ****Reg BI - Care Obligation (17 CFR §240.15l-1(a)(2)(ii)):** Under Regulation Best Interest, a broker-dealer or associated person must exercise reasonable diligence, care, and skill when making a recommendation. This includes understanding the risks, rewards, and costs of the recommended security or investment strategy, and having a reasonable basis to believe the recommendation is in the retail customer's best interest given her investment profile. Mrs. Tilson was a 71-year-old retiree with conservative risk tolerance, a preservation-of-capital objective, no experience with digital assets, and heavy reliance on her savings for living expenses. Recommending that 40% of her liquid net worth be placed into unregistered crypto yield products, a volatile cryptocurrency, and an unregulated DeFi protocol is fundamentally inconsistent with her profile. Huang failed the customer-specific component of the Care Obligation.

2. ****SEC Howey Test & Digital Asset Framework (2019):**** The crypto lending platform's 'Earn' product likely constitutes a security under the Howey test--investors deposit assets with an expectation of profit derived from the managerial efforts of the platform. The SEC has brought enforcement actions against BlockFi (February 2022, \$100M settlement), Celsius, Gemini's Earn program (January 2023), and Genesis for offering unregistered securities in the form of crypto lending/yield products. Huang recommended an unregistered security without disclosing its regulatory status or the enforcement climate surrounding similar products, compounding his disclosure failures.

3. ****Investment Advisers Act §206 (Anti-Fraud):**** To the extent Huang was acting in an advisory capacity (which is plausible given the dually registered firm context and the holistic portfolio recommendation), his statements that the Earn product was 'basically like a high-yield savings account' and that Ethereum was 'the next blue chip' constitute materially misleading characterizations. Section 206(1) and 206(2) prohibit advisers from employing any device, scheme, or artifice to defraud clients, or engaging in any transaction, practice, or course of business that operates as a fraud or deceit. Comparing an unregistered, uninsured crypto yield product to a savings account is a material misrepresentation of risk.

4. ****Exchange Act §10(b) and Rule 10b-5:**** Huang's affirmative misrepresentations about the nature and risk of these products, combined with his omission of material facts (recent platform failures, unregistered status, smart contract risk, absence of investor protections), constitute potential fraud in connection with the purchase of securities.

5. ****FINRA Rule 2111 (Suitability) & Rule 2210 (Communications):**** Even under legacy suitability standards, recommending complex, speculative, and illiquid digital asset products to a conservative, elderly, unsophisticated investor with no relevant experience fails all three suitability components: reasonable-basis, customer-specific, and quantitative. His verbal characterizations also likely violate fair communication standards by omitting material risks and making unwarranted comparisons.

6. ****CFTC Jurisdiction Considerations:**** Ethereum and certain crypto assets may fall under CFTC jurisdiction as commodities under the Commodity Exchange Act. The CFTC has asserted jurisdiction over fraud and manipulation in crypto spot markets. Huang's misleading statements about Ethereum's risk profile could also trigger CFTC anti-fraud authority under CEA §6(c)(1).

7. ****FINRA Guidance on Digital Assets:**** FINRA has issued multiple Regulatory Notices (e.g., 21-25, 22-08) emphasizing that firms and representatives must perform heightened due diligence when recommending crypto-related products, especially to retail investors with limited sophistication. The one-page digital acknowledgment, unsigned without any substantive discussion, does not constitute adequate documentation of informed consent.

****Likely Regulatory Outcome:**** Huang faces potential enforcement action from the SEC (for recommending unregistered securities and making fraudulent misrepresentations), FINRA (for suitability violations and misleading communications), and potentially the CFTC. Remedies could include disgorgement of commissions, civil monetary penalties, customer restitution of approximately \$61,400, suspension or bar from the industry, and referral for additional state-level action. The firm itself faces supervisory liability for failing to establish reasonable supervisory procedures around digital asset recommendations to retail customers.

Item 110 of 350

NON-COMPLIANT

Topic: inappropriate_risk_profile

Difficulty: medium

Source: 29_Crypto_Digital_Assets

Fact Pattern

Gerald Hoffman, age 71, is a retired postal worker living in Tucson, Arizona, with a fixed annual income of \$38,000 from Social Security and a small pension. His total liquid savings amount to approximately \$210,000 held in a money market account and a laddered CD portfolio, which he has maintained for over fifteen years. Gerald has no prior experience investing in equities, options, or alternative assets. During an initial meeting in March 2023 with financial advisor Danielle Prescott, Gerald stated that his primary investment objectives were capital preservation and generating modest supplemental income to cover rising prescription drug costs. He explicitly told Prescott that he could not afford to lose any of his savings because it represented his entire financial safety net. Prescott recorded Gerald's risk tolerance as 'conservative' on his new account documentation. Despite this profile, over the next two months Prescott recommended that Gerald allocate \$95,000 -- approximately 45% of his liquid net worth -- into a combination of digital asset positions. Specifically, she recommended \$40,000 into Bitcoin, \$25,000 into Ethereum, and \$30,000 into a yield-bearing crypto lending product offered by a platform called NovaYield, which promised 9.2% annual percentage yield on deposited stablecoins. Prescott told Gerald that the yield product was 'basically like a high-interest savings account' and that stablecoins were 'pegged to the dollar, so there's no real risk.' She did not explain that NovaYield was not a registered entity, that deposited assets were being re-lent to institutional borrowers with no deposit insurance or guarantee, or that several similar platforms had recently frozen customer withdrawals and entered bankruptcy proceedings. Gerald agreed to the recommendations based on Prescott's assurances. By November 2023, Bitcoin and Ethereum had experienced significant volatility, and Gerald's combined crypto holdings had declined in value to approximately \$38,000. Additionally, NovaYield suspended all customer withdrawals in September 2023 citing liquidity issues, leaving Gerald unable to access his \$30,000 stablecoin deposit. In total, Gerald faced unrealized and potentially permanent losses of approximately \$87,000, representing over 41% of his entire life savings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Danielle Prescott committed multiple serious violations of applicable regulatory standards.

1. ****Reg BI - Care Obligation (Rule 15l-1 under the Exchange Act):**** Under Regulation Best Interest, a broker-dealer or associated person must exercise reasonable diligence, care, and skill when making a recommendation to a retail customer. This includes understanding the potential risks, rewards, and costs of the recommendation and having a reasonable basis to believe the recommendation is in the customer's best interest based on the customer's investment profile. Gerald was a 71-year-old retiree with a conservative risk tolerance, capital preservation objectives, no investment experience beyond CDs and money markets, and limited fixed income. Recommending that he place 45% of his liquid net worth into highly volatile digital assets and an unregistered yield product is fundamentally inconsistent with his stated objectives and financial situation. Prescott failed the care obligation.

2. ****Investment Advisers Act §206 - Fiduciary Duty:**** If Prescott was acting in an advisory capacity, Section 206 of the Investment Advisers Act imposes a fiduciary duty requiring advisors to act in the best interest of clients, provide full and

fair disclosure of all material facts, and avoid placing their own interests ahead of the client's. Prescott failed to disclose that NovaYield was unregistered, that deposited assets lacked any insurance or guarantee, that the platform engaged in re-lending to institutional counterparties, and that similar platforms had recently failed. These are material omissions constituting a violation of §206(1) and §206(2).

3. ****SEC Digital Asset Framework (2019) and Howey Test Application:**** Under the SEC's Framework for 'Investment Contract' Analysis of Digital Assets, many digital asset arrangements -- particularly yield-bearing products where investors deposit assets with a platform that pools and re-lends them for profit -- satisfy the Howey test (investment of money in a common enterprise with expectation of profits derived from the efforts of others). The NovaYield product closely resembles the unregistered securities that were the subject of enforcement actions against platforms like BlockFi, Celsius, Gemini Earn, and Genesis. Prescott recommended what likely constituted an unregistered security without performing adequate due diligence or disclosing the regulatory risk.

4. ****Exchange Act §10(b) and Rule 10b-5 - Fraud and Misrepresentation:**** Prescott's characterization of the NovaYield product as 'basically like a high-interest savings account' with 'no real risk' constitutes a materially misleading statement. Stablecoin yield products bear counterparty risk, platform insolvency risk, and regulatory risk -- none of which are comparable to FDIC-insured savings accounts. This misrepresentation could constitute a violation of the anti-fraud provisions under §10(b) and Rule 10b-5.

5. ****FINRA Rule 2111 - Suitability:**** The recommendation was unsuitable on all three components: (a) reasonable-basis suitability -- Prescott failed to perform adequate due diligence on the NovaYield platform; (b) customer-specific suitability -- the recommendations were wholly inconsistent with Gerald's conservative risk tolerance, capital preservation objectives, age, income, and lack of investment experience; and (c) quantitative suitability -- concentrating 45% of a conservative retiree's liquid assets in crypto is excessive.

6. ****CFTC Jurisdiction Considerations:**** To the extent Bitcoin and Ethereum are treated as commodities under the Commodity Exchange Act (as the CFTC has asserted), Prescott's recommendations may also implicate CFTC anti-fraud and anti-manipulation provisions under §6(c)(1) of the CEA if she made false or misleading statements in connection with the sale of commodity-based products.

****Likely Regulatory Outcome:**** Prescott faces potential enforcement action for violations of Reg BI's care and disclosure obligations, FINRA suitability rules, anti-fraud provisions under the Exchange Act, and fiduciary duty under the Investment Advisers Act. Likely sanctions include disgorgement, fines, restitution to the customer, suspension, or a permanent bar from the industry. Gerald would also have strong grounds for a customer arbitration claim seeking recovery of his losses.

Item 111 of 350**NON-COMPLIANT****Topic:** senior_investor_exploitation**Difficulty:** hard**Source:** 29_Crypto_Digital_Assets**Fact Pattern**

Margaret Houlihan, age 79, is a retired elementary school teacher in Scottsdale, Arizona, living on a fixed income of approximately \$3,200 per month from Social Security and a modest state pension. She has \$410,000 in savings, held primarily in certificates of deposit and a conservative balanced mutual fund at a regional broker-dealer. Her stated investment objectives on her account opening documents are capital preservation and income generation, and her risk tolerance is marked as 'low.' She has no prior experience with digital assets, blockchain technology, or alternative investments of any kind. Her only investment experience over the past two decades has been CDs and the single balanced fund.

In March 2023, Margaret's financial advisor, Derek Bowen, age 34, began discussing cryptocurrency opportunities with her during a routine portfolio review. Derek told Margaret that interest rates on her CDs were 'leaving money on the table' and that she could earn 7.5% annual percentage yield by depositing funds into a crypto lending platform called YieldStar Digital, which offered interest-bearing accounts funded by lending deposited cryptocurrency to institutional borrowers. Derek explained that the platform was 'like a high-yield savings account but better' and described the returns as 'essentially guaranteed' because institutional borrowers were required to post collateral.

Over three meetings between March and May 2023, Derek moved \$185,000 of Margaret's CD holdings -- which had recently matured -- into YieldStar Digital's interest-bearing crypto account. The funds were first converted into a stablecoin (USDC) and then deposited into YieldStar's 'Earn' program. Derek earned a \$3,700 referral fee from YieldStar Digital for the deposits, which he did not disclose to Margaret. He told her the principal was 'safe' and that she could withdraw at any time.

Derek did not provide Margaret with any written risk disclosures about the YieldStar platform. He did not explain that the interest-bearing accounts might constitute unregistered securities, that the platform was not a bank, that deposits were not insured by any government agency, or that YieldStar had been the subject of a multi-state regulatory inquiry. He also did not discuss the credit risk of the institutional borrowers, the potential for platform insolvency, or the fact that withdrawal rights could be suspended.

In September 2023, YieldStar Digital froze all customer withdrawals, citing 'extreme market conditions and counterparty defaults.' The platform filed for bankruptcy protection in November 2023. Margaret's \$185,000 in deposits became trapped in the bankruptcy estate. As of the present date, unsecured creditors have been told to expect recovery of between 15 and 25 cents on the dollar. Margaret, who had intended to use a portion of the funds for long-term care expenses, was forced to borrow money from her adult children to cover medical bills. Derek Bowen is still employed at the same broker-dealer and has not faced any internal disciplinary action.

Margaret's granddaughter, who works in financial services, discovered the situation during a Thanksgiving visit and helped Margaret file a complaint with Derek's broker-dealer and with state and federal regulators.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Derek Bowen committed multiple serious violations across several regulatory frameworks.

****Regulation Best Interest (Reg BI) -- Care Obligation:**** Under Reg BI's Care Obligation, a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill when making a recommendation. The recommendation must be in the retail customer's best interest and must not place the advisor's financial interest ahead of the customer's. Derek recommended a high-risk, unregistered crypto yield product to a 79-year-old retiree on a fixed income with low risk tolerance and capital preservation objectives. This recommendation was fundamentally inconsistent with Margaret's investment profile. The 7.5% yield carried substantial credit risk, platform risk, and liquidity risk that were wholly inappropriate for a senior investor dependent on these funds. This is a clear violation of the Care Obligation under Reg BI.

****Reg BI -- Disclosure Obligation:**** Derek failed to disclose the \$3,700 referral fee he received from YieldStar Digital, which represented a material conflict of interest. Reg BI's Disclosure Obligation requires full and fair disclosure of all material facts relating to the scope and terms of the relationship, including conflicts of interest. The undisclosed referral fee created an incentive for Derek to recommend the product regardless of its appropriateness.

****FINRA Rule 2111 (Suitability):**** Under FINRA's suitability framework, including customer-specific suitability, Derek was required to have a reasonable basis for believing the recommendation was suitable for Margaret based on her investment profile -- including age, financial situation, risk tolerance, liquidity needs, and investment objectives. A speculative crypto lending product with no government insurance, subject to withdrawal freezes, and operated by a platform under regulatory scrutiny fails every element of customer-specific suitability for this client.

****FINRA Rule 2210 and Rule 2020 (Communications and Fraud):**** Derek's characterization of YieldStar as 'like a high-yield savings account but better' and his description of returns as 'essentially guaranteed' constitute materially misleading statements. Crypto lending platforms are not banks, deposits are not insured, and returns are not guaranteed. These misrepresentations may also constitute fraud under Exchange Act Section 10(b) and Rule 10b-5.

****SEC Digital Asset Framework and Unregistered Securities:**** Under the SEC's 2019 Framework for Investment Contract Analysis and the Howey test, interest-bearing crypto lending accounts -- where customer funds are pooled and lent to third parties with the expectation of profit derived from the efforts of the platform -- likely constitute investment contracts (i.e., securities). The SEC has brought enforcement actions against platforms offering substantially similar products (e.g., BlockFi, Celsius, Gemini Earn/Genesis) for offering and selling unregistered securities. Derek recommended that Margaret invest in what was likely an unregistered security without conducting any due diligence on the product's regulatory status.

****Investment Advisers Act §206 (if advisory relationship exists):**** If Derek was acting in any advisory capacity, §206's anti-fraud provisions impose fiduciary duties that were clearly breached through the unsuitable recommendation, failure to disclose conflicts, and material misrepresentations.

****Senior Investor Exploitation:**** FINRA Rule 2165 and various state securities laws provide heightened protections for senior investors (generally age 65+). Margaret's age, cognitive vulnerability to misleading sales pitches, fixed income dependency, and lack of investment sophistication all triggered enhanced duties of care. Derek's conduct -- aggressively moving nearly half of a 79-year-old retiree's life savings into an unregistered, uninsured, high-risk crypto product while earning an undisclosed referral fee -- represents a textbook case of senior investor exploitation.

****Likely Regulatory Outcome:**** Derek faces potential FINRA enforcement including fines, suspension, or a permanent bar. The broker-dealer faces supervisory failure charges under FINRA Rules 3110 and 3120 for failing to detect or prevent the unsuitable recommendation and undisclosed compensation. Margaret would likely prevail in a FINRA

arbitration claim for compensatory damages of \$185,000 (less any bankruptcy recovery), plus potential punitive damages given the egregious nature of the misconduct. State securities regulators may also pursue action for elder financial exploitation, and the matter could be referred to the SEC or state attorney general for potential fraud charges.

Item 112 of 350**NON-COMPLIANT**

Topic: alternative_investments_unsuitable

Difficulty: hard

Source: 29_Crypto_Digital_Assets

Fact Pattern

Gerald Whitfield, age 71, is a retired postal worker living in Tucson, Arizona. He receives \$2,400 per month in pension income and \$1,870 per month from Social Security. His total liquid savings amount to approximately \$285,000, held primarily in a traditional IRA rollover (\$210,000) and a savings account (\$75,000). He has no other significant assets besides his home, which is paid off. On his new account form completed in January 2023, Whitfield indicated his risk tolerance as 'conservative,' his investment objective as 'income and preservation of capital,' his time horizon as '1-5 years,' and his investment experience as 'limited -- mostly CDs and savings bonds.' He also noted that he has no prior experience with digital assets, commodities, or alternative investments.

Whitfield's financial advisor, Derek Solis, age 34, had been managing Whitfield's IRA for approximately eight months when, in September 2023, he began recommending that Whitfield reallocate a significant portion of his portfolio into digital asset-related products. Specifically, Solis recommended that Whitfield move \$95,000 -- roughly one-third of his total liquid net worth -- into three positions: (1) \$40,000 into a crypto yield account offered by a platform called NovaCoin Earn, which promised 8.5% annual percentage yield on deposited USDC stablecoins; (2) \$30,000 into a fund marketed as a 'blockchain innovation basket' consisting of a mix of Solana, Avalanche, Polkadot, and several smaller-cap tokens; and (3) \$25,000 into a tokenized real estate product offered by a startup called ChainEstate, which purported to fractionalize commercial real estate ownership through ERC-20 tokens and advertised projected annual returns of 12%.

Solis presented these recommendations during a single 45-minute phone call. He told Whitfield that 'stablecoins are basically like a high-yield savings account but better,' that the blockchain basket was 'the next generation of tech investing, like getting into Amazon in 1998,' and that the ChainEstate tokens were 'backed by real buildings, so you can't really lose.' Solis did not provide Whitfield with any written risk disclosures specific to digital assets. He did not discuss the possibility that the NovaCoin Earn yield product might be an unregistered securities offering, nor did he explain that the platform had no federal deposit insurance or investor protection equivalent. He did not explain the volatility history of the altcoins in the blockchain basket, nor did he disclose that Solana had declined approximately 93% from its all-time high in the preceding 18 months. Regarding ChainEstate, Solis did not disclose that the startup had been operating for only seven months, had not filed any registration statements, and had no audited financial statements.

Solis received a 2.5% upfront commission on the blockchain basket (\$750) and a 1.75% placement fee on the ChainEstate tokens (\$437.50). The NovaCoin Earn account carried no direct commission but Solis's firm had a revenue-sharing arrangement with NovaCoin under which the firm received 15 basis points on all referred deposits quarterly.

Whitfield, trusting his advisor, agreed to the recommendations. By February 2024, the NovaCoin Earn platform had halted all withdrawals after facing a liquidity crisis, with customer assets frozen indefinitely. The blockchain basket had declined in value to approximately \$11,400 -- a 62% loss. ChainEstate had ceased operations and its tokens were trading at \$0.03, representing a nearly total loss from the original purchase price of \$1.00 per token. Whitfield's \$95,000 investment was now worth, at most, \$12,150 in accessible value (the blockchain basket), with the remaining \$82,850

either frozen or effectively wiped out.

Whitfield filed a written complaint with the firm in March 2024, stating he was never told these products could result in a near-total loss of his retirement funds and that he did not understand what he was buying.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Solis violated multiple regulatory standards in recommending these digital asset products to Gerald Whitfield.

****Regulation Best Interest (Reg BI) -- Care Obligation (17 CFR §240.15l-1(a)(2)(ii)(B)):** Under Reg BI's Care Obligation, a broker-dealer or associated person must exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of a recommendation, and must have a reasonable basis to believe the recommendation is in the retail customer's best interest at the time it is made, considering the customer's investment profile. Whitfield was a 71-year-old retiree with conservative risk tolerance, an income/preservation objective, limited investment experience, and no experience with digital assets. Recommending that he place one-third of his liquid net worth into unregistered crypto yield products, volatile altcoins, and a startup tokenized real estate offering with no audited financials is fundamentally inconsistent with his stated profile. Solis failed the reasonable-basis, customer-specific, and quantitative components of the care obligation.

****Investment Advisers Act §206 (Anti-Fraud):** To the extent Solis or his firm functioned in an advisory capacity, Section 206(1) and 206(2) of the Investment Advisers Act prohibit fraud and deceit. Solis's characterization of stablecoins as 'basically like a high-yield savings account,' his comparison of speculative altcoins to 'getting into Amazon in 1998,' and his claim that tokenized real estate means 'you can't really lose' constitute materially misleading statements that omit critical risks. These statements are deceptive within the meaning of §206(2) and potentially §206(1) if intent can be established.

****SEC Howey Test Application and Unregistered Securities:** Under the SEC's 2019 Framework for 'Investment Contract' Analysis of Digital Assets, the NovaCoin Earn yield product -- where customers deposit assets with an expectation of profit derived from the efforts of the platform -- likely constitutes an investment contract under SEC v. W.J. Howey Co. (1946). The SEC has brought enforcement actions against BlockFi (settled February 2022, \$100M penalty), Celsius, Gemini (re: Gemini Earn), and Genesis for offering materially identical unregistered crypto lending/yield products. Solis recommended an unregistered securities product without disclosing its regulatory status, violating Exchange Act §10(b) and Rule 10b-5's anti-fraud provisions regarding material omissions. Similarly, the ChainEstate token -- a tokenized fractional real estate interest where returns depend on the startup's management -- likely qualifies as an unregistered security under Howey.

****CFTC Jurisdiction:** To the extent any of the digital assets in the blockchain basket (Solana, Avalanche, Polkadot) are classified as commodities rather than securities, the CFTC exercises anti-fraud and anti-manipulation authority under Sections 6(c)(1) and 9(a)(2) of the Commodity Exchange Act. Solis's misleading characterizations of these assets could constitute fraud in connection with commodity transactions.

****FINRA Guidance on Digital Assets:** FINRA has issued multiple Regulatory Notices (including 22-08 regarding crypto communications) and has emphasized that communications about crypto-related products must be fair, balanced, and not misleading. FINRA Rule 2111 (Suitability) and its evolving standards under Reg BI require that recommendations be suitable based on the customer's profile. FINRA Rule 2210 (Communications with the Public) requires that

promotional characterizations not omit material risks. Solis's verbal representations during the phone call violated these communication standards.

****Specific Violations Summary:****

1. Recommending high-risk, speculative, and illiquid digital asset products to a conservative, elderly, inexperienced retiree with a preservation objective -- violating the Care Obligation under Reg BI and suitability under FINRA Rule 2111.
2. Making materially misleading oral representations and omitting critical risk disclosures -- violating Reg BI's Disclosure Obligation, Exchange Act §10(b)/Rule 10b-5, and Investment Advisers Act §206.
3. Recommending what are likely unregistered securities (NovaCoin Earn yield product, ChainEstate tokens) without disclosure of their regulatory status.
4. Concentrating approximately 33% of the client's liquid net worth in highly speculative, correlated digital asset positions -- an excessive concentration given the client profile.
5. Undisclosed or inadequately disclosed revenue-sharing arrangement with NovaCoin -- a conflict of interest that should have been disclosed under Reg BI's Conflict of Interest Obligation.

****Likely Regulatory Outcome:**** Solis would likely face FINRA disciplinary action including fines, disgorgement of commissions, suspension or bar, and the firm could face supervisory failure charges. The client would have strong grounds for arbitration recovery. If referred to the SEC or state regulators, additional enforcement action is possible, particularly regarding the recommendation of unregistered securities products.

Item 113 of 350

NON-COMPLIANT

Topic: failure_to_know_customer

Difficulty: medium

Source: 29_Crypto_Digital_Assets

Fact Pattern

Gerald Whitfield, age 71, is a retired postal worker living in Dayton, Ohio, with a monthly pension of \$2,800 and Social Security income of \$1,950. His total liquid savings consist of approximately \$185,000 in a traditional IRA, \$32,000 in a savings account, and a paid-off home valued at \$165,000. Gerald has no prior experience with any investments beyond his pension and a certificate of deposit he held in the 1990s. He visited the office of financial advisor Marcus Tran in February 2023 after seeing an advertisement promising 'modern retirement income solutions.' During their initial and only meeting, which lasted approximately 35 minutes, Marcus asked Gerald a handful of general questions: his age, whether he was retired, and roughly how much he had in savings. Marcus did not ask about Gerald's monthly expenses, medical costs, risk tolerance, investment time horizon, existing debts, beneficiaries, or whether Gerald had any understanding of digital assets. Marcus did not provide Gerald with any written risk questionnaire or account opening documentation that would have captured these details. Instead, Marcus recommended that Gerald transfer \$110,000 from his IRA into a self-directed IRA and use those funds to purchase a mix of three cryptocurrencies--Bitcoin, Ethereum, and Solana--and place \$40,000 of that amount into a crypto yield-earning account offered by a platform called NovaYield, which advertised annual percentage yields of 9.5% on deposited digital assets. Marcus described this as 'basically like a high-interest savings account but in crypto' and told Gerald it would 'generate passive retirement income better than any CD.' Marcus did not explain how NovaYield generated its yields, did not mention that the platform was not insured by any federal deposit insurance program, and did not discuss the possibility of platform insolvency or asset lockups. Gerald, trusting Marcus, signed the paperwork. By August 2023, the value of the directly held cryptocurrencies had declined by approximately 38%, and NovaYield had frozen all customer withdrawals amid a liquidity crisis, rendering Gerald's \$40,000 inaccessible. Gerald filed a complaint in October 2023, stating he never understood what he was investing in, was never told about the risks, and would never have agreed to put the majority of his retirement savings into something so volatile had he known.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Marcus Tran committed multiple serious violations stemming from a fundamental failure to know his customer, compounded by unsuitable recommendations and material omissions.

****Failure to Know the Customer / Inadequate Customer Profile:****

Under FINRA Rule 2111 (Suitability), a financial professional must make reasonable efforts to gather and analyze a customer's investment profile before making any recommendation. This profile must include, at minimum, the customer's age, other investments, financial situation and needs, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. Under Regulation Best Interest (Reg BI), the Care Obligation (17 CFR §240.15l-1(a)(2)(ii)) requires the advisor to exercise reasonable diligence, care, and skill in understanding the customer's investment profile and ensuring that a recommendation is in the customer's best interest. Marcus conducted a superficial 35-minute meeting, failed to use any risk assessment questionnaire, did not ascertain Gerald's monthly expenses, medical costs, liquidity needs, risk tolerance, time horizon, or investment knowledge. This

constitutes a textbook failure to know the customer.

****Unsuitable Recommendation:****

Gerald was a 71-year-old retiree with modest fixed income, no investment experience beyond CDs, and a conservative profile by any reasonable inference. Recommending that he place roughly 59% of his liquid retirement savings (\$110,000 out of \$185,000 in his IRA) into highly volatile, speculative digital assets is grossly unsuitable under FINRA Rule 2111's customer-specific suitability component. The recommendation bore no reasonable relationship to Gerald's apparent income needs, risk capacity, or financial sophistication.

****Unregistered Yield Product / Material Omissions:****

The SEC has taken the position, as articulated in its 2019 Digital Asset Framework and enforcement actions against platforms such as BlockFi, Celsius, Gemini Earn, and Genesis, that crypto yield-earning accounts constitute securities under the Howey test because investors deposit assets with the expectation of profits derived from the efforts of a third party (the platform's lending and trading activities). NovaYield's yield product, offering 9.5% APY on deposited crypto, likely constitutes an unregistered security. Marcus's description of it as 'basically like a high-interest savings account' was materially misleading, violating the antifraud provisions of Exchange Act §10(b) and Rule 10b-5, as well as Investment Advisers Act §206 if Marcus was acting in an advisory capacity. He failed to disclose the lack of federal deposit insurance, counterparty risk, platform insolvency risk, and the nature of how yields were generated.

****CFTC Jurisdiction Consideration:****

Bitcoin and Ethereum have been classified as commodities by the CFTC. To the extent Marcus was advising on commodity transactions, the CFTC Act's antifraud provisions (7 U.S.C. §9(1)) also apply, prohibiting manipulation and fraud in connection with commodity sales.

****Likely Regulatory Outcome:****

Marcus faces potential FINRA disciplinary action for suitability violations (Rule 2111), potential SEC enforcement for Reg BI violations and antifraud violations under §10(b) and §206, customer arbitration liability for compensatory damages of the full \$110,000 plus interest, and potential state regulatory action. The failure to know the customer is the foundational violation that enabled all subsequent harm--had Marcus conducted a proper suitability analysis, no reasonable advisor would have recommended this portfolio allocation to this client.

Item 114 of 350**NON-COMPLIANT****Topic:** illiquid_investments**Difficulty:** hard**Source:** 29_Crypto_Digital_Assets**Fact Pattern**

Marcus Vellingham, age 59, is a recently retired municipal bus driver in Toledo, Ohio, with a pension of \$3,200 per month, a \$410,000 traditional IRA rollover from his employer's 403(b) plan, and approximately \$38,000 in a savings account. He has no other significant assets besides his home, which is paid off. In September 2023, Marcus met with Darren Coyle, a financial advisor at Ridgepoint Wealth Partners. Marcus told Darren that his primary goals were capital preservation, supplementing his pension with modest income, and ensuring he had enough money to last through retirement. He described himself as conservative and said he could not afford to lose principal. He also mentioned that he had heard about cryptocurrency on the news and was curious about it, though he admitted he did not really understand how it worked. Darren told Marcus that traditional fixed-income investments were paying very little and that there were 'much better options in the digital asset space.' Over two meetings, Darren recommended that Marcus allocate \$165,000 -- roughly 40% of his IRA -- into three investments: \$70,000 into a tokenized real estate fund called BrickVault Digital LP, which invested in commercial properties through blockchain-based fractional ownership tokens with a stated 3-year lock-up period and no secondary market; \$55,000 into a DeFi yield protocol called StableHarvest, which promised 11.2% annual percentage yield on deposits of USDC stablecoins, where funds were deployed into algorithmic lending pools with no guaranteed withdrawal timeline; and \$40,000 into a pre-sale allocation of a utility token called GridNode, marketed as powering a decentralized energy infrastructure network that was still in beta testing, with tokens subject to a 24-month vesting schedule and no exchange listing at the time of purchase. Darren's firm received a 4.5% placement fee on BrickVault, a 2% referral fee from StableHarvest's onboarding partner, and a 6% commission on the GridNode pre-sale allocation. Darren provided Marcus with summary marketing materials for each product but did not furnish detailed offering memoranda, nor did he discuss the lock-up periods, illiquidity risks, or the speculative nature of the GridNode token in any documented fashion. Marcus's signed new account form listed his risk tolerance as 'moderate growth,' which differed from what Marcus had verbally communicated. By June 2024, StableHarvest had suspended withdrawals following a smart contract exploit, and the platform entered a restructuring process with no clear timeline for returning depositor funds. BrickVault's quarterly statements showed a 14% decline in NAV due to falling commercial real estate valuations, and Marcus was unable to redeem any portion of his holdings. GridNode's token launch was delayed indefinitely after the development team announced a pivot in its business model. Marcus, now 60, had effectively lost access to \$165,000 of his retirement savings at a time when he needed to begin supplementing his pension income.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Darren Coyle committed multiple serious violations across several regulatory frameworks.

1. ****Regulation Best Interest (Reg BI) -- Care Obligation:**** Under Reg BI's Care Obligation, a broker-dealer or associated person must exercise reasonable diligence, care, and skill in making a recommendation, including understanding the risks, rewards, and costs of the recommendation, and must have a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made. Recommending that a 59-year-old

conservative retiree with limited assets and an imminent need for income place 40% of his IRA into three illiquid, speculative, and largely unproven digital-asset-related investments is fundamentally inconsistent with the Care Obligation. Marcus's stated objectives -- capital preservation and income supplementation -- are diametrically opposed to products with multi-year lock-ups, no secondary markets, algorithmic yield exposure, and pre-sale token allocations in beta-stage technology projects.

2. ****Concentration and Illiquidity Risk:**** Even for investors with higher risk tolerances, a 40% allocation to illiquid, speculative digital-asset products would raise serious concerns. For a conservative retiree whose IRA constituted the majority of his liquid net worth, this level of concentration in illiquid investments with uncertain exit mechanisms was patently unsuitable. FINRA has repeatedly emphasized through regulatory notices (e.g., Regulatory Notice 22-08 on complex products, and longstanding guidance under Rule 2111) that firms and representatives must perform rigorous suitability analysis before recommending complex, illiquid, or speculative products, particularly to retail investors with limited financial sophistication.

3. ****Howey Test and Unregistered Securities:**** Several of the recommended products likely constitute securities under the SEC's application of the Howey test and the SEC's 2019 Framework for 'Investment Contract' Analysis of Digital Assets. BrickVault Digital LP, a pooled investment in tokenized real estate with returns dependent on the efforts of a management team, almost certainly qualifies as a security. The GridNode pre-sale token -- sold prior to any exchange listing, with value dependent on the development team's efforts to build and launch a functioning network -- similarly bears the hallmarks of an investment contract. StableHarvest's yield product, where depositors provided capital expecting returns generated by the platform's lending activities, mirrors the fact patterns in recent SEC enforcement actions against companies like BlockFi, Celsius, and Gemini/Genesis for offering unregistered securities in the form of crypto yield/lending products. If these products were unregistered securities, Darren's recommendation and sale of them may have violated Exchange Act §10(b) and Securities Act §5's registration requirements.

4. ****CFTC Jurisdiction:**** To the extent StableHarvest involved the lending of USDC (a commodity under CFTC interpretation of digital assets that are not securities), the CFTC may also assert jurisdiction over the yield product as involving leveraged or margined retail commodity transactions under the Commodity Exchange Act §2(c)(2)(D), particularly if the product did not result in actual delivery within 28 days.

5. ****Investment Advisers Act §206 -- Fiduciary Duty:**** If Darren or his firm operated in any advisory capacity with respect to these recommendations (as opposed to purely brokerage), the anti-fraud provisions of the Investment Advisers Act §206(1) and §206(2) impose a fiduciary duty requiring the advisor to act in the client's best interest. The undisclosed conflicts -- 4.5% placement fees, 2% referral fees, and 6% commissions -- constitute material conflicts that should have been fully and prominently disclosed. The failure to provide offering memoranda and to document the discussion of lock-ups, illiquidity, and speculative risk further evidences a breach of fiduciary duty.

6. ****Falsified Customer Records:**** The new account form listing Marcus's risk tolerance as 'moderate growth' despite his verbal statements indicating conservatism raises additional concerns about falsification of customer records in violation of FINRA Rule 4511 (books and records) and potentially FINRA Rule 2010 (standards of commercial honor).

****Likely Regulatory Outcome:**** This fact pattern would likely result in FINRA enforcement for suitability violations and potential sanctions including fines, disgorgement of commissions, suspension or bar. The SEC could pursue action for recommending and selling unregistered securities and for breach of Reg BI. Marcus would have strong claims in FINRA arbitration for compensatory damages totaling the \$165,000 invested plus consequential damages related to his inability to access retirement income. The severity of the harm -- effectively locking a conservative retiree out of 40% of his retirement funds -- would likely result in significant sanctions and potential referral for further investigation regarding the firm's supervisory procedures under FINRA Rules 3110 and 3120.

Item 115 of 350

NON-COMPLIANT

Topic: failure_to_know_customer

Difficulty: medium

Source: 29_Crypto_Digital_Assets

Fact Pattern

Marcus Trent, a registered investment adviser representative based in Tampa, Florida, was introduced to a new client, Dorothy Huang, age 71, in March 2023. Mrs. Huang was a retired elementary school teacher with a monthly pension of \$3,200 and Social Security income of \$1,850 per month. She had \$410,000 in a traditional IRA, \$62,000 in a savings account, and owned her home outright, valued at approximately \$285,000. Mrs. Huang came to Trent after her previous advisor retired, and she brought a folder of account statements but no completed risk questionnaire or new account documentation. During their first meeting, Mrs. Huang mentioned she was 'curious about those digital coins my grandson keeps talking about' and said she wanted to 'make her money grow faster than the bank.' Trent did not ask Mrs. Huang about her investment experience, risk tolerance, time horizon, liquidity needs, existing debts, health conditions, or whether she had any beneficiaries or estate plan. He did not have her complete an investor profile questionnaire or any new account documentation. Instead, he spent the meeting showing her screenshots of Bitcoin and Ethereum price charts from 2020 to early 2021, emphasizing the dramatic gains. Within two days, without any further conversation, Trent recommended Mrs. Huang allocate \$175,000 -- approximately 37% of her IRA -- into a combination of Bitcoin, Ethereum, and a yield-bearing digital asset lending product offered through a platform that would later suspend customer withdrawals. The yield product promised 7.5% annual returns on deposited crypto assets. Trent earned a \$4,200 referral fee from the lending platform and his standard 1.25% advisory fee on the crypto allocation. He documented the transaction notes as: 'Client interested in crypto. Discussed potential. Allocated per client interest.' By November 2023, the lending platform had frozen all customer accounts and filed for bankruptcy protection. The value of Mrs. Huang's crypto holdings had declined to approximately \$94,000, and the \$60,000 placed in the yield product was entirely inaccessible. Mrs. Huang filed a complaint stating she never understood the risks, was never asked about her financial situation in detail, and believed her advisor was putting her money somewhere safe that paid better interest than her bank.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Marcus Trent committed multiple serious violations. First, under the Investment Advisers Act §206(1) and §206(2), an investment adviser owes fiduciary duties to clients, including the duty of care and the duty of loyalty. A foundational element of the duty of care is the obligation to conduct a reasonable inquiry into the client's financial situation, investment experience, risk tolerance, time horizon, liquidity needs, and investment objectives before making any recommendation. Trent's failure to collect any meaningful client profile information -- no risk questionnaire, no new account form, no discussion of health, liquidity needs, time horizon, or investment experience -- constitutes a textbook failure to know the customer.

Second, under Regulation Best Interest (Reg BI), if Trent were operating in a broker-dealer capacity for any portion of this transaction, the Care Obligation (Rule 15l-1(a)(2)(ii)) requires that the advisor exercise reasonable diligence, care, and skill to understand the customer's investment profile before making a recommendation. The Know Your Customer component is not optional; it is a prerequisite to any recommendation. Trent's transaction notes -- 'Client interested in

crypto. Discussed potential. Allocated per client interest' -- are woefully insufficient and suggest no inquiry was made.

Third, the recommendation itself was grossly unsuitable. A 71-year-old retired teacher living on fixed income with no documented investment sophistication or risk tolerance was allocated 37% of her retirement assets into highly volatile digital assets and an unregistered yield product. The yield-bearing crypto lending product bears hallmarks of an unregistered security under the Howey test framework articulated in the SEC's 2019 Digital Asset Framework and subsequent enforcement actions against platforms like BlockFi, Celsius, Gemini Earn, and Genesis. Recommending such a product without understanding its regulatory status, counterparty risk, and the client's ability to bear total loss is a severe breach.

Fourth, the \$4,200 referral fee from the lending platform creates an undisclosed material conflict of interest. Under §206 of the Investment Advisers Act and the Disclosure Obligation under Reg BI, all material conflicts -- especially compensation from third-party product providers -- must be fully and clearly disclosed to the client. There is no evidence Trent disclosed this fee.

FINRA Rule 2111 (Suitability) and its three component obligations -- reasonable-basis, customer-specific, and quantitative suitability -- were all violated. Trent had no reasonable basis for recommending crypto and yield products to any retail investor without understanding the product risks (reasonable-basis), had no customer-specific information to justify the recommendation (customer-specific), and the concentration level was excessive (quantitative). FINRA's targeted guidance on digital assets and complex products further emphasizes heightened scrutiny for recommendations involving novel, illiquid, or speculative instruments.

Under Exchange Act §10(b) and Rule 10b-5, the omission of material information about the risks of the yield product and the undisclosed referral fee could support a fraud claim if it can be shown Trent acted with scienter -- his eager pitch of cherry-picked price charts and rapid execution without due diligence suggests, at minimum, reckless disregard for the client's interests.

Likely regulatory outcome: Trent faces potential enforcement action including disgorgement of fees, civil monetary penalties, suspension or bar from the industry, and private arbitration liability for Mrs. Huang's losses. The failure to know the customer is the foundational violation from which all other breaches flow.

Item 116 of 350

NON-COMPLIANT

Topic: inappropriate_risk_profile

Difficulty: medium

Source: 29_Crypto_Digital_Assets

Fact Pattern

Gerald Whitman, age 71, is a retired postal worker living in Dayton, Ohio, with a fixed monthly income of \$2,400 from his pension and \$1,850 from Social Security. His total liquid savings amount to approximately \$185,000, held primarily in a money market account and a small allocation of investment-grade municipal bonds. Whitman has no prior experience with digital assets, options trading, or speculative investments. On his new account form completed in January 2023, he indicated his investment objective as 'capital preservation and income generation,' his risk tolerance as 'conservative,' and his investment time horizon as '3-5 years.' He told his advisor, Marcus Dellacroix, that his primary concern was making sure his savings lasted through retirement and that he could cover potential medical expenses for his wife, who has early-stage Parkinson's disease.

Dellacroix, a registered representative with Meridian Wealth Partners, had recently attended a crypto conference in Miami and began actively promoting digital asset strategies to his book of clients. During a meeting in February 2023, Dellacroix recommended that Whitman move \$55,000--approximately 30% of his liquid savings--into a combination of positions: \$20,000 into Bitcoin, \$15,000 into Ethereum, and \$20,000 into a yield-bearing crypto lending account offered by a platform called NovaCoin Earn, which advertised annual percentage yields of 9.5% on stablecoin deposits. Dellacroix described the yield product as 'basically like a high-yield savings account but in crypto' and told Whitman the stablecoin deposits were 'pegged to the dollar, so there's no real downside.' He did not explain that NovaCoin Earn was not a registered entity, that deposits were not insured, or that the platform lent customer assets to institutional borrowers and DeFi protocols to generate the advertised yields.

Dellacroix's internal notes from the meeting stated: 'Client expressed interest in higher returns. Discussed crypto allocation to boost portfolio yield. Client agreed to proceed.' Whitman later testified that he trusted Dellacroix and believed the stablecoin product was equivalent to a certificate of deposit.

By June 2023, NovaCoin Earn froze customer withdrawals amid a liquidity crisis triggered by a collapse in the value of the collateral posted by its largest institutional borrower. Whitman's \$20,000 deposited in the yield account became inaccessible. Simultaneously, the crypto market experienced a significant downturn, and Whitman's combined Bitcoin and Ethereum positions declined to approximately \$22,500 from their original \$35,000 cost basis. In total, Whitman faced unrealized and potentially permanent losses of approximately \$32,500--roughly 17.5% of his entire liquid net worth. Whitman filed a complaint in August 2023 alleging that Dellacroix recommended investments completely inconsistent with his stated financial profile.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Marcus Dellacroix violated multiple applicable regulatory standards.

****Regulation Best Interest (Reg BI) -- Care Obligation:**** Under Reg BI, a broker-dealer and its associated persons must

exercise reasonable diligence, care, and skill when making a recommendation to a retail customer. The recommendation must be in the customer's best interest and must not place the financial interest of the broker-dealer or representative ahead of the customer's interest. Specifically, the Care Obligation requires the advisor to consider the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, liquidity needs, and time horizon. Whitman was a 71-year-old retiree with conservative risk tolerance, capital preservation objectives, a modest fixed income, significant near-term medical expense liabilities, and a 3-5 year time horizon. Recommending a 30% allocation to highly volatile, speculative digital assets--including Bitcoin, Ethereum, and an unregistered yield product--was fundamentally inconsistent with every dimension of Whitman's investment profile. This constitutes a clear violation of the Care Obligation under Reg BI Rule 15l-1(a)(2)(ii).

****FINRA Rule 2111 -- Suitability:**** To the extent suitability obligations apply (FINRA Rule 2111), the recommendation fails all three components: (1) Reasonable-basis suitability -- Dellacroix failed to perform adequate due diligence on NovaCoin Earn, a platform that was not registered with the SEC or any prudential regulator, offered yields generated through opaque lending to institutional and DeFi counterparties, and provided no deposit insurance. Characterizing this product as equivalent to a 'high-yield savings account' or CD demonstrates either a fundamental lack of understanding or willful misrepresentation. (2) Customer-specific suitability -- the recommendation was unsuitable for a conservative, elderly, income-dependent retiree with no crypto experience and immediate liquidity needs. (3) Quantitative suitability -- while not a classic churning case, the concentration of 30% of liquid assets in a single speculative asset class raises concerns about excessive risk concentration.

****SEC Digital Asset Framework and Howey Test Application:**** The NovaCoin Earn yield product likely constitutes a security under the Howey test, as customers deposited money (stablecoin) in a common enterprise with the expectation of profits derived from the efforts of NovaCoin (which deployed the assets to generate yield). This mirrors enforcement actions the SEC has brought against platforms such as BlockFi (settled for \$100 million in February 2022), Celsius, Gemini Earn, and Genesis for offering unregistered securities in the form of crypto lending or yield products. By recommending an unregistered security to a retail customer without adequate disclosure, Dellacroix potentially facilitated a violation of Securities Act §5 (offer/sale of unregistered securities) and contributed to a violation of Exchange Act §10(b) and Rule 10b-5 through material misrepresentations and omissions about the nature and risks of the product.

****Investment Advisers Act §206 -- Fiduciary Duty (if dual-registered or acting in advisory capacity):**** If Dellacroix was acting in an advisory capacity or is dual-registered, his conduct would also violate the anti-fraud provisions of the Investment Advisers Act §206(1) and §206(2), which impose fiduciary obligations including full and fair disclosure of all material facts and a duty to act in the client's best interest.

****Reg BI -- Disclosure Obligation:**** Dellacroix failed to disclose material facts about the NovaCoin Earn product, including: (a) that deposits were not FDIC or SIPC insured; (b) that the platform was unregistered; (c) that the yield was generated through risky lending activities; and (d) that the stablecoin 'peg' could be disrupted, and the platform could freeze withdrawals. This violates the Disclosure Obligation under Reg BI.

****Likely Regulatory Outcome:**** Dellacroix and Meridian Wealth Partners face significant exposure. Probable outcomes include: (1) FINRA arbitration award in Whitman's favor for compensatory damages of approximately \$32,500, plus potential attorneys' fees; (2) FINRA enforcement action against Dellacroix for suitability violations under Rule 2111 and failure to observe Reg BI's Care and Disclosure Obligations, potentially resulting in fines, suspension, or a bar; (3) Potential SEC referral if the recommendation of unregistered securities is substantiated; (4) Supervisory failures by Meridian Wealth Partners for inadequate review of Dellacroix's crypto recommendations and for failing to have adequate policies and procedures governing digital asset recommendations to retail customers. The internal note that 'client expressed interest in higher returns' does not overcome the documented conservative profile and is insufficient to justify the recommendation.

Item 117 of 350

NON-COMPLIANT

Topic: crypto_assets_unsuitable

Difficulty: medium

Source: 29_Crypto_Digital_Assets

Fact Pattern

Margaret Tolliver, age 71, is a retired elementary school teacher in Dayton, Ohio, living on a fixed income of approximately \$3,200 per month from her pension and Social Security. She has \$340,000 in total liquid savings, the vast majority held in a money market account and a laddered CD portfolio at her local bank. She has no prior experience investing in equities, options, or alternative assets. Her stated investment objectives on her new account form, completed in March 2023 with advisor Derek Kingsley at Ridgeline Wealth Partners, were capital preservation and income generation. Her risk tolerance was marked as 'conservative.' Margaret told Derek during their initial meeting that she wanted to make sure her savings would last through her lifetime and cover potential long-term care expenses, as she had no long-term care insurance.

In April 2023, Derek recommended that Margaret allocate \$85,000--roughly 25% of her liquid net worth--into a combination of digital asset positions. Specifically, he recommended \$30,000 into Bitcoin, \$25,000 into Ethereum, and \$30,000 into a crypto yield product offered by a platform called VaultEarn, which promised an annualized return of 9.4% on deposited stablecoins. Derek told Margaret the yield product was 'basically like a high-interest savings account but on the blockchain' and described Bitcoin and Ethereum as 'digital gold that only goes up over time.' He did not explain the mechanics of how VaultEarn generated its yield, nor did he disclose that VaultEarn was not registered with any U.S. financial regulator and that deposited assets were being lent to institutional borrowers with no federal deposit insurance or investor protection. He did not discuss the volatility history of Bitcoin or Ethereum, the risks of exchange insolvency, or the possibility of total loss on the yield product.

Margaret agreed based on Derek's reassurances. By November 2023, VaultEarn halted withdrawals after its largest institutional borrower defaulted, freezing Margaret's \$30,000 in stablecoins indefinitely. Her Bitcoin and Ethereum positions had declined approximately 18% from her cost basis due to market conditions. Margaret's total unrealized and realized losses stood at roughly \$45,300. She filed a complaint with Ridgeline's compliance department in December 2023, stating she was never told these investments carried substantial risk and that she could not afford to lose this money.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Kingsley committed multiple serious violations of applicable regulatory standards.

****Regulation Best Interest (Reg BI) -- Care Obligation:**** Under Reg BI's Care Obligation, a broker-dealer or associated person must exercise reasonable diligence, care, and skill when making a recommendation to a retail customer. The advisor must have a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made, considering the customer's investment profile--including age, financial situation, tax status, investment objectives, risk tolerance, liquidity needs, and time horizon. Margaret was a 71-year-old retiree with conservative risk tolerance, capital preservation objectives, no investment sophistication, a fixed income, no long-term care insurance,

and a need for liquidity. Recommending that 25% of her liquid net worth be allocated to highly volatile, speculative crypto assets and an unregistered yield product fundamentally contradicts every element of her investment profile. This is a clear violation of the Care Obligation under Reg BI.

****FINRA Rule 2111 (Suitability):**** To the extent suitability obligations apply, the recommendation fails all three components: (1) Reasonable-basis suitability--Derek does not appear to have understood how VaultEarn generated its yield or its risk profile; (2) Customer-specific suitability--the allocation was wholly inappropriate for a conservative, elderly, fixed-income investor; and (3) Quantitative suitability--concentrating 25% of liquid assets in speculative crypto for a capital-preservation client is excessive.

****Investment Advisers Act §206 (Anti-Fraud):**** If Derek was acting in an advisory capacity, his misrepresentations--describing the yield product as 'basically like a high-interest savings account' and Bitcoin as an asset that 'only goes up over time'--constitute material misstatements and omissions in violation of the anti-fraud provisions under §206(1) and §206(2). The failure to disclose that VaultEarn was unregistered, that assets were being lent to institutional borrowers, and that there was no deposit insurance constitutes omission of material facts necessary to make his statements not misleading.

****SEC Digital Asset Framework (2019) and Howey Test:**** The VaultEarn yield product, where customers deposit assets with an expectation of profit derived from the efforts of VaultEarn's management in lending those assets, likely constitutes a security under the Howey test (investment of money in a common enterprise with expectation of profits derived from the efforts of others). The SEC has brought enforcement actions against similar yield-bearing crypto platforms (BlockFi, Celsius, Gemini Earn/Genesis) on precisely this basis--that such products are unregistered securities. Recommending an unregistered security to a retail customer raises additional liability under Exchange Act §10(b) and Rule 10b-5.

****CFTC Jurisdiction:**** Bitcoin and Ethereum have been designated as commodities by the CFTC. Recommending commodity-based investments requires adequate risk disclosure and suitability analysis. Derek failed to provide any meaningful risk disclosure regarding the volatility of these digital commodities.

****Likely Regulatory Outcome:**** Derek faces potential FINRA disciplinary action including fines, suspension, or bar. Ridgeline Wealth Partners faces supervisory failure liability if it lacked adequate policies regarding digital asset recommendations. Margaret would have strong grounds for a FINRA arbitration claim seeking full compensatory damages of approximately \$45,300 plus consequential damages. The firm and advisor may also face SEC or state enforcement action for recommending an unregistered security (VaultEarn yield product) and for fraudulent misrepresentations.

Item 118 of 350**NON-COMPLIANT****Topic:** high_fees_unsuitable**Difficulty:** medium**Source:** 29_Crypto_Digital_Assets**Fact Pattern**

Margaret Holloway is a 71-year-old retired schoolteacher living in Baton Rouge, Louisiana. She receives \$2,200 per month in Social Security benefits and a \$1,100 per month pension, giving her a total annual income of approximately \$39,600. Her entire investable savings amount to \$148,000, held in a traditional IRA rollover account that she has relied upon since retiring in 2018. Margaret has described herself on her account paperwork as a conservative investor with a primary objective of capital preservation and supplemental income generation. She has no prior experience with cryptocurrency or digital assets and told her advisor, Derek Fontaine, that she finds technology confusing and is worried about losing her nest egg. In March 2023, Fontaine recommended that Margaret move \$74,000, representing exactly half of her IRA, into a crypto yield account offered through a third-party platform called ChainYield Pro. The platform advertised annual yields of 9% to 14% on deposited crypto assets, generated by lending those assets to institutional borrowers and engaging in liquidity pool activities across decentralized protocols. To fund the account, Fontaine instructed Margaret to liquidate her holdings in a low-cost bond index fund and convert the proceeds to USDC stablecoin, which would then be deposited into the ChainYield Pro platform. Fontaine earned a 3.2% referral commission from ChainYield Pro upon the deposit, totaling approximately \$2,368, which he did not disclose to Margaret. In addition, the ChainYield Pro platform charged a 1.5% annual management fee, and the conversion process involved exchange fees totaling roughly \$890. Fontaine told Margaret the investment was 'basically like a savings account but with much better interest' and that the platform was 'completely safe because it only uses stablecoins.' He did not explain that her deposited assets would be lent to third parties, that she would lose FDIC protection, that the platform itself was not a registered entity, or that similar platforms including BlockFi, Celsius, and others had recently collapsed or faced regulatory shutdown, leaving customers unable to withdraw funds. By September 2023, ChainYield Pro suspended all withdrawals citing 'liquidity constraints,' and Margaret's \$74,000 became inaccessible. She contacted a consumer attorney after seeing a news segment about crypto platform failures.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Derek Fontaine's conduct presents multiple serious regulatory violations across several overlapping frameworks.

1. REGULATION BEST INTEREST (Reg BI) -- SEC Release No. 34-86031: Reg BI requires broker-dealers to act in the best interest of a retail customer at the time of a recommendation, without placing the financial or other interest of the broker ahead of the retail customer. Fontaine's recommendation of a high-risk crypto yield product to a 71-year-old, conservative, capital-preservation-focused retiree whose entire livelihood depends on her IRA fails the Care Obligation under Reg BI Rule 15l-1(a)(2)(ii), which requires the advisor to have a reasonable basis for believing the recommendation is in the customer's best interest based on the retail customer's investment profile. A product with 9-14% advertised yields, operating through decentralized lending protocols, offered by an unregistered platform, does not align with any reasonable interpretation of Margaret's conservative, income-dependent profile.

2. DISCLOSURE OBLIGATION VIOLATION: Reg BI's Disclosure Obligation under Rule 15l-1(a)(2)(i) requires full and

fair disclosure of all material facts relating to the recommendation, including conflicts of interest. Fontaine failed to disclose his 3.2% referral commission of approximately \$2,368, which constitutes an undisclosed conflict of interest. This omission is independently actionable. Additionally, under Investment Advisers Act Section 206(2), advisers have a fiduciary duty requiring disclosure of all material conflicts. If Fontaine is registered as an investment adviser representative, this omission violates the anti-fraud provisions of Section 206.

3. CONFLICT OF INTEREST / UNDISCLOSED COMPENSATION: FINRA Rule 2010 (Standards of Commercial Honor) and Rule 2210 (Communications with the Public) both prohibit misleading statements and require fair dealing. Fontaine's characterization of the ChainYield Pro account as 'basically like a savings account' is a materially false and misleading statement. Stablecoin lending platforms are not savings accounts, carry no FDIC insurance, and expose depositors to counterparty risk, smart contract risk, and platform insolvency risk -- all of which materialized here.

4. SEC HOWEY TEST / UNREGISTERED SECURITIES: The ChainYield Pro yield account almost certainly constitutes a security under the Howey test (investment of money in a common enterprise with expectation of profits from the efforts of others). The SEC's 2019 Digital Asset Framework confirms that yield-generating crypto products where returns depend on the managerial efforts of a third-party platform operator satisfy Howey. Enforcement actions against BlockFi (February 2022, \$100M settlement), Celsius, Gemini Earn, and Genesis Earn all confirm that regulators treat these products as unregistered securities offerings. By recommending an unregistered security, Fontaine potentially facilitated a violation of Securities Act Section 5 and exposed himself to liability under Exchange Act Section 10(b) and Rule 10b-5 for material misstatements and omissions in connection with the purchase.

5. CFTC JURISDICTION: To the extent ChainYield Pro's liquidity pool operations involved crypto derivatives or leveraged positions in commodities (Bitcoin, Ether), the CFTC would assert jurisdiction under the Commodity Exchange Act. Recommending products involving CFTC-regulated instruments without appropriate disclosure adds a further layer of regulatory exposure.

6. CONCENTRATION RISK: Placing 50% of a 71-year-old retiree's entire investable assets into a single illiquid, unregistered digital asset platform is a textbook concentration risk failure. FINRA guidance on complex products and suitability principles (even prior to Reg BI) would have prohibited this level of concentration in a speculative product for a customer with this profile.

7. LIKELY REGULATORY OUTCOME: Fontaine faces potential enforcement by the SEC for facilitating the sale of unregistered securities and for violations of antifraud provisions. FINRA may pursue disciplinary action for the undisclosed compensation, misleading statements, and failure to perform adequate due diligence on ChainYield Pro. State securities regulators in Louisiana may bring parallel actions under the Louisiana Securities Law. Civil liability to Margaret is substantial: she has strong grounds for rescission under Securities Act Section 12(a)(1) for the sale of unregistered securities, plus damages claims under Section 10(b) and Rule 10b-5. The undisclosed \$2,368 referral commission may also trigger disgorgement obligations. This scenario is non-compliant across every applicable standard.

Item 119 of 350

NON-COMPLIANT

Topic: senior_investor_exploitation

Difficulty: medium

Source: 29_Crypto_Digital_Assets

Fact Pattern

Margaret Holloway, a 74-year-old retired schoolteacher living in Boca Raton, Florida, had accumulated approximately \$310,000 in retirement savings through a combination of a pension, Social Security income of \$1,850 per month, and a rollover IRA. She described herself to her financial advisor, Derek Fontaine, as a conservative investor who could not afford to lose principal, had never owned stocks beyond a small mutual fund in her 403(b), and whose primary goal was capital preservation to cover healthcare costs and assisted living expenses she anticipated needing within five to seven years. Fontaine, who was affiliated with a mid-size independent broker-dealer in Boca Raton, met with Margaret in March 2023 after she responded to a seminar he hosted at a local senior center titled 'New Opportunities in the Digital Economy.' During the meeting, Fontaine told Margaret that a product called the 'CryptoYield Advantage Account,' offered through a third-party digital asset platform, was paying 9.2% annual interest on deposited assets -- far exceeding the 4.5% CDs her bank was offering. He told her the account worked 'just like a savings account but smarter,' and that her money would be 'backed by digital collateral.' He did not explain that the yield was generated by lending her deposited funds to institutional borrowers in exchange for crypto collateral, that the platform was not a bank, that deposits were not FDIC-insured, that the platform had not registered the product with any securities regulator, or that similar platforms -- including Celsius and BlockFi -- had either filed for bankruptcy or faced enforcement actions in the prior 18 months. Fontaine received a 2.1% referral fee from the digital asset platform for each customer he onboarded. Between April and June 2023, Margaret transferred \$187,000 of her IRA funds -- over 60% of her total savings -- into the CryptoYield Advantage Account. By September 2023, the platform suspended withdrawals citing 'liquidity constraints,' and Margaret was unable to access her funds. As of the date of the complaint filed with regulators in November 2023, she had recovered nothing and had been forced to reduce her monthly expenses significantly while awaiting resolution of the platform's insolvency proceedings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Derek Fontaine's conduct represents serious violations across multiple regulatory frameworks applicable to financial advisors and broker-dealer registered representatives.

****1. Reg BI (Regulation Best Interest) -- Exchange Act Rule 15l-1****

Fontaine is subject to Reg BI as a registered representative of a broker-dealer. Under the Care Obligation (Rule 15l-1(a)(2)(ii)), Fontaine was required to exercise reasonable diligence, care, and skill to understand the risks and costs of the CryptoYield Advantage Account and to have a reasonable basis to believe the recommendation was in Margaret's best interest. Recommending that a 74-year-old, capital-preservation-oriented investor with a five-to-seven-year healthcare spending horizon commit 60% of her total retirement savings to an unregistered, illiquid, high-yield crypto lending product fails this standard categorically. The product's risk profile -- counterparty lending risk, liquidity risk, lack of insurance, regulatory uncertainty, and platform insolvency risk -- was wholly incompatible with Margaret's stated objectives and financial condition.

Under the Disclosure Obligation (Rule 15l-1(a)(2)(i)), Fontaine was required to disclose all material facts relating to the recommendation, including conflicts of interest. His failure to disclose the 2.1% referral fee is a clear violation. Characterizing an unregistered crypto yield product as working 'just like a savings account' while omitting information about the bankruptcy of comparable platforms constitutes material omission and likely rises to fraudulent misrepresentation.

****2. Securities Act §5 and SEC Howey Test -- Unregistered Security****

Under the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)), the CryptoYield Advantage Account almost certainly constitutes a security: investors deposit money (investment of money) into a common platform (common enterprise) with an expectation of returns (9.2% yield) derived from the efforts of others (the platform's lending and collateral management activities). The SEC's 2019 Digital Asset Framework confirms this analytical approach. Fontaine recommending an unregistered security to retail customers exposes both him and his broker-dealer to liability under Securities Act §§5 and 12(a)(1), and potentially Exchange Act §10(b) and Rule 10b-5 for fraudulent misrepresentation and material omission.

This analysis is reinforced by the SEC's enforcement actions against BlockFi (February 2022, \$100M settlement), Celsius, Genesis, and Gemini -- all of which involved materially similar yield-bearing crypto products that the SEC determined were unregistered securities offerings.

****3. CFTC Jurisdiction****

To the extent the underlying crypto assets (likely Bitcoin or Ethereum) are commodities, the CFTC retains jurisdiction under the Commodity Exchange Act. If the platform engaged in leveraged or margined retail commodity transactions without proper registration, Fontaine's facilitation of customer participation could implicate CFTC anti-fraud provisions under CEA §6(c) and CFTC Rule 180.1.

****4. Investment Advisers Act §206 -- Fraud****

If Fontaine provided investment advice within the meaning of the Investment Advisers Act, his failure to disclose the referral fee and material omissions regarding the product's risk could constitute fraudulent, deceptive, or manipulative conduct under §206(1) and §206(2), which apply regardless of scienter for negligent misrepresentation under subsection (2).

****5. FINRA Rules****

FINRA Rule 2111 (suitability, applicable pre-Reg BI and for non-Reg BI contexts) and FINRA Rule 2010 (standards of commercial honor) are both implicated. The recommendation of a concentrated, high-risk, illiquid, unregistered product to a senior investor who explicitly stated capital preservation needs, without adequate disclosure of conflicts or product risks, violates both rules. Additionally, FINRA Regulatory Notice 12-25 and subsequent guidance on senior investor protection would apply, as would heightened supervision obligations for recommendations to customers aged 65 and older under FINRA Rule 4512 and related guidance.

****6. Elder Financial Exploitation****

Margaret's profile -- age 74, fixed income, limited financial sophistication -- triggers additional protections under FINRA Rule 2165 (financial exploitation of specified adults), which permits but does not require holds on disbursements where exploitation is suspected. Fontaine's conduct in hosting a senior center seminar specifically to recruit elderly, conservative investors into high-commission unregistered products may constitute elder financial exploitation under both FINRA standards and applicable state securities laws (Florida's Securities and Investor Protection Act).

****Likely Regulatory Outcome:****

Fontaine faces probable enforcement action by FINRA for suitability and disclosure violations, possible SEC enforcement for facilitating the sale of unregistered securities, and potential referral to Florida state regulators for elder exploitation. Sanctions could include suspension or permanent bar from the industry, disgorgement of the \$3,927

referral fee, fines, and restitution to Margaret. His broker-dealer faces supervisory liability under FINRA Rule 3110 for failing to establish procedures adequate to detect and prevent the recommendation of unregistered crypto yield products to vulnerable senior investors. The compliant verdict is FALSE -- this is a clear, multi-layered regulatory violation with significant harm to a vulnerable investor.

Item 120 of 350

NON-COMPLIANT

Topic: senior_investor_exploitation

Difficulty: hard

Source: 29_Crypto_Digital_Assets

Fact Pattern

Margaret Okonkwo, a 74-year-old retired schoolteacher living in Baton Rouge, Louisiana, approached her financial advisor, Derek Sunwall, at Sunwall Wealth Partners LLC in March 2023. Margaret's financial profile was straightforward: she had \$310,000 in a rollover IRA representing virtually her entire retirement savings, a monthly Social Security income of \$1,840, modest living expenses, and no other significant assets. She described herself during onboarding as 'very conservative' and indicated her primary goal was capital preservation so she could cover assisted living costs she anticipated needing within five to seven years. She had no prior investment experience beyond a basic 401(k) and had never purchased any cryptocurrency or digital asset product. Derek had recently begun offering clients exposure to what he described as 'high-yield digital savings accounts,' specifically a product offered through a now-defunct crypto lending platform that promised annualized yields of 8.5% on deposited stablecoins. During their April 2023 meeting, Derek told Margaret that these accounts were 'basically like a CD but with better returns' and that the underlying stablecoins were 'pegged to the dollar so there's no real risk of losing money.' He did not disclose that the platform was a crypto lending company, that the yield was generated by re-lending customer deposits to institutional borrowers, that the product had no FDIC or SIPC protection, or that regulators in multiple states had already issued cease-and-desist orders against similar yield products from comparable firms the prior year. Derek recommended Margaret transfer \$155,000--exactly half her IRA--into this yield account, which required converting IRA funds into stablecoins through a third-party crypto exchange and then depositing them into the platform's earn program. The conversion and deposit process took two weeks in April and May 2023. Derek received a one-time referral fee of \$2,300 from the crypto platform for the deposit, which he did not disclose to Margaret. By August 2023, the platform suspended all withdrawals citing 'liquidity constraints,' and by November 2023, it had filed for bankruptcy protection. Margaret's \$155,000 became illiquid and was subsequently valued at approximately \$19,000 in bankruptcy proceedings, representing a loss of roughly \$136,000. Margaret, who had by then been diagnosed with early-stage dementia, had no meaningful understanding of what had happened to her savings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Derek Sunwall committed multiple serious regulatory violations across several overlapping frameworks, each independently sufficient to warrant enforcement action.

****1. Regulation Best Interest (Reg BI) -- Care Obligation (17 C.F.R. § 240.15l-1)****

Reg BI, effective June 30, 2020, requires broker-dealers and associated persons making recommendations to retail customers to act in the customer's best interest at the time of the recommendation. The Care Obligation under Reg BI Element 2 mandates that advisors exercise reasonable diligence, care, and skill to understand the product, understand the customer, and have a reasonable basis to believe the recommendation is in the customer's best interest given her investment profile. Here, Margaret's profile--74 years old, entirely conservative, capital preservation objective, 5-7 year horizon for assisted living needs, no crypto experience, fixed Social Security income, no backup assets--is categorically incompatible with a speculative, illiquid, uninsured crypto yield product. Allocating 50% of her total retirement savings to

such a product is an egregious failure of the care obligation. The SEC's 2019 Digital Asset Framework made clear that advisors must conduct heightened due diligence when recommending digital assets, particularly to retail investors with limited sophistication.

****2. Investment Advisers Act § 206 -- Fiduciary Duty and Fraud****

If Sunwall Wealth Partners is registered as an investment adviser (or if Derek functions as one under the facts), Section 206 of the Investment Advisers Act of 1940 imposes an unyielding fiduciary duty of loyalty and care. Section 206(1) prohibits employing any device, scheme, or artifice to defraud a client; Section 206(2) prohibits engaging in any transaction, practice, or course of business that operates as a fraud or deceit. Derek's affirmative misrepresentations--characterizing an uninsured, speculative crypto yield account as 'basically like a CD'--constitute fraud under Section 206(1). His material omissions (platform identity, re-lending risk model, absence of deposit insurance, regulatory cease-and-desist history of comparable firms) compound this violation under Section 206(2).

****3. Exchange Act § 10(b) and Rule 10b-5 -- Securities Fraud****

The crypto yield product at issue almost certainly qualifies as a security under the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)): investors deposited money (investment of money) into a common enterprise (pooled lending pool) with an expectation of profit (8.5% annualized yield) derived from the efforts of others (the platform's lending and risk management operations). This is precisely the theory under which the SEC brought enforcement actions against BlockFi (February 2022, \$100 million settlement), Celsius, Gemini Earn/Genesis, and similar platforms for offering unregistered securities. By recommending an unregistered security and making materially false and misleading statements in connection with its purchase, Derek violated Exchange Act Section 10(b) and Rule 10b-5(b) (17 C.F.R. § 240.10b-5).

****4. FINRA Rules -- Suitability and Know Your Customer****

FINRA Rule 2111 (suitability, applicable to recommendations made prior to Reg BI's full displacement of this framework, or in conjunction with it for non-Reg BI contexts) and FINRA Rule 2090 (Know Your Customer) required Derek to use reasonable diligence to know Margaret's financial situation, needs, and objectives, and to have reasonable grounds for believing the recommendation was suitable. No reasonable grounds exist here. FINRA has issued specific guidance (Regulatory Notice 22-08, January 2022) warning member firms that digital asset recommendations to retail investors require heightened scrutiny, including disclosure of volatility, lack of insurance protections, and liquidity risks. Derek ignored every element of this framework.

****5. Undisclosed Conflict of Interest -- Reg BI Conflict of Interest Obligation****

The \$2,300 referral fee Derek received from the crypto platform without disclosure to Margaret is an independent and serious violation. Reg BI's Conflict of Interest Obligation (Element 3) requires broker-dealers to establish, maintain, and enforce written policies to identify and disclose, or eliminate, all conflicts of interest associated with recommendations. An undisclosed referral payment is a textbook conflict that must be disclosed. Under Investment Advisers Act § 206, undisclosed compensation arrangements also constitute fraudulent conduct. This fee created a direct financial incentive for Derek to recommend a product that was affirmatively harmful to his client.

****6. Elder Financial Exploitation****

Margaret's subsequent diagnosis with early-stage dementia, while diagnosed after the transaction, raises questions about whether signs of cognitive decline were present or observable during the April-May 2023 interaction period. FINRA Rule 4512 requires firms to make reasonable efforts to obtain the name of a trusted contact person for accounts of customers who may be vulnerable. FINRA Rule 2010 (standards of commercial honor) and numerous state elder financial abuse statutes impose additional obligations. The totality of the facts--extreme age, cognitive vulnerability, total savings at risk, misleading sales narrative, hidden compensation--presents a case consistent with elder financial exploitation as defined under model state laws and NASAA's Model Act to Protect Vulnerable Adults.

****7. Likely Regulatory Outcomes****

The SEC's Division of Enforcement would likely pursue Derek and Sunwall Wealth Partners for violations of Exchange Act Section 10(b)/Rule 10b-5, and Investment Advisers Act Sections 206(1) and (2). FINRA would pursue disciplinary proceedings for violations of Rules 2111, 2090, 4512, and 2010, potentially resulting in a lifetime bar. State securities regulators in Louisiana could pursue parallel enforcement under state securities fraud statutes. Criminal referral to DOJ is plausible given the fraud elements. Civil liability to Margaret under Exchange Act Section 10(b) and state law is virtually certain. Restitution of approximately \$136,000, civil monetary penalties, disgorgement of the \$2,300 referral fee, and suspension or permanent bar from the securities industry are all probable outcomes. This scenario represents one of the most serious categories of retail investor harm in the digital asset enforcement landscape.

Item 121 of 350**NON-COMPLIANT**

Topic: complex_products_unsophisticated_investor

Difficulty: medium

Source: 29_Crypto_Digital_Assets

Fact Pattern

Margaret Holloway is a 61-year-old retired school librarian living in Tucson, Arizona. She has approximately \$310,000 in a rollover IRA, which represents the entirety of her retirement savings. Her stated investment objective is capital preservation with modest income, and she has consistently identified herself on account paperwork as a conservative investor with low risk tolerance. She has no prior experience with digital assets, options, or any leveraged products, and her financial literacy is limited to basic mutual funds and CDs. She relies on her portfolio to supplement a modest Social Security benefit of roughly \$1,450 per month.

In February 2022, her financial advisor, Dennis Caulfield, who works at a mid-sized independent broker-dealer in Scottsdale, began encouraging Margaret to reallocate a portion of her IRA into a crypto yield account offered through a third-party platform that promised annualized returns of 8.5% on USD-pegged stablecoin deposits. Caulfield described the product to Margaret as essentially 'a high-yield savings account in digital form' and told her the returns were 'practically guaranteed' because the underlying assets were pegged to the dollar. He did not explain that the platform was not a bank, that deposits were not FDIC-insured, that the platform was lending customer assets to institutional borrowers, or that the yield was generated through unsecured crypto lending activities.

Between March and April 2022, Margaret transferred \$95,000 from her IRA into the yield account. Caulfield received a referral fee of approximately \$1,900 from the platform operator for onboarding the account. He did not disclose this compensation to Margaret at any point. By July 2022, the platform suspended all withdrawals citing liquidity issues, and by November 2022 it had filed for bankruptcy. Margaret lost approximately \$88,000 -- nearly 29% of her total retirement savings. Post-collapse investigation revealed that the platform had been operating without registering the yield accounts as securities, had commingled customer funds, and had misrepresented the risk profile of the product in its marketing materials, all of which Caulfield had access to in internal compliance bulletins that he disregarded.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dennis Caulfield committed multiple serious violations across several regulatory frameworks.

****1. Reg BI (Best Interest Obligation -- 17 CFR § 240.15l-1)****

Reg BI, which became effective June 30, 2020, requires broker-dealers to act in the best interest of retail customers when making a recommendation, placing the customer's interest ahead of the firm's or advisor's own. Caulfield's recommendation of a high-risk, unregistered crypto yield product to a 61-year-old retired conservative investor with capital preservation objectives plainly fails the Care Obligation under Reg BI's four-component framework. The Care Obligation (Rule 15l-1(a)(2)(ii)) requires the advisor to have a reasonable basis to believe the recommendation is in the customer's best interest based on the customer's investment profile. No reasonable basis existed here: the product was speculative, illiquid, uninsured, and dependent on unsecured crypto lending -- characteristics directly at odds with Margaret's documented profile.

****2. Disclosure Obligation Under Reg BI****

Reg BI's Disclosure Obligation (Rule 15l-1(a)(2)(i)) requires material conflicts of interest to be disclosed prior to or at the time of the recommendation. Caulfield received a \$1,900 referral fee from the platform and failed to disclose it. This undisclosed compensation created a direct conflict of interest and constitutes a standalone violation of Reg BI's Disclosure Obligation, as well as potentially violating FINRA Rule 2010 (standards of commercial honor).

****3. FINRA Suitability -- Rule 2111****

Although Reg BI largely supersedes traditional suitability analysis for retail customers, FINRA Rule 2111 remains applicable to institutional customers and provides additional analytical context. Under Rule 2111's reasonable-basis and customer-specific suitability prongs, recommending an unregistered, illiquid, speculative yield product to a conservative retiree with no crypto experience would fail on both grounds. Caulfield had no reasonable basis to believe the product was suitable for any retail conservative investor, and the specific characteristics of Margaret's profile (age, risk tolerance, sole retirement savings, income dependency) made the recommendation individually unsuitable.

****4. Securities Fraud -- Exchange Act § 10(b) and Rule 10b-5****

Caulfield's affirmative misrepresentation that the product was 'practically guaranteed' and his characterization of it as a 'high-yield savings account in digital form' constitute material misstatements in connection with the purchase of a security. Under Rule 10b-5, it is unlawful to make any untrue statement of material fact or omit to state a material fact necessary to make statements not misleading. The omissions regarding lack of FDIC insurance, the unsecured lending structure, platform risk, and the referral fee were each independently material.

****5. The Howey Test and Unregistered Security****

The crypto yield accounts at issue closely resemble the enforcement targets in SEC v. BlockFi (February 2022) and the Celsius and Gemini Earn matters. Under the Howey test (investment of money in a common enterprise with expectation of profits from the efforts of others), the yield accounts constitute investment contracts and therefore securities. The platform's failure to register these products is a violation of Securities Act § 5. Caulfield, by recommending an unregistered security, potentially exposed himself and his firm to liability as a seller under Securities Act § 12(a)(1), which imposes strict liability for selling unregistered securities. His access to internal compliance bulletins warning about the product -- which he disregarded -- strengthens the case for willful or reckless conduct.

****6. Investment Advisers Act § 206 (if dual registrant)****

If Caulfield provided any advisory services in connection with this recommendation, the fiduciary duty under the Investment Advisers Act § 206 would also apply, prohibiting any device, scheme, or artifice to defraud a client and requiring full and fair disclosure of all material conflicts.

****7. CFTC Jurisdiction Considerations****

To the extent any assets in the platform's portfolio included commodity-based crypto assets (e.g., Bitcoin or Ether), the CFTC's anti-fraud authority under the Commodity Exchange Act § 6(c) could also apply, particularly given the misrepresentations made in connection with the product.

****Likely Regulatory Outcome:****

Caulfield and his broker-dealer face potential FINRA enforcement action for violations of Rules 2111, 2010, and 4511 (books and records if referral fee was not documented). The SEC could bring an enforcement action under Exchange Act § 10(b), Rule 10b-5, and Securities Act § 12 for selling an unregistered security with material misstatements. FINRA would likely seek suspension, fines, and a requirement to provide restitution to Margaret. The broker-dealer faces supervisory liability under FINRA Rule 3110 for failing to detect and prevent the misconduct, particularly given the existence of ignored internal compliance bulletins. Margaret may also have a private right of action under Securities Act § 12(a)(1) to rescind the transaction and recover her \$88,000 loss.

Item 122 of 350

NON-COMPLIANT

Topic: crypto_assets_unsuitable

Difficulty: medium

Source: 29_Crypto_Digital_Assets

Fact Pattern

Margaret Holloway is a 71-year-old retired schoolteacher living in Tucson, Arizona. She has a fixed income of approximately \$2,200 per month from Social Security and a small pension. Her total investable assets amount to \$187,000, held primarily in a conservative bond mutual fund and a money market account. Margaret has repeatedly described herself to her advisor, Derek Fontaine, as someone who cannot afford to lose principal, has no interest in speculative investments, and needs her savings to last through retirement. She has no prior experience with digital assets, technology investments, or any product more complex than a basic mutual fund. In early 2022, Derek began encouraging Margaret to move \$55,000 -- nearly 30% of her total savings -- into a crypto yield account offered through a third-party platform that promised annualized returns of 8% to 12% on deposited stablecoins and other cryptocurrencies. Derek told Margaret the returns were 'basically like a high-yield savings account but better' and described the platform as 'very safe because the coins don't really go up and down in value.' He did not explain that the platform was not insured by the FDIC or SIPC, that her deposited assets would be lent out to institutional borrowers and could be lost if the platform became insolvent, or that regulators in multiple states had already issued cease-and-desist orders against similar yield products. Derek also did not disclose that he received a \$1,500 referral incentive from the platform for every client he onboarded. Margaret transferred \$55,000 to the platform in March 2022. By July 2022, the platform suspended all withdrawals and filed for bankruptcy protection. Margaret lost approximately \$49,000 of her transferred funds and has been unable to recover those assets.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Derek Fontaine's conduct constitutes multiple serious violations across several regulatory frameworks.

1. **REGULATION BEST INTEREST (Reg BI, 17 C.F.R. § 240.15l-1):** As a broker-dealer registered representative, Derek was required to act in Margaret's best interest at the time he made the recommendation, without placing his own financial interest ahead of hers. His recommendation to allocate nearly 30% of a 71-year-old retiree's fixed-income-dependent savings into a speculative, uninsured crypto yield product fails every component of Reg BI. Under the Care Obligation (Rule 15l-1(a)(2)(ii)), Derek was required to have a reasonable basis to believe the recommendation was in Margaret's best interest based on her investment profile -- her age, fixed income, conservative risk tolerance, lack of sophistication, and need to preserve capital made this recommendation objectively unreasonable. Under the Disclosure Obligation (Rule 15l-1(a)(2)(i)), Derek failed to disclose material risks including lack of FDIC/SIPC insurance, counterparty lending risk, platform insolvency risk, and the regulatory enforcement environment surrounding yield products. Under the Conflict of Interest Obligation (Rule 15l-1(a)(2)(iii)), the \$1,500 referral incentive constituted a material conflict that Derek was required to disclose and mitigate, not conceal.

2. **INVESTMENT ADVISERS ACT § 206 (15 U.S.C. § 80b-6):** If Derek or his firm holds itself out as providing investment advice, § 206 prohibits fraudulent, deceptive, or manipulative conduct. Describing the crypto yield product as 'basically like a high-yield savings account' and 'very safe' while omitting material risks about lending arrangements

and platform insolvency constitutes a deceptive practice under § 206(1) and (2). The SEC has consistently held that omissions of material fact violate § 206 even absent affirmative misstatements.

3. EXCHANGE ACT § 10(b) AND RULE 10b-5 (17 C.F.R. § 240.10b-5): Derek's misrepresentations -- characterizing an uninsured, speculative lending product as akin to a savings account -- and omissions of material facts (platform risk, regulatory actions against similar products, his personal financial incentive) in connection with the purchase of a security may give rise to liability under Rule 10b-5. The crypto yield product likely qualifies as a security under the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)) because investors deposited funds into a common enterprise with an expectation of profits derived from the managerial efforts of the platform operators. The SEC's 2019 Digital Asset Framework confirms that yield-generating crypto products structured this way typically satisfy all four Howey prongs.

4. SEC ENFORCEMENT PRECEDENT ON YIELD PRODUCTS: The SEC's enforcement actions against BlockFi (settled February 2022 for \$100 million), Celsius, Gemini Earn, and Genesis are directly on point. In each case, the SEC found that crypto yield/lending products constituted unregistered securities offerings. Derek recommended an unregistered yield product to a retail customer without investigating whether that product was legally offered, which itself represents a failure of due diligence that Reg BI requires.

5. FINRA RULE 2210 AND COMMUNICATIONS STANDARDS: Derek's oral representations describing the product as 'very safe' and akin to a savings account constitute misleading communications under FINRA Rule 2210(d), which requires that all communications be fair, balanced, and not misleading. Omitting the risks of capital loss, illiquidity upon insolvency, and lack of regulatory insurance protections rendered his description materially incomplete.

6. FINRA RULE 2010 (STANDARDS OF COMMERCIAL HONOR): The concealment of the \$1,500 referral payment constitutes a failure to observe high standards of commercial honor and just and equitable principles of trade, an independent violation regardless of investment outcome.

7. CFTC JURISDICTION NOTE: Depending on the specific assets in the yield account, the CFTC may assert concurrent jurisdiction over certain crypto commodities (e.g., Bitcoin and Ether, which the CFTC has designated as commodities). If any portion of Margaret's funds involved commodity-based instruments, anti-fraud provisions under the Commodity Exchange Act § 4b (7 U.S.C. § 6b) would also apply.

LIKELY REGULATORY OUTCOME: Derek faces potential enforcement by FINRA (suspension, bar, fines), the SEC (civil fraud charges, disgorgement of referral fees), and possibly state securities regulators. His firm faces supervisory liability for failure to review the suitability of this recommendation and for permitting undisclosed referral arrangements. Margaret would have strong grounds for FINRA arbitration seeking full compensatory damages of approximately \$49,000, plus interest, costs, and potentially punitive damages given the egregious nature of the misrepresentations. Derek's omission of the referral incentive alone constitutes a per se disclosure violation under Reg BI's conflict of interest rules.

Item 123 of 350

NON-COMPLIANT

Topic: inappropriate_risk_profile

Difficulty: medium

Source: 29_Crypto_Digital_Assets

Fact Pattern

Margaret Hollis, a 71-year-old retired school librarian living in Tucson, Arizona, has been a client of Pinnacle Wealth Strategies since 2018. Her financial profile at the time of the events in question, spanning from March through July 2023, showed total investable assets of approximately \$312,000, nearly all of which represented her life savings. Margaret's stated investment objective, documented in her client intake forms and annual update questionnaires, was capital preservation with modest income generation to supplement her Social Security payments of \$1,840 per month. She had no pension. Her documented risk tolerance was explicitly marked as 'conservative,' and she had noted in her own handwriting on a 2022 update form that she 'cannot afford to lose money' and 'needs this money to last.' Her monthly living expenses ran approximately \$2,600, meaning she relied on her portfolio to cover a \$760 monthly shortfall. She had no significant assets outside this portfolio and owned her home outright, valued at approximately \$180,000, which she considered off-limits for investment purposes. Margaret had no prior experience with cryptocurrency, had never owned digital assets, and described technology generally as confusing to her during client meetings. Her advisor of record at Pinnacle, Derek Fontaine, age 34, had been licensed for six years and had recently completed an internal firm training module on digital assets. In the spring of 2023, Derek became enthusiastic about yield-bearing crypto products after attending an industry conference where speakers discussed the potential for double-digit annual returns from crypto lending platforms. Beginning in late March 2023, Derek began a series of calls with Margaret, during which he described crypto lending accounts as 'essentially like a high-yield savings account but with better returns.' He did not explain that the platforms in question were not insured by any federal deposit insurance program, that several comparable platforms had recently frozen customer withdrawals and filed for bankruptcy, or that the assets would leave Margaret's custody and be lent to third-party borrowers with no guaranteed return of principal. Over three separate transactions in April and May 2023, Derek directed Margaret to liquidate \$87,000 of her existing conservative bond fund holdings and transfer those proceeds into two crypto yield accounts on platforms marketed as offering 9.5% and 11.2% annual percentage yields respectively. Derek received elevated internal performance recognition tied to client assets moved into higher-margin product categories, which included these crypto referral arrangements. By August 2023, one of the platforms suspended withdrawals citing 'liquidity constraints,' and the other reduced yields to near zero before also restricting access. Margaret's \$87,000 became effectively inaccessible, and her monthly income shortfall worsened significantly. She contacted Pinnacle's compliance department in September 2023 after receiving a notice that one platform had commenced restructuring proceedings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Fontaine committed multiple and serious violations of applicable regulatory standards, and this fact pattern presents a strong case for regulatory enforcement and civil liability.

1. REGULATION BEST INTEREST (Reg BI, 17 CFR § 240.15l-1): Reg BI requires broker-dealers and their associated persons to act in the best interest of retail customers when making a recommendation of any securities transaction or investment strategy. Margaret is unambiguously a retail customer. Derek's recommendation to liquidate \$87,000 in

conservative bond holdings and place the proceeds into crypto yield-bearing accounts must satisfy the four component obligations under Reg BI: (a) Disclosure Obligation -- Derek failed to disclose material facts including the absence of FDIC or SIPC protection, the total loss of custody risk, the recent history of comparable platform failures including BlockFi (filed bankruptcy December 2022), Celsius (filed bankruptcy July 2022), and Gemini/Genesis Earn product disputes, and his own financial incentive tied to moving assets into higher-margin products. This constitutes a clear violation of the Disclosure Obligation under Reg BI. (b) Care Obligation -- Derek was required to exercise reasonable diligence, care, and skill to understand the recommended product and its risks, and to recommend it only if it was in Margaret's best interest based on her investment profile. Margaret's profile -- 71 years old, capital preservation objective, conservative risk tolerance, near-total dependence on her portfolio, explicit written notation that she cannot afford losses -- categorically conflicts with a recommendation to place 28% of her total investable assets (\$87,000 of \$312,000) in speculative, uninsured, illiquid, high-risk crypto lending products. No reasonable care analysis supports this recommendation. (c) Conflict of Interest Obligation -- Derek received internal performance recognition tied to moving client assets into these product categories. This conflict was not disclosed to Margaret, in direct violation of Reg BI's conflict identification, disclosure, and mitigation requirements. (d) Compliance Obligation -- Pinnacle Wealth Strategies as the firm bears institutional liability for failing to establish, maintain, and enforce written compliance policies and procedures reasonably designed to achieve compliance with Reg BI, particularly given that firm-level incentive structures appear to have encouraged this behavior.

2. INVESTMENT ADVISERS ACT § 206 (15 U.S.C. § 80b-6): If Derek or Pinnacle are dually registered or registered as investment advisers, Section 206 imposes a fiduciary duty, prohibiting fraud, deceit, and any device or scheme to defraud a client. Recommending a product that is categorically misaligned with a client's documented needs, while concealing material risks and a personal financial incentive, constitutes a breach of fiduciary duty and potentially fraudulent conduct under Section 206(1) and 206(2).

3. EXCHANGE ACT § 10(b) AND RULE 10b-5: The crypto yield accounts, depending on their structure, are likely securities under the Howey test articulated in the SEC's 2019 Digital Asset Framework. These products involve (i) an investment of money, (ii) in a common enterprise (the lending pool), (iii) with an expectation of profits, (iv) derived from the efforts of others (the platform's lending and investment management activities). If these are securities, Derek's material misrepresentations -- describing them as essentially equivalent to high-yield savings accounts while omitting platform insolvency risks, custody risks, and lack of deposit insurance -- constitute fraud in connection with the purchase or sale of securities under Section 10(b) and Rule 10b-5.

4. CFTC JURISDICTION CONSIDERATIONS: To the extent any portion of the yield accounts involved crypto assets classified as commodities (Bitcoin, Ether under pre-Merge characterization), the CFTC may have concurrent jurisdiction. Fraudulent representations in connection with commodity transactions can trigger CFTC Act Section 6(c) and 9(a)(2) liability.

5. FINRA GUIDANCE ON CRYPTO ASSETS: FINRA has issued multiple regulatory notices (including Regulatory Notice 18-20 and subsequent guidance) directing firms to apply heightened supervision and robust suitability analysis when recommending crypto-related products to retail investors. The concentration level here -- 28% of a capital-preservation-oriented retiree's portfolio in speculative crypto products -- would almost certainly be flagged as an egregious suitability failure under FINRA's framework, even if the products themselves were not securities.

6. LIKELY REGULATORY OUTCOME: This fact pattern would likely result in: (a) SEC enforcement action against Derek individually under Reg BI and potentially Section 10(b), with civil monetary penalties and a possible bar; (b) SEC or FINRA action against Pinnacle for supervisory failures and inadequate conflict-of-interest policies; (c) customer arbitration claim through FINRA with strong prospects for full compensatory damages of \$87,000 plus consequential damages for lost income; (d) state securities regulator involvement under Arizona securities law. The concealed conflict of interest combined with the blatant mismatch between product risk and client profile, and the specific harm to a vulnerable elderly investor with fixed income dependence, would be aggravating factors in any enforcement or

arbitration proceeding, likely resulting in enhanced penalties and possible punitive damages in civil proceedings.

Item 124 of 350**NON-COMPLIANT****Topic:** crypto_assets_unsuitable**Difficulty:** medium**Source:** 29_Crypto_Digital_Assets**Fact Pattern**

Margaret Olsen, a 71-year-old retired schoolteacher living in Duluth, Minnesota, has accumulated \$310,000 in savings over her 35-year career, representing virtually her entire net worth outside of her modest Social Security income of \$1,850 per month. Margaret visited her financial advisor, Derek Wulfson, at a regional broker-dealer in early 2022 after her certificate of deposit matured. She told Derek she was looking for something that would generate a little extra monthly income to help cover rising grocery and utility bills, that she had never invested in anything riskier than bank CDs and U.S. Treasury bonds, and that she could not afford to lose the principal because she had no other financial cushion. Derek acknowledged her concerns but told her he had been recommending a 'yield-bearing crypto account' product to several clients and that it was 'basically like a high-yield savings account but better.' He described the product as offering annualized yields of 8.5% on stablecoin deposits, explaining that the coins were pegged to the U.S. dollar so there was 'no real price risk.' He did not explain that the product involved lending her deposited funds to third-party institutional borrowers, that the platform was not a bank and carried no FDIC insurance, that the stablecoin peg could break under stressed market conditions, or that the platform itself could become insolvent. Derek invested \$175,000 of Margaret's savings -- roughly 56% of her total nest egg -- into the yield-bearing crypto account in March 2022. He collected a referral fee of \$1,400 from the platform operator, which he did not disclose to Margaret. By November 2022, the platform had suspended all withdrawals due to liquidity problems stemming from broader crypto market contagion following the collapse of several major crypto entities that year. Margaret's \$175,000 became entirely inaccessible and she later received notice that she might recover as little as 20 cents on the dollar through a bankruptcy proceeding expected to last several years. She contacted Derek's firm to complain, and internal records revealed Derek had recommended the same product to 14 other retail clients totaling approximately \$2.1 million in aggregate deposits.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Derek Wulfson's conduct presents multiple serious regulatory violations across several overlapping frameworks.

****Regulation Best Interest (Reg BI) -- 17 C.F.R. § 240.15l-1:****

As a registered representative at a broker-dealer, Derek was subject to Reg BI, which became effective June 30, 2020. Reg BI requires that when a broker-dealer makes a recommendation of a securities transaction or investment strategy involving securities to a retail customer, the firm and its associated persons must act in the best interest of the retail customer at the time of the recommendation, without placing the financial or other interest of the broker-dealer ahead of the retail customer's interest. The regulation imposes four component obligations: (1) Disclosure Obligation; (2) Care Obligation; (3) Conflict of Interest Obligation; and (4) Compliance Obligation.

The Care Obligation (Exchange Act Rule 15l-1(a)(2)(ii)) requires the advisor to exercise reasonable diligence, care, and skill in understanding the potential risks, rewards, and costs associated with the recommendation and to have a reasonable basis to believe the recommendation is in the best interest of the retail customer based on their investment

profile. Margaret's investment profile -- age 71, fixed income reliance, conservative investment history, zero risk tolerance for principal loss, and dependence on the funds for day-to-day living expenses -- made a 56% concentration in an uninsured, illiquid, crypto-based yield product wholly inconsistent with her stated needs and financial circumstances. Derek had no reasonable basis for recommending this product to a customer of Margaret's profile.

The Disclosure Obligation (Rule 15l-1(a)(2)(i)) required Derek to disclose material facts about the recommendation, including material risks. Derek's failure to disclose the lending structure of the product, the absence of FDIC insurance, the risk of platform insolvency, and the possibility of stablecoin de-pegging constitutes a clear breach. His characterization of the product as 'basically like a high-yield savings account' was affirmatively misleading and likely constitutes a material misrepresentation under Exchange Act Section 10(b) and Rule 10b-5, 17 C.F.R. § 240.10b-5.

The Conflict of Interest Obligation (Rule 15l-1(a)(2)(iii)) required Derek to establish, maintain, and enforce written policies and procedures reasonably designed to identify and, at a minimum, disclose or eliminate conflicts of interest. Derek's undisclosed \$1,400 referral fee from the platform operator is a textbook conflict of interest that was required to be disclosed to Margaret and addressed within the firm's conflict management framework. The failure to disclose this fee independently violates Reg BI's conflict provisions and may also constitute a violation of the anti-fraud provisions under Section 17(a) of the Securities Act, 15 U.S.C. § 77q(a).

****SEC Digital Asset Framework -- Howey Test and Security Classification:****

The yield-bearing crypto account product Derek recommended warrants analysis under the Howey test (from SEC v. W.J. Howey Co., 328 U.S. 293 (1946)) as applied in the SEC's 2019 Framework for 'Investment Contract' Analysis of Digital Assets. The product involved customers depositing funds into a pooled platform, the platform deployed those funds to third-party institutional borrowers to generate returns, and profits were distributed back to depositors. This structure satisfies each Howey prong: (1) an investment of money; (2) in a common enterprise; (3) with an expectation of profits; (4) derived from the efforts of others (the platform's lending and asset management operations). The SEC has taken the position in enforcement actions against substantially similar products -- including yield-bearing accounts at BlockFi (settled February 2022, \$100 million penalty), Celsius, and Genesis -- that such products constitute securities requiring registration under the Securities Act of 1933. If this product was an unregistered security, Derek's recommendation and sale of it also implicates Securities Act Section 5, 15 U.S.C. § 77e, and his firm may have liability as an unregistered broker-dealer for those transactions.

****Investment Advisers Act Section 206 (if dual-registrant or IAR):****

If Derek or his firm also held investment adviser registration, Section 206 of the Investment Advisers Act of 1940, 15 U.S.C. § 80b-6, imposes a broad fiduciary duty prohibiting any device, scheme, or artifice to defraud clients or any transaction, practice, or course of business that operates as a fraud or deceit. The undisclosed referral fee would independently constitute a breach of fiduciary duty under Section 206(2), which does not require intent -- a negligent failure to disclose a material conflict suffices.

****FINRA Rules (applicable to registered representatives):****

Under FINRA Rule 2010 (Standards of Commercial Honor), Derek's undisclosed referral compensation and misleading product description constitute conduct inconsistent with just and equitable principles of trade. FINRA Rule 4512 requires member firms to maintain accurate records of customer account information, and the firm's apparent failure to supervise Derek across 15 client accounts totaling \$2.1 million raises serious supervisory deficiency concerns under FINRA Rule 3110, which requires member firms to establish and maintain a supervisory system reasonably designed to achieve compliance with applicable securities laws and regulations.

****CFTC Jurisdiction Considerations:****

To the extent any component of the product involved commodity interests or the platform dealt in commodity derivatives (common in crypto yield platforms that hedge using futures), the Commodity Exchange Act and CFTC jurisdiction may also be implicated, particularly if the stablecoin involved had commodity characteristics. The CFTC has asserted broad

jurisdiction over crypto assets as commodities under 7 U.S.C. § 1 et seq.

****Likely Regulatory Outcome:****

Derek and his firm face substantial regulatory exposure. The firm would likely face a FINRA enforcement action for supervisory failures given the pattern of 15 similar recommendations. Derek individually faces potential sanctions including fines, suspension, or bar from the industry under FINRA Rules, as well as potential SEC enforcement for the securities law violations. Margaret and the other affected clients would have strong arbitration claims through FINRA's dispute resolution forum seeking rescission and compensatory damages. The undisclosed referral fee creates independent grounds for disgorgement. The SEC could also refer the matter to the Department of Justice if the misrepresentations were intentional, potentially implicating wire fraud statutes. The concentration alone -- 56% of a 71-year-old retiree's life savings in an illiquid, uninsured crypto product -- would be viewed by regulators as a prima facie unsuitable recommendation requiring no further analysis to establish a basic violation.

Item 125 of 350**NON-COMPLIANT****Topic:** senior_investor_exploitation**Difficulty:** hard**Source:** 29_Crypto_Digital_Assets**Fact Pattern**

Margaret Holloway, a 74-year-old retired schoolteacher living in Tucson, Arizona, came to financial advisor Derek Stanton at Pinnacle Wealth Advisors in March 2023 after her husband of 47 years passed away. Margaret inherited approximately \$610,000 in a rollover IRA and a joint brokerage account containing \$215,000, representing the entirety of her liquid savings. She had no pension beyond a modest monthly Social Security payment of \$1,840. Margaret had never owned stocks until her late husband managed the finances, and during her onboarding interview she repeatedly told Stanton she was 'terrified of losing money' and that she needed the savings to cover living expenses, potential nursing home costs, and to leave something for her two adult children. She described herself as having no understanding of technology or investing. Stanton noted her conservative risk profile in her account paperwork but then spent three meetings persuading Margaret that a 'new category of high-yield digital savings accounts' offered by a platform called YieldBridge -- a crypto lending intermediary -- was essentially equivalent to a federally insured bank CD but paying 9.2% annually. He showed her printed marketing materials and did not mention that YieldBridge was an unregistered platform, that customer funds would be lent to institutional crypto borrowers, that deposits were not insured by any government agency, or that the underlying assets held by the platform included volatile cryptocurrencies such as Bitcoin and Ether as collateral. Between April and June 2023, Stanton moved \$310,000 from Margaret's rollover IRA -- executed as a distribution rather than a direct transfer, triggering approximately \$68,000 in federal income tax liability -- and deposited the proceeds into YieldBridge's 'MaxYield Earn' product. He earned a \$9,300 referral commission paid directly to him by YieldBridge, which he did not disclose to Margaret. By November 2023, YieldBridge suspended all withdrawals citing 'liquidity constraints,' and by February 2024 the platform filed for bankruptcy. Margaret recovered approximately \$41,000 through bankruptcy proceedings, representing a loss of roughly \$269,000 in principal, in addition to the tax liability she incurred on the forced distribution.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Derek Stanton's conduct represents egregious, multi-layered regulatory violations that implicate federal securities law, investment adviser standards, and elder financial exploitation statutes.

1. **HOWEY TEST AND UNREGISTERED SECURITY:** YieldBridge's 'MaxYield Earn' product almost certainly constitutes a security under the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)). The product involved (i) an investment of money, (ii) in a common enterprise (pooled lending to institutional crypto borrowers), (iii) with an expectation of profits (9.2% annual yield), (iv) derived from the efforts of others (YieldBridge's lending and asset management operations). This analysis is directly consistent with the SEC's enforcement actions against BlockFi (settled February 2022, \$100M penalty), Celsius, Gemini Earn/Genesis, and others offering materially identical crypto yield products. Because YieldBridge's product was an unregistered security, Stanton's recommendation and facilitation of the investment constituted participation in the offer and sale of an unregistered security under Securities Act Section 5, exposing both Stanton and Pinnacle Wealth Advisors to significant liability.

2. INVESTMENT ADVISERS ACT SECTION 206 -- FRAUD AND FIDUCIARY BREACH: Under Investment Advisers Act Section 206(1) and 206(2), a registered investment adviser owes a fiduciary duty to clients that includes a duty of loyalty and a duty of care. Stanton violated both prongs. His failure to disclose (a) the unregistered nature of the YieldBridge product, (b) the absence of deposit insurance, (c) the crypto collateral exposure underlying the yield, and (d) his \$9,300 undisclosed referral commission constitute material omissions actionable as fraud under Section 206(1) (scienter-based) and Section 206(2) (negligence-based). The undisclosed commission is particularly damaging: the SEC's 2019 Digital Asset Framework and longstanding fiduciary guidance require advisers to disclose all conflicts of interest, and an undisclosed referral fee from an issuer is a per se conflict requiring either disclosure and informed consent or elimination. See also SEC Release IA-5248 (Form ADV and Investment Adviser Regulation).

3. REGULATION BEST INTEREST (Reg BI, 17 C.F.R. § 240.15l-1): If Stanton or Pinnacle operated through a broker-dealer arm, Reg BI's Care Obligation would independently require that any recommendation of a security be in the retail customer's best interest at the time of the recommendation, considering cost, risk, and the customer's investment profile. Recommending a 100% uninsured, illiquid, unregistered crypto yield product -- representing over 50% of a 74-year-old's total liquid assets, with a self-described conservative risk tolerance and income-dependence -- fails this standard on every dimension. The Conflict of Interest Obligation under Reg BI further required disclosure of the referral commission, which was not made.

4. EXCHANGE ACT SECTION 10(b) AND RULE 10b-5: Stanton's affirmative misrepresentation that YieldBridge functioned 'essentially like a federally insured CD' while omitting material facts about the product's structure, risks, and his own financial interest constitutes a fraudulent device, scheme, or misrepresentation in connection with the purchase or sale of a security under Exchange Act Section 10(b) and Rule 10b-5(b). Scienter is evidenced by the fact that Stanton was receiving a commission from YieldBridge and therefore had actual knowledge of the product's commercial nature.

5. CFTC JURISDICTION CONSIDERATIONS: To the extent YieldBridge's collateral pool included Bitcoin or Ether, the CFTC has asserted jurisdiction over those assets as commodities under the Commodity Exchange Act. Depending on the platform's operational structure, CFTC anti-fraud provisions (CEA Section 6(c) and Regulation 180.1) may also have been violated by the misrepresentations made in connection with commodity-linked instruments.

6. UNSUITABLE IRA DISTRIBUTION / ROLLOVER MISCONDUCT: Stanton structured the transaction as a distribution rather than a direct rollover, generating an estimated \$68,000 tax liability for a 74-year-old client on a fixed income. This serves no legitimate purpose for the client and strongly suggests the structure was chosen to facilitate the transaction outside custodial oversight. Department of Labor guidance on rollovers, as well as IRS rules governing IRA distributions, impose heightened scrutiny on advisers who recommend taxable IRA distributions. FINRA Regulatory Notice 13-45 addresses IRA rollover recommendations and requires a documented best-interest analysis -- none of which was performed or preserved here.

7. ELDER FINANCIAL EXPLOITATION: At the state level, Arizona's Adult Protective Services Act (A.R.S. § 46-454) and securities statutes governing senior investor protections would likely apply. NASAA's Model Rule on Financial Exploitation of Specified Adults and FINRA Rule 2010 (standards of commercial honor) both provide additional bases for sanction. Stanton targeted a recently widowed, financially unsophisticated 74-year-old who had explicitly communicated fear of loss -- a profile that should have triggered heightened due diligence obligations, not an aggressive placement into an unregistered high-risk product.

8. LIKELY REGULATORY OUTCOMES: Stanton faces potential SEC enforcement action for investment adviser fraud (disgorgement of commission plus civil penalties), FINRA disciplinary action including possible bar from the industry, state securities regulator action in Arizona, and potential criminal referral under 18 U.S.C. § 1348 (securities fraud) and 18 U.S.C. § 1343 (wire fraud) given the deliberate misrepresentations. Pinnacle Wealth Advisors faces supervisory liability under Investment Advisers Act Section 203(e) and Exchange Act Section 15(b) for failing to supervise Stanton,

particularly given the size and nature of the transaction relative to the client's profile. Margaret's civil claims would include breach of fiduciary duty, negligence, fraudulent misrepresentation, and potentially elder abuse -- all of which carry strong evidentiary support given the documented client profile notes, the undisclosed commission, and the affirmative CD comparison misrepresentation. This scenario is unambiguously non-compliant at every level of analysis.

Item 126 of 350

NON-COMPLIANT

Topic: inappropriate_risk_profile

Difficulty: medium

Source: 29_Crypto_Digital_Assets

Fact Pattern

Margaret Okonkwo, a 71-year-old retired schoolteacher living in Akron, Ohio, came to financial advisor Derek Pullman at Clearwater Wealth Management in March 2022. Margaret had accumulated \$310,000 in retirement savings across a rollover IRA and a small brokerage account. She described herself to Pullman during their onboarding meeting as someone who 'cannot afford to lose any of this money' and indicated she needed the funds to cover living expenses and medical costs over the next 15 to 20 years. Her stated investment objective on her new client form was 'capital preservation with modest income.' She had no prior experience with digital assets, had never owned cryptocurrency, and told Pullman she found the topic confusing and intimidating. Her monthly Social Security income was \$1,840, and she had no pension. In April 2022, Pullman called Margaret and recommended she move \$75,000, approximately 24% of her total savings, into a crypto yield account offered through a third-party platform called 'YieldChain Pro,' which promised annualized returns of 9.5% on deposited stablecoins. Pullman described the product to Margaret as 'basically a high-yield savings account but using newer technology,' and told her the stablecoin component meant 'there was no real price risk like with Bitcoin.' He did not explain that the yield was generated by lending her deposited assets to institutional borrowers, that the platform was not insured by the FDIC or SIPC, that the assets would leave her custody entirely, or that the platform had no regulatory oversight. He also did not disclose that he received a 1.2% referral fee from YieldChain Pro for each client he directed to the platform. Margaret transferred \$75,000 to the account in May 2022. By November 2022, YieldChain Pro suspended all withdrawals citing 'liquidity constraints,' and by January 2023 the platform filed for bankruptcy. Margaret lost the entire \$75,000.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Pullman committed multiple serious violations across several regulatory frameworks.

1. **SUITABILITY AND BEST INTEREST UNDER REGULATION BEST INTEREST (Reg BI, 17 C.F.R. § 240.15l-1):** Pullman recommended a high-risk, illiquid, uninsured crypto yield product to a 71-year-old retiree whose stated objective was capital preservation and who explicitly said she could not afford losses. Under Reg BI's Care Obligation, a broker-dealer representative must have a reasonable basis to believe a recommendation is in the retail customer's best interest based on that customer's investment profile, including age, financial situation, investment experience, risk tolerance, and liquidity needs. Recommending that Margaret allocate nearly 25% of her life savings to an unregulated crypto lending platform--given her profile--fails this standard categorically. This is an 'easy' violation on the facts but carries medium-level analytical complexity because of the stablecoin misrepresentation layer.

2. **INVESTMENT ADVISERS ACT §206 -- FRAUD AND MISREPRESENTATION:** If Pullman is acting as an investment adviser (or a dually registered representative), Section 206(1) and 206(2) of the Investment Advisers Act of 1940 prohibit employing any device, scheme, or artifice to defraud a client, and engaging in any transaction or practice that operates as a fraud. Pullman's characterization of the YieldChain Pro account as 'basically a high-yield savings account' was materially misleading. Stablecoin-denominated crypto lending products are fundamentally different from

savings accounts: the assets leave client custody, are exposed to counterparty insolvency risk, are uninsured, and are subject to withdrawal freezes--all of which materialized here. This misrepresentation likely constitutes fraud under §206.

3. **UNDISCLOSED CONFLICT OF INTEREST:** Pullman received a 1.2% referral fee from YieldChain Pro and did not disclose this to Margaret. Under Reg BI's Disclosure Obligation (Rule 15l-1(a)(2)(i)), broker-dealer representatives must disclose all material facts relating to the conflict of interest associated with a recommendation. Under the Investment Advisers Act and the fiduciary duty applicable to investment advisers, undisclosed compensation that creates a conflict of interest is a per se violation. The referral fee created a direct financial incentive to recommend the product regardless of its suitability, and concealing it is both a Reg BI violation and a potential §206 fraud.

4. **SEC DIGITAL ASSET FRAMEWORK (April 2019) AND HOWEY TEST:** The YieldChain Pro yield account almost certainly constitutes a security under the Howey test: (a) there is an investment of money, (b) in a common enterprise, (c) with an expectation of profits, (d) derived solely from the efforts of others (YieldChain Pro's lending operations). The SEC's enforcement actions against BlockFi (settled February 2022 for \$100 million), Celsius, Genesis, and Gemini's Earn product all confirm that crypto yield accounts of this structure are unregistered securities. Recommending an unregistered security to a retail investor without disclosing its unregistered status violates Exchange Act §10(b) and SEC Rule 10b-5, as well as Securities Act §5 (unregistered offer and sale).

5. **CFTC JURISDICTION CONSIDERATIONS:** To the extent the stablecoin underlying the product is deemed a commodity (as the CFTC has asserted jurisdiction over certain digital assets including some stablecoins), Pullman's recommendation may also implicate CFTC anti-fraud authority under Commodity Exchange Act §6(c) and CFTC Rule 180.1, which prohibit fraud in connection with commodity transactions.

6. **FINRA GUIDANCE ON CRYPTO ASSETS:** FINRA has issued multiple regulatory notices warning member firms that recommendations involving crypto asset products must comply with suitability obligations under FINRA Rule 2111 and, post-June 2020, Reg BI. FINRA has specifically flagged crypto yield products as high-risk and noted that failure to understand the product's structure, risks, and regulatory status before recommending it constitutes a per se suitability failure.

7. **LIKELY REGULATORY OUTCOME:** Pullman faces exposure to SEC enforcement for recommending an unregistered security, material misrepresentation, and failure to disclose conflicts. He faces FINRA disciplinary action including potential bar, fines, and disgorgement of the referral fees received. Clearwater Wealth Management faces supervisory liability under Exchange Act §15(b) and FINRA Rule 3110 for failing to supervise Pullman's crypto-related recommendations and for not having adequate policies to screen unregistered digital asset products. Margaret would have strong grounds for FINRA arbitration and a private civil action. The \$75,000 loss is likely fully recoverable given the fraudulent misrepresentation and the clear unsuitability of the recommendation.

Item 127 of 350

NON-COMPLIANT

Topic: senior_investor_exploitation

Difficulty: medium

Source: 29_Crypto_Digital_Assets

Fact Pattern

Margaret Holloway is a 74-year-old retired schoolteacher living in Tucson, Arizona. She lives on a fixed income consisting of a \$2,100 monthly Social Security payment and a small teacher's pension of \$890 per month, totaling approximately \$35,880 per year. Her total investable assets amount to \$312,000, which represent her entire life savings accumulated over four decades. Margaret has no other real estate equity, no inheritance prospects, and her adult children live out of state and are not involved in her financial affairs. She describes herself as a conservative investor whose primary goals are capital preservation and generating modest income to supplement her fixed monthly income. She has never invested in anything beyond certificates of deposit and a simple balanced mutual fund held in her IRA. In early 2022, Margaret's financial advisor, Derek Paulson, a registered representative at a mid-sized regional broker-dealer in Phoenix, began recommending that Margaret move a substantial portion of her savings into a crypto-based yield product. Specifically, Paulson recommended that Margaret transfer \$140,000--approximately 45% of her total life savings--into a high-yield crypto lending account offered by a now-defunct centralized crypto lending platform. The platform promised annual yields of between 8% and 10% on deposited stablecoins, which Paulson represented to Margaret as 'basically just like a high-yield savings account but better.' Paulson explained to Margaret that the stablecoin used by the platform was 'pegged to the dollar' and therefore carried no meaningful price risk. He did not disclose to Margaret that the platform was not a bank, that her deposits were not insured by any government-backed deposit insurance program, that the platform was lending her assets to institutional crypto borrowers and hedge funds, that the platform had no obligation to return her assets on demand, or that the platform had been under scrutiny by multiple state regulators for offering what those regulators characterized as unregistered securities. Paulson also did not disclose that he was receiving a referral incentive from the platform for each customer he onboarded. Margaret transferred the \$140,000 in October 2022. By November 2022, the platform had frozen all customer withdrawals citing 'extreme market conditions' following broader crypto market turmoil, and by early 2023 the platform had filed for bankruptcy. Margaret's \$140,000 became illiquid and was unlikely to be recovered in full through the bankruptcy proceedings. When Margaret attempted to reach Paulson after the freeze, he initially told her to 'be patient' and that the platform would 'work things out.' Margaret ultimately lost an estimated \$95,000 of her original deposit based on preliminary bankruptcy recovery estimates.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Paulson committed multiple serious regulatory violations in connection with his recommendation to Margaret Holloway.

****1. Regulation Best Interest (Reg BI) -- Care Obligation [17 CFR § 240.15l-1]****

Reg BI requires broker-dealers and their associated persons to act in the best interest of a retail customer when making a recommendation of any securities transaction or investment strategy. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of the recommendation, and to have a reasonable basis to believe the recommendation is in the best interest of the retail

customer based on their investment profile. Margaret's profile -- age 74, fixed income of approximately \$35,880 annually, total life savings of \$312,000, conservative risk tolerance, capital preservation objectives, no prior experience with digital assets -- is wholly incompatible with concentrating 45% of her life savings in an unregistered crypto yield product. There was no reasonable basis for Paulson to believe this recommendation served her best interest. This is a clear violation of the Care Obligation.

****2. Concentration Risk and Customer-Specific Suitability****

Even if the product type were appropriate for some investors, placing 45% of a 74-year-old's entire life savings -- her sole financial resource -- in a single illiquid, uninsured crypto lending account represents a catastrophic concentration risk. FINRA Rule 2111, which preceded and informs the Reg BI framework, requires that recommendations be suitable based on the customer's specific investment profile. The concentration alone, without regard to the nature of the product, would fail both quantitative and qualitative suitability analysis for a customer of Margaret's profile.

****3. Material Misrepresentations and Omissions -- Exchange Act Section 10(b) and Rule 10b-5 [15 U.S.C. § 78j(b); 17 CFR § 240.10b-5]****

Paulson's characterization of the crypto yield account as 'basically just like a high-yield savings account' constituted a material misrepresentation. His failure to disclose (a) the absence of deposit insurance, (b) the platform's unregistered securities status, (c) the illiquidity and withdrawal restrictions, (d) the lending and counterparty risk to institutional crypto borrowers, and (e) his own financial incentive in the form of a referral fee each constitute material omissions under Rule 10b-5. Under the antifraud provisions of the Exchange Act, omissions are actionable where the advisor had a duty to disclose, which arises from the broker-customer relationship.

****4. Howey Test and Unregistered Securities [SEC v. W.J. Howey Co., 328 U.S. 293 (1946); Securities Act § 5]****

The crypto yield product recommended by Paulson almost certainly constitutes a security under the Howey test. The product involved (i) an investment of money, (ii) in a common enterprise (the platform's lending pool), (iii) with a reasonable expectation of profits, (iv) derived from the efforts of others (the platform's management of lending operations). The SEC's 2019 Digital Asset Framework and subsequent enforcement actions against comparable platforms -- including BlockFi, Celsius, and Gemini/Genesis -- confirm that yield-bearing crypto lending products of this type are treated as securities subject to registration requirements under the Securities Act of 1933. Paulson recommended an unregistered security to a retail investor, which independently violates the Securities Act's registration requirements and raises broker-dealer liability under Section 15 of the Exchange Act.

****5. Reg BI Disclosure Obligation -- Conflict of Interest****

Reg BI's Disclosure Obligation requires that material facts relating to the relationship between the broker and the customer, including material conflicts of interest, be disclosed in writing prior to or at the time of the recommendation. Paulson's receipt of a referral incentive from the platform was a material conflict of interest that was never disclosed to Margaret. This is a direct violation of the Disclosure Obligation.

****6. Investment Advisers Act § 206 -- Fiduciary Duty [15 U.S.C. § 80b-6]****

If Paulson or his firm provided advisory services (as opposed to purely transactional brokerage), Section 206 of the Investment Advisers Act imposes a fiduciary duty prohibiting fraud and requiring full and fair disclosure of all material conflicts of interest. The undisclosed referral incentive and misrepresentations about the nature of the product would independently violate § 206(1) and § 206(2).

****7. FINRA Rules -- Supervision and Seniority Protections****

FINRA Rule 4512 requires maintenance of accurate customer account information, and FINRA Rule 2010 requires observance of high standards of commercial honor. Paulson's conduct also implicates FINRA's guidance on protecting senior and vulnerable investors, including its Notice to Members on the particular care required when recommending complex or high-risk products to elderly customers with fixed incomes. Many states, including Arizona, have enacted senior financial exploitation statutes that may give rise to additional civil liability.

****8. Likely Regulatory Outcome****

Paulson faces potential enforcement by the SEC for recommending unregistered securities, violations of antifraud provisions, and undisclosed conflicts of interest. FINRA may bring disciplinary proceedings resulting in suspension or permanent bar from the industry. His broker-dealer faces potential liability for failure to supervise under Exchange Act Section 15(b) and FINRA Rule 3110. Margaret may pursue FINRA arbitration for breach of fiduciary duty, negligent misrepresentation, and unsuitability, with strong prospects of recovery given the egregious mismatch between her investor profile and the recommendation. Criminal referral to the DOJ for wire fraud is also possible given the deliberate nature of the misrepresentations and the exploitation of a vulnerable elderly investor.

Item 128 of 350

NON-COMPLIANT

Topic: senior_investor_exploitation

Difficulty: hard

Source: 29_Crypto_Digital_Assets

Fact Pattern

Margaret Hollenbeck, a 79-year-old retired schoolteacher living in Flagstaff, Arizona, contacted Pinnacle Wealth Strategies in early 2023 after seeing an online advertisement promising "inflation-proof retirement income through next-generation digital assets." Margaret had approximately \$410,000 in total savings, the majority of which sat in a traditional IRA accumulated over 34 years of teaching. She owned her home outright but had no other meaningful income beyond a \$1,850 monthly Social Security payment and a small pension of \$620 per month. Margaret told her assigned advisor, Derek Calloway, that she was terrified of outliving her money, that she had never owned stocks or mutual funds, and that she described herself as someone who "just wants to keep what I have safe." She had no prior experience with any investment product beyond savings accounts and certificates of deposit. During their initial meeting, Calloway spent approximately 40 minutes explaining that traditional savings instruments were "losing ground to inflation" and that a new category of digital asset yield accounts offered returns of 8 to 11 percent annually with "minimal downside risk." He showed Margaret a glossy brochure describing a third-party crypto lending platform -- structured similarly to programs that had operated under names like BlockFi and Celsius before their high-profile collapses -- where customer deposits were pooled, lent to institutional borrowers, and used to generate yield paid back to depositors in cryptocurrency. Calloway did not disclose that the platform was not insured by the FDIC or SIPC, did not explain that the yield-bearing accounts had been the subject of regulatory scrutiny nationally, and did not mention that similar platforms had filed for bankruptcy within the prior 18 months leaving customers unable to access their funds. Calloway told Margaret the product was "essentially like a high-yield savings account but better." Over two meetings in March and April 2023, Calloway facilitated the rollover of \$280,000 from Margaret's IRA into a self-directed IRA custodian that then transferred the funds to the digital asset yield platform. Calloway received a one-time referral fee of \$4,200 from the platform operator and a 1.2% ongoing advisory fee charged against the account. He documented her risk tolerance internally as "moderate" despite her expressed preference for capital preservation and despite her intake form clearly checking "I cannot afford to lose any of my principal." By November 2023, the platform suspended withdrawals citing liquidity issues. Margaret was unable to access her \$280,000. She contacted Calloway, who told her to "be patient" and that "these things take time to sort out." As of the date of the complaint filed with state regulators in February 2024, Margaret had recovered nothing and the platform remained in insolvency proceedings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

This scenario presents multiple serious regulatory violations across several overlapping frameworks.

****1. Regulation Best Interest (Reg BI) -- 17 C.F.R. § 240.15l-1****

Reg BI, effective June 30, 2020, requires broker-dealers (and by extension investment professionals operating under equivalent standards) to act in the best interest of retail customers at the time of a recommendation and not place the financial or other interest of the firm ahead of the customer. Calloway's recommendation fails every component of Reg BI's four-part obligation:

- ***Care Obligation***: Calloway recommended a high-risk, illiquid, uninsured crypto yield product to a 79-year-old investor with zero risk tolerance, no investment experience, fixed income dependency, and an express stated need for capital preservation. A reasonable advisor exercising diligence would recognize that a crypto lending platform offering 8-11% yield carries substantial credit risk, counterparty risk, liquidity risk, and the near-certain classification as an unregistered security -- none of which are consistent with Margaret's investor profile.

- ***Conflict of Interest Obligation***: Calloway received a \$4,200 referral fee from the platform operator. This undisclosed compensation created a direct financial incentive to recommend the product regardless of client suitability. Reg BI requires that such conflicts be disclosed and mitigated. The failure to disclose the referral fee is an independent violation.

- ***Disclosure Obligation***: Calloway affirmatively misrepresented the product as "essentially like a high-yield savings account," omitted material facts about the lack of FDIC/SIPC coverage, concealed the recent collapse of comparable platforms, and failed to disclose his own compensation. Under Exchange Act § 10(b) and Rule 10b-5 (17 C.F.R. § 240.10b-5), these omissions and misrepresentations in connection with the purchase of a security constitute fraud.

****2. Investment Advisers Act § 206 -- Fiduciary Duty****

If Calloway or Pinnacle Wealth Strategies qualifies as an investment adviser under the Investment Advisers Act of 1940, § 206 imposes a broad fiduciary duty that prohibits any device, scheme, or artifice to defraud a client and requires full and fair disclosure of all material conflicts. The undisclosed referral fee and material misrepresentations about the product's risk profile are textbook § 206(1) and § 206(2) violations. The SEC has consistently held that investment advisers must affirmatively disclose compensation arrangements that create conflicts, and that recommending products that benefit the adviser at the client's expense is a breach of fiduciary duty. See SEC Interpretation: Commission Interpretation Regarding Standard of Conduct for Investment Advisers, Release No. IA-5248 (June 5, 2019).

****3. The Howey Test and Unregistered Securities****

The crypto yield platform described here almost certainly constitutes an investment contract under SEC v. W.J. Howey Co., 328 U.S. 293 (1946). The platform pooled customer funds, deployed them in lending operations managed by third parties, and promised returns derived from those efforts -- satisfying all four Howey prongs: (i) investment of money, (ii) in a common enterprise, (iii) with an expectation of profit, (iv) derived from the efforts of others. The SEC's 2019 Digital Asset Framework ("Framework for 'Investment Contract' Analysis of Digital Assets," FinHub, April 3, 2019) directly supports this analysis. If the yield accounts constitute unregistered securities, recommending them to retail investors violates Securities Act § 5 (15 U.S.C. § 77e), and any adviser who facilitates such transactions may face liability as a statutory seller under § 12(a)(1). The SEC's enforcement actions against BlockFi (settled February 2022, \$100 million penalty) and the investigations into Celsius and Genesis for their yield programs directly parallel the product here.

****4. FINRA Suitability and Elder Financial Exploitation****

FINRA Rule 2111 (Suitability) requires that recommendations be suitable based on the customer's investment profile, including age, risk tolerance, liquidity needs, and investment objectives. FINRA Rule 2010 (Standards of Commercial Honor) and FINRA Rule 4512 (Customer Account Information) further require accurate documentation of customer risk profiles. Calloway's internal classification of Margaret as a "moderate" risk investor directly contradicts her documented responses and verbal representations -- a manipulation of records that independently constitutes a Rule 2010 violation and may trigger additional sanctions under FINRA's elder financial exploitation rules. FINRA Regulatory Notice 07-43 and subsequent guidance emphasize heightened scrutiny for recommendations to senior investors, and FINRA Rule 2165 permits (and in some contexts requires) that member firms place temporary holds on disbursements when financial exploitation of a senior is suspected.

****5. CFTC Jurisdiction Considerations****

To the extent any assets on the platform were characterized as commodities (e.g., Bitcoin or Ether), CFTC Act § 6(c)

and the CFTC's anti-fraud authority under 7 U.S.C. § 9 may apply. The CFTC has asserted jurisdiction over fraud in connection with spot commodity transactions, and pooled crypto lending arrangements may implicate commodity pool operator registration requirements under CFTC regulations.

****6. State Law -- Senior Investor Protections and Suitability****

Arizona, like most states, has adopted enhanced protections for senior investors under its securities statutes and elder abuse statutes (A.R.S. § 46-456 et seq. -- Vulnerable Adult Abuse). Recommending unsuitable investments to a 79-year-old on a fixed income with no risk tolerance, resulting in total loss of \$280,000 representing her life savings, may constitute financial exploitation of a vulnerable adult under state criminal and civil statutes, in addition to state securities violations.

****Likely Regulatory Outcome:****

Calloway faces potential enforcement by the SEC for § 206 fiduciary violations and possible § 10(b) fraud, FINRA for suitability and documentation violations, state securities regulators for elder financial exploitation, and potential CFTC referral depending on asset classification. Pinnacle Wealth Strategies faces supervisory liability for failing to detect or prevent the unsuitable recommendation and for failure to establish adequate conflict-of-interest disclosure policies. Civil liability to Margaret under Reg BI's private right of action framework and state law is substantial. Regulatory sanctions would likely include disgorgement of advisory fees and referral compensation, civil monetary penalties, and potential suspension or bar from the industry for Calloway. This is among the most serious categories of retail investor harm regulators prioritize for enforcement.

Item 129 of 350

NON-COMPLIANT

Topic: complex_products_unsophisticated_investor

Difficulty: hard

Source: 29_Crypto_Digital_Assets

Fact Pattern

Margaret Osei, a 61-year-old retired schoolteacher living in Columbus, Ohio, approached her financial advisor, Derek Calloway, at a mid-sized independent broker-dealer in January 2023. Margaret had accumulated \$310,000 in retirement savings, held primarily in a rollover IRA consisting of low-cost index funds and a small allocation to municipal bonds. Her stated investment objective was capital preservation with modest income generation to supplement her \$1,850 monthly pension. She had repeatedly described herself to Derek as 'not a risk-taker' and noted she had no experience with technology investments, had never purchased individual stocks, and did not own a smartphone. Margaret came to Derek because she had read a newspaper article about crypto accounts paying high interest rates and asked whether such products were safe for someone in her position. Derek, who had recently attended a two-day continuing education seminar on digital assets hosted by a third-party marketing firm with financial ties to several crypto lending platforms, told Margaret that certain crypto yield accounts were 'essentially like high-yield savings accounts but better' and 'totally safe for retirees.' In February 2023, Derek recommended that Margaret transfer \$95,000, representing approximately 30% of her total retirement savings, from her IRA into a taxable brokerage account and then wire those funds to an account on a crypto lending platform called YieldMax Digital -- a platform that was not registered with any federal financial regulator -- which promised a fixed 11.5% annual yield on deposited stablecoins. Derek did not disclose that YieldMax Digital had no federal deposit insurance, that the 'yield' was generated by re-lending customer assets to third-party crypto borrowers with no disclosed creditworthiness criteria, that the platform had no bankruptcy-remote structure protecting customer funds, or that similar platforms had already collapsed in 2022 resulting in total customer losses. Derek did not document any analysis of whether the product was appropriate for Margaret's age, income dependency on savings, or risk profile. He also did not obtain a prospectus, offering circular, or any third-party financial audit of YieldMax Digital before making the recommendation. Derek received a one-time referral payment of \$1,425 from YieldMax Digital for each customer he onboarded -- a compensation arrangement he never disclosed to Margaret. By August 2023, YieldMax Digital suspended all withdrawals after suffering an undisclosed counterparty default, and Margaret's \$95,000 became inaccessible. She was unable to meet a significant home repair expense and was forced to take out a personal loan at 14% interest.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Derek Calloway's conduct reflects multiple serious and compounding violations of federal securities law, broker-dealer conduct standards, and investment adviser fiduciary obligations.

1. Howey Test and Securities Classification

YieldMax Digital's yield accounts almost certainly constitute investment contracts under the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)): (1) there is an investment of money, (2) in a common enterprise, (3) with the expectation of profits, (4) derived from the efforts of others (YieldMax's lending operations). This analysis is consistent with the SEC's Digital Asset Framework (April 2019) and directly mirrors the SEC's enforcement posture in actions against BlockFi Lending LLC (settled February 2022, \$100M penalty), Celsius Network, and Gemini/Genesis, all of

which offered yield-bearing crypto accounts the SEC determined were unregistered securities. If YieldMax's yield accounts are securities, recommending them without registration violates Section 5 of the Securities Act of 1933. Derek's recommendation of an unregistered security to a retail customer in the absence of an applicable exemption creates liability exposure for both the advisor and the broker-dealer under Section 15(b) of the Exchange Act.

****2. Regulation Best Interest (Reg BI, 17 CFR § 240.15l-1)****

Derek is a registered representative subject to Reg BI, which requires that any recommendation of a securities transaction or investment strategy to a retail customer reflect the broker's reasonable basis to believe the recommendation is in the customer's best interest at the time it is made. The Care Obligation under Reg BI (Element 2) requires the broker to understand the potential risks, rewards, and costs of the recommended product and to have a reasonable basis for believing it is in the specific customer's best interest given her investment profile. Derek failed all dimensions of this analysis:

- Margaret was 61, retired, capital-preservation oriented, financially unsophisticated, and dependent on her savings for living expenses.
- A 30% allocation of total retirement savings into a single, unregistered, illiquid, uninsured crypto lending platform generating yield through opaque third-party lending is facially unsuitable for this profile.
- Derek failed to conduct any due diligence on YieldMax Digital's financial condition, counterparty exposure, or regulatory standing.
- Derek characterized the product as 'essentially like a high-yield savings account,' a materially misleading description that understated risk in violation of the Disclosure Obligation under Reg BI (Element 1).

****3. Undisclosed Conflict of Interest -- Reg BI Conflict of Interest Obligation****

Derek received a \$1,425 referral fee from YieldMax Digital without disclosing this material conflict to Margaret. Reg BI's Conflict of Interest Obligation (Element 3) requires broker-dealers to establish, maintain, and enforce written policies and procedures to identify and disclose or eliminate material conflicts of interest. An undisclosed referral arrangement that financially incentivizes recommendations to an unregistered, high-risk product is a paradigmatic conflict of interest violation. This conduct may also independently violate Section 10(b) of the Securities Exchange Act of 1934 and Rule 10b-5 thereunder as a fraudulent omission of a material fact in connection with the purchase of a security.

****4. Investment Advisers Act § 206 -- Antifraud****

If Derek's advisory activities bring him within the definition of an investment adviser under the Investment Advisers Act of 1940, Section 206(1) and (2) prohibit any investment adviser from employing any device, scheme, or artifice to defraud a client, or from engaging in any transaction or practice that operates as a fraud or deceit. The undisclosed referral fee, the false characterization of risk, and the failure to perform due diligence each independently support a Section 206 violation. Under the fiduciary duty that attaches to investment advisers, Derek had an affirmative obligation to disclose all material conflicts and to place Margaret's interest ahead of his own -- an obligation he plainly disregarded.

****5. CFTC Jurisdiction Considerations****

To the extent YieldMax Digital operated in connection with commodity interests -- including stablecoins that regulators may treat as commodities -- the CFTC may assert concurrent jurisdiction under the Commodity Exchange Act § 4b, which prohibits fraud in connection with commodity transactions. The CFTC has historically asserted jurisdiction over Bitcoin and Ether as commodities and has brought enforcement actions against unregistered leveraged crypto platforms. Derek's conduct in directing customer funds to such a platform could implicate CFTC fraud provisions.

****6. FINRA Conduct Rules****

Under FINRA Rule 2010 (Standards of Commercial Honor), Derek's failure to disclose the referral fee and his misleading characterization of the product's risk profile constitute conduct inconsistent with just and equitable principles of trade. FINRA Rule 4511 requires member firms to maintain accurate books and records; the absence of any documented suitability analysis for this recommendation constitutes a recordkeeping violation attributable to both Derek

and his sponsoring firm. The broker-dealer's failure to supervise Derek's crypto product recommendations may independently violate FINRA Rule 3110.

****7. Likely Regulatory Outcome****

Derek faces potential SEC enforcement for recommending an unregistered security, violating Reg BI's Care and Conflict of Interest obligations, and making materially misleading statements. FINRA could initiate a disciplinary proceeding resulting in suspension or bar from the securities industry, disgorgement of the referral fees, and civil monetary penalties. The broker-dealer faces supervisory liability and potential customer restitution obligations. Margaret may pursue FINRA arbitration seeking recovery of the \$95,000 principal loss, consequential damages including the cost of her 14% personal loan, and additional damages for unsuitable recommendation and fraud. This hypothetical represents one of the most severe compliance failures in the crypto yield product context: an unsophisticated, near-elderly retail investor placed in an unregistered, uninsured, illiquid crypto lending product by an advisor who was financially incentivized to do so, performed no due diligence, and actively misrepresented the nature of the risk.

Item 130 of 350

NON-COMPLIANT

Topic: failure_to_know_customer

Difficulty: medium

Source: 29_Crypto_Digital_Assets

Fact Pattern

Margaret Hollis, a 71-year-old retired schoolteacher living in rural Tennessee, opened an account with Pinnacle Wealth Advisors in January 2023. Margaret's intake paperwork documented her financial profile clearly: she had a fixed monthly income of \$2,100 from Social Security and a small pension, total investable assets of \$94,000 representing her entire life savings, zero prior investment experience beyond a basic savings account, and an explicitly stated investment objective of capital preservation. She told her advisor, Derek Cannon, during their onboarding meeting that she was terrified of losing money and that this savings was all she had to cover potential nursing home or medical costs as she aged. Derek acknowledged her concerns verbally but did not update her risk profile in the firm's system beyond the default moderate setting that populated automatically when her account was created. In March 2023, Derek attended an internal webinar hosted by a third-party crypto marketing firm that had partnered with Pinnacle, promoting a crypto yield product called StableYield Pro, which offered 9.5% annual returns by lending client funds to institutional crypto borrowers. The product was unregistered, had a 12-month lock-up period, and carried no FDIC or SIPC protection. Derek was told by the marketing representative that the product was 'basically like a high-yield savings account, just in crypto.' Two weeks later, Derek called Margaret and described StableYield Pro as a 'safe, modern savings tool' that would significantly boost her returns compared to her current bank CD earning 4.2%. He did not provide Margaret with any written disclosure about the lock-up period, the unregistered nature of the product, the counterparty credit risk, or the possibility of total loss. Margaret, trusting Derek completely, agreed to invest \$47,000, exactly half her life savings, into StableYield Pro in April 2023. By October 2023, the platform suspended withdrawals citing liquidity issues, and Margaret was unable to access her funds. As of December 2023, recovery prospects were described by the platform as 'uncertain.'

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Derek Cannon's conduct presents multiple serious regulatory violations across several overlapping frameworks.

****1. Failure to Know the Customer -- Reg BI and Investment Advisers Act §206****

Under Regulation Best Interest (17 CFR §240.15l-1), broker-dealers must make a reasonable effort to obtain information about the customer's financial situation, investment experience, and investment profile before making a recommendation. Derek's failure to correct the automatically populated 'moderate' risk setting -- despite Margaret's explicit, documented preference for capital preservation and her stated fear of loss -- constitutes a foundational failure to know the customer. The customer's actual profile (age 71, fixed income, no investment experience, capital preservation objective, entire life savings at stake) was diametrically opposed to the moderate risk classification Derek left unchanged. This failure infected every subsequent recommendation.

****2. Violation of the Care Obligation Under Reg BI****

Reg BI's Care Obligation requires that a recommendation be in the best interest of the retail customer based on their investment profile. Recommending that a 71-year-old retiree with zero investment experience place 50% of her entire

life savings into an unregistered, illiquid, 12-month lock-up crypto yield product offering 9.5% returns cannot satisfy this standard under any reasonable analysis. The product's risk profile -- unregistered status, counterparty credit exposure to institutional crypto borrowers, no deposit insurance, total loss potential -- was wholly inconsistent with Margaret's documented need for capital preservation and liquidity for potential medical expenses.

****3. Unregistered Security / Howey Test Analysis****

StableYield Pro's structure -- pooling investor funds, lending to institutional third parties, and promising fixed returns -- likely satisfies the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)) for an investment contract: (i) investment of money, (ii) in a common enterprise, (iii) with expectation of profits, (iv) derived from the efforts of others. The SEC's Digital Asset Framework (April 2019) specifically flags yield-bearing crypto products where returns depend on a third party's managerial efforts as likely securities. This is consistent with SEC enforcement actions against BlockFi (settled February 2022 for \$100M), Celsius, Gemini/Genesis, and others for offering unregistered crypto lending yield products. Recommending an unregistered security to a retail investor without appropriate disclosures implicates Securities Act §5 and Exchange Act §10(b) (15 U.S.C. §78j(b)) and Rule 10b-5, particularly given Derek's materially misleading description of the product as 'basically like a high-yield savings account.'

****4. Material Misrepresentation -- Exchange Act §10(b) and Rule 10b-5****

Derek described an illiquid, unregistered, uninsured crypto lending product as a 'safe, modern savings tool.' This characterization omits and affirmatively misrepresents material facts including: the 12-month lock-up restriction, the unregistered status, the absence of FDIC/SIPC protection, the counterparty credit risk, and the risk of total loss. Under Rule 10b-5 (17 CFR §240.10b-5), it is unlawful to make any untrue statement of a material fact or to omit a material fact necessary to make statements made not misleading in connection with the purchase of a security. Derek's statements clearly satisfy this threshold.

****5. Investment Advisers Act §206 Antifraud Provisions****

If Derek or Pinnacle Wealth Advisors qualifies as an investment adviser, §206 of the Investment Advisers Act of 1940 imposes a broad fiduciary duty and prohibits any device, scheme, or artifice to defraud clients or any act that operates as a fraud upon clients. Recommending an unsuitable, misrepresented, unregistered product to a vulnerable elderly client with a clearly documented capital preservation objective would constitute a violation of this antifraud provision.

****6. FINRA Obligations****

If Derek is a registered representative, FINRA Rule 2111 (Suitability) requires that recommendations be suitable based on the customer's investment profile, and FINRA Rule 4512 requires that customer account information be kept current and accurate. Derek's failure to update Margaret's risk profile and his recommendation of a speculative, illiquid product to a risk-averse elderly investor violates both rules. FINRA has issued specific guidance (Regulatory Notice 22-08) cautioning firms about crypto asset recommendations to retail investors and highlighting the particular risks of yield-bearing crypto products.

****7. Aggravating Factors****

Several aggravating factors would likely increase regulatory and enforcement exposure: Margaret's age and vulnerability as a retiree on fixed income; the magnitude of the recommendation (50% of total life savings); the complete absence of written risk disclosures; Derek's reliance on a promotional webinar from a third-party marketing firm as his primary due diligence; and the foreseeable harm that materialized when the platform froze withdrawals.

****Likely Regulatory Outcome:****

Derek and Pinnacle face potential enforcement by the SEC for recommending an unregistered security and for material misrepresentation, FINRA disciplinary action including possible bar and disgorgement, state securities regulator action under applicable blue sky laws, and civil liability to Margaret for the approximately \$47,000 loss. The firm faces supervisory liability for failing to maintain accurate customer records and for inadequate due diligence on a third-party crypto product marketed through an internal webinar. Margaret would likely have strong grounds for FINRA arbitration

and civil recovery.

Item 131 of 350**NON-COMPLIANT****Topic:** inappropriate_risk_profile**Difficulty:** medium**Source:** 29_Crypto_Digital_Assets**Fact Pattern**

Margaret Holloway, a 71-year-old retired schoolteacher living in Tucson, Arizona, approached her financial advisor, Derek Paulson, at Meridian Wealth Partners in March 2023. Margaret had accumulated \$310,000 in retirement savings, consisting primarily of a rollover IRA and a small taxable brokerage account. She lived on a fixed income of approximately \$2,200 per month from Social Security and a modest pension. Margaret had repeatedly told Derek that she was 'terrified of losing money' and that her primary goal was capital preservation so she could cover medical expenses and assisted living costs if needed in the future. Her written investor profile, last updated in January 2023, explicitly listed her risk tolerance as 'conservative' and her investment time horizon as 'short-term, under three years.' During a meeting in late March 2023, Derek told Margaret that he had been following the cryptocurrency market closely and that, despite recent volatility, certain crypto yield products offered 'essentially risk-free' returns well above what her current money market funds and short-duration bond holdings were generating. He specifically recommended she move \$75,000 -- nearly 24% of her total retirement savings -- from her IRA into a crypto yield-bearing account offered through a third-party digital asset platform that promised annual yields of 8.5% on deposited assets. Derek described the product as 'like a high-yield savings account, just built on blockchain technology.' He did not disclose that the platform had no federal deposit insurance, that the yield was generated through the platform lending her crypto holdings to institutional borrowers, that the platform itself had faced regulatory scrutiny in other states, or that several comparable platforms offering nearly identical products had recently been forced to freeze customer withdrawals and file for bankruptcy protection. Derek processed the transaction in early April 2023. By August 2023, the third-party platform suspended all withdrawals citing liquidity issues, and Margaret's \$75,000 became inaccessible. As of the date she filed a written complaint with Meridian's compliance department in October 2023, she had received only \$4,200 in yield payments and faced an uncertain recovery timeline on her principal.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Paulson almost certainly violated multiple applicable regulatory standards governing the recommendation of crypto and digital asset products to retail investors.

****Regulation Best Interest (Reg BI) -- Exchange Act Rule 15l-1****

Derek is subject to Reg BI, which requires broker-dealers and their associated persons to act in the retail customer's best interest at the time of a recommendation, without placing the financial or other interest of the firm or advisor ahead of the customer. Reg BI's Care Obligation requires that the advisor have a reasonable basis to believe the recommendation is in the best interest of the particular retail customer based on that customer's investment profile, including age, financial situation, investment objectives, risk tolerance, and liquidity needs.

Margaret's profile was among the most conservative imaginable: 71 years old, fixed income, explicit capital preservation objectives, short investment horizon, and self-described fear of loss. Allocating 24% of her total retirement savings to a speculative, uninsured, unregistered crypto yield product is facially inconsistent with every dimension of

her stated profile. A concentration of this magnitude in a single high-risk alternative product would fail the Care Obligation even for a moderate-risk investor; for Margaret, it is an egregious mismatch.

****Disclosure Obligation under Reg BI****

Derek separately violated Reg BI's Disclosure Obligation by characterizing the crypto yield account as 'essentially risk-free' and analogizing it to a high-yield savings account. He failed to disclose material facts including: (1) absence of FDIC or SIPC protection; (2) the lending mechanism that generated yield and its associated counterparty risk; (3) the platform's regulatory history; and (4) the recent collapse of comparable platforms. These omissions rendered the recommendation misleading in violation of both Reg BI and the antifraud provisions of Exchange Act Section 10(b) and Rule 10b-5.

****Investment Advisers Act Section 206 -- Fiduciary Duty****

If Derek or Meridian Wealth Partners is registered as an investment adviser, Section 206 of the Investment Advisers Act imposes a broad fiduciary duty encompassing both a duty of loyalty and a duty of care. Recommending an unsuitable speculative instrument to a vulnerable elderly client while omitting material risks constitutes a breach of both prongs. The SEC's 2019 Digital Asset Framework makes clear that yield-bearing crypto lending products of this nature may constitute securities, meaning the full suite of adviser obligations applies.

****Howey Test and Unregistered Securities****

The crypto yield product Derek recommended bears strong resemblance to the products at the center of the SEC's enforcement actions against BlockFi (settled February 2022 for \$100 million) and Celsius and Genesis. Under the Howey test -- investment of money in a common enterprise with an expectation of profits derived from the efforts of others -- such yield accounts likely constitute investment contracts and thus securities. If the platform offering the product was not registered with the SEC, Derek's recommendation of that product may have facilitated the distribution of an unregistered security, compounding the regulatory exposure for both Derek and Meridian.

****FINRA Suitability and Supervision****

FINRA Rule 2111 (Suitability), applicable to FINRA member firms, would independently require that Derek have a reasonable basis for the recommendation given Margaret's specific profile. The recommendation fails both the 'reasonable basis' prong (the product category is unsuitable for conservative elderly investors generally) and the 'customer-specific' prong (it is wildly inconsistent with Margaret's documented objectives). FINRA Rule 4512 requires that customer account information be current and accurate; the recommendation ignored the very profile data on file.

FINRA has also issued specific guidance -- including Regulatory Notice 22-08 -- warning member firms that crypto asset recommendations to retail investors require heightened scrutiny and that the volatility, liquidity risk, and regulatory uncertainty of such products must be fully disclosed and weighed against client profiles.

****Elder Financial Exploitation Concerns****

Margaret's age and vulnerability also implicate FINRA Rule 4512 and the senior investor protection provisions embedded in Rule 2165, which permit (and in some circumstances require) firms to place temporary holds on disbursements where there is a reasonable belief of financial exploitation of a specified adult. While Rule 2165 is triggered by suspected exploitation, the pattern here -- an elderly fixed-income client directed into high-risk unregistered instruments by a trusted advisor -- warrants supervisory review under elder protection frameworks.

****Likely Regulatory Outcome****

Derek and Meridian Wealth Partners face substantial exposure. Regulators would likely find violations of Reg BI's Care and Disclosure Obligations, potential Section 10(b) antifraud liability for material misrepresentations, possible Advisers Act Section 206 fiduciary breaches, and FINRA suitability violations. Remedies could include disgorgement of any commissions or fees earned on the transaction, full restitution of Margaret's \$75,000 principal loss (less amounts recovered), civil monetary penalties, and potential suspension or bar of Derek's registration. The firm faces supervisory

liability for failing to detect and prevent the unsuitable recommendation. Margaret would also have strong grounds for a FINRA arbitration claim seeking compensatory and potentially punitive damages.

Item 132 of 350**NON-COMPLIANT****Topic:** illiquid_investments**Difficulty:** hard**Source:** 29_Crypto_Digital_Assets**Fact Pattern**

Margaret Elspeth Kowalski, a 71-year-old retired school librarian living in Tucson, Arizona, had accumulated \$340,000 in savings over her career, representing the entirety of her retirement nest egg. Her fixed income consisted of Social Security payments of \$1,640 per month and a small pension of \$820 per month, totaling approximately \$29,520 annually before taxes. Margaret had previously described herself to her advisor, Derek Fontaine, as someone who could not afford to lose more than 5% of her principal in any given year and explicitly told him she needed her savings to generate steady income to cover living expenses. She had no prior experience with cryptocurrency or digital assets of any kind and had repeatedly told Derek she found technology confusing. In March 2022, Derek, who worked as an independent investment advisor operating under a registered investment advisory firm in Phoenix, began recommending that Margaret allocate \$95,000, roughly 28% of her total savings, into a basket of what he described as 'digital yield products' that would generate between 9% and 14% annual returns paid monthly. The products consisted of three components: \$35,000 placed into a yield-bearing crypto lending account with a now-troubled centralized crypto lender that promised 11.5% APY on stablecoin deposits; \$30,000 used to purchase a collection of 47 NFTs from an emerging digital art marketplace that Derek claimed were 'rapidly appreciating collectibles' with a secondary market he described as 'extremely active'; and \$30,000 deposited into a tokenized real estate platform that issued blockchain-based tokens representing fractional interests in commercial properties, with a stated 5-year lock-up period and no redemption mechanism during that term. Derek told Margaret during a video call in March 2022 that the NFT collection could be liquidated within days if she needed cash, and that the tokenized real estate platform was 'basically like owning REITs but better.' He did not disclose that the NFT marketplace had seen trading volume drop 97% from its January 2022 peak, that only 3 of the 47 NFTs had recorded any secondary market sale in the prior 90 days, or that the tokenized real estate platform had explicitly warned in its offering documents that there was no guaranteed secondary market and that investors should expect their capital to be completely illiquid for the full 5-year term. Derek did not provide Margaret with the offering documents for the tokenized real estate platform prior to the investment, telling her they were 'too technical' and that he had reviewed them on her behalf. By July 2022, the crypto lending account had frozen all withdrawals amid a liquidity crisis, leaving Margaret unable to access her \$35,000. The NFT collection had declined in estimated value to approximately \$4,200 based on the few comparable sales that could be identified, and the tokenized real estate tokens had no active secondary market whatsoever. Margaret's total losses on the \$95,000 investment were estimated at approximately \$71,000 within four months, representing nearly 21% of her entire life savings. She contacted a state securities regulator after seeing a news story about frozen crypto accounts and filed a complaint against Derek and his firm.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

This scenario presents multiple serious regulatory violations across overlapping federal and state frameworks. The analysis below addresses each layer of applicable law.

****1. Regulation Best Interest (Reg BI) -- Care Obligation Violations****

Derek is subject to Regulation Best Interest under Exchange Act Rule 15l-1 because he is a registered investment advisor who made recommendations to a retail customer. The Care Obligation under Reg BI requires that a recommendation be in the retail customer's best interest based on a reasonable understanding of the customer's investment profile, including financial situation, investment objectives, risk tolerance, investment horizon, and liquidity needs. Margaret's profile -- 71 years old, fixed income of approximately \$29,520/year, total savings of \$340,000, self-described inability to tolerate more than 5% principal loss, zero prior crypto experience, and explicit need for liquidity -- is fundamentally incompatible with a 28% allocation into illiquid, speculative digital assets. Derek violated the Care Obligation on at least three independent grounds: (a) he recommended products with extreme illiquidity risk to a customer with explicit near-term liquidity needs; (b) he failed to understand or disclose the material characteristics of the NFT market collapse; and (c) he recommended a 5-year locked-up tokenized real estate product to a 71-year-old investor without any redemption mechanism, exposing her to the risk that she would need those funds within the lock-up period for health, housing, or basic living expenses.

****2. Investment Advisers Act Section 206 -- Fiduciary Duty and Fraud****

As a registered investment advisor, Derek owed Margaret a fiduciary duty of care and loyalty under Section 206 of the Investment Advisers Act of 1940. The fiduciary standard requires advisors to act in the client's best interest and to provide full and fair disclosure of all material facts. Derek breached this duty in several specific ways. First, he affirmatively misrepresented the liquidity of the NFT portfolio, telling Margaret the collection could be liquidated within days when in fact trading volume had collapsed 97% from peak and only 3 of 47 NFTs had seen any secondary market activity in the prior 90 days. This constitutes a material misstatement under Section 206(2), which prohibits engaging in any transaction, practice, or course of business that operates as a fraud or deceit upon a client. Second, Derek's failure to provide Margaret with the tokenized real estate offering documents, substituting his own characterization that they were 'too technical,' deprived her of material information about the 5-year lock-up and absence of any secondary market -- a clear breach of the disclosure component of his fiduciary duty. Withholding material offering documents from an investor who lacks sophistication, while making affirmative representations inconsistent with those documents, likely rises to the level of fraudulent conduct under Section 206(1), which prohibits employing any device, scheme, or artifice to defraud a client.

****3. Securities Act and Exchange Act -- Unregistered Securities and Howey Test****

The tokenized real estate tokens likely constitute investment contracts under the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)): investors contribute money (prong 1) to a common enterprise (prong 2) with an expectation of profits (prong 3) derived from the managerial efforts of others (prong 4). The platform pools investor funds into commercial real estate managed by the platform operator, satisfying all four Howey prongs. If these tokens were not registered as securities and no exemption applied, Derek's recommendation to invest in them may have facilitated the sale of unregistered securities in violation of Securities Act Section 5. Additionally, the crypto lending yield product bears characteristics similar to the products at issue in the enforcement actions against BlockFi (settled with the SEC in February 2022 for \$100 million) and Celsius, both of which the SEC found to be offering unregistered securities in the form of yield-bearing lending products. Recommending a product structurally identical to products contemporaneously subject to enforcement action, without performing adequate due diligence on the product's registration status, further evidences Derek's failure to meet his fiduciary obligations.

****4. CFTC Jurisdiction Considerations****

To the extent the stablecoin used in the crypto lending product constitutes a commodity under the Commodity Exchange Act, CFTC Act Section 4b's anti-fraud provisions may also apply. The CFTC has asserted jurisdiction over spot commodity transactions involving fraud and manipulation, and stablecoins backed by fiat reserves have been treated as commodities in certain CFTC enforcement contexts. This creates a potential parallel enforcement exposure for Derek beyond the SEC framework.

****5. NFTs as Potential Securities****

The SEC's 2019 Digital Asset Framework outlines factors relevant to determining whether a digital asset is a security.

While pure collectible NFTs generally have not been deemed securities, NFTs marketed with investment return expectations -- as Derek explicitly did when he described them as 'rapidly appreciating collectibles' -- may satisfy the Howey test if the purchaser's expectation of profit is premised on the managerial or promotional efforts of the marketplace or creator. Derek's sales pitch to Margaret framed the NFTs as investments rather than collectibles, which could bring them within the securities framework and expose him to additional liability for recommending unregistered securities.

****6. FINRA Suitability and Supervision (If Applicable)****

If Derek or his firm is also a FINRA member broker-dealer (a common dual registration structure), FINRA Rule 2111 suitability obligations and the heightened standards under Reg BI would apply simultaneously. Under Rule 2111, a recommendation must be suitable based on reasonable diligence regarding the customer's investment profile. The recommendation here fails every dimension of the suitability analysis: age-appropriateness, liquidity needs, risk tolerance, investment experience, and time horizon. The firm may also face supervisory liability under FINRA Rule 3110 for failing to implement adequate review procedures that would have flagged a 71-year-old retiree's 28% allocation into speculative, illiquid crypto assets.

****7. State Securities Law****

Margaret's complaint to the Arizona state securities regulator triggers potential liability under the Arizona Securities Act, which incorporates anti-fraud provisions substantially similar to federal law. Arizona, like most states, imposes fiduciary duties on investment advisors registered in the state and provides private rights of action for defrauded investors, including potential rescission of the transactions and recovery of losses.

****8. Likely Regulatory Outcome****

This fact pattern presents a strong enforcement case. Derek faces potential liability for: (a) willful misrepresentation of liquidity in violation of his fiduciary duty and Section 206; (b) recommending investments wholly inconsistent with the client's documented risk tolerance and liquidity needs; (c) withholding material offering documents; (d) potentially facilitating the sale of unregistered securities; and (e) making materially false statements about market conditions. Regulators would likely pursue disgorgement of commissions or fees earned on the transactions, civil penalties, a cease-and-desist order, possible suspension or revocation of Derek's investment advisor registration, and referral for criminal investigation if intentional fraud is established. Margaret would likely have a viable private civil claim for damages approximating the \$71,000 in realized losses, with potential for additional damages if the remaining positions continue to deteriorate. The firm faces vicarious liability and potential independent supervisory violations. This scenario is non-compliant across all applicable regulatory frameworks.

Item 133 of 350**NON-COMPLIANT**

Topic: alternative_investments_unsuitable

Difficulty: medium

Source: 29_Crypto_Digital_Assets

Fact Pattern

Margaret Okonkwo, a 71-year-old retired schoolteacher living in Akron, Ohio, approached her financial advisor, Derek Pullman, at a regional broker-dealer in early 2022. Margaret had approximately \$310,000 in total investable assets, consisting primarily of a rollover IRA worth \$265,000 and a small taxable brokerage account with \$45,000. Her stated investment objective was capital preservation and income generation to supplement her monthly Social Security payment of \$1,840. She described herself as a conservative investor and had no prior experience with digital assets or cryptocurrency. During their meeting, Derek told Margaret that he had been researching 'the next generation of savings products' and enthusiastically described a crypto-based yield account offered through a third-party platform that promised annual returns of 8.5% on stablecoin deposits -- roughly four times what her current money market fund was paying. He explained that the platform held customer crypto deposits and lent them to institutional borrowers, generating the advertised yield. Derek did not disclose that the platform was not a bank, that deposits were not FDIC insured, that the yield-generating mechanism had not been registered with any federal authority, or that the platform's ability to honor withdrawals depended entirely on continued institutional demand for crypto lending. In March 2022, with Derek's encouragement, Margaret transferred \$95,000 -- approximately 30% of her total savings -- from her IRA into the yield account. Derek received a referral fee of \$1,200 from the platform for the introduction. By July 2022, the platform suspended all withdrawals and customer funds were frozen indefinitely. Margaret's \$95,000 remained inaccessible as of the end of 2023, with recovery prospects described by the platform's bankruptcy trustee as uncertain and likely partial at best.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Derek Pullman's recommendation almost certainly violated multiple applicable regulatory standards governing broker-dealer conduct and investment adviser obligations.

****Regulation Best Interest (Reg BI) -- SEC Rule 15l-1:**** Under Reg BI, which became effective June 30, 2020, broker-dealers recommending securities to retail customers must act in the customer's best interest at the time of the recommendation, without placing their own financial interest ahead of the customer's. Derek's conduct fails this standard on multiple grounds. First, the Care Obligation under Reg BI (Element 2) requires the broker to have a reasonable basis to believe the recommendation is in the retail customer's best interest based on the customer's investment profile. Margaret was 71, retired, conservative, income-dependent, and had no crypto experience. Placing 30% of her life savings in an illiquid, uninsured, unregistered crypto yield product bearing substantial counterparty and liquidity risk was plainly inconsistent with her capital preservation objective. Second, the Conflict of Interest Obligation (Element 4) required Derek to identify and disclose the \$1,200 referral fee he received from the platform. His failure to disclose this material financial incentive is an independent violation. The referral fee created a direct conflict of interest that influenced his recommendation.

****Investment Advisers Act §206 (Anti-Fraud Provisions):**** If Derek was acting in an advisory capacity, Section 206(1)

and 206(2) of the Investment Advisers Act of 1940 prohibit any investment adviser from employing any device, scheme, or artifice to defraud clients, or engaging in any transaction, practice, or course of business that operates as a fraud or deceit upon clients. His failure to disclose material risks -- including the unregistered nature of the yield product, the absence of deposit insurance, the liquidity risk, and his own financial interest -- constitutes actionable omissions under this provision.

****SEC Howey Test and Securities Classification:**** The crypto yield account at issue bears the hallmarks of an investment contract under the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)): (1) an investment of money, (2) in a common enterprise, (3) with an expectation of profits, (4) derived from the efforts of others. The platform collected customer deposits, pooled them, and deployed them in lending operations managed entirely by the platform's operators. Customers had no control over the lending activities generating their promised returns. This structure closely mirrors the yield accounts that the SEC found to be unregistered securities in enforcement actions against comparable crypto lending platforms in 2022. If the product was an unregistered security, Derek's recommendation and the referral arrangement may implicate broker-dealer registration requirements under Exchange Act Section 15(a) and securities offering registration requirements under Securities Act Section 5.

****CFTC Jurisdiction Considerations:**** To the extent the underlying assets included commodity-based crypto tokens (e.g., Bitcoin or Ethereum deposited as collateral), the Commodity Exchange Act and CFTC jurisdiction may also be implicated. The CFTC has asserted broad jurisdiction over crypto commodities and the spot and derivatives markets in which they trade. Yield products layered on top of commodity-based crypto could trigger CFTC anti-fraud authority under CEA Section 6(c)(1).

****FINRA Suitability and Supervision:**** Under FINRA Rule 2111 (suitability, applicable to conduct predating full Reg BI implementation or in conjunction with it), recommendations must be suitable based on reasonable diligence into the customer's financial situation, risk tolerance, and investment objectives. Even setting aside Reg BI, recommending a speculative, illiquid, uninsured yield product to a 71-year-old conservative retiree would fail the quantitative and qualitative suitability analysis. Additionally, FINRA Rule 3110 imposes supervisory obligations on the broker-dealer firm; the firm's failure to have procedures in place to detect and prevent recommendations of unregistered crypto yield products to vulnerable retail investors is an independent supervisory violation.

****Material Omissions and Disclosure Failures:**** Derek failed to disclose: (a) the unregistered status of the yield product; (b) the absence of FDIC or SIPC protection; (c) the platform's dependence on continued institutional crypto lending demand; (d) withdrawal suspension risk; and (e) his own referral compensation. Each omission is independently material under Exchange Act Section 10(b) and Rule 10b-5, which prohibit material misstatements and omissions in connection with the purchase or sale of a security.

****Likely Regulatory Outcome:**** Regulators would likely find Derek liable for recommending an unsuitable and unregistered product to a vulnerable retail investor without adequate disclosure of risks or conflicts. The broker-dealer firm faces potential liability for failure to supervise. Derek could face suspension, fines, disgorgement of the referral fee, and a bar from the industry. The firm may face restitution obligations to Margaret for her losses. The fact that the platform subsequently failed and froze customer assets vindicates the materiality of the undisclosed risks. This scenario is substantially analogous to the regulatory treatment of BlockFi's interest accounts, which the SEC found to be unregistered securities requiring registration under the Securities Act, resulting in a \$100 million settlement in February 2022 -- the same period in which Derek made his recommendation.

Item 134 of 350

NON-COMPLIANT

Topic: senior_investor_exploitation

Difficulty: medium

Source: 29_Crypto_Digital_Assets

Fact Pattern

Margaret Holloway, a 74-year-old retired schoolteacher living in Tucson, Arizona, had accumulated approximately \$310,000 in retirement savings over four decades of work. Her savings were held in a traditional IRA invested primarily in a laddered bond portfolio and two dividend-paying utility ETFs. Margaret had described herself consistently across three annual reviews as a conservative investor with a primary goal of capital preservation and generating steady income to supplement her \$1,850 monthly Social Security check. She had no prior experience with digital assets of any kind, no tolerance for speculative investments, and repeatedly told her advisor, Dennis Carver of Carver Wealth Partners, that she was terrified of losing her principal. In early 2022, Dennis began transitioning his book of business toward crypto-related products after receiving an undisclosed referral arrangement with a now-defunct yield platform called HarborChain Yield Solutions, which promised 11.5% annual yields on customer deposits of Bitcoin and Ethereum. Between February and April 2022, Dennis held three meetings with Margaret in which he described HarborChain as 'basically a high-yield savings account but in the digital space' and told her the 11.5% yield would 'more than double' the income she was getting from her bonds. He downplayed volatility concerns by telling her the platform had 'insurance protections' and that her principal was 'locked up safe.' He never disclosed that HarborChain was not a bank, that her deposits would not be FDIC insured, that the platform was offering what appeared to be unregistered securities, or that the yield was generated by lending her crypto assets to third-party borrowers with no disclosed collateral requirements. Dennis also did not disclose his referral compensation arrangement, which paid him 0.75% of all assets he directed to the platform. In May 2022, Dennis liquidated \$185,000 of Margaret's IRA bond holdings and directed the proceeds -- after conversion to Bitcoin and Ethereum -- into HarborChain. By November 2022, HarborChain had suspended all withdrawals citing 'liquidity constraints,' and by January 2023 the platform had filed for bankruptcy. Margaret lost approximately \$162,000 of her \$185,000 investment. She was 75 years old at the time of the loss, with no ability to recover the funds through future employment income.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Dennis Carver committed multiple serious regulatory violations that span anti-fraud, suitability, disclosure, and fiduciary duty frameworks.

1. INVESTMENT ADVISERS ACT SECTION 206 -- FIDUCIARY BREACH AND FRAUD

If Carver is a registered investment adviser or associated person, Section 206(1) and 206(2) of the Investment Advisers Act of 1940 impose an affirmative fiduciary duty that prohibits any device, scheme, or artifice to defraud a client, and any conduct operating as a fraud or deceit. Carver's misrepresentation that HarborChain was 'basically a high-yield savings account' and that her principal was 'locked up safe' constitutes actionable fraud under Section 206(1). His failure to disclose the referral compensation arrangement constitutes a material omission under Section 206(2) because a reasonable investor would consider undisclosed compensation directly relevant to the advice given. The SEC has consistently held that undisclosed conflicts of interest violate the adviser's duty of loyalty under Section 206.

2. REGULATION BEST INTEREST (17 C.F.R. § 240.15l-1) -- IF BROKER-DEALER CAPACITY

If Carver was operating as a broker-dealer or associated person at the time of the recommendation, Regulation Best Interest required him to act in Margaret's best interest at the time of the recommendation. The Care Obligation under Reg BI (Reg BI § (a)(2)(ii)) required him to have a reasonable basis to believe the recommendation was in the best interest of Margaret based on her investment profile. Recommending a speculative, illiquid, unregistered crypto yield product to a 74-year-old capital preservation investor with a conservative risk profile and no digital asset experience fails this standard entirely. The Disclosure Obligation under Reg BI (§ (a)(2)(i)) required full and fair written disclosure of all material facts, including the undisclosed referral compensation, which constitutes a per se violation. The Conflict of Interest Obligation under Reg BI (§ (a)(2)(iii)) required policies to identify, disclose, and mitigate conflicts -- the undisclosed 0.75% referral fee is precisely the type of conflict that must be disclosed and addressed.

3. SEC DIGITAL ASSET FRAMEWORK (2019) -- HOWEY TEST APPLICATION

HarborChain's yield product almost certainly constitutes a security under the Howey test (investment of money, in a common enterprise, with expectation of profits, from the efforts of others). Investors deposited crypto assets expecting to earn 11.5% returns generated by the platform's lending activities -- a paradigmatic example of a passive investment in a common enterprise. Carver recommended an unregistered security in violation of Section 5 of the Securities Act of 1933. His failure to conduct any due diligence on the registration status of the product -- or to disclose that it appeared to be an unregistered offering -- compounds this violation. The SEC's enforcement actions against BlockFi (February 2022), Celsius, Gemini Earn, and Genesis established clearly that crypto yield products of this structure are securities subject to registration requirements, making Carver's 2022 conduct particularly egregious given the enforcement environment that existed at the time.

4. EXCHANGE ACT SECTION 10(b) AND RULE 10b-5

Carver's affirmative misrepresentations -- that HarborChain had 'insurance protections,' that the platform was akin to a savings account, and that principal was secure -- constitute material misstatements made in connection with the purchase of a security. These statements were objectively false and made with apparent scienter, satisfying the elements of a 10b-5 violation. The omission of FDIC non-coverage, the unregistered nature of the product, and the referral compensation are material omissions under Rule 10b-5(b).

5. FINRA RULE 2111 / SUITABILITY (LEGACY STANDARD) AND RULE 2010

If Carver held FINRA registration, his recommendation violated suitability obligations under FINRA Rule 2111, which required a reasonable basis for the recommendation based on the customer's investment profile. Margaret's age, conservative risk tolerance, capital preservation objective, reliance on fixed income, and complete lack of crypto experience made this recommendation unsuitable on every dimension. The failure to disclose his compensation arrangement also independently violates FINRA Rule 2010 (standards of commercial honor) and potentially Rule 2040 (payments to unregistered persons, if HarborChain was unregistered).

6. ELDER FINANCIAL EXPLOITATION

Margaret was 74 years old, retired, and had no ability to recover losses through future income. Approximately 52% of her total retirement savings were liquidated and placed into a speculative unregistered digital asset product. Many states have elder financial exploitation statutes that would apply here, and FINRA Rule 2010 and state investment adviser act provisions independently impose heightened obligations when dealing with senior investors. The concentration risk alone -- placing over half of a conservative senior's IRA into a single speculative product -- would constitute exploitation under most state elder investor protection frameworks.

7. LIKELY REGULATORY OUTCOME

Carver faces potential enforcement by the SEC under Sections 206(1), 206(2), and 10(b); civil liability to Margaret for rescission and damages; FINRA disciplinary proceedings including potential bar and fine; and state securities fraud claims. The undisclosed referral compensation, affirmative misrepresentations about insurance and safety, and recommendation of an unregistered yield product to a vulnerable senior investor represent aggravating factors that

would likely result in significant sanctions, disgorgement of compensation, and possible referral for criminal fraud prosecution under 18 U.S.C. § 1348. The \$162,000 loss suffered by a 75-year-old fixed-income retiree with no recovery pathway would likely be treated as a significant aggravating factor in any penalty calculation.

Item 135 of 350**NON-COMPLIANT**

Topic: complex_products_unsophisticated_investor

Difficulty: medium

Source: 29_Crypto_Digital_Assets

Fact Pattern

Margaret Okonkwo, a 61-year-old retired schoolteacher from Columbus, Ohio, had accumulated approximately \$310,000 in a rollover IRA following her retirement in early 2022. Her stated investment objectives were capital preservation and modest income generation to supplement her monthly pension of \$2,200. She described herself as a conservative investor and told her financial advisor, Derek Paulson, that she was 'terrified of losing money' and had never owned anything riskier than a balanced mutual fund. She had no prior experience with cryptocurrency, blockchain technology, or digital assets of any kind. In March 2022, Paulson, who worked for a mid-sized independent broker-dealer in suburban Columbus, recommended that Margaret move \$95,000 -- roughly 31% of her total retirement savings -- out of a diversified bond fund and into a high-yield crypto lending product offered through a third-party platform that promised annualized returns of 8.5% on stablecoin deposits. Paulson explained to Margaret that the product was 'basically like a savings account but better' and that stablecoins were 'not really crypto' because their value was pegged to the U.S. dollar. He did not explain how the platform generated the advertised yield, did not disclose that the platform was not a bank and that deposits were not FDIC-insured, and did not mention that the platform had received regulatory scrutiny in multiple states. Paulson earned a referral fee of approximately \$1,900 from the platform for directing Margaret's funds. By November 2022, the lending platform had frozen customer withdrawals and filed for bankruptcy protection, leaving Margaret unable to access her \$95,000. She received a notice from the bankruptcy trustee indicating that unsecured creditors, including retail depositors like herself, were unlikely to recover more than 20 to 30 cents on the dollar. Margaret contacted her state securities regulator after seeing a news report about the platform's collapse.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

This scenario presents multiple serious regulatory violations across several overlapping frameworks.

****1. Regulation Best Interest (Reg BI) -- Exchange Act Rule 15l-1****

Paulson is a registered representative subject to Reg BI, which requires him to act in Margaret's best interest at the time of the recommendation and not place his own financial interests ahead of hers. His failure is pronounced on all four component obligations:

- ****Care Obligation****: Paulson was required to exercise reasonable diligence to understand the product, its risks, and its likely costs before recommending it. A crypto lending yield product is a highly complex instrument involving counterparty credit risk, liquidity risk, and platform insolvency risk. Recommending that a 61-year-old conservative retiree place 31% of her IRA in such a product directly contradicts her stated objectives of capital preservation and income. The allocation concentration alone would likely be unreasonable for this profile.

- ****Conflict of Interest Obligation****: Paulson received a \$1,900 referral fee from the platform -- a material conflict he was required to disclose and mitigate. His failure to disclose this fee, and the fact that it may have motivated the

recommendation, is a direct violation. Reg BI explicitly requires that financial incentives not cause a representative to recommend products that are not in the customer's best interest.

- ****Disclosure Obligation****: Reg BI's Form CRS and related disclosure requirements obligated Paulson to clearly explain the nature of the product, associated risks including the absence of FDIC insurance, the platform's regulatory status, and the illiquidity risk. His characterization of the product as 'basically like a savings account but better' and his misleading statement that stablecoins are 'not really crypto' constitute material misrepresentations.

- ****Compliance Obligation****: The broker-dealer had a duty to establish policies ensuring Reg BI compliance, including supervision of referral arrangements with third-party crypto platforms.

****2. Investment Advisers Act §206 -- Anti-Fraud Provisions****

If Paulson had any advisory capacity in this transaction, §206(1) and §206(2) of the Investment Advisers Act prohibit fraudulent, deceptive, or manipulative conduct by investment advisers. Describing a high-risk, uninsured lending product as equivalent to a savings account to a vulnerable retail investor is arguably a deceptive device under §206(2), which does not require intent -- negligent misrepresentation is sufficient.

****3. Securities Act and Exchange Act -- Unregistered Securities (Howey Test)****

The crypto lending yield product at issue closely resembles those offered by platforms that have faced enforcement action from the SEC for offering unregistered securities. Under the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)), an investment contract exists where there is (1) an investment of money, (2) in a common enterprise, (3) with an expectation of profits, (4) derived from the efforts of others. Margaret invested money into a pooled lending platform, expected an 8.5% annual return generated by the platform's lending and investment activities -- not her own efforts. The product almost certainly qualifies as a security under Howey. If the platform was not registered as a securities issuer and Paulson recommended it without disclosing this status or conducting appropriate due diligence on its regulatory standing, he may have facilitated the offer and sale of an unregistered security, exposing himself and his broker-dealer to liability under Exchange Act §10(b) and Securities Act §5.

The SEC's Digital Asset Framework (April 2019) reinforces this analysis, directing staff to apply Howey to yield-bearing digital asset products. Platforms offering fixed yields on deposited crypto assets -- particularly where the platform pools assets and deploys them for lending or trading -- have been repeatedly found to be offering investment contracts requiring registration.

****4. FINRA Suitability and Supervision Obligations****

Under FINRA Rule 2111 (suitability, still applicable for non-Reg BI contexts and informing the standard of care analysis), a recommendation must be suitable based on the customer's investment profile. Three elements apply here:

- ****Reasonable-basis suitability****: Paulson failed to understand the product well enough to recognize its risks before recommending it.
- ****Customer-specific suitability****: The product was objectively unsuitable for a 61-year-old conservative retiree with capital preservation objectives.
- ****Quantitative suitability****: A 31% concentration of retirement assets in a single high-risk illiquid platform is excessive for this profile.

FINRA Rule 3110 requires the broker-dealer to supervise Paulson's recommendations. The referral arrangement with the crypto lending platform and the concentration recommendation should have triggered supervisory review and approval processes that, if properly followed, would have prevented the recommendation.

****5. CFTC Jurisdiction Considerations****

Depending on the composition of assets deployed by the lending platform, the CFTC may assert jurisdiction if the platform traded commodity derivatives using customer deposits. Under the Commodity Exchange Act, the CFTC has

broad authority over commodity interests, and certain stablecoin and crypto lending structures have been scrutinized under CFTC jurisdiction. This could create additional exposure for Paulson's broker-dealer if it knowingly directed customer assets to a platform operating outside regulatory bounds.

****6. Likely Regulatory Outcome****

Based on the facts, Paulson faces significant exposure including: (a) FINRA enforcement for suitability violations and failure to disclose the referral fee conflict; (b) SEC enforcement under Reg BI's Care and Conflict of Interest obligations; (c) potential state securities regulator action given Margaret filed a complaint; (d) civil liability to Margaret for the approximately \$67,000 to \$76,000 she is likely to lose in the bankruptcy. The broker-dealer faces supervisory failures liability. Paulson's conduct is non-compliant on multiple independent grounds, and the vulnerability of the client -- a retired, unsophisticated, conservative investor on a fixed income -- would likely be treated as an aggravating factor in any enforcement proceeding.

Item 136 of 350

NON-COMPLIANT

Topic: illiquid_investments

Difficulty: hard

Source: 29_Crypto_Digital_Assets

Fact Pattern

Margaret Holloway, a 71-year-old retired schoolteacher living in rural Ohio, had accumulated \$340,000 in savings over her 35-year career, which represented essentially her entire net worth outside of her modest home and a small monthly pension of \$1,850. Margaret had no investment experience beyond a conservative 401(k) that had been managed by her school district, and she described herself to her financial advisor, Derek Stanton, as someone who 'cannot afford to lose any of this money' and who needed her savings to supplement her pension income for living expenses. During an initial consultation in March 2022, Margaret explicitly told Derek she needed monthly liquidity and had no tolerance for risk. Derek, who worked for a mid-sized independent broker-dealer, was enthusiastic about a new digital asset product called the 'CryptoYield Vault,' offered by a startup called NovaCoin Capital. The product promised annual yields of 14% to 18% generated through a combination of cryptocurrency lending, staking of various altcoins including Solana, Avalanche, and a proprietary token called NVCT, and participation in automated liquidity pools on decentralized exchanges. NovaCoin's marketing materials, which Derek received but did not thoroughly review, disclosed in fine print that investor funds would be locked for a minimum of 24 months with no early redemption option, that the underlying altcoin positions could decline significantly in value, and that NVCT tokens had no established secondary market. Derek recommended that Margaret invest \$200,000, representing approximately 59% of her liquid savings, into the CryptoYield Vault. He framed the product to her as 'basically a high-yield savings account but on the blockchain,' and told her verbally that she could 'probably get your money out in a few months if you really need it,' a statement directly contradicted by the product documents. Derek earned a placement fee of 4.5% on the investment, amounting to \$9,000, which he did not disclose to Margaret. He completed a customer profile form for Margaret but selected 'moderate' risk tolerance and 'growth' as her investment objective, despite her having clearly communicated conservative risk tolerance and income generation as her goals. By October 2022, the broader crypto market had declined sharply, NVCT lost approximately 91% of its value, and NovaCoin Capital suspended all redemptions indefinitely, citing liquidity constraints within their lending and staking operations. Margaret's \$200,000 investment was effectively frozen and had declined in estimated value to approximately \$38,000 based on NovaCoin's last published net asset calculation. Margaret contacted Derek seeking to access her funds to pay for a medical procedure and was told redemptions remained suspended with no timeline for restoration.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

This scenario presents multiple serious regulatory violations across several overlapping frameworks.

****1. Regulation Best Interest (Reg BI) -- 17 CFR § 240.15l-1****

Derek's recommendation of the CryptoYield Vault to Margaret constitutes a clear violation of Reg BI's Care Obligation (Element 2) and Disclosure Obligation (Element 1). Under the Care Obligation, a broker-dealer must exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of a recommended security or investment strategy and must have a reasonable basis to believe the recommendation is in the retail customer's best interest. Margaret's profile -- 71 years old, fixed income of \$1,850/month, entire liquid net worth of \$340,000, explicit

statement of zero risk tolerance and need for liquidity -- made any recommendation of an illiquid, 24-month locked digital asset product objectively inconsistent with her best interest. Allocating 59% of her liquid savings to a single illiquid crypto product is indefensible under any reasonable diligence standard.

Derek's misrepresentation that she could 'probably get her money out in a few months' directly contradicts the product's documented 24-month lock-up, compounding the Care Obligation violation with a potentially fraudulent misstatement.

****2. Disclosure Obligation and Conflict of Interest Obligation under Reg BI****

Derek failed to disclose the \$9,000 placement fee, which constitutes a material conflict of interest that must be disclosed under Reg BI's Disclosure Obligation prior to or at the time of the recommendation. The failure to disclose this compensation is a textbook violation. Additionally, the Conflict of Interest Obligation requires broker-dealers to establish policies to identify and mitigate conflicts; here the conflict was neither disclosed nor mitigated.

****3. Investment Advisers Act § 206 -- Antifraud Provisions****

If Derek or his firm qualifies as an investment adviser under the Investment Advisers Act of 1940, Section 206(1) and 206(2) prohibit any device, scheme, or artifice to defraud a client and any transaction or practice that operates as a fraud or deceit. Falsely characterizing a 24-month locked, high-risk altcoin staking and lending product as 'basically a high-yield savings account' constitutes a fraudulent misrepresentation under § 206. The undisclosed placement fee also implicates § 206(3) regarding principal transactions and compensation disclosure.

****4. Exchange Act § 10(b) and Rule 10b-5****

Derek's affirmative misstatement regarding liquidity -- telling Margaret she could 'probably get her money out in a few months' when the documents clearly stated a 24-month lock-up with no early redemption -- constitutes a material misrepresentation in connection with the purchase of a security. If the CryptoYield Vault interests constitute securities (highly likely under the Howey test, as investors are pooling funds in a common enterprise -- crypto lending and staking operations -- with an expectation of profit derived entirely from NovaCoin's efforts), Rule 10b-5 applies. The elements of a 10b-5 violation are substantially met: material misstatement, scienter (at minimum recklessness in not reviewing product documents), connection to a securities transaction, reliance, and damages.

****5. Howey Test and Unregistered Securities Concerns****

The CryptoYield Vault likely constitutes an investment contract under SEC v. W.J. Howey Co., 328 U.S. 293 (1946): (i) investment of money -- Margaret paid \$200,000; (ii) common enterprise -- pooled with other investors in NovaCoin's lending and staking operations; (iii) expectation of profits -- the 14-18% yield promise; (iv) derived from the efforts of others -- NovaCoin's management of the lending pools, staking strategies, and liquidity operations. The structure closely parallels enforcement actions taken against Celsius Network, BlockFi, and Gemini Earn, where the SEC found yield-bearing crypto accounts to be unregistered securities offerings. If the CryptoYield Vault is an unregistered security, Derek's recommendation and sale may constitute participation in an unregistered offering in violation of Securities Act § 5.

****6. CFTC Jurisdiction -- Commodity Exchange Act****

To the extent the underlying altcoins (Solana, Avalanche) are treated as commodities rather than securities, the CFTC would have jurisdiction over fraud in connection with commodity transactions under CEA § 6(c) and CFTC Rule 180.1. Derek's misrepresentations regarding liquidity could constitute fraud in connection with commodity transactions if these assets are deemed commodities.

****7. Falsification of Customer Records****

Derek's alteration of Margaret's risk profile to 'moderate' and her investment objective to 'growth,' in direct contravention of her expressed preferences, constitutes falsification of customer account records -- a violation of FINRA Rule 4511 (books and records) and potentially a basis for fraud claims under state securities law. FINRA Rule 2010 (standards of commercial honor) would also be implicated.

****8. Illiquidity and Concentration Risk****

FINRA has issued guidance (Regulatory Notice 12-03 and related guidance on complex products) emphasizing that illiquid products require heightened scrutiny before recommendation to retail investors, particularly seniors. Concentrating 59% of an elderly, fixed-income investor's liquid net worth in a 24-month locked digital asset product with no secondary market, where the investor has explicitly stated the need for liquidity, is a paradigmatic suitability failure and, under current standards, a Reg BI Care Obligation failure.

****9. Senior Investor Protections****

Margaret's age (71) and her fixed-income dependency trigger heightened supervisory obligations under FINRA guidance on senior investors, including FINRA Rule 2165 (financial exploitation of specified adults) and the requirement under Reg BI to give particular weight to the financial situation of retail customers who are near or in retirement. The recommendation of a 24-month illiquid product to a 71-year-old with immediate liquidity needs represents a textbook violation of these protections.

****Likely Regulatory Outcome:****

Derek faces potential enforcement by the SEC for violations of Reg BI, § 10(b)/Rule 10b-5, and participation in an unregistered securities offering. His broker-dealer faces supervisory liability under Exchange Act § 15(b) for failure to establish adequate supervisory procedures. FINRA would likely pursue a disciplinary proceeding including potential bar, substantial fines, and disgorgement of the \$9,000 placement fee. Margaret would have strong civil claims for rescission and damages. If NovaCoin Capital's product is deemed an unregistered security, Derek's broker-dealer faces additional liability for selling away or failing to conduct adequate due diligence under FINRA Rule 3110. This scenario closely mirrors the regulatory and investor harm patterns seen in the Celsius and BlockFi enforcement actions, and regulators would likely treat it with corresponding seriousness.

Item 137 of 350**NON-COMPLIANT****Topic:** failure_to_know_customer**Difficulty:** medium**Source:** 29_Crypto_Digital_Assets**Fact Pattern**

In March 2022, Raymond Delacroix, a 71-year-old retired postal worker living in Baton Rouge, Louisiana, opened an investment account with Pinnacle Wealth Advisors, a registered investment advisory firm. Delacroix had provided the firm with a new account form indicating he had approximately \$112,000 in total savings, nearly all of which represented his lifetime retirement nest egg. He listed his monthly income as \$1,840 from Social Security and a small pension. On the form, Delacroix checked boxes indicating his investment objective was 'capital preservation' and his risk tolerance was 'conservative.' He noted he had no prior experience with stocks beyond a small 401(k) that had been cashed out years earlier, and he explicitly wrote in the comments section: 'I cannot afford to lose this money. I need it to live on.' His assigned advisor, Marcus Thibodaux, reviewed the account form briefly during a 20-minute onboarding call but did not ask any follow-up questions about Delacroix's monthly expenses, outstanding debts, health status, or liquidity needs. Thibodaux had recently attended a two-day cryptocurrency conference and was enthusiastic about digital asset yield products. In April 2022, Thibodaux called Delacroix and described a crypto yield-bearing account offered through a third-party platform, explaining that customers could deposit funds and earn between 7% and 9% annual interest, which he characterized as 'basically like a high-yield savings account but better.' Thibodaux did not explain that the platform was not a bank, that deposits were not FDIC insured, that the underlying assets would be lent to institutional borrowers, or that the customer would be transferring legal title of the assets to the platform. He told Delacroix the product was 'very safe' and 'a great way to make your money work harder in retirement.' Relying entirely on Thibodaux's representations, Delacroix transferred \$74,000, representing approximately 66% of his total savings, into the yield account in May 2022. The platform suspended withdrawals in June 2022 amid a liquidity crisis and filed for bankruptcy in July 2022. By November 2022, it was estimated that account holders would recover less than 30 cents on the dollar. Delacroix lost approximately \$52,000 and was left with roughly \$60,000 in total assets to fund the remainder of his retirement. Internal records later showed that Thibodaux had not updated or supplemented Delacroix's customer profile after the onboarding call, had not flagged the account for any supervisory review prior to the recommendation, and had not documented any rationale for why the product was appropriate given the client's stated objectives.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Marcus Thibodaux committed multiple serious violations of applicable regulatory standards governing the know-your-customer obligation, the best interest standard, and the antifraud provisions applicable to investment advisers and broker-dealers.

****1. Failure to Know the Customer****

The foundational obligation for any financial professional recommending investments to retail clients requires a thorough understanding of the customer's financial situation, investment experience, risk tolerance, time horizon, liquidity needs, and investment objectives. FINRA Rule 2090 imposes an explicit 'know your customer' obligation, requiring firms to use reasonable diligence to know and retain the essential facts about every customer. Thibodaux's

conduct was deficient from the outset: he conducted only a 20-minute onboarding call, asked no follow-up questions about monthly expenses, liquidity requirements, health status, or debt obligations, and never supplemented the customer profile before making a high-risk recommendation. Delacroix's account form clearly communicated capital preservation objectives and conservative risk tolerance, and his handwritten comment -- that he could not afford to lose the funds -- was unambiguous. A reasonably diligent advisor would have treated this profile as essentially prohibiting speculative or illiquid recommendations without extraordinary justification.

****2. Regulation Best Interest Violations****

Under Regulation Best Interest (17 C.F.R. § 240.15l-1), broker-dealers recommending securities to retail customers must act in the customer's best interest at the time of the recommendation. The Care Obligation under Reg BI (Element 3) requires the advisor to exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of the recommendation and to have a reasonable basis to believe the recommendation is in the best interest of the particular retail customer based on their investment profile. Thibodaux failed every component of this standard. The product -- a crypto yield-bearing account operated by an unregistered platform -- was structurally incompatible with a 71-year-old retiree's capital preservation objectives. Concentrating 66% of a client's life savings in a single uninsured, illiquid digital asset yield product is facially inconsistent with a conservative profile. Thibodaux documented no rationale, performed no independent due diligence on the platform's financial stability, and did not analyze the product's risk structure before recommending it.

****3. Crypto Yield Product as Unregistered Security****

The crypto yield-bearing account at issue bears the hallmarks of a security under the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)): customers invested money in a common enterprise with the expectation of profits derived primarily from the efforts of others (the platform's lending operations). The SEC's Digital Asset Framework (April 2019) and enforcement actions against BlockFi (February 2022, \$100 million settlement), Celsius, Gemini, and Genesis all confirm that yield-bearing crypto accounts of this structure are securities. Recommending an unregistered security to a retail customer without disclosing its legal status and associated risks compounds the advisor's liability.

****4. Antifraud Violations Under the Investment Advisers Act****

Section 206 of the Investment Advisers Act of 1940 prohibits any investment adviser from employing any device, scheme, or artifice to defraud clients or engaging in any practice that operates as a fraud or deceit upon clients. Thibodaux's characterization of the product as 'basically like a high-yield savings account' and 'very safe' while omitting material facts -- including the absence of FDIC insurance, the transfer of legal title, the lending risk, the absence of regulatory registration, and the platform's liquidity vulnerabilities -- constitutes material misrepresentation and omission in violation of §206(1) and §206(2). Investment advisers owe fiduciary duties of loyalty and care; Thibodaux breached both.

****5. Exchange Act Section 10(b) and Rule 10b-5****

If the yield account constitutes a security, Thibodaux's affirmative misrepresentations ('very safe,' 'like a savings account') and material omissions in connection with its sale may also implicate Exchange Act §10(b) and Rule 10b-5, which prohibit fraud and material misstatements in connection with the purchase or sale of any security.

****6. Supervisory Failure****

Pinnacle Wealth Advisors faces potential liability for failure to supervise under FINRA Rule 3110 and the Investment Advisers Act. The absence of any supervisory review, concentration flag, or pre-approval process for a recommendation to concentrate 66% of a vulnerable elderly client's savings in a novel crypto product reflects a

systemic supervisory breakdown.

****Likely Regulatory Outcome****

Thibodaux and Pinnacle Wealth Advisors would likely face SEC and FINRA enforcement for: (1) Reg BI violations (failure of care and disclosure obligations); (2) §206 Investment Advisers Act fraud; (3) FINRA Rule 2090 know-your-customer violations; (4) potential Rule 2111 legacy suitability violations; and (5) failure to supervise. Remedies could include disgorgement of commissions, civil monetary penalties, suspension or bar from the industry for Thibodaux, and a cease-and-desist order against the firm. FINRA arbitration by Delacroix for compensatory damages of approximately \$52,000, plus punitive damages, would likely succeed. The elderly client's profile, explicit written statement of loss aversion, and the catastrophic concentration loss would make this a compelling case for full restitution.

Item 138 of 350**NON-COMPLIANT****Topic:** senior_investor_exploitation**Difficulty:** medium**Source:** 29_Crypto_Digital_Assets**Fact Pattern**

Margaret Holloway, a 74-year-old retired schoolteacher living in Boca Raton, Florida, came to her financial advisor, Derek Saunders, in March 2022 seeking help managing her \$310,000 in retirement savings. Margaret had a fixed income of approximately \$2,200 per month from Social Security and a small pension. She described herself to Saunders as someone who 'could not afford to lose money' and indicated her primary goals were capital preservation and generating modest income to supplement her monthly expenses. Her written investor profile documented a conservative risk tolerance, and she had no prior experience with digital assets, cryptocurrency, or blockchain-based financial products. She had never previously invested in anything beyond CDs, money market accounts, and a modest portfolio of blue-chip dividend stocks. Saunders, who had recently begun promoting a crypto yield platform called 'YieldVault Digital,' told Margaret during an in-person meeting in April 2022 that YieldVault was 'basically like a high-yield savings account, but better' and that it was 'completely safe' because her crypto holdings would be 'fully backed.' He explained that if she converted \$180,000 of her savings into USD Coin, a stablecoin, and deposited those funds into YieldVault, she would earn an annualized return of 9.5 percent -- dramatically higher than the 0.5 percent she was earning on her existing CD. Saunders did not disclose that YieldVault was an unregistered lending product that pooled customer funds and re-lent them to institutional borrowers, that the platform had no FDIC or SIPC protection, that her principal was not guaranteed, or that YieldVault was under preliminary inquiry by federal regulators at the time of his recommendation. He also did not disclose that he was receiving a 1.2 percent referral commission from YieldVault on assets he directed to the platform. Margaret, trusting Saunders completely, liquidated \$180,000 of her CD and dividend stock holdings and transferred the funds to YieldVault in May 2022. By November 2022, YieldVault had suspended withdrawals following liquidity problems linked to the broader crypto market collapse. Margaret's \$180,000 was frozen on the platform. As of early 2023, she had recovered less than \$14,000 through a partial liquidation process, representing a loss of approximately \$166,000 -- more than half of her total life savings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Saunders committed multiple serious violations of applicable regulatory standards, and this scenario presents a compelling enforcement case.

1. REGULATION BEST INTEREST (Reg BI, Exchange Act Rule 15l-1): Saunders was obligated under Reg BI to act in Margaret's best interest at the time of the recommendation and to place her interests ahead of his own. He failed this standard on multiple dimensions. First, his Care Obligation required him to understand the product, understand Margaret's investor profile, and have a reasonable basis to believe the recommendation was in her best interest. Recommending that a 74-year-old, conservative, capital-preservation-focused retiree with no crypto experience place 58 percent of her total life savings into an unregistered crypto yield platform is facially unreasonable. Second, his Conflict of Interest Obligation required him to disclose and mitigate material conflicts. The undisclosed 1.2 percent referral commission is a textbook material conflict that distorted his recommendation and was never disclosed to Margaret. Third, his Disclosure Obligation required him to provide full and fair disclosure of all material facts about the

recommendation. Describing an unregistered, uninsured, illiquid crypto lending product as 'basically a high-yield savings account' and 'completely safe' constitutes affirmatively misleading disclosure. The failure to disclose the absence of FDIC/SIPC protection, the unregistered status of the product, the re-lending mechanics, and the ongoing regulatory inquiry were all independent disclosure failures.

2. INVESTMENT ADVISERS ACT §206 (ANTI-FRAUD): If Saunders was acting in an advisory capacity, Section 206(1) and 206(2) of the Investment Advisers Act of 1940 prohibit any device, scheme, or artifice to defraud a client, and any practice that operates as a fraud or deceit. Describing the product as 'completely safe' and omitting material risks constitutes fraudulent and deceptive conduct under this provision. The undisclosed commission, which created an incentive to steer Margaret into a high-risk product against her interests, reinforces the §206(1) and §206(2) exposure. Courts and the SEC have consistently held that omissions of material conflicts of interest satisfy the fraud elements under §206.

3. HOWEY TEST AND UNREGISTERED SECURITIES: YieldVault's yield product almost certainly constitutes an investment contract under the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)). The four elements are satisfied: (i) an investment of money, (ii) in a common enterprise, (iii) with an expectation of profits, (iv) derived from the efforts of others. Margaret invested cash, pooled with other investors, expecting the 9.5 percent yield, which was generated by YieldVault's institutional lending operations -- efforts entirely attributable to the platform. This analysis mirrors the SEC's enforcement actions against BlockFi (February 2022, \$100 million settlement), Celsius, Gemini Earn/Genesis, and similar platforms offering yield on crypto deposits. Recommending an unregistered security to a retail investor, without registration or a valid exemption, exposes both the issuer and the recommending broker to enforcement. Saunders' recommendation of an unregistered security to Margaret is independently actionable.

4. CFTC JURISDICTION CONSIDERATIONS: To the extent YieldVault involved leveraged crypto derivatives or commodity interest contracts as part of its lending strategy, CFTC jurisdiction under the Commodity Exchange Act could overlay additional regulatory exposure. Bitcoin and certain other digital assets have been classified as commodities by the CFTC, and unregistered retail commodity transactions can trigger CEA violations. This would not directly implicate Saunders unless he had visibility into YieldVault's internal strategy, but it compounds the overall legal jeopardy surrounding the product he recommended.

5. FINRA RULES (Rules 2010, 2020, 2111 predecessor standards, and current Reg BI framework): Even under legacy suitability principles codified in FINRA Rule 2111, the recommendation would fail all three suitability tests: reasonable basis suitability (no reasonable advisor could find this product suitable for a conservative retiree), customer-specific suitability (Margaret's profile -- age, income, risk tolerance, objectives -- directly contraindicated this recommendation), and quantitative suitability (concentrating 58 percent of a retiree's savings in a single unregistered digital asset product). FINRA Rule 2010 requires members to observe high standards of commercial honor, and Rule 2020 prohibits manipulative and deceptive practices -- both triggered by the affirmative misrepresentations about safety and the undisclosed commission.

6. ELDER FINANCIAL EXPLOITATION: Most states, including Florida, have enacted senior investor protection statutes requiring financial professionals to flag, delay, or report suspected financial exploitation of investors over 65. Margaret's profile -- age 74, fixed income, conservative investor, large concentrated loss -- triggers these reporting obligations. Saunders' failure to recognize and address the heightened vulnerability of this client compounds his regulatory exposure and may give rise to state enforcement action as well.

7. LIKELY REGULATORY OUTCOME: Saunders faces significant exposure across multiple regulators. The SEC could bring an enforcement action for fraud under §10(b) of the Exchange Act and Rule 10b-5 for material misstatements and omissions, and for recommending an unregistered security. FINRA could initiate a disciplinary proceeding resulting in suspension or permanent bar from the industry, restitution, and substantial fines. State securities regulators in Florida could pursue parallel enforcement. Civil liability to Margaret through FINRA arbitration or civil litigation is also highly

likely. The undisclosed commission, the affirmative misrepresentation of safety, the failure to disclose regulatory scrutiny of the platform, and the catastrophic outcome for a vulnerable senior investor collectively present one of the most serious categories of advisor misconduct in the retail crypto space.

Item 139 of 350

NON-COMPLIANT

Topic: complex_products_unsophisticated_investor

Difficulty: hard

Source: 29_Crypto_Digital_Assets

Fact Pattern

Margaret Holloway, a 71-year-old retired schoolteacher living in Boise, Idaho, had accumulated \$310,000 in a rollover IRA following 34 years of service in the public school system. Her stated investment objective was capital preservation with modest income generation to supplement her Social Security payments of \$1,840 per month. She had no earned income, owned her home outright, and had approximately \$22,000 in a separate savings account for emergencies. Margaret had described herself to her financial advisor, Derek Pullen, as someone who 'doesn't really understand the stock market' and had historically held only FDIC-insured CDs and money market funds. She had never owned equities, bonds, or any alternative investment products. In early 2022, Derek, who worked for a mid-sized independent broker-dealer in the Pacific Northwest, began recommending that Margaret move a significant portion of her IRA into yield-generating cryptocurrency products. Specifically, Derek recommended allocating \$155,000--exactly 50% of her entire retirement savings--into a crypto lending platform that promised annualized yields of 8.6% on stablecoin deposits and 6.1% on Bitcoin holdings. Derek told Margaret during a recorded phone call in February 2022 that the stablecoin product was 'basically like a high-yield savings account, just built on newer technology' and that it was 'as safe as a bank CD but pays way more.' He did not explain that the platform was not FDIC-insured, that stablecoins carried de-pegging risk, or that the lending platform itself operated without registration as a securities offering. Derek earned a 1.2% referral fee from the platform for assets directed through his unique affiliate link, a compensation arrangement he did not disclose to Margaret. He processed the transaction in March 2022, moving \$95,000 into the stablecoin yield product and \$60,000 into the Bitcoin yield account. By November 2022, the crypto lending platform had suspended withdrawals and filed for bankruptcy protection amid a broader crypto market collapse, freezing Margaret's entire \$155,000. Her recovery in the bankruptcy proceeding was estimated at between 20 and 35 cents on the dollar. Derek's written notes in her client file described her risk tolerance as 'moderate-aggressive' and her investment objective as 'growth,' both of which conflicted directly with the conservative, income-preservation profile she had verbally communicated and that was reflected in her prior account history. Derek had altered her profile in the firm's CRM system approximately one week before executing the crypto transaction.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Derek Pullen committed multiple serious regulatory violations that collectively represent one of the most egregious fact patterns in retail crypto advisory misconduct.

****1. Reg BI - Best Interest Obligation (Care Component)****

Under Regulation Best Interest (17 C.F.R. § 240.15l-1), broker-dealers making recommendations to retail customers must act in the customer's best interest at the time of the recommendation without placing their own financial interests ahead of the customer's. The Care Obligation requires the broker to exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of the recommendation and have a reasonable basis to believe it is in the retail customer's best interest given their investment profile. Margaret's profile--age 71, fixed income, no investment experience, explicit capital preservation objective, history of only insured deposit products--made a 50%

concentration in unregistered crypto lending products categorically unsuitable. No reasonable basis existed to characterize this allocation as consistent with her interests. This is a clear violation of Reg BI's Care Obligation.

****2. Reg BI - Conflict of Interest / Disclosure Component****

The 1.2% undisclosed referral fee represents a direct violation of Reg BI's Disclosure Obligation, which requires full and fair disclosure of all material facts relating to the scope of the relationship, including all material conflicts of interest. An undisclosed compensation arrangement that incentivizes a specific product recommendation is a textbook conflict of interest that Reg BI was specifically designed to address. Derek's failure to disclose this fee to Margaret before executing the transaction is independently actionable.

****3. Investment Advisers Act Section 206 - Fraud and Fiduciary Duty****

If Derek is deemed to be acting in an advisory capacity (which regulators may argue given the personalized nature of the recommendation and the ongoing relationship), Section 206(1) and 206(2) of the Investment Advisers Act of 1940 prohibit any investment adviser from employing any device, scheme, or artifice to defraud clients, or engaging in any transaction, practice, or course of business that operates as a fraud or deceit. Describing an uninsured, unregistered crypto lending product as 'basically like a high-yield savings account' and 'as safe as a bank CD' constitutes a material misrepresentation and likely rises to the level of fraudulent conduct under Section 206.

****4. Exchange Act Section 10(b) and Rule 10b-5****

Derek's affirmative misrepresentations--characterizing the crypto yield product as equivalent to an insured bank CD--and his omissions--failing to disclose the absence of FDIC insurance, de-pegging risk, platform insolvency risk, unregistered securities status, and his own referral fee--satisfy the elements of securities fraud under Section 10(b) of the Securities Exchange Act of 1934 and Rule 10b-5 thereunder. The crypto yield products at issue almost certainly qualify as securities under the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)): investors contributed money to a common enterprise (the lending platform's pooled lending operations) with a reasonable expectation of profits derived from the managerial efforts of others (the platform's deployment of pooled assets into lending markets). The SEC's enforcement actions against BlockFi (settled February 2022 for \$100 million), Celsius, Gemini Earn, and Genesis all proceeded on precisely this theory--that crypto yield/lending products constitute unregistered securities offerings. By recommending an unregistered security and misrepresenting its nature, Derek exposed both himself and his firm to Section 10(b) liability.

****5. SEC Digital Asset Framework (2019)****

The SEC's Framework for 'Investment Contract' Analysis of Digital Assets (April 2019) provides detailed guidance on applying Howey to crypto assets and yield products. The stablecoin yield product and Bitcoin yield account both satisfy each Howey prong. The platform pooled customer assets, deployed them in lending and yield-generation activities managed by the platform's team, and distributed returns to depositors based on the platform's operational success. This framework should have placed any reasonably diligent advisor on notice that recommending such products without confirming their registration status was impermissible.

****6. FINRA Suitability (Rule 2111) and Know Your Customer (Rule 2090)****

Although Reg BI supersedes traditional suitability analysis for retail recommendations, FINRA Rule 2111 remains instructive and Rule 2090 (KYC) independently applies. Derek's falsification of Margaret's risk tolerance and investment objective in the CRM system--changing her profile from conservative/capital preservation to 'moderate-aggressive/growth' immediately before the transaction--is a separate and severe violation. FINRA Rule 4511 requires firms to maintain accurate books and records. Deliberately altering a customer's investment profile to manufacture post-hoc justification for an unsuitable transaction constitutes potential securities fraud, document falsification, and a violation of the firm's supervisory obligations under FINRA Rule 3110.

****7. CFTC Jurisdiction****

To the extent Bitcoin is characterized as a commodity (which the CFTC has consistently maintained), the Bitcoin yield

account may implicate CFTC jurisdiction under the Commodity Exchange Act. Recommending retail participation in a yield product linked to a commodity through an unregistered platform potentially violates CFTC regulations governing commodity pool operators and commodity trading advisors, depending on the structure of the product.

****8. Concentration and Vulnerability****

Beyond the specific regulatory violations, the 50% concentration of a 71-year-old retiree's entire IRA in a single illiquid, unregistered, uninsured crypto platform is independently indefensible under any reasonable construction of retail investor protection standards. The lack of diversification, the absence of any liquidity provision for a client entirely dependent on fixed income, and the failure to consider the sequence-of-returns risk for a retiree with no ability to recover losses all reflect a fundamental breakdown in basic advisory care.

****Likely Regulatory Outcome:****

Derek faces potential enforcement by the SEC for Section 10(b) and Rule 10b-5 violations, Reg BI violations, and possible aiding and abetting an unregistered securities offering. FINRA would likely pursue disciplinary proceedings for the falsification of records, undisclosed compensation, and suitability violations, potentially resulting in a bar from the industry. His broker-dealer faces supervisory liability under FINRA Rule 3110 and potential Section 15(b) proceedings if the firm failed to implement reasonable supervisory procedures around crypto product recommendations. Margaret would likely have viable civil claims for fraud, breach of fiduciary duty (if advisory relationship established), and negligence, and may recover against the firm under respondeat superior. Criminal referral for document falsification is also plausible. This fact pattern closely mirrors the conduct targeted in the SEC's 2022-2023 crypto yield enforcement sweep.

Item 140 of 350

NON-COMPLIANT

Topic: complex_products_unsophisticated_investor

Difficulty: medium

Source: 29_Crypto_Digital_Assets

Fact Pattern

Margaret Ellison, a 71-year-old retired schoolteacher living in Boise, Idaho, had accumulated \$310,000 in retirement savings over four decades of work. Her savings were held primarily in a rollover IRA invested in a mix of government bond funds and dividend-paying equity mutual funds. Margaret had no background in technology, had never owned cryptocurrency of any kind, and described her investment goals to her advisor as 'keeping what I have and maybe earning a little more than my savings account.' She rated herself as a conservative investor on every intake form she had ever completed, and her annual income from Social Security and a small pension totaled approximately \$38,000. In early 2022, Margaret met with her financial advisor, Derek Calloway, at a regional broker-dealer office in Boise. Derek had recently attended a firm-sponsored webinar on digital assets and was enthusiastic about the yield opportunities he believed they presented for clients looking to supplement fixed income returns. During their meeting, Derek told Margaret that he had found 'a much better alternative to CDs' that was paying around 8.6% annually. He explained that a company called Celsius Network offered interest-bearing accounts where customers deposited cryptocurrency -- in this case, he suggested she convert funds into Bitcoin and Ethereum and deposit them into a Celsius 'Earn' account. Derek minimized the risks involved, telling Margaret that the returns were 'pretty stable' and that the crypto would be 'working like a high-yield savings account.' He did not explain that Celsius was not a bank, that deposits were not FDIC insured, that the assets would be lent out to third parties in ways that could result in total loss, or that the legal status of such yield products was actively contested by multiple state and federal regulators at the time. He also did not disclose that Celsius had received cease-and-desist orders from several state securities regulators in 2021 related to the unregistered offering of these exact accounts. Derek helped Margaret liquidate \$95,000 of her IRA bond fund holdings, move the proceeds to a self-directed IRA custodian, purchase Bitcoin and Ethereum, and transfer those assets into a Celsius Earn account in January 2022. By July 2022, Celsius had frozen all customer withdrawals and filed for bankruptcy. Margaret lost approximately \$87,000 of her original \$95,000 investment, representing more than 28% of her total retirement savings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Calloway committed multiple serious violations of applicable regulatory standards, and this scenario presents a clear case of non-compliance across several dimensions.

****1. Regulation Best Interest (Reg BI) -- Care Obligation (17 CFR § 240.15l-1)****

Reg BI, which became effective June 30, 2020, requires broker-dealers and their associated persons to act in the best interest of a retail customer at the time a recommendation is made, without placing the financial or other interest of the broker-dealer ahead of the retail customer. The Care Obligation under Reg BI requires the advisor to have a reasonable basis to believe the recommendation is in the customer's best interest based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, time horizon, liquidity needs, and risk tolerance.

Margaret was 71 years old, had a conservative risk profile documented on every intake form, had no cryptocurrency experience, and was dependent on her retirement savings for living expenses. Recommending that she liquidate nearly one-third of her retirement savings to purchase volatile cryptocurrency and deposit it into an unregistered, uninsured yield product was facially inconsistent with her stated profile. There was no reasonable basis for the recommendation under any objective assessment of her investor profile.

****2. FINRA Rule 2111 -- Suitability****

Although Reg BI superseded much of Rule 2111 for retail customer recommendations as of June 30, 2020, FINRA Rule 2111 still applies to institutional customers and to the quantitative suitability prong. More broadly, FINRA's suitability framework and guidance informed the structure of Reg BI and remains instructive. Under Rule 2111, a member must have a reasonable basis to believe a recommended transaction is suitable for the customer based on information obtained through reasonable diligence. Derek's recommendation fails under reasonable-basis, customer-specific, and quantitative suitability prongs.

****3. Omission of Material Facts -- Exchange Act § 10(b) and Rule 10b-5****

Derek's characterization of the Celsius Earn account as functioning 'like a high-yield savings account' was materially false and misleading. He omitted: (a) that Celsius was not a bank and deposits were not FDIC insured; (b) that deposited assets would be lent to third parties and could be lost entirely; (c) that the product was an unregistered security under the Howey test; and (d) that Celsius had received cease-and-desist orders from multiple state regulators in 2021 for offering these accounts as unregistered securities. Each of these omissions was material -- a reasonable investor would consider them important in deciding whether to invest. Under Exchange Act § 10(b) and Rule 10b-5, making material misstatements or omissions in connection with the purchase or sale of a security is unlawful.

****4. SEC Howey Test and the Classification of Celsius Earn Accounts as Securities****

Under the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)), an instrument is a security if it involves (1) an investment of money, (2) in a common enterprise, (3) with an expectation of profits, (4) derived from the efforts of others. The Celsius Earn account satisfies all four prongs: customers invested cryptocurrency, pooled into Celsius's enterprise, expected to earn yield (the advertised 8.6%), and those returns depended entirely on Celsius's lending and investment activities. The SEC later confirmed this analysis in its enforcement action against Celsius. By recommending an unregistered security, Derek also exposed himself and his firm to liability for facilitating the offer or sale of an unregistered security under Securities Act §§ 5 and 12(a).

****5. Investment Advisers Act § 206 -- Fiduciary Duty****

If Derek was acting in an advisory capacity (which the nature of the IRA rollover recommendation and ongoing relationship suggests), he was subject to the fiduciary duties imposed by the Investment Advisers Act § 206, including the duties of care and loyalty. Recommending a speculative, unregistered, uninsured yield product to a 71-year-old conservative investor with no crypto experience, without full and fair disclosure of the material risks, constitutes a breach of both the duty of care and the duty of loyalty.

****6. FINRA Guidance on Digital Assets****

FINRA's 2018 and subsequent guidance on cryptocurrency reminded member firms that digital asset recommendations are subject to the same suitability analysis as any other product, that volatility and lack of regulatory protection are material risk factors, and that firms must ensure that associated persons understand the products they recommend. Derek's recommendation of a crypto-based yield product to a conservative retiree, without understanding the legal and regulatory risk surrounding that specific product, violates this guidance.

****7. CFTC Jurisdiction Considerations****

While the Celsius Earn account implicated SEC jurisdiction through the securities analysis, Bitcoin (as a commodity under CFTC Act § 1a(9)) also falls under CFTC oversight. To the extent Derek's recommendation involved the purchase of Bitcoin specifically, any fraudulent conduct in connection with that purchase could also implicate CFTC

anti-fraud provisions under CFTC Act § 6(c) and Regulation 180.1, which mirror the broad anti-fraud standard of Rule 10b-5.

****Likely Regulatory Outcome:****

Derek faces potential disciplinary action from FINRA including suspension or bar, financial penalties, and restitution to Margaret. His broker-dealer faces supervisory liability for failing to maintain adequate procedures governing the recommendation of digital asset products and unregistered yield products to retail customers. The firm could face SEC enforcement for facilitating the offer of unregistered securities. The failure to disclose the state cease-and-desist orders against Celsius is particularly egregious and could support findings of willful misconduct. Margaret would likely be entitled to full restitution of her \$87,000 loss through FINRA arbitration or regulatory restitution proceedings.

Item 141 of 350

NON-COMPLIANT

Topic: senior_investor_exploitation

Difficulty: medium

Source: 29_Crypto_Digital_Assets

Fact Pattern

Margaret Holloway is a 74-year-old retired schoolteacher living in Tucson, Arizona. Her annual income consists of \$24,000 in Social Security benefits and a \$1,100 monthly pension from the state teachers' retirement system, totaling approximately \$37,200 per year. Her investable assets amount to \$310,000, held primarily in a traditional IRA containing conservative bond funds and a money market account. Margaret completed a client risk profile questionnaire in January 2023 that identified her investment objective as 'capital preservation' and her risk tolerance as 'conservative.' She noted on the questionnaire that she has no prior experience with alternative investments and depends on her savings to cover healthcare costs and living expenses in retirement. Her financial advisor, Derek Pruitt, is a registered representative at a mid-sized independent broker-dealer in Phoenix. In March 2023, Derek contacted Margaret by phone and told her about a 'crypto lending program' offered through a third-party digital asset platform that promised annual yields of 8.5% on deposited USD Coin, a stablecoin. Derek described the product as 'basically like a high-yield savings account but backed by crypto,' and told Margaret that because USDC is pegged to the U.S. dollar, 'there's really no risk of losing your principal.' Derek did not disclose that the platform had no deposit insurance, that the yield-bearing accounts had been the subject of regulatory scrutiny similar to enforcement actions taken against BlockFi and Celsius, or that the platform's terms of service allowed it to rehypothecate customer assets. He also did not disclose that he would receive a 1.2% referral fee from the platform for each customer he onboarded. In April 2023, Margaret transferred \$95,000 from her IRA -- approximately 31% of her total investable assets -- into the crypto lending product after Derek assisted her with the rollover paperwork. By August 2023, the platform suspended all withdrawals citing 'liquidity constraints,' and by October 2023 it filed for bankruptcy protection. Margaret's \$95,000 became illiquid and subject to bankruptcy proceedings, with recovery estimates from the trustee projecting that unsecured creditors would receive between 15 and 40 cents on the dollar. Margaret contacted Derek seeking an explanation, and he told her that 'crypto markets are unpredictable and there are no guarantees in investing,' a statement directly contradicting his earlier assurances about principal safety.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Derek Pruitt's conduct involves multiple serious regulatory violations across several frameworks.

****Regulation Best Interest (Reg BI) -- 17 CFR § 240.15l-1:****

Reg BI requires broker-dealers and their associated persons to act in the retail customer's best interest at the time of a recommendation, without placing the financial or other interest of the broker-dealer or associated person ahead of the retail customer. Derek violated several component obligations:

1. ***Care Obligation (§ 240.15l-1(a)(2)(ii)):*** Derek was required to exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of a recommended strategy and to have a reasonable basis to believe the recommendation was in Margaret's best interest given her profile. Margaret's documented conservative risk tolerance, capital preservation objective, age (74), income dependency on savings, and zero prior alternative

investment experience made a crypto yield product representing 31% of her investable assets wholly inappropriate. The crypto lending product exposed her to platform insolvency risk, rehypothecation risk, regulatory risk, and complete illiquidity -- risks fundamentally inconsistent with her needs.

2. *Conflict of Interest Obligation (§ 240.15l-1(a)(2)(iii) and (iv))* Derek received a 1.2% referral fee from the platform -- a material conflict of interest that he was required to disclose and mitigate. Instead, he concealed it entirely. This constitutes a direct violation of the disclosure and conflict-mitigation prongs of Reg BI.

3. *Disclosure Obligation (§ 240.15l-1(a)(2)(i))* Derek was required to disclose all material facts relating to the scope and terms of the recommendation, including conflicts of interest and material risks. He failed to disclose the referral fee, the absence of deposit insurance, the platform's asset rehypothecation practices, and the ongoing regulatory scrutiny of yield-bearing crypto accounts.

****FINRA Rules -- Suitability and Related Obligations:****

Although Reg BI now governs retail customer recommendations, FINRA Rule 2111 (Suitability) and its reasonable-basis, customer-specific, and quantitative prongs remain instructive and enforceable in the context of FINRA-member broker-dealers. Derek failed all three prongs: he lacked a reasonable basis to recommend the product (no due diligence on platform solvency), the recommendation was not suitable for this specific customer, and assisting in the rollover of 31% of retirement assets into a single illiquid crypto product may constitute excessive concentration. FINRA Rule 2010 (Standards of Commercial Honor) is also implicated by Derek's affirmative misrepresentation that the product carried 'no risk of losing principal.'

****SEC Digital Asset Framework (April 2019) and Howey Test:****

The yield-bearing crypto lending product almost certainly qualifies as a security under the Howey test: (1) an investment of money, (2) in a common enterprise, (3) with an expectation of profits, (4) derived from the efforts of others. The 8.5% annual yield was generated by the platform's lending and trading activities -- i.e., the efforts of the platform operators, not the investor. The SEC has taken enforcement actions against materially identical products at BlockFi (settled February 2022 for \$100 million) and Celsius (sued July 2023), confirming that such products are securities. If the product was an unregistered security, recommending it to retail clients compounds Derek's violations, as the broker-dealer may also face liability under Exchange Act § 5 for facilitating the sale of unregistered securities.

****Investment Advisers Act § 206 (Antifraud):****

If Derek is deemed to be providing investment advice (as opposed to purely brokerage services), Section 206(1) and 206(2) of the Investment Advisers Act prohibit any investment adviser from employing any device, scheme, or artifice to defraud, or engaging in any transaction that operates as a fraud upon a client. Derek's affirmative misrepresentation that the product was akin to a 'high-yield savings account' with no principal risk, combined with his concealment of the referral fee, would constitute fraud under this standard.

****Exchange Act § 10(b) and Rule 10b-5:****

Derek's affirmative misstatements -- that the product was 'basically like a savings account' and carried 'no risk of losing principal' -- and his material omissions regarding the referral fee, rehypothecation, lack of insurance, and regulatory risk constitute actionable misrepresentations and omissions in connection with the purchase of a security, violating Exchange Act § 10(b) and Rule 10b-5.

****CFTC Jurisdiction Considerations:****

To the extent USDC or associated derivatives are characterized as commodities or commodity interests, the CFTC may assert concurrent jurisdiction. However, SEC jurisdiction is more directly implicated given the yield/profit-sharing structure.

****Elder Financial Exploitation:****

MAGNIFYING the severity of these violations is Margaret's status as a 74-year-old retiree. FINRA has issued explicit guidance (Regulatory Notice 07-43, 12-25, and the Senior Safe Act framework) requiring heightened scrutiny when recommending complex or illiquid products to senior investors who depend on their savings for living expenses and healthcare. Derek's conduct -- cold-calling a senior widow, misrepresenting risk, concealing compensation, and facilitating the liquidation of 31% of her retirement savings into a bankrupt crypto platform -- represents a paradigmatic case of elder financial exploitation.

****Likely Regulatory Outcome:****

Derek faces potential enforcement action by the SEC (Reg BI violations, § 10(b) fraud), FINRA (Rules 2010, 2111, and supervision failures), and state securities regulators under NASAA's Model Rule on unregistered securities. His broker-dealer faces supervisory liability under Exchange Act § 15(b) and FINRA Rule 3110 for failing to detect and prevent the unsuitable recommendations. Margaret would likely have a viable FINRA arbitration claim for compensatory damages (the full \$95,000 less any bankruptcy recovery), punitive damages in states permitting them for elder abuse, and possibly attorneys' fees under applicable elder financial abuse statutes. Derek's registration could be suspended or revoked, and he may face civil monetary penalties and disgorgement of the referral fees received.

Item 142 of 350**NON-COMPLIANT****Topic:** senior_investor_exploitation**Difficulty:** hard**Source:** 29_Crypto_Digital_Assets**Fact Pattern**

Margaret Kowalski is a 79-year-old retired schoolteacher living in Scottsdale, Arizona. She has a fixed income consisting of a \$1,840 monthly Social Security payment and a small pension of \$620 per month from the Maricopa County school district. Her total investable assets are approximately \$214,000, held primarily in a conservative bond ladder and a money market account. She owns her home outright and has no mortgage debt. Her investment objective, as documented on her account opening forms from 2019, is capital preservation with modest income generation. She has no prior experience with stocks beyond a small inherited mutual fund position, and she has never purchased any cryptocurrency or digital asset of any kind. She rated herself as having a 'low' risk tolerance on her most recent client profile update in March 2022.

In September 2022, Margaret's financial advisor, Derek Holt, a registered representative at Pinnacle Wealth Strategies in Scottsdale, began calling her repeatedly after attending a two-day crypto investment conference in Las Vegas. During a series of four phone calls over three weeks, Derek told Margaret that 'crypto is the new savings account' and that a product called the Meridian Digital Yield Fund -- an unregistered pooled vehicle that accepted customer crypto deposits and promised annualized returns of 9.4% by lending those deposits to institutional borrowers -- was 'basically a CD but way better.' Derek did not explain that the fund had never registered any offering with federal regulators, that its promised yields were generated through unsecured lending to unnamed counterparties, that investor deposits were commingled and not insured, or that the fund's operators had no obligation to return principal on demand. He told Margaret the investment was 'low risk' and 'perfect for someone your age who needs income.' He also minimized the volatility of the underlying crypto assets by telling her that the fund 'holds stable assets' without disclosing that a portion of the fund's collateral consisted of illiquid altcoins.

In October 2022, Derek recommended Margaret liquidate \$95,000 of her bond ladder -- nearly 44% of her total investable assets -- and transfer those funds into the Meridian Digital Yield Fund. Margaret, trusting Derek's characterization and his professional credentials, agreed. Derek earned a referral commission of approximately \$3,800 from Meridian's operators for directing her funds to the product. He did not disclose this compensation arrangement to Margaret at the time of the recommendation.

By February 2023, the Meridian Digital Yield Fund had suspended all withdrawals, citing 'liquidity constraints resulting from adverse market conditions.' Margaret received a notice that her account was frozen and that the fund's management was 'evaluating restructuring options.' As of the date of the hypothetical, Margaret has received no return of principal and has collected only two monthly yield payments totaling \$1,489 before the suspension. Her \$95,000 investment is effectively inaccessible and may be substantially or entirely lost. Margaret has contacted Pinnacle Wealth Strategies three times requesting an explanation and has received no substantive response.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

This scenario presents multiple serious regulatory violations across several overlapping frameworks.

****1. Regulation Best Interest (Reg BI) -- Care Obligation and Conflict of Interest Obligation****

Under Reg BI (Exchange Act Rule 15l-1), broker-dealers and their associated persons must act in the retail customer's best interest at the time of a recommendation, without placing the firm's or representative's financial interest ahead of the customer's. Derek's recommendation to Margaret fails the Care Obligation on multiple independent grounds. First, Margaret's documented profile -- age 79, fixed income, capital preservation objective, low risk tolerance, no crypto experience -- made the recommendation of an unregistered crypto yield product patently unsuitable. Liquidating 44% of her total investable assets and concentrating them in a single illiquid, unregistered vehicle with no SIPC protection and no regulatory oversight is the antithesis of capital preservation. Second, Derek's undisclosed \$3,800 referral commission from Meridian's operators constitutes a material conflict of interest that was required to be disclosed and mitigated under Reg BI's Conflict of Interest Obligation (Rule 15l-1(a)(2)(iii)). Failure to disclose this compensation before the recommendation was made is an independent violation.

****2. Investment Advisers Act §206 -- Fiduciary Duty****

If Derek or Pinnacle Wealth Strategies is dually registered or if the relationship is characterized as advisory, §206(1) and §206(2) of the Investment Advisers Act impose a broad fiduciary duty prohibiting any device, scheme, or artifice to defraud a client and any conduct that operates as a fraud or deceit. Characterizing an unregistered, illiquid, yield-generating crypto pooled vehicle as 'basically a CD' and 'low risk' to an elderly client with a capital preservation objective constitutes a fraudulent misrepresentation and a material omission. The non-disclosure of the referral commission would also violate the fiduciary duty of loyalty under §206.

****3. SEC Digital Asset Framework (2019) and the Howey Test****

The Meridian Digital Yield Fund almost certainly constitutes a security under the Howey test: investors contribute money (or crypto convertible to money) into a common enterprise with a reasonable expectation of profits derived from the managerial efforts of the fund's operators. The promised 9.4% annualized yield generated by third-party lending decisions confirms the 'efforts of others' prong. Because the fund was never registered as a securities offering with the SEC, recommending it to any investor -- let alone a vulnerable elderly retail customer -- exposes Derek and Pinnacle to liability for facilitating the offer or sale of an unregistered security under Securities Act §5. This mirrors enforcement patterns seen in the SEC's actions against BlockFi (settled February 2022, \$100 million penalty), Celsius Network, and Gemini/Genesis's Earn program, all of which were found to have offered unregistered securities through yield-bearing crypto deposit products.

****4. Exchange Act §10(b) and Rule 10b-5****

Derek's affirmative misrepresentations -- that the fund 'holds stable assets,' is 'basically a CD,' and is 'low risk' -- and his material omissions regarding the fund's unregistered status, the unsecured nature of lending, the illiquidity risk, and his own undisclosed compensation constitute a manipulative or deceptive device in connection with the purchase or sale of a security under §10(b) and Rule 10b-5. The scienter element is supported by Derek's attendance at an industry conference where the risks of such products were likely discussed, and by the implausibility of a financial professional genuinely believing a 9.4% annualized crypto yield product carries risk comparable to a certificate of deposit.

****5. CFTC Jurisdiction Considerations****

To the extent the Meridian Digital Yield Fund's collateral included commodity-based crypto assets (e.g., Bitcoin or Ether, which the CFTC has asserted are commodities), the CFTC may assert concurrent jurisdiction over the fraudulent representations made in connection with the fund under the Commodity Exchange Act §6(c) and CFTC Rule 180.1, which broadly prohibit fraud in connection with commodity transactions.

****6. FINRA Rules -- Suitability and Know Your Customer****

Under FINRA Rule 2111 (still operative for non-Reg BI covered transactions and as an interpretive baseline), a registered representative must have a reasonable basis to believe a recommendation is suitable for the particular

customer based on the customer's investment profile. Recommending concentration of 44% of a 79-year-old capital-preservation investor's assets in an unregistered crypto yield vehicle fails suitability analysis on every dimension: risk tolerance, time horizon, liquidity needs, financial situation, and investment objectives. FINRA Rule 2010 (Standards of Commercial Honor) is also implicated by the undisclosed commission and the misleading characterizations of the product.

****7. Senior Investor Protections****

Financial exploitation of seniors triggers additional regulatory scrutiny. FINRA Rule 4512 requires firms to make reasonable efforts to obtain the name of a trusted contact person for senior accounts. FINRA Rule 2165 permits (and in many circumstances effectively requires) firms to place temporary holds on disbursements where financial exploitation of a senior is suspected. Margaret's age, fixed-income dependence, lack of sophistication, and the advisor's repeated telephone solicitation pattern are hallmarks of targeted senior exploitation that would attract regulatory and potentially criminal scrutiny.

****Likely Regulatory Outcome:****

Derek Holt and Pinnacle Wealth Strategies face exposure to SEC enforcement for facilitating the offer and sale of unregistered securities and for fraudulent misrepresentation under §10(b)/Rule 10b-5; FINRA disciplinary proceedings including potential bar, suspension, and fines; state securities regulator actions under Arizona's securities laws; and private civil liability to Margaret for rescission of the transaction and damages. The undisclosed referral commission independently supports a disgorgement claim. The firm faces supervisory liability for failing to implement adequate procedures to detect and prevent unsuitable recommendations of unregistered crypto products to retail customers, particularly senior investors. Margaret's best civil remedy is likely a FINRA arbitration claim seeking rescission of the \$95,000 investment plus consequential damages, interest, and attorneys' fees.

Item 143 of 350

NON-COMPLIANT

Topic: inappropriate_risk_profile

Difficulty: medium

Source: 29_Crypto_Digital_Assets

Fact Pattern

Margaret Okonkwo, a 71-year-old retired schoolteacher living in Akron, Ohio, opened an investment account in February 2023 with financial advisor Derek Paulson at a mid-sized regional broker-dealer. Margaret had approximately \$210,000 in total investable assets, consisting almost entirely of her retirement savings accumulated over 34 years of teaching. Her monthly income was \$2,100 from Social Security and a small pension. She had no other significant assets and no earned income. During the account opening process, Margaret explicitly told Derek that she needed her savings to last through retirement, that she was 'very nervous about losing money,' and that her primary goal was capital preservation with modest income generation. She also mentioned she had never owned stocks, knew nothing about cryptocurrency, and had heard 'scary things' about it on the news. Derek acknowledged her concerns verbally but recorded her risk tolerance on the internal account form as 'moderate' rather than 'conservative,' later explaining to a colleague that 'moderate opens up more product options.' In March 2023, Derek recommended that Margaret allocate \$63,000 -- roughly 30% of her total savings -- into a basket of digital asset products. Specifically, he directed \$28,000 into a crypto yield account offered through a third-party platform promising 8.5% annual returns by lending her assets to institutional borrowers, \$20,000 into a token tied to a Layer-2 blockchain project that Derek described as 'the next Ethereum,' and \$15,000 into a fund holding a mix of altcoins including tokens that had launched within the prior 12 months. Derek told Margaret the yield account was 'basically like a high-yield savings account but better' and did not explain that her assets would not be insured, that the platform had faced prior scrutiny from state regulators, or that the underlying loans were uncollateralized. He provided no written disclosure about the speculative nature of the altcoin fund or the token investment. By November 2023, the Layer-2 token had declined approximately 74% in value, several of the altcoins in the fund had become effectively worthless following project failures, and the yield account platform had suspended withdrawals amid a liquidity crisis, leaving Margaret unable to access \$28,000 of her savings. Her total crypto-related losses exceeded \$51,000, representing nearly 24% of her lifetime savings. Margaret filed a written complaint with the broker-dealer in December 2023, stating she never understood the risks and would never have agreed to the investments had they been properly explained.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Derek Paulson's conduct presents multiple serious regulatory violations across several overlapping frameworks.

****1. Regulation Best Interest (Reg BI) -- Care Obligation (Exchange Act Rule 15l-1)****

Reg BI requires broker-dealers and their associated persons to act in the retail customer's best interest at the time of a recommendation, without placing the firm's or advisor's financial interest ahead of the customer's. The Care Obligation specifically requires the advisor to have a reasonable basis to believe the recommendation is in the best interest of the particular retail customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance.

Margaret's profile -- 71 years old, fixed income of \$2,100/month, \$210,000 in total retirement assets, no other income,

explicit statement of capital preservation goals, no investment experience, and expressed fear of losses -- unambiguously indicates an extremely low risk tolerance and a conservative investment objective. Allocating 30% of her life savings into speculative digital assets, including newly launched tokens and an unregistered yield product, cannot satisfy any reasonable-basis analysis. Derek's manipulation of the risk tolerance field from 'conservative' to 'moderate' to 'open up product options' is direct evidence that he knew the recommendation would not survive scrutiny under her actual profile and deliberately falsified records to circumvent that analysis. This is an aggravating factor that transforms a suitability failure into potential fraud.

****2. Investment Advisers Act Section 206 -- Antifraud Provisions****

To the extent Derek or his firm exercised any discretionary or advisory function, Section 206(1) and (2) of the Investment Advisers Act prohibit any device, scheme, or artifice to defraud clients and any transaction or practice that operates as a fraud or deceit. Describing an uninsured, uncollateralized crypto lending product as 'basically like a high-yield savings account' is a materially misleading statement. Omitting that the platform had faced prior state regulatory scrutiny and that withdrawals could be suspended is an omission of material fact. These misrepresentations and omissions, made in connection with an investment recommendation, constitute a violation of the antifraud standard applicable to advisers and, depending on the structure of the relationship, potentially Exchange Act Section 10(b) and Rule 10b-5 as well.

****3. SEC Digital Asset Framework (2019) and Howey Test Application****

The SEC's 2019 Digital Asset Framework applies the Howey test to determine whether a digital asset constitutes a security: (1) an investment of money, (2) in a common enterprise, (3) with an expectation of profits, (4) derived from the efforts of others. The yield account product -- which pooled Margaret's funds, promised fixed returns from institutional lending activity managed by the platform, and exposed her to platform-level credit and liquidity risk -- closely resembles products like BlockFi's Bitcoin Interest Accounts and Celsius's yield accounts, both of which the SEC determined were unregistered securities offerings. Recommending an unregistered security to a retail investor without disclosure of its registration status, risks, and the absence of investor protections is itself a violation, and the broker-dealer's failure to conduct adequate due diligence on a third-party platform with known regulatory history compounds the firm's supervisory liability.

****4. FINRA Rules -- Suitability and Know Your Customer****

FINRA Rule 2111 (Suitability) requires that a member firm or associated person have a reasonable basis to believe a recommended transaction is suitable for the customer based on the customer's investment profile. FINRA Rule 2090 (Know Your Customer) requires members to use reasonable diligence to know and retain essential facts about every customer. Derek's deliberate mischaracterization of Margaret's risk tolerance as 'moderate' instead of 'conservative' is a direct violation of both rules. FINRA has issued guidance specifically addressing digital asset recommendations, making clear that crypto assets are generally high-risk, speculative instruments inappropriate for customers with capital preservation objectives or limited risk capacity. The recommendation of newly launched altcoins with no established track record to a 71-year-old retiree on a fixed income is facially unsuitable.

****5. Disclosure Failures****

Derek failed to provide any written disclosures about: (a) the speculative and illiquid nature of the investments; (b) the lack of FDIC or SIPC insurance on the yield account; (c) the platform's prior regulatory issues; (d) the uncollateralized nature of the lending; or (e) the volatility profile of newly launched tokens. These omissions independently support fraud claims under both the securities laws and common law.

****6. Supervisory Liability****

The broker-dealer faces independent liability under FINRA Rule 3110 for failure to supervise. The falsification of account records -- specifically the risk tolerance field -- is a red flag that a reasonable supervisory system should have detected, particularly given the client's age, the size of the allocation, and the speculative nature of the products involved.

****Likely Regulatory Outcome****

This scenario would likely result in: (1) FINRA enforcement action against Derek for suitability violations and potential falsification of records, with possible suspension or bar; (2) SEC referral for potential fraud and unregistered securities violations related to the yield product; (3) FINRA action against the broker-dealer for supervisory failures; (4) customer restitution claim through FINRA arbitration, with strong likelihood of award given the documented misrepresentation and clear profile mismatch; and (5) potential state securities enforcement action. The falsification of the risk tolerance field is particularly damaging and could support a finding of willful misconduct, elevating sanctions significantly beyond a standard suitability failure.

Item 144 of 350

NON-COMPLIANT

Topic: failure_to_know_customer

Difficulty: medium

Source: 29_Crypto_Digital_Assets

Fact Pattern

Margaret Holliday is a 71-year-old retired schoolteacher living in Tulsa, Oklahoma. She receives a fixed monthly pension of \$2,100 and Social Security payments of \$1,450 per month, totaling approximately \$42,600 in annual income. Her total investable savings amount to \$187,000, held primarily in a low-risk bond ladder and a money market account. When Margaret opened her brokerage account in March 2022, she completed a new account form indicating her investment objective as 'capital preservation,' her risk tolerance as 'conservative,' and her time horizon as 'less than 3 years' because she intended to use a portion of the funds to cover anticipated long-term care costs for herself and her husband, who has early-stage Alzheimer's disease. She had no prior experience with any investment more complex than a certificate of deposit. In September 2022, her financial advisor, Derek Pollman at a mid-sized independent broker-dealer, called Margaret after attending an internal sales conference that highlighted a new high-yield crypto lending product being offered through a third-party digital asset platform. The product promised annualized yields of 9.5% by lending customer assets to institutional crypto borrowers, with balances held in Bitcoin and Ethereum rather than FDIC-insured deposits. Derek told Margaret the product was 'basically like a high-yield savings account but better' and emphasized the 9.5% return without discussing volatility, the uninsured nature of the deposits, the illiquidity provisions that could lock funds for 30 to 90 days, or the fact that the underlying assets could decline dramatically in value. Derek did not review Margaret's new account form before the call and later acknowledged in internal messages that he 'didn't really think about her age or the care situation.' Margaret invested \$55,000 -- roughly 29% of her total savings -- into the product in October 2022. By January 2023, the platform had suspended all withdrawals following a liquidity crisis, and Margaret's \$55,000 was frozen. Her husband's care facility required a \$48,000 deposit the following month, which Margaret could not access, forcing her to take an emergency personal loan at 14% interest. The platform later entered bankruptcy proceedings, and recovery estimates for customers were placed at 20 to 40 cents on the dollar.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Derek Pollman's conduct represents a serious and multi-layered regulatory violation that would likely result in significant disciplinary action and civil liability.

****Regulation Best Interest (Reg BI) -- Care Obligation (17 CFR §240.15l-1):****

Reg BI, which became effective June 30, 2020, requires broker-dealers to act in the best interest of retail customers at the time a recommendation is made, without placing the firm's or advisor's financial interest ahead of the customer's interest. The Care Obligation specifically requires that a broker-dealer: (1) understand the potential risks, rewards, and costs of a recommended security or strategy; (2) have a reasonable basis to believe the recommendation is in the customer's best interest based on their investment profile; and (3) not place the financial or other interest of the firm ahead of the customer's interest. Derek failed all three prongs. He did not disclose the volatility of crypto assets, the uninsured and unregulated nature of the product, the liquidity lockup provisions, or the counterparty risk inherent in crypto lending platforms. He characterized the product misleadingly as 'basically like a high-yield savings account,'

which constitutes a material misrepresentation.

****Failure to Know the Customer:****

FINRA Rule 2090 requires that every member use reasonable diligence to know and retain essential facts about each customer. Derek explicitly acknowledged he did not review Margaret's new account form before recommending the product. Margaret's documented profile -- conservative risk tolerance, capital preservation objective, short time horizon, fixed income, and specific liquidity need tied to a family care obligation -- was diametrically opposed to the characteristics of a volatile, illiquid, uninsured crypto lending product. This failure to know the customer is not merely a procedural lapse; it caused direct and foreseeable financial harm.

****FINRA Rule 2111 (Suitability -- legacy standard for context and institutional cross-reference):****

Although Reg BI supersedes Rule 2111 for retail customers in many respects, Rule 2111 continues to apply to non-retail customers and reinforces the analytical framework. Under either standard, recommending a speculative, illiquid crypto product to a 71-year-old retiree with capital preservation objectives and an imminent six-figure liquidity need would fail any reasonable suitability analysis.

****Investment Advisers Act §206 (Anti-Fraud):****

If Derek were operating under an advisory agreement rather than solely as a registered representative, §206(1) and §206(2) of the Investment Advisers Act would further prohibit any device, scheme, or artifice to defraud a client, and any transaction or practice that operates as a fraud or deceit. Describing an uninsured, highly volatile crypto lending product as equivalent to a savings account is precisely the type of misleading characterization contemplated by §206.

****Exchange Act §10(b) and Rule 10b-5:****

Derek's affirmative misrepresentation that the product was 'basically like a high-yield savings account' and his omission of material facts -- including the crypto lending platform's liquidity risks, the lockup provisions, and the uninsured nature of deposits -- could independently support a §10(b)/Rule 10b-5 claim for securities fraud, provided the crypto lending product qualifies as a security. Under the Howey test (an investment of money in a common enterprise with an expectation of profits from the efforts of others), yield-bearing crypto lending products of this type would very likely be deemed securities, as enforcement actions against comparable platforms (BlockFi, Celsius, Gemini Earn/Genesis) have demonstrated.

****CFTC Considerations:****

To the extent Bitcoin and Ethereum are treated as commodities under the Commodity Exchange Act, there may be overlapping CFTC jurisdiction, though the primary exposure here is under the securities laws given the yield product's structure.

****Crypto-Specific Enforcement Precedent:****

The SEC has brought enforcement actions against multiple crypto yield platforms for offering unregistered securities -- including a \$100 million settlement with BlockFi in February 2022 and actions against Celsius and the Gemini Earn/Genesis program. These enforcement actions confirm that yield-bearing crypto lending products are treated as securities. Derek recommending an unregistered product of this type to a retail customer compounds the violation.

****SEC Digital Asset Framework (2019):****

The SEC's 2019 framework for analyzing whether digital assets constitute investment contracts under Howey confirms that the economic reality of a yield-bearing crypto product -- where customers provide funds expecting returns generated by a third-party platform's lending activity -- satisfies each Howey prong. Derek had an obligation to understand this regulatory landscape before recommending the product.

****Likely Regulatory Outcome:****

Derek and his broker-dealer face potential FINRA disciplinary proceedings for violations of Rules 2090, 2010, and Reg

BI; possible SEC enforcement for recommending an unregistered security and for material misrepresentations under Rule 10b-5; and private civil liability to Margaret for her losses. The broker-dealer's supervisory failures -- including the absence of any review mechanism that would have flagged the mismatch between Margaret's profile and this recommendation -- create additional liability under FINRA Rule 3110. Given the severity of harm, Margaret's age and vulnerability, and the advisor's documented indifference to her profile, regulators would likely seek suspension or bar of Derek's registration, significant financial penalties, and mandatory restitution of the \$55,000 plus consequential damages from the emergency loan.

Item 145 of 350

NON-COMPLIANT

Topic: alternative_investments_unsuitable

Difficulty: medium

Source: 29_Crypto_Digital_Assets

Fact Pattern

Margaret Holloway, a 71-year-old retired schoolteacher from Baton Rouge, Louisiana, met with her financial advisor, Derek Fontaine, in March 2022. Margaret had accumulated \$310,000 in retirement savings, held primarily in a conservative mix of Treasury bonds and a money market account. She had described herself on her intake forms as having a 'low' risk tolerance, with a primary investment objective of capital preservation and income generation to supplement her \$1,850 monthly Social Security check. Margaret had no prior experience with cryptocurrencies, had never opened a brokerage account before working with Derek, and had explicitly told him during their first meeting that she was 'terrified of losing money' and could not afford any significant losses because she had no other income sources and no pension. Derek had been an independent investment advisor for six years and had recently become enthusiastic about crypto-based yield products after attending an industry conference in Las Vegas in January 2022. In April 2022, Derek recommended that Margaret move \$95,000, roughly 30% of her total retirement savings, into two products: first, \$50,000 into a high-yield crypto lending account offered through a platform called 'YieldMax Digital,' which promised an 8.5% annual return generated by lending Margaret's deposited funds to institutional crypto borrowers; and second, \$45,000 into a basket of mid-cap altcoins including tokens called LUNA, AVAX, and a smaller position in a newly launched DeFi governance token called ARBX. Derek told Margaret that the YieldMax account was 'basically like a savings account but better' and that the altcoin basket was 'a small diversification play with huge upside.' He did not provide Margaret with any written disclosure about the risks of crypto lending platforms, did not explain that the YieldMax product was not insured by the FDIC or any government agency, and did not inform her that several similar lending platforms had recently faced regulatory scrutiny or suspended customer withdrawals. Derek earned a 1.2% referral fee from YieldMax Digital for each dollar he directed to the platform and received a \$500 flat fee from the ARBX token project for each new investor he onboarded. He did not disclose either of these compensation arrangements to Margaret. By November 2022, YieldMax Digital had frozen all customer withdrawals following insolvency proceedings, and Margaret's \$50,000 deposit was effectively inaccessible and likely unrecoverable. The LUNA token had collapsed to near zero following the Terra ecosystem implosion in May 2022, and the ARBX token had lost 94% of its value. Margaret's \$45,000 altcoin position was worth approximately \$2,700. In total, Margaret lost over \$92,000, representing nearly all of the \$95,000 Derek had recommended she invest.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Derek Fontaine almost certainly violated multiple applicable standards governing the conduct of investment advisers and broker-dealers recommending investments to retail customers.

****1. Regulation Best Interest (Reg BI) -- 17 C.F.R. § 240.15l-1)****

If Derek was acting in a broker-dealer capacity at the time of these recommendations, Reg BI's Care Obligation required him to exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of the recommended securities, and to have a reasonable basis to believe the recommendation was in Margaret's best interest given her specific investment profile. Margaret's profile -- 71 years old, fixed income, low risk tolerance, capital

preservation objective, no crypto experience, explicit fear of loss -- was fundamentally incompatible with a 30% allocation to volatile altcoins and an uninsured crypto lending product. No reasonable basis existed for these recommendations given her circumstances, and Derek failed the Care Obligation on its face.

****2. Investment Advisers Act § 206 -- Fiduciary Duty****

If Derek was acting as an investment adviser, he owed Margaret a full fiduciary duty including duties of loyalty and care under Investment Advisers Act § 206(1) and § 206(2). The undisclosed compensation arrangements -- the 1.2% referral fee from YieldMax Digital and the \$500 ARBX onboarding payment -- created material conflicts of interest that Derek was required to fully disclose and either eliminate or obtain informed consent to. His failure to disclose these conflicts while recommending the very products generating those undisclosed payments is a textbook breach of the duty of loyalty and likely constitutes fraud under § 206(1) (willful misstatement or omission of material fact) and § 206(2) (negligent or intentional scheme to defraud). In *SEC v. Capital Gains Research Bureau, Inc.*, 375 U.S. 180 (1963), the Supreme Court confirmed that investment advisers owe a fiduciary duty requiring full and fair disclosure of all material conflicts.

****3. Howey Test and the Nature of the Products****

Under *SEC v. W.J. Howey Co.*, 328 U.S. 293 (1946), and the SEC's 2019 Digital Asset Framework, the YieldMax yield product and the ARBX governance token would likely qualify as investment contracts and therefore securities. YieldMax's product involved investors depositing funds into a pooled lending arrangement with the expectation of profit derived from the managerial efforts of YieldMax's operators -- satisfying all four Howey prongs: (1) an investment of money, (2) in a common enterprise, (3) with an expectation of profit, (4) derived from the efforts of others. This is consistent with enforcement actions taken against comparable products including BlockFi (settled with SEC for \$100 million in February 2022), Celsius, and Gemini/Genesis, all of which faced SEC and state enforcement for offering unregistered yield-bearing crypto accounts. If YieldMax was offering an unregistered security, Derek's recommendation to invest in it may also expose him to liability under Exchange Act § 15(a) for facilitating transactions in unregistered securities.

****4. FINRA Suitability -- Rule 2111 (if applicable as registered representative)****

If Derek held a FINRA registration, Rule 2111 required him to have a reasonable basis for believing a recommended transaction was suitable for the customer based on reasonable diligence. His recommendations fail suitability analysis on multiple dimensions: (a) reasonable-basis suitability -- no reasonable diligence would support recommending an uninsured, illiquid crypto lending product or highly speculative altcoins to any retail customer without significant crypto risk disclosures; (b) customer-specific suitability -- Margaret's age, income, risk tolerance, and investment objectives categorically contraindicate speculative crypto positions; and (c) quantitative suitability -- a 30% concentration in illiquid, speculative crypto products for a retiree on fixed income is excessive regardless of any other factor.

****5. CFTC Jurisdiction Considerations****

Some of the altcoins recommended (AVAX and similar tokens that do not qualify as securities) may fall under CFTC jurisdiction as commodities under the Commodity Exchange Act § 1a. The CFTC has taken the position that Bitcoin and Ether are commodities, and similar treatment may apply to other fungible digital tokens without governance or profit-sharing features. While this does not directly establish Derek's personal liability to Margaret under CFTC rules, it underscores the regulatory complexity he failed to navigate and disclose.

****6. Disclosure Failures****

Derek's failure to provide written risk disclosures, failure to explain the absence of FDIC insurance, failure to disclose conflicts of interest, and affirmative misrepresentation of the YieldMax account as 'basically like a savings account' likely constitute material misstatements and omissions actionable under Exchange Act § 10(b) and Rule 10b-5, as well as Investment Advisers Act § 206.

****Likely Regulatory Outcome:****

Derek faces exposure to SEC enforcement for fiduciary breaches and material omissions, potential state securities regulator action for unsuitable recommendations, FINRA disciplinary proceedings if registered (including possible bar), civil liability to Margaret under state law theories of negligence and breach of fiduciary duty, and potential disgorgement of the undisclosed compensation received. The losses Margaret suffered -- exceeding \$92,000 -- would likely serve as the basis for restitution in any regulatory settlement or arbitration proceeding. This scenario closely mirrors the regulatory and factual circumstances underlying the BlockFi, Celsius, and Gemini/Genesis enforcement actions, where regulators specifically cited the marketing of yield products as low-risk to unsophisticated retail customers as an aggravating factor.

Item 146 of 350

NON-COMPLIANT

Topic: illiquid_investments

Difficulty: hard

Source: 29_Crypto_Digital_Assets

Fact Pattern

Margaret Okonkwo, a 61-year-old retired school administrator living in Columbus, Ohio, approached her financial advisor, Derek Paulsen, at a mid-sized regional broker-dealer in late 2022. Margaret had accumulated \$480,000 in a rollover IRA following her retirement, and an additional \$55,000 in a taxable savings account. Her stated investment objectives were capital preservation and modest income generation to supplement her pension and Social Security benefits, which together provided approximately \$3,800 per month. Margaret described herself during onboarding as having a conservative risk tolerance, noting that she had no prior experience with speculative investments, had never owned individual stocks, and was deeply uncomfortable with the idea of losing principal. She specifically told Derek that she needed her savings to last at least 25 more years and that she could not afford significant losses.

Despite this profile, Derek began pitching Margaret on a crypto-backed yield product offered through a private digital asset lending platform that was not listed on any national securities exchange and had no secondary market for redemptions. The product, marketed internally as the 'Digital Income Vault,' promised annualized yields of between 9% and 12%, generated by lending customers' deposited funds to institutional crypto borrowers. Derek told Margaret that the returns were 'basically like a high-yield savings account, but better,' and described the product as 'low risk because it's backed by crypto collateral.' He did not explain that the collateral consisted of volatile digital assets whose values could drop sharply, that the platform had no federal deposit insurance, that investors could not withdraw funds on demand, and that redemption requests were subject to a 90-day lockup window that could be extended indefinitely at the platform's discretion.

In January 2023, Derek recommended that Margaret transfer \$210,000 from her rollover IRA into the Digital Income Vault. He processed the transaction without providing Margaret any written disclosure about the lockup period, the nature of the collateral, or the platform's financial condition. Margaret received two monthly interest distributions totaling approximately \$3,900 before the platform suspended all withdrawals in March 2023, citing 'extraordinary market conditions' following the broader crypto market dislocation of late 2022 and early 2023. The platform subsequently entered bankruptcy proceedings, and Margaret's \$210,000 became trapped in the estate with no clear timeline for recovery. Preliminary bankruptcy filings suggested unsecured creditors, including retail depositors like Margaret, might recover between 15 and 40 cents on the dollar.

Internal records later revealed that Derek had received a 3.5% upfront placement fee of approximately \$7,350 on Margaret's investment, a compensation structure that was never disclosed to her. Compliance department records showed that the Digital Income Vault had not been reviewed or approved for recommendation to retail clients, and that a compliance alert flagging the product's illiquidity and unregistered status had been issued firm-wide two months before Derek made his recommendation. Derek had acknowledged receipt of that compliance alert electronically but proceeded with the recommendation anyway.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

This scenario presents multiple serious regulatory violations across several overlapping frameworks.

****Regulation Best Interest (Reg BI) -- 17 CFR § 240.15l-1****

Derek's recommendation falls squarely within Reg BI's scope as a specific investment recommendation made to a retail customer in connection with her brokerage account. Reg BI imposes four component obligations: disclosure, care, conflict of interest, and compliance. Derek failed all four.

Under the Care Obligation (Rule 15l-1(a)(2)(ii)), Derek was required to exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of the recommended product and to have a reasonable basis to believe the recommendation was in Margaret's best interest. A 61-year-old retiree with a conservative risk tolerance, a capital preservation objective, and a 25-year income horizon is among the most clearly unsuitable candidates for an illiquid, unregistered, crypto-collateralized yield product with a discretionary lockup period. The 9-12% yield projection was facially inconsistent with a 'low risk' characterization, and any competent advisor performing reasonable diligence would have identified the total absence of liquidity, the volatility of the underlying collateral, and the platform's unregistered status as disqualifying features for this client.

Under the Conflict of Interest Obligation (Rule 15l-1(a)(2)(iii)), Derek was required to identify and disclose material conflicts. A 3.5% undisclosed placement fee creating approximately \$7,350 in compensation is a textbook material conflict that must be disclosed and mitigated. Failure to disclose this fee is an independent violation.

Under the Compliance Obligation, the firm failed by not maintaining adequate supervisory procedures to prevent recommendations of unapproved products, and Derek individually failed by ignoring a firm-wide compliance alert he had personally acknowledged.

****Investment Advisers Act § 206 -- Antifraud****

To the extent Derek's role included any advisory function, Section 206(1) and 206(2) of the Investment Advisers Act of 1940 prohibit any fraudulent, deceptive, or manipulative conduct by investment advisers. Characterizing a highly illiquid, unregistered crypto lending product as analogous to a high-yield savings account and omitting material information about lockup terms, collateral composition, and lack of deposit insurance constitutes deceptive conduct under § 206(2), which applies a negligence standard and does not require intent.

****Exchange Act § 10(b) and Rule 10b-5****

Derek's material misrepresentation that the product was 'basically like a high-yield savings account' and his omissions regarding illiquidity, lockup terms, and collateral risk could constitute fraudulent misstatements and omissions in connection with the purchase of a security under Section 10(b) of the Securities Exchange Act of 1934 and Rule 10b-5 thereunder, provided the Digital Income Vault constitutes a security -- which is highly probable.

****Howey Test and Security Status****

The Digital Income Vault almost certainly qualifies as a security under the Howey test (an investment of money in a common enterprise with an expectation of profits derived primarily from the efforts of others). Depositors contributed funds to a pooled lending platform, expected returns from the platform operators' lending activities, and had no control over those operations. The SEC's 2019 Digital Asset Framework confirms this analysis applies to yield-generating crypto products. The SEC's enforcement actions against BlockFi (settled for \$100 million in February 2022), Celsius, Gemini, and Genesis for offering unregistered yield-bearing crypto products directly support the conclusion that the Digital Income Vault was an unregistered security. Recommending an unregistered security to a retail investor without proper disclosure and without the product being registered or exempt from registration creates additional liability exposure for both Derek and the firm.

****FINRA Rules -- Suitability and Supervision****

Under FINRA Rule 2111 (suitability, applicable to pre-Reg BI conduct and informing the reasonable-basis analysis), and its successor framework under Reg BI, Derek lacked a reasonable basis for the recommendation. Under FINRA Rule 3110, the firm had an independent supervisory obligation. The firm's failure to enforce its own compliance alert, which specifically flagged this product as unapproved for retail recommendation, constitutes a supervisory failure.

FINRA's 2022 guidance on digital assets explicitly cautioned member firms about recommending illiquid crypto yield products to retail investors without adequate disclosure of lockup risks, collateral volatility, and insolvency risk. Derek's conduct ignored each of these warning areas.

****CFTC Considerations****

To the extent any portion of the Digital Income Vault's collateral or lending activity involved commodity derivatives or leveraged crypto positions, the CFTC may assert concurrent jurisdiction under the Commodity Exchange Act. While the primary analysis here is securities-based, CFTC enforcement in the crypto yield space (including actions against platforms offering leveraged digital asset products without proper registration) could extend to the platform operators and potentially to the firm as an introducing party.

****Likely Regulatory Outcomes****

1. Derek faces individual enforcement action by the SEC and potentially FINRA for Reg BI violations, material misrepresentation, undisclosed conflicts, and recommendation of an unregistered security.
2. The broker-dealer faces firm-level enforcement for supervisory failures under Exchange Act § 15(b) and FINRA Rule 3110, particularly given that Derek's acknowledged compliance alert receipt creates direct evidence of willful disregard of internal controls.
3. Margaret has a private right of action against Derek and the firm under Exchange Act § 10(b)/Rule 10b-5 for material misrepresentation and omission, and may pursue FINRA arbitration for Reg BI violations and breach of supervisory duty.
4. Disgorgement of the \$7,350 placement fee and rescission of the \$210,000 investment are likely remedies sought by regulators, in addition to civil monetary penalties.
5. Derek's registration could be revoked or suspended, and the firm could face enhanced supervisory undertakings.

This scenario is among the clearest possible violations: a conservative retiree, an illiquid unregistered product, material misrepresentations, undisclosed compensation, an acknowledged internal compliance warning, and catastrophic client harm.

Item 147 of 350**NON-COMPLIANT****Topic:** senior_investor_exploitation**Difficulty:** medium**Source:** 29_Crypto_Digital_Assets**Fact Pattern**

Margaret Holloway, a 74-year-old retired schoolteacher living in Boca Raton, Florida, had accumulated approximately \$310,000 in a rollover IRA and a small taxable brokerage account over her 32-year career. Her sole income consisted of a \$1,840 monthly Social Security payment and a modest \$620 monthly pension from the Florida Retirement System. Margaret had explicitly told her advisor, Derek Palumbo, during their initial onboarding meeting in March 2022 that she was 'terrified of losing money' and that her primary goal was capital preservation so she could cover rising medical costs and potential assisted-living expenses. She rated herself as a conservative investor on her new account forms and indicated she had no prior experience with digital assets of any kind. Derek, who had recently begun promoting digital asset products to his book of clients after attending a fintech conference in Las Vegas, met with Margaret in April 2022 and presented her with an opportunity to earn what he described as 'guaranteed interest rates between 8% and 10% annually' through a crypto yield platform called HarborYield -- a thinly veiled analogue to the yield-bearing account products then being offered by platforms like BlockFi and Celsius. Derek showed Margaret a one-page marketing brochure with projected annual returns and told her the platform was 'basically like a high-yield savings account but better.' He did not explain that the returns were generated by lending her deposited cryptocurrency to institutional borrowers, that the platform was not FDIC-insured, that the underlying assets were subject to extreme price volatility, or that the yield-bearing accounts were the subject of active regulatory scrutiny as potentially unregistered securities. He also did not disclose that he received a 1.5% referral commission from HarborYield for each client he enrolled. Margaret, trusting Derek completely, agreed to transfer \$95,000 -- roughly 31% of her total retirement savings -- into the HarborYield platform in May 2022. Derek facilitated the transfer without documenting any updated risk assessment, without preparing a written rationale for how the recommendation served Margaret's stated investment goals, and without flagging the transaction for his branch manager despite its size relative to her total assets. By November 2022, the HarborYield platform had suspended withdrawals citing 'extreme market conditions,' mirroring the freezes enacted by real-world platforms during the crypto market collapse of mid-2022. Margaret's \$95,000 deposit was effectively locked and the underlying crypto assets had declined in value by approximately 62%, leaving her facing a paper loss of roughly \$58,900 with no clear timeline for recovery.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Derek Palumbo committed multiple serious regulatory violations across several overlapping frameworks.

1. REGULATION BEST INTEREST (Reg BI, Exchange Act Rule 15l-1): Reg BI requires broker-dealers to act in the retail customer's best interest at the time of a recommendation, without placing the advisor's financial or other interests ahead of the customer's. Derek's recommendation of a high-risk, illiquid crypto yield product to a 74-year-old capital-preservation investor with limited income and heavy dependence on her savings fails the Care Obligation (Rule 15l-1(a)(2)(ii)), which demands that the advisor have a reasonable basis to believe the recommendation is in the customer's best interest based on her investment profile. Margaret's conservative risk tolerance, fixed-income dependency, age, and explicit capital-preservation objective made an allocation of 31% of retirement savings to an

uninsured, speculative crypto yield platform objectively unsuitable. The Conflict of Interest Obligation (Rule 15l-1(a)(2)(iii)) was also violated: Derek received a 1.5% referral commission from HarborYield, creating a material conflict he failed to disclose or mitigate. The Disclosure Obligation (Rule 15l-1(a)(2)(i)) required him to provide full and fair disclosure of all material facts relating to the recommendation, including fees, risks, and conflicts, which he failed to do.

2. INVESTMENT ADVISERS ACT §206 (ANTIFRAUD): If Derek operated in an advisory capacity -- or to the extent any dual-hat analysis applies -- Section 206(1) and 206(2) of the Investment Advisers Act prohibit any device, scheme, or artifice to defraud clients, and any course of business that operates as a fraud or deceit. Describing an uninsured, volatile crypto yield product as 'basically like a high-yield savings account but better' constitutes a materially misleading statement. SEC v. Capital Gains Research Bureau (1963) established that advisers must disclose all conflicts, including referral arrangements. The undisclosed 1.5% commission is precisely the type of conflict the antifraud provisions target.

3. HOWEY TEST AND UNREGISTERED SECURITIES CONCERNS (SEC Digital Asset Framework, 2019; Securities Act §2(a)(1)): The HarborYield yield-bearing accounts bear the hallmarks of investment contracts under the Howey test: (i) an investment of money, (ii) in a common enterprise, (iii) with an expectation of profits, (iv) derived from the efforts of others (the platform's lending and treasury operations). The SEC's enforcement actions against BlockFi (February 2022, \$100 million settlement) and its investigations into Celsius and Gemini Earn/Genesis established that such yield products constitute unregistered securities under the Securities Act. Recommending what is effectively an unregistered security to a retail investor -- particularly a vulnerable senior -- compounds Derek's liability exposure. His firm may face liability for facilitating the sale of unregistered securities under Securities Act §5.

4. CFTC JURISDICTION: To the extent the crypto assets underlying the HarborYield platform include commodities such as Bitcoin or Ether (which the CFTC has asserted jurisdiction over as commodities under the Commodity Exchange Act), and to the extent derivatives or leveraged positions are involved in the platform's lending operations, CFTC anti-fraud authority under CEA §6(c) and §9(a)(2) may also be implicated. The CFTC has taken the position that fraud-based manipulation in digital commodity spot markets falls within its enforcement mandate.

5. FINRA RULES -- SENIOR INVESTOR PROTECTIONS: FINRA Rule 2010 (Standards of Commercial Honor) and FINRA Rule 4512 (Customer Account Information) required Derek to maintain accurate, updated customer information and to document the basis for recommendations. FINRA's Regulatory Notice 22-08 (February 2022) specifically warned firms about the risks associated with crypto asset recommendations to retail investors and the heightened care required. Additionally, FINRA Rule 3241 and firm-level policies on financial exploitation of seniors apply: Margaret's profile -- elderly, fixed income, conservative, no digital asset experience -- placed her squarely in the protected senior investor category. Derek's failure to escalate the transaction or document a suitability rationale violates supervisory documentation standards under FINRA Rule 4511.

6. ELDER FINANCIAL EXPLOITATION: Many states, including Florida (F.S. §415.1034), impose mandatory reporting obligations and civil liability for financial exploitation of vulnerable adults over age 65. A \$95,000 placement in an illiquid, speculative product generating undisclosed commissions, pitched using misleading comparisons to FDIC-insured savings products, would likely satisfy the elements of financial exploitation under Florida law and trigger reporting obligations that Derek ignored.

7. LIKELY REGULATORY OUTCOME: Regulators would likely find: (a) willful violation of Reg BI's Care and Conflict of Interest obligations; (b) fraudulent misrepresentation under the antifraud provisions of the Investment Advisers Act and Exchange Act §10(b)/Rule 10b-5 for the misleading 'high-yield savings account' characterization; (c) facilitation of the sale of an unregistered security; (d) supervisory failures by Derek's firm for lack of documentation, failure to flag the transaction, and inadequate training on crypto product risks. Sanctions would likely include disgorgement of commissions earned, civil monetary penalties, suspension or bar from the industry, and restitution to Margaret. Derek's firm would face substantial fines and enhanced supervisory obligations. The fact pattern mirrors real-world enforcement

outcomes against firms whose advisors steered senior investors into crypto yield products during 2021-2022 without adequate disclosure or risk assessment.

Item 148 of 350**NON-COMPLIANT****Topic:** failure_to_know_customer**Difficulty:** medium**Source:** 29_Crypto_Digital_Assets**Fact Pattern**

Margaret Holloway is a 71-year-old retired schoolteacher living in rural Ohio. Her sole sources of income are a monthly Social Security payment of \$1,840 and a small pension of \$620 per month, totaling roughly \$29,500 annually. She has \$187,000 in a rollover IRA -- representing virtually all of her liquid savings accumulated over a 34-year teaching career -- and owns her home outright. Margaret has no investment background beyond the state pension system and a savings account she has maintained at a local credit union for decades. When she opened her brokerage account in March 2024, she described her investment goal as 'preserving what I have so I don't run out of money before I die' and explicitly told the onboarding representative she was 'terrified of losing money.' The account opening documents recorded her risk tolerance as 'conservative' and her time horizon as 'short' given her age and fixed-income dependency. Her assigned financial advisor, Derek Callahan, reviewed these documents briefly but did not conduct any follow-up conversation with Margaret about her financial situation, her familiarity with digital assets, or her ability to absorb losses. In July 2024, Derek attended an internal sales conference where a third-party crypto platform was highlighted as a 'high-yield opportunity.' That same week, without reaching out to Margaret or gathering any updated information about her circumstances, Derek called her and recommended she move \$75,000 -- approximately 40% of her IRA -- into a crypto yield-bearing account product offered through a digital asset platform. He told her the account was 'basically like a high-interest savings account' earning between 8% and 11% annually, paid in a proprietary stablecoin. He did not explain that the platform had no federal deposit insurance, that the yield was generated by lending her assets to institutional borrowers whose creditworthiness was unverified, that the proprietary stablecoin used to pay interest could itself lose value, or that several similar platforms had suspended withdrawals and filed for bankruptcy in recent years. He also did not disclose that his firm received a referral fee for each client enrolled in the product. Margaret, trusting Derek's characterization of the product as safe, transferred \$75,000 from her IRA into the yield account in August 2024. By November 2024, the platform announced a liquidity crisis, froze all withdrawals, and Margaret's balance had declined to approximately \$41,000 due to collateral liquidations and the depreciation of the proprietary stablecoin used to pay her accumulated interest. Margaret lost roughly \$34,000 and has no realistic means of recovering those funds given her fixed income.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Callahan committed multiple serious violations across several regulatory frameworks.

****1. Regulation Best Interest (Reg BI) -- Care Obligation [Rule 15l-1 under the Securities Exchange Act of 1934]:****

Reg BI requires broker-dealers to act in the best interest of a retail customer at the time a recommendation is made, without placing the firm's or advisor's financial interest ahead of the customer's. The Care Obligation under Reg BI mandates that advisors exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of a recommended security or strategy, and have a reasonable basis to believe the recommendation is in the retail customer's best interest based on that customer's investment profile. Derek failed this standard on multiple dimensions. He did not update or verify Margaret's financial profile before making the recommendation, relying on

intake documents from months earlier. He recommended an asset class -- crypto yield products -- that is characterized by extreme volatility, counterparty risk, liquidity risk, and potential total loss, to a customer whose documented profile was conservative, capital-preservation-focused, and entirely dependent on fixed income. A 40% concentration of a retiree's entire liquid net worth in a single speculative digital asset product cannot meet the 'reasonable basis' prong of Reg BI's Care Obligation under any plausible analysis.

****2. Conflict of Interest Disclosure -- Reg BI Conflict of Interest Obligation:****

Reg BI also requires broker-dealers to establish policies to identify and disclose material conflicts of interest. Derek's receipt of a referral fee for enrolling clients in the crypto yield platform was a direct material conflict that was never disclosed to Margaret. This is an independent violation of Reg BI's Disclosure Obligation, which requires that all material facts about the recommendation -- including compensation arrangements -- be disclosed in full and plain language.

****3. Investment Advisers Act Section 206 -- Fiduciary Duty (if RIA or dually registered):****

If Derek or his firm is registered as an investment adviser, Section 206 of the Investment Advisers Act of 1940 imposes a federal fiduciary duty requiring advisors to act in clients' best interest, provide full and fair disclosure of all material conflicts, and have a reasonable basis for all recommendations. The undisclosed referral fee and the unsuitable recommendation would constitute both a breach of the duty of loyalty and a breach of the duty of care under Section 206. The SEC has held that recommending products for which the advisor receives undisclosed compensation, without a reasonable basis tied to client needs, constitutes fraud under Section 206(1) and (2).

****4. Application of the Howey Test and SEC Digital Asset Framework (April 2019):****

The yield-bearing account product described -- where Margaret deposited crypto assets with a platform, which then lent those assets to third parties and paid returns denominated in a proprietary token -- closely resembles the structure scrutinized in SEC enforcement actions against BlockFi (settled February 2022, \$100M penalty), Celsius, and Genesis. Under the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)), an investment contract exists where there is (i) an investment of money, (ii) in a common enterprise, (iii) with an expectation of profits, (iv) derived from the efforts of others. All four prongs are satisfied here: Margaret invested \$75,000, her assets were pooled with those of other depositors in the platform's lending operations, she expected yield returns, and those returns depended entirely on the platform's management of lending relationships. The SEC's 2019 Digital Asset Framework reinforces that such yield-bearing products are likely securities. Because the platform was not registered as a securities issuer and Derek's firm did not treat the recommendation with the procedural safeguards applicable to securities, Derek may have facilitated the offer and sale of an unregistered security in violation of Securities Act Section 5 and, depending on conduct, Exchange Act Section 10(b) and Rule 10b-5 for material misrepresentations (describing the product as 'basically like a high-interest savings account' when it was not FDIC-insured, not capital-protected, and paid in a depreciating proprietary token).

****5. CFTC Jurisdiction Considerations:****

To the extent the underlying assets involved Bitcoin, Ether, or other commodities as defined under the Commodity Exchange Act, and the platform engaged in leveraged or margined transactions using deposited customer funds, the CFTC may also have concurrent jurisdiction. The CFTC has increasingly asserted authority over crypto commodity derivatives and leveraged yield products, and platforms operating without proper registration may expose recommending advisors to aiding-and-abetting theories.

****6. FINRA Suitability and Know-Your-Customer Rules:****

Under FINRA Rule 2111 (Suitability) and Rule 4512 (Customer Account Information), member firms are required to gather and maintain current, accurate customer profile information and to base all recommendations on that profile. Derek's failure to conduct any follow-up KYC inquiry before recommending a high-risk crypto yield product to a 71-year-old conservative retiree is a textbook Rule 2111 violation. Additionally, FINRA has issued specific guidance warning that crypto asset recommendations to retail customers require heightened diligence, particularly regarding

product structure, issuer risk, liquidity risk, and the absence of conventional investor protections. FINRA Rule 2010 (Standards of Commercial Honor) provides an additional basis for a violation given the misleading product characterization and undisclosed compensation.

****7. Material Misrepresentation:****

Derek's characterization of the yield account as 'basically like a high-interest savings account' was materially false and misleading. A high-interest savings account carries FDIC insurance, guaranteed principal, and liquidity on demand. This product had none of those features. This misrepresentation, made in connection with a securities transaction, exposes Derek and his firm to liability under Exchange Act Section 10(b) and Rule 10b-5.

****Likely Regulatory Outcome:****

Derek and his firm face potential SEC enforcement for recommending an unregistered security, material misrepresentation, and Reg BI violations. FINRA could pursue a disciplinary action including suspension, fines, and mandatory restitution. The firm faces supervisory liability if it failed to implement procedures for reviewing crypto product recommendations. Margaret has strong grounds for FINRA arbitration seeking full restitution of the approximately \$34,000 loss plus consequential damages. Given the pattern similarity to BlockFi and Celsius enforcement actions, regulators are likely to treat this as a high-priority matter.

Item 149 of 350

NON-COMPLIANT

Topic: illiquid_investments

Difficulty: hard

Source: 29_Crypto_Digital_Assets

Fact Pattern

Rosario Mendez, a 58-year-old elementary school teacher in Albuquerque, New Mexico, had accumulated approximately \$210,000 in retirement savings over 30 years, held primarily in a 403(b) account. She had an additional \$18,000 in a personal brokerage account. Rosario was within seven years of her planned retirement date, carried no significant debt, and described herself to her advisor as 'extremely conservative' during her most recent account review in January 2023. Her stated investment objective was capital preservation with modest growth, and she had explicitly told her advisor, Derek Fontaine, that she was 'terrified of losing anything' given her proximity to retirement and her reliance on her pension and Social Security as primary income sources. Fontaine worked as an independent investment advisor operating through a mid-sized registered investment advisory firm in Albuquerque. In March 2023, Fontaine began recommending that Rosario allocate \$45,000 -- representing roughly 20% of her total investable assets -- into a decentralized finance lending protocol called YieldBridge, which advertised annual percentage yields of between 14% and 22% on deposited stablecoins. Fontaine told Rosario that YieldBridge was 'basically like a savings account but on the blockchain' and that the returns were 'almost guaranteed' because her funds would be backed by over-collateralized crypto loans. He did not explain that YieldBridge had no insurance protections analogous to FDIC or SIPC coverage, that the protocol had no regulatory oversight, that the smart contracts underlying the platform had never been independently audited, and that redemptions were subject to liquidity pool availability -- meaning that in periods of market stress, Rosario might be unable to withdraw her funds for weeks or months. Fontaine received a 1.5% referral arrangement through a third-party introducer tied to YieldBridge's operator, which he never disclosed to Rosario. Rosario transferred the \$45,000 from her personal brokerage account to YieldBridge in April 2023. Between June and August 2023, the platform experienced severe liquidity strain following a broader crypto market downturn and a bank run-style withdrawal surge by institutional participants. Withdrawals for retail depositors like Rosario were frozen for approximately 11 weeks. When redemptions reopened in October 2023, Rosario recovered only \$31,200 -- a loss of approximately \$13,800, or roughly 31% of her invested principal. Fontaine had not followed up with Rosario during the freeze period and had not flagged the liquidity risk in any client communications prior to or after the investment was made.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Fontaine committed multiple serious violations of applicable regulatory standards governing investment advice, customer protection, and conflicts of interest disclosure.

****1. Reg BI -- Best Interest Obligation (SEC Release No. 34-86031)****

As a registered investment advisor providing personalized recommendations to a retail customer, Fontaine was subject to Regulation Best Interest under Exchange Act Section 15(k). Reg BI requires that any recommendation to a retail customer reflect the advisor's reasonable basis to believe the recommendation is in the customer's best interest at the time it is made, considering the retail customer's investment profile including age, financial situation, investment experience, risk tolerance, and time horizon.

Rosario's profile -- 58 years old, seven years from retirement, self-described as 'extremely conservative,' with capital preservation as her primary objective -- directly contradicts any reasonable basis for recommending a 20% allocation into an unaudited, unregistered DeFi yield protocol. The illiquidity risk alone disqualified this product for someone with her profile; the possibility that she could be locked out of her funds during a market stress event posed an existential threat to her retirement timeline. Fontaine's characterization of YieldBridge as 'basically like a savings account' was materially false and compounded the violation.

****2. Investment Advisers Act Section 206 -- Anti-Fraud Provisions****

Section 206(1) and 206(2) of the Investment Advisers Act of 1940 prohibit any investment advisor from employing any device, scheme, or artifice to defraud a client and from engaging in any transaction, practice, or course of business that operates as a fraud or deceit on any client. Fontaine's failure to disclose (a) the absence of insurance protections, (b) the absence of regulatory oversight, (c) the liquidity freeze risk embedded in the protocol's redemption mechanics, and (d) his undisclosed 1.5% referral compensation constituted material omissions and a fraudulent course of dealing under Section 206. The undisclosed economic incentive to recommend YieldBridge is particularly significant -- advisors have an affirmative fiduciary duty to disclose all material conflicts of interest, and a referral fee tied to a product recommendation is squarely within that obligation. See also SEC v. Advisor cases reinforcing that omission of compensation arrangements with product sponsors constitutes fraud under Section 206.

****3. SEC Digital Asset Framework (April 2019) -- Howey Test and Security Classification****

The SEC's Framework for 'Investment Contract' Analysis of Digital Assets (April 3, 2019) applies the Howey test to determine whether a digital asset constitutes a security. Under Howey, an investment contract exists where there is (1) an investment of money, (2) in a common enterprise, (3) with an expectation of profits (4) derived from the efforts of others. YieldBridge's yield-generating mechanism -- pooling user deposits, deploying them through smart contract-automated lending, and distributing returns to depositors -- satisfies all four Howey prongs. Depositors like Rosario invested money into a pooled protocol, expected profits in the form of 14-22% APY, and were entirely dependent on the protocol's operators and algorithmic mechanisms for those returns. Recommending an unregistered security to a retail investor without a registered offering exemption creates additional liability exposure under Exchange Act Section 10(b) and Rule 10b-5 for any material misstatements or omissions in connection with the purchase.

****4. CFTC Jurisdiction Considerations****

To the extent that stablecoins used in YieldBridge constitute commodities under the Commodity Exchange Act (7 U.S.C. § 1 et seq.), and to the extent the protocol's leveraged lending structures constitute commodity transactions, the CFTC may assert concurrent jurisdiction over both the platform operator and potentially over advisors who facilitate client participation in unregistered commodity pools. Fontaine's failure to conduct any due diligence on the regulatory classification of YieldBridge's underlying assets further evidences a reckless disregard for applicable standards.

****5. Enforcement Parallels -- Unregistered Yield Products****

YieldBridge's structure closely mirrors those of BlockFi (SEC settlement February 2022, \$100 million penalty), Celsius Network (SEC/CFTC/state enforcement 2022-2023), Gemini Earn (SEC charges January 2023), and Genesis Global Capital (SEC charges January 2023). Each of these enforcement actions established that yield-bearing crypto deposit products offered to retail investors constitute securities requiring registration, and that advisors and intermediaries who recommend or facilitate access to such products without registration face liability. Fontaine's referral arrangement with a YieldBridge introducer and his affirmative misrepresentation of the product as equivalent to a savings account aligns him directly with the category of intermediaries targeted in these enforcement sweeps.

****6. Illiquidity Disclosure Failure****

The core illiquidity risk -- that redemptions were subject to liquidity pool availability and could be frozen during market stress -- was a material fact that a reasonable investor in Rosario's position would have considered critical to her investment decision. Failure to disclose material liquidity constraints constitutes a violation of both the general anti-fraud

provisions of Section 206 of the Advisers Act and the disclosure component of Reg BI's Care Obligation. Advisors recommending illiquid or conditionally liquid products to clients with near-term liquidity needs bear a heightened disclosure obligation.

****7. Likely Regulatory Outcome****

Fontaine faces exposure on multiple fronts: (a) SEC enforcement action under Investment Advisers Act Section 206 and Exchange Act Section 10(b) for material omissions, undisclosed conflicts, and facilitation of an unregistered security offering; (b) state securities regulator action under New Mexico's Uniform Securities Act for recommending an unsuitable and unregistered product; (c) FINRA referral if Fontaine holds any dual registration; and (d) private civil liability to Rosario for the \$13,800 loss under rescission theories available under Section 12(a)(1) of the Securities Act for unregistered security offerings. The undisclosed referral compensation is an aggravating factor that regulators would likely treat as grounds for enhanced sanctions, potential disgorgement, and possible bar from the industry.

Item 150 of 350**NON-COMPLIANT**

Topic: failure_to_know_customer

Difficulty: medium

Source: 29_Crypto_Digital_Assets

Fact Pattern

Margaret Holloway is a 71-year-old retired schoolteacher living in Baton Rouge, Louisiana. Her entire investable portfolio consists of approximately \$148,000, which represents her life savings accumulated over a 35-year teaching career. Her monthly income is limited to a Social Security payment of \$1,640 and a modest pension of \$890, totaling roughly \$2,530 per month. Margaret has no other significant assets, owns her home outright, and has no dependents. When she opened her brokerage account in early 2022, she completed a customer profile form indicating she had 'low' risk tolerance, listed her primary investment objective as 'capital preservation,' and noted she had no prior experience with stocks, bonds, or any investment products beyond a basic savings account. Her stated time horizon was 'short-term, under 3 years,' as she anticipated needing funds to cover potential long-term care expenses.

In March 2022, Margaret visited the branch office of Pinnacle Wealth Advisors in Baton Rouge after seeing a television advertisement promoting high-yield digital asset opportunities. She met with financial advisor Derek Fountain, age 34, who had recently completed an internal training module on cryptocurrency products. During their 45-minute meeting, Derek learned that Margaret had heard about 'crypto savings accounts' from her nephew and was curious but admittedly confused about how they worked. Rather than reviewing her completed customer profile or asking follow-up questions about her financial situation, Derek immediately launched into a presentation about a digital asset yield product called 'CryptoYield Plus,' offered through a third-party platform called NovaBridge Digital. CryptoYield Plus allowed customers to deposit Bitcoin or stablecoins and earn advertised annual yields of between 9% and 14.5%, depending on the deposit term selected.

Derek told Margaret that CryptoYield Plus was 'basically like a high-interest savings account but better,' and that the 14.5% yield tier was 'a no-brainer for anyone sitting on cash.' He did not inform her that NovaBridge Digital was not a bank, that deposits were not insured by the FDIC, that the yield was generated by NovaBridge lending her deposited assets to third-party institutional borrowers, or that in the event of platform insolvency her assets might be treated as unsecured creditor claims. Derek also did not explain that to participate, Margaret would first need to purchase Bitcoin or a stablecoin through a separate crypto exchange, incurring conversion fees, and that withdrawal of funds required a 12-month lock-up period for the highest yield tier.

Margaret, trusting Derek's characterization, agreed to invest \$115,000 -- nearly 78% of her total savings -- into the 14.5% annual yield tier of CryptoYield Plus. Derek assisted her in converting the funds to USDC stablecoin through a third-party exchange, where she incurred approximately \$1,200 in conversion and transfer fees. Derek earned a \$2,875 referral fee from NovaBridge Digital for onboarding Margaret's account, a compensation arrangement he did not disclose to her.

By November 2022, NovaBridge Digital suspended all withdrawals, citing 'liquidity constraints' and 'adverse market conditions' following the broader crypto market collapse of mid-2022. Margaret was unable to access her \$115,000 and received a notice from NovaBridge stating that her account was subject to an ongoing restructuring process. As of the date of the complaint filed by Margaret's attorney in January 2023, she had recovered nothing and faced potential long-term care costs she could no longer fund.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Derek Fountain's conduct constitutes multiple serious violations of applicable federal standards governing investment advice to retail customers.

****1. Failure to Know the Customer -- Core Violation****

Under Regulation Best Interest (Reg BI), Exchange Act Release No. 86031 (2019), broker-dealers owe retail customers a best interest obligation that includes a Care Obligation requiring the advisor to have a reasonable basis to believe that a recommendation is in the customer's best interest based on the customer's investment profile. FINRA Rule 2090 independently imposes a 'know your customer' obligation requiring diligent effort to understand the essential facts about each customer. Derek failed both standards. Margaret's own completed profile indicated low risk tolerance, a capital preservation objective, a short time horizon, and zero investment experience. Derek did not review or act upon any of these facts before recommending that she concentrate 78% of her life savings in a speculative, illiquid digital asset yield product.

****2. Suitability -- Quantitative and Qualitative Failure****

Under FINRA Rule 2111 (suitability) and the Reg BI Care Obligation, a recommendation must be suitable in light of the customer's specific profile including age, financial situation, tax status, investment objectives, time horizon, liquidity needs, and risk tolerance. Recommending a 12-month locked digital asset yield product to a 71-year-old capital-preservation investor with \$2,530 in monthly income and anticipated near-term liquidity needs for medical care fails on every dimension: it is illiquid, uninsured, speculative, and concentrated. The concentration of 78% of total assets in a single unregistered yield product would be unsuitable for virtually any retail investor, let alone one of Margaret's profile.

****3. Unregistered Security -- Howey Test Application****

CryptoYield Plus, as described, almost certainly constitutes a security under the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)): (i) there is an investment of money; (ii) in a common enterprise (pooled deposits lent to institutional borrowers); (iii) with a reasonable expectation of profits; (iv) derived from the efforts of others (NovaBridge's lending and management operations). The SEC's 2019 Digital Asset Framework ('Framework for Investment Contract Analysis of Digital Assets') confirms this analytical approach. The SEC's enforcement actions against BlockFi (February 2022), Celsius, Gemini Earn, and Genesis all proceeded on this exact theory -- that yield-bearing crypto lending products constitute unregistered securities offerings under Securities Act §5. By recommending an unregistered yield product, Derek exposed both himself and Pinnacle Wealth Advisors to liability under Securities Act §12(a)(1) for the sale of an unregistered security, and potentially under Exchange Act §10(b) and Rule 10b-5 for material omissions.

****4. Material Omissions****

Derek's description of CryptoYield Plus as 'basically like a high-interest savings account' constitutes a materially false and misleading statement under Exchange Act §10(b) and Rule 10b-5. He omitted: (a) the absence of FDIC insurance; (b) the legal structure of the product as an unsecured loan to the platform; (c) the 12-month lock-up restriction; (d) counterparty and insolvency risk; and (e) the conversion fees required to participate. Each of these omissions was material to Margaret's investment decision.

****5. Undisclosed Compensation -- Conflict of Interest****

Derek received a \$2,875 referral fee from NovaBridge Digital and did not disclose this to Margaret. Under Reg BI's Disclosure Obligation, advisors must disclose all material facts about conflicts of interest, including compensation arrangements with product providers. Under the Investment Advisers Act §206, undisclosed compensation that creates

a conflict constitutes a breach of fiduciary duty. This undisclosed incentive further taints the recommendation and demonstrates that Derek's advice served his own financial interest rather than Margaret's.

****6. CFTC Considerations****

To the extent Bitcoin was used as an intermediary instrument, the CFTC asserts jurisdiction over Bitcoin as a commodity under the Commodity Exchange Act. If any futures or leveraged components were embedded in NovaBridge's product structure, additional CFTC registration and disclosure obligations may apply.

****Likely Regulatory Outcome****

Derek Fountain faces potential FINRA disciplinary action including suspension or bar, civil liability under Exchange Act §10(b), and state securities law claims. Pinnacle Wealth Advisors faces supervisory liability under FINRA Rule 3110 for failing to establish adequate supervisory systems to review crypto product recommendations and referral fee arrangements. Margaret would have strong grounds for a FINRA arbitration claim seeking rescission and damages equal to the full \$115,000 invested plus consequential damages. The firm's failure to review Derek's recommendations against Margaret's documented customer profile makes the supervisory failure egregious and likely to result in enhanced sanctions.

Item 151 of 350**NON-COMPLIANT****Topic:** variable_annuity_unsuitable**Difficulty:** medium**Source:** 24_Variable_Annuities**Fact Pattern**

Margaret Kowalski, age 78, is a retired school librarian living in suburban Ohio on a fixed income of approximately \$2,400 per month from Social Security and a small defined benefit pension. Her total liquid assets consist of \$185,000 in a bank savings account and a \$40,000 certificate of deposit. She owns her home outright, valued at roughly \$210,000. Margaret has no other investments and described herself as someone who 'cannot afford to lose any money' when she first met with advisor Dennis Farwell in March 2023. She told Farwell that her primary financial goals were preserving her savings to cover potential assisted living costs and leaving a modest inheritance to her two grandchildren. She also mentioned she was recently diagnosed with early-stage Parkinson's disease and anticipated rising medical expenses. Farwell recommended that Margaret liquidate her \$185,000 savings account and invest \$160,000 into a variable annuity product -- the 'Pinnacle Growth & Income VA' -- which carried a seven-year surrender charge schedule starting at 8% in year one and declining by 1% per year thereafter. The product's total annual expenses, including mortality and expense risk charges, administrative fees, and underlying sub-account management fees, totaled 3.15% annually. Farwell allocated the sub-accounts as follows: 40% to an aggressive growth equity fund, 35% to an international emerging markets fund, and 25% to a high-yield bond fund. Farwell also added an optional guaranteed minimum income benefit rider costing an additional 1.10% annually, bringing total annual product costs to 4.25%. Margaret signed all documents, including a disclosure form, but later told her daughter she did not fully understand what a variable annuity was. Within 14 months, the account had declined to \$131,200 due to market volatility in emerging markets and high-yield bonds. Margaret needed to access \$30,000 for home modifications related to her Parkinson's diagnosis but faced an approximate \$9,100 surrender penalty. She filed a complaint with her state insurance department in June 2024.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, the financial advisor violated multiple applicable standards governing the sale of variable annuities.

****FINRA Rule 2330 -- Variable Annuity Suitability:**** Under FINRA Rule 2330, a registered representative must have a reasonable basis to believe that a variable annuity transaction is suitable for the customer before recommending it. The rule specifically requires consideration of (a) whether the customer would benefit from certain features of a variable annuity (such as tax-deferral, annuitization, or a death benefit), (b) the customer's age, income, financial situation, existing investments, liquidity needs, risk tolerance, and investment objectives, and (c) whether the customer has had another variable annuity exchange within the preceding 36 months. Margaret Kowalski was 78 years old, had a limited fixed income, expressed zero risk tolerance, had an anticipated need for liquidity due to a progressive medical diagnosis, and had stated preservation of capital as her primary goal. The seven-year surrender schedule directly conflicted with her foreseeable liquidity needs. The aggressive sub-account allocation -- 40% aggressive growth equities, 35% emerging markets -- was wholly inconsistent with her stated conservative profile. The total annual cost of 4.25% created a significant drag on returns that was unlikely to be overcome given her time horizon and objectives.

****NAIC Model Regulation 275 (Best Interest Standard):**** Under the revised NAIC Model #275, a producer must act in the best interest of the consumer at the time of the recommendation. This requires the producer, at a minimum, to exercise reasonable diligence, care, and skill in (1) knowing the consumer's financial situation, insurance needs, and objectives, (2) understanding the products available, (3) making a recommendation that reflects the consumer's profile without placing the producer's financial interest ahead of the consumer's. Farwell's recommendation failed all three prongs. He recommended a complex, illiquid, high-cost product to a consumer whose profile demanded safety, liquidity, and simplicity. The guaranteed minimum income benefit rider added cost without clear benefit to a consumer who did not express an interest in annuitization and had a limited life expectancy consideration given her medical condition.

****NY Regulation 187 (if applicable by analogy to Ohio's adoption of Model 275):**** NY Reg 187 requires that the transaction be in the consumer's best interest and that there be a reasonable basis beyond suitability. The recommendation here would fail even the older, less stringent suitability standard, let alone a best-interest analysis.

****Reg BI (SEC Rule 15l-1):**** If Farwell was acting in his capacity as a registered representative of a broker-dealer, Regulation Best Interest would apply to the variable annuity recommendation. Under Reg BI's Care Obligation, the advisor must exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of the recommendation and must have a reasonable basis to believe the recommendation is in the customer's best interest. The extreme mismatch between the product's risk profile, cost structure, and illiquidity features and the customer's age, health, income, liquidity needs, and stated objectives represents a clear violation.

****Likely Regulatory Outcome:**** The advisor faces potential disciplinary action from FINRA for Rule 2330 violations, enforcement action by the state insurance department under its adopted version of Model #275, and possible arbitration liability for unsuitable recommendations resulting in realized losses and surrender penalties. The state may also examine supervisory failures by the advisor's broker-dealer for approving the transaction.

Item 152 of 350**COMPLIANT****Topic:** variable_annuity_unsuitable**Difficulty:** hard**Source:** 24_Variable_Annuities**Fact Pattern**

Dr. Rajiv Anand, age 52, is a practicing cardiologist in northern Virginia with an annual household income of approximately \$680,000. He and his wife have a combined net worth of roughly \$4.8 million, including \$1.2 million in taxable brokerage accounts, \$1.6 million in qualified retirement plans (401(k) and profit-sharing), \$420,000 in 529 education savings accounts for their three children, and \$580,000 in bank deposits. They own a home valued at \$1.1 million with a remaining mortgage balance of \$290,000. Dr. Anand has been investing for over 20 years, holds an MBA in addition to his medical degree, and described his risk tolerance as 'moderately aggressive' during his April 2023 consultation with financial advisor Leah Whitfield. He told Whitfield that he had already maximized contributions to his 401(k) and profit-sharing plan and was looking for additional tax-deferred growth vehicles to supplement his retirement savings. He stated he did not anticipate needing to access any new investment for at least 12 to 15 years. After a comprehensive review of his financial profile, Whitfield recommended that Dr. Anand invest \$200,000 -- approximately 4.2% of his total net worth -- into the 'Meridian Balanced Growth VA,' a variable annuity with a five-year surrender charge schedule beginning at 5% and declining by 1% per year. The product's total annual expenses, including mortality and expense risk charges and sub-account fees, were 1.85%. Whitfield allocated the sub-accounts as follows: 50% to a diversified large-cap equity index fund, 20% to an international developed markets fund, 15% to a bond index fund, and 15% to a real estate securities fund. No optional riders were added. Whitfield documented the rationale in her file notes, explaining that Dr. Anand's high marginal tax bracket made tax-deferred compounding attractive, that he had ample liquidity elsewhere, that his long time horizon exceeded the surrender period, that he understood the fees and how they compared to his existing taxable accounts, and that the allocation was consistent with his stated moderately aggressive risk profile. Whitfield also presented Dr. Anand with two alternative options -- a low-cost index fund portfolio in a taxable account and a deferred fixed annuity -- and documented why the variable annuity was preferable given his stated goals and tax situation. Dr. Anand signed all disclosure documents, initialed each sub-account selection, and confirmed in writing that he understood the surrender charges, fees, and risks. The transaction was reviewed and approved by Whitfield's branch office manager before execution.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

No, the financial advisor did not violate applicable suitability or best interest requirements. The recommendation was well-supported by the client's profile and thoroughly documented.

****FINRA Rule 2330 -- Variable Annuity Suitability:**** Rule 2330 requires a registered representative to have a reasonable basis to believe that a variable annuity recommendation is suitable before making it. Key factors include whether the customer would benefit from features such as tax-deferral, the customer's age, income, financial situation, liquidity needs, risk tolerance, existing investments, and investment objectives. Here, Dr. Anand is a high-income, high-net-worth individual in his early 50s with a long investment time horizon (12-15 years), ample existing liquidity (\$580,000 in bank deposits, \$1.2 million in taxable accounts), and a clearly stated objective of supplementing retirement savings on a tax-deferred basis beyond his maxed-out qualified plans. The \$200,000 investment represents

only about 4.2% of his net worth, posing no meaningful concentration or liquidity risk. The five-year surrender period is well within his stated time horizon. The sub-account allocation -- predominantly diversified equities with bond and real estate diversification -- is consistent with his moderately aggressive risk tolerance. The total cost of 1.85% annually, while higher than a passive index fund portfolio, is reasonable for a variable annuity product and is justified by the tax-deferral benefit given Dr. Anand's high marginal tax bracket. Rule 2330 also requires principal review of variable annuity transactions; the branch office manager's documented review and approval satisfies this requirement.

****NAIC Model Regulation 275 (Best Interest Standard):**** Under the revised Model #275, a producer must act in the best interest of the consumer at the time of the recommendation. The producer must know the consumer's financial situation and insurance needs, understand the available products, and make a recommendation that reflects the consumer's stated profile without placing the producer's interest ahead of the consumer's. Whitfield conducted a comprehensive financial review, documented the client's profile thoroughly, presented alternatives (taxable index fund portfolio and a fixed deferred annuity), explained why the variable annuity was preferable for this specific client's tax and investment situation, and ensured the client understood all fees and surrender charges. The recommendation was proportionate to the client's overall wealth and consistent with his risk tolerance and time horizon. This is a textbook example of meeting the Model #275 best interest standard.

****Reg BI (SEC Rule 15l-1):**** Under Regulation Best Interest's Care Obligation, the advisor must exercise reasonable diligence, care, and skill and have a reasonable basis to believe the recommendation is in the customer's best interest, considering costs, reasonably available alternatives, and the customer's profile. Whitfield satisfied the Care Obligation by analyzing the client's complete financial picture, evaluating and documenting alternatives, selecting an appropriately allocated and reasonably priced product, and ensuring the recommendation was proportionate and aligned with the customer's goals. The Disclosure Obligation was met through the delivery and acknowledgment of fee and surrender charge disclosures. The Conflict of Interest Obligation was addressed through the comparative analysis of alternatives and the supervisory review.

****NY Regulation 187 (by analogy):**** Even under New York's stringent Regulation 187 best-interest framework, this transaction would pass scrutiny because the advisor demonstrated that the recommendation was suitable, that the consumer's best interest was prioritized, that alternatives were considered, and that the transaction was not motivated primarily by compensation.

****Likely Regulatory Outcome:**** No violation. This transaction exemplifies a well-documented, thoughtfully analyzed variable annuity recommendation to an appropriate client. The advisor's file documentation, presentation of alternatives, and supervisory review would likely withstand both FINRA and state insurance department scrutiny.

Item 153 of 350

NON-COMPLIANT

Topic: inappropriate_risk_profile

Difficulty: medium

Source: 24_Variable_Annuities

Fact Pattern

Dorothy Kessler, age 79, is a retired elementary school teacher living in Columbus, Ohio. She receives \$2,400 per month from her pension and \$1,850 per month from Social Security. Her total liquid assets consist of \$310,000 in a bank certificate of deposit and \$45,000 in a money market account. She has no other investments, no outstanding debts, and owns her home outright. Mrs. Kessler has described herself as someone who 'cannot afford to lose any money' and has never owned stocks, bonds, or mutual funds in her life. She told her financial advisor, Craig Linden, that her primary goals were preserving her savings for potential nursing home expenses and leaving a modest inheritance for her two grandchildren. In March 2023, Linden recommended that Mrs. Kessler liquidate her \$310,000 CD--which was earning 4.1% APY with five months remaining to maturity--and invest the full amount into a variable annuity with a seven-year surrender period. The annuity carried a mortality and expense charge of 1.55%, an administrative fee of 0.15%, and underlying subaccount expense ratios averaging 0.92%. Linden allocated 60% of the subaccount investments to an aggressive growth equity fund, 25% to an international small-cap fund, and 15% to a high-yield bond fund. The product included a guaranteed minimum death benefit rider at an additional annual cost of 0.40%, but no living benefit rider. The total annual cost burden exceeded 3.0%. Linden earned a commission of \$18,600 on the sale. Mrs. Kessler's account lost approximately \$37,200 (12%) in the first eight months due to equity market volatility. When she attempted to withdraw funds in November 2023 to pay for an unexpected home medical aide, she was assessed a 7% surrender charge of \$19,096 on the \$272,800 remaining account value. Linden's firm's new account form listed Mrs. Kessler's risk tolerance as 'aggressive growth' and her investment objective as 'speculation,' though Mrs. Kessler later stated she never used those words and was not told what they meant.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Linden violated multiple applicable regulatory standards.

1. ****FINRA Rule 2330 (Variable Annuity Suitability):**** Under Rule 2330(b), before recommending a variable annuity, a registered representative must have a reasonable basis to believe the transaction is suitable based on the customer's age, annual income, financial situation, investment experience, investment objectives, intended use of the annuity, existing insurance holdings, liquidity needs, liquid net worth, risk tolerance, and tax status. Mrs. Kessler is 79 years old, has no investment experience, has explicitly conservative objectives (capital preservation and estate transfer), expressed zero risk tolerance, and has clear liquidity needs given her age and health-related expenses. The seven-year surrender period is wholly inappropriate for someone of her age and circumstances, as she may need access to her principal for medical or long-term care costs. The aggressive subaccount allocation (60% aggressive growth equity, 25% international small-cap) is fundamentally inconsistent with her stated goals and risk tolerance.

2. ****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** Under the NAIC model, the producer must have reasonable grounds to believe the annuity is suitable based on facts disclosed by the consumer concerning, among other things, age, liquidity needs, financial objectives, and risk tolerance. Mrs. Kessler's profile categorically does not

support a variable annuity with aggressive equity exposure and a lengthy surrender period. The regulation also requires that the consumer's profile information be accurately documented. The mischaracterization of her risk tolerance as 'aggressive growth' and her objective as 'speculation' on the new account form, contradicting her own stated preferences, constitutes a documentation falsification that violates both the letter and spirit of suitability requirements.

3. ****NY Regulation 187 (Best Interest Standard):**** Although Mrs. Kessler resides in Ohio, if the product were sold under a New York-issued contract or if similar state-level best interest standards apply, the advisor must act in the consumer's best interest at the time of the recommendation without placing his own financial interest ahead of the consumer's. Linden earned \$18,600 in commissions on a product that subjected a 79-year-old capital preservation investor to a 3%+ annual fee drag and aggressive equity volatility. This plainly prioritizes the advisor's compensation over the client's welfare.

4. ****Regulation Best Interest (Rule 15l-1):**** The Care Obligation under Reg BI requires that the broker-dealer and associated person exercise reasonable diligence, care, and skill when making a recommendation, considering the customer's investment profile. The recommendation must be in the customer's best interest and must not place the financial interest of the broker-dealer ahead of the customer's. The combination of liquidating a safe, competitive-yield CD, the aggressive allocation, the long surrender period, the high all-in costs, and the falsified risk profile documentation demonstrates a failure of the Care Obligation. The Disclosure Obligation was also likely violated, as Mrs. Kessler appears not to have understood the product's risks, costs, or liquidity restrictions. The Conflict of Interest Obligation was violated by the failure to mitigate the obvious conflict arising from the \$18,600 commission incentive.

****Likely Regulatory Outcome:**** Linden faces potential sanctions including fines, disgorgement of commissions, suspension or bar from the industry, and restitution to Mrs. Kessler. His firm faces supervisory failure liability under FINRA Rule 3110 for approving a transaction with such obvious red flags, including the falsified risk profile. State insurance regulators may also pursue administrative action against Linden's insurance license.

Item 154 of 350

NON-COMPLIANT

Topic: annuity_unnecessary_switching

Difficulty: hard

Source: 24_Variable_Annuities

Fact Pattern

Martin and Linda Chowdhury, ages 62 and 59, are a married couple in suburban Atlanta. Martin is a senior project manager earning \$145,000 annually; Linda is a part-time consultant earning \$55,000. Together they have \$820,000 in retirement assets: \$490,000 in Martin's 401(k), \$180,000 in Linda's traditional IRA, and \$150,000 in a joint taxable brokerage account. In 2019, their advisor, Renee Maguire, recommended they invest \$180,000 from Linda's IRA into a variable annuity (Product A) issued by National Horizon Life. Product A included a guaranteed minimum income benefit (GMIB) rider with a 6% annual roll-up rate on a benefit base, a seven-year surrender schedule starting at 7%, mortality and expense charges of 1.30%, and underlying fund expenses averaging 0.78%. The GMIB rider cost 0.95% annually. The Chowdhurys were three years into the surrender period--having paid down to a 4% surrender charge--and the GMIB benefit base had grown to approximately \$214,000 when, in September 2022, Maguire contacted them to recommend they surrender Product A and purchase a new variable annuity (Product B) from Pacific Western Insurance. Maguire told the Chowdhurys that Product B was 'the newest and best product on the market' and offered a 5% bonus credit on the premium transferred. Product B had a new eight-year surrender schedule starting at 8%, mortality and expense charges of 1.45%, underlying fund expenses averaging 0.88%, and a GMIB rider with a 5.5% roll-up rate at a cost of 1.10%. The total annual cost of Product B was approximately 3.43%, compared to 3.03% for Product A. The surrender of Product A triggered a 4% surrender charge of approximately \$7,000 on the then-account value of \$174,500, and the Chowdhurys forfeited their accumulated \$214,000 GMIB benefit base, which would reset to the new premium amount under Product B. After the surrender charge, approximately \$167,500 was transferred to Product B, and the 5% bonus credit added roughly \$8,375, bringing the initial value to approximately \$175,875. Maguire earned a first-year commission of \$12,100 on the Product B sale. She had also earned a \$9,000 commission on the original Product A sale in 2019. In her internal exchange analysis form, Maguire checked 'yes' that the replacement was suitable and noted the 5% bonus credit as the primary justification, without documenting the loss of the GMIB benefit base, the higher ongoing costs, the new surrender period, or the reduced roll-up rate. Her branch manager approved the exchange without requesting additional documentation. Six months later, Martin was unexpectedly laid off, and the couple needed to access funds from the annuity for living expenses. They faced an 8% surrender charge on any withdrawal exceeding the 10% free corridor, resulting in additional charges of approximately \$9,400 on a \$117,500 partial withdrawal they attempted in March 2023.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Renee Maguire committed multiple regulatory violations through this unsuitable annuity replacement.

1. ****FINRA Rule 2330 (Variable Annuity Exchanges):**** Rule 2330(b)(1)(A) specifically addresses exchange and replacement transactions involving variable annuities. Before recommending an exchange, the registered representative must consider, among other factors: (i) whether the customer would lose existing benefits such as death benefits or living benefits; (ii) whether the customer would incur surrender charges on the existing annuity; (iii) whether the new product would involve a new surrender period; (iv) whether the new product has higher fees and charges; and

(v) whether the customer's investment objectives and financial situation have changed since the original purchase. Maguire's recommendation fails every one of these prongs. The Chowdhurys forfeited a \$214,000 GMIB benefit base--\$39,500 above the original premium--which represented significant guaranteed value. They paid \$7,000 in surrender charges. They were subjected to a new eight-year surrender schedule, extending their illiquidity by approximately five years compared to where they stood in Product A. Product B's total annual costs of 3.43% were 40 basis points higher than Product A's 3.03%, compounding into significant additional expense drag over the life of the contract. The GMIB roll-up rate decreased from 6% to 5.5%, meaning the new product was inferior on its core guaranteed benefit feature.

2. ****NAIC Model Regulation 275 (Replacement Transactions):**** Under the NAIC model, when a replacement is involved, the producer must document the material differences between the existing and proposed products, including costs, benefits, and surrender charges. Maguire's exchange analysis form was materially deficient--she cited only the 5% bonus credit as justification while omitting the forfeiture of the GMIB benefit base, the higher costs, the new surrender period, and the lower roll-up rate. The NAIC model specifically warns against using bonus credits as a primary justification for replacement when they are offset or exceeded by higher costs and lost benefits. Here, the \$8,375 bonus credit is dwarfed by the combination of the \$7,000 surrender charge, the forfeited \$39,500 in GMIB benefit base appreciation, the higher annual costs, and the inferior roll-up rate. The net economic impact of the exchange was significantly negative for the Chowdhurys.

3. ****Regulation Best Interest (Rule 15l-1):**** The Care Obligation requires that the recommendation be in the customer's best interest at the time it is made. The quantitative analysis overwhelmingly demonstrates that Product B was inferior to Product A for the Chowdhurys. The Conflict of Interest Obligation is implicated by the \$12,100 commission Maguire earned on the new sale--she had a direct financial incentive to recommend the switch regardless of its merits. The Disclosure Obligation required Maguire to disclose all material facts about the costs and consequences of the exchange, including the forfeiture of the GMIB benefit base, which she failed to communicate adequately.

4. ****NY Regulation 187 (if applicable):**** Under New York's best-interest standard for annuity transactions, the producer must demonstrate that the recommendation is in the consumer's best interest based on an evaluation of the relevant suitability factors, and must not place her financial interest ahead of the consumer's interest. The facts here--increased costs, lost benefits, renewed surrender period, and commission motivation--represent a textbook violation.

5. ****Supervisory Failures:**** The branch manager's approval without requesting additional documentation--particularly given the obviously incomplete exchange analysis form--constitutes a supervisory failure under FINRA Rule 3110. The firm's supervisory system should have flagged the replacement as requiring heightened scrutiny, including a comparative cost analysis and benefit comparison.

****Likely Regulatory Outcome:**** Maguire faces potential sanctions including disgorgement of the \$12,100 commission, restitution to the Chowdhurys for the surrender charges and quantifiable economic harm from the inferior product, fines, and potential suspension or bar. The firm faces liability for supervisory failures and may be required to pay restitution as well. State insurance regulators may pursue separate action against Maguire's insurance license for the deficient replacement documentation. This fact pattern is consistent with the types of annuity switching cases that have been the subject of significant enforcement activity, GAO reports on VA mis-selling, and academic literature documenting the pattern of commission-motivated replacements that harm consumers.

Item 155 of 350**NON-COMPLIANT**

Topic: complex_products_unsophisticated_investor

Difficulty: medium

Source: 24_Variable_Annuities

Fact Pattern

Maria Delgado, age 34, works as a part-time dental hygienist earning approximately \$38,000 per year. She has a checking account with \$4,200, a savings account with \$11,500, and no prior investment experience. She has never owned a brokerage account, mutual fund, or any insurance product other than a basic term life policy through her employer. In March 2024, Maria inherited \$85,000 from her grandmother's estate. She visited a local financial advisory office seeking guidance on how to save for a home purchase she hoped to make within three to four years. She told her advisor, Kevin Brandt, that she wanted something safe and accessible, and that she did not understand stocks or bonds. Brandt recommended she invest \$75,000 into a variable annuity contract issued by a national insurance carrier. The product featured a seven-year surrender charge schedule starting at 8% in year one and declining by one percent annually, an annual mortality and expense charge of 1.35%, an administrative fee of 0.15%, and underlying sub-account expense ratios averaging 0.92%. The total annual cost load was approximately 2.42%. Brandt also recommended she add a guaranteed minimum income benefit rider at an additional annual cost of 0.95%, explaining it would 'protect her downside.' He did not discuss the tax implications of withdrawing funds from an annuity before age 59½, including the 10% federal tax penalty on earnings. He did not present any alternative products such as certificates of deposit, money market accounts, short-term bond funds, or a basic savings vehicle. The account paperwork listed Maria's investment objective as 'growth' and her risk tolerance as 'moderate,' though Maria later stated in a written complaint that she told Brandt she wanted 'something like a savings account but maybe a little better.' Brandt earned a 6.5% commission of \$4,875 on the sale. Within eighteen months, Maria needed \$30,000 for a down payment on a condominium. When she attempted to withdraw the funds, she discovered she would owe a 7% surrender charge of \$2,100 plus taxes and a 10% early withdrawal penalty on any gains. She filed a complaint with the state insurance department in September 2025.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Kevin Brandt's recommendation of a variable annuity to Maria Delgado was almost certainly a violation of multiple applicable standards.

1. FINRA Rule 2330 (Variable Annuity Suitability): Under Rule 2330, before recommending a variable annuity, a registered representative must have a reasonable basis to believe the transaction is suitable based on the customer's investment profile, including age, income, financial situation, risk tolerance, liquidity needs, investment objectives, investment experience, investment time horizon, existing assets, and tax status. Here, Maria was 34 years old with limited income, virtually no investment experience, a short time horizon of three to four years, and an explicitly stated need for liquidity. Variable annuities are long-term, illiquid investment vehicles with surrender periods, tax penalties for early withdrawal before age 59½, and layered fee structures that erode short-term returns. Rule 2330(b) specifically requires that the member or associated person have a reasonable basis to believe that the customer would benefit from certain features of the annuity, such as tax-deferred growth, annuitization, or death benefits, and that the particular annuity as a whole is suitable. Maria had no need for tax deferral (her income was modest), no need for a death benefit

rider, and no use for a guaranteed minimum income benefit rider when her goal was a home purchase within four years.

2. Regulation Best Interest (SEC Rule 15l-1, Reg BI): Under Reg BI's Care Obligation, a broker-dealer or associated person must exercise reasonable diligence, care, and skill to understand the recommended product and have a reasonable basis to believe the recommendation is in the retail customer's best interest at the time it is made. The analysis must weigh costs, reasonably available alternatives, the customer's investment profile, and risks. Brandt failed every element: he did not consider lower-cost, more liquid alternatives (CDs, money market funds, short-term bond funds); he recommended a product with a seven-year surrender period to a customer with a three-to-four-year time horizon; he added a costly income benefit rider irrelevant to a 34-year-old seeking a home down payment; and the 2.42% (plus rider) annual cost drag was wholly disproportionate to any benefit Maria could realize. Reg BI also includes a Disclosure Obligation requiring full and fair disclosure of material facts, including costs, conflicts of interest, and the capacity in which the recommendation is made. Brandt failed to disclose the 10% early withdrawal tax penalty or surrender charges in a meaningful way.

3. NAIC Model Regulation 275: Under the revised NAIC Suitability in Annuity Transactions Model Regulation (Model 275), which has been adopted in most states, a producer must act in the best interest of the consumer when recommending an annuity. The regulation requires that the recommendation be based on an evaluation of the consumer's financial situation, insurance needs, and financial objectives, and that the producer consider reasonably available alternatives. Model 275 also requires that the consumer's profile information—including liquidity needs, financial situation, risk tolerance, and time horizon—support the recommendation. Maria's profile overwhelmingly pointed away from a variable annuity. The regulation also prohibits a producer from placing his or her financial interest ahead of the consumer's interest, and the \$4,875 commission earned by Brandt on this sale strongly suggests a conflict-driven recommendation.

4. NY Regulation 187 (if applicable in New York): If this transaction occurred in New York, NY Reg 187 imposes an explicit best-interest standard on annuity recommendations. The producer must document that the recommendation is in the consumer's best interest based on the consumer's suitability profile, and must consider the full range of alternatives. Brandt's recommendation would fail this standard as well.

Violations and Likely Outcomes: Brandt's conduct constitutes unsuitable recommendation of a variable annuity, failure to consider alternatives, failure to disclose material costs and tax consequences, and likely misrepresentation of the customer's investment profile on account documents (listing 'growth' and 'moderate risk tolerance' when the customer sought safety and liquidity). The state insurance department complaint could result in license suspension or revocation, fines, and an order to pay restitution. If pursued through FINRA arbitration, Brandt and his firm could face compensatory damages including surrender charges, tax penalties, excess fees, and consequential damages related to the delayed home purchase.

Item 156 of 350

NON-COMPLIANT

Topic: senior_investor_exploitation

Difficulty: hard

Source: 24_Variable_Annuities

Fact Pattern

Harold Pennington, age 79, is a retired machinist living in suburban Ohio on a fixed income of approximately \$2,800 per month from Social Security and a small defined benefit pension. His wife, Eleanor, passed away in January 2024, and Harold has been managing his finances alone for the first time. His total liquid assets consist of \$210,000 in an existing variable annuity purchased in 2016, which had exited its surrender period in 2023, and \$42,000 in a bank savings account. He also owns his home outright, valued at roughly \$185,000. Harold has mild cognitive decline, as noted by his primary care physician in medical records from November 2023, though he has not been declared legally incapacitated. Harold's listed investment objectives have historically been 'preservation of capital' and 'income,' and his risk tolerance has been documented as 'conservative' in every account review since 2016. In April 2024, Harold's financial advisor, Denise Whitaker, contacted him to discuss 'upgrading' his existing annuity. During a single in-home visit lasting approximately 45 minutes, Whitaker recommended that Harold surrender his existing variable annuity--which had a current account value of \$218,400 and included a guaranteed minimum withdrawal benefit rider providing \$1,090 per month for life--and use the proceeds to purchase a new variable annuity from a different carrier. The new annuity carried a nine-year surrender charge schedule beginning at 9% in year one, total annual fees of approximately 3.10% (including a 1.40% mortality and expense charge, a 0.20% administrative fee, sub-account expense ratios averaging 0.85%, and a new living benefit rider costing 1.05% annually after a three-year waiting period). Whitaker told Harold the new product had 'better investment options' and a 'more modern' living benefit, but she did not provide a side-by-side comparison of the two products' guaranteed income amounts, total costs, surrender schedules, death benefits, or investment options. She did not document any analysis of whether Harold would receive higher guaranteed income from the new product's rider relative to his existing \$1,090 per month guarantee. Harold signed the paperwork during that single visit. Whitaker earned a 7% commission of \$15,288 on the replacement sale. Six months later, Harold needed \$25,000 for emergency home repairs after a pipe burst. He was informed he would face a surrender charge of approximately \$2,175 (9% on the withdrawal amount, net of any free withdrawal allowance). Harold's adult daughter, Patricia, discovered the transaction in November 2024 and filed a complaint, noting that her father had told her he 'didn't really understand what he signed' and thought he was 'just moving the same account to a new company.' Patricia also provided a copy of her father's physician's note regarding his cognitive decline.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Denise Whitaker's recommendation to Harold Pennington constitutes multiple serious violations across every applicable regulatory framework governing variable annuity replacements and the protection of senior investors.

1. FINRA Rule 2330 -- Variable Annuity Suitability and Exchanges: Rule 2330(b)(1) requires that before recommending a variable annuity, the associated person must have a reasonable basis to believe the transaction is suitable, considering the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, investment time horizon, existing assets (including other annuity holdings), liquidity needs, liquid net worth, risk tolerance, and tax status. Harold is 79 years old, on a fixed income, conservative in

risk tolerance, and oriented toward capital preservation and income. A new nine-year surrender period is grossly misaligned with his age and likely liquidity needs.

Rule 2330(b)(2) specifically addresses exchanges and replacements. It requires the representative to consider whether the customer would incur a new surrender period, lose existing benefits (such as death benefits, guaranteed income riders, or other contractual features), be subject to increased fees, and whether the customer would receive materially improved features from the new product. Whitaker failed to perform or document any such comparative analysis. Harold's existing annuity had already exited its surrender period (providing full liquidity), included a guaranteed minimum withdrawal benefit of \$1,090 per month for life, and had lower total annual expenses. The replacement locked Harold into a new nine-year surrender schedule, imposed higher annual fees (approximately 3.10% vs. presumably lower in the mature contract), and offered no documented increase in guaranteed income. This is a textbook unsuitable 1035 exchange.

2. Regulation Best Interest (SEC Rule 15l-1): Under Reg BI's Care Obligation, the advisor must exercise reasonable diligence, care, and skill, and have a reasonable basis to believe the recommendation is in the retail customer's best interest. The Care Obligation requires evaluation of costs, reasonably available alternatives, and the customer's investment profile. Whitaker recommended a higher-cost product with a new surrender period to a 79-year-old with conservative objectives and no documented benefit from the switch. The Conflict of Interest Obligation under Reg BI requires firms to identify, disclose, and mitigate or eliminate conflicts of interest, including compensation-related conflicts. Whitaker earned a \$15,288 commission on the replacement. Without documented justification showing the new product served Harold's interest rather than her own, this raises a presumption of conflict-driven conduct. Under the Disclosure Obligation, Whitaker was required to provide full and fair disclosure of all material facts regarding the recommendation, including costs, risks, and conflicts. She provided no side-by-side comparison and gave only vague qualitative descriptions ('better investment options,' 'more modern').

3. NAIC Model Regulation 275 -- Suitability in Annuity Transactions: Under the revised Model 275, adopted in Ohio, a producer must act in the consumer's best interest. For replacement transactions, Model 275 Section 6 requires the producer to consider the totality of the consumer's circumstances, including (a) whether the consumer will incur surrender charges or be subject to a new surrender period; (b) whether the consumer will lose existing benefits; (c) whether the replacement product provides substantially similar or better features; and (d) whether the consumer has had another annuity exchange within the preceding 36 months. Whitaker failed on every count. The regulation also requires that the recommendation be appropriately documented. No comparative analysis was conducted or preserved.

4. Senior-Specific Concerns: Multiple state insurance department bulletins and industry guidance (including IRI best practices and GAO reports on variable annuity mis-selling) identify seniors as particularly vulnerable to unsuitable annuity replacements. Harold's age (79), fixed income, conservative investment profile, recent bereavement (which may affect decision-making), mild cognitive decline (documented by his physician), and reliance on a single in-home meeting for a \$218,400 financial decision all represent significant red flags. FINRA has issued multiple regulatory notices emphasizing heightened supervisory obligations when recommendations involve senior investors, including enhanced scrutiny of annuity exchanges. Academic literature on VA mis-selling consistently identifies 'churning' or 'twisting'--replacing one annuity with another primarily to generate a new commission--as one of the most common and harmful forms of annuity abuse targeting seniors.

5. Supervisory Failures: Under Rule 2330(c), a registered principal must review and approve the variable annuity transaction before it is transmitted to the issuing insurance company. The principal must determine whether the transaction is suitable and, in the case of an exchange, whether the exchange meets the standards of Rule 2330(b)(2). If Whitaker's supervising principal approved this transaction without identifying the red flags--Harold's age, the loss of his existing guaranteed income rider, the new surrender period, the higher costs, and the absence of any documented comparative analysis--the firm also bears supervisory liability.

Likely Regulatory Outcome: This case presents strong grounds for findings of unsuitable replacement, failure to act in the customer's best interest, failure to adequately disclose material information, and potential financial exploitation of a senior investor. Whitaker could face suspension or bar, monetary fines, disgorgement of commissions, and an order to pay restitution. The firm could face additional sanctions for supervisory failures. State insurance regulators could pursue license revocation and additional penalties under the applicable state adoption of Model 275. In arbitration, Harold or his daughter Patricia (acting under power of attorney or as complainant) could recover compensatory damages including the surrender charges on the new contract, excess fees paid, the value of the lost guaranteed income benefit from the old contract, and potentially consequential damages.

Item 157 of 350

NON-COMPLIANT

Topic: tax_deferred_unnecessary_annuity

Difficulty: easy

Source: 24_Variable_Annuities

Fact Pattern

Margaret Ellison, age 58, is a public school librarian in suburban Chicago earning \$62,000 per year. She has \$185,000 in a 403(b) retirement plan, \$22,000 in a savings account, and no other investment accounts. She has no debt other than a small remaining balance on her home mortgage. In March 2023, she attended a dinner seminar hosted by financial advisor Dale Furman of Horizon Wealth Advisors. During the seminar, Furman emphasized the importance of tax-deferred growth for retirement savings and the dangers of market volatility. After a follow-up meeting at his office, Furman recommended that Margaret roll over \$150,000 from her 403(b) into a variable annuity issued by National Pacific Life, called the "Advantage Growth VA." The product carried a mortality and expense risk charge of 1.35% annually, an administrative fee of 0.15%, and underlying subaccount expenses averaging 0.92%, for a total annual cost of approximately 2.42%. The contract also included a seven-year surrender charge schedule beginning at 7% and declining by 1% per year. Furman earned a 5.5% commission on the sale, totaling \$8,250. Margaret's stated investment objectives on her new account form were "growth and retirement income," with a moderate risk tolerance and an investment time horizon of 7 to 10 years. Furman did not discuss with Margaret the fact that her existing 403(b) already provided tax-deferred growth, nor did he document any comparison between the fees in her existing 403(b) plan--which offered low-cost index funds averaging 0.08% in annual expenses--and the variable annuity. Margaret was not informed that placing a tax-deferred product inside another tax-deferred wrapper would provide no additional tax benefit. Six months later, Margaret's account had declined by 4.2% after fees during a period when her previous 403(b) index allocation would have gained 1.8%.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, the advisor violated applicable suitability and best-interest standards in multiple respects.

1. ****Tax-Deferred Redundancy -- FINRA Rule 2330(b)(1)(A):**** FINRA Rule 2330 specifically requires that when recommending a variable annuity purchase, a registered representative must have a reasonable basis to believe the transaction is suitable. One of the enumerated considerations is whether the customer would benefit from the tax-deferred features of a variable annuity. Margaret's 403(b) already provided full tax-deferred growth. Rolling those assets into a variable annuity added no incremental tax advantage whatsoever, while layering on significantly higher costs. This is a textbook violation of the "tax-deferred inside tax-deferred" prohibition that FINRA has repeatedly flagged in enforcement actions and regulatory guidance.

2. ****Failure to Consider Costs -- FINRA Rule 2330(b)(1)(B)-(C):**** The advisor failed to compare the costs of the existing 403(b) plan (approximately 0.08% annually) with the variable annuity (approximately 2.42% annually). This represents a roughly 30-fold increase in annual expenses. FINRA Rule 2330 requires advisors to determine that the customer would benefit from the features of a VA, such as annuitization or death benefits, sufficient to justify the additional costs. No such analysis was documented or communicated.

3. ****Surrender Charges and Liquidity -- NAIC Model Regulation 275:**** Under NAIC Model Regulation 275, an insurance producer must have reasonable grounds for believing the annuity is suitable based on the consumer's financial situation, including liquidity needs. The seven-year surrender charge schedule locked up a significant portion of Margaret's retirement savings, and no analysis of her liquidity needs was conducted. Margaret had only \$22,000 in liquid savings, and with \$150,000 now subject to surrender penalties, her financial flexibility was materially impaired.

4. ****NY Regulation 187 / Reg BI Rule 15l-1 Best Interest Standard:**** Under both the SEC's Regulation Best Interest (Rule 15l-1) and, if applicable, NY Regulation 187, the advisor was obligated to act in the customer's best interest and could not place his own financial interest ahead of the customer's. The \$8,250 commission created a material conflict of interest that was neither disclosed nor mitigated. The recommendation to move assets from a low-cost tax-advantaged account into a high-cost tax-advantaged product with no additional tax benefit, while generating substantial commissions, is strong evidence that the advisor's financial interest drove the recommendation.

5. ****Documentation Failures:**** The advisor failed to document any rationale for why the variable annuity was preferable to maintaining the existing 403(b) allocation, failed to perform or document a cost comparison, and failed to note the absence of any incremental tax benefit.

****Likely Regulatory Outcome:**** This case presents straightforward violations. The advisor would likely face FINRA enforcement action including fines, disgorgement of commissions, possible suspension, and customer restitution. State insurance regulators could also take action under the NAIC Model Regulation 275 framework for unsuitable annuity sales. The customer would likely prevail in an arbitration claim seeking recovery of excess fees and the surrender charge differential.

Item 158 of 350**NON-COMPLIANT**

Topic: high_fees_unsuitable

Difficulty: hard

Source: 24_Variable_Annuities

Fact Pattern

Ronald and Patricia Chen, ages 72 and 69 respectively, are retired residents of Scottsdale, Arizona. Ronald is a former aerospace engineer and Patricia was a nursing administrator. Their combined household income consists of \$4,800 per month in Social Security benefits and \$2,200 per month from Ronald's defined-benefit pension, totaling \$84,000 annually. Their investable assets include \$620,000 in Ronald's traditional IRA, \$195,000 in Patricia's traditional IRA, \$87,000 in a joint taxable brokerage account, and \$45,000 in bank CDs. Their home is fully paid off, valued at approximately \$580,000. They have no outstanding debts. Their stated investment objectives are capital preservation and modest income supplementation; their risk tolerance is conservative. They have two adult children and wish to leave a meaningful inheritance.

In January 2023, their advisor, Kevin Braddock of Pinnacle Financial Group, recommended that both Ronald and Patricia each purchase a variable annuity from Continental Assurance Corporation--the "Premier Select VA"--investing \$400,000 from Ronald's IRA and \$180,000 from Patricia's IRA, respectively. Each contract included a Guaranteed Minimum Withdrawal Benefit (GMWB) rider with a 5% annual withdrawal guarantee. The base mortality and expense charge was 1.40%, administrative fees were 0.20%, the GMWB rider cost 1.25% annually, and subaccount expenses averaged 1.05%, bringing total annual costs to approximately 3.90%. Each contract carried a nine-year declining surrender charge schedule starting at 8.5%. Braddock earned a blended commission of 6.25% on the combined \$580,000 in sales, totaling \$36,250.

Braddock's stated rationale, as reflected in brief handwritten notes, was that the GMWB rider would provide "guaranteed income regardless of market performance" and "protect against sequence-of-returns risk." However, the Chens' existing income from Social Security and the pension already covered approximately 95% of their estimated \$88,000 annual living expenses. They needed only about \$4,000 per year in supplemental income from investments. Braddock did not analyze whether the cost of the GMWB rider--approximately \$22,620 per year across both contracts--was justified relative to the \$4,000 annual income gap. He also did not consider that Ronald, at 72, was already subject to required minimum distributions from his IRA, and the surrender charges on the VA would complicate RMD compliance, potentially triggering surrender penalties if distributions exceeded the free withdrawal corridor. The Chens were not presented with lower-cost alternatives such as a diversified portfolio of bond funds, a SPIA ladder, or fixed annuities without surrender charges. Patricia later told a state insurance department examiner that Braddock never explained the total annual cost of the contracts and that she believed the "guarantee" meant they could not lose money in the account. Within 18 months, the combined account values had declined by approximately \$61,000 due to a combination of market losses and fee erosion, while the Chens had withdrawn only \$6,000 total for supplemental income.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, the advisor committed multiple serious violations of suitability and best-interest requirements.

1. ****Excessive and Disproportionate Costs -- FINRA Rule 2330(b)(1)(A)-(C):**** FINRA Rule 2330 requires that a registered representative have a reasonable basis for believing the customer will benefit from the features of the variable annuity in light of its costs. Here, the combined annual costs of approximately 3.90% (\$22,620 per year on \$580,000) dramatically exceeded the Chens' actual supplemental income need of roughly \$4,000 per year. The annual cost of the GMWB rider alone (\$7,250 on each contract, \$14,500 combined) was more than three times the income gap the rider was supposedly designed to fill. A reasonable cost-benefit analysis--which was never performed or documented--would have demonstrated that the guaranteed withdrawal benefit was economically irrational given the Chens' specific financial situation.
2. ****Age-Related Unsuitability and RMD Complications -- FINRA Rule 2330(b)(1)(A):**** Ronald was 72 years old and already subject to required minimum distributions from his IRA. Placing \$400,000 of IRA assets inside a variable annuity with a nine-year, 8.5% declining surrender charge created a foreseeable conflict between RMD obligations and surrender penalties. FINRA guidance has specifically highlighted the risks of recommending variable annuities to customers who are at or near RMD age, particularly when surrender charges may be triggered by mandatory withdrawals. The advisor's failure to analyze this interaction was a significant suitability deficiency.
3. ****Conservative Investors with Adequate Existing Income -- NAIC Model Regulation 275:**** Under NAIC Model 275, Section 6, an insurance producer must have reasonable grounds for believing the annuity is suitable based on facts disclosed by the consumer, including existing insurance and annuity products, financial situation and needs, and investment objectives. The Chens' existing pension and Social Security covered 95% of their expenses. They had conservative risk tolerance and a primary goal of capital preservation with legacy planning. A product with 3.90% in annual drag, substantial equity-market exposure through subaccounts, and nearly a decade of surrender restrictions was fundamentally inconsistent with these objectives.
4. ****Failure to Consider Reasonable Alternatives -- Reg BI Rule 15l-1; NY Regulation 187:**** Under the SEC's Regulation Best Interest, a broker-dealer and associated person must consider reasonably available alternatives. The advisor failed to present or evaluate lower-cost alternatives that would have been more appropriate: a simple portfolio of short-to-intermediate-term bond index funds (with costs under 0.10% annually), a small SPIA to cover the income gap (which could have been purchased for approximately \$50,000-\$70,000), or a fixed annuity without surrender charges. The failure to consider these readily available, less costly, and less complex alternatives strongly suggests the recommendation was driven by the \$36,250 commission rather than the Chens' needs.
5. ****Misleading Characterization of Guarantees:**** Patricia Chen's understanding that the "guarantee" meant she could not lose money reflects a fundamental miscommunication by the advisor. A GMWB guarantees a minimum withdrawal rate, not principal protection. The 3.90% total annual fee drag, combined with market volatility, meant the account values could--and did--decline substantially. The advisor's failure to clearly explain the nature and limitations of the guarantee, particularly to conservative 70-year-old investors, raises additional concerns about misleading sales practices.
6. ****Concentration and Liquidity Risk:**** The recommendation placed approximately 71% of the Chens' total investable assets (\$580,000 of \$815,000 in IRAs) into illiquid variable annuity contracts with nine-year surrender schedules. For retirees in their seventies with conservative objectives and legacy goals, this level of concentration in a single illiquid product type was excessive and inappropriate.
7. ****Documentation Deficiencies:**** The advisor's rationale was documented only in brief handwritten notes referencing generic concepts ("guaranteed income" and "sequence-of-returns risk") without any quantitative analysis, cost-benefit comparison, alternatives considered, or client-specific justification. This fails to meet the documentation standards contemplated by both FINRA Rule 2330 and NAIC Model Regulation 275.

****Likely Regulatory Outcome:**** This case involves egregious facts--elderly conservative retirees with adequate income, massive fee layering relative to need, RMD complications, failure to consider alternatives, and a \$36,250 commission. The advisor would face significant FINRA sanctions likely including a substantial fine, lengthy suspension or bar, and full customer restitution. State insurance regulators could revoke or suspend the advisor's insurance license under NAIC Model 275 enforcement provisions. The firm's supervisory procedures would also be scrutinized under FINRA's supervisory framework. In arbitration, the Chens would have a strong claim for compensatory damages including excess fees, surrender charges, and market losses attributable to the unsuitable recommendation.

Item 159 of 350**NON-COMPLIANT****Topic:** illiquid_investments**Difficulty:** hard**Source:** 24_Variable_Annuities**Fact Pattern**

Margaret Olsen, age 74, is a retired schoolteacher living in Rochester, New York, with a fixed monthly pension of \$2,800 and Social Security benefits of \$1,950 per month. Her total liquid assets consist of \$410,000 in a traditional IRA, \$55,000 in a money market account, and a \$30,000 certificate of deposit maturing in six months. She has no other sources of income and has documented moderate-to-low risk tolerance on her new account paperwork, with investment objectives listed as income and capital preservation. Margaret told her advisor, Dennis Kirkland, that she was concerned about rising healthcare costs and wanted to make sure she could access her savings in an emergency, noting that her husband had recently passed away and she was now solely responsible for all household expenses, including \$1,200 per month in out-of-pocket prescription drug costs not covered by Medicare. In March 2023, Dennis recommended that Margaret invest \$340,000 of her IRA -- approximately 69% of her total liquid net worth -- into a variable annuity with a Guaranteed Minimum Withdrawal Benefit rider. The product carried a seven-year surrender schedule beginning at 7% in the first year and declining by 1% per year. The annual mortality and expense charge was 1.35%, the administrative fee was 0.15%, the GMWB rider fee was 1.10%, and the underlying sub-account expense ratios averaged 0.85%, bringing the total annual cost to approximately 3.45%. Dennis told Margaret that the GMWB rider would 'guarantee her income for life no matter what the market does' and that she could always access her money if she needed it, without clearly explaining that withdrawals above the guaranteed amount during the surrender period would trigger surrender charges and could reduce her benefit base. Dennis earned a \$20,400 commission on the sale. Margaret's prior IRA holdings were invested in a balanced mutual fund with a total expense ratio of 0.62%. Within five months of the purchase, Margaret needed to withdraw \$45,000 to cover unexpected home repairs and medical bills. She was assessed a \$2,925 surrender charge on the amount exceeding the free withdrawal corridor and her GMWB benefit base was permanently reduced by the excess withdrawal.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dennis Kirkland likely violated multiple suitability and best-interest standards. Under FINRA Rule 2330, a registered representative recommending a variable annuity must have a reasonable basis to believe the transaction is suitable based on the customer's investment profile, including age, income, net worth, risk tolerance, liquidity needs, investment objectives, and existing holdings. A key consideration under Rule 2330(b) is whether the customer would benefit from the tax-deferral features of a variable annuity, particularly when the investment is made within an already tax-deferred IRA, which negates the primary tax advantage and layers on additional costs. Concentrating approximately 69% of a 74-year-old widow's liquid assets into a product with a seven-year surrender period directly contradicts her stated needs for liquidity, capital preservation, and income stability, and her documented concern about emergency access. The all-in annual cost of 3.45% is nearly six times the 0.62% she was paying in her balanced mutual fund, and the advisor failed to adequately disclose the consequences of excess withdrawals on both surrender charges and the GMWB benefit base. Under New York Regulation 187, which applies because the client resides in New York, the advisor and insurer have an affirmative obligation to act in the consumer's best interest at the time the recommendation is made, considering the consumer's financial situation, insurance needs, and stated objectives without placing the

producer's financial interest ahead of the consumer's. The recommendation fails this standard: the product was excessively illiquid for a client with predictable high healthcare expenses and no other liquid reserves adequate to meet emergencies, and the \$20,400 commission created a material conflict of interest that was not mitigated. The NAIC Model Regulation 275, adopted in many states, similarly requires that annuity recommendations be in the consumer's best interest, considering the consumer's age, liquidity needs, and existing coverage, and that the producer exercise reasonable diligence in making the recommendation. Additionally, under SEC Regulation Best Interest (Rule 15l-1), applicable to the broker-dealer, the recommendation must satisfy the Care Obligation, which requires that the advisor exercise reasonable diligence, care, and skill in evaluating costs, risks, and reasonably available alternatives. Placing the vast majority of a 74-year-old's liquid retirement assets into an illiquid, high-cost variable annuity when she had clearly articulated liquidity needs and conservative objectives fails this standard. The Conflict of Interest Obligation further requires disclosure and mitigation of the commission incentive, which was not done here. Likely regulatory outcomes include disgorgement of the commission, rescission of the transaction, restitution of the surrender charges incurred, supervisory sanctions against the firm for failure to flag the concentration and age-related red flags, and potential fines against the advisor.

Item 160 of 350**NON-COMPLIANT****Topic:** annuity_unnecessary_switching**Difficulty:** medium**Source:** 24_Variable_Annuities**Fact Pattern**

Carlos Reyes, age 58, is a senior IT project manager earning \$145,000 per year. He has \$620,000 in a 401(k) with his current employer, \$90,000 in a Roth IRA, and \$185,000 in a non-qualified brokerage account. In 2019, Carlos purchased a variable annuity through his advisor, Paul Whitfield, investing \$150,000 of his non-qualified brokerage funds. That annuity, issued by Pacific National Life, included a Guaranteed Lifetime Withdrawal Benefit rider with a 5% annual step-up feature. The contract was in its fourth year of a six-year surrender period, and the account value had grown to approximately \$168,000. The GLWB benefit base, thanks to the step-up feature and no prior withdrawals, stood at \$182,500. The annual total cost of the Pacific National product was approximately 2.90%. In September 2023, Paul recommended that Carlos surrender the Pacific National annuity and use the proceeds to purchase a new variable annuity issued by Continental Heritage Insurance. Paul told Carlos that the new product had 'better investment options and a stronger guarantee.' The Continental Heritage annuity carried a new seven-year surrender schedule starting at 7%, a total annual cost of approximately 3.15%, and a GLWB rider with a 4.5% step-up feature -- actually a lower step-up rate than the existing product. Carlos paid a \$5,040 surrender charge (3% on \$168,000) to exit the Pacific National contract. He also lost his accumulated \$182,500 benefit base and started over at a \$162,960 benefit base in the new contract (after the surrender charge). Paul earned a \$9,777 commission on the new sale. Paul's notes in the client file stated only: 'Client wants better fund lineup. Discussed replacement. Client agreed.' No comparative analysis of surrender charges, benefit bases, rider features, total costs, or death benefit provisions was documented. Carlos's risk tolerance is listed as moderate growth, and his investment objective is long-term retirement accumulation with some downside protection.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Paul Whitfield's recommendation to replace Carlos's existing variable annuity appears to violate applicable suitability and best-interest standards governing annuity replacements. FINRA Rule 2330(b)(1)(A) specifically addresses exchanges and replacements of variable annuities, requiring the registered representative to consider whether the customer would incur a surrender charge, would lose existing benefits such as death benefits or guaranteed living benefits, would face a new surrender period, would face increased fees or charges, and whether the customer would benefit from product enhancements in the new contract that justify these costs. Here, Carlos incurred a \$5,040 surrender charge, lost a \$182,500 GLWB benefit base accumulated over four years (resetting to only \$162,960), restarted a seven-year surrender period, moved into a product with a higher total annual cost (3.15% vs. 2.90%), and received a lower GLWB step-up rate (4.5% vs. 5%). None of these trade-offs yielded a demonstrable material benefit to Carlos. The vague justification that the new product has 'better investment options' is insufficient absent documented analysis demonstrating that the specific sub-account options available in the new contract materially improve Carlos's expected risk-adjusted returns enough to offset the quantifiable losses. Under SEC Regulation Best Interest (Rule 15l-1), the Care Obligation requires the advisor to evaluate the costs and benefits of a recommended transaction in light of reasonably available alternatives, which would include simply retaining the existing annuity. The replacement recommendation resulted in higher costs, reduced guarantees, a loss of accumulated

benefits, and renewed illiquidity -- outcomes that are difficult to reconcile with Carlos's interest. The Conflict of Interest Obligation is also implicated because Paul earned a \$9,777 commission on the new sale, creating a financial incentive to recommend the switch regardless of whether it benefited the client. Under the NAIC Model Regulation 275, which many states have adopted, the producer must have a reasonable basis to believe the replacement is in the consumer's best interest after considering the totality of the consumer's circumstances, including the benefits of the existing contract being replaced. The lack of any documented comparative analysis also suggests a supervisory failure under the broker-dealer's obligation to review and approve replacement transactions. GAO reports and academic studies on variable annuity mis-selling have consistently identified unnecessary switching -- sometimes called 'churning' or 'twisting' -- as one of the most common and harmful practices in annuity distribution, particularly when the primary economic beneficiary of the exchange is the advisor through new commissions. Likely regulatory consequences include restitution of the surrender charge and commission, rescission or unwinding of the replacement transaction if feasible, fines against both the advisor and potentially the supervising broker-dealer, and enhanced supervision or suspension of the advisor.

Item 161 of 350**NON-COMPLIANT****Topic:** failure_to_know_customer**Difficulty:** medium**Source:** 24_Variable_Annuities**Fact Pattern**

In March 2024, financial advisor Derek Hollis met with new client Marlene Fujimoto, a 71-year-old retired school librarian living in Syracuse, New York. Mrs. Fujimoto came to the appointment after receiving a mailer about "tax-advantaged retirement income solutions." During their initial and only meeting, which lasted approximately 35 minutes, Hollis collected Mrs. Fujimoto's name, address, date of birth, and Social Security number. He asked her how much money she had available to invest, and she told him she had approximately \$340,000 in a bank CD that was maturing the following week and a small checking account with about \$8,200. She mentioned she receives \$2,150 per month in Social Security and a \$780 monthly pension from the school district. Hollis did not ask about her monthly living expenses, existing debts, health status, other insurance policies, beneficiaries, investment experience, liquidity needs, time horizon, or risk tolerance. He did not ask whether she had any other assets or income sources. He did not inquire about her tax bracket or whether she had any estate planning documents. Mrs. Fujimoto mentioned offhand that her husband had passed away eight months earlier and that she was "just trying to make sure she doesn't run out of money." Hollis recommended she invest \$310,000 into a variable annuity issued by National Heritage Life Insurance Company, the "Heritage Advantage Plus VA," which carried a seven-year surrender charge schedule starting at 8% in year one and declining by 1% per year, an annual mortality and expense charge of 1.45%, an administrative fee of 0.15%, and underlying subaccount expenses averaging 0.92%. He also recommended she add a guaranteed minimum income benefit rider at an additional annual cost of 1.10%, bringing the total all-in annual cost to approximately 3.62%. The product offered 47 subaccounts across equity, bond, and balanced portfolios. Hollis allocated 60% of the investment to equity subaccounts and 40% to bond subaccounts without discussing this allocation with Mrs. Fujimoto. He completed the account application, checking "moderate" for risk tolerance and "growth and income" for investment objective. Mrs. Fujimoto signed the paperwork. Hollis earned a 6.5% commission on the sale, totaling \$20,150. Within five months, Mrs. Fujimoto's account had declined by \$27,000 due to equity market volatility. She called Hollis's office asking to withdraw \$15,000 to pay for emergency plumbing repairs and was informed she would face a surrender charge of approximately \$1,200 on the withdrawal plus potential tax consequences. She filed a complaint with the state insurance department in October 2024.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hollis violated multiple applicable standards governing variable annuity sales. Under FINRA Rule 2330, before recommending a variable annuity, a registered representative must make reasonable efforts to obtain, at a minimum, the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the variable annuity, investment time horizon, existing assets (including other insurance and investments), liquidity needs, liquid net worth, risk tolerance, and tax status. Hollis failed to gather the vast majority of this required information. He did not inquire about Mrs. Fujimoto's monthly expenses, health condition, existing insurance policies, other assets, investment experience, liquidity needs, time horizon, or tax situation. The perfunctory 35-minute meeting was grossly inadequate for a \$310,000 variable annuity transaction involving a recently widowed 71-year-old retiree whose total liquid assets were approximately \$348,200.

Because the transaction occurred with a New York resident, NY Regulation 187 also applies, imposing a best-interest standard on annuity recommendations effective since August 1, 2019. Under Regulation 187, the producer must act in the best interest of the consumer, and this requires the producer to know the consumer's financial situation, insurance needs, and financial objectives. The regulation requires that the recommendation be based on an evaluation of the relevant suitability information and that there be a reasonable basis to believe the consumer would benefit from certain features of the annuity. Hollis's failure to collect this information represents a foundational failure that renders the entire recommendation unsupported.

Additionally, under the NAIC Model Regulation 275, an insurance producer must have reasonable grounds for believing the recommendation is suitable based on facts disclosed by the consumer regarding investments, other insurance products, financial situation, and needs. Hollis self-selected 'moderate' risk tolerance and 'growth and income' objectives without any meaningful discussion with the client, effectively fabricating suitability information on the application.

Substantive suitability concerns compound the know-your-customer failure. A 71-year-old retiree with \$348,200 in total liquid assets, modest fixed income of \$2,930/month, and no disclosed investment experience was placed into a product with a seven-year surrender period, 3.62% annual all-in costs, and a 60% equity allocation. This left her with only \$38,200 in accessible liquid funds--an extremely thin liquidity cushion for someone entirely dependent on fixed income. The surrender charges effectively locked up 89% of her liquid net worth for seven years, creating severe liquidity risk for a septuagenarian.

Under Reg BI (Rule 15l-1), if Hollis acted as a broker-dealer representative, the Care Obligation requires that the recommendation be in the retail customer's best interest at the time, considering the customer's investment profile including age, financial situation, tax status, investment objectives, and liquidity needs. The failure to even gather this information precludes any reasonable basis for the recommendation.

Likely regulatory outcomes include: the state insurance department sustaining the complaint and ordering rescission or restitution; potential FINRA enforcement action for violations of Rule 2330(b) (reasonable efforts to know the customer) and Rule 2330(a) (reasonable basis for the recommendation); potential fines, disgorgement of the \$20,150 commission, suspension, and enhanced supervisory requirements. The supervising broker-dealer may also face liability under FINRA Rule 3110 for failing to have adequate supervisory procedures to catch such deficient documentation at the point of sale.

Item 162 of 350**NON-COMPLIANT****Topic:** inappropriate_risk_profile**Difficulty:** hard**Source:** 24_Variable_Annuities**Fact Pattern**

Carlos Medina, age 42, is a software engineer in Austin, Texas, earning \$185,000 annually. He is married with two children, ages 6 and 9. In January 2024, he met with financial advisor Samantha Reeves at a seminar held at a local hotel titled "College Savings Strategies for Texas Families." Medina explained to Reeves that he wanted to begin saving aggressively for his children's college education. He told her he had approximately \$95,000 in a 401(k), a joint checking account with \$22,000, an emergency fund money market account with \$30,000, and no other investment accounts. He and his wife had \$420,000 remaining on their mortgage and \$38,000 in student loan debt of their own. Medina stated clearly in their initial meeting--and again in a follow-up phone call--that this money was specifically earmarked for college tuition, that he expected to need access to the funds in approximately 10 to 13 years, and that he was uncomfortable with the idea of losing principal because he and his wife had no other college savings mechanism in place. Reeves documented in her notes that Medina had a "moderate" risk tolerance and that his investment objective was "education funding with capital preservation priority." Despite this documentation, Reeves recommended that Medina invest \$50,000--drawn from the couple's checking and money market accounts combined--into the "Pinnacle Select Variable Annuity" issued by Granite State Life Insurance Company. She allocated the funds as follows: 45% to an aggressive growth small-cap equity subaccount, 25% to an international emerging markets equity subaccount, 20% to a high-yield bond subaccount, and 10% to a large-cap equity index subaccount. The product carried a mortality and expense charge of 1.35%, an administrative fee of 0.20%, and average underlying subaccount expenses of 1.18%, for a total annual cost of approximately 2.73%. It featured a six-year declining surrender charge beginning at 7%. Reeves did not recommend adding any optional guaranteed benefit riders. She did not discuss 529 college savings plans, Coverdell Education Savings Accounts, or any education-specific savings vehicles. The \$50,000 investment represented the entirety of the family's liquid non-retirement savings beyond \$2,000 left in checking. By September 2024, the aggressive subaccount allocations resulted in a portfolio decline to \$41,200--a loss of \$8,800 or 17.6%. Medina contacted Reeves expressing alarm. She advised him to "stay the course" because the annuity was a long-term product. In November 2024, Medina needed \$12,000 to repair his roof after storm damage. He attempted a partial withdrawal and was assessed a 6% surrender charge of \$720 plus ordinary income tax on any gains (though there were none due to losses). He subsequently filed a complaint with his state insurance department and with Reeves's broker-dealer.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Samantha Reeves committed multiple serious violations related to inappropriate risk profiling and product unsuitability despite having collected adequate customer information--making this a particularly egregious case because she documented the client's actual needs and then contradicted her own notes with her recommendation.

Under FINRA Rule 2330, a registered representative recommending a variable annuity must have a reasonable basis to believe that (a) the customer would benefit from certain features of the VA, such as tax-deferred growth, annuitization, death benefits, or living benefit protections; (b) the particular VA as a whole is suitable; and (c) the

underlying subaccount allocations are suitable. Reeves failed on all three prongs.

First, a variable annuity was a fundamentally inappropriate vehicle for education savings. VAs do not receive favorable tax treatment for education expenses (unlike 529 plans and Coverdell ESAs, which offer tax-free growth when used for qualified education expenses). Withdrawals from a VA are taxed as ordinary income, and withdrawals before age 59½ are generally subject to a 10% federal tax penalty--Medina would be approximately 52-55 when his children enter college, potentially avoiding the penalty, but the tax inefficiency compared to purpose-built education savings vehicles is stark. Reeves did not discuss or consider any education-specific alternatives, suggesting she failed to evaluate whether the VA's features provided any meaningful benefit over more appropriate products.

Second, the subaccount allocation was flagrantly inconsistent with Medina's documented risk profile and objectives. Reeves's own notes recorded that Medina had a "moderate" risk tolerance with a "capital preservation priority." Yet she allocated 70% to aggressive growth small-cap and emerging markets equities--among the most volatile asset classes available--and another 20% to high-yield bonds, which carry significant credit and market risk. Only 10% was in a relatively stable large-cap index. This allocation is characteristic of an aggressive growth profile, not a moderate one prioritizing capital preservation. The 17.6% loss within nine months is a direct and foreseeable consequence of this mismatch.

Third, under the NAIC Model Regulation 275, an insurance producer must have reasonable grounds for believing that the recommendation is suitable based on the consumer's suitability information, including financial situation, insurance needs, financial objectives, and the intended use of the annuity. Medina explicitly stated the funds were for college education with capital preservation as a priority. The aggressive allocation directly contradicted these stated objectives.

Fourth, the recommendation devastated the family's liquidity. The \$50,000 investment consumed virtually all non-retirement liquid assets, leaving \$2,000 in checking. For a family with two young children, a mortgage, and student loan debt, this created dangerous financial fragility--as demonstrated when Medina needed \$12,000 for emergency home repairs and faced surrender charges to access his own money. FINRA Rule 2330 specifically requires consideration of liquidity needs before recommending a VA.

Under Reg BI (Rule 15l-1), the Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill to ensure the recommendation is in the retail customer's best interest. The Disclosure Obligation requires material facts about the recommendation to be disclosed, including costs and risks. Reeves's failure to discuss education-specific alternatives and her placement of education-earmarked funds into an aggressive VA with high costs and surrender penalties violated these obligations. The Conflict of Interest Obligation is also implicated: Reeves likely received a substantial commission on the VA sale that would not have been available had she recommended a 529 plan, creating an undisclosed economic incentive to recommend the inferior product.

Additionally, Reeves did not add any guaranteed benefit riders that might have offered some principal protection, despite the client's explicit desire for capital preservation. The absence of even a guaranteed minimum accumulation benefit rider--while not necessarily required--further demonstrates that the recommendation was not tailored to the client's stated needs.

Likely regulatory outcomes include: sustained complaint at the state insurance department level; FINRA enforcement for violations of Rule 2330 and the general suitability and best-interest framework; potential Reg BI violations if applicable; orders for restitution of losses plus surrender charges incurred; disgorgement of commissions; fines; and potential suspension. The supervising broker-dealer may face supervisory liability under FINRA Rule 3110 for approving a transaction where the documented customer profile was so clearly inconsistent with the recommended allocation. Academic literature on VA mis-selling, including studies referenced in GAO reports, has consistently identified the sale of VAs for purposes better served by other products--particularly education savings--as a hallmark pattern of unsuitable recommendations driven by commission incentives.

Item 163 of 350**NON-COMPLIANT****Topic:** high_fees_unsuitable**Difficulty:** medium**Source:** 24_Variable_Annuities**Fact Pattern**

Margaret Colson, age 74, is a retired elementary school teacher living in Topeka, Kansas. She receives \$2,400 per month from her state pension and \$1,850 per month in Social Security benefits. Her total liquid assets consist of \$185,000 in a bank savings account and a \$60,000 certificate of deposit maturing in six months. She owns her home outright and has no debts. Margaret describes herself as a conservative investor whose primary goals are capital preservation and generating modest supplemental income to cover medical expenses and home maintenance. She has no prior experience with securities or annuity products and told her advisor she wanted something "safe like a CD but maybe a little better."

In March 2024, her financial advisor, Dennis Hargrove, recommended she move \$160,000 from her savings account into a variable annuity with an optional guaranteed minimum income benefit rider. The product carried an annual mortality and expense charge of 1.40%, an administrative fee of 0.15%, underlying sub-account management fees averaging 0.95%, and the income rider carried an additional annual charge of 1.10%, bringing the total all-in annual cost to approximately 3.60%. The product had a seven-year surrender schedule starting at 7% and declining by 1% per year. Dennis allocated 60% of the sub-account investments to an aggressive growth equity fund and 25% to an international equity fund, with only 15% in a bond fund.

Dennis earned a \$9,600 commission on the sale. He did not present Margaret with any alternative products such as fixed annuities, multi-year guaranteed annuities, or bond funds. His notes from the meeting simply stated "client wants growth potential with income" and did not document any discussion of fees, surrender charges, or the client's limited liquidity needs. Within eight months, the aggressive equity sub-accounts declined 14% during a market correction, and Margaret's account value dropped to approximately \$138,500. When Margaret attempted to withdraw \$20,000 to pay for an unexpected roof repair, she was assessed a 6% surrender charge of \$1,200 plus applicable taxes on gains, and she contacted her state insurance department to file a complaint.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dennis Hargrove violated multiple applicable standards governing the recommendation of variable annuities.

****FINRA Rule 2330 (Variable Annuity Suitability):**** This rule requires that before recommending the purchase of a variable annuity, a registered representative must make reasonable efforts to obtain the customer's financial status, tax status, investment objectives, liquidity needs, risk tolerance, and other relevant information. The representative must then have a reasonable basis to believe that the customer would benefit from certain features of a variable annuity (such as tax-deferred growth, annuitization, or death benefit features) that are not available through other products, that the particular variable annuity is suitable, and that the transactions as a whole are not excessive. Dennis failed on all counts: Margaret's conservative profile, age, limited liquidity, and stated desire for CD-like safety made a high-cost variable annuity with a seven-year surrender period fundamentally unsuitable. The aggressive equity allocation (85%

equities) directly contradicted her conservative risk tolerance and capital preservation objective.

****NAIC Model Regulation 275 (Annuity Best Interest):**** Kansas adopted the amended NAIC Model 275 with a compliance date of January 1, 2024. Under this model, a producer must act in the best interest of the consumer at the time the recommendation is made, without placing the producer's financial interest ahead of the consumer's interest. The producer must consider the consumer's age, financial situation, insurance needs, financial objectives, intended use of the annuity, and liquidity needs. The producer must also consider reasonably available alternatives. Dennis failed to consider or present any lower-cost alternatives such as fixed annuities or MYGAs that would have been far more aligned with Margaret's stated objectives. His \$9,600 commission appears to have been a primary motivator.

****SEC Regulation Best Interest (Rule 15l-1):**** As a broker-dealer representative recommending a securities product, Dennis was subject to Reg BI's Care Obligation, which requires that the recommendation reflect reasonable diligence, care, and skill, and that the advisor consider costs, reasonably available alternatives, and the specific needs of the retail customer. The all-in cost of 3.60% annually was excessive for a 74-year-old conservative investor with no need for tax-deferred growth (she was already in a low tax bracket). The Care Obligation also requires consideration of whether less costly alternatives exist--Dennis documented no such analysis.

****NY Regulation 187 (if applicable in that jurisdiction):**** While Margaret resides in Kansas, it is worth noting that NY Reg 187 similarly requires that transactions be in the customer's best interest and that the financial professional consider the client's financial situation, needs, and suitability--standards substantially similar to the NAIC model adopted by Kansas.

****Specific Violations:****

1. Unsuitable product type: A variable annuity with high fees and long surrender periods was inappropriate for a 74-year-old conservative investor needing liquidity.
2. Unsuitable asset allocation: 85% equity allocation contradicted the client's conservative risk tolerance and capital preservation goals.
3. Failure to consider alternatives: No documentation or discussion of lower-cost, more liquid, or more conservative products.
4. Inadequate documentation: Advisor's notes were conclusory and did not reflect a meaningful suitability analysis or best-interest evaluation.
5. Excessive costs: Total annual fees of 3.60% would erode a significant portion of any returns for a client whose primary concern was preservation.
6. Placing financial interest above customer's interest: The \$9,600 commission incentivized the recommendation of a high-cost product over more suitable alternatives.

****Likely Regulatory Outcome:**** Dennis faces potential FINRA disciplinary action including fines, suspension, and required restitution. The Kansas Insurance Department could revoke or suspend his insurance license under the state's adopted best interest rule. The broker-dealer's supervisory system may also face scrutiny for failure to flag this transaction for heightened review given the customer's age and the product costs.

Item 164 of 350**NON-COMPLIANT****Topic:** illiquid_investments**Difficulty:** hard**Source:** 24_Variable_Annuities**Fact Pattern**

Carlos and Elena Reyes are a married couple, ages 52 and 49 respectively, living in Orlando, Florida. Carlos is a self-employed HVAC contractor earning approximately \$130,000 annually, though his income fluctuates significantly due to seasonal demand and the cyclical nature of construction projects. Elena works part-time as a medical billing specialist earning \$32,000 per year. Together they have \$95,000 in a joint brokerage account, \$40,000 in Carlos's SEP-IRA, \$22,000 in Elena's traditional IRA, and \$18,000 in a money market account that serves as their emergency fund. They have a mortgage with \$210,000 remaining at 5.75% interest, \$14,000 in credit card debt at 19.8% APR, and Carlos's business line of credit carries a \$35,000 balance. They have two children, ages 16 and 13, and have saved nothing for college. They describe their risk tolerance as moderate and their primary financial goals as paying down debt, funding their children's college education within the next two to five years, and building retirement savings.

In September 2023, their financial advisor, Rachel Nguyen, recommended that Carlos roll over his \$40,000 SEP-IRA into a variable annuity and that Elena roll her \$22,000 traditional IRA into a second variable annuity from the same carrier. Both products featured a ten-year surrender charge schedule beginning at 8.5% in year one and declining to 1% in year ten. The annual fees on each contract totaled approximately 3.25%, comprised of M&E charges of 1.35%, administrative fees of 0.20%, sub-account expense ratios averaging 0.85%, and an optional enhanced death benefit rider costing 0.85%. Rachel also recommended that the couple redirect \$500 per month from Carlos's business income into additional premium payments on his variable annuity contract rather than paying down their 19.8% credit card debt.

Rachel earned a combined commission of \$4,650 on the two annuity sales. Her documentation noted that the clients "want long-term growth with some protection" but did not address their significant short-to-medium-term liquidity needs for college funding, the impact of the surrender schedule on their ability to access funds, the drag of 3.25% annual fees relative to lower-cost IRA investment options, or the financial harm of directing cash flow to an annuity while carrying high-interest consumer debt. Rachel did not disclose or discuss the commission she would receive.

By June 2024, Carlos experienced a three-month business slowdown and needed to access \$15,000 to cover operating expenses and prevent defaulting on his business credit line. When he attempted to withdraw from his variable annuity, he learned the surrender charge would be approximately \$1,275 (8.5%), plus ordinary income taxes and a potential 10% early withdrawal penalty since he was under age 59½. Meanwhile, their credit card balance had grown to \$19,500 due to the continued redirection of cash flow into the annuity. The couple filed complaints with both their state insurance department and the firm's compliance department.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Rachel Nguyen committed serious violations of multiple applicable regulatory standards by recommending illiquid variable annuity products to clients with significant short-term liquidity needs, high-interest debt, and near-term college funding obligations.

****FINRA Rule 2330 - Variable Annuity Suitability:****

Rule 2330 requires that prior to recommending a variable annuity purchase or exchange, a registered representative must make reasonable efforts to obtain comprehensive customer profile information including financial status, investment objectives, time horizon, existing assets, liquidity needs, and risk tolerance. The representative must then have a reasonable basis to believe: (1) the customer would benefit from features of a deferred variable annuity that are not available through other products; (2) the particular annuity as a whole, including riders, is suitable; and (3) the transactions in combination are not unsuitable or excessive.

Rachel's recommendations fail all three prongs. The Reyes family had acute near-term liquidity needs (college funding in 2-5 years, fluctuating self-employment income, \$14,000 in high-interest credit card debt, \$35,000 on a business credit line). Locking \$62,000 of their retirement savings into contracts with 10-year surrender schedules and 8.5% first-year surrender charges was directly contrary to their liquidity profile. The tax-deferred growth feature of the variable annuity provided no incremental benefit since both the SEP-IRA and traditional IRA were already tax-deferred vehicles. The enhanced death benefit rider at 0.85% annually was not discussed relative to the clients' actual insurance needs and added cost without documented justification.

****NAIC Model Regulation 275 (Annuity Best Interest Standard):****

Florida adopted the amended NAIC Model 275 with a compliance date of January 1, 2024. However, even under the prior suitability standard in effect in September 2023 when the sales occurred, the producer was required to have reasonable grounds for believing the annuity was suitable based on the consumer's financial situation, insurance needs, age, and financial objectives. The ten-year surrender period was wholly incompatible with the family's stated 2-5 year college funding timeline. Furthermore, under the best interest standard now in effect, Rachel would have been required to act in the consumer's best interest, consider reasonably available alternatives, and not place her own financial interest ahead of the consumer's. Her \$4,650 commission on products that were clearly misaligned with client needs strongly suggests a conflict of interest that was not mitigated.

****SEC Regulation Best Interest (Rule 15l-1):****

As recommendations of securities products to retail customers, both VA sales triggered Reg BI's obligations:

- ***Disclosure Obligation*:** Rachel failed to disclose her commission of \$4,650 or explain the material conflicts of interest arising from the compensation structure.
- ***Care Obligation*:** Rachel was required to exercise reasonable diligence, care, and skill in making the recommendation, including evaluating costs and reasonably available alternatives. Recommending 3.25% all-in annual cost products when the clients could have maintained their existing IRAs with low-cost index funds or target-date funds at a fraction of the expense is a clear failure. Additionally, recommending additional premium payments of \$500/month while the clients carried 19.8% APR credit card debt demonstrates a fundamental failure to consider the client's overall financial picture.
- ***Conflict of Interest Obligation*:** The firm and Rachel were required to establish, maintain, and enforce policies to identify and mitigate conflicts of interest. The commission-driven recommendation with no documentation of alternatives suggests both individual and supervisory failures.

****NY Regulation 187 (for reference on enhanced standards):****

While not directly applicable to Florida residents, NY Reg 187's framework is instructive: it requires that every recommendation be in the best interest of the consumer and that the producer consider the consumer's existing assets, other annuity holdings, liquidity needs, financial situation, and needs. The Reyes fact pattern would be a clear violation under any best-interest framework.

****Academic and GAO Research Context:****

GAO reports and academic studies on VA mis-selling have consistently identified the pattern seen here: recommending variable annuities inside already tax-advantaged accounts (providing no marginal tax benefit while adding layers of fees

and illiquidity), selling to clients with near-term liquidity needs, and failing to consider lower-cost alternatives. These are hallmarks of unsuitable VA sales.

****Specific Violations:****

1. ****Illiquidity mismatch****: Ten-year surrender schedules for clients needing funds within 2-5 years for college and with irregular income.
2. ****No incremental tax benefit****: Rolling tax-deferred IRAs into tax-deferred variable annuities added costs without tax advantages.
3. ****Failure to address debt****: Directing \$500/month into an annuity instead of paying 19.8% credit card debt caused direct, quantifiable financial harm to the clients.
4. ****Excessive and unjustified costs****: 3.25% annual all-in fees when low-cost IRA alternatives were readily available.
5. ****Inadequate documentation****: Notes did not address liquidity needs, college timeline, debt situation, or alternatives considered.
6. ****Failure to disclose compensation****: The \$4,650 commission and associated conflicts were not disclosed to the clients.
7. ****Unsuitable rider****: The enhanced death benefit rider was not analyzed relative to the clients' actual needs and added 0.85% in annual drag.

****Likely Regulatory Outcome:**** Rachel faces potential FINRA sanctions including fines, disgorgement of commissions, suspension, and mandatory restitution. The Florida Department of Financial Services could pursue disciplinary action under the state's annuity sales standards, including license suspension or revocation. The supervising broker-dealer faces liability for failure to implement adequate supervisory procedures, particularly given the obvious red flags (IRA-to-VA rollovers, long surrender periods relative to client age and stated objectives, high-interest debt on the client profile). The firm may be required to rescind the transactions, waive surrender charges, and restore the clients to their prior positions.

Item 165 of 350**NON-COMPLIANT**

Topic: variable_annuity_unsuitable

Difficulty: hard

Source: 24_Variable_Annuities

Fact Pattern

Margaret Kowalski, age 58, is a public high school biology teacher in upstate New York earning \$74,000 per year. She has been contributing to her employer-sponsored 403(b) plan for 22 years and has accumulated \$415,000 across three separate 403(b) accounts--two held in variable annuity contracts with surrender periods that had already expired, and one in a custodial mutual fund account. Margaret also has a small traditional IRA worth \$38,000 and a savings account with \$21,000. She has no debt other than \$42,000 remaining on her mortgage, which she expects to pay off by age 63. Her stated investment objectives are growth and income with moderate risk tolerance, and she plans to retire at age 62.

In February 2022, Margaret attended a retirement planning seminar hosted at her school district by Derek Pallone, a registered representative and licensed insurance agent affiliated with Keystone Financial Partners. During a subsequent one-on-one meeting at a local coffee shop, Derek reviewed Margaret's existing 403(b) accounts and told her that her current variable annuity contracts were 'outdated products with limited investment options' and that she would benefit from consolidating all three 403(b) accounts into a single new variable annuity contract offered through National Prosperity Life Insurance Company.

The new contract--the National Prosperity Horizon Plus VA--carried an annual mortality and expense charge of 1.45%, an administrative fee of 0.15%, underlying sub-account fund expenses averaging 0.92%, and an optional guaranteed minimum income benefit (GMIB) rider costing 1.10% annually. Total all-in annual costs would be approximately 3.62%. The contract also imposed a seven-year declining surrender charge schedule starting at 8% in year one and decreasing by 1% each year. Derek emphasized the value of the GMIB rider, telling Margaret it would 'guarantee her a paycheck for life starting at 62' and that the benefit base would grow at 5% compounded annually regardless of market performance.

Derek did not discuss that Margaret's existing two variable annuity 403(b) contracts already included living benefit riders with similar income guarantees, nor did he mention that one of them had a benefit base that had already grown to \$197,000 through years of deferral credits. He also did not disclose that the custodial mutual fund 403(b) account had a total expense ratio of only 0.41% and no surrender charges. Derek earned a 5.75% commission on the \$415,000 rollover, totaling \$23,862.50, plus a 0.25% annual trail commission.

Margaret signed the paperwork in March 2022. By September 2022, after equity markets declined, Margaret wanted to access \$30,000 for an unexpected home repair and discovered she would owe a \$2,400 surrender penalty (8% on the withdrawal amount) plus potential tax consequences. She also learned that the GMIB rider could not be exercised until the contract had been in force for at least 10 years, meaning she could not access the guaranteed income stream until age 68--six years past her planned retirement date of 62. When Margaret contacted Derek, he said he 'didn't recall discussing her specific retirement timeline in detail' and suggested she delay retirement. Margaret filed a complaint with her state insurance department in November 2022.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Pallone committed multiple violations of applicable suitability and best-interest standards.

****FINRA Rule 2330 - Variable Annuity Suitability:****

FINRA Rule 2330 requires that prior to recommending the purchase or exchange of a variable annuity, a registered representative must have a reasonable basis to believe the transaction is suitable based on the customer's investment profile, including age, income, financial situation, risk tolerance, investment objectives, investment time horizon, existing assets, liquidity needs, and other relevant information. Specifically, Rule 2330(b)(1) requires consideration of whether the customer would benefit from certain features of a variable annuity such as tax-deferred growth, annuitization, or death benefit features. Here, Margaret's assets were already held in tax-advantaged 403(b) accounts, meaning the tax-deferral feature of the new VA provided no incremental benefit. The consolidation into a new product with a seven-year surrender schedule imposed significant liquidity constraints on a client only four years from her planned retirement. The GMIB rider's 10-year waiting period was fundamentally incompatible with Margaret's stated retirement timeline of age 62.

Rule 2330(b)(1)(A) also requires that when an exchange or replacement is recommended, the representative must consider whether the customer would lose existing benefits (such as the accumulated benefit base on her prior living benefit riders), would face new surrender charges, and whether the new product offers materially superior features that justify the costs and loss of existing benefits. Derek failed to disclose or consider that Margaret's existing VA contracts already contained living benefit riders with substantial accrued value, and that one contract's benefit base had grown to \$197,000. The replacement destroyed this accumulated value.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):****

The NAIC Model #275, as amended and adopted by most states, requires that insurance producers act in the best interest of the consumer when recommending an annuity and that the recommendation be based on an evaluation of the consumer's suitability profile including financial situation, insurance needs, financial objectives, and specifically requires consideration of alternatives available to the consumer. The producer must consider the consumer's existing annuity contracts and the benefits therein. Derek's failure to evaluate and disclose the existing riders and their accumulated benefit bases, his failure to compare the cost structures of existing versus proposed products, and his failure to consider that the mutual fund 403(b) account had materially lower expenses all constitute violations of Model 275's care and disclosure requirements.

****New York Regulation 187:****

Because Margaret resides in New York, NY Regulation 187 (11 NYCRR 224) applies. Regulation 187 imposes a best-interest standard on all recommendations of annuity products and life insurance. Under Reg 187, the producer must act in the best interest of the consumer, without placing the producer's financial interest ahead of the consumer's interest. The \$23,862.50 commission generated by consolidating assets that were already suitably invested--including a low-cost custodial account with no surrender charges--into a high-cost VA with a 3.62% annual expense load strongly suggests that Derek's financial interest was the primary motivator. Reg 187 also requires that the producer consider reasonably available alternatives, which Derek did not do.

****Regulation Best Interest (Rule 15l-1):****

Under SEC Regulation Best Interest, a broker-dealer and its associated persons must act in the retail customer's best interest at the time a recommendation is made, without placing the financial or other interest of the broker-dealer ahead of the interest of the retail customer. The Care Obligation under Reg BI requires that the advisor exercise reasonable diligence, care, and skill in making recommendations, including understanding the potential risks, rewards, and costs of the recommendation, and having a reasonable basis to believe the recommendation is in the customer's best interest. The Disclosure Obligation requires full and fair disclosure of material facts relating to conflicts of interest. Derek failed on both: he did not disclose the conflict created by his substantial commission, and the recommendation was not in

Margaret's best interest given (a) the loss of existing living benefit riders, (b) imposition of new surrender charges on a near-retiree, (c) a GMIB exercise date incompatible with her retirement plan, and (d) materially higher ongoing expenses relative to her existing holdings.

****Likely Regulatory Outcome:****

Margaret's complaint to the state insurance department would likely trigger a review under both NY Reg 187 and NAIC Model 275 standards. FINRA enforcement could pursue a Rule 2330 violation, potentially resulting in restitution of commissions, reversal of the transaction (if possible), fines, and potential suspension. The combination of an unsuitable replacement, failure to disclose material facts about existing benefits, cost disparity, liquidity mismatch, and the producer's significant financial incentive creates a strong case for multiple, overlapping violations.

Item 166 of 350

NON-COMPLIANT

Topic: failure_to_know_customer

Difficulty: hard

Source: 24_Variable_Annuities

Fact Pattern

In March 2022, Gerald Whitmore, a 71-year-old retired postal worker in Tacoma, Washington, met with financial advisor Kevin Driscoll at the recommendation of a neighbor. Gerald had recently lost his wife of 48 years and was managing finances alone for the first time. He came to the meeting with a bank statement showing \$410,000 in a money market account, a monthly Social Security benefit of \$2,280, and a small pension of \$1,350 per month. He told Kevin he was nervous about running out of money, that he had no other family aside from a disabled adult son who lived in a group home, and that he wanted to make sure he could continue paying his son's supplemental care costs of approximately \$1,800 per month out of pocket. Gerald had no prior investment experience beyond a savings account and a certificate of deposit he had held in the 1990s. During the initial meeting, which lasted approximately 40 minutes, Kevin asked Gerald to fill out a new account form. Gerald checked the box marked 'moderate growth' for investment objective and wrote 'medium' for risk tolerance, but later told a state investigator he didn't understand what those terms meant and that Kevin told him 'just put moderate, it's what most people pick.' Kevin did not ask about Gerald's monthly expenses, did not inquire about existing insurance coverage, did not ask about his health status or any anticipated medical costs, and did not discuss Gerald's tax bracket or whether he had any existing tax-deferred accounts. Kevin did not document Gerald's liquidity needs or time horizon. Based on this single meeting, Kevin recommended Gerald invest \$370,000 -- roughly 90% of his liquid net worth -- into a variable annuity with a seven-year surrender schedule, carrying a mortality and expense charge of 1.35%, an administrative fee of 0.15%, and underlying subaccount expenses averaging 0.87%. The product included a guaranteed minimum income benefit rider at an additional annual cost of 1.10%, bringing total annual costs to approximately 3.47%. The surrender charges started at 8% in year one and declined by 1% annually. Kevin earned a commission of \$25,900 on the sale. Gerald signed the paperwork the same day. Over the next 18 months, Gerald needed to withdraw \$43,200 to cover his son's supplemental care costs and unexpected home repairs, triggering surrender charges totaling \$2,764. When Gerald called Kevin to ask why his account value was lower than expected, Kevin did not return his calls for three weeks. Gerald eventually filed a complaint with the state insurance department, stating he never understood the product, was never told about surrender charges, and believed he was putting his money into something 'like a CD but better.'

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Driscoll committed multiple serious violations stemming from a fundamental failure to know his customer, compounded by an unsuitable recommendation and inadequate disclosure.

****Failure to Know the Customer / Reasonable Diligence:****

Under FINRA Rule 2330(b)(1), before recommending a variable annuity, a registered representative must make reasonable efforts to obtain, at a minimum, the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, existing insurance holdings, liquidity needs, liquid net worth, risk tolerance, and tax status. Kevin failed to ascertain Gerald's monthly expenses, liquidity needs, health status, tax bracket, existing insurance coverage, or time horizon. The new account form was filled out in a

cursory and misleading fashion, with Kevin effectively directing the client to select 'moderate growth' and 'medium' risk tolerance without explanation. A 71-year-old retiree with no investment experience, dependent care obligations, and no other liquid assets does not have a 'moderate growth' profile simply because a box was checked.

The NAIC Model Regulation 275, as amended in 2020 and adopted or substantially adopted in Washington State, requires that producers collect sufficient consumer profile information -- including financial situation, insurance needs, financial objectives, and existing assets -- to have a reasonable basis for a recommendation. Kevin's 40-minute meeting, during which he failed to gather this critical information, falls far short of the standard.

****Unsuitable Recommendation:****

FINRA Rule 2330(b)(2) requires that a recommended variable annuity transaction be suitable based on the information gathered. Placing 90% of a 71-year-old retiree's liquid assets into a product with a seven-year surrender period, total annual costs of approximately 3.47%, and significant early withdrawal penalties is facially unsuitable for a client with ongoing, predictable liquidity needs (\$1,800/month for dependent care alone), no other liquid reserves, and no investment experience. The NAIC Model Regulation 275 similarly requires that the recommendation be in the consumer's best interest at the time of the transaction, considering the consumer's existing assets, insurance products, financial situation, and needs.

NY Regulation 187, which serves as a benchmark and influenced the NAIC model revisions, explicitly requires that producers act in the best interest of the consumer and that the recommendation be suitable considering the consumer's financial situation, needs, and objectives -- not the producer's compensation interest.

****Reg BI Considerations:****

To the extent this transaction involved a securities-based variable annuity sold through a broker-dealer, SEC Regulation Best Interest (Rule 15l-1) required Kevin to satisfy the Care Obligation by exercising reasonable diligence, care, and skill in making the recommendation, including understanding the risks, costs, and rewards of the product and having a reasonable basis to believe the recommendation was in the customer's best interest. The failure to gather basic financial data, combined with the concentration of nearly all liquid wealth in a single illiquid product, constitutes a clear violation of the Care Obligation. The Disclosure Obligation was also likely violated, as Gerald credibly states he was never informed of surrender charges or the nature of the product.

****Likely Regulatory Outcome:****

Kevin faces potential enforcement action from both FINRA (for violation of Rules 2330 and 2111) and the Washington State Office of the Insurance Commissioner (for violation of the state's annuity best-interest standard derived from the NAIC Model Regulation 275). Likely sanctions include disgorgement of the \$25,900 commission, restitution of surrender charges and excess fees paid by Gerald, a fine, a suspension or bar from the securities industry, and possible revocation of his insurance license. The broker-dealer's supervisory system may also face scrutiny under FINRA Rule 3110 for failing to detect the red flags associated with this transaction -- particularly the high concentration, advanced age, lack of investment experience, and same-day execution without adequate documentation of the customer profile.

Item 167 of 350**NON-COMPLIANT****Topic:** inappropriate_risk_profile**Difficulty:** medium**Source:** 24_Variable_Annuities**Fact Pattern**

In March 2023, financial advisor Derek Holcomb met with Margaret Reeves, a 74-year-old retired school librarian living in Rochester, New York, on a fixed income. Margaret's sole income consisted of \$2,150 per month in Social Security benefits and a small pension of \$850 per month from the local school district. She had \$185,000 in a bank certificate of deposit that had just matured, representing virtually all of her liquid savings. Margaret told Derek that she wanted to keep her money safe, that she could not afford to lose any principal, and that she might need access to the funds within the next two to three years to pay for potential assisted-living costs, as her physician had recently recommended she begin exploring residential care options due to early-stage cognitive decline. She described herself as someone who had never invested in stocks and had always kept her money in CDs and savings accounts. On the new-account form, Derek marked her risk tolerance as 'moderate growth' and her investment time horizon as '10+ years.' He then recommended she invest \$170,000 into a variable annuity issued by a national insurance carrier. The product allocated 65% of the premium to an aggressive small-cap equity sub-account and 20% to an international emerging markets sub-account, with only 15% placed in a stable value option. The annuity carried a seven-year declining surrender charge schedule starting at 8% in the first year, annual mortality and expense risk charges of 1.35%, an administrative fee of \$35 per year, and sub-account management fees averaging 1.10%. Derek also added an optional Guaranteed Minimum Accumulation Benefit rider at an additional annual cost of 0.75%, bringing total annual fees to approximately 3.20%. Within the first fourteen months, the aggressive sub-accounts lost 22% of their value due to a broad equity market correction, reducing Margaret's account value to approximately \$136,000. When Margaret's daughter attempted to withdraw \$40,000 in January 2024 to secure a deposit for an assisted-living facility, the surrender charge of 7% was applied, resulting in a penalty of approximately \$2,800 on the withdrawal. Margaret's daughter filed a complaint with the state insurance department alleging that the annuity was entirely unsuitable for her mother's financial situation and risk profile.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Holcomb committed multiple violations of applicable suitability and best-interest standards.

****FINRA Rule 2330 - Variable Annuity Suitability:**** Rule 2330 requires that, prior to recommending a variable annuity, a registered representative must make reasonable efforts to obtain the customer's age, income, financial situation, investment experience, investment objectives, intended use of the annuity, existing insurance coverage, risk tolerance, tax status, and liquidity needs. Derek obtained much of this information from Margaret but then disregarded it entirely. Rule 2330(b) specifically requires that the representative have a reasonable basis to believe the customer would benefit from certain features of a variable annuity, such as tax-deferred growth, annuitization, or death benefit features. Margaret, at age 74 on a fixed income with no prior equity investing experience and a stated near-term liquidity need, had virtually no use for tax-deferred growth over a 10+ year horizon, and the surrender period directly conflicted with her two-to-three-year liquidity timeline.

****Falsification of Customer Profile:**** Derek marked Margaret's risk tolerance as 'moderate growth' and her time horizon as '10+ years,' directly contradicting her stated preferences for principal preservation and her expressed need for access to funds within two to three years. Misrepresenting customer information on account documents is a serious violation and constitutes a failure to observe high standards of commercial honor under FINRA Rules.

****NY Regulation 187 - Best Interest Standard:**** Because Margaret resides in New York, the transaction is also subject to NY Regulation 187, which requires that any annuity recommendation be in the consumer's best interest at the time of the recommendation. The regulation evaluates the consumer's age, income, existing assets, financial situation, risk tolerance, liquidity needs, and the product's costs relative to reasonably available alternatives. A 74-year-old retiree with early-stage cognitive decline, limited fixed income, no investment experience, and a near-term need for assisted-living funds is a textbook example of a customer for whom a long-surrender-period, high-fee, aggressively allocated variable annuity is not in her best interest. A CD ladder, short-term bond fund, or fixed annuity with a short surrender period and no market risk would have been far more appropriate.

****NAIC Model Regulation 275:**** Under the NAIC Suitability in Annuity Transactions Model Regulation, the producer must have reasonable grounds to believe the annuity is suitable based on the consumer's stated financial situation and needs. The aggressive equity allocation (85% in small-cap and emerging markets sub-accounts) for a conservative, elderly investor with imminent liquidity needs is plainly unsuitable.

****Reg BI (Rule 15l-1):**** If Derek is also acting as a broker-dealer representative, Regulation Best Interest's Care Obligation requires that he exercise reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile and the product's costs and risks. The recommendation fails this standard on every dimension: the costs are excessive relative to the client's modest means, the risk profile is entirely mismatched, and the liquidity restrictions are incompatible with her needs.

****Likely Regulatory Outcome:**** Derek faces potential disciplinary action from FINRA (fine, suspension, or bar), enforcement by the New York Department of Financial Services under Regulation 187, and potential customer arbitration liability for losses, surrender charges, and consequential damages. The falsification of the customer profile elevates the severity of the violation considerably, as it suggests intentional misconduct rather than mere negligence. Margaret would likely prevail in an arbitration claim for compensatory damages representing the difference between her current account value (after losses and surrender charges) and what she would have retained in a suitable, conservative investment.

Item 168 of 350**NON-COMPLIANT****Topic:** inappropriate_risk_profile**Difficulty:** medium**Source:** 24_Variable_Annuities**Fact Pattern**

Margaret Kowalski is a 74-year-old retired elementary school teacher living in Syracuse, New York. She receives \$2,400 per month from her state pension and \$1,850 per month from Social Security, totaling approximately \$51,000 in annual fixed income. Her liquid assets consist of \$185,000 in a credit union savings account, \$40,000 in a 12-month CD, and \$22,000 in a checking account. She has no other investments and owns her home outright. Margaret has no dependents; her husband passed away in 2021. She has been treated for early-stage dementia and her adult daughter, Karen, accompanies her to most financial appointments. Margaret's stated investment objectives, as recorded on her new account form completed in March 2024, are capital preservation and income. Her documented risk tolerance is conservative. She told her advisor, Derek Hollis, that she wanted her money to be safe and accessible in case she needed to move to an assisted-living facility, which her physician had discussed as a possibility within two to three years.

In April 2024, Derek recommended that Margaret liquidate her \$185,000 credit union savings account and invest the full amount into a variable annuity with a seven-year surrender period. The product, issued by Ridgeline Life Insurance Company, carried a mortality and expense risk charge of 1.35%, an administrative fee of 0.15%, and underlying sub-account expenses averaging 0.92%, bringing the total annual cost to approximately 2.42%. The surrender charge schedule began at 7% in year one and declined by 1% per year. The annuity offered a guaranteed minimum death benefit rider at an additional cost of 0.20% annually, and Derek also added a guaranteed lifetime withdrawal benefit rider costing 1.05% per year, bringing the all-in annual cost to roughly 3.67%. Derek allocated 60% of the sub-account investments to an aggressive growth equity fund and 25% to an international equity fund, with only 15% placed in a bond fund. The investment allocation questionnaire in the file, purportedly signed by Margaret, indicated a growth-oriented risk profile, which conflicted with the conservative designation on her new account form completed just one month earlier. Karen later told regulators she was not present at the April meeting and that her mother could not recall signing the questionnaire. Derek earned a commission of \$11,100 on the sale. He did not document any consideration of lower-cost alternatives such as fixed annuities, bank CDs, or Treasury securities, nor did he document why the product's liquidity constraints were appropriate given Margaret's anticipated assisted-living expenses.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hollis violated multiple applicable suitability and best-interest standards in recommending this variable annuity to Margaret Kowalski.

1. ****FINRA Rule 2330 - Variable Annuity Suitability****: Rule 2330 imposes heightened suitability requirements specifically for variable annuity transactions. Before recommending a VA purchase, the registered representative must make reasonable efforts to obtain the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, investment time horizon, existing assets, liquidity needs, liquid net worth, risk tolerance, and tax status. Derek obtained much of this information on the new account

form, which clearly indicated Margaret was 74 years old, conservative, seeking capital preservation, and potentially facing significant near-term liquidity needs for assisted-living care. Despite all of this, he recommended a product with a seven-year surrender period, high annual expenses (approximately 3.67% all-in), and an aggressive equity-heavy sub-account allocation. Rule 2330(b) requires a principal to review and determine whether the customer has been informed of the product's features, including surrender charges and fees, and that the transaction is suitable. The conflicting risk profiles on documents completed one month apart--conservative on the new account form versus growth-oriented on the VA allocation questionnaire--should have triggered principal scrutiny and likely rejection of the transaction.

2. ****NAIC Model Regulation 275 (Suitability in Annuity Transactions)**:** As revised in 2020 and adopted in most states, Model 275 requires that a recommendation to purchase an annuity must be in the consumer's best interest at the time of the transaction. The producer must consider the consumer's age, financial situation, insurance needs, existing assets, liquidity needs, and stated objectives. Margaret's profile--advanced age, conservative tolerance, near-term liquidity needs for potential institutional care, early-stage dementia, and reliance on fixed income--makes a long-surrender-period variable annuity with aggressive sub-account allocations fundamentally unsuitable. Model 275 also requires that the producer consider reasonably available alternatives and document the basis for the recommendation. Derek failed to document any consideration of fixed annuities, short-term CDs, Treasury securities, or other products that would have preserved capital and liquidity.

3. ****New York Regulation 187**:** Because Margaret resides in New York, Regulation 187 applies. This regulation requires that annuity recommendations be in the best interest of the consumer, evaluated based on the consumer's financial situation, needs, and objectives, and not based primarily on the producer's compensation. The \$11,100 commission, combined with the absence of any documented rationale for why the VA was superior to lower-cost, more liquid alternatives, strongly suggests compensation was a motivating factor. Regulation 187 also prohibits recommendations where there is no reasonable basis to believe the consumer would benefit from certain features, such as tax deferral. Margaret, already in a low tax bracket in retirement, derived little benefit from tax deferral, particularly given the high annual cost drag.

4. ****Regulation Best Interest (Rule 15l-1)**:** If Derek is also a registered representative of a broker-dealer, Reg BI's Care Obligation requires that he exercise reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile and the product's risks, rewards, and costs. A 3.67% annual cost structure applied to a 74-year-old conservative investor with imminent liquidity needs and cognitive decline does not satisfy this standard. The Disclosure Obligation requires full and fair disclosure of material facts, including conflicts of interest created by the commission. The Conflict of Interest Obligation requires policies and procedures to mitigate financial incentives that could lead to recommendations not in the customer's interest.

****Additional concerns**:** The conflicting risk profile documents raise potential supervisory and documentation integrity issues. The change from conservative to growth-oriented within one month, combined with Karen's statement that Margaret could not recall signing the questionnaire and that Karen was not present, suggests the allocation questionnaire may not reflect Margaret's actual preferences. Margaret's early-stage dementia also raises questions about her capacity to consent to this transaction.

****Likely regulatory outcome**:** Derek faces potential enforcement action from FINRA for violations of Rule 2330 and the general suitability rule (Rule 2111), as well as from the New York Department of Financial Services for violations of Regulation 187. Potential sanctions include fines, disgorgement of the \$11,100 commission, restitution to make Margaret whole (including surrender charges if she needs to liquidate), suspension or bar from the industry, and enhanced supervisory requirements for his firm. The firm's principal who approved the transaction may also face supervisory liability under Rule 2330(c) for failing to identify the red flags in the conflicting documentation and customer profile.

Item 169 of 350**NON-COMPLIANT****Topic:** senior_investor_exploitation**Difficulty:** hard**Source:** 24_Variable_Annuities**Fact Pattern**

Margaret Dunleavy, age 81, is a retired schoolteacher living in Syracuse, New York. She has a fixed monthly income of \$2,400 from Social Security and a small pension of \$1,100 per month. Her total liquid assets consist of \$310,000 in a bank certificate of deposit ladder maturing over the next two years and \$45,000 in a savings account she keeps for emergencies and medical co-pays. She owns her home free and clear, valued at approximately \$185,000. Margaret has been diagnosed with early-stage Parkinson's disease and her neurologist has advised that she may need assisted living care within three to five years, with projected annual costs of \$78,000 in her area. She has no long-term care insurance. Margaret's documented risk tolerance, recorded in prior account opening paperwork from 2019, is "conservative," and her investment objectives are listed as "preservation of capital and income." She has no prior experience with variable annuities, options, or equity investments beyond a small position in a balanced mutual fund she sold in 2017.

In March 2024, financial advisor Derek Hollis, who holds insurance and securities licenses, contacted Margaret after obtaining her name from a list of CD holders at a local bank branch where he maintains a referral arrangement. During a single in-home meeting lasting approximately 90 minutes, Derek recommended that Margaret liquidate \$275,000 of her maturing CDs and invest the proceeds into a variable annuity contract issued by a national insurance carrier. The product selected was the "Pinnacle Growth Plus VA," which featured a seven-year surrender schedule with declining charges starting at 7.5% in year one. The contract included a Guaranteed Minimum Income Benefit (GMIB) rider at an additional annual cost of 1.15% of the benefit base, on top of a mortality and expense charge of 1.30% and average underlying subaccount expenses of 0.87%, bringing total annual costs to approximately 3.32%. Derek allocated the subaccounts as follows: 40% to an S&P 500 index fund, 30% to a mid-cap growth fund, 20% to an international equity fund, and 10% to a high-yield bond fund -- an allocation carrying moderate-to-aggressive equity risk.

Derek documented on the application that Margaret's investment objective was "growth and income" and her risk tolerance was "moderate," which differed from the records on file at the firm from 2019. He also noted on the application that Margaret's liquid net worth was \$500,000, a figure significantly higher than her actual liquid assets. Derek did not discuss the surrender charges in detail, did not inquire about Margaret's health condition or potential future liquidity needs, and did not present any alternative products such as a fixed annuity, a single-premium immediate annuity, or a short-term bond fund. Margaret's daughter, who holds power of attorney, was not present at the meeting and was not informed of the transaction. Derek received a commission of \$16,500 (6% of the premium) on the sale.

Six months later, in September 2024, Margaret's Parkinson's symptoms progressed faster than expected and her family began seeking assisted living placement. When her daughter attempted to withdraw funds from the annuity to pay a \$12,000 facility deposit and first month's rent, she discovered the surrender charge would be approximately \$19,688 on a \$275,000 withdrawal, and that the account value had declined to \$261,400 due to equity market volatility and the cumulative effect of fees. Margaret's daughter filed a complaint with the state insurance department and the advisor's broker-dealer.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hollis committed multiple serious violations across overlapping regulatory frameworks.

****FINRA Rule 2330 -- Variable Annuity Suitability:**** Rule 2330 imposes heightened suitability obligations for VA recommendations, requiring the registered representative to have a reasonable basis to believe the transaction is suitable based on the customer's age, annual income, financial situation, investment experience, investment objectives, intended use of the annuity, existing insurance holdings, liquidity needs, liquid net worth, risk tolerance, and tax status. Derek failed virtually every element. Margaret was 81, in declining health, had conservative risk tolerance, limited income, no VA experience, and an imminent need for liquidity to fund assisted living. A seven-year surrender-charge product with aggressive equity subaccount allocations was facially unsuitable. Rule 2330(b)(1)(A) also requires a principal to review and approve VA transactions before transmittal, and the firm's supervisory system should have flagged the discrepancy between the 2019 account records (conservative/capital preservation) and the new application (moderate/growth and income).

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** Under the revised Model 275, which incorporates a best-interest standard for annuity recommendations, the producer must act in the consumer's best interest at the time of recommendation, exercise reasonable diligence and care, and ensure the recommendation is suitable considering the consumer's age, liquidity needs, financial situation, and existing coverage. The producer must not place his financial interest ahead of the consumer's interest. Derek's \$16,500 commission created a significant financial incentive that he failed to mitigate. He did not consider or present reasonably available alternatives (fixed annuities, SPIAs, or non-annuity products), violating the care obligation component. He also inflated Margaret's liquid net worth on the application to \$500,000 -- a misrepresentation that could constitute fraud and a separate violation of the duty to gather accurate consumer profile information under Model 275 § 6A.

****New York Regulation 187:**** Because Margaret resides in New York, Regulation 187 applies with full force. It requires that the recommendation be in the best interest of the consumer based on an evaluation of the consumer's suitability information, that the producer consider reasonably available alternatives, and that compensation not be a material factor in the recommendation. Regulation 187 § 224.4(d) specifically requires documentation of the basis for the recommendation. Derek's documentation was falsified, his failure to discuss alternatives was a direct violation, and the outsized commission on an unsuitable product to a vulnerable senior demonstrates that compensation was a primary driver.

****Reg BI (Rule 15l-1 under the Securities Exchange Act):**** Because this involved a securities transaction (variable annuity) recommended by a broker-dealer-associated person, Regulation Best Interest applies. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in making the recommendation, consider reasonably available alternatives, and consider costs. Derek recommended the most expensive and illiquid option without considering alternatives. The Disclosure Obligation requires disclosure of material facts about the recommendation, including costs and conflicts; Derek failed to explain surrender charges. The Compliance Obligation requires the firm to have policies to identify and mitigate conflicts such as compensation-driven recommendations.

****Additional Violations:****

- Falsification of customer records (inflating net worth, changing risk tolerance and objectives without basis) violates FINRA Rules 4511 and 2010 (standards of commercial honor and just and equitable principles of trade).
- Potential elder financial exploitation under New York's elder abuse statutes and FINRA Rule 2165.
- The firm's supervisory system likely failed under FINRA Rule 3110 for not catching red flags: an 81-year-old, discrepant suitability records, and a large illiquid product sale.

****Likely Regulatory Outcome:**** Derek faces potential sanctions including fines, disgorgement of the \$16,500 commission, suspension or bar from the securities industry, and revocation of his insurance license. The broker-dealer

faces supervisory failure charges. Margaret would likely recover her losses, surrender charges, and potentially consequential damages through arbitration or the state insurance department complaint process. The state insurance department may also pursue the insurer for inadequate producer oversight under Model 275's insurer supervision requirements.

Item 170 of 350**NON-COMPLIANT**

Topic: complex_products_unsophisticated_investor

Difficulty: medium

Source: 24_Variable_Annuities

Fact Pattern

Margaret Kowalski, age 72, is a retired elementary school cafeteria worker living in Syracuse, New York. She has a monthly Social Security income of \$1,640 and a small pension of \$480 per month. Her total liquid savings consist of \$127,000 in a bank certificate of deposit and \$18,000 in a savings account. She has no other investments, no prior experience with securities, and has never owned an annuity or mutual fund. She did not finish high school and has told multiple people at her church that she finds financial paperwork confusing and relies on her niece to help her pay bills online.

In March 2023, Margaret met advisor Dennis Hargrove at a free dinner seminar at a local restaurant advertised as 'Retirement Income Protection Strategies.' During the seminar, Dennis described how retirees could 'grow their money while protecting against market downturns.' Margaret signed an attendance card with her phone number. Dennis called her two days later and scheduled a meeting at her kitchen table.

At the meeting, Dennis collected basic information: her age, income, the CD balance, and her savings account. Margaret stated she wanted to keep her money safe and accessible in case she needed it for medical expenses, as she had recently been diagnosed with early-stage chronic kidney disease and anticipated future out-of-pocket costs. She mentioned she had no family members who depended on her financially.

Despite these stated objectives, Dennis recommended Margaret liquidate her \$127,000 CD -- which still had 14 months remaining and would incur a \$1,900 early withdrawal penalty -- and invest the proceeds into a variable annuity with a guaranteed minimum income benefit rider. The product, the Pinnacle Growth & Income VA, carried a mortality and expense charge of 1.35%, an administrative fee of 0.15%, underlying sub-account expenses averaging 0.87%, and the income rider fee of 1.10%, bringing total annual costs to approximately 3.47%. The product had a seven-year surrender charge schedule beginning at 7% in year one and declining by 1% per year. The minimum holding period before penalty-free income rider activation was also seven years.

Dennis documented Margaret's risk tolerance as 'moderate growth' on the new account form, despite her repeated verbal statements about wanting safety and access to her funds. He selected an aggressive sub-account allocation: 60% in a small-cap growth fund, 25% in an international equity fund, and 15% in a high-yield bond fund. He did not discuss lower-cost alternatives such as fixed annuities, immediate annuities, or simply renewing the CD. He earned a 5.75% commission on the sale, totaling approximately \$7,302.

Twelve months later, Margaret needed \$22,000 for a kidney-related surgical procedure not fully covered by Medicare. When she attempted to withdraw the funds, she was informed she would owe a 6% surrender charge (\$1,320 on the withdrawal) plus the amount had declined in value by approximately 9% due to the aggressive sub-account allocation and market volatility. Her account value had fallen to roughly \$115,400. Margaret filed a complaint with the New York Department of Financial Services and a written grievance with Dennis's broker-dealer.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, the financial advisor violated multiple suitability and best-interest standards applicable to this transaction.

****FINRA Rule 2330 -- Variable Annuity Suitability:**** Under FINRA Rule 2330, before recommending the purchase of a variable annuity, a registered representative must make reasonable efforts to obtain the customer's financial status, tax status, investment objectives, and other relevant information. The representative must then have a reasonable basis to believe that (a) the customer has been informed of the features of variable annuities, including surrender charges, potential tax penalties, mortality and expense charges, and market risk; (b) the customer would benefit from certain features of a variable annuity such as tax-deferred growth, annuitization, or a death benefit; and (c) the specific variable annuity as a whole, including its riders and sub-accounts, is suitable.

Here, Margaret was a 72-year-old unsophisticated investor with no securities experience, limited income, a known near-term medical need for liquidity, and expressly stated objectives of safety and accessibility. A variable annuity with a seven-year surrender period, aggressive equity sub-account allocation, and total annual expenses of 3.47% was clearly unsuitable. She had no need for tax-deferred growth (the CD was already generating modest taxable interest, and at her income level, the tax benefit was negligible). The death benefit rider was irrelevant because she had no dependents. The income rider could not be activated for seven years, well beyond her stated liquidity horizon.

****NAIC Model Regulation 275 -- Suitability in Annuity Transactions:**** Under the revised NAIC Model Regulation 275, an insurance producer must act in the consumer's best interest when recommending an annuity. This includes consideration of the consumer's existing assets, financial situation, insurance needs, investment objectives, risk tolerance, liquidity needs, and time horizon. A recommendation must reflect the care, skill, prudence, and diligence that a prudent person acting in a like capacity would exercise. The producer must not place the producer's financial interest ahead of the consumer's interest.

Dennis placed his own financial interest -- a \$7,302 commission -- ahead of Margaret's clearly expressed need for safety and liquidity. He failed to consider reasonable alternatives. He misrepresented her risk tolerance on the application as 'moderate growth' when she explicitly expressed a conservative, capital-preservation objective. This constitutes a documentation falsification issue in addition to the suitability failure.

****New York Regulation 187 -- Best Interest Standard:**** Because this transaction occurred in New York after August 1, 2019, NY Reg 187 applies. Under Reg 187, the recommendation must be in the best interest of the consumer, considering the consumer's financial situation, insurance needs, and financial objectives, without placing the producer's or insurer's interests ahead of the consumer's. The regulation requires evaluation of reasonable alternatives and imposes obligations on the insurer to establish and maintain a supervision system.

The recommendation fails the Reg 187 best-interest standard on multiple grounds: (1) the product's surrender schedule and illiquidity were fundamentally incompatible with Margaret's known medical expenses and liquidity needs; (2) the aggressive sub-account allocation was inconsistent with her conservative risk tolerance; (3) the total cost drag of 3.47% annually was excessive relative to any benefit Margaret could derive; (4) no alternatives were presented, including a fixed annuity or simply renewing her CD; (5) the advisor caused an unnecessary \$1,900 early CD withdrawal penalty.

****Likely Regulatory Outcome:**** The broker-dealer's supervisory system should have flagged this transaction under its principal review obligations (FINRA Rule 2330(c) requires a registered principal to review VA transactions before transmittal). The facts suggest inadequate supervision. Dennis is likely to face disciplinary action including potential fines, disgorgement of the commission, suspension, or bar. The broker-dealer faces potential liability for failure to supervise. The New York DFS complaint may result in additional state-level enforcement, including potential revocation of Dennis's insurance license. Margaret is likely entitled to rescission or compensatory damages restoring her to the pre-transaction position, including recovery of the CD early withdrawal penalty, surrender charges, investment losses

attributable to the unsuitable allocation, and potentially consequential damages related to her inability to access funds for medical treatment.

Item 171 of 350

NON-COMPLIANT

Topic: tax_deferred_unnecessary_annuity

Difficulty: medium

Source: 24_Variable_Annuities

Fact Pattern

In March 2023, financial advisor Derek Simmons met with Patricia Aldridge, a 58-year-old high school principal earning \$112,000 annually. Patricia had accumulated \$340,000 in her 403(b) retirement plan through her school district and held an additional \$185,000 in a traditional IRA rolled over from a previous employer's 401(k). She also had \$47,000 in a taxable brokerage account invested in a balanced mutual fund and \$22,000 in a savings account. Patricia described herself as a moderate-risk investor whose primary objective was retirement income starting at age 65. She had no dependents, owned her home outright, and had no significant debts. During their meeting, Derek recommended that Patricia move \$160,000 from her traditional IRA into a variable annuity issued by National Protective Life Insurance Company. The product, called the "Horizon Growth Plus VA," carried a 7-year surrender period with declining surrender charges starting at 7% in year one, an annual mortality and expense risk charge of 1.35%, an administrative fee of 0.15% annually, and underlying subaccount expense ratios averaging 0.82%. Derek also recommended adding a guaranteed minimum income benefit rider at an additional annual cost of 0.95%, bringing total annual fees and charges to approximately 3.27%. Derek told Patricia that the variable annuity would give her "tax-deferred growth" on her retirement savings and that the income rider would protect her future retirement paycheck. He did not discuss the fact that Patricia's IRA already provided tax-deferred growth. He did not compare the total cost of the variable annuity against lower-cost alternatives within the IRA, such as a diversified portfolio of index funds or a fixed indexed annuity without the layered fee structure. Derek earned a \$9,600 commission on the sale. Patricia signed the application and the funds were transferred. Fourteen months later, Patricia's account value had grown only marginally to \$163,200 despite favorable equity markets, largely because the 3.27% annual fee drag offset most of the subaccount investment gains. When Patricia consulted another advisor for a second opinion, she learned that her IRA had already provided the same tax-deferral benefit and that comparable low-cost index fund portfolios inside her IRA would have generated significantly better net returns.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Simmons likely violated multiple applicable standards governing the sale of variable annuities.

****FINRA Rule 2330 -- Variable Annuity Suitability:**** Under Rule 2330, a registered representative must have a reasonable basis to believe that a variable annuity transaction is suitable for a particular customer. Critically, Rule 2330(b)(1)(A) requires the advisor to consider, among other factors, whether the customer would benefit from certain features of a variable annuity, such as tax-deferred growth, that are not available through other products. Here, Patricia's \$160,000 was already held inside a traditional IRA -- an account that inherently provides tax-deferred growth under the Internal Revenue Code. Placing tax-deferred money into a variable annuity provides no incremental tax-deferral benefit. The only result is the addition of a costly insurance wrapper (totaling approximately 3.27% annually) on top of the underlying investments. This is a textbook example of 'layering' unnecessary tax deferral, which FINRA and state insurance regulators have repeatedly identified as a red flag for unsuitable sales.

****NAIC Model Regulation 275:**** Under the NAIC Suitability in Annuity Transactions Model Regulation (Model 275), an insurance producer must have a reasonable basis to believe that an annuity recommendation is suitable based on the consumer's financial situation, insurance needs, and objectives. The regulation also imposes a best-interest standard in states that have adopted the amended version. Derek failed to establish that the insurance features -- specifically the guaranteed minimum income benefit rider -- justified the substantial additional cost when Patricia could have obtained similar downside protection or income planning strategies through lower-cost alternatives within her existing IRA. The GMIB rider alone cost 0.95% per year, and Derek did not document or demonstrate any analysis showing that the rider's benefits exceeded the drag on Patricia's retirement accumulation.

****New York Regulation 187 (if applicable):**** If Patricia resided in New York, Regulation 187 imposes an explicit best-interest standard on annuity recommendations. The regulation requires that the recommendation be in the consumer's best interest at the time of the transaction, considering reasonably available alternatives. Derek's failure to compare the VA to lower-cost IRA investment options, and his failure to disclose that the IRA already provided tax deferral, would constitute a clear violation.

****SEC Regulation Best Interest (Rule 15l-1):**** As a registered representative of a broker-dealer, Derek was also subject to Reg BI's care obligation, which requires that the advisor exercise reasonable diligence, care, and skill in making a recommendation, including evaluating reasonably available alternatives. Recommending a high-cost variable annuity to hold assets that are already tax-deferred, without any documented analysis of alternatives or cost comparison, fails this standard. Additionally, the \$9,600 commission creates a material conflict of interest that should have been mitigated under Reg BI's conflict-of-interest obligation, and there is no indication Derek disclosed or mitigated this conflict.

****Key Deficiencies:**** (1) No incremental tax-deferral benefit since funds were already in a traditional IRA; (2) No documented cost-benefit analysis comparing the VA to lower-cost IRA investment alternatives; (3) Failure to explain that the primary stated benefit -- tax-deferred growth -- was redundant; (4) High total expense ratio of 3.27% significantly eroded investment returns; (5) A 7-year surrender period restricted Patricia's liquidity during the years leading up to her target retirement age of 65; (6) Substantial commission creating an undisclosed or unmitigated conflict.

****Likely Regulatory Outcome:**** Derek's firm and supervising principal could face FINRA enforcement action for failure to supervise and for an unsuitable variable annuity recommendation. State insurance department action is also possible. Remedies could include disgorgement of commissions, restitution to Patricia for excess fees and surrender charges, fines, a letter of caution or censure, and enhanced supervisory requirements. In egregious or repeat scenarios, suspension or bar from the industry is possible.

Item 172 of 350**NON-COMPLIANT****Topic:** inappropriate_risk_profile**Difficulty:** hard**Source:** 24_Variable_Annuities**Fact Pattern**

Gerald Whitmore, age 74, is a retired postal worker living in Binghamton, New York, with a fixed pension of \$2,800 per month and Social Security income of \$1,950 per month. His total liquid savings consist of \$310,000 in a bank certificate of deposit and \$85,000 in a money market account. He owns his home outright, valued at approximately \$185,000, and has no outstanding debts. Gerald has never owned equities, mutual funds, or any market-linked investment product. On his new account form completed in March 2022, he checked 'conservative' for risk tolerance, listed 'capital preservation and income' as his investment objectives, and indicated a time horizon of 'less than five years.' He told his advisor, Denise Carrollton, that his primary concern was making sure his savings lasted through retirement and that he could access funds if needed for potential assisted-living costs, as his wife had recently been diagnosed with early-stage dementia. In April 2022, Denise recommended that Gerald liquidate both the CD (incurring an early withdrawal penalty of \$4,200) and the money market account and invest the combined \$390,800 into two variable annuity contracts. The first was a variable annuity with a guaranteed minimum income benefit rider allocated 70% to an aggressive growth sub-account and 30% to an international equity sub-account, with total annual expenses of 3.45% including the rider charge, mortality and expense fees, and sub-account management fees. The surrender period was eight years with a declining surrender charge starting at 8%. The second was a similar variable annuity from a different carrier, allocated 60% to a small-cap growth sub-account and 40% to a mid-cap value sub-account, carrying total annual expenses of 3.10% and a seven-year surrender schedule beginning at 7%. Neither contract included a fixed or bond sub-account allocation. Denise earned a total upfront commission of \$27,310 across both contracts. She documented on her recommendation form that Gerald had a 'moderate-aggressive' risk profile and a 'long-term growth' objective, directly contradicting the information Gerald had provided on his new account form. Gerald's branch manager approved the transactions the same day without requesting clarification on the discrepancy between the customer profile documents. Within fourteen months, the aggressive sub-account allocations declined roughly 22% in value due to equity market volatility, and Gerald's wife required placement in a memory care facility costing \$7,500 per month. When Gerald attempted to withdraw funds, he was assessed surrender charges totaling \$24,680 across the two contracts, reducing the accessible value of his life savings significantly. Gerald filed a complaint with his state insurance department in August 2023.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Denise Carrollton committed multiple serious violations of applicable suitability and best-interest standards.

1. ****FINRA Rule 2330 (Variable Annuity Suitability):**** Rule 2330 requires that before recommending a variable annuity purchase, a registered representative must have a reasonable basis to believe the transaction is suitable based on the customer's age, income, financial situation, investment objectives, risk tolerance, time horizon, liquidity needs, and other relevant factors. Gerald was 74 years old, had a conservative risk tolerance, a short time horizon, explicit capital preservation objectives, and an imminent need for liquidity due to his wife's dementia diagnosis. Recommending that he place virtually 100% of his liquid net worth into two variable annuities with aggressive equity sub-account allocations,

combined annual expenses exceeding 3%, and lengthy surrender periods of seven and eight years was fundamentally unsuitable. The product features -- long surrender periods, high fees, and aggressive equity exposure -- were antithetical to every stated customer need.

2. ****Falsification of Customer Profile:**** Denise documented Gerald as having a 'moderate-aggressive' risk profile and 'long-term growth' objective on the recommendation form, directly contradicting the 'conservative' risk tolerance and 'capital preservation and income' objectives Gerald recorded on his own new account form. This constitutes a falsification of books and records and is a serious violation in its own right, potentially implicating Exchange Act Section 17(a) and FINRA Rules 4511 and 2010 (standards of commercial honor).

3. ****NY Regulation 187 (Best Interest Standard):**** Because Gerald resides in New York, the transaction is subject to NY Regulation 187, which requires that annuity recommendations be in the consumer's best interest at the time of the recommendation, considering the consumer's age, financial situation, insurance needs, objectives, and other relevant suitability information. The regulation also prohibits placing the producer's financial interest ahead of the consumer's. Denise earned \$27,310 in commissions by concentrating Gerald's entire liquid net worth in products that were wholly inconsistent with his documented profile and needs. This is a textbook violation of the producer's best-interest obligation under Regulation 187.

4. ****NAIC Model Regulation 275:**** Model 275 establishes that an insurance producer must have reasonable grounds for believing a recommendation is suitable based on facts disclosed by the consumer concerning investments, insurance products, financial situation, and needs. The recommendation here fails every element of the suitability framework -- unsuitable risk level, unsuitable time horizon, unsuitable liquidity characteristics, and unsuitable concentration.

5. ****Reg BI (Rule 15l-1) -- Care Obligation:**** Under Regulation Best Interest's Care Obligation, a broker-dealer and associated person must exercise reasonable diligence, care, and skill to understand the recommended product and have a reasonable basis to believe the recommendation is in the customer's best interest without placing the financial interest of the broker-dealer ahead of the customer's interest. The 100% aggressive equity allocation in products with punitive surrender charges for a 74-year-old conservative investor with pressing liquidity needs fails the Care Obligation. Additionally, the cost component -- annual expenses of 3.10%-3.45% -- further undermines any best-interest analysis.

6. ****Supervisory Failures:**** The branch manager's same-day approval despite an obvious discrepancy between the new account form and the recommendation form constitutes a supervisory failure under FINRA Rules 3110 and 2330(c), which specifically require a registered principal to review variable annuity transactions and consider whether the recommendation is suitable.

****Likely Regulatory Outcome:**** Denise faces potential sanctions including fines, disgorgement of commissions, suspension or bar from the securities industry, and revocation of her insurance license. The firm faces liability for supervisory failures. Gerald would likely be entitled to rescission or compensatory damages in arbitration or through the state insurance department complaint process. The falsification of customer documents could also trigger criminal referral depending on the jurisdiction.

Item 173 of 350**NON-COMPLIANT****Topic:** annuity_unnecessary_switching**Difficulty:** hard**Source:** 24_Variable_Annuities**Fact Pattern**

Margaret Olsen, age 61, is a retired school principal in Columbus, Ohio, with a \$420,000 traditional IRA, a \$95,000 savings account, and a monthly pension of \$4,200. She describes herself as moderately conservative and her primary investment objective is capital preservation with modest growth to supplement her pension through retirement. In March 2022, Margaret's financial advisor, Derek Hannon, recommended she purchase a variable annuity (Product A) from National Horizon Life, investing \$300,000 of her IRA assets. Product A carried a 7-year surrender schedule starting at 7% and declining annually, an annual mortality and expense charge of 1.35%, administrative fees of 0.15%, and average underlying subaccount expenses of 0.82%. Margaret also elected, on Derek's recommendation, a guaranteed minimum income benefit rider costing an additional 0.95% annually. Total all-in annual cost was approximately 3.27%. Margaret began taking systematic withdrawals of \$1,200 per month in September 2022 to cover property taxes and supplemental living expenses.

In June 2024--only 27 months into the surrender period--Derek contacted Margaret and told her that a newer variable annuity product (Product B) from Pinnacle Assurance Corp. offered 'significantly better investment options and a stronger income guarantee.' He recommended she surrender Product A and purchase Product B with the proceeds. Product B carried a new 8-year surrender schedule beginning at 8%, mortality and expense charges of 1.40%, administrative fees of 0.15%, subaccount expenses averaging 0.79%, and a guaranteed lifetime withdrawal benefit rider at 1.05% annually--total all-in cost of approximately 3.39%. The surrender of Product A triggered a 5% surrender charge on the \$287,400 account value, resulting in a \$14,370 penalty paid by Margaret. Derek's notes in the file stated the switch was justified because Product B's lifetime withdrawal benefit rider had a 5.5% rollup rate on the benefit base compared to Product A's 5.0% rollup rate, and Product B offered two additional equity subaccount choices.

Margaret's account at Pinnacle opened at approximately \$273,030 after the surrender penalty. Over the next 12 months, Product B's subaccounts performed comparably to Product A's prior subaccount selections, and Margaret continued her \$1,200 monthly withdrawals. By June 2025, her account value in Product B was approximately \$254,600. Derek earned a commission of \$7,800 on the original Product A sale and \$6,830 on the Product B sale. Margaret later learned from a different advisor that the marginal improvement in the rollup rate would have added an estimated \$38 per month to her guaranteed income at age 70 under Product B versus Product A--a difference that would take over 31 years of withdrawals to recoup the \$14,370 surrender charge she paid, not accounting for the new surrender period or slightly higher ongoing fees. Margaret also was not informed that Product A's issuer had been planning to offer a rider upgrade at no cost to existing contract holders, which would have increased her rollup rate to 5.25% without any surrender charge or new surrender period. Derek did not document any comparison of this upcoming rider enhancement, nor did he document a quantified cost-benefit analysis of the switch. His branch manager approved the transaction after a cursory review of Derek's recommendation memo, which contained only qualitative statements about Product B's 'superior features.'

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hannon violated applicable suitability and best-interest standards in multiple respects.

1. **FINRA Rule 2330 - Variable Annuity Suitability and Exchanges:** FINRA Rule 2330(b) imposes heightened suitability requirements for recommended VA exchanges or replacements. Before recommending that a customer exchange one VA for another, the registered representative must consider, among other things: (a) whether the customer would incur a surrender charge on the existing VA; (b) whether the customer would lose existing benefits; (c) whether the customer would be subject to a new surrender period; (d) whether the replacement product offers materially different features; and (e) whether the customer has had another exchange within the preceding 36 months. Here, Margaret incurred a \$14,370 surrender charge (5% of \$287,400), was locked into a new 8-year surrender schedule at 8%, and the purported benefit--a 0.5% improvement in the income rollup rate--yielded a negligible incremental income benefit of approximately \$38/month at age 70, which would take over 31 years to offset the surrender penalty alone. Derek failed to perform or document any quantified comparison of costs versus benefits of the exchange, as required under the rule.

2. **NAIC Model Regulation 275 (Suitability in Annuity Transactions Model Regulation):** The revised NAIC Model, adopted across most states, requires that a recommendation to exchange or replace an annuity must be in the consumer's best interest. The producer must consider the totality of the consumer's circumstances, including costs, benefits, and material features of the existing product versus the recommended product. Specifically, Model Section 6(B) requires documentation of the reasons the replacement is in the consumer's best interest, including a comparison of benefits, costs, surrender charges, and product features. Derek's recommendation memo contained only qualitative assertions without quantitative analysis. He also failed to investigate or disclose that Product A's issuer was planning a no-cost rider upgrade that would have narrowed the rollup-rate differential to only 0.25% without incurring any surrender charge or new surrender period. The Model further requires the insurer's supervisory system to meaningfully review replacement transactions. The branch manager's cursory approval of the transaction without verifying a cost-benefit analysis represents a failure of supervisory oversight under Section 6(D) of the Model.

3. **Regulation Best Interest (SEC Rule 15l-1):** Under Reg BI's Care Obligation (Rule 15l-1(a)(2)(ii)(B)), a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill when making a recommendation, considering the costs and reasonably available alternatives. They must have a reasonable basis to believe the recommendation is in the retail customer's best interest and does not place the financial professional's interest ahead of the customer's. Derek earned \$6,830 in new commission on the replacement while Margaret suffered a \$14,370 surrender penalty and higher ongoing annual expenses (3.39% vs. 3.27%). The marginal benefit was negligible relative to the quantifiable costs. Under the Conflict of Interest Obligation (Rule 15l-1(a)(2)(iv)), the firm must identify and disclose or mitigate conflicts of interest, including compensation-driven incentives. The commission structure here created an obvious incentive for the switch that was not mitigated.

4. **New York Regulation 187:** Although Margaret resides in Ohio, NY Reg 187 is instructive as the gold standard for annuity best-interest conduct. It requires that the recommendation be in the best interest of the consumer at the time of the transaction, with documentation of a comparative analysis and consideration of all reasonably available alternatives, including retention of the existing product. Derek's conduct would clearly fail Reg 187's requirements as well.

Likely Regulatory Outcome: Derek and his firm face potential FINRA enforcement action for violations of Rule 2330, including fines, disgorgement of commissions, restitution to Margaret for the surrender charge and excess fees, and potential suspension. The state insurance department may pursue action against Derek's insurance license under the adopted version of NAIC Model 275 for failure to act in the consumer's best interest and failure to document a reasonable basis for the replacement. The firm's supervisory system may also face separate sanctions for inadequate review of the exchange transaction. Academic studies and GAO reports on VA mis-selling have consistently identified unnecessary switching--sometimes called 'churning'--as one of the most harmful practices in the VA marketplace,

particularly when the primary beneficiary of the exchange is the producing agent's commission rather than the consumer.

Item 174 of 350**NON-COMPLIANT****Topic:** senior_investor_exploitation**Difficulty:** medium**Source:** 24_Variable_Annuities**Fact Pattern**

Margaret Evanston, age 81, is a retired elementary school teacher living in Rochester, New York, on a fixed income of approximately \$2,400 per month from Social Security and a small defined-benefit pension. Her total liquid assets consist of \$285,000 in a bank money market account and a \$40,000 certificate of deposit maturing in six months. She has no other investments, no outstanding debts, and owns her home outright. Margaret's late husband handled most financial decisions, and she has very limited investment experience. She has been diagnosed with early-stage dementia, a fact she disclosed to her financial advisor, Kevin Tramell, during their first meeting in March 2023. Margaret told Kevin that her primary goals were preserving her savings so she could pay for potential assisted-living expenses in the next two to three years and leaving whatever remained to her two grandchildren. She described herself as very conservative and said she could not afford to lose any principal. Kevin, who had been a licensed insurance agent and registered representative for four years, recommended that Margaret invest \$240,000--approximately 74% of her liquid net worth--into a variable annuity contract with a 7-year surrender period. The product carried a mortality and expense risk charge of 1.40%, an administrative fee of 0.15%, and underlying sub-account expenses averaging 0.95%, bringing the total annual cost to approximately 2.50%. The contract also included an optional guaranteed minimum income benefit rider costing an additional 0.85% annually. Kevin allocated 60% of the sub-account investments to an equity growth fund and 40% to a balanced fund. The surrender schedule imposed a 7% penalty in year one, declining by 1% each year. Kevin did not document any discussion of Margaret's cognitive condition, her short-term liquidity needs for assisted living, or alternative lower-cost products such as fixed annuities, bank CDs, or Treasury securities. He earned a commission of \$16,800 (7%) on the sale. Within eight months, the equity sub-accounts declined 12% during a market correction, and Margaret's account value dropped to approximately \$210,500. When Margaret's daughter, who holds power of attorney, attempted to withdraw funds to pay a \$9,000 deposit for an assisted-living facility, she was informed that the surrender charge would be \$13,650. The daughter filed a complaint with the state insurance department in January 2024.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, the financial advisor violated multiple applicable standards governing the sale of variable annuities.

****FINRA Rule 2330 - Variable Annuity Suitability:**** This rule requires that, prior to recommending a variable annuity, a registered representative must make reasonable efforts to obtain information about the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, investment time horizon, existing assets, liquidity needs, liquid net worth, risk tolerance, and tax status. The representative must then have a reasonable basis to believe the transaction is suitable for the particular customer. Here, Kevin recommended that an 81-year-old woman with early-stage dementia, virtually no investment experience, an extremely conservative risk profile, and an explicit near-term need for liquidity (assisted-living costs within two to three years) place 74% of her liquid savings in a product with a 7-year surrender period and aggressive equity sub-account allocations. The recommendation was plainly unsuitable on multiple dimensions: (1) the long surrender period was

incompatible with her short time horizon and imminent liquidity needs; (2) the 60% equity allocation contradicted her stated zero tolerance for principal loss; (3) the total annual expense load of approximately 3.35% (including the rider) was excessive relative to her conservative objectives; and (4) the concentration of nearly three-quarters of her liquid assets in a single illiquid product left her dangerously under-diversified and without adequate emergency reserves.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** Under the revised Model 275, which has been adopted in most states, an insurance producer must act in the best interest of the consumer and must have a reasonable basis to believe that the recommended annuity is suitable based on the consumer's disclosed financial situation, insurance needs, financial objectives, and other relevant information. The producer must consider less costly and less complex alternatives. Kevin failed to document--or apparently even consider--lower-cost, more liquid alternatives such as fixed annuities without surrender charges, short-term CDs, or Treasury instruments, all of which would have been far more consistent with Margaret's stated objectives of capital preservation and near-term liquidity for assisted living.

****New York Regulation 187 (Suitability and Best Interest of Consumer):**** Because Margaret resides in New York, Regulation 187 applies and imposes a best-interest standard on annuity recommendations effective February 2020. Under Reg 187, the producer must act in the best interest of the consumer at the time of the recommendation without placing his own financial interest ahead of the consumer's. The \$16,800 commission (7%) created a powerful financial incentive that appears to have driven the recommendation in direct conflict with the client's needs. The regulation also requires that the recommendation be accompanied by adequate documentation, which Kevin failed to provide--particularly regarding Margaret's cognitive condition and its implications for understanding the product.

****SEC Regulation Best Interest (Rule 15l-1):**** As a registered representative of a broker-dealer, Kevin is also subject to Reg BI, which requires that a broker-dealer and its associated persons act in the best interest of a retail customer when making a recommendation of any securities transaction, including variable annuities. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill, consider reasonably available alternatives, and evaluate costs and risks in light of the customer's profile. The Disclosure Obligation requires full and fair disclosure of material conflicts of interest, including commission-based compensation. The Conflict of Interest Obligation requires the firm to establish policies to identify and mitigate conflicts. Kevin's recommendation fails all three obligations.

****Senior Investor Exploitation Factors:**** Multiple red flags specific to senior investor protection were ignored. Margaret's advanced age (81), cognitive impairment (early-stage dementia raising capacity concerns), limited financial sophistication, dependence on fixed income, and near-term care needs all should have prompted heightened scrutiny. Many state insurance departments and self-regulatory organizations have issued specific guidance requiring enhanced supervision and documentation for annuity sales to seniors, particularly those over age 65.

****Likely Regulatory Outcome:**** Kevin faces potential sanctions from multiple regulators. FINRA could impose fines, suspensions, or a bar for violating Rule 2330 and the general suitability and best-interest framework. The New York Department of Financial Services could revoke or suspend his insurance license for violating Regulation 187. The SEC or the firm's compliance department could pursue action under Reg BI. Margaret and her family would likely be entitled to rescission of the annuity contract, full restitution of losses including surrender charges, and potentially consequential damages related to the delay in accessing assisted-living care. The producing firm would also face supervisory liability for failing to flag and review this transaction, given the obvious red flags associated with a senior client with diminished capacity.

Item 175 of 350**NON-COMPLIANT****Topic:** tax_deferred_unnecessary_annuity**Difficulty:** medium**Source:** 24_Variable_Annuities**Fact Pattern**

Margaret Ellison, age 58, is a public high school teacher in suburban Portland, Oregon, earning \$72,000 per year. She has been contributing to her employer-sponsored 403(b) plan for 22 years and has accumulated approximately \$410,000 in that account, invested in a balanced target-date fund with an expense ratio of 0.12%. She also holds \$95,000 in a traditional IRA at a discount brokerage, allocated across low-cost index funds. Margaret's total liquid savings outside of retirement accounts consist of \$28,000 in a savings account. She owns her home outright (valued at approximately \$340,000) and has no debt. Her investment objective is moderate growth for retirement at age 65, and she has described herself as having a moderate risk tolerance on her new account paperwork. In March 2023, Margaret met with financial advisor David Proctor after attending a retirement planning seminar he hosted at a local hotel. During the seminar, Proctor emphasized the risks of market downturns close to retirement and the importance of guaranteed income. During their subsequent one-on-one meeting, Proctor recommended that Margaret roll her entire \$95,000 traditional IRA into a variable annuity issued by National Heritage Life Insurance Company. The variable annuity carried a guaranteed minimum income benefit (GMIB) rider. The total annual expenses of the variable annuity, including the mortality and expense charge (1.30%), administrative fees (0.15%), underlying sub-account fund expenses (averaging 0.85%), and the GMIB rider fee (0.95%), came to approximately 3.25% per year. The contract also imposed a seven-year surrender charge schedule starting at 7% in the first year and declining by 1% annually. Proctor earned a 5.5% commission on the sale, totaling \$5,225. Margaret signed the paperwork and the IRA was rolled into the variable annuity. At no point during the recommendation process did Proctor discuss whether the existing IRA holdings--already tax-deferred--would receive any additional tax benefit from being placed inside an annuity. He also did not document any comparison between the cost of retaining her current index fund portfolio versus the variable annuity, nor did he discuss lower-cost alternatives such as a fixed indexed annuity or simply rebalancing her existing IRA toward a more conservative allocation. Margaret's 403(b), combined with her projected Social Security benefits, was already estimated to replace roughly 78% of her pre-retirement income, and Proctor did not analyze or document this existing income replacement coverage before recommending the GMIB rider.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, the financial advisor likely violated applicable suitability and best-interest standards in multiple respects.

****Layering Tax Deferral on Tax Deferral (FINRA Rule 2330):**** FINRA Rule 2330(b) specifically requires that when recommending a variable annuity purchase, a registered representative must have a reasonable basis to believe, among other things, that the customer would benefit from certain features of a variable annuity, such as tax-deferred growth, annuitization, or a death benefit. Margaret's IRA was already a tax-deferred account. Placing tax-deferred assets inside a variable annuity--which is itself a tax-deferred vehicle--provides no incremental tax benefit and instead layers additional costs. The rule explicitly targets this scenario. The advisor failed to articulate any tax-related justification for the recommendation.

****Cost Analysis (FINRA Rule 2330 & Reg BI Rule 15l-1):**** The variable annuity's all-in annual cost of approximately 3.25% dramatically exceeds the 0.12% expense ratio of Margaret's existing IRA holdings. Over a seven-year period (the length of the surrender period), this cost differential would consume a substantial portion of her investment returns. Under Regulation Best Interest (Rule 15l-1), the Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill to understand the costs and reasonably available alternatives. Proctor documented no cost comparison and explored no lower-cost alternatives (e.g., a fixed indexed annuity, a low-cost deferred income annuity, or simply rebalancing her existing IRA).

****NAIC Model Regulation 275 (as adopted by many states including Oregon-equivalent standards):**** The revised NAIC Model Regulation 275 imposes a best-interest standard requiring that the recommendation be in the consumer's best interest based on the consumer's suitability profile and that the insurance producer not place their financial interest ahead of the consumer's. The high commission (\$5,225 or 5.5%) creates a material conflict of interest that was not mitigated. Furthermore, the producer must consider reasonably available alternatives, including keeping existing products, and must document the basis for the recommendation. Proctor failed on all counts.

****NY Regulation 187 (applicable as a benchmark even outside NY):**** Although Margaret resides in Oregon, New York's Regulation 187 is instructive as the leading state-level best-interest rule for annuities. It requires that the recommendation be suitable and in the consumer's best interest, that the producer consider the consumer's existing insurance and financial products, and that there be a reasonable basis for concluding the replacement provides an overall benefit. The failure to analyze Margaret's existing 403(b) income replacement ratio and Social Security projections before recommending a costly GMIB rider would constitute a clear violation under such standards.

****GMIB Rider Redundancy:**** Margaret's projected retirement income replacement from her 403(b) and Social Security was already approximately 78%. The advisor did not document any income gap analysis that would justify the additional 0.95% annual cost of the GMIB rider. Without such analysis, the rider appears redundant and its cost unjustified.

****Surrender Charge Concern:**** The seven-year surrender schedule, starting at 7%, would restrict Margaret's access to her funds from age 58 to 65--precisely the period leading up to her stated retirement goal. This liquidity constraint was not documented as having been considered.

****Likely Regulatory Outcome:**** A FINRA examination or state insurance department investigation would likely find that: (1) the recommendation to purchase a variable annuity within an already tax-deferred IRA lacked reasonable basis absent documented non-tax justifications; (2) the failure to perform or document a cost-benefit analysis violated both FINRA Rule 2330 and Reg BI's Care Obligation; (3) the recommendation of the GMIB rider without an income gap analysis was unsuitable; and (4) the high commission created an unmitigated conflict of interest. Probable outcomes include disgorgement of commissions, restitution to the customer, supervisory deficiency findings against the firm, and potential fines or suspension for the advisor.

Item 176 of 350

NON-COMPLIANT

Topic: annuity_unnecessary_switching

Difficulty: hard

Source: 24_Variable_Annuities

Fact Pattern

Margaret Halstead, age 64, is a retired school librarian living in Rochester, New York, with an annual pension of \$48,000, Social Security income of \$22,800, and total liquid savings of approximately \$410,000. Her risk tolerance is moderate-conservative, and her primary investment objectives are capital preservation, modest growth to keep pace with inflation, and ensuring she does not outlive her assets. In March 2020, Margaret owned a variable annuity issued by Pacific Guardian Life that she had purchased five years earlier with a \$185,000 premium. The contract included a guaranteed minimum income benefit (GMIB) rider with a 5% annual roll-up rate on the benefit base, which by March 2020 had grown the benefit base to approximately \$236,000. The contract was still within its seven-year surrender charge period, with a remaining surrender charge of 3%, equaling roughly \$5,550 based on the account value at the time. Her advisor, Derek Whitfield, age 41, a registered representative with Keystone Wealth Partners, contacted Margaret in April 2020 and recommended she surrender the Pacific Guardian contract and use the proceeds to purchase a new variable annuity issued by Continental Assurance Corp. Derek told Margaret that the new contract offered 'better fund options' and a 'more modern' living benefit rider. The new Continental Assurance contract carried an annual mortality and expense charge of 1.45%, an administrative fee of 0.15%, average underlying subaccount expenses of 1.10%, and a guaranteed lifetime withdrawal benefit (GLWB) rider costing 1.20% annually -- bringing total annual costs to approximately 3.90%. The surrendered Pacific Guardian contract had total annual costs of approximately 2.95% (M&E of 1.25%, admin of 0.10%, average subaccount expenses of 0.85%, and the GMIB rider at 0.75%). The new contract imposed a fresh eight-year surrender charge schedule starting at 8% in the first year and declining by 1% per year. Derek's notes in the file indicated that Margaret wanted 'better investment performance,' but there was no documentation of a side-by-side comparison of the two products' costs, benefits, surrender charge implications, or the lost benefit base accrual. Margaret signed the replacement paperwork, including a standard replacement disclosure form, but later stated she did not understand that she was forfeiting the \$236,000 GMIB benefit base or restarting a surrender period. The gross commission paid to Derek on the new contract was approximately \$10,175 (5.5% of the \$185,000 net proceeds rolled into the new product). Eight months after the replacement, Margaret's new account had declined 4.2% net of fees during a period of moderate market recovery, and her total cost drag was measurably higher than her prior contract. Margaret filed a complaint with her state insurance department in January 2021, alleging that the switch was never in her interest and that Derek failed to explain the material disadvantages of the replacement.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Whitfield likely violated multiple regulatory standards governing variable annuity replacements and best-interest obligations.

1. ****FINRA Rule 2330 (Variable Annuity Suitability):**** Rule 2330 requires that before recommending a variable annuity exchange, a registered representative must consider whether the customer would incur a surrender charge, lose existing benefits (such as a GMIB rider with an accrued benefit base), face a new surrender charge period, and whether

the transaction generates increased costs. Derek recommended that Margaret surrender a contract with a \$236,000 GMIB benefit base (grown at a 5% roll-up over five years) and pay a 3% surrender charge, only to move into a product with materially higher annual costs (3.90% vs. 2.95%) and a fresh eight-year surrender period starting at 8%. Rule 2330(b) specifically requires the registered representative to document the basis for the recommendation, including a comparison of the material features of the existing and proposed annuities. Derek's file contained no side-by-side cost-benefit analysis -- only a vague note that Margaret wanted 'better performance,' which is insufficient.

2. ****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** The 2020 revisions to Model 275 impose a best-interest standard on insurance producers recommending annuity transactions, including replacements. Under Section 6, the producer must act in the consumer's best interest without placing the producer's financial interest ahead of the consumer's. The facts here suggest a classic unsuitable replacement (often called 'churning' or 'twisting'): Margaret gained no material benefit from the switch, lost a valuable GMIB benefit base, incurred a surrender penalty, restarted an even longer surrender period, and took on higher annual expenses -- while Derek earned a \$10,175 commission. Model 275 also requires that the producer have a reasonable basis to believe the replacement is suitable based on the consumer's profile, which Derek does not appear to have established.

3. ****New York Regulation 187:**** Because Margaret resides in New York, Regulation 187 (11 NYCRR 224) applies. Effective since August 1, 2019 for annuity transactions, Reg 187 requires that any recommendation be in the customer's best interest at the time the recommendation is made, considering the customer's age, income, existing insurance products, financial situation, and stated objectives. The regulation explicitly requires evaluation of replacement transactions and mandates that the producer not place their compensation interest ahead of the consumer. Derek's recommendation fails this standard: (a) the replacement generated a net cost increase, (b) the GLWB rider on the new contract did not demonstrably improve Margaret's retirement income position relative to the lost GMIB rider, (c) the new surrender schedule effectively locked in a 64-year-old retiree until age 72, reducing her liquidity during a critical phase of retirement, and (d) Derek's commission was the most apparent beneficiary of the transaction.

4. ****Regulation Best Interest (SEC Rule 15l-1):**** As a registered representative of a broker-dealer making a recommendation to a retail customer, Derek is also subject to Reg BI, which became effective June 30, 2020 -- just after this recommendation was made in April 2020. While the exact effective date may create a narrow timing question, to the extent Reg BI applied, the Care Obligation (Rule 15l-1(a)(2)(ii)(B)) requires that the representative exercise reasonable diligence, care, and skill in making a recommendation, including understanding the costs, risks, and alternatives, and having a reasonable basis to believe the recommendation is in the customer's best interest. The Disclosure Obligation also requires full and fair disclosure of material facts, including conflicts of interest such as the differential compensation. Margaret's statement that she did not understand the forfeited benefit base or the new surrender period suggests a failure of disclosure.

****Likely Regulatory Outcome:**** Derek faces potential disciplinary action from FINRA (fines, suspension, or bar under Rule 2330), enforcement action from the New York Department of Financial Services under Regulation 187, and potential SEC scrutiny under Reg BI. The firm, Keystone Wealth Partners, faces supervisory liability under FINRA Rule 3110 if it failed to flag or review the replacement through a principal review process. Margaret would likely be entitled to rescission of the replacement, restitution of the surrender charge paid, and compensation for any investment losses attributable to the unsuitable switch. Derek's conduct is a textbook example of an unsuitable variable annuity replacement motivated by commission generation rather than client benefit.

Item 177 of 350**NON-COMPLIANT****Topic:** high_fees_unsuitable**Difficulty:** medium**Source:** 24_Variable_Annuities**Fact Pattern**

Margaret Kowalski, age 72, is a retired elementary school teacher living in Syracuse, New York. She receives a fixed pension of \$3,200 per month and Social Security benefits of \$1,850 per month, giving her a combined gross monthly income of \$5,050. Her monthly living expenses, including property taxes, insurance, and medical co-pays, total approximately \$4,300 per month, leaving her a modest surplus. Margaret's total liquid savings consist of \$185,000 in a bank money market account and a \$140,000 traditional IRA held in a short-term bond fund. She owns her home outright, valued at approximately \$210,000. She has no debts. Margaret describes herself as a conservative investor whose primary goals are capital preservation and maintaining a cash reserve for potential assisted-living costs, which she has discussed with her adult daughter. She has no prior experience with variable annuities or equity investments.

In March 2024, Margaret's financial advisor, Derek Sloane, who holds both securities and insurance licenses, contacted her after a marketing seminar hosted at a local restaurant. During a follow-up meeting at her home, Derek recommended that Margaret move \$160,000--\$120,000 from her money market account and \$40,000 from her IRA--into a single variable annuity contract issued by National Horizon Life Insurance Company. The product selected was the "Horizon Growth & Protection VA," which carried a base mortality and expense (M&E) charge of 1.45% annually, an administrative fee of 0.15%, and underlying sub-account expense ratios averaging 1.05%. Derek also recommended adding the "Enhanced Lifetime Guaranteed Withdrawal Benefit" rider at an additional annual charge of 1.20%. The all-in annual cost of the contract, including fund expenses and rider fees, totaled approximately 3.85% of account value. The contract carried a seven-year declining surrender charge schedule starting at 8% in year one and declining by 1% each year. Derek allocated 55% of the sub-account assets to an aggressive growth equity fund, 25% to an international equity fund, and 20% to a balanced fund. He told Margaret the guaranteed withdrawal rider "basically means you can never lose money" and that the annuity would be "a better deal than any CD or bond fund."

Derek earned a gross commission of \$10,400 on the sale. He did not document any alternative products considered, did not discuss lower-cost fixed annuity or fixed indexed annuity options, and did not note Margaret's stated need for liquidity to cover potential long-term care expenses. The account application listed Margaret's risk tolerance as "moderate growth" and her investment objective as "growth and income," which differed from the conservative, capital-preservation goals she had articulated. Within eight months, the contract's account value had declined to \$141,600 due to equity market losses and ongoing fees. Margaret contacted her daughter in distress when she learned she would face a \$9,920 surrender charge to access her funds, in addition to the investment losses already incurred.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Sloane violated multiple suitability and best-interest standards applicable to this transaction.

****FINRA Rule 2330 - Variable Annuity Suitability:**** FINRA Rule 2330 imposes heightened suitability requirements on variable annuity recommendations. Before recommending a VA purchase, the registered representative must have a

reasonable basis to believe the transaction is suitable based on the customer's investment profile, including age, income, net worth, financial situation, risk tolerance, liquidity needs, investment objectives, time horizon, and existing holdings. Specifically, Rule 2330(b) requires the representative to consider (among other factors) whether the customer would benefit from tax-deferred growth, whether the customer has met liquidity needs, and whether the customer is willing to accept the investment risk associated with sub-accounts. Here, Margaret is 72 years old with conservative objectives and an explicit need for liquid reserves to cover potential assisted-living costs. Placing 86% of her liquid savings (\$160,000 of \$185,000) in a product with a seven-year surrender period and total annual costs of approximately 3.85% is plainly inconsistent with her profile. The aggressive equity allocation (80% in growth and international equity sub-accounts) contradicts her stated conservative risk tolerance and capital-preservation objective.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** Under the NAIC Model Regulation 275, as revised in 2020 to incorporate a best-interest standard, a producer must act in the best interest of the consumer at the time of the recommendation. The regulation requires the producer to satisfy four component obligations: Care, Disclosure, Conflict of Interest, and Documentation. Under the Care obligation, the producer must exercise reasonable diligence, care, and skill, and must consider reasonably available alternatives. Derek failed to document or consider lower-cost alternatives such as fixed annuities, fixed indexed annuities, multi-year guaranteed annuities, or even retaining the existing bond fund and money market positions. The failure to evaluate alternatives and the recommendation of a high-cost, surrender-charge-laden product to a 72-year-old with low risk tolerance and high liquidity needs constitutes a clear violation. The Documentation obligation was also violated: the application recorded risk tolerance and objectives that were materially inconsistent with Margaret's actual stated goals, suggesting either negligent record-keeping or intentional misrepresentation to facilitate the sale.

****New York Regulation 187:**** Because Margaret resides in New York, NY Regulation 187 applies. This regulation requires that annuity recommendations be in the best interest of the consumer at the time of the transaction. It requires producers to consider the consumer's expressed insurance needs and financial objectives, existing assets and financial situation, and tolerance for risk. The regulation also imposes a heightened standard regarding replacement transactions. Derek's failure to align the recommendation with Margaret's expressed conservative objectives and liquidity needs, combined with the mischaracterization of her risk profile on the application, violates Regulation 187's best-interest requirements.

****Regulation Best Interest (SEC Rule 15l-1):**** To the extent this transaction was effected through a broker-dealer, Reg BI's Care Obligation requires the advisor to exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of the recommendation and to have a reasonable basis to believe it is in the customer's best interest without placing the advisor's financial interest ahead of the customer's. The \$10,400 commission created a significant financial incentive that was not mitigated by any documented consideration of less costly or more suitable alternatives. The Disclosure Obligation requires that material facts about the scope and terms of the relationship be disclosed, including conflicts of interest; Derek's claim that the rider meant Margaret could "never lose money" was materially misleading and omitted the reality of surrender charges, ongoing fees, and market risk. The Conflict of Interest Obligation required the firm to establish policies to identify and mitigate conflicts; the high compensation without documented comparison to alternatives suggests this obligation was not met.

****Likely Regulatory Outcome:**** This transaction exhibits multiple hallmarks of VA mis-selling identified in GAO reports and academic studies: the customer is elderly, conservative, unsophisticated, and has high liquidity needs; the product is expensive, illiquid, and allocated aggressively; the application documents were inaccurate; and the advisor earned a substantial commission without considering alternatives. Derek and his supervising broker-dealer face potential enforcement action from FINRA (for Rule 2330 and Rule 2111 violations), the New York Department of Financial Services (for Regulation 187 violations), and potentially the SEC (for Reg BI violations). Remedies could include rescission of the annuity contract, restitution of commissions and surrender charges, fines, suspension or revocation of licenses, and enhanced supervisory requirements for the broker-dealer.

Item 178 of 350**NON-COMPLIANT**

Topic: senior_investor_exploitation

Difficulty: medium

Source: 24_Variable_Annuities

Fact Pattern

Margaret Olsen, age 79, is a retired schoolteacher living in Toledo, Ohio. She has annual income of approximately \$31,000 from Social Security and a small pension. Her total liquid assets consist of \$285,000 in a bank certificate of deposit and \$42,000 in a savings account. She owns her home outright, valued at roughly \$180,000. Mrs. Olsen has no dependents; her husband passed away in 2018. She has described herself to her advisor as someone who "cannot afford to lose money" and whose primary financial goals are preserving her savings to cover potential assisted-living costs and leaving a modest inheritance to her two grandchildren. She has no prior experience with securities or variable insurance products.

In March 2023, her financial advisor, Dale Buckner, age 44, who holds both securities and insurance licenses, contacted Mrs. Olsen after learning about her husband's life insurance payout that had been deposited into the CD. Buckner visited her home twice over the course of a week. During the second visit, he recommended she move \$230,000 from her maturing CD into a variable annuity issued by National Horizon Life Insurance Company. The product--the "Horizon FlexGrowth VA"--carried a seven-year surrender schedule with a declining charge starting at 8% in year one. Total annual expenses, including the mortality and expense risk charge, administrative fees, and the average sub-account management expense, were approximately 2.85%. Buckner also recommended an optional guaranteed minimum income benefit rider costing an additional 1.10% annually, bringing total annual costs to roughly 3.95% of account value.

Buckner's presentation materials emphasized the death benefit feature and the tax-deferred growth, telling Mrs. Olsen the product would "protect her nest egg while giving it room to grow." He allocated the sub-accounts as follows: 55% to an aggressive growth equity fund, 25% to an international equity fund, and 20% to a high-yield bond fund. Buckner did not discuss the surrender charges in detail, nor did he explain that her CD interest was already tax-advantaged for her income bracket, or that she would face ordinary income tax treatment on any future withdrawals. He did not document any consideration of lower-cost alternatives, such as a fixed annuity or a balanced mutual fund portfolio. Buckner earned a 6.25% commission on the sale, totaling \$14,375.

By January 2024, the account had declined to \$198,000 due to equity market volatility and the high expense drag. Mrs. Olsen contacted Buckner because she needed approximately \$35,000 for a home accessibility renovation recommended by her physician. Buckner informed her that a withdrawal of that size would trigger a surrender penalty of roughly \$2,800 on top of the account losses. Mrs. Olsen filed a complaint with her state insurance department in February 2024, alleging she was never told about the surrender charges, the investment risk, or the real cost of the product, and that the recommendation was wholly inappropriate given her age, financial situation, and stated goals.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes. Dale Buckner's recommendation to Mrs. Olsen violated multiple applicable standards governing variable annuity

sales.

****FINRA Rule 2330 -- Variable Annuity Suitability:**** Under Rule 2330, before recommending the purchase of a variable annuity, a registered representative must make reasonable efforts to obtain the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, existing insurance holdings, risk tolerance, tax status, and liquidity needs. The representative must then have a reasonable basis to believe that the customer would benefit from certain features of the variable annuity (such as tax-deferred growth, annuitization, or death benefits) and that the particular annuity as a whole, the underlying sub-accounts, and any riders are suitable. Here, Mrs. Olsen was 79 years old, had virtually no investment experience, expressed capital preservation as her primary goal, required liquidity for potential health-related expenses, and had a low risk tolerance. A seven-year surrender period product with nearly 4% annual costs and an 80% allocation to aggressive equities and high-yield bonds is facially unsuitable for this profile. Rule 2330 also requires a principal to review and approve the transaction prior to transmittal; any supervisory deficiencies would compound the violation.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** The 2020 revised Model #275 requires that an insurance producer, prior to a recommendation, must act in the best interest of the consumer. The producer must consider the consumer's age, liquidity needs, financial situation, tax status, investment objectives, and existing insurance products. The producer must consider reasonably available alternatives and document the basis for the recommendation. Buckner failed to consider or document alternatives (e.g., a fixed annuity offering principal protection and liquidity, a short-term bond fund, or simply renewing the CD). The concentration of assets (roughly 81% of liquid net worth) in a single illiquid variable annuity with high surrender charges is inconsistent with a best-interest determination for a 79-year-old with foreseeable medical and living expenses.

****New York Regulation 187 (if applicable by domicile of insurer or sale):**** Reg 187 imposes a best-interest standard for annuity recommendations in New York, requiring that the recommendation be in the best interest of the consumer evaluated at the time of the transaction, considering the consumer's financial situation and needs without placing the producer's financial interest ahead of the consumer's. While Mrs. Olsen resides in Ohio, if the insurer is domiciled in New York or the transaction touches New York, Reg 187 would independently apply. The \$14,375 commission created a significant financial incentive that was not mitigated by any documented cost-benefit analysis.

****SEC Regulation Best Interest (Rule 15l-1):**** As a broker-dealer representative, Buckner was subject to Reg BI's Care Obligation, which requires that a recommendation be in the retail customer's best interest at the time it is made, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation, and that the representative consider reasonably available alternatives. The Disclosure Obligation required Buckner to disclose material facts about the scope and terms of the relationship, including all fees, costs, and conflicts of interest such as the 6.25% commission. The evidence suggests Buckner failed both obligations: he did not adequately disclose surrender charges, total costs, or tax implications; he did not consider alternatives; and the aggressive sub-account allocation was inconsistent with Mrs. Olsen's stated conservative objectives. The Conflict of Interest Obligation also required the firm to have policies to identify and mitigate conflicts arising from the high commission, which does not appear to have occurred.

****Specific Violations Include:****

1. Unsuitable product type: A variable annuity with a long surrender period and high expenses for a 79-year-old with conservative objectives and foreseeable liquidity needs.
2. Unsuitable asset allocation: 80% equity/high-yield bond allocation for a client with no risk tolerance and no investment experience.
3. Excessive concentration: Placing 81% of liquid assets into a single illiquid product.
4. Inadequate disclosure: Failure to explain surrender charges, total costs, tax treatment, and investment risks.
5. Failure to consider alternatives: No documented analysis of lower-cost, more liquid, or principal-protected alternatives.

6. Potential exploitation of a senior investor: The home visits, the targeting of a recent life insurance payout, and the lack of informed consent raise concerns about predatory sales practices targeting a vulnerable elderly person.

****Likely Regulatory Outcome:**** The state insurance department complaint will likely trigger an investigation under the state's adoption of NAIC Model 275 or equivalent statute. FINRA, if notified or upon review of the U5 or complaint filing, could bring an enforcement action under Rule 2330 and Reg BI. Probable sanctions include disgorgement of commissions, restitution to Mrs. Olsen, fines, enhanced supervision, and possible suspension or bar of Buckner's licenses. The broker-dealer firm may face supervisory deficiency charges for failure to adequately review and approve the transaction.

Item 179 of 350**NON-COMPLIANT**

Topic: inappropriate_risk_profile

Difficulty: medium

Source: 24_Variable_Annuities

Fact Pattern

Margaret Olsen, age 71, is a retired elementary school teacher living in suburban Minneapolis. She receives \$2,400 per month from her state pension and \$1,850 per month from Social Security, for a combined annual income of approximately \$51,000. Her total liquid savings amount to \$215,000, held in a money market account and a short-term bond fund at her local credit union. She also owns her home outright, valued at approximately \$190,000. Margaret has no dependents; her husband passed away in 2019. She has a history of conservative investing and told her financial advisor, Derek Cannon, that her primary goals were capital preservation, maintaining her current standard of living, and leaving a modest inheritance to her two grandchildren. She described herself as someone who "cannot afford to lose money" and said she had trouble sleeping during the 2020 market downturn even though her bond fund lost only 3%. On her new account form completed in March 2023, Derek recorded her risk tolerance as "moderate" and her investment objective as "growth and income." He then recommended she move \$175,000--approximately 81% of her liquid assets--into a variable annuity with an aggressive growth sub-account allocation: 40% in a small-cap equity fund, 35% in an international equity fund, and 25% in a high-yield bond fund. The product carried a seven-year surrender period with a declining surrender charge starting at 7%, an annual mortality and expense charge of 1.35%, administrative fees of 0.15%, and average sub-account expense ratios of 1.10%, bringing the total all-in annual cost to approximately 2.60%. Derek did not recommend any guaranteed living benefit rider. He earned a 6.5% commission on the sale, totaling \$11,375. Margaret signed all paperwork but later told a family member she thought the annuity was "like a CD with a little more upside." Within nine months, her account value had declined to \$152,000 due to volatility in the small-cap and international sub-accounts. She contacted Derek about surrendering the contract and was informed she would owe a \$10,640 surrender charge, effectively locking her into the product. She filed a complaint with her state insurance department in January 2024.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Cannon violated multiple applicable suitability and best-interest standards in recommending this variable annuity to Margaret Olsen.

****Risk Profile Mischaracterization:**** Under FINRA Rule 2330, before recommending a variable annuity, a registered representative must make reasonable efforts to obtain and consider the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, investment time horizon, existing assets, liquidity needs, liquid net worth, risk tolerance, and tax status. Margaret's own statements--that she 'cannot afford to lose money,' lost sleep over a 3% decline, and sought capital preservation--are inconsistent with a 'moderate' risk tolerance and 'growth and income' objective. Recording her profile as moderate appears to have been done to justify the aggressive recommendation rather than to accurately reflect her stated preferences. This constitutes a failure to accurately document customer information, which undermines the entire suitability analysis.

****Unsuitable Asset Allocation:**** An allocation of 75% equities (40% small-cap, 35% international) and 25% high-yield

bonds is aggressive by any reasonable standard. For a 71-year-old retiree with limited liquid assets, no other growth investments, a conservative self-assessment, and a capital preservation objective, this allocation is patently unsuitable. FINRA Rule 2330(b) requires that the representative have a reasonable basis to believe the transaction is suitable based on the information gathered. No reasonable advisor could conclude that concentrating 81% of a conservative 71-year-old's liquid net worth in aggressive equity sub-accounts serves a capital preservation objective.

****Concentration and Liquidity Risk:**** Placing \$175,000 of Margaret's \$215,000 in liquid savings into a product with a seven-year surrender period left her with only \$40,000 in accessible funds--less than one year of supplemental living expenses beyond her pension and Social Security. This creates significant liquidity risk, particularly for a 71-year-old who may face unexpected medical or long-term care expenses. The NAIC Model Regulation 275 requires that an annuity recommendation be suitable considering the consumer's financial situation, including liquidity needs and existing assets.

****Failure to Recommend Protective Features:**** Derek did not recommend any guaranteed living benefit rider, which would have provided some downside protection consistent with Margaret's stated risk aversion. While not every VA purchase requires a rider, the omission here is notable given that the client's primary concern was capital preservation.

****Cost Considerations:**** The all-in annual cost of approximately 2.60% imposes a substantial drag on returns, particularly for a client whose stated objective was preservation rather than growth. Under NY Regulation 187 (applicable if the transaction involved a New York-domiciled insurer or New York resident, and serving as a model for other states' best-interest frameworks), the advisor must act in the consumer's best interest, and cost is a factor that must be evaluated. The high commission of 6.5% (\$11,375) raises additional questions about whether the recommendation was driven by the advisor's compensation rather than the client's needs.

****Misleading Client Understanding:**** Margaret's belief that the product was 'like a CD with a little more upside' suggests that Derek failed to adequately explain the risks, fees, and surrender charges associated with the variable annuity. Under FINRA Rule 2330(b)(1)(A), the representative must have a reasonable basis to believe the customer has been informed of the features of the annuity, including surrender charges, potential tax penalties, and various fees.

****Likely Regulatory Outcome:**** Derek faces potential disciplinary action from FINRA for violating Rule 2330 suitability requirements and potentially Regulation BI's care obligation (Rule 15l-1) if he was acting in a broker-dealer capacity and the recommendation was made after the June 2020 effective date. The state insurance department complaint could result in enforcement action under the state's adoption of NAIC Model Regulation 275 or equivalent best-interest standards. Margaret would likely prevail in arbitration, with potential recovery of her losses plus the surrender charge, and Derek could face fines, disgorgement of commissions, suspension, or a bar depending on his disciplinary history and the totality of circumstances.

Item 180 of 350**NON-COMPLIANT****Topic:** high_fees_unsuitable**Difficulty:** medium**Source:** 24_Variable_Annuities**Fact Pattern**

In March 2022, financial advisor Derek Simmons met with Margaret Kowalski, a 71-year-old retired elementary school teacher living in Buffalo, New York. Margaret's husband had passed away six months earlier, and she inherited his traditional IRA valued at approximately \$185,000. Her other assets consisted of a pension paying \$2,800 per month, Social Security benefits of \$1,950 per month, a savings account with \$22,000, and a paid-off home valued at \$210,000. Margaret described herself as conservative, stating she wanted to preserve her husband's money and possibly leave it to her two adult children. She had no investment experience beyond her pension and a small savings account. She told Derek she might need to draw from the IRA to cover occasional home repairs and medical copays, estimating \$5,000 to \$8,000 per year in supplemental withdrawals. Derek recommended that Margaret invest the entire \$185,000 IRA into a variable annuity product called the Pinnacle Growth & Protection VA, issued by Meridian Life Insurance Company. The product featured a guaranteed minimum income benefit rider, a guaranteed minimum death benefit rider, and an optional enhanced nursing care rider. The base mortality and expense charge was 1.35%, the administrative fee was 0.15%, and the three riders collectively added 1.85% in annual charges, bringing the total insurance-related fees to 3.35% per year. The underlying subaccounts Margaret was placed into -- a mix of moderate allocation and bond funds -- carried average fund expense ratios of 0.92%. The all-in annual cost of the product was therefore approximately 4.27%, or roughly \$7,900 per year on the initial investment. The product also carried a seven-year surrender charge schedule beginning at 8% in year one and declining by 1% each year. Derek's commission on the sale was \$12,950. Derek did not discuss lower-cost alternatives such as a diversified portfolio of no-load index mutual funds, fixed annuities, or even a simple balanced fund within the existing IRA custodian. He did not document why the guaranteed income rider was necessary given Margaret's pension and Social Security already covered her living expenses, nor did he address why the seven-year surrender period was appropriate for a 71-year-old who indicated she would need periodic withdrawals. Within the first fourteen months, Margaret withdrew \$7,500 for a new furnace and dental work, triggering a surrender charge of \$525 and reducing her death benefit guarantee. She contacted Derek's office to complain that she did not understand she would be penalized for taking money out, and that the account had declined to \$174,200 despite moderate market gains during the same period, largely because the annual fees consumed her returns.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Simmons violated multiple applicable standards governing variable annuity sales.

****FINRA Rule 2330 - Variable Annuity Suitability:**** Under FINRA Rule 2330, a registered representative must have a reasonable basis to believe that a variable annuity transaction is suitable for the customer. Specifically, Rule 2330(b) requires the advisor to consider, among other factors: (1) whether the customer would benefit from the tax-deferral features of a variable annuity given existing tax-advantaged accounts; (2) whether the customer has a long enough time horizon to recoup the higher costs of the annuity; (3) whether the customer intends to make withdrawals before the surrender period expires; and (4) whether the features and riders are necessary given the customer's financial situation.

Here, the \$185,000 was already in a tax-deferred IRA, so the VA's tax-deferral wrapper provided no incremental tax benefit -- a classic red flag under Rule 2330. Margaret explicitly stated she expected to need periodic withdrawals of \$5,000-\$8,000 per year, making a seven-year surrender schedule directly contrary to her stated liquidity needs. The guaranteed income rider was difficult to justify when her pension (\$2,800/month) and Social Security (\$1,950/month) already provided \$4,750/month -- more than sufficient for her living expenses. The all-in cost of 4.27% annually is extraordinarily high for a conservative, income-oriented retiree with a relatively modest account, consuming nearly all expected returns and eroding principal over time.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** Under Model 275, the producer must have a reasonable basis to believe the annuity is suitable based on the consumer's financial situation, insurance needs, investment objectives, and other relevant information. The regulation requires documentation of why the specific product was recommended over alternatives. Derek failed to document why lower-cost alternatives were rejected and why riders costing 1.85% annually served Margaret's actual needs. Model 275 also imposes a supervision obligation on the insurer, Meridian Life, to maintain a system to review whether the recommendation was suitable.

****New York Regulation 187 (Best Interest Standard):**** Because Margaret resides in New York, Regulation 187 applies. Effective since February 2020 for annuity transactions, Reg 187 requires that recommendations be in the consumer's best interest at the time of the recommendation, considering the consumer's needs and financial objectives without placing the producer's or insurer's financial interest ahead of the consumer's. The \$12,950 commission created a significant financial incentive that was not subordinated to Margaret's interests. The product was materially more expensive than readily available alternatives (e.g., low-cost index funds within the IRA), and the features did not address demonstrated needs. Reg 187 explicitly requires consideration of reasonably available alternatives.

****Regulation Best Interest (SEC Rule 15l-1):**** If Derek was acting in a broker-dealer capacity, Reg BI's Care Obligation requires that the advisor exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile and ensuring costs do not outweigh likely benefits. A 4.27% annual expense drag for a conservative 71-year-old retiree who needs liquidity strongly suggests the cost-benefit analysis was never performed. The Conflict of Interest Obligation also required disclosure and mitigation of the commission incentive, and there is no evidence Derek disclosed that lower-compensation alternatives existed.

****Likely Regulatory Outcome:**** Derek faces potential FINRA disciplinary action for Rule 2330 violations, a New York Department of Financial Services enforcement action under Reg 187, and possible SEC scrutiny under Reg BI. Remedies could include disgorgement of commissions, restitution to Margaret for surrender charges and excess fees, fines, enhanced supervision, or suspension. The supervising broker-dealer and Meridian Life also face potential liability for failure of supervisory and suitability review systems.

Item 181 of 350**NON-COMPLIANT****Topic:** failure_to_know_customer**Difficulty:** medium**Source:** 24_Variable_Annuities**Fact Pattern**

In March 2024, financial advisor Derek Sims met with Margaret Okafor, a 71-year-old retired school principal living in Tallahassee, Florida. Mrs. Okafor came into Derek's office after receiving a mailer about 'tax-advantaged retirement income strategies.' During their first and only meeting, which lasted approximately 35 minutes, Derek collected Mrs. Okafor's name, address, date of birth, and Social Security number. He asked her how much money she had available to invest, and she told him she had approximately \$340,000 in a bank certificate of deposit that was maturing the following week, plus a small checking account with about \$12,000. She mentioned that this represented essentially all of her liquid savings. Derek did not ask about her monthly income, her pension amount, her Social Security benefits, her monthly expenses, her existing insurance coverage, her health status, her tax bracket, her estate planning goals, or whether she had any other investments or debts. He did not ask about her prior investment experience or whether she had ever owned securities or annuities before. He did not inquire about her risk tolerance or time horizon for the funds. He did not ask whether she had any dependents or anticipated large expenses such as long-term care needs. Derek recommended that Mrs. Okafor place \$310,000 into a variable annuity issued by National Horizon Life Insurance Company -- the 'Horizon Growth & Income VA.' This product featured a seven-year surrender charge schedule starting at 8% in the first year and declining by 1% annually, an annual mortality and expense charge of 1.35%, an administrative fee of 0.15%, and underlying sub-account expense ratios averaging 0.85%. The total annual cost structure was approximately 2.35%. The product also offered an optional guaranteed minimum income benefit rider at an additional 1.10% annually, which Derek added to the recommendation, bringing total annual charges to roughly 3.45%. Derek earned a 6.5% commission on the sale, totaling \$20,150. Mrs. Okafor signed the application and funding paperwork during that same meeting. She exercised her free-look cancellation right 18 days later after her grandson, a CPA, reviewed the contract and raised concerns. By that point, the sub-accounts had declined approximately \$4,800 in value due to market fluctuation. The insurer returned the full premium amount per Florida's free-look provisions. Mrs. Okafor subsequently filed a complaint with the Florida Department of Financial Services, alleging that Derek never asked her enough questions to understand her financial situation before recommending she put nearly all of her life savings into a complex, expensive, long-term product.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Sims violated applicable suitability and best-interest standards in multiple respects, most fundamentally through his failure to make a reasonable effort to know his customer before recommending a complex variable annuity.

****FINRA Rule 2330 - Members' Responsibilities Regarding Deferred Variable Annuities:**** This rule explicitly requires that, prior to recommending the purchase of a deferred variable annuity, a registered representative must make reasonable efforts to obtain, at a minimum, the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the deferred variable annuity, investment time horizon, existing assets, liquidity needs, liquid net worth, risk tolerance, tax status, and any other information deemed relevant. Derek obtained virtually none of this information beyond Mrs. Okafor's age and available investable assets. He failed to

ask about income, expenses, risk tolerance, investment experience, time horizon, liquidity needs, health, tax status, or existing insurance. This is a textbook failure-to-know-your-customer violation under Rule 2330(b).

****FINRA Rule 2330(b)(1)(A) also requires a principal review**** of the transaction, and the firm's supervisory obligations would be triggered. The fact that a \$310,000 variable annuity was sold to a 71-year-old retiree during a single 35-minute meeting without documented customer profile information should have been flagged by any reasonable supervisory system.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** Under the revised NAIC model, which Florida has adopted in substance, an insurance producer must obtain sufficient information about the consumer to have a reasonable basis for believing the annuity recommendation is suitable. The model requires gathering information about the consumer's age, annual income, financial situation and needs, investment objectives, intended use, time horizon, existing assets, liquidity needs, liquid net worth, risk tolerance, tax status, and other relevant factors. Derek's failure to collect this information violates the producer's duty under Model 275, Section 6.

Further, under the 2020 amendments to Model 275, producers must act in the consumer's best interest at the time of the recommendation, meaning the producer's financial interest cannot be the primary motivating factor. The \$20,150 commission on a product recommended after a superficial 35-minute conversation to a 71-year-old retiree with no documented risk tolerance, investment experience, or income information raises serious questions about whether the recommendation was driven by compensation rather than the consumer's needs.

****NY Regulation 187 (if applicable in New York transactions, included here as an analytical benchmark):**** While this transaction occurred in Florida, Reg 187's framework is instructive. It requires that recommendations be in the consumer's best interest, considering the consumer's financial situation, insurance needs, financial objectives, and other relevant information. The total absence of documented customer information would constitute a per se violation under Reg 187's standards.

****Regulation Best Interest (Rule 15l-1):**** To the extent Derek acted in a broker-dealer capacity recommending a securities product (a variable annuity is a security), Reg BI's Care Obligation requires that the broker-dealer exercise reasonable diligence, care, and skill to understand the customer's investment profile before making a recommendation. The Care Obligation specifically requires understanding the potential risks, rewards, and costs of the recommendation in light of the customer's profile. Without gathering basic customer information -- income, expenses, risk tolerance, time horizon, liquidity needs, health status, investment experience -- Derek could not possibly have had a reasonable basis for his recommendation. This is a clear violation of the Care Obligation under Reg BI.

Additionally, the Disclosure Obligation under Reg BI requires full and fair disclosure of material facts, including costs and conflicts of interest (such as the 6.5% commission). There is no indication Derek disclosed his compensation or the conflict it created.

****Substantive Suitability Concerns Beyond the Know-Your-Customer Failure:**** Even setting aside the procedural failure, the recommendation itself raises red flags. Placing \$310,000 of a 71-year-old's \$352,000 in total liquid assets (88% concentration) into a product with a seven-year surrender schedule and approximately 3.45% in annual charges is potentially unsuitable on its face. The customer would have only \$42,000 in accessible liquid funds, creating significant liquidity risk for a retiree who may face healthcare, long-term care, or other unexpected expenses. GAO reports and academic studies on VA mis-selling have consistently identified concentration of retiree assets in high-cost, illiquid variable annuities as a hallmark of unsuitable sales practices.

****Likely Regulatory Outcome:**** Derek would likely face enforcement action from both FINRA and the Florida Department of Financial Services. Potential sanctions include fines, disgorgement of commissions, suspension or revocation of licenses, and required restitution. His firm would face supervisory violation charges for failing to detect

and prevent the sale. The fact that Mrs. Okafor exercised her free-look right mitigates actual harm but does not eliminate the underlying violations, which are evaluated at the time of the recommendation, not based on whether the customer ultimately avoided loss.

Item 182 of 350**NON-COMPLIANT****Topic:** high_fees_unsuitable**Difficulty:** medium**Source:** 24_Variable_Annuities**Fact Pattern**

In March 2023, Gerald Thornton, a 71-year-old retired postal worker living in Albany, New York, met with financial advisor Keith Breslin at his local branch office. Gerald had recently lost his wife and was managing finances alone for the first time. He had a combined net worth of approximately \$410,000, consisting of \$185,000 in a traditional IRA invested in a balanced mutual fund, \$140,000 in a bank CD ladder, a \$55,000 savings account, and Social Security income of \$2,350 per month. Gerald told Breslin that his primary goals were capital preservation, maintaining access to his money for potential medical expenses, and leaving whatever was left to his two grandchildren. He described himself as conservative and said he did not want to lose money. He had no prior experience with annuities or complex financial products.

Breslin recommended that Gerald liquidate his entire IRA and invest the full \$185,000 into a variable annuity with a Guaranteed Minimum Income Benefit (GMIB) rider. The product -- the Horizon Growth & Income VA issued by Summit Life Insurance Company -- carried a mortality and expense risk charge of 1.40%, an administrative fee of 0.15%, underlying subaccount expenses averaging 1.05%, and the GMIB rider cost an additional 1.10% annually. The total all-in annual cost was approximately 3.70%, or roughly \$6,845 per year on the initial investment. The contract also included a seven-year declining surrender charge schedule starting at 7% in year one and declining by 1% per year. The product permitted annual free withdrawals of up to 10% of the account value without surrender charges.

Breslin's written notes from the meeting stated that Gerald wanted 'growth with downside protection' and was a 'moderate' investor, though Gerald later disputed ever using those words. Breslin earned a commission of approximately \$11,100 (6% of premium) on the sale. The firm's product grid showed that several lower-cost alternatives were available, including a fixed indexed annuity with a three-year surrender period and total annual costs under 1.00%, and a simple fixed annuity paying 4.25% guaranteed for five years. Breslin did not document any comparison of these alternatives or explain why the variable annuity was preferable to lower-cost options.

Within eight months, Gerald needed \$30,000 to cover home modifications recommended by his doctor after a fall. He withdrew the \$18,500 available under the 10% free withdrawal provision and was assessed a \$6,900 surrender charge (6% in year two) on the remaining \$11,500 he needed. Additionally, the subaccounts had declined in value by approximately 4.2% due to market volatility, reducing his account value to roughly \$171,400 before the withdrawal. Gerald filed a complaint with his state insurance department, alleging the product was never appropriate for someone his age with his stated objectives and liquidity needs.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, advisor Keith Breslin likely violated multiple suitability and best-interest standards applicable to variable annuity sales.

****FINRA Rule 2330 -- Variable Annuity Suitability:**** Under Rule 2330, a registered representative must have a reasonable basis to believe that a variable annuity transaction is suitable for the customer. The rule specifically requires consideration of (a) whether the customer would benefit from certain features of a VA, such as tax-deferred growth, annuitization, or a death benefit; (b) whether the customer has a long enough time horizon to recoup the costs of the product, particularly surrender charges; and (c) whether less expensive alternatives were considered. Here, Gerald was 71 years old, conservative, had no need for tax-deferred growth (the money was already in a tax-deferred IRA), and explicitly prioritized capital preservation and liquidity for medical expenses. The seven-year surrender schedule directly conflicted with his stated liquidity needs, and the 3.70% all-in annual cost was excessive for a customer with no growth objective. Breslin appears to have failed the reasonable-basis and customer-specific suitability requirements of Rule 2330.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** The NAIC model, adopted in most states, requires that an insurance producer have a reasonable basis to believe an annuity recommendation is suitable based on the consumer's age, financial situation, objectives, intended use of the annuity, time horizon, existing assets and financial products, liquidity needs, risk tolerance, and tax status. The producer must also consider whether a replacement of an existing product is in the consumer's interest. Gerald's profile -- elderly, conservative, liquidity-dependent, with no investment sophistication -- is a textbook mismatch for a high-cost VA with a long surrender period. The regulation also requires documentation of why the specific product was recommended over alternatives; Breslin failed to document any comparative analysis.

****New York Regulation 187 (Best Interest Standard):**** Because Gerald resides in New York, the transaction is also subject to NY Reg 187, which imposes a best-interest standard on annuity recommendations. Under Reg 187, the recommendation must be in the best interest of the consumer at the time of the transaction, considering the consumer's financial situation and needs without placing the producer's compensation interest ahead of the consumer's interest. The \$11,100 commission and the advisor's characterization of Gerald as 'moderate' -- contradicted by the client -- suggest the recommendation was compensation-driven rather than client-driven. The availability of materially lower-cost alternatives (a fixed indexed annuity with a 3-year surrender and sub-1% costs, or a simple fixed annuity at 4.25%) that better matched Gerald's objectives further supports a finding that the recommendation was not in his best interest.

****SEC Regulation Best Interest (Rule 15l-1):**** If Breslin is a registered representative of a broker-dealer, Reg BI requires that the recommendation be in the retail customer's best interest and that the advisor not place his own financial interest ahead of the customer's. The Care Obligation under Reg BI requires consideration of reasonably available alternatives. Breslin's failure to document or consider lower-cost products, combined with the mismatch between the product features and Gerald's profile, likely constitutes a violation of the Care Obligation. The high commission also raises concerns under the Conflict of Interest Obligation, as the firm apparently did not have adequate policies to mitigate the incentive to recommend the higher-commission VA over lower-cost alternatives.

****Likely Regulatory Outcome:**** Gerald's complaint to the state insurance department would likely trigger an investigation under NY Reg 187. The state may impose fines, require restitution, or revoke Breslin's insurance license. FINRA could pursue a Rule 2330 violation resulting in suspension, fines, and disgorgement of commissions. The broker-dealer's supervisory obligations under FINRA Rules 3110 and 2330(c) may also be at issue if the firm failed to implement adequate principal review procedures for VA transactions involving senior customers. Academic literature and GAO reports have consistently identified exactly this pattern -- high-cost VAs sold to elderly, conservative investors with liquidity needs -- as a hallmark of VA mis-selling.

Item 183 of 350

NON-COMPLIANT

Topic: senior_investor_exploitation

Difficulty: hard

Source: 24_Variable_Annuities

Fact Pattern

Margaret Holloway, age 81, is a retired schoolteacher living in Syracuse, New York, with an annual pension income of \$34,000 and Social Security benefits of \$22,800. Her total liquid net worth is approximately \$410,000, consisting of \$185,000 in a bank money market account, \$140,000 in a brokerage account holding Treasury bonds and investment-grade municipal bonds, and \$85,000 in a traditional IRA invested in certificates of deposit. Margaret's husband passed away in 2023, and she has been managing her finances conservatively since then, primarily to cover her living expenses, prescription drug costs averaging \$1,100 per month, and occasional home health aide visits. She has two adult children who help with daily logistics but do not contribute financially. Margaret has no prior experience with variable products and has consistently described her investment objective as capital preservation with modest income generation. Her stated risk tolerance on account documents is 'conservative.' In March 2025, her financial advisor, Dean Whitfield, age 38, conducted a home visit during which he discussed Margaret's concern about outliving her savings given rising healthcare costs. Dean recommended that Margaret liquidate the \$185,000 money market account and the \$140,000 bond portfolio--a total of \$325,000--and invest the proceeds into a single variable annuity contract issued by a mid-size insurance carrier. The product selected carried a seven-year surrender charge schedule beginning at 8% in year one and declining by one percentage point per year. The contract included a Guaranteed Minimum Withdrawal Benefit (GMWB) rider at an annual cost of 1.15%, on top of total annual contract expenses (mortality and expense charges, administrative fees, and average underlying subaccount expense ratios) of approximately 2.45%, bringing the all-in annual cost to roughly 3.60%. Dean allocated 60% of the subaccount selections to equity-heavy portfolios, including a small-cap growth fund and an international emerging markets fund, with the remaining 40% in a fixed-income subaccount. Dean documented in his notes that the GMWB rider would protect Margaret's principal and provide guaranteed lifetime income, and that the equity allocation was necessary to 'keep pace with inflation and maximize the benefit base.' He did not document any comparison with lower-cost alternatives such as a fixed annuity, a single premium immediate annuity, or maintaining her existing conservative portfolio supplemented by systematic withdrawals. Dean also did not note whether Margaret understood the surrender charge implications given her age and health, nor did he discuss the likelihood that she would need to access the funds for medical emergencies within the surrender period. Dean's broker-dealer's supervisory system flagged the transaction for principal review due to Margaret's age and the concentration of assets, but the supervising principal approved the transaction within two business days, noting only 'GMWB addresses longevity risk--approved.' Dean received an upfront commission of approximately 5.75% on the \$325,000 investment, totaling \$18,687.50. Within nine months of the purchase, Margaret needed \$40,000 for an unexpected hospitalization and rehabilitation stay. She was forced to take a withdrawal subject to a 7% surrender charge, costing her \$2,800 in penalties in addition to any applicable tax consequences on gains. Her children subsequently filed a complaint alleging that the recommendation was wholly inappropriate for their mother's circumstances.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dean Whitfield violated multiple applicable standards governing variable annuity recommendations to senior

investors.

****FINRA Rule 2330 - Variable Annuity Suitability:**** Under Rule 2330, a registered representative recommending a variable annuity must have a reasonable basis to believe the transaction is suitable based on the customer's age, income, financial situation, investment objectives, risk tolerance, tax status, liquidity needs, and other relevant factors. Here, Margaret's profile--age 81, conservative risk tolerance, capital preservation objective, fixed income of approximately \$56,800 per year, significant ongoing medical expenses, and no investment experience with variable products--strongly militated against concentrating 79% of her liquid assets (\$325,000 of \$410,000) in a single variable annuity with a seven-year surrender period and an equity-heavy allocation. Rule 2330(b)(1)(A) specifically requires the advisor to consider whether the customer would benefit from certain features of a variable annuity, such as tax-deferred growth and annuitization, in light of available alternatives. Dean failed to perform or document any comparative analysis. The rule also requires consideration of the customer's liquidity needs; locking an 81-year-old with recurring medical costs into a product with surrender charges as high as 8% is presumptively unsuitable absent compelling justification.

****NAIC Model Regulation 275:**** Under the NAIC Suitability in Annuity Transactions Model Regulation (Model 275), which New York has adopted in substance, an insurance producer must have a reasonable basis to believe the annuity recommendation is suitable and in the consumer's best interest. The regulation requires documentation of the basis for the recommendation, consideration of reasonably available alternatives, and analysis of whether the consumer's existing holdings already achieve the stated objectives. Dean's existing conservative bond and money market portfolio arguably already served Margaret's capital preservation and income objectives at far lower cost and with full liquidity. The failure to consider or document alternatives such as a fixed annuity, SPIA, or maintaining the status quo violates Model 275's requirements.

****New York Regulation 187:**** Because Margaret resides in New York, Regulation 187 applies, imposing a best-interest standard on annuity recommendations. Under Reg 187, the transaction must be in the best interest of the consumer at the time of the recommendation, and the producer's compensation cannot be a material factor driving the recommendation over the consumer's interests. Dean received \$18,687.50 in upfront commissions--a significant financial incentive--while recommending a product with all-in annual costs of 3.60% to a conservative 81-year-old. The absence of any documented comparison to lower-cost alternatives, coupled with the magnitude of the commission, raises a strong inference that compensation influenced the recommendation, violating the regulation's prohibition on placing producer interests above consumer interests.

****SEC Regulation Best Interest (Rule 15l-1):**** To the extent Dean acted in his capacity as a broker-dealer registered representative, Reg BI's Care Obligation required him to exercise reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation compared to reasonably available alternatives. The 3.60% annual cost drag on a conservative investor's portfolio, the surrender charge exposure for an elderly client with predictable liquidity needs, and the 60% equity allocation for someone with a conservative risk tolerance all indicate a failure of the Care Obligation. Additionally, the Conflict of Interest Obligation under Reg BI required Dean's firm to establish policies to identify and mitigate conflicts arising from the 5.75% commission; the cursory supervisory review ('GMWB addresses longevity risk--approved') suggests the firm's conflict mitigation procedures were inadequate.

****Supervisory Failures:**** The principal's approval in two business days with a single-line justification--despite the transaction being flagged for age-related review--suggests a failure of the broker-dealer's supervisory system under FINRA Rule 3110. A heightened review was warranted given the customer's age, the concentration of assets, the surrender period, and the equity allocation.

****Likely Regulatory Outcome:**** Dean would likely face enforcement action from FINRA and the New York Department of Financial Services. Potential sanctions include disgorgement of the \$18,687.50 commission, restitution to Margaret

for the surrender charges incurred and excess costs paid, fines, a suspension or bar, and supervisory sanctions against the approving principal and the broker-dealer for failure to adequately supervise a flagged transaction involving a senior investor. Academic literature and GAO reports have consistently identified precisely this pattern--high-cost variable annuities sold to elderly, conservative investors with liquidity needs--as a paradigmatic case of unsuitable VA mis-selling.

Item 184 of 350**NON-COMPLIANT****Topic:** high_fees_unsuitable**Difficulty:** medium**Source:** 24_Variable_Annuities**Fact Pattern**

Margaret Kowalski, age 72, is a retired elementary school teacher living in Buffalo, New York. She receives \$2,850 per month from her state pension and \$1,740 per month in Social Security benefits, giving her a combined annual income of approximately \$55,080. She has \$185,000 in a traditional IRA at a bank brokerage unit, \$42,000 in a savings account, and owns her home outright, valued at approximately \$210,000. Mrs. Kowalski describes herself as conservative, stating repeatedly that her primary goal is to preserve her savings so she can cover medical expenses and leave something to her two grandchildren. She has no experience with market-linked investments and told her advisor, Derek Holton, that she 'cannot afford to lose any of this money.' In March 2023, Holton recommended that Mrs. Kowalski liquidate her existing IRA, which was invested in a short-term bond fund with an annual expense ratio of 0.18%, and use the proceeds to purchase a variable annuity issued by a mid-tier insurance carrier. The variable annuity carried a mortality and expense risk charge of 1.45%, an administrative fee of 0.15%, and underlying sub-account average expenses of 0.92%, bringing total annual costs to approximately 2.52%. The contract also included a guaranteed minimum income benefit rider costing an additional 1.10% annually, raising total all-in annual costs to approximately 3.62%. The annuity imposed a seven-year surrender charge schedule starting at 8% in year one and declining by one percentage point per year. Mrs. Kowalski signed the application after a single meeting lasting roughly 45 minutes. Holton earned a 6.5% commission on the sale, totaling \$12,025. He did not document any comparison between the existing bond fund and the proposed variable annuity, nor did he present lower-cost alternatives such as a fixed annuity, a fixed indexed annuity without a surrender period, or a simple certificate of deposit ladder. No written needs analysis or risk profile questionnaire was placed in the file. Within eight months, Mrs. Kowalski's account value had declined to \$168,400 due to sub-account losses and the cumulative fee drag. She contacted Holton requesting a withdrawal of \$25,000 for an unexpected roof repair, at which point she learned she would owe a surrender charge of approximately \$1,880 in addition to ordinary income tax on the distribution. She filed a complaint with the state insurance department in January 2024, alleging that Holton never explained the fees, surrender charges, or the risk of market loss, and that the product was entirely wrong for someone in her financial position.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Holton violated multiple suitability and best-interest standards applicable to this transaction.

1. ****FINRA Rule 2330 - Variable Annuity Suitability****: Under Rule 2330, a registered representative recommending a variable annuity must have a reasonable basis to believe the transaction is suitable based on the customer's age, income, financial situation, investment objectives, risk tolerance, tax status, and liquidity needs. Mrs. Kowalski was 72, conservative, dependent on fixed income, had limited liquid assets, and expressly stated she could not afford losses. The variable annuity's 3.62% all-in annual cost, seven-year surrender schedule, and exposure to equity market risk were fundamentally inconsistent with her stated objectives of capital preservation and liquidity. Rule 2330(b)(1)(A) specifically requires consideration of whether the customer would benefit from the tax-deferred features of a VA; here, the money was already in an IRA, so the annuity wrapper provided no incremental tax deferral -- a classic red flag. The

rule also requires the representative to consider surrender charge implications relative to the customer's age and liquidity needs.

2. ****NAIC Model Regulation 275 - Suitability in Annuity Transactions****: Model 275, as adopted by New York and most states, requires a producer to have reasonable grounds to believe an annuity recommendation is suitable based on the consumer's financial profile and needs. The producer must make reasonable efforts to obtain information about the consumer's financial situation, tax status, insurance needs, and objectives. Holton failed to complete any documented needs analysis or risk questionnaire, violating the information-gathering requirement. The recommendation of a high-cost, long-surrender-period variable annuity to a 72-year-old conservative investor with modest liquid savings is facially unsuitable under Model 275's standards.

3. ****New York Regulation 187 - Best Interest Standard****: Because Mrs. Kowalski resides in New York, the transaction is subject to NY Reg 187, which imposes a best-interest standard on annuity recommendations effective August 1, 2019. Under Reg 187, the producer must act in the consumer's best interest at the time the recommendation is made, considering known alternatives and the consumer's financial situation. The regulation explicitly requires evaluation of costs, product complexity, surrender penalties, and the consumer's existing coverage. Holton failed to compare the existing low-cost bond fund to the proposed VA, did not present lower-cost alternatives (fixed annuity, CD ladder, etc.), and did not document how the recommendation served Mrs. Kowalski's best interest rather than his own commission interest. The \$12,025 commission, representing a 6.5% payout, constitutes a significant financial conflict that was neither disclosed nor mitigated.

4. ****SEC Regulation Best Interest (Rule 15l-1)****: If Holton is a registered representative of a broker-dealer, Reg BI also applies. The Care Obligation under Reg BI requires the broker to exercise reasonable diligence, care, and skill in making recommendations, including understanding costs and reasonably available alternatives. The Disclosure Obligation requires full disclosure of material fees and conflicts. The Conflict of Interest Obligation requires policies to identify, disclose, and mitigate conflicts, particularly those arising from compensation. Holton's failure to disclose fees, failure to consider alternatives, and failure to place the customer's interest ahead of his commission income violate all three component obligations.

****Likely Regulatory Outcome****: Mrs. Kowalski's complaint will likely result in an examination by the New York Department of Financial Services under Reg 187 and potentially a FINRA enforcement investigation under Rules 2330 and 2111. Probable consequences include restitution of the surrender charges and excess fees, disgorgement of the commission, fines, heightened supervision for Holton, and possible suspension or bar depending on the scope of similar conduct. The supervising broker-dealer could also face liability for failure to supervise if it did not flag the transaction for principal review as required under Rule 2330(c).

Item 185 of 350

NON-COMPLIANT

Topic: inappropriate_risk_profile

Difficulty: medium

Source: 24_Variable_Annuities

Fact Pattern

In March 2024, Gerald Hoffstein, a 71-year-old retired postal worker living in Columbus, Ohio, met with financial advisor Danielle Krieger at a free dinner seminar held at a local steakhouse. Gerald's wife had passed away eight months earlier, and he was managing his finances alone for the first time. Gerald had a fixed pension of \$2,850 per month, Social Security benefits of \$1,920 per month, and a total of \$410,000 in liquid savings: \$285,000 in a bank certificate of deposit earning 4.8% APY and \$125,000 in a money market account. He had no other investments and had never owned any securities or insurance products beyond a small whole life policy. Gerald described himself to Krieger as someone who "couldn't afford to lose a dime" and said his primary goals were preserving his savings to cover potential long-term care costs and leaving something for his two grandchildren. He specifically told Krieger he had no interest in the stock market because his late wife had lost money in mutual funds during the 2008 financial crisis and they had both sworn off equities. On the new account form, Krieger recorded Gerald's risk tolerance as "moderate growth" and his investment objective as "growth and income," explaining to him that the form was "just a formality" and that the product she was recommending would protect him. Krieger recommended Gerald liquidate his \$285,000 CD -- which had seven months remaining until maturity, triggering a \$4,100 early withdrawal penalty -- and invest \$275,000 into a variable annuity with a seven-year surrender period. The annuity carried a mortality and expense risk charge of 1.35%, an administrative fee of 0.15%, and underlying subaccount expenses averaging 0.92%, for total annual costs of approximately 2.42%. Krieger allocated the variable annuity as follows: 40% to a small-cap equity growth subaccount, 30% to an international equity subaccount, and 30% to a corporate bond subaccount. The annuity included an optional guaranteed minimum income benefit rider at an additional annual cost of 0.95%, bringing total annual charges to approximately 3.37%. Krieger earned a commission of \$16,500 on the sale. She did not discuss any fixed annuity products, fixed indexed annuities, or any alternative lower-cost options. She also did not discuss the tax implications of annuitization relative to Gerald's existing tax-advantaged CD income. Over the following twelve months, the subaccounts declined in value by approximately 14%, reducing Gerald's account to roughly \$236,500 before surrender charges. Gerald contacted his state insurance department in February 2025 after his grandson, a CPA, reviewed the statements and raised concerns.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, the financial advisor violated applicable suitability and best-interest standards on multiple grounds.

****1. Inaccurate Risk Profile Documentation -- FINRA Rule 2330 and NAIC Model Regulation 275 (2020 Best Interest Amendments):****

FINRA Rule 2330(b)(1) requires that a member or associated person have a reasonable basis to believe that a variable annuity transaction is suitable based on the customer's stated risk tolerance, investment objectives, and financial situation. NAIC Model 275, Section 6 (as amended in 2020 and adopted by Ohio effective 2023 under the best-interest framework), requires that insurance producer recommendations reflect the consumer's actual risk tolerance and stated objectives. Here, Gerald explicitly stated he could not afford to lose any money, had no interest in equities, and wanted

capital preservation. Krieger overrode these clearly expressed preferences by recording his risk tolerance as 'moderate growth' and his investment objective as 'growth and income.' Mischaracterizing a client's risk profile on documentation to justify a product recommendation is a serious violation. Telling the client the form was 'just a formality' compounds the misconduct and suggests an intent to manipulate the suitability determination process.

****2. Unsuitable Investment Allocation:****

Allocating 70% of a risk-averse 71-year-old retiree's assets into small-cap equity and international equity subaccounts is facially unsuitable under FINRA Rule 2330(b)(1)(A). These are among the most volatile asset classes and are wholly inconsistent with a client whose stated primary objectives are capital preservation and legacy planning. Even the remaining 30% in corporate bonds carries meaningful credit and interest rate risk. The allocation exposes Gerald to substantial downside risk -- which materialized as a 14% loss -- that he explicitly said he could not tolerate.

****3. Concentration and Liquidity Concerns:****

The recommendation to invest \$275,000 of Gerald's \$410,000 in liquid savings (approximately 67%) into a single variable annuity with a seven-year surrender schedule creates a severe liquidity constraint. FINRA Rule 2330(b)(1)(A)(ii) specifically requires consideration of the customer's liquidity needs. Gerald is 71, has potential long-term care needs, and would face substantial surrender charges (typically 7% in year one, declining thereafter) if he needed access to funds. The recommendation also caused him to break a CD early, incurring a \$4,100 penalty -- an unnecessary cost that further erodes the client's position.

****4. Failure to Consider Reasonably Available Alternatives -- NAIC Model 275, Section 6(B):****

Under the 2020 best-interest amendments to Model 275, the producer must consider reasonably available alternatives. Krieger did not discuss fixed annuities, fixed indexed annuities, or other lower-cost, lower-risk products that would have been far more aligned with Gerald's stated objectives. A fixed annuity with a guaranteed rate would have preserved principal, provided predictable income, and involved dramatically lower annual costs. The failure to present or even consider alternatives is a standalone violation.

****5. Excessive Costs:****

Total annual charges of approximately 3.37% (including the GMIB rider) are substantial and must be justified in light of the client's needs. Given that Gerald wanted capital preservation, the expensive GMIB rider -- designed to guarantee income payments that may not be needed given his pension and Social Security -- and the high subaccount expenses represent costs that are disproportionate to any benefit Gerald would receive, particularly when lower-cost alternatives were available.

****6. Commission Motivation:****

The \$16,500 commission (approximately 6% of the investment) raises a reasonable inference that the recommendation was driven by the advisor's financial interest rather than the client's needs. Under Reg BI (Rule 15c1-1, applicable if Krieger was also a broker-dealer registered representative) and NAIC Model 275, the advisor must identify and mitigate conflicts of interest, including compensation-driven incentives. Under NY Regulation 187 (which, while New York-specific, reflects the national trend), similar transactions have been found violative when compensation materially influenced the recommendation.

****Likely Regulatory Outcome:****

This fact pattern presents a strong case for enforcement action by both the state insurance department (under the state's adoption of NAIC Model 275 best-interest provisions) and, if applicable, FINRA (under Rule 2330 and potentially Rule 2111 general suitability). Likely outcomes include disgorgement of commission, rescission of the transaction, restitution to the customer for losses including the CD early withdrawal penalty, fines, and potential suspension or bar of the advisor. The deliberate mischaracterization of the client's risk profile on the account form could support an additional finding of fraud or dishonest practices.

Item 186 of 350**NON-COMPLIANT****Topic:** high_fees_unsuitable**Difficulty:** medium**Source:** 24_Variable_Annuities**Fact Pattern**

Margaret Kowalski, age 71, is a retired elementary school teacher living in Syracuse, New York. She receives \$2,850 per month in pension income and \$1,920 per month from Social Security, totaling approximately \$57,240 annually. Her total liquid savings amount to \$215,000, held primarily in bank certificates of deposit and a money market account. She owns her home outright, valued at approximately \$185,000, and has no outstanding debts. Margaret describes herself as a conservative investor whose primary objectives are preserving her savings, maintaining liquidity for potential healthcare costs, and leaving a modest inheritance to her two adult children. She has no prior experience with variable annuities or equities and told her advisor she was uncomfortable with market risk. She takes medication for early-stage Parkinson's disease and has expressed concern about potential long-term care expenses within the next five to ten years.

In March 2022, financial advisor Derek Stanhope, who is both a registered representative with a broker-dealer and a licensed insurance agent, recommended that Margaret invest \$185,000 -- approximately 86% of her liquid net worth -- into a variable annuity contract issued by a national insurance carrier. The product selected was the "Prestige Growth & Income VA" with the following fee structure: a mortality and expense risk charge of 1.40% annually, an administrative fee of 0.15% annually, underlying sub-account fund expenses averaging 0.92% annually, and an optional guaranteed minimum income benefit rider costing an additional 1.10% annually. The total all-in annual cost of the product was approximately 3.57%. The contract carried a seven-year surrender charge schedule beginning at 8% in year one and declining by 1% per year. If Margaret needed to access more than the 10% free withdrawal allowance during the surrender period, she would face significant penalties. For a \$185,000 investment, the first-year surrender charge would be \$14,800 if the full amount were liquidated.

Derek's commission on the sale was approximately \$12,025 (a 6.5% upfront commission rate). He allocated Margaret's sub-accounts 60% to a mid-cap growth fund, 25% to an international equity fund, and 15% to a high-yield bond fund -- all equity-oriented or below-investment-grade selections. Derek documented Margaret's risk tolerance as "moderate growth" on the new account form, despite her verbal statements to the contrary. He did not discuss lower-cost alternatives such as fixed annuities, immediate income annuities, bond funds, or Treasury securities. He also did not address how the seven-year surrender period might conflict with her potential need for liquidity to cover healthcare expenses related to her Parkinson's diagnosis. Margaret's two children later reviewed the contract documents and discovered the fee structure and surrender penalties. They contacted the broker-dealer's compliance department in September 2022 after Margaret's account had already declined by approximately \$22,000 due to equity market losses, on top of the roughly \$6,600 in first-year fees deducted from account value.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Stanhope violated multiple applicable suitability and best-interest standards in recommending this variable annuity to Margaret Kowalski.

****FINRA Rule 2330 -- Variable Annuity Suitability:****

FINRA Rule 2330(b) requires that, prior to recommending a variable annuity, a registered representative must have a reasonable basis to believe the transaction is suitable based on the customer's investment profile, including age, income, financial situation, risk tolerance, liquidity needs, investment objectives, and investment time horizon. Specifically, Rule 2330(b)(1)(A) requires consideration of whether the customer would benefit from certain features of a variable annuity, such as tax-deferred growth, annuitization, or a death benefit. At age 71, with a conservative risk profile, no tax-advantaged need (her income is modest and mostly from tax-advantaged sources), and significant liquidity concerns due to a progressive medical condition, Margaret had no demonstrable need for the tax-deferral or growth features of a variable annuity.

Rule 2330(b)(1)(B) requires the representative to determine that the particular variable annuity as a whole is suitable. The Prestige Growth & Income VA carried a total annual cost of approximately 3.57% -- an extraordinarily high expense load for a conservative, elderly investor. The seven-year surrender period is directly at odds with Margaret's stated need for liquidity to address healthcare costs. Allocating 86% of liquid assets to a single illiquid, high-cost product with aggressive sub-account selections is plainly unsuitable.

****NAIC Model Regulation 275:****

The NAIC Suitability in Annuity Transactions Model Regulation (Model 275), as adopted in many states, requires that producers have reasonable grounds to believe a recommendation is suitable based on the consumer's financial situation, insurance needs, tax status, investment objectives, and other relevant information. The producer must also consider whether the consumer has been informed of the features of the annuity, including surrender charges, potential tax penalties, and fees. Derek failed to discuss lower-cost alternatives, misrepresented Margaret's risk tolerance on documentation, and did not adequately address how the product's illiquidity conflicted with her health situation and liquidity needs.

****New York Regulation 187:****

Because Margaret resides in New York, NY Regulation 187 applies directly. Effective August 1, 2019 for annuity transactions, Regulation 187 imposes a best-interest standard on all annuity recommendations. Under 11 NYCRR § 224.4, the producer must act in the best interest of the consumer at the time the recommendation is made, without placing the producer's financial interest ahead of the consumer's. The \$12,025 commission created a significant financial incentive that appears to have driven the recommendation. The producer must also consider reasonably available alternatives. Derek failed to present or discuss any lower-cost or more liquid alternatives such as fixed annuities, immediate annuities, CDs, or Treasury instruments -- all of which would have been more consistent with Margaret's stated objectives and risk tolerance.

Regulation 187 also requires that documentation accurately reflect the consumer's profile. Derek documented Margaret's risk tolerance as "moderate growth" despite her explicit statements that she was conservative and uncomfortable with market risk. This misrepresentation of customer information is a serious violation.

****SEC Regulation Best Interest (Rule 15l-1):****

As a registered representative of a broker-dealer, Derek is also subject to Regulation Best Interest under the Securities Exchange Act. Reg BI's Care Obligation (Rule 15l-1(a)(2)(ii)(B)) requires that a broker-dealer and its associated persons exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation and have a reasonable basis to believe the recommendation is in the retail customer's best interest. The recommendation must consider the customer's investment profile including age, financial situation, risk tolerance, and liquidity needs. Placing 86% of a 71-year-old retiree's liquid assets in a high-fee, illiquid variable annuity with aggressive equity sub-accounts while she faces progressive health deterioration fails this standard. Reg BI's Conflict of Interest Obligation also requires disclosure and mitigation of conflicts; the 6.5% upfront commission created a clear conflict that was neither disclosed nor mitigated.

****Likely Regulatory Outcome:****

This case presents classic hallmarks of VA mis-selling: an elderly, conservative customer with health and liquidity concerns was placed into a high-cost, illiquid, aggressively allocated variable annuity generating a substantial commission. Probable outcomes include: (1) FINRA enforcement action against the registered representative for violations of Rule 2330 and supervision failures against the broker-dealer; (2) New York DFS enforcement for Regulation 187 violations; (3) customer restitution including recovery of surrender charges, excess fees, and market losses attributable to unsuitable allocation; (4) potential fines and suspension or bar of the representative; and (5) enhanced supervision or censure of the broker-dealer for failure to detect the falsified risk tolerance documentation during supervisory review.

Item 187 of 350**NON-COMPLIANT**

Topic: senior_investor_exploitation

Difficulty: medium

Source: 24_Variable_Annuities

Fact Pattern

Margaret Dillon, age 81, is a retired elementary school teacher living in Rochester, New York. She is a widow with two adult children who help manage her affairs. Her total liquid assets consist of \$340,000 in a bank savings account and a \$125,000 CD ladder maturing over the next three years. She receives \$2,400 per month from her state pension and \$1,850 per month from Social Security, which together comfortably cover her living expenses of approximately \$3,200 per month. Margaret has no debt, owns her home outright, and has consistently described herself as a conservative investor who prioritizes capital preservation and liquidity. She has a history of mild cognitive decline noted by her primary care physician, though she has not been declared legally incapacitated.

In March 2023, her financial advisor, Kevin Braddock, age 38, who holds both securities and insurance licenses, met with Margaret at her home after being referred by a neighbor. During the meeting, Kevin recommended that Margaret invest \$275,000--approximately 59% of her total liquid assets--into a variable annuity product called the "Pinnacle Growth VA Plus." This product features a 7-year surrender period with a declining surrender charge starting at 8% in year one, annual mortality and expense charges of 1.45%, an administrative fee of 0.15%, and underlying sub-account expense ratios averaging 0.92%. Kevin also recommended that Margaret add a Guaranteed Minimum Income Benefit (GMIB) rider at an additional annual cost of 1.10%, bringing total all-in annual fees to approximately 3.62%.

Kevin allocated 60% of the variable annuity sub-accounts to equity growth funds and 40% to a balanced allocation fund. He told Margaret that this product would "protect her money while letting it grow" and that the income rider would guarantee her payments for life starting in seven years. He did not discuss that Margaret would be 88 before the surrender period ended, did not document any discussion of her health status or reduced life expectancy, and did not compare the variable annuity to lower-cost alternatives such as a single-premium immediate annuity, fixed annuity, or a conservative portfolio of bonds and CDs. Kevin's commission on the sale was \$16,500.

Margaret's daughter, Patricia, discovered the transaction in June 2023 when Margaret mentioned she could not access "some of her savings." Patricia reviewed the paperwork and found that the application listed Margaret's risk tolerance as "moderate growth" and her investment objective as "long-term growth," which contradicted every prior financial document on file. Patricia also learned that Kevin had not contacted either of Margaret's children before the transaction, despite Margaret having previously told another advisor at the same firm that her children help her with financial decisions. When Patricia called Kevin to ask about the annuity, he said it was "the best product on the market for someone Margaret's age" and that "the living benefits make it completely safe." Kevin's firm's internal records show no evidence of a supervisory review of this transaction prior to submission.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Braddock violated multiple suitability and best-interest requirements applicable to this transaction.

****FINRA Rule 2330 -- Variable Annuity Suitability:****

FINRA Rule 2330 requires that before recommending the purchase of a variable annuity, a registered representative must make reasonable efforts to obtain the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, existing insurance holdings, liquidity needs, liquid net worth, risk tolerance, and tax status. The recommendation must be suitable based on these factors. Here, the application mischaracterized Margaret's risk tolerance as "moderate growth" and her objective as "long-term growth," directly contradicting her documented conservative profile and capital preservation goals. A 7-year surrender period ending when the client is 88, combined with 59% of liquid assets being locked into a high-fee variable product, is facially unsuitable for an 81-year-old with no need for additional growth and adequate income from pension and Social Security.

FINRA Rule 2330 also requires a registered principal to review the transaction before transmitting the application. Kevin's firm failed to conduct any documented supervisory review, a direct violation of Rule 2330(c).

****NAIC Model Regulation 275 -- Suitability in Annuity Transactions:****

The NAIC Model Regulation 275 (adopted in most states and updated in 2020 to include a best-interest standard) requires that an insurance producer, prior to recommending an annuity, act in the best interest of the consumer. The producer must evaluate the consumer's financial situation, insurance needs, existing assets, and must ensure the recommendation is suitable considering the consumer's age, liquidity needs, and financial objectives. Kevin failed to consider Margaret's advanced age, limited time horizon, existing adequate income, and conservative risk profile. He also failed to consider reasonably available alternatives, such as a fixed annuity, SPIA, or CD/bond portfolio, which would have been far more appropriate for her stated needs.

****New York Regulation 187 -- Best Interest Standard:****

Because this transaction involves an annuity delivered in New York state, NY Insurance Regulation 187 applies. Reg 187 imposes a best-interest standard requiring that (1) the recommendation must reflect the care, skill, prudence, and diligence that a prudent person acting in a like capacity would exercise; (2) the producer must consider only the interests of the consumer in making the recommendation, not the producer's own compensation; and (3) there must be a reasonable basis to believe the recommendation is in the consumer's best interest at the time it is made, considering the consumer's age, income, existing assets, financial situation, risk tolerance, liquidity needs, and other relevant factors.

Kevin's \$16,500 commission created an obvious conflict of interest that he did not mitigate or disclose. His failure to compare alternatives, his misrepresentation of risk tolerance on the application, and his recommendation of a product with a 7-year surrender period and 3.62% all-in annual fees to an 81-year-old conservative investor with adequate income strongly suggests the recommendation was driven by compensation rather than the client's interest. The absence of any documentation regarding Margaret's cognitive health, shortened time horizon, or her children's role in financial decisions further demonstrates a failure to exercise the required diligence.

****SEC Regulation Best Interest (Rule 15l-1):****

To the extent Kevin acted in his capacity as a broker-dealer registered representative, Reg BI's Care Obligation requires that the advisor exercise reasonable diligence, care, and skill in making the recommendation, including understanding the potential risks, rewards, and costs of the recommendation, and having a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made without placing the advisor's financial interest ahead of the customer's. The Disclosure Obligation further requires full and fair disclosure of material facts regarding conflicts of interest. Kevin's conduct fails both obligations: the product was plainly unsuitable given the client's profile, and the conflict from the \$16,500 commission was not disclosed or addressed.

****Likely Regulatory Outcome:****

Kevin Braddock and his firm face potential enforcement action from FINRA for violations of Rule 2330 (both the

suitability and supervisory review provisions), from the New York Department of Financial Services for violation of Regulation 187, and potentially from the SEC under Reg BI. Remedies could include disgorgement of commissions, rescission of the annuity contract, restitution to the customer, fines, suspension or bar of the advisor, and censure of the firm for supervisory failures. The involvement of a senior investor with documented cognitive decline would be treated as an aggravating factor. Academic literature and GAO reports on variable annuity mis-selling have repeatedly identified exactly this pattern--high-fee, long-surrender VAs sold to elderly clients with conservative profiles--as a hallmark of unsuitable sales driven by compensation incentives.

Item 188 of 350**NON-COMPLIANT****Topic:** tax_deferred_unnecessary_annuity**Difficulty:** medium**Source:** 24_Variable_Annuities**Fact Pattern**

In March 2024, financial advisor Derek Paulson met with Margaret Cho, a 58-year-old senior paralegal earning \$92,000 per year. Margaret had accumulated \$410,000 in her employer-sponsored 401(k) plan and held an additional \$135,000 in a traditional IRA rollover from a previous employer. She also maintained \$48,000 in a taxable brokerage account and \$22,000 in a savings account. Margaret described herself as a moderate investor with a primary goal of growing her retirement savings over the next seven to ten years before retiring at age 66 or 67. She told Derek she was comfortable with some market fluctuation but did not want to take excessive risk. Margaret mentioned she was already maximizing her annual 401(k) contributions and had been contributing \$6,500 per year to her traditional IRA. During their second meeting, Derek recommended that Margaret move \$120,000 from her traditional IRA into a variable annuity issued by National Horizon Life Insurance Company. The product, called the "Horizon Growth Select VA," carried total annual expenses of 2.35%, consisting of a 1.25% mortality and expense charge, a 0.40% administrative fee, and average underlying subaccount fund expenses of 0.70%. The contract also imposed a seven-year declining surrender charge schedule starting at 7% in year one and decreasing by 1% each year. Derek told Margaret the variable annuity would give her "an extra layer of tax-deferred growth" and access to professional money management through the subaccount options. He did not discuss the fact that her IRA already provided tax-deferred growth on the same assets. Margaret's existing IRA was invested in a diversified portfolio of index mutual funds with a blended expense ratio of 0.18%. Derek earned a 5.50% upfront commission on the \$120,000 purchase, totaling \$6,600. Margaret signed the paperwork and the transfer was processed. Six months later, Margaret consulted an independent financial planner who pointed out that layering a variable annuity inside a tax-deferred IRA provided no additional tax benefit and simply added substantial costs and surrender restrictions to her retirement savings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Paulson violated applicable suitability and best-interest standards in multiple respects.

****Applicable Standards:****

FINRA Rule 2330 (Variable Annuity Suitability) requires that, prior to recommending a variable annuity purchase, a registered representative must have a reasonable basis to believe the transaction is suitable. Specifically, Rule 2330(b)(1)(A) requires consideration of whether the customer would benefit from certain features of a variable annuity, such as tax-deferred growth, annuitization, or a death benefit. A critical component is determining whether the tax-deferred feature provides a genuine benefit given the customer's existing accounts and tax situation.

The NAIC Model Regulation 275 (Suitability in Annuity Transactions), as amended in 2020, imposes a best-interest standard requiring that an insurance producer act in the consumer's best interest at the time of the recommendation without placing the producer's financial interest ahead of the consumer's interest. The producer must evaluate reasonably available alternatives and ensure the recommendation is in the consumer's best interest considering the

consumer's financial situation, insurance needs, and financial objectives.

SEC Regulation Best Interest (Rule 15l-1) requires broker-dealers and their associated persons to act in the retail customer's best interest when making a recommendation, including the Care Obligation, which mandates the exercise of reasonable diligence, care, and skill in understanding the product's risks, costs, and rewards and evaluating whether the recommendation is in the customer's best interest. The Conflict of Interest Obligation requires mitigation of financial incentives that could cause the representative to place his interest ahead of the customer's.

New York Regulation 187 similarly imposes a best-interest standard on annuity recommendations made to New York consumers and requires documentation that alternatives were considered.

****Analysis of Violations:****

1. ****No Incremental Tax Benefit (Tax-Deferred Layering):**** Margaret's \$120,000 was already held in a traditional IRA, which provides full tax-deferred growth by statute. Placing these assets inside a variable annuity added zero additional tax benefit. The primary marketed advantage of a variable annuity -- tax deferral -- was entirely redundant. Under FINRA Rule 2330(b)(1)(A), Derek was required to determine whether the customer would benefit from the tax-deferred features of the VA. He could not reasonably have concluded she would, since the assets already enjoyed identical tax treatment. This is one of the most commonly cited red flags in variable annuity suitability reviews and has been the subject of multiple FINRA enforcement actions and GAO reports on VA mis-selling.

2. ****Substantially Higher Costs with No Offsetting Benefit:**** Margaret's existing IRA portfolio had a blended expense ratio of 0.18%. The variable annuity carried total annual expenses of 2.35% -- approximately 13 times higher. Over seven years on \$120,000, the incremental cost difference (roughly 2.17% annually) would amount to approximately \$18,000-\$22,000 in additional drag on returns, depending on market performance. Derek provided no evidence that the variable annuity's subaccount options or insurance features (death benefit, optional living benefits) were needed by or valuable to this customer. Under Reg BI's Care Obligation, a broker-dealer must evaluate costs relative to reasonably available alternatives; Derek failed to do so.

3. ****Surrender Charges Reduced Liquidity:**** The seven-year declining surrender charge schedule beginning at 7% locked Margaret into the product during the critical pre-retirement years (ages 58-65). If she needed access to funds for unexpected expenses, early retirement, or a reallocation strategy, she would face significant penalties. Her existing IRA had no surrender charges or early redemption fees on the index funds.

4. ****Compensation-Driven Conflict:**** Derek received \$6,600 in upfront commissions (5.50% on \$120,000). This is a significant financial incentive that, under the Conflict of Interest Obligation of Reg BI and the best-interest requirement of NAIC Model 275, must be identified, disclosed, and mitigated. There is no indication Derek disclosed this conflict or considered lower-cost alternatives that would have served Margaret's objectives more efficiently.

5. ****Failure to Consider Alternatives:**** Under NAIC Model 275 and Reg BI, the advisor should have considered whether Margaret's existing low-cost index fund IRA portfolio already met her stated objectives of moderate-risk growth over seven to ten years. A reasonable evaluation would have concluded that it did, and that the variable annuity recommendation was inferior to the status quo.

****Likely Regulatory Outcome:****

This fact pattern presents a classic case of unnecessary VA placement inside an already tax-qualified account, which FINRA, state insurance departments, and the SEC have consistently treated as a serious suitability and best-interest violation. Derek would likely face an enforcement action including fines, disgorgement of commissions, required restitution to the customer, and a potential suspension. His broker-dealer's supervisory review process would also face

scrutiny under FINRA Rule 3110 for failing to flag this transaction at the principal review stage. The insurance carrier's compliance department could face state regulatory action under NAIC Model 275 for inadequate supervision of the producing agent.

Item 189 of 350**NON-COMPLIANT**

Topic: complex_products_unsophisticated_investor

Difficulty: hard

Source: 24_Variable_Annuities

Fact Pattern

Margaret Kowalski, age 72, is a retired elementary school cafeteria worker living in Buffalo, New York. She receives \$1,640 per month in Social Security and a small pension of \$485 per month from the school district. Her total liquid savings consist of \$187,000 in a bank certificate of deposit that matured in March 2023 and \$14,500 in a checking account. She owns her home outright, valued at approximately \$145,000. Margaret has no prior investment experience beyond the CD and a passbook savings account she held for decades. She has a stated risk tolerance of conservative, an investment objective of capital preservation, and she told her advisor during their first meeting that she wanted her money to be safe and available in case she needed it for medical expenses. She takes three prescription medications and has mild early-stage chronic kidney disease, for which she sees a nephrologist quarterly.

In April 2023, Margaret's neighbor introduced her to Kevin Braddock, a registered representative with Lakeshore Financial Partners. Braddock visited Margaret at her home three times over two weeks. During these visits, he explained that interest rates on CDs were 'terrible' and that she was 'losing money to inflation.' He recommended she invest \$165,000 -- roughly 82% of her liquid net worth -- into a variable annuity issued by National Guardian Life, the 'Patriot Growth Plus VA.' The product featured a seven-year surrender charge schedule starting at 8% in year one, declining by 1% annually. The annuity's annual mortality and expense charge was 1.35%, the administrative fee was 0.15%, and the average expense ratio of the underlying sub-accounts Braddock selected (a mix of mid-cap growth, international equity, and emerging market bond funds) was 1.12%, bringing the total all-in annual cost to approximately 2.62%. Braddock also added a guaranteed minimum income benefit rider costing an additional 0.95% annually, bringing the effective total annual cost to 3.57%.

Braddock's notes from the meetings reflect that he explained the product had a 'guarantee,' but Margaret later told her daughter she believed the guarantee meant she could never lose her principal. Braddock did not document any discussion of the surrender charge schedule, the liquidity constraints, or the fact that the sub-account allocations were heavily weighted toward equity and emerging market strategies inconsistent with Margaret's conservative risk tolerance. He did not present or discuss any alternative products such as fixed annuities, Treasury securities, short-duration bond funds, or high-yield savings accounts. The new account form listed Margaret's investment experience as 'limited,' her annual income as \$25,500, her liquid net worth as \$201,500, her risk tolerance as 'moderate growth,' and her time horizon as '10+ years.' Margaret's daughter later noted that her mother did not understand what 'moderate growth' meant and would never have described herself that way.

By November 2023, the sub-accounts had declined 11.4% in value due to emerging market volatility and rising interest rates. Margaret's contract value had fallen to approximately \$143,300. When Margaret called Braddock to withdraw \$22,000 for an unexpected home furnace replacement and dental surgery, she was informed she would face a surrender penalty of approximately 7% (the year-one rate having partially lapsed), plus the loss already embedded in the account. Margaret's daughter filed a written complaint with Lakeshore Financial Partners in December 2023, alleging her mother was sold a product she did not understand and could not afford to be locked into.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Braddock committed multiple violations of applicable suitability and best-interest standards.

****FINRA Rule 2330 -- Variable Annuity Suitability:**** Under Rule 2330, a registered representative must have a reasonable basis to believe that a variable annuity transaction is suitable for the customer based on the customer's investment profile, including age, income, financial situation, risk tolerance, liquidity needs, investment objectives, investment experience, investment time horizon, existing assets, and tax status. Braddock failed on virtually every factor. Margaret was 72, had limited income (\$25,500/year), conservative risk tolerance, no investment experience, a known medical condition creating potential near-term liquidity needs, and capital preservation as her stated objective. Concentrating 82% of her liquid assets in a product with a seven-year surrender schedule, total annual costs of 3.57%, and equity/emerging-market sub-account allocations is facially unsuitable. Rule 2330(b) also requires the representative to determine whether the customer would benefit from certain features of a VA, such as tax-deferred growth -- which provides diminishing benefit to a 72-year-old with modest income already in a low tax bracket -- and whether the customer has other liquid assets sufficient to meet reasonably foreseeable needs. Margaret clearly did not.

****Misrepresentation of Risk Tolerance on the New Account Form:**** Listing Margaret's risk tolerance as 'moderate growth' and her time horizon as '10+ years' when she verbally stated she wanted safety and access to funds for medical expenses constitutes a falsification or, at minimum, a material inaccuracy on the account documentation. This violates the reasonable-basis and customer-specific suitability components embedded in both Rule 2330 and the broader FINRA Rule 2111 framework.

****NAIC Model Regulation 275 -- Suitability in Annuity Transactions:**** Under the revised NAIC Model #275 (adopted in many states, including New York's enhanced version under Regulation 187), an insurance producer must act in the consumer's best interest at the time of the recommendation without placing the producer's financial interest ahead of the consumer's interest. Braddock was required to consider reasonably available alternatives and to document the basis for the recommendation. He presented no alternatives, failed to explain the surrender charge schedule, did not address the liquidity mismatch, and selected sub-accounts inconsistent with the customer's stated conservative profile. Under Model 275, the recommendation must be based on an evaluation of the consumer's financial situation, insurance needs, financial objectives, and suitability information -- all of which pointed decisively against this product for this customer.

****New York Regulation 187:**** Because Margaret resides in New York, the enhanced best-interest standard under NY Reg 187 applies. This regulation requires that annuity recommendations must be in the best interest of the consumer at the time of the transaction, considering the consumer's age, annual income, financial situation, financial experience, financial objectives, intended use of the annuity, financial time horizon, existing assets (including other insurance and annuity products), liquidity needs, liquid net worth, risk tolerance, and tax status. Braddock's recommendation fails on nearly every enumerated factor. Reg 187 also imposes obligations on the insurer and the supervising entity to establish a supervision system reasonably designed to achieve compliance, and Lakeshore Financial Partners may face supervisory liability for failing to flag this transaction.

****SEC Regulation Best Interest (Rule 15l-1):**** As a broker-dealer recommendation, the transaction also falls under Reg BI's Care Obligation, which requires that the advisor exercise reasonable diligence, care, and skill to understand the risks, costs, and rewards of the recommendation, and have a reasonable basis to believe the recommendation is in the customer's best interest considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation, without placing the financial interest of the broker-dealer ahead of the customer's interest. The Disclosure Obligation also required that Braddock clearly disclose all material facts about costs, risks, and conflicts of interest -- including the surrender charges, sub-account risk, and the fact that he was compensated via commissions on the sale. His failure to explain the surrender schedule and the nature of the guarantee constitutes a disclosure violation. The high all-in cost relative to available alternatives and the concentration of Margaret's liquid assets further evidence a

breach of the Care Obligation.

****Likely Regulatory Outcome:**** Braddock and Lakeshore Financial Partners face potential FINRA enforcement action for violations of Rules 2330 and 2111, state insurance department action under NAIC Model 275 and NY Reg 187, and SEC or FINRA action under Reg BI. Likely sanctions include disgorgement of commissions, restitution to Margaret of losses and surrender charges, fines, a suspension or bar for Braddock, and supervisory deficiency findings against the firm. Margaret's complaint would likely also succeed in FINRA arbitration, with damages calculated as the difference between her current contract value (net of surrender penalties) and the amount she would have retained had the funds remained in a suitable conservative investment.

Item 190 of 350**NON-COMPLIANT****Topic:** inappropriate_risk_profile**Difficulty:** medium**Source:** 24_Variable_Annuities**Fact Pattern**

Margaret Olsen, age 74, is a retired elementary school teacher living in suburban Minneapolis. She receives \$2,400 per month from her state pension and \$1,850 per month from Social Security, for a combined annual income of approximately \$51,000. Her total liquid assets consist of \$285,000 in a credit union savings account and a \$40,000 certificate of deposit. She owns her home outright, valued at approximately \$210,000. Margaret has no long-term care insurance. She has described her investment experience as limited, noting that she has never owned stocks, bonds, or mutual funds, and that her late husband had handled all financial decisions before his passing in 2021. In early 2024, Margaret met with financial advisor Dale Kendrick after attending a dinner seminar at a local restaurant titled "Protect Your Retirement from Market Crashes." During the seminar, Kendrick emphasized the dangers of inflation eroding fixed-income savings and suggested that attendees could achieve higher returns while still protecting their principal. At a follow-up office meeting, Kendrick collected a client profile form on which he marked Margaret's risk tolerance as "moderate-aggressive" and her investment objective as "growth." Margaret later stated in a written complaint that she told Kendrick she "couldn't afford to lose any money" and that she wanted something "safe like a CD but maybe paying a little more." Kendrick recommended that Margaret liquidate her \$285,000 savings account and purchase a variable annuity with a guaranteed minimum income benefit rider. The product -- the Pinnacle Growth Select VA -- carried a mortality and expense charge of 1.35%, an administrative fee of 0.15%, underlying sub-account expenses averaging 0.92%, and the income rider fee of 1.10%, for total annual charges of approximately 3.52%. Kendrick allocated 60% of the sub-account value to an aggressive equity growth fund, 25% to an international equity fund, and 15% to a high-yield bond fund. The annuity carried a seven-year surrender charge schedule starting at 8% in year one and declining by one percentage point annually. Kendrick earned a commission of \$19,950 (7% of premium). Margaret's account value declined by approximately 11% in the first eight months due to market volatility. She attempted to withdraw \$30,000 to pay for emergency home repairs after a storm, only to discover she would incur a surrender charge of \$2,400 and lose a portion of her rider benefit base. Margaret filed a complaint with her state insurance department in November 2024, alleging that Kendrick never explained the fees, surrender charges, or risks, and that the product was entirely inconsistent with what she asked for.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dale Kendrick violated multiple suitability and best-interest standards applicable to the recommendation and sale of this variable annuity.

****Risk Profile Misrepresentation and Suitability Failure:****

Under FINRA Rule 2330, a registered representative must have a reasonable basis to believe that a variable annuity transaction is suitable for the customer based on the customer's stated investment objectives, financial situation, risk tolerance, time horizon, liquidity needs, and other relevant factors. Margaret Olsen explicitly communicated that she could not afford to lose money and wanted a safe, CD-like product. Despite this, Kendrick recorded her risk tolerance as "moderate-aggressive" and her objective as "growth." This mischaracterization of the client profile is a textbook

violation of suitability requirements and constitutes a manipulated risk profile designed to justify an otherwise unsuitable recommendation. FINRA enforcement has repeatedly sanctioned advisors for inflating or fabricating client risk profiles to fit product recommendations rather than tailoring recommendations to client needs.

****NAIC Model Regulation 275 -- Best Interest Standard:****

Under the NAIC Suitability in Annuity Transactions Model Regulation (Model 275), as adopted in most states including Minnesota, a producer must act in the best interest of the consumer at the time of the recommendation. This requires consideration of the consumer's financial situation, insurance needs, existing coverage, age, liquidity needs, and stated risk tolerance. A 74-year-old retiree with no investment experience, limited fixed income, no long-term care coverage, and an explicitly stated desire for safety should not be placed into a variable annuity with 85% equity exposure and 3.52% in annual expenses. The product's seven-year surrender schedule also conflicts with Margaret's foreseeable liquidity needs.

****New York Regulation 187 (Analogous Standard):****

Although Margaret resides in Minnesota, the analytical framework of NY Reg 187 is instructive. Under Reg 187, recommendations must be in the consumer's best interest, the producer must not place their financial interest ahead of the consumer's, and the recommendation must be evaluated against reasonably available alternatives. Here, a fixed annuity, a multi-year guaranteed annuity (MYGA), or a simple short-term bond fund would have been far more appropriate and lower-cost alternatives. Kendrick's \$19,950 commission creates a significant financial conflict that he apparently failed to disclose or mitigate.

****SEC Regulation Best Interest (Reg BI, Rule 15l-1):****

If Kendrick is a registered representative of a broker-dealer, Reg BI's Care Obligation requires that he exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of the recommended product and to have a reasonable basis to believe the recommendation is in the customer's best interest, taking into account the customer's investment profile. Reg BI's Disclosure Obligation requires that the advisor provide full and fair disclosure of all material facts relating to the scope and terms of the relationship, including fees and conflicts. Margaret's complaint that she was never informed of fees, surrender charges, or risks suggests a disclosure failure as well. The Conflict of Interest Obligation further requires policies and procedures to identify and mitigate conflicts arising from the 7% commission.

****Likely Regulatory Outcome:****

Kendrick faces potential sanctions from multiple regulators. FINRA could impose a fine, suspension, or bar for unsuitable recommendations and falsification of customer records under Rule 2330 (and Rule 2111). The state insurance department could revoke or suspend his insurance license under Model 275 for acting contrary to the client's best interest. The SEC or the broker-dealer's compliance department could impose additional penalties under Reg BI for failure to satisfy the Care, Disclosure, and Conflict of Interest Obligations. Margaret is likely to receive restitution for her losses, surrender charges, and excess fees. Kendrick's broker-dealer may face supervisory liability for failing to detect the mismatch between the client profile and the recommendation.

Item 191 of 350**NON-COMPLIANT**

Topic: high_fees_unsuitable

Difficulty: hard

Source: 24_Variable_Annuities

Fact Pattern

Margaret Kowalski, age 74, is a retired school librarian living in Syracuse, New York. She has a fixed monthly pension of \$2,800, receives \$1,650 per month in Social Security, and has no other income sources. Her total liquid savings amount to \$185,000, held in a bank money market account earning 4.1% APY, plus a \$40,000 certificate of deposit maturing in six months. She owns her home outright, valued at approximately \$165,000. Margaret has no debts. She described her investment objective as 'preserving what I have so I can cover my medical costs and leave something to my grandchildren.' She characterized herself as very conservative and said she had never owned stocks, mutual funds, or any insurance product other than a small whole life policy she purchased in 1987. Her health is fair; she takes medication for early-stage Parkinson's disease and mild congestive heart failure, conditions she disclosed to her advisor during their first meeting in March 2023.

Her financial advisor, Derek Mullins, age 36, had been licensed for four years and worked at a mid-size broker-dealer with an insurance affiliate. In April 2023, Mullins recommended that Margaret move \$155,000 -- roughly 84% of her liquid assets -- from her money market account into a single variable annuity contract issued by a national insurance carrier. The product featured a seven-year surrender schedule with a first-year surrender charge of 8%, declining by 1% per year. The contract carried a base mortality and expense risk charge of 1.35% annually, an administrative fee of 0.15%, and Mullins selected underlying sub-account portfolios with a weighted-average fund expense ratio of 0.92%. Margaret was also sold an optional guaranteed minimum income benefit rider costing an additional 1.10% annually, bringing total all-in annual charges to approximately 3.52%.

Mullins earned a gross commission of 6.5% on the sale, totaling \$10,075. Internal notes from the firm's supervisory review file show that Mullins documented Margaret's risk tolerance as 'moderate growth' and her time horizon as '10+ years.' No mention of her Parkinson's diagnosis or heart condition appeared in the account paperwork. Mullins told Margaret the annuity would 'guarantee her income for life and grow tax-deferred,' but did not provide a comparison of projected net returns against her existing money market account, nor did he discuss the impact of the surrender charges on her liquidity. He did not present any alternative products, such as a fixed annuity, a single premium immediate annuity, or a short-term bond fund.

By January 2024, Margaret needed \$22,000 to cover a home accessibility renovation recommended by her occupational therapist. When she attempted to withdraw from the annuity, she learned she would face an 8% surrender charge of \$1,760 on the withdrawal amount, plus the contract's 10% free-corridor had already been partially consumed by a prior \$5,000 emergency withdrawal in October 2023 for medical co-pays. Her sub-account value had also declined to approximately \$146,200 due to equity market volatility in the selected growth-oriented portfolios. Frustrated, Margaret filed a written complaint with the broker-dealer and subsequently with the state insurance department, alleging that the annuity was never appropriate for her age, health, liquidity needs, and conservative profile, and that the fees were excessive relative to any benefit she would receive.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Mullins committed multiple violations across several overlapping regulatory frameworks.

1. ****FINRA Rule 2330 -- Variable Annuity Suitability****: Rule 2330(b) requires that a member or associated person have a reasonable basis to believe that a variable annuity transaction is suitable based on the customer's age, income, financial situation, investment objectives, intended use of the product, existing insurance coverage, liquidity needs, risk tolerance, and tax status. Mullins failed on nearly every factor. Margaret was 74 with serious health conditions, had conservative objectives focused on capital preservation, had limited liquid assets, and had no prior experience with market-linked products. Concentrating 84% of her liquid savings in a single VA with a seven-year surrender period and 3.52% annual all-in costs was facially unsuitable. Rule 2330(b)(1)(A) also requires reasonable efforts to obtain information about the customer's existing insurance holdings and financial profile -- Mullins's deliberate omission of Margaret's diagnosed medical conditions from account documentation suggests he either failed to gather or intentionally suppressed material information.

2. ****Supervisory Failures under FINRA Rule 2330(c)****: The registered principal who reviewed and approved this transaction should have questioned the inconsistency between a 74-year-old retired librarian earning a modest fixed income and a '10+ years moderate growth' classification. The firm's supervisory system failed to flag the concentration, the age-based red flag, and the absence of health-related disclosures.

3. ****NAIC Model Regulation 275 (Suitability in Annuity Transactions)****: Under Sections 6(A) and 6(B) of the revised Model 275 (adopted in many states), the producer must have a reasonable basis to believe the annuity is suitable based on the consumer's financial situation, insurance needs, age, liquidity needs, and risk tolerance. An annuity with a seven-year surrender period and high ongoing expenses is unsuitable for a 74-year-old with known near-term medical expenses and no other liquid reserves. The regulation also requires the producer to consider whether the consumer would benefit from the annuity's features, such as tax deferral -- given Margaret's modest income and low marginal tax bracket, tax deferral offered minimal benefit relative to the drag of 3.52% in annual fees.

4. ****New York Regulation 187 -- Best Interest Standard****: Because Margaret resides in New York, the transaction is subject to NY Reg 187, which became effective for annuity transactions on August 1, 2019. Section 224.4 requires that a recommendation be in the consumer's best interest at the time of the transaction, considering the consumer's financial situation, insurance needs, age, and all known circumstances. There is no reasonable interpretation under which concentrating 84% of a 74-year-old's liquid assets in a high-cost VA with a long surrender period, when she has progressive health conditions and foreseeable medical and accessibility expenses, serves her best interest. Additionally, Reg 187 requires disclosure and mitigation of conflicts of interest -- the \$10,075 commission Mullins earned created a material conflict that was neither disclosed nor mitigated.

5. ****SEC Regulation Best Interest (Rule 15l-1)****: As a broker-dealer representative, Mullins is also subject to Reg BI's Care Obligation under Rule 15l-1(a)(2)(ii)(B), which requires the advisor to exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. The Care Obligation also requires consideration of reasonably available alternatives. Mullins failed to present or analyze any alternatives -- a fixed annuity, SPIA, short-term bond fund, or simply retaining the money market account would have better matched Margaret's conservative profile, liquidity needs, and short time horizon. The Disclosure Obligation under Reg BI was also violated because Mullins failed to adequately explain the surrender charges, fee structure, and their impact on Margaret's liquidity.

****Specific Violations Summary****:

- Misrepresenting the customer's risk tolerance and time horizon in account documentation
- Omitting material health information that directly bears on suitability (liquidity needs, life expectancy)
- Recommending excessive concentration (84% of liquid assets) in a single illiquid product

- Failing to consider or present lower-cost, more liquid alternatives
- Selling a high-cost product (3.52% annual fees) to a low-risk, income-dependent retiree whose existing money market yielded 4.1% with full liquidity and no risk
- Failing to disclose the material conflict of interest from the 6.5% commission

****Likely Regulatory Outcome**:** Mullins faces potential FINRA disciplinary action including fines, suspension, or bar. The broker-dealer faces supervisory deficiency charges. The New York Department of Financial Services could pursue enforcement under Reg 187, including revocation of Mullins's insurance license. Margaret may recover damages through FINRA arbitration, including the surrender charges paid, the difference between her money market returns and the net annuity performance, and potentially consequential damages related to her inability to access funds for medically necessary home modifications.

Item 192 of 350**NON-COMPLIANT**

Topic: senior_investor_exploitation

Difficulty: hard

Source: 24_Variable_Annuities

Fact Pattern

Margaret Donovan, age 81, is a retired schoolteacher living in Syracuse, New York. She has been widowed since 2019 and lives alone in a modest home she owns outright. Her total liquid assets consist of \$340,000 in a bank money market account and a \$95,000 certificate of deposit maturing in three months. She receives \$2,100 per month in Social Security and a \$1,400 monthly pension from the state teachers' retirement system. She has no long-term care insurance and has been experiencing early-stage memory issues, which her daughter, Karen, mentioned to the advisor during an initial meeting in January 2023. Margaret's stated investment objectives, as recorded on her new-account form, are capital preservation and income, with a conservative risk tolerance.

Her financial advisor, Brian Colter, age 38, with seven years of experience at a mid-size broker-dealer, met with Margaret three times over two weeks in February 2023. Karen attended the first meeting but was not present for the subsequent two. During the second meeting, Brian recommended that Margaret liquidate her \$340,000 money market account and invest \$295,000 into a variable annuity product -- the "Pinnacle Growth & Income VA" -- issued by a national insurance carrier. The product featured a guaranteed minimum income benefit rider with a 1.15% annual rider charge, underlying subaccount expenses averaging 0.87%, a mortality and expense charge of 1.25%, and an administrative fee of 0.15%, bringing the total all-in annual cost to approximately 3.42%. The contract carried a seven-year surrender schedule beginning at 7% and declining by 1% per year. The recommended subaccount allocation was 60% equity funds and 40% bond funds.

Brian's rationale, documented in a brief suitability memo, stated that the guaranteed income rider would provide Margaret with "lifetime income security" and that the equity exposure would help her assets keep pace with inflation. He did not document any discussion of Margaret's cognitive concerns, her liquidity needs, her lack of long-term care coverage, or the possibility that she might need access to her principal for medical or assisted-living expenses in the near term. He also did not present any alternative products, such as a fixed annuity, an immediate annuity, or a diversified portfolio of low-cost bond funds.

The remaining \$45,000 from the money market account was left in cash, and the \$95,000 CD was not discussed. Brian earned a gross commission of \$17,700 (approximately 6%) on the variable annuity sale. His branch manager approved the transaction after a cursory review.

By September 2023, Margaret's cognitive decline had progressed, and Karen, now holding power of attorney, discovered that the variable annuity's account value had dropped to approximately \$267,000 due to equity market volatility and the cumulative effect of fees. Karen attempted to surrender the contract to move the funds into a more accessible and conservative vehicle but was informed that the surrender charge would be approximately \$16,700 (6% in year one). Karen filed a complaint with the broker-dealer and the state insurance department, alleging that the product was wholly inappropriate for her mother given her age, health, cognitive status, limited liquidity, conservative objectives, and the likelihood of needing principal access for care expenses.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Brian Colter committed multiple violations of applicable suitability and best-interest standards.

****FINRA Rule 2330 -- Special Suitability Requirements for Variable Annuities:****

FINRA Rule 2330 imposes heightened suitability obligations specifically for recommended transactions involving deferred variable annuities. Under Rule 2330(b), before recommending a variable annuity, a registered representative must make reasonable efforts to obtain, among other things, the customer's age, income, financial situation, investment objectives, risk tolerance, existing insurance holdings, and liquidity needs. Brian documented Margaret's conservative risk tolerance and capital preservation objectives, yet recommended a product with 60% equity allocation, a seven-year surrender period, and total annual costs of 3.42% -- fundamentally inconsistent with those stated objectives. Rule 2330(b)(1)(A) requires a reasonable basis to believe the customer would benefit from the features of a deferred variable annuity, such as tax-deferred growth and death benefits. At age 81, Margaret's time horizon was insufficient to benefit meaningfully from tax deferral, and the high costs would erode any such benefit. The seven-year surrender schedule locked up the vast majority of her liquid wealth at a time when her health and cognitive condition made near-term access highly probable.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):****

Model Regulation 275, as revised and adopted in many states, requires an insurance producer to have a reasonable basis to believe that a recommended annuity transaction is suitable based on the consumer's disclosed financial situation, insurance needs, and objectives. Section 6A of the revised model (effective in many states as the best-interest standard) further requires that the recommendation be in the consumer's best interest without placing the producer's financial interest ahead of the consumer's. Brian's \$17,700 commission created a significant financial incentive that appears to have driven the recommendation. His failure to consider or document alternative products (fixed annuities, immediate annuities, low-cost bond portfolios) that would have better matched Margaret's conservative objectives and liquidity needs strongly suggests the recommendation was driven by compensation rather than client welfare. His failure to address or document her known cognitive impairment also violates the reasonable diligence requirements embedded in Model 275.

****New York Regulation 187 (Suitability and Best Interest in Life Insurance and Annuity Transactions):****

Because Margaret resides in New York, NY Regulation 187 applies. Effective since August 1, 2019 for annuity transactions, Reg 187 imposes an explicit best-interest standard. Section 224.4 requires that the producer must act in the best interest of the consumer, must not place the producer's or insurer's financial interest ahead of the consumer's interest, and must consider reasonably available alternatives. Brian recommended one of the most expensive and illiquid product structures available without considering or presenting simpler, less costly alternatives. His failure to document the cognitive concerns raised by Karen, his failure to ensure that Margaret could meaningfully consent to and understand the transaction, and his failure to evaluate her likely need for liquidity all constitute violations of Reg 187's care and documentation requirements.

****SEC Regulation Best Interest (Reg BI, Rule 15l-1):****

As a broker-dealer recommendation made after June 30, 2020, this transaction is also subject to Reg BI. The Care Obligation under Reg BI requires that the advisor exercise reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile, including age, financial situation, risk tolerance, liquidity needs, and investment objectives. A reasonable advisor exercising such care would not recommend concentrating 68% of an 81-year-old widow's liquid assets into a product with a seven-year lockup, 3.42% annual all-in costs, and significant equity exposure when the client has conservative objectives, no long-term care insurance, and documented cognitive decline. The Conflict of Interest Obligation further requires disclosure and mitigation of conflicts; the \$17,700 commission -- roughly 6% -- created a powerful incentive that was neither adequately disclosed to the client nor mitigated through any documented process.

****Supervisory Failures:****

The branch manager's cursory approval of this transaction likely violates FINRA Rule 3110 (supervisory obligations) and FINRA Rule 2330(c), which requires a registered principal to review variable annuity transactions with particular attention to whether the customer has been informed of the product's features, whether the recommendation is suitable given the customer's profile, and whether the customer would benefit from the annuity's features compared to other available products.

****Likely Regulatory Outcome:****

Brian Colter faces potential sanctions including fines, disgorgement of commissions, suspension, or a bar from the industry. The broker-dealer faces supervisory liability. The state insurance department may also pursue action under Reg 187 and/or Model 275. Margaret (through Karen) would likely prevail in an arbitration claim seeking rescission, return of surrender charges, and consequential damages. This fact pattern is a textbook example of senior investor exploitation through an unsuitable variable annuity sale.

Item 193 of 350**NON-COMPLIANT****Topic:** senior_investor_exploitation**Difficulty:** medium**Source:** 24_Variable_Annuities**Fact Pattern**

Margaret Kowalski, age 79, is a retired elementary school teacher living in Rochester, New York. She receives \$2,400 per month in pension income and \$1,850 per month in Social Security benefits, totaling \$4,250 monthly. Her total liquid assets consist of \$310,000 in a bank money market account and a \$45,000 certificate of deposit. She owns her home outright, valued at approximately \$185,000. Margaret has no long-term care insurance and has been experiencing early-stage memory issues, as noted by her daughter Karen who accompanied her to several meetings. Margaret's stated investment objectives on her account application are "preservation of capital" and "income," with a risk tolerance marked as "conservative." She told her advisor, Derek Halpern of Lakeshore Financial Group, that she wanted her money to be safe and accessible in case she needed to move into an assisted living facility, which her doctor had recently discussed as a possibility within the next two to three years.

In March 2023, Derek recommended that Margaret liquidate her \$310,000 money market account and invest \$275,000 into a B-Share variable annuity with a seven-year surrender charge schedule starting at 7% and declining annually to 3% in year five. The product carried a base variable annuity charge of 0.95% annually and included an optional guaranteed minimum income benefit rider costing an additional 1.10% annually, bringing total annual insurance charges to 2.05% before underlying fund expenses. The underlying fund options selected were a mix of equity growth and balanced funds with expense ratios ranging from 0.55% to 0.89%. Derek also recommended adding a guaranteed minimum death benefit rider at a cost of 0.25% annually. All-in annual costs on the annuity exceeded 2.75%.

Derek earned a 5.5% commission on the sale, totaling \$15,125. He did not document any consideration of lower-cost alternatives, such as immediate annuities, short-term bond funds, or keeping a larger portion in liquid savings. He did not document Margaret's potential near-term need for assisted living funds or her cognitive concerns. Karen, Margaret's daughter, later stated that Derek told them the annuity would "protect Mom's money better than a bank account" and that "she could take out what she needed anytime without penalty," without clearly explaining the surrender charge schedule or the 10% annual free-withdrawal limitation during the surrender period. Within fourteen months, Margaret's doctor recommended she transition to an assisted living facility costing \$6,800 per month. When Karen attempted to withdraw \$120,000 from the annuity to fund the first eighteen months of care, she learned the surrender charge would be approximately 6%, or \$7,200, and that the account value had declined to \$258,000 due to market losses in the equity-heavy sub-accounts and the cumulative effect of annual fees.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Halpern violated applicable suitability and best-interest standards on multiple grounds.

1. **FINRA Rule 2330 - Recommended Purchases and Exchanges of Deferred Variable Annuities:** This rule requires that a registered representative have a reasonable basis to believe that a deferred variable annuity transaction is suitable based on the customer's investment profile, including age, financial situation, investment objectives, time

horizon, liquidity needs, risk tolerance, and other relevant factors. Margaret was 79 years old with a conservative risk tolerance, capital preservation objectives, and an imminent potential need for significant liquid funds to pay for assisted living care. A B-Share variable annuity with a seven-year surrender schedule and equity-heavy sub-accounts is fundamentally inconsistent with this profile. Rule 2330(b)(1)(A) specifically enumerates liquidity needs, investment time horizon, and existing insurance coverage as factors that must be considered. Derek failed to account for any of these.

2. ****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** Under the revised Model 275, which New York has adopted in substance through its own enhanced standards, an insurance producer must act in the best interest of the consumer at the time the recommendation is made, without placing the producer's financial interest ahead of the consumer's interest. The producer must consider the consumer's financial situation, insurance needs, existing assets, liquidity needs, and the suitability of the product. Margaret's documented need for near-term liquidity and capital preservation was directly contradicted by the recommended product. The 5.5% commission (\$15,125) creates an inference of a financial-interest conflict, particularly given the absence of any documented analysis of less costly or more liquid alternatives.

3. ****New York Regulation 187 (Insurance Regulation 187):**** Because Margaret resides in New York, Regulation 187 applies with its heightened best-interest standard for annuity recommendations, effective since August 2019 for annuity transactions. Under Reg 187, the producer must have a reasonable basis to believe the recommendation is in the consumer's best interest based on an evaluation of relevant suitability information, and must consider reasonably available alternatives. Derek did not document consideration of any alternatives--such as an immediate annuity for guaranteed monthly income, a short-term bond ladder for liquidity, or simply maintaining funds in a bank account. The regulation also requires that care, skill, and diligence be applied. Recommending an illiquid, high-cost, equity-linked product to a 79-year-old with cognitive decline and near-term assisted living needs fails this standard.

4. ****Regulation Best Interest (Rule 15l-1 under the Exchange Act):**** To the extent the variable annuity recommendation involved the securities component of the product, Reg BI requires the advisor to act in the retail customer's best interest at the time of the recommendation and not place his own financial interest ahead of the customer's. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile and potential risks, rewards, and costs. The Disclosure Obligation requires full and fair disclosure of material facts, including costs and conflicts. Derek's representation that Margaret could access funds "anytime without penalty" was materially misleading given the surrender schedule and free-withdrawal limitations. His failure to disclose or meaningfully explain the 7% initial surrender charge, the 10% annual free-withdrawal cap, and the all-in cost exceeding 2.75% annually constitutes a violation of the disclosure component.

5. ****Senior Investor Exploitation Concerns:**** Multiple regulatory frameworks--including FINRA's heightened scrutiny guidance for senior investors and NAIC's Suitability Model Regulation--flag transactions involving elderly customers with diminished capacity. Margaret's early-stage memory issues, the presence of her daughter at meetings (suggesting recognized cognitive vulnerability), and her advanced age all warranted heightened caution. Derek's failure to document these concerns or adjust his recommendation accordingly is a significant aggravating factor.

****Likely Regulatory Outcome:**** Derek would likely face a FINRA enforcement action for violating Rule 2330 and Reg BI, potentially resulting in a fine, disgorgement of the \$15,125 commission, restitution to Margaret for surrender charges and excess fees, and a suspension or bar. The New York Department of Financial Services could pursue a separate action under Regulation 187, including revocation of his insurance license. A state insurance department referral is also likely. Margaret's losses--including the \$7,200 surrender penalty, approximately \$7,500+ in first-year fees, and market losses attributable to the unsuitable equity allocation--are all compensable harms.

Item 194 of 350

NON-COMPLIANT

Topic: complex_products_unsophisticated_investor

Difficulty: hard

Source: 24_Variable_Annuities

Fact Pattern

Margaret Nowak, age 71, is a retired elementary school cafeteria worker living in Syracuse, New York, with an annual income of \$24,400 consisting entirely of Social Security and a small municipal pension. Her total liquid savings amount to \$185,000 held in a credit union savings account and a \$40,000 certificate of deposit maturing in three months. She has no other investments and has never owned securities of any kind. She owns her home outright, valued at approximately \$140,000, and has no outstanding debts. Her stated investment objective, recorded on the new account form completed by advisor Derek Sievert in March 2023, was 'preservation of capital with modest income.' Her risk tolerance was marked as 'conservative.' Margaret told Derek during their initial meeting at a dinner seminar hosted at a local restaurant that she wanted to make sure her savings lasted through her lifetime and that she could access funds if she needed them for medical expenses, as she had recently been diagnosed with early-stage macular degeneration and anticipated increasing healthcare costs. She completed eighth grade and has described herself as having 'no understanding of the stock market.' She told Derek she had never heard of a variable annuity before the seminar.

Derek, a registered representative affiliated with a broker-dealer and also holding an insurance license, recommended that Margaret liquidate her CD upon maturity and combine those proceeds with \$135,000 from her savings account to purchase a single-premium variable annuity totaling \$175,000, representing approximately 78% of her liquid net worth. The product he recommended was the Pinnacle Growth & Protection VA issued by National Keystone Life Insurance Company, a B-share contract carrying a seven-year declining surrender charge schedule starting at 7% in year one and declining by 1% per year. The contract's annual mortality and expense risk charge was 1.35%, plus an administrative fee of 0.15% per year, and the underlying subaccount options carried expense ratios ranging from 0.65% to 1.40%. Derek also recommended that Margaret add a Guaranteed Minimum Income Benefit (GMIB) rider at an additional annual cost of 0.95% of the benefit base, bringing her total all-in annual cost to approximately 3.10% to 3.85% depending on subaccount selection.

Derek allocated Margaret's funds across five subaccounts: 30% to an aggressive growth equity fund, 25% to an international equity fund, 20% to a mid-cap value fund, 15% to a high-yield bond fund, and 10% to a government bond fund -- meaning 75% of her annuity assets were in equity subaccounts and only 10% in investment-grade fixed income. The product's free withdrawal provision allowed Margaret to withdraw up to 10% of her account value annually without surrender charges, but any amount beyond that threshold during the surrender period would trigger the applicable surrender charge.

Derek's notes from the meeting state that he explained the product 'in full detail' and that Margaret 'understood the benefits of tax-deferred growth and the income guarantee.' Margaret's daughter, who accompanied her to a follow-up meeting, later reported that her mother did not understand what a subaccount was, could not explain the surrender charge schedule, and believed the product guaranteed she could never lose money. Margaret signed the application and the insurer's product-specific disclosure form on March 28, 2023. Derek earned a commission of \$10,150 (5.8% of premium) on the sale. By December 2023, the account had declined 9.2% in value to approximately \$158,900 due to equity market volatility, and Margaret needed \$30,000 for an unexpected eye surgery. When she attempted to withdraw the funds, she was told that only approximately \$15,890 could be withdrawn free of surrender charges, and the remaining \$14,110 would incur a 7% charge of approximately \$988. Margaret filed a complaint with her state insurance

department in January 2024.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Sievert committed multiple serious violations of applicable suitability and best-interest standards.

****FINRA Rule 2330 -- Variable Annuity Suitability:**** FINRA Rule 2330 requires that before recommending a variable annuity, a registered representative must make reasonable efforts to obtain the customer's financial profile, tax status, investment objectives, and other relevant information. The representative must then have a reasonable basis to believe the transaction is suitable in light of the customer's age, income, net worth, risk tolerance, liquidity needs, and investment objectives. Derek's recommendation fails on virtually every prong of Rule 2330's multi-factor analysis:

1. ****Age and time horizon:**** Margaret is 71 years old. A B-share variable annuity with a seven-year surrender period effectively locks a 71-year-old into the product until age 78, during a period when healthcare expenses and liquidity needs are statistically likely to increase substantially. Rule 2330(b)(1)(A) specifically lists the customer's age as a mandatory consideration.
2. ****Liquidity needs:**** Margaret explicitly stated she anticipated rising medical costs related to her macular degeneration diagnosis. Placing 78% of her liquid net worth into a product with a seven-year surrender charge schedule directly contradicts her clearly communicated liquidity requirements. The 10% free-withdrawal corridor was insufficient for her foreseeable medical needs, as the December 2023 withdrawal request demonstrated.
3. ****Risk tolerance and investment objectives:**** Margaret's documented risk tolerance was 'conservative' and her objective was 'preservation of capital with modest income.' Despite this, Derek allocated 75% of her subaccount assets to equity funds, including aggressive growth and international equity -- allocations fundamentally inconsistent with capital preservation. The all-in annual cost of 3.10%-3.85% further erodes returns and makes it extremely difficult for a conservative investor to preserve capital in real terms.
4. ****Concentration:**** Investing \$175,000 of \$225,000 in total liquid assets (78%) in a single illiquid product is an excessive concentration for any conservative elderly investor, let alone one with known upcoming medical expenses.
5. ****Investor sophistication:**** Margaret had an eighth-grade education, no prior investment experience, and had never heard of a variable annuity before the seminar. Her daughter's testimony indicates Margaret did not understand basic features of the product, including subaccounts, surrender charges, or the fact that account values could decline. Rule 2330 implicitly requires that the customer be able to appreciate the risks of the product recommended; Margaret clearly could not.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** Under the revised NAIC Model #275, a producer must have a reasonable basis to believe the recommended annuity transaction is in the consumer's best interest at the time of the transaction, considering the consumer's age, financial situation, insurance needs, financial objectives, intended use of the annuity, financial time horizon, existing assets, liquidity needs, liquid net worth, risk tolerance, and tax status. The regulation imposes a best-interest standard backed by care, disclosure, conflict-of-interest, and documentation obligations. Derek failed the care obligation by recommending a product whose surrender period, cost structure, equity-heavy allocation, and illiquidity were incompatible with Margaret's documented profile. The 5.8% commission (\$10,150) creates a significant conflict of interest that Derek was obligated to identify, mitigate, and disclose; there is no indication he did so.

****New York Regulation 187:**** Because this transaction occurred in New York, NY Reg 187 applies directly. Reg 187 imposes a best-interest standard for annuity recommendations, requiring producers to act in the best interest of the consumer without placing their own financial interest ahead of the consumer's interest. Derek's recommendation of a high-cost, high-commission B-share VA with an aggressive equity allocation for a 71-year-old conservative investor with minimal income and foreseeable medical expenses strongly suggests the recommendation was driven by commission incentive rather than the client's best interest. Reg 187 also requires the producer to consider reasonably available alternatives; a short-term fixed annuity, a multi-year guaranteed annuity, or even maintaining FDIC-insured deposits would have been more consistent with Margaret's stated needs.

****SEC Regulation Best Interest (Rule 15l-1):**** As a registered representative of a broker-dealer, Derek is also subject to Reg BI when making recommendations to retail customers. Under the Care Obligation of Reg BI, Derek was required to exercise reasonable diligence, care, and skill to understand the product, understand costs and risks, have a reasonable basis to believe the recommendation was in Margaret's best interest considering her investment profile, and consider reasonably available alternatives. The Disclosure Obligation required clear disclosure of material facts about the recommendation, including conflicts. The Conflict of Interest Obligation required the firm to establish policies to identify and mitigate conflicts associated with compensation. Derek's recommendation fails the Care Obligation for the same reasons outlined above: excessive concentration, inappropriate risk allocation, excessive cost, liquidity mismatch, and disregard of the investor's limited sophistication and documented conservative profile.

****Likely regulatory outcome:**** Margaret's complaint to the New York Department of Financial Services is likely to trigger an investigation. Probable outcomes include: (1) an order requiring rescission of the annuity contract and restitution of all fees, charges, and investment losses; (2) monetary penalties against Derek and potentially his supervising broker-dealer; (3) potential license suspension or revocation for Derek under state insurance law; (4) a potential FINRA enforcement action including fines, disgorgement, suspension, or bar; and (5) a potential SEC enforcement action under Reg BI. The firm's supervisory system may also be cited for failure to review the transaction pursuant to FINRA Rule 2330(c), which requires a principal to review and approve all variable annuity transactions before they are transmitted. Given Margaret's profile, any reasonable supervisory review should have flagged this recommendation as unsuitable and rejected it.

Item 195 of 350**NON-COMPLIANT****Topic:** illiquid_investments**Difficulty:** hard**Source:** 24_Variable_Annuities**Fact Pattern**

Margaret Ellison, age 71, is a retired school librarian living in suburban Dallas, Texas. She receives \$2,100 per month from her state pension and \$1,450 per month in Social Security benefits. Her total liquid assets consist of \$285,000 in a traditional IRA rollover, \$42,000 in a savings account, and \$18,000 in a checking account. She owns her home outright, valued at approximately \$210,000. Margaret has no long-term care insurance and has a family history of early-onset dementia; her older sister was diagnosed at age 74. Margaret described herself to her advisor, Kevin Brandt, as someone who needed safety, predictable income, and easy access to her savings in case of a medical emergency. She told Kevin in their second meeting, documented in his notes, that she was 'terrified of running out of money if I get sick like my sister.' Kevin had been Margaret's advisor for three years and was aware of her health concerns. In March 2023, Kevin recommended that Margaret move \$230,000 of her \$285,000 IRA into a variable annuity with a guaranteed minimum income benefit rider. The product carried an annual mortality and expense charge of 1.35%, an administrative fee of 0.15%, underlying sub-account expenses averaging 0.87%, and the income rider fee of 1.10%, bringing total annual costs to approximately 3.47%. The annuity carried a seven-year surrender schedule beginning at 7% in year one and declining by 1% per year. Free withdrawals were limited to 10% of accumulated value per year without penalty. Kevin also recommended she allocate the sub-accounts 60% to equity growth funds and 20% to international emerging market funds, with the remaining 20% in a bond index fund. In addition, Kevin recommended Margaret place \$35,000 of her remaining IRA funds into a non-traded real estate investment trust with a minimum five-year hold period, limited quarterly redemption at the sponsor's discretion, and upfront costs totaling 11.5% in commissions and offering expenses. After these transactions, Margaret's only liquid, accessible assets were her \$42,000 savings account and \$18,000 checking account -- a combined \$60,000. Kevin earned a 5.75% commission on the variable annuity sale and a 7% commission on the non-traded REIT. His notes from the meeting state that Margaret 'understood the products' and that 'diversification across asset classes was appropriate for long-term growth.' Kevin did not document any discussion of lower-cost alternatives, did not address Margaret's stated need for emergency liquidity, and did not explain the cumulative impact of the surrender charges and REIT illiquidity on her ability to access funds in a health emergency. Six months later, in September 2023, Margaret's sister passed away after a rapid decline, and Margaret began experiencing early memory issues. Her daughter discovered the account structure and filed a complaint with her state insurance department and Kevin's broker-dealer.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Brandt committed multiple serious violations of applicable suitability and best-interest standards.

****FINRA Rule 2330 -- Variable Annuity Suitability:**** Under Rule 2330, a registered representative must have a reasonable basis for believing that a variable annuity transaction is suitable for a particular customer. The rule requires the advisor to consider the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, investment time horizon, existing assets (including other annuity holdings), liquidity needs, liquid net worth, risk tolerance, and tax status. Kevin's recommendation that Margaret, a

71-year-old retiree with modest income and explicitly stated liquidity concerns, commit \$230,000 -- over 80% of her IRA -- to a product with a seven-year surrender period and total annual costs of approximately 3.47% is facially unsuitable. Her expressed need for emergency access to funds in the event of a health crisis directly contradicts the illiquid nature of the product. The aggressive sub-account allocation (60% equity growth, 20% emerging markets) is also inconsistent with her conservative risk tolerance and stated preference for safety and predictability.

****NAIC Model Regulation 275 -- Suitability in Annuity Transactions:**** Model 275, as adopted in Texas, requires that an insurance producer have a reasonable basis to believe that a recommendation is suitable based on the consumer's suitability information and that the transaction as a whole is in the consumer's best interest. The regulation specifically requires consideration of liquidity needs and existing assets. Kevin failed to adequately weigh Margaret's stated need for liquidity against a medical emergency. Furthermore, Model 275 requires that the producer consider reasonably available alternatives. Kevin's own notes show no documentation of any discussion of lower-cost or more liquid alternatives, such as short-term fixed annuities, certificates of deposit, or no-load mutual funds.

****NY Regulation 187 (applicable by analogy for best-interest analysis):**** While Margaret resides in Texas, Regulation 187's framework is instructive. It requires that a recommendation be in the consumer's best interest at the time it is made, considering the consumer's financial situation, insurance needs, and financial objectives. The recommendation must not place the producer's financial interest ahead of the consumer's interest. Kevin earned \$13,225 on the VA sale and \$2,450 on the REIT placement -- a combined \$15,675 -- on transactions that left a vulnerable 71-year-old client with only \$60,000 in accessible funds. The compensation structure creates a strong inference that Kevin's financial interest drove the recommendation.

****Regulation Best Interest (Rule 15l-1):**** Under Reg BI's Care Obligation, a broker-dealer and associated person must exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest considering the customer's investment profile. The Care Obligation specifically requires consideration of reasonably available alternatives. The combination of a high-cost variable annuity with aggressive sub-account allocations plus a non-traded REIT -- totaling \$265,000 of Margaret's \$285,000 IRA -- violates the Care Obligation because it renders the vast majority of her retirement savings illiquid for a customer who specifically identified liquidity as her paramount concern. Reg BI's Disclosure Obligation also required Kevin to provide full and fair disclosure of the costs, conflicts of interest, and material limitations of both products, which his documentation shows he did not adequately do. The Conflict of Interest Obligation required Kevin's firm to have policies to identify, disclose, and mitigate conflicts arising from his compensation -- the high commissions on both products created a material conflict that was not addressed.

****The Non-Traded REIT Recommendation:**** The \$35,000 allocation to the non-traded REIT compounds the violation. Non-traded REITs are illiquid, carry high upfront costs (11.5% here), and have limited redemption options. For a 71-year-old with a known family history of dementia and a need for accessible funds, this recommendation further demonstrates a pattern of prioritizing high-commission, illiquid products over the client's actual needs.

****Likely Regulatory Outcome:**** Kevin faces potential disciplinary action from his state insurance department for violation of annuity suitability standards, FINRA enforcement for violations of Rule 2330 and Reg BI, and potential arbitration liability. Remedies could include rescission of both transactions, disgorgement of commissions, restitution of surrender charges and losses, fines, and possible suspension or bar. His supervising broker-dealer also faces liability for failure to supervise under FINRA rules, particularly given that the firm's supervisory system should have flagged the concentration of illiquid products for a senior investor with documented liquidity needs.

Item 196 of 350

NON-COMPLIANT

Topic: high_fees_unsuitable

Difficulty: medium

Source: 24_Variable_Annuities

Fact Pattern

Margaret Okonkwo, age 61, is a veteran public school teacher in Illinois earning \$72,000 per year. She has been contributing to her employer's 403(b) plan for 28 years and has accumulated approximately \$410,000 in the plan, invested across a mix of low-cost target-date funds and a stable value fund with a blended expense ratio of 0.18%. Margaret also has a small traditional IRA worth \$35,000. She plans to retire at age 65 and will receive a defined benefit pension of approximately \$54,000 annually. Her risk tolerance is conservative, and her primary investment objective is capital preservation with modest growth to supplement her pension. She has no dependents; her two children are financially independent adults. In February 2023, she attended a retirement planning seminar at a hotel conference room hosted by Raymond Fisk, a financial advisor affiliated with a broker-dealer. After a one-on-one follow-up meeting, Fisk recommended that Margaret roll over her entire \$410,000 from the 403(b) plan into a variable annuity contract with a guaranteed minimum income benefit rider. The variable annuity carried an annual mortality and expense charge of 1.35%, an administrative fee of 0.15%, underlying subaccount expenses averaging 0.92%, and the income rider fee of 1.10%, bringing the total all-in annual cost to approximately 3.52%. The contract also carried a seven-year surrender charge schedule beginning at 8% in year one and declining by 1% per year. Fisk earned a 6.5% commission on the sale, totaling approximately \$26,650. During the meeting, Fisk told Margaret that the guaranteed income rider would 'lock in her gains' and provide her with 'pension-like income she could never outlive,' but he did not discuss the fact that she already had a defined benefit pension, nor did he compare the costs of the variable annuity to her existing low-cost 403(b) investments. He did not document any analysis of whether the income rider benefit would be meaningful given her existing pension income. Margaret signed the paperwork the same day. Six months later, after discussing the transaction with a colleague, Margaret realized the annual fees on the variable annuity were nearly \$14,400 per year--roughly 20 times what she had been paying on her 403(b) investments--and that the seven-year surrender period would lock up her savings until she was 68, three years past her planned retirement date. She filed a complaint with her state insurance department.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, the financial advisor violated multiple applicable suitability and best-interest standards.

****FINRA Rule 2330 Analysis (Variable Annuity Suitability):**** FINRA Rule 2330 requires that before recommending a variable annuity purchase or exchange, a registered representative must have a reasonable basis to believe the transaction is suitable for the customer. Specifically, Rule 2330(b) requires consideration of the customer's age, income, financial situation, investment objectives, intended use of the annuity, existing insurance holdings, liquidity needs, risk tolerance, and tax status. Here, the advisor failed on multiple dimensions:

1. ****Fees Relative to Existing Holdings:**** Margaret's 403(b) had an all-in expense ratio of approximately 0.18%. The recommended variable annuity carried an all-in cost of approximately 3.52%--nearly 20 times higher. Rule 2330 requires consideration of whether the customer would benefit from the features of a variable annuity that are not

available in lower-cost alternatives. The advisor did not perform or document any comparative cost analysis.

2. **Liquidity Needs and Surrender Charges:** Margaret planned to retire at 65, which was four years away. The seven-year surrender period would extend to age 68, restricting access to her funds during the critical early retirement years without penalty. This directly conflicts with her stated objectives and timeline.

3. **Redundancy of the Income Rider:** Margaret already had a defined benefit pension providing \$54,000 annually, plus Social Security eligibility. The guaranteed income rider--which added 1.10% annually in fees--was designed to provide pension-like income. The advisor failed to analyze whether this feature was necessary or beneficial given her existing guaranteed income sources.

NAIC Model Regulation 275 Analysis: Under the NAIC Suitability in Annuity Transactions Model Regulation (Model 275), as amended to incorporate a best-interest standard, a producer must act in the best interest of the consumer. The regulation requires that the recommendation reflect the consumer's suitability information, that the producer consider reasonably available alternatives, and that the compensation not be the primary motivating factor. The \$26,650 commission strongly suggests the recommendation was driven by compensation rather than the client's needs. The lack of any documented comparison to the existing low-cost 403(b) holdings, and the failure to consider the existing pension, constitute violations of the care obligation under Model 275.

New York Regulation 187 Analysis: If this transaction occurred in or involved a New York-issued product, Regulation 187 (11 NYCRR 224) imposes an explicit best-interest standard on annuity recommendations. The advisor would need to demonstrate that the recommendation was in the consumer's best interest at the time of the transaction, considering the consumer's financial situation, insurance needs, and financial objectives. Given the dramatically higher costs, the surrender charge constraints, and the redundancy with existing guaranteed income, this standard was clearly not met.

Regulation Best Interest (Rule 15l-1) Analysis: Under SEC Regulation BI, a broker-dealer and its associated persons must act in the retail customer's best interest when making a recommendation. The Care Obligation requires reasonable diligence, care, and skill in making a recommendation, including understanding the costs and risks involved and considering reasonably available alternatives. The Cost Disclosure Obligation requires full and fair disclosure of material fees. The advisor's failure to compare costs, to consider existing guaranteed income, and to evaluate whether the product features justified the dramatically higher expense structure represents a violation of the Care Obligation. Additionally, the same-day signing without adequate deliberation time raises concerns about whether the disclosure obligations were meaningfully satisfied.

Likely Regulatory Outcome: The advisor faces potential disciplinary action from FINRA, including fines and possible suspension or bar. The state insurance department could revoke or suspend his insurance license. The broker-dealer's supervisory system would also be scrutinized under FINRA Rule 3110 for failing to flag this transaction for heightened review as required by Rule 2330(c). Margaret would likely be entitled to rescission or damages including the surrender charges, excess fees paid, and any market losses attributable to the unsuitable investment.

Item 197 of 350**NON-COMPLIANT****Topic:** high_fees_unsuitable**Difficulty:** medium**Source:** 24_Variable_Annuities**Fact Pattern**

Margaret Olsen, age 74, is a retired elementary school teacher living in Spokane, Washington. She has a fixed monthly pension of \$2,800, receives \$1,650 per month in Social Security benefits, and has \$185,000 in a certificate of deposit that recently matured at her local bank. She has no other investments, owns her home outright, and has approximately \$12,000 in a checking account for daily expenses. Margaret describes herself as very conservative with money and says her primary goals are preserving what she has, keeping her funds accessible for potential assisted-living costs, and leaving something to her two grandchildren. She has no experience with securities or variable products.

In September 2023, Margaret met with Derek Harmon, a dually-licensed insurance producer and registered representative operating out of a financial services office adjacent to her bank. Derek recommended she move the entire \$185,000 CD proceeds into a variable annuity issued by National Horizon Life Insurance Company, specifically the "Horizon Growth & Income VA" product. The product carried a total annual expense ratio of 3.42%, composed of a 1.30% mortality and expense risk charge, a 0.95% fund management fee (the recommended subaccount was an aggressive-growth equity portfolio), a 0.25% administrative fee, and a 0.92% optional guaranteed minimum income benefit rider. The contract also imposed a seven-year declining surrender charge schedule beginning at 8% in year one and decreasing by 1% per year. Derek received an upfront commission of 6.5% (\$12,025) plus a 0.25% annual trail.

Derek's notes from the meeting state that Margaret wanted "growth" and was comfortable with "moderate risk," but Margaret later told a family member she had specifically said she did not want to lose any of her principal and needed to be able to access the money if she had to move into a care facility. When Margaret's grandson, a CPA, reviewed the paperwork three months later, he noted that the annual fees alone would consume roughly \$6,327 per year -- approximately \$527 per month -- and that any early withdrawal beyond the 10% free-withdrawal corridor would trigger substantial surrender penalties during the seven-year lockup. He also observed that a low-cost fixed annuity or even a Treasury-ladder strategy would have preserved principal and provided liquidity on a much shorter timeline, with annual costs under 0.10%. Margaret filed a complaint with her state insurance department in January 2024, alleging the product was entirely wrong for her situation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Harmon likely violated multiple applicable standards governing the sale of variable annuities.

****FINRA Rule 2330 -- Variable Annuity Suitability:****

FINRA Rule 2330 requires that before recommending a variable annuity, a registered representative must have a reasonable basis to believe the transaction is suitable for the customer based on the customer's age, income, financial situation, investment objectives, investment experience, liquidity needs, risk tolerance, tax status, and other relevant factors. Under Rule 2330(b)(1), the representative must also determine that the customer would benefit from certain features of variable annuities, such as tax-deferred growth, annuitization, or death benefit protections, and that these

features justify the higher costs relative to alternative products.

Here, Margaret was 74 years old, had no investment experience, described herself as very conservative, prioritized principal preservation and liquidity for potential assisted-living expenses, and had a modest fixed income. The recommended product -- an aggressive-growth equity subaccount inside a high-cost variable annuity with a seven-year surrender period -- is fundamentally misaligned with every stated objective. Her age alone raises red flags under Rule 2330's heightened scrutiny for senior investors. She had no need for tax-deferral (her income is modest and largely already tax-advantaged), no stated desire for market participation, and an explicit need for liquidity that the surrender schedule directly impairs. The 3.42% total annual expense ratio on \$185,000 represents a significant annual drag that would need to be overcome by investment returns before any real growth occurs -- an unreasonable expectation for a conservative 74-year-old investor.

****NAIC Model Regulation 275 (Best Interest Standard for Annuity Transactions):****

The NAIC Model Regulation 275, as revised in 2020 and adopted or being adopted by most states including Washington (effective January 1, 2024), imposes a best interest standard on insurance producers recommending annuity products. Under Model 275 Section 6, a producer must act in the consumer's best interest at the time of the recommendation, considering the consumer's financial situation, insurance needs, financial objectives, and must not place the producer's financial interest ahead of the consumer's interest. The regulation includes four component obligations: care, disclosure, conflict of interest, and documentation.

Derek's recommendation fails the care obligation because no reasonable producer, after learning Margaret's profile, would conclude that concentrating her entire liquid net worth in an illiquid, high-fee, equity-based variable annuity served her best interest. The 6.5% upfront commission (\$12,025) creates a glaring financial conflict that was apparently not disclosed or mitigated. Derek's file notes mischaracterize Margaret's risk tolerance as "moderate" and her objective as "growth," contradicting her own account -- suggesting a documentation failure designed to rationalize an unsuitable sale.

****New York Regulation 187 (applicable as persuasive analogy for best-interest analysis):****

Although Margaret resides in Washington, NY Reg 187 provides a useful analytical framework as the first state-level best interest standard for annuity and life insurance transactions. Under Reg 187 Section 224.4, a producer must consider reasonably available alternatives and must have a reasonable basis to conclude the recommended product effectively addresses the consumer's needs. A fixed annuity, Treasury securities, or even a high-yield savings account would have addressed Margaret's stated goals at a fraction of the cost and without liquidity restrictions. Derek apparently did not consider or present any alternatives.

****SEC Regulation Best Interest (Rule 15l-1):****

As a dually-registered representative, Derek is also subject to Reg BI under the Securities Exchange Act when making recommendations of securities (variable annuity subaccounts are securities). Reg BI's Care Obligation requires that the broker-dealer and associated person exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of the recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest. The Cost component is particularly relevant: Reg BI requires consideration of reasonably available alternatives, and when a lower-cost product would equally serve the customer's objectives, recommending the higher-cost product without justification is a violation. The Conflict of Interest Obligation further requires that the firm establish policies to identify, disclose, and mitigate conflicts -- the large upfront commission here is a material conflict.

****Likely Regulatory Outcome:****

Margaret's complaint to the Washington Office of the Insurance Commissioner would likely trigger an investigation under the state's newly adopted best interest rules (effective January 1, 2024, aligned with NAIC Model 275). FINRA could also pursue the matter as a Rule 2330 and Reg BI violation. Probable outcomes include: rescission of the annuity contract with full return of premiums and fees; disgorgement of Derek's commission; fines imposed on Derek and

potentially his broker-dealer for supervisory failures; mandatory additional training or suspension of Derek's insurance and securities licenses; and potential restitution to Margaret for any losses, surrender charges, or tax consequences incurred. The GAO and academic literature on VA mis-selling to seniors consistently identifies this pattern -- concentration of liquid assets in high-fee, illiquid variable annuities sold to elderly, conservative, unsophisticated customers -- as a paradigmatic unsuitable transaction.

Item 198 of 350**NON-COMPLIANT**

Topic: tax_deferred_unnecessary_annuity

Difficulty: medium

Source: 24_Variable_Annuities

Fact Pattern

Margaret Kowalski, age 58, has been a high school chemistry teacher in suburban Illinois for 31 years. She earns \$82,000 annually and participates in her school district's 403(b) retirement plan, to which she contributes 12% of her salary. Her 403(b) account holds approximately \$410,000 invested in a diversified mix of low-cost index mutual funds with a blended expense ratio of 0.18%. She also has a traditional IRA worth \$95,000 and a savings account with \$40,000. Margaret describes herself as moderately conservative in risk tolerance, with a primary objective of capital preservation and modest growth as she approaches retirement at age 62. She has no dependents, owns her home outright, and carries no debt.

In March 2023, Margaret attended a retirement planning seminar at a local hotel, hosted by financial advisor Dennis Hargrove, who is dually registered as a broker-dealer representative and insurance agent. During a follow-up one-on-one meeting at his office, Dennis reviewed Margaret's financial situation and recommended she roll over her entire \$410,000 403(b) balance into a variable annuity contract issued by National Guardian Life. The recommended product, the "Premier Growth Select VA," carried a mortality and expense risk charge of 1.35%, an administrative fee of 0.15%, and underlying sub-account expenses averaging 0.85%, bringing total annual costs to approximately 2.35%. The contract also imposed a seven-year surrender charge schedule beginning at 7% in year one and declining by 1% annually. Dennis earned a 5.5% commission on the sale, totaling \$22,550.

Dennis told Margaret the variable annuity would provide her with "tax-deferred growth" and a guaranteed minimum income benefit rider (at an additional annual cost of 0.95%) that would protect her in retirement. He prepared a brief illustration showing projected income at age 62 but did not compare these projections to what Margaret's existing 403(b) investments would produce if left in place. He did not discuss the fact that her 403(b) plan already provided tax-deferred growth, nor did he explain that the rollover would layer additional costs onto investments that were already in a tax-advantaged wrapper. Margaret signed the paperwork the same day. Within two months, she noticed her quarterly statement showed significantly higher fees than she had previously paid. She contacted the Illinois Department of Insurance to file a complaint in June 2023.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dennis Hargrove likely violated multiple applicable suitability and best-interest standards.

****FINRA Rule 2330 - Variable Annuity Suitability****

FINRA Rule 2330 requires that prior to recommending a variable annuity purchase or exchange, a registered representative must have a reasonable basis to believe the transaction is suitable for the customer. Specifically, Rule 2330(b)(1) requires consideration of whether the customer would benefit from certain features of a variable annuity, such as tax-deferred growth, annuitization, or a death benefit. Here, Margaret's 403(b) already provided tax-deferred growth. Rolling those assets into a variable annuity added no new tax benefit while dramatically increasing costs -- from

0.18% to approximately 3.30% (including the income rider). The "tax deferral" rationale Dennis cited was redundant and misleading, as the 403(b) is itself a tax-deferred vehicle. Rule 2330(b)(2) also requires consideration of the particular variable annuity as a whole, including its riders, surrender charges, and costs relative to alternatives.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions)****

Under the revised NAIC Model 275 (adopted by Illinois), an insurance producer must act in the consumer's best interest at the time of the recommendation and must not place their financial interest ahead of the consumer's. The producer must consider reasonably available alternatives. Dennis failed to compare the existing low-cost 403(b) allocation against the variable annuity. The seven-year surrender schedule also created a liquidity constraint inappropriate for a client four years from retirement. The 5.5% commission (\$22,550) represents a significant financial incentive that appears to have driven the recommendation rather than any demonstrable client benefit.

****SEC Regulation Best Interest (Rule 15l-1)****

As a dually registered representative, Dennis is subject to Reg BI when making recommendations to retail customers. The Care Obligation under Reg BI requires that the advisor exercise reasonable diligence, care, and skill in making a recommendation, including understanding costs and reasonably available alternatives. Recommending a high-cost variable annuity to replace low-cost index funds already held in a tax-deferred account, without performing any comparative analysis, fails this standard. The Disclosure Obligation requires full and fair disclosure of material facts, including conflicts of interest -- Dennis does not appear to have disclosed his \$22,550 commission or the cost differential. The Conflict of Interest Obligation requires policies to identify and mitigate conflicts; the commission structure here created an obvious conflict that was not mitigated.

****NY Regulation 187 (if applicable by analogy)****

Although Margaret resides in Illinois, NY Reg 187 is instructive as a best-interest standard in insurance transactions. It would similarly find the recommendation deficient because the annuity provided no material benefit over the existing arrangement and the producer failed to document any reasonable basis for the recommendation.

****Likely Regulatory Outcome:****

Dennis faces potential FINRA enforcement action for violating Rule 2330, state insurance department discipline in Illinois for violating the state's adopted version of NAIC Model 275, and potential SEC scrutiny under Reg BI. Remedies could include rescission of the annuity contract, disgorgement of the \$22,550 commission, restitution to Margaret for excess fees paid, fines, suspension, and enhanced supervisory requirements. Academic literature on VA mis-selling consistently identifies the placement of already tax-deferred retirement assets into variable annuities as a hallmark of unsuitable recommendations driven by commission incentives rather than client need. GAO reports have similarly flagged the vulnerability of 403(b) participants -- particularly public school teachers -- to high-cost product recommendations from outside advisors.

Item 199 of 350**NON-COMPLIANT****Topic:** failure_to_know_customer**Difficulty:** medium**Source:** 24_Variable_Annuities**Fact Pattern**

In March 2023, Gerald Watts, a financial advisor based in Houston, Texas, met with Margaret Fong, a 71-year-old retired school librarian, at a community center financial planning seminar he hosted. During the seminar, Mrs. Fong signed up for a free portfolio review. At their follow-up meeting one week later, Watts spent approximately 25 minutes with Mrs. Fong. According to his notes, he recorded her age, address, and the fact that she had \$410,000 in a bank certificate of deposit that was maturing in two weeks. Mrs. Fong mentioned she was widowed, lived alone, and relied on Social Security of \$2,180 per month and a small teacher's pension of \$1,350 per month. Watts did not ask about her monthly expenses, existing debts, other assets, health status, tax situation, beneficiaries, prior investment experience, risk tolerance, time horizon, or liquidity needs. He did not ask whether she had any other financial advisor or existing insurance or annuity contracts. Watts recommended that Mrs. Fong roll the entire \$410,000 CD into a variable annuity issued by Ridgeline Life Insurance Company, featuring a Guaranteed Minimum Income Benefit rider. The product carried a seven-year surrender charge schedule starting at 8% and declining to 0%, annual mortality and expense charges of 1.35%, an administrative fee of 0.15%, underlying subaccount expenses averaging 0.87%, and a rider fee of 1.10% annually. The total all-in annual cost was approximately 3.47%. Watts earned a 6.5% commission totaling \$26,650 on the sale. He told Mrs. Fong the product would 'protect her money while giving her stock market growth,' and that 'the guarantee means you can never lose your principal.' He did not explain the difference between the account value and the benefit base, the impact of withdrawals on the guarantee, or the fact that surrender charges could consume a significant portion of her investment if she needed funds in the early years. Mrs. Fong signed the application that same day. Fourteen months later, in May 2024, Mrs. Fong was diagnosed with early-stage kidney disease and needed \$45,000 for medical expenses not fully covered by Medicare. When she attempted to withdraw the funds, she was assessed a surrender charge of 7% (\$3,150 on the withdrawal), and her guaranteed income benefit base was reduced on a pro-rata basis. She filed a complaint with the Texas Department of Insurance stating that her advisor never asked about her health, her need for accessible funds, or whether she could afford to lock up her only liquid savings for seven years.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Gerald Watts violated multiple applicable regulatory standards by failing to gather essential customer information before recommending a complex variable annuity product.

****FINRA Rule 2330 - Variable Annuity Suitability**:** Under Rule 2330(b), before recommending the purchase of a variable annuity, a registered representative must make reasonable efforts to obtain, at a minimum, the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, investment time horizon, existing assets, liquidity needs, liquid net worth, risk tolerance, tax status, and other relevant information. Watts's own notes reflect that he gathered virtually none of the required data points. He recorded only her age, address, and the existence of the maturing CD. He failed to ascertain her monthly expenses, health status, liquidity needs, risk tolerance, investment experience, time horizon, tax bracket, existing insurance or annuity

holdings, or beneficiary designations. This is a textbook failure-to-know-your-customer violation.

****NAIC Model Regulation 275****: Under the NAIC Suitability in Annuity Transactions Model Regulation (Model 275), as adopted in Texas, a producer must obtain sufficient information about the consumer's financial situation, insurance needs, and financial objectives to have a reasonable basis for a recommendation. The regulation specifically requires the producer to gather information about the consumer's age, annual income, existing financial products, financial situation and needs, risk tolerance, financial experience, financial objectives, intended use of the annuity, financial time horizon, and liquidity needs. Watts's cursory 25-minute meeting and sparse documentation demonstrate that he did not satisfy these obligations. Texas adopted Model 275 standards, and the Texas Department of Insurance can pursue enforcement for non-compliance.

****NY Regulation 187 (applicable if the product were sold in New York, and relevant as an industry benchmark)****: While Mrs. Fong is a Texas resident, it is worth noting that NY Reg 187 imposes a best-interest standard for annuity recommendations, requiring that the transaction be in the consumer's best interest at the time of the recommendation, considering the consumer's financial situation, needs, and objectives. Even under the less stringent suitability framework, Watts's conduct would fail.

****Regulation Best Interest (SEC Rule 15l-1)****: If Watts is a registered representative of a broker-dealer, Reg BI's Care Obligation requires that the advisor exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of a recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest. Reg BI also imposes a Disclosure Obligation regarding material facts about the relationship, including conflicts of interest such as the \$26,650 commission. Watts's failure to gather basic customer profile information means he had no reasonable basis to conclude the recommendation was in Mrs. Fong's best interest. Additionally, telling her she could 'never lose her principal' without distinguishing between account value and benefit base constitutes a materially misleading statement.

****Specific Violations and Analysis****:

1. ****Failure to Know the Customer****: Watts did not obtain information about Mrs. Fong's health, liquidity needs, risk tolerance, investment experience, monthly expenses, tax situation, existing holdings, or time horizon. A 71-year-old widow with no investment experience, relying on fixed income of \$3,530/month, and holding her only liquid asset in a bank CD, presents a customer profile that demands thorough questioning before any illiquid, high-cost product recommendation.
2. ****Unsuitability of the Recommendation****: Even if Watts had gathered the information, placing 100% of a 71-year-old retiree's liquid savings into a product with a seven-year surrender period and 3.47% annual all-in costs is almost certainly unsuitable. She had no other liquid reserves, depended on modest fixed income, and was at an age where health emergencies were foreseeable.
3. ****Misleading Statements****: Telling Mrs. Fong the guarantee meant she could 'never lose her principal' was materially misleading. The GMIB rider protects a benefit base for annuitization purposes; it does not protect the account value from market losses or surrender charges.
4. ****Concentration Risk****: Recommending that 100% of the client's liquid assets be placed in a single illiquid product is a red flag under both FINRA guidance and NAIC Model 275.

****Likely Regulatory Outcome****: Watts faces potential enforcement action from the Texas Department of Insurance for violations of state annuity suitability rules based on Model 275. If he holds a securities registration, his broker-dealer's compliance department and FINRA could pursue disciplinary action under Rule 2330 and, if applicable, Reg BI. Likely sanctions include fines, disgorgement of the \$26,650 commission, restitution to Mrs. Fong for surrender charges incurred, a suspension or bar, and heightened supervision requirements. The broker-dealer's supervisory system may

also be scrutinized under FINRA Rules 3110 and 3120 for failing to flag the deficiencies in the customer profile documentation before approving the transaction.

Item 200 of 350

NON-COMPLIANT

Topic: tax_deferred_unnecessary_annuity

Difficulty: medium

Source: 24_Variable_Annuities

Fact Pattern

In March 2023, Gerald Whitfield, a 58-year-old high school principal in Albany, New York, met with financial advisor Denise Kowalski after attending a free dinner seminar titled 'Protect Your Retirement from Market Volatility.' Gerald earned \$128,000 annually, had a pension through the New York State Teachers' Retirement System, and maintained a 403(b) plan with a balance of approximately \$310,000. He also held \$95,000 in a traditional IRA rollover from a prior employer and \$42,000 in a taxable brokerage account invested in a balanced mutual fund. Gerald described himself as moderately conservative and told Denise his primary goal was steady growth over the next seven to ten years before retirement, with minimal fees. During the meeting, Denise recommended Gerald move the \$95,000 IRA into a variable annuity -- the Pinnacle Advantage II VA -- offered through her broker-dealer. The product carried a mortality and expense risk charge of 1.40%, an administrative fee of 0.15%, and average underlying subaccount expenses of 0.87%, bringing the total annual cost to approximately 2.42%. The contract also included a seven-year surrender charge schedule starting at 7% and declining by 1% per year. Denise emphasized the tax-deferred growth feature of the variable annuity as a key benefit, telling Gerald that his money would 'grow without the IRS taking a bite every year.' She did not discuss the fact that Gerald's IRA already provided tax-deferred growth. She also did not present any lower-cost alternatives such as no-load mutual funds or low-cost index funds within the existing IRA. Gerald signed the paperwork and the \$95,000 was transferred into the Pinnacle Advantage II VA. Within eighteen months, Gerald realized he was paying significantly more in annual fees than he had been in his prior IRA, which had held a diversified equity index fund with a total expense ratio of 0.08%. He also learned he could not access his funds without paying a 6% surrender charge. Gerald filed a complaint with his state insurance department and the broker-dealer's compliance office.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Denise Kowalski likely violated multiple suitability and best-interest standards applicable to variable annuity recommendations.

****FINRA Rule 2330 -- Suitability of Variable Annuity Recommendations:**** Under FINRA Rule 2330(b), a registered representative must have a reasonable basis to believe that a variable annuity recommendation is suitable for a particular customer. Specifically, the rule requires the advisor to consider, among other things, whether the customer would benefit from certain features of a variable annuity, such as tax-deferred growth, that are not available through other investments. Here, Gerald's \$95,000 was already held in a traditional IRA, which inherently provides tax-deferred growth. Placing tax-deferred money inside another tax-deferred wrapper -- the variable annuity -- provides no incremental tax benefit and instead layers on additional costs. The Pinnacle Advantage II VA imposed total annual expenses of approximately 2.42%, compared to the 0.08% Gerald was paying in his existing index fund IRA. This represents roughly a 30-fold increase in annual costs with no offsetting tax advantage. FINRA has repeatedly identified the purchase of a variable annuity within a qualified retirement account as a red flag requiring heightened scrutiny and documentation of a non-tax rationale, such as a specific living benefit rider or death benefit. No such feature was

discussed or recommended here.

****NAIC Model Regulation 275 -- Suitability in Annuity Transactions:**** Under the revised NAIC Model #275 (adopted by many states), an insurance producer must act in the consumer's best interest at the time a recommendation is made, without placing the producer's financial interest ahead of the consumer's. The producer must consider reasonably available alternatives, the cost and complexity of the product, and the consumer's existing assets and financial situation. Denise failed to consider that Gerald's existing IRA structure already met his stated goals of steady, low-cost, tax-efficient growth. She also failed to present any lower-cost alternatives, which the model regulation explicitly requires. The seven-year surrender charge schedule imposed a significant liquidity constraint that was inconsistent with Gerald's moderate time horizon and retirement planning flexibility needs.

****New York Regulation 187 -- Best Interest Standard (as applicable during the relevant period):**** Because Gerald resides in New York and the transaction occurred in 2023, New York's insurance best-interest standard (to the extent enforceable at the time) would require that the recommendation be in the consumer's best interest and that the producer consider the consumer's financial situation, insurance needs, and existing coverage. Even under the prior suitability framework, recommending an annuity inside an IRA solely on the basis of tax deferral -- a feature the customer already enjoyed -- would be considered unsuitable. The legal status of NY Reg 187 was subject to judicial challenge, but the underlying principle that a recommendation must have a sound, customer-centered rationale remains operative under both state and federal frameworks.

****SEC Regulation Best Interest (Rule 15l-1):**** As a registered representative of a broker-dealer, Denise was also subject to the SEC's Regulation Best Interest at the time of the recommendation. Reg BI's Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making a recommendation, considering reasonably available alternatives, costs, and the customer's investment profile. Recommending a high-cost variable annuity to replace a low-cost index fund within an already tax-advantaged IRA, without any documented non-tax rationale and without discussing alternatives, fails the Care Obligation. Additionally, the Disclosure Obligation requires clear disclosure of all material facts, including costs and conflicts of interest. Denise's affirmative misrepresentation -- telling Gerald the VA would let his money grow without the IRS taking a bite, when his IRA already provided that benefit -- constitutes a material omission and potentially misleading statement.

****Likely Regulatory Outcome:**** Gerald's complaint would likely result in a finding of unsuitable recommendation. The broker-dealer's supervisory system may also be found deficient under FINRA Rule 2330(c), which requires a registered principal to review variable annuity transactions before transmittal. Remedies could include rescission of the annuity contract, reimbursement of excess fees and any surrender charges, and potential fines and suspension for the advisor. Academic literature and GAO reports have consistently identified the placement of variable annuities inside qualified plans as one of the most common forms of VA mis-selling, precisely because the layered tax-deferral benefit is redundant and the additional cost burden is unjustified absent a compelling non-tax feature.

Item 201 of 350**NON-COMPLIANT**

Topic: variable_annuity_unsuitable

Difficulty: hard

Source: 24_Variable_Annuities

Fact Pattern

Margaret Donovan, age 74, is a retired schoolteacher living in Syracuse, New York. She has a fixed monthly pension of \$3,200 and receives \$1,850 per month in Social Security. Her total liquid assets consist of \$410,000 in a traditional IRA that was previously invested in a diversified portfolio of low-cost index funds and a \$55,000 savings account at a local credit union. She has no debts, owns her home outright, and has listed her investment objectives as capital preservation and income. Her risk tolerance on all account documents is marked as 'conservative.' She has no prior experience with variable annuities or complex insurance products. In February 2022, her financial advisor, Derek Paulson, age 38, met with her at her home and recommended she liquidate \$370,000 from her IRA index fund portfolio and use the proceeds to purchase a variable annuity with a Guaranteed Minimum Income Benefit (GMIB) rider. The variable annuity carried a mortality and expense charge of 1.40%, an administrative fee of 0.15%, underlying sub-account expenses averaging 0.87%, and the GMIB rider cost an additional 1.05% annually, bringing the total all-in annual cost to approximately 3.47%. The product imposed a seven-year surrender charge schedule starting at 8% in year one and declining by one percentage point each year. Paulson told Margaret the GMIB rider would 'guarantee her income for life no matter what the market does,' and that the product was 'basically the same as a CD but with upside.' He did not discuss the surrender charge schedule, did not compare the existing portfolio's cost structure (approximately 0.06% in expense ratios) against the proposed annuity, and did not document any analysis of whether Margaret's existing income from pension and Social Security already covered her living expenses, which totaled roughly \$4,100 per month. He also did not consider that the IRA was already tax-deferred, meaning the annuity's tax-deferral feature provided no incremental benefit. Paulson received a 6.5% commission on the sale, totaling \$24,050. Within eight months of the purchase, the sub-accounts had declined 14% due to equity market volatility, and Margaret needed \$30,000 to pay for emergency roof repairs. She was shocked to learn that a surrender of that amount would trigger a \$2,100 surrender penalty and that her account value had fallen to approximately \$318,200. She filed a complaint with the state insurance department in November 2022.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Paulson committed multiple violations across several overlapping regulatory frameworks.

****FINRA Rule 2330 (Variable Annuity Suitability):**** Rule 2330 requires that before recommending a variable annuity purchase, a registered representative must have a reasonable basis to believe that (a) the customer has been informed of the features of the product, including surrender charges, mortality and expense fees, and sub-account risks; (b) the customer would benefit from certain features of the annuity, such as tax-deferred growth, annuitization, or a death benefit, that are not available through other investments; and (c) the particular annuity as a whole, the underlying sub-accounts, riders, and features are suitable. Paulson failed on all three prongs. He did not disclose the surrender schedule or fee structure, the tax-deferral feature was redundant inside an IRA, and the product's high cost and long illiquidity period were fundamentally unsuitable for a 74-year-old conservative investor with modest, already-sufficient income.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** Under Model 275 as revised (adopted in many states), a producer must act in the consumer's best interest at the time of the recommendation without placing the producer's financial interest ahead of the consumer's. The producer must consider the consumer's age, financial situation, existing insurance products, liquidity needs, risk tolerance, and investment objectives. Paulson's recommendation ignored Margaret's advanced age, conservative profile, existing adequate income, and the liquidity risk created by a seven-year surrender period. The 6.5% commission (\$24,050) creates strong evidence of a financial conflict that was not mitigated or disclosed.

****New York Regulation 187:**** As a New York resident, Margaret's transaction falls under NY Reg 187, which imposes a best-interest standard on annuity recommendations made in the state. The regulation requires producers to document a reasonable basis for the recommendation, consider reasonably available alternatives, and ensure the transaction is in the consumer's best interest. Paulson failed to compare the existing low-cost index fund portfolio against the high-cost annuity, failed to document any needs analysis, and made materially misleading statements by comparing the variable annuity to a CD.

****Regulation Best Interest (Rule 15l-1):**** If Paulson made this recommendation in his capacity as a broker-dealer associated person, Reg BI's Care Obligation required him to exercise reasonable diligence, care, and skill in evaluating the recommendation in light of Margaret's investment profile, and to consider reasonably available alternatives. The Disclosure Obligation required full and fair disclosure of all material facts relating to conflicts of interest, including the commission. The massive cost differential (0.06% vs. 3.47%), the redundant tax-deferral feature, the illiquidity imposed on a 74-year-old, and the misleading oral representations all constitute clear failures under Reg BI's component obligations.

****Specific Violations Include:****

1. Recommending a high-cost, illiquid variable annuity to a 74-year-old conservative investor whose income needs were already met.
2. Failing to disclose surrender charges, total costs, and the limitations of the GMIB rider.
3. Making materially misleading statements comparing the variable annuity to a CD.
4. Failing to consider or document any analysis of the client's existing portfolio costs versus proposed costs.
5. Placing the IRA proceeds into a tax-deferred product within an already tax-deferred account, providing no incremental benefit.
6. Prioritizing the \$24,050 commission over the client's financial interests.

****Likely Regulatory Outcome:**** Paulson faces potential sanctions from the state insurance department (fine, license suspension or revocation), FINRA enforcement action (fine, suspension, or bar), and possible SEC action if the conduct constitutes a broader pattern. Margaret would likely recover damages through arbitration or the state complaint process, including the surrender charges incurred, the cost differential, and potentially consequential damages. The supervising broker-dealer also faces liability for failure to supervise under FINRA Rules 3110 and 3120 if it did not have adequate procedures to review variable annuity transactions involving elderly, conservative investors.

Item 202 of 350**NON-COMPLIANT****Topic:** complex_products_unsophisticated_investor**Difficulty:** hard**Source:** 24_Variable_Annuities**Fact Pattern**

Margaret Bowen, age 73, is a retired elementary school teacher living in Rochester, New York, with an annual pension income of \$38,000 and Social Security benefits of \$21,600. Her total liquid savings consist of \$410,000 in a bank certificate of deposit and \$62,000 in a savings account. She has no prior experience with securities, mutual funds, or insurance-linked investment products. She has never owned stocks or bonds directly and described her investment knowledge as 'very limited' on her new account form. Her stated investment objective was 'preservation of principal with some income,' and she checked 'conservative' for risk tolerance. She told her advisor, Dale Richter, that her primary financial goals were to keep her money safe, have it available for potential assisted-living expenses within three to five years, and leave whatever remained to her two grandchildren. Margaret's only prior financial relationship was with her local bank, where she had renewed the same 12-month CD annually for nine years. She was referred to Dale by a family friend who described him as someone who 'helps people with retirement planning.' During their first and only meeting at Margaret's kitchen table on March 12, 2023, which lasted approximately 90 minutes, Dale explained that he could help her earn 'much better returns than the bank' while still providing 'guarantees.' He recommended that she liquidate her \$410,000 CD--which was 17 days from maturity--and invest \$365,000 into a variable annuity issued by a major insurance carrier. The product featured a Guaranteed Minimum Income Benefit rider and a Guaranteed Minimum Death Benefit rider. The base contract carried a mortality and expense charge of 1.40%, an administrative fee of 0.15%, and the two optional riders added a combined 1.55% annually, bringing the total insurance-related charges to 3.10% per year before underlying subaccount expenses. The subaccount options Dale selected for Margaret included an international small-cap equity fund (expense ratio 1.12%), an emerging markets bond fund (expense ratio 0.94%), and a sector-concentrated technology fund (expense ratio 1.08%). The blended all-in annual cost of the product as allocated was approximately 4.15%. The contract imposed a seven-year surrender charge schedule beginning at 8% in year one and declining by one percentage point each year. Dale did not discuss the surrender charge schedule in detail, telling Margaret only that 'there's a small penalty if you take everything out right away, but you won't need to do that.' He did not present any alternative products, such as a fixed annuity, a multi-year guaranteed annuity, a short-term bond fund, or a higher-yielding bank CD. He did not document why variable subaccounts with aggressive equity and emerging market exposure were appropriate given her stated conservative profile. Dale earned a gross commission of \$25,550 (7% of the premium) on the sale. Margaret signed the application and disclosure documents the same day; she later told her daughter she 'didn't really understand everything but trusted Dale.' Five months after the contract was issued, Margaret's subaccount value had declined by \$41,000 due to equity market volatility. She then learned she would need to move to an assisted-living facility and attempted to withdraw \$200,000 to cover anticipated costs. She was informed the surrender charge on that withdrawal would be approximately \$16,000 (8% of the amount exceeding the free-withdrawal corridor). When Margaret's daughter contacted Dale's broker-dealer to complain, she discovered that Dale had noted on his internal paperwork that Margaret had 'moderate' risk tolerance and 'growth and income' objectives, which contradicted what Margaret had written on the client-facing new account form.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Dale Richter committed multiple serious violations across overlapping regulatory frameworks.

1. ****FINRA Rule 2330 - Variable Annuity Suitability****: Rule 2330(b) requires that, prior to recommending the purchase of a variable annuity, a registered representative must make reasonable efforts to obtain the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, existing insurance holdings, liquidity needs, liquid net worth, risk tolerance, and tax status. While Dale apparently collected some of this information, his internal documentation contradicted what Margaret herself recorded--he upgraded her risk tolerance from 'conservative' to 'moderate' and changed her objective from 'preservation of principal with income' to 'growth and income.' This is a hallmark of falsifying documents to justify a sale and constitutes a separate violation. Under Rule 2330(b)(1), the advisor must have a reasonable basis to believe the customer would benefit from certain features of a variable annuity, such as tax-deferred growth, annuitization, or a death benefit. Margaret was 73, had no tax-deferral need (her assets were in non-qualified accounts already), needed liquidity within 3-5 years (conflicting with a 7-year surrender period), and had conservative objectives--none of which align with the costly features of the recommended VA.

2. ****Subaccount Allocation****: The selection of international small-cap equity, emerging markets debt, and a concentrated technology sector fund for a 73-year-old conservative investor with no securities experience is facially unsuitable under the customer-specific obligation of both Rule 2330 and the general suitability principles. These are high-volatility asset classes wholly inconsistent with Margaret's stated preservation-of-principal objective and her imminent need for the funds.

3. ****NAIC Model Regulation 275 (Suitability in Annuity Transactions)****: Under the amended Model 275, a producer must have a reasonable basis to believe a recommendation is suitable based on the consumer's profile, including liquidity needs, existing assets, and financial objectives. The recommendation must also serve the consumer's best interest under the 2020 revisions to the Model. Dale failed this standard because (a) the 7-year surrender period directly conflicted with Margaret's 3-5 year liquidity horizon for assisted-living costs, (b) the 4.15% all-in annual cost was excessive for a conservative investor who could have achieved her goals with a bank CD, fixed annuity, or MYGA at a fraction of the cost, and (c) no consideration of reasonably available alternatives was documented.

4. ****New York Regulation 187 - Best Interest Standard****: Because this transaction occurred in New York, NY Reg 187 applies to the annuity sale (effective for annuities since August 1, 2019). Reg 187 requires that a recommendation be in the consumer's best interest at the time of the transaction, considering the consumer's financial situation, insurance needs, and financial objectives, without placing the producer's or insurer's financial interest ahead of the consumer's. Dale earned \$25,550 in commission on a product that was ill-suited to Margaret's needs. The absence of any alternatives analysis, the mismatched risk allocation, and the liquidity mismatch strongly suggest the recommendation was driven by compensation rather than Margaret's best interest. Reg 187 also requires documentation of the basis for the recommendation; Dale's falsified internal notes compound the violation.

5. ****Reg BI (SEC Rule 15l-1)****: If Dale's broker-dealer is dually registered or the recommendation involved a securities transaction (which a variable annuity is), Regulation Best Interest applies. Under the Care Obligation, Dale was required to exercise reasonable diligence, care, and skill in making his recommendation, consider reasonably available alternatives, and ensure the recommendation was in the retail customer's best interest. The failure to present any alternative, the excessive cost, the liquidity mismatch, and the aggressive subaccount allocation all represent failures of the Care Obligation. The Disclosure Obligation was also likely violated, as Dale minimized the surrender charges. The Conflict of Interest Obligation required the firm to identify and mitigate conflicts arising from the 7% commission; there is no evidence this occurred.

6. ****Document Falsification****: Dale's alteration of Margaret's risk tolerance and investment objectives on internal records--contradicting her own written responses--constitutes potential falsification of books and records, a separate serious violation that could result in enhanced sanctions including bars.

****Likely Regulatory Outcome**:** Margaret's complaint would likely result in the broker-dealer being required to pay restitution of the surrender charge, the subaccount losses attributable to the unsuitable allocation, and potentially the opportunity cost versus a suitable alternative. Dale would face potential suspension or bar for the document falsification. The firm's supervisory system would also be examined under FINRA Rule 3110, as a principal should have flagged a \$365,000 VA sale to a 73-year-old conservative investor with no investment experience. The New York Department of Financial Services could pursue separate enforcement under Reg 187 against both the producer and the insurer. This is a textbook example of variable annuity mis-selling to an unsophisticated elderly investor.

Item 203 of 350

NON-COMPLIANT

Topic: inappropriate_risk_profile

Difficulty: medium

Source: 24_Variable_Annuities

Fact Pattern

In March 2022, financial advisor Derek Hollis met with Martha Ellison, a 74-year-old retired schoolteacher living in Rochester, New York. Mrs. Ellison had total liquid assets of approximately \$310,000, consisting of \$185,000 in a traditional IRA invested in a balanced mutual fund, \$80,000 in a bank certificate of deposit maturing in June 2022, and \$45,000 in a savings account. Her sole income was Social Security of \$2,150 per month and a small state pension of \$1,400 per month. She had no outstanding debts and owned her home outright. Mrs. Ellison told Hollis during their initial meeting that her primary concerns were preserving her savings so she could cover potential assisted-living costs in the future and leaving some money to her two grandchildren. She described herself as someone who 'couldn't sleep at night' during the 2008 market downturn and said she had no appetite for losing money. She also mentioned she might need access to a significant portion of her savings within three to five years if her health declined. Despite these clearly stated objectives, Hollis completed a client profile form that categorized Mrs. Ellison's risk tolerance as 'moderate-aggressive' and her investment time horizon as '10+ years.' When Mrs. Ellison asked about this during a follow-up call, Hollis told her that the form 'was just for internal records' and that she 'shouldn't worry about the labels.' In April 2022, Hollis recommended that Mrs. Ellison liquidate her balanced mutual fund and her maturing CD, and invest \$250,000 into a variable annuity -- the Patriot Growth & Income VA -- offered through his broker-dealer. The product featured a seven-year surrender schedule with a declining surrender charge starting at 7% in the first year. The annuity's subaccounts were allocated 65% to a small-cap equity growth fund and 20% to an international equity fund, with only 15% in a bond fund. Total annual expenses on the variable annuity, including mortality and expense charges, administrative fees, and underlying fund expenses, came to 3.15%. The product included a guaranteed minimum death benefit rider at an additional cost of 0.45% annually, but no living benefit rider that would guarantee income. Hollis earned a commission of \$12,500 on the sale. Within the first year, the account lost approximately 18% of its value due to equity market declines, falling to roughly \$205,000. Mrs. Ellison called Hollis in distress, explaining that she was now worried about affording future care and that she could not access her money without paying surrender charges. Hollis told her to 'stay the course' and that markets always recover.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hollis committed multiple violations of applicable suitability and best-interest standards. Under FINRA Rule 2330, which specifically governs recommended purchases and exchanges of deferred variable annuities, a registered representative must have a reasonable basis to believe that the customer has been informed of the general features of a variable annuity (including surrender charges, potential tax penalties, and market risk), and that the variable annuity as a whole, the underlying subaccounts, and any riders are suitable in light of the customer's investment profile -- including age, income, financial situation, risk tolerance, liquidity needs, investment experience, investment objectives, and time horizon. Here, multiple elements of the recommendation failed these requirements.

First, the risk profile was deliberately mischaracterized. Mrs. Ellison explicitly described herself as highly risk-averse with a short-to-intermediate time horizon and a primary objective of capital preservation. Hollis recorded her risk

tolerance as 'moderate-aggressive' with a '10+ year' horizon, directly contradicting her stated preferences. This falsification of customer profile information is a serious violation that undermines the entire suitability analysis framework. Under FINRA Rule 2330(b), the member or associated person must make reasonable efforts to obtain relevant customer-specific information, and the analysis must be based on accurate data. Fabricating or distorting that data is itself a violation.

Second, the product was unsuitable on its face. A variable annuity with a seven-year surrender period and 3.15% in total annual expenses is inappropriate for a 74-year-old client who may need access to funds within three to five years for healthcare costs. The surrender schedule would impose significant penalties precisely when the client anticipated needing liquidity. The absence of a living benefit rider meant the product offered no guaranteed income floor, which would have been the only feature potentially justifying a VA for a risk-averse retiree concerned about future care costs.

Third, the subaccount allocation -- 65% small-cap equities and 20% international equities -- was wildly inconsistent with a conservative, capital-preservation objective. This aggressive allocation exposed Mrs. Ellison to substantial downside risk that she explicitly said she could not tolerate.

Fourth, under New York Regulation 187, which applies because Mrs. Ellison is a New York resident, transactions involving annuities must be in the best interest of the consumer at the time of the transaction. The regulation requires consideration of the consumer's existing assets and financial situation, including liquidity needs, and whether the product provides benefits that are appropriate for the consumer. The recommendation to concentrate over 80% of Mrs. Ellison's liquid assets in a single illiquid, high-cost, aggressively allocated variable annuity fails this standard comprehensively.

Additionally, under SEC Regulation Best Interest (Rule 15l-1), broker-dealers and their associated persons must act in the retail customer's best interest at the time a recommendation is made, without placing their own financial interest ahead of the customer's. The Care Obligation component requires the broker-dealer to exercise reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile. Hollis's \$12,500 commission provided a strong financial incentive to recommend the VA, and the falsification of the client's risk profile suggests the recommendation was driven by compensation rather than client need.

The NAIC Model Regulation 275, adopted in various forms by most states, similarly requires that producers have a reasonable basis to believe a recommended annuity transaction is suitable based on the consumer's stated financial situation, insurance needs, objectives, and other relevant information. Section 6 of Model 275 (as amended in 2020 to adopt a best-interest standard) would find Hollis in violation for recommending a product inconsistent with the customer's actual profile.

Likely regulatory outcomes include: FINRA enforcement action for violations of Rule 2330 and potentially Rule 2111 (general suitability), resulting in fines, disgorgement of commissions, restitution to the customer, and a potential suspension or bar; New York Department of Financial Services action under Regulation 187; and potential SEC action under Reg BI. The falsification of the customer profile form could also constitute a books-and-records violation and raise issues of fraud.

Item 204 of 350**NON-COMPLIANT**

Topic: high_fees_unsuitable

Difficulty: medium

Source: 24_Variable_Annuities

Fact Pattern

Margaret Choi, age 72, is a retired elementary school teacher living in Columbus, Ohio. She receives \$2,400 per month in pension income and \$1,850 per month from Social Security, giving her a combined annual income of approximately \$51,000. Her total liquid savings amount to \$185,000, held primarily in bank certificates of deposit and a money market account. She also owns her home outright, valued at roughly \$220,000. Margaret describes herself as a conservative investor whose primary goals are preserving her savings for potential long-term care needs and leaving a modest inheritance to her two adult children. She has no investment experience beyond CDs and savings accounts, and she told her advisor, Derek Saunders, that she could not afford to lose any meaningful portion of her savings.

In September 2023, Derek, who had been Margaret's insurance agent for three years, recommended she liquidate \$160,000 of her CDs--which were earning a blended rate of 4.8% APY with maturities ranging from 6 to 18 months--and invest the proceeds in a variable annuity issued by National Horizon Life Insurance Company. The product, called the "Horizon Growth & Income VA," carried a mortality and expense risk charge of 1.45% annually, an administrative fee of 0.15%, and underlying sub-account management fees averaging 0.92%, bringing the total annual expense load to approximately 2.52%. The contract also imposed a seven-year declining surrender charge schedule starting at 8% in year one and decreasing by 1% per year. Derek selected an optional guaranteed minimum income benefit rider at an additional annual cost of 1.10%, bringing Margaret's all-in annual cost to roughly 3.62% of account value.

Derek allocated 55% of Margaret's funds to an equity growth sub-account, 25% to an international equity sub-account, and 20% to a corporate bond sub-account. He did not discuss lower-cost alternatives such as fixed annuities, fixed indexed annuities, or simply renewing and laddering her existing CDs. He also did not address the tax implications of placing non-qualified funds in a product that converts capital gains into ordinary income upon distribution, nor did he explain that Margaret's age meant she would likely need access to the funds within the surrender period. Derek earned a 6.5% upfront commission of \$10,400 on the sale.

By June 2024, the equity sub-accounts had declined 11% during a market correction, reducing Margaret's account value to approximately \$137,200 after fees and market losses. Margaret attempted to withdraw \$30,000 to pay for emergency home repairs and was informed she would owe a 7% surrender charge on the amount exceeding the 10% free withdrawal corridor, costing her an additional \$1,470 in penalties. She filed a complaint with her state insurance department, alleging that Derek never explained the fees, surrender charges, or risk of loss, and that the product was inappropriate given her age, limited assets, conservative outlook, and liquidity needs.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Saunders violated applicable suitability and best-interest standards in multiple respects.

****FINRA Rule 2330 - Variable Annuity Suitability:**** Under Rule 2330, before recommending the purchase of a variable

annuity, a registered representative must make reasonable efforts to obtain the customer's financial status, tax status, investment objectives, liquidity needs, risk tolerance, and other relevant information. The representative must then have a reasonable basis to believe the transaction is suitable, considering factors including (a) whether the customer would benefit from tax-deferred growth, (b) whether the customer has a long enough time horizon to absorb surrender charges and market volatility, (c) whether the customer intends to use the annuity for purposes beyond those served by less costly alternatives, and (d) the total costs and fees. Margaret's profile--a 72-year-old conservative investor with limited liquid savings, no investment experience, foreseeable liquidity needs, and a stated inability to tolerate loss--made a high-fee variable annuity with aggressive equity sub-account allocations fundamentally unsuitable.

****NAIC Model Regulation 275 (Revised 2020):**** The revised Model 275 imposes a best-interest standard on producers recommending annuity transactions. Under this standard, the producer must act in the consumer's best interest at the time of the recommendation without placing the producer's financial interest ahead of the consumer's. Key obligations include the care obligation (requiring reasonable diligence, care, and skill), the disclosure obligation (requiring clear communication of fees, surrender charges, and product features), and the conflict-of-interest obligation (requiring identification and mitigation of material conflicts such as compensation incentives). Derek failed all three: (1) he did not exercise reasonable care--he recommended a product whose 3.62% annual cost and seven-year surrender period were incompatible with Margaret's age, conservative objectives, and liquidity needs; (2) he failed to disclose the fee structure, surrender charges, and tax consequences; and (3) his \$10,400 commission created an unmitigated conflict of interest, particularly when lower-cost alternatives such as fixed annuities or CD laddering better matched Margaret's needs.

****NY Regulation 187 (applicable by analogy to states adopting similar best-interest frameworks):**** Under Regulation 187, producers must demonstrate that a recommendation is in the best interest of the consumer, considering the consumer's financial situation, insurance needs, and objectives. The regulation explicitly requires consideration of reasonably available alternatives. Derek's failure to present or even discuss fixed annuities, fixed indexed annuities, or non-annuity alternatives is a clear violation.

****Reg BI (Rule 15l-1 under the Securities Exchange Act):**** Because a variable annuity is a security, broker-dealer obligations under Regulation Best Interest also apply. Reg BI's Care Obligation requires that the broker exercise reasonable diligence, care, and skill in making a recommendation, considering the investment's risks, rewards, and costs in light of the customer's profile. The Disclosure Obligation requires full and fair disclosure of material facts, including costs and conflicts. The Conflict of Interest Obligation requires policies to identify and mitigate conflicts, including compensation-driven incentives. Derek's recommendation fails all three components: the product's costs were excessive relative to Margaret's conservative needs, he withheld material cost and risk information, and his significant upfront commission was neither disclosed nor mitigated.

****Specific Violations and Aggravating Factors:****

1. ***Excessive fees:** A total annual expense ratio of 3.62% imposed on a conservative, elderly investor with a relatively small account is presumptively unsuitable, as it requires substantial investment returns merely to break even.
2. ***Inappropriate asset allocation:** Placing 80% of a 72-year-old conservative investor's funds in equity and international equity sub-accounts exposes her to volatility inconsistent with her stated objectives and risk tolerance.
3. ***Liquidity mismatch:** A seven-year surrender charge schedule is inappropriate for a client of Margaret's age who may foreseeably need access to her funds for healthcare, home maintenance, or living expenses.
4. ***Failure to consider alternatives:** Derek did not discuss lower-cost, lower-risk alternatives such as fixed annuities, multi-year guaranteed annuities, or simply maintaining her existing CD ladder--all of which would have been more consistent with her objectives.
5. ***Inadequate disclosure:** Margaret's complaint states she was never informed of the fee structure, surrender penalties, or risk of loss, representing a failure of disclosure obligations under all applicable frameworks.
6. ***Concentration risk:** Recommending that Margaret invest \$160,000 of her \$185,000 in liquid savings (86%) in a single illiquid product left her with inadequate reserves.

****Likely Regulatory Outcome:**** Derek faces potential enforcement action from FINRA for violations of Rule 2330 and Reg BI, including fines, disgorgement of commissions, suspension, or barring. The state insurance department may pursue action under its adopted version of Model 275 or equivalent state statute, potentially resulting in license revocation, restitution orders, and civil penalties. Margaret would likely prevail in a FINRA arbitration claim for compensatory damages including the surrender charges paid, market losses attributable to the unsuitable allocation, and excess fees charged relative to a suitable alternative product.

Item 205 of 350**NON-COMPLIANT****Topic:** high_fees_unsuitable**Difficulty:** medium**Source:** 24_Variable_Annuities**Fact Pattern**

Margaret Tolliver, age 72, is a retired elementary school teacher living in Syracuse, New York. She receives \$2,850 per month in pension income and \$1,920 per month in Social Security benefits, giving her a combined annual income of approximately \$57,240. Her total liquid savings amount to \$215,000, held primarily in a bank certificate of deposit earning 4.1% annually, and she has an additional \$40,000 in a savings account for emergencies. She owns her home outright, valued at approximately \$185,000. Margaret has no dependents, has expressed that her primary financial goals are preserving her savings to cover potential long-term care costs and leaving a modest inheritance to her two grandchildren. She has described herself as very conservative and told her advisor, Dale Hendricks, that she 'cannot afford to lose any of this money.' She has limited investment experience, having never owned stocks, mutual funds, or any variable product.

In March 2023, Dale Hendricks, a dually licensed insurance agent and registered representative operating out of a regional brokerage office in Syracuse, met with Margaret after she responded to a mailer advertising 'tax-advantaged retirement strategies.' During the meeting, Dale recommended that Margaret liquidate her \$215,000 CD -- which still had 14 months remaining before maturity, triggering a \$3,400 early withdrawal penalty -- and invest the proceeds into a variable annuity issued by a mid-sized insurance carrier. The specific product was the Pinnacle Select VA III, which carried a mortality and expense risk charge of 1.45% annually, an administrative fee of 0.15%, and underlying sub-account fund expenses averaging 1.05%, bringing the total annual cost to approximately 2.65% of account value, or roughly \$5,698 per year on the initial investment. The contract also imposed a seven-year declining surrender charge schedule starting at 8% in year one and decreasing by 1% per year. Dale allocated 60% of the investment to an equity growth sub-account and 25% to an international equity sub-account, with the remaining 15% in a bond sub-account. He also added an optional guaranteed minimum income benefit rider at an additional annual cost of 0.95%, bringing total all-in annual charges to approximately 3.60%, or \$7,740 per year.

Dale's written notes from the meeting consist of a single sentence: 'Client wants growth and tax deferral.' He did not document Margaret's stated preference for capital preservation, her lack of investment experience, her concern about long-term care expenses, or her inability to tolerate losses. He earned a gross commission of \$14,190 (6.6% of the premium) on the sale. Margaret's account lost approximately 11.2% in value during the first nine months due to equity market declines in the sub-accounts, reducing her account value to roughly \$190,820. When Margaret called Dale in December 2023 asking to withdraw funds to pay for a home repair, she learned that a full surrender would cost her a penalty of over \$15,200 under the surrender schedule, and that she had also incurred roughly \$5,800 in combined fees and charges since the purchase.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dale Hendricks committed multiple violations of applicable suitability and best-interest standards.

****FINRA Rule 2330 -- Variable Annuity Suitability:**** Under FINRA Rule 2330, before recommending the purchase of a variable annuity, a registered representative must make reasonable efforts to obtain the customer's financial status, tax status, investment objectives, liquidity needs, risk tolerance, and other relevant information. The representative must then have a reasonable basis to believe that the customer would benefit from certain features of VAs (such as tax-deferred growth, annuitization, or death benefit features), that the particular VA is suitable, and that the transaction as a whole -- including any riders -- is suitable. Dale failed on all counts. Margaret was 72 years old, highly conservative, had no investment experience, needed liquidity for potential long-term care costs, and had expressly stated she could not afford to lose money. A variable annuity with 85% equity allocation, a seven-year surrender period, and all-in annual costs of 3.60% was fundamentally mismatched to her profile. The tax-deferral benefit was negligible or counterproductive given her age: she would likely need distributions within the surrender period, and VA withdrawals are taxed as ordinary income rather than receiving capital gains treatment. The GMIB rider, while offering some downside protection, added nearly a full percentage point to annual costs on top of already-high charges and was poorly suited for a client whose primary objective was preserving capital, not generating future income from a variable product.

****NAIC Model Regulation 275:**** Under the NAIC Suitability in Annuity Transactions Model Regulation (Model 275), an insurance producer must have a reasonable basis to believe that a recommendation is suitable based on the consumer's age, annual income, financial situation and needs, existing insurance products, intended use of the annuity, financial experience, financial objectives, financial time horizon, liquidity needs, risk tolerance, and tax status. Margaret's profile -- advanced age, conservative risk tolerance, no investment experience, reliance on fixed income, meaningful liquidity needs, and short-to-intermediate time horizon -- made this VA recommendation unsuitable under every listed factor. The producer's documentation obligation was also violated: Dale's notes consisted of one vague sentence that omitted or contradicted the client's actual stated objectives.

****New York Regulation 187 -- Best Interest Standard:**** Because this transaction occurred in New York, NY Regulation 187 applies and imposes a heightened best-interest standard for annuity recommendations (effective since August 1, 2019). Under NY Reg 187, the producer must act in the consumer's best interest at the time the recommendation is made, without placing the producer's or insurer's financial interest ahead of the consumer's interest. The recommendation must reflect consideration of suitable alternatives available through the producer. Dale's recommendation prioritized his own compensation (\$14,190 in commissions) over Margaret's clearly articulated needs. A lower-cost fixed annuity, a multi-year guaranteed annuity (MYGA), or simply retaining the CD would have been more consistent with her conservative objectives, liquidity needs, and limited time horizon. The aggressive sub-account allocation was directly contrary to her expressed risk tolerance. NY Reg 187 also requires that compensation not be a material factor motivating the recommendation; the high commission on a high-fee VA sold to a client who had no need for variable sub-accounts strongly suggests compensation was a primary driver.

****SEC Regulation Best Interest (Reg BI, Rule 15l-1):**** As a registered representative making a recommendation to a retail customer, Dale was also subject to Reg BI's Care Obligation, which requires the advisor to exercise reasonable diligence, care, and skill in making a recommendation. This includes understanding and considering costs, reasonably available alternatives, and the customer's investment profile. The Care Obligation was violated because: (1) total costs of 3.60% annually were excessive relative to her conservative objectives; (2) the liquidity constraints of a seven-year surrender period were incompatible with a 72-year-old client's potential near-term needs; (3) the 85% equity allocation was inconsistent with her stated conservative risk tolerance; and (4) Dale failed to consider reasonably available lower-cost alternatives. Reg BI's Disclosure Obligation also requires full and fair disclosure of material facts, including costs and conflicts, and the record suggests Dale's disclosures were inadequate given his minimal documentation.

****Documentation Failures:**** Across all applicable frameworks, Dale's documentation was grossly deficient. FINRA Rule 2330 requires a principal to review VA transactions before transmittal, and a principal performing such a review would have been unable to assess suitability based on a single-sentence file note. Model 275 and NY Reg 187 both impose documentation requirements on the producer to demonstrate the basis for the recommendation.

****Likely Regulatory Outcome:**** Dale would face potential FINRA enforcement action for violations of Rule 2330 and supervisory failures by his firm. The New York Department of Financial Services could pursue action under NY Reg 187, potentially resulting in fines, restitution, and license revocation. The SEC could pursue a Reg BI action. Margaret would likely be entitled to rescission or restitution of losses, surrender charges, fees, and the CD early-withdrawal penalty, plus consequential damages. Dale's firm could face supervisory liability for failing to flag and prevent the unsuitable transaction.

Item 206 of 350

NON-COMPLIANT

Topic: tax_deferred_unnecessary_annuity

Difficulty: medium

Source: 24_Variable_Annuities

Fact Pattern

In March 2022, financial advisor Derek Slattery met with Margaret Okonkwo, a 58-year-old school librarian earning \$62,000 annually. Margaret had accumulated \$185,000 in a traditional IRA rollover from a previous employer's 403(b) plan, \$34,000 in a taxable brokerage account invested in index funds, and \$12,000 in a savings account. She described herself as a moderate-risk investor whose primary goal was to grow her retirement savings over the next seven to nine years before retiring at age 66 or 67. She told Derek she did not anticipate needing the IRA funds before retirement and was comfortable with a diversified portfolio of stock and bond funds. Derek recommended that Margaret move the entire \$185,000 IRA balance into a variable annuity issued by a national insurance carrier. The product carried a mortality and expense charge of 1.35% annually, an administrative fee of 0.15%, underlying sub-account fund expenses averaging 0.82%, and an optional guaranteed minimum withdrawal benefit rider costing an additional 1.10% per year. The contract imposed a seven-year declining surrender charge schedule starting at 7% and decreasing by 1% each year. In total, the all-in annual cost of the variable annuity was approximately 3.42%. Derek's firm paid him an upfront commission of 5.5% on the sale, totaling \$10,175. Derek's notes in the client file stated the recommendation was made because the variable annuity would provide "tax-deferred growth" and "downside protection through the living benefit rider." He did not document any comparison of the variable annuity's costs to lower-cost alternatives within the IRA, nor did he address the fact that the IRA already provided tax-deferred growth. Margaret was not informed that purchasing a variable annuity inside an IRA provided no additional tax-deferral benefit beyond what the IRA itself already offered. She was also not told that comparable diversified fund portfolios were available within the IRA at a combined expense ratio of roughly 0.45% per year. Over the next two years, Margaret's account underperformed a comparable balanced fund benchmark by approximately 2.9% annually, net of fees, costing her an estimated \$10,700 in relative lost growth by early 2024. When Margaret contacted Derek in January 2024 to liquidate the annuity and move back to a standard IRA brokerage account, she was assessed a 5% surrender charge of \$8,750 on the remaining contract value.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Slattery violated applicable suitability and best-interest standards in multiple respects.

1. ****Unnecessary Tax-Deferral Layering (FINRA Rule 2330(b)).**** FINRA Rule 2330 specifically requires that before recommending a variable annuity purchase, a registered representative must have a reasonable basis to believe that the customer would benefit from certain features of a variable annuity, including tax-deferred growth. Because Margaret's funds were already held in a traditional IRA--a vehicle that inherently provides tax deferral under IRC § 408--wrapping those assets inside a variable annuity added no incremental tax benefit. The additional layer of annuity fees was therefore borne without a corresponding tax advantage. FINRA has repeatedly emphasized in regulatory guidance that placing a variable annuity inside a qualified, already tax-deferred account demands heightened scrutiny and documentation of a non-tax rationale that justifies the additional cost.

2. ****Cost-Benefit Analysis Failure:**** The all-in annual cost of 3.42% was approximately 2.97% higher per year than comparable diversified fund options available within the existing IRA. Over Margaret's seven-to-nine-year investment horizon, this differential compounds significantly. Derek failed to document any comparative analysis of costs, as required under both FINRA Rule 2330 and Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act). Reg BI's Care Obligation requires that a broker-dealer and its associated persons exercise reasonable diligence, care, and skill to understand the costs and risks of a recommendation and to evaluate reasonably available alternatives. The absence of any documented cost comparison is a clear deficiency.

3. ****NAIC Model Regulation 275 Compliance:**** Under the NAIC Suitability in Annuity Transactions Model Regulation (Model 275), as adopted by many states, an insurance producer must have reasonable grounds for believing a recommendation is suitable based on the consumer's financial situation, insurance needs, and objectives. The regulation further requires that the producer consider whether the consumer would benefit from certain features of the annuity and whether the product as a whole is suitable. Recommending a high-cost variable annuity inside a tax-deferred IRA solely on the basis of tax deferral the customer already enjoyed demonstrates a lack of reasonable grounds.

4. ****New York Regulation 187:**** If this transaction occurred within New York (and the involvement of a New York-domiciled insurer suggests potential applicability), NY Reg 187 imposes a best-interest standard on annuity recommendations. Under Reg 187, the recommendation must be in the consumer's best interest at the time of the transaction, considering the consumer's financial situation, insurance needs, and financial objectives, without placing the producer's or insurer's financial interest ahead of the consumer's. The \$10,175 upfront commission and the lack of any documented justification beyond a redundant tax-deferral benefit strongly suggest the producer's compensation incentive, rather than the client's interest, drove the recommendation.

5. ****Surrender Charge Impact:**** The seven-year declining surrender schedule effectively locked Margaret into a product that was unsuitable for her needs. When she sought liquidity after two years, she incurred an \$8,750 surrender penalty--a foreseeable harm given her moderate risk profile and retirement timeline that should have prompted Derek to consider more liquid alternatives.

6. ****Documentation Deficiency:**** Derek's file notes contained only boilerplate language about "tax-deferred growth" and "downside protection" without any individualized analysis. Under both FINRA Rule 2330(c) and Reg BI's compliance and disclosure obligations, principal review and adequate documentation of the rationale--especially when recommending a VA inside a qualified account--are required.

****Likely Regulatory Outcome:**** Derek and his firm face potential FINRA enforcement action for violations of Rule 2330 and Reg BI, including possible disgorgement of commissions, restitution to the customer, fines, and heightened supervision requirements. The firm's supervisory system under FINRA Rule 3110 may also be cited for failing to flag and review a variable annuity purchase within a tax-deferred IRA. State insurance regulators could pursue action under Model 275 or Reg 187 against Derek's insurance license, including fines and potential license suspension.

Item 207 of 350

NON-COMPLIANT

Topic: inappropriate_risk_profile

Difficulty: hard

Source: 24_Variable_Annuities

Fact Pattern

In March 2022, financial advisor Derek Hollings met with Margaret Stovall, a 74-year-old retired school librarian living in Buffalo, New York. Margaret's husband had passed away six months earlier, and she had recently received a \$185,000 life insurance death benefit. Her existing financial profile included \$62,000 in a savings account, \$23,000 in a money market fund, a \$1,400/month pension, and \$2,100/month in Social Security benefits. She owned her home outright with no mortgage, had no other debts, and had annual living expenses of approximately \$38,000. Margaret told Derek that she wanted to keep her money safe, that she was 'terrified of losing what Harold left me,' and that she might need access to some of the funds for potential assisted-living costs in the next three to five years, as she had recently been diagnosed with early-stage Parkinson's disease. She described herself as someone who had never invested in the stock market and didn't want to start now. Derek completed a new-account form indicating Margaret's risk tolerance as 'moderate-aggressive,' her investment objective as 'growth,' her time horizon as '10+ years,' and her liquidity needs as 'low.' He recommended she invest \$150,000 of the death benefit into the Jackson National Perspective II variable annuity with a 7-year surrender schedule. The contract carried a mortality and expense charge of 1.35% annually, an administrative charge of 0.15%, and underlying subaccount fund expenses averaging 0.82%, bringing total annual ongoing costs to approximately 2.32%. Derek also recommended adding a Guaranteed Minimum Income Benefit rider at an additional annual cost of 0.95%, bringing total all-in annual expenses to approximately 3.27% of account value. The surrender charges started at 7% in year one, declining by 1% per year. Derek allocated the subaccounts as follows: 40% to a small-cap growth fund, 25% to an international equity fund, 20% to a mid-cap value fund, and 15% to a high-yield bond fund -- an allocation with over 85% equity exposure. He told Margaret that the guaranteed income rider meant she 'couldn't lose money no matter what,' and that the annuity would 'take care of everything' for her future. He did not discuss any alternative products such as fixed annuities, certificates of deposit, or Treasury securities. He did not compare the proposed Perspective II contract against her existing money market holdings. Margaret signed the paperwork the same day as the initial meeting. Within 14 months, the account had declined in value to \$131,400 due to equity market volatility, and Margaret needed \$30,000 for a deposit at an assisted-living community. She was assessed a \$2,100 surrender charge on the withdrawal amount exceeding the free-withdrawal provision, and the remaining account value dropped further. Margaret filed a complaint with her state insurance department in September 2023, alleging that the annuity was completely unsuitable for her needs and that her risk profile had been falsified.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hollings committed multiple serious violations of applicable suitability and best-interest standards.

****Falsification of the Customer Profile (FINRA Rule 2330 and NAIC Model Regulation 275):**** FINRA Rule 2330 requires that, before recommending a variable annuity transaction, a registered representative must make reasonable efforts to obtain the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, existing annuity holdings, liquidity needs, liquid net worth, risk tolerance, and tax status. Derek documented Margaret's risk tolerance as 'moderate-aggressive,' her objective as 'growth,' her time

horizon as '10+ years,' and her liquidity needs as 'low.' Every one of these entries directly contradicted Margaret's own stated preferences and circumstances. She expressly said she was terrified of losing money, had never invested in equities, anticipated needing funds within three to five years for assisted-living costs, and had a diagnosed progressive medical condition. Documenting a false risk profile to justify a product recommendation is a hallmark of VA mis-selling identified in multiple GAO reports and academic studies on unsuitable annuity sales.

****Failure to Satisfy the Suitability Determination (FINRA Rule 2330(b)):** Under Rule 2330(b), a member or associated person must have a reasonable basis to believe that the customer has been informed of the material features of the annuity -- including surrender charges, potential tax penalties, various fees, and market risk -- and that the specific annuity is suitable based on the customer's stated profile. Given Margaret's true profile -- a 74-year-old conservative widow with no equity experience, near-term liquidity needs, and a progressive illness -- a variable annuity with 85% equity subaccount allocation, a 7-year surrender period, and all-in annual expenses of 3.27% was patently unsuitable. The product exposed her to significant market risk and liquidity constraints that were directly contrary to her needs.

****New York Regulation 187 Violations:** Because Margaret resides in New York, NY Regulation 187 (effective for annuity transactions since August 1, 2019) applies. This regulation imposes a best-interest standard requiring that the recommendation be in the consumer's best interest at the time of the transaction, without placing the producer's financial interest ahead of the consumer's. The regulation requires evaluation of reasonably available alternatives. Derek failed to present or discuss any alternatives -- fixed annuities, CDs, Treasury securities, or even a multi-year guaranteed annuity -- that would have been far more consistent with Margaret's stated objectives of safety and liquidity. His recommendation of a high-cost, equity-heavy VA with long surrender periods appears designed to maximize his commission rather than serve the client's interest.

****NAIC Model Regulation 275 Analysis:** Under the NAIC Suitability in Annuity Transactions Model Regulation (Model 275, as revised in 2020), a producer must have a reasonable basis to believe that the recommended annuity is suitable based on the consumer's financial situation, insurance needs, and financial objectives. The producer must also consider whether the consumer would benefit from certain features of the annuity, such as tax-deferred accumulation, annuitization, or a death benefit. Margaret's situation -- modest liquid assets, near-term care needs, conservative disposition, and advanced age -- made the long-term, equity-linked, high-fee product fundamentally unsuitable.

****SEC Regulation Best Interest (Rule 15l-1) Considerations:** To the extent Derek acted in a broker-dealer capacity recommending this security, Reg BI's Care Obligation required him to exercise reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile and the potential risks, rewards, and costs. The Disclosure Obligation required reasonable disclosure of all material facts relating to conflicts of interest. Derek's misstatement that Margaret 'couldn't lose money no matter what' was materially misleading -- the GMIB rider does not prevent account value losses; it provides a minimum income base for future annuitization, typically subject to waiting periods and specific conditions. This misrepresentation also likely violates the Reg BI Disclosure Obligation.

****Likely Regulatory Outcome:** Derek faces potential disciplinary action from FINRA for violations of Rule 2330, potential enforcement by the New York Department of Financial Services under Regulation 187, and possible sanctions under Reg BI. Remedies could include rescission of the transaction, restitution of all fees and surrender charges, fines, and suspension or bar from the industry. The falsification of the customer profile elevates this beyond a mere judgment call into potential fraud, which could also trigger referral for further investigation. Academic literature and IRI guidance consistently emphasize that VA recommendations for elderly clients with near-term liquidity needs and conservative risk profiles require heightened scrutiny -- scrutiny that was entirely absent here.

Item 208 of 350**NON-COMPLIANT****Topic:** high_fees_unsuitable**Difficulty:** medium**Source:** 24_Variable_Annuities**Fact Pattern**

Margaret Kowalski, age 72, is a retired elementary school teacher living in suburban Dallas, Texas. She receives \$2,400 per month from her state pension and \$1,850 per month from Social Security. Her total liquid savings consist of \$185,000 in a credit union savings account and a \$60,000 traditional IRA invested in a balanced mutual fund with an expense ratio of 0.45%. Margaret describes herself as a conservative investor; her primary objectives are capital preservation, modest income supplementation, and leaving a small inheritance to her two grandchildren. She has no outstanding debts, owns her home outright, and carries a long-term care insurance policy. Her monthly expenses total approximately \$3,200, meaning her pension and Social Security cover her needs with roughly \$1,050 to spare each month.

In March 2023, Margaret met with financial advisor Dennis Hargrove after attending a free dinner seminar at a local steakhouse titled "Protect Your Retirement from Market Crashes." During two subsequent office meetings, Hargrove recommended that Margaret move \$145,000 of her credit union savings and surrender her \$60,000 IRA balanced fund to purchase a single variable annuity contract with a total investment of \$205,000. The variable annuity carried a mortality and expense risk charge of 1.45%, an administrative fee of 0.15%, underlying sub-account fund expenses averaging 1.10%, and a guaranteed minimum income benefit rider costing an additional 1.05% annually -- bringing total all-in annual fees to approximately 3.75%, or roughly \$7,688 per year. The contract also carried a seven-year surrender charge schedule beginning at 8% in year one and declining by one percentage point per year. Hargrove allocated 60% of the sub-account investments to an equity growth portfolio and 25% to an international equities fund, with only 15% directed to a bond sub-account.

Hargrove's notes from the meeting state that Margaret wanted "growth and protection," but contain no documentation of any discussion about the total fee structure, the surrender charge period relative to Margaret's age and liquidity needs, the tax implications of moving after-tax savings into a tax-deferred vehicle she did not need given her low tax bracket, or any comparison to lower-cost alternatives such as fixed annuities, certificates of deposit, or a diversified portfolio of low-cost index funds. Hargrove earned a 6.5% upfront commission of \$13,325 on the sale. Within six months, the equity-heavy sub-account allocation had declined 11% during a market correction, and Margaret called to withdraw \$20,000 for an unexpected roof repair, only to discover she would owe a \$1,600 surrender charge plus any applicable tax on gains. She filed a written complaint with her state insurance department in November 2023.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dennis Hargrove's recommendation violated multiple applicable suitability and best-interest standards.

1. ****FINRA Rule 2330 - Variable Annuity Suitability****: Under Rule 2330, a registered representative must have a reasonable basis for recommending a variable annuity transaction. The rule specifically requires consideration of (a) the customer's age, (b) annual income, (c) financial situation and needs, (d) investment experience, (e) investment

objectives, (f) intended use of the annuity, (g) investment time horizon, (h) existing assets including insurance, (i) liquidity needs, (j) liquid net worth, (k) risk tolerance, and (l) tax status. Hargrove failed on nearly every factor. Margaret was 72, conservative, already adequately covered by pension and Social Security income, had limited liquid assets outside the annuity, and had no demonstrable need for tax deferral given her low marginal tax bracket. The seven-year surrender period extends to age 79, creating a foreseeable liquidity trap for an elderly client. The 85% equity allocation within the sub-accounts directly contradicted her stated conservative risk tolerance and capital preservation objective.

2. ****NAIC Model Regulation 275 (Suitability in Annuity Transactions)**:** The NAIC model, adopted in Texas and most states, requires that an insurance producer have reasonable grounds to believe that a recommendation is suitable based on the consumer's profile and that there is a reasonable basis to believe the consumer has been informed of the product's features, including surrender charges, fees, and potential tax penalties. Hargrove's own file notes contain no evidence that he disclosed or discussed total annual costs of 3.75%, the surrender schedule implications, the tax inefficiency of sheltering after-tax money in a VA, or any comparison to lower-cost alternatives. This is a clear violation of the model regulation's disclosure and reasonable-basis requirements.

3. ****New York Regulation 187 (applicable if the carrier or transaction touched NY, and increasingly used as a benchmark)**:** Reg 187 imposes a best-interest standard on annuity recommendations, requiring that the recommendation be in the consumer's best interest at the time of the transaction and that the producer not place his or her financial interest ahead of the consumer's. The \$13,325 upfront commission created an obvious financial incentive that was not counterbalanced by any documented rationale for why this high-cost VA was superior to lower-cost alternatives for Margaret's needs.

4. ****SEC Regulation Best Interest (Rule 15l-1)**:** To the extent Hargrove acted through a broker-dealer in recommending this securities product, Reg BI's Care Obligation required him to exercise reasonable diligence, care, and skill in making the recommendation, including understanding the costs and reasonably available alternatives. Concentrating \$205,000 -- roughly 83% of a 72-year-old conservative retiree's liquid assets -- in a single high-fee variable annuity with equity-heavy sub-accounts fails the Care Obligation. The Disclosure Obligation required full and fair disclosure of all material fees and conflicts, including his commission. The Conflict of Interest Obligation required that the firm establish policies to mitigate the conflict created by the 6.5% commission incentive. There is no evidence any of these obligations were met.

****Specific Violations Summary**:**

- Unsuitable asset concentration (83% of liquid assets in one illiquid product)
- Unsuitable asset allocation within the VA (85% equities for a conservative 72-year-old)
- Excessive total fees of 3.75% annually with no documented justification
- Failure to consider liquidity needs relative to a seven-year surrender period for an elderly client
- Failure to consider tax inefficiency (no benefit of tax deferral at her bracket; converting after-tax money into eventually taxable ordinary income)
- Failure to document consideration of lower-cost alternatives
- Inadequate disclosure of fees, surrender charges, and conflicts of interest

****Likely Regulatory Outcome**:** Hargrove and his supervising firm face potential sanctions from both the state insurance department and the broker-dealer's self-regulatory organization. Remedies could include rescission of the transaction, restitution of all fees and surrender charges incurred, disgorgement of the commission, fines, a letter of censure or suspension, and enhanced supervisory requirements for the branch office. The firm's principal who approved the transaction may also face liability for supervisory failures under FINRA Rules 3110 and 3120. The state insurance department complaint could trigger an investigation under the state's adoption of NAIC Model 275, potentially resulting in license revocation or civil penalties.

Item 209 of 350

NON-COMPLIANT

Topic: tax_deferred_unnecessary_annuity

Difficulty: medium

Source: 24_Variable_Annuities

Fact Pattern

Gerald Hutchins, age 58, is a public school administrator earning \$97,000 per year. He has been contributing to his employer's 403(b) plan for 22 years and has accumulated approximately \$485,000 in that account, invested in a mix of low-cost target-date and index funds with a combined expense ratio of 0.12%. Gerald also has a traditional IRA with \$62,000 and a taxable brokerage account with \$41,000. He describes himself as a moderate-risk investor and says his primary goal is steady growth heading into retirement at age 65. In March 2023, Gerald met with financial advisor Denise Kowalski after attending a dinner seminar at a local steakhouse titled 'Protecting Your Retirement from Market Crashes.' During the seminar, Denise emphasized the downside protection features of variable annuities with living benefit riders. At the one-on-one follow-up meeting, Denise recommended that Gerald roll over his entire \$62,000 traditional IRA into a variable annuity contract issued by National Prosperity Life Insurance Company. The contract carried a mortality and expense risk charge of 1.35%, an administrative fee of 0.15%, underlying sub-account fund expenses averaging 0.87%, and a guaranteed minimum withdrawal benefit rider costing an additional 1.10% annually, bringing total annual costs to approximately 3.47%. The contract also imposed a seven-year surrender charge schedule starting at 8% and declining by 1% per year. Denise earned a 6.5% commission on the sale, totaling \$4,030. In her notes, Denise wrote that Gerald wanted 'downside protection' and 'guaranteed income,' but the customer profile form Gerald signed listed his investment objective as 'growth' and his time horizon as 'seven to ten years.' Gerald's existing IRA funds were already in a tax-deferred account, meaning the variable annuity provided no additional tax-deferral benefit. Denise did not discuss lower-cost alternatives, such as keeping the IRA in its current low-cost index fund allocation, or purchasing a simpler deferred income annuity or fixed annuity for the guaranteed income component. She also did not document any comparison of the total cost differential between the existing IRA allocation and the recommended variable annuity over Gerald's expected holding period.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Denise Kowalski likely violated multiple applicable standards governing variable annuity recommendations.

****FINRA Rule 2330 (Variable Annuity Suitability):**** Under Rule 2330, a registered representative recommending the purchase or exchange of a deferred variable annuity must have a reasonable basis to believe that the transaction is suitable. Specifically, Rule 2330(b)(1)(A) requires consideration of whether the customer would benefit from certain features of a deferred variable annuity, such as tax-deferred growth, annuitization, or a death benefit. Here, Gerald's IRA funds were already tax-deferred, so rolling them into a variable annuity inside the IRA wrapper added no incremental tax-deferral advantage -- one of the primary rationales for variable annuity ownership. This is a classic 'tax-deferred wrapping of an already tax-deferred account' violation that regulators have consistently flagged as a red indicator of unsuitability.

Rule 2330(b)(1)(A)(ii) also requires the representative to determine that the particular variable annuity as a whole -- including riders and their costs -- is suitable. The total expense load of approximately 3.47% annually represents a

dramatic increase from the 0.12% Gerald was paying in his existing IRA allocation. Over a seven-year period (before surrender charges fully lapse), the cumulative cost drag would be substantial. Denise did not perform or document any cost-benefit analysis comparing the existing arrangement against the proposed variable annuity, nor did she present lower-cost alternatives that could have addressed Gerald's stated interest in downside protection (such as a fixed annuity, a fixed indexed annuity, or a simple asset allocation adjustment).

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** The revised Model 275 imposes a best-interest standard on insurance producers recommending annuity products. Under Section 6, the producer must act in the consumer's best interest at the time of the recommendation, considering the consumer's financial situation, insurance needs, and financial objectives. The regulation's care obligation (Section 6(B)) requires the producer to exercise reasonable diligence, care, and skill, including evaluating reasonable alternatives. Denise failed to evaluate or present any alternatives. Additionally, Model 275 Section 6(D) addresses the conflict-of-interest obligation, requiring that the producer's compensation not be a factor that results in a recommendation that is not in the consumer's best interest. Denise's \$4,030 commission on a \$62,000 transaction (6.5%) created a significant financial incentive, and the absence of any documented comparative analysis raises the inference that the recommendation was driven by compensation rather than client need.

****New York Regulation 187:**** If this transaction occurred with a New York resident or involved a New York-authorized insurer, NY Reg 187 (11 NYCRR 224) would impose a best-interest standard requiring the producer to demonstrate that the recommendation was suitable and in the customer's best interest based on the consumer's suitability profile. The regulation explicitly requires consideration of the advantages and disadvantages of the recommended product compared to alternatives, and documentation of the basis for the recommendation. Denise's documentation is internally inconsistent (her notes say 'guaranteed income' while the signed profile says 'growth') and fails to address why a high-cost variable annuity was superior to Gerald's existing low-cost IRA allocation.

****SEC Regulation Best Interest (Rule 15l-1):**** If Denise is a registered representative of a broker-dealer, Reg BI's Care Obligation (Rule 15l-1(a)(2)(ii)(B)) requires her to exercise reasonable diligence, care, and skill in making the recommendation, including understanding the potential risks, rewards, and costs of the recommendation and evaluating reasonably available alternatives. The cost differential here -- from 0.12% to 3.47% -- is enormous and was not justified by any documented analysis. The Conflict of Interest Obligation (Rule 15l-1(a)(2)(iv)) also required Denise's firm to identify and mitigate conflicts associated with her financial incentive to recommend the more expensive product.

****Likely Regulatory Outcome:**** Denise and her firm face potential enforcement action from FINRA, the applicable state insurance department, and potentially the SEC. Typical sanctions could include disgorgement of commissions, fines, restitution to the customer for excess costs incurred, and enhanced supervisory obligations on the firm. The firm's principal who approved the transaction under Rule 2330(c)'s supervisory requirements could also face liability for inadequate review. The pattern of a dinner seminar followed by a high-cost, high-commission variable annuity recommendation placed inside an already tax-deferred account, with no documented alternatives analysis, fits a well-recognized pattern of VA mis-selling that has been the subject of numerous enforcement actions and GAO reports on variable annuity abuses.

Item 210 of 350

NON-COMPLIANT

Topic: complex_products_unsophisticated_investor

Difficulty: hard

Source: 24_Variable_Annuities

Fact Pattern

Margaret Olsen, age 72, is a retired school cafeteria worker living in Syracuse, New York, with a fixed monthly income of \$1,640 from Social Security and a small pension of \$480 per month. She has no prior investment experience beyond a savings account at her local credit union, which held \$187,000--the entirety of her liquid assets, accumulated over decades of frugal living and a modest inheritance from her late sister. Margaret's stated investment objective on her new account form was capital preservation, and her risk tolerance was marked as conservative. She told her advisor, Kevin Driscoll, that she wanted her money to be safe and available in case she needed it for medical expenses, as she had recently been diagnosed with early-stage chronic kidney disease and anticipated rising healthcare costs.

In March 2022, Driscoll recommended that Margaret invest \$155,000--approximately 83% of her liquid net worth--into a variable annuity with a Guaranteed Lifetime Withdrawal Benefit rider. The product carried a mortality and expense risk charge of 1.35%, an administrative fee of 0.15%, underlying subaccount expenses averaging 0.87%, and the living benefit rider cost an additional 1.10% annually, bringing the total all-in annual cost to approximately 3.47%. The variable annuity had a seven-year declining surrender charge schedule starting at 7% in year one and declining by one percentage point per year. Margaret was permitted penalty-free withdrawals of up to 10% of the account value annually under the contract terms.

Driscoll selected an aggressive growth allocation for the subaccounts, placing 45% in a small-cap growth fund, 30% in an international equity fund, and 25% in a technology sector fund. He told Margaret that the living benefit rider would protect her regardless of market performance and that she could not lose money. He did not discuss alternative products such as certificates of deposit, fixed annuities, single premium immediate annuities, or bond ladders. Driscoll earned a gross commission of \$9,300 on the sale.

By February 2023, Margaret's account value had declined to approximately \$121,500 due to equity market losses concentrated in her subaccount selections. She attempted to withdraw \$30,000 to cover a kidney-related surgical procedure and associated rehabilitation costs. She was informed that her penalty-free withdrawal was limited to roughly \$12,150 and that withdrawing the full \$30,000 would trigger a surrender charge of approximately 6% on the excess amount--costing her an additional \$1,071 in surrender penalties on top of any market losses already sustained. Margaret filed a written complaint with the firm stating that she was never told about surrender charges, was never shown any product alternatives, and did not understand that her money was invested in volatile stock funds.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Driscoll violated multiple applicable regulatory standards governing the recommendation of variable annuities to retail customers.

****FINRA Rule 2330 -- Variable Annuity Suitability:**** Under FINRA Rule 2330, a registered representative

recommending a variable annuity must have a reasonable basis to believe, based on the customer's stated investment profile, that (a) the customer would benefit from certain features of a deferred variable annuity such as tax-deferred growth, annuitization, or a death or living benefit; (b) the particular variable annuity as a whole is suitable; and (c) the underlying subaccount allocations are suitable. Here, Margaret was 72 years old, had no investment experience, had conservative risk tolerance, sought capital preservation, and needed liquidity for anticipated medical expenses. An illiquid, high-cost variable annuity with a seven-year surrender schedule was fundamentally inconsistent with her profile. The aggressive growth subaccount allocation (100% equities including small-cap, international, and sector-concentrated technology funds) was grossly misaligned with her conservative risk tolerance and capital preservation objective. The GLWB rider, while offering income guarantees, did not address her primary concern of liquidity for near-term medical costs.

****NAIC Model Regulation 275:**** Under Model 275 (adopted in New York), an insurance producer must have reasonable grounds for believing that the annuity recommendation is suitable based on the consumer's financial situation, insurance needs, investment objectives, and other relevant information. The regulation also requires that the producer consider whether the consumer would benefit from the product's features, the consumer's existing financial profile, and whether less costly or more liquid alternatives would better serve the consumer. Driscoll failed to consider or present any alternatives--CDs, fixed annuities, SPIAs, or bond ladders--any of which would have better aligned with Margaret's conservative, liquidity-oriented profile.

****New York Regulation 187 (Best Interest Standard):**** Since Margaret resides in New York, Regulation 187 applies, imposing a best-interest standard on annuity recommendations effective February 1, 2020 (for annuity transactions). Under Reg 187, the recommendation must be in the consumer's best interest at the time of the transaction, considering the consumer's financial situation, insurance needs, and financial objectives, without placing the producer's compensation interest ahead of the consumer's interest. The \$9,300 commission on an unsuitable product, combined with the failure to consider lower-cost and more liquid alternatives, strongly suggests that Driscoll prioritized his own compensation over Margaret's needs.

****SEC Regulation Best Interest (Rule 15l-1):**** As a recommendation by a broker-dealer representative to a retail customer, Reg BI's Care Obligation requires Driscoll to exercise reasonable diligence, care, and skill in making the recommendation, including understanding the risks, rewards, and costs of the variable annuity; having a reasonable basis to believe the recommendation was in the customer's best interest considering her investment profile; and having a reasonable basis to believe that a series of recommended transactions (here, the aggressive subaccount allocation within an unsuitable product) was not excessive. The Disclosure Obligation required material disclosure of all costs, conflicts, and compensation. Margaret's complaint states she was never informed about surrender charges--a fundamental disclosure failure. The Conflict of Interest Obligation required policies to mitigate conflicts arising from Driscoll's commission-based compensation, which evidently was not addressed.

****Specific Violations:****

1. Concentration of 83% of liquid net worth in a single illiquid variable annuity for a 72-year-old with anticipated near-term medical expenses.
2. Selection of 100% aggressive equity subaccounts for a conservative investor seeking capital preservation.
3. Failure to disclose surrender charges and their impact on liquidity.
4. Failure to consider or present reasonably available alternatives (fixed annuities, SPIAs, CDs, bond ladders).
5. Misrepresentation that Margaret 'could not lose money'--the GLWB protects a guaranteed withdrawal base, not the account value, and this distinction was not explained.
6. Placing compensation interests ahead of the customer's needs.

****Likely Regulatory Outcome:**** This fact pattern presents a strong enforcement case. The firm's supervisory principal who approved the transaction under FINRA Rule 2330(c) also bears liability for inadequate supervisory review. Likely outcomes include disgorgement of the commission, rescission or restitution of losses, fines and/or suspension for the

advisor, and potential supervisory deficiency charges against the firm. State insurance department action under Model 275 and Reg 187 could include license revocation and additional penalties.

Item 211 of 350**NON-COMPLIANT**

Topic: variable_annuity_unsuitable

Difficulty: hard

Source: 24_Variable_Annuities

Fact Pattern

Margaret Stein, age 74, is a retired elementary school teacher living in Syracuse, New York, with an annual pension income of \$38,000 and Social Security benefits of \$22,800. Her total liquid savings amount to approximately \$410,000, held primarily in bank certificates of deposit and a modest balanced mutual fund portfolio at a local brokerage. She has no outstanding debts, owns her home outright, and has designated her two adult children as beneficiaries of her accounts. Margaret describes herself as conservative and tells her advisor, Dale Moreno, that her primary goals are preserving her principal, maintaining easy access to funds for potential assisted-living expenses, and leaving something to her children. She has mild early-stage cognitive decline, which her daughter, who accompanied her to one meeting, mentioned to Dale in passing.

In March 2024, Dale recommended that Margaret liquidate \$340,000 of her CDs and mutual fund holdings and use the proceeds to purchase a variable annuity with a Guaranteed Minimum Income Benefit rider. The product carried a mortality and expense charge of 1.40%, an administrative fee of 0.15%, underlying sub-account expense ratios averaging 0.95%, and the GMIB rider fee of 1.10%, bringing total annual costs to approximately 3.60%. The annuity imposed a seven-year declining surrender charge schedule beginning at 8% in year one and decreasing by 1% per year. The free withdrawal provision allowed Margaret to access up to 10% of the account value annually without penalty. Dale allocated 60% of the sub-account investments to an equity growth fund, 25% to an international equity fund, and 15% to a bond fund.

Dale's rationale, as documented in his file notes, stated that the GMIB rider would provide Margaret with guaranteed income in the future and that the equity exposure would help her keep pace with inflation. He earned a gross commission of \$23,800 (7% of the premium) on the sale. Dale did not document any discussion of Margaret's cognitive status, her liquidity needs related to potential long-term care costs, or the availability of lower-cost alternatives such as fixed annuities, immediate annuities, or simply retaining her existing CD and mutual fund portfolio. He did not consult with Margaret's daughter or suggest that Margaret involve legal counsel or a fiduciary in the decision. Margaret's prior investment experience consisted solely of CDs and the balanced mutual fund; she had never owned an annuity or any individual equity position. Within fourteen months, Margaret needed \$65,000 to cover a deposit and initial fees at an assisted-living facility. She was forced to withdraw \$41,000 from the annuity, of which only \$34,000 fell within the free-withdrawal corridor. The remaining \$7,000 triggered a surrender charge of approximately \$490. Additionally, the equity-heavy sub-accounts had declined roughly 9% from the purchase date due to market volatility, reducing her account value to approximately \$296,000 before the withdrawal.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dale Moreno committed multiple violations of applicable suitability and best-interest standards.

1. ****FINRA Rule 2330 -- Variable Annuity Suitability:**** Rule 2330 requires that, prior to recommending the purchase of

a variable annuity, a registered representative must make reasonable efforts to obtain the customer's financial status, tax status, investment objectives, liquidity needs, risk tolerance, and other information used to make a recommendation. The representative must then have a reasonable basis to believe that (a) the customer has been informed of the features of the product, (b) the customer would benefit from the annuity's features (such as tax deferral, annuitization, or a death benefit), (c) the particular annuity is suitable given the customer's profile, and (d) the transactions as a whole do not involve unsuitable exchanges or churning. Dale failed on nearly every factor. Margaret, at age 74 with conservative objectives, limited investment experience, early cognitive decline, and a foreseeable need for significant liquidity to cover assisted-living costs, was not an appropriate candidate for a long-surrender-period variable annuity with heavy equity exposure. The seven-year surrender schedule directly conflicted with her liquidity needs. The 3.60% all-in annual cost eroded the very principal she sought to preserve. The 85% equity allocation (60% domestic growth + 25% international) was wildly inconsistent with her conservative risk tolerance and capital preservation objective.

2. ****NAIC Model Regulation 275 (2020 Revised Version) -- Best-Interest Standard for Annuity Transactions:**** The revised Model #275, adopted in New York and most states, imposes a best-interest obligation on insurance producers recommending annuity products. Under this standard, the producer must act in the consumer's best interest at the time of the recommendation without placing the producer's financial interest ahead of the consumer's interest. The four component obligations -- Care, Disclosure, Conflict of Interest, and Documentation -- were all implicated here. (a) ***Care Obligation:*** Dale failed to exercise reasonable diligence, care, and skill by not meaningfully evaluating Margaret's liquidity needs in light of her age, health trajectory, and the realistic probability of near-term long-term-care expenses. He did not consider reasonably available alternatives (fixed annuities, SPIAs, retaining existing holdings) that would have been less costly and more liquid. (b) ***Disclosure Obligation:*** There is no evidence Dale disclosed the material conflict created by his \$23,800 commission or explained how the product's costs compared to alternatives. (c) ***Conflict of Interest Obligation:*** Dale's compensation of 7% on a \$340,000 premium created a significant financial incentive to recommend the VA over lower-commission or no-commission alternatives. The file contains no mitigation of this conflict. (d) ***Documentation Obligation:*** Dale's notes were conclusory and failed to address the customer's cognitive status, her daughter's expressed concerns, her liquidity profile, or why alternatives were rejected.

3. ****New York Regulation 187:**** As a New York transaction, this sale falls under Regulation 187, which applies a best-interest standard to annuity recommendations effective February 1, 2020. Regulation 187 requires that a recommendation be in the best interest of the consumer evaluated at the time of the transaction, considering the consumer's age, financial situation, insurance needs, objectives, and other relevant factors. The regulation specifically prohibits placing the producer's compensation interest ahead of the consumer's interest. Dale's recommendation fails this standard for all the reasons noted above. New York's regulation also requires the insurer to establish and maintain a supervision system to achieve compliance; the carrier that issued this contract may face supervisory liability for inadequate oversight of the sale.

4. ****Regulation Best Interest (SEC Rule 15l-1):**** If Dale is a broker-dealer registered representative (which the facts imply given the commission structure), Reg BI's Care Obligation required him to exercise reasonable diligence, care, and skill in making the recommendation, to understand the potential risks, rewards, and costs of the VA, and to have a reasonable basis to believe the recommendation was in Margaret's best interest considering her investment profile. The Conflict of Interest Obligation required his firm to establish policies to identify, disclose, and mitigate conflicts arising from his compensation. The \$23,800 commission on a product that was demonstrably unsuitable for a 74-year-old conservative investor with cognitive decline and near-term liquidity needs strongly suggests Dale prioritized his financial interest over Margaret's.

5. ****Specific Aggravating Factors:**** Margaret's early-stage cognitive decline is a critical factor. While Dale was made aware of this by her daughter, he neither documented it, nor involved the daughter or other trusted contact in the decision-making process, nor suggested independent review. Many state insurance departments and industry guidance (including IRI best-practice recommendations) emphasize heightened duties when dealing with potentially vulnerable or diminished-capacity clients. The GAO and academic literature on VA mis-selling have repeatedly identified the pattern

present here: an elderly, conservative client with limited investment sophistication being placed into a high-cost, long-surrender, equity-heavy VA that generates outsized commissions for the producer.

****Likely Regulatory Outcome:**** Dale faces potential FINRA disciplinary action (fine, suspension, or bar) for violating Rule 2330 and the firm's supervisory obligations. The New York Department of Financial Services could pursue enforcement under Regulation 187 against both Dale and the issuing insurer. The SEC or FINRA could pursue a Reg BI violation. Margaret would have strong grounds for a customer arbitration claim seeking rescission or compensatory damages including the surrender charges paid, market losses attributable to the unsuitable allocation, and the excess costs incurred relative to a suitable alternative. The firm's compliance failures in supervising the transaction compound liability.

Item 212 of 350

NON-COMPLIANT

Topic: tax_deferred_unnecessary_annuity

Difficulty: medium

Source: 24_Variable_Annuities

Fact Pattern

Margaret Ellison, age 58, is a public school teacher in suburban Atlanta earning \$72,000 per year. She has been contributing the maximum allowable amount to her 403(b) retirement plan for over fifteen years and has accumulated approximately \$410,000 in that account, invested in a diversified mix of low-cost index funds with a total expense ratio of 0.08%. She also holds \$145,000 in a traditional IRA rolled over from a prior employer's 401(k), invested in a balanced fund charging 0.45% annually. Margaret has an additional \$62,000 in a taxable brokerage account and \$28,000 in a savings account. She has no debt, owns her home outright, and describes her risk tolerance as moderate. Her primary investment objective is growth for retirement, which she plans to begin at age 65. In March 2023, she met with Gerald Fontenot, a dually registered financial advisor affiliated with a regional broker-dealer and insurance agency, after attending a dinner seminar at a local restaurant titled 'Protect Your Retirement Savings from Market Volatility.' During their second office meeting, Gerald recommended that Margaret liquidate her \$145,000 traditional IRA and use the proceeds to purchase a variable annuity issued by National Pacific Life, featuring a Guaranteed Minimum Income Benefit rider. The variable annuity carried a mortality and expense risk charge of 1.30%, an administrative fee of 0.15%, underlying subaccount expenses averaging 0.85%, and the GMIB rider cost an additional 0.95% annually, bringing total annual costs to approximately 3.25%. The contract also imposed a seven-year declining surrender charge schedule starting at 7% in year one and declining by 1% per year. Gerald told Margaret that the variable annuity would give her 'tax-deferred growth that your IRA can't provide' and that the income guarantee would ensure she never ran out of money. He did not discuss or document that her existing IRA already provided identical tax-deferred treatment, nor did he compare the all-in cost difference between her current IRA investments and the proposed variable annuity. Gerald earned a 5.5% commission of \$7,975 on the sale. Margaret's account statements over the following twelve months showed that after fees, her variable annuity subaccounts returned 4.1% gross but only 0.85% net of all charges, while her 403(b) index funds returned 9.6% net over the same period. When Margaret asked Gerald about the performance gap in April 2024, he told her that the guarantee rider was 'like an insurance policy' and that the cost was 'worth the peace of mind.' Margaret later consulted another advisor who explained that purchasing a tax-deferred variable annuity inside an already tax-deferred IRA provided no incremental tax benefit and that the layered fees were substantially eroding her retirement savings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Gerald Fontenot violated applicable suitability and best-interest standards on multiple grounds.

1. ****Unnecessary Tax-Deferred Layering -- FINRA Rule 2330(b)(1)(A):**** FINRA Rule 2330 requires that a registered representative have a reasonable basis to believe that a variable annuity transaction is suitable, taking into account the customer's financial and tax status, investment objectives, and other relevant factors. A central consideration is whether the customer would benefit from the tax-deferred features of the variable annuity. Margaret's \$145,000 was already held in a traditional IRA, which is itself a tax-deferred vehicle. Purchasing a variable annuity inside an IRA provides zero incremental tax-deferral benefit. Gerald's statement that the VA would give her 'tax-deferred growth that your IRA can't

provide' was materially misleading. FINRA has long identified the purchase of a variable annuity within a qualified, tax-deferred account as a red flag requiring heightened scrutiny and documented justification for the non-tax benefits of the annuity, such as the death benefit or living benefit riders, weighed against the substantially higher costs.

2. ****Cost-Benefit Analysis Failure -- FINRA Rule 2330(b)(1)(B) and NAIC Model Regulation 275:**** The total annual expense burden of the variable annuity was approximately 3.25%, compared to the 0.45% she was paying in her existing IRA balanced fund -- a cost differential of 2.80% per year, or roughly \$4,060 annually on a \$145,000 investment. Over the seven-year surrender period, this cost drag would amount to approximately \$28,420 in excess fees (not accounting for compounding), plus the forfeiture of superior net returns. NAIC Model Regulation 275, Section 6, requires that before recommending an annuity transaction, the producer must have reasonable grounds to believe the recommendation is suitable and that the consumer has been informed of the features, benefits, and costs. Gerald failed to document any comparison of the existing and proposed investment costs, nor did he establish a reasonable basis for believing the GMB rider justified the fee differential given Margaret's moderate risk tolerance, her existing diversified portfolio, and her seven-year time horizon to retirement.

3. ****NY Regulation 187 / Best-Interest Standard:**** While Margaret resides in Georgia, if any aspect of the transaction touched New York (e.g., if the insurer is domiciled there or if the broker-dealer applies NY Reg 187 firm-wide as some do), the transaction would also fail the best-interest standard under NY Regulation 187, Section 224.4, which requires that a recommendation be in the consumer's best interest at the time of the transaction and that the producer's financial interest not influence the recommendation. Gerald's \$7,975 commission created a significant financial incentive that was not disclosed as a potential conflict.

4. ****Regulation Best Interest (SEC Rule 15l-1):**** As a dually registered representative, Gerald is subject to Regulation BI's Care Obligation, which requires him to exercise reasonable diligence, care, and skill in making a recommendation, including evaluating reasonably available alternatives. Gerald failed to consider or present the obvious alternative of Margaret simply keeping her money in her existing, lower-cost IRA. The Care Obligation specifically requires that the advisor not place his own financial interest ahead of the customer's interest. The 5.5% commission and the lack of any documented rationale for the recommendation strongly suggest that Gerald's financial interest drove the recommendation.

5. ****Disclosure Failures -- Reg BI Disclosure Obligation and NAIC Model 275 Section 6(B):**** Gerald did not disclose the material conflict of interest created by his commission, did not compare costs, and affirmatively misrepresented the tax benefits of the proposed transaction.

****Likely Regulatory Outcome:**** This fact pattern presents a classic case of VA mis-selling involving unnecessary tax-deferred layering, excessive costs without corresponding benefit, misleading statements, and undisclosed conflicts. Gerald would likely face FINRA enforcement action including potential fines, disgorgement of commission, and suspension. The broker-dealer could face supervisory failure charges under FINRA Rule 3110 if it failed to flag this transaction through its supervisory review process. The state insurance department could pursue action under its adopted version of the NAIC suitability model. Margaret would likely prevail in a customer arbitration claim seeking rescission of the transaction and recovery of the surrender charge, excess fees, and opportunity cost of forgone returns.

Item 213 of 350**NON-COMPLIANT**

Topic: complex_products_unsophisticated_investor

Difficulty: hard

Source: 24_Variable_Annuities

Fact Pattern

Margaret Kowalski, age 72, is a retired school cafeteria worker living in Syracuse, New York, with a fixed monthly income of \$1,840 from Social Security and a small pension of \$620 per month. She has \$215,000 in total liquid savings, consisting of \$135,000 in a bank certificate of deposit earning 4.1% annually and \$80,000 in a money market account. She has no other investments and has never purchased securities of any kind. Her home is fully paid off, valued at approximately \$140,000. Margaret's stated investment objectives, as documented on her new account form, are "preservation of capital" and "income," and her risk tolerance is marked as "conservative." She has a high school education, no financial certifications, and told her advisor during their first meeting that she "doesn't understand the stock market" and just wants to make sure she doesn't outlive her money.

In March 2023, financial advisor Derek Sloane, who holds both a securities license and an insurance license, met Margaret after she attended a free dinner seminar at a local restaurant titled "Protect Your Retirement from Market Crashes." During the seminar, Derek emphasized the guaranteed income benefits available through certain insurance products and used a slide showing hypothetical growth projections at 7% annually without clearly disclosing that the projected values represented a benefit base rather than actual account value.

Over two subsequent meetings at Margaret's home, Derek recommended that she liquidate both her CD (which had seven months remaining to maturity, incurring an early withdrawal penalty of \$1,890) and her money market account, and invest the full \$215,000 into a single variable annuity contract: the "SecureGrowth Elite VA" issued by National Pacific Life. The product features a 7-year surrender charge schedule starting at 8% in year one and declining by 1% per year, an annual mortality and expense charge of 1.35%, an administrative fee of 0.15%, underlying subaccount expenses averaging 0.87%, and an optional guaranteed minimum withdrawal benefit rider costing an additional 1.10% annually -- bringing total annual costs to approximately 3.47%. Derek allocated 60% of the subaccount investments to an aggressive growth equity fund and 25% to an international equity fund, with only 15% in a bond fund.

Derek documented in his notes that Margaret "wanted growth potential with downside protection" and "understood the long-term nature of the product," but he did not document any discussion of surrender charges, total annual fees, the difference between the benefit base and actual account value, or alternative products such as fixed annuities, immediate annuities, or Treasury bonds. He also did not document Margaret's existing liquidity needs, including her upcoming need for \$18,000 for roof repairs on her home which she mentioned during their second meeting. Derek earned a gross commission of \$14,190 (approximately 6.6% of premium) on the sale.

By November 2023, the aggressive subaccount allocation had lost 11.2% of value during a market correction, bringing Margaret's account value to approximately \$185,500. When Margaret called Derek in a panic requesting a withdrawal of \$25,000 to cover the roof repair and other expenses, she learned for the first time that an early surrender charge of 8% (\$14,840 on a \$185,500 account) would apply to any withdrawal exceeding the 10% free withdrawal corridor. Margaret filed a complaint with her state insurance department stating she was never told about surrender charges, never understood she was invested in the stock market, and believed the "guaranteed" projections shown at the dinner seminar meant her money could not decline in value.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Sloane committed multiple serious violations across several regulatory frameworks.

****FINRA Rule 2330 -- Variable Annuity Suitability:**** Rule 2330 requires that a registered representative have a reasonable basis to believe that a variable annuity transaction is suitable for the customer based on the customer's age, income, financial situation, investment objectives, investment experience, liquidity needs, risk tolerance, and other factors. Here, virtually every factor weighs against the recommendation: (1) Margaret is 72, beyond the typical time horizon appropriate for a product with a 7-year surrender schedule; (2) her income is modest and fixed; (3) she had zero investment experience and expressly stated she did not understand the stock market; (4) her stated objectives were capital preservation and income, which are directly contradicted by a 60/25/15 aggressive equity allocation; (5) she had a known near-term liquidity need of \$18,000 for roof repairs; and (6) investing 100% of her liquid savings in a single illiquid product eliminated any emergency reserve. Rule 2330(b)(1)(A) also requires consideration of whether the customer would benefit from features of a VA, such as tax deferral, which provides minimal benefit to a 72-year-old retiree in a low tax bracket.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** Under the revised Model 275, which most states have adopted or are adopting in some form, an insurance producer must act in the consumer's best interest at the time of the recommendation without placing the producer's financial interest ahead of the consumer's. The producer must make reasonable efforts to obtain and consider the consumer's financial situation, insurance needs, and objectives. Derek's recommendation concentrated Margaret's entire net worth (excluding her home) in a single high-cost VA, generated a \$14,190 commission, and ignored readily available alternatives such as a single premium immediate annuity (SPIA) that could have directly addressed her stated income objective with far lower costs and no surrender penalties, or a fixed annuity offering principal protection consistent with her conservative risk tolerance. The failure to consider or document any reasonable alternatives is a clear violation.

****New York Regulation 187:**** Because Margaret resides in New York, Regulation 187 applies. Effective since August 2019 for annuity transactions, Reg 187 imposes a best-interest standard on all annuity recommendations made to New York consumers. Section 224.4 requires that the recommendation be in the consumer's best interest based on an evaluation of all relevant suitability factors, and that the producer's compensation not be a material factor in the recommendation. Given that Derek earned a 6.6% commission and recommended an unsuitable product, Reg 187 is directly implicated. Additionally, Reg 187 requires that the producer consider reasonably available alternatives, which Derek failed to do or document.

****Regulation Best Interest (Rule 15l-1):**** As a broker-dealer registered representative recommending a securities product (a variable annuity is a security), Derek is subject to Reg BI's Care Obligation, which requires reasonable diligence, care, and skill in making a recommendation. The Care Obligation mandates consideration of potential risks, rewards, and costs of the recommendation, and requires that the recommendation be in the retail customer's best interest without placing the advisor's interest ahead of the customer's. The Disclosure Obligation also requires full and fair disclosure of all material facts, including costs and conflicts. Derek failed to disclose surrender charges, the distinction between benefit base and account value, and total annual fees approximating 3.47%. His seminar presentation using hypothetical 7% growth projections without clarifying they applied to the benefit base, not actual account value, is potentially misleading.

****Additional Violations -- Subaccount Allocation:**** Even if a VA were somehow appropriate, the 85% equity allocation (60% aggressive growth, 25% international) is grossly inconsistent with Margaret's documented conservative risk

tolerance and capital preservation objective. This constitutes an independent suitability violation.

****Likely Regulatory Outcome:**** Derek faces potential action from FINRA (suspension or bar, disgorgement of commissions, fine), the New York Department of Financial Services under Reg 187 (license revocation, penalties), and the SEC under Reg BI. The firm would likely face supervisory failure charges for inadequate review of the transaction. Margaret would likely receive full restitution including the surrender charges, early CD withdrawal penalty, and market losses attributable to the unsuitable allocation. The use of a misleading dinner seminar could also trigger advertising and communications violations under FINRA Rules 2210 and 2330(d). Academic literature and GAO reports on VA mis-selling have consistently identified this precise pattern -- elderly, unsophisticated investors with conservative objectives being sold high-cost, long-surrender-period VAs after attending free meal seminars -- as a hallmark of unsuitable sales practices.

Item 214 of 350**NON-COMPLIANT****Topic:** high_fees_unsuitable**Difficulty:** medium**Source:** 24_Variable_Annuities**Fact Pattern**

Margaret Kowalski, age 72, is a retired elementary school teacher living in Buffalo, New York, on a fixed income of \$3,200 per month from her state pension and Social Security. She has \$185,000 in a traditional IRA that she rolled over from a 403(b) upon retirement, and \$22,000 in a savings account that serves as her emergency fund. She has no other investments. Margaret described herself as conservative and told her advisor, Derek Liang, that her primary goals were capital preservation and generating modest supplemental income to cover unexpected medical expenses. She explicitly stated she did not want to take risks with her retirement savings and wanted easy access to her money in case of health emergencies.

In March 2023, Derek recommended that Margaret invest \$170,000 -- approximately 92% of her IRA -- into a variable annuity issued by National Horizon Life Insurance Company called the "Horizon Select Plus VA." The product featured a guaranteed minimum income benefit rider, a guaranteed minimum death benefit rider, and an optional enhanced nursing care rider. The base mortality and expense charge was 1.35% annually. The administrative fee was 0.15% annually. The guaranteed minimum income benefit rider cost 1.10% annually, the death benefit rider cost 0.65% annually, and the nursing care rider cost 0.40% annually. The underlying sub-account options ranged from 0.55% to 1.25% in annual fund operating expenses; Derek allocated Margaret's funds across three sub-accounts with an average expense ratio of 0.92%. In total, Margaret's all-in annual cost was approximately 4.57% of her account value, which would amount to roughly \$7,769 per year on her initial investment.

The product carried a seven-year surrender charge schedule starting at 8% in year one and declining by 1% each year. Derek did not discuss any lower-cost alternatives such as fixed annuities, immediate annuities, bond funds, or certificates of deposit. He did not document any comparison of products or explain why a variable annuity with multiple optional riders was preferable for Margaret's stated objectives.

Derek earned a 6.5% gross commission on the sale, totaling \$11,050. His firm's supervisory review flagged the transaction due to Margaret's age and the high percentage of liquid net worth being committed to a single illiquid product, but the branch manager approved it after Derek submitted a brief note stating that Margaret "wanted guaranteed income and nursing care protection."

Within fourteen months, Margaret needed \$35,000 for an unexpected hip replacement surgery not fully covered by Medicare. She was forced to take a partial surrender from the variable annuity and incurred a 7% surrender charge of \$2,450, plus the account had lost approximately 6.2% in sub-account value due to equity market declines. Margaret filed a complaint alleging that Derek never explained the total fees, the surrender penalties, or the market risk inherent in the variable annuity, and that she would have chosen a safer, more liquid product had she understood the true costs and restrictions.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Liang violated multiple applicable suitability and best-interest standards in recommending the Horizon Select Plus VA to Margaret Kowalski.

****FINRA Rule 2330 -- Variable Annuity Suitability:****

FINRA Rule 2330 imposes heightened suitability obligations specific to variable annuity transactions. Under Rule 2330(b), a registered representative must have a reasonable basis to believe that the customer has been informed of the material features of the variable annuity, including surrender charges, potential tax penalties, mortality and expense charges, investment advisory fees, charges for riders and optional benefits, market risk, and the insurance and investment components. Derek failed to adequately disclose total all-in costs of approximately 4.57% per year -- a critical material feature. Additionally, Rule 2330(b)(1)(A) requires a reasonable basis to believe the customer would benefit from certain features of a VA, such as tax-deferred growth, annuitization, or death benefit features. Margaret's funds were already in a tax-deferred IRA, so the tax-deferral wrapper of the VA provided no incremental benefit, which is a classic red flag under this rule. Rule 2330(b)(1)(B) requires that the particular VA as a whole, with all selected features and riders, be suitable. The combination of four separate fee layers (M&E, admin, three riders) producing a 4.57% annual drag is extremely difficult to justify for a 72-year-old conservative investor seeking capital preservation.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):****

The NAIC Model #275, as revised, establishes a best-interest standard for annuity recommendations. It requires that the recommendation be in the consumer's best interest without placing the producer's financial interest ahead of the consumer's. Derek earned an \$11,050 commission -- a significant financial incentive -- while recommending a product with annual costs that would substantially erode Margaret's principal. Model 275 further requires that the producer consider the consumer's financial situation, insurance needs, financial objectives, existing assets, liquidity needs, liquid net worth, and risk tolerance. Margaret's conservative risk tolerance, limited liquid assets, fixed income, and expressed need for accessibility were all factors that pointed away from a long-duration, surrender-charge-laden variable annuity with equity market exposure. The regulation also requires reasonable efforts to obtain suitability information and documentation of the basis for the recommendation, including consideration of alternatives. Derek's documentation consisted only of a single brief sentence, far below the standard.

****New York Regulation 187:****

Because Margaret resides in New York, NY Regulation 187 (11 NYCRR 224) applies directly. Effective for annuity transactions since August 1, 2019, Reg 187 requires that recommendations be in the best interest of the consumer at the time of the transaction. The regulation explicitly requires the producer to consider reasonably available alternatives and to document why the recommended product is in the consumer's best interest compared to those alternatives. Derek failed to consider or present any alternatives -- fixed annuities, immediate annuities, CDs, or bond funds -- any of which could have met Margaret's stated goals of capital preservation and liquidity at a fraction of the cost. Reg 187 also prohibits recommendations that primarily benefit the producer, and the outsized commission relative to the product's suitability strongly suggests the recommendation was driven by compensation.

****SEC Regulation Best Interest (Rule 15l-1):****

If Derek is a broker-dealer registered representative (as the commission structure suggests), Reg BI applies. Under the Care Obligation (Rule 15l-1(a)(2)(ii)(B)), Derek was required to exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of the recommendation, consider reasonably available alternatives, and have a reasonable basis to believe the recommendation was in Margaret's best interest considering her investment profile. Placing 92% of a 72-year-old conservative retiree's liquid retirement assets into a single high-cost, illiquid variable annuity -- without considering alternatives -- fails the Care Obligation. Under the Disclosure Obligation, Derek was required to disclose material facts about the recommendation, including all costs and conflicts of interest such as his \$11,050 commission. Margaret's complaint that these were never explained suggests a disclosure failure. The Conflict of Interest Obligation required Derek's firm to establish policies to identify and mitigate conflicts. While the firm's

supervisory system flagged the transaction, the cursory review and approval by the branch manager suggests the firm's conflict mitigation policies were either inadequate or not properly enforced.

****Supervisory Failures:****

The branch manager's approval despite the supervisory flag, based solely on Derek's one-sentence justification, represents a failure of the firm's supervisory obligations under FINRA Rule 3110 and the heightened principal review requirements of Rule 2330(c), which requires a registered principal to review the transaction and determine whether there is a reasonable basis to approve it based on customer suitability information.

****Likely Regulatory Outcome:****

Derek and his firm face potential FINRA enforcement action for violations of Rule 2330 and supervisory failures, state insurance department action under NAIC Model 275 and NY Regulation 187, and potential SEC action under Reg BI. Remedies could include disgorgement of commissions, restitution to Margaret (including surrender charges and market losses attributable to the unsuitable recommendation), fines, suspension or bar, and enhanced supervisory requirements for the firm. Margaret's complaint, if pursued through arbitration, would likely result in a favorable outcome given the well-documented unsuitability of the recommendation.

Item 215 of 350**NON-COMPLIANT****Topic:** annuity_unnecessary_switching**Difficulty:** hard**Source:** 24_Variable_Annuities**Fact Pattern**

Patricia Okonkwo, age 58, is a veteran public school teacher in New Jersey earning \$82,000 per year. She has accumulated approximately \$410,000 in a 403(b) plan offered through her school district, invested in a variable annuity issued by Carrier A that she purchased in 2016. The annuity includes a guaranteed minimum income benefit (GMIB) rider with a 5.5% annual rollup rate on a benefit base that had grown to approximately \$485,000 by mid-2022. The contract's surrender charge schedule had fully expired in 2023. The annual mortality and expense (M&E) charge was 1.25%, and the GMIB rider cost an additional 0.95% annually, for total insurance charges of 2.20% on top of underlying subaccount expenses averaging 0.72%.

In January 2023, financial advisor Derek Langston, who had been Patricia's advisor since 2019, recommended that she surrender her existing Carrier A annuity and purchase a new variable annuity from Carrier B within her 403(b) plan. The new Carrier B contract carried a 7-year declining surrender charge schedule starting at 7%, M&E charges of 1.30%, and included a guaranteed lifetime withdrawal benefit (GLWB) rider at 1.10% annually, with a 5% rollup rate on a lower initial benefit base reset to the contract value of approximately \$410,000. The underlying subaccount expenses in the new contract averaged 0.85%. Derek documented in his notes that the new annuity offered "superior fund lineup" and a "lifetime withdrawal feature" as opposed to the annuitization-required GMIB in Carrier A.

Derek did not document any analysis comparing the present value of Patricia's existing GMIB benefit base of \$485,000 against the new GLWB starting at a \$410,000 base. He did not note that Patricia was only seven years from her planned retirement at age 65, meaning the new contract's surrender charges would not fully expire until she was 65, precisely when she intended to begin taking income. He also did not address the fact that the new contract's total annual charges (M&E 1.30% + GLWB rider 1.10% + subaccount expenses 0.85% = 3.25%) were materially higher than the existing contract's charges (M&E 1.25% + GMIB rider 0.95% + subaccount expenses 0.72% = 2.92%), representing an increase of 33 basis points annually on a \$410,000 account, or roughly \$1,353 per year in additional costs.

Patricia signed the exchange paperwork in February 2023. Derek received a \$6,150 commission on the new sale, which was paid from Carrier B's first-year commission schedule. Patricia's old Carrier A contract had been generating no ongoing trail compensation for Derek, as trail commissions on that contract had been assigned to a prior advisor who had since left the industry. Patricia was not informed of this compensation disparity. In 2024, Patricia contacted her school district's benefits office to discuss retirement income options and learned from an independent advisor that her prior GMIB benefit base had been substantially more valuable than the GLWB she now held, and that the surrender charges on her new contract would restrict her flexibility at the exact point she needed it most.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Langston likely violated multiple applicable standards governing variable annuity replacement transactions.

****FINRA Rule 2330 - Variable Annuity Suitability:**** Under FINRA Rule 2330(b), before recommending an exchange of a variable annuity, a registered representative must consider whether the customer would incur a surrender charge, be subject to a new surrender period, lose existing benefits (such as death benefits or guaranteed living benefits), face increased fees or charges, and whether the customer would benefit from product enhancements or improvements. Derek failed on nearly every prong of this analysis:

1. ****New Surrender Period:**** Patricia moved from a fully liquid contract (surrender charges expired) into a new 7-year declining surrender schedule starting at 7%. This is a significant red flag in any annuity exchange. Her planned retirement at age 65 coincides exactly with the end of the new surrender period, meaning any unexpected need for funds--or even a decision to annuitize or restructure--would be penalized throughout her remaining working years.

2. ****Loss of Existing Benefits:**** Patricia's GMIB rider had a benefit base of \$485,000 with a 5.5% rollup, which was approximately \$75,000 higher than her account value. This accumulated guaranteed benefit base was forfeited when she surrendered the Carrier A contract. The new GLWB rider started at \$410,000 with only a 5% rollup--a lower base and a lower growth rate. Derek's notes acknowledge the difference in rider type (GMIB vs. GLWB) but contain no quantitative comparison of the two benefit structures.

3. ****Increased Fees and Charges:**** Total annual charges increased from 2.92% to 3.25%, a 33-basis-point increase costing approximately \$1,353 annually on a \$410,000 account. Over seven years, this amounts to roughly \$9,500-\$10,000 in additional charges (assuming modest growth), not including the compounding drag on investment returns.

4. ****Inadequate Documentation:**** FINRA Rule 2330(c) requires that a principal review and approve variable annuity exchange recommendations before transmittal. The advisor's documentation did not include a side-by-side comparison of benefits, costs, or surrender schedules, which would be expected as part of any supervisory review.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** Under the revised NAIC Model #275, adopted by New Jersey, an insurance producer must act in the best interest of the consumer and must consider reasonably available alternatives. The producer must evaluate the consumer's existing annuity and document the basis for concluding that the replacement is suitable. Derek's failure to conduct or document any meaningful comparison of guaranteed benefit bases, rollup rates, total charges, or liquidity impact constitutes a violation of the Model Regulation's care and documentation requirements.

****NY Regulation 187 (applicable if sold in New York, and increasingly influential as a standard):**** Regulation 187 imposes a best-interest standard on annuity recommendations and replacements, requiring that the transaction be in the consumer's best interest at the time of the recommendation, considering the consumer's financial situation, insurance needs, and objectives. The compensation-driven nature of this switch--where Derek received \$6,150 in new commission on a product that was objectively inferior for the client--would raise serious concerns under Reg 187's prohibition on placing the producer's financial interest ahead of the consumer's.

****Regulation Best Interest (SEC Rule 15l-1):**** If Derek is a registered representative of a broker-dealer, Reg BI's Care Obligation requires that he exercise reasonable diligence, care, and skill in making a recommendation, considering the costs and reasonably available alternatives. The Disclosure Obligation requires full disclosure of material conflicts of interest, including the compensation differential. Derek did not inform Patricia that his prior advisor's trail commissions had ceased and that the replacement generated significant new first-year compensation for him. The Conflict of Interest Obligation requires the firm to establish policies to mitigate conflicts, such as compensation incentives that favor new sales over retention.

****Analysis of the Switch:**** The factual record demonstrates a classic unnecessary switching pattern: (a) a fully liquid existing contract was replaced with a new contract bearing substantial surrender charges; (b) an accumulated

guaranteed benefit base worth \$75,000 more than account value was forfeited; (c) the replacement product had higher total annual charges; (d) the advisor received significant new compensation he would not have earned absent the switch; and (e) the client's time horizon and retirement plans were poorly served by the new product's illiquidity. There is no documented material improvement to the client's position that would justify the exchange.

****Likely Regulatory Outcome:**** Derek and his firm face potential enforcement action from FINRA for violations of Rule 2330, the state insurance department for violations of Model 275-based suitability/best-interest requirements, and potentially the SEC for Reg BI violations. Remedies could include disgorgement of commissions, restitution to make Patricia whole (including the value of the lost GMIB benefit), fines, a letter of caution or censure, enhanced supervisory requirements, and potential suspension. The firm's supervisory system would also be scrutinized for failure to identify and reject an unsuitable exchange at the principal review stage.

Item 216 of 350

NON-COMPLIANT

Topic: failure_to_know_customer

Difficulty: hard

Source: 24_Variable_Annuities

Fact Pattern

In March 2022, financial advisor Derek Plunkett met with Margaret Ostrowski, a 71-year-old retired schoolteacher living in Syracuse, New York. Margaret had recently lost her husband of 48 years and inherited approximately \$410,000 from his individual retirement account, which was rolled into an inherited IRA held at a regional bank in certificates of deposit. Margaret also had a fixed annuity with a remaining surrender period of three years, worth approximately \$135,000, a small pension paying \$2,100 per month, and Social Security benefits of \$1,850 per month. Her total liquid net worth, including the inherited IRA and a savings account of \$42,000, was roughly \$587,000. She owned her home free and clear. Margaret had no prior experience with securities, had never owned stocks or mutual funds, and described herself during their first meeting as someone who 'cannot afford to lose anything.' She told Derek that her primary concern was making sure she had enough money to cover potential long-term care expenses and leave something to her two adult children. Derek conducted a single 45-minute meeting with Margaret at her kitchen table. He did not use a standardized client intake form or risk tolerance questionnaire. He did not ask about her monthly expenses, her health status, any medications or chronic conditions, her tax bracket, her existing beneficiary designations on the inherited IRA, or whether she had long-term care insurance. He took handwritten notes on a legal pad, recording only her age, the approximate value of the inherited IRA, and that she wanted 'growth and safety.' Based on this meeting, Derek recommended that Margaret surrender her existing fixed annuity -- which would trigger a surrender charge of approximately \$6,750 -- and combine those proceeds with \$300,000 from the inherited IRA to purchase a \$435,000 variable annuity with a guaranteed minimum income benefit rider. The variable annuity carried a mortality and expense charge of 1.40%, an administrative fee of 0.15%, underlying subaccount expenses averaging 0.87%, and the income rider cost an additional 1.10% annually, bringing all-in annual costs to approximately 3.52%, or roughly \$15,312 per year. The new variable annuity had a seven-year surrender charge schedule beginning at 7% in year one and declining to 1% in year seven. Derek allocated 60% of the subaccounts to equity growth funds and 40% to balanced funds. He did not discuss lower-cost alternatives such as no-load variable annuities, fixed indexed annuities without surrender charges, or simply maintaining the existing CD-based inherited IRA. He also did not document any rationale for why the replacement of the existing fixed annuity was advantageous to Margaret, nor did he provide her with a comparison of the old and new products. The application paperwork listed Margaret's risk tolerance as 'moderate' and her investment objective as 'growth and income,' though Margaret later stated she never used those words and did not understand what 'moderate risk tolerance' meant. Derek earned a gross commission of approximately \$26,100 on the sale. Within 14 months, the equity subaccounts had declined roughly 18% due to market volatility, reducing the contract value to approximately \$368,000. Margaret, alarmed and needing funds for unexpected dental surgery costing \$9,500, attempted a withdrawal and discovered she would owe a surrender charge of approximately \$5,200 in addition to potential tax consequences on the inherited IRA distribution. She filed a complaint with the state insurance department in June 2023, alleging that Derek never properly assessed her financial situation, risk tolerance, or liquidity needs before recommending the variable annuity.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Plunkett committed multiple serious violations relating to his failure to adequately know his customer and the unsuitable recommendation that followed.

****Failure to Know the Customer -- FINRA Rule 2330(b)(1):****

FINRA Rule 2330 specifically requires that, prior to recommending the purchase or exchange of a deferred variable annuity, a registered representative must make reasonable efforts to obtain information concerning the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, existing assets (including insurance), liquidity needs, liquid net worth, risk tolerance, and tax status. Derek failed to collect the vast majority of this information. He did not use a standardized intake form, did not inquire about Margaret's monthly expenses, health status, tax bracket, existing long-term care coverage, or beneficiary designations. His handwritten notes captured only her age, approximate IRA value, and a vague notation about 'growth and safety.' This falls far short of the reasonable-efforts standard under Rule 2330(b)(1).

****NAIC Model Regulation 275 -- Suitability in Annuity Transactions:****

Under the NAIC Model Regulation 275 (as revised in 2020 to incorporate a best-interest standard), a producer must, prior to recommending an annuity, make reasonable efforts to obtain and consider the consumer's financial situation, insurance needs, financial objectives, and other relevant information. The producer must act in the consumer's best interest at the time of the transaction, without placing the producer's financial interest ahead of the consumer's. Derek's failure to gather essential data -- health status, monthly expenses, liquidity needs, tax situation -- means the recommendation could not have been based on a reasonable assessment of Margaret's best interest. The \$26,100 commission and the replacement of an existing fixed annuity with a more expensive variable annuity strongly suggest Derek prioritized his own compensation.

****New York Regulation 187 -- Best Interest Standard:****

Because Margaret resides in New York, NY Regulation 187 applies. This regulation requires that any recommendation of an annuity transaction be in the best interest of the consumer based on an evaluation of relevant suitability information, including the consumer's existing insurance products, financial situation, and needs. It also requires documentation of the basis for each recommendation. Derek provided no documented rationale for why the replacement was beneficial, did not supply a product comparison as required under New York's replacement regulations (11 NYCRR 51, Appendix 11), and recorded Margaret's risk tolerance and investment objectives inaccurately on the application -- listing 'moderate' and 'growth and income' when she expressly stated she could not afford losses.

****Regulation Best Interest (Rule 15l-1) -- Care Obligation:****

To the extent the transaction involved a securities recommendation through a broker-dealer, Regulation BI's Care Obligation required Derek to exercise reasonable diligence, care, and skill in making the recommendation. This includes understanding the potential risks, rewards, and costs of the variable annuity; having a reasonable basis to believe the recommendation was in the customer's best interest given her profile; and considering reasonably available alternatives. Derek recommended a product with 3.52% in annual costs and a 60% equity allocation to a 71-year-old widow with no securities experience, stated inability to tolerate losses, and clear liquidity needs. He failed to consider less costly or more conservative alternatives. He also failed to evaluate the cost of replacing the fixed annuity, including the \$6,750 surrender charge and the loss of guaranteed fixed returns.

****Unsuitable Replacement:****

The replacement of Margaret's existing fixed annuity was independently problematic. Under both NAIC Model 275 and NY Regulation 187, a replacement transaction must demonstrably benefit the consumer. Derek triggered a \$6,750 surrender charge on the old annuity, moved Margaret from a guaranteed-rate product into a market-risk product with a new seven-year surrender period, and substantially increased her annual costs -- all without documenting any benefit to the consumer. This has the hallmarks of a classic 'twisting' or churning transaction.

****Likely Regulatory Outcome:****

Derek faces potential disciplinary action from FINRA for violations of Rule 2330, including fines, suspension, or a bar. The New York Department of Financial Services could pursue enforcement under Regulation 187 for failure to act in the consumer's best interest and failure to comply with replacement documentation requirements. The broker-dealer's supervisory system is also implicated under FINRA Rule 3110 if it failed to review and flag the transaction given the customer's age, the size of the investment relative to liquid assets, the replacement, and the high commission. Margaret would likely prevail in an arbitration claim for compensatory damages including the surrender charges on both products, excess fees, market losses attributable to an unsuitable allocation, and potentially consequential damages related to her inability to access funds for medical expenses.

Item 217 of 350

NON-COMPLIANT

Topic: inappropriate_risk_profile

Difficulty: medium

Source: 24_Variable_Annuities

Fact Pattern

In March 2023, financial advisor Derek Hollins met with Margaret Cavendish, a 74-year-old retired school librarian living in Fort Worth, Texas. Margaret's husband had passed away six months earlier, and she had recently received \$285,000 from his life insurance death benefit. Her other assets consisted of \$42,000 in a bank savings account and approximately \$1,100 per month in Social Security income. She had no pension. Margaret told Hollins that she was worried about outliving her money and wanted something safe that would supplement her Social Security so she could cover her \$2,400 monthly living expenses, including medications for a chronic heart condition. She described herself as someone who had never invested in stocks and said she 'couldn't afford to lose a penny.' Hollins documented Margaret's risk tolerance as 'moderate growth' on the new account form, noting that she had a 'long-term time horizon given life expectancy.' He recommended she invest \$260,000--roughly 91% of her liquid net worth--into a variable annuity with an aggressive growth subaccount allocation: 45% in a small-cap equity fund, 30% in an international emerging markets fund, and 25% in a technology sector fund. The variable annuity carried a seven-year surrender period with a declining surrender charge starting at 8% in year one. Total annual expenses including mortality and expense charges, administrative fees, and underlying fund expenses were approximately 3.15%. The product included an optional guaranteed minimum income benefit rider at an additional annual cost of 1.10%, bringing total annual costs to roughly 4.25%. Hollins earned a \$15,600 commission on the sale. He did not discuss any alternative products such as fixed annuities, immediate income annuities, or bond funds. Within eight months, by November 2023, the subaccounts had declined approximately 19% due to emerging market volatility and a technology sector selloff. Margaret's account value dropped to roughly \$210,600. She called Hollins in a panic, explaining she needed to withdraw \$18,000 to cover an unexpected medical procedure related to her heart condition. Hollins informed her that an early withdrawal would trigger a surrender charge of approximately 7.5%, costing her an additional \$1,350 on the withdrawal. Margaret filed a complaint with her state insurance department alleging that her advisor placed her in an investment completely inconsistent with her actual financial situation and stated needs.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hollins violated multiple applicable suitability and best-interest standards in his recommendation to Margaret Cavendish.

****Risk Profile Misrepresentation:**** Under FINRA Rule 2330, before recommending a variable annuity, a registered representative must make reasonable efforts to obtain the customer's investment objectives, financial situation, risk tolerance, and other relevant information. Hollins documented Margaret's risk tolerance as 'moderate growth' despite her explicit statements that she had never invested in equities and 'couldn't afford to lose a penny.' Her actual risk tolerance was clearly conservative. Mischaracterizing the customer's risk profile to justify a product recommendation is a well-documented violation under both FINRA Rule 2330 and NAIC Model Regulation 275, which requires that an insurance producer have reasonable grounds for believing the recommendation is suitable based on facts disclosed by the consumer regarding investments, financial situation, and needs.

****Concentration and Liquidity Concerns:**** Hollins placed approximately 91% of Margaret's liquid net worth into a single variable annuity with a seven-year surrender period. For a 74-year-old widow with a chronic medical condition, limited income (\$1,100/month Social Security against \$2,400/month expenses), and no other meaningful liquid assets beyond \$42,000 in savings, this concentration created severe liquidity risk. FINRA Rule 2330(b) specifically requires that the representative consider, among other factors, whether the customer would benefit from the tax-deferred features of a variable annuity, the customer's liquidity needs, and the customer's existing financial profile. Margaret needed current income and liquidity, not long-term tax deferral with steep surrender charges.

****Aggressive Subaccount Allocation:**** The 100% equity allocation across small-cap, emerging markets, and technology sector funds was wholly inconsistent with Margaret's conservative profile and income needs. This aggressive allocation exposed her to substantial market volatility, which materialized in the 19% decline within eight months.

****Cost Analysis:**** Total annual expenses of approximately 4.25% created an enormous drag on returns, requiring the portfolio to generate significant gains merely to break even--an unreasonable expectation for a client who needed capital preservation and income.

****Failure to Consider Alternatives:**** Under NY Regulation 187 (applicable as a model for best-interest analysis) and the broader best-interest framework under SEC Regulation BI (Rule 15l-1), advisors must consider reasonably available alternatives. Hollins never discussed fixed annuities, single premium immediate annuities (which could have directly addressed Margaret's income gap), or conservative bond funds. An immediate annuity with \$260,000 could have provided meaningful monthly income to close the gap between her Social Security and living expenses without market risk.

****NAIC Model 275 Violations:**** The NAIC Model Regulation specifically requires that insurance recommendations be suitable based on the consumer's age, financial situation, insurance needs, risk tolerance, and objectives. A variable annuity with aggressive equity subaccounts, high fees, and a lengthy surrender period fails all of these criteria for a 74-year-old conservative widow with income and liquidity needs.

****Likely Regulatory Outcome:**** Hollins faces potential sanctions from both securities and insurance regulators, including fines, disgorgement of the \$15,600 commission, suspension or revocation of licenses, and restitution to the customer. The state insurance department complaint will likely trigger an investigation, and the documented misrepresentation of risk tolerance on the account form could constitute a separate supervisory and books-and-records violation. GAO reports and academic studies on variable annuity mis-selling have repeatedly identified elderly, conservative clients with liquidity needs as the most frequent victims of unsuitable VA recommendations, making this a high-priority enforcement profile.

Item 218 of 350**NON-COMPLIANT**

Topic: senior_investor_exploitation

Difficulty: hard

Source: 24_Variable_Annuities

Fact Pattern

Margaret Olsen, age 81, is a retired schoolteacher living in Sacramento, California. She has an annual fixed income of \$34,000, consisting of Social Security (\$22,000) and a small state pension (\$12,000). Her total liquid assets consist of \$285,000 in a bank money market account and a \$40,000 certificate of deposit maturing in six months. She also owns her home outright, valued at approximately \$380,000. Margaret has no long-term care insurance. She takes three prescription medications and has mild cognitive decline, though she remains legally competent. Her stated investment objectives, recorded during a meeting in March 2023 with advisor Dennis Hargrove, were capital preservation and income to supplement her pension and Social Security. She described herself as very conservative and said she could not afford to lose any of her savings because it was her "emergency and nursing home money." Margaret's only prior investment experience was the money market account and CDs; she had never owned equities, mutual funds, or annuities of any kind.

During the March meeting, Hargrove recommended that Margaret move \$230,000--roughly 81% of her liquid net worth--out of the money market account and into a variable annuity with a guaranteed minimum income benefit rider. The product carried a mortality and expense risk charge of 1.40%, an administrative fee of 0.15%, underlying sub-account expenses averaging 0.92%, and the income rider fee of 1.10%, bringing total annual costs to approximately 3.57%. The annuity carried a seven-year declining surrender charge schedule starting at 8% in year one and declining by 1% per year. Hargrove allocated 60% of the sub-account investments to an equity growth fund and 40% to a balanced fund, giving the overall portfolio moderate-to-aggressive equity exposure. Hargrove earned a 6.5% commission of \$14,950 on the sale.

Hargrove told Margaret that the guaranteed income rider meant she "couldn't lose money" and that the annuity would "grow faster than a CD" while protecting her principal. He did not discuss the distinction between the benefit base used for income calculations and the actual account value, nor did he explain that the account value itself could decline. He did not document any consideration of less costly alternatives such as fixed annuities, fixed indexed annuities, Treasury securities, or high-yield savings accounts. He did not inquire about Margaret's health status, potential need for liquidity for medical or long-term care expenses, or existing estate planning objectives. Margaret's daughter, who holds her financial power of attorney, was not notified of or invited to the meeting, although Margaret had previously told Hargrove that her daughter helped manage her finances.

By December 2023, the equity sub-accounts had declined 11%, reducing the account value to approximately \$199,700. Margaret needed \$18,000 for unexpected dental surgery and home plumbing repairs. When she attempted to withdraw the funds, she learned she would owe a 7% surrender charge of \$1,260 on the withdrawal plus ordinary income tax on any gains, and that the withdrawal would permanently reduce her guaranteed income base proportionally. She had not been informed of any of these consequences at the time of purchase. Her daughter filed a complaint with the insurance department in January 2024.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dennis Hargrove violated multiple suitability and best-interest standards in recommending this variable annuity to Margaret Olsen.

1. ****FINRA Rule 2330 - Variable Annuity Suitability****: Rule 2330(b) requires that a member or associated person have a reasonable basis to believe that a variable annuity transaction is suitable, considering the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, investment time horizon, existing assets (including other annuities and insurance), liquidity needs, liquid net worth, risk tolerance, and tax status. Hargrove failed this standard on nearly every dimension. Margaret was 81, had no investment experience beyond CDs and money market accounts, had a very conservative risk tolerance, stated her objective was capital preservation, and explicitly identified her savings as emergency and potential nursing home funds--signaling critical near-term liquidity needs. Concentrating 81% of her liquid net worth in an illiquid variable annuity with a seven-year surrender period, moderate-to-aggressive equity exposure, and total annual costs of 3.57% is facially unsuitable for this customer profile. Rule 2330 also requires that the member consider whether the customer would benefit from the features of the variable annuity (such as tax deferral, annuitization, or death benefits). At age 81 with modest income and no tax liability on her money market interest sufficient to justify 3.57% in annual costs, the tax-deferral benefit is negligible.

2. ****NAIC Model Regulation 275 (Suitability in Annuity Transactions)****: Model 275, as adopted and enhanced by California, imposes a best-interest standard on insurance producers recommending annuities. The producer must act in the consumer's best interest and must have a reasonable basis to believe the recommendation is suitable based on the consumer's suitability profile, including age, income, financial situation, existing assets, risk tolerance, liquidity needs, and financial objectives. Hargrove's recommendation fails each of these factors. Model 275 also requires that the producer consider reasonably available alternatives, which Hargrove did not document or discuss--fixed annuities, fixed indexed annuities, Treasury instruments, or simple bank products would have been more aligned with Margaret's stated objectives. Additionally, the regulation requires that compensation not be a material factor motivating the recommendation; the \$14,950 commission (6.5%) raises serious concerns about whether the recommendation was driven by compensation rather than client need.

3. ****Regulation Best Interest (SEC Rule 15l-1)****: If Hargrove is a registered representative of a broker-dealer, Reg BI's Care Obligation requires that the advisor exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. The advisor must consider reasonably available alternatives. Hargrove's failure to consider lower-cost, lower-risk alternatives for an 81-year-old conservative investor is a clear violation of the Care Obligation. The Disclosure Obligation also required Hargrove to fully and fairly disclose material facts about the recommendation, including the surrender schedule, the distinction between the benefit base and actual account value, the effect of withdrawals on the income guarantee, and the total cost structure. His misleading statement that Margaret "couldn't lose money" constituted a material misrepresentation. The Conflict of Interest Obligation required the firm to have policies addressing the \$14,950 commission as a conflict.

4. ****New York Regulation 187 (if applicable as a model for California's enhanced standards)****: NY Reg 187 similarly imposes a best-interest standard and would find the same deficiencies--failure to act in the consumer's best interest, failure to consider alternatives, and a recommendation materially motivated by producer compensation.

****Additional Aggravating Factors****:

- ****Senior Investor Exploitation****: Margaret's age (81), mild cognitive decline, lack of investment experience, and reliance on a family member for financial management are significant red flags. Hargrove's failure to include or notify Margaret's daughter--who held a financial power of attorney and whom Margaret had identified as a financial decision-making partner--reflects a failure to follow senior investor protection protocols that many firms and state

regulators mandate.

- **Misleading Statements**: Telling Margaret she "couldn't lose money" when the account value was exposed to equity market risk and subject to surrender charges constitutes a misleading and potentially fraudulent statement.
- **Concentration Risk**: Placing 81% of a senior's liquid assets in a single illiquid product with a seven-year surrender period creates unacceptable concentration and liquidity risk.
- **Liquidity Mismatch**: Margaret explicitly identified her savings as emergency and long-term care reserves, yet the product imposed significant barriers to accessing those funds.

Likely Regulatory Outcome: Hargrove faces potential disciplinary action from FINRA (fine, suspension, or bar), state insurance department enforcement (license revocation or suspension, restitution order), and possible SEC or state securities enforcement for Reg BI violations. The firm's supervisory system would also face scrutiny under FINRA Rules 3110 and 2330(c) for failing to implement adequate principal review of this transaction. Margaret would likely be entitled to rescission or restitution of losses, surrender charges incurred, and the excessive fees paid.

Item 219 of 350**NON-COMPLIANT****Topic:** variable_annuity_unsuitable**Difficulty:** hard**Source:** 24_Variable_Annuities**Fact Pattern**

Margaret Ellison, age 74, is a retired school librarian living in Syracuse, New York. She has a fixed monthly income of \$2,150 from Social Security and a small state pension of \$980 per month. Her total liquid assets consist of \$310,000 in a bank certificate of deposit earning 4.2% and \$45,000 in a savings account she keeps for emergencies. She owns her home outright, valued at approximately \$185,000. Margaret has no long-term care insurance and has been in generally good health, though she takes medication for mild hypertension and was recently diagnosed with early-stage macular degeneration. She describes herself as very conservative, stating she 'cannot afford to lose any money' and that her primary goal is preserving her savings to cover potential medical expenses and assisted living costs if her health declines. She has no investment experience beyond the CD and savings account.

In March 2024, Margaret met with financial advisor Derek Santana after attending a dinner seminar at a local restaurant titled 'Protect Your Retirement from Market Crashes.' During the seminar, Derek emphasized the downside protection features of variable annuities and used a slide showing hypothetical growth scenarios but did not discuss surrender charges, subaccount volatility, or the impact of fees on returns. After a single 45-minute meeting at Margaret's home three days later, Derek recommended she liquidate her \$310,000 CD--which had seven months remaining to maturity, triggering an early withdrawal penalty of \$3,875--and invest the proceeds into a variable annuity contract issued by National Horizon Life Insurance Company. The product carried a seven-year surrender charge schedule starting at 8% in year one and declining to 1% in year seven, an annual mortality and expense charge of 1.35%, an administrative fee of 0.15%, and average subaccount expense ratios of 0.92%. Derek also recommended she add a Guaranteed Minimum Income Benefit rider at an additional annual cost of 1.10%, bringing total annual charges to approximately 3.52%.

Derek allocated 60% of the subaccounts to an aggressive growth equity fund, 25% to an international equity fund, and 15% to a high-yield bond fund. He did not document Margaret's risk tolerance or investment time horizon on the application beyond checking a box marked 'moderate growth,' nor did he discuss any alternative products such as fixed annuities, fixed indexed annuities, treasury securities, or bond funds. He did not provide Margaret with the prospectus until two weeks after she signed the application and funded the contract. Derek earned a commission of \$21,700 on the sale.

By September 2024, the account had declined to approximately \$267,000 due to equity market volatility and the cumulative effect of fees. Margaret called Derek in distress after receiving her quarterly statement, saying she needed to access \$40,000 for a home modification related to her worsening vision. Derek informed her that a withdrawal of that size would trigger a surrender charge of approximately \$3,200 on top of the market losses. Margaret filed a complaint with her state insurance department in October 2024, alleging that Derek never explained the risks, fees, or surrender charges, and that the product was wholly inappropriate for her situation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Santana committed multiple serious violations of applicable suitability and best-interest standards governing variable annuity sales.

****FINRA Rule 2330 - Variable Annuity Suitability:**** FINRA Rule 2330 imposes specific suitability obligations before recommending a variable annuity purchase or exchange. The registered representative must make reasonable efforts to obtain the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, existing annuity or insurance holdings, liquid net worth, risk tolerance, and tax status. Derek failed to accurately document Margaret's risk tolerance and time horizon; checking 'moderate growth' for a 74-year-old conservative investor with no market experience and an explicit need for capital preservation is a clear misrepresentation of customer information. Rule 2330(b) requires that the advisor have a reasonable basis to believe (1) the customer has been informed of the general features of a variable annuity, including surrender charges, potential for market loss, fees, and the insurance and investment components; (2) the customer would benefit from certain features of the variable annuity, such as tax-deferred growth, annuitization, or a death benefit; and (3) the particular variable annuity, including riders and subaccount allocations, is suitable. Derek failed all three prongs. Margaret had no tax-deferred accumulation need (she was 74 with an immediate liquidity need), the aggressive subaccount allocation was wholly inconsistent with her stated conservative risk tolerance, and there is no evidence she was informed of surrender charges or subaccount risks prior to signing.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** Under the revised NAIC Model #275, which has been adopted in most states, a producer must act in the best interest of the consumer and must have a reasonable basis to believe the recommendation is suitable based on the consumer's financial situation, insurance needs, and financial objectives. The model regulation requires that the recommendation not place the producer's financial interest ahead of the consumer's interest. The \$21,700 commission on a product that exposed a 74-year-old conservative investor's entire liquid net worth to equity market risk and a seven-year surrender schedule strongly suggests the producer's compensation interest drove the recommendation. Model #275 also requires consideration of reasonably available alternatives; Derek failed to discuss fixed annuities, fixed indexed annuities, treasury products, or any lower-cost option.

****New York Regulation 187:**** Because Margaret resides in New York, NY Regulation 187 (11 NYCRR 224) applies. Reg 187 imposes a best-interest standard on annuity recommendations made in New York, requiring that the transaction be in the consumer's best interest at the time of the recommendation, considering the consumer's age, financial situation, insurance needs, financial objectives, and other relevant characteristics. The regulation explicitly requires producers to consider the types of products available, the consumer's existing insurance portfolio, and to document the basis for any recommendation. Derek's failure to document a reasonable basis, his mischaracterization of Margaret's risk profile, the absence of alternatives analysis, and the aggressive allocation for a risk-averse septuagenarian all constitute violations of Reg 187.

****SEC Regulation Best Interest (Rule 15l-1):**** As a broker-dealer representative, Derek is also subject to Reg BI, which requires that broker-dealers and their associated persons act in the retail customer's best interest at the time of a recommendation. Reg BI's Care Obligation requires reasonable diligence, care, and skill in making recommendations, including understanding the risks, rewards, and costs of the product and having a reasonable basis to believe the recommendation is in the customer's best interest given her investment profile. The Disclosure Obligation requires full and fair disclosure of material facts, including conflicts of interest, fees, and the type and scope of the relationship. Derek failed the Care Obligation by concentrating Margaret's entire liquid savings in a high-cost, long-surrender, aggressively allocated variable annuity when she needed capital preservation and near-term liquidity. He failed the Disclosure Obligation by not providing the prospectus until two weeks after the sale and by not explaining surrender charges or subaccount risks. The Conflict of Interest Obligation was also likely violated given the high commission and absence of any documented rationale for choosing this product over lower-cost alternatives.

****Specific Violations Summary:****

1. Unsuitable product recommendation for the customer's age (74), conservative risk tolerance, limited income, need for liquidity, and lack of investment experience.
2. Unsuitable subaccount allocation (85% equities) inconsistent with stated conservative objectives.
3. Concentration of virtually all liquid assets (\$310,000 of \$355,000) in a single illiquid product with a seven-year surrender schedule.
4. Failure to consider and present reasonably available alternatives.
5. Failure to deliver the prospectus at or before the time of the recommendation.
6. Misrepresentation of the customer's risk profile on application documents.
7. Failure to disclose material features, including surrender charges and fee impact.
8. Inducement of early CD liquidation resulting in a \$3,875 penalty with no documented offsetting benefit.

****Likely Regulatory Outcome:**** Margaret's complaint will likely result in a state insurance department investigation and potential FINRA enforcement action. Probable outcomes include rescission of the annuity contract and full restitution to Margaret, disgorgement of Derek's commission, fines assessed against Derek and his supervising broker-dealer, and potential suspension or revocation of Derek's insurance and securities licenses. The broker-dealer's supervisory system under FINRA Rule 3110 may also be scrutinized for failure to flag the transaction during principal review, as the customer profile and product characteristics presented obvious red flags.

Item 220 of 350

NON-COMPLIANT

Topic: senior_investor_exploitation

Difficulty: hard

Source: 24_Variable_Annuities

Fact Pattern

Margaret Donovan, age 81, is a retired elementary school teacher living in Des Moines, Iowa. Her husband passed away in January 2021, leaving her as the sole beneficiary of his \$410,000 traditional IRA, which was invested in a balanced allocation of bond funds and a money market fund through a discount brokerage. Margaret also has a modest pension of \$2,100 per month, Social Security benefits of \$1,780 per month, and a savings account with \$34,000. Her home is paid off and valued at approximately \$195,000. She has no long-term care insurance. Margaret has early-stage cognitive decline, as noted by her primary care physician in medical records dated November 2020, though she has not been declared legally incapacitated. Her investment objective, as stated on her prior brokerage account paperwork, is capital preservation and income generation. Her risk tolerance is conservative.

In February 2021, Margaret's neighbor introduced her to Craig Ellison, a registered representative and insurance-licensed agent affiliated with Patriot Wealth Strategies, a broker-dealer and insurance agency. Craig visited Margaret at her home on three occasions over two weeks. During the first visit, Craig learned about her husband's passing and the inherited IRA. He told Margaret that her current investments were 'losing money to inflation every day' and that he could help her 'lock in guaranteed income for life.' He did not ask about her health status, existing medical conditions, cognitive state, or whether she had a power of attorney or trusted contact person on file.

On the third visit, Craig recommended that Margaret surrender her existing IRA holdings and use \$385,000 to purchase a variable annuity -- the Summit Horizon Growth & Income VA -- issued by National Consolidated Life Insurance Company. The product carried a 7-year surrender charge schedule beginning at 8% in year one and declining by 1% per year. The annual mortality and expense (M&E) charge was 1.35%, and the administrative fee was 0.15% annually. Craig also recommended that Margaret add an optional Guaranteed Minimum Income Benefit (GMIB) rider at an additional annual cost of 1.10%, bringing total annual fees to approximately 2.60% before underlying subaccount expenses, which averaged 0.82%. The all-in annual cost was therefore approximately 3.42%.

Craig allocated 60% of the subaccount selections to equity growth funds and 40% to a high-yield bond fund, inconsistent with Margaret's stated conservative risk tolerance. Craig earned a 6.25% commission on the sale, totaling \$24,062.50. He did not document any consideration of less costly alternatives such as fixed annuities, immediate income annuities, or simply restructuring her existing IRA portfolio to generate income. His notes from the meetings consisted of a single sentence: 'Client wants guaranteed income.' He did not note Margaret's age, health, liquidity needs, tax situation related to the inherited IRA's required minimum distribution obligations, or the fact that the surrender period would extend until Margaret was 88 years old.

Margaret's daughter, Sandra, discovered the transaction in April 2021 when she helped her mother organize financial paperwork. Sandra noted that Margaret could not clearly explain what she had purchased or why, and that Margaret had confused the variable annuity with a bank certificate of deposit. Sandra also found that Margaret had not taken her required minimum distribution from the inherited IRA for 2021, potentially exposing her to a 50% excise tax penalty on the undistributed amount.

By May 2021, the equity-heavy subaccounts had experienced a short-term decline, and Margaret's account value had

dropped to \$361,000. If Margaret were to surrender the annuity to restore her prior investment arrangement, she would face a surrender charge of approximately \$28,880 (8% of the \$361,000 value), plus potential tax consequences from the liquidation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Ellison committed multiple serious violations of applicable suitability and best-interest standards.

****FINRA Rule 2330 -- Variable Annuity Suitability:****

FINRA Rule 2330 requires that before recommending the purchase of a variable annuity, a registered representative must make reasonable efforts to obtain comprehensive customer profile information, including age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, existing assets, liquidity needs, liquid net worth, risk tolerance, tax status, and other relevant information. Craig Ellison failed to obtain or document most of this information. His documentation consisted of a single sentence -- 'Client wants guaranteed income' -- which is grossly insufficient. Rule 2330(b)(1) further requires that the representative have a reasonable basis to believe the customer has been informed of the material features of the annuity, including surrender charges, potential tax penalties, mortality and expense charges, fees, and the insurance and investment components. There is no evidence Margaret understood the product -- she later confused it with a bank CD. Additionally, Rule 2330(b)(1)(A) requires a reasonable basis to believe the customer would benefit from certain features of a deferred variable annuity (e.g., tax-deferred growth, annuitization, death benefit, or rider features) that are not available through other products. Craig did not document any such analysis or consideration of alternatives.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):****

The revised NAIC Model Regulation 275 (adopted 2020) establishes a best-interest standard for annuity recommendations. Under Section 6 of the model regulation, a producer must act in the best interest of the consumer at the time the recommendation is made, without placing the producer's financial interest ahead of the consumer's interest. The regulation imposes four component obligations: (1) Care Obligation -- the producer must exercise reasonable diligence, care, and skill, including understanding the product and its risks, considering reasonably available alternatives, and having a reasonable basis to believe the recommendation is in the consumer's best interest considering the consumer's profile. Craig violated this by recommending a product with a 7-year surrender period to an 81-year-old in declining cognitive health, allocating heavily to equities for a conservative investor, ignoring inherited IRA RMD obligations, and failing to consider lower-cost alternatives. (2) Disclosure Obligation -- the producer must disclose the scope and terms of the relationship, compensation, and material conflicts of interest. Craig's \$24,062.50 commission created a significant conflict that was apparently not disclosed. (3) Conflict of Interest Obligation -- the producer must identify and avoid or reasonably manage material conflicts of interest. The massive commission incentive was not managed. (4) Documentation Obligation -- the producer must make a written record of the basis for the recommendation. Craig's single-sentence note fails entirely.

****NY Regulation 187:****

If Margaret were a New York consumer (or if Craig's broker-dealer applied NY Reg 187 standards more broadly as a best practice), Regulation 187 (11 NYCRR §224) similarly requires that recommendations be in the best interest of the consumer. It requires consideration of alternatives reasonably available to the producer and analysis of whether the transaction is suitable in light of the consumer's suitability profile. The regulation also prohibits placing a producer's or insurer's financial interest ahead of the consumer's.

****Regulation Best Interest (SEC Rule 15l-1):****

As a registered representative of a broker-dealer, Craig is subject to Regulation Best Interest when making a recommendation of any securities transaction, including a variable annuity (which is a security). Reg BI requires satisfaction of four obligations: Disclosure, Care, Conflict of Interest, and Compliance. Under the Care Obligation, Craig was required to exercise reasonable diligence, care, and skill to understand the risks, costs, and rewards of the VA, to have a reasonable basis to believe the recommendation was in Margaret's best interest without placing his own interest ahead of hers, and to consider reasonably available alternatives. Craig failed the Care Obligation by recommending an illiquid, high-cost, equity-heavy variable annuity to a cognitively declining 81-year-old conservative investor with no documented analysis of lower-cost options. Under the Disclosure Obligation, he failed to adequately present material facts about costs, surrender charges, and conflicts. Under the Conflict of Interest Obligation, his firm's policies should have identified and mitigated the enormous commission incentive, and Craig should have disclosed it.

****Specific Violations and Aggravating Factors:****

1. ****Age and vulnerability:**** Margaret, at 81 with early cognitive decline, is a textbook vulnerable senior investor. The 7-year surrender period extending to age 88 is facially unreasonable.
2. ****Risk mismatch:**** A 60/40 equity-to-high-yield-bond allocation is wholly inconsistent with a conservative risk tolerance and capital preservation objective.
3. ****Liquidity risk:**** Tying up 90%+ of Margaret's investable assets in a product with 8% first-year surrender charges severely impairs her ability to access funds for healthcare or emergencies, particularly given her lack of long-term care insurance.
4. ****Tax mismanagement:**** Craig failed to account for inherited IRA RMD obligations, potentially exposing Margaret to a 50% excise tax penalty -- demonstrating a fundamental lack of due diligence.
5. ****Failure to identify trusted contact:**** Craig did not inquire about or document a trusted contact person or power of attorney, which is particularly important given Margaret's cognitive status.
6. ****Inadequate documentation:**** A single-sentence note fails every applicable documentation standard.
7. ****Commission motivation:**** A \$24,062.50 commission provides strong circumstantial evidence that Craig placed his financial interest ahead of Margaret's.

****Likely Regulatory Outcome:****

Craig Ellison faces potential disciplinary action from FINRA (fine, suspension, or bar), enforcement action by the Iowa Insurance Division and any other applicable state insurance department, and potential SEC or state securities enforcement. His firm, Patriot Wealth Strategies, faces supervisory failure liability under FINRA Rules 3110 and 3120 for failing to maintain adequate supervisory systems for variable annuity sales. Margaret or her family would likely prevail in a FINRA arbitration claim seeking rescission of the transaction, recovery of surrender charges, lost opportunity costs, and consequential damages. Given Margaret's cognitive decline and Craig's apparent exploitation of a bereaved, vulnerable senior, enhanced sanctions (including potential referral for elder financial exploitation under state elder abuse statutes) are warranted.

Item 221 of 350**NON-COMPLIANT****Topic:** senior_investor_exploitation**Difficulty:** hard**Source:** 24_Variable_Annuities**Fact Pattern**

Margaret Holloway, age 81, is a retired schoolteacher living in Syracuse, New York. She has a monthly Social Security income of \$2,140 and a small state pension of \$1,350 per month. Her total liquid assets consist of \$410,000 in a bank savings account, \$55,000 in a money market fund, and a \$180,000 certificate of deposit maturing in three months. She owns her home outright, valued at approximately \$285,000. Margaret has no long-term care insurance and has been managing increasing medical expenses related to a recent diagnosis of early-stage Parkinson's disease. Her risk tolerance, as documented on her new account form, is "conservative," and her stated investment objectives are "preservation of capital and income." She has no prior experience with securities or variable products.

In February 2024, financial advisor Derek Nolan, who holds both securities and insurance licenses, was introduced to Margaret through her nephew, who is a casual acquaintance of Derek's. Derek met with Margaret twice at her home. During those meetings, Margaret expressed concern about inflation eroding her savings and mentioned she wanted to make sure she had enough money to cover potential nursing home costs if her condition worsened.

Derek recommended that Margaret liquidate her \$180,000 CD upon maturity and invest it into a variable annuity with a guaranteed minimum income benefit rider. He also recommended she move \$275,000 from her bank savings account into a second variable annuity contract from a different insurance carrier, this one featuring a guaranteed minimum withdrawal benefit rider. The two variable annuities combined carried total annual expenses of approximately 3.45% (including mortality and expense charges, administrative fees, sub-account management fees, and rider charges). Both contracts imposed surrender charges starting at 8% in year one, declining over nine years. The recommended sub-account allocations for both contracts were 60% domestic equity funds and 25% international equity funds, with only 15% in bond funds.

Derek's written rationale, documented in the firm's suitability form, stated that the guaranteed riders would protect Margaret's principal while allowing her to participate in market growth. He noted that the variable annuities would provide "lifetime income she cannot outlive." He did not document any discussion of Margaret's medical condition, her potential need for liquidity to cover healthcare or long-term care expenses, or alternative products such as immediate annuities, fixed annuities, short-term bond funds, or Treasury instruments. He did not discuss the impact of the surrender charges on Margaret's ability to access her funds in an emergency. Derek earned a combined commission of \$29,575 on the two sales.

Within eight months of the purchase, Margaret's Parkinson's symptoms progressed and she needed to access \$60,000 for home modifications and in-home care assistance. She was assessed a surrender charge of \$4,800 on the withdrawal from one contract, and the sub-accounts in the other had declined approximately 11% due to a market correction, reducing her account value by over \$30,000. Margaret's nephew filed a complaint with Derek's firm in November 2024, alleging that the recommendations were inappropriate for his aunt's age, health, and financial needs.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Nolan's recommendations almost certainly violated multiple applicable suitability and best-interest standards.

1. ****FINRA Rule 2330 -- Variable Annuity Suitability****: Rule 2330 imposes heightened suitability requirements specific to variable annuity transactions. Before recommending a VA purchase, the registered representative must make reasonable efforts to obtain the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, investment time horizon, existing assets, liquidity needs, liquid net worth, risk tolerance, and tax status. Derek documented Margaret's conservative risk tolerance and capital preservation/income objectives, yet recommended two VAs with aggressive equity-heavy sub-account allocations (85% equities) and combined annual costs of 3.45%. This allocation is fundamentally inconsistent with her documented profile. Rule 2330(b) also requires the advisor to have a reasonable basis to believe the customer would benefit from certain features of a VA, such as tax-deferred growth and separate account features. Margaret's age (81) and conservative profile suggest she is unlikely to benefit materially from tax deferral over a long accumulation period. The nine-year surrender period is plainly unsuitable for an 81-year-old with a progressive neurological condition and foreseeable liquidity needs.

2. ****NAIC Model Regulation 275 (Suitability in Annuity Transactions)****: Under the revised Model 275, which has been adopted or substantially adopted in most states, an insurance producer must act in the consumer's best interest at the time of the recommendation. The producer must consider the consumer's age, financial situation, insurance needs, existing assets, liquidity needs, and the insured's existing coverage. Derek failed to consider or document Margaret's diagnosed Parkinson's disease and the near-certain need for substantial medical and long-term care expenditures. He concentrated approximately 70% of her liquid net worth (\$455,000 of \$645,000) into illiquid variable annuity contracts with lengthy surrender periods. Model 275 also requires consideration and documentation of reasonable alternatives. Derek did not discuss or document why he rejected fixed annuities, immediate annuities, or other conservative, liquid alternatives that would have been more consistent with Margaret's stated objectives.

3. ****New York Regulation 187****: Because Margaret resides in New York, the transaction is subject to NY Reg 187, which imposes an explicit best-interest standard on annuity recommendations and replacements made to New York consumers. Under Reg 187 (11 NYCRR 224), the producer must act in the best interest of the consumer without placing the producer's financial interest ahead of the consumer's. The \$29,575 combined commission, the concentration of an elderly client's liquid assets in high-cost, illiquid products, and the lack of any documented analysis of less expensive or more suitable alternatives strongly suggest that Derek's financial interest drove the recommendation. Reg 187 also mandates documentation of the basis for the recommendation, including why less costly or less complex alternatives were not recommended. Derek's documentation is deficient on these points.

4. ****Regulation Best Interest (SEC Rule 15l-1)****: If the transaction was effected through a broker-dealer (as indicated by Derek's securities license and commission-based compensation), Reg BI applies. Under Reg BI's Care Obligation, the broker-dealer and associated person must exercise reasonable diligence, care, and skill in making the recommendation. The Care Obligation requires consideration of the potential risks, rewards, and costs of the recommendation and reasonably available alternatives. Recommending 85% equity exposure in high-cost variable annuities to an 81-year-old conservative investor with a degenerative medical condition and foreseeable liquidity needs fails this standard. Additionally, under Reg BI's Conflict of Interest Obligation, the firm must identify and mitigate conflicts associated with financial incentives. The large commissions here represent a material conflict that does not appear to have been mitigated.

****Specific Violations Summary****:

- Unsuitable asset allocation (85% equities for a conservative 81-year-old)
- Unsuitable product concentration (approximately 70% of liquid assets in illiquid VAs)

- Failure to consider liquidity needs given known progressive medical condition
- Nine-year surrender periods inappropriate for an 81-year-old with health issues
- Excessive product costs (3.45% annual all-in expenses) relative to client's conservative objectives
- Failure to document or consider reasonable alternatives (fixed annuities, immediate annuities, short-duration bonds, Treasuries)
- Apparent prioritization of advisor compensation over client interest
- Deficient documentation under NAIC Model 275 and NY Reg 187 requirements

****Likely Regulatory Outcome**:** Derek and his firm face exposure on multiple fronts. FINRA could bring an enforcement action for Rule 2330 and Reg BI violations, potentially resulting in a fine, suspension, and restitution. The New York Department of Financial Services could pursue action under Reg 187 against Derek's insurance license. The client (or her nephew on her behalf) may also pursue arbitration seeking compensatory damages including the surrender charges paid, market losses attributable to the unsuitable allocation, and the difference in costs between the recommended products and suitable alternatives. Given Margaret's age, health, and the egregiousness of the concentration, this case presents strong indicators of senior investor exploitation, which is a priority area for both FINRA and state regulators.

Item 222 of 350**NON-COMPLIANT**

Topic: variable_annuity_unsuitable

Difficulty: medium

Source: 24_Variable_Annuities

Fact Pattern

Margaret Ellison, age 74, is a retired elementary school teacher living in Columbus, Ohio. She receives \$2,400 per month from her state pension and \$1,850 per month from Social Security, giving her a combined annual income of approximately \$51,000. Her total liquid savings amount to \$285,000, held in a bank money market account and a portfolio of short-term Treasury bills. She owns her home outright, valued at roughly \$210,000, and has no outstanding debts. Margaret has described herself as a conservative investor whose primary objectives are preserving her principal and maintaining access to her savings to cover potential assisted-living or long-term care expenses. She has limited investment experience, having never owned equities or mutual funds, and told her advisor she did not want to risk losing any of her nest egg.

In March 2023, Margaret met with financial advisor Derek Saunders after attending a dinner seminar at a local restaurant titled "Guaranteed Income for Life -- Protect Your Retirement." During the seminar, Derek emphasized the tax-deferred growth benefits and optional guaranteed income riders available through variable annuities. At a follow-up appointment at his office, Derek recommended that Margaret invest \$230,000 -- approximately 81% of her liquid assets -- into a variable annuity issued by National Pacific Life. The specific product carried a mortality and expense risk charge of 1.45%, an administrative fee of 0.15%, underlying subaccount expense ratios averaging 0.95%, and a guaranteed minimum withdrawal benefit rider costing an additional 1.10% annually, bringing total annual costs to approximately 3.65%. The contract imposed a seven-year surrender charge schedule starting at 8% in year one and declining by one percentage point each year.

Derek allocated the subaccounts as follows: 40% in an aggressive growth equity fund, 30% in an international equity fund, 15% in a high-yield bond fund, and 15% in a balanced fund. He told Margaret the guaranteed income rider meant she could never lose money and that the annuity was "just like a CD but with better returns." He did not discuss the surrender charge implications relative to her potential need for liquidity to fund long-term care, nor did he present any alternative products such as fixed annuities, fixed indexed annuities, or a laddered bond portfolio. Derek's notes in the client file listed Margaret's risk tolerance as "moderate growth" and her time horizon as "long-term," despite her verbal statements to the contrary. His firm's compensation records show he received a 6.5% upfront commission of \$14,950 on the sale. Margaret's daughter, who holds power of attorney, discovered the transaction six months later when Margaret needed \$40,000 for a deposit at an assisted-living facility and learned she would owe a \$3,200 surrender penalty to access the funds.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Saunders committed multiple violations of applicable suitability and best-interest standards.

1. ****FINRA Rule 2330 -- Variable Annuity Suitability****: Under Rule 2330, before recommending a variable annuity, a registered representative must make reasonable efforts to obtain the customer's age, annual income, financial situation

and needs, investment experience, investment objectives, intended use of the annuity, existing insurance holdings, risk tolerance, tax status, and liquidity needs. The representative must then have a reasonable basis to believe the transaction is suitable. Here, Derek documented Margaret's risk tolerance as "moderate growth" and her time horizon as "long-term," directly contradicting her stated conservative objectives and her need for near-term liquidity to fund potential long-term care. This mischaracterization of the customer profile violates the information-gathering and reasonable-basis obligations of Rule 2330(b). The 81% concentration of liquid assets in a single illiquid product with a seven-year surrender schedule is facially unsuitable for a 74-year-old retiree with known near-term liquidity needs.

2. ****NAIC Model Regulation 275 (Suitability in Annuity Transactions)**:** The revised Model 275, adopted by most states, imposes a best-interest standard requiring that the recommendation be in the consumer's best interest at the time of the transaction, without placing the producer's financial interest ahead of the consumer's. The producer must consider the consumer's stated financial situation, insurance needs, financial objectives, and other relevant information. Margaret's conservative risk profile, limited investment experience, age, and need for accessible funds to cover assisted-living costs all weigh heavily against a high-cost, equity-heavy variable annuity with a lengthy surrender period. Derek also failed to consider reasonably available alternatives (fixed annuities, fixed indexed annuities, bond ladders), which is an explicit requirement under Model 275's care obligation component.

3. ****New York Regulation 187 (applicable if the product were sold in NY, and influential as a benchmark)**:** Reg 187 requires that producers act in the best interest of the consumer and that there be a reasonable basis for the recommendation based on a suitability analysis. The regulation also prohibits placing the producer's compensation interest ahead of the consumer's interest. The \$14,950 upfront commission on the most expensive product available, when lower-cost and more suitable alternatives existed, raises a strong inference that the recommendation was compensation-driven.

4. ****Regulation Best Interest (SEC Rule 15l-1)**:** If Derek is a broker-dealer associated person (which his receipt of commission suggests), Reg BI's Care Obligation requires that he exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile including age, financial situation, liquidity needs, risk tolerance, and investment objectives. He must evaluate reasonably available alternatives. The Disclosure Obligation requires that he disclose material facts about the recommendation, including costs and conflicts of interest. Telling Margaret the annuity was "just like a CD but with better returns" is materially misleading and fails to disclose the risk of loss in equity subaccounts, the high cumulative fees, and the surrender charges. The Conflict of Interest Obligation requires policies to mitigate conflicts arising from compensation; the 6.5% commission creating a \$14,950 payout is a significant conflict that was neither mitigated nor disclosed.

****Specific Violations Summary**:**

- Misrepresentation of the product as equivalent to a CD with no risk of loss.
- Falsification or inaccurate recording of client risk tolerance and time horizon.
- Failure to consider the client's liquidity needs relative to the surrender charge schedule.
- Excessive concentration (81% of liquid assets) in a single illiquid product for a 74-year-old.
- Aggressive equity allocation (70% equities, 15% high-yield bonds) inconsistent with stated conservative objectives.
- Failure to evaluate or present reasonably available alternatives.
- Compensation-driven recommendation without adequate disclosure of conflicts.

****Likely Regulatory Outcome**:** Derek faces potential FINRA disciplinary action including fines, suspension, or bar. The state insurance department could revoke or suspend his insurance license and impose civil penalties. The client or her daughter could pursue arbitration seeking rescission of the contract, recovery of the surrender penalty, consequential damages, and potentially punitive damages if the state permits. The firm's supervisory principal who approved the transaction may also face liability for failure to supervise under firm and FINRA supervisory obligations.

Item 223 of 350

NON-COMPLIANT

Topic: tax_deferred_unnecessary_annuity

Difficulty: medium

Source: 24_Variable_Annuities

Fact Pattern

In March 2022, financial advisor Denise Kowalski met with Gerald Hoffman, a 58-year-old public school administrator earning \$94,000 annually. Gerald had accumulated \$410,000 in his employer-sponsored 403(b) plan invested in a diversified mix of low-cost index funds with an average expense ratio of 0.08%. He also had a traditional IRA worth \$135,000 and a taxable brokerage account with \$62,000. Gerald described himself as a moderate-risk investor with a primary objective of accumulating assets for retirement at age 65. He told Denise he was satisfied with his current 403(b) allocation but was curious whether he should be doing anything differently. After reviewing his accounts, Denise recommended that Gerald roll over his \$135,000 traditional IRA into a variable annuity offered by National Secure Life Insurance Company. The product, called the "Horizon Growth VA," carried a mortality and expense risk charge of 1.35%, an administrative fee of 0.15%, and underlying subaccount expenses averaging 0.85%, bringing total annual costs to approximately 2.35%. The annuity also carried a seven-year surrender charge schedule starting at 7% and declining by 1% per year. Denise explained that the variable annuity would provide Gerald with tax-deferred growth, guaranteed death benefit protection, and optional living benefit riders for additional fees. Denise earned a commission of \$7,425 (5.5% of the \$135,000 rollover amount) on the sale. Gerald's traditional IRA was already tax-deferred, and the underlying mutual funds in his IRA had a blended expense ratio of 0.22%. Gerald had no dependents; he was divorced with no children, and his listed beneficiary on the IRA was his younger sister. He had no expressed need for guaranteed income, no stated concern about outliving his assets, and had not requested annuity-like features. Denise's notes from the meeting stated: "Client interested in maximizing retirement growth and protecting assets. Recommended VA for tax-deferred accumulation and downside protection." She did not document any comparison of the IRA's existing costs to the VA's costs, nor did she note any specific client need that the annuity's insurance features would address beyond what the IRA already provided.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, the financial advisor violated applicable suitability and best-interest standards in multiple respects.

****Layering Tax Deferral on Tax Deferral:**** Under FINRA Rule 2330(b), a registered representative recommending a variable annuity must have a reasonable basis to believe the transaction is suitable, taking into account, among other factors, whether the customer would benefit from the tax-deferred features of the annuity. Gerald's traditional IRA already enjoyed full tax-deferred treatment under the Internal Revenue Code. Placing IRA assets inside a variable annuity provides no incremental tax benefit whatsoever, yet subjects the customer to substantially higher costs. This is a classic indicator of an unsuitable recommendation and is specifically flagged in FINRA Rule 2330 and FINRA regulatory guidance as a red flag requiring heightened documentation and justification.

****Cost Analysis Failure:**** The annuity's all-in annual cost of approximately 2.35% was more than ten times the 0.22% blended expense ratio Gerald was already paying in his IRA. Over a seven-year period (the length of the surrender schedule) on \$135,000, the excess cost differential would amount to roughly \$20,000-\$25,000 in additional fees,

significantly eroding Gerald's retirement accumulation. FINRA Rule 2330(b)(1)(A) requires consideration of the features of the annuity versus other available investment vehicles, and NAIC Model Regulation 275 requires that a recommendation be in the consumer's best interest at the time of the transaction, meaning the producer must evaluate reasonably available alternatives.

****Absence of Identified Insurance Need:**** Gerald was single with no dependents and expressed no need for guaranteed income, longevity protection, or enhanced death benefits. The guaranteed death benefit on a VA within an IRA provides little practical advantage over the IRA's existing beneficiary designation. Denise failed to identify any client-specific need for the insurance features that distinguish a variable annuity from ordinary investment accounts.

****Inadequate Documentation:**** Under both FINRA Rule 2330(b)(2) and NAIC Model 275, advisors must document the basis for their recommendation, including why the annuity's features address the customer's specific needs. NY Regulation 187 similarly requires a producer to act in the best interest of the consumer and document the basis for any recommendation. Denise's notes are conclusory--stating "tax-deferred accumulation and downside protection"--without addressing the redundancy of tax deferral or performing any cost comparison.

****Surrender Charges and Liquidity:**** The seven-year, 7%-declining surrender schedule materially restricts Gerald's access to his own retirement funds during a period (ages 58-65) when he may need flexibility as he approaches retirement. This liquidity constraint was neither discussed nor justified.

****Compensation Conflict:**** Denise received a \$7,425 commission on the sale, creating a material conflict of interest. Under Reg BI (Rule 15l-1), broker-dealers must identify, disclose, and mitigate conflicts of interest, and the recommendation must be in the retail customer's best interest without placing the financial interest of the broker-dealer or associated person ahead of the customer's interest. The high commission, combined with the absence of any documented client benefit, suggests the recommendation was driven by compensation rather than client need.

****Likely Regulatory Outcome:**** This fact pattern presents a textbook case of an unnecessary variable annuity sale into a tax-qualified account. Denise and her supervising broker-dealer face potential FINRA enforcement action for violations of Rule 2330 and Rule 2111, state insurance department action under the applicable state's adoption of NAIC Model 275, and, if in New York, enforcement under Regulation 187. Likely sanctions include fines, disgorgement of the commission, restitution to the customer, and potential suspension. The firm's supervisory system may also be cited if the principal who approved the transaction failed to flag the tax-deferred-into-tax-deferred layering issue.

Item 224 of 350**NON-COMPLIANT**

Topic: senior_investor_exploitation

Difficulty: hard

Source: 24_Variable_Annuities

Fact Pattern

Margaret Tillman, age 81, is a retired elementary school teacher living in Syracuse, New York. She has a monthly pension of \$2,800 and Social Security income of \$1,950 per month. Her total liquid assets consist of \$410,000 in a bank certificate of deposit ladder, \$62,000 in a savings account, and \$45,000 in a money market fund. She also owns her home outright, valued at approximately \$185,000. Margaret has no long-term care insurance. Her investment experience is limited to bank CDs and a small stock portfolio she sold in 2009 after her husband passed away. She describes herself as very conservative and tells her advisor, Kevin Driscoll, that her primary goals are preserving her savings, maintaining access to funds for potential assisted-living costs, and leaving whatever remains to her two grandchildren.

In March 2023, Kevin, a dually registered representative and insurance agent, met Margaret at a free dinner seminar at a local restaurant titled "Protect Your Retirement from Market Crashes." At the seminar, Kevin discussed market volatility and the risk of outliving one's savings. He collected contact information from attendees and scheduled a follow-up meeting with Margaret at her home the following week.

During two home visits over the next ten days, Kevin recommended that Margaret liquidate \$340,000 of her CD ladder and invest the proceeds into two variable annuity contracts. The first was a \$200,000 variable annuity with a guaranteed minimum income benefit (GMIB) rider, carrying a total annual expense of 3.45% (including the 1.35% mortality and expense charge, 0.85% in underlying fund expenses, a 0.15% administrative fee, and a 1.10% GMIB rider charge). The surrender period was 8 years, with a declining surrender charge starting at 8% in year one. The second was a \$140,000 registered index-linked annuity (RILA) with a 6-year surrender period, a 10% buffer against losses, a cap rate of 12.5% on annual point-to-point S&P 500 returns, and a declining surrender charge starting at 7%. Kevin allocated the variable annuity's subaccounts 60% to an aggressive growth equity fund and 25% to an international small-cap fund, with only 15% in a bond fund.

Kevin's documentation listed Margaret's risk tolerance as "moderate growth" and her investment time horizon as "10+ years." He did not document any discussion of Margaret's potential need for liquidity related to assisted-living costs, nor did he discuss lower-cost alternatives such as fixed annuities, fixed indexed annuities without securities risk, or a simple bond ladder. Kevin earned a total commission of \$28,900 across the two products. Margaret's remaining liquid assets after the purchases totaled \$177,000 -- the \$62,000 savings account, the \$45,000 money market fund, and \$70,000 in remaining CDs.

Eight months later, in November 2023, Margaret suffered a fall and required placement in an assisted-living facility costing \$6,200 per month. Her pension and Social Security covered only \$4,750 of the monthly expense, leaving a \$1,450 monthly shortfall. When Margaret's daughter attempted to access funds from either annuity, she discovered the surrender charges would cost approximately \$23,800 on a partial withdrawal from the variable annuity and \$9,800 from the RILA. Margaret's remaining liquid assets, after eight months of modest spending, had already decreased to approximately \$160,000, which at the \$1,450 monthly shortfall rate would be exhausted in roughly nine years -- before the surrender periods on either annuity expired.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Driscoll violated multiple applicable suitability and best-interest standards in recommending these variable annuity and RILA purchases to Margaret Tillman.

****FINRA Rule 2330 -- Variable Annuity Suitability:****

FINRA Rule 2330 imposes heightened suitability obligations for variable annuity recommendations. Under Rule 2330(b), a member or associated person must have a reasonable basis to believe that the customer has been informed of the general features of a variable annuity, that the product is suitable considering the customer's insurance and investment objectives, financial situation and needs, and that the specific features (riders, surrender periods, subaccount allocations) are suitable. Kevin's recommendation fails on multiple dimensions:

1. ****Liquidity Needs:**** Margaret, at 81 years of age with no long-term care insurance, faced a foreseeable need for substantial liquidity for healthcare and assisted-living expenses. Tying up \$340,000 -- roughly 66% of her total liquid assets -- in products with 6- and 8-year surrender periods and steep surrender charges directly conflicts with her stated and reasonably foreseeable liquidity needs.
2. ****Risk Tolerance Misrepresentation:**** Kevin documented Margaret's risk tolerance as "moderate growth" with a "10+ years" time horizon. Margaret is 81 years old, described herself as very conservative, and has a history limited to bank CDs. An 85% equity subaccount allocation in the variable annuity is plainly inconsistent with her actual risk tolerance and objectives.
3. ****Concentration and Cost:**** The 3.45% total annual expense on the variable annuity is exceptionally high for any investor, but particularly egregious for a conservative senior. These expenses consume a significant portion of any potential return, and the GMIB rider -- while providing a guaranteed income floor -- is of limited utility for someone who expressly needed asset preservation and access, not lifetime income conversion.
4. ****Failure to Consider Alternatives:**** Under FINRA Rule 2330(b)(1)(A)(ii), the advisor must consider whether the customer would benefit from the features of the variable annuity. Kevin did not document any analysis of lower-cost fixed annuities, fixed indexed annuities, bond ladders, or simply maintaining the CD ladder -- all of which would have preserved liquidity and matched Margaret's stated conservative objectives.

****NAIC Model Regulation 275:****

The NAIC Suitability in Annuity Transactions Model Regulation (Model 275), as amended to incorporate a best-interest standard, requires that producers act in the consumer's best interest at the time of the recommendation. The four component obligations -- Care, Disclosure, Conflict of Interest, and Documentation -- were all implicated:

- ****Care Obligation:**** Kevin failed to exercise reasonable diligence, care, and skill in making a recommendation that aligned with Margaret's actual needs, objectives, risk tolerance, and financial situation. The foreseeable liquidity need for long-term care was ignored.
- ****Disclosure Obligation:**** There is no indication Kevin adequately disclosed the material features of the surrender charges, the impact of the high expense ratios, or the risks of the aggressive subaccount allocation.
- ****Conflict of Interest:**** Kevin earned \$28,900 in commissions, which created a material conflict. Model 275 requires that such conflicts not place the producer's interest ahead of the consumer's interest.
- ****Documentation Obligation:**** Kevin's documentation affirmatively misrepresented Margaret's risk tolerance and time horizon, and omitted any discussion of her liquidity needs or alternative products.

****New York Regulation 187:****

Because Margaret resides in New York, NY Regulation 187 applies. This regulation requires that annuity recommendations be in the best interest of the consumer at the time of the transaction, considering the consumer's age, financial situation, insurance needs, and stated objectives. Regulation 187 explicitly requires evaluation of whether lower-cost or more liquid alternatives exist. Kevin's failure to consider or recommend such alternatives, his mischaracterization of Margaret's investor profile, and the unsuitable concentration of illiquid products for an 81-year-old without long-term care insurance constitute clear violations.

****SEC Regulation Best Interest (Rule 15l-1):****

As a dually registered representative recommending securities (the variable annuity subaccounts and the RILA), Kevin is subject to Reg BI. The Care Obligation under Reg BI requires that a broker-dealer exercise reasonable diligence, care, and skill to understand the risks and costs of the recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest without placing the financial interest of the broker-dealer ahead of the retail customer. The aggressive equity allocation, high-cost products, lengthy surrender periods, and the advisor's \$28,900 commission -- combined with the customer's advanced age, conservative profile, and foreseeable liquidity needs -- strongly suggest that the advisor prioritized his own compensation over the customer's interests.

****Likely Regulatory Outcome:****

Kevin faces potential enforcement action from FINRA under Rule 2330 and potentially Rule 2111 (general suitability), the New York Department of Financial Services under Regulation 187, and potentially the SEC under Reg BI. Likely sanctions include disgorgement of commissions, fines, restitution to Margaret, a supervisory review of the recommending firm's senior investor protection policies, and possible suspension or bar from the industry, particularly given the exploitation of a senior investor. The fact that the recommendation originated from a free dinner seminar -- a distribution method subject to heightened scrutiny under FINRA Regulatory Notices (e.g., 07-43) -- adds further aggravating factors. The firm's supervisory system may also be cited for failing to flag the concentration, the age-related red flags, and the misrepresented customer profile on the application.

Item 225 of 350**NON-COMPLIANT****Topic:** failure_to_know_customer**Difficulty:** medium**Source:** 24_Variable_Annuities**Fact Pattern**

In March 2022, Gerald Whitfield, a 71-year-old retired postal worker in Buffalo, New York, visited the office of financial advisor Danielle Moreno after receiving a mailer about "tax-advantaged retirement income solutions." Gerald had a modest financial profile: he received \$2,400 per month in Social Security benefits, a \$1,200 monthly pension, and had \$185,000 in a bank certificate of deposit that was maturing the following month. He also maintained a checking account with approximately \$8,500. Gerald had no prior investment experience beyond his CD and had never owned any securities, mutual funds, or insurance products other than a term life policy that had lapsed years earlier. He was widowed and had two adult children. Gerald told Danielle during their initial meeting that he wanted something "safe like the CD but maybe paying a little more interest" and that he might need access to some of the funds within the next two years because he was considering moving to an assisted living community closer to his daughter in Rochester. He mentioned he was in good health but acknowledged he had been diagnosed with early-stage chronic kidney disease during a recent physical. Danielle spent approximately 40 minutes with Gerald during the first meeting. She did not use a client profile questionnaire or any standardized intake form. She did not ask about Gerald's net worth, his monthly expenses, his tax bracket, any outstanding debts, or his broader estate planning goals. She took handwritten notes on a legal pad but did not document his stated liquidity needs, his mention of a potential move to assisted living, or his kidney disease diagnosis. At a second meeting one week later, Danielle recommended that Gerald invest \$170,000 -- nearly all of his maturing CD -- into a variable annuity issued by a New York-domiciled insurer. The product featured a seven-year surrender charge schedule starting at 7% in year one, declining by 1% per year. It included a guaranteed minimum income benefit rider with an annual rider charge of 1.15%, and the underlying subaccount options carried average annual fund expenses of 0.92%. The total all-in annual cost of the product was approximately 3.25%. Danielle selected an aggressive growth subaccount allocation -- 60% in a small-cap equity fund and 40% in an international equity fund -- without discussing the volatility characteristics of these funds with Gerald. She told Gerald the product would "grow tax-deferred and pay you income for life when you're ready." She did not discuss any alternative products such as fixed annuities, bank CDs, Treasury securities, or money market funds. She did not explain the surrender charges, the mortality and expense charges, the rider fees, or the market risk associated with the subaccount selections. Gerald signed the application and the transaction was processed. Within 14 months, the subaccounts had declined approximately 19% in value due to equity market volatility, reducing Gerald's account value to roughly \$137,700. Gerald then attempted to withdraw \$40,000 to fund his move to an assisted living facility, only to learn he would face a surrender charge of approximately \$2,400 in addition to having already sustained the market losses. Gerald filed a written complaint with the insurance company and the state insurance department, alleging that Danielle never asked him basic questions about his finances, never discussed the risks or costs, and recommended a product completely inconsistent with his needs.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Danielle Moreno committed multiple serious violations of applicable suitability and best-interest standards.

****Failure to Know the Customer -- FINRA Rule 2330(b)(1):**** FINRA Rule 2330 requires that, prior to recommending a variable annuity, a registered representative must make reasonable efforts to obtain, at a minimum, information concerning the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, existing assets (including investments and insurance), liquidity needs, liquid net worth, risk tolerance, tax status, and other relevant information. Danielle failed to use any standardized client profile form, did not document Gerald's monthly expenses, net worth, tax bracket, outstanding debts, or estate planning objectives. She failed to record his explicitly stated liquidity needs (potential assisted living expenses within two years) and his health condition. This constitutes a textbook failure to know the customer.

****NAIC Model Regulation 275 -- Suitability in Annuity Transactions (Section 6):**** Under Model 275, a producer must have reasonable grounds for believing that a recommendation is suitable based on facts disclosed by the consumer regarding investments, insurance products, financial situation, needs, and objectives. Danielle lacked the foundational customer information necessary to form any reasonable basis for her recommendation. Model 275 also requires that the consumer's insurance needs, financial objectives, and suitability profile be documented. No such documentation was created.

****NY Regulation 187 -- Best Interest Standard:**** Because this transaction involved an annuity issued in New York after August 1, 2019, it is subject to NY Regulation 187, which imposes a best-interest standard. Under NY Reg 187 (11 NYCRR 224), the producer must act in the best interest of the consumer at the time of the recommendation, considering the consumer's financial situation, insurance needs, and financial objectives, without placing the producer's financial interest ahead of the consumer's interest. The recommendation of a variable annuity with aggressive subaccount allocations, a seven-year surrender schedule, and total annual costs of 3.25% to a 71-year-old retired individual with no investment experience, a stated preference for safety, known near-term liquidity needs, and a health condition suggesting potential future medical expenses is fundamentally inconsistent with the best-interest standard. Danielle also failed to consider reasonably available alternatives (fixed annuities, CDs, Treasuries) as required.

****SEC Regulation Best Interest (Rule 15l-1):**** If Danielle was also acting as a broker-dealer associated person, Reg BI's Care Obligation requires that she exercise reasonable diligence, care, and skill in making the recommendation, including understanding the potential risks, rewards, and costs of the variable annuity; having a reasonable basis to believe the recommendation was in the customer's best interest considering the customer's investment profile; and having a reasonable basis to believe the recommendation did not place her financial interest ahead of the customer's. Her failure to gather basic customer information, her selection of an aggressive allocation inconsistent with his stated objectives, and her failure to consider lower-cost, more liquid alternatives all violate the Care Obligation. Additionally, the Disclosure Obligation under Reg BI requires disclosure of material facts about costs, risks, and conflicts of interest, none of which was adequately provided.

****Specific Violations Summary:****

1. Failure to collect and document required customer profile information (FINRA Rule 2330(b)(1); NAIC Model 275 Section 6(b); NY Reg 187 Section 224.4).
2. Recommending a product with a lengthy surrender period to a client with known short-term liquidity needs.
3. Selecting aggressive equity subaccounts for a risk-averse, elderly, inexperienced investor.
4. Concentrating nearly 92% of the client's liquid assets in a single illiquid product.
5. Failing to disclose material costs, risks, and surrender charges.
6. Failing to consider or present suitable alternatives.
7. Failing to act in the consumer's best interest as required under NY Reg 187 and Reg BI.

****Likely Regulatory Outcome:**** Danielle faces potential sanctions from FINRA (fines, suspension, or bar), state insurance department enforcement action (including license revocation under NY Reg 187 and NAIC Model 275), and potential SEC or state securities enforcement under Reg BI. The customer would likely prevail in arbitration or a complaint proceeding and be entitled to rescission or compensatory damages reflecting the surrender charges paid and

investment losses attributable to the unsuitable allocation. The producing insurer may also face supervisory liability for inadequate oversight of the transaction.

Item 226 of 350

NON-COMPLIANT

Topic: annuity_unnecessary_switching

Difficulty: medium

Source: 24_Variable_Annuities

Fact Pattern

Margaret Connolly, age 64, is a retired schoolteacher in Buffalo, New York, with a modest pension of \$42,000 per year, Social Security benefits of \$21,600 per year, and total liquid savings of approximately \$310,000. Her risk tolerance is moderate-conservative, and her primary investment objective is generating supplemental retirement income while preserving capital for potential long-term care needs. In March 2021, she purchased a variable annuity (Product A) through her financial advisor, Darren Kolchak, investing \$185,000. Product A carried a 7-year surrender schedule beginning at 7% and declining annually, a mortality and expense charge of 1.25%, an annual administrative fee of \$35, and offered a guaranteed minimum income benefit (GMIB) rider at an additional 0.85% annually. Margaret elected the GMIB rider at purchase. By January 2023 -- less than two years into the surrender period -- Darren contacted Margaret and recommended she surrender Product A and move the proceeds into a different variable annuity (Product B) offered by a competing carrier. Darren told Margaret that Product B had 'better fund options' and a 'newer, more flexible' income rider. Product B carried a new 8-year surrender schedule starting at 8%, a mortality and expense charge of 1.35%, a \$50 annual administrative fee, and an optional guaranteed lifetime withdrawal benefit (GLWB) rider at 1.00% annually. The surrender of Product A triggered a \$9,250 surrender penalty (5% of account value at the time, which had grown modestly to \$185,000 due to market volatility). Darren's written notes from the meeting stated only: 'Client wants better options and newer product features.' He did not document a side-by-side comparison of the two products' riders, fees, fund lineups, or surrender schedules. He did not analyze whether Margaret's existing GMIB rider -- which had been accumulating a benefit base for nearly two years -- was comparable to or more valuable than the GLWB rider in Product B given her age and time horizon. Margaret's new account application listed her investment objective as 'growth,' though all prior documentation consistently listed her objective as 'income' or 'income with capital preservation.' Darren earned a \$9,600 commission on the sale of Product B. His commission on the original Product A sale had been \$8,325. Margaret later discovered that the fund options in Product B largely overlapped with those in Product A, and the GLWB rider in Product B would not produce materially higher projected income than the GMIB she forfeited. She filed a complaint with her state insurance department in October 2023, alleging that the replacement was unnecessary and that Darren prioritized his own compensation over her financial interests.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Darren Kolchak likely violated multiple regulatory standards governing variable annuity replacements and suitability.

1. ****FINRA Rule 2330 (Variable Annuity Suitability):**** Under Rule 2330, a registered representative recommending a variable annuity exchange must have a reasonable basis to believe that the transaction is suitable, taking into account -- among other factors -- whether the customer would be subject to surrender charges on the existing annuity, whether the customer would lose existing benefits (such as death benefits or living benefit riders), whether the customer would be subject to a new surrender period, and whether the new product would confer a material benefit over the existing product. Here, Margaret incurred a \$9,250 surrender penalty, lost nearly two years of GMIB benefit base accumulation,

entered a new and longer 8-year surrender period, and moved into a product with higher M&E charges (1.35% vs. 1.25%) and a higher rider fee (1.00% vs. 0.85%). Darren's documentation did not include a comparative analysis of costs, benefits, or rider features. The vague notation -- 'Client wants better options' -- is insufficient to demonstrate a reasonable basis for the recommendation. This constitutes a clear violation of Rule 2330's heightened suitability requirements for VA exchanges.

2. ****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** Model 275, as amended in 2020, imposes a best-interest standard on annuity recommendations. Under Section 6, a producer must act in the consumer's best interest at the time of the recommendation without placing the producer's financial interest ahead of the consumer's interest. The producer must demonstrate reasonable diligence, care, and skill, including a comparative analysis when recommending a replacement. Darren failed to perform or document any such analysis and earned a higher commission on the replacement product, suggesting a financial conflict that was not mitigated.

3. ****New York Regulation 187 (Best Interest Standard):**** Because Margaret resides in New York and the contract state is New York, NY Reg 187 applies. This regulation requires that any recommendation of an annuity transaction -- including a replacement -- must be in the best interest of the consumer, based on an evaluation of the consumer's suitability information, the insurer's product screening, and a comparison of the existing and proposed products. Producers must document the basis for each recommendation and may not place their compensation interest ahead of the consumer's. Darren's failure to conduct a documented side-by-side comparison, his alteration of the customer's stated investment objective from 'income/capital preservation' to 'growth' without justification, and the higher commission structure all suggest violations of NY Reg 187's best-interest standard.

4. ****Regulation Best Interest (SEC Rule 15l-1):**** If Darren is a broker-dealer representative, Reg BI's Care Obligation requires that he exercise reasonable diligence, care, and skill to understand the risks, costs, and rewards of the recommended transaction and have a reasonable basis to believe it is in the customer's best interest, considering reasonably available alternatives. The Disclosure Obligation also requires full and fair disclosure of material conflicts. The replacement here generated a higher commission for Darren while imposing materially higher costs and a new surrender period on the customer without a demonstrable benefit. This falls short of the Care Obligation. Additionally, the change to the customer's listed investment objective raises potential concerns under the Compliance Obligation if the firm's policies were circumvented.

****Likely Regulatory Outcome:**** Darren faces potential disciplinary action from FINRA for violating Rule 2330, enforcement action by the New York Department of Financial Services under Reg 187, and potential SEC or state regulatory action under Reg BI. Remedies could include disgorgement of commissions, restitution of surrender charges and excess fees paid by Margaret, fines, and possible suspension. The firm's supervisory structure may also be scrutinized for failure to flag the exchange under its internal compliance protocols.

Item 227 of 350**NON-COMPLIANT**

Topic: senior_investor_exploitation

Difficulty: medium

Source: 24_Variable_Annuities

Fact Pattern

Margaret Ellison, age 81, is a retired elementary school teacher living in Syracuse, New York. She has a modest fixed income consisting of a \$1,400 monthly pension and \$1,850 monthly in Social Security benefits, totaling approximately \$39,000 per year. Her total liquid savings amount to \$285,000, held primarily in bank certificates of deposit and a money market account. She owns her home outright, valued at approximately \$180,000. Margaret has no long-term care insurance and has expressed concerns to her family about potential nursing home costs. She describes herself as very conservative with money and has never owned equities or mutual funds. She has mild early-stage cognitive decline, which her daughter, Karen, mentioned to the advisor during an initial meeting in March 2022.

Her financial advisor, Dale Whitmore, age 44, met Margaret through a free dinner seminar at a local restaurant advertised as 'Retirement Income Protection for Seniors.' During the seminar, Dale discussed the dangers of inflation eroding fixed-income savings and suggested that attendees schedule individual appointments.

At the follow-up meeting on April 5, 2022, Dale recommended that Margaret liquidate \$240,000 of her CDs--incurring approximately \$3,200 in early withdrawal penalties--and invest the proceeds into a variable annuity with a guaranteed minimum income benefit rider. The specific product was the Horizon Growth & Income VA, which carried total annual expenses of 3.45% (including a 1.40% mortality and expense charge, a 0.95% administrative fee, and a 1.10% rider fee). The product featured a 7-year surrender period with a declining surrender charge starting at 8% in year one. The underlying subaccount allocations Dale selected were 60% in an aggressive growth equity fund and 40% in an international small-cap fund.

Dale's written notes from the meeting stated Margaret's investment objective as 'growth' and her risk tolerance as 'moderate,' neither of which aligned with anything Margaret had ever expressed verbally. Karen was not present at the April 5 meeting. Dale earned a 6.5% commission on the sale, totaling \$15,600.

By October 2023, the account had declined to \$198,500, a loss of over \$41,000, due to both market losses in the aggressive subaccounts and the high ongoing fees. Margaret needed to access funds to pay for in-home care assistance costing \$2,800 per month, but faced a 7% surrender charge on any withdrawal exceeding the 10% free withdrawal corridor, which would have cost her approximately \$13,300 on the amount she needed. Margaret's daughter filed a complaint with the state insurance department in December 2023.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dale Whitmore committed multiple serious violations of applicable suitability and best-interest standards.

****FINRA Rule 2330 - Variable Annuity Suitability:****

FINRA Rule 2330 requires that before recommending a variable annuity purchase, a registered representative must

have a reasonable basis to believe the transaction is suitable based on the customer's investment profile, including age, income, financial situation, risk tolerance, liquidity needs, investment objectives, investment experience, and time horizon. Dale's recommendation fails virtually every element of this analysis:

1. ****Age and Time Horizon:**** Margaret is 81 years old. A variable annuity with a 7-year surrender period would lock her assets until age 88. This is presumptively unsuitable for an elderly customer with potential near-term liquidity needs, particularly given the known possibility of long-term care expenses.
2. ****Liquidity Needs:**** Margaret had no long-term care insurance and expressed concern about nursing home costs. Concentrating 84% of her liquid assets (\$240,000 of \$285,000) in an illiquid product with steep surrender charges directly contradicted her foreseeable liquidity needs.
3. ****Risk Tolerance and Investment Experience:**** Margaret had never owned equities, described herself as very conservative, and had all savings in CDs and money market accounts. Dale documented her risk tolerance as 'moderate' and her objective as 'growth,' which appear fabricated and inconsistent with all available information. The subaccount allocation of 60% aggressive growth equities and 40% international small-cap was wildly inappropriate for a conservative, inexperienced 81-year-old investor.
4. ****Costs:**** Total annual expenses of 3.45% are exceptionally high and create a significant drag on returns, particularly inappropriate for a client who could have maintained her CD and money market positions with virtually no expense and no principal risk.
5. ****Cognitive Decline:**** Karen informed Dale of Margaret's early-stage cognitive decline. This is a significant red flag that should have heightened Dale's duty of care and, at minimum, prompted involvement of a trusted contact person or additional safeguards--not an aggressive, complex product sale.

****NAIC Model Regulation 275:****

Model Regulation 275 (Suitability in Annuity Transactions) requires that producers have reasonable grounds for believing a recommendation is suitable based on facts disclosed by the consumer concerning investments, financial situation and needs, and other relevant information. The regulation also imposes insurer supervision obligations. Dale's recommendation fails the suitability inquiry under Model 275 because the product's surrender period, cost structure, risk profile, and illiquidity were fundamentally mismatched with Margaret's conservative profile, limited income, advanced age, and anticipated care needs.

****New York Regulation 187 - Best Interest Standard:****

Since this transaction occurred in New York after August 1, 2019, NY Reg 187 applies. This regulation requires that any recommendation involving an annuity transaction must be in the best interest of the consumer. The regulation evaluates whether the producer's recommendation reflects the care, skill, prudence, and diligence that a reasonably prudent person would exercise. Key considerations include:

- The recommendation must be based on an evaluation of the consumer's suitability information, including age, income, financial situation, tax status, objectives, risk tolerance, liquidity needs, and existing insurance products.
- The producer must not place their financial interest ahead of the consumer's interest.
- Compensation must not be a material factor in making the recommendation.

Dale earned a \$15,600 commission, representing 6.5% of the investment. The aggressive product selection, fabricated risk tolerance documentation, failure to account for liquidity needs, disregard of cognitive decline information, and the concentration of nearly all liquid assets in a single illiquid product strongly suggest that Dale prioritized his compensation over Margaret's interests. This is a clear violation of the best-interest standard under Reg 187.

****Reg BI (Rule 15l-1) Considerations:****

If Dale is also a registered representative of a broker-dealer, Regulation Best Interest under SEC Rule 15l-1 also applies to the securities component of this variable annuity recommendation. Reg BI's Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile and ensuring costs are not excessive relative to alternatives. The Disclosure Obligation requires clear disclosure of material conflicts, including commission incentives. The Conflict of Interest Obligation requires policies to mitigate conflicts. Dale appears to have violated all three components.

****Likely Regulatory Outcome:****

Dale faces potential disciplinary action from FINRA (fines, suspension, or bar), enforcement action from the New York Department of Financial Services for Reg 187 violations, and potential action from the state insurance department. The insurer may also face scrutiny for supervisory failures under both NAIC Model 275 and Reg 187. Margaret would likely be entitled to rescission or compensatory damages, including the early CD withdrawal penalties, surrender charges, investment losses, and fees paid. The fabrication of client profile information is an aggravating factor that could lead to enhanced sanctions.

Item 228 of 350**NON-COMPLIANT**

Topic: inappropriate_risk_profile

Difficulty: medium

Source: 24_Variable_Annuities

Fact Pattern

Margaret Dunleavy, age 74, is a retired school librarian living in Columbus, Ohio, on a fixed income of approximately \$2,400 per month from Social Security and a small state pension. Her total liquid savings amount to \$185,000, held primarily in a bank money market account and a short-term Treasury ladder she established with help from a previous advisor. She has no other investments and lists her home, valued at roughly \$210,000 with no mortgage, as her primary asset. Mrs. Dunleavy's prior account documentation consistently characterized her risk tolerance as conservative, her investment objective as capital preservation, her time horizon as short-term (one to three years), and her liquidity needs as moderate, given that she occasionally draws from savings to cover prescription drug costs and home maintenance expenses averaging \$6,000 to \$8,000 per year.

In March 2024, financial advisor Kyle Brennan of Keystone Financial Partners contacted Mrs. Dunleavy after obtaining her name from a direct-mail seminar response card. During a single in-home meeting lasting approximately 90 minutes, Brennan recommended she liquidate her entire Treasury ladder (\$110,000) and transfer \$95,000 of the proceeds into a variable annuity issued by National Horizon Life. The product selected was the "Horizon Growth & Income VA," which offered an optional Guaranteed Minimum Income Benefit (GMIB) rider at an additional annual cost of 1.15% of the account value. The base mortality and expense charge was 1.30%, the administrative fee was 0.15%, and the underlying sub-account options chosen by Brennan on Mrs. Dunleavy's behalf were allocated 60% to an aggressive growth equity fund (expense ratio 0.92%) and 40% to an international small-cap equity fund (expense ratio 1.05%). The combined all-in annual cost of the contract, including the rider and sub-account fees, was approximately 3.55% per year. The contract carried a seven-year surrender schedule beginning at 7% in the first year and declining by 1% each year.

Brennan's new-account paperwork for the variable annuity listed Mrs. Dunleavy's risk tolerance as "moderate-aggressive," her investment objective as "growth," and her time horizon as "long-term (10+ years)." These characterizations were sharply inconsistent with every prior account document on file. Brennan did not document any material change in Mrs. Dunleavy's financial circumstances, nor did he note any conversation in which she expressed a desire to accept significantly greater market risk. He also did not discuss lower-cost alternatives, such as a balanced mutual fund portfolio without surrender charges, or a fixed indexed annuity with lower fees and no direct equity market exposure. Mrs. Dunleavy signed the application, later telling a family member she "trusted the young man" and believed the guaranteed income rider meant she "couldn't lose money."

Within eight months of purchase, the aggressive equity and international small-cap sub-accounts declined approximately 18% due to broad market volatility. Mrs. Dunleavy's contract value fell to roughly \$77,900. When she attempted to withdraw \$7,500 to pay for an emergency furnace replacement, she was assessed a 7% surrender charge of \$525 on the amount exceeding the 10% free-withdrawal corridor, and she realized for the first time the extent of the contract's restrictions. She filed a complaint with her state insurance department in January 2025, alleging that Brennan never explained the risks, misrepresented her profile, and placed her in a product entirely unsuitable for her age, income, and financial needs.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes. Advisor Kyle Brennan committed multiple violations of applicable suitability and best-interest standards governing the sale of variable annuities.

1. ****FINRA Rule 2330 - Variable Annuity Suitability****: Under Rule 2330(b), before recommending a variable annuity, a registered representative must make reasonable efforts to obtain the customer's financial profile, including age, income, net worth, investment objectives, risk tolerance, time horizon, existing insurance holdings, and liquidity needs. Brennan obtained this information in prior documentation but deliberately altered the customer's recorded risk profile from conservative to moderate-aggressive and changed the time horizon from short-term to long-term (10+ years) without any documented basis. Rule 2330(b)(1)(A) requires that the representative have a reasonable basis to believe the customer would benefit from certain features of the variable annuity, such as tax-deferred growth, annuitization, or a death benefit. A 74-year-old conservative investor with a short time horizon and moderate liquidity needs gains minimal benefit from tax deferral (which she could already achieve through other means) and faces significant harm from the seven-year surrender period and aggressive sub-account allocation. The recommendation fails the reasonable-basis, customer-specific, and quantitative suitability requirements embedded in FINRA's framework.

2. ****NAIC Model Regulation 275 (2020 Amendments - Best Interest Standard)****: Ohio adopted the revised Model 275 framework, effective August 1, 2023. Under this standard, the producer must act in the consumer's best interest at the time the recommendation is made, without placing the producer's financial interest ahead of the consumer's. The four component obligations are:

- ****Care Obligation****: The producer must exercise reasonable diligence, care, and skill in making the recommendation. Placing a 74-year-old, conservative, income-dependent retiree into a product with 3.55% annual all-in costs, a seven-year surrender schedule, and 60/40 aggressive-growth/international-small-cap allocation is fundamentally inconsistent with the care obligation. Brennan failed to consider reasonably available alternatives with lower costs and less market risk.

- ****Disclosure Obligation****: The producer must provide the consumer with a meaningful description of the material features of the product, including costs, risks, and limitations. Mrs. Dunleavy's later statements that she believed she 'couldn't lose money' indicate Brennan either failed to disclose or affirmatively misrepresented the nature of the variable annuity's market risk, conflating the GMIB rider (which only guarantees a minimum income base for future annuitization, not the account value itself) with principal protection.

- ****Conflict of Interest Obligation****: Brennan obtained Mrs. Dunleavy's name through a direct-mail seminar lead, and the high-cost variable annuity with an optional rider would generate significantly higher compensation than a low-cost alternative. There is no evidence Brennan disclosed his compensation or managed this conflict.

- ****Documentation Obligation****: Model 275 requires the producer to document the basis for the recommendation. Brennan not only failed to document the rationale but affirmatively falsified the customer profile to create the appearance of suitability.

3. ****NY Regulation 187 (applicable by analogy and in any New York-linked transaction)****: Although Mrs. Dunleavy resides in Ohio, Regulation 187's best-interest framework--effective since August 1, 2019 for annuity transactions--mirrors the Model 275 standard and has influenced enforcement expectations nationwide. The regulation requires that the recommendation be in the consumer's best interest based on evaluation of the consumer's stated needs, and explicitly prohibits basing a recommendation on the producer's compensation.

4. ****Regulation Best Interest (SEC Rule 15l-1)****: To the extent Brennan acted in a broker-dealer capacity through Keystone Financial Partners, Reg BI's Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making a recommendation, considering the investment profile of the retail customer. The recommendation must reflect the customer's actual--not fabricated--investment profile. The Disclosure Obligation requires full and fair

disclosure of all material facts, including costs and conflicts. The Conflict of Interest Obligation requires the firm to establish policies and procedures to identify, mitigate, and eliminate conflicts. Brennan's actions violate all three component obligations.

****Specific Violations**:**

- Falsification of client risk profile and investment objectives on new-account documentation
- Recommendation of a high-cost variable annuity with aggressive sub-account allocation to a 74-year-old conservative retiree with limited income, moderate liquidity needs, and a short time horizon
- Failure to consider or present lower-cost, lower-risk alternatives
- Failure to adequately disclose surrender charges, sub-account volatility risk, and the true nature of the GMIB rider
- Concentration of more than 51% of liquid assets in a single illiquid product with a seven-year surrender period
- Likely compensation-motivated recommendation without disclosure of conflicts

****Likely Regulatory Outcome**:** The state insurance department would likely find a violation of the adopted best-interest standard under Model 275 and could impose administrative sanctions including fines, license suspension or revocation, and restitution. FINRA could pursue an enforcement action under Rule 2330 and the broader suitability/best-interest framework, resulting in potential suspension, disgorgement of commissions, fines, and restitution to Mrs. Dunleavy. The broker-dealer, Keystone Financial Partners, could face supervisory failure charges if it did not maintain adequate principal review procedures for variable annuity transactions as required under Rule 2330(c). SEC enforcement under Reg BI is also possible if the transaction involved a broker-dealer recommendation to a retail customer.

Item 229 of 350**NON-COMPLIANT****Topic:** failure_to_know_customer**Difficulty:** hard**Source:** 24_Variable_Annuities**Fact Pattern**

In March 2022, financial advisor Derek Fulton met with Margaret Cahill, a 71-year-old retired postal worker living in Albany, New York. Mrs. Cahill had recently lost her husband and received a \$410,000 life insurance death benefit, which she deposited into a money market account at her local bank. She had no prior investment experience and had never owned securities or insurance products beyond her husband's term life policy. Her only other assets consisted of a modest home valued at approximately \$185,000 (owned free and clear), a checking account with \$12,000, and Social Security income of \$2,150 per month. She also received a small federal pension of \$1,400 per month. She told Fulton during their first and only meeting that she was 'nervous about losing any of this money' and that her primary goal was to make sure she could cover potential long-term care expenses and leave whatever remained to her two grandchildren. The meeting lasted approximately 35 minutes. Fulton did not use a client intake questionnaire or risk tolerance assessment form. He took handwritten notes on a legal pad but did not record Mrs. Cahill's liquid net worth, her monthly living expenses, her existing insurance coverage, her tax bracket, or her investment time horizon. He did not ask whether she had any outstanding debts, medical conditions, or anticipated large expenditures. He did not inquire about her familiarity with variable annuities, subaccounts, surrender charges, or market risk. At the conclusion of the meeting, Fulton recommended that Mrs. Cahill invest \$375,000 -- roughly 91% of the death benefit -- into a variable annuity with a 7-year declining surrender charge schedule starting at 7%, annual mortality and expense charges of 1.35%, an administrative fee of 0.15%, and underlying subaccount expense ratios averaging 0.85%. The product also included an optional guaranteed minimum income benefit rider at an additional annual cost of 0.95%, bringing total annual fees to approximately 3.30%. Fulton selected an aggressive growth allocation for the subaccounts, placing 60% in a small-cap equity fund and 40% in an international emerging markets fund. He told Mrs. Cahill the product would 'protect her money while giving it room to grow.' He earned a \$26,250 commission on the sale. Fulton's new account documentation listed Mrs. Cahill's risk tolerance as 'moderate,' her investment objective as 'growth,' and her liquid net worth as '\$500,000' -- figures that did not match the information she had provided. By September 2022, the account had declined approximately 18% in value due to equity market volatility, and Mrs. Cahill discovered she could not access her funds without paying a surrender charge of roughly \$22,000. She filed a complaint with the state insurance department in November 2022, stating she never understood the product's risks or fee structure and that she had told the advisor she could not afford to lose money.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Derek Fulton committed multiple serious violations relating to his failure to know his customer and his unsuitable recommendation. Under FINRA Rule 2330 (Suitability -- Variable Annuities), a registered representative must make reasonable efforts to obtain, at a minimum, the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, existing insurance coverage, liquid net worth, risk tolerance, and tax status before recommending a variable annuity. Fulton conducted a cursory 35-minute meeting with no standardized intake questionnaire, failed to ascertain Mrs. Cahill's monthly expenses, medical situation, existing coverage, tax bracket, time horizon, or investment experience, and made no effort to gauge her

actual understanding of variable annuity mechanics.

The falsification of the new account form is an independent and particularly egregious violation. Listing her risk tolerance as 'moderate,' her objective as 'growth,' and her liquid net worth as \$500,000 -- when she actually had roughly \$422,000 in total liquid assets, no investment experience, explicitly stated she could not afford losses, and wanted capital preservation -- constitutes a material misrepresentation of customer information. This violates both FINRA Rule 2330 and FINRA Rule 4511 (books and records requirements) and could support a finding of fraud.

Under the NAIC Model Regulation 275 (Suitability in Annuity Transactions), producers must have a reasonable basis to believe a recommendation is suitable based on the consumer's disclosed financial situation, insurance needs, and objectives. Since Mrs. Cahill's entire profile -- elderly widow, no investment experience, loss-averse, reliant on fixed income, with preservation and legacy as stated objectives -- pointed toward conservative, liquid products, the recommendation of a high-cost variable annuity with aggressive equity subaccounts and a 7-year surrender period was manifestly unsuitable.

Because Mrs. Cahill was a New York resident, NY Regulation 187 also applies. Effective for annuity transactions since August 1, 2019, Regulation 187 imposes a best-interest standard requiring that the recommendation be in the consumer's best interest at the time of the transaction, considering the consumer's financial situation, insurance needs, financial objectives, and other relevant information. The regulation requires producers to act without placing their own financial interest ahead of the consumer's. Fulton's \$26,250 commission on a product that concentrated 91% of a loss-averse retiree's liquid assets in aggressive equity subaccounts with a 3.30% total annual cost is strong evidence that his financial interest drove the recommendation.

Additionally, SEC Regulation Best Interest (Rule 15l-1), applicable to broker-dealer recommendations to retail customers, requires satisfaction of the Care Obligation -- requiring reasonable diligence, care, and skill in making recommendations based on the customer's investment profile -- and the Disclosure Obligation. Fulton's failure to gather basic customer information means he could not have had a reasonable basis for his recommendation. His statement that the product would 'protect her money while giving it room to grow' was misleading given the aggressive allocation and market risk inherent in the subaccounts.

GAO reports and academic studies on variable annuity mis-selling have consistently identified the pattern present here: elderly, unsophisticated customers with concentrated liquid assets being directed into high-cost, long-surrender-period variable annuities with aggressive allocations, generating substantial commissions for the advisor. The IRI's own guidance materials emphasize the importance of thorough customer profiling and matching product features to documented customer needs.

Likely regulatory outcomes include: FINRA enforcement action including potential bar or lengthy suspension for Fulton; state insurance department revocation or suspension of Fulton's insurance license under NY Regulation 187 and NAIC Model 275; potential SEC or state securities enforcement under Reg BI; restitution and rescission of the annuity contract; and possible referral for fraud if the falsified account documentation is deemed intentional. The broker-dealer employing Fulton could face supervisory failure charges for inadequate review of the transaction.

Item 230 of 350

NON-COMPLIANT

Topic: tax_deferred_unnecessary_annuity

Difficulty: medium

Source: 24_Variable_Annuities

Fact Pattern

In March 2023, financial advisor Derek Mullins met with Patricia Holloway, a 58-year-old high school principal earning \$112,000 per year. Patricia had accumulated \$340,000 in her employer-sponsored 403(b) plan, \$95,000 in a traditional IRA, and \$48,000 in a taxable brokerage account. She described herself as a moderate investor with a primary goal of growing her retirement savings over the next seven to ten years before retiring at age 65-67. She told Derek she wanted to consolidate some accounts and ensure her money was working efficiently. Derek recommended that Patricia roll her \$95,000 traditional IRA into a variable annuity contract issued by Pinnacle Life Insurance Company. The VA carried an annual mortality and expense charge of 1.35%, an administrative fee of 0.15%, and average underlying subaccount expense ratios of 0.85%, bringing the total annual cost to approximately 2.35%. The contract included a seven-year surrender charge schedule starting at 7% and declining by 1% per year. The product also featured an optional guaranteed minimum income benefit rider that added an additional 0.95% annual charge, which Derek included in the recommendation. Patricia's existing IRA had been invested in a diversified mix of index mutual funds with a blended expense ratio of 0.12%. Derek's notes from the meeting indicated that the primary rationale for the recommendation was 'tax-deferred growth' and 'downside protection via the income rider.' He did not document any discussion of the fact that the IRA already provided tax-deferred growth, nor did he compare the cost differential between the existing IRA holdings and the proposed VA. Derek earned a 5.5% commission of \$5,225 on the sale. Patricia signed the paperwork, and the rollover was processed in April 2023. By October 2023, Patricia contacted her state insurance department after a colleague informed her that annuities inside IRAs do not provide any additional tax-deferral benefit beyond what the IRA itself already offers.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Mullins likely violated both suitability and best-interest standards applicable to variable annuity transactions. Several regulatory frameworks are implicated.

****FINRA Rule 2330 (Variable Annuity Suitability):**** Under Rule 2330(b), a registered representative recommending the purchase or exchange of a deferred variable annuity must have a reasonable basis to believe that the transaction is suitable. Critically, the rule requires consideration of whether the customer would benefit from certain features of a deferred variable annuity, such as tax-deferred growth, annuitization, or a death benefit. Here, Patricia's IRA already provided tax-deferred growth, which was Derek's stated primary rationale. Placing a variable annuity inside a tax-qualified account like an IRA provides no incremental tax benefit--the layering of tax deferral is redundant. This is one of the most well-documented indicators of an unsuitable variable annuity recommendation. Rule 2330 also requires the registered representative to consider whether the aggregate cost structure is justified by the features provided.

****Cost Analysis:**** Patricia's existing IRA had a blended expense ratio of approximately 0.12%. The recommended VA, inclusive of M&E charges, administrative fees, subaccount expenses, and the income rider, carried total annual charges of approximately 3.30% (2.35% + 0.95%). This represents a cost increase of roughly 2,750% over her existing

arrangement. On a \$95,000 investment over ten years, the cumulative cost differential could exceed \$25,000-\$30,000 depending on performance, creating substantial drag on her retirement savings. Derek failed to document or present this comparison to the client.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** Under the revised NAIC Model #275 (adopted by most states), a producer must act in the consumer's best interest when recommending an annuity. The regulation requires that the recommendation be based on an evaluation of the consumer's financial situation, including existing products, and that cost be considered as a factor. The producer must have a reasonable basis to believe the consumer has been informed of the features of the annuity. Derek's failure to disclose or analyze the redundancy of tax deferral and the significant cost increase violates these requirements.

****NY Regulation 187:**** If this transaction occurred in New York, Regulation 187 imposes a best-interest standard that requires producers to consider reasonably available alternatives and ensure that the recommendation is in the consumer's best interest at the time of the transaction. The regulation explicitly requires consideration of costs relative to alternatives. Derek's recommendation would fail this analysis.

****Regulation Best Interest (SEC Rule 15l-1):**** If Derek is a broker-dealer representative, Reg BI's Care Obligation requires that he exercise reasonable diligence, care, and skill in making the recommendation, including understanding the costs and risks of the product and evaluating reasonably available alternatives. The Disclosure Obligation requires full and fair disclosure of material facts, including conflicts of interest such as the \$5,225 commission. The failure to disclose the redundancy of tax deferral, the massive cost differential, and the seven-year surrender period that would limit Patricia's liquidity as she approaches retirement all constitute violations.

****Additional Concerns:**** The seven-year surrender schedule is particularly problematic given Patricia's stated retirement horizon of 7-10 years, as she may need access to these funds during the surrender period. The income rider, while offering downside protection, added nearly 1% in annual fees without documented analysis of whether Patricia needed or wanted guaranteed income features given her other retirement assets.

****Likely Regulatory Outcome:**** Derek would likely face supervisory action from FINRA for violating Rule 2330, potential state insurance department enforcement under applicable versions of NAIC Model 275, and possible Reg BI violations. Remedies could include rescission of the transaction, disgorgement of the commission, restitution of excess fees paid by Patricia, fines, and heightened supervision. His firm's supervisory procedures under Rule 2330(c) would also be scrutinized, as a principal should have flagged the tax-qualified-to-VA rollover for additional review. GAO reports and academic literature on VA mis-selling have consistently identified the placement of variable annuities inside already tax-advantaged accounts as a primary indicator of unsuitable sales practices.

Item 231 of 350**NON-COMPLIANT****Topic:** high_fees_unsuitable**Difficulty:** medium**Source:** 24_Variable_Annuities**Fact Pattern**

Margaret Delacroix, age 71, is a retired schoolteacher in Baton Rouge, Louisiana, living on a fixed income of approximately \$3,200 per month from her state pension and Social Security. She has \$185,000 in a bank CD ladder that she has maintained for over a decade, \$22,000 in a savings account, and no other investments. Her home is paid off. She has no dependents; her husband passed away in 2019. Margaret describes herself as very conservative and says her primary goal is preserving her savings so she can cover potential long-term care expenses and leave a modest amount to her church. She has no prior experience with securities or variable products.

In March 2023, her financial advisor, Dale Robichaux, who is dually registered with a broker-dealer and also holds an insurance license, contacted Margaret after learning her largest CD--worth \$140,000--was maturing. Dale met with her at her kitchen table and recommended she move the \$140,000 into a variable annuity issued by National Pacific Life. The product, called the "Horizon Growth VA," carried a mortality and expense risk charge of 1.45% annually, an administrative fee of 0.15%, and underlying sub-account expenses averaging 1.05%, bringing the all-in annual cost to approximately 2.65%. The contract also imposed a seven-year surrender charge schedule starting at 8% in year one and declining by one percentage point per year. Dale also recommended she add an optional guaranteed minimum income benefit rider costing an additional 1.10% per year, bringing total annual charges to roughly 3.75%.

Dale allocated 60% of the sub-accounts to equity growth funds and 40% to a balanced fund. He told Margaret the rider would "guarantee her income no matter what the market does" and that the product was "better than CDs because it could grow tax-deferred." He did not discuss the impact of the surrender charges on her liquidity, did not compare the annuity's projected returns net of fees against a simple CD renewal or Treasury bond ladder, and did not document her existing health concerns--Margaret had mentioned she was recently diagnosed with early-stage kidney disease and was uncertain about future medical costs.

Dale earned a 6.5% commission on the sale, totaling \$9,100. His firm's product shelf included several lower-cost fixed annuities, a fixed indexed annuity with no surrender charge beyond three years, and a no-load variable annuity available through the advisory platform. None of these alternatives were presented to Margaret.

By December 2023, the equity sub-accounts had declined 9% due to market volatility. Margaret's account value had dropped to approximately \$121,800 after fees and market losses. When Margaret called to withdraw \$15,000 for an unexpected medical procedure related to her kidney condition, she was informed she would owe a 7% surrender charge (\$1,050) plus potential tax penalties. She filed a complaint with her state insurance department in January 2024, alleging that Dale never explained the fees, surrender penalties, or the risks of market loss, and that the product was wholly inappropriate for someone in her financial and health situation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, the financial advisor violated applicable suitability and best-interest standards on multiple grounds.

****FINRA Rule 2330 - Variable Annuity Suitability:**** Under FINRA Rule 2330, before recommending a variable annuity, a registered representative must make reasonable efforts to obtain and consider the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, existing assets, liquidity needs, liquid net worth, risk tolerance, tax status, and other relevant information. The representative must also have a reasonable basis to believe that (a) the customer has been informed of the material features of the product, (b) the customer would benefit from certain features of the annuity such as tax-deferred growth, annuitization, or a death benefit, (c) the particular annuity as a whole and its underlying sub-accounts are suitable, and (d) exchanges or replacements, if applicable, meet an additional net-benefit analysis.

Here, Dale failed to adequately consider Margaret's age (71), conservative risk tolerance, limited liquid assets, health condition, and need for accessible funds. A seven-year surrender period with an 8% initial charge is plainly unsuitable for a 71-year-old with early-stage kidney disease and foreseeable medical expenses. The 60% equity allocation is inconsistent with her stated conservative posture. Dale also failed to inform Margaret of the material features--specifically the total 3.75% annual fee load and the surrender charge schedule's impact on liquidity.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** Under the revised NAIC Model #275 (adopted in many states and reflecting a best-interest standard as of the 2020 amendments), an insurance producer must act in the best interest of the consumer, which includes a care obligation, a disclosure obligation, a conflict-of-interest obligation, and a documentation obligation. The producer must consider reasonably available alternatives. Dale had access to lower-cost fixed annuities and a no-load VA but failed to present or even consider them. The 6.5% commission created a material conflict of interest that was neither disclosed nor mitigated. The care obligation requires that the recommendation be in the consumer's best interest without placing the producer's financial interest ahead of the consumer's. The \$9,100 commission on a product with 3.75% annual fees, sold to a conservative 71-year-old retiree with health issues and limited liquidity, strongly suggests the producer's compensation interest drove the recommendation.

****NY Regulation 187 (applicable if transaction occurred in New York, and increasingly used as a benchmark in other states):**** Regulation 187 imposes a best-interest standard on annuity recommendations in New York, requiring producers to consider the consumer's existing assets, insurance products, financial situation, needs, values, and financial objectives, as well as reasonably available alternatives. Even if Margaret resides in Louisiana, state insurance departments increasingly align with this framework. The failure to compare the VA against a CD renewal or Treasury ladder, the failure to document health concerns affecting liquidity needs, and the failure to present lower-cost alternatives all constitute violations.

****Regulation Best Interest (SEC Rule 15l-1):**** As a dually registered representative making a recommendation to a retail customer, Dale was subject to Reg BI's four component obligations: Disclosure, Care, Conflict of Interest, and Compliance. The Care Obligation requires that the advisor exercise reasonable diligence, care, and skill to understand the product and have a reasonable basis to believe the recommendation is in the customer's best interest, considering the customer's investment profile and potential risks, rewards, and costs of the recommendation compared to alternatives. Dale failed to consider reasonably available alternatives (fixed annuities, no-load VAs, Treasury bonds, CD renewal), failed to weigh costs against benefits, and recommended an illiquid, high-fee equity-heavy product to a conservative elderly retiree with known health problems. The Conflict of Interest Obligation required Dale's firm to have policies to identify, disclose, and mitigate conflicts arising from the 6.5% commission--there is no indication this occurred. The Disclosure Obligation required full and fair disclosure of fees and material limitations, which Dale did not provide.

****Likely Regulatory Outcome:**** Dale faces potential enforcement action from both his broker-dealer's supervisory structure and the Louisiana Department of Insurance. Probable sanctions include disgorgement of the \$9,100

commission, restitution to Margaret (including surrender charges incurred), fines, and potential suspension or revocation of licenses. His broker-dealer may face supervisory failure charges under its obligation to review variable annuity transactions before transmittal. The fact pattern presents a textbook example of VA mis-selling driven by high commissions at the expense of a vulnerable, unsophisticated retiree with pressing liquidity needs.

Item 232 of 350**NON-COMPLIANT****Topic:** failure_to_know_customer**Difficulty:** medium**Source:** 24_Variable_Annuities**Fact Pattern**

In March 2022, financial advisor Derek Langston met with new client Evelyn Marsh, a 74-year-old retired schoolteacher living in Albany, New York, who had recently lost her husband. Mrs. Marsh came into the meeting carrying a folder of account statements and a check for \$285,000, representing the proceeds from her late husband's life insurance policy. She told Langston she wanted 'something safe that would give her income' and mentioned she was worried about running out of money because she had mounting medical expenses related to a recent hip replacement and anticipated needing in-home care within the next few years. Her only other assets were a \$42,000 savings account and monthly Social Security income of \$1,870. She had no pension and no other investment accounts. Langston spent approximately 25 minutes with Mrs. Marsh during the initial meeting. He did not use a client profile questionnaire or new account form during this meeting. He did not ask Mrs. Marsh about her risk tolerance, her tax situation, her existing insurance coverage, her monthly living expenses, or whether she had any beneficiaries or estate planning documents. He did not inquire about her investment experience; Mrs. Marsh later told a state insurance investigator that she had never owned any investment product other than a bank CD. At the conclusion of the meeting, Langston recommended that Mrs. Marsh invest \$260,000 into a variable annuity issued by National Prosperity Life, specifically the 'Horizon Growth VA' product with an optional Guaranteed Lifetime Withdrawal Benefit (GLWB) rider. The product carried a mortality and expense charge of 1.40%, an administrative fee of 0.15%, underlying sub-account expenses averaging 0.92%, and the GLWB rider cost an additional 1.10% annually, bringing total annual costs to approximately 3.57%. The product also carried a seven-year surrender charge schedule starting at 8% in the first year and declining to 0% in year eight. Langston earned a 6.5% commission on the sale, totaling \$16,900. Langston allocated 100% of the sub-account investments into an aggressive growth equity fund and an emerging markets fund, split 60/40. He did not discuss alternative products such as fixed annuities, immediate income annuities, bank CDs, or conservative balanced funds. He did not explain the surrender charge schedule or the impact of the layered fees on her returns. Mrs. Marsh signed the application that same day. Sixteen months later, in July 2023, Mrs. Marsh needed to withdraw \$85,000 to cover home health aide costs and medical bills. She was assessed a \$5,950 surrender charge (7% in year two), and her account value had also declined 14% due to the aggressive equity allocation during a market downturn, leaving her with significantly less than she had originally invested. Her daughter filed a complaint with the state insurance department in September 2023, alleging that Langston never took the time to understand her mother's financial situation and recommended an unsuitable product.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Langston committed multiple serious violations related to his failure to know his customer and his unsuitable recommendation.

****Failure to Know the Customer -- FINRA Rule 2330 and NAIC Model Regulation 275:****

FINRA Rule 2330(b)(1) requires that, prior to recommending a variable annuity, a registered representative must make reasonable efforts to obtain information concerning the customer's age, annual income, financial situation and needs,

investment experience, investment objectives, intended use of the annuity, existing assets (including other insurance and annuity products), liquidity needs, liquid net worth, risk tolerance, and tax status. Langston obtained virtually none of this information. He conducted no needs analysis, used no client profile form, and spent only 25 minutes with a newly widowed 74-year-old client before recommending a \$260,000 variable annuity. This constitutes a textbook violation of the know-your-customer requirement under Rule 2330(b).

The NAIC Model Regulation 275 (Suitability in Annuity Transactions), as adopted with modifications in New York through Regulation 187, imposes an affirmative duty on producers to obtain comprehensive consumer profile information before making an annuity recommendation. Under NY Reg 187, which applies to annuity transactions effective August 1, 2019, the producer must act in the best interest of the consumer and must gather sufficient information to form a reasonable basis for determining that the recommendation is suitable. Langston's failure to gather any meaningful information about Mrs. Marsh's financial profile, risk tolerance, liquidity needs, health status, investment experience, or tax situation violates these requirements.

****Suitability of the Recommendation:****

Even setting aside the information-gathering failures, the recommendation itself was unsuitable on multiple grounds:

1. ****Liquidity Needs:**** Mrs. Marsh explicitly stated she had mounting medical expenses and anticipated near-term care needs. Placing 91% of her liquid assets (\$260,000 of \$285,000 in insurance proceeds, plus only \$42,000 in savings) into a product with a seven-year surrender schedule starting at 8% directly contradicted her expressed and foreseeable liquidity needs. FINRA Rule 2330(b)(1)(A) specifically requires consideration of liquidity needs.
2. ****Age and Time Horizon:**** At 74, with health concerns and anticipated care needs, Mrs. Marsh had a short effective time horizon. A seven-year surrender period and aggressive equity allocation were inappropriate.
3. ****Risk Tolerance and Investment Experience:**** Mrs. Marsh had no investment experience beyond bank CDs and wanted 'something safe.' Allocating 100% of sub-account assets to aggressive growth and emerging markets funds was grossly inconsistent with her conservative profile.
4. ****Costs:**** Total annual costs of approximately 3.57% created an enormous drag on returns, particularly inappropriate for a conservative, income-oriented elderly investor. Langston earned \$16,900 in commissions without disclosing or discussing lower-cost alternatives.
5. ****Failure to Consider Alternatives:**** Under NY Reg 187's best-interest standard and NAIC Model 275 suitability requirements, the producer must consider reasonably available alternatives. Fixed annuities, single premium immediate annuities (SPIAs), or even bank CDs would have better addressed Mrs. Marsh's stated objectives. Langston recommended the most expensive, most complex, and most illiquid option without discussing any alternatives.

****Reg BI Considerations (if applicable to broker-dealer capacity):****

If Langston was acting in a broker-dealer capacity, SEC Regulation Best Interest (Rule 15l-1) requires the Care Obligation be met, meaning the advisor must exercise reasonable diligence, care, and skill to understand the product, the customer's investment profile, and whether the recommendation is in the customer's best interest. Langston failed all three prongs. The Disclosure Obligation under Reg BI was also violated by failing to explain the surrender charges, layered fees, and risks of the aggressive allocation.

****Likely Regulatory Outcome:****

Langston faces potential FINRA disciplinary action for violations of Rule 2330, including fines, suspension, and restitution. The New York Department of Financial Services could pursue enforcement under Regulation 187 for failure to act in the consumer's best interest, potentially resulting in revocation of his insurance license. The customer is likely entitled to rescission or compensatory damages. The producing broker-dealer's supervisory procedures under FINRA

Rule 3110 would also come under scrutiny for failing to flag the concentration, the customer's age, and the absence of a completed customer profile before the transaction was approved.

Item 233 of 350**NON-COMPLIANT****Topic:** variable_annuity_unsuitable**Difficulty:** hard**Source:** 24_Variable_Annuities**Fact Pattern**

In March 2024, financial advisor Derek Whitfield met with Helen Kowalski, a 71-year-old retired schoolteacher living in Syracuse, New York. Helen's husband had passed away eight months earlier, and she had recently received \$410,000 from his life insurance policy. Her existing assets consisted of a \$185,000 IRA invested in a balanced mutual fund, \$62,000 in a savings account, a fully paid-off home valued at approximately \$240,000, and Social Security income of \$2,350 per month. Helen had no pension, no long-term care insurance, and described herself as a conservative investor whose primary goals were preserving her husband's life insurance proceeds and generating modest supplemental income to cover property taxes, utilities, and medical co-pays -- roughly \$1,400 per month in additional expenses beyond what Social Security covered. She told Derek she had never owned a variable annuity and had limited experience with equities beyond her balanced fund.

Derek recommended that Helen invest \$365,000 of the life insurance proceeds into a variable annuity issued by Patriot Life & Annuity Company. The product featured a seven-year surrender charge schedule starting at 8% in year one and declining by 1% per year, an annual mortality and expense charge of 1.35%, an administrative fee of 0.15%, and underlying subaccount expense ratios averaging 0.92%. Derek also recommended the addition of a Guaranteed Minimum Income Benefit (GMIB) rider at a cost of 1.10% annually, bringing the total annual cost structure to approximately 3.52% of account value. The GMIB rider could not be exercised for ten years -- meaning Helen would be 81 before she could annuitize under the guaranteed terms.

Derek's rationale, as documented in a brief suitability form, stated that the GMIB rider would 'protect Helen's income in retirement regardless of market conditions' and that the variable annuity's tax-deferred growth would benefit her long-term. He allocated the subaccounts as follows: 40% to a large-cap growth fund, 25% to an international equity fund, 15% to a small-cap value fund, and 20% to a high-yield bond fund. He did not discuss or present any alternative products such as a single premium immediate annuity (SPIA), a fixed annuity, a systematic withdrawal plan from a diversified portfolio, or a short-term bond ladder.

Helen signed the application materials after a single 90-minute meeting. Derek earned an upfront commission of \$25,550 (7% of the premium). Within five months, Helen contacted Derek because she needed \$18,000 for an emergency roof repair. She learned she would face a surrender charge of \$1,440 (8% on the withdrawal exceeding the 10% free-withdrawal corridor), plus potential tax consequences. She also realized that her monthly income needs were not being met because the annuity was not structured to provide current income, and her remaining liquid savings of \$107,000 (the \$62,000 in savings plus the \$45,000 of life insurance proceeds not invested) were being depleted faster than expected. By October 2024, Helen filed a complaint with her state insurance department alleging that Derek never explained the surrender charges, never discussed how she would meet her monthly income gap, and never presented lower-cost alternatives that could have addressed her stated needs.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Whitfield violated applicable suitability and best-interest standards on multiple grounds.

1. FINRA Rule 2330 -- Variable Annuity Suitability:

FINRA Rule 2330 requires that before recommending a variable annuity, a registered representative must make reasonable efforts to obtain the customer's financial status, tax status, investment objectives, and other relevant information, and must have a reasonable basis to believe that (a) the customer has been informed of the material features of a variable annuity, including surrender charges, potential tax penalties, mortality and expense charges, fees, and market risk; (b) the customer would benefit from certain features of a variable annuity such as tax-deferred growth, annuitization, or a death benefit; and (c) the specific variable annuity as a whole is suitable. Here, Helen was a 71-year-old conservative investor with a near-term income need. The product's seven-year surrender schedule, ten-year GMIB waiting period, and aggressive equity-heavy subaccount allocation were fundamentally mismatched to her profile. Tax deferral inside a variable annuity provided minimal incremental benefit given her modest tax bracket. Derek failed to meaningfully inform Helen of surrender charge implications -- evidenced by her surprise at the \$1,440 charge -- and did not document a reasonable basis for believing the product's features aligned with her needs.

2. NAIC Model Regulation 275 -- Suitability in Annuity Transactions:

The NAIC Model 275, as adopted by many states, requires that producers have a reasonable basis to believe an annuity recommendation is suitable based on the consumer's age, income, financial situation, existing insurance products, intended use of the annuity, financial time horizon, liquidity needs, risk tolerance, and financial objectives. Derek's recommendation fails virtually every factor: Helen's age (71) and income gap (\$1,400/month) demanded liquidity and current income, not a long-duration illiquid growth product. Her conservative risk tolerance was contradicted by an 80% equity allocation in the subaccounts. Her financial time horizon was short to intermediate -- she needed income immediately, not in ten years when the GMIB rider could be exercised. Derek concentrated 77% of Helen's total liquid assets in a single illiquid product, leaving her dangerously under-reserved for emergencies and ongoing expenses.

3. New York Regulation 187 -- Best Interest Standard:

Because Helen resides in New York, the transaction is subject to NY Regulation 187, which since August 2019 (for annuity transactions) requires that recommendations be in the best interest of the consumer at the time of the transaction and that the producer's compensation not be a factor that compromises the best-interest determination. The regulation requires consideration of alternatives reasonably available to the producer. Derek earned a \$25,550 upfront commission (7%), one of the highest commission rates in the annuity marketplace. He did not present or consider a SPIA -- which could have immediately addressed Helen's \$1,400/month income gap -- nor a fixed annuity with lower costs and no market risk, nor a simple bond ladder or balanced portfolio with systematic withdrawals. The failure to consider and document why reasonably available, lower-cost alternatives were not recommended strongly suggests the recommendation was driven by compensation rather than Helen's interests. NY Reg 187 also requires that the producer consider the consumer's existing assets and insurance products in totality. Derek's plan left Helen with inadequate liquidity and no mechanism to address her primary stated objective of monthly income.

4. Regulation Best Interest (SEC Rule 15l-1):

If Derek's broker-dealer is subject to Reg BI (applicable to broker-dealer recommendations to retail customers), the Care Obligation under Rule 15l-1(a)(2)(ii) requires the advisor to exercise reasonable diligence, care, and skill in making a recommendation, including understanding the potential risks, rewards, and costs of the recommendation, and having a reasonable basis to believe the recommendation is in the retail customer's best interest without placing the advisor's financial interest ahead of the customer's. The Cost Obligation further requires consideration of reasonably available alternatives. Derek's recommendation of a product with ~3.52% annual all-in costs, a seven-year surrender schedule, and an aggressive equity allocation to a 71-year-old conservative widow with immediate income needs and limited liquidity is a textbook failure of the Care Obligation. The \$25,550 commission, combined with the absence of any

documented consideration of lower-cost alternatives, raises a strong inference of a Conflict of Interest Obligation violation as well.

****Likely Regulatory Outcome:****

Helen's complaint to the New York Department of Financial Services would likely trigger an investigation under Reg 187, potentially resulting in fines, restitution, and remedial action against Derek and his supervising firm. A FINRA examination could result in a Rule 2330 violation, leading to suspension, fines, and disgorgement of commissions. The firm's supervisory system would also be scrutinized under FINRA Rule 3110 for failure to flag a large VA sale to an elderly, conservative, recently bereaved customer with documented liquidity needs. Academic literature on VA mis-selling consistently identifies these fact patterns -- elderly customers, concentration of liquid assets, aggressive subaccount allocations, high surrender periods relative to customer age and time horizon, and failure to present alternatives -- as hallmarks of unsuitable recommendations.

Item 234 of 350**NON-COMPLIANT****Topic:** illiquid_investments**Difficulty:** hard**Source:** 24_Variable_Annuities**Fact Pattern**

Margaret Donnelly, age 71, is a retired school librarian living in Syracuse, New York. She receives \$2,400 per month from her state pension and \$1,850 per month in Social Security benefits. Her total liquid savings consist of \$310,000 in a bank certificate of deposit maturing in six months and \$45,000 in a savings account. She owns her home outright, valued at approximately \$185,000. Margaret has no other investments and has described herself as a conservative investor who needs her savings to supplement her fixed income to cover property taxes, medical co-pays, and occasional home repairs. She has no dependents and has listed her church and a local animal rescue as her beneficiaries.

In March 2023, Margaret's financial advisor, Dennis Harwood, who has been licensed for four years, met with her after she expressed concern about her CD rate being too low. During the meeting, Dennis recommended that Margaret invest \$275,000 of her CD proceeds into a variable annuity with a seven-year surrender period. The product carried a mortality and expense charge of 1.35%, an administrative fee of 0.15%, and average underlying subaccount expenses of 0.82%, bringing the total annual cost to approximately 2.32%. The annuity included an optional guaranteed minimum income benefit rider at an additional cost of 0.95% annually, bringing the all-in annual cost to roughly 3.27%. The surrender charges started at 8% in the first year and declined by one percentage point annually. Dennis allocated the subaccounts as follows: 40% to an equity growth fund, 25% to an international equity fund, 20% to a balanced fund, and 15% to a bond fund--resulting in an overall equity allocation of roughly 65%.

Dennis documented Margaret's risk tolerance as 'moderate growth' on the new account form, though Margaret's prior account paperwork from her CD purchase at the same firm six months earlier listed her risk tolerance as 'conservative' and her investment objective as 'preservation of capital.' Dennis did not document any explanation for the change in risk profile. He told Margaret that the guaranteed income rider would protect her principal no matter what and that she could access her money whenever she wanted through the annuity's free withdrawal provision of 10% annually without penalty. He did not explain that the guaranteed income benefit was only available as an annuitized income stream, not as a lump-sum guarantee of principal. He also did not disclose that accessing more than the free withdrawal amount would trigger surrender charges that could total \$22,000 in the first year.

By September 2023, Margaret needed \$40,000 for emergency roof repairs after storm damage. When she contacted Dennis, she learned that withdrawing \$40,000 would result in a surrender charge of approximately \$2,400 on the amount exceeding the free withdrawal allowance. Margaret also discovered that her account value had declined to approximately \$254,000 due to market losses in the equity subaccounts, compounded by the fee drag from the combined expense charges. Margaret filed a written complaint with the firm in October 2023, stating that Dennis never told her about the surrender charges, that she did not understand she would be locked into the product for seven years, and that she believed the guaranteed rider protected her full principal at all times. Dennis's firm's internal records show that no comparative analysis was performed between the variable annuity and alternative lower-cost, more liquid products such as a short-term bond fund or a new CD ladder. No supervisory principal conducted a heightened review of the transaction despite Margaret's age.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dennis Harwood committed multiple violations of applicable suitability and best-interest standards.

1. ****FINRA Rule 2330 - Variable Annuity Suitability****: Rule 2330 imposes specific obligations when recommending variable annuities. The advisor must have a reasonable basis to believe, based on the customer's investment profile, that (a) the customer would benefit from certain features of a deferred variable annuity, such as tax-deferred growth, annuitization, or a death benefit; (b) the particular variable annuity is suitable; and (c) the transactions as a whole are not excessive. Here, Margaret is 71 years old, conservative, income-dependent, and needs liquidity. A seven-year surrender-period variable annuity with 65% equity exposure and 3.27% all-in annual costs is fundamentally inconsistent with her documented conservative risk tolerance, preservation-of-capital objective, and liquidity needs. Dennis offered no documented rationale for why tax deferral or other VA-specific features benefited Margaret compared to simpler, more liquid alternatives.
2. ****FINRA Rule 2330(c) - Principal Review and Supervision****: Rule 2330 requires that a registered principal review and approve each variable annuity transaction. For customers aged 65 and older, firms typically apply heightened supervisory scrutiny. The firm's records show no supervisory principal conducted any heightened review, which is both a firm-level and advisor-level failure.
3. ****NAIC Model Regulation 275 (Suitability in Annuity Transactions)****: The NAIC Model, adopted in many states and recently amended to incorporate a best-interest standard, requires that an insurance producer have a reasonable basis to believe a recommendation is in the consumer's best interest based on the consumer's age, income, financial situation, existing insurance products, risk tolerance, liquidity needs, and financial objectives. The producer must consider the product's costs, the consumer's existing portfolio, and whether less costly or more liquid alternatives exist. Dennis failed on virtually every element: the product's illiquidity contradicted Margaret's near-term and ongoing liquidity needs; the 65% equity allocation contradicted her conservative profile; and no comparative analysis of alternatives was performed.
4. ****New York Regulation 187****: Because Margaret resides in New York, Regulation 187 applies. It imposes a best-interest standard on annuity recommendations, requiring the producer to act in the consumer's best interest at the time the recommendation is made, without placing the producer's financial interest ahead of the consumer's. The producer must consider reasonably available alternatives and document the basis for the recommendation. Dennis's recommendation of a high-cost, illiquid, equity-heavy VA to a 71-year-old conservative retiree with documented preservation-of-capital objectives--without any alternatives analysis--fails the Reg 187 best-interest standard. His commission on the \$275,000 transaction likely incentivized the recommendation.
5. ****SEC Regulation Best Interest (Rule 15l-1)****: If Dennis is a registered representative of a broker-dealer, Reg BI's Care Obligation requires that the advisor exercise reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile and the product's risks, rewards, and costs. The advisor must consider reasonably available alternatives. The Disclosure Obligation requires full and fair disclosure of material facts, including costs and conflicts. Dennis misrepresented the guaranteed income rider as a principal guarantee, failed to disclose the practical impact of surrender charges, and altered the customer's documented risk tolerance without explanation--violations of both the Care and Disclosure Obligations.
6. ****Misrepresentation and Omissions****: Dennis told Margaret the rider 'protected her principal no matter what' and that she could 'access her money whenever she wanted,' both materially misleading statements. The GMIB rider provides guaranteed annuitized income, not lump-sum principal protection. The free withdrawal provision is limited to 10% annually, and amounts above that trigger substantial surrender charges. These omissions and mischaracterizations

constitute material misrepresentations.

7. ****Risk Tolerance Alteration****: Changing Margaret's documented risk tolerance from 'conservative' to 'moderate growth' without any documented explanation or life-event justification suggests the advisor manipulated the suitability profile to justify an otherwise unsuitable recommendation. This is a hallmark red flag in regulatory examinations and enforcement.

****Likely Regulatory Outcome****: Dennis faces potential FINRA disciplinary action including fines, suspension, and restitution. The firm faces supervisory failure charges under FINRA Rule 3110 for the absence of a principal review. The New York Department of Financial Services could pursue action under Regulation 187. Margaret would likely prevail in a FINRA arbitration claim for compensatory damages including the surrender charges, fee drag losses, and market losses attributable to the unsuitable equity allocation.

Item 235 of 350

NON-COMPLIANT

Topic: complex_products_unsophisticated_investor

Difficulty: hard

Source: 24_Variable_Annuities

Fact Pattern

Margaret Tully, age 71, is a retired postal worker living in Syracuse, New York, with a fixed monthly pension of \$2,450 and Social Security benefits of \$1,680 per month. She has no prior investment experience beyond a passbook savings account and a certificate of deposit. Her total liquid savings amount to \$310,000, held in a money market account at a local credit union. Margaret has a stated risk tolerance of 'conservative' and her primary financial objectives are capital preservation and maintaining access to funds for potential assisted-living expenses, as she was recently diagnosed with early-stage Parkinson's disease. She completed only a high school education and told her advisor, Kevin Danforth, that she 'doesn't understand Wall Street stuff' and simply wants her money to be safe. In February 2023, Danforth, a registered representative affiliated with a mid-size broker-dealer who also holds an insurance license, recommended that Margaret move \$265,000--roughly 85% of her liquid assets--into a single variable annuity contract with a seven-year surrender charge schedule starting at 8% in year one and declining by one percentage point annually. The contract carried total annual expenses of 3.42%, comprising a mortality and expense risk charge of 1.25%, an administrative fee of 0.15%, and average underlying sub-account fund expenses of 0.92%, plus an optional guaranteed minimum income benefit rider costing an additional 1.10% annually. Danforth allocated 60% of the sub-account value to an aggressive-growth equity fund, 25% to a mid-cap value fund, and 15% to an international emerging-markets fund. He explained the guaranteed income rider to Margaret by telling her it 'works like a pension--your money is completely protected no matter what the market does,' without clarifying the distinction between the benefit base used to calculate future income payments and the actual account value, which remained fully subject to market risk. Danforth did not discuss lower-cost alternatives such as fixed annuities, Treasury securities, or bank CDs. He earned a 6.5% upfront commission of \$17,225 on the sale. No written documentation exists showing that Danforth considered Margaret's health diagnosis, her liquidity needs, or the concentration of nearly all her savings in a single illiquid product. Three months after purchase, Margaret needed \$40,000 to cover a deposit for an assisted-living facility; she was assessed a surrender charge of \$3,200 and also realized that her account value had declined by approximately \$14,600 due to the aggressive sub-account allocations during a period of equity-market volatility.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Danforth committed multiple serious violations of applicable suitability and best-interest standards.

1. FINRA Rule 2330 -- Variable Annuity Suitability: Rule 2330 requires that before recommending a variable annuity purchase, a registered representative must have a reasonable basis to believe the transaction is suitable based on the customer's age, income, financial situation, investment experience, investment objectives, risk tolerance, liquidity needs, and other relevant factors. Danforth failed on nearly every criterion. Margaret was 71 years old, had no investment experience, expressly stated conservative risk tolerance, needed liquidity for foreseeable medical and assisted-living costs, and depended on fixed income. Concentrating 85% of her liquid assets in a single variable annuity with a seven-year surrender period and aggressive equity sub-accounts is facially unsuitable. Rule 2330(b)(1)(A) also requires the representative to consider whether the customer would benefit from the tax-deferral features of a VA given

the availability of other products; Danforth conducted no such comparative analysis.

2. NAIC Model Regulation 275 (Suitability in Annuity Transactions): The Model Regulation, adopted broadly among states, requires an insurance producer to have reasonable grounds to believe an annuity recommendation is suitable based on the consumer's financial situation, insurance needs, and stated objectives. It also imposes a care standard requiring the producer to act in the consumer's best interest at the time of the recommendation, exercise reasonable diligence, and ensure costs are not excessive in relation to the consumer's needs. The 3.42% all-in annual expense ratio, the long surrender period, and the aggressive allocation are inconsistent with Margaret's conservative profile and near-term liquidity requirements, evidencing a failure of the care standard.

3. New York Regulation 187: Because Margaret resides in New York, Regulation 187 applies and imposes a best-interest standard for annuity recommendations. Under Reg 187, the producer must act in the best interest of the consumer without placing the producer's financial interest ahead of the consumer's. The \$17,225 commission, combined with the absence of any documented consideration of lower-cost or more liquid alternatives, strongly suggests Danforth prioritized his own compensation. Reg 187 also requires evaluation of existing financial resources, insurance needs, the consumer's values and financial objectives, and the product's features such as surrender charges, riders, and costs. No evidence of such evaluation exists in the file.

4. Regulation Best Interest (SEC Rule 15l-1 / Reg BI): As a registered representative of a broker-dealer, Danforth is subject to Reg BI's four component obligations--Disclosure, Care, Conflict of Interest, and Compliance. Under the Care Obligation, Danforth was required to exercise reasonable diligence, care, and skill to understand the product and have a reasonable basis to believe the recommendation was in the customer's best interest, considering the customer's investment profile and the potential risks, rewards, and costs. The recommendation fails this standard because: (a) the product's illiquidity conflicted with Margaret's foreseeable need for accessible funds; (b) the aggressive sub-account allocations contradicted her conservative risk tolerance; (c) the high all-in cost was excessive relative to her modest means; and (d) no reasonable-alternatives analysis was performed. Under the Conflict of Interest Obligation, the firm was required to have policies to identify and mitigate conflicts arising from compensation, and the outsized 6.5% commission created an obvious conflict that was neither disclosed nor mitigated.

5. Misleading Explanation of the GMIB Rider: Danforth told Margaret the rider makes her money 'completely protected no matter what the market does,' conflating the benefit base with the actual account value. This omission is materially misleading; the account value remained fully exposed to market losses, as evidenced by the \$14,600 decline within three months. This misrepresentation independently violates general antifraud and fair-dealing standards and compounds the suitability violations.

Aggravating factors include Margaret's age, lack of sophistication, health diagnosis creating foreseeable liquidity needs, the extreme concentration of assets, the absence of any documented suitability analysis, and the high commission. Likely regulatory outcomes include disgorgement of the commission, rescission or reformation of the transaction, restitution for surrender charges and market losses attributable to unsuitable allocation, possible fines, suspension or bar of the representative, and supervisory action against the broker-dealer for failure to supervise the transaction.

Item 236 of 350

NON-COMPLIANT

Topic: tax_deferred_unnecessary_annuity

Difficulty: medium

Source: 24_Variable_Annuities

Fact Pattern

In March 2023, financial advisor Derek Haines met with Margaret Ellison, a 58-year-old high school principal earning \$112,000 per year. Margaret had accumulated \$340,000 in her employer-sponsored 403(b) plan, held \$95,000 in a traditional IRA rolled over from a prior employer, and maintained \$72,000 in a taxable brokerage account invested in index funds. She described herself as moderately conservative and told Derek her primary goals were to continue growing her retirement savings over the next seven to nine years before retiring at age 66 or 67, and to keep her investment costs low. She mentioned that she was already maximizing her annual 403(b) contributions and had no immediate liquidity needs beyond a six-month emergency fund she kept in a high-yield savings account.

Derek recommended that Margaret move her \$95,000 traditional IRA into a variable annuity issued by National Keystone Life Insurance Company. The product, called the Keystone Advantage Select VA, carried an annual mortality and expense risk charge of 1.35%, an administrative fee of 0.15%, and underlying subaccount expense ratios averaging 0.82%, bringing the all-in annual cost to approximately 2.32%. The contract also imposed a seven-year surrender charge schedule starting at 7% in year one and declining by one percentage point each year. Derek selected the optional Guaranteed Minimum Income Benefit rider, which added another 0.95% annually, bringing total annual charges to roughly 3.27%. Derek told Margaret that the variable annuity would give her "an extra layer of tax-deferred growth" and "guaranteed retirement income she can't outlive." He did not discuss that her traditional IRA already provided tax-deferred growth or compare the cost differential between keeping the IRA invested in low-cost index funds versus the variable annuity. He also did not explore whether lower-cost alternatives--such as a no-load variable annuity or a simple balanced index fund portfolio within the existing IRA--might accomplish her objectives at a fraction of the cost. Derek earned a 5.5% commission of \$5,225 on the sale. Margaret signed the application and the transfer paperwork that afternoon. Six months later, Margaret's daughter was diagnosed with a serious illness, and Margaret needed \$30,000 to help with medical expenses. When she attempted to withdraw funds from the annuity, she was assessed a 7% surrender charge of \$2,100 plus ordinary income tax on the gains, reducing her net withdrawal significantly. She filed a complaint with her state insurance department alleging that Derek never explained the surrender penalties and that the product was unnecessary given her existing tax-deferred accounts.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Haines likely violated multiple applicable standards governing the sale of variable annuities.

****FINRA Rule 2330 - Members' Responsibilities Regarding Deferred Variable Annuities:****

Under FINRA Rule 2330(b), before recommending the purchase of a deferred variable annuity, a registered representative must have a reasonable basis to believe that the customer has been informed of the material features of the product, including surrender charges, mortality and expense charges, potential tax penalties, and the insurance and investment components. Derek failed to adequately disclose the seven-year surrender schedule and the cumulative annual cost structure exceeding 3.27%. More critically, Rule 2330(b)(1)(A) requires that the representative consider

whether the customer would benefit from features of a deferred variable annuity--such as tax-deferred growth--in light of the customer's existing financial profile. Margaret's \$95,000 was already in a traditional IRA, which by its nature provides tax-deferred growth. Placing tax-deferred money inside another tax-deferred wrapper (the variable annuity) provides no incremental tax benefit while layering on substantial additional costs--the hallmark of a "tax-deferred unnecessary annuity" violation.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):****

As revised to incorporate the best interest standard adopted by most states, Model 275 Section 6 requires that a recommendation to purchase an annuity must be in the consumer's best interest at the time of the transaction, considering the consumer's financial situation, insurance needs, financial objectives, and existing assets including other annuity and insurance products. The regulation further requires that the producer consider reasonably available alternatives and that the recommendation not place the producer's financial interest ahead of the consumer's. Derek's recommendation failed the care obligation component of this standard because (1) the IRA already enjoyed tax deferral, making the annuity's principal marketed benefit redundant; (2) the all-in cost of approximately 3.27% per year dramatically exceeded the roughly 0.05%-0.15% Margaret was paying in her index fund IRA, eroding her retirement accumulation by tens of thousands of dollars over the remaining investment horizon; (3) the seven-year surrender period was inconsistent with Margaret's moderately conservative profile and her stated timeline of seven to nine years, leaving her with almost no liquidity from this asset during the accumulation phase; and (4) the Guaranteed Minimum Income Benefit rider, at 0.95% per year, was not clearly needed by a client who already had a pension-like benefit through her school district and had not expressed concern about longevity risk.

****New York Regulation 187 (applicable if the transaction occurred in NY or serves as a persuasive model in other states):****

Regulation 187 explicitly requires that a producer must act in the best interest of the consumer, and that there must be a reasonable basis to believe the consumer has been informed of and understands the features of the annuity, including fees. It also requires documentation of the basis for the recommendation. Derek's failure to discuss the redundancy of tax deferral, failure to present lower-cost alternatives, and failure to weigh the surrender charge risk against Margaret's potential liquidity needs would constitute violations under this standard.

****Regulation Best Interest (SEC Rule 15l-1):****

If Derek is also a registered representative of a broker-dealer (which is typical for variable annuity sales), Regulation Best Interest applies. The Care Obligation under Reg BI requires that the broker-dealer and associated person exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation and to have a reasonable basis to believe the recommendation is in the retail customer's best interest, considering reasonably available alternatives. Recommending a product with total annual charges of 3.27% and a seven-year surrender schedule to replace a low-cost IRA that already provided the same tax treatment fails the cost-consideration prong of the Care Obligation. The Disclosure Obligation also required full and fair disclosure of material facts about the recommendation, including conflicts of interest--Derek's \$5,225 commission created a significant financial incentive that went undisclosed or inadequately addressed.

****Likely Regulatory Outcome:****

Derek faces potential disciplinary action from FINRA (fine, suspension, or bar) for violating Rule 2330's suitability requirements and Reg BI's care and disclosure obligations. His insurance license could be subject to revocation or suspension by the state insurance department for violating the state's adopted version of Model Regulation 275. Margaret would likely be entitled to rescission of the annuity contract or restitution including the surrender charge she paid, the excess costs incurred, and possibly consequential damages. The supervising broker-dealer could face a failure-to-supervise charge under FINRA Rule 3110 for not identifying the red flag of a tax-deferred-to-tax-deferred transfer into a high-cost product. Academic research and GAO reports have repeatedly identified this exact pattern--wrapping already tax-advantaged assets in a variable annuity solely to generate commissions--as one of the most common forms of variable annuity mis-selling.

Item 237 of 350**NON-COMPLIANT**

Topic: complex_products_unsophisticated_investor

Difficulty: hard

Source: 24_Variable_Annuities

Fact Pattern

Margaret Olsen, age 71, is a retired elementary school teacher living in Utica, New York. She receives a monthly pension of \$2,850 and Social Security of \$1,640. Her total liquid savings consist of \$285,000 in a bank certificate of deposit and \$42,000 in a savings account. She owns her home outright, valued at approximately \$165,000. Margaret has no investment experience beyond bank CDs and her pension. Her stated investment objective on her new account form, which was filled out by her advisor, is 'growth and income,' and her risk tolerance is marked 'moderate.' Margaret's highest level of education is a two-year associate degree. She has no dependents; her husband passed away in 2019.

In March 2023, Margaret met financial advisor Derek Fanning at a free dinner seminar at a local restaurant. The seminar was titled 'Protect Your Retirement Savings from Market Volatility.' During the seminar, Derek emphasized the importance of guaranteed income streams and protection from inflation. After the seminar, Margaret scheduled an office visit.

At the meeting, Derek recommended that Margaret liquidate her \$285,000 CD -- which was earning 4.15% APY with nine months remaining until maturity, resulting in an early withdrawal penalty of approximately \$4,400 -- and invest the proceeds into a variable annuity with a Guaranteed Minimum Income Benefit (GMIB) rider. The specific product was the Apex Lifetime Growth VA, which carried a mortality and expense risk charge of 1.35%, an administrative fee of 0.15%, an average underlying sub-account expense ratio of 0.92%, and the GMIB rider fee of 1.10%, bringing the total annual cost to approximately 3.52%. The product carried a seven-year declining surrender charge schedule starting at 7% in year one and declining to 1% in year seven.

Derek allocated the entire \$285,000 into the VA across six equity-heavy sub-accounts: 30% in an aggressive growth fund, 25% in an international equity fund, 20% in a mid-cap growth fund, 15% in a technology sector fund, and 10% in a bond index fund. Derek did not discuss alternative products such as fixed annuities, immediate annuities, bond funds, or simply renewing the CD. He told Margaret that her money would 'grow tax-deferred and she'd have guaranteed income for life,' but he did not explain the surrender charges, the total annual fee drag, the market risk of the sub-accounts, or the fact that the GMIB rider could only be exercised after a ten-year waiting period, at which point Margaret would be 81 years old.

Derek earned a gross commission of \$16,530 (5.8% of the premium) on the sale. His firm's product committee had flagged the Apex Lifetime Growth VA as unsuitable for clients over age 70 with limited liquid assets, but this internal guidance was advisory rather than mandatory. Derek did not document any rationale for why this product was appropriate for Margaret over simpler alternatives. He also did not note Margaret's existing guaranteed income sources (pension and Social Security totaling \$4,490/month) or analyze whether she had an actual income gap that the GMIB rider would address.

By December 2023, the sub-accounts had declined 11.2% due to equity market corrections, bringing the account value to approximately \$253,080. Margaret needed \$18,000 for emergency roof repairs but learned she would owe a 7% surrender charge (\$1,260 on the withdrawal) plus potential tax consequences on any gains. She filed a complaint with

her state insurance department in January 2024, stating she was never told about the surrender period or fees and that she believed she was purchasing something similar to a CD with better returns.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, the financial advisor violated multiple applicable suitability and best-interest standards in a particularly egregious manner.

****FINRA Rule 2330 -- Variable Annuity Suitability:**** Under FINRA Rule 2330, before recommending the purchase of a variable annuity, a registered representative must make reasonable efforts to obtain the customer's financial status, tax status, investment objectives, and other relevant information. The advisor must then have a reasonable basis to believe that (a) the customer would benefit from certain features of a VA (such as tax-deferred growth, annuitization, or a death benefit), (b) the particular VA as a whole is suitable, and (c) the underlying sub-account allocations are suitable. Derek Fanning failed all three prongs.

First, Margaret already had \$285,000 in a CD earning 4.15% with no market risk -- a product well-suited to her conservative profile, age, and liquidity needs. She had no demonstrated need for tax-deferred growth (she was 71, in a low tax bracket, and the VA would convert favorable capital gains treatment into ordinary income upon withdrawal). Her existing pension and Social Security already provided \$4,490/month in guaranteed income, undermining any claim that the GMIB rider addressed an income gap. The GMIB rider would not even be exercisable until Margaret was 81, raising serious questions about the time horizon.

Second, the sub-account allocation was overwhelmingly aggressive: 90% equity, including 30% aggressive growth and 15% technology sector -- wildly inconsistent with a 71-year-old retiree with no investment experience and a need for capital preservation and liquidity. Even the 'moderate' risk tolerance marked on the account form (which Margaret did not fill out herself) would not support such an allocation.

Third, Derek failed to consider or present reasonable alternatives as required. He did not discuss fixed annuities, single premium immediate annuities (SPIAs), bond ladders, or simply renewing the CD -- any of which would have been more appropriate for Margaret's profile.

****NAIC Model Regulation 275:**** Under the NAIC Suitability in Annuity Transactions Model Regulation (Model 275, as amended in 2020 to incorporate a best-interest standard), a producer must act in the best interest of the consumer and must have a reasonable basis to believe the recommendation is suitable based on the consumer's financial situation, insurance needs, age, risk tolerance, liquidity needs, and existing coverage. The producer must consider reasonably available alternatives. Derek's recommendation fails this standard because: (1) the total all-in cost of 3.52% annually drastically exceeded the 4.15% CD yield while introducing significant market risk; (2) the seven-year surrender schedule locked up virtually all of Margaret's liquid savings, creating severe liquidity risk for a 71-year-old with no other liquid assets beyond \$42,000 in savings; (3) no needs analysis or alternatives comparison was documented; and (4) his firm's own product committee had flagged this VA as unsuitable for clients over 70 with limited liquidity.

****New York Regulation 187:**** Because Margaret resides in New York, NY Reg 187 applies. This regulation requires that recommendations be in the best interest of the consumer at the time of the transaction, considering the consumer's age, annual income, financial situation, financial objectives, intended use of the product, financial time horizon, existing assets, liquidity needs, liquid net worth, risk tolerance, and tax status. It also prohibits placing the producer's financial interest ahead of the consumer's interest. The \$16,530 commission (5.8%) created a significant financial incentive that

appears to have driven the recommendation. Derek's failure to document any rationale, failure to disclose material features (surrender charges, fees, GMIB waiting period), and failure to consider alternatives all constitute violations of Reg 187's best-interest and disclosure requirements.

****SEC Regulation Best Interest (Rule 15l-1):**** If Derek is also a registered representative of a broker-dealer (as is typical for VA sales), Reg BI applies to the recommendation. Under the Care Obligation, the advisor must exercise reasonable diligence, care, and skill to understand the product and its risks and have a reasonable basis to believe the recommendation is in the customer's best interest, considering the customer's investment profile. The Disclosure Obligation requires full and fair disclosure of all material facts relating to conflicts of interest, costs, and risks. Derek failed the Care Obligation by recommending an illiquid, high-cost, equity-heavy VA to an elderly, unsophisticated, low-risk-tolerance client whose needs were well-served by her existing CD. He failed the Disclosure Obligation by not explaining surrender charges, total fees, sub-account risks, or the GMIB waiting period. He failed the Conflict of Interest Obligation by not mitigating the influence of his \$16,530 commission on the recommendation.

****Likely Regulatory Outcome:**** This case involves multiple compounding red flags -- dinner seminar solicitation of a senior investor, liquidation of a safe asset to fund a complex product, aggressive sub-account allocation inconsistent with the client's profile, failure to document suitability rationale despite internal product warnings, failure to disclose material terms, and a large commission incentive. This would likely result in: (1) the New York Department of Financial Services finding violations of Reg 187 and potentially imposing fines and license sanctions; (2) FINRA bringing an enforcement action for Rule 2330 and Rule 2111 (general suitability) violations, with potential restitution, fines, and suspension or bar; (3) potential SEC or state-level Reg BI enforcement; and (4) a successful customer arbitration claim for damages including the CD early withdrawal penalty, surrender charges, fee drag, investment losses, and consequential damages related to the roof repair liquidity crisis.

Item 238 of 350**NON-COMPLIANT**

Topic: high_fees_unsuitable

Difficulty: medium

Source: 24_Variable_Annuities

Fact Pattern

Margaret Hollis, age 74, is a retired elementary school teacher living in Syracuse, New York. She has a fixed pension of \$2,800 per month and receives \$1,650 per month in Social Security benefits. Her total liquid savings amount to \$185,000, held primarily in a bank money market account and a \$40,000 certificate of deposit. She owns her home outright and has no outstanding debts. Mrs. Hollis described her investment objective as capital preservation and generating modest supplemental income to cover occasional medical expenses and home maintenance. She told her advisor, Craig Devereaux, that she had a low risk tolerance, had never invested in equities, and wanted to keep her money safe and accessible.

In March 2023, Devereaux recommended that Mrs. Hollis move \$160,000--approximately 86% of her liquid assets--into a variable annuity issued by National Horizon Life Insurance Company. The product selected was the "Horizon OptiGrowth VA," which carried a mortality and expense risk charge of 1.45% annually, an administrative fee of 0.15%, and underlying sub-account fund expenses averaging 1.12%, bringing total annual fees to approximately 2.72%. The contract also included a guaranteed minimum withdrawal benefit rider costing an additional 1.05% per year, raising the all-in annual cost to approximately 3.77% of the account value--roughly \$6,032 per year on the initial investment. The contract imposed a seven-year declining surrender charge schedule starting at 8% in year one and decreasing by 1% each year.

Devereaux allocated the sub-accounts as follows: 40% to a mid-cap growth fund, 30% to an international equity fund, and 30% to a high-yield bond fund. None of the sub-accounts were in fixed-income or money market options. Devereaux earned a 6.5% upfront commission of \$10,400 on the sale.

Mrs. Hollis was not informed about lower-cost alternatives such as fixed annuities, single premium immediate annuities, or balanced mutual fund portfolios that could have met her stated income and preservation objectives at a fraction of the cost. Devereaux did not document any discussion of the product's high fee structure relative to her modest return needs, nor did he explain the practical implications of the surrender charge schedule given her age and potential need for liquidity to fund healthcare expenses.

By November 2023, Mrs. Hollis needed \$18,000 to pay for an unexpected roof replacement and emergency dental surgery. She contacted Devereaux about accessing her funds, only to learn she would incur a surrender charge of approximately \$1,260 (7% on the excess above the free withdrawal allowance) on top of having already paid roughly \$4,020 in annualized fees during the eight months she held the contract. The account had also declined in value by approximately 4.3% due to equity market volatility in the sub-accounts selected, reducing her account balance to roughly \$147,100 before any withdrawal penalties.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Devereaux violated applicable suitability and best-interest standards on multiple grounds.

****FINRA Rule 2330 - Variable Annuity Suitability:**** Under FINRA Rule 2330, a registered representative must have a reasonable basis to believe that a variable annuity transaction is suitable before recommending it. Specifically, Rule 2330(b)(1) requires consideration of the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, investment time horizon, existing assets, liquidity needs, liquid net worth, risk tolerance, and tax status. Devereaux failed this analysis in several critical respects:

1. ****Age and Time Horizon:**** Mrs. Hollis was 74 years old. A seven-year surrender charge period means she would not have penalty-free access to her full principal until age 81. At her age, liquidity needs for healthcare and home maintenance are foreseeable and should have been weighted heavily.
2. ****Liquidity Needs:**** Allocating 86% of her liquid assets to an illiquid product with steep surrender charges left Mrs. Hollis with only \$25,000 in accessible funds--clearly inadequate given her modest fixed income and the reality of unpredictable expenses in retirement.
3. ****Risk Tolerance Mismatch:**** Mrs. Hollis explicitly stated she had low risk tolerance, no equity experience, and a capital preservation objective. Devereaux allocated 100% of the sub-accounts to equity and high-yield bond funds--an aggressive allocation fundamentally inconsistent with her stated preferences and needs.
4. ****Excessive Fee Burden:**** Total annual expenses of approximately 3.77% are extraordinarily high for a client whose stated objective is capital preservation and modest income. For the investment to merely break even after fees, the portfolio would need to generate nearly 4% annually before any real return to the client. Lower-cost alternatives (fixed annuities, SPIAs, low-cost balanced funds) were readily available and far more aligned with her objectives.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** Under the revised NAIC Model 275, which has been adopted or substantially adopted by most states, an insurance producer must act in the consumer's best interest at the time of the recommendation. The producer must consider reasonably available alternatives and must not place their financial interest ahead of the consumer's interest. The 6.5% commission (\$10,400) strongly suggests a compensation-driven recommendation rather than one rooted in the consumer's needs. The failure to present or document consideration of lower-cost alternatives (fixed annuities, SPIAs) violates the care obligation embedded in the model regulation.

****New York Regulation 187:**** Because Mrs. Hollis resides in New York, Regulation 187 (11 NYCRR 224) applies and imposes an explicit best-interest standard for annuity recommendations made on or after August 1, 2019 (for annuity transactions). Under Reg 187, the producer must act in the best interest of the consumer, evaluate the consumer's financial situation holistically, and consider the insurer's product as compared to alternatives available through the producer. Devereaux's failure to document the consideration of suitable alternatives, combined with the manifestly unsuitable fee structure and risk allocation, constitutes a clear violation.

****SEC Regulation Best Interest (Reg BI, Rule 15l-1):**** If Devereaux is a broker-dealer associated person (as the commission structure suggests), Reg BI's Care Obligation under Rule 15l-1(a)(2)(ii)(B) requires that he exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of the recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest, considering the customer's investment profile. Recommending a high-cost, equity-heavy variable annuity to a 74-year-old capital-preservation-oriented client with limited liquid assets and no equity experience fails this standard. The Conflict of Interest Obligation also required identification, disclosure, and mitigation of the significant compensation conflict (\$10,400 commission).

****Likely Regulatory Outcome:**** Devereaux faces potential enforcement action from FINRA for a Rule 2330 violation,

action by the New York Department of Financial Services for a Regulation 187 violation, and potential SEC or FINRA action under Reg BI. Remedies could include disgorgement of commissions, restitution to Mrs. Hollis for losses and excess fees, fines, suspension, or enhanced supervisory requirements. The firm's supervisory system under FINRA Rule 3110 would also be scrutinized for failing to flag this transaction given the customer profile. Academic literature and GAO reports on variable annuity mis-selling have consistently identified precisely this pattern--high-cost VA sales to elderly, low-risk-tolerance clients with concentrated liquid assets--as the archetype of an unsuitable recommendation.

Item 239 of 350

NON-COMPLIANT

Topic: tax_deferred_unnecessary_annuity

Difficulty: medium

Source: 24_Variable_Annuities

Fact Pattern

In March 2023, financial advisor Derek Holloway met with Patricia Engel, a 58-year-old public school teacher earning \$72,000 annually. Patricia had accumulated \$410,000 in her 403(b) retirement plan through her school district, \$45,000 in a traditional IRA, and \$18,000 in a savings account. She described herself as a conservative investor with a primary goal of preserving her retirement savings and generating modest income after her planned retirement at age 65. She told Derek she was interested in consolidating her retirement accounts for simplicity and wanted something 'safe and steady.' Derek recommended that Patricia roll her \$45,000 traditional IRA into a variable annuity issued by Keystone Life Insurance Company. The product -- the Keystone Advantage Plus VA -- carried a mortality and expense risk charge of 1.40% annually, an administrative fee of 0.15%, and underlying sub-account fund expenses averaging 0.92%. The contract also imposed a seven-year surrender charge schedule starting at 7% in the first year and declining by 1% each year. An optional guaranteed minimum income benefit rider was added at an additional annual cost of 0.95%. Total all-in annual expenses on the contract came to approximately 3.42%. Derek's notes from the meeting stated that the variable annuity would provide 'tax-deferred growth' as a key benefit justifying the recommendation. He documented Patricia's risk tolerance as 'moderate' on the new account form, despite her repeated verbal statements about being conservative and wanting safety. Derek received a \$2,700 commission on the sale. Patricia's existing traditional IRA had been invested in a diversified bond index fund with an expense ratio of 0.06%, and the IRA already provided tax-deferred growth. Six months later, the sub-accounts Patricia was placed in had declined 8.2% in value due to equity market volatility, and when she called to withdraw funds to cover an unexpected roof repair costing \$6,500, she was informed she would owe a 7% surrender charge of approximately \$2,730 on top of the market losses. Patricia filed a complaint with her state insurance department alleging that Derek never explained the surrender charges, overstated the tax benefits, and placed her in an unsuitable product.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Holloway committed multiple violations of applicable suitability and best-interest standards.

****FINRA Rule 2330 -- Variable Annuity Suitability:**** Under FINRA Rule 2330, before recommending a variable annuity, a registered representative must make reasonable efforts to obtain the customer's financial profile, including income, net worth, investment objectives, risk tolerance, existing insurance holdings, and liquidity needs. The representative must then have a reasonable basis to believe that the customer would benefit from certain features of a variable annuity, such as tax-deferred growth, annuitization, or a death benefit. A critical element is that if the customer's funds are already in a tax-deferred vehicle (here, a traditional IRA), the tax-deferral feature of the variable annuity is redundant and cannot serve as a justification for the recommendation. Derek's own notes cited 'tax-deferred growth' as the primary rationale, yet Patricia's IRA already enjoyed tax-deferred status. This is a classic indicator of an unsuitable recommendation -- layering an expensive variable annuity on top of an already tax-advantaged account with no incremental tax benefit.

****NAIC Model Regulation 275:**** Under the NAIC Suitability in Annuity Transactions Model Regulation (Model 275), as adopted in most states, an insurance producer must have a reasonable basis to believe the annuity recommendation is suitable based on the consumer's stated financial situation, insurance needs, and objectives. The regulation requires the producer to make reasonable efforts to obtain accurate information and to ensure the recommendation is in the consumer's best interest (under the 2020 amendments aligning with a best-interest standard). Here, Patricia's conservative risk profile, limited liquidity, and the seven-year surrender period creating a lock-up extending past her intended retirement age all suggest the product was unsuitable. The high all-in cost of 3.42% annually dramatically eroded returns compared to her existing 0.06% bond index fund.

****NY Regulation 187 (if applicable):**** If Patricia resides in New York, Regulation 187 imposes a best-interest standard on annuity recommendations. The producer must act in the consumer's best interest without placing the producer's financial interest ahead of the consumer's. Derek's \$2,700 commission, combined with the lack of any incremental benefit to Patricia, strongly suggests a financially motivated recommendation that prioritized compensation over the client's welfare.

****Reg BI (Rule 15l-1):**** As a broker-dealer representative, Derek is subject to Regulation Best Interest, which requires that a recommendation be in the retail customer's best interest at the time it is made, not placing the financial interest of the broker ahead of the customer. The Care Obligation under Reg BI requires consideration of reasonably available alternatives. A low-cost bond index fund within the existing IRA was clearly a superior option. Additionally, the Disclosure Obligation required Derek to provide full and fair disclosure of material facts, including the surrender charge schedule, which Patricia alleges was never explained.

****Specific Violations:****

1. Recommending a variable annuity inside a tax-deferred account with tax deferral cited as the primary benefit -- directly contrary to FINRA Rule 2330(b)(1)(A)(ii) guidance.
2. Misrepresenting Patricia's risk tolerance as 'moderate' on the application when she consistently expressed conservative preferences -- a documentation integrity violation.
3. Failing to adequately disclose or explain the seven-year surrender charge schedule.
4. Recommending a product with 3.42% annual expenses to replace a 0.06% expense ratio fund, with no demonstrable offsetting benefit.
5. Failing to consider reasonably available alternatives that would have been less costly and more aligned with her objectives.

****Likely Regulatory Outcome:**** Derek and his supervising broker-dealer face potential sanctions including fines, disgorgement of the \$2,700 commission, restitution to Patricia for losses including the surrender charge, and possible suspension. The firm's supervisory system may also be cited for failing to flag the IRA-to-VA rollover for enhanced review as required under FINRA Rule 2330(c), which mandates principal review and approval prior to transmittal of a variable annuity application. The state insurance department may impose additional penalties under its adoption of Model 275.

Item 240 of 350

NON-COMPLIANT

Topic: failure_to_know_customer

Difficulty: medium

Source: 24_Variable_Annuities

Fact Pattern

In September 2022, financial advisor Marcus Pemberton met with new client Dorothy Huang, a 71-year-old retired schoolteacher living in Buffalo, New York. Dorothy had walked into the branch office after seeing a mailer about 'guaranteed retirement income solutions.' During their initial meeting, which lasted approximately 25 minutes, Marcus collected Dorothy's name, address, Social Security number, and date of birth. He asked her how much money she had available to invest, and she told him she had approximately \$340,000 in a bank certificate of deposit that was maturing the following week, plus about \$18,000 in a checking account. Marcus did not ask Dorothy about her monthly income, her expenses, whether she had any other investments or retirement accounts, her health status, her tax situation, or whether she had any dependents or estate planning goals. He did not ask about her prior investment experience or her comfort level with market fluctuations. Dorothy mentioned offhand that her late husband had 'handled all the money stuff' and that she was not sure what to do now. Marcus recommended that Dorothy liquidate her maturing CD and invest \$310,000 into a variable annuity contract issued by National Horizon Life Insurance Company -- the 'Horizon FlexGrowth VA' -- which featured a Guaranteed Minimum Income Benefit rider. The product carried total annual fees of 3.45%, including a mortality and expense charge of 1.25%, an administrative fee of 0.15%, average underlying subaccount expenses of 1.10%, and a rider fee of 0.95%. The contract included a seven-year declining surrender charge schedule starting at 7% in year one. Marcus selected an aggressive growth subaccount allocation consisting of 60% in a small-cap equity fund and 40% in an international emerging markets fund. He told Dorothy the income rider would 'protect her no matter what' and that she didn't need to worry about the investment choices. Dorothy signed the paperwork. Marcus's branch office new account form had multiple blank fields: risk tolerance, investment objective, annual income, net worth (excluding primary residence), liquid net worth, investment time horizon, and existing insurance coverage were all left empty. The account was approved by the branch office manager the same day. Over the next fourteen months, the aggressive subaccounts declined approximately 19% in value due to market volatility, bringing Dorothy's account value down to roughly \$251,000. Dorothy, alarmed by a quarterly statement, called Marcus in November 2023 and expressed significant distress, stating she did not understand she could lose money and that she needed the funds to cover her living expenses and potential nursing home costs. An internal audit later revealed that Dorothy's sole source of income was a \$2,100 monthly pension and \$1,400 in Social Security benefits, that she had no other liquid savings beyond the checking account, and that she had been diagnosed with early-stage Parkinson's disease six months before the investment.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Marcus Pemberton violated multiple regulatory standards governing variable annuity sales and the obligation to know one's customer.

****FINRA Rule 2330 (Variable Annuity Suitability):**** Rule 2330(b) requires that, prior to recommending the purchase of a deferred variable annuity, a registered representative must make reasonable efforts to obtain, at a minimum, the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended

use of the annuity, existing assets (including other insurance products), liquid net worth, risk tolerance, and tax status. Marcus failed to collect virtually all of these data points. The new account form contained multiple blank critical fields. Rule 2330(b)(1)(A) makes clear that without this information, no reasonable basis exists to determine that the transaction is suitable. Additionally, under Rule 2330(b)(2), no registered principal should have approved the transaction when the account documentation was so manifestly incomplete.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** Under the revised Model 275, a producer must obtain comprehensive suitability information before making a recommendation, including the consumer's financial situation, insurance needs, financial objectives, intended use of the annuity, financial time horizon, existing assets, liquidity needs, liquid net worth, risk tolerance, and financial experience. Marcus obtained almost none of this. Model 275 Section 6 further requires that the producer have a reasonable basis to believe the recommended annuity is suitable based on the facts disclosed by the consumer. The complete absence of customer profile data means this analysis could not have been performed.

****New York Regulation 187 (Suitability and Best Interest in Life Insurance and Annuity Transactions):**** Because Dorothy resides in New York, Regulation 187 applies. Effective since August 1, 2019, for annuity transactions, it requires producers to act in the best interest of the consumer. This includes a care obligation and a know-your-customer obligation. The producer must gather sufficient information about the consumer's financial situation, needs, and objectives. Marcus's failure to collect income, health, liquidity needs, risk tolerance, and existing holdings constitutes a clear violation of the information-gathering requirements under Reg 187.

****Regulation Best Interest (Rule 15l-1):**** As a broker-dealer representative making a recommendation of a securities product (a variable annuity is a security), Marcus was subject to Reg BI's Care Obligation, which requires a reasonable basis to believe the recommendation is in the customer's best interest based on the customer's investment profile. The Care Obligation specifically requires consideration of costs, reasonably available alternatives, and the customer's specific circumstances including age, risk tolerance, liquidity needs, and financial situation. Without collecting any meaningful customer profile information, Marcus could not have formed any reasonable basis for his recommendation.

****Specific Deficiencies Beyond Information Gathering:**** Even if the information had been obtained, the recommendation was almost certainly unsuitable on its face. A 71-year-old retiree with a modest fixed income, no other liquid savings, a progressive neurological condition, and no investment experience should not have been placed into (1) a product with a seven-year surrender period and 7% first-year surrender charge when she might need liquidity for medical expenses, (2) an aggressive subaccount allocation of small-cap and emerging markets equities inappropriate for someone with no stated risk tolerance and evident capital preservation needs, and (3) a high-cost product with 3.45% annual fees that would significantly erode her retirement savings.

****Supervisory Failures:**** The branch manager who approved the account on the same day despite blank suitability fields violated FINRA Rule 2330(c), which requires a registered principal to review and approve each variable annuity transaction based on the suitability information gathered. Approving a transaction with missing material information constitutes a supervisory failure under FINRA Rule 3110 as well.

****Likely Regulatory Outcome:**** Marcus faces potential disciplinary action including fines, suspension, or bar. The firm faces supervisory violation charges. Dorothy may be entitled to restitution, rescission of the transaction, and consequential damages. State insurance regulators in New York could pursue separate action under Regulation 187, including penalties against Marcus's insurance license. The pattern of conduct -- rushed sale, incomplete documentation, unsuitable allocation, misleading assurances about the income rider -- is consistent with the type of variable annuity mis-selling documented extensively in GAO reports and academic literature on VA sales to elderly customers with liquidity needs and limited investment sophistication.

Item 241 of 350**NON-COMPLIANT**

Topic: variable_annuity_unsuitable

Difficulty: hard

Source: 24_Variable_Annuities

Fact Pattern

Margaret Kowalski, age 74, is a retired school librarian living in Syracuse, New York, on a fixed income of approximately \$2,800 per month from Social Security and a small pension. She has \$185,000 in a bank certificate of deposit that recently matured and \$22,000 in a savings account. She has no other investments and owns her home outright. Her stated investment objectives, documented on her new account form, are capital preservation and income. She described her risk tolerance as conservative and noted that she might need access to her savings for assisted-living expenses within the next two to three years, as her physician had recently recommended she begin exploring care options due to early-stage cognitive decline. She has limited investment experience, having never owned securities or annuity products.

In October 2023, her financial advisor, Dale Simmons, who holds both securities and insurance licenses, recommended that Margaret invest \$160,000--approximately 86% of her liquid assets--into a variable annuity issued by National Growth Life Insurance Company. The product, the "National Growth Advantage Plus VA," carried a seven-year surrender charge schedule beginning at 8% in year one and declining by one percentage point annually. The contract included a Guaranteed Minimum Income Benefit (GMIB) rider with an annual cost of 1.05% of the benefit base, on top of mortality and expense charges of 1.35% and average underlying sub-account fees of 0.82%. Total all-in annual costs were approximately 3.22%. Dale allocated 60% of the sub-account investments to an aggressive growth equity fund and 40% to a balanced fund.

Dale's rationale, as noted in his file, was that the GMIB rider would guarantee Margaret a lifetime income stream if she annuitized after a ten-year waiting period, and that the equity exposure would help her "stay ahead of inflation." He did not document any discussion of the surrender charges, the total cost structure, Margaret's near-term liquidity needs, her limited time horizon, or her stated interest in preserving capital. He also did not discuss or evaluate any alternative products such as fixed annuities, short-term bond funds, or Treasury securities. Dale received an upfront commission of 6.5% on the sale, totaling \$10,400.

Within fourteen months, Margaret needed to withdraw \$45,000 to fund a move into an assisted-living facility. The surrender charge on that withdrawal, net of the 10% free withdrawal corridor, was approximately \$2,800. Additionally, because the equity sub-accounts had declined 11% during a market correction, her account value had fallen to roughly \$138,500 before the withdrawal. After the withdrawal and surrender penalty, her remaining contract value was approximately \$90,700--a loss of nearly \$69,300 from her original \$160,000 investment in just over a year.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dale Simmons committed multiple serious violations of applicable suitability and best-interest standards.

****FINRA Rule 2330 - Variable Annuity Suitability:**** Under FINRA Rule 2330, before recommending the purchase of a

variable annuity, a registered representative must make reasonable efforts to obtain the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, existing assets, liquid net worth, liquidity needs, risk tolerance, and tax status. Having obtained this information, the representative must then have a reasonable basis to believe the transaction is suitable. Rule 2330(b)(1) specifically requires consideration of whether the customer would benefit from certain features of a variable annuity, such as tax-deferred growth, annuitization, or a death benefit, and whether the customer has been informed of the product's features, including surrender charges and expenses. Here, Dale's own documentation showed Margaret was 74, conservative, focused on capital preservation and income, had near-term liquidity needs related to anticipated assisted-living costs, and had minimal investment experience. A seven-year surrender charge product with 3.22% annual all-in costs and a GMIB rider requiring a ten-year wait to annuitize was fundamentally unsuitable for a 74-year-old client who would be 84 before she could even access the guaranteed income benefit--well beyond her stated and realistic time horizon.

****Concentration Risk:**** Allocating 86% of Margaret's liquid assets to a single illiquid variable annuity left her with only \$47,000 in accessible funds to cover all near-term living and potential care expenses. This concentration is facially unsuitable under the reasonable-basis and customer-specific suitability requirements embedded in FINRA Rule 2330 and the broader suitability framework.

****Aggressive Sub-Account Allocation:**** Placing 60% of a 74-year-old conservative investor's variable annuity assets in an aggressive growth equity fund directly contradicted her stated conservative risk tolerance and capital preservation objectives, compounding the unsuitability.

****NY Regulation 187 - Best Interest Standard:**** Because this transaction occurred in New York, NY Regulation 187 applies and imposes a best-interest standard on insurance producers making annuity recommendations. Under Reg 187, the producer must act in the best interest of the consumer at the time the recommendation is made, without placing the producer's or insurer's financial interest ahead of the consumer's interest. The regulation requires evaluation of the consumer's existing assets, financial situation, insurance needs, financial objectives, and the values, benefits, and costs of the existing product (if any replacement is involved). Dale's recommendation--driven by a \$10,400 commission on a product manifestly ill-suited to Margaret's profile--strongly suggests that his financial interest took precedence over Margaret's. His failure to consider or document any lower-cost, more liquid alternatives (fixed annuities, Treasury securities, short-term bonds) violates the requirement to consider reasonably available alternatives.

****NAIC Model Regulation 275:**** The NAIC Suitability in Annuity Transactions Model Regulation (Model 275), which New York's Reg 187 exceeds, also requires that producers have reasonable grounds for believing the recommendation is suitable based on the consumer's profile. The factors enumerated--age, annual income, financial situation, investment objectives, intended use, existing assets, liquidity needs, liquid net worth, risk tolerance, and tax status--all pointed away from this recommendation. The ten-year GMIB waiting period for a 74-year-old with near-term care needs is a textbook example of a feature that provides no realistic benefit to the consumer.

****SEC Regulation Best Interest (Reg BI, Rule 15l-1):**** As a registered representative of a broker-dealer, Dale is also subject to Reg BI when making a recommendation of a securities transaction (variable annuities are securities). Under Reg BI's Care Obligation, Dale was required to exercise reasonable diligence, care, and skill to understand the recommendation, its potential risks, rewards, and costs, and to have a reasonable basis to believe the recommendation was in the customer's best interest at the time it was made--considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation without placing his financial or other interest ahead of the customer's. The high commission, high-cost product with features Margaret could not realistically use, sold to a conservative elderly client with imminent liquidity needs, fails this standard on every dimension.

****Likely Regulatory Outcome:**** Dale faces potential disciplinary action from FINRA (fines, suspension, or bar), enforcement action by the New York Department of Financial Services under Reg 187, and potential civil liability.

Supervisory failures at his broker-dealer may also be at issue under FINRA Rule 3110 if no principal reviewed and questioned this transaction despite the obvious red flags (client age, concentration, liquidity mismatch). Customer restitution of the approximately \$69,300 in losses (including surrender charges, market losses exacerbated by unsuitable allocation, and excessive fees) would likely be sought through FINRA arbitration or regulatory restitution order. Academic literature and GAO reports on VA mis-selling have identified this precise pattern--elderly, conservative clients placed in high-cost, long-surrender-period VAs with features misaligned to their time horizons--as the most common form of variable annuity abuse.

Item 242 of 350**NON-COMPLIANT**

Topic: senior_investor_exploitation

Difficulty: medium

Source: 24_Variable_Annuities

Fact Pattern

Margaret Olsen, age 81, is a retired schoolteacher living in Syracuse, New York. She is a widow whose husband passed away in 2021, leaving her with \$410,000 in a bank savings account and a \$185,000 certificate of deposit. Her sole income consists of Social Security benefits of \$2,340 per month and a small state pension of \$1,100 per month. She owns her home outright and has no debts. Mrs. Olsen has mild cognitive decline, which her daughter, Karen, has mentioned to the advisor during a prior meeting. Her investment objectives, as documented in her new account form, are capital preservation and income. Her risk tolerance is listed as conservative. She has no prior experience with securities or annuity products.

In March 2023, advisor Derek Hartwell, who works for a dual-registered broker-dealer and insurance agency, visited Mrs. Olsen at her home after she called the firm about getting a better return on her savings account. During the visit, Karen was not present. Hartwell recommended that Mrs. Olsen liquidate her \$410,000 savings account and invest the entire amount into a variable annuity with a guaranteed minimum income benefit rider. The product carried a mortality and expense charge of 1.40%, an administrative fee of 0.15%, underlying subaccount expenses averaging 0.95%, and the income rider fee of 1.10%, bringing total annual costs to approximately 3.60%. The annuity had a seven-year surrender charge schedule beginning at 8% in year one and declining by one percentage point per year. The product allowed a 10% free withdrawal annually without penalty.

Hartwell told Mrs. Olsen the product would "protect her principal while giving her stock market growth" and that she could "access her money whenever she needed it." He did not discuss the surrender charges in detail, nor did he explain how the subaccount values could decline. He allocated the annuity 60% to equity subaccounts and 40% to a bond subaccount. He did not discuss any alternative products, such as fixed annuities, fixed indexed annuities, Treasury securities, or CDs with higher yields. He did not document any consideration of Mrs. Olsen's liquidity needs, her health status, her cognitive condition, or whether the lengthy surrender period was appropriate given her age of 81. Hartwell earned a commission of \$24,600 (6% of the premium) on the sale.

Within five months, Mrs. Olsen needed \$65,000 to pay for an unexpected assisted-living deposit and first three months of care after a fall. Because only \$41,000 (10% of the contract value) was available without surrender charges, she was forced to withdraw an additional \$24,000 and incurred a surrender penalty of approximately \$1,920. Additionally, the equity subaccounts had declined 7.2% during that period due to market volatility, reducing her contract value to approximately \$380,500 before the withdrawal. Karen filed a complaint with the state insurance department and the advisor's broker-dealer, alleging that her mother was placed in an unsuitable product that tied up virtually all of her liquid assets in a long-term, high-cost investment she did not understand.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hartwell committed multiple violations of applicable suitability and best-interest standards.

****FINRA Rule 2330 (Variable Annuity Suitability):**** This rule requires that prior to recommending a variable annuity, a registered representative must have a reasonable basis to believe that the customer has been informed of the product's features, including surrender charges, potential tax penalties, mortality and expense charges, subaccount fees, rider costs, and market risk. Hartwell failed to adequately disclose the surrender charge schedule and downplayed the liquidity constraints by telling Mrs. Olsen she could 'access her money whenever she needed it,' which was materially misleading given the 8% first-year surrender penalty and the 10% annual free-withdrawal limitation. Rule 2330 also requires that the representative determine the customer would benefit from certain features of the VA, such as tax-deferred growth, annuitization, or a death benefit. For an 81-year-old conservative investor with no securities experience, the tax-deferral benefit is minimal (she was unlikely to benefit from long-term compounding), and the seven-year surrender period extends to age 88, making liquidity access problematic during a period of life when healthcare costs frequently escalate.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** The revised Model 275 imposes a best-interest standard on insurance producers recommending annuity products. The producer must act in the consumer's best interest at the time of the recommendation without placing the producer's financial interest ahead of the consumer's interest. Hartwell's \$24,600 commission created a significant financial incentive, and there is no evidence he considered lower-cost alternatives such as fixed annuities, fixed indexed annuities with shorter surrender periods, Treasury securities, or high-yield CDs--all of which would have been more consistent with Mrs. Olsen's stated objectives of capital preservation and income. Model 275 also requires the producer to consider the consumer's age, liquidity needs, financial situation, existing assets, risk tolerance, and investment time horizon. Placing 100% of a client's liquid savings into a single illiquid product with a seven-year lockup for an 81-year-old with known cognitive decline and conservative objectives fails every element of this analysis.

****New York Regulation 187:**** Because Mrs. Olsen resides in New York, the transaction is also subject to NY Reg 187, which requires that recommendations be in the best interest of the consumer at the time of the transaction, considering the consumer's expressed needs, financial situation, and suitability profile. Reg 187 places an affirmative duty on the producer to document the basis for the recommendation. Hartwell failed to document any consideration of Mrs. Olsen's liquidity needs, health status, cognitive condition, or alternative products. Under Reg 187, the absence of such documentation itself constitutes a violation.

****Regulation Best Interest (Rule 15l-1):**** As a registered representative of a broker-dealer, Hartwell is also subject to Reg BI. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill to understand the risks, costs, and rewards of the recommendation, and to have a reasonable basis to believe the recommendation is in the customer's best interest considering the customer's investment profile. The Disclosure Obligation requires full and fair disclosure of all material facts relating to conflicts of interest, including compensation. Hartwell failed to disclose or meaningfully explain the total annual cost of approximately 3.60%, the surrender charge implications, or the market risk of the 60% equity allocation. The Conflict of Interest Obligation required his firm to have policies reasonably designed to mitigate the conflict created by his \$24,600 commission; recommending the most expensive product without considering alternatives suggests those policies were either absent or not followed.

****Specific Violations:****

1. Concentration of 100% of liquid assets in a single illiquid variable annuity for an 81-year-old with conservative objectives and known cognitive decline.
2. Failure to consider or document the client's liquidity needs, health status, and life expectancy relative to the seven-year surrender period.
3. Materially misleading statements about liquidity access and principal protection.
4. Failure to consider or recommend less costly, more suitable alternatives.
5. Inappropriate asset allocation (60% equity) for a conservative, elderly investor seeking capital preservation.
6. Failure to ensure a trusted contact or family member was present given knowledge of cognitive decline.

7. Failure to document the basis for the recommendation as required under NY Reg 187 and firm supervisory procedures.

****Likely Regulatory Outcome:**** Hartwell faces potential sanctions from multiple regulators. FINRA could impose fines, disgorgement of the \$24,600 commission, restitution to Mrs. Olsen for surrender charges and losses, and a suspension or bar. The New York Department of Financial Services could revoke or suspend his insurance license for violations of Reg 187. His broker-dealer may face supervisory failure charges under FINRA Rule 3110 for inadequate review of the variable annuity transaction, particularly given the customer's age and the concentration of assets. The SEC or a state securities regulator could pursue action under Reg BI. GAO reports and academic studies on VA mis-selling have consistently identified transactions like this--high-cost VAs sold to elderly, unsophisticated investors with conservative objectives--as a primary pattern of unsuitable sales.

Item 243 of 350**NON-COMPLIANT****Topic:** high_fees_unsuitable**Difficulty:** medium**Source:** 24_Variable_Annuities**Fact Pattern**

Margaret Olsen, age 74, is a retired elementary school teacher living in Albany, New York. She has a modest retirement income consisting of a \$2,100 monthly pension and \$1,400 per month in Social Security benefits, totaling \$42,000 annually. Her total liquid savings amount to approximately \$185,000, held primarily in bank certificates of deposit and a small balanced mutual fund. She has no other significant assets beyond her home, which is fully paid off and valued at approximately \$210,000. Margaret has no dependents; her husband passed away three years ago. She describes herself as very conservative with money and has told her advisor, Kevin Bascombe, on multiple occasions that her primary goals are capital preservation, maintaining easy access to her savings for potential medical expenses, and leaving a modest inheritance to her two grandchildren. She has mild cognitive decline noted by her family but has not been declared legally incapacitated.

In March 2023, Kevin recommended that Margaret move \$155,000 -- roughly 84% of her liquid assets -- out of her CDs and mutual fund and into a variable annuity with a guaranteed lifetime withdrawal benefit (GLWB) rider. The product Kevin recommended was the Pinnacle Growth & Protection VA, issued by Great Northern Life Insurance Company. The annuity carried total annual fees of 3.45%, broken down as follows: mortality and expense risk charge of 1.30%, administrative fees of 0.15%, underlying sub-account fund expenses averaging 0.85%, and the GLWB rider fee of 1.15%. The product also imposed a seven-year declining surrender charge schedule starting at 8% in year one and declining by 1% per year. There was no upfront sales charge, but Kevin received a 6.5% commission on the sale, totaling \$10,075.

Kevin allocated Margaret's sub-accounts as follows: 40% to an aggressive growth equity fund, 30% to an international equity fund, 15% to a high-yield bond fund, and 15% to a balanced fund. When Margaret's daughter, Patricia, later reviewed the paperwork, she noted that the new account application listed Margaret's risk tolerance as 'moderate-aggressive' and her investment objective as 'growth,' neither of which aligned with anything Margaret had ever expressed. Patricia also discovered that the surrender charges would effectively lock up her mother's savings until Margaret was 81 years old, severely limiting access to funds that Margaret might need for assisted living or medical costs.

Kevin did not document any analysis of why the variable annuity was preferable to Margaret's existing CD and mutual fund portfolio. He did not compare the recommended product to lower-cost alternatives such as fixed annuities, immediate annuities, or no-load variable annuities. He did not discuss the surrender charge implications in detail with Margaret or note the potential impact of the 3.45% annual fee drag on her portfolio, which would amount to approximately \$5,348 in the first year alone. Kevin also did not consult with Margaret's daughter or any other family member before making the recommendation, despite Margaret having mentioned that Patricia helps her with financial decisions. There is no record in Kevin's notes of any discussion about Margaret's cognitive health or whether a less complex, lower-cost product might better serve her stated needs.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Bascombe committed multiple violations of applicable suitability and best-interest standards.

****FINRA Rule 2330 -- Variable Annuity Suitability:****

FINRA Rule 2330 imposes heightened suitability requirements for variable annuity transactions. Under Rule 2330(b), before recommending a variable annuity, a registered representative must have a reasonable basis to believe the transaction is suitable based on the customer's investment profile, including age, income, financial situation, risk tolerance, liquidity needs, investment objectives, and other relevant factors. The rule specifically requires consideration of whether the customer would benefit from the tax-deferred features of a VA, whether the customer has been informed of the surrender charges and their implications, and whether the customer has a long-term investment horizon consistent with the product's liquidity constraints.

Here, Margaret is 74 years old, extremely conservative, income-dependent, and needs liquidity for potential medical expenses. The seven-year surrender period would lock her funds until age 81, directly contradicting her stated liquidity needs. The 3.45% total annual fee is exceptionally high for a conservative investor and would significantly erode her principal over time. Kevin failed to document any analysis of why this VA was more suitable than Margaret's existing low-cost, liquid holdings. The aggressive sub-account allocation (70% equities including international and aggressive growth) directly contradicts her conservative risk tolerance and capital preservation objectives. The falsification of Margaret's risk tolerance as 'moderate-aggressive' and her objective as 'growth' on the application constitutes a serious additional violation, as it misrepresents the customer's profile.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):****

The NAIC Model Regulation 275, as revised in 2020, requires that producers act in the consumer's best interest when recommending annuity products. Section 6 of the model regulation requires that the recommendation be based on an evaluation of the consumer's financial situation, insurance needs, financial objectives, and that there be a reasonable basis to believe the consumer has been informed of and understands the product features including surrender charges, fees, and potential limitations on liquidity. The producer must also consider reasonably available alternatives. Kevin conducted no documented comparative analysis and failed to consider lower-cost fixed annuities or immediate annuities that would have better matched Margaret's income and preservation goals.

****New York Regulation 187 -- Best Interest Standard:****

Because Margaret resides in New York, NY Regulation 187 applies. This regulation requires that annuity recommendations be in the best interest of the consumer at the time the recommendation is made, without placing the producer's financial interest ahead of the consumer's interest. The 6.5% (\$10,075) commission created a significant financial incentive that, absent documented justification, suggests the recommendation was driven by the producer's compensation rather than the client's needs. Regulation 187 also requires that the producer consider the consumer's existing insurance and financial products before recommending a replacement. Kevin recommended liquidating Margaret's existing low-cost, liquid holdings without any documented justification for why the VA was superior to her current portfolio.

****Reg BI (Regulation Best Interest) -- Rule 15l-1:****

If Kevin was acting in a broker-dealer capacity, SEC Regulation Best Interest (Rule 15l-1) under the Exchange Act also applies. The Care Obligation requires that the broker exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. The Disclosure Obligation requires clear disclosure of all material facts, including conflicts of interest related to compensation. The Conflict of Interest Obligation requires policies to identify, disclose, and mitigate or eliminate conflicts. Kevin's receipt of a \$10,075 commission -- combined with no documented analysis, falsified risk tolerance, and a product plainly ill-suited for the customer -- constitutes a clear violation of all three component obligations.

****Additional Concerns:****

The indication of mild cognitive decline raises serious concerns about whether Margaret had the capacity to understand the complex features of the VA and GLWB rider. Kevin's failure to involve Patricia, whom Margaret identified as her financial decision-making helper, further compounds the suitability concerns. The GAO has specifically noted in its 2012 report (GAO-13-75) that VA/GLWB products carry complexity and risks that may not be appropriate for all consumers, particularly those who need near-term liquidity.

****Likely Regulatory Outcome:****

Kevin would likely face enforcement action from FINRA for violation of Rule 2330 and the general suitability requirements, as well as potential action by the New York Department of Financial Services under Regulation 187. Sanctions could include fines, disgorgement of the commission, restitution to Margaret, suspension, or barment from the industry. The falsification of Margaret's risk profile on the application could also give rise to additional charges of falsifying books and records. The broker-dealer firm could face supervisory liability if it approved the transaction without adequate review, particularly given the red flags presented by Margaret's age, account concentration, and the magnitude of the surrender charges relative to her liquidity needs.

Item 244 of 350**NON-COMPLIANT**

Topic: illiquid_investments

Difficulty: hard

Source: 24_Variable_Annuities

Fact Pattern

Margaret Thornton, age 71, is a retired school librarian living in Tallahassee, Florida. She receives \$2,100 per month in Social Security and a \$1,400 monthly pension from the state retirement system. Her total liquid assets consist of \$185,000 in a bank money market account, \$42,000 in a traditional IRA invested in short-term Treasury bills, and \$18,000 in a checking account used for daily expenses. She owns her home outright, valued at approximately \$210,000. Margaret has no long-term care insurance and has expressed concern to her advisor, Daniel Reeves, about potential future nursing home costs and maintaining access to her savings for medical emergencies. She describes herself as conservative and says she cannot afford to lose principal. Her investment objective, as documented on her account application, is "capital preservation and income."

In March 2023, Daniel recommended that Margaret move \$160,000 from her money market account into a variable annuity with a guaranteed minimum income benefit rider. The product carried a mortality and expense charge of 1.35%, an administrative fee of 0.15%, underlying sub-account expense ratios averaging 0.87%, and the income rider carried an additional annual charge of 1.10%, bringing total annual costs to approximately 3.47%. The annuity imposed a seven-year declining surrender charge schedule starting at 8% in year one and declining by 1% per year. Daniel allocated the funds across four sub-accounts: 40% in a mid-cap growth fund, 25% in an international equity fund, 20% in a high-yield bond fund, and 15% in a balanced fund. The product's prospectus noted that the guaranteed income benefit would not begin payments until the contract had been in force for at least 10 years, at which point Margaret would be 81.

Daniel earned a commission of \$9,600 on the sale. He did not document any comparison of alternative products, nor did he note any analysis of Margaret's liquidity needs. His file contained a brief note stating, "Client wants guaranteed income -- VA with GMIB rider is the best fit." Margaret was not informed that the surrender charges could consume a significant portion of her investment if she needed to access funds for a medical emergency. Six months later, Margaret was diagnosed with early-stage dementia and her daughter attempted to withdraw \$80,000 to pay for an assisted living facility. The surrender charge on the withdrawal was \$6,400, and the sub-accounts had declined 7.2% in value due to equity market volatility, resulting in Margaret receiving approximately \$67,840 -- a total loss of over \$12,000 from her original investment. Margaret's daughter filed a complaint alleging that the annuity was completely unsuitable for her mother's circumstances.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Daniel Reeves committed multiple violations of applicable suitability and best-interest standards.

****FINRA Rule 2330 -- Variable Annuity Suitability:****

FINRA Rule 2330 requires that before recommending a variable annuity, the registered representative must make reasonable efforts to obtain the customer's financial profile, including age, income, net worth, liquid net worth,

investment objectives, risk tolerance, tax status, and liquidity needs. The rule further requires that the representative have a reasonable basis to believe that the customer would benefit from certain features of the variable annuity, such as tax-deferred growth, annuitization, or a death benefit. Here, Margaret's documented investment objective was capital preservation and income, she was 71 years old, had limited liquid assets, no long-term care insurance, and expressed concern about emergency access to her funds. The seven-year surrender period, the 10-year wait for the GMIB rider to activate (when she would be 81), the total annual fees of 3.47%, and the aggressive equity-heavy sub-account allocation are all fundamentally inconsistent with her profile. The recommendation fails the Rule 2330(b) reasonable-basis suitability requirement and the customer-specific suitability requirement.

****NAIC Model Regulation 275 -- Suitability in Annuity Transactions:****

Model Regulation 275, as adopted in Florida, requires producers to have reasonable grounds for believing that an annuity recommendation is suitable based on the consumer's financial situation, insurance needs, and stated objectives. Section 6 of Model 275 requires documentation of the basis for the recommendation, consideration of whether the consumer would benefit from the product's features, the consumer's existing assets and liquidity, the potential surrender charges, and the consumer's willingness to accept risk. Daniel's file contained no meaningful analysis of alternatives, no liquidity-need assessment, and no documentation of how the product's features matched Margaret's needs. The concentration of 86% of her liquid assets in a single illiquid product with a seven-year surrender schedule directly contravenes the consumer-protection intent of Model 275.

****New York Regulation 187 (Best Interest Standard):****

While Margaret resides in Florida, NY Reg 187 is instructive as an evolving standard. Under Reg 187, producers must act in the best interest of the consumer and must consider reasonably available alternatives. The recommendation here would clearly fail such a standard, as the product's illiquidity, high costs, and aggressive allocation were antithetical to the client's needs.

****SEC Regulation Best Interest (Reg BI), Rule 15l-1:****

If Daniel is a registered representative of a broker-dealer, Reg BI's Care Obligation under Rule 15l-1(a)(2)(ii)(B) requires that the representative exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile including age, financial situation, liquidity needs, risk tolerance, and investment objectives. The advisor must consider reasonably available alternatives. Reg BI's Disclosure Obligation also required Daniel to provide full and fair disclosure of all material facts, including surrender charges and the risk of loss in the sub-accounts. The failure to explain the surrender charge impact and the mismatch between a 10-year GMIB activation period and a 71-year-old client's time horizon violates the Care Obligation. The lack of alternative product comparison documentation violates the Compliance Obligation, which requires broker-dealers to establish policies and procedures to achieve compliance.

****Specific Violations Summary:****

1. ****Concentration/Illiquidity:**** Placing approximately 86% (\$160,000 of \$185,000) of the client's liquid savings in a product with a seven-year surrender schedule, when the client had no long-term care insurance and expressed concern about emergency medical access, created an unreasonable illiquidity risk.
2. ****Unsuitable Asset Allocation:**** Allocating 65% to equity sub-accounts (mid-cap growth + international equity) and 20% to high-yield bonds for a 71-year-old conservative investor seeking capital preservation is inconsistent with her risk tolerance and objectives.
3. ****Excessive Costs:**** Annual all-in costs of 3.47% are difficult to justify for a capital-preservation client, particularly when lower-cost alternatives (e.g., immediate annuities, Treasury ladders, or low-cost balanced funds) were available.
4. ****Time Horizon Mismatch:**** The GMIB rider would not activate until Margaret was 81 -- an unreasonable delay for a retiree with current income needs and health concerns.
5. ****Inadequate Documentation:**** Daniel's file contained no evidence of a reasonable alternatives analysis, no liquidity-need assessment, and only a conclusory statement about guaranteed income.
6. ****Failure to Disclose Material Risks:**** Margaret was not informed of the practical impact of surrender charges in an

emergency, constituting a disclosure failure under both FINRA and Reg BI frameworks.

****Likely Regulatory Outcome:****

Daniel faces potential FINRA disciplinary action including fines, disgorgement of the \$9,600 commission, suspension, and possible restitution to Margaret. The Florida Office of Insurance Regulation could pursue action under the state's adoption of NAIC Model 275, including revocation or suspension of his insurance license. If arbitration is pursued, the panel would likely award compensatory damages reflecting the surrender charges, market losses attributable to the unsuitable allocation, and potentially consequential damages. A pattern of similar sales could trigger heightened sanctions including a bar from the industry.

Item 245 of 350

NON-COMPLIANT

Topic: failure_to_know_customer

Difficulty: hard

Source: 24_Variable_Annuities

Fact Pattern

In March 2024, financial advisor Derek Holton met with Margaret and Leonard Stengel, a married couple ages 71 and 74 respectively, at a dinner seminar hosted at a steakhouse in Scottsdale, Arizona. The seminar was marketed as a 'Retirement Income Protection Workshop.' After the seminar, Derek scheduled a follow-up meeting at his office the following week. During the 45-minute office meeting, Derek collected the couple's names, ages, address, and the approximate value of their investment accounts -- roughly \$620,000 in total, split between a jointly held brokerage account (\$180,000), Margaret's traditional IRA (\$290,000), and Leonard's rollover IRA (\$150,000). Derek noted on his internal worksheet that their combined Social Security income was approximately \$4,800 per month and that Leonard received a small pension of \$1,100 per month. Derek did not ask about their monthly living expenses, existing health conditions, prescription drug costs, long-term care needs, other insurance policies, tax bracket, estate planning goals, beneficiary designations on existing accounts, or whether either spouse had been diagnosed with any serious illness. He did not inquire about their investment experience beyond Margaret mentioning they had 'some mutual funds for years.' He did not ask about their liquidity needs or whether they anticipated any large expenditures such as home repairs, vehicle purchases, or helping family members financially. Leonard mentioned briefly that he had 'a little trouble with his memory lately,' but Derek did not follow up or document this comment. Derek recommended that Margaret liquidate her entire \$290,000 traditional IRA and invest the proceeds into a variable annuity issued by National Horizon Life Insurance Company -- the 'Horizon Growth & Income VA' -- with an optional guaranteed minimum withdrawal benefit rider costing an additional 1.15% annually on top of the contract's base mortality and expense charge of 1.40% and an administrative fee of 0.15%. The underlying sub-account options Derek selected included an aggressive growth equity portfolio (40%), an international equity fund (30%), and a balanced allocation fund (30%), for a blended estimated annual sub-account expense of 0.92%. The total all-in annual cost of the annuity was approximately 3.62%. The contract carried a seven-year surrender charge schedule starting at 8% in the first year and declining by 1% per year. Derek completed the application in Margaret's name only and listed her investment objective as 'growth' and her risk tolerance as 'moderate-aggressive.' He did not present any alternative products, did not compare the costs of the VA with lower-cost alternatives such as a diversified portfolio of index funds or a fixed indexed annuity, and did not discuss the tax implications of holding a traditional IRA inside a variable annuity, which would layer annuity taxation on top of already tax-deferred IRA assets without providing any additional tax benefit. The application was processed and funded within ten days. Five months later, in August 2024, Leonard was diagnosed with early-stage Alzheimer's disease, and the couple needed to access \$45,000 from their savings to modify their home for accessibility. Margaret attempted to withdraw from the annuity and was informed she would face a \$3,600 surrender charge plus a potential market value adjustment. The couple's daughter, a CPA, reviewed the paperwork and filed a complaint with the state insurance department, alleging that the advisor failed to gather essential information about her parents' financial situation before making such a significant recommendation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Holton committed multiple serious violations rooted in a fundamental failure to know his customer, which

undermined every downstream aspect of his recommendation.

****Failure to Gather Adequate Customer Profile Information:****

Under FINRA Rule 2330(b)(1), before recommending a variable annuity purchase, a registered representative must make reasonable efforts to obtain, at minimum, the customer's age, annual income, financial situation and needs, investment experience, investment objectives, intended use of the annuity, existing assets (including other insurance and annuity holdings), liquidity needs, liquid net worth, risk tolerance, and tax status. Derek gathered only the most superficial data points -- names, ages, account balances, and income sources. He failed to ascertain monthly living expenses, health conditions, liquidity requirements, tax bracket, existing insurance, estate planning considerations, investment experience in any meaningful detail, or the couple's actual risk tolerance through any validated method. Leonard's offhand comment about memory difficulties -- a potential red flag for diminished capacity -- was neither explored nor documented. This alone constitutes a clear violation of the know-your-customer requirements embedded in FINRA Rule 2330.

The NAIC Model Regulation 275, adopted in substantially similar form by Arizona, requires that an insurance producer, prior to the recommendation of an annuity, gather comprehensive suitability information including the consumer's financial situation, insurance needs, financial objectives, and the intended use of the product. The regulation explicitly states that the recommendation must be based on the consumer's suitability profile. Derek's cursory information-gathering fell far short of this standard.

New York Regulation 187, though directly applicable only in New York, reflects the broader industry trend toward a best-interest standard for annuity transactions and illustrates the type of comprehensive analysis expected -- including consideration of reasonably available alternatives. Derek's failure to consider or present alternatives is a further deficiency.

Under SEC Regulation Best Interest (Rule 15l-1), applicable to Derek as a broker-dealer representative, the Care Obligation requires that the advisor exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of the recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest. Without a complete customer profile, Derek had no reasonable basis for any recommendation whatsoever.

****Substantive Unsuitability of the Recommendation:****

Even setting aside the information-gathering failures, the recommendation itself was problematic on multiple fronts:

1. ****Tax Inefficiency:**** Placing a traditional IRA inside a variable annuity provides no incremental tax deferral benefit, since IRA assets are already tax-deferred. This is a well-documented concern flagged in GAO reports and academic studies on VA mis-selling, and it is specifically identified as a red flag in FINRA Rule 2330(b)(1)(A)(ii).
2. ****Excessive Cost:**** Total annual expenses of approximately 3.62% are extraordinarily high for a 71-year-old retiree, especially when lower-cost alternatives could have achieved similar objectives.
3. ****Liquidity Constraints:**** A seven-year surrender period beginning at 8% is inappropriate for a couple in their early 70s with no documented emergency fund analysis and foreseeable health-related and home-modification expenses.
4. ****Risk Tolerance Mismatch:**** Listing Margaret's risk tolerance as 'moderate-aggressive' and selecting 70% equity-heavy sub-accounts (including 30% international) for a 71-year-old retiree is unsupported by any documented risk assessment.
5. ****Concentration Risk:**** Investing \$290,000 -- nearly 47% of the couple's total assets -- into a single illiquid product is excessive concentration.

****Leonard's Potential Diminished Capacity:****

Although Margaret was the named annuitant, the couple's finances were clearly intertwined. Derek's failure to follow up on Leonard's memory comment raises concerns under both firm supervisory obligations and elder investor protection guidelines.

****Likely Regulatory Outcome:****

The state insurance department complaint will likely result in an investigation. Probable outcomes include an order to rescind the annuity contract and restore Margaret's IRA, restitution for any surrender charges and losses incurred, a fine against the advisor and potentially the supervising broker-dealer, and possible suspension or revocation of Derek's insurance license. FINRA may independently pursue disciplinary action for violations of Rule 2330 and Regulation BI, including fines, disgorgement, suspension, or a bar from the industry depending on Derek's disciplinary history.

Item 246 of 350**NON-COMPLIANT****Topic:** illiquid_investments**Difficulty:** hard**Source:** 24_Variable_Annuities**Fact Pattern**

Margaret Ostrowski, age 71, is a retired elementary school teacher living in Syracuse, New York, with an annual pension income of \$42,000 and Social Security benefits of \$1,850 per month. Her total liquid assets consist of \$385,000 in a rollover IRA (invested in a diversified mix of bond and balanced mutual funds), a \$60,000 money market account she describes as her 'emergency cushion,' and a \$22,000 checking account. She owns her home outright, valued at approximately \$195,000. Margaret has moderate-to-low risk tolerance and told her advisor, Dale Kressman, that her primary goals are preserving her savings, maintaining access to funds for potential medical expenses (she has a family history of early-onset dementia and has expressed concern about possible long-term care costs within the next five to ten years), and leaving a modest inheritance to her two grandchildren. In March 2023, Dale recommended that Margaret liquidate \$310,000 of her rollover IRA and purchase a variable annuity issued by National Pacific Life with a Guaranteed Minimum Income Benefit (GMIB) rider. The product carried total annual fees of 3.42% (including a 1.35% mortality and expense charge, a 0.95% GMIB rider fee, and underlying subaccount expenses averaging 1.12%). The annuity imposed a seven-year surrender charge schedule starting at 8% in year one, declining by one percentage point per year, with a 10% free withdrawal corridor annually. Dale also recommended Margaret allocate the subaccounts aggressively: 55% in a small-cap growth fund and 25% in an international equity fund, with only 20% in a fixed-income subaccount. Dale documented in his notes that the GMIB rider would 'protect Margaret's downside' and that the aggressive allocation was appropriate because 'the rider eliminates investment risk.' He did not document any discussion of Margaret's liquidity needs, her concerns about potential long-term care expenses, or alternative products such as fixed annuities, fixed indexed annuities, or simply maintaining her existing diversified portfolio. Dale's firm's internal compliance questionnaire flagged the transaction for supervisory review due to the client's age and concentration level, but the supervising principal approved the transaction the same day without requesting additional documentation or contacting Margaret. Dale received a 5.5% commission on the sale, totaling \$17,050. Within fourteen months, Margaret's neurologist recommended she begin exploring assisted living options. When Margaret attempted to withdraw \$125,000 from the annuity to fund a deposit and first-year costs at an assisted living facility, she discovered that only \$31,000 (the 10% free corridor) was available without a surrender penalty. Withdrawing the remaining \$94,000 would trigger a surrender charge of approximately 6%, costing her \$5,640. The subaccounts had also declined 11.2% from the aggressive equity allocation, reducing the account value to approximately \$275,320. Margaret filed a complaint with her state insurance department stating that Dale never explained the surrender charges in the context of her healthcare needs, never discussed how the product would limit her access to a significant portion of her life savings, and never presented alternatives.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, the financial advisor violated multiple applicable standards governing variable annuity recommendations.

****FINRA Rule 2330 - Variable Annuity Suitability:**** Under FINRA Rule 2330, a registered representative recommending the purchase or exchange of a deferred variable annuity must have a reasonable basis to believe that the transaction is

suitable. The rule specifically requires consideration of (a) whether the customer would benefit from certain features of deferred variable annuities such as tax-deferred growth, annuitization, or a death benefit; (b) the customer's age and liquidity needs; (c) the particular annuity as a whole, including rider costs and surrender periods; and (d) whether the customer has had another annuity exchange within the preceding 36 months. Here, Margaret was 71 years old, had explicitly communicated concerns about needing funds for potential long-term care, and had a known family history of dementia. Recommending that she place approximately 80.5% of her IRA assets (\$310,000 of \$385,000) into a product with a seven-year surrender schedule and an 8% initial penalty directly contradicts her stated liquidity needs. The 10% free withdrawal corridor was grossly insufficient relative to foreseeable medical and care expenses.

****NAIC Model Regulation 275 - Suitability in Annuity Transactions:**** Under the revised NAIC Model #275, which New York has adopted in a form at least as stringent through NY Regulation 187, a producer must act in the best interest of the consumer. The producer must consider the consumer's financial situation, insurance needs, financial objectives, and other relevant information. The regulation requires that the recommendation be suitable taking into account the consumer's liquidity needs and existing assets. Dale failed to conduct any documented analysis of how the surrender period interacted with Margaret's foreseeable care needs. His notes contained no liquidity analysis, no discussion of alternatives, and no explanation of why the GMIB rider (which requires annuitization and typically has a lengthy waiting period before exercise) served Margaret's stated goal of asset preservation and accessibility.

****NY Regulation 187 - Best Interest Standard:**** Because Margaret resides in New York, NY Reg 187 applies. This regulation requires that the recommendation must be in the best interest of the consumer, considering the consumer's financial needs and objectives as identified by the consumer and through reasonable inquiry. It prohibits placing the producer's financial interest ahead of the consumer's interest. Dale's 5.5% commission (\$17,050) creates an inference that financial motivation influenced the recommendation, especially given the absence of any documented consideration of lower-cost or more liquid alternatives (e.g., retaining the existing balanced portfolio, purchasing a fixed annuity with shorter or no surrender periods, or a combination product with long-term care features).

****Reg BI (Rule 15l-1) - Care Obligation:**** If Dale is a broker-dealer associated person (which is likely given his FINRA registration and commission structure), Regulation Best Interest also applies to this recommendation. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in making a recommendation, to understand the potential risks, rewards, and costs of the recommendation, to have a reasonable basis to believe the recommendation is in the customer's best interest considering the customer's investment profile, and to consider reasonably available alternatives. Dale's aggressive subaccount allocation (80% equities for a 71-year-old conservative investor) was rationalized solely by the GMIB rider, which does not eliminate investment risk -- it merely provides a floor income benefit typically available only through annuitization after a waiting period (often 10 years). This rationale demonstrates a fundamental misunderstanding or misrepresentation of the product.

****Supervisory Failures:**** The supervising principal's same-day approval without requesting additional documentation or contacting Margaret -- despite the internal compliance flag -- constitutes a supervisory failure under FINRA rules regarding supervision (FINRA Rules 3110 and 3120). The firm's supervisory system failed to function as designed.

****Specific Violations Summary:****

1. Concentration of approximately 80% of IRA assets in a single illiquid product for a 71-year-old with known healthcare liquidity needs.
2. Failure to document or meaningfully consider the customer's liquidity needs, time horizon, and risk tolerance.
3. Aggressive subaccount allocation inconsistent with the customer's moderate-to-low risk tolerance and age.
4. Failure to consider or present reasonably available alternatives.
5. Misleading characterization that the GMIB rider 'eliminates investment risk.'
6. Inadequate supervisory review despite internal compliance flags.

****Likely Regulatory Outcome:**** Margaret's complaint to the New York Department of Financial Services would likely

trigger an investigation under NY Reg 187. The advisor faces potential sanctions including fines, disgorgement of commissions, suspension or revocation of insurance license, and FINRA disciplinary action. The firm faces potential liability for supervisory failures. Margaret would likely be entitled to rescission or compensatory damages covering surrender charges, investment losses attributable to the unsuitable allocation, and potentially consequential damages related to impaired access to funds needed for care.

Item 247 of 350

NON-COMPLIANT

Topic: annuity_unnecessary_switching

Difficulty: medium

Source: 24_Variable_Annuities

Fact Pattern

Margaret Thornton, age 63, is a retired school librarian living in Rochester, New York. She has a fixed pension of \$42,000 per year, Social Security benefits of \$1,850 per month, and total liquid savings of approximately \$310,000. Her risk tolerance is conservative, and her primary investment objective is capital preservation with modest income supplementation to cover healthcare expenses not covered by her pension. In March 2019, Margaret purchased a variable annuity through her advisor, Dennis Kwan, investing \$185,000 into the Meridian Secure Growth VA, which included a guaranteed minimum income benefit (GMIB) rider. The product carried total annual expenses of 2.85%, including the rider cost of 0.95%, and imposed a seven-year declining surrender charge schedule beginning at 7%. Margaret's GMIB benefit base had grown from \$185,000 to \$197,400 by January 2022 through the rider's guaranteed roll-up rate of 2.25% per year. In February 2022, Dennis contacted Margaret and recommended she surrender the Meridian product and transfer the proceeds into a new variable annuity, the Pinnacle Lifetime Select VA, issued by a different carrier. Dennis told Margaret the new product had 'better fund options' and a 'newer rider design.' The Pinnacle VA carried total annual expenses of 3.10%, including a lifetime withdrawal benefit rider at 1.15%, and imposed a new eight-year surrender charge schedule starting at 8.5%. Margaret paid a surrender charge of \$8,325 (approximately 4.5% on the \$185,000 original investment, reflecting the declining schedule after roughly three years) to exit the Meridian contract. The new Pinnacle contract reset her benefit base to the transferred amount of approximately \$176,675 after the surrender charge, meaning she lost the \$197,400 accumulated GMIB benefit base. Dennis's commission on the new Pinnacle VA sale was \$9,700, whereas he would have earned no further compensation had Margaret remained in the existing Meridian product. Dennis documented the transaction by noting that the new product had 'updated investment subaccounts' but did not perform or retain any written comparative analysis of the old and new riders, did not quantify the surrender charge impact, and did not compare the projected income streams under both contracts. Margaret's account statement from December 2022 shows the Pinnacle VA account value had declined to \$161,200 due to market losses, and her new benefit base stood at \$176,675--approximately \$20,700 less than the benefit base she would have retained under the Meridian contract. Margaret filed a complaint in April 2023 after learning from another advisor that the switch had materially disadvantaged her financially.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dennis Kwan likely violated multiple applicable standards governing variable annuity replacements and exchanges.

1. ****FINRA Rule 2330 (Variable Annuity Suitability):**** Rule 2330 requires that before recommending the purchase or exchange of a deferred variable annuity, a registered representative must have a reasonable basis to believe the transaction is suitable. Specifically, Rule 2330(b)(1)(A) requires consideration of whether the customer would benefit from certain features of a deferred variable annuity, such as tax-deferred growth, annuitization, or a death benefit. For exchanges under Rule 2330(b)(1)(B), the representative must additionally consider: (i) whether the customer would incur a surrender charge or be subject to a new surrender period; (ii) whether the customer would lose existing benefits

such as death benefits, living benefits, or other contract features; (iii) whether the customer would benefit from product enhancements and improvements; and (iv) whether the customer has had another exchange within the preceding 36 months. Dennis failed to adequately weigh these factors. Margaret incurred a \$8,325 surrender charge, lost a \$197,400 GMIB benefit base that was reset to \$176,675, entered a new and longer surrender charge period (eight years vs. the remaining four years), and took on higher annual expenses (3.10% vs. 2.85%). Dennis's only documented rationale--'updated investment subaccounts'--is vague and insufficient to justify these quantifiable disadvantages.

2. ****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** The NAIC Model Regulation, as revised and adopted in many states, requires producers to act in the consumer's best interest when recommending an annuity. Under Section 6 of Model 275, the producer must consider the consumer's existing insurance and annuity products and must have a reasonable basis to conclude that the recommended transaction is in the consumer's best interest. For replacements, the regulation specifically mandates a comparison of benefits, costs, and features of existing and proposed products. Dennis conducted no documented comparative analysis, which constitutes a procedural and substantive violation.

3. ****New York Regulation 187:**** Because Margaret resides in New York, NY Reg 187 applies. Effective February 1, 2020 for annuity transactions, Reg 187 requires that recommendations be in the best interest of the consumer at the time of the transaction, and that the producer's compensation not be a factor that compromises the best-interest standard. Reg 187, Section 224.4, requires the producer to evaluate the consumer's existing annuity, compare riders and benefits, and document the basis for the recommendation. Dennis earned \$9,700 in new commissions--a clear financial incentive--while Margaret suffered quantifiable economic harm. The absence of any comparative analysis and the producer's financial motivation strongly suggest a violation of Reg 187's best-interest standard.

4. ****Regulation Best Interest (Rule 15l-1):**** If Dennis acted in his capacity as a broker-dealer representative, Reg BI's Care Obligation requires that he exercise reasonable diligence, care, and skill to understand the recommended transaction and have a reasonable basis to believe it is in the customer's best interest, considering costs, reasonably available alternatives, and the customer's profile. The Disclosure Obligation requires full and fair disclosure of material conflicts, including compensation. The evidence suggests Dennis failed both obligations: the switch was more costly, eliminated accrued benefits, and was driven at least in part by the commission differential.

****Likely Regulatory Outcome:**** This fact pattern is a classic example of unnecessary variable annuity switching (often called 'churning' or 'twisting' in insurance regulatory parlance). Regulators and arbitration panels would likely find that: (a) the exchange was unsuitable and not in Margaret's best interest; (b) Dennis failed to document a reasonable basis for the recommendation; (c) the financial harm (\$8,325 surrender charge plus \$20,700+ in lost benefit base value) is directly traceable to the switch; and (d) Dennis's compensation incentive created an unaddressed conflict. Probable sanctions include disgorgement of commissions, customer restitution, fines, potential suspension, and enhanced supervisory requirements for Dennis's firm, which also bears supervisory liability under FINRA Rule 3110 for failing to review and approve the exchange.

Item 248 of 350**NON-COMPLIANT****Topic:** senior_investor_exploitation**Difficulty:** medium**Source:** 24_Variable_Annuities**Fact Pattern**

Margaret Kowalski, age 81, is a retired elementary school teacher living in Rochester, New York. She is a widow whose husband passed away in 2019, leaving her with a combined net worth of approximately \$620,000, consisting of \$340,000 in bank CDs and a money market account, \$180,000 in a traditional IRA invested in Treasury bonds, and her home valued at roughly \$100,000. Her sole income sources are Social Security benefits of \$2,100 per month and a small state teacher's pension of \$1,400 per month, giving her annual income of approximately \$42,000. She has modest monthly expenses of about \$3,200, including property taxes, utilities, Medicare supplement premiums, and prescriptions for hypertension and early-stage macular degeneration. She has no long-term care insurance. Her investment experience is limited to CDs and the Treasury bond holdings her late husband set up. She has consistently described herself as conservative and has told multiple professionals over the years that her primary goals are preserving her savings and maintaining liquidity in case she needs home health aides or assisted living.

In March 2022, financial advisor Derek Hannon, who works for a broker-dealer and holds both securities and insurance licenses, was introduced to Margaret through her nephew. During their first meeting at her kitchen table, Margaret explained she was worried about whether her money would last if she needed long-term care. She also mentioned that her largest CD, worth \$210,000, was maturing the following month and she wanted to know where to put it.

Over two meetings in March and April 2022, Hannon recommended that Margaret invest \$200,000 from the maturing CD into a variable annuity issued by a national insurance company. The product had a seven-year surrender period with a declining surrender charge schedule starting at 7% in year one and decreasing by 1% per year. Annual mortality and expense charges were 1.35%, the administrative fee was 0.15%, and the underlying sub-account fund expenses averaged 0.85%, bringing the total annual cost to approximately 2.35%. The product also included an optional guaranteed minimum income benefit rider with an additional annual charge of 0.95%, bringing total all-in annual costs to approximately 3.30% of account value. Hannon allocated 60% of the sub-account investments to an equity growth fund and 25% to an aggressive international equity fund, with only 15% to a bond fund.

Hannon's notes from the meetings state that Margaret wanted 'growth with some guarantees' and that she had a 'moderate' risk tolerance. However, Margaret later told her nephew and her bank advisor that she never used the word 'growth,' that she told Hannon she 'couldn't afford to lose money,' and that she didn't understand most of what was in the paperwork he had her sign. She said Hannon told her the product was 'like a CD but better' and that she could always get her money if she needed it.

By September 2023, the account had declined in value to approximately \$171,000 due to equity market volatility and the cumulative drag of fees. Margaret needed \$45,000 to pay for a home health aide after a fall, and upon calling the insurance company discovered she would owe a surrender charge of approximately 5% on any withdrawal beyond the 10% free withdrawal allowance. She was ultimately able to withdraw only about \$20,000 without penalty and had to liquidate a separate CD early to cover the rest of her care costs.

Hannon earned a gross commission of approximately \$11,200 on the variable annuity sale. His firm's compliance department had flagged the application for supervisory review due to Margaret's age but the branch manager approved

it the same day with a one-line notation: 'Client wants guarantees--rider addresses this.' No documentation of alternative products considered, such as fixed annuities, short-term bond funds, or simply renewing the CD, was included in the file.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, the financial advisor violated applicable suitability and best-interest standards on multiple grounds.

****FINRA Rule 2330 - Variable Annuity Suitability:**** Under FINRA Rule 2330, before recommending the purchase of a variable annuity, a registered representative must make reasonable efforts to obtain comprehensive customer profile information, including age, income, financial situation, investment experience, investment objectives, risk tolerance, tax status, and liquidity needs. The recommendation must then be suitable based on those factors, with specific attention to (a) whether the customer would benefit from the tax-deferred features of a variable annuity, (b) whether the customer has a long enough time horizon to recoup surrender charges and benefit from the product, and (c) whether the customer understands the features, risks, and costs of the product.

Here, Margaret Kowalski was 81 years old with a conservative risk profile, limited investment experience, stated liquidity concerns related to potential long-term care needs, and no apparent need for tax deferral (the funds came from an already after-tax CD). The seven-year surrender period was plainly unsuitable for an 81-year-old with foreseeable near-term liquidity needs. The 85% equity sub-account allocation was inconsistent with her conservative stated objectives and her explicit statement that she 'couldn't afford to lose money.' The all-in annual cost of approximately 3.30% imposed a substantial drag that made meaningful growth unlikely even in favorable markets, particularly given her short effective time horizon.

Rule 2330 also requires that the principal (branch manager) conduct a meaningful review of the transaction before approving it. The one-line notation approving the sale, without any analysis of alternative products, the customer's liquidity profile, or the asset allocation suitability, constitutes a supervisory failure under Rule 2330(c).

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** Under the NAIC Model Regulation, as amended in 2020 and adopted by most states, an insurance producer must act in the best interest of the consumer at the time of the recommendation, must not place their financial interest ahead of the consumer's, and must consider reasonably available alternatives. The producer must evaluate the consumer's existing insurance and financial products, financial situation, objectives, and specifically the consumer's liquidity needs. The recommendation of a product with a seven-year surrender schedule to an 81-year-old with identified near-term liquidity needs for potential long-term care fails this standard. The commission of \$11,200 raises a material conflict of interest that was not mitigated by any documented analysis of lower-cost alternatives such as a fixed annuity, a short-term bond fund, or CD renewal.

****New York Regulation 187:**** Because Margaret resides in New York, Regulation 187 applies. This regulation requires that the recommendation be in the best interest of the consumer, based on an evaluation of the consumer's suitability profile. It explicitly requires consideration of alternatives reasonably available to the producer. There is no documentation in the file that Hannon considered or presented any alternative. The regulation also prohibits a producer from making a recommendation that primarily benefits the producer. Given the high commission, the high ongoing fees, the aggressive asset allocation, and the lack of any documentation of alternatives, this transaction likely violates Regulation 187.

****Regulation Best Interest (Rule 15l-1):**** To the extent this transaction was effected through Hannon's broker-dealer

registration, Reg BI requires that the recommendation be in the retail customer's best interest, considering the customer's investment profile and potential risks, rewards, and costs. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in making the recommendation, including understanding the product and evaluating it against the customer's profile. The Disclosure Obligation requires full and fair disclosure of material conflicts, including compensation. The Conflict of Interest Obligation requires the firm to have policies to identify and mitigate conflicts. The sale of a high-cost, long-surrender, equity-heavy variable annuity to an 81-year-old conservative investor with near-term liquidity needs who did not understand the product fails the Care Obligation. The characterization of the product as 'like a CD but better' represents a material misrepresentation that also violates the Disclosure Obligation.

****Additional concerns:**** The advisor's documentation that Margaret had a 'moderate' risk tolerance and wanted 'growth with some guarantees' appears to be inconsistent with the customer's own statements and overall profile, suggesting potential falsification or inflation of the customer's risk tolerance to justify the sale--a recurring pattern identified in GAO reports and academic studies on variable annuity mis-selling to seniors.

****Likely regulatory outcome:**** This transaction would likely result in disciplinary action against both the advisor and the supervising principal. Remedies could include disgorgement of commissions, restitution to the customer for losses and surrender charges incurred, fines, suspension or bar of the advisor, and potential censure or fines against the firm for supervisory failures. State insurance regulators could also pursue separate action for violations of the applicable state annuity suitability or best-interest regulation.

Item 249 of 350

NON-COMPLIANT

Topic: illiquid_investments

Difficulty: hard

Source: 24_Variable_Annuities

Fact Pattern

Margaret Kowalski is a 71-year-old retired schoolteacher living in Syracuse, New York. She receives \$2,400 per month from her state pension and \$1,870 per month in Social Security benefits. Her total liquid assets consist of \$185,000 in a money market account and \$62,000 in a traditional IRA holding short-term Treasury bills. She has no other investments and owns her home outright, valued at approximately \$210,000. Margaret has described herself as very conservative, stating that her primary financial goal is preserving her savings so she can cover potential long-term care costs for herself and assist her disabled adult son, who lives in a group home and may need supplemental financial support if state funding is reduced. She told her advisor, Daniel Ferreira, that she might need access to a significant portion of her savings within two to three years if her son's care situation changes. Daniel has been Margaret's insurance agent for four years and also holds a securities license through a regional broker-dealer. In March 2023, Daniel recommended that Margaret move \$155,000 from her money market account into a variable annuity issued by National Pacific Life. The product features a seven-year surrender charge schedule starting at 8% in year one and declining by 1% per year, a mortality and expense charge of 1.35% annually, an administrative fee of \$45 per quarter, and underlying sub-account investment management fees averaging 0.92%. Daniel also recommended she add a Guaranteed Minimum Income Benefit rider at an additional annual cost of 0.95% of the benefit base. The total annual cost structure on the product was approximately 3.22% before any sub-account transaction costs. Daniel allocated 60% of the funds into an aggressive growth equity sub-account and 25% into an international small-cap equity sub-account, with only 15% in a bond sub-account. Daniel's commission on the sale was \$10,850, which was the highest commission tier available for the product. He documented Margaret's risk tolerance as 'moderate growth' on the application and listed her investment objective as 'long-term accumulation.' He did not document Margaret's statements about needing liquidity within two to three years, nor did he reference her son's care needs. He did not present any alternative products, such as shorter-surrender-period annuities, fixed annuities, or non-annuity investment options. The annuity contract permits free withdrawals of up to 10% of the account value per year without surrender charges, but any withdrawals beyond that threshold during the surrender period would trigger the full applicable surrender charge. Fourteen months after the purchase, in May 2024, Margaret's son's group home lost its state contract, and Margaret needed to withdraw \$80,000 to transition him to a private facility. The account value had declined to \$141,200 due to equity market losses in the sub-accounts. After the 10% free withdrawal allowance (\$14,120), the remaining \$65,880 withdrawal was subject to a 7% surrender charge of \$4,611.60. Margaret also faced ordinary income tax on the earnings portion and a potential early-withdrawal situation on the gain. She filed a complaint with her state insurance department and her advisor's broker-dealer.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Daniel Ferreira committed multiple serious violations of applicable suitability and best-interest standards.

1. ****FINRA Rule 2330 - Variable Annuity Suitability****: Rule 2330 requires that before recommending a variable annuity, a registered representative must make reasonable efforts to obtain the customer's financial status, tax status,

investment objectives, liquidity needs, risk tolerance, and other relevant information. Daniel failed to document Margaret's stated need for liquidity within two to three years and her concern about funding her disabled son's care. The rule further requires that the representative have a reasonable basis to believe the transaction is suitable based on the information gathered. Placing 83.8% (\$155,000 of \$185,000) of a 71-year-old conservative retiree's liquid savings into a seven-year surrender-charge variable annuity with aggressive equity sub-accounts directly contradicts her stated conservative profile, near-term liquidity needs, and capital preservation objectives. The product's 10% annual free-withdrawal provision was grossly insufficient to cover the foreseeable large liquidity event Margaret described.

2. ****NAIC Model Regulation 275 - Suitability in Annuity Transactions****: Under Model 275, as adopted and enhanced in New York, the producer must have a reasonable basis to believe the annuity is suitable based on the consumer's age, financial situation, insurance needs, investment objectives, liquidity needs, and intended use of the annuity. Margaret's profile--age 71, conservative, dependent on liquid savings for potential care costs, stated two-to-three-year liquidity horizon--is fundamentally mismatched with a long-surrender, high-cost variable annuity invested in aggressive equity sub-accounts. The regulation also requires consideration of whether the consumer would benefit from certain features of the annuity, such as tax deferral. Given Margaret's modest income and existing tax-advantaged IRA, the incremental tax-deferral benefit of the VA was minimal and did not justify the illiquidity and cost.

3. ****NY Regulation 187 - Best Interest Standard****: New York's Regulation 187 imposes a best-interest standard on annuity recommendations made to New York consumers. It requires that the recommendation be in the consumer's best interest at the time of the transaction, considering known and reasonably foreseeable needs. Daniel's recommendation fails this standard on multiple grounds: (a) the aggressive asset allocation was inconsistent with Margaret's conservative risk tolerance and age; (b) the seven-year surrender period created severe illiquidity risk given her stated near-term needs; (c) the total annual cost of approximately 3.22% was excessive for a conservative retiree who could have achieved her preservation goals through far less costly alternatives; (d) no reasonable alternatives were considered or documented; and (e) the documented risk tolerance ('moderate growth') and investment objective ('long-term accumulation') appear to have been falsified to justify the sale, which constitutes a separate violation.

4. ****Regulation Best Interest (Rule 15l-1)****: If Daniel's recommendation was made through his broker-dealer capacity, Reg BI's Care Obligation required him to exercise reasonable diligence, care, and skill in making the recommendation, including understanding the risks, costs, and rewards of the variable annuity and having a reasonable basis to believe it was in Margaret's best interest. The Disclosure Obligation required full and fair disclosure of material facts, including all costs and conflicts of interest such as his \$10,850 commission--the highest available tier. The Conflict of Interest Obligation required the broker-dealer to establish policies to identify and mitigate conflicts, including compensation incentives that could lead to recommendations not in the customer's best interest. The record shows Daniel selected the highest-commission product without considering alternatives, a hallmark of a conflict-driven recommendation.

****Additional Concerns****: The apparent falsification of the customer profile on the application (listing 'moderate growth' when the client expressed conservative objectives and near-term liquidity needs) raises issues under FINRA's general supervisory rules and the broker-dealer's obligation to maintain accurate books and records. The broker-dealer's supervisory system under FINRA Rule 2330(c) required a registered principal to review and approve the transaction, considering whether there was a reasonable basis for the recommendation. A functioning supervisory system should have flagged the age/liquidity/risk mismatch.

****Likely Regulatory Outcome****: Margaret's complaint to the New York Department of Financial Services and the broker-dealer would likely result in an investigation. Probable outcomes include: rescission or partial rescission of the transaction; restitution of surrender charges paid and investment losses attributable to the unsuitable allocation; disgorgement of Daniel's commission; fines and potential license suspension or revocation for Daniel; and supervisory deficiency findings against the broker-dealer if its principal failed to conduct adequate review before approving the transaction.

Item 250 of 350

NON-COMPLIANT

Topic: illiquid_investments

Difficulty: hard

Source: 24_Variable_Annuities

Fact Pattern

Margaret Kowalski, age 74, is a retired elementary school teacher living in Buffalo, New York. She receives \$2,800 per month from her state pension and \$1,400 per month from Social Security. Her total liquid assets consist of \$385,000 in a bank money market account and a \$40,000 certificate of deposit maturing in three months. She also owns her home outright, valued at approximately \$210,000. Margaret has no long-term care insurance and has expressed concern to her advisor, Kevin Driscoll, about potential nursing home costs, noting that her older sister recently entered a memory care facility costing \$9,500 per month. Margaret described herself as conservative and said her primary goals were preserving her savings, maintaining access to funds for medical emergencies, and possibly leaving something to her two adult children. She told Kevin she did not want to 'lock anything up' and needed to be able to get to her money quickly.

In March 2023, Kevin recommended that Margaret invest \$310,000 into a variable annuity issued by National Guardian Life with a Guaranteed Minimum Withdrawal Benefit (GMWB) rider. The product carried total annual expenses of 3.45%, consisting of a 1.30% mortality and expense charge, a 1.05% rider fee, and underlying sub-account fund expenses averaging 1.10%. The contract included a seven-year declining surrender charge schedule beginning at 8% in year one and declining by 1% per year. Free withdrawals were limited to 10% of accumulated value per year without a surrender penalty. Kevin also recommended she allocate 70% of the sub-account value to an aggressive growth equity portfolio and 30% to a high-yield bond fund.

Kevin's written notes from the meeting stated that the GMWB rider would 'protect Margaret's principal' and 'guarantee lifetime income.' He recorded her risk tolerance as 'moderate growth' on the new account form, despite her verbal statements to the contrary. Kevin earned a \$17,050 commission on the sale, representing 5.5% of the premium. Margaret's remaining liquid assets after the purchase totaled \$115,000--the \$40,000 CD and \$75,000 left in the money market account.

By November 2023, Margaret's sister's condition had worsened and Margaret began exploring whether she might also need long-term care planning. She contacted Kevin and asked to withdraw \$85,000 to set aside in a dedicated savings account for potential care costs. Kevin informed her that a withdrawal of that size would trigger a surrender charge of approximately \$5,600 on the amount exceeding the 10% free withdrawal allowance. Margaret was upset, stating she had explicitly told Kevin she could not afford to have her money tied up. She filed a complaint with her state insurance department in January 2024, alleging the product was inappropriate and that Kevin misrepresented her risk tolerance and liquidity needs.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Driscoll violated multiple applicable standards governing variable annuity recommendations.

****FINRA Rule 2330 (Variable Annuity Suitability):**** Under Rule 2330, before recommending a variable annuity, a registered representative must make reasonable efforts to obtain the customer's financial profile, including liquid net worth, investment objectives, risk tolerance, time horizon, liquidity needs, and existing insurance coverage. The representative must then have a reasonable basis to believe the recommendation is suitable. Here, Margaret explicitly stated she needed liquidity for potential medical and long-term care expenses, had no long-term care insurance, and described herself as conservative. Placing \$310,000--approximately 80% of her liquid assets--into a product with a seven-year surrender charge schedule directly contradicts her stated liquidity needs and risk tolerance. The 10% annual free-withdrawal provision was wholly inadequate given her foreseeable need for large lump-sum access. The aggressive sub-account allocation (70% aggressive growth equity, 30% high-yield bonds) also conflicts with her conservative profile. Kevin's mischaracterization of her risk tolerance as 'moderate growth' on the application raises additional concerns about falsification of records.

****NAIC Model Regulation 275 (Suitability in Annuity Transactions):**** Under the revised NAIC Model #275, which New York has adopted and enhanced, a producer must act in the consumer's best interest at the time the recommendation is made. The producer must consider the consumer's existing financial situation, insurance needs, financial objectives, liquidity requirements, and risk tolerance. The regulation specifically requires that the transaction as a whole be in the consumer's best interest, not merely suitable in some narrow sense. Concentrating 80% of a 74-year-old retiree's liquid savings in an illiquid product with high surrender charges, when the customer has identified near-term liquidity as essential, fails this standard. The commission of \$17,050 (5.5%) also raises questions about whether the recommendation was driven by compensation rather than the client's needs.

****NY Regulation 187:**** As a New York resident, Margaret's transaction falls under Regulation 187, which imposes a best-interest standard on annuity recommendations. Under Reg 187, the producer must evaluate the consumer's needs and financial objectives and ensure the recommendation reflects the consumer's best interest. The regulation explicitly states that a producer's compensation cannot be the primary motivating factor. Kevin's recommendation failed to account for Margaret's age (74), her lack of long-term care insurance, her explicitly stated need for liquidity, and the foreseeable risk that she would need access to a large portion of her savings within the surrender period. His misrepresentation of her risk tolerance on the application compounds the violation.

****Reg BI (Regulation Best Interest, Rule 15l-1):**** If Kevin is also a registered representative of a broker-dealer (which commission-based VA sales typically require), Regulation Best Interest applies. Under the Care Obligation, Kevin was required to exercise reasonable diligence, care, and skill in making his recommendation, considering the customer's investment profile, ensuring the recommendation was in Margaret's best interest, and evaluating reasonably available alternatives. An annuity with a seven-year surrender schedule, 3.45% total annual costs, and aggressive sub-account allocations is plainly unsuitable for a 74-year-old conservative investor with identified near-term liquidity needs and no long-term care coverage. Under the Disclosure Obligation, Kevin was required to disclose material facts about the recommendation, including the surrender charges and their implications; his characterization that the GMWB would 'protect her principal' was misleading given the surrender charges and market risk in the sub-accounts. The Conflict of Interest Obligation also required policies to mitigate the influence of his \$17,050 commission on his recommendation.

****Likely Regulatory Outcome:**** Kevin faces potential disciplinary action from FINRA, including fines, suspension, or barment. The New York Department of Financial Services may pursue enforcement under Regulation 187, including revocation or suspension of his insurance license. Margaret may be entitled to rescission of the contract or compensatory damages through arbitration or the state insurance department complaint process. Kevin's firm may also face supervisory failure charges under FINRA Rule 3110 if it failed to have adequate procedures to review the suitability of variable annuity transactions before execution, as required by Rule 2330(c). The falsification of Margaret's risk tolerance on the application could also constitute a separate violation of FINRA Rules 4511 (books and records) and 2010 (standards of commercial honor).

Item 251 of 350**NON-COMPLIANT**

Topic: leveraged_etf_unsuitable

Difficulty: medium

Source: 25_Leveraged_Inverse ETFs

Fact Pattern

Margaret Kowalski, age 71, is a retired elementary school teacher living in suburban Philadelphia. She receives \$2,800 per month from her pension and \$1,950 per month from Social Security. Her total liquid savings amount to approximately \$340,000, held in an IRA rollover account. She has no other significant assets aside from her home, which is paid off and valued at roughly \$210,000. Mrs. Kowalski described herself as a conservative investor on her new account form, listing her primary objectives as capital preservation and income generation. She told her advisor, Derek Platt, that she could not afford to lose her savings because it represented her financial safety net for medical expenses and long-term care needs.

In March 2021, Derek Platt recommended that Mrs. Kowalski allocate \$95,000 of her IRA -- approximately 28% of her total portfolio -- into a 3x leveraged bull ETF tracking the semiconductor sector. Platt explained to Mrs. Kowalski that semiconductors were "the future" and that the fund would give her "triple the upside" of the sector. He did not discuss the daily resetting mechanism of the fund, the concept of volatility decay, or the fact that the product was designed for short-term tactical trading rather than buy-and-hold investing. He did not explain that in a choppy or declining market, the compounding of daily returns could cause the fund to lose substantial value even if the underlying index ended relatively flat over several months.

Platt's notes in the firm's CRM system simply read: "Client wants growth. Recommended SOXL for semiconductor exposure." No record was made of any discussion of the leveraged nature of the product, the risks of long-term holding, or any alternative investments that could have provided semiconductor exposure without leverage.

Mrs. Kowalski held the position for fourteen months. During that period, the semiconductor sector experienced significant volatility. The underlying index fell roughly 8% from her purchase date through May 2022, but due to the compounding effects of daily resetting with 3x leverage, the ETF declined approximately 41%. Mrs. Kowalski's \$95,000 position was worth approximately \$56,000 when Platt finally recommended she sell in May 2022, representing a loss of roughly \$39,000. Mrs. Kowalski was deeply distressed and filed a complaint with the firm, stating she was never told the investment could behave this way and that she would never have agreed to risk that much of her retirement savings in a single speculative product.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Platt violated multiple applicable regulatory standards in recommending the 3x leveraged semiconductor ETF to Mrs. Kowalski.

****Regulation Best Interest (Reg BI) -- Rule 15l-1 under the Securities Exchange Act:****

Reg BI requires that a broker-dealer and its associated persons act in the best interest of the retail customer at the time a recommendation is made, without placing the financial or other interest of the broker-dealer ahead of the customer's

interest. The rule encompasses four component obligations: Disclosure, Care, Conflict of Interest, and Compliance.

Under the Care Obligation, Platt was required to exercise reasonable diligence, care, and skill in making the recommendation. This means he needed to understand the product and its risks, consider the customer's investment profile (including age, financial situation, risk tolerance, objectives, and time horizon), and have a reasonable basis to believe the recommendation was in Mrs. Kowalski's best interest. A 3x leveraged daily-resetting ETF is fundamentally unsuitable for a 71-year-old conservative retiree whose primary objectives are capital preservation and income generation and who cannot afford significant losses. The concentration of 28% of her retirement portfolio in a single leveraged sector product further aggravates the unsuitability.

Under the Disclosure Obligation, Platt was required to provide full and fair disclosure of all material facts relating to the recommendation, including the risks of the product. He failed to disclose the daily-resetting mechanism, path dependency, volatility decay, and the product's design for short-term trading.

****FINRA Rule 2111 (Suitability):****

Although Reg BI has largely supplanted the suitability standard for retail customer recommendations, FINRA Rule 2111 remains relevant. It requires that a recommended transaction or investment strategy be suitable for the customer based on the customer's investment profile. The rule encompasses reasonable-basis suitability (understanding the product), customer-specific suitability (matching to the customer's profile), and quantitative suitability. Platt failed on all three fronts. His CRM notes suggest he either did not understand the leveraged product's mechanics or deliberately omitted material information. A 3x leveraged sector ETF held for 14 months is wholly inconsistent with Mrs. Kowalski's conservative profile.

****FINRA Regulatory Notices 09-31 and 22-08:****

FINRA RN 09-31 specifically warned member firms that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets. The notice highlighted that these products can produce returns that deviate dramatically from the stated multiple of the underlying index over longer periods due to the mathematical effects of daily compounding. RN 22-08 reinforced these concerns and reminded firms of their supervisory obligations regarding complex products, including the need for enhanced due diligence, training, and customer-specific suitability analysis before recommending products with non-linear risk-return profiles.

****Complex Products Supervision:****

Firms are expected to have heightened supervisory procedures for complex products, including leveraged ETFs. This includes ensuring that registered representatives understand the products they recommend, that customer accounts are flagged for review when complex products are purchased, and that the holding period of daily-resetting products is monitored. The fact that Mrs. Kowalski held the position for 14 months without any apparent supervisory intervention suggests a systemic failure at the firm level as well.

****Path Dependency and Volatility Decay:****

The losses Mrs. Kowalski experienced are a textbook illustration of why leveraged ETFs are unsuitable for long-term holding. The underlying semiconductor index declined roughly 8%, but the 3x leveraged ETF lost approximately 41% -- far worse than 3x the index loss (which would have been approximately 24%). This disparity is the direct result of volatility decay and the compounding of daily returns in a choppy market, a risk that was never explained to the customer.

****Likely Regulatory Outcome:****

Platt would likely face disciplinary action including fines, disgorgement of commissions, a potential suspension, and mandatory restitution to Mrs. Kowalski. The firm could face supervisory violation charges for failing to implement adequate controls over the sale and monitoring of leveraged ETFs. Mrs. Kowalski would have strong grounds for

recovery of her approximately \$39,000 loss through FINRA arbitration, plus potential consequential damages.

Item 252 of 350**NON-COMPLIANT****Topic:** senior_investor_exploitation**Difficulty:** medium**Source:** 25_Leveraged_Inverse_ETFs**Fact Pattern**

Margaret Holloway, age 78, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,400 per month from her pension and \$1,850 per month from Social Security. Her total liquid net worth is approximately \$340,000, held in an IRA rollover account that constitutes the vast majority of her retirement savings. She has no other significant assets besides her home, which is paid off. Mrs. Holloway's stated investment objectives on her account documents are income generation and capital preservation. Her risk tolerance is listed as conservative. She has no prior experience with options, futures, margin accounts, or complex exchange-traded products, and her investment history consists entirely of certificates of deposit and a balanced mutual fund she held for fifteen years before rolling the proceeds into her IRA in 2021.

In March 2023, Mrs. Holloway's financial advisor, Derek Scanlon, age 34, recommended that she invest \$95,000 -- roughly 28% of her portfolio -- into a 3x leveraged daily-resetting ETF tracking the semiconductor sector (ticker symbol: SOXL). Scanlon told Mrs. Holloway that semiconductors were 'the future of everything' and that the leveraged product would 'turbocharge her returns so she wouldn't have to worry about running out of money.' He did not explain the daily resetting mechanism, the concept of volatility decay, or the fact that the product was designed for short-term tactical trading rather than buy-and-hold investing. He did not provide her with the fund's prospectus or investor bulletin materials. No written documentation exists showing that Scanlon discussed the specific risks of leveraged ETFs with Mrs. Holloway or obtained any form of acknowledgment from her regarding those risks.

Scanlon placed the trade and did not set any stop-loss orders or monitoring alerts. Over the following fourteen months, the semiconductor sector experienced significant volatility, including a 22% drawdown in the underlying index between October and December 2023, followed by a partial recovery. Due to the compounding effects of the daily leverage reset during this volatile period, Mrs. Holloway's position lost approximately \$41,000 in value -- a 43% decline -- even though the underlying semiconductor index was only down about 8% from her purchase date by May 2024. Scanlon did not contact Mrs. Holloway during this period to discuss the position or recommend any changes. Mrs. Holloway discovered the losses when she requested a portfolio summary in June 2024 to plan a distribution for unexpected medical expenses related to a hip replacement surgery. She was shocked and distressed by the losses, telling Scanlon she had 'no idea this could happen' and that she 'never would have agreed to something like this.' She subsequently filed a written complaint with the firm.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Scanlon violated multiple regulatory requirements in recommending the 3x leveraged semiconductor ETF to Margaret Holloway.

****Applicable Standards:****

1. **FINRA Rule 2111 (Suitability):** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. The rule encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

2. **Regulation Best Interest (Reg BI), Rule 15l-1:** Under the Care Obligation, a broker must exercise reasonable diligence, care, and skill to understand the product being recommended, determine that the recommendation is in the customer's best interest, and ensure that it does not place the financial interest of the broker ahead of the customer. The Disclosure Obligation requires material facts about the recommendation be disclosed, including risks.

3. **FINRA Regulatory Notices 09-31 and 22-08:** These notices specifically address leveraged and inverse ETFs, warning that these products are generally unsuitable for retail investors who plan to hold them for longer than one trading session. They emphasize the effects of daily resetting, path dependency, and volatility decay, which can cause returns to deviate significantly from the underlying index over holding periods longer than one day. Firms are expected to have heightened supervision, training, and suitability procedures for complex products.

Analysis of Violations:

- **Customer-Specific Suitability Failure:** Mrs. Holloway is a 78-year-old retiree with conservative risk tolerance, income and capital preservation objectives, no experience with complex products, and a concentrated dependence on her IRA for retirement income. A 3x leveraged daily-resetting sector ETF is categorically inconsistent with her profile. The \$95,000 allocation (28% of her portfolio) dramatically amplified the unsuitability.

- **Reasonable-Basis Suitability Failure:** FINRA RN 09-31 explicitly states that leveraged ETFs that reset daily are typically unsuitable for retail investors holding positions longer than one trading session. Scanlon either failed to understand this fundamental product characteristic or disregarded it. Either scenario constitutes a failure of reasonable-basis suitability.

- **Reg BI Care Obligation Violation:** Scanlon did not exercise reasonable diligence, care, and skill. He failed to understand the product's mechanics (daily resetting, volatility decay, path dependency) well enough to evaluate whether it served his client's best interest. A 78-year-old conservative retiree with no complex product experience is the archetype of a customer for whom such a recommendation fails the best interest standard.

- **Reg BI Disclosure Obligation Violation:** Scanlon did not explain the daily resetting mechanism, volatility decay, or the product's intended short-term use. He did not provide the prospectus. He characterized the product in misleading terms ('turbocharge her returns') without disclosing material risks. No written risk acknowledgment was obtained.

- **Failure to Monitor:** FINRA RN 09-31 and RN 22-08 emphasize that if leveraged ETFs are held at all, they require active monitoring and management. Scanlon placed the trade and performed no follow-up over fourteen months, allowing catastrophic path-dependent losses to accumulate.

- **Senior Investor Concerns:** Given Mrs. Holloway's age, limited income, dependence on these funds for medical and living expenses, and lack of sophistication, the recommendation raises heightened concerns about exploitation of a senior investor. FINRA has repeatedly emphasized that firms must exercise particular care when dealing with senior customers.

Likely Regulatory Outcome: This case presents clear violations that would likely result in significant sanctions. Scanlon could face disgorgement of commissions, a substantial fine, a suspension or bar from the industry, and an order to pay restitution. The firm's supervisory system would also be scrutinized under FINRA's complex products

supervision framework (RN 12-03, RN 22-08) for failing to prevent an obviously unsuitable recommendation to a vulnerable senior client. The \$41,000 loss on a \$95,000 position in a conservative retiree's IRA -- driven almost entirely by volatility decay rather than the underlying index's performance -- is a textbook illustration of the harm these regulatory notices were designed to prevent.

Item 253 of 350**NON-COMPLIANT**

Topic: complex_products_unsophisticated_investor

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Hollis, age 68, is a retired elementary school teacher living in Knoxville, Tennessee. She receives a monthly pension of \$3,200 and Social Security payments of \$1,850 per month. Her total liquid savings amount to approximately \$410,000, held primarily in a rollover IRA that represents her entire retirement nest egg. She has no other significant assets aside from her home, which is valued at \$185,000 and is fully paid off. Margaret's investment experience is limited to a target-date mutual fund she held through her employer's 403(b) plan for 22 years, and she has never traded individual stocks, options, or exchange-traded funds of any kind. Her account application at Ridgeline Wealth Advisors, completed in March 2022, listed her risk tolerance as 'conservative,' her investment objective as 'income and capital preservation,' her time horizon as '5-10 years,' and her liquid net worth as \$410,000.

Her advisor, Craig Dunmore, age 34, had been registered for six years. In April 2022, during a meeting at his office, Craig told Margaret that he had a strategy to 'boost her portfolio returns while still staying safe' by using what he described as 'enhanced index funds.' He recommended she allocate \$125,000 -- roughly 30% of her retirement savings -- into the Direxion Daily S&P 500 Bull 3X Shares (SPXL), a triple-leveraged ETF that seeks to deliver 300% of the daily return of the S&P 500 Index. Craig explained to Margaret that the fund 'just gives you three times what the S&P does, so if the market goes up 10%, you make 30%.' He did not discuss daily resetting mechanics, compounding effects over multi-day holding periods, volatility decay, or the possibility that the product could significantly underperform three times the index return over periods longer than a single trading day. He did not provide Margaret with the fund's prospectus or any supplemental materials describing the risks of leveraged ETFs.

Margaret agreed to the purchase based on Craig's description. The \$125,000 position in SPXL was established on April 11, 2022. Craig did not set any stop-loss orders, rebalancing triggers, or monitoring protocols for the position. He told Margaret to 'sit tight and let it work for you over the next couple of years.'

Over the following 14 months, the S&P 500 experienced significant volatility, including a drawdown of approximately 17% between April and mid-June 2022, followed by a partial recovery and further fluctuations through mid-2023. Due to the path-dependent nature of the daily-resetting 3x leveraged product, SPXL's cumulative return deviated substantially from three times the S&P 500's return over the same period. By June 2023, the S&P 500 had declined approximately 2.5% from its April 2022 level, which would imply a roughly 7.5% loss at 3x leverage in a linear scenario. However, Margaret's SPXL position had lost approximately 31%, reducing her \$125,000 investment to roughly \$86,250 -- a loss of \$38,750. The excess loss beyond the expected 3x linear outcome was attributable to volatility decay from daily rebalancing during a period of heightened market turbulence.

In July 2023, Margaret's daughter, a CPA, reviewed her mother's account statements and was alarmed by the losses and the nature of the product. Margaret filed a complaint with Ridgeline Wealth Advisors, stating she had never been told the fund could lose more than three times the index decline, that she did not understand what a leveraged ETF was, and that she would never have agreed to risk her retirement savings in such a product. An internal review revealed that Craig had not documented any analysis of why a 3x leveraged daily-resetting ETF was appropriate for a 68-year-old conservative retiree, had not obtained supervisory approval for the transaction, and that Ridgeline's compliance manual required pre-approval for all leveraged and inverse ETF purchases in accounts belonging to clients

over age 60 or those with conservative risk profiles.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Dunmore violated applicable suitability and best interest standards in multiple respects.

****Applicable Regulatory Framework:****

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, time horizon, liquidity needs, and risk tolerance. Rule 2111 encompasses three components: (1) reasonable-basis suitability (the advisor must understand the product), (2) customer-specific suitability (the recommendation must fit the specific customer), and (3) quantitative suitability (the overall pattern of trading must be appropriate).

Regulation Best Interest (Reg BI), SEC Rule 15l-1, which became effective June 30, 2020, imposes a heightened standard requiring broker-dealers to act in the retail customer's best interest at the time of a recommendation, without placing the financial interest of the broker-dealer ahead of the customer. Reg BI's Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in understanding the product, considering reasonably available alternatives, and evaluating risks, rewards, and costs in light of the customer's profile. Reg BI's Disclosure Obligation requires full and fair disclosure of all material facts relating to the recommendation.

FINRA Regulatory Notice 09-31 specifically warned member firms that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets, because daily compounding can cause returns to diverge significantly from the stated leverage multiple applied to the underlying index's longer-term return. FINRA Regulatory Notice 12-03 reinforced heightened supervision requirements for complex products, including leveraged ETFs, requiring firms to perform a reasonable-basis suitability analysis of the product itself, assess whether the customer can understand and bear the risks, and implement appropriate supervisory procedures. FINRA Regulatory Notice 22-08 further proposed and emphasized enhanced sales practice requirements for complex and leveraged products, including account approval processes and investor knowledge assessments.

****Analysis of Violations:****

1. ****Customer-Specific Suitability / Care Obligation Violation:**** Margaret Hollis is a 68-year-old retiree with conservative risk tolerance, an income and capital preservation objective, limited investment experience (only target-date funds), and the \$410,000 IRA represents her entire retirement savings. Allocating 30% of her retirement portfolio to a 3x daily-leveraged ETF is fundamentally incompatible with every element of her investment profile. A 3x leveraged S&P 500 ETF carries extreme volatility and the real possibility of catastrophic loss. This product is designed for sophisticated, active traders with short time horizons, not for conservative retirees seeking capital preservation.

2. ****Reasonable-Basis Suitability Violation:**** Craig's description of SPXL as an 'enhanced index fund' that simply delivers three times the S&P 500 return over any holding period demonstrates that he himself did not understand the mechanics of daily-resetting leveraged ETFs -- specifically, path dependency and volatility decay. An advisor who does not understand a product cannot have a reasonable basis for recommending it. His instruction to 'sit tight for a couple of years' is directly contrary to the product's design and the explicit warnings in the fund's prospectus and FINRA

guidance.

3. ****Reg BI Disclosure Obligation Violation:**** Craig failed to disclose the material risks of the product, including daily resetting, compounding effects, volatility decay, and the risk that multi-day returns can diverge dramatically from the leverage multiple applied to the index's cumulative return. He also failed to provide the prospectus. These omissions constitute failures to disclose material facts about the recommendation.

4. ****Supervisory Failures:**** Ridgeline's own compliance manual required pre-approval for leveraged ETF purchases in accounts belonging to clients over 60 or with conservative profiles. Craig bypassed this requirement. The firm's failure to detect and prevent the transaction constitutes a supervisory violation under FINRA Rule 3110, and the firm may face liability as well.

5. ****Failure to Monitor / Holding Period Concern:**** Craig established no monitoring protocol, rebalancing trigger, or stop-loss for a product that is explicitly designed for single-day holding periods. Allowing a conservative 68-year-old retiree to hold a 3x leveraged ETF for 14 months without any review is a clear failure of ongoing care.

****Likely Regulatory Outcome:****

Craig Dunmore would likely face enforcement action for violations of FINRA Rule 2111 and Reg BI. Potential sanctions include a fine, disgorgement of commissions, suspension or bar, and restitution to the customer. Ridgeline Wealth Advisors would likely face supervisory violation charges under FINRA Rule 3110 for failing to enforce its own written procedures regarding pre-approval of leveraged ETF trades. Margaret Hollis's losses of approximately \$38,750 (and potentially more if the position was not liquidated) would form the basis of a customer arbitration claim with a high probability of recovery. The fact that Craig mischaracterized the product, failed to provide disclosure materials, recommended a long-term holding strategy for a daily-resetting product, and ignored the firm's own heightened review requirements creates a strong case for both regulatory sanctions and customer restitution.

Item 254 of 350

NON-COMPLIANT

Topic: leveraged_etf_unsuitable

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Colson, age 67, is a retired elementary school teacher living in Tucson, Arizona. She receives a monthly pension of \$3,400 and Social Security benefits of \$1,850 per month. Her total liquid savings amount to approximately \$410,000, held in a rollover IRA that represents the entirety of her retirement nest egg. She has no other significant assets aside from her home, which is paid off. Margaret's investment experience is limited to the target-date mutual fund she held through her employer's 403(b) plan for 22 years. On her new account application with Ridgeline Financial Services, she indicated a 'conservative' risk tolerance, an investment objective of 'income and capital preservation,' a time horizon of 15-20 years, and limited investment knowledge. In March 2023, her newly assigned advisor, Derek Hollis, age 34, conducted an initial meeting where Margaret explained that she wanted steady, predictable income to supplement her pension and Social Security, and that she could not afford to lose a significant portion of her savings. Derek told Margaret that he had identified an exchange-traded fund that could 'supercharge her returns in a recovering market' and recommended she allocate \$125,000--roughly 30% of her IRA--into the ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100. Derek described the product as 'like the Nasdaq but with a turbo boost' and did not explain the daily reset mechanism, the effects of volatility decay, or the fact that the fund was designed for short-term tactical trading. He did not provide any written risk disclosures specific to leveraged ETFs, nor did he document any rationale for why this product was appropriate for Margaret's stated objectives. The remaining \$285,000 was placed in a mix of intermediate-term bond funds and a money market account. Over the next 14 months, Margaret did not hear from Derek about the TQQQ position. She received quarterly statements but did not understand the fluctuations. By May 2024, following a period of significant Nasdaq volatility--including a 12% drawdown in the fall of 2023 followed by a partial recovery--Margaret's TQQQ holding had declined to approximately \$78,500, a loss of \$46,500 or 37.2%, even though the Nasdaq-100 itself was down only about 4% on a cumulative basis over the same period. When Margaret called Derek in distress after reviewing her statement, he told her to 'hang tight because it will come back.' He made no effort to reassess her portfolio, rebalance, or exit the leveraged position. Ridgeline Financial Services' supervisory procedures manual contained a section noting that leveraged and inverse ETFs require heightened review and are generally unsuitable for buy-and-hold investors, but Margaret's account was never flagged, and Derek's supervisor, branch manager Linda Pratt, never reviewed the trade or conducted any follow-up. An internal compliance report later revealed that the firm's automated surveillance system had been configured to flag leveraged ETF positions held longer than 60 days, but the alerts had been routed to an unmonitored email inbox since January 2023 due to a system migration.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hollis violated applicable suitability and best interest standards on multiple grounds, and Ridgeline Financial Services failed in its supervisory obligations.

****1. Suitability -- FINRA Rule 2111 (Customer-Specific Suitability):****

FINRA Rule 2111 requires that a recommended transaction or investment strategy involving a security be suitable for

the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and investment experience. Margaret Colson is a 67-year-old retiree with conservative risk tolerance, limited investment knowledge, an income/capital preservation objective, and a 15-20 year time horizon. A 3x daily-leveraged ETF like TQQQ is among the most volatile products available to retail investors and is wholly inconsistent with every element of her stated profile. The allocation of 30% of her sole retirement account to this product fails customer-specific suitability.

FINRA Rule 2111 also encompasses reasonable-basis suitability, requiring the advisor to understand the product being recommended. Derek's description of TQQQ as 'like the Nasdaq but with a turbo boost' without any explanation of daily compounding, path dependency, or volatility decay strongly suggests he either did not understand the product himself or deliberately obscured its risks.

****2. Regulation Best Interest -- SEC Rule 15l-1 (Care Obligation):****

Under Reg BI's Care Obligation, a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill when making a recommendation, including understanding the risks and rewards of the recommendation, considering the customer's investment profile, and having a reasonable basis to believe the recommendation is in the customer's best interest without placing the advisor's interest ahead of the customer's. Recommending TQQQ to a conservative, unsophisticated retiree whose entire retirement savings are at stake fails the care obligation. There is no reasonable basis to conclude this recommendation was in Margaret's best interest. Additionally, the Reg BI Disclosure Obligation required Derek to disclose material facts about the recommendation, including the unique risks of leveraged ETFs; he failed to do so.

****3. FINRA Regulatory Notices on Leveraged and Inverse ETFs:****

FINRA Regulatory Notice 09-31 specifically warned firms that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, because compounding of daily returns can cause the fund's performance to deviate significantly from the underlying index over time--a phenomenon known as volatility decay or path dependency. RN 09-31 also stated that sales materials must be fair, balanced, and not misleading, and that brokers must perform adequate due diligence. FINRA RN 12-03 reiterated heightened supervision requirements for complex products, including that firms must conduct a reasonable investigation of a complex product before recommending it and ensure their registered representatives understand the product. FINRA RN 22-08 reinforced that complex products--including leveraged/inverse ETFs--require robust supervisory systems, targeted training for representatives, and careful assessment of whether a particular customer should be investing in such products at all.

****4. Failure to Monitor and Rebalance:****

Derek held the TQQQ position for 14 months without review, directly contradicting the product's design as a short-term tactical instrument. His instruction to Margaret to 'hang tight' when she reported the loss compounded the harm and reflected a continued disregard for her investment profile. Ongoing monitoring is an implicit component of both the suitability obligation and Reg BI's Care Obligation when a broker has made an explicit recommendation.

****5. Supervisory Failures -- FINRA Rules 3110 and 3120:****

Ridgeline Financial Services failed its supervisory obligations under FINRA Rule 3110, which requires firms to establish and maintain a system to supervise the activities of each associated person that is reasonably designed to achieve compliance with applicable rules. The firm's own procedures identified leveraged ETFs as requiring heightened review, yet the automated alert system that was supposed to flag positions held beyond 60 days was routed to an unmonitored inbox for over a year. Supervisor Linda Pratt never reviewed the trade. This constitutes a systemic supervisory failure. Under FINRA Rule 3120, the firm's senior management is responsible for testing and verifying that supervisory controls are functioning.

****Likely Regulatory Outcome:****

Derek Hollis would likely face individual liability including fines, disgorgement of commissions, a suspension, and potential bar from the industry depending on his disciplinary history. Ridgeline Financial Services would likely face firm-level sanctions for supervisory failures, including fines and an order to remediate its surveillance systems. Margaret would have a strong basis for a customer complaint and FINRA arbitration claim seeking compensatory damages of at least \$46,500, plus potential consequential damages. Similar cases have resulted in six-figure combined sanctions against both the representative and the firm.

Item 255 of 350**NON-COMPLIANT**

Topic: high_fees_unsuitable

Difficulty: medium

Source: 25_Leveraged_Inverse ETFs

Fact Pattern

Margaret Okonkwo, age 69, is a retired elementary school teacher living in suburban Atlanta on a fixed income of approximately \$3,400 per month from her pension and Social Security. She has a total investment portfolio of \$285,000, which represents her entire liquid net worth outside of her home. Her stated investment objectives on her new account form are capital preservation and income generation, and her risk tolerance is marked as conservative. She has no prior experience with options, futures, or leveraged products, and her investment history consists solely of certificates of deposit and a target-date retirement fund held in her 403(b) during her working years.

In March 2023, her financial advisor, Derek Langston, age 34, recommended that Mrs. Okonkwo allocate \$95,000 -- roughly one-third of her portfolio -- into a 3x leveraged bull semiconductor ETF (ticker: SOXL) with an annual expense ratio of 0.94%. Langston told Mrs. Okonkwo that semiconductors were 'the future of everything' and that this fund would 'triple her gains compared to a regular tech fund.' He did not explain the daily resetting mechanism, the compounding effects of volatility decay, or that the product's prospectus explicitly warned against holding positions longer than one trading day. He also did not discuss the elevated expense ratio relative to unleveraged semiconductor ETFs, which typically carry expense ratios of 0.19% to 0.35%.

Langston placed the trade on March 14, 2023, and did not set any stop-loss orders or schedule any portfolio reviews. Mrs. Okonkwo, trusting her advisor's judgment, did not monitor the position herself. Over the following eleven months, the semiconductor sector experienced significant volatility, with multiple drawdowns of 8-15% followed by partial recoveries. Due to path dependency and volatility decay inherent in the daily-resetting 3x leveraged structure, by February 2024 Mrs. Okonkwo's \$95,000 position had declined to approximately \$51,200 -- a loss of \$43,800 or 46.1% -- even though the underlying semiconductor index over the same period was down only approximately 6.3%. Additionally, Mrs. Okonkwo paid approximately \$670 in implicit fund expenses during the holding period, nearly three times what she would have paid in a comparable unleveraged sector ETF.

When Mrs. Okonkwo called Langston's office in February 2024 to ask about her portfolio performance ahead of tax season, she was shocked to learn the magnitude of her losses. Langston suggested she 'hold on a little longer because it will bounce back stronger with three-times leverage.' He made no mention of rebalancing, selling, or switching to a more suitable investment. Mrs. Okonkwo subsequently filed a complaint with Langston's broker-dealer, alleging that the recommendation was wholly inappropriate for her age, financial situation, and objectives, and that she was never informed of the true risks or cost structure of the product.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Langston violated multiple regulatory standards governing the recommendation of complex products to retail investors.

****Suitability under FINRA Rule 2111:**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommendation is suitable for the customer based on information obtained through reasonable diligence. Rule 2111 encompasses three distinct obligations: (1) reasonable-basis suitability (the advisor must understand the product), (2) customer-specific suitability (the recommendation must fit the customer's profile), and (3) quantitative suitability (the overall pattern of recommendations must not be excessive). Langston failed all three prongs. He recommended a 3x daily-resetting leveraged ETF to a 69-year-old conservative retiree whose objectives were capital preservation and income -- the antithesis of a suitable candidate for a volatile, speculative, high-cost leveraged product. The customer-specific analysis alone is dispositive: the product was fundamentally incompatible with her documented risk tolerance, investment objectives, time horizon, and financial situation.

****Regulation Best Interest (Reg BI), Rule 15c-1:**** Under the SEC's Reg BI standard applicable to broker-dealer recommendations to retail customers, Langston was required to act in the customer's best interest at the time of the recommendation, without placing his own interests ahead of the customer's. The Care Obligation under Reg BI requires that the advisor exercise reasonable diligence, care, and skill in making recommendations and must consider reasonably available alternatives. A 3x leveraged semiconductor ETF with a 0.94% expense ratio was clearly not in Mrs. Okonkwo's best interest when unleveraged sector ETFs, broad-market index funds, or income-oriented products would have far better served her stated objectives at a fraction of the cost and risk.

****FINRA Regulatory Notices 09-31 and 22-08:**** FINRA RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, because of the effects of daily compounding and volatility decay. FINRA RN 22-08 reinforced and expanded upon these concerns, emphasizing that firms must have robust supervisory systems for complex products and that advisors must fully understand and communicate the risks -- including path dependency, volatility drag, and the compounding loss effect -- before recommending such products. Langston's failure to explain daily resetting, compounding risk, or the explicit prospectus warnings against long-term holding violates these standards.

****Fee Suitability:**** The expense ratio of the leveraged ETF (0.94%) was roughly 3-5 times higher than comparable unleveraged semiconductor ETFs. For a conservative, income-oriented retiree, this elevated cost layer -- compounded by the leveraged product's inherent structural decay -- represents an additional dimension of unsuitability. Langston never disclosed or discussed this cost differential.

****Supervision Failures:**** Langston's firm may also face liability under FINRA Rule 3110 for failure to supervise. The firm should have had heightened review procedures for leveraged ETF recommendations, particularly to elderly, conservative customers, and should have flagged a \$95,000 allocation to a 3x leveraged product in a retiree's account.

****Likely Regulatory Outcome:**** Langston would likely face sanctions including fines, disgorgement, suspension, or a bar. Mrs. Okonkwo would have strong grounds for recovery through arbitration of the full \$43,800 loss plus the excess fees paid. The broker-dealer would likely face supervisory deficiency findings if it lacked adequate complex product review protocols.

Item 256 of 350

NON-COMPLIANT

Topic: complex_products_unsophisticated_investor

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Delano, age 71, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,800 per month from her pension and \$1,400 per month in Social Security benefits. Her total liquid savings amount to approximately \$215,000, held in a traditional IRA rollover account at Greenfield Wealth Partners. She listed her investment objective as 'income and capital preservation' on her new account form and described her risk tolerance as 'low.' Margaret has no prior experience trading options, futures, or exchange-traded products beyond a small position in a broad S&P 500 index fund she held for eight years before rolling it into her IRA. She told her advisor, Kevin Straub, that she wanted safe investments that would supplement her fixed income without exposing her to large losses, as the \$215,000 represented the entirety of her non-pension retirement savings.

In March 2024, Kevin recommended that Margaret invest \$95,000--roughly 44% of her IRA--into ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index, and \$40,000 into ProShares UltraPro Short QQQ (SQQQ), a 3x daily-inverse-leveraged ETF on the same index. Kevin told Margaret the combination would 'balance out' because one fund would go up when the other went down, creating what he described as a 'hedged income strategy.' He did not explain that both products reset daily and are designed for short-term tactical trading, nor did he discuss the concept of volatility decay or path dependency that causes both leveraged and inverse leveraged ETFs to lose value over time in choppy markets. He did not provide Margaret with the products' prospectuses or any supplemental educational materials, and he did not document any analysis of why these products were appropriate for her profile.

Kevin's branch manager, Lisa Thorpe, had access to the firm's trade blotter and was aware that Kevin had placed multiple clients in leveraged ETF positions during Q1 2024, but she did not conduct any heightened review of these transactions or flag them for the firm's complex products committee.

Margaret held both positions for eleven months. During that period, the Nasdaq-100 experienced significant day-to-day volatility, rising roughly 4% on a cumulative basis. Despite the index's modest gain, Margaret's TQQQ position declined from \$95,000 to \$71,200--a loss of approximately \$23,800, or 25%--and her SQQQ position declined from \$40,000 to \$18,600--a loss of approximately \$21,400, or 53.5%. Combined, Margaret lost \$45,200, representing 21% of her total retirement savings. When Margaret called in February 2025 to ask why both positions had lost money even though she was told they would offset each other, Kevin advised her to 'hold on a little longer' and said the positions would 'recover in the next quarter.' Margaret liquidated both positions in March 2025 after consulting her daughter, who is a certified public accountant.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, the financial advisor violated applicable suitability and best interest standards in multiple respects.

****Applicable Regulatory Framework:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and experience. Rule 2111 encompasses three components: (a) reasonable-basis suitability (the advisor must understand the product), (b) customer-specific suitability (the product must fit the specific customer), and (c) quantitative suitability (the overall volume and frequency of transactions must be appropriate).

2. ****Regulation Best Interest (Reg BI), Rule 15l-1:**** For recommendations made to retail customers after June 30, 2020, Reg BI requires broker-dealers to act in the best interest of the retail customer at the time a recommendation is made, without placing the financial interest of the broker-dealer ahead of the customer. Reg BI's Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in understanding the product, evaluating it against the customer's profile, and considering reasonably available alternatives.

3. ****FINRA Regulatory Notices 09-31, 12-03, and 22-08:**** These notices provide specific guidance on leveraged and inverse ETFs. RN 09-31 explicitly warned that leveraged and inverse ETFs that reset daily are 'typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' RN 22-08 reinforced that firms must have robust written supervisory procedures for complex products and that heightened scrutiny is required before recommending such products to retail investors.

****Specific Violations:****

**** (A) Customer-Specific Suitability / Care Obligation Violation:**** Margaret is a 71-year-old retiree with low risk tolerance, an income and capital preservation objective, no experience with complex products, and limited liquid assets (\$215,000 total). Allocating 44% of her retirement savings to a 3x leveraged ETF and an additional 19% to a 3x inverse leveraged ETF--totaling 63% of her portfolio in daily-resetting leveraged products--is facially unsuitable for this customer profile. These products are designed for sophisticated, short-term traders, not elderly retirees seeking capital preservation.

**** (B) Reasonable-Basis Suitability Violation:**** Kevin's characterization of the TQQQ/SQQQ combination as a 'hedged income strategy' demonstrates a fundamental misunderstanding of how leveraged and inverse ETFs function. Due to daily resetting and volatility decay (also known as path dependency), holding both a 3x long and 3x inverse ETF on the same index does not create a hedge--it creates a position where both legs can and typically do lose value simultaneously in volatile, range-bound markets. Neither product generates income. Kevin either did not understand the products he was recommending or misrepresented their characteristics.

**** (C) Disclosure Failures:**** Kevin failed to provide Margaret with the product prospectuses, which prominently disclose that leveraged and inverse ETFs are not intended for holding periods longer than one day. He failed to explain daily resetting, compounding effects, volatility decay, or the high likelihood of capital erosion over multi-month holding periods. Under Reg BI's Disclosure Obligation, material facts about the recommendation, including risks, must be disclosed.

**** (D) Supervisory Failures:**** Branch manager Lisa Thorpe's failure to review Kevin's leveraged ETF recommendations constitutes a violation of the firm's supervisory obligations under FINRA Rule 3110. FINRA RN 22-08 specifically emphasizes that firms must implement heightened supervision for complex products, including pre-approval requirements, concentration limits, and post-trade surveillance. The firm apparently lacked effective procedures to flag these transactions for its complex products committee.

**** (E) Hold Recommendation:**** Kevin's February 2025 advice to 'hold on a little longer' constitutes an implicit hold

recommendation subject to suitability analysis under FINRA Rule 2111.03. Given the continued unsuitability of the positions for Margaret's profile and the ongoing losses, this recommendation further compounded the violation.

****Likely Regulatory Outcome:**** Kevin Straub would likely face individual sanctions including fines, disgorgement, and a potential suspension. The firm, Greenfield Wealth Partners, would likely face supervisory failure charges and could be required to pay restitution to Margaret for her \$45,200 in losses. Based on precedent in leveraged ETF enforcement actions, penalties for the firm could include fines, a requirement to enhance supervisory procedures for complex products, and mandatory client remediation reviews for other similarly situated customers. Margaret would also have a strong claim in a customer arbitration proceeding for compensatory damages.

Item 257 of 350

NON-COMPLIANT

Topic: inappropriate_risk_profile

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Ellison, age 71, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,400 per month from her pension and \$1,850 per month from Social Security. Her total liquid net worth is approximately \$340,000, held primarily in a traditional IRA rollover account at a regional broker-dealer. Her new account form, completed in January 2023, lists her risk tolerance as 'conservative,' her investment objective as 'income and capital preservation,' her time horizon as '5-10 years,' and her annual income as \$51,000. She has no prior experience with options, futures, or leveraged products, and her investment knowledge is described as 'limited' on her customer profile. Margaret told her advisor, Kevin Driscoll, that she wanted to generate modest supplemental income without risking her principal, as the IRA represented the bulk of her retirement savings beyond her pension.

In March 2023, Driscoll recommended that Margaret allocate \$95,000 -- roughly 28% of her portfolio -- into ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index. Driscoll told Margaret that the Nasdaq had historically performed well and that the leveraged fund would 'supercharge her returns' so she could grow her nest egg faster. He did not explain that the product resets daily, that leveraged ETFs are designed for short-term tactical trading, or that holding such a product over weeks or months can produce returns that deviate significantly from three times the index's cumulative return due to the compounding effects of daily rebalancing, commonly referred to as volatility decay or path dependency. He did not provide Margaret with the fund's prospectus or any supplemental materials explaining these risks.

Margaret held the position for approximately nine months, through December 2023. During this period, the Nasdaq-100 experienced several volatile stretches, including a drawdown of roughly 8% in the late summer and early fall before recovering. While the Nasdaq-100 itself ended the nine-month period up approximately 12%, Margaret's TQQQ position gained only about 18% -- far less than the 36% that a naive investor might expect from a 3x leveraged product. More critically, during the interim drawdowns, the position lost as much as 35% of its value at one point, causing Margaret significant distress. She called Driscoll's office multiple times in a panic during August and September 2023 when her \$95,000 investment had fallen below \$62,000. Driscoll reassured her each time to 'stay the course' and that the market would recover.

In January 2024, after reviewing her annual account statement, Margaret's daughter -- a CPA -- questioned the TQQQ holding and urged her mother to file a complaint. Margaret's complaint alleges that Driscoll never explained the risks of leveraged ETFs, that the product was wholly unsuitable for her conservative profile, and that she suffered unnecessary emotional and financial harm.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Driscoll violated applicable suitability and best interest standards on multiple grounds.

****Applicable Standards:****

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and investment experience. This rule encompasses three components: reasonable-basis suitability (understanding the product), customer-specific suitability (matching the product to the customer), and quantitative suitability (avoiding excessive trading).

Under Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934), broker-dealers and their associated persons must act in the retail customer's best interest at the time a recommendation is made, without placing the financial interest of the broker-dealer ahead of the customer. This obligation includes a Care Obligation (understanding the risks and rewards of the recommendation and having a reasonable basis to believe the recommendation is in the customer's best interest given their profile), a Disclosure Obligation (providing full and fair disclosure of material facts, including risks), and a Compliance Obligation (establishing policies and procedures to ensure adherence).

FINRA Regulatory Notice 09-31 specifically warns that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. The notice emphasizes that due to daily compounding, the performance of these products over periods longer than one day can differ significantly -- and sometimes dramatically -- from the stated multiple of the underlying index's return. FINRA Regulatory Notice 12-03 further addresses heightened supervision obligations for complex products, requiring that firms ensure recommendations of such products are preceded by a reasonable due diligence effort, adequate training, and meaningful disclosure to customers. FINRA Regulatory Notice 22-08 reinforces these themes, proposing measures to address investor harm from complex and leveraged products, including additional safeguards before such products are recommended to retail customers.

****Analysis:****

1. ****Customer-Specific Suitability Failure:**** Margaret is a 71-year-old retiree with conservative risk tolerance, an income/preservation objective, limited investment knowledge, no experience with complex products, and a moderate liquid net worth that constitutes her primary retirement savings. A 3x daily-leveraged ETF is fundamentally incompatible with every element of her investment profile. The product is designed for sophisticated, active traders with high risk tolerance and very short holding periods -- typically intraday to a few days.

2. ****Reasonable-Basis Suitability Failure:**** Driscoll's failure to understand or explain the mechanics of daily resetting, path dependency, and volatility decay suggests he lacked a reasonable basis for the recommendation. A representative who recommends TQQQ without understanding that the product's multi-day returns will not equal 3x the index's cumulative return has not performed adequate due diligence.

3. ****Concentration Risk:**** Allocating 28% of Margaret's total retirement savings to a single leveraged product dramatically amplified her risk exposure. The effective exposure was equivalent to approximately 84% of her portfolio directed at the Nasdaq-100 on a leveraged basis, an absurdly aggressive allocation for a conservative retiree.

4. ****Holding Period:**** Driscoll not only recommended the purchase but actively encouraged Margaret to hold the position for nine months, directly contradicting the product's design as a short-term trading vehicle. His 'stay the course' advice during drawdowns compounded the harm.

5. ****Disclosure Failures:**** Under Reg BI's Disclosure Obligation, Driscoll was required to provide Margaret with material information about the risks, including the daily reset mechanism, the effects of compounding, and the high probability of performance deviation over multi-day periods. He failed to provide the prospectus or any supplemental risk disclosures.

His characterization of the product as one that would 'supercharge returns' was misleading.

6. ****Reg BI Care Obligation Violation:**** Even setting aside legacy suitability standards, under Reg BI's Care Obligation, Driscoll was required to exercise reasonable diligence, care, and skill to ensure the recommendation was in Margaret's best interest. Recommending a 3x leveraged Nasdaq ETF to a conservative 71-year-old retiree with limited investment knowledge and a capital preservation objective plainly fails this standard.

****Likely Regulatory Outcome:****

Driscoll would likely face enforcement action including potential fines, suspension, or a bar from the industry. The firm itself could face supervisory failure charges under FINRA Rule 3110 for failing to implement adequate supervision of complex product recommendations, particularly given the explicit guidance in FINRA RNs 09-31, 12-03, and 22-08. Margaret would have strong grounds for recovery in a FINRA arbitration proceeding based on unsuitability, failure to disclose material risks, and breach of the broker-dealer's best interest obligation. Damages would likely be measured as the difference between the performance of a suitable conservative portfolio and the actual performance of the TQQQ position, plus any consequential losses.

Item 258 of 350**NON-COMPLIANT**

Topic: complex_products_unsophisticated_investor

Difficulty: medium

Source: 25_Leveraged_Inverse ETFs

Fact Pattern

Margaret Dawson, age 68, is a retired elementary school teacher living in suburban Ohio on a fixed income of approximately \$3,200 per month from her pension and Social Security. She has a total liquid net worth of roughly \$285,000, nearly all of which is held in a single brokerage account she opened in 2019 at Ridgepoint Financial Services. Her account documents list her investment objective as 'income and capital preservation,' her risk tolerance as 'low,' and her investment experience as 'limited -- mutual funds and CDs only.' She has no prior experience trading options, futures, or complex exchange-traded products.

In March 2023, Margaret's financial advisor, Kevin Tran, age 34, contacted her to discuss what he described as 'a way to protect your nest egg if the market drops.' During the call, Kevin recommended that Margaret allocate \$95,000 -- roughly one-third of her liquid savings -- into the ProShares UltraPro Short QQQ (SQQQ), a 3x daily-resetting inverse leveraged ETF designed to deliver three times the inverse daily return of the Nasdaq-100 Index. Kevin told Margaret the product would 'act like insurance' against a market downturn and suggested she hold it as a long-term hedge for six to twelve months.

Kevin did not provide Margaret with any written materials explaining how daily resetting, path dependency, or volatility decay could cause the fund's long-term returns to deviate dramatically from three times the inverse of the index's cumulative return. He did not discuss the fund's 0.95% expense ratio or the additional implicit costs of daily rebalancing. No discussion of alternative hedging strategies -- such as Treasury bonds, low-cost defensive equity funds, or even simple cash allocations -- was documented. Kevin's notes from the meeting consist of a single sentence: 'Client wants downside protection; recommended SQQQ.'

Margaret held the position from March 2023 through February 2024. During this eleven-month period, the Nasdaq-100 rose approximately 28%. Due to the compounding effects of the daily 3x inverse reset mechanism, Margaret's \$95,000 position declined to approximately \$34,200 -- a loss of roughly \$60,800, or 64% of the invested amount. Margaret did not receive any interim communication from Kevin suggesting she review or close the position. When Margaret called Kevin in late February 2024 after reviewing her statement, Kevin acknowledged the loss and said 'these things happen when the market goes against you.'

Ridgepoint Financial Services had no specialized supervisory procedures in place for leveraged or inverse ETF recommendations. The firm's compliance manual referenced these products only in a general category of 'exchange-traded products' and imposed no additional review, concentration limits, or holding-period monitoring requirements. Margaret's account was reviewed by branch manager Linda Hsu only during a routine annual audit in January 2024, at which point no flag was raised despite the position having already lost over 50% of its value.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Tran almost certainly violated both the suitability and best interest standards applicable to this recommendation, and the firm failed in its supervisory obligations regarding complex products.

****Applicable Regulatory Standards:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, experience, and time horizon. There are three component obligations: reasonable-basis suitability (understanding the product), customer-specific suitability (matching it to the client), and quantitative suitability (ensuring the overall pattern of transactions is not excessive).

2. ****Regulation Best Interest (Reg BI), Rule 15l-1:**** Under Reg BI's Care Obligation, a broker must exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. The broker must have a reasonable basis to believe the recommendation is in the customer's best interest and does not place the financial professional's interests ahead of the customer's.

3. ****FINRA Regulatory Notices 09-31 and 22-08:**** RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them longer than one trading session, particularly in volatile markets. It reminded firms of their obligation to perform reasonable due diligence on these products, train registered representatives, and implement appropriate supervisory procedures. RN 22-08 reinforced and expanded these concerns, emphasizing the need for enhanced supervision of complex products and effective written supervisory procedures specific to such instruments.

****Analysis of Violations:****

****Reasonable-Basis Suitability Failure:**** Kevin's description of SQQQ as acting 'like insurance' and his recommendation to hold it for six to twelve months strongly suggests he either did not understand the daily-resetting mechanics, path dependency, and volatility decay inherent in 3x inverse leveraged ETFs, or he understood them and deliberately mischaracterized the product. Either way, he lacked a reasonable basis for the recommendation. A 3x inverse daily-resetting ETF is not a long-term hedging instrument; it is a short-term tactical trading tool. His failure to explain compounding risk, the effect of volatility drag, or the product's daily reset mechanism constitutes a fundamental failure of reasonable-basis suitability.

****Customer-Specific Suitability Failure:**** Margaret is a 68-year-old retiree with limited investment experience (mutual funds and CDs), a low risk tolerance, an income-and-capital-preservation objective, and a fixed income of \$3,200/month. Recommending that she place one-third of her liquid net worth into one of the most volatile and complex ETF products available -- a 3x daily-resetting inverse leveraged fund -- is facially unsuitable for this customer profile under any reasonable interpretation of the suitability standard. The concentration (\$95,000 of \$285,000) amplifies the unsuitability.

****Reg BI Care Obligation Failure:**** Kevin did not exercise reasonable diligence, care, or skill. He failed to consider reasonably available alternatives (Treasuries, defensive equity funds, cash) that could have provided downside protection consistent with Margaret's conservative profile. He failed to weigh costs (the 0.95% expense ratio plus implicit daily rebalancing costs). He failed to consider the product's risks in the context of a long holding period. The recommendation placed Kevin's interest (likely commission or revenue generation) ahead of Margaret's best interest.

****Disclosure Failures:**** Kevin provided no written materials about the product's mechanics. He did not disclose the material risks of volatility decay and path dependency. His characterization of the product as 'insurance' was materially misleading.

****Supervision Failures:**** Ridgepoint Financial Services failed to implement heightened supervisory procedures for leveraged and inverse ETF recommendations as repeatedly urged by FINRA in RN 09-31 and RN 22-08. The firm had no concentration limits, holding-period monitoring, or specialized review protocols. Branch manager Linda Hsu's failure to flag the position during the January 2024 audit -- when it had already lost over 50% -- reflects an absence of meaningful supervision. The firm may face liability under FINRA Rules 3110 and 3120 for supervisory failures.

****Likely Regulatory Outcome:**** Kevin Tran would likely face disciplinary action including fines, suspension, and potential restitution. Ridgepoint Financial Services would likely face supervisory violation charges, fines, and an obligation to remediate affected customers. Margaret would have strong grounds for a customer complaint or arbitration claim seeking recovery of her approximately \$60,800 in losses, plus potentially consequential damages. Similar enforcement patterns have resulted in significant sanctions in cases involving unsuitable recommendations of leveraged ETFs to unsophisticated retail investors held for extended periods.

Item 259 of 350**NON-COMPLIANT****Topic:** high_fees_unsuitable**Difficulty:** medium**Source:** 25_Leveraged_Inverse_ETFs**Fact Pattern**

Margaret Okafor, age 64, is a recently widowed retired postal worker in Birmingham, Alabama, with a fixed annual income of \$38,000 from her late husband's pension and Social Security. She has a total liquid net worth of approximately \$215,000, held in a brokerage account she opened in February 2022 after her husband's passing. She told her advisor, Daniel Pruitt, that she wanted safe, income-generating investments to supplement her pension and preserve her savings for potential long-term care needs. She described herself as conservative on her new account paperwork, checking the box for 'capital preservation' as her primary objective and indicating she had no prior experience with options, futures, or leveraged products. In March 2022, Pruitt recommended she invest \$95,000--roughly 44% of her liquid assets--into a 3x leveraged bull semiconductor ETF (ticker: SOXL) and \$45,000 into a 2x leveraged S&P 500 ETF (ticker: SSO). Pruitt told Mrs. Okafor these were 'exchange-traded funds just like any index fund' and that semiconductors and the broad market were 'sure bets for the long haul.' He did not explain the daily reset mechanism, the compounding effects over time, or the expense ratios of the products, which carried management fees of 0.95% and 0.89% respectively--significantly above the 0.03%-0.10% range of the standard unleveraged index ETFs she had asked about. He also did not mention the embedded financing costs inherent in leveraged products, which effectively added an additional 1.5%-3.0% in annual drag depending on interest rate environments. Mrs. Okafor held both positions for approximately 14 months. During that period, the semiconductor index experienced significant volatility, dropping 35% from peak before partially recovering. Due to volatility decay and path dependency effects from daily rebalancing, her \$95,000 SOXL position was worth approximately \$41,000 by May 2023--a loss of roughly \$54,000--even though the underlying semiconductor index had only declined about 8% on a point-to-point basis over the same period. Her SSO position lost approximately \$9,500. In total, Mrs. Okafor lost over \$63,500, representing nearly 30% of her total liquid net worth. When she called Pruitt in May 2023 distressed about her account statements, he suggested she 'hold on a little longer' and said the funds would 'bounce back eventually.' She liquidated both positions in June 2023 after consulting her daughter, who is a CPA. Mrs. Okafor subsequently filed a complaint alleging that Pruitt never explained the risks, daily resetting nature, or excessive costs of these products and that they were wholly inappropriate for her situation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Daniel Pruitt committed multiple serious violations. Under FINRA Rule 2111 (Suitability), a registered representative must have a reasonable basis for believing that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and experience. Under Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934), broker-dealers and their associated persons must act in the retail customer's best interest at the time a recommendation is made, satisfying the Disclosure Obligation, Care Obligation, Conflict of Interest Obligation, and Compliance Obligation.

First, regarding reasonable-basis suitability, Pruitt had an obligation to understand the products he was recommending.

FINRA Regulatory Notice 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, due to the effects of daily compounding (volatility decay/path dependency). FINRA Regulatory Notice 22-08 further reinforced heightened obligations around complex products, including leveraged ETFs, requiring firms to exercise due diligence and ensure that associated persons understand the unique risks. The dramatic divergence between the underlying semiconductor index's ~8% point-to-point decline and Mrs. Okafor's ~57% loss on SOXL is a textbook illustration of volatility decay risk. Pruitt's description of these leveraged ETFs as being 'just like any index fund' demonstrates either a fundamental misunderstanding of the products or a deliberate misrepresentation--both of which are violations.

Second, regarding customer-specific suitability, Mrs. Okafor was a 64-year-old conservative retiree with limited investment experience, a modest fixed income, capital preservation objectives, and potential long-term care needs. Allocating 65% of her liquid investable assets (\$140,000 of \$215,000) to leveraged ETFs--products designed for sophisticated short-term traders--was grossly unsuitable for her profile. Even a single dollar in leveraged ETFs would be questionable for this customer; the concentration made the unsuitability egregious.

Third, regarding excessive costs, the leveraged ETFs carried explicit expense ratios of 0.89%-0.95% plus embedded leveraged financing costs of approximately 1.5%-3.0% annually, resulting in total cost drag potentially exceeding 3%-4% per year. Comparable unleveraged index ETFs would have cost 0.03%-0.10%. For a conservative retiree seeking capital preservation, these excessive costs further demonstrate that the recommendation failed the cost component of Reg BI's Care Obligation, which requires consideration of reasonably available alternatives.

Fourth, regarding disclosure failures, Pruitt failed to disclose the daily resetting mechanism, the effects of compounding and volatility decay on longer holding periods, or the true cost structure of the products. This violates Reg BI's Disclosure Obligation and FINRA's longstanding guidance in RN 09-31 and RN 12-03, which emphasize that firms and representatives must clearly communicate how leveraged ETFs work and that their performance can deviate dramatically from the underlying index over periods longer than one day.

Fifth, Pruitt's advice in May 2023 to 'hold on a little longer' compounded the violation by encouraging continued long-term holding of daily-resetting products, directly contrary to their design and all applicable regulatory guidance.

The likely regulatory outcome includes potential customer arbitration liability for the full \$63,500 in losses plus interest, a FINRA enforcement action against Pruitt for suitability and Reg BI violations, potential supervisory failures by his firm under FINRA Rules 3110 and 3120 for failing to implement adequate supervision of complex product recommendations, and potential sanctions including fines, disgorgement, suspension, or a bar from the industry depending on Pruitt's disciplinary history.

Item 260 of 350**NON-COMPLIANT****Topic:** inappropriate_risk_profile**Difficulty:** medium**Source:** 25_Leveraged_Inverse_ETFs**Fact Pattern**

Margaret Dawson, age 71, is a retired elementary school teacher living in Tallahassee, Florida. She receives \$2,800 per month from her state pension and \$1,400 per month in Social Security benefits. Her total liquid net worth is approximately \$340,000, held primarily in a rollover IRA at a regional broker-dealer. She has no other significant assets besides her home, which is paid off. On her new account form, she indicated her risk tolerance as 'conservative,' her investment objective as 'income and capital preservation,' her time horizon as '5-10 years,' and her investment experience as 'limited -- mostly certificates of deposit and bond funds.' In March 2023, her financial advisor, Kevin Muller, met with her to discuss repositioning a portion of her IRA. He told Margaret that he wanted to add 'some growth exposure to take advantage of expected market movements' and recommended allocating \$85,000 -- roughly 25% of her portfolio -- into a 3x leveraged daily-resetting ETF tracking the S&P 500 (ticker symbol similar to SPXL). He described the product as 'like an index fund but with extra horsepower' and told her it would 'magnify the gains when the market goes up.' He did not explain the daily reset mechanism, the effects of compounding over multi-day periods, volatility decay, or the possibility that the fund could lose significant value even if the underlying index was roughly flat over time. He did not provide the fund's prospectus or any supplemental materials explaining leveraged ETF mechanics. Margaret agreed based on his recommendation. Over the next eleven months, the S&P 500 experienced considerable volatility, ending the period roughly 4% higher than where it started. However, due to the path-dependent nature of the 3x leveraged daily reset, Margaret's \$85,000 position had declined to approximately \$61,200 -- a loss of roughly \$23,800, or 28%. Margaret also held the position throughout the period without any monitoring or rebalancing from Muller. In January 2024, Margaret called Muller's office after reviewing her year-end statement, distressed about the loss. Muller told her to 'hang in there' and that the position would 'come back.' Margaret subsequently filed a complaint with the firm.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Muller violated applicable suitability and best interest standards on multiple grounds.

****Applicable Standards:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and experience.
2. ****Regulation Best Interest (Reg BI), Rule 15l-1:**** Under the Care Obligation, a broker must exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile, and must not place the financial interest of the broker ahead of the customer's interest. The Disclosure Obligation requires full and fair disclosure of material facts, including risks.

3. **FINRA Regulatory Notices 09-31, 12-03, and 22-08:** These notices specifically address leveraged and inverse ETFs and complex products. RN 09-31 explicitly warns that leveraged ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, due to the effects of daily compounding and volatility decay. RN 22-08 reinforces heightened obligations around complex products, requiring firms and representatives to ensure investors understand the products and that the products align with the investor's profile.

Analysis of Violations:

- **Customer-Specific Suitability (Rule 2111.04):** Margaret's profile -- a 71-year-old retiree with conservative risk tolerance, limited investment experience, income/preservation objectives, and reliance on her portfolio for supplemental retirement income -- is fundamentally incompatible with a 3x leveraged daily-resetting ETF. These products carry extreme volatility risk and are designed for sophisticated, short-term traders.

- **Reasonable Basis Suitability (Rule 2111.05):** Muller failed to demonstrate an understanding of the product himself, describing it misleadingly as 'like an index fund but with extra horsepower.' A 3x leveraged ETF is qualitatively different from a standard index fund due to daily resetting, path dependency, and volatility decay. If Muller understood these features and still recommended the product, the recommendation was knowingly unsuitable; if he did not understand, he lacked the reasonable basis required.

- **Failure to Disclose Material Risks (Reg BI Disclosure Obligation):** Muller did not explain the daily reset mechanism, the compounding effects, volatility decay, or the risk that the fund could lose substantial value even if the underlying index appreciated. He did not provide the prospectus. This constitutes a failure to disclose material facts about the investment.

- **Care Obligation Violation (Reg BI):** Allocating 25% of a conservative retiree's rollover IRA to a single 3x leveraged ETF fails the care obligation's requirement to consider reasonably available alternatives and to act without placing the advisor's interest ahead of the client's.

- **Failure to Monitor / Implicit Hold Recommendation:** Per FINRA RN 09-31, leveraged ETFs require active monitoring and are generally designed for single-day holding periods. Muller allowed Margaret to hold the position for eleven months without rebalancing, review, or any communication. His January 2024 advice to 'hang in there' compounded the violation by effectively recommending a continued hold of an unsuitable product.

- **Concentration Risk:** A 25% allocation to a single highly volatile leveraged product in a retirement account with a conservative profile represents excessive concentration.

Likely Regulatory Outcome:

Muller and his firm face significant liability. A regulatory examination or arbitration proceeding would likely result in findings of suitability violations under Rule 2111 and Reg BI. The firm's supervisory system may also be found deficient under FINRA Rule 3110 for failing to flag the trade for heightened review as required for complex products (per RN 22-08). Potential remedies include restitution of losses (approximately \$23,800), fines, a letter of caution or censure for the advisor, potential suspension, and enhanced supervisory requirements for the firm. Margaret's complaint is well-founded.

Item 261 of 350**NON-COMPLIANT**

Topic: inappropriate_risk_profile

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Dowling, age 71, is a retired public school teacher in Tucson, Arizona, with an annual pension income of \$48,000, Social Security benefits of \$22,800 per year, and total liquid savings of approximately \$310,000 held in a rollover IRA and a taxable brokerage account. She completed a new account form in February 2023 indicating a 'conservative' risk tolerance, an investment objective of 'capital preservation and income,' a time horizon of five to ten years, and limited investment experience consisting primarily of certificates of deposit and a target-date retirement fund held through her former employer's 403(b) plan. She told her advisor, Kevin Farrell, that her primary goals were to generate enough supplemental income to cover property taxes and medical co-pays and to leave a modest inheritance for her two grandchildren.

In March 2023, Farrell recommended that Mrs. Dowling allocate \$85,000--roughly 27% of her liquid assets--into a 3x leveraged daily-resetting ETF tracking the Nasdaq-100 index (ticker: TQQQ), which carried an expense ratio of 0.86%. Farrell told Mrs. Dowling that the fund would 'triple the returns of the tech sector' and was 'the fastest way to grow her grandchildren's inheritance.' He did not discuss how the product resets its leverage daily, the concept of volatility decay, or the risk that cumulative returns over periods longer than one trading day can diverge significantly--and often negatively--from three times the index return. He also did not explain that the product was designed for sophisticated, short-term traders and that the fund's own prospectus warned against holding it for more than a single trading session.

Farrell's branch office had no specialized supervisory procedures for complex, leveraged, or inverse exchange-traded products. No principal reviewed the trade before or shortly after execution. The firm's product catalog flagged TQQQ as a 'complex/speculative' product requiring enhanced review, but the automated alert generated by the order was closed by the branch manager, Dale Ingram, without any documented follow-up or conversation with either Farrell or Mrs. Dowling.

Mrs. Dowling held the position for eleven months. During that period, the Nasdaq-100 experienced several sharp drawdowns and recoveries. By February 2024, the Nasdaq-100 itself had gained approximately 9% from the date of purchase, yet Mrs. Dowling's TQQQ position showed a gain of only about 14%--far less than the 27% (3 x 9%) she had been led to expect--due to compounding losses during volatile stretches. More critically, in the interim the position had at one point declined by over 42%, temporarily reducing her \$85,000 investment to roughly \$49,300. The unrealized loss caused Mrs. Dowling significant distress and prompted her to contact the firm's compliance department, which led to an internal review. She ultimately sold the position in February 2024 at a modest gain but filed a complaint citing the emotional and financial stress of the dramatic interim losses and the unsuitability of the recommendation given her age, income, risk profile, and objectives.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Farrell violated applicable suitability and best interest standards on multiple grounds.

****Applicable Regulatory Framework:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, time horizon, liquidity needs, and risk tolerance. Rule 2111 encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

2. ****Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act):**** For recommendations made to retail customers after June 30, 2020, broker-dealers must act in the customer's best interest at the time a recommendation is made, without placing their own financial interest ahead of the customer's. The Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making a recommendation, including understanding the product's risks and reasonably believing the recommendation is in the customer's best interest given her stated profile.

3. ****FINRA Regulatory Notices 09-31, 12-03, and 22-08:**** These notices specifically address leveraged and inverse ETFs and complex products. RN 09-31 warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, because daily compounding causes returns to deviate materially from the stated leverage multiple over time--a phenomenon known as 'volatility decay' or 'path dependency.' RN 22-08 reinforced heightened obligations around complex products, including the requirement that firms establish robust written supervisory procedures, that advisors fully understand the products before recommending them, and that firms ensure such products are recommended only to investors whose profiles genuinely match the products' risk characteristics.

****Specific Violations:****

- ****Customer-Specific Suitability / Care Obligation Violation:**** Mrs. Dowling was a 71-year-old retiree with conservative risk tolerance, capital preservation objectives, limited investment experience, and moderate liquid savings. A 3x daily-leveraged ETF is categorically incompatible with this profile. The product is designed for sophisticated, active traders with high risk tolerance and very short holding periods. Allocating 27% of her liquid assets to this single speculative instrument compounded the unsuitability.

- ****Reasonable-Basis Suitability Violation:**** Farrell's characterization of TQQQ as simply 'tripling tech returns' demonstrates a fundamental misunderstanding (or willful misrepresentation) of how the product works. He failed to understand or convey that the 3x leverage resets daily, that volatility decay erodes returns over multi-day holding periods, and that the fund's own prospectus explicitly warns against long-term holding. An advisor who does not understand these mechanics cannot have a reasonable basis for recommending the product to anyone.

- ****Disclosure Failures:**** Farrell failed to explain the daily-reset mechanism, path dependency, volatility decay, the possibility that cumulative returns could significantly underperform three times the index return (or even produce losses when the index is flat or positive), or the product's intended use as a short-term tactical vehicle.

- ****Supervisory Failures:**** The branch office lacked specialized supervisory procedures for complex and leveraged products despite the firm's own product catalog flagging TQQQ as complex/speculative. Branch manager Dale Ingram closed the automated alert without any documented review, conversation with the advisor, or contact with the customer. This constitutes a failure of supervision under FINRA Rules 3110 and 3120, and is directly contrary to the enhanced supervisory expectations set forth in FINRA RN 09-31 and RN 22-08.

****Likely Regulatory Outcome:****

Farrell would likely face individual liability for unsuitable recommendations and failure to act in the customer's best interest. The firm and branch manager Ingram would likely face charges for supervisory failures. Potential sanctions include fines, disgorgement of commissions, restitution to Mrs. Dowling for any losses or damages (including the emotional distress caused by the 42% interim drawdown), suspension or bar for Farrell, and supervisory sanctions for Ingram. The fact that Mrs. Dowling ultimately sold at a modest gain does not negate the violation; suitability and best interest are assessed at the time of the recommendation, not based on subsequent outcomes.

Item 262 of 350

NON-COMPLIANT

Topic: high_fees_unsuitable

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Ellison, age 71, is a retired school librarian living in Tallahassee, Florida. She receives \$2,400 per month from Social Security and a modest state pension of \$1,100 per month. Her total liquid savings amount to approximately \$185,000, held in an IRA rollover account, which represents essentially her entire nest egg aside from her home. Margaret's stated investment objectives on her new account form are income and preservation of capital. Her risk tolerance is marked as conservative. She has no prior experience with options, futures, or complex exchange-traded products, and her investment history consists entirely of certificates of deposit and a balanced mutual fund she held for twelve years before rolling proceeds into her IRA.

In March 2022, Margaret's financial advisor, Derek Hollis, age 38, recommended that she allocate \$55,000--roughly 30% of her portfolio--into ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index, and an additional \$25,000 into Direxion Daily Semiconductor Bull 3X Shares (SOXL). Derek told Margaret these were 'high-powered growth funds that would turbocharge her retirement savings' and noted that technology stocks 'always come back strong.' He did not explain that these products reset daily, nor did he discuss the concept of volatility decay or the compounding effects that cause long-term returns to diverge significantly from the underlying index return multiplied by the leverage factor. He also did not mention that TQQQ carried a net expense ratio of 0.88% and SOXL carried a net expense ratio of 0.76%, both substantially higher than broad-market index ETFs typically charging 0.03% to 0.10%.

Derek placed the trades as unsolicited on the order tickets, though Margaret later stated she had never heard of either product before Derek brought them up during their meeting. Over the following ten months, the Nasdaq-100 experienced significant volatility, declining sharply through mid-2022 before partially recovering. By January 2023, Margaret's \$55,000 TQQQ position had fallen to approximately \$26,400, and her \$25,000 SOXL position had fallen to approximately \$9,800--a combined loss of roughly \$43,800, or 55% of the invested amount. Margaret contacted the branch manager in February 2023 after receiving her year-end statement and expressed shock at the losses, stating she had no idea the products could lose value so rapidly. An internal review revealed that Derek had recommended daily-leveraged ETFs to four other retired clients with conservative profiles during the same period, and that the firm had no specialized training program, enhanced supervision protocol, or approval process for complex leveraged products.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hollis committed multiple violations of applicable regulatory standards.

****Suitability and Best Interest Violations:****

Under FINRA Rule 2111 (Suitability), a financial advisor must have a reasonable basis for believing that a

recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and experience. Margaret Ellison is a 71-year-old retiree with conservative risk tolerance, income and capital preservation objectives, no experience with complex products, and a modest liquid net worth of \$185,000 that constitutes her primary retirement savings. Allocating 43% of her portfolio (\$80,000 combined) to 3x daily-leveraged ETFs flagrantly violates customer-specific suitability. These products are designed for sophisticated, short-term traders who actively monitor positions--not elderly conservative investors seeking income and capital preservation.

Under Regulation Best Interest (Rule 15l-1), broker-dealers and their associated persons must act in the retail customer's best interest at the time a recommendation is made, satisfying the Care Obligation, Disclosure Obligation, and Conflict of Interest Obligation. The Care Obligation requires reasonable diligence, care, and skill in making recommendations, including understanding the risks and costs of the product and having a reasonable basis to believe the recommendation is in the customer's best interest. Recommending 3x leveraged ETFs with expense ratios of 0.76%-0.88% to a conservative retiree, without any discussion of path dependency, daily resetting mechanics, or volatility decay, fails the Care Obligation entirely.

****Failure to Disclose Material Risks and Costs:****

FINRA Regulatory Notices 09-31 and 22-08 specifically warn that leveraged and inverse ETFs that reset daily are complex products unsuitable for long-term holding by most retail investors. These notices emphasize that in volatile markets, daily compounding causes returns to deviate significantly--often negatively--from the leveraged multiple of the underlying index's cumulative return. Derek failed to explain these mechanics. The elevated expense ratios (0.76%-0.88% versus 0.03%-0.10% for standard index ETFs) represent a material cost that was never disclosed to Margaret, compounding the unsuitability of the recommendation.

****Mismarking Order Tickets:****

Derek marked the trades as unsolicited despite Margaret's clear indication that she had never heard of either product before Derek recommended them. Mismarking solicited trades as unsolicited is a separate violation that undermines the firm's supervisory and compliance infrastructure and violates FINRA Rules 3110 and 4511 regarding books and records and supervisory obligations.

****Firm Supervisory Failures:****

The firm's lack of any specialized training, enhanced supervision, or pre-approval process for complex leveraged products violates FINRA Rule 3110 (Supervision) and the supervisory guidance in FINRA RN 09-31 and RN 22-08, which specifically call on firms to implement heightened supervision for leveraged and inverse ETFs, including post-trade surveillance to detect long-term holding by retail customers with unsuitable profiles. The discovery that Derek made similar recommendations to four other retired conservative clients suggests a pattern of misconduct that adequate supervision should have detected.

****Likely Regulatory Outcome:****

Derek would likely face individual sanctions including fines, disgorgement of commissions, a suspension, and potentially a bar if found to have intentionally mismarked order tickets. The firm would likely face significant fines for supervisory failures under FINRA Rule 3110. Margaret would have strong grounds for a customer arbitration claim seeking recovery of her approximately \$43,800 in losses, plus fees and costs. Given the egregiousness of recommending 3x leveraged ETFs to a 71-year-old conservative retiree with her entire retirement savings at stake, enhanced sanctions and punitive damages could be pursued.

Item 263 of 350**NON-COMPLIANT**

Topic: leveraged_etf_unsuitable

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Dawson, age 71, is a retired elementary school teacher living in suburban Phoenix, Arizona. Her annual pension income is approximately \$42,000, and she has total liquid savings of roughly \$310,000, which represents her entire retirement nest egg aside from Social Security. She has no other sources of income and describes her investment objective as "preserving my savings so I don't run out of money." On her new account form, her risk tolerance is marked as "conservative," and her investment experience is listed as "limited -- mostly CDs and a fixed annuity."

In March 2021, Margaret's financial advisor, Kevin Salazar, age 34, recommended that she invest \$95,000 -- approximately 31% of her liquid net worth -- into a 3x leveraged bull semiconductor ETF (ticker: SOXL) and \$45,000 into a 2x leveraged S&P 500 ETF (ticker: SSO). Salazar told Margaret that semiconductors were "the future" and that these funds would "supercharge her returns so she could leave more to her grandchildren." He did not explain that both products reset daily, that their compounding mechanism causes returns to deviate significantly from the underlying index over holding periods longer than one day, or that in volatile or sideways markets the funds could lose substantial value even if the underlying index ended roughly flat. He provided no written materials or supplemental disclosures about leveraged products. The firm's internal product catalog flagged both SOXL and SSO as "complex products requiring enhanced due diligence and supervisor sign-off," but Salazar's branch manager, Linda Fong, approved the trades after a brief phone conversation without reviewing Margaret's account profile, financial situation, or investment objectives.

Margaret held both positions for approximately 14 months. During that period, the semiconductor sector experienced sharp volatility. By May 2022, the SOXL position had declined from \$95,000 to approximately \$31,000 -- a loss of roughly \$64,000, or 67%. The SSO position declined from \$45,000 to approximately \$33,500, a loss of about \$11,500. In total, Margaret lost approximately \$75,500 -- nearly 25% of her entire liquid savings. When Margaret called Salazar in distress after receiving her May 2022 statement, he told her to "hang tight" and that the funds would "bounce back eventually." He did not explain that due to the daily-reset mechanism and volatility decay, the leveraged ETFs would need the underlying indices to rally far more than the percentage they had lost in order for her to break even. Margaret ultimately sold both positions in August 2022 after her daughter, a CPA, reviewed the account and urged her to exit immediately. By then, the combined losses had grown to approximately \$82,000.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, financial advisor Kevin Salazar violated applicable suitability and best interest standards in multiple respects.

1. ****Customer-Specific Suitability (FINRA Rule 2111.05(a) and Reg BI Rule 15l-1 Care Obligation):**** Margaret Dawson is a 71-year-old retiree with limited investment experience, a conservative risk tolerance, a stated objective of capital preservation, and a modest fixed income. Leveraged ETFs -- particularly a 3x leveraged sector fund -- are among the

most aggressive and volatile products available to retail investors. Concentrating approximately 31% of her liquid net worth in SOXL and another 15% in SSO is fundamentally incompatible with her profile. Under FINRA Rule 2111, a recommendation must be suitable for the specific customer based on her investment profile, including age, financial situation, risk tolerance, needs, objectives, and experience. Under Reg BI's Care Obligation (Exchange Act Rule 15l-1(a)(2)(ii)), a broker must exercise reasonable diligence, care, and skill in making a recommendation and must have a reasonable basis to believe the recommendation is in the retail customer's best interest. No reasonable advisor could conclude that placing nearly half of a conservative 71-year-old retiree's savings into daily-resetting leveraged ETFs served her best interest.

2. **Reasonable-Basis Suitability and Product-Level Understanding:** FINRA Regulatory Notice 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. FINRA RN 12-03 reinforced heightened suitability obligations for complex products generally. Salazar recommended a 14-month hold without explaining -- or apparently understanding -- path dependency, volatility decay, or the daily compounding mechanism. His advice to "hang tight" after significant losses demonstrates a fundamental misunderstanding of how these products behave over time, calling into question whether he had the reasonable-basis understanding required under FINRA Rule 2111.05(a).

3. **Failure to Disclose Material Risks:** Salazar did not provide any written materials, supplemental risk disclosures, or verbal explanation of the unique risks of leveraged ETFs -- specifically the daily-reset mechanism, the potential for total return to diverge dramatically from the leveraged multiple of the underlying index over multi-day periods, and the corrosive effect of volatility on returns. FINRA RN 22-08 proposed enhanced obligations for complex product recommendations, including requiring firms to exercise diligence in ensuring customers understand the key features and risks. Even under existing standards, Salazar's omissions constitute a material failure of disclosure.

4. **Concentration:** Allocating approximately 45% of a conservative retiree's liquid savings to leveraged ETFs represents an extreme and unsuitable concentration. This amplified the harm and further demonstrates disregard for Margaret's investment profile.

5. **Supervisory Failures:** Branch manager Linda Fong approved the trades without reviewing Margaret's account profile, financial situation, or investment objectives, despite the firm's own internal policies requiring enhanced due diligence and supervisor sign-off for complex products flagged in the product catalog. This constitutes a violation of FINRA Rule 3110 (supervisory obligations) and potentially FINRA Rule 2111's supervisory components. Under FINRA RN 12-03 and RN 22-08's frameworks, firms must implement reasonable supervisory systems for complex product sales, and a perfunctory phone call without file review is inadequate.

Likely Regulatory Outcome: Salazar would likely face individual liability for unsuitable recommendations and failure to act in the customer's best interest, potentially resulting in fines, suspensions, and restitution. Fong and the firm would face supervisory failure charges. Margaret would have strong grounds for recovery in arbitration of her approximately \$82,000 in losses, plus potentially consequential damages, interest, costs, and attorneys' fees.

Item 264 of 350**NON-COMPLIANT**

Topic: senior_investor_exploitation

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Donovan, age 78, is a retired school librarian living in Sarasota, Florida, on a fixed income of approximately \$2,800 per month from Social Security and a modest state pension. She has \$340,000 in total investable assets, representing her life savings and the proceeds from the sale of her late husband's home. Her stated investment objectives on her account opening documents are capital preservation and income generation, and her risk tolerance is listed as conservative. She has no prior experience trading options, futures, or leveraged products, and her investment knowledge is described as 'limited' on her client profile form.

In March 2023, Margaret's financial advisor, Kevin Briscoe, age 34, recommended that she allocate \$85,000 -- roughly 25% of her portfolio -- into a 3x leveraged daily-resetting bull ETF tracking the semiconductor sector, ticker symbol SOXL. Briscoe told Margaret the fund would 'triple her gains in the hottest sector of the market' and described it as a way to 'make up for lost time' after her portfolio had underperformed during 2022. He did not explain the daily reset mechanism, compounding effects, volatility decay, or the fact that the product was designed for short-term tactical trading rather than buy-and-hold investing. No written materials about the product's risks were provided to Margaret, and there is no record that Briscoe's branch office had any heightened supervisory review process for sales of leveraged or complex exchange-traded products to retail customers.

Briscoe placed the trade and did not contact Margaret again for over seven months. During this period, the semiconductor sector experienced significant volatility, with several drawdowns of 10-15% followed by partial recoveries. By October 2023, the underlying semiconductor index was approximately 2% above where it had been when Margaret's position was opened. However, due to the effects of daily compounding and volatility decay inherent in the 3x leveraged structure, Margaret's SOXL position had declined from \$85,000 to approximately \$61,400 -- a loss of roughly \$23,600, or 27.8%, despite the underlying index being slightly positive over the same period.

When Margaret called Briscoe in late October to ask why her account value had dropped so significantly, he told her to 'hang in there' and that 'it would come back.' He did not recommend liquidating the position or explain why the losses had occurred. Margaret's daughter, a CPA, eventually reviewed the account in December 2023 and immediately raised concerns. By that time the position had declined further to approximately \$54,200, a total loss of over \$30,000. Margaret subsequently filed a complaint with Briscoe's firm.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Briscoe violated multiple regulatory requirements in recommending and maintaining this position for Margaret Donovan.

****Suitability and Best Interest Violations:****

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and experience. Under Regulation Best Interest (Rule 15l-1 under the Exchange Act), the standard is elevated further: the broker must act in the retail customer's best interest at the time a recommendation is made, without placing the broker's interest ahead of the customer's.

Here, Margaret Donovan is a 78-year-old retiree with conservative risk tolerance, capital preservation objectives, limited investment knowledge, no experience with complex products, and a fixed income of \$2,800/month. A 3x daily-resetting leveraged ETF is fundamentally incompatible with every element of her investment profile. FINRA Regulatory Notices 09-31 and 12-03 specifically warn that leveraged and inverse ETFs that reset daily are generally unsuitable for retail investors who plan to hold them for longer than one trading session, because daily compounding causes the returns to deviate -- often dramatically -- from the multiple of the underlying index's return over longer periods. FINRA RN 22-08 further reinforces the obligation to apply heightened scrutiny to complex products, including leveraged ETFs, before recommending them to retail customers.

****Specific Violations Include:****

1. ****Reasonable Basis Suitability (Rule 2111.05(a)):** Briscoe failed to understand the product he was recommending. There is no evidence he understood or explained daily-reset mechanics, path dependency, or volatility decay to Margaret.
2. ****Customer-Specific Suitability (Rule 2111.05(b)):** A 3x leveraged semiconductor ETF is categorically unsuitable for a 78-year-old conservative investor seeking capital preservation and income. The 25% portfolio concentration magnifies this violation.
3. ****Reg BI Care Obligation (Rule 15l-1(a)(2)(ii)(B)):** Briscoe did not exercise reasonable diligence, care, and skill in making this recommendation. He failed to consider reasonably available alternatives (e.g., dividend-paying equities, bond funds, CDs) that would have aligned with Margaret's objectives.
4. ****Reg BI Disclosure Obligation:** Briscoe provided no written risk disclosures about the leveraged ETF and affirmatively mischaracterized the product by describing it only in terms of upside potential without mentioning the significant risks of long-term holding.
5. ****Failure to Monitor / Quantitative Suitability:** Briscoe recommended the position and then abandoned the client for seven months, failing to recommend an exit even as the product performed exactly as regulators have warned -- eroding value through volatility decay despite a flat-to-positive underlying index. When contacted, he compounded the harm by advising Margaret to continue holding.
6. ****Supervisory Failures:** The branch had no heightened supervisory review process for leveraged or complex product sales to retail investors, violating the supervisory obligations outlined in FINRA RN 09-31 and RN 22-08, which call on firms to implement specific written supervisory procedures, post-trade surveillance, and concentration limits for these products.

****Senior Investor Considerations:** Margaret's age and vulnerability as a senior investor on a fixed income amplify the severity of these violations. FINRA has repeatedly emphasized heightened obligations when dealing with senior investors, and the loss of over \$30,000 -- nearly 9% of her life savings -- from a single unsuitable position is the type of harm regulators view as particularly egregious.

****Likely Regulatory Outcome:** Briscoe would likely face sanctions including fines, disgorgement, suspension, or a bar. The firm would face supervisory failure charges. Margaret would likely prevail in arbitration and recover her losses plus

interest, and potentially consequential damages.

Item 265 of 350**NON-COMPLIANT**

Topic: leveraged_etf_unsuitable

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Olsen, age 71, is a retired public school teacher in suburban Minneapolis with an annual pension income of \$48,000 and Social Security benefits of \$22,800. Her total liquid savings amount to approximately \$385,000, held primarily in a traditional IRA rollover account. She describes herself as a conservative investor whose primary objectives are capital preservation and generating modest supplemental income to cover prescription drug costs and property taxes on her home, which she owns outright. She has no prior experience with options, futures, or leveraged products, and her prior portfolio consisted entirely of certificates of deposit and a balanced mutual fund.

In March 2023, her financial advisor, Derek Hahn, age 34, with six years of industry experience at Ridgeline Wealth Partners, recommended that Mrs. Olsen allocate \$115,000--roughly 30% of her retirement portfolio--into a 3x leveraged bull semiconductor ETF (ticker: SOXL) and \$50,000 into a 2x leveraged S&P 500 ETF (ticker: SSO). Hahn told Mrs. Olsen these were "high-quality technology and market funds" that would help her "keep up with inflation" and that she should plan to hold them "for at least a year or two to really see the gains compound." He did not discuss daily resetting mechanics, volatility decay, compounding risk, or the possibility that the products could lose substantial value even if the underlying index was roughly flat over a multi-month period. He did not provide any written materials, prospectus excerpts, or risk disclosures specific to leveraged ETFs. His notes in the firm's CRM system listed the recommendation rationale simply as "client wants growth."

Ridgeline's compliance manual required heightened supervision and a signed acknowledgment form for any leveraged or inverse product transaction, but no acknowledgment was obtained and no supervisory principal reviewed the trades before execution. The branch manager, Karen Liu, was aware that Hahn frequently recommended leveraged ETFs to clients but had never conducted a targeted review of those recommendations.

Over the following 14 months, the semiconductor sector experienced significant volatility. By May 2024, despite the Philadelphia Semiconductor Index being approximately 8% higher than its March 2023 level, SOXL had gained only about 2% due to volatility decay and path dependency effects. Meanwhile, a sharp three-week drawdown in April 2024 temporarily pushed the SOXL position down 41% from its purchase price before partially recovering. SSO performed somewhat better but still underperformed a simple unleveraged S&P 500 index fund over the same period. Mrs. Olsen, alarmed by the fluctuations and confused by the disconnect between the news about semiconductor stocks rising and her account declining, called Hahn multiple times. He assured her to "stay the course." She ultimately liquidated both positions in June 2024 at a combined net loss of approximately \$19,400, representing roughly 5% of her total retirement savings. She subsequently filed a complaint with the firm alleging the investments were completely inappropriate for her situation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hahn violated both the suitability standard under FINRA Rule 2111 and the best interest obligation under

Regulation Best Interest (Reg BI), Rule 15l-1 under the Securities Exchange Act of 1934. Multiple layers of failure are present.

****1. Customer-Specific Suitability (FINRA Rule 2111.05):****

Mrs. Olsen's profile--age 71, retired, fixed income of \$70,800/year, conservative risk tolerance, capital preservation and income objectives, no experience with complex products--is fundamentally incompatible with 2x and 3x daily-resetting leveraged ETFs. These products carry extreme short-term volatility, magnified drawdown risk, and path-dependent return profiles that can erode principal even when the underlying index appreciates. Allocating 30% of a retiree's IRA to a 3x leveraged semiconductor ETF is a textbook suitability violation. FINRA Regulatory Notice 09-31 specifically warned that leveraged and inverse ETFs are typically unsuitable for retail investors who plan to hold them for longer than one trading session, and FINRA RN 22-08 reinforced the obligation to evaluate complex products with heightened scrutiny.

****2. Reasonable-Basis Suitability:****

Hahn recommended a long-term hold of daily-resetting products without understanding or explaining the mechanics of volatility decay and compounding risk. FINRA RN 09-31 and RN 12-03 emphasize that an advisor must understand the product before recommending it. His description of SOXL and SSO as simple 'high-quality technology and market funds' demonstrates either a fundamental misunderstanding of the products or a deliberate mischaracterization--both of which fail the reasonable-basis component.

****3. Reg BI Care Obligation (Rule 15l-1(a)(2)(ii)(B)):****

Reg BI requires that a broker-dealer exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. Placing a 71-year-old conservative retiree into 3x leveraged ETFs with a recommendation to hold long-term directly contravenes the care obligation. There is no reasonable basis to conclude this recommendation was in Mrs. Olsen's best interest.

****4. Reg BI Disclosure Obligation:****

Hahn failed to disclose material facts about the products, including daily resetting mechanics, volatility decay, the risk of losses even in a rising market, and the products' unsuitability for long-term holding. This violates the disclosure component of Reg BI.

****5. Supervisory Failures (FINRA Rule 3110):****

Ridgeline's own compliance procedures required a signed acknowledgment and supervisory review for leveraged product transactions. Neither was obtained. Branch manager Karen Liu was aware of Hahn's pattern of recommending leveraged ETFs but failed to conduct any targeted review. This constitutes a failure to supervise under FINRA Rule 3110 and exposes the firm to liability. FINRA RN 22-08 specifically highlights that firms must have robust supervisory systems for complex products, including leveraged and inverse ETFs.

****6. Documentation Deficiency:****

Hahn's CRM notation of 'client wants growth' is inconsistent with Mrs. Olsen's documented conservative profile and capital preservation objective, suggesting either fabrication of rationale or a failure to conduct any meaningful needs analysis.

****Likely Regulatory Outcome:****

Hahn would likely face individual sanctions including fines, disgorgement of commissions, a suspension, and potentially a bar for pattern conduct. Ridgeline Wealth Partners faces supervisory violation charges and potential fines. Mrs. Olsen would likely prevail in arbitration and recover her \$19,400 loss plus potential consequential damages, fees, and interest. The firm's failure to enforce its own written supervisory procedures significantly strengthens the customer's claim.

Item 266 of 350

NON-COMPLIANT

Topic: high_fees_unsuitable

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Bowen, age 71, is a retired elementary school teacher in Tulsa, Oklahoma, with a fixed annual income of \$38,000 from her pension and Social Security. She has \$185,000 in a rollover IRA, which represents her primary retirement savings aside from her pension. Her stated investment objectives are capital preservation and modest income generation, and her risk tolerance questionnaire, completed in January 2023, rated her as conservative. She has no prior experience with derivatives, leveraged products, or active trading strategies. In March 2023, her financial advisor, Derek Holt, recommended that she allocate \$55,000 of her IRA into a 3x leveraged bull semiconductor ETF (ticker symbol: SOXL) and \$30,000 into a 2x inverse Treasury bond ETF (ticker symbol: TBT). Derek told Margaret that these were 'just like regular ETFs but they move a little faster,' and described the semiconductor fund as a way to 'ride the AI wave' and the inverse Treasury fund as a 'hedge against rising rates eating into your savings.' He did not explain the daily resetting mechanism, the effects of compounding on multi-day returns, or the concept of volatility decay. He also did not disclose that the 3x leveraged ETF carried an expense ratio of 0.89% and that the 2x inverse Treasury ETF carried an expense ratio of 0.95%, both significantly higher than comparable unleveraged index ETFs with expense ratios of 0.03% to 0.10%. Additionally, Derek's firm charged a 1.25% annual advisory wrap fee on all IRA assets, meaning Margaret was paying layered fees -- the advisory fee plus the elevated internal ETF expenses -- on nearly half her retirement portfolio. Margaret held both positions for eleven months. By February 2024, the leveraged semiconductor ETF had experienced significant intraday volatility over the holding period; despite the underlying semiconductor index being up approximately 12% over those eleven months, Margaret's 3x leveraged position was up only 18% rather than the 36% she might have naively expected, due to volatility decay and path dependency. The inverse Treasury ETF performed worse: Treasury yields were roughly flat over the period, yet TBT lost approximately 9% of its value due to the compounding effects of daily resetting during a period of rate volatility. Combined, Margaret paid approximately \$1,620 in internal ETF expenses and \$1,063 in advisory wrap fees on the two positions alone over the holding period. When Margaret called Derek in February 2024 concerned about the losses in TBT and the underwhelming gains in SOXL, he told her to 'hang tight, these things work out over time.' Margaret subsequently filed a complaint with Derek's firm alleging that the products were never explained to her, that the fees were excessive for her situation, and that the investments were inconsistent with her conservative retirement objectives.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Holt committed multiple violations of applicable regulatory standards.

1. ****Suitability and Best Interest Violations (FINRA Rule 2111; Regulation Best Interest, Rule 15l-1):**** Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, taking into account the customer's age, financial situation, investment objectives, risk tolerance, and other profile factors. Under Reg BI (Rule 15l-1), the advisor must act in the retail customer's best interest and satisfy the Care Obligation, which requires reasonable diligence, care, and skill in making recommendations. Recommending a 3x leveraged semiconductor ETF and a 2x inverse Treasury ETF to a 71-year-old retired teacher with

a conservative risk profile, capital preservation objectives, limited savings, and no experience with complex instruments fails both the customer-specific suitability prong and the Care Obligation. These products are designed for short-term, sophisticated, active traders -- not buy-and-hold conservative retirees.

2. ****Complex Products Supervision Failures (FINRA Regulatory Notices 09-31, 12-03, and 22-08):**** FINRA RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, due to the effects of daily compounding, path dependency, and volatility decay. RN 22-08 reinforced members' obligations regarding complex products, including the need for enhanced suitability analysis, meaningful disclosure, and supervisory procedures. Derek's description of these products as being 'just like regular ETFs but they move a little faster' was materially misleading and failed to convey the fundamental risks of daily resetting products.

3. ****High Fee Layering and Cost Disclosure:**** The combination of elevated internal ETF expense ratios (0.89% and 0.95%) on top of a 1.25% wrap advisory fee created a layered cost structure that was disproportionate and harmful to a conservative retirement investor. Under the Reg BI Disclosure Obligation, all material fees and costs must be disclosed, and under the Care Obligation, the advisor must consider reasonably available alternatives with lower costs. Unleveraged semiconductor and Treasury ETFs with expense ratios of 0.03%-0.10% existed as alternatives that would have been far more cost-efficient and aligned with Margaret's profile.

4. ****Failure to Recommend Exit / Hold Recommendation:**** When Margaret contacted Derek after eleven months expressing concern, his advice to 'hang tight' compounded the original violation. FINRA RN 09-31 explicitly cautioned that longer holding periods for daily-resetting leveraged and inverse products increase the likelihood of material deviation from the expected return multiple. The ongoing hold recommendation itself constituted a further suitability violation.

5. ****Allocation Concentration:**** Approximately 46% of Margaret's total IRA (\$85,000 of \$185,000) was placed into speculative, high-fee, daily-resetting leveraged and inverse products -- an excessive concentration for any conservative retiree, let alone one dependent on her IRA for retirement security.

****Likely Regulatory Outcome:**** Derek and his firm face potential FINRA enforcement action, including fines, disgorgement of advisory fees, restitution to Margaret for losses and excess fees, a supervisory deficiency finding against the firm for failing to implement adequate complex product review procedures, and possible suspension for Derek. Customer arbitration would likely result in damages awarded for the unsuitable recommendations, excessive fees, and failure to disclose material product characteristics.

Item 267 of 350**NON-COMPLIANT**

Topic: senior_investor_exploitation

Difficulty: medium

Source: 25_Leveraged_Inverse ETFs

Fact Pattern

Margaret Holloway, age 78, is a retired schoolteacher living in suburban Phoenix, Arizona. She has a fixed monthly income of \$2,400 from Social Security and a small pension of \$850 per month. Her total liquid savings amount to approximately \$340,000, held in a brokerage account at Ridgeline Financial Services. Her account application, completed in January 2022, lists her investment objective as "income and capital preservation," her risk tolerance as "low," her time horizon as "5-10 years," and her investment experience as "limited -- primarily CDs and savings bonds." She has no prior experience with options, futures, or complex exchange-traded products.

In March 2022, Margaret's financial advisor, Kyle Brennan, age 34, conducted an in-person meeting at her home. According to Margaret's account of the meeting, Kyle told her that interest rates were going to rise significantly and that she could "protect her nest egg from bond losses" by investing in a product that would profit when Treasury bond prices fell. Kyle recommended she purchase \$95,000 worth of the ProShares UltraShort 20+ Year Treasury ETF (TBT), a daily-resetting 2x inverse leveraged ETF that seeks to deliver twice the inverse of the daily return of an index of long-term Treasury bonds. He described it as "basically the opposite of a bond fund" and said it would be a good hedge.

Margaret agreed, and Kyle placed the trade on March 14, 2022, allocating roughly 28% of her liquid portfolio to TBT. He did not discuss the daily-resetting mechanism, the effects of compounding over time, the concept of volatility decay, or the fact that the product was designed for short-term tactical trading. No written materials about the product's risks were provided or reviewed with Margaret. Kyle's branch manager, Denise Pratt, approved the trade without speaking to Margaret or reviewing any documentation specific to the recommendation of a leveraged inverse product to a senior client.

Over the following 14 months, Kyle did not contact Margaret to review the position or discuss whether it remained appropriate. Margaret, believing the investment was a long-term holding similar to her previous bond investments, did not sell. By May 2023, despite the general trend of rising rates, TBT had experienced significant intraday volatility and the compounding effects inherent to daily-resetting leveraged products. Margaret's \$95,000 position had declined to approximately \$61,000 -- a loss of roughly \$34,000 or 36% -- even though the underlying index had moved partially in the direction Kyle predicted. Margaret discovered the loss only when she requested a portfolio summary to give to her estate attorney.

Margaret filed a complaint in June 2023 alleging that Kyle never explained how the product worked, that the investment was unsuitable for someone her age and risk profile, and that no one at the firm followed up to monitor the position. Kyle's internal notes from the March meeting consist of a single sentence: "Client interested in rate hedge -- recommended TBT." There is no record of a discussion of alternative products, such as shorter-duration bond funds or Treasury bills, which would have aligned more closely with Margaret's stated objectives.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, the financial advisor violated applicable suitability and best interest standards in multiple respects.

****Applicable Standards:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and experience.
2. ****Regulation Best Interest (Reg BI), Rule 15l-1 under the Securities Exchange Act of 1934:**** Reg BI requires that a broker-dealer act in the retail customer's best interest at the time a recommendation is made, without placing the financial interest of the broker-dealer ahead of the customer. It encompasses a Care Obligation (reasonable diligence, care, and skill in making recommendations), a Disclosure Obligation (full and fair disclosure of material facts), and a Compliance Obligation (policies and procedures reasonably designed to achieve compliance).
3. ****FINRA Regulatory Notice 09-31:**** This notice specifically warns firms and advisors that leveraged and inverse ETFs that reset daily are complex products typically unsuitable for retail investors who plan to hold them for more than one trading session. The notice emphasizes that in volatile markets, these products can produce returns that diverge significantly from the stated multiple of the underlying index over longer periods due to the mathematical effects of daily compounding (often called "volatility decay" or "path dependency").
4. ****FINRA Regulatory Notice 12-03:**** This notice addresses heightened supervision obligations for complex products, requiring firms to perform a reasonable-basis suitability analysis before recommending any complex product, ensure that the recommending advisor understands the product, and consider whether the complexity of the product makes it inappropriate for certain customer profiles.
5. ****FINRA Regulatory Notice 22-08:**** This notice further reinforces member firms' obligations regarding complex products, including leveraged and inverse ETFs, and discusses enhanced measures such as requiring customers to demonstrate comprehension of the product before purchase.

****Analysis of Violations:****

- ****Customer-Specific Suitability (Rule 2111.05):**** Margaret is a 78-year-old retiree on a fixed income with low risk tolerance, a capital preservation objective, a moderate time horizon, and no experience with complex products. Recommending that she concentrate 28% of her liquid assets in a daily-resetting 2x inverse leveraged ETF is fundamentally incompatible with her investment profile. The product is designed for sophisticated, active traders making short-term tactical bets -- not for elderly, conservative investors seeking to preserve capital.
- ****Reasonable-Basis Suitability:**** Kyle's description of TBT as "basically the opposite of a bond fund" and a long-term "hedge" demonstrates a failure to understand the product's mechanics himself, or a deliberate mischaracterization. A daily-resetting leveraged inverse product is not equivalent to a simple short bond position held over months. The advisor failed to perform adequate due diligence on the product he recommended.
- ****Reg BI Care Obligation:**** The recommendation did not reflect reasonable diligence, care, or skill. A reasonably competent advisor, exercising care, would have recognized that a daily-resetting 2x inverse leveraged ETF is unsuitable for a 78-year-old conservative investor and would have explored alternatives such as shorter-duration bond funds, Treasury bills, floating-rate notes, or I-bonds.

- ****Reg BI Disclosure Obligation:**** Kyle failed to disclose material facts about TBT, including its daily-resetting mechanism, the compounding risk over periods longer than one day, volatility decay, and the fact that the product could lose substantial value even if the underlying directional thesis proved partially correct. No written product disclosures were provided.
- ****Supervision Failures (FINRA Rule 3110; RN 12-03; RN 22-08):**** Branch manager Denise Pratt approved the trade in a complex leveraged inverse product to a senior retail client without any enhanced review, without contacting the client, and without verifying that adequate disclosures were made. This represents a failure of the firm's supervisory system. Under RN 12-03 and RN 22-08, firms must have heightened supervisory procedures for complex product recommendations, particularly to vulnerable investors.
- ****Senior Investor Concerns:**** The customer's age (78) triggers additional considerations. FINRA has repeatedly emphasized the need for enhanced protections for senior investors, and the combination of Margaret's age, fixed income, low sophistication, and conservative objectives makes the recommendation particularly egregious.
- ****Failure to Monitor:**** Kyle made no contact with Margaret for 14 months after placing her in a product designed for daily trading. The absence of any ongoing monitoring or periodic review of a position in a daily-resetting leveraged product compounds the initial suitability violation.

****Likely Regulatory Outcome:****

This case presents clear violations of both FINRA Rule 2111 and Reg BI. The advisor would likely face sanctions including fines, disgorgement of commissions, suspension or bar, and the firm could face supervisory deficiency charges under FINRA Rule 3110. Margaret would likely recover her losses (approximately \$34,000) plus interest through arbitration or a regulatory proceeding. The firm's supervisory failures related to complex product oversight and senior investor protections would likely result in additional fines and required remedial actions.

Item 268 of 350

NON-COMPLIANT

Topic: inappropriate_risk_profile

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Ellison, age 71, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,400 per month from her pension and \$1,850 per month in Social Security benefits. Her total liquid investable assets amount to approximately \$310,000, held in a rollover IRA and a small taxable brokerage account. She has no other significant sources of income and describes her investment objective as capital preservation with modest income generation. On her new account form, her risk tolerance is marked as "conservative," and her investment time horizon is listed as 5-10 years. She has no prior experience with options, futures, margin accounts, or complex exchange-traded products. Her prior portfolio consisted entirely of certificates of deposit and a balanced mutual fund.

In March 2023, her financial advisor, Kevin Driscoll, age 38, recommended that Mrs. Ellison invest \$75,000 -- roughly 24% of her liquid net worth -- into ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index. Driscoll told Mrs. Ellison that the fund "gives you three times the upside of tech stocks" and described it as a way to "supercharge the growth side of her portfolio" to offset inflation eroding her fixed income. He did not explain the daily reset mechanism, the concept of volatility decay, or the fact that the product's returns over periods longer than one day can deviate significantly -- and often negatively -- from three times the cumulative index return. He did not provide any written risk disclosures specific to leveraged ETFs, nor did he document any analysis of how this product fit within her overall financial plan.

Mrs. Ellison held the position for approximately 14 months. During that period, the Nasdaq-100 experienced multiple sharp drawdowns and recoveries. Despite the Nasdaq-100 being roughly flat over the 14-month window (down approximately 1.2%), Mrs. Ellison's TQQQ position lost approximately \$19,500, or 26% of the \$75,000 invested, due to the compounding effects of daily rebalancing in a volatile market. When she called Driscoll in May 2024 asking why her position had lost so much when she had read that tech stocks were "about where they were a year ago," he told her to "hang tight" and that the position would "come back strong." No rebalancing, exit strategy, or alternative recommendation was offered. Mrs. Ellison eventually liquidated the position herself in June 2024 after reading a newspaper article about the risks of leveraged funds for retirees.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Driscoll violated both the suitability requirements under FINRA Rule 2111 and the best interest obligation under Regulation Best Interest (Reg BI), Rule 15l-1 under the Securities Exchange Act of 1934. The analysis proceeds along multiple dimensions:

****1. Customer-Specific Suitability (FINRA Rule 2111.05(a)):**

Mrs. Ellison is a 71-year-old retiree with conservative risk tolerance, a capital preservation objective, no experience with complex products, and dependence on her portfolio for supplemental retirement income. A 3x daily-leveraged ETF is fundamentally incompatible with every element of her investor profile. FINRA Regulatory Notice 09-31 explicitly warns

that leveraged and inverse ETFs are "typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets." Allocating 24% of her liquid assets to such a product drastically increased the risk profile of her overall portfolio in a manner wholly inconsistent with her stated objectives.

****2. Reasonable-Basis Suitability (FINRA Rule 2111.05(a)):****

Driscoll's description of TQQQ as providing "three times the upside" without explaining the daily-reset mechanism, path dependency, or volatility decay suggests he either did not understand the product himself or deliberately omitted material information. FINRA RN 09-31 and RN 22-08 emphasize that firms and their representatives must understand the terms, features, and risks of complex products before recommending them. A leveraged ETF's return over multi-day periods is a function of the path of daily returns, not simply three times the cumulative index return. In a volatile, sideways market, compounding losses (volatility decay) can cause substantial erosion of principal even when the underlying index is flat -- exactly what occurred here.

****3. Reg BI -- Care Obligation (Rule 15l-1(a)(2)(ii)(B)):****

Reg BI requires that a broker-dealer exercise reasonable diligence, care, and skill in making a recommendation, considering the investment's risks, rewards, and costs in light of the customer's profile. Recommending a daily-resetting 3x leveraged ETF for long-term holding by a conservative, elderly, inexperienced retiree fails this standard on its face. Additionally, the Care Obligation requires consideration of reasonably available alternatives; Driscoll made no documented effort to consider less risky ways to achieve modest growth or inflation protection.

****4. Reg BI -- Disclosure Obligation (Rule 15l-1(a)(2)(ii)(A)):****

Driscoll failed to disclose material facts about the product -- specifically the daily reset feature, the impact of compounding on multi-day returns, and the risk of loss even in flat or modestly positive markets. This omission violated the Disclosure Obligation.

****5. Ongoing Implicit Recommendation / Failure to Act:****

FINRA RN 12-03 (Know Your Customer and Suitability) and RN 22-08 (Complex Products) emphasize that when a customer holds a product that is clearly unsuitable -- particularly a leveraged ETF well beyond its intended one-day holding period -- the advisor has an obligation not to compound the harm. Driscoll's advice to "hang tight" in May 2024, 14 months into the position, effectively constituted an implicit hold recommendation for a product designed for intraday or very short-term trading, further exacerbating the violation.

****6. Supervision Failures:****

The firm's supervisory system likely failed as well under FINRA Rules 3110 and 3120 and the complex products supervision expectations outlined in RN 22-08. The firm should have had policies restricting or flagging leveraged ETF purchases for customers with conservative profiles and should have monitored holding periods.

****Likely Regulatory Outcome:****

Driscoll and his firm face potential FINRA enforcement action, including fines, disgorgement of commissions, restitution to Mrs. Ellison of her approximately \$19,500 in losses, and possible suspension. The fact pattern presents a textbook case of an unsuitable leveraged ETF recommendation to a vulnerable retail investor, the exact scenario regulators have repeatedly warned against since 2009.

Item 269 of 350**NON-COMPLIANT**

Topic: complex_products_unsophisticated_investor

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Halloran, age 67, is a retired elementary school teacher in suburban Pittsburgh, Pennsylvania, living on a fixed income consisting of a \$2,800 monthly pension and Social Security benefits of \$1,900 per month. Her total liquid savings amount to approximately \$285,000, held primarily in a rollover IRA that she accumulated over her 34-year teaching career. She has no prior experience with options, futures, margin accounts, or any leveraged financial products. On her new account form, completed in March 2023, her stated investment objectives were "income" and "capital preservation," and her risk tolerance was marked as "conservative." She told her advisor, Derek Fulton, that her primary concern was making her savings last through retirement and potentially leaving something to her two grandchildren.

In April 2023, Fulton recommended that Mrs. Halloran invest \$95,000 -- roughly one-third of her retirement savings -- into ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index, and \$45,000 into ProShares UltraPro Short QQQ (SQQQ), a -3x daily-leveraged inverse ETF on the same index. Fulton described the combined position as a "hedged strategy" that would "protect her on both sides of the market" while generating "enhanced returns over time." He did not explain the daily resetting mechanism of these products, the concept of volatility decay, or that the products were designed for short-term tactical trading rather than buy-and-hold investing. He did not provide any supplemental materials, product fact sheets, or the fund prospectuses, nor did he document any analysis of why these complex instruments were appropriate for Mrs. Halloran's profile.

Mrs. Halloran held both positions for approximately eleven months. During that period, the Nasdaq-100 experienced significant volatility, with multiple swings of 3-5% within individual weeks. By March 2024, her TQQQ position had declined from \$95,000 to approximately \$61,400, and her SQQQ position had declined from \$45,000 to approximately \$18,200 -- a combined loss of roughly \$60,400, or 43% of the invested capital. Meanwhile, the Nasdaq-100 itself was actually up approximately 4% over the same period. Mrs. Halloran only discovered the severity of her losses when she requested a withdrawal to cover an unexpected home repair. She contacted the branch manager to complain, stating she had never understood what she was invested in and believed her money was in "something safe that went both ways so I couldn't lose."

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Fulton's recommendations violated multiple applicable regulatory standards.

****Regulation Best Interest (Reg BI) -- Rule 15l-1 under the Securities Exchange Act of 1934:****

Under Reg BI's Care Obligation, a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill when making a recommendation to a retail customer. This includes understanding the potential risks, rewards, and costs of the recommendation, and having a reasonable basis to believe the recommendation is in the retail customer's best interest at the time it is made, considering the customer's investment profile -- including age, financial

situation, investment objectives, risk tolerance, and investment time horizon. Recommending 3x leveraged and -3x inverse leveraged ETFs to a 67-year-old retired teacher on a fixed income with conservative risk tolerance and capital preservation objectives fails this standard on every dimension. These products are inherently speculative, high-risk instruments wholly incompatible with her stated needs.

****FINRA Rule 2111 (Suitability):****

This rule requires that a broker have a reasonable basis (reasonable-basis suitability), customer-specific basis (customer-specific suitability), and quantitative basis for recommendations. On reasonable-basis suitability, Fulton apparently did not understand the products' daily-resetting mechanism, volatility decay, and path dependency -- or if he did, he failed to convey it. On customer-specific suitability, no reasonable analysis could justify placing one-third of a conservative retiree's liquid retirement savings into 3x and -3x daily-resetting leveraged products.

****FINRA Regulatory Notices 09-31, 12-03, and 22-08:****

FINRA RN 09-31 explicitly warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets. It noted that these products can produce results that differ significantly from the underlying index over longer periods due to the mathematical effects of daily compounding (volatility decay). RN 12-03 reinforced heightened supervision requirements for complex products, requiring firms to assess whether their registered representatives understand the products before recommending them. RN 22-08 further emphasized that complex products require enhanced suitability analysis and that firms must have robust supervisory systems to evaluate recommendations of complex products to retail investors. The combination of TQQQ and SQQQ does not constitute a genuine hedge; both positions lose value simultaneously in choppy, volatile markets due to the compounding effect, which is exactly what occurred here.

****Specific Violations:****

1. ****Failure to understand the product:**** Fulton's characterization of the combined TQQQ/SQQQ position as a 'hedged strategy' that protects 'on both sides' demonstrates a fundamental misunderstanding of how daily-resetting leveraged products behave over time. In volatile, range-bound markets, both long and short leveraged ETFs lose value simultaneously due to volatility decay.
2. ****Customer-specific unsuitability:**** A 67-year-old conservative retiree with no experience in complex products, seeking income and capital preservation, is the paradigmatic unsuitable customer for 3x leveraged instruments.
3. ****Concentration:**** Allocating approximately 49% of the customer's liquid retirement assets (\$140,000 of \$285,000) to speculative leveraged products is excessive for any conservative investor.
4. ****Failure to disclose material risks:**** Fulton did not explain the daily reset mechanism, path dependency, volatility decay, or the products' intended short-term holding period. He did not provide prospectuses or supplemental materials.
5. ****Failure to document rationale:**** No documentation exists showing why these products were appropriate for this customer.

****Likely Regulatory Outcome:****

This fact pattern would likely result in a finding of violation of Reg BI's Care Obligation and FINRA Rule 2111. Fulton would face potential sanctions including fines, disgorgement, suspension, or a bar. The firm would face supervisory liability under FINRA Rule 3110 for failing to have adequate systems in place to supervise recommendations of complex products to retail investors, as contemplated by RN 22-08 and RN 12-03. Mrs. Halloran would likely recover her losses of approximately \$60,400 in arbitration, potentially with interest.

Item 270 of 350

NON-COMPLIANT

Topic: failure_to_know_customer

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Olson, age 71, is a retired elementary school teacher living in Cedar Rapids, Iowa. She receives \$2,400 per month from her pension and \$1,850 per month from Social Security. Her total liquid savings amount to approximately \$340,000, held in an IRA rollover account and a taxable brokerage account. She has no other significant assets aside from her home, which is paid off. Margaret has described her investment objective as "income and preservation of capital" on every account document she has signed since opening her accounts in 2016. Her documented risk tolerance is "conservative." She has no prior experience with options, futures, margin accounts, or complex exchange-traded products, and her account documents reflect investment experience limited to certificates of deposit, municipal bonds, and a balanced mutual fund.

In March 2023, Margaret's financial advisor, Kevin Dreyer, age 38, with seven years of industry experience at Heartland Wealth Partners, recommended that Margaret invest \$85,000 -- roughly 25% of her liquid net worth -- into a 3x leveraged ETF tracking the Nasdaq-100 index (similar to products like TQQQ). Kevin told Margaret the fund would "triple her gains in the tech recovery" and described it as "just like buying a regular tech index fund, but with more upside." He did not explain that the product resets daily, nor did he discuss the concepts of volatility decay or path dependency. He did not explain that the product is designed for short-term tactical trading and that holding it over weeks or months could produce returns that deviate dramatically from three times the index's cumulative return. Kevin did not ask Margaret any updated questions about her financial situation, tax status, time horizon, or liquidity needs before making the recommendation. He had not updated her customer profile since 2019.

Margaret held the position for approximately eleven months. During that period, the Nasdaq-100 experienced a choppy, sideways market with several sharp drawdowns and recoveries. By February 2024, the Nasdaq-100 itself had returned roughly +4% over the period, but Margaret's 3x leveraged ETF position had declined by approximately 14% due to the compounding effects of daily resetting in a volatile, range-bound market. Margaret's \$85,000 investment was now worth approximately \$73,100 -- a loss of \$11,900. Margaret only discovered the nature of the product when her grandson, a finance graduate student, reviewed her statements over the holidays and explained what a leveraged ETF was.

Margaret filed a complaint with her brokerage firm in March 2024, alleging that Kevin never explained the risks, never updated her profile, and recommended a product wholly unsuitable for a conservative retiree dependent on her savings for living expenses. Kevin's branch manager had no record of any pre-approval or supervisory review of the leveraged ETF purchase. Heartland Wealth Partners' internal compliance manual required supervisory pre-approval for all leveraged and inverse ETF transactions, but no such approval was documented.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Dreyer violated applicable suitability and best interest standards in multiple respects.

****Failure to Know the Customer (FINRA Rule 2111 -- Reasonable-Basis, Customer-Specific, and Quantitative Suitability):****

Under FINRA Rule 2111, a financial advisor must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. Kevin failed to update Margaret's customer profile since 2019 -- a four-year gap -- before making a recommendation involving a highly complex product. This alone constitutes a failure to know the customer under the customer-specific suitability obligation.

Moreover, even using the stale 2019 profile, Margaret's documented characteristics -- age 71, conservative risk tolerance, income/preservation objective, no experience with complex products, and dependence on savings for retirement income -- are fundamentally incompatible with a 3x daily-resetting leveraged ETF. These products are explicitly designed for sophisticated, short-term traders who actively monitor positions and understand compounding risk. Recommending that a conservative retiree allocate 25% of her liquid net worth to such a product fails customer-specific suitability.

****Regulation Best Interest (SEC Rule 15l-1):****

Under Reg BI's Care Obligation, a broker-dealer and associated person must exercise reasonable diligence, care, and skill when making a recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. The Care Obligation specifically requires that the advisor have a reasonable basis to believe the recommendation is in the customer's best interest and does not place the advisor's interest ahead of the customer's. Kevin's recommendation of TQQQ to Margaret -- without understanding or communicating the product's daily-reset mechanism, volatility decay, and path dependency -- fails this standard. Reg BI's Disclosure Obligation also required Kevin to disclose material facts about the recommendation, including the specific risks associated with holding a leveraged ETF beyond a single trading day. He did not.

****FINRA Regulatory Notices 09-31 and 22-08 -- Leveraged and Inverse ETFs:****

FINRA RN 09-31 specifically warned member firms that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets. The notice highlighted that these products can produce returns over longer periods that differ significantly -- even directionally -- from the leveraged multiple of the underlying index's return. FINRA RN 22-08 reinforced heightened obligations regarding complex products, including enhanced supervision, customer-specific suitability determinations, and the need for firms to establish robust approval processes before recommending such products.

****Supervisory Failures:****

Heartland Wealth Partners' own compliance manual required pre-approval for leveraged ETF transactions. No such approval was obtained or documented. This constitutes a supervisory failure under FINRA Rule 3110, which requires firms to establish and maintain a system to supervise the activities of each associated person that is reasonably designed to achieve compliance with applicable securities laws and regulations. The branch manager's failure to enforce the firm's own written supervisory procedures compounds the violation.

****Likely Regulatory Outcome:****

Kevin Dreyer would likely face individual liability for suitability and Reg BI violations. Expected sanctions could include a fine, disgorgement of commissions earned on the transaction, restitution to Margaret for her losses, and a potential suspension. Heartland Wealth Partners would likely face separate supervisory failure charges under FINRA Rules 3110 and 3120 for failing to enforce its own complex products procedures. The firm may be required to pay restitution, enhance its supervisory systems, and potentially face a monetary fine. Given Margaret's age, conservative profile, and complete lack of sophistication with complex products, this case presents a strong enforcement profile.

Item 271 of 350

NON-COMPLIANT

Topic: failure_to_know_customer

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Gerald Whitfield, age 71, is a retired postal worker living in suburban Atlanta, Georgia. He receives a monthly pension of \$2,800 and Social Security payments of \$1,950 per month. His total liquid savings amount to approximately \$340,000, held primarily in a traditional IRA rollover account, which represents virtually all of his retirement assets aside from his pension. Gerald has no other significant sources of income and owns his home outright. He has limited investment experience, having held only a mix of certificates of deposit and a single balanced mutual fund during his working years. He has never traded options, futures, or any leveraged financial products.

In March 2023, Gerald met with financial advisor Danielle Royce at a local branch office after seeing a mailer advertising 'strategies to protect your retirement from market downturns.' During the initial meeting, which lasted approximately 35 minutes, Danielle asked Gerald a few general questions about his age and retirement status but did not conduct a detailed assessment of his financial situation, investment experience, risk tolerance, time horizon, or liquidity needs. She did not use the firm's standard new account questionnaire or risk profiling tool. No written investment policy statement or financial plan was prepared.

Danielle recommended that Gerald allocate \$170,000 -- half of his IRA -- into the ProShares UltraPro Short QQQ (SQQQ), a 3x daily-resetting inverse leveraged ETF tied to the Nasdaq-100 Index. Danielle told Gerald that this product would 'protect him if the tech market crashes' and described it as a 'hedge for his retirement.' She did not explain that the fund resets daily, that compounding effects and volatility decay could erode the position's value significantly over time even if the underlying index declined modestly, or that the product is generally designed for short-term tactical trading rather than long-term holding. Gerald signed a trade authorization but was not provided with or asked to review the fund's prospectus or any supplemental educational materials about leveraged or inverse ETFs.

Over the following eleven months, the Nasdaq-100 Index rose approximately 18%. Due to the combination of the index's rise and the compounding effects of daily resetting at 3x inverse leverage, Gerald's \$170,000 position in SQQQ declined to approximately \$62,000 -- a loss of roughly \$108,000, or 63.5% of his invested amount. Gerald contacted his advisor multiple times during this period expressing concern about the losses, but Danielle reassured him each time that the market would 'turn around soon' and advised him to continue holding the position. No stop-loss, rebalancing, or exit strategy was ever discussed or implemented. Gerald ultimately liquidated the position in February 2024 after learning from a friend that the product was not intended for long-term buy-and-hold investors.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Danielle Royce violated applicable suitability and best interest standards in multiple respects.

****Failure to Know the Customer (FINRA Rule 2111 -- Reasonable-Basis, Customer-Specific, and Quantitative Suitability):****

FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy involving a security is suitable for the customer, based on information obtained through reasonable diligence concerning the customer's investment profile. This profile includes, at minimum, age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance.

Danielle failed to perform the required reasonable diligence. She conducted only a cursory 35-minute meeting without using the firm's standard new account questionnaire or risk profiling tool. She did not ascertain Gerald's risk tolerance, liquidity needs, time horizon, investment experience with complex products, or overall financial picture in any documented or meaningful way. This is a textbook failure-to-know-your-customer violation.

****Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act):****

Under Reg BI's Care Obligation, a broker must exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation, and must have a reasonable basis to believe the recommendation is in the retail customer's best interest based on the customer's investment profile. The Disclosure Obligation further requires that material facts about the recommendation -- including risks -- be disclosed.

SQQQ is a 3x daily-resetting inverse leveraged ETF. FINRA Regulatory Notice 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for investors who plan to hold them for longer than one trading session, particularly in volatile markets, because of path dependency and volatility decay. FINRA Regulatory Notice 22-08 further reinforced heightened obligations around complex products, including enhanced account opening procedures, disclosure, and supervision requirements.

Gerald's profile -- a 71-year-old retiree with limited investment experience, conservative historical holdings, dependence on his IRA for retirement security, and no experience with leveraged products -- is fundamentally incompatible with a 50% allocation to a 3x inverse leveraged ETF. The recommendation fails customer-specific suitability under Rule 2111 and the Care Obligation under Reg BI.

****Failure to Disclose Material Risks:****

Danielle did not explain the daily-resetting mechanism, volatility decay, path dependency, or the fact that SQQQ is designed for short-term tactical use. She did not provide the prospectus or any educational materials. This violates the Reg BI Disclosure Obligation and the general duty to disclose material risks under FINRA rules.

****Ongoing Duty and Supervision Failures:****

When Gerald expressed repeated concern about mounting losses, Danielle advised him to continue holding a product explicitly not designed for long-term holding. No exit strategy, rebalancing protocol, or stop-loss was implemented. This compounds the original suitability violation and raises questions about the firm's supervisory obligations under FINRA Rules 3110 and 3120 and the complex products supervision framework outlined in RN 12-03 and RN 22-08.

****Likely Regulatory Outcome:****

This fact pattern would likely result in findings of suitability and Reg BI violations, potential customer arbitration liability for the approximately \$108,000 in losses, supervisory deficiency charges against the firm, and possible individual sanctions including fines and suspension for Danielle Royce. The egregiousness of placing half of a 71-year-old retiree's entire IRA into a 3x inverse leveraged ETF without any meaningful customer profiling, disclosure, or monitoring makes this a strong enforcement case.

Item 272 of 350

NON-COMPLIANT

Topic: failure_to_know_customer

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Olsen, age 71, is a retired elementary school teacher living in suburban Columbus, Ohio. She receives \$2,400 per month from her state pension and \$1,850 per month from Social Security. Her total liquid investable assets are approximately \$340,000, held in an IRA rollover account and a small taxable brokerage account. She has no other significant sources of income and her monthly living expenses, including medications for a chronic heart condition, total roughly \$3,800. She opened her brokerage account in March 2022 with advisor Kevin Treadwell at a mid-size regional broker-dealer. During the new account opening process, Treadwell asked Margaret a handful of general questions about her goals, to which she responded that she wanted to 'keep up with inflation and not lose what I have.' She mentioned she had owned a few blue-chip stocks decades ago through a dividend reinvestment plan but had not actively traded in over fifteen years. Treadwell marked her account profile as having 'moderate' risk tolerance and 'growth and income' as her investment objective. He did not ask Margaret about her investment time horizon, her understanding of complex financial products, her tax situation, or her specific liquidity needs. He did not document any discussion about what 'keeping up with inflation' meant to her in dollar terms or how much portfolio volatility she could tolerate without jeopardizing her ability to pay monthly expenses. In April 2022, Treadwell recommended that Margaret invest \$95,000 -- roughly 28% of her total liquid assets -- into ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100. He told her it was 'like owning tech stocks but with more upside potential' and that 'the Nasdaq always comes back.' He did not explain that the product resets daily, that it is designed for short-term tactical trading, that compounding and volatility decay can cause the fund's returns to diverge dramatically from three times the index return over periods longer than one day, or that the product's prospectus itself warns it is not intended for investors who plan to hold shares for longer than one trading session. He also placed \$55,000 into the Direxion Daily S&P 500 Bull 2X Shares (SPUU). Treadwell did not set any stop-loss levels, rebalancing triggers, or monitoring schedule for these positions. Over the following eleven months, the Nasdaq-100 experienced significant volatility, declining approximately 18% before partially recovering. Due to the mathematical effects of daily compounding on a 3x leveraged product during a period of high volatility, Margaret's \$95,000 TQQQ position declined to approximately \$41,200 -- a loss of roughly \$53,800, or 57%. Her SPUU position fell from \$55,000 to approximately \$38,500, a loss of about \$16,500. Combined, Margaret lost approximately \$70,300, representing over 20% of her entire liquid net worth. When Margaret called Treadwell in March 2023 to express alarm at her account statements, he told her to 'hang tight' and that the positions would recover. He did not recommend liquidating or rebalancing. Margaret's daughter, a CPA, eventually reviewed the account in June 2023 and filed a complaint with the firm.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Treadwell committed multiple violations related to failure to know his customer and unsuitable recommendations involving leveraged ETFs.

****Failure to Know the Customer (FINRA Rule 2111 -- Reasonable-Basis and Customer-Specific Suitability; Regulation Best Interest, Rule 15l-1 under the Exchange Act):****

FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe a recommended transaction or investment strategy is suitable for the customer based on information obtained through reasonable diligence. This includes understanding the customer's age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. Treadwell's intake process was superficial. He failed to ascertain Margaret's specific time horizon, her understanding of leveraged products, her liquidity constraints (her pension and Social Security barely cover monthly expenses), or the degree of loss she could absorb without imperiling her retirement. Marking her risk tolerance as 'moderate' without a substantive discussion and documentation was insufficient diligence.

Under Regulation Best Interest (Reg BI, Rule 15l-1), the Care Obligation requires that the broker exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation, form a reasonable basis to believe it is in the retail customer's best interest, and consider reasonably available alternatives. Treadwell failed all three prongs.

****Leveraged ETF-Specific Concerns (FINRA Regulatory Notices 09-31 and 22-08):****

FINRA RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session because of the effects of daily compounding (volatility decay or path dependency). The notice stated that these products can produce returns that deviate dramatically from the stated leverage multiple over longer periods, especially in volatile markets. FINRA RN 22-08 reinforced these concerns within the broader framework of complex products, emphasizing heightened supervision, the need for a reasonable basis to believe the customer can understand the product's risks, and the need for the recommendation to be in the customer's best interest.

Treadwell recommended that a 71-year-old retiree with limited investment experience, modest assets, constrained liquidity, and a conservative real-world objective (inflation protection and capital preservation) allocate approximately 44% of her liquid assets to daily-resetting leveraged ETFs (TQQQ and SPUU). He failed to explain daily resetting, compounding effects, path dependency, or the products' intended short-term use. He set no monitoring schedule, stop-losses, or exit strategy. When losses mounted, he recommended continued holding -- the exact behavior FINRA has warned against.

****Customer-Specific Suitability Failure:****

Even if Treadwell had fully understood the products (which his description of TQQQ as 'like owning tech stocks but with more upside' suggests he did not), the recommendation was unsuitable for Margaret on a customer-specific basis. Her age, limited income, reliance on her portfolio to supplement living expenses, lack of sophistication, and stated objective of preserving capital and keeping up with inflation are all fundamentally inconsistent with concentrated positions in 3x and 2x daily-leveraged products.

****Supervisory Failures (FINRA Rule 3110; FINRA RN 22-08):****

The firm's supervisory system also appears deficient. FINRA RN 22-08 calls for firms to implement heightened supervision around complex products, including pre-approval requirements, concentration limits, account-level suitability reviews, and post-trade surveillance. A 71-year-old retiree placing 44% of assets into leveraged ETFs should have triggered supervisory alerts.

****Likely Regulatory Outcome:****

Treadwell would likely face a FINRA enforcement action for violations of Rule 2111 (suitability) and Reg BI's Care

Obligation. Potential sanctions include fines, disgorgement of commissions, restitution to the customer, and a suspension or bar. The firm could face supervisory violation charges under Rule 3110. In a customer arbitration, Margaret would have a strong claim for compensatory damages of approximately \$70,300 plus potential consequential damages.

Item 273 of 350

NON-COMPLIANT

Topic: leveraged_etf_unsuitable

Difficulty: hard

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Gerald Whitmore, age 71, is a retired high school principal living in Tucson, Arizona, with a fixed annual income of \$54,000 from his pension and Social Security. He has a \$420,000 IRA that constitutes essentially all of his liquid savings. His wife, age 69, has early-stage Alzheimer's disease, and the couple anticipates rising healthcare costs over the next several years. Gerald's account application indicates a 'moderate' risk tolerance, a 'capital preservation with modest income' investment objective, a 10-year time horizon, and limited investment experience beyond mutual funds and certificates of deposit. In February 2023, Gerald's financial advisor, Marcus Reeves, recommended that Gerald allocate \$105,000 -- roughly 25% of his IRA -- into a 3x leveraged bull semiconductor ETF (ticker: SOXL) and an additional \$45,000 into a 2x leveraged single-stock ETF tracking Tesla (ticker: TSLL). Marcus told Gerald that 'semiconductors and Tesla are the future' and that the leveraged funds would 'supercharge returns so you can build a bigger cushion for Helen's care.' Marcus did not explain the daily reset mechanism of the funds, the concept of volatility decay, or the fact that these products are designed for short-term tactical trading rather than buy-and-hold strategies. No written risk disclosure specific to leveraged or complex products was provided. Marcus's branch manager conducted no heightened review of the transactions despite the firm's internal procedures requiring supervisory sign-off on leveraged ETF purchases exceeding \$25,000 for customers over age 65. Over the next eleven months, the semiconductor index experienced significant volatility -- rising 18% cumulatively but with multiple sharp drawdowns along the way. Due to path dependency and daily compounding, SOXL returned only 29% rather than the 54% (3 x 18%) a buy-and-hold investor might have naively expected. Meanwhile, Tesla stock declined approximately 12% over the same period, and the 2x leveraged Tesla ETF lost roughly 31% of its value due to compounding effects during a period of extreme intraday volatility in the underlying stock. By January 2024, Gerald's combined leveraged ETF positions had declined from \$150,000 to approximately \$112,500, a loss of \$37,500. Gerald only discovered the nature of the products when his adult daughter, a CPA, reviewed his year-end brokerage statement and questioned why his Tesla-linked holding had lost far more than twice what Tesla stock had lost. Gerald filed a complaint with the firm in March 2024.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Marcus Reeves violated both the suitability standard under FINRA Rule 2111 and the best interest obligation under Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934), along with multiple related supervisory and complex-product requirements.

****Customer-Specific Suitability (FINRA Rule 2111.05):**** Gerald's profile -- age 71, retired, moderate risk tolerance, capital preservation objective, limited investment experience, dependence on his IRA for future healthcare costs -- is fundamentally incompatible with leveraged ETFs carrying 2x and 3x daily exposure to volatile sectors and single stocks. Allocating 25% of a retiree's sole liquid retirement account to daily-resetting leveraged products is per se unsuitable for this investor profile.

****Reasonable-Basis Suitability (FINRA Rule 2111.05(a)):** FINRA Regulatory Notices 09-31 and 22-08 explicitly warn that leveraged and inverse ETFs that reset daily are generally unsuitable for retail investors who plan to hold them for periods longer than one trading session. These products are subject to volatility decay (also called 'path dependency'), meaning that in volatile markets, compounded daily returns can deviate dramatically from the leveraged multiple of the underlying index's cumulative return. The Tesla 2x ETF's 31% loss versus Tesla's 12% decline is a textbook illustration. Marcus either failed to understand this mechanism or understood it and recommended the products anyway, both of which violate reasonable-basis suitability.

****Reg BI -- Care Obligation (Rule 15l-1(a)(2)(ii)(B)):** The Care Obligation requires that a broker-dealer exercise reasonable diligence, care, and skill to understand the risks and rewards of a recommended security and to have a reasonable basis to believe the recommendation is in the retail customer's best interest at the time it is made, considering the customer's investment profile. Recommending volatile, daily-resetting leveraged products to a 71-year-old retiree with capital preservation goals and anticipated healthcare expenses clearly fails this standard.

****Reg BI -- Disclosure Obligation (Rule 15l-1(a)(2)(ii)(A)):** Marcus failed to disclose the material risks of daily-resetting leveraged ETFs, including the compounding/volatility decay risk, the fact that these products are designed for short-term trading, and the possibility that losses could substantially exceed the leveraged multiple of any decline in the underlying asset. No written complex-product risk disclosure was provided.

****FINRA RN 09-31 and RN 22-08 Guidance:** Both notices specifically highlight the dangers of leveraged and inverse ETFs for buy-and-hold retail investors. RN 22-08 further extends these concerns to single-stock leveraged ETFs, which carry concentrated company-specific risk on top of the compounding issues. The Tesla 2x ETF falls squarely within this heightened-risk category.

****Supervisory Failures (FINRA Rule 3110):** The branch manager failed to conduct the heightened supervisory review required by the firm's own written supervisory procedures for leveraged ETF purchases exceeding \$25,000 by customers over age 65. This represents both a supervisory violation and a failure of the firm's complex products oversight framework, which FINRA RN 12-03 (on complex products) emphasizes must include pre-approval or enhanced review processes.

****Quantitative Unsuitability:** While the holding period was approximately 11 months, the 25% concentration of a retiree's sole retirement account in leveraged products -- resulting in a \$37,500 loss (approximately 9% of total retirement savings) -- further supports a finding of quantitative unsuitability given the customer's profile.

****Likely Regulatory Outcome:** Marcus Reeves would likely face individual liability including a fine, suspension, and possible restitution to the customer. The firm faces supervisory deficiency charges under FINRA Rule 3110 for the branch manager's failure to execute the required heightened review. In arbitration, Gerald would likely recover the \$37,500 loss plus interest, and potentially consequential damages related to the impact on his wife's anticipated care needs. The firm may also face additional regulatory scrutiny of its leveraged ETF sales practices across its customer base.

Item 274 of 350

NON-COMPLIANT

Topic: failure_to_know_customer

Difficulty: medium

Source: 25_Leveraged_Inverse ETFs

Fact Pattern

Gerald Hutchins, age 71, is a retired letter carrier living in Dayton, Ohio, on a fixed income of approximately \$2,800 per month from Social Security and a small pension. He has a total liquid net worth of approximately \$185,000, nearly all of which is held in an IRA rollover account at a regional broker-dealer. Gerald has no prior experience with options, futures, margin accounts, or any leveraged financial products. When he opened his account in February 2022, his new customer account form listed his investment objective as 'income and capital preservation,' his risk tolerance as 'low,' his time horizon as 'long-term (10+ years),' and his investment experience as 'limited -- CDs and mutual funds only.' His advisor, Kevin Stahl, age 34, had been with the firm for three years and had recently attended a wholesaler dinner presentation about leveraged and inverse exchange-traded funds. In March 2022, Stahl called Gerald and recommended that Gerald invest \$55,000 -- roughly 30% of his retirement savings -- into a 3x leveraged daily-resetting ETF tied to the Nasdaq-100 Index, ticker TQQQ. Stahl told Gerald that it was 'like a tech mutual fund but with more upside' and that Gerald should 'hold onto it for a couple of years to really see the gains compound.' Stahl did not ask Gerald any updated questions about his financial situation, goals, or risk tolerance before making the recommendation. He did not inquire whether Gerald understood the mechanics of daily leverage resetting, compounding, or the concept that a 3x leveraged product could diverge dramatically from 3x the index return over periods longer than one trading day. No new account update form was completed, and no product-specific risk disclosure for leveraged ETFs was provided or signed. Gerald agreed to the purchase based on Stahl's description. Over the following ten months, the Nasdaq-100 experienced significant volatility, declining roughly 33% from its peak before partially recovering. By January 2023, the Nasdaq-100 was down approximately 12% from Gerald's purchase date, but TQQQ had declined approximately 48% due to volatility decay and the compounding effects of daily resetting leverage. Gerald's \$55,000 position was worth approximately \$28,600 -- a loss of over \$26,000. When Gerald called the firm in distress, he told the branch manager he had never been told the fund could lose money this fast and that he thought it worked 'just like a regular index fund but better.' The branch manager reviewed the account and discovered that no updated customer profile had been completed, no leveraged ETF disclosure had been delivered, and no supervisory pre-approval for the leveraged ETF purchase in a retirement account had been obtained, despite the firm's written supervisory procedures requiring all three steps before any complex product could be recommended to a retail client.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Stahl violated multiple regulatory requirements in recommending the TQQQ position to Gerald Hutchins.

1. ****Failure to Know the Customer (FINRA Rule 2111 -- Customer-Specific Suitability & Reg BI Rule 15l-1 Care Obligation):**** Stahl failed to gather or update essential information about Gerald's financial profile before recommending a highly complex leveraged product. Gerald's documented profile -- age 71, retired, low risk tolerance, income/preservation objective, limited investment experience, and reliance on the IRA as his primary retirement asset -- was fundamentally incompatible with a 3x daily-resetting leveraged ETF. No updated customer profile was completed, meaning Stahl had no reasonable basis to believe the recommendation was in Gerald's best interest or suitable for his

situation. Under FINRA Rule 2111(a) and Regulation Best Interest's Care Obligation, the advisor must exercise reasonable diligence, care, and skill to understand the customer's investment profile before making any recommendation.

2. **Quantitative Unsuitability and Product-Specific Suitability:** FINRA Regulatory Notices 09-31 and 22-08 specifically warn that leveraged and inverse ETFs that reset daily are generally unsuitable for retail investors who intend to hold them for periods longer than one trading session. These products exhibit path dependency and volatility decay, meaning their returns over time can deviate substantially -- and negatively -- from the leveraged multiple of the underlying index's cumulative return. Stahl affirmatively told Gerald to hold the position 'for a couple of years,' directly contradicting the design and risk characteristics of the product. Allocating 30% of a 71-year-old retiree's IRA to a single 3x leveraged ETF is excessive concentration in a complex, speculative instrument for any conservative, income-oriented investor.

3. **Failure to Disclose Material Risks:** Stahl described TQQQ as 'like a tech mutual fund but with more upside,' which is materially misleading. He failed to explain daily leverage resetting, compounding risk, volatility decay, or the potential for losses exceeding 3x the index decline over multi-day periods. Under Reg BI's Disclosure Obligation, the advisor must disclose all material facts relating to the scope and terms of the relationship, including material risks of the recommendation.

4. **Supervisory Failures (FINRA Rules 3110, 3120; RN 12-03, 22-08):** The firm's written supervisory procedures required pre-approval for complex product recommendations in retirement accounts, a product-specific risk disclosure, and an updated customer profile. None of these steps were taken. Under FINRA Rule 3110, the firm must establish, maintain, and enforce supervisory systems reasonably designed to achieve compliance. The branch manager's after-the-fact discovery of these omissions indicates a failure of both first-line supervision and the firm's compliance controls for complex products.

5. **Likely Regulatory Outcome:** Stahl faces potential liability for unsuitable recommendations, failure to know his customer, and misrepresentation of product characteristics. The firm faces separate liability for supervisory failures related to complex product oversight. Likely outcomes include customer restitution of approximately \$26,000 in losses, potential fines, a suspension or bar for Stahl depending on the scope of the misconduct, and additional fines or censure for the firm's supervisory deficiencies. The fact that this occurred in a retirement account serving as the customer's primary financial resource is an aggravating factor.

Item 275 of 350**NON-COMPLIANT****Topic:** failure_to_know_customer**Difficulty:** medium**Source:** 25_Leveraged_Inverse_ETFs**Fact Pattern**

Gerald Hoffman, age 63, is a retired postal worker living in Dayton, Ohio. He has a modest retirement portfolio of approximately \$210,000, consisting primarily of a rollover IRA from his pension and a small brokerage account. His monthly income is \$2,800 from Social Security and a small pension. Gerald has no prior experience with options, futures, or complex exchange-traded products. When he opened his account with Bridgewater Capital Partners in March 2022, he completed a new account form listing his investment objective as 'income and preservation of capital,' his risk tolerance as 'conservative,' and his time horizon as 'long-term (10+ years).' His investment experience was marked as 'limited -- mutual funds and CDs only.' Gerald's financial advisor, Ryan Castellano, had been with the firm for four years. In April 2022, Castellano recommended that Gerald allocate \$45,000 of his IRA into ProShares UltraPro Short QQQ (SQQQ), a 3x daily-resetting inverse leveraged ETF tied to the Nasdaq-100 index, telling Gerald it was 'a good hedge against a market downturn that would protect his retirement savings.' Castellano did not explain the daily reset mechanism, the effects of compounding over time, or the concept of volatility decay. He did not provide Gerald with any prospectus materials or supplemental product-specific disclosures. There is no record in the firm's files that Castellano made any effort to determine whether Gerald understood how leveraged inverse ETFs work, nor did he document any rationale for why this particular product was appropriate for Gerald's stated objectives. Gerald held the position for eleven months. Despite the Nasdaq-100 declining roughly 5% over portions of that period, Gerald's SQQQ position lost approximately \$19,400 -- a 43% loss -- due to path dependency and volatility decay inherent in the daily-resetting structure. When Gerald called Castellano in March 2023 to ask why his 'hedge' had lost so much money even though the market had been volatile and had periods of decline, Castellano said the product 'just didn't work out this time' and suggested Gerald hold on longer to 'wait for a bigger crash.' Gerald eventually liquidated the position in June 2023 at a total loss of \$22,100. A review of Castellano's other accounts revealed that he had recommended SQQQ or similar 3x leveraged/inverse products to fourteen other clients, nine of whom had conservative or moderate risk profiles and limited investment experience.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Ryan Castellano committed multiple serious violations of applicable regulatory standards.

****Know-Your-Customer and Reasonable Basis Suitability (FINRA Rule 2111):**** Under FINRA Rule 2111, a financial advisor must have a reasonable basis for believing that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, time horizon, liquidity needs, and risk tolerance. Castellano's recommendation of a 3x daily-resetting inverse leveraged ETF to a 63-year-old conservative retiree with limited investment experience and a stated objective of income and capital preservation was patently unsuitable on a customer-specific basis. The product is designed for short-term tactical trading by sophisticated investors, not for long-term holding by conservative retirees.

****Regulation Best Interest (SEC Rule 15l-1):**** Under Reg BI's Care Obligation, Castellano was required to exercise

reasonable diligence, care, and skill in making his recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. He was further required to have a reasonable basis to believe the recommendation was in Gerald's best interest and did not place his own interests ahead of the customer's. A 3x inverse leveraged product with daily reset and significant volatility decay risk cannot reasonably be in the best interest of a conservative, inexperienced retiree seeking capital preservation.

****FINRA Regulatory Notices 09-31, 12-03, and 22-08:**** FINRA has issued repeated and specific guidance warning that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets. RN 09-31 specifically reminded firms that these products are 'highly complex financial instruments' whose performance over longer periods can 'differ significantly from their stated daily objective.' RN 22-08 further reinforced that complex products require enhanced suitability analysis and meaningful disclosure. Castellano failed to provide Gerald with any explanation of the daily reset mechanism, path dependency, or volatility decay -- the very features that caused the loss.

****Failure to Know the Customer:**** Castellano's most fundamental failure was his failure to meaningfully use the customer information he already had. Gerald's new account form clearly stated conservative risk tolerance, income/preservation objectives, limited experience, and a long-term time horizon. Every one of these factors pointed away from a leveraged inverse ETF. Castellano either ignored this information or failed to understand its significance in relation to the product he recommended. This constitutes a clear failure-to-know-your-customer violation.

****Disclosure Failures:**** Castellano did not provide Gerald with the prospectus, did not explain the product's mechanics, and did not document any product-specific suitability rationale. His characterization of SQQQ as a 'hedge' was misleading, as a 3x daily-resetting inverse product does not function as a traditional hedge over multi-month holding periods.

****Pattern of Conduct:**** The fact that Castellano recommended similar products to fourteen other clients -- nine of whom had conservative or moderate profiles -- suggests a systemic failure and raises additional concerns about the firm's supervisory obligations under FINRA Rule 3110 regarding complex products supervision.

****Likely Regulatory Outcome:**** Castellano would likely face enforcement action for unsuitable recommendations and failure to act in the customer's best interest. Sanctions could include fines, disgorgement of commissions, restitution to Gerald and similarly situated customers, suspension, or a bar. The firm could face supervisory failure charges for inadequate oversight of complex product sales, particularly given the pattern of recommendations to unsuitable customers.

Item 276 of 350**NON-COMPLIANT****Topic:** inappropriate_risk_profile**Difficulty:** medium**Source:** 25_Leveraged_Inverse_ETFs**Fact Pattern**

Margaret Dolan, age 68, is a retired elementary school principal living in suburban Cincinnati, Ohio. She has a fixed annual income of \$52,000 from her pension and Social Security combined. Her total investable assets are approximately \$340,000, held primarily in an IRA that she rolled over from her employer's 403(b) plan upon retirement in 2021. She has no other significant sources of income, and her investment objective stated on her new account form is "income with capital preservation." Her risk tolerance was marked as "conservative" by her advisor, Kevin Slattery, when he opened her account at a regional broker-dealer in March 2022. Mrs. Dolan told Slattery she wanted safe investments that would supplement her pension and help cover potential medical expenses as she aged. She had no prior experience with ETFs, options, futures, or any derivative-based products, and her prior investment experience consisted solely of certificates of deposit and the target-date fund in her 403(b).

In April 2022, Slattery recommended that Mrs. Dolan invest \$85,000--approximately 25% of her total retirement savings--into ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index. Slattery told Mrs. Dolan that technology stocks "always come back" and that TQQQ would give her "triple the upside" when the market recovered from early 2022 declines. He described TQQQ as similar to a "supercharged tech mutual fund" and did not explain the daily resetting mechanism, the concept of volatility decay, or the path-dependent nature of compounding returns in leveraged products. He did not discuss the possibility that TQQQ could lose significant value even if the Nasdaq-100 ultimately recovered, nor did he provide her with the fund's prospectus or any written materials explaining the product's risks.

Slattery did not document any rationale for why a 3x leveraged ETF was appropriate for a 68-year-old conservative retiree, and the firm's supervisory system did not flag the trade for heightened review despite the customer's age, risk profile, and the nature of the product. No principal reviewed or approved the transaction.

Mrs. Dolan held TQQQ continuously from April 2022 through February 2023. During that ten-month period, the Nasdaq-100 experienced significant volatility, declining sharply through mid-June 2022, partially recovering, then declining again through the fall. By February 2023, the Nasdaq-100 was approximately 8% below its level when Mrs. Dolan purchased TQQQ. However, due to the effects of daily compounding with 3x leverage in a volatile, declining market, Mrs. Dolan's \$85,000 position in TQQQ had fallen to approximately \$34,500--a loss of roughly \$50,500, or 59.4%. This loss was substantially worse than three times the index decline, illustrating the destructive effects of volatility decay on leveraged products held over extended periods. Slattery never contacted Mrs. Dolan during this period to suggest she exit the position, nor did he monitor the account for suitability on an ongoing basis. When Mrs. Dolan called Slattery in February 2023 after reviewing her statement, she was distraught and stated she had no idea the product could lose this much money. She subsequently filed a complaint with the firm.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Slattery violated applicable suitability and best interest standards in multiple respects.

****Applicable Standards:****

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, time horizon, liquidity needs, and risk tolerance. Rule 2111 encompasses three components: reasonable-basis suitability (understanding the product), customer-specific suitability (matching the product to the customer), and quantitative suitability.

Regulation Best Interest (SEC Rule 15l-1 under the Exchange Act) imposes a best interest standard requiring that broker-dealers and their associated persons act in the retail customer's best interest at the time of a recommendation, without placing their own interests ahead of the customer's. Reg BI's Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. The Disclosure Obligation requires full and fair disclosure of all material facts relating to the recommendation, including risks.

FINRA Regulatory Notice 09-31 specifically warned member firms that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. The notice emphasized that due to the effects of daily compounding, returns over longer periods can differ significantly--and often negatively--from the target return for the period. FINRA Regulatory Notice 12-03 reinforced heightened supervision requirements for complex products, including leveraged ETFs, mandating that firms ensure their representatives understand these products before recommending them and that they conduct a customer-specific suitability analysis. FINRA Regulatory Notice 22-08 further proposed enhanced sales practice requirements for complex products, reinforcing the view that products with path-dependent returns require special scrutiny.

****Analysis of Violations:****

1. ****Customer-Specific Suitability / Care Obligation Violation:**** Mrs. Dolan was a 68-year-old retired conservative investor with limited assets, no investment sophistication, a stated objective of income and capital preservation, and complete dependence on her retirement savings. A 3x daily-leveraged ETF is a speculative, high-risk instrument designed for short-term tactical trading by sophisticated investors. Recommending that she invest 25% of her retirement savings in TQQQ was fundamentally incompatible with every element of her investment profile. This is a clear violation of both FINRA Rule 2111's customer-specific suitability obligation and Reg BI's Care Obligation.
2. ****Reasonable-Basis Suitability Violation:**** Slattery's description of TQQQ as a "supercharged tech mutual fund" demonstrates that he either did not understand the daily-resetting mechanism and volatility decay characteristics of leveraged ETFs, or he deliberately misrepresented them. Under FINRA Rule 2111, an advisor must understand the product well enough to evaluate its risks before recommending it. Under Reg BI, the advisor must exercise reasonable diligence, care, and skill. Slattery failed both standards.
3. ****Disclosure Failure:**** Slattery did not explain the daily reset feature, the concept of path dependency, or the risk of volatility decay. He did not provide the prospectus. He affirmatively mischaracterized the product. This violates Reg BI's Disclosure Obligation and constitutes a failure to disclose material facts about the risks of the recommendation.
4. ****Concentration Risk:**** Placing 25% of a conservative retiree's total investable assets in a single 3x leveraged product represents an extreme concentration that is unsuitable under any reasonable analysis.
5. ****Supervisory Failures:**** The firm failed to flag the transaction for heightened review, despite the obvious mismatch between the customer profile and the product. Under FINRA Rules 3110 (Supervision) and the guidance in RN 09-31,

12-03, and 22-08, firms must implement supervisory systems that identify and review transactions involving complex products, especially for vulnerable customers such as seniors. No principal reviewed or approved this trade. The firm bears supervisory liability.

6. **Holding Period and Monitoring:** Consistent with the warnings in FINRA RN 09-31, leveraged ETFs held for ten months will almost certainly experience significant deviation from the target leveraged return due to compounding and volatility decay. Slattery never contacted Mrs. Dolan to reassess the position or recommend an exit, nor did the firm's systems flag the aging position in a daily-resetting leveraged product.

Likely Regulatory Outcome:

Slattery would likely face a FINRA enforcement action for violations of Rule 2111 and Reg BI, including potential sanctions such as a fine, disgorgement, suspension, or bar. The firm would likely face supervisory violation charges under Rule 3110 for failure to implement reasonable supervisory procedures for complex product sales. Mrs. Dolan would have strong grounds for recovery of her approximately \$50,500 in losses through FINRA arbitration, and her claim would likely succeed given the extreme unsuitability of the recommendation.

Item 277 of 350

NON-COMPLIANT

Topic: complex_products_unsophisticated_investor

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Donovan, age 72, is a retired elementary school teacher living in suburban Cleveland, Ohio. She receives a monthly pension of \$3,200 and Social Security benefits of \$1,850 per month. Her total liquid savings amount to approximately \$410,000, held primarily in a traditional IRA that she rolled over from her school district's 403(b) plan upon retirement in 2018. Margaret has no prior experience with options, futures, or leveraged products. Her account application lists her investment objective as 'income and preservation of capital,' her risk tolerance as 'conservative,' and her investment experience as 'limited -- mutual funds and CDs only.' She has a high school diploma and attended some community college courses but did not complete a degree.

In February 2022, Margaret's financial advisor, Kevin Albright, age 34, recommended that she invest \$82,000 -- roughly 20% of her IRA -- into ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index. Kevin told Margaret that the fund would 'triple her gains when tech stocks bounce back' and described it as a way to 'supercharge her retirement nest egg.' He did not explain the daily reset mechanism, the concept of volatility decay, or the fact that the product was designed for short-term tactical trading rather than long-term holding. He did not provide her with the fund's prospectus or any supplemental educational materials. Kevin's branch office had no specific procedures in place for approving leveraged ETF transactions for retail customers, and no principal review was conducted before the trade was executed.

Margaret held the position for eleven months. During that period, the Nasdaq-100 experienced significant volatility, declining approximately 33% from its January 2022 peak before partially recovering. Due to the compounding effects of the daily leverage reset, TQQQ lost approximately 62% of its value over the same period even though the underlying index recovered a portion of its losses. By January 2023, Margaret's \$82,000 position was worth approximately \$31,200 -- a loss of roughly \$50,800. When Margaret called Kevin in distress after reviewing her year-end statement, he told her to 'hang in there' and that the position would 'come back eventually.' He made no recommendation to exit the position or to reassess her portfolio allocation. Margaret eventually sold the position in March 2023 at \$28,400, realizing a total loss of \$53,600, or approximately 65% of her original investment. This loss represented roughly 13% of her entire retirement savings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Albright committed multiple violations of applicable regulatory standards.

****Suitability -- FINRA Rule 2111:**** Under Rule 2111, a broker must have a reasonable basis for believing that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. This rule encompasses three component obligations: (1) reasonable-basis suitability -- the advisor must understand the product well enough to form a reasonable basis for recommending it; (2) customer-specific suitability -- the recommendation must be consistent with the specific customer's profile; and (3) quantitative suitability -- the advisor

must not engage in excessive activity.

Here, Kevin failed reasonable-basis suitability by apparently not understanding (or at least not communicating) TQQQ's daily reset mechanism and the resulting path dependency and volatility decay. FINRA Regulatory Notice 09-31 explicitly warns that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, because the compounding of daily returns causes the fund's performance to deviate significantly from the leveraged multiple of the underlying index's cumulative return over longer periods. FINRA Regulatory Notice 12-03 further underscores that firms must perform reasonable diligence on complex products before recommending them.

Kevin also failed customer-specific suitability. Margaret was a 72-year-old retiree with conservative risk tolerance, limited investment knowledge, an income-and-preservation objective, and no experience with leveraged products. Allocating 20% of her IRA to a 3x leveraged ETF was wholly inconsistent with her stated profile. Her dependence on her retirement savings for living expenses made the risk of catastrophic loss particularly inappropriate.

****Regulation Best Interest -- Rule 15l-1 (Reg BI):**** Because the recommendation was made in February 2022, after the June 30, 2020 compliance date, Reg BI's Care Obligation applied. Under Reg BI's Care Obligation, Kevin was required to exercise reasonable diligence, care, and skill in making the recommendation, to understand the potential risks, rewards, and costs of the product, and to have a reasonable basis to believe the recommendation was in Margaret's best interest and did not place his own interests ahead of hers. The recommendation of TQQQ to a conservative, unsophisticated retiree fails this standard on its face. The Disclosure Obligation required Kevin to provide full and fair disclosure of all material facts relating to the recommendation, including the risks of daily compounding and long-term holding -- which he did not do.

****Supervision Failures -- FINRA Rules 3110 and 3120; FINRA RN 22-08:**** The branch office had no written supervisory procedures specific to complex products such as leveraged ETFs, and no principal reviewed the trade before execution. FINRA RN 22-08 emphasizes that firms must maintain robust supervisory systems for complex products, including mechanisms to flag transactions in leveraged/inverse ETFs for heightened review, particularly when the customer's profile suggests the product is inappropriate. The absence of any supervisory infrastructure represents an independent violation by the firm.

****Ongoing Duty and Failure to Mitigate:**** Kevin's advice to 'hang in there' when Margaret reported her losses in January 2023 compounded the initial violation. Rather than recommending she exit a position that was plainly unsuitable and deteriorating due to the very path-dependency risks inherent in the product, he encouraged continued holding, deepening her losses by an additional amount.

****Likely Regulatory Outcome:**** Kevin would likely face individual sanctions including a fine, a suspension (potentially 6-12 months given the egregiousness of the mismatch), and an order to pay restitution of approximately \$53,600. The firm would likely face a fine for supervisory failures and be required to implement comprehensive complex-products procedures. In a customer arbitration, Margaret would have strong claims for compensatory damages representing her full loss, plus potentially interest, given the clear unsuitability of the recommendation and the advisor's failure to disclose material product characteristics.

Item 278 of 350

NON-COMPLIANT

Topic: leveraged_etf_unsuitable

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Olsen, age 71, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,800 per month from her pension and \$1,950 per month in Social Security benefits. Her total liquid savings amount to approximately \$340,000, held in an IRA rollover account and a small taxable brokerage account. She has no other significant assets besides her home, which is paid off. Mrs. Olsen's stated investment objectives are capital preservation and income generation, and on her new account form she indicated a "conservative" risk tolerance. She has limited investment experience, having previously held only certificates of deposit and a target-date retirement fund through her employer's 403(b) plan.

In March 2021, her financial advisor, Craig Delaney, at Ridgepoint Financial Services, recommended that Mrs. Olsen invest \$95,000 -- roughly 28% of her liquid net worth -- into the ProShares UltraPro QQQ (TQQQ), a 3x daily leveraged ETF tracking the Nasdaq-100 Index. Delaney told Mrs. Olsen that tech stocks "always go up over time" and that the leveraged fund would "supercharge" her returns so she could leave a larger inheritance for her grandchildren. He did not explain the daily resetting mechanism of the fund, the concept of volatility decay, or the risk that a 3x leveraged product could lose substantially more than the underlying index over holding periods longer than a single trading day. He did not provide her with the fund's prospectus or any supplemental educational materials about leveraged ETFs.

Delaney's branch manager, Susan Pratt, approved the trade without any additional review or inquiry, despite the firm's internal procedures requiring heightened supervisory review for complex products purchased by customers over age 65 with conservative risk profiles.

Mrs. Olsen held the TQQQ position for approximately 14 months. During that period, the Nasdaq-100 experienced significant volatility, including a sharp drawdown beginning in late 2021 that accelerated through the first half of 2022. By May 2022, Mrs. Olsen's \$95,000 TQQQ position had declined to approximately \$31,400, a loss of roughly \$63,600 or 67%. The Nasdaq-100 itself had declined approximately 27% over the same period, but the compounding effect of the daily 3x leverage and the path dependency of returns in a volatile, declining market amplified Mrs. Olsen's losses far beyond three times the index decline. Delaney never contacted Mrs. Olsen during the holding period to discuss whether the position remained appropriate, nor did he recommend any rebalancing or exit strategy. Mrs. Olsen only discovered the magnitude of her losses when she received her quarterly account statement in June 2022 and called the firm in distress.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, financial advisor Craig Delaney violated applicable suitability and best interest standards in multiple respects, and his supervisor Susan Pratt failed in her supervisory obligations.

****Applicable Standards:****

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and investment experience. This rule encompasses three components: reasonable-basis suitability (understanding the product), customer-specific suitability (matching the product to the customer), and quantitative suitability.

Under Regulation Best Interest (Reg BI), Rule 15l-1 under the Securities Exchange Act, broker-dealers must act in the retail customer's best interest at the time a recommendation is made, without placing the financial interest of the broker ahead of the customer. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of the recommendation and to have a reasonable basis for believing the recommendation is in the customer's best interest.

FINRA Regulatory Notice 09-31 specifically warned firms and registered representatives that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading day. The notice explains that these products are designed for short-term trading and that their performance over longer periods can deviate significantly from the stated multiple of the underlying index due to the mathematical effects of daily compounding (often called "volatility decay" or "path dependency"). FINRA Regulatory Notice 12-03 further emphasized heightened supervision requirements for complex products, and FINRA Regulatory Notice 22-08 proposed additional sales practice obligations for complex products including leveraged ETFs.

****Analysis of Violations:****

1. ****Customer-Specific Suitability / Care Obligation Violation:**** Mrs. Olsen is a 71-year-old retired teacher with conservative risk tolerance, capital preservation and income objectives, limited investment experience, and no prior exposure to complex products. A 3x daily leveraged ETF is one of the most aggressive and volatile equity instruments available to retail investors. Allocating 28% of her liquid net worth to TQQQ was fundamentally incompatible with every element of her investment profile. This constitutes a clear violation of FINRA Rule 2111(a) customer-specific suitability and the Care Obligation under Reg BI.
2. ****Reasonable-Basis Suitability Violation:**** Delaney's statement that tech stocks "always go up over time" and that the leveraged fund would "supercharge" returns suggests he either did not understand the daily resetting mechanism and volatility decay inherent in leveraged ETFs or chose to ignore it. A representative who does not understand a product's risks cannot have a reasonable basis for recommending it. This violates FINRA Rule 2111's reasonable-basis component.
3. ****Disclosure Failures:**** Delaney failed to provide the prospectus, failed to explain the daily reset feature, failed to explain volatility decay, and failed to explain that the product is designed for single-day holding periods. Under Reg BI's Disclosure Obligation, material facts about the recommendation -- including risks and product features -- must be disclosed to the retail customer.
4. ****Failure to Monitor / Ongoing Obligations:**** While Reg BI is applied at the point of recommendation (not as a continuing duty), the fact that Delaney never contacted Mrs. Olsen over 14 months while she held an inherently short-term trading product exacerbated the harm. Under FINRA guidance in RN 09-31, firms recommending leveraged ETFs should have active monitoring procedures in place given the products' daily reset design.
5. ****Supervisory Failures:**** Branch manager Susan Pratt approved the trade despite the firm's own internal procedures requiring heightened review for complex product purchases by customers over 65 with conservative profiles. This constitutes a violation of FINRA Rule 3110 (Supervision) and the firm's own written supervisory procedures. FINRA RN 12-03 and 22-08 both emphasize that firms must implement and enforce robust supervisory systems for complex

products, including leveraged ETFs.

****Likely Regulatory Outcome:****

Delaney would likely face individual sanctions including fines, disgorgement of commissions, suspension, or a bar from the securities industry depending on his disciplinary history. The firm, Ridgepoint Financial Services, would likely face fines and required remediation for supervisory failures under Rule 3110. Mrs. Olsen would have strong grounds for recovery of her approximately \$63,600 in losses through FINRA arbitration, potentially with interest, and possibly attorneys' fees depending on the state. Regulators could also require the firm to review all leveraged ETF sales to similarly situated customers for systemic compliance failures.

Item 279 of 350**NON-COMPLIANT**

Topic: high_fees_unsuitable

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Olsen, age 71, is a retired elementary school teacher living in Spokane, Washington. She receives \$2,400 per month from her state pension and \$1,850 per month from Social Security. Her total liquid savings amount to approximately \$385,000, held in an IRA rollover account that represents the bulk of her retirement nest egg. She has no other significant assets aside from her home, which is paid off. Margaret has described her investment objective as income and capital preservation, and on her new account form she indicated a "conservative" risk tolerance. She has no prior experience trading options, futures, or leveraged products, and her investment history consists entirely of certificates of deposit and a target-date retirement fund offered through her employer's 403(b) plan.

In September 2021, Margaret's financial advisor, Craig Winslow, age 44, with twelve years of industry experience, recommended that she move \$155,000 -- roughly 40% of her IRA -- into a combination of three leveraged and inverse exchange-traded funds: \$60,000 into a 3x leveraged bull semiconductor ETF (carrying an expense ratio of 0.95%), \$50,000 into a 2x leveraged bull S&P 500 ETF (expense ratio 0.91%), and \$45,000 into a 3x inverse leveraged natural gas ETF (expense ratio 1.01%). Craig told Margaret these products would "supercharge" the returns on her retirement account and that she wouldn't need to worry about monitoring them because he would "keep an eye on things." He did not explain that these funds reset daily, nor did he describe how volatility decay or path dependency could erode returns over time even if the underlying index moved favorably. He did not provide Margaret with any product-specific risk disclosure documents, and there is no record in the firm's files that a leveraged/inverse ETF risk acknowledgment was signed.

Margaret held all three positions for fourteen months without any rebalancing or review by Craig. During that period, the semiconductor sector experienced significant volatility, and natural gas prices surged. By November 2022, her \$155,000 allocation had declined to approximately \$61,400 -- a loss of roughly \$93,600 or 60.4%. The expense ratios on the leveraged products compounded the damage: over the holding period, the three ETFs collectively generated approximately \$2,950 in embedded management fees that were deducted from the fund NAVs, on top of the volatility decay losses. Craig's firm charged an additional 1.50% annual advisory wrap fee on the full account value, which added approximately \$4,800 in advisory fees over the fourteen months on just the leveraged ETF portion. In total, Margaret paid approximately \$7,750 in combined fees on positions that lost more than 60% of their value.

Margaret filed a complaint with her state securities regulator in January 2023, stating she never understood the products, was never told they could lose this much money, and that Craig had not contacted her once during the fourteen months to discuss the positions. Craig's supervisory principal had approved the initial trades via an automated order-entry system without conducting any heightened review or flagging the account for the client's age, risk tolerance, or the concentrated leveraged ETF allocation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Winslow violated multiple regulatory standards governing suitability, best interest, and complex product supervision.

1. ****FINRA Rule 2111 (Suitability):**** Under the three-component suitability framework -- reasonable-basis, customer-specific, and quantitative suitability -- Craig failed on all counts. He lacked a reasonable basis for recommending daily-resetting leveraged and inverse ETFs for long-term holding; these products are designed for short-term (typically single-day) tactical trading. Customer-specific suitability was violated because Margaret was a 71-year-old retiree with conservative risk tolerance, a capital preservation objective, no experience with complex products, and an IRA that constituted the vast majority of her retirement savings. Concentrating 40% of her IRA in 2x and 3x leveraged/inverse ETFs was plainly unsuitable. Quantitative suitability is also implicated given the cumulative fee drag and losses relative to her modest income and total savings.

2. ****Regulation Best Interest (Rule 15l-1):**** For a retail customer like Margaret, Reg BI's Care Obligation required Craig to exercise reasonable diligence, care, and skill in making the recommendation, to understand the risks and rewards of the products, and to have a reasonable basis to believe the recommendation was in Margaret's best interest without placing his own financial interest ahead of hers. The 1.50% advisory wrap fee provided Craig a financial incentive to place assets into the account regardless of suitability. He failed to consider reasonably available alternatives (e.g., investment-grade bond funds, dividend equity funds, or CDs) that would have aligned with Margaret's stated objectives. The Disclosure Obligation was also breached: Craig did not explain daily resetting, path dependency, volatility decay, or the compounding effect of high expense ratios on leveraged products.

3. ****FINRA Regulatory Notices 09-31 and 22-08 (Complex Products / Leveraged & Inverse ETFs):**** FINRA RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, because compounding of daily returns causes performance to deviate significantly from the stated multiple of the underlying index over longer periods. RN 22-08 reinforced heightened obligations for complex product recommendations, including the need for a reasonable basis to believe the customer can understand and bear the risks of the product and that the product aligns with the customer's profile. Craig made no effort to educate Margaret, provided no written risk disclosures, and held the positions for fourteen months -- far exceeding the single-day or short-term horizon for which these products are designed.

4. ****FINRA RN 12-03 (Complex Products Supervision):**** Craig's firm failed in its supervisory obligations. The supervisory principal approved the trades through an automated system without any heightened review, despite clear red flags: the customer's age (71), conservative risk tolerance, capital preservation objective, lack of experience with complex instruments, and the size of the allocation (40% of the IRA). Firms are expected to implement written supervisory procedures specifically tailored to complex products, including post-trade surveillance to detect prolonged holding periods in daily-resetting products. None of this occurred.

5. ****Fees and Cost Analysis:**** The combined \$7,750 in fees (approximately \$2,950 in embedded fund expenses plus roughly \$4,800 in wrap advisory fees) on positions that lost over 60% of their value further demonstrates the unsuitability of the recommendation. The high expense ratios inherent to leveraged ETFs (0.91%-1.01%) compounded by the firm's 1.50% wrap fee created a total annual cost burden approaching 2.5%, applied to inherently volatile and decaying positions -- an unreasonable cost structure for a conservative retiree.

****Likely Regulatory Outcome:**** Craig faces potential sanctions including fines, disgorgement of advisory fees, suspension or bar from the industry, and an order to pay restitution of Margaret's losses (approximately \$93,600). His firm faces supervisory failure charges and potential fines under FINRA's supervisory rules. The pattern is consistent with enforcement actions brought by state securities regulators and FINRA against advisors who recommended long-term holding of leveraged/inverse ETFs to conservative, elderly, or unsophisticated retail customers.

Item 280 of 350

NON-COMPLIANT

Topic: failure_to_know_customer

Difficulty: medium

Source: 25_Leveraged_Inverse ETFs

Fact Pattern

Gerald Whitmore, age 71, is a retired postal worker living in Tacoma, Washington, with an annual pension income of \$38,000 and total liquid savings of approximately \$285,000, which represented the bulk of his retirement nest egg. Gerald had maintained a brokerage account since 2016 with his advisor, Randall Compton, at a mid-sized regional broker-dealer. When the account was opened, Gerald completed a new account form indicating his investment objectives were 'income and capital preservation,' his risk tolerance was 'low to moderate,' his investment time horizon was '10+ years,' and his prior investment experience consisted solely of mutual funds and certificates of deposit held at his credit union. Gerald had a high school education and no professional background in finance.

In February 2021, during a phone call, Compton told Gerald that he had 'a way to turbocharge returns on a small piece of the portfolio' and recommended allocating \$95,000 -- roughly one-third of Gerald's liquid assets -- into two exchange-traded products: \$55,000 into a 3x leveraged daily-resetting ETF tracking the Nasdaq-100 index, and \$40,000 into a 2x leveraged daily-resetting ETF tracking the S&P 500 Energy sector. Compton did not ask Gerald any updated questions about his financial situation, goals, or risk tolerance before making these recommendations. No updated account profile form or questionnaire was completed. Compton did not explain the daily reset mechanism, the concept of volatility decay, or the fact that these products were designed for short-term tactical trading and could lose substantial value even if the underlying index was flat or slightly positive over longer holding periods. No written disclosure materials regarding leveraged ETFs were provided.

Compton placed the trades in Gerald's account in late February 2021 and did not set any stop-loss levels or establish any rebalancing plan. Over the following fourteen months, Compton never contacted Gerald to discuss the positions or recommend any adjustments. Gerald, who checked his statements infrequently, assumed the positions were long-term investments similar to the mutual funds he had previously owned.

By April 2022, amid rising interest rates and significant market volatility, the 3x Nasdaq-100 leveraged ETF position had declined from \$55,000 to approximately \$21,400, and the 2x Energy leveraged ETF -- despite the energy sector posting modest gains over parts of the period -- had experienced substantial path-dependent erosion and was valued at approximately \$29,500. Gerald's combined losses on these two positions totaled roughly \$44,100, representing over 15% of his total pre-investment liquid net worth. When Gerald finally called Compton in May 2022 to ask about the losses, Compton told him to 'hang tight and wait for the bounce back,' without explaining why long-term holding of daily-resetting leveraged products was unlikely to recover losses in the manner a traditional index fund might. Gerald filed a complaint with his state securities regulator in August 2022.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Randall Compton violated applicable suitability and best interest standards on multiple grounds.

****Failure to Know the Customer (FINRA Rule 2111 -- Reasonable-Basis & Customer-Specific Suitability; Regulation Best Interest Rule 15l-1 Care Obligation):****

The foundational violation here is a failure to know the customer. Compton did not update Gerald Whitmore's account profile before recommending the leveraged ETF positions. The existing profile -- completed years earlier -- reflected low-to-moderate risk tolerance, income and capital preservation objectives, and experience limited to mutual funds and CDs. Under FINRA Rule 2111, an advisor must have a reasonable basis to believe a recommendation is suitable based on the customer's investment profile, including age, financial situation, risk tolerance, time horizon, liquidity needs, and investment experience. Compton made no effort to gather updated information. Even if Gerald's profile had been updated, it is difficult to conceive how a 71-year-old retiree with \$285,000 in total liquid savings, low-to-moderate risk tolerance, and no sophisticated product experience would have a profile consistent with a one-third portfolio allocation to 2x and 3x daily-resetting leveraged ETFs.

Under Reg BI (Rule 15l-1), the Care Obligation requires that a broker-dealer and its associated persons exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile. This includes understanding the risks and rewards of the recommended security and having a reasonable basis to believe the recommendation is in the retail customer's best interest. Compton plainly failed to exercise such care.

****Leveraged and Inverse ETF-Specific Concerns (FINRA Regulatory Notices 09-31, 12-03, and 22-08):****

FINRA RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, due to the effects of compounding (volatility decay or path dependency). The notice stated that the performance of these products over longer periods can differ significantly -- and often negatively -- from the stated multiple of the underlying index's return. FINRA RN 22-08 further reinforced obligations around complex products, including enhanced supervision, training, and the need for firms and advisors to ensure customers understand the product mechanics before purchasing.

Compton recommended a 14-month (or longer) hold of daily-resetting leveraged ETFs to a retiree, with no rebalancing or monitoring plan, no risk disclosure, and no explanation of path dependency. This is precisely the scenario regulators have repeatedly flagged as inappropriate.

****Failure to Disclose Material Risks:****

Compton did not explain the daily reset mechanism, compounding risk, or the possibility that long-term holding could produce results dramatically different from the leveraged multiple of the underlying index. This is a violation of the disclosure component of Reg BI and a factor in suitability analysis under Rule 2111.

****Supervisory Failures:****

Compton's firm may also face liability under FINRA Rule 3110 for inadequate supervision. FINRA RN 09-31 and RN 22-08 call on firms to implement heightened supervisory procedures for leveraged and inverse ETFs, including monitoring for excessive holding periods and ensuring that associated persons are trained on product mechanics. There is no indication that any supervisory review flagged Gerald's account.

****Concentration Risk:****

Allocating approximately 33% of a 71-year-old retiree's liquid assets to leveraged ETFs represents an extreme concentration in high-risk, complex products that is inconsistent with the customer's stated objectives and risk profile.

****Likely Regulatory Outcome:****

Compton would likely face sanctions including disgorgement or restitution of client losses (approximately \$44,100), monetary fines, a suspension or bar from the securities industry, and possible enhanced supervisory requirements for the employing firm. State securities regulators, as illustrated by enforcement patterns in Washington and other jurisdictions, have pursued consent orders, cease-and-desist orders, registration denials, and fines in analogous cases. The firm could face additional penalties for supervisory failures under FINRA Rules 3110 and 3120.

Item 281 of 350

NON-COMPLIANT

Topic: senior_investor_exploitation

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Dawson, age 78, is a retired schoolteacher living in Tucson, Arizona. She has a fixed income of approximately \$2,800 per month from Social Security and a small pension. Her total liquid savings amount to \$215,000, held in a brokerage account that constitutes essentially all of her investable assets outside of her home. She has no other family financial support and relies on her portfolio to supplement her income for medical expenses, property taxes, and daily living costs. On her new account form, completed in January 2023, her investment objective was marked as 'income and capital preservation,' her risk tolerance was listed as 'conservative,' her time horizon was '1-3 years,' and her investment experience was described as 'limited -- mostly CDs and savings bonds.' Her financial advisor, Craig Ellerman, age 34, had been with the firm for four years. In March 2023, Ellerman recommended that Mrs. Dawson invest \$95,000 -- roughly 44% of her liquid net worth -- into ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index, and \$40,000 into Direxion Daily Semiconductor Bull 3X Shares (SOXL). Ellerman told Mrs. Dawson that these funds would 'supercharge her returns so she wouldn't have to worry about running out of money,' and described them as 'just like regular index funds but better.' He did not explain the daily resetting mechanism, the concept of volatility decay, or the compounding risks of holding leveraged products over extended periods. He also did not mention that the funds carried expense ratios significantly higher than standard index ETFs -- TQQQ at 0.88% and SOXL at 0.76%. No written disclosure specific to leveraged or complex products was provided, and the firm's product review committee had not approved either fund for solicitation to clients with conservative risk profiles. Mrs. Dawson held both positions for fourteen months. During that period, the Nasdaq-100 experienced multiple sharp drawdowns and recoveries, and the semiconductor sector was highly volatile. By May 2024, her TQQQ position had declined to \$51,300 and her SOXL position had fallen to \$19,200, representing combined losses of approximately \$64,500 -- a 47.8% loss on the \$135,000 invested. Meanwhile, the underlying Nasdaq-100 index was down only about 4% over the same period, illustrating the dramatic impact of path dependency and volatility decay on daily-leveraged instruments held long-term. Mrs. Dawson filed a written complaint with the firm in June 2024, stating she had no idea the products were so risky and that her advisor never explained they were designed only for short-term trading. An internal review revealed that Ellerman had also placed two other clients over age 70 into similar leveraged ETF positions during the same period.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Ellerman clearly violated applicable suitability and best interest standards in multiple respects.

****Applicable Standards:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis for believing a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and investment experience. Rule 2111 encompasses three components: reasonable-basis suitability (understanding the product),

customer-specific suitability (matching the product to the customer), and quantitative suitability (ensuring the volume/frequency of transactions is not excessive).

2. **Regulation Best Interest (Reg BI), Rule 15l-1:** Under the Care Obligation of Reg BI, a broker-dealer must exercise reasonable diligence, care, and skill in making a recommendation, must understand the potential risks, rewards, and costs of the recommendation, and must have a reasonable basis to believe the recommendation is in the retail customer's best interest and does not place the firm's interest ahead of the customer's. The Disclosure Obligation requires full and fair disclosure of material facts, including risks and costs.

3. **FINRA Regulatory Notices 09-31 and 22-08:** RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, due to the effects of daily compounding and volatility decay. The notice stated that these products can produce returns that diverge significantly from the underlying index over longer periods. RN 22-08 reinforced obligations around complex products, requiring heightened supervision, robust suitability analysis, and clear disclosure when recommending complex products to retail investors, particularly those with limited sophistication.

Analysis of Violations:

- **Customer-Specific Suitability Failure:** Mrs. Dawson's documented profile -- age 78, conservative risk tolerance, income/capital preservation objective, 1-3 year time horizon, limited investment experience, and dependence on the portfolio for living expenses -- is fundamentally incompatible with 3x daily-leveraged ETFs. These are among the most volatile and risky equity products available to retail investors. Concentrating 63% of a conservative senior's liquid assets (\$135,000 of \$215,000) in such products is a textbook suitability violation.

- **Reasonable-Basis Suitability Failure:** Ellerman's description of TQQQ and SOXL as 'just like regular index funds but better' demonstrates either a fundamental misunderstanding of the products or a deliberate misrepresentation. A broker who does not understand daily resetting, path dependency, and volatility decay cannot have a reasonable basis for recommending these products to any customer.

- **Reg BI Care Obligation Violation:** Ellerman failed to exercise reasonable diligence, care, and skill. He did not evaluate whether the products' risk/return characteristics aligned with Mrs. Dawson's needs. The recommendation clearly placed the advisor's interests (likely in generating commissions or meeting sales targets) ahead of the customer's interest in preserving her limited retirement savings.

- **Reg BI Disclosure Obligation Violation:** Ellerman failed to disclose material facts about the products, including the daily resetting mechanism, the risk of significant losses from long-term holding due to volatility decay, the elevated expense ratios, and the products' intended use as short-term tactical trading instruments.

- **Supervisory Failures:** The firm's product review committee had not approved TQQQ or SOXL for solicitation to conservative-profile clients, yet Ellerman recommended them without any apparent supervisory intervention. Under FINRA Rule 3110, the firm has an obligation to establish and maintain supervisory systems reasonably designed to ensure compliance with applicable rules. The fact that Ellerman placed multiple senior clients into similar positions suggests a systemic supervisory failure. FINRA RN 22-08 specifically emphasized the need for firms to establish effective policies and procedures around complex product recommendations, including pre-approval processes and enhanced supervision for vulnerable populations.

- **Senior Investor Considerations:** Mrs. Dawson's age, cognitive vulnerability, financial dependence on the account, and limited experience create heightened obligations. Numerous regulatory pronouncements have emphasized that firms and advisors owe special care when dealing with senior investors, and recommendations of highly complex, volatile products to such clients invite the most exacting scrutiny.

****Outcome and Losses:**** The \$64,500 loss (47.8%) on her leveraged ETF holdings -- while the underlying index declined only ~4% -- vividly illustrates the path-dependency and volatility decay risks that were neither understood by the client nor explained by the advisor. This divergence is precisely the phenomenon regulators have repeatedly warned about since 2009.

****Likely Regulatory Outcome:**** Ellerman faces potential individual sanctions including fines, suspension, or a bar. The firm faces potential fines and a requirement to pay restitution. A pattern of placing senior clients into unsuitable leveraged products could result in enhanced penalties and mandated remediation programs. Mrs. Dawson would likely prevail in a customer arbitration claim for compensatory damages of approximately \$64,500, plus potential interest and fees.

Item 282 of 350**NON-COMPLIANT**

Topic: complex_products_unsophisticated_investor

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Dietrich, age 67, is a retired elementary school teacher living in Dayton, Ohio. She has a modest retirement portfolio of approximately \$285,000, consisting primarily of a 403(b) rollover IRA and a small savings account. Her monthly income is \$2,400 from her pension and \$1,350 from Social Security. On her new account form, she listed her investment objective as 'income and capital preservation,' her risk tolerance as 'low,' and her investment experience as 'limited -- mostly CDs and savings bonds.' She has no college degree in finance or business and has never traded options, futures, or any derivative instruments.

In February 2022, Margaret's financial advisor, Kevin Brashear, age 34, at Ridgemont Financial Group, recommended that she invest \$75,000 -- roughly 26% of her total retirement savings -- into a 3x leveraged bull semiconductor ETF (ticker: SOXL) and \$40,000 into a 2x inverse Treasury bond ETF (ticker: TBT). Kevin told Margaret that semiconductors were 'the future of technology' and that interest rates were 'guaranteed to keep rising,' making the inverse bond fund 'a sure thing.' He described both products as 'like regular ETFs, just with a little extra kick.' He did not explain daily resetting mechanics, compounding effects, volatility decay, or path dependency. No written disclosure materials specific to leveraged or inverse products were provided to Margaret.

Kevin's branch manager, Linda Sorrell, approved both trades without conducting any additional review or requiring documentation of why leveraged and inverse products were appropriate for a retiree with low risk tolerance and limited investment knowledge. The firm had no specialized training requirement or heightened supervisory protocol for complex product recommendations.

Margaret held both positions for eleven months. During that period, the semiconductor sector experienced significant volatility, with SOXL declining approximately 62% from her purchase price despite the underlying index only falling about 25%. TBT similarly underperformed expectations due to volatile interest rate movements and daily reset compounding, losing approximately 18% even though long-term Treasury yields rose modestly over the same period. By January 2023, Margaret's combined \$115,000 investment was worth approximately \$52,400, a total loss of roughly \$62,600. Margaret only discovered the severity of the losses when she requested a portfolio review to plan a required minimum distribution. She stated she had no idea the products could lose money at such an accelerated rate relative to the underlying markets, and that Kevin never contacted her to discuss whether she should exit the positions.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Brashear violated applicable suitability and best interest standards in multiple respects, and his firm failed in its supervisory obligations regarding complex product recommendations.

****Applicable Standards:****

1. **FINRA Rule 2111 (Suitability):** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy involving a security is suitable for the customer, based on the customer's investment profile. The rule encompasses three obligations: reasonable-basis suitability (understanding the product), customer-specific suitability (matching to the individual), and quantitative suitability.
2. **Regulation Best Interest (Reg BI), Rule 15l-1 under the Securities Exchange Act:** For retail customer recommendations made after June 30, 2020, the broker-dealer must act in the best interest of the retail customer at the time a recommendation is made, without placing the financial interest of the broker ahead of the customer. The Care Obligation under Reg BI requires that the advisor exercise reasonable diligence, care, and skill in understanding the product, assessing the customer's profile, and evaluating alternatives.
3. **FINRA Regulatory Notices 09-31 and 22-08:** RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. The notice highlighted the effects of daily compounding, volatility decay, and path dependency, which can cause returns to deviate dramatically from the expected multiple of the underlying index over periods longer than one day. RN 22-08 reinforced heightened obligations when recommending complex products, requiring firms to establish robust written supervisory procedures, enhanced due diligence, and tailored training for associated persons.

Analysis of Violations:

- **Reasonable-Basis Suitability Failure:** Kevin's description of the leveraged and inverse ETFs as 'like regular ETFs, just with a little extra kick' strongly suggests he either did not understand the daily resetting mechanics and compounding risks, or he deliberately mischaracterized them. A 3x leveraged semiconductor ETF and a 2x inverse Treasury ETF are complex derivative-based products with well-documented path dependency and volatility decay risks. An advisor who cannot explain these features to a customer lacks the requisite understanding to recommend them.
- **Customer-Specific Suitability Failure:** Margaret's profile -- age 67, retired, low risk tolerance, income/capital preservation objectives, limited investment experience, and modest total savings -- is fundamentally inconsistent with leveraged and inverse ETF investments. Allocating 26% of her retirement assets to a 3x leveraged equity ETF and an additional 14% to a 2x inverse bond ETF (totaling roughly 40% of her portfolio in highly volatile complex products) was grossly unsuitable. These products are designed for sophisticated, short-term tactical traders, not retired individuals seeking capital preservation.
- **Reg BI Care Obligation Failure:** Kevin failed to exercise reasonable diligence and care by not evaluating reasonably available alternatives (such as conventional semiconductor index funds or short-duration bond funds), by not considering the potential costs and risks relative to Margaret's profile, and by not making a recommendation that was in her best interest. His statements that semiconductor exposure was 'the future' and rising rates were 'guaranteed' reflected speculative reasoning inappropriate for a capital preservation-oriented retiree.
- **Disclosure Failure:** Kevin provided no written materials explaining leveraged/inverse product mechanics, no risk disclosures specific to daily-resetting products, and made affirmatively misleading characterizations. This violates the Disclosure Obligation under Reg BI and general fair dealing obligations.
- **Supervisory Failure:** Branch manager Linda Sorrell approved the trades without any heightened review, despite the customer profile being clearly inconsistent with complex leveraged products. The firm lacked specialized supervisory procedures for complex products, contrary to the expectations set forth in FINRA RN 09-31 and RN 22-08, which emphasize the need for written supervisory procedures specifically tailored to leveraged and inverse ETF transactions. FINRA Rule 3110 requires firms to establish and maintain a system of supervision reasonably designed to achieve compliance, and the absence of any complex product review protocol constitutes a supervisory deficiency.

- **Holding Period Harm:** The fact that Margaret held these daily-resetting products for eleven months without any advisor-initiated review or contact directly illustrates the harm that FINRA RN 09-31 warned about. SOXL declined 62% while its underlying index fell only 25% -- a textbook example of volatility decay and adverse compounding over extended holding periods. The \$62,600 loss on a \$115,000 investment represents a catastrophic outcome for a retiree with limited resources.

Likely Regulatory Outcome:

Kevin Brashear would likely face individual liability including potential fines, suspension, and an order to pay restitution. Ridgemont Financial Group would likely face supervisory violation charges for failure to implement adequate complex product procedures and for the branch manager's perfunctory approval of clearly unsuitable transactions. The firm may face fines and be required to implement enhanced supervisory procedures. Margaret would likely recover her losses through arbitration or regulatory restitution, given the clear unsuitability and Reg BI violations.

Item 283 of 350**NON-COMPLIANT**

Topic: complex_products_unsophisticated_investor

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Kowalski, age 68, retired from a career as an elementary school teacher in Dayton, Ohio. She receives a \$2,400 monthly pension and \$1,850 in Social Security benefits. Her total liquid savings amount to approximately \$215,000, held in an IRA rollover account that represents the vast majority of her retirement assets. Her new account form, completed in March 2022, listed her investment objective as 'income and capital preservation,' her risk tolerance as 'low,' her time horizon as '5-10 years,' and her investment experience as 'limited -- owns mutual funds and CDs.' She told her financial advisor, Kevin Braddock, that she was worried about inflation eating into her fixed income and wanted to 'keep up with things without losing what I have.' Braddock, who had been in the business for four years, recommended she allocate \$65,000 of her IRA -- roughly 30% of her total retirement savings -- into the ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index. He described it to her as a 'turbocharged version of the Nasdaq that would help her beat inflation over time.' He did not discuss volatility decay, daily reset mechanics, or the compounding effects that cause the fund's performance to deviate significantly from three times the index's cumulative return over periods longer than one day. He did not provide the fund's prospectus or any supplemental materials explaining leveraged ETF risks. His firm had no formal training program or approval process specifically for leveraged or inverse products. The position was purchased in April 2022 and held continuously. By October 2022, the Nasdaq-100 had declined approximately 32% from its peak, while TQQQ had lost roughly 72% of its value over the same period, reducing Margaret's \$65,000 position to approximately \$18,200. Margaret called Braddock several times during the decline, and he repeatedly reassured her that 'the market always comes back' and advised her to hold. No rebalancing or exit strategy was implemented. Margaret filed a complaint in January 2023, stating she never understood the product, was never told it could lose this much, and that the losses had materially impacted her ability to fund her retirement.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Braddock violated applicable standards on multiple levels. Under FINRA Rule 2111 (Suitability), a financial advisor must have a reasonable basis for believing that a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, experience, and time horizon. Under Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934), the standard is heightened: the advisor must act in the customer's best interest at the time of the recommendation, exercising reasonable diligence, care, and skill.

FINRA Regulatory Notice 09-31 specifically warns that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. FINRA RN 12-03 and RN 22-08 further emphasize that complex products -- including leveraged ETFs -- require heightened supervision, meaningful disclosure of risks, and careful evaluation of whether the customer can understand and bear the risks involved.

Here, multiple failures are evident:

1. ****Reasonable Basis Suitability / Reg BI Care Obligation****: TQQQ is a 3x daily-leveraged ETF subject to significant path dependency and volatility decay. Its daily resetting mechanism means that over any period longer than a single day, its returns can deviate dramatically from three times the index's cumulative return, particularly in volatile markets. Braddock had an obligation to understand these mechanics before recommending the product. His description of TQQQ as a 'turbocharged version of the Nasdaq' that would help a retiree 'beat inflation over time' demonstrates a fundamental misunderstanding of the product or a reckless disregard for its characteristics. This fails the reasonable-basis component of suitability under Rule 2111(a) and the care obligation under Reg BI.
2. ****Customer-Specific Suitability****: Margaret was a 68-year-old retiree with limited investment experience, low risk tolerance, a capital preservation objective, and dependence on her IRA for retirement income. Allocating 30% of her total retirement savings to a 3x leveraged equity ETF is facially unsuitable for this profile. A product capable of losing 72% of its value in six months is incompatible with 'low risk tolerance' and 'capital preservation.'
3. ****Quantitative Suitability****: While a single product recommendation, the sheer concentration -- \$65,000 of \$215,000 in retirement savings -- in an extraordinarily volatile instrument represents an excessive and unsuitable allocation for this customer.
4. ****Disclosure Failures / Reg BI Disclosure Obligation****: Braddock failed to provide the prospectus, failed to explain volatility decay, daily reset mechanics, or compounding risk, and affirmatively mischaracterized the product. Under Reg BI's disclosure component, the advisor must disclose material facts about the recommendation, including risks and the capacity for loss.
5. ****Supervisory Failures****: The firm's lack of a formal training program, approval process, or heightened supervision framework for leveraged and inverse products violates supervisory obligations under FINRA Rule 3110 and the guidance in FINRA RN 09-31 and RN 22-08, which explicitly call for firms to implement written supervisory procedures specific to complex products, including pre-approval requirements and post-trade surveillance.
6. ****Failure to Manage the Position****: Even after the position was established, Braddock's repeated advice to 'hold' a daily-resetting leveraged product during a sustained decline compounded the harm. The ongoing hold recommendation itself was unsuitable, as FINRA has been clear that these products are designed for short-term tactical use.

The likely regulatory outcome would include findings of suitability violations under Rule 2111, violations of the care and disclosure obligations under Reg BI, and supervisory deficiency findings against the firm. Remedies could include restitution of losses (approximately \$46,800), fines, a suspension or bar for Braddock, and supervisory sanctions against the firm. In an arbitration setting, the customer would have strong grounds for a compensatory damages award.

Item 284 of 350**NON-COMPLIANT**

Topic: leveraged_etf_unsuitable

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Dolan, age 67, is a retired elementary school teacher living in suburban Philadelphia. She receives a monthly pension of \$3,400 and Social Security payments of \$1,850, giving her a combined annual fixed income of approximately \$63,000. She has \$410,000 in a rollover IRA, which represents the vast majority of her liquid savings aside from a \$22,000 emergency fund in a money market account. She owns her home outright. On her new account form, Margaret indicated a "moderate" risk tolerance, an investment objective of "income and capital preservation," a time horizon of 15-20 years, limited investment experience (primarily mutual funds and CDs through her employer's retirement plan), and no experience with options, futures, or complex exchange-traded products.

In March 2023, Margaret's financial advisor, Kevin Brandt, age 34, recommended that she invest \$82,000 of her IRA--roughly 20% of the account--into the ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index. Kevin told Margaret that the technology sector was poised for strong growth due to the artificial intelligence boom, and that this fund would allow her to "triple the gains" of the Nasdaq. He described TQQQ as similar to a regular technology index fund but with "extra upside potential." He did not explain the daily resetting mechanism, the concept of volatility decay, or the compounding effects that cause leveraged ETFs to deviate significantly from their stated multiple over holding periods longer than one day. He did not provide the fund's prospectus or any written materials describing the product's risks.

Kevin's notes in the firm's system stated only: "Client interested in growth allocation to complement fixed income holdings. Recommended TQQQ for tech exposure." The firm's product approval list included TQQQ but flagged it as a "complex product" requiring enhanced documentation and supervisory pre-approval for accounts belonging to investors over age 60 or those with conservative-to-moderate risk profiles. Kevin did not seek or obtain the required pre-approval.

Margaret held the TQQQ position for eleven months. During this period, the Nasdaq-100 experienced significant volatility, including a drawdown of approximately 12% between July and October 2023 before partially recovering. By February 2024, the Nasdaq-100 had risen roughly 9% from her purchase date; however, due to volatility decay and the compounding effects of daily resetting, TQQQ had gained only about 14%--well below the approximately 27% (3x) that Margaret would have expected based on Kevin's description. More critically, during the October drawdown, TQQQ had fallen approximately 34%, and Margaret--alarmed by watching \$28,000 disappear from her retirement account--called Kevin in a panic. He reassured her to "hold on" and that "it would come back." She ultimately sold the position in February 2024 for a gain of approximately \$11,500, but the experience caused her significant distress, and she filed a complaint with the firm stating that Kevin never explained the risks of the product or its daily resetting nature, and that the investment was wholly inappropriate for her retirement savings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, financial advisor Kevin Brandt violated applicable suitability and best interest standards in multiple respects.

****Applicable Standards:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a firm or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and investment experience. Rule 2111 encompasses three component obligations: reasonable-basis suitability (understanding the product), customer-specific suitability (matching to the customer), and quantitative suitability.
2. ****Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act):**** For broker-dealer recommendations to retail customers, Reg BI requires the advisor to act in the customer's best interest at the time the recommendation is made, without placing the advisor's interest ahead of the customer's. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in understanding the product and forming a reasonable basis to believe the recommendation is in the retail customer's best interest given the customer's profile.
3. ****FINRA Regulatory Notices 09-31 and 22-08:**** RN 09-31 specifically addresses leveraged and inverse ETFs, warning that these products are designed to achieve their stated objectives on a daily basis and that due to compounding and volatility decay, performance over longer periods can differ significantly from the stated daily multiple. The Notice states that daily-resetting leveraged ETFs are "typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets." RN 22-08 further reinforces complex product supervision obligations, requiring heightened due diligence and supervisory procedures.

****Analysis of Violations:****

****A. Customer-Specific Suitability / Care Obligation Violation:**** Margaret is a 67-year-old retiree with moderate risk tolerance, income and capital preservation objectives, a 15-20 year time horizon, and limited investment experience. She had no experience with complex products. Allocating 20% of her retirement IRA to a 3x daily-leveraged ETF is fundamentally inconsistent with her stated objectives and profile. A product designed for short-term tactical trading by sophisticated investors has no reasonable place in a capital preservation-oriented retirement portfolio. This is a clear violation of both FINRA Rule 2111.05(a) (customer-specific suitability) and the Reg BI Care Obligation.

****B. Reasonable-Basis Suitability Violation:**** Kevin's description of TQQQ as similar to a regular index fund with "extra upside" and his advice to hold through a volatile drawdown strongly suggest he himself did not understand the daily-resetting mechanism, volatility decay, or path dependency inherent in leveraged ETFs. An advisor who recommends a product he does not understand violates the reasonable-basis component of Rule 2111 and the Reg BI requirement to exercise reasonable diligence in understanding the product.

****C. Disclosure Failures / Reg BI Disclosure Obligation:**** Kevin failed to explain the daily resetting feature, volatility decay, or the fact that long-term returns can diverge dramatically from the underlying index multiplied by the leverage factor. He did not provide the prospectus. Under Reg BI's Disclosure Obligation, the advisor must disclose material facts about the recommendation, including risks. The daily reset mechanism and compounding effects are the most fundamental risk characteristics of leveraged ETFs.

****D. Firm Supervisory Failures:**** The firm's own internal controls flagged TQQQ as a complex product requiring enhanced documentation and supervisory pre-approval for customers over 60 or with conservative-to-moderate risk profiles. Kevin bypassed this requirement entirely. This represents a violation of the firm's supervisory obligations under FINRA Rule 3110 and the complex products supervision framework outlined in RN 09-31 and RN 22-08, which call for firms to implement adequate written supervisory procedures, pre-approval processes, and post-trade surveillance for leveraged and inverse ETF transactions.

****E. Holding Period Concern:**** As emphasized in RN 09-31, leveraged ETFs that reset daily are typically unsuitable for retail investors holding beyond one trading session. Margaret held TQQQ for eleven months--a period during which volatility decay materially eroded the leveraged return, exactly as regulators have warned. Kevin's advice to continue holding during the drawdown compounded the suitability problem.

****Likely Regulatory Outcome:**** This fact pattern presents strong grounds for a customer complaint arbitration award, a FINRA enforcement action against the advisor for suitability and Reg BI violations, and potential supervisory deficiency charges against the firm. While Margaret ultimately realized a modest gain, the fact of a gain does not cure the underlying suitability violation--the recommendation was inappropriate at the time it was made regardless of outcome. Remedies could include compensatory damages (measured by a well-managed account comparison), disgorgement of commissions, fines, a suspension or bar for the advisor, and supervisory sanctions against the firm.

Item 285 of 350**NON-COMPLIANT**

Topic: senior_investor_exploitation

Difficulty: hard

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Kowalski, age 79, is a retired elementary school teacher living in Boca Raton, Florida. She has a fixed monthly income of \$2,840 from Social Security and a small pension. Her total liquid savings amount to approximately \$410,000, held in a brokerage account that represents virtually all of her investable assets outside of her home. Her account documents list her risk tolerance as 'conservative,' her investment objective as 'income and capital preservation,' her time horizon as 'short-term (1-3 years),' and her investment experience as 'limited -- mostly CDs and money market funds.' She has no prior experience with exchange-traded funds, options, futures, or leveraged products.

In March 2022, Margaret's financial advisor, Derek Holloway, age 34, met with her to discuss concerns she had about inflation eroding her savings. During the meeting, Derek recommended that Margaret invest \$165,000 -- roughly 40% of her liquid net worth -- into a 3x leveraged daily-resetting bull ETF tied to the S&P 500 (ticker: SPXL). Derek told Margaret that this product would 'triple whatever the market gives you' and described it as 'like owning the S&P 500 but better.' He did not explain the daily resetting mechanism, the concept of volatility decay, path dependency, or the fact that the product's prospectus explicitly states it is designed for short-term trading and is not intended to be held for periods longer than one day. He did not provide her with the product's prospectus or any supplemental materials about leveraged ETFs.

Derek also recommended she place an additional \$80,000 into a 2x inverse daily-resetting ETF tied to the Nasdaq-100 (ticker: QID), telling her it would serve as a 'hedge' and 'protection if tech stocks go down.' He did not explain that the inverse product would lose value over time in a rising or choppy market, nor did he explain the compounding effects of daily resets on inverse products held over extended periods.

Margaret signed the trade confirmations, trusting Derek's judgment. No one at the firm contacted Margaret to verify her understanding of these products before or after the purchases. The firm's supervisory system flagged the trades because Margaret's account profile indicated conservative risk tolerance and limited experience, but the branch manager, Sandra Liu, approved the trades the same day without contacting Margaret or requesting additional documentation, noting only 'client discussed with advisor' in the override field.

Margaret held both positions for eleven months. During that period, the S&P 500 experienced significant intraday volatility but ended roughly flat over the holding period. The Nasdaq-100 rose approximately 8% during the same window. Due to volatility decay and the compounding effects of daily resets, Margaret's \$165,000 position in SPXL declined to approximately \$119,000 -- a loss of \$46,000 -- despite the underlying index being roughly unchanged. Her \$80,000 position in QID declined to approximately \$49,500 -- a loss of \$30,500 -- as the inverse product suffered from both the upward drift of the Nasdaq and volatility decay. In total, Margaret lost approximately \$76,500, or about 18.7% of her total liquid savings.

When Margaret called Derek in February 2023 asking why her account had dropped so significantly when she 'heard the market didn't really go anywhere,' Derek told her the losses were 'just part of the market' and recommended she continue holding. Margaret's daughter, a CPA, eventually reviewed the account statements in April 2023 and brought the matter to the firm's compliance department. Derek Holloway had recommended similar leveraged and inverse ETF

positions to four other clients over age 70 in his book, all with conservative profiles.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Holloway committed multiple serious violations, and his branch manager Sandra Liu failed in her supervisory obligations.

****Suitability -- FINRA Rule 2111:**** Under the traditional suitability framework, a broker must have a reasonable basis for believing that a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and experience. FINRA Rule 2111 encompasses three sub-obligations: (1) reasonable-basis suitability (understanding the product), (2) customer-specific suitability (matching the product to the customer), and (3) quantitative suitability.

Derek failed on all three dimensions. He recommended 3x leveraged and 2x inverse daily-resetting ETFs to a 79-year-old retiree with conservative risk tolerance, limited investment experience, an income/capital preservation objective, and a short-term time horizon -- a profile fundamentally incompatible with leveraged and inverse products. These instruments are designed for sophisticated, active traders who monitor positions daily or intraday and understand the mathematical effects of daily compounding.

****Regulation Best Interest (Reg BI) -- Rule 15l-1:**** Effective since June 2020, Reg BI requires broker-dealers to act in the retail customer's best interest at the time of a recommendation. This includes the Care Obligation (exercising reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile and the product's risks, rewards, and costs), the Disclosure Obligation (providing full and fair disclosure of all material facts including risks), and the Conflict of Interest Obligation. Derek's recommendation of daily-resetting leveraged and inverse products to a conservative, inexperienced 79-year-old retiree cannot satisfy the Care Obligation under any reasonable analysis. He also failed the Disclosure Obligation by mischaracterizing the products, omitting the daily reset mechanism, volatility decay, path dependency, and the products' own prospectus warnings against long-term holding.

****FINRA Regulatory Notices 09-31 and 22-08:**** FINRA RN 09-31 specifically warns that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. The notice highlights that in volatile markets, these products can produce returns that diverge dramatically from the leveraged or inverse return of the underlying index over the holding period. RN 22-08 further reinforces heightened obligations for complex products, requiring firms to establish robust supervisory systems, ensure that registered representatives understand the products they recommend, and ensure recommendations are consistent with customers' profiles.

Derek's misrepresentation of SPXL as 'like owning the S&P 500 but better' constitutes a material omission and potentially a fraudulent misrepresentation, as it ignores the fundamental mechanics that make the product behave very differently from a simple index fund over multi-day holding periods. Similarly, describing QID as a 'hedge' without explaining inverse compounding effects is misleading.

****Supervisory Failure:**** Sandra Liu, as branch manager, failed to discharge her supervisory responsibilities under FINRA Rules 3110 and 3120. The firm's automated compliance system properly flagged the trades due to the mismatch between Margaret's conservative profile and the leveraged/inverse products. Sandra's perfunctory same-day approval with a generic notation -- without contacting the customer, reviewing whether the customer understood the products, or requiring enhanced documentation -- constitutes a supervisory failure. Under RN 09-31 and RN 22-08,

firms must have heightened supervisory procedures for complex products, particularly when sold to elderly or unsophisticated customers.

****Senior Investor Protections:**** Margaret's age (79) and dependency on her savings for retirement income make this case particularly egregious. FINRA has consistently identified senior investors as a vulnerable population requiring enhanced protections. The concentration of approximately 60% of her liquid assets in highly speculative daily-resetting leveraged and inverse products is indefensible given her profile.

****Pattern of Conduct:**** The fact that Derek made similar recommendations to four other clients over age 70 with conservative profiles suggests a pattern of misconduct rather than an isolated error, which could elevate regulatory sanctions.

****Likely Regulatory Outcome:**** Derek faces potential sanctions including fines, disgorgement, suspension, or a bar from the industry. Sandra Liu faces supervisory failure charges. The firm faces potential fines and an obligation to pay restitution to Margaret and the other affected clients. Margaret's losses of approximately \$76,500 are directly attributable to the unsuitable recommendations and would likely form the basis for a customer arbitration award or regulatory restitution order.

Item 286 of 350**NON-COMPLIANT**

Topic: inappropriate_risk_profile

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Colvin, age 67, is a retired elementary school teacher in Tucson, Arizona, with a pension of \$3,400 per month and Social Security income of \$1,850 per month. She has a \$410,000 IRA that constitutes her primary retirement savings, a \$35,000 savings account, and no other significant investments. Her home is paid off. When she opened her advisory account with Derek Palmieri at Ridgeline Financial Group in March 2022, her new account form listed her risk tolerance as 'moderate,' her investment objective as 'income and capital preservation,' her investment time horizon as '10+ years,' and her liquid net worth as \$445,000. Margaret told Derek she wanted steady income to supplement her pension and did not want to take unnecessary risks with her nest egg.

In April 2022, Derek called Margaret and told her he was concerned about rising interest rates hurting her bond holdings. He recommended she move \$125,000 -- roughly 30% of her IRA -- into a 3x leveraged inverse Treasury bond ETF (ticker: TMV), which seeks daily investment results corresponding to three times the inverse of the daily performance of the ICE U.S. Treasury 20+ Year Bond Index. Derek described the product as 'a hedge against rising rates' and said it would 'protect her portfolio if bonds keep falling.' He did not explain that the fund resets daily, that its returns over periods longer than one day can deviate substantially from three times the inverse of the index's return due to the mathematical effects of daily compounding, or that the product was designed for short-term tactical trading. He did not discuss volatility decay or path dependency.

Margaret agreed to the purchase. Over the following eleven months, Treasury yields were volatile -- rising sharply, then partially reversing, then rising again. By March 2023, the 20+ Year Treasury Bond Index had declined approximately 8% from the purchase date. Margaret expected her position to have gained roughly 24% (three times 8%). Instead, due to the effects of daily resetting, volatility drag, and compounding, her TMV position had gained only about 4.5%, and at various interim points had been down as much as 18%. Meanwhile, Derek never contacted Margaret to discuss whether the position should be closed or trimmed, and no supervisory review flagged the holding. Margaret's account statements showed the TMV position was held continuously for eleven months without any rebalancing or exit strategy. When Margaret finally called to ask why the returns were so different from what she expected, Derek told her to 'hang on a little longer.' She liquidated the position herself in April 2023 at a modest gain of roughly \$3,800 on the \$125,000 investment, far below her expectations and far below what a non-leveraged inverse Treasury ETF would have returned on a risk-adjusted basis over the same period. She filed a complaint with Ridgeline Financial Group alleging that the recommendation was unsuitable for her age, risk profile, and objectives, and that critical product risks were never disclosed.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Palmieri violated both the suitability and best interest standards applicable to this recommendation in multiple respects.

1. ****Product Unsuitability Under FINRA Rule 2111 (Suitability):**** FINRA Rule 2111 requires that a broker have a reasonable basis for believing a recommendation is suitable for the customer based on reasonable diligence concerning the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and liquidity needs. Margaret was a 67-year-old retiree with moderate risk tolerance, income and capital preservation objectives, and a 10+ year horizon -- a classic profile for conservative, income-generating investments. A 3x leveraged inverse ETF is categorized as a complex, speculative product. Concentrating 30% of her IRA in such a product was unsuitable on its face under the customer-specific suitability obligation.
2. ****Violation of Regulation Best Interest (Rule 15l-1 under the Exchange Act):**** Under Reg BI, a broker must act in the retail customer's best interest at the time of the recommendation, exercising reasonable diligence, care, and skill. The Care Obligation requires the advisor to understand the risks and rewards of the product, consider reasonable alternatives, and ensure the recommendation does not place the advisor's interest ahead of the customer's. A 3x leveraged inverse Treasury ETF carries extreme volatility risk, daily-reset compounding risk, and is designed for short-term tactical use -- not for a retiree seeking income and capital preservation. There is no reasonable basis on which this product served Margaret's best interest. A simple short-duration bond fund, Treasury bills, or even a non-leveraged inverse bond ETF would have been far more appropriate alternatives.
3. ****Failure to Disclose Material Product Risks (Reg BI Disclosure Obligation):**** Derek did not explain the daily resetting mechanism, volatility decay, or path dependency -- the very features that caused the product to return only 4.5% when the underlying index declined 8% (which should have produced roughly 24% on a simple multiple basis). These are material risks that must be disclosed under Reg BI's Disclosure Obligation and are specifically highlighted in FINRA Regulatory Notices 09-31, 12-03, and 22-08 as risks that must be communicated to investors in leveraged and inverse ETFs.
4. ****FINRA Regulatory Notices 09-31 and 22-08 -- Complex Products Supervision:**** FINRA RN 09-31 explicitly warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets. FINRA RN 22-08 reinforced the requirement for enhanced supervision and due diligence for complex products, including leveraged ETFs, and emphasized that firms must have written supervisory procedures to ensure such products are not recommended to investors for whom they are inappropriate. The eleven-month hold without any supervisory review or contact indicates a failure of Ridgeline Financial Group's supervisory system.
5. ****Concentration Risk:**** Allocating \$125,000 -- roughly 30% of Margaret's retirement account -- to a single leveraged inverse ETF compounded the unsuitability. Even if the product were otherwise appropriate (which it was not), the concentration level was excessive given her stated objectives.
6. ****Ongoing Failure to Monitor:**** Derek never contacted Margaret to review or exit the position over eleven months, and when she raised concerns, he advised her to continue holding -- further evidence that neither he nor his firm had appropriate supervisory procedures for monitoring complex product holdings.

****Likely Regulatory Outcome:**** This fact pattern would likely result in findings of violation of FINRA Rule 2111 (customer-specific suitability), Regulation Best Interest (Care and Disclosure Obligations), and FINRA Rules 3110 and 3120 (supervisory failures by the firm). Remedies could include restitution to the customer, fines, suspension or enhanced supervision for the advisor, and potential sanctions against Ridgeline Financial Group for inadequate supervisory procedures regarding complex products.

Item 287 of 350

NON-COMPLIANT

Topic: complex_products_unsophisticated_investor

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Gerald Whitman, age 67, is a retired postal worker in Columbus, Ohio, with a fixed monthly pension of \$2,800 and Social Security income of \$1,650 per month. His total liquid savings amount to approximately \$185,000, held in an IRA rollover account that represents the entirety of his retirement nest egg aside from the pension. Gerald completed only a high school education and has no prior investment experience beyond a savings account and a certificate of deposit. On his new account form, his risk tolerance was marked as "moderate," his investment objective was listed as "income and capital preservation," and his time horizon was noted as 5-10 years. In March 2023, Gerald's financial advisor, Ryan Ostrowski, recommended that Gerald allocate \$55,000--roughly 30% of his liquid retirement savings--into a 3x leveraged bull semiconductor ETF (ticker: SOXL) and an additional \$25,000 into a 2x inverse S&P 500 ETF (ticker: SDS). Ryan told Gerald that the semiconductor sector was "about to take off because of the AI boom" and that the inverse S&P 500 position would serve as a "hedge" in case the market pulled back. Ryan did not explain the daily resetting mechanism of either product, the concept of volatility decay, or the compounding risk associated with holding leveraged and inverse ETFs over periods longer than a single trading session. He did not provide Gerald with any product-specific prospectus materials or risk disclosures. No written supervisory approval was obtained for the transactions, and Ryan's branch office had no documented procedures for enhanced review of complex or leveraged product recommendations to retail clients. Gerald, trusting Ryan's judgment, agreed to the trades. Over the next eleven months, the semiconductor sector experienced significant volatility--rising sharply, then declining 18%, then partially recovering. Despite the underlying semiconductor index finishing the period roughly 6% higher than where it started, SOXL's value had eroded substantially due to volatility decay and path dependency, falling from \$55,000 to approximately \$38,200. Meanwhile, the S&P 500 rose approximately 14% over the same period, causing the SDS inverse position to decline from \$25,000 to roughly \$16,400. In total, Gerald lost approximately \$25,400, or about 13.7% of his entire liquid retirement savings. When Gerald called Ryan in February 2024 to ask why his account was down so much despite hearing on the news that markets were up, Ryan said the losses were "just part of the market cycle" and recommended Gerald continue to hold both positions. Gerald subsequently filed a complaint with the firm.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, the financial advisor violated applicable suitability and best interest standards on multiple grounds.

1. ****Suitability under FINRA Rule 2111**:** This rule requires that a broker have a reasonable basis to believe that a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and experience. Gerald is a 67-year-old retiree with no investment experience, a moderate risk tolerance, an objective of income and capital preservation, and a 5-10 year time horizon. Allocating 30% of his only liquid retirement savings to a 3x leveraged semiconductor ETF and another 13.5% to a 2x inverse S&P 500 ETF is grossly inconsistent with this profile. Leveraged and inverse ETFs are designed for short-term, tactical trading by sophisticated investors, not for buy-and-hold retirement income strategies. The recommendation fails all three components of the suitability obligation: reasonable-basis suitability (these products are

inappropriate for long-term holding by any investor due to daily resetting and volatility decay), customer-specific suitability (Gerald's profile is entirely mismatched), and quantitative suitability (the concentration of nearly 43% of retirement assets in highly speculative daily-resetting products is excessive).

2. ****Regulation Best Interest (Rule 15l-1)**:** Under Reg BI's Care Obligation, a broker-dealer must exercise reasonable diligence, care, and skill in making a recommendation, considering the retail customer's investment profile and the potential risks, rewards, and costs of the recommendation. Recommending daily-resetting leveraged and inverse products to an unsophisticated, risk-averse retiree whose sole objective is preserving retirement capital does not satisfy this standard. The Disclosure Obligation was also violated, as Ryan failed to explain the mechanics of daily resetting, path dependency, volatility decay, or the material risk that these products could lose significant value even if the underlying index performs favorably over time.

3. ****FINRA Regulatory Notices 09-31 and 22-08**:** FINRA RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. The notice emphasizes that in volatile markets, these products can produce returns that diverge dramatically from the expected multiple of the underlying index's return over time. FINRA RN 22-08 reinforced heightened obligations for complex product recommendations, requiring firms to establish robust supervisory systems, including written procedures for review and approval of complex product transactions, and to ensure that associated persons understand the products they recommend. Ryan's branch had no such supervisory procedures in place.

4. ****Supervisory Failures**:** The firm failed to maintain written supervisory procedures for complex or leveraged products, and no principal approval was obtained before the trades were executed. This violates FINRA Rules 3110 and 3120 regarding supervision, and the guidance in RN 09-31 and RN 22-08 that firms must have heightened supervision for recommendations involving leveraged/inverse ETFs.

5. ****Post-Sale Conduct**:** Ryan's advice to continue holding the positions in February 2024, despite the demonstrated losses from volatility decay and the fundamental mismatch with Gerald's objectives, constituted an additional implicit recommendation that was itself unsuitable.

****Likely Regulatory Outcome**:** Ryan would likely face individual liability including fines, disgorgement, and a potential suspension. The firm would face sanctions for supervisory failures. Gerald would have strong grounds for recovery of his losses (approximately \$25,400) through arbitration, potentially with interest and attorneys' fees. Enhanced scrutiny of the branch's complex product practices would likely follow.

Item 288 of 350

NON-COMPLIANT

Topic: high_fees_unsuitable

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Ellison, age 71, is a retired school librarian living in Tucson, Arizona, with a fixed annual income of \$38,000 from Social Security and a small pension. She has \$215,000 in a brokerage account, which represents substantially all of her liquid savings. Her stated investment objectives on her new account form are capital preservation and income generation. Her risk tolerance is marked as conservative, and she has no prior experience with exchange-traded products, options, or derivatives of any kind. She told her financial advisor, Derek Huang, that she wanted something that would 'keep up with inflation a little and not lose money.' In March 2022, Huang recommended that Margaret invest \$95,000--roughly 44% of her portfolio--into a 3x leveraged bull semiconductor ETF (daily resetting) with an expense ratio of 0.95% and an implied annual holding cost, including swap financing costs and tracking drag, estimated at approximately 3.5% to 5% annually for long-term holders. Huang explained the product as 'a way to get triple the upside of the hottest sector in the market' and told Margaret that semiconductors were 'the future' and that she should 'hold on for the long run to see real gains.' He did not discuss daily resetting mechanics, path dependency, volatility decay, or the compounding effects that cause leveraged ETFs to deviate significantly from the multiple of their benchmark's cumulative return over periods longer than one day. No written disclosures specific to leveraged or complex products were provided, nor was there any notation in the file that Huang assessed whether Margaret understood these products. By September 2023, the semiconductor sector had experienced significant volatility--a drawdown of approximately 30% followed by a partial recovery. The underlying index was down roughly 8% cumulatively from Margaret's purchase date. However, due to volatility decay and the daily-resetting leverage mechanics, Margaret's leveraged ETF position had lost approximately 41%, leaving her \$95,000 investment worth roughly \$56,000--a loss of \$39,000. The total fees and embedded costs she bore during the 18-month holding period were approximately \$4,800. Margaret filed a complaint stating she was never told the product could lose this much money, that she thought it was similar to a regular index fund, and that the fees and hidden costs were never disclosed to her.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Huang violated multiple regulatory standards in recommending a 3x leveraged daily-resetting ETF to Margaret Ellison.

1. ****Reg BI - Care Obligation (Rule 15l-1):**** Under Regulation Best Interest, a broker-dealer must exercise reasonable diligence, care, and skill when making a recommendation to a retail customer. This includes understanding the product's risks, costs, and reasonably available alternatives, and having a reasonable basis to believe the recommendation is in the customer's best interest. A 3x leveraged semiconductor ETF is a highly speculative, complex product designed for short-term trading by sophisticated investors. Recommending it to a 71-year-old retiree with conservative risk tolerance, capital preservation objectives, limited income, and no experience with complex products fails the care obligation on every dimension. The high implied holding costs (3.5%-5% annually), combined with the structural unsuitability of long-term holding, make this recommendation flatly inconsistent with Margaret's best interest.

2. **FINRA Rule 2111 (Suitability):** Even under the traditional suitability framework, this recommendation fails all three components: (a) Reasonable-basis suitability: Huang failed to understand the daily-resetting mechanics, path dependency, and volatility decay inherent in leveraged ETFs, or if he did understand them, he disregarded them by advising a long-term hold. (b) Customer-specific suitability: A conservative 71-year-old retiree with \$215,000 in total savings, dependent on fixed income, should not have 44% of her portfolio in a 3x leveraged product. (c) Quantitative suitability: The fee drag and structural cost of holding this product long-term (estimated \$4,800 over 18 months plus compounding losses from volatility decay) were excessive relative to any reasonable expected benefit for this customer.

3. **FINRA Regulatory Notices 09-31 and 22-08:** These notices specifically warn that leveraged and inverse ETFs that reset daily are generally unsuitable for retail investors who plan to hold them for longer than one trading session. RN 09-31 explicitly states that due to the effects of compounding, the performance of these products over longer periods can differ significantly from the stated daily multiple of the benchmark. RN 22-08 further reinforces that firms must have robust supervisory systems for complex products and that recommendations of such products to retail investors require heightened scrutiny. Huang's recommendation to 'hold on for the long run' directly contradicts these warnings.

4. **Complex Products Supervision:** Huang's firm appears to have failed its supervisory obligations. There is no evidence of a pre-approval process for complex product recommendations, no written disclosure was provided, and no assessment of the customer's ability to understand leveraged ETFs was documented. Firms are expected to have policies and procedures that include enhanced suitability reviews and specific disclosures for complex products.

5. **Disclosure Failures:** Huang did not explain the daily-resetting mechanism, path dependency, volatility decay, or the elevated cost structure. Margaret believed she was purchasing something akin to a standard index fund. This failure to disclose material product characteristics is itself a separate violation.

Likely Regulatory Outcome: Huang and his firm face potential enforcement action including fines, disgorgement, restitution of losses (approximately \$39,000 plus fees), and possible suspension. The firm could face additional supervisory deficiency charges for failing to implement adequate complex product oversight procedures.

Item 289 of 350**NON-COMPLIANT**

Topic: inappropriate_risk_profile

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Ellison, age 67, is a retired elementary school teacher living in Tucson, Arizona. She receives a monthly pension of \$3,400 and Social Security income of \$1,850 per month. Her total liquid savings amount to approximately \$410,000, held primarily in a rollover IRA and a taxable brokerage account. She has no other significant sources of income or assets aside from her primary residence, which is paid off. During her initial meeting with financial advisor Kyle Dempsey at Ridgeline Wealth Partners in March 2022, Mrs. Ellison stated that her primary investment objective was capital preservation with modest income generation to supplement her pension and Social Security. She described herself as a conservative investor who could not afford to lose a significant portion of her savings, as this money needed to last through retirement. Her new account form reflected a "conservative" risk tolerance and an investment time horizon of 10-15 years.

Despite this profile, in April 2022, Dempsey recommended that Mrs. Ellison allocate \$82,000 -- approximately 20% of her liquid net worth -- into a 3x leveraged bull semiconductor ETF (ticker: SOXL) and \$45,000 into a 2x leveraged inverse Treasury bond ETF (ticker: TBT). Dempsey told Mrs. Ellison that semiconductors were "the backbone of the future economy" and that interest rates were going to keep rising, making TBT a "sure thing." He described both products as "just like regular ETFs but with more upside potential." He did not explain that both products reset daily, that their returns could deviate dramatically from the underlying index over periods longer than one day, or that holding them for months or years could result in significant losses even if the underlying index eventually moved in the anticipated direction.

Mrs. Ellison held both positions throughout 2022 and into 2023. By October 2023, the SOXL position had experienced extreme volatility, falling from \$82,000 to approximately \$34,500 -- a loss of roughly 58%. The TBT position, despite interest rates indeed rising during portions of this period, declined from \$45,000 to approximately \$31,000 due to volatility decay and path dependency effects. In total, Mrs. Ellison's combined losses on these two positions exceeded \$61,000. She was not contacted by Dempsey at any point to discuss whether these positions remained appropriate or to recommend exiting the trades. No supervisory review or approval was sought or obtained before the initial recommendations were made. When Mrs. Ellison called Dempsey in November 2023, alarmed by her account statements, he told her to "hang tight" and that the positions would "come back eventually."

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, financial advisor Kyle Dempsey violated applicable suitability and best interest standards in multiple respects.

****Applicable Standards:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the

customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and other relevant factors. Rule 2111 encompasses three components: reasonable-basis suitability (understanding the product), customer-specific suitability (matching the product to the customer's profile), and quantitative suitability.

2. ****Regulation Best Interest (Rule 15l-1 under the Exchange Act):**** For broker-dealers, Reg BI requires that recommendations be in the retail customer's best interest and not place the financial professional's interests ahead of the customer's. The Care Obligation under Reg BI requires consideration of reasonably available alternatives and the specific risks, rewards, and costs of the recommendation in light of the customer's investment profile.

3. ****FINRA Regulatory Notices 09-31, 12-03, and 22-08:**** These notices specifically address leveraged and inverse ETFs. RN 09-31 warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. RN 12-03 reinforced heightened supervision requirements for complex products. RN 22-08 further emphasized that firms must have robust policies for evaluating complex products, including leveraged/inverse ETFs, before recommending them, and must ensure that their registered representatives understand the products' features and risks, including daily resetting, path dependency, volatility decay, and compounding risk.

****Analysis of Violations:****

- ****Customer-Specific Suitability Failure:**** Mrs. Ellison was a 67-year-old retiree with a conservative risk tolerance, capital preservation objectives, and limited liquid assets that needed to sustain her through retirement. Allocating 20% of her liquid net worth to 3x and 2x leveraged/inverse ETFs is fundamentally inconsistent with her stated objectives and risk tolerance. These products carry extreme risk of principal loss and are among the most volatile instruments available to retail investors.

- ****Reasonable-Basis Suitability Failure:**** Dempsey's characterization of SOXL and TBT as being "just like regular ETFs but with more upside" demonstrates a failure to understand the fundamental mechanics of daily-resetting leveraged products. The effects of volatility decay and path dependency mean that these products can lose substantial value even when the underlying index moves in the anticipated direction over time. An advisor who does not understand these mechanics lacks a reasonable basis for recommending them to any customer.

- ****Failure to Disclose Material Risks:**** Dempsey failed to explain the daily reset mechanism, compounding risk, volatility decay, or the fact that these products are generally designed for short-term tactical trading. This violates both the Disclosure Obligation under Reg BI and general fair dealing principles.

- ****Failure to Monitor / Unsuitable Hold Recommendation:**** Leveraged and inverse ETFs require active monitoring. Dempsey never contacted Mrs. Ellison to evaluate whether the positions remained appropriate, and when she raised concerns in November 2023, he advised her to continue holding -- compounding the original suitability failure with an unsuitable implicit hold recommendation.

- ****Supervisory Failures:**** No supervisory review or approval was obtained prior to executing the recommendations. FINRA RN 09-31 and 22-08 emphasize that firms must have heightened supervisory procedures for complex products, including pre-approval mechanisms and post-trade surveillance. Ridgeline Wealth Partners appears to have failed in its supervisory obligations under FINRA Rules 3110 and 3120.

****Likely Regulatory Outcome:**** Dempsey and Ridgeline Wealth Partners would likely face FINRA enforcement action for suitability violations, Reg BI violations, and supervisory failures. Potential sanctions include fines, disgorgement of commissions, restitution to Mrs. Ellison for her approximately \$61,000 in losses, suspension or bar for Dempsey, and censure of the firm. In an arbitration proceeding, Mrs. Ellison would have strong grounds for recovering her full losses plus interest.

Item 290 of 350**NON-COMPLIANT****Topic:** high_fees_unsuitable**Difficulty:** medium**Source:** 25_Leveraged_Inverse ETFs**Fact Pattern**

Margaret Colson, age 71, is a retired school librarian living in Tallahassee, Florida, with an annual pension income of \$42,000 and total liquid savings of approximately \$285,000 held in a brokerage IRA. Her stated investment objectives on her new account form were income generation and capital preservation, and her risk tolerance was marked as conservative. She had no prior experience with options, futures, or leveraged products, and her investment history consisted solely of certificates of deposit, a balanced mutual fund, and a small allocation to Treasury bonds. In March 2022, her financial advisor, Derek Hutchins, recommended that she liquidate approximately \$95,000 of her Treasury bond holdings and invest the proceeds into a 3x leveraged bull semiconductor ETF (ticker: SOXL), which carries a gross expense ratio of 0.89% and resets its leverage daily. Hutchins told Mrs. Colson that semiconductors were 'the backbone of everything going forward' and that the fund would 'triple her gains while the sector recovers.' He did not explain the daily resetting mechanism, compounding effects, volatility decay, or the possibility that the product could lose significant value even if the underlying index ended flat over a multi-month period. He also did not mention the elevated expense ratio relative to her prior Treasury bond holdings, which cost her approximately 0.05% annually. Mrs. Colson held SOXL for fourteen months. During that period, the semiconductor index experienced substantial volatility, declining roughly 18% from her purchase date before partially recovering to end approximately 4% below where she bought in. However, due to the compounding effects and volatility drag inherent in a daily-resetting 3x leveraged product, Mrs. Colson's position lost approximately 38% of its value--a loss of roughly \$36,100--despite the underlying index declining only 4%. In addition, she paid approximately \$845 in expense ratio costs over the holding period, compared to the roughly \$48 she would have paid on a comparable Treasury bond ETF. When Mrs. Colson called Hutchins in May 2023 alarmed by her statement showing the losses, he told her to 'hang tight' and that the fund 'always comes back eventually.' She finally sold the position in June 2023 at a realized loss of \$34,200. A subsequent review of Hutchins's book of business revealed that he had recommended SOXL or similar leveraged ETFs to eleven other clients over age 65, nine of whom had conservative or moderate risk profiles, and that his branch office had no written supervisory procedures specifically addressing leveraged or inverse ETF recommendations.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hutchins violated applicable suitability and best interest standards in multiple respects.

****Applicable Regulatory Framework:****

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommendation is suitable for at least some investors (reasonable-basis suitability), suitable for the specific customer in light of their investment profile (customer-specific suitability), and, where a series of transactions is involved, suitable when viewed in the aggregate (quantitative suitability). Following the implementation of Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act), broker-dealers owe retail customers a best interest obligation that includes a Care Obligation requiring the advisor to exercise reasonable diligence, care, and skill in making recommendations, considering the

customer's investment profile and the potential risks, rewards, and costs of the recommendation.

FINRA Regulatory Notice 09-31 specifically warned firms that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for more than one trading session, due to the effects of daily compounding and volatility decay. FINRA Regulatory Notice 12-03 further addressed heightened supervision requirements for complex products, requiring firms to perform reasonable diligence to understand complex products before recommending them, to train registered representatives, and to implement tailored supervisory procedures. FINRA Regulatory Notice 22-08 reinforced and expanded these concerns, proposing additional measures for complex product sales to retail investors.

****Analysis of Violations:****

1. ****Customer-Specific Suitability / Care Obligation Failure:**** Mrs. Colson was a 71-year-old conservative retiree with income and capital preservation objectives, no experience with leveraged instruments, and limited liquid savings. A 3x leveraged semiconductor ETF is among the most volatile and speculative products available to retail investors. The recommendation was fundamentally inconsistent with every element of her investment profile. Under both Rule 2111 and Reg BI's Care Obligation, this recommendation fails.

2. ****Reasonable-Basis Suitability Failure:**** Hutchins appears not to have understood the product's daily-resetting mechanism, volatility decay, or path dependency, as evidenced by his assurances that the fund would 'triple her gains' and his advice to 'hang tight' during a prolonged holding period. FINRA RN 09-31 explicitly warns that such products can diverge dramatically from the performance of their underlying index over holding periods longer than one day. An advisor who does not understand these characteristics lacks a reasonable basis to recommend the product to anyone.

3. ****Failure to Disclose Material Risks and Costs:**** Hutchins did not explain the daily reset mechanism, compounding risk, volatility decay, or the substantially higher expense ratio (0.89% vs. 0.05% on her prior holdings). Under Reg BI's Disclosure Obligation, material facts about risks, rewards, and costs must be disclosed to the retail customer before or at the time of the recommendation.

4. ****Excessive Costs:**** The expense ratio on SOXL was approximately 18 times greater than the Treasury bond holdings she liquidated to fund the purchase. While the expense ratio alone might not constitute a violation, in the context of a conservative retiree's portfolio, the dramatically higher costs further support the unsuitability of the recommendation.

5. ****Supervisory Failures:**** The branch office had no written supervisory procedures for leveraged or inverse ETF recommendations, despite Hutchins recommending such products to at least twelve clients. Under FINRA Rule 3110 and the heightened supervisory standards articulated in FINRA RN 12-03 and 22-08 for complex products, the firm failed to establish, maintain, and enforce a supervisory system reasonably designed to detect and prevent unsuitable leveraged ETF recommendations. The pattern of recommendations to elderly, conservative clients should have triggered supervisory review.

****Likely Regulatory Outcome:****

Hutchins faces potential sanctions including fines, disgorgement, suspension, or barring. Mrs. Colson's losses of approximately \$34,200 would likely be recoverable in a FINRA arbitration proceeding, and the firm itself faces supervisory failure charges. The pattern of similar recommendations to other elderly conservative clients could result in an enforcement action seeking restitution for all affected customers, as well as significant fines against the firm for systemic supervisory deficiencies regarding complex product oversight.

Item 291 of 350

NON-COMPLIANT

Topic: high_fees_unsuitable

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Dawson, age 68, is a retired schoolteacher living in suburban Phoenix, Arizona. She receives \$2,400 per month from her pension and \$1,850 per month in Social Security benefits. Her total liquid savings amount to approximately \$310,000, held primarily in a rollover IRA at a mid-size broker-dealer. Margaret's stated investment objectives on her new account form are income generation and capital preservation, and her risk tolerance is marked as conservative. She has no prior experience with options, futures, or leveraged products, and her investment knowledge is described as 'basic' by her advisor during the account opening process.

In March 2023, her financial advisor, Kevin Trask, recommended that Margaret allocate \$95,000 -- roughly 30% of her liquid net worth -- into a portfolio of leveraged and inverse exchange-traded funds. Specifically, he placed \$40,000 into a 3x leveraged daily S&P 500 ETF (expense ratio 0.95%), \$30,000 into a 2x leveraged daily semiconductor sector ETF (expense ratio 1.01%), and \$25,000 into a -2x inverse daily Nasdaq-100 ETF (expense ratio 0.95%). Kevin told Margaret that these products would 'supercharge her returns' and help her 'make up for lost time' after she expressed concern about whether her retirement savings would last through her lifetime.

Kevin did not explain the daily resetting mechanism of these funds, nor did he discuss the concept of volatility decay or path dependency. He did not provide Margaret with any product-specific risk disclosures or the ETF prospectuses. He also did not document any rationale for why leveraged or inverse products were suitable for a conservative retiree. The firm's product catalog flagged all three ETFs as 'complex products' requiring a principal review before purchase, but Kevin bypassed this step by entering the trades directly through the firm's standard order system rather than routing them through the complex products queue.

Margaret held all three positions for approximately eleven months. During that period, the semiconductor sector experienced significant volatility, with several sharp drawdowns followed by partial recoveries. By February 2024, Margaret's \$95,000 investment had declined to approximately \$51,200 -- a loss of roughly \$43,800 or 46%. The 3x leveraged S&P 500 fund had gained modestly in underlying index terms over the period, yet Margaret's position in it was up only 4.2% rather than the roughly 30% one might naively expect from a 3x multiple of the index's approximate 10% gain, illustrating the corrosive effect of daily compounding and volatility drag. The inverse Nasdaq fund lost approximately 61% of its value as the Nasdaq-100 rose over the holding period. Meanwhile, had Margaret simply invested the \$95,000 in a low-cost S&P 500 index fund with a 0.03% expense ratio, her portfolio would have grown to approximately \$104,500.

Margaret's total expense ratio costs across the three leveraged ETFs over the eleven-month holding period were approximately \$870, compared to roughly \$26 she would have paid in a standard index fund -- a fee differential of over 33x. Kevin earned a \$1,425 commission on the initial purchases. When Margaret called Kevin in January 2024 to express alarm about the losses, he advised her to 'hang tight' and wait for a rebound, without explaining that holding leveraged and inverse daily products long-term could continue to erode her principal regardless of the direction the underlying indices moved.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Trask violated multiple regulatory standards governing the recommendation of complex products to retail investors.

****Suitability under FINRA Rule 2111:**** This rule requires that a broker-dealer or associated person have a reasonable basis for believing that a recommended transaction or investment strategy is suitable for the customer, based on that customer's investment profile. Rule 2111 encompasses three components: (1) reasonable-basis suitability, (2) customer-specific suitability, and (3) quantitative suitability.

Kevin failed customer-specific suitability. Margaret is a 68-year-old retiree with conservative risk tolerance, income and capital preservation objectives, basic investment knowledge, and no experience with complex or leveraged instruments. Allocating 30% of her liquid net worth to 3x leveraged, 2x leveraged, and -2x inverse daily-resetting ETFs is fundamentally incompatible with her profile. These products are designed for short-term, typically intraday, trading by sophisticated investors who actively manage risk. FINRA Regulatory Notice 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, because the effects of daily compounding -- known as volatility decay or path dependency -- can cause returns to diverge significantly from the expected multiple of the underlying index's cumulative return over time.

Kevin also failed reasonable-basis suitability. FINRA Regulatory Notice 22-08 reinforces that firms and their representatives must understand the risks and features of complex products before recommending them. Kevin's failure to explain (or apparently understand) volatility decay, daily resetting mechanics, and path dependency suggests he lacked the requisite understanding of the products he recommended.

****Regulation Best Interest (Reg BI), Rule 15l-1:**** Under the SEC's Regulation Best Interest, a broker-dealer must act in the best interest of its retail customer at the time a recommendation is made, without placing its own financial interest ahead of the customer's. Reg BI's Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, including understanding the risks, rewards, and costs of the product and having a reasonable basis to believe the recommendation is in the customer's best interest in light of her investment profile. The recommendation of high-expense, daily-resetting leveraged and inverse ETFs to a conservative retiree for a long-term hold clearly fails this standard. The \$1,425 commission Kevin earned, combined with the absence of any documented rationale, further suggests the recommendation was driven by the advisor's financial interest rather than the customer's.

****Supervision Failures:**** FINRA Regulatory Notices 09-31, 12-03, and 22-08 all emphasize that firms must implement heightened supervisory procedures for complex products, including leveraged and inverse ETFs. The firm's own procedures required principal review for complex product purchases, but Kevin circumvented the complex products review queue. This constitutes both a representative-level and a firm-level supervisory failure under FINRA Rules 3110 and 3120.

****Fee Unsuitability:**** The expense ratios on the leveraged ETFs (0.95%-1.01%) were roughly 30 times higher than a comparable standard index fund. For a conservative, income-oriented retiree, these costs materially eroded returns and were not justified by any legitimate investment objective. The 33x fee differential is a significant factor in assessing whether the recommendation served the customer's interest.

****Likely Regulatory Outcome:**** Kevin and his firm face potential liability for unsuitable recommendations, failure to disclose material product risks, failure to provide required prospectuses, and supervisory failures. Margaret's \$43,800 loss (46% of the invested amount) compared to the approximately \$9,500 gain she would have realized in a plain index fund represents quantifiable customer harm of over \$53,000. Likely sanctions could include disgorgement of

commissions, restitution to the customer, fines, a letter of caution or formal disciplinary action against Kevin, and remedial supervisory measures imposed on the firm.

Item 292 of 350**NON-COMPLIANT****Topic:** inappropriate_risk_profile**Difficulty:** medium**Source:** 25_Leveraged_Inverse_ETFs**Fact Pattern**

Margaret Holloway, age 71, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,400 per month from her pension and \$1,850 per month from Social Security. Her total liquid savings amount to approximately \$310,000, held in an IRA rollover account and a small taxable brokerage account. She has no other meaningful sources of income and relies on her investment portfolio to supplement her fixed income for living expenses, including prescription medications and occasional travel to visit grandchildren. On her new account form completed in March 2023, Mrs. Holloway's risk tolerance was marked as "moderate," her investment objective was listed as "income with capital preservation," her time horizon was "5-10 years," and her investment experience was described as "limited -- primarily mutual funds and CDs."

Her financial advisor, Craig Delmonico, had been her advisor for approximately two years. In April 2023, Delmonico recommended that Mrs. Holloway invest \$75,000 -- roughly 24% of her liquid net worth -- into a 3x leveraged bull semiconductor ETF (ticker symbol approximating SOXL) and \$40,000 into a 2x leveraged S&P 500 ETF. Delmonico told Mrs. Holloway that semiconductors were "the future" and that these funds would "supercharge her returns so she wouldn't have to worry about running out of money." He did not explain the daily resetting mechanism, the concept of volatility decay, or the compounding risks associated with holding leveraged products over extended periods. He did not provide any written materials or prospectus supplements specific to leveraged ETFs.

Mrs. Holloway held both positions for approximately 14 months. During that period, the semiconductor sector experienced significant volatility, with multiple drawdowns of 10-15% followed by partial recoveries. Due to the path-dependent nature of the 3x leveraged product, even though the underlying semiconductor index was roughly flat over the 14-month period (down approximately 2%), Mrs. Holloway's SOXL position lost approximately 31%, declining from \$75,000 to roughly \$51,750. Her 2x leveraged S&P 500 position fared somewhat better but still underperformed the underlying index on a leveraged basis, losing about 9% versus the index's modest 3% gain over the same period, leaving that position at approximately \$36,400. In total, Mrs. Holloway lost approximately \$26,850 across both positions. She discovered the extent of the losses in June 2024 when she requested a portfolio review to plan a withdrawal for home repairs, and subsequently filed a complaint with the firm.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Delmonico violated applicable suitability and best interest standards in multiple respects.

****Applicable Standards:****

Under FINRA Rule 2111 (Suitability), a financial advisor must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and investment experience.

This rule encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Under Regulation Best Interest (SEC Rule 15l-1), broker-dealers and their associated persons must act in the retail customer's best interest at the time a recommendation is made, without placing their own interests ahead of the customer's. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation.

FINRA Regulatory Notice 09-31 specifically addresses leveraged and inverse ETFs, warning that these products are generally unsuitable for retail investors who plan to hold them for longer than one trading session. The notice highlights that daily-resetting leveraged ETFs can deviate significantly from their stated multiple over longer holding periods due to the mathematical effects of daily compounding (volatility decay/path dependency). FINRA RN 12-03 and RN 22-08 further reinforce heightened supervisory and suitability obligations for complex products, including leveraged ETFs, and emphasize that firms must ensure their representatives understand these products before recommending them and that customers receive adequate disclosure of the risks.

****Analysis of Violations:****

1. ****Customer-Specific Suitability (Rule 2111):**** Mrs. Holloway was a 71-year-old retiree with limited investment experience, a moderate risk tolerance, and an investment objective of income with capital preservation. Allocating 24% of her liquid assets to a 3x leveraged semiconductor ETF and an additional 13% to a 2x leveraged S&P 500 ETF -- totaling approximately 37% of her liquid net worth in leveraged products -- is fundamentally inconsistent with her documented profile. These products carry extreme volatility risk and are wholly inappropriate for a capital preservation objective.
2. ****Reasonable-Basis Suitability (Rule 2111):**** There is no indication that Delmonico understood the daily resetting mechanism, volatility decay, or path-dependency characteristics of leveraged ETFs. His simplistic characterization of the products as a way to "supercharge returns" suggests a fundamental misunderstanding of how these instruments work over holding periods beyond a single trading day. An advisor who does not understand a product cannot have a reasonable basis to recommend it.
3. ****Reg BI Care Obligation:**** Delmonico failed to exercise reasonable diligence, care, and skill. He did not consider the costs and risks of leveraged ETFs in the context of Mrs. Holloway's profile, did not evaluate reasonably available alternatives (such as traditional equity index funds or income-generating investments), and did not consider the compounding risk inherent in a long-term hold of daily-resetting products.
4. ****Reg BI Disclosure Obligation:**** Delmonico failed to disclose material facts about the products, including the daily reset feature, volatility decay, and the risk that leveraged ETFs can lose significant value even when the underlying index is flat or slightly positive over time. He did not provide the prospectus or supplementary materials that explain these risks.
5. ****Holding Period Concern (FINRA RN 09-31):**** The 14-month holding period far exceeds the single-day intended use of these products. The losses Mrs. Holloway experienced -- a 31% loss on SOXL when the underlying index was only down 2% -- are a textbook illustration of volatility decay. Delmonico neither monitored the positions nor advised Mrs. Holloway to exit after any reasonable short-term holding period.

****Likely Regulatory Outcome:****

Delmonico and his firm face significant regulatory exposure. FINRA could pursue an enforcement action for unsuitable

recommendations under Rule 2111 and for violations of Reg BI. Potential sanctions include fines, disgorgement of commissions earned, restitution to Mrs. Holloway, suspension, or a bar from the industry depending on the severity and whether a pattern exists. The firm may also face supervisory deficiency charges under FINRA Rules 3110 and 3120 if it lacked adequate procedures for reviewing and approving leveraged ETF transactions, particularly for elderly, conservative clients. Mrs. Holloway's customer complaint may also result in an arbitration award for compensatory damages of approximately \$26,850 plus potential consequential damages.

Item 293 of 350**NON-COMPLIANT****Topic:** failure_to_know_customer**Difficulty:** medium**Source:** 25_Leveraged_Inverse_ETFs**Fact Pattern**

Margaret Holloway, age 71, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,400 per month from her pension and \$1,850 per month from Social Security. Her total liquid net worth is approximately \$340,000, held primarily in a rollover IRA that represents her entire retirement savings. She has no other significant assets aside from her home, which is paid off. Mrs. Holloway has limited investment experience; for the past 15 years, her retirement account was invested in a target-date fund selected by her school district's plan administrator. She has never purchased individual stocks, options, or any exchange-traded products on her own.

In March 2023, Mrs. Holloway met with Derek Simmons, a financial advisor at Ridgeline Wealth Partners, after being referred by a friend from her church group. During their initial meeting, Mr. Simmons asked Mrs. Holloway a handful of general questions about her finances -- specifically, her approximate account balance, whether she owned her home, and whether she was "comfortable with some risk to try to grow the account." Mrs. Holloway told him she wanted to make sure her savings lasted through retirement and that she could cover potential medical expenses, but that she wouldn't mind "a little extra growth if it's safe." Mr. Simmons did not ask about her monthly income, her monthly expenses, her tax situation, her time horizon for needing the funds, her prior investment experience beyond the target-date fund, or her understanding of complex financial products. He did not provide or have her complete a written risk tolerance questionnaire or a detailed new account form capturing her investment objectives.

Within two weeks, Mr. Simmons recommended that Mrs. Holloway transfer her entire \$340,000 IRA to Ridgeline and reallocate it as follows: \$170,000 (50%) into a 3x leveraged bull ETF tracking the S&P 500 (daily resetting), \$85,000 (25%) into a 2x leveraged semiconductor sector ETF (daily resetting), and \$85,000 (25%) into a broad market index fund. Mr. Simmons told her the leveraged ETFs would "turbocharge her returns" and that she would "see her account grow much faster than sitting in a boring target-date fund." He did not explain daily resetting mechanics, the concept of volatility decay, path dependency, or the fact that these products are generally designed for short-term tactical trading and can lose substantial value even when the underlying index is flat or modestly positive over longer holding periods. He did not discuss the compounding risk of holding a 3x product over weeks or months, let alone years.

Mrs. Holloway agreed to the recommendations based on Mr. Simmons's assurances. Over the next eleven months, she held the positions without any contact or review from Mr. Simmons. By February 2024, despite the S&P 500 being up approximately 12% over that period, the 3x leveraged ETF position had experienced significant volatility decay during interim drawdowns, and her \$170,000 position was worth approximately \$139,000. The semiconductor leveraged ETF, after a sharp sector correction in Q3 2023, had declined from \$85,000 to roughly \$54,000. In total, Mrs. Holloway's IRA had fallen from \$340,000 to approximately \$278,000 -- a loss of \$62,000, or about 18.2% -- even though broad equity markets were positive. When Mrs. Holloway called Mr. Simmons in distress after reviewing her quarterly statement, he told her to "hang tight" and that "the leverage would work in her favor eventually." He still made no effort to update her account profile, reassess her objectives, or discuss whether the products remained appropriate.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Simmons violated multiple regulatory requirements related to suitability and the obligation to act in the customer's best interest.

****Failure to Know the Customer (FINRA Rule 2111 -- Reasonable-Basis, Customer-Specific, and Quantitative Suitability):****

FINRA Rule 2111 requires that a financial advisor have a reasonable basis to believe a recommendation is suitable for a particular customer based on that customer's investment profile. The investment profile includes, at minimum, age, financial situation and needs, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. Mr. Simmons conducted only a cursory conversation and failed to gather essential information about Mrs. Holloway's monthly income, expenses, tax situation, investment time horizon, liquidity needs, or actual risk tolerance. He did not use a new account form or risk questionnaire to document her profile. This is a textbook failure-to-know-your-customer violation under the customer-specific suitability obligation of Rule 2111.

****Regulation Best Interest (Rule 15l-1 -- Care Obligation):****

Under Reg BI's Care Obligation, a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill in making recommendations. This includes understanding the potential risks, rewards, and costs of a recommendation and having a reasonable basis to believe the recommendation is in the retail customer's best interest based on the customer's profile. Recommending that a 71-year-old retiree with limited investment experience, modest savings that represent her entire retirement nest egg, and a stated objective of capital preservation with modest growth place 75% of her portfolio in daily-resetting leveraged ETFs (3x and 2x) clearly fails the Care Obligation. These products are wholly inconsistent with her profile.

****FINRA Regulatory Notices 09-31 and 22-08 -- Leveraged and Inverse ETF Guidance:****

FINRA RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. The notice highlighted that the effects of compounding and daily resetting can cause performance to deviate significantly from the underlying index over time, particularly in volatile markets. FINRA RN 22-08 reinforced and expanded these concerns, emphasizing that complex products such as leveraged ETFs require heightened supervisory obligations and that firms must have a reasonable basis to believe that the customer can understand and bear the risks. Mr. Simmons failed to explain daily resetting, path dependency, or volatility decay, and recommended long-term holding of products designed for short-term tactical use.

****Complex Products Supervision Failures:****

Ridgeline Wealth Partners also appears to have failed in its supervisory obligations. Under FINRA Rules 3110 and 3120, a firm must establish and maintain a supervisory system reasonably designed to ensure compliance with applicable rules. The firm apparently had no controls preventing the placement of 75% of a 71-year-old retiree's IRA into leveraged ETFs, no account-level review triggered by such an allocation, and no follow-up or ongoing monitoring over eleven months. FINRA RN 12-03 on heightened supervision of complex products would require the firm to have policies ensuring that associated persons understand and can explain complex products before recommending them.

****Customer-Specific Unsuitability:****

Even if Mr. Simmons had gathered complete customer information, the recommendation would still have been unsuitable and not in Mrs. Holloway's best interest. A 71-year-old retiree with \$340,000 in total liquid assets, no other savings, limited investment experience, and an objective of capital preservation has no reasonable basis for holding 75% of her retirement assets in daily-resetting leveraged ETFs.

****Likely Regulatory Outcome:****

Mr. Simmons and Ridgeline would likely face FINRA enforcement action for violations of Rule 2111 (all three suitability components), Reg BI's Care and Disclosure Obligations, and supervisory failures under Rules 3110 and 3120. Potential

sanctions include fines, disgorgement of commissions, restitution to Mrs. Holloway, suspension or bar for Mr. Simmons, and censure of the firm. Mrs. Holloway would also have strong grounds for a customer arbitration claim seeking recovery of her \$62,000 in losses plus consequential damages.

Item 294 of 350**NON-COMPLIANT****Topic:** inappropriate_risk_profile**Difficulty:** medium**Source:** 25_Leveraged_Inverse ETFs**Fact Pattern**

Margaret Ellison, age 71, is a retired elementary school teacher in Knoxville, Tennessee, living on a fixed income consisting of a \$2,400 monthly pension and \$1,800 per month in Social Security benefits. Her total liquid savings amount to approximately \$340,000, held in an IRA rollover account and a small taxable brokerage account. She has no other significant assets aside from her paid-off home valued at approximately \$185,000. When she opened her account with registered representative David Kowalski at Ridgeline Securities in March 2021, she completed a new account form indicating her investment objective as 'income and preservation of capital,' her risk tolerance as 'conservative,' her time horizon as '5-10 years,' and her investment experience as 'limited -- mostly CDs and money market funds.' She told Kowalski that her primary goal was to generate modest supplemental income without putting her retirement savings at serious risk.

In April 2021, Kowalski recommended that Mrs. Ellison invest \$85,000 -- roughly 25% of her liquid net worth -- in the Direxion Daily S&P 500 Bull 3X Shares (SPXL), a leveraged exchange-traded fund designed to deliver three times the daily return of the S&P 500 Index. Kowalski told Mrs. Ellison the product was 'like a supercharged index fund' that would 'help her keep up with inflation' and noted that the S&P 500 had been on a strong upward trajectory. He did not discuss the daily reset mechanism, the concept of volatility decay, or the fact that the product's prospectus explicitly warned that returns over periods longer than one trading day could differ substantially -- and potentially negatively -- from three times the index's cumulative return over the same period. There is no documentation in Kowalski's file reflecting that he assessed whether Mrs. Ellison understood leveraged products or that he provided any written risk disclosures specific to leveraged ETFs.

Mrs. Ellison held the position for approximately 14 months. During that period, the S&P 500 experienced significant volatility, including a drawdown beginning in January 2022. By June 2022, Mrs. Ellison's \$85,000 position in SPXL had declined to approximately \$44,200 -- a loss of roughly \$40,800, or 48%. The S&P 500 itself had declined approximately 18% over the same period, but the compounding effect of daily resetting with 3x leverage and elevated volatility resulted in significantly amplified losses. Mrs. Ellison contacted Ridgeline Securities' compliance department in July 2022 to complain, stating she was never told the fund could lose money at a rate far exceeding the actual market decline, and that Kowalski had assured her it was 'basically an index fund, just better.' Kowalski's supervisor had not flagged the initial transaction or conducted any heightened review of the leveraged ETF purchase for this client profile.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, David Kowalski almost certainly violated applicable suitability and best interest standards in recommending a 3x leveraged daily-resetting ETF to Margaret Ellison.

****Applicable Regulatory Framework:****

Under FINRA Rule 2111 (Suitability), a registered representative must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, time horizon, liquidity needs, and risk tolerance. This rule encompasses three components: (1) reasonable-basis suitability (understanding the product), (2) customer-specific suitability (matching the product to the customer's profile), and (3) quantitative suitability (avoiding excessive trading).

Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934) imposes a heightened standard on broker-dealers, requiring that recommendations be in the retail customer's best interest and not place the financial professional's interest ahead of the customer's. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in making a recommendation, understand the risks and rewards of the product, and have a reasonable basis to believe the recommendation is in the customer's best interest considering the customer's investment profile.

FINRA Regulatory Notice 09-31 specifically warned member firms that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. The notice emphasized that these products' performance over longer periods can deviate significantly from their stated daily objectives due to the mathematical effects of daily compounding (volatility decay or path dependency). FINRA Regulatory Notice 12-03 reinforced heightened supervision obligations for complex products, and RN 22-08 further addressed concerns about complex product sales to retail investors.

****Analysis of Violations:****

1. ****Customer-Specific Suitability / Care Obligation Violation:**** Mrs. Ellison's profile -- a 71-year-old retiree on fixed income, with conservative risk tolerance, limited investment experience, income and capital preservation objectives, and a moderate time horizon -- is fundamentally inconsistent with a 3x leveraged equity ETF. SPXL carries extreme short-term volatility risk, is designed for sophisticated traders with short holding periods, and is wholly inappropriate for capital preservation. Allocating 25% of a conservative retiree's liquid assets to such a product is egregiously unsuitable.

2. ****Reasonable-Basis Suitability Violation:**** Kowalski's characterization of SPXL as a 'supercharged index fund' and 'basically an index fund, just better' suggests he either did not understand the product's daily reset mechanism and the effects of volatility decay, or he deliberately misrepresented the product's characteristics. Either way, this constitutes a failure of reasonable-basis suitability. An advisor who does not understand the compounding mathematics of leveraged ETFs cannot form a reasonable basis for recommending them.

3. ****Disclosure Failures:**** Kowalski failed to explain the daily reset mechanism, volatility decay, the risk that long-term returns could drastically differ from 3x the index return, and the explicit prospectus warnings against long-term holding. Under Reg BI's Disclosure Obligation, material facts about the recommendation, including risks, must be disclosed.

4. ****Supervisory Failures:**** Under FINRA Rules 3110 and 3120, the firm has an obligation to establish and maintain supervisory systems reasonably designed to achieve compliance. FINRA RN 09-31 and RN 12-03 specifically call on firms to implement heightened supervision for leveraged ETF transactions, including reviewing whether the products are appropriate for the customers to whom they are recommended. Kowalski's supervisor failed to flag or review a \$85,000 leveraged ETF purchase in the account of a 71-year-old conservative retiree -- a clear supervisory breakdown. RN 22-08 further underscores the expectation that firms implement effective practices for complex product oversight.

5. ****Path Dependency and Volatility Decay:**** The outcome vividly illustrates the core regulatory concern. While the S&P 500 declined approximately 18%, Mrs. Ellison's 3x leveraged position lost 48% -- not the 54% one might expect from a simple 3x multiplier, but a figure shaped by the compounding of daily gains and losses over 14 months in a volatile market. This path-dependent performance risk is precisely why regulators have warned that these products are

generally unsuitable for buy-and-hold retail investors.

****Likely Regulatory Outcome:****

Kowalski would likely face enforcement action for suitability and Reg BI violations, potentially resulting in fines, disgorgement, suspension, or a bar depending on aggravating factors. Ridgeline Securities would likely face supervisory failure charges under FINRA Rule 3110 for failing to implement adequate procedures for leveraged ETF oversight and for its supervisor's failure to review the transaction. Mrs. Ellison would likely recover damages in arbitration given the stark mismatch between her profile and the recommended product, the misleading characterization of the product, the absence of risk disclosures, and the resulting losses.

Item 295 of 350**NON-COMPLIANT****Topic:** leveraged_etf_unsuitable**Difficulty:** medium**Source:** 25_Leveraged_Inverse ETFs**Fact Pattern**

Margaret Olsen, age 71, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,400 per month from her state pension and \$1,800 per month in Social Security benefits. Her total liquid savings amount to approximately \$340,000, held in an IRA rollover account that represents the vast majority of her retirement assets. She owns her home outright, valued at roughly \$225,000. On her new account form completed in January 2023, Mrs. Olsen indicated her investment objective as "income and capital preservation," her risk tolerance as "conservative," her investment time horizon as "long-term (10+ years)," and her investment experience as "limited -- mostly CDs and a target-date retirement fund through her employer's 403(b) plan." Her annual income from all sources totals approximately \$50,400.

Her financial advisor, Craig Delvecchio, had been managing her IRA since late 2022. In March 2023, during a routine review meeting, Delvecchio told Mrs. Olsen that he was concerned about a potential downturn in the technology sector and recommended she allocate \$85,000 -- roughly 25% of her portfolio -- into a 3x leveraged inverse Nasdaq-100 ETF (ticker: SQQQ) as a "hedge" against broader market declines. He described the product as a way to "protect her portfolio if stocks go down." He did not explain the daily resetting mechanism, the effects of compounding and volatility decay on returns over periods longer than one trading day, or the fact that the product was designed primarily for short-term tactical trading by sophisticated investors. He did not provide Mrs. Olsen with the fund's prospectus or any supplemental materials explaining leveraged and inverse product mechanics.

Delvecchio placed the initial purchase on March 15, 2023, buying approximately \$85,000 worth of SQQQ shares. Over the following eleven months, the Nasdaq-100 experienced significant volatility but ultimately rose approximately 18%. Delvecchio did not monitor the position on a daily or even weekly basis; the firm's account statements show no trades in SQQQ until February 2024. By that time, the SQQQ position had declined to approximately \$34,200 -- a loss of roughly \$50,800, or nearly 60% of the initial investment. Mrs. Olsen discovered the magnitude of the loss only when she reviewed her year-end statement in early 2024 and called the branch office. Delvecchio acknowledged he had "gotten busy" and had not reviewed the position since the initial purchase. He told Mrs. Olsen the loss was due to "the market going up when we expected it to go down" but did not mention path dependency, volatility decay, or the daily reset feature as contributing factors to the severity of the loss. The firm's supervisory system had no alerts or flags specific to leveraged or inverse ETF positions held beyond 30 days, and the branch manager had approved the original trade without any additional scrutiny beyond standard equity order review.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Delvecchio violated both the suitability requirements under FINRA Rule 2111 and the best interest obligation under Regulation Best Interest (Reg BI), Rule 15l-1 under the Securities Exchange Act. Multiple independent grounds support this conclusion.

****1. Customer-Specific Suitability (FINRA Rule 2111.05(a)):****

Mrs. Olsen's documented profile -- age 71, conservative risk tolerance, income/capital preservation objectives, limited investment experience, and near-total dependence on her IRA for retirement -- is fundamentally incompatible with a 3x leveraged inverse ETF. SQQQ is a daily-resetting product designed for short-term, tactical use by sophisticated, active traders. Allocating 25% of a conservative retiree's IRA to such a product is a textbook customer-specific suitability violation. FINRA Regulatory Notice 09-31 explicitly warned that leveraged and inverse ETFs are "typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets." FINRA Regulatory Notice 22-08 further reinforced heightened obligations around complex products, including leveraged/inverse ETFs, emphasizing the need for firms and representatives to evaluate whether customers can understand and bear the risks of such products.

****2. Reasonable-Basis Suitability:****

Delvecchio appears to have lacked a reasonable understanding of the product he recommended. His failure to explain daily resetting, path dependency, and volatility decay -- and his post-loss comment attributing the decline solely to market direction -- suggests he did not understand that SQQQ can lose substantial value even when the underlying index moves in the "right" direction, due to the mathematical effects of daily compounding in volatile markets. FINRA Rule 2111.05(a) requires that a representative have a reasonable basis to believe a recommendation is suitable based on reasonable diligence.

****3. Reg BI Care Obligation (Rule 15l-1(a)(2)(ii)(B)):****

Under Reg BI's Care Obligation, Delvecchio was required to exercise reasonable diligence, care, and skill in making the recommendation. This includes understanding the product's risks, costs, and characteristics, and evaluating them in light of the customer's profile. The recommendation of a highly speculative, daily-resetting leveraged inverse ETF to an elderly, conservative, unsophisticated retiree -- with no disclosure of the product's mechanics and no plan for active monitoring -- fails the Care Obligation on multiple dimensions.

****4. Reg BI Disclosure Obligation (Rule 15l-1(a)(2)(ii)(A)):****

Delvecchio failed to disclose material information about the product, including its daily reset mechanism, the impact of volatility decay and path dependency, and the fact that it was designed for single-day holding periods. He did not provide the prospectus. These omissions violate the Disclosure Obligation.

****5. Failure to Monitor / Supervisory Failures:****

FINRA Regulatory Notice 09-31 and RN 12-03 emphasized that firms must have adequate supervisory procedures for complex products, including specific protocols for leveraged and inverse ETFs. The firm's failure to implement position-duration alerts or heightened supervisory review for leveraged/inverse ETF holdings is a supervisory deficiency. Delvecchio's failure to monitor the position for nearly eleven months -- in a product designed for intraday or very short-term holding -- compounded the harm. While the initial recommendation was itself unsuitable, the absence of any ongoing monitoring transformed a bad recommendation into a catastrophic loss.

****6. Quantitative Unsuitability:****

The \$50,800 loss represents approximately 15% of Mrs. Olsen's total liquid retirement savings and nearly 60% of the capital deployed. For a 71-year-old retiree with limited income sources and no ability to recover such losses through future earnings, this loss is devastating and further evidences the unsuitability of the recommendation.

****Likely Regulatory Outcome:****

Delvecchio would likely face disciplinary action including fines, suspension, and potential restitution. The firm would likely face supervisory deficiency findings under FINRA Rules 3110 and 3120 for failing to implement reasonable procedures to supervise leveraged and inverse ETF transactions, particularly regarding holding periods and customer eligibility. In arbitration, Mrs. Olsen would have a strong claim for compensatory damages equal to the full loss of approximately \$50,800, plus potential consequential damages.

Item 296 of 350**NON-COMPLIANT****Topic:** failure_to_know_customer**Difficulty:** medium**Source:** 25_Leveraged_Inverse ETFs**Fact Pattern**

Margaret Ellison, age 71, is a retired elementary school teacher living in Dayton, Ohio. She receives \$2,400 per month from her state pension and \$1,650 per month in Social Security. Her total liquid net worth is approximately \$215,000, held primarily in a traditional IRA rolled over from her employer plan. She has no other significant assets besides her home, which is paid off and valued at approximately \$185,000. Mrs. Ellison has limited investment experience; prior to meeting her advisor, her retirement assets were held entirely in a stable value fund and a target-date 2015 fund through her employer's 403(b) plan. She described her investment goals as preserving her savings so she could supplement her fixed income for living expenses and leave something for her two grandchildren. She told her advisor, Kevin Sharpe, that she 'couldn't afford to lose what she had' and wanted 'something safe that pays a little better than the bank.' Kevin Sharpe had been a registered representative at Ridgeline Financial Partners for three years. In April 2022, during their initial meeting, Sharpe did not have Mrs. Ellison complete a new account form or any written risk tolerance questionnaire. He took brief handwritten notes on a legal pad, which the firm later could not locate. Sharpe told Mrs. Ellison that he had 'a great way to boost her returns' using exchange-traded funds. Over the following two weeks, Sharpe placed the following trades in her IRA: \$75,000 into a 3x leveraged daily-resetting ETF tracking the S&P 500, \$50,000 into a 2x leveraged daily-resetting ETF tracking the Nasdaq-100, and \$40,000 into an inverse (-1x) daily-resetting ETF tracking the Russell 2000. The remaining \$50,000 was placed into a short-term bond ETF. Sharpe did not explain to Mrs. Ellison what leveraged or inverse ETFs were, how daily resetting worked, or that these products were designed primarily for short-term tactical trading. He did not discuss volatility decay, compounding risk, or the possibility that these funds could lose substantial value even if the underlying index was relatively flat over time. No product-specific risk disclosures were provided, and no documentation exists showing that Mrs. Ellison understood or consented to the specific risks of these products. Sharpe did not set any stop-loss orders, monitoring alerts, or rebalancing triggers. Over the next nine months, through January 2023, the market experienced significant volatility. The 3x leveraged S&P 500 ETF lost approximately 38% of its value in her account, declining from \$75,000 to roughly \$46,500. The 2x leveraged Nasdaq-100 ETF fell from \$50,000 to approximately \$28,000, a 44% loss. The inverse Russell 2000 ETF, despite some periods where the Russell 2000 declined, lost approximately 22% due to path dependency and volatility drag, falling from \$40,000 to \$31,200. In total, Mrs. Ellison's portfolio declined from \$215,000 to approximately \$155,700--a loss of roughly \$59,300, or 27.6%, while the bond ETF remained relatively stable. When Mrs. Ellison called Sharpe in February 2023 to ask why her account had dropped so much, he told her to 'hang in there' and that the leveraged funds would 'come back stronger when the market recovers.' He did not recommend liquidating the positions or switching to more appropriate investments. Ridgeline Financial Partners' supervisory system flagged the initial purchase of leveraged and inverse ETFs in a retirement account belonging to a client over age 65, but the branch manager, Daniel Pratt, approved the trades after a brief conversation with Sharpe in which Sharpe said the client 'wanted growth.' Pratt did not independently contact Mrs. Ellison, review her financial profile, or verify that any risk disclosures had been provided. Mrs. Ellison filed a complaint with the firm in June 2023 after her granddaughter, who works in banking, reviewed her account statements and was alarmed by the holdings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Sharpe committed multiple serious violations of applicable regulatory standards, and Ridgeline Financial Partners failed in its supervisory obligations.

****Failure to Know the Customer (FINRA Rule 2111 -- Reasonable-Basis, Customer-Specific, and Quantitative Suitability):****

FINRA Rule 2111 requires that a registered representative have a reasonable basis to believe that a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. Sharpe failed at the most fundamental level: he did not complete a new account form, did not administer a risk tolerance questionnaire, and kept only informal handwritten notes that were subsequently lost. Without adequate documentation of Mrs. Ellison's profile, Sharpe had no legitimate basis to make any recommendation, let alone one involving complex, high-risk leveraged and inverse ETFs.

Mrs. Ellison's profile -- a 71-year-old retiree with limited investment experience, modest fixed income, \$215,000 in total liquid savings held in a retirement account, capital preservation objectives, and an express statement that she could not afford losses -- is fundamentally incompatible with 3x and 2x leveraged daily-resetting ETFs and inverse daily-resetting ETFs. These products are designed for sophisticated, short-term tactical traders and carry well-documented risks including volatility decay (also called volatility drag) and path dependency, meaning that daily compounding causes returns over periods longer than one day to deviate significantly -- and often negatively -- from the leveraged multiple of the underlying index's return over the same period.

****Regulation Best Interest (Rule 15l-1 under the Exchange Act):****

Under Reg BI's Care Obligation, a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill when making a recommendation, including understanding the potential risks, rewards, and costs of the recommendation, and having a reasonable basis to believe the recommendation is in the retail customer's best interest at the time it is made. Recommending that 77% of a 71-year-old retiree's liquid net worth be placed in leveraged and inverse daily-resetting ETFs -- products whose own prospectuses typically warn they are not intended for investors who plan to hold for more than one trading session -- plainly fails this standard. The Disclosure Obligation under Reg BI was also violated: Sharpe provided no product-specific risk disclosures and did not explain daily resetting, compounding risk, or volatility decay.

****FINRA Regulatory Notices 09-31, 12-03, and 22-08:****

FINRA RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading day, and that the effects of compounding can cause significant deviation from the underlying index performance. FINRA RN 22-08 reinforced heightened obligations around complex products, requiring firms to establish written supervisory procedures, conduct reasonably designed due diligence, and ensure that recommendations of complex products are consistent with the best interest standard. Sharpe's recommendation to hold these products for nine months or more in a retiree's IRA, without monitoring, stop-losses, or rebalancing, directly contradicts this guidance.

****Supervisory Failures (FINRA Rules 3110 and 3120):****

Ridgeline Financial Partners' supervisory system correctly flagged the trades, but branch manager Daniel Pratt's review was perfunctory. He approved the trades based solely on Sharpe's oral representation that the client 'wanted growth' without independently verifying Mrs. Ellison's financial profile, confirming risk disclosures, or assessing the suitability of leveraged/inverse ETFs for a 71-year-old retiree's IRA. This constitutes a failure of supervision under FINRA Rule 3110, which requires firms to establish and maintain a supervisory system reasonably designed to achieve compliance, and to review and approve complex product transactions with heightened scrutiny as outlined in RN 22-08.

****Likely Regulatory Outcome:****

Sharpe would likely face enforcement action for unsuitable recommendations, failure to know his customer, failure to disclose material product risks, and violation of Reg BI's Care and Disclosure Obligations. Potential sanctions include fines, disgorgement of commissions, suspension, or a bar from the industry. Ridgeline Financial Partners would likely face charges for supervisory failures under Rules 3110 and 3120, resulting in firm-level fines and potential requirements to enhance supervisory procedures for complex product sales. Mrs. Ellison would have strong grounds for recovery of her approximately \$59,300 in losses through FINRA arbitration, potentially including consequential damages and interest.

Item 297 of 350

NON-COMPLIANT

Topic: leveraged_etf_unsuitable

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Olsen, age 71, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,800 per month from her pension and \$1,950 per month in Social Security benefits. Her total liquid savings amount to approximately \$340,000, held in an IRA rollover account that represents the bulk of her retirement assets. She has no other significant sources of income or wealth. On her new account form, Mrs. Olsen indicated a conservative risk tolerance, an investment objective of capital preservation with modest income generation, a 5-to-10-year time horizon, and limited investment experience consisting primarily of certificates of deposit and a target-date mutual fund through her former employer's 403(b) plan. In March 2022, her financial advisor, Derek Callahan, age 34, recommended that Mrs. Olsen invest \$85,000 of her IRA -- roughly 25% of her total retirement savings -- into the ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index. Callahan told Mrs. Olsen that the fund would 'triple her gains on the tech sector recovery' and described it as a 'turbocharged growth opportunity for the next couple of years.' He did not discuss the daily reset mechanism, the effects of compounding on leveraged products held over periods longer than a single trading day, or the potential for significant losses due to volatility decay. He did not provide her with the product's prospectus or the investor-facing educational materials available from the ETF provider. No written documentation of the recommendation rationale was placed in Mrs. Olsen's file. Over the following eleven months, the Nasdaq-100 experienced substantial volatility, declining approximately 25% before partially recovering. By February 2023, the Nasdaq-100 was down roughly 8% from Mrs. Olsen's purchase date. However, due to the compounding effects of daily 3x leverage in a volatile market, TQQQ had declined approximately 38% from her purchase price. Mrs. Olsen's \$85,000 position was now worth approximately \$52,700 -- a loss of \$32,300. When Mrs. Olsen called Callahan's office in February 2023 to ask why her account had dropped so severely when she had read that the Nasdaq was 'only down a little,' Callahan told her to 'stay the course' and that the fund would 'bounce back with compound gains.' He did not recommend liquidating the position or reassess whether the product remained appropriate given her losses and profile. Mrs. Olsen continued to hold the position for another four months before contacting the firm's branch manager to complain.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Callahan committed multiple violations of applicable regulatory standards in recommending TQQQ to Margaret Olsen.

1. ****Suitability -- FINRA Rule 2111****: This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile, including age, financial situation, risk tolerance, tax status, time horizon, liquidity needs, and investment objectives. Mrs. Olsen's profile -- a 71-year-old retiree, conservative risk tolerance, capital preservation objective, limited investment experience, and dependence on this IRA as her primary retirement savings -- is fundamentally incompatible with a 3x daily-leveraged ETF. This violates both the reasonable-basis suitability component (the product is unsuitable for buy-and-hold investors of any profile) and the customer-specific suitability

component (her specific profile makes this recommendation particularly egregious).

2. **Regulation Best Interest (Rule 15l-1 under the Exchange Act)**: Under Reg BI, a broker must act in the retail customer's best interest at the time a recommendation is made, satisfying the Care Obligation, which requires the advisor to exercise reasonable diligence, care, and skill in making the recommendation, understand risks and rewards of the product, and have a reasonable basis to believe the recommendation is in the customer's best interest. Allocating 25% of a conservative retiree's IRA into a 3x leveraged ETF plainly fails this standard. The Disclosure Obligation was also violated, as Callahan failed to provide the prospectus, failed to explain daily resetting and volatility decay, and affirmatively mischaracterized the product as a medium-term growth holding.

3. **FINRA Regulatory Notices 09-31 and 22-08**: RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading day, due to the effects of mathematical compounding and path dependency. The notice emphasized that in volatile markets, leveraged ETFs can produce returns that deviate dramatically from the expected multiple of the underlying index over holding periods longer than a single day -- precisely what occurred here. RN 22-08 reinforced obligations regarding complex products, emphasizing that firms must establish robust supervisory systems, ensure advisors understand the products they recommend, and ensure the products are appropriate for specific customers.

4. **Complex Products Supervision Failures**: Callahan's firm bears supervisory liability under FINRA Rule 3110. There is no evidence the firm had adequate procedures to flag or review leveraged ETF recommendations for conservative, elderly, retirement-account clients. The absence of any documented rationale or suitability analysis in Mrs. Olsen's file compounds this failure.

5. **Path Dependency and Volatility Decay**: The factual outcome -- the Nasdaq-100 declined approximately 8% while TQQQ declined approximately 38% -- illustrates the volatility decay phenomenon central to regulatory concern about these products. Daily resetting of leverage means that in a volatile, choppy market, a leveraged ETF can lose substantial value even if the underlying index experiences a relatively modest net decline. This risk was never disclosed to Mrs. Olsen.

6. **Post-Recommendation Conduct**: Callahan's advice to 'stay the course' in February 2023, without reassessing suitability in light of the significant losses and Mrs. Olsen's profile, further demonstrates a failure to act in the customer's best interest.

Likely Regulatory Outcome: Callahan and his firm face potential disciplinary action including fines, disgorgement, restitution to Mrs. Olsen, suspension or bar for Callahan, and heightened supervisory requirements for the firm. The customer may also pursue arbitration for damages of at least \$32,300 plus any additional losses incurred during the additional four months she held the position on Callahan's implicit recommendation.

Item 298 of 350**NON-COMPLIANT****Topic:** failure_to_know_customer**Difficulty:** medium**Source:** 25_Leveraged_Inverse ETFs**Fact Pattern**

Margaret Dunleavy, age 71, is a retired elementary school teacher living in Boise, Idaho. She receives \$2,800 per month in pension income and \$1,950 per month in Social Security benefits. Her total investable assets are approximately \$385,000, held primarily in a rollover IRA (\$310,000) and a taxable brokerage account (\$75,000). She has no other significant sources of income and relies on her portfolio to supplement her fixed income for living expenses, including medication costs for a chronic heart condition. Margaret has described herself on account opening documents as having a 'conservative' risk tolerance and her investment objectives are listed as 'income and preservation of capital.' She has no prior experience with options, futures, margin accounts, or leveraged products, and her investment history consists entirely of certificates of deposit, government bonds, and a balanced mutual fund she held for twelve years before retiring.

In March 2023, Margaret's financial advisor, Craig Vetter, age 38, transferred to a new branch office and inherited Margaret's account from a retiring colleague. Craig never scheduled an in-person or telephone meeting with Margaret to discuss her financial situation, goals, time horizon, or risk tolerance. He reviewed the existing account documents only briefly. In April 2023, Craig recommended that Margaret move \$95,000 from her rollover IRA's bond allocation into ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index, telling her in an email that it was 'a technology fund with strong recent performance that could help grow your retirement savings faster.' He did not explain the daily reset mechanism, the effects of volatility decay, or the fact that the product was designed for short-term tactical trading. He also did not explain the compounding risk of holding a 3x leveraged product over weeks or months, nor did he set any stop-loss parameters or establish a monitoring schedule.

Margaret approved the purchase based on Craig's recommendation. Over the following seven months, through November 2023, the Nasdaq-100 experienced multiple volatile swings. Although the index itself ended the period roughly flat--down approximately 1.2%--Margaret's TQQQ position declined by approximately 19.4% due to volatility decay and the daily compounding effect of the 3x leverage, resulting in a loss of roughly \$18,430. Margaret discovered the magnitude of the loss when she requested a portfolio review in December 2023 to plan a required minimum distribution. She filed a written complaint with the firm in January 2024, stating she was never told the product could lose significant value even if the underlying index was essentially unchanged.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Vetter violated both suitability and best interest standards in multiple respects.

****Failure to Know the Customer:**** Under FINRA Rule 2111 (Suitability), an advisor has an obligation to use reasonable diligence to know the customer's investment profile before making a recommendation. This includes understanding the customer's age, financial situation, tax status, investment objectives, investment experience, time horizon, liquidity needs, and risk tolerance. Craig inherited Margaret's account and never conducted a meaningful account review or

client meeting. He relied on a cursory glance at outdated documents prepared by a predecessor. This is a textbook failure-to-know-the-customer violation under FINRA Rule 2111's 'reasonable-basis' and 'customer-specific' suitability components.

****Regulation Best Interest (Reg BI), Rule 15l-1 - Care Obligation:**** Under the SEC's Regulation Best Interest, a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill when making a recommendation to a retail customer. The Care Obligation requires that the advisor understand the potential risks, rewards, and costs of the recommended security and have a reasonable basis to believe the recommendation is in the customer's best interest based on the customer's investment profile. Craig recommended a 3x daily-leveraged ETF--a complex, high-risk product--to a 71-year-old retiree with conservative risk tolerance, income/preservation objectives, no experience with leveraged products, and significant reliance on her portfolio for living expenses. There is no reasonable basis to conclude this recommendation was in Margaret's best interest.

****FINRA Regulatory Notices 09-31 and 22-08 - Leveraged and Inverse ETFs:**** FINRA has issued specific guidance warning that leveraged and inverse ETFs that reset daily are generally unsuitable for retail investors who plan to hold them for longer than one trading session, because the effects of daily compounding can cause returns to deviate significantly from the underlying index's return over time. FINRA RN 09-31 explicitly states that these products are 'typically unsuitable for retail investors who plan to hold them for more than one trading session, particularly in volatile markets.' FINRA RN 22-08 reinforces the obligation to apply heightened scrutiny to complex products and ensure that recommendations involving such products satisfy both Reg BI and FINRA suitability standards. Craig not only failed to apply heightened scrutiny but failed to understand the product himself, describing TQQQ simply as 'a technology fund with strong recent performance.'

****Path Dependency and Volatility Decay:**** The fact pattern illustrates the classic risk: the Nasdaq-100 ended the holding period down only ~1.2%, yet TQQQ lost ~19.4%. This outcome is a direct and foreseeable consequence of holding a daily-resetting 3x leveraged product through volatile markets. Craig's failure to explain this mechanism, set monitoring protocols, or establish an exit strategy compounds the suitability violation.

****Complex Products Supervision:**** Under FINRA's guidance on complex products supervision, firms and advisors are expected to perform enhanced due diligence on complex products before recommending them, ensure that customers receive clear disclosure of material risks, and implement post-recommendation monitoring. None of these steps were taken. The firm's supervisory system may also be deficient if it permitted this recommendation without flagging the mismatch between the customer's profile and the product's risk characteristics.

****Likely Regulatory Outcome:**** Craig would likely face a FINRA enforcement action alleging violations of Rule 2111 (customer-specific suitability and reasonable-basis suitability), Reg BI's Care Obligation, and potentially the Disclosure Obligation (for failing to disclose the daily reset risk, volatility decay, and the product's intended short-term use). Sanctions could include disgorgement of commissions, restitution of losses (\$18,430), a fine, and a supervisory suspension. The firm could also face supervisory failure charges under FINRA Rule 3110 if its systems did not flag the concentrated leveraged ETF position in a conservative retiree's rollover IRA.

Item 299 of 350

NON-COMPLIANT

Topic: inappropriate_risk_profile

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Dunleavy, age 67, is a retired elementary school teacher living in Tallahassee, Florida. She receives a monthly pension of \$3,200 and Social Security benefits of \$1,850 per month. Her total liquid savings amount to approximately \$410,000, held in an IRA rollover account. She has no other significant assets aside from her home, which is paid off and valued at roughly \$285,000. Margaret's investment objective, as documented on her new account form completed in March 2023, is "income with capital preservation." Her risk tolerance is marked as "conservative," and her investment time horizon is listed as 5-10 years. She has no prior experience trading options, futures, or leveraged products, and her investment knowledge is described as "limited" on her account profile. She told her advisor, Craig Bellingham, that she wanted steady income to supplement her pension and Social Security and did not want to risk losing her principal.

In April 2023, Bellingham recommended that Margaret allocate \$125,000 of her IRA--roughly 30% of her total liquid net worth--into ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index. Bellingham told Margaret that technology stocks "always come back" and that the leveraged fund would "turbocharge her returns so she could build a bigger nest egg faster." He did not explain that the product resets its leverage daily, that compounding effects in volatile markets can cause significant deviation from the underlying index's cumulative return, or that the fund is generally designed for short-term tactical trading rather than long-term holding. He did not discuss the fund's 0.88% expense ratio or the additional implicit costs associated with daily rebalancing. No written risk disclosure specific to leveraged ETFs was provided, and Bellingham did not document any rationale for why this product was appropriate for Margaret's stated objectives and risk profile.

Margaret held the position for 14 months without any follow-up review or rebalancing by Bellingham. During that period, the Nasdaq-100 experienced multiple volatility spikes, including a drawdown of approximately 12% in late 2023 followed by a partial recovery. Due to the effects of daily resetting and volatility decay, Margaret's \$125,000 position was worth approximately \$78,400 by June 2024--a loss of roughly \$46,600, or 37.3%--even though the Nasdaq-100 itself was roughly flat to slightly positive over the same period. Margaret filed a complaint with Bellingham's broker-dealer in July 2024 after reviewing her quarterly statement and realizing the magnitude of her losses. She stated she never understood the product and would not have agreed to the investment had she known the risks involved.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Bellingham almost certainly violated both the suitability requirements under FINRA Rule 2111 and the best interest standard under Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934). The analysis spans multiple dimensions:

****1. Customer-Specific Suitability (FINRA Rule 2111.05):****

Margaret's documented profile--age 67, retired, conservative risk tolerance, income-with-capital-preservation objective,

limited investment knowledge, and dependence on the IRA for retirement income--is fundamentally incompatible with a 3x daily-leveraged ETF. TQQQ is classified as a complex product that amplifies both gains and losses by a factor of three on a daily basis. FINRA Regulatory Notice 09-31 specifically warned that leveraged and inverse ETFs "typically are unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets." FINRA Regulatory Notice 12-03 further emphasized heightened supervision obligations for complex products, including leveraged ETFs, and stressed the need for a reasonable basis to believe the customer can understand and bear the risks. A 67-year-old conservative retiree with limited knowledge and a capital preservation objective fails every element of customer-specific suitability for this product.

****2. Reasonable-Basis Suitability:****

Bellingham's statement that technology stocks "always come back" suggests he either did not understand or chose to ignore the path-dependency and volatility decay characteristics of daily-resetting leveraged ETFs. These products can lose significant value even when the underlying index is flat or slightly positive over time, precisely because daily compounding in volatile markets erodes value. FINRA RN 09-31 and RN 22-08 both emphasize that registered representatives must understand these mechanics before recommending such products. Bellingham's failure to grasp or communicate these risks indicates he lacked reasonable-basis suitability.

****3. Regulation Best Interest (Reg BI) -- Care Obligation:****

Under the Care Obligation of Reg BI (Rule 15l-1(a)(2)(ii)), a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation and have a reasonable basis to believe the recommendation is in the retail customer's best interest. Allocating 30% of a conservative retiree's liquid net worth to a 3x leveraged ETF, without explaining the daily-reset mechanism, volatility decay, or the product's intended short-term use, fails the care obligation. The concentration--\$125,000 in a single speculative position--further aggravates the violation.

****4. Reg BI -- Disclosure Obligation:****

Bellingham failed to provide any written risk disclosures specific to leveraged ETFs and did not orally explain the daily compounding mechanics, cost structure, or intended holding period. This likely violates the Disclosure Obligation under Reg BI, which requires disclosure of all material facts relating to the scope and terms of the relationship, including risks and costs.

****5. Supervision Failures (FINRA Rule 3110; FINRA RN 22-08):****

FINRA Regulatory Notice 22-08 (effective as of the compliance date) established enhanced obligations for broker-dealers to implement policies and procedures related to complex products, including leveraged ETFs, such as account approval processes, mandatory training, and consideration of whether customers meet criteria for trading such products. The firm's apparent lack of any supervisory review of this recommendation--and the absence of a follow-up review over 14 months--suggests systemic supervision deficiencies.

****6. Documentation Failures:****

Bellingham did not document any rationale for the recommendation, which is inconsistent with both FINRA Rule 2111 obligations and Reg BI's requirement to demonstrate compliance with the care obligation.

****Likely Regulatory Outcome:****

Margaret's complaint would likely result in a FINRA arbitration claim with strong facts supporting the customer. Bellingham faces potential sanctions including fines, suspension, or a bar. The firm faces supervisory failure charges. Damages would likely include the \$46,600 loss plus potential interest and attorneys' fees. Given the egregiousness of the mismatch between the customer's profile and the product, and the total absence of disclosure and documentation, this case presents a high probability of a finding in the customer's favor.

Item 300 of 350**NON-COMPLIANT**

Topic: senior_investor_exploitation

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Paulson, age 78, is a retired schoolteacher living in Tucson, Arizona. She has a fixed monthly income of \$2,400 from Social Security and a small pension of \$900 per month. Her total liquid savings are approximately \$310,000, held in an IRA that she depends on to supplement her income and cover medical expenses. She has a history of conservative investing--mostly certificates of deposit and Treasury bonds--and her account paperwork lists her risk tolerance as 'conservative' and her investment objective as 'income and capital preservation.' She has no prior experience trading options, futures, or leveraged products, and she told her advisor during their annual review in January 2023 that she was worried about outliving her savings.

Her financial advisor, Derek Langan, age 34, had been managing her account for two years. In March 2023, Langan recommended that Mrs. Paulson invest \$125,000--roughly 40% of her liquid net worth--into a 3x leveraged daily-resetting ETF tracking the Nasdaq-100 index, ticker TQQQ. He told her that technology stocks were 'about to take off' and that the leveraged fund would 'triple her gains quickly so she wouldn't have to worry about money anymore.' He did not explain how daily resetting works, the concept of volatility decay, or the fact that holding such a product over weeks or months could produce returns that dramatically diverge from three times the index's cumulative return. He did not provide her with the fund's prospectus or any written materials describing the risks of leveraged ETFs.

Mrs. Paulson agreed to the purchase. Over the following seven months, the Nasdaq-100 experienced significant volatility, including a 12% drawdown in August and September 2023 before partially recovering. By October 2023, although the Nasdaq-100 was roughly flat over the holding period (down about 1.5%), Mrs. Paulson's TQQQ position had declined by approximately 19%, a loss of roughly \$23,750. She called Langan in distress after receiving her quarterly statement. Langan told her to 'hang tight' and that the position would recover. She continued to hold through December 2023, at which point the position had recovered somewhat but was still down about \$14,200 from her original investment. Mrs. Paulson's daughter, who works as an accountant, reviewed the statements over the holidays and filed a complaint with Langan's firm, alleging that the recommendation was completely unsuitable for her mother and that Langan never explained the product's risks.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Langan violated applicable suitability and best interest standards in multiple respects.

****Applicable Standards:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a financial advisor have a reasonable basis for believing that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and experience. Rule 2111 encompasses three component obligations: reasonable-basis suitability (the advisor must

understand the product), customer-specific suitability (the recommendation must fit the specific customer), and quantitative suitability (the advisor must not engage in excessive activity).

2. **Regulation Best Interest (Rule 15l-1 under the Exchange Act):** For broker-dealer recommendations to retail customers, Reg BI imposes a best interest standard composed of four component obligations: Disclosure, Care, Conflict of Interest, and Compliance. The Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile and ensuring the recommendation is in the customer's best interest and does not place the advisor's interest ahead of the customer's.

3. **FINRA Regulatory Notice 09-31:** This notice specifically warned firms and advisors that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. It highlighted the effects of daily compounding and volatility decay, noting that in volatile markets, these products can produce returns that are dramatically different from the stated multiple of the index's longer-term return.

4. **FINRA Regulatory Notice 22-08:** This notice reinforced heightened obligations around complex products, including leveraged ETFs, requiring firms to implement policies and procedures reasonably designed to identify and approve complex products before they can be recommended, and to ensure advisors and customers understand the products' risks.

5. **FINRA Regulatory Notice 12-03 (Complex Products):** This notice emphasized that firms must perform reasonable diligence to understand the risks and features of complex products and must train registered representatives to understand and explain these products. A post-recommendation obligation also exists to monitor positions in complex products.

Analysis of Violations:

- **Customer-Specific Suitability / Care Obligation Failure:** Mrs. Paulson is a 78-year-old retiree with limited fixed income, conservative risk tolerance, capital preservation objectives, no experience with leveraged products, and a stated concern about outliving her savings. Recommending that she place 40% of her liquid net worth into a 3x leveraged daily-resetting ETF is fundamentally inconsistent with every element of her investment profile. TQQQ is among the most volatile ETFs available, designed for short-term tactical trading by sophisticated investors. This recommendation fails customer-specific suitability under Rule 2111 and the Care Obligation under Reg BI.

- **Reasonable-Basis Suitability Failure:** Langan's failure to explain daily resetting, path dependency, or volatility decay suggests he either did not understand the product himself or deliberately withheld material information. Under FINRA Rule 2111's reasonable-basis component and RN 09-31, an advisor must understand how leveraged ETFs work--including that holding periods beyond one day can result in significant performance divergence from the leveraged index return--before recommending them.

- **Disclosure Failures:** Langan did not provide the prospectus, did not explain the daily-reset mechanism or compounding risk, and made misleading statements suggesting the product would simply 'triple her gains.' Under Reg BI's Disclosure Obligation and FINRA guidance, material risks of complex products must be communicated clearly to the customer before a transaction.

- **Concentration Risk:** Placing 40% of a senior investor's retirement savings into a single highly volatile leveraged ETF creates excessive concentration risk, compounding the suitability violation.

- **Senior Investor Considerations:** Numerous FINRA guidance documents (including RN 07-43) emphasize that firms and advisors must pay particular attention to the vulnerability of senior investors, who have limited time horizons to recover losses and may depend on their savings for essential living and medical expenses.

- ****Post-Recommendation Failure:**** When the position declined significantly and Mrs. Paulson called in distress, Langan advised her to 'hang tight'--directly contrary to the guidance in RN 09-31 that these products are generally not appropriate for long-term holding. This compounded the initial violation.

****Likely Regulatory Outcome:**** Langan and his firm face significant regulatory liability. The firm may be cited for supervisory failures under FINRA Rule 3110 for failing to have adequate procedures to review and approve leveraged ETF recommendations, particularly for senior investors. Langan individually faces potential sanctions including fines, disgorgement of commissions, suspension, or a bar from the industry. Mrs. Paulson would likely recover her losses (approximately \$14,200-\$23,750 depending on when the position was liquidated) through arbitration, plus possible consequential damages. The firm's failure to implement the complex products framework contemplated by RN 22-08 would also be an aggravating factor.

Item 301 of 350**NON-COMPLIANT****Topic:** failure_to_know_customer**Difficulty:** medium**Source:** 25_Leveraged_Inverse ETFs**Fact Pattern**

In March 2022, financial advisor Derek Simmons at a mid-sized broker-dealer in Phoenix, Arizona, opened an account for Patricia Langford, a 68-year-old recently widowed retired schoolteacher. Mrs. Langford came to the office with a \$430,000 rollover from her late husband's 401(k) and her own savings of approximately \$95,000 in a money market account. She told Simmons that she needed income to supplement her Social Security benefits of \$2,100 per month and her small pension of \$850 per month. She expressed that she was very worried about running out of money and wanted to be conservative. Simmons had Mrs. Langford complete a new account form, but he checked 'moderate' for her risk tolerance and 'growth and income' for her investment objective, despite her repeated verbal statements about capital preservation and income. Mrs. Langford had no prior investment experience beyond certificates of deposit and the money market account. She had never owned individual stocks, mutual funds, or any exchange-traded products. Simmons did not ask Mrs. Langford any questions about her understanding of leveraged or inverse financial products, nor did he explain the mechanics of daily resetting, compounding effects, or volatility decay. Without conducting any further inquiry into her financial knowledge, Simmons invested \$140,000 of the rollover into a 3x leveraged bull semiconductor ETF, \$85,000 into a 2x leveraged S&P 500 ETF, and \$60,000 into a -1x inverse Nasdaq-100 ETF. He told Mrs. Langford these were 'ETFs that would help her portfolio grow faster to make up for lost time.' He placed the remaining \$145,000 of the rollover into a balanced mutual fund and left the \$95,000 in the money market. Over the next eleven months, the semiconductor sector experienced significant volatility with multiple sharp drawdowns and recoveries. By February 2023, the 3x leveraged semiconductor ETF position had lost approximately 47% of its value, falling to roughly \$74,200. The 2x leveraged S&P 500 position declined about 19% to \$68,850 due to a choppy market environment. The inverse Nasdaq-100 ETF lost approximately 31% as the Nasdaq generally trended upward over the period, reducing that position to roughly \$41,400. In total, Mrs. Langford lost approximately \$100,550 across the three leveraged and inverse ETF positions. She discovered the losses when she requested a portfolio review to plan for a home repair expense. She filed a complaint stating she never understood what these products were and that Simmons never asked about her experience with complex investments.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Simmons committed multiple serious violations. First, he failed to fulfill his know-your-customer obligations under FINRA Rule 2111 (the suitability rule) and Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act). Under FINRA Rule 2111, a broker must have a reasonable basis for believing a recommendation is suitable based on the customer's investment profile, which includes age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, risk tolerance, and other relevant information. Simmons failed at the most foundational level: he did not accurately record Mrs. Langford's stated risk tolerance and investment objectives. She clearly and repeatedly communicated conservative, income-oriented goals, yet he marked her account as 'moderate' risk tolerance with 'growth and income' objectives -- a misrepresentation of her actual profile.

Second, Simmons violated the customer-specific suitability obligation by recommending 3x and 2x leveraged ETFs and

an inverse ETF to a 68-year-old retiree with no investment experience, conservative risk tolerance, an income-oriented objective, and a clear need for capital preservation. FINRA Regulatory Notices 09-31 and 12-03 specifically warn that leveraged and inverse ETFs are complex products designed to achieve their stated objectives on a daily basis, and that their performance over longer periods can deviate significantly from the underlying index due to the effects of daily compounding (path dependency and volatility decay). These products are generally unsuitable for retail investors who plan to hold them for more than one trading day, and they are especially inappropriate for elderly, inexperienced, conservative investors.

FINRA RN 22-08 further reinforces enhanced obligations when recommending complex products, including the need to establish written supervisory procedures, ensure the representative understands the product's risks, and determine that the customer has the sophistication and risk tolerance to understand the product. Simmons made no effort to assess Mrs. Langford's understanding of leverage, daily resetting mechanics, or the risk of significant loss from holding these products over months.

Under Reg BI's Care Obligation, a broker must exercise reasonable diligence, care, and skill to understand the risks and rewards of a recommendation and must have a reasonable basis to believe the recommendation is in the customer's best interest. Allocating \$285,000 (over 54% of the rollover) to leveraged and inverse ETFs for a risk-averse, income-dependent retiree with zero experience in complex products is a clear violation of the Care Obligation.

The likely regulatory outcome includes customer restitution for losses attributable to the unsuitable recommendations (approximately \$100,550), potential fines against Simmons and his firm for supervisory failures, a suspension or bar from the industry depending on his disciplinary history, and possible additional sanctions under the firm's supervisory obligations for failing to have adequate procedures to review leveraged and inverse ETF recommendations as required by FINRA guidance.

Item 302 of 350

NON-COMPLIANT

Topic: failure_to_know_customer

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Gerald Hutchins, age 71, is a retired postal worker living in Dayton, Ohio. He receives \$2,400 per month in Social Security and \$1,100 per month from a modest pension. His total liquid savings amount to approximately \$185,000, held in an IRA rollover account that represents essentially all of his retirement assets aside from his Social Security and pension income. Gerald has no other investments, owns his home outright, and carries no debt. He has limited investment experience, having held only certificates of deposit and a stable value fund inside his former employer's 401(k) plan for the past 30 years. When he rolled over his 401(k) to a brokerage IRA in January 2022, he told his new advisor, Craig Ellison, that he wanted 'safe investments that could maybe grow a little bit' and that he 'could not afford to lose this money.' Gerald indicated on his new account form that his investment objective was 'income with capital preservation' and his risk tolerance was 'conservative.' Craig Ellison had been a registered representative for four years. During the account opening process, Craig did not ask Gerald any follow-up questions about his familiarity with exchange-traded products, options, or leveraged instruments. Craig did not document Gerald's investment knowledge beyond what appeared on the standard new account form, which contained a checkbox for 'limited' experience with equities and no boxes checked for options, futures, or complex products. In February 2022, Craig recommended that Gerald invest \$55,000 of his IRA into the ProShares UltraPro QQQ (TQQQ), a 3x daily leveraged ETF tracking the Nasdaq-100 Index, and \$40,000 into the Direxion Daily Semiconductor Bull 3X Shares (SOXL), a 3x daily leveraged ETF tracking the ICE Semiconductor Index. Craig told Gerald that 'tech and chips are where the growth is' and that these funds would 'supercharge his returns.' Craig did not explain that these products reset daily, did not discuss volatility decay or path dependency, and did not mention that the funds were designed for short-term trading rather than buy-and-hold strategies. Craig set no stop-loss orders and established no monitoring schedule. Gerald's account statements show that the positions were held continuously without any review or rebalancing. By December 2022, the TQQQ position had declined from \$55,000 to approximately \$17,600, a loss of roughly 68%, and the SOXL position had fallen from \$40,000 to approximately \$11,200, a loss of roughly 72%. Combined, Gerald lost approximately \$66,200 -- about 36% of his entire retirement savings -- in these two positions alone. When Gerald called Craig in January 2023 to ask about the losses, Craig said he had been 'meaning to check in' and suggested Gerald 'hold on for a rebound.' Gerald subsequently filed a complaint with Craig's firm.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Ellison committed multiple violations centered on a fundamental failure to know his customer and recommend suitable investments.

****Failure to Know the Customer (FINRA Rule 2111 -- Reasonable-Basis, Customer-Specific, and Quantitative Suitability):****

Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. Craig failed

at the most basic level -- he did not undertake reasonable diligence to ascertain Gerald's investment knowledge or capacity to understand leveraged ETF products. The new account form indicated 'limited' equity experience and no experience with complex products, yet Craig made no effort to probe further. This is a clear violation of the 'know your customer' obligation embedded in Rule 2111(a).

****Reg BI -- Care Obligation (Rule 15l-1(a)(2)(ii)):****

Under Regulation Best Interest, a broker-dealer must exercise reasonable diligence, care, and skill in making a recommendation. The Care Obligation requires that the broker understand the potential risks, rewards, and costs of the recommendation and have a reasonable basis to believe the recommendation is in the retail customer's best interest. A 71-year-old retiree with conservative risk tolerance, capital preservation objectives, limited investment experience, and virtually all of his liquid net worth in a single IRA is the paradigmatic unsuitable customer for 3x daily-leveraged ETFs. Craig's recommendation fails every prong of the Care Obligation.

****FINRA Regulatory Notices 09-31 and 22-08 -- Complex Products and Leveraged/Inverse ETFs:****

FINRA RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, due to the effects of daily compounding, volatility decay, and path dependency. FINRA RN 22-08 reinforced and expanded these concerns, emphasizing that firms must have robust supervisory systems for complex products and that recommendations of such products require heightened scrutiny of the customer's profile, particularly investment experience and understanding of the product's mechanics. Craig made no effort to explain the daily reset mechanism, compounding effects, or the risk that returns over periods longer than one day can deviate significantly -- and often negatively -- from the leveraged multiple of the index return.

****Specific Violations:****

1. ****Failure to Know the Customer:**** Craig did not gather adequate information about Gerald's investment knowledge, experience with complex products, or ability to understand leveraged ETFs. This violates FINRA Rule 2111's customer-specific suitability requirement and Reg BI's Care Obligation.
2. ****Unsuitable Recommendation:**** Recommending 3x leveraged ETFs representing over 51% of the total retirement portfolio of a 71-year-old conservative retiree with no complex product experience is a clear-cut suitability violation under both Rule 2111 and Reg BI.
3. ****Failure to Disclose Material Risks:**** Craig did not explain daily resetting, volatility decay, path dependency, or the intended short-term holding period of these products, violating Reg BI's Disclosure Obligation.
4. ****Failure to Monitor/Supervise:**** No stop-losses, no rebalancing triggers, and no periodic review were established. FINRA RN 09-31 and 22-08 specifically note that firms and representatives have ongoing obligations to monitor leveraged ETF positions, particularly when held beyond the intended short-term time horizon.
5. ****Concentration Risk:**** Placing \$95,000 (51% of Gerald's liquid retirement savings) into two highly correlated, triple-leveraged sector ETFs created extreme and unwarranted concentration risk wholly inconsistent with the customer's stated objectives.

****Likely Regulatory Outcome:****

Craig and his firm face significant liability. A FINRA arbitration panel would likely find the recommendation unsuitable and award compensatory damages in the range of \$66,200 (the actual losses), potentially with interest. The firm's supervisory system may also be found deficient under FINRA Rules 3110 and 3120 if it did not flag these trades for heightened review. Craig could face individual sanctions including fines, suspension, or a bar, depending on whether a pattern of similar conduct is found. The firm could face additional fines for supervisory failures related to complex product oversight as outlined in RN 22-08.

Item 303 of 350

NON-COMPLIANT

Topic: leveraged_etf_unsuitable

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Kowalski, age 71, is a retired elementary school teacher living in Scranton, Pennsylvania. She receives a monthly pension of \$3,200 and Social Security payments of \$1,850 per month. Her total liquid savings amount to approximately \$410,000, held in an IRA rollover account and a small taxable brokerage account. She has no other significant assets aside from her home, which is fully paid off. Mrs. Kowalski's stated investment objectives on her new account form are capital preservation and income generation, and her risk tolerance is marked as "conservative." She has no prior experience trading options, futures, or leveraged products, and her investment history consists solely of certificates of deposit and a balanced mutual fund she held through her employer's retirement plan for 22 years.

In March 2023, her financial advisor, Derek Halloran, recommended that Mrs. Kowalski invest \$125,000 -- roughly 30% of her liquid net worth -- into the ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index. Halloran told Mrs. Kowalski that the fund would "triple the growth of big tech stocks" and was "the best way to make up for years of low CD returns." He did not explain the daily resetting mechanism of the fund, the concept of volatility decay, or the fact that returns over periods longer than one day can differ dramatically -- and often negatively -- from three times the return of the underlying index. He did not provide her with the fund's prospectus or any written materials describing the risks of leveraged ETFs. No documentation exists showing that Halloran discussed alternative investments or considered whether a lower-risk equity income fund or dividend-focused strategy might better suit her stated objectives.

Mrs. Kowalski held the TQQQ position for approximately 14 months. During that period, the Nasdaq-100 experienced several sharp drawdowns and recoveries. Due to the compounding effects of daily resets and elevated volatility, Mrs. Kowalski's \$125,000 investment declined to approximately \$74,500 by May 2024 -- a loss of roughly \$50,500, or 40.4% -- even though the Nasdaq-100 itself was roughly flat over the same stretch when accounting for the specific entry and exit dates. Mrs. Kowalski discovered the magnitude of her losses only when she requested a distribution to pay for assisted living evaluations for her husband. She subsequently filed a complaint with Halloran's broker-dealer.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Halloran committed multiple violations of applicable regulatory standards.

****FINRA Rule 2111 (Suitability):**** This rule requires that a financial advisor have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, time horizon, liquidity needs, and risk tolerance. Here, Mrs. Kowalski is a 71-year-old retiree with conservative risk tolerance, capital preservation and income objectives, no experience with complex products, and total liquid assets of \$410,000. Recommending that she concentrate 30% of her liquid assets in a 3x daily-leveraged ETF -- one of the most volatile and complex exchange-traded products available -- is fundamentally inconsistent with every element of her investment

profile. The recommendation fails all three components of the suitability obligation: reasonable-basis suitability (no reasonable advisor would conclude TQQQ is appropriate for a conservative retiree), customer-specific suitability (the product contradicts her stated objectives and risk tolerance), and quantitative suitability (the concentration of 30% in a single leveraged product is excessive for her profile).

****Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act):**** For broker-dealer recommendations to retail customers, Reg BI imposes a best interest standard with four component obligations: Disclosure, Care, Conflict of Interest, and Compliance. The Care Obligation requires the advisor to exercise reasonable diligence, care, and skill to understand the product and have a reasonable basis to believe the recommendation is in the customer's best interest given her profile. Halloran failed this obligation by recommending an extremely risky, complex leveraged product to a conservative elderly retiree without any reasonable justification. The Disclosure Obligation requires full and fair disclosure of material facts, including risks. Halloran failed to explain daily resetting, volatility decay, or path dependency -- all of which are critical risk factors for leveraged ETFs and are essential for informed decision-making.

****FINRA Regulatory Notice 09-31:**** This notice specifically warns that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. The notice emphasizes that in volatile markets, these products can produce returns that deviate significantly from their stated multiple of the underlying index over longer periods. Mrs. Kowalski held TQQQ for 14 months, during which volatility decay eroded her investment by over 40% even though the underlying index was approximately flat. This is precisely the scenario the notice warns against.

****FINRA Regulatory Notice 22-08 (Complex Products):**** This notice reinforces heightened obligations when recommending complex products to retail investors, including the need for enhanced account approval processes, reasonable due diligence, and tailored disclosure. There is no evidence Halloran performed any enhanced due diligence, provided the prospectus, or ensured Mrs. Kowalski understood the product's mechanics before investing.

****FINRA Regulatory Notice 12-03 (Complex Products and Heightened Supervision):**** This notice requires firms and their registered representatives to perform a reasonable-basis suitability analysis on complex products -- understanding the product well enough to evaluate its risks and rewards -- and to determine whether the product is suitable for a specific customer before recommending it. Halloran's characterization of TQQQ as a way to "triple the growth of big tech stocks" without disclosing the daily reset mechanism or path dependency risks demonstrates a failure of reasonable-basis suitability at the product level and a misleading characterization of the product.

****Likely Regulatory Outcome:**** Halloran would likely face disciplinary action including fines, disgorgement, suspension, or a bar from the securities industry. His broker-dealer could face supervisory failure charges under FINRA Rule 3110 if it lacked adequate procedures to flag leveraged ETF recommendations to elderly conservative investors or failed to monitor holding periods. Mrs. Kowalski would have a strong claim for restitution of her approximately \$50,500 in losses through arbitration or the firm's complaint resolution process. The combination of an elderly, unsophisticated, conservative investor; a concentrated allocation to a 3x leveraged daily-resetting ETF; a 14-month holding period; the absence of disclosure about volatility decay and path dependency; and the failure to consider suitable alternatives makes this a clear-cut violation.

Item 304 of 350

NON-COMPLIANT

Topic: failure_to_know_customer

Difficulty: medium

Source: 25_Leveraged_Inverse ETFs

Fact Pattern

Gerald Whitmore, age 71, is a retired postal worker living in Tallahassee, Florida, with an annual pension income of \$42,000 and total retirement savings of approximately \$285,000 held in an IRA rollover account. Gerald's wife passed away in 2021, and he is the sole financial provider for himself and occasionally assists his adult daughter, who has a disability, with living expenses. Gerald has no prior experience with options, futures, or leveraged products. His account application, completed in March 2022 by his financial advisor, Marcus Diallo, lists his investment objective as 'income' and his risk tolerance as 'moderate.' However, the application left blank the fields for investment experience, time horizon, and liquidity needs. Marcus never conducted a follow-up conversation or sent a questionnaire to fill in the missing information. In April 2022, after reading headlines about rising interest rates, Marcus recommended that Gerald allocate \$95,000 -- roughly one-third of his retirement savings -- into a 3x leveraged inverse Treasury bond ETF (ticker: TMV), telling Gerald it would 'protect his portfolio from rising rates.' Marcus did not explain how the fund resets daily, the concept of compounding or volatility decay, or that the product is designed for short-term tactical trading. Gerald understood this to be a conservative hedge. Marcus placed the trade and did not revisit the position or contact Gerald for the next eleven months. By March 2023, despite intermediate-term interest rates having generally risen over parts of that period, the position had lost approximately 38% of its value due to path dependency and volatility decay inherent in the daily-resetting leveraged structure. Gerald's \$95,000 investment was now worth roughly \$58,900 -- a loss of \$36,100. When Gerald called Marcus in distress after reviewing his quarterly statement, Marcus said the losses were 'just market noise' and recommended holding the position longer. Gerald ultimately sold the position in June 2023 at a total realized loss of \$41,200. Gerald filed a written complaint with the firm in August 2023, stating that Marcus never asked him about his experience, never explained the product's risks, and that the investment was wholly inconsistent with his retirement income needs.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Marcus Diallo violated multiple regulatory requirements in his handling of Gerald Whitmore's account and the recommendation of the 3x leveraged inverse Treasury bond ETF.

****Failure to Know the Customer (FINRA Rule 2111 -- Reasonable-Basis, Customer-Specific, and Quantitative Suitability):****

FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. The investment profile includes, but is not limited to, the customer's age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. Marcus left critical fields on the account application blank -- specifically investment experience, time horizon, and liquidity needs -- and never followed up to obtain this information. This is a textbook failure-to-know-your-customer violation. Without a complete customer profile, Marcus had no reasonable basis to recommend any investment, let alone a highly complex leveraged inverse ETF.

****Regulation Best Interest (Rule 15l-1 -- Care Obligation):****

Under Reg BI's Care Obligation, a broker-dealer must exercise reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of a recommendation, and must have a reasonable basis to believe the recommendation is in the retail customer's best interest based on the customer's profile. Marcus failed on both prongs: (1) he does not appear to have understood or communicated the daily-reset mechanism, path dependency, or volatility decay inherent in leveraged inverse products, and (2) even a cursory review of Gerald's profile -- a 71-year-old retiree with modest savings, income-oriented objectives, moderate risk tolerance, and no experience with complex products -- would have made clear that a 3x leveraged inverse ETF was plainly not in his best interest.

****FINRA Regulatory Notices 09-31 and 22-08 -- Leveraged and Inverse ETF Guidance:****

FINRA RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, because their returns over longer periods can differ significantly from the stated multiple of the benchmark's return due to compounding effects. RN 22-08 further reinforced supervisory obligations around complex products, requiring firms to establish a reasonable basis that a complex product recommendation is consistent with the customer's best interest and to ensure adequate disclosures are provided. Marcus recommended that Gerald hold this product for over eleven months without monitoring, without explaining the compounding risk, and without any plan for exit or rebalancing -- directly contrary to this guidance.

****Concentration and Unsuitability:****

Allocating approximately 33% of a 71-year-old retiree's entire IRA into a single 3x leveraged inverse product is a grossly unsuitable concentration, particularly given the customer-specific factors present here.

****Likely Regulatory Outcome:****

Marcus would likely face sanctions for violations of FINRA Rule 2111 (all three suitability obligations), Reg BI's Care and Disclosure Obligations, and the firm could face supervisory deficiency findings under FINRA Rules 3110 and 3120 for failing to have adequate procedures to flag leveraged/inverse ETF purchases by elderly, income-oriented customers. Potential remedies include disgorgement of commissions, restitution to the customer for the \$41,200 loss, fines, and a potential suspension. The firm may also face liability for failure to implement the heightened supervisory procedures recommended in RN 09-31 and RN 22-08 for complex products.

Item 305 of 350**NON-COMPLIANT****Topic:** inappropriate_risk_profile**Difficulty:** medium**Source:** 25_Leveraged_Inverse_ETFs**Fact Pattern**

Margaret Hollis, age 71, is a retired elementary school teacher living in Tucson, Arizona. She receives a monthly pension of \$2,800 and Social Security benefits of \$1,950 per month. Her total liquid savings amount to approximately \$340,000, held primarily in a traditional IRA rollover account at a regional broker-dealer. Mrs. Hollis completed the firm's new account questionnaire in March 2023, indicating her investment objective as 'income and capital preservation,' her risk tolerance as 'conservative,' her time horizon as '5-10 years,' and her investment experience as 'limited -- mostly CDs and bond funds.' She told her financial advisor, Craig Wentworth, that her primary goal was to supplement her pension and Social Security income without taking significant risk, and that she wanted to leave whatever remained to her two grandchildren. In April 2023, Wentworth recommended that Mrs. Hollis allocate \$85,000 -- roughly 25% of her portfolio -- to a 3x leveraged bull semiconductor ETF (ticker: SOXL), explaining that the semiconductor sector was 'set to boom for years' due to government investment in domestic chip manufacturing. Wentworth described the product to her as 'like a tech mutual fund but with more upside.' He did not explain that the fund resets daily, is designed to deliver three times the daily return of its underlying index, or that long-term returns can deviate dramatically from three times the index's cumulative return due to compounding effects and volatility drag. No written risk disclosure specific to leveraged ETFs was provided, and no supervisory pre-approval for the trade was obtained, despite the firm's internal procedures requiring principal review for complex product transactions involving customers over age 65. Mrs. Hollis held the position for fourteen months. During that period, the semiconductor index experienced several sharp drawdowns and recoveries. By June 2024, the underlying index was approximately 4% higher than when she purchased the leveraged ETF, but due to daily resetting and significant intra-period volatility, her SOXL position had declined by roughly 18%, resulting in an unrealized loss of approximately \$15,300. When Mrs. Hollis called to ask why she was losing money if the sector had gone up, Wentworth told her to 'stay the course' and that the position would 'catch up eventually.' He did not recommend reducing or closing the position. By October 2024, after further volatility, the position had lost approximately \$27,200, or 32% of the initial investment. Mrs. Hollis's granddaughter, a finance major in college, reviewed her grandmother's account and immediately flagged the holding as inappropriate.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Wentworth violated applicable suitability and best interest standards on multiple grounds.

****1. Customer-Specific Suitability (FINRA Rule 2111.05(a)):** Mrs. Hollis's documented profile -- a 71-year-old conservative retiree with limited investment experience, an income-and-preservation objective, and reliance on her portfolio for supplemental retirement income -- is fundamentally inconsistent with a 3x leveraged ETF. FINRA Regulatory Notice 09-31 explicitly warns that leveraged and inverse ETFs are 'typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' The recommendation of SOXL to Mrs. Hollis failed the customer-specific suitability component, as a 3x daily-resetting leveraged product bears no reasonable relationship to her stated goals, risk tolerance, or time horizon.

****2. Reasonable-Basis Suitability:**** Wentworth appears to have lacked a fundamental understanding of the product he recommended. His characterization of SOXL as 'like a tech mutual fund but with more upside' is materially misleading and suggests he did not understand the mechanism of daily resetting, path dependency, and volatility decay -- core features that make leveraged ETFs behave very differently from traditional funds over holding periods beyond one day. FINRA RN 12-03 and RN 22-08 emphasize that firms and representatives must understand complex products before recommending them.

****3. Regulation Best Interest (Rule 15l-1 -- Care Obligation):**** Under Reg BI's Care Obligation, a broker-dealer and associated person must exercise reasonable diligence, care, and skill in making a recommendation. The advisor must consider the investment's risks, rewards, and costs in light of the customer's profile. Allocating 25% of a conservative retiree's liquid assets to a highly volatile 3x leveraged sector ETF, without understanding or explaining the product's mechanics, fails this standard. The recommendation did not reflect reasonable diligence or care.

****4. Reg BI Disclosure Obligation:**** Wentworth failed to disclose material facts about how the product works, including daily resetting, the impact of compounding on returns over time, and the risk that long-term performance can diverge sharply from the leveraged multiple of the index's cumulative return. This violates the Disclosure Obligation under Reg BI.

****5. Supervisory Failures:**** The firm's internal procedures required principal pre-approval for complex product transactions involving customers over age 65. No such review was obtained. This constitutes a violation of FINRA Rule 3110 (supervision) and the firm's own written supervisory procedures. FINRA RN 22-08 reinforces that firms must have robust supervisory systems for complex products, including leveraged ETFs, and that supervision must be reasonably designed to achieve compliance.

****6. Ongoing Duty -- Failure to Mitigate:**** When Mrs. Hollis called expressing confusion about her losses, Wentworth told her to 'stay the course' rather than recommending she exit an unsuitable position. Under Reg BI's implicit account monitoring expectations (where the advisor has agreed to monitor or effectively exercises de facto discretion through ongoing advice), continued recommendation to hold an unsuitable product compounds the initial violation.

****Volatility Decay and Path Dependency:**** The fact pattern vividly illustrates the compounding problem central to FINRA's warnings. While the underlying semiconductor index rose approximately 4% over 14 months, Mrs. Hollis's 3x leveraged position declined 18% and ultimately 32%. This is a textbook example of volatility decay -- the mathematical phenomenon whereby a daily-resetting leveraged product can lose money even when the underlying index gains, if the path to that gain involves significant interim volatility.

****Likely Regulatory Outcome:**** This case would likely result in findings against both the advisor and the firm. Wentworth would face potential sanctions including fines, disgorgement, suspension, or a bar. The firm would face supervisory failure charges for not enforcing its own pre-approval procedures. Customer restitution of the approximately \$27,200 in losses (or potentially more if the position continued to deteriorate) would be expected. In a customer arbitration, the full loss plus interest and attorneys' fees would be a likely award.

Item 306 of 350

NON-COMPLIANT

Topic: inappropriate_risk_profile

Difficulty: medium

Source: 25_Leveraged_Inverse ETFs

Fact Pattern

Margaret Hollis, age 71, is a retired elementary school teacher living in Tucson, Arizona, with an annual pension income of \$38,000 and Social Security benefits of \$22,000. Her total liquid savings amount to approximately \$310,000, held in a rollover IRA that represents the entirety of her retirement nest egg aside from her pension. Margaret's account opening documents from March 2022 listed her investment objective as 'income and capital preservation,' her risk tolerance as 'conservative,' her time horizon as '5-10 years,' and her investment experience as 'limited -- mostly certificates of deposit and a target-date mutual fund in her former employer's 403(b) plan.' She told her advisor, Kyle Rennick, age 34, that she wanted steady income to supplement her pension and was worried about outliving her savings. In April 2022, Rennick recommended that Margaret allocate \$85,000 -- roughly 27% of her portfolio -- to a 3x leveraged bull semiconductor ETF (ticker: SOXL), explaining that the semiconductor industry was 'about to boom' due to global chip shortages and that this fund would 'triple her gains.' He described the product as 'just like a regular ETF but with more upside.' He did not explain that the fund resets daily, that its returns over periods longer than one day can deviate significantly from three times the cumulative index return, or that volatility in the underlying index can erode value even if the index ends flat over time. He also did not provide the fund's prospectus or any supplemental materials discussing the risks of leveraged products. Rennick's branch manager, Sandra Liu, approved the trade the same day without conducting any additional review or flagging the product as complex. Margaret held the position for fourteen months. During that period, the Philadelphia Semiconductor Index experienced significant volatility -- rising roughly 8% cumulatively, but with multiple drawdowns exceeding 15% along the way. Due to the compounding and path-dependency effects of daily resetting, SOXL gained only about 2% over the same period rather than the approximately 24% (3 x 8%) Margaret might have expected. Meanwhile, the remainder of Margaret's portfolio, invested in a diversified bond fund and a dividend equity fund, returned a combined 5.4%. In June 2023, after Margaret's grandson, a finance graduate student, reviewed her statements and explained how leveraged ETFs work, Margaret called Rennick to ask why her SOXL position had barely moved despite news coverage of semiconductor stock gains. Rennick told her to 'hang tight' and that it would 'catch up eventually.' Margaret liquidated the position herself in July 2023 at a modest gain of \$1,700, far less than what a comparable unleveraged semiconductor ETF would have returned over the same holding period. She filed a complaint with Rennick's broker-dealer in August 2023, alleging that the recommendation was inappropriate for her age, risk profile, and financial situation, and that critical risks were never disclosed.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kyle Rennick violated both traditional suitability standards and Regulation Best Interest (Reg BI), Rule 15l-1, as well as multiple FINRA rules and supervisory standards.

****1. Suitability -- FINRA Rule 2111****

FINRA Rule 2111 requires that a recommendation be suitable for the customer based on reasonable diligence regarding the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time

horizon, liquidity needs, and investment experience. Margaret was a 71-year-old conservative retiree whose sole liquid retirement asset was \$310,000, with stated objectives of income and capital preservation. A 3x daily-resetting leveraged ETF is an aggressive, speculative instrument wholly inconsistent with every element of her stated profile. The recommendation fails the customer-specific suitability obligation, the reasonable-basis suitability obligation (given Rennick's apparent lack of understanding of the product), and the quantitative suitability obligation insofar as concentrating 27% of a conservative retiree's assets in a single leveraged sector bet is excessive.

****2. Regulation Best Interest -- Rule 15l-1****

Under Reg BI's Care Obligation (Rule 15l-1(a)(2)(ii)), a broker-dealer must exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation and must have a reasonable basis to believe the recommendation is in the retail customer's best interest at the time it is made, considering the customer's profile. Rennick's recommendation of SOXL to Margaret fails this standard. He recommended a product designed for sophisticated, short-term traders to a conservative, inexperienced, elderly retiree and did not even understand the product's mechanics sufficiently to explain daily resetting, path dependency, or volatility decay.

Under Reg BI's Disclosure Obligation (Rule 15l-1(a)(2)(i)), the advisor must disclose material facts about the recommendation, including risks and conflicts. Rennick described SOXL as 'just like a regular ETF but with more upside,' which is materially misleading. He failed to provide the prospectus or any risk disclosure materials.

****3. FINRA Regulatory Notices 09-31 and 22-08 -- Leveraged and Inverse ETFs / Complex Products****

FINRA RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. It highlighted the effects of daily compounding and volatility decay, noting that returns over longer periods can differ dramatically from the stated leverage multiple times the index return. FINRA RN 22-08 reinforced heightened obligations around complex products, requiring firms to establish reasonably designed policies and procedures to identify and supervise recommendations of complex products, evaluate whether products are appropriate for specific investors, and ensure that associated persons understand the products they recommend.

Rennick recommended a 14-month hold of a daily-resetting 3x leveraged ETF -- precisely the type of misuse these notices warn against. He plainly did not understand the product's mechanics.

****4. Supervisory Failures****

Branch manager Sandra Liu approved the trade the same day without any enhanced review. Under FINRA Rules 3110 and 3120, the firm must establish and maintain a supervisory system reasonably designed to detect and prevent violations, including heightened review for complex or high-risk products. A 3x leveraged semiconductor ETF purchase constituting 27% of a 71-year-old conservative retiree's IRA should have triggered supervisory flags. Liu's same-day approval without inquiry represents a supervisory failure.

****5. Likely Regulatory Outcome****

Rennick faces potential sanctions including fines, disgorgement of commissions, suspension, or bar. The firm faces potential supervisory deficiency findings, fines, and possible restitution to Margaret. Even though Margaret's actual dollar losses were relatively modest (opportunity cost rather than outright loss), regulators evaluate the suitability of the recommendation at the time it was made, not solely by outcome. The recommendation was unsuitable and not in Margaret's best interest at inception, and the lack of disclosure compounded the violation.

Item 307 of 350

NON-COMPLIANT

Topic: complex_products_unsophisticated_investor

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Russo, age 67, is a retired elementary school teacher living in Scranton, Pennsylvania. She has a fixed annual income of \$38,000 from her state pension and Social Security, total liquid savings of approximately \$210,000 in a brokerage account, and an additional \$95,000 in a money market account she considers her emergency fund. Her investment experience is limited to certificates of deposit and a target-date retirement fund offered through her employer's 403(b) plan, which she held for eighteen years before rolling it into her brokerage account upon retirement in 2020. Her account documents list her risk tolerance as 'conservative,' her investment objective as 'income and capital preservation,' and her time horizon as 'five to ten years.' She has no prior experience trading options, futures, or leveraged products.

In March 2023, Margaret's financial advisor, Derek Halpern, age 34, recommended that she invest \$72,000 -- roughly 34% of her liquid brokerage assets -- into a 3x leveraged bull ETF tracking the semiconductor sector (ticker: SOXL). Derek told Margaret that the semiconductor industry was 'about to explode' due to demand for artificial intelligence chips, and that this fund would 'triple her gains compared to just buying regular semiconductor stocks.' He described the product as similar to a mutual fund but 'turbocharged.' He did not explain the daily reset mechanism, the effects of compounding on leveraged returns over multi-day holding periods, or the concept of volatility decay. He did not provide Margaret with the fund's prospectus or any supplementary educational materials, nor did he document any analysis of why a 3x leveraged sector ETF was appropriate for her specific financial situation.

Margaret purchased 540 shares of SOXL at approximately \$133.33 per share on March 15, 2023. Derek told her to 'just hold it and let it ride -- this is a long-term winner.' Over the following eleven months, the semiconductor sector experienced significant volatility, with multiple drawdowns of 8-12% interspersed with recoveries. By February 2024, the underlying semiconductor index was approximately 4% higher than its level when Margaret purchased the fund. However, due to the compounding effects of the daily-resetting 3x leverage and the path-dependent nature of the returns during the volatile period, Margaret's SOXL position was worth approximately \$58,300 -- a loss of \$13,700, or roughly 19%, despite the underlying index being in positive territory.

Margaret called Derek in February 2024 confused about why she had lost money when she had read that semiconductor stocks were up. Derek responded that the market 'just needed more time' and recommended she continue holding. Margaret ultimately sold the position in April 2024 at \$51,800, realizing a total loss of \$20,200 -- approximately 28% of her original investment and nearly 10% of her total liquid savings. She subsequently filed a complaint with her brokerage firm stating she was never told the fund could lose money even if the sector went up, and that she did not understand she was investing in a leveraged product that reset daily.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Halpern violated multiple regulatory standards governing the recommendation of complex products to retail

investors.

****Suitability under FINRA Rule 2111:**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on that customer's investment profile. Rule 2111 encompasses three components: (1) reasonable-basis suitability, (2) customer-specific suitability, and (3) quantitative suitability.

Derek failed reasonable-basis suitability because he apparently did not understand -- or chose not to convey -- the fundamental mechanics of a daily-resetting 3x leveraged ETF. FINRA Regulatory Notice 09-31 explicitly warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. The notice stated that 'investors should understand that these funds are designed to achieve their stated objectives on a daily basis' and that their performance 'can differ significantly from the performance of their underlying index or benchmark during longer periods.' Derek's recommendation to 'just hold it and let it ride' as a long-term investment directly contradicts the product's design and intended use.

Derek failed customer-specific suitability on multiple grounds. Margaret was a 67-year-old retiree with conservative risk tolerance, income and capital preservation objectives, limited investment experience (only CDs and a target-date fund), no experience with complex or leveraged products, and a relatively modest asset base of \$210,000 in liquid savings. Allocating 34% of her liquid brokerage assets to a single 3x leveraged sector ETF was wildly inconsistent with every element of her investment profile.

****Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act):**** Under Reg BI's Care Obligation, Derek was required to exercise reasonable diligence, care, and skill to understand the risks and rewards of SOXL before recommending it, and to have a reasonable basis to believe that the recommendation was in Margaret's best interest based on her investment profile and the potential risks, rewards, and costs. The Care Obligation also requires that the advisor not place his own interests ahead of the customer's. A 3x leveraged sector ETF with daily rebalancing carries extreme concentration risk, leverage risk, and path-dependency risk -- none of which are consistent with Margaret's conservative, capital-preservation profile. Reg BI's Disclosure Obligation further required Derek to disclose all material facts about the recommendation, including the risks of volatility decay, the daily reset mechanism, and the unsuitability of long-term holding periods. He disclosed none of these.

****FINRA Regulatory Notice 22-08 and Complex Products Supervision:**** RN 22-08 reinforced members' sales practice obligations for complex products, including leveraged and inverse ETFs. It emphasized the need for firms to implement effective practices for complex product oversight, including ensuring customers understand product features before investing, providing training to registered representatives, and implementing approval processes for complex product transactions. The fact that Derek provided no prospectus, no educational materials, and no documentation of his suitability analysis suggests both individual and supervisory failures.

****FINRA Regulatory Notice 12-03:**** This notice specifically addressed heightened supervision requirements for complex products, requiring firms to establish a reasonable basis that a customer can understand the fundamental features of a recommended complex product, including how it is expected to perform under various market conditions.

****Path Dependency and Volatility Decay:**** The outcome in Margaret's case is a textbook illustration of the volatility decay phenomenon that regulators have repeatedly warned about. Despite the underlying semiconductor index gaining approximately 4% over the holding period, the daily resetting 3x leverage, combined with intraperiod volatility of 8-12% swings, caused significant compounding losses. This is not an anomalous result -- it is the mathematically expected outcome when volatile assets are held in daily-resetting leveraged structures over extended periods. Derek's failure to understand or communicate this risk is a fundamental deficiency.

****Likely Regulatory Outcome:**** Derek would likely face enforcement action for unsuitable recommendations and failure

to comply with Reg BI's Care and Disclosure Obligations. Potential sanctions include fines, disgorgement of commissions, restitution to Margaret, a suspension, or in aggravated circumstances, a bar. The firm could also face supervisory liability under FINRA Rule 3110 if it lacked adequate procedures to flag leveraged ETF purchases by conservative, elderly, unsophisticated investors, or if existing procedures were not enforced. Margaret's arbitration claim would likely result in an award covering her \$20,200 in realized losses plus potential consequential damages.

Item 308 of 350**NON-COMPLIANT**

Topic: leveraged_etf_unsuitable

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Owens, age 67, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,800 per month in pension income and \$1,950 per month in Social Security benefits. Her total liquid savings are approximately \$410,000, held in a rollover IRA that constitutes essentially all of her retirement assets aside from her pension. She owns her home outright, valued at roughly \$265,000. On her new account form completed in March 2022, she indicated a conservative risk tolerance, an investment objective of capital preservation with modest income, a time horizon of 10-plus years, limited investment knowledge, and no prior experience trading options, futures, or leveraged products.

Her financial advisor, Craig Delano, had been managing her IRA since she rolled it over from her former employer's 403(b) plan in January 2022. In April 2022, Delano told Mrs. Owens that he was concerned about rising interest rates hurting the bond market and recommended she invest a significant portion of her portfolio in a product he described as a way to "profit when rates go up and bonds go down." He recommended she allocate \$125,000--roughly 30% of her IRA--to the Direxion Daily 20+ Year Treasury Bear 3X Shares (TMV), a triple-leveraged inverse ETF that seeks to deliver 300% of the inverse of the daily performance of the ICE U.S. Treasury 20+ Year Bond Index.

Delano did not provide Mrs. Owens with the fund's prospectus or any written materials explaining daily resetting, compounding effects, path dependency, or volatility decay. He did not discuss that the product was designed for short-term tactical trading, typically intraday or over periods of a few days. He told her to "sit tight and let it work" and that rates were "only going one direction." He entered the trade and did not set any stop-loss levels, rebalancing triggers, or a specific exit date.

Over the following eleven months, Mrs. Owens held the position without any contact from Delano regarding the TMV position. Despite the fact that long-term Treasury yields did rise meaningfully during portions of this period, the daily resetting and compounding mechanics of the 3x inverse product produced erratic returns. The path of Treasury yields was not a straight line--rates rose, then briefly fell during a flight-to-quality episode in September 2022, then rose again, then leveled off. By March 2023, the underlying index was down approximately 18% from the purchase date, which in a perfectly tracking, non-resetting scenario might have produced a gain of roughly 54% on a 3x inverse basis. However, due to volatility decay and daily compounding, Mrs. Owens's TMV position had gained only about 19%, significantly underperforming the naive 3x expectation. More critically, during the interim drawdowns--particularly September through October 2022--the position had been down as much as 35% from her purchase price, temporarily reducing her \$125,000 allocation to approximately \$81,000.

When Mrs. Owens finally reviewed her March 2023 statement and saw the modest gain relative to what Delano had projected, she called to ask questions. Delano told her to continue holding because he expected rates to "keep climbing through 2024." She held the position through August 2023, at which point renewed rate volatility caused another sharp drawdown. By the time she contacted a new advisor and liquidated the position in September 2023, her \$125,000 investment was worth approximately \$98,500, a loss of \$26,500, even though long-dated Treasury yields had broadly risen over the entire holding period.

Mrs. Owens filed a complaint alleging that Delano recommended a product that was completely inconsistent with her

conservative profile and retirement income needs, failed to explain the risks of daily resetting and compounding, and neglected her account by never monitoring or rebalancing the leveraged position over an 18-month holding period.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Delano violated both the suitability requirements under FINRA Rule 2111 and the best interest standard under Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act). Multiple dimensions of these obligations were breached.

****Reasonable-Basis Suitability (FINRA Rule 2111.05(a)):** Delano failed to understand the product he recommended. Leveraged inverse ETFs such as TMV reset daily and are explicitly designed for short-term, typically intraday, trading by sophisticated investors. FINRA Regulatory Notices 09-31 and 22-08 have emphasized that these products are generally unsuitable for retail investors who plan to hold them beyond a single trading session, because daily compounding causes returns to deviate--often dramatically--from the leveraged multiple of the underlying index's cumulative return over longer periods. This phenomenon, known as volatility decay or path dependency, means that even if the underlying index moves in the anticipated direction over time, a leveraged ETF can lose money if the path to that outcome involves interim volatility. Delano's failure to understand or communicate this core product feature is a reasonable-basis suitability violation.

****Customer-Specific Suitability (FINRA Rule 2111.05(b)):** Mrs. Owens was a 67-year-old retiree with conservative risk tolerance, capital preservation objectives, limited investment knowledge, no experience with leveraged instruments, and dependence on her IRA as her primary retirement savings beyond a modest pension. Allocating 30% of her entire retirement portfolio to a triple-leveraged inverse daily-resetting ETF is fundamentally inconsistent with her documented profile. The concentration risk alone--\$125,000 in a single volatile, complex product--was excessive for a conservative retiree.

****Quantitative Suitability:** While this sub-obligation typically applies to excessive trading, the magnitude of the single unsuitable allocation (30% of total liquid net worth) in a product with built-in structural decay constitutes a quantitative concern in the broader suitability analysis.

****Regulation Best Interest (Rule 15l-1):** Under Reg BI's Care Obligation, Delano was required to exercise reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. He failed to do so. Under the Disclosure Obligation, he was required to disclose all material facts about the recommendation, including the daily resetting mechanism and the implications for long-term holding. He did not provide the prospectus or any written explanation. Under Reg BI's overall framework, the recommendation must be in the retail customer's best interest and cannot place the advisor's interest ahead of the customer's.

****Supervision Failures:** Under FINRA Rule 3110 and the heightened supervisory obligations for complex products described in FINRA RN 12-03 and RN 22-08, Delano's firm had an obligation to establish and maintain supervisory systems reasonably designed to ensure that recommendations of complex products like leveraged ETFs are suitable and in customers' best interest. The fact that a 67-year-old conservative retiree held a 3x leveraged inverse Treasury ETF for 18 months without any supervisory review, account monitoring, or intervention suggests a significant supervisory failure by the firm.

****Ongoing Monitoring:** FINRA RN 22-08 specifically addresses concerns about complex products and firms'

obligations to monitor accounts holding such products. Delano's complete absence of monitoring, failure to set exit strategies, and instruction to simply "sit tight" for over a year with a daily-resetting leveraged product compounded the initial suitability violation.

****Likely Regulatory Outcome:**** Delano faces potential sanctions including fines, suspension, and disgorgement. The firm faces potential supervisory liability. Mrs. Owens's \$26,500 loss--occurring despite favorable directional movement in the underlying thesis--powerfully illustrates the volatility decay and path dependency risks that make long-term holding of leveraged ETFs inappropriate for retail investors. In arbitration or regulatory proceedings, this case presents strong facts for customer recovery and advisor discipline.

Item 309 of 350

NON-COMPLIANT

Topic: senior_investor_exploitation

Difficulty: medium

Source: 25_Leveraged_Inverse ETFs

Fact Pattern

MargaretHollowell, age 78, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,400 per month from her pension and \$1,850 per month from Social Security. Her total liquid investment portfolio is approximately \$340,000, held in an IRA rollover account, which represents her entire life savings apart from a modest home valued at \$185,000. Mrs. Hollowell's stated investment objectives on her account opening documents are income generation and capital preservation. Her risk tolerance is listed as conservative. She has no prior experience with options, futures, leveraged products, or any complex financial instruments. She has a high school diploma and worked her entire career as a public school teacher. She suffers from early-stage macular degeneration and relies on her grandson to drive her to appointments.

In March 2023, her financial advisor, Ryan Ketterick, age 34, at a mid-sized broker-dealer in Tucson, recommended that Mrs. Hollowell invest \$95,000 -- roughly 28% of her portfolio -- into the Direxion Daily Semiconductor Bull 3x Shares (SOXL), a triple-leveraged ETF that seeks 300% of the daily performance of the ICE Semiconductor Index. Ketterick told Mrs. Hollowell that semiconductors were 'the future of everything' and that this fund would 'turbocharge her returns so she wouldn't have to worry about outliving her money.' He did not explain that the product resets daily, that leveraged ETFs experience volatility decay, or that the product is generally designed for short-term trading rather than buy-and-hold strategies. No written disclosure specific to leveraged or complex products was provided, and no enhanced supervisory review was conducted by the branch.

Ketterick placed the trade and did not contact Mrs. Hollowell again for over eleven months. During that period, the semiconductor sector experienced significant volatility. The ICE Semiconductor Index ended the eleven-month period down approximately 4% from the date of purchase. However, due to the compounding effects of daily resetting with 3x leverage and the volatile path the index took -- including two drawdowns exceeding 15% followed by partial recoveries -- the SOXL position lost approximately 38% of its value, declining from \$95,000 to roughly \$58,900, a loss of \$36,100. Mrs. Hollowell discovered the loss in February 2024 when her grandson helped her review her annual account statement. She was distraught and contacted the branch manager, who had no record of any supervisory review of the original trade recommendation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, this fact pattern presents multiple serious violations of applicable regulatory standards.

1. ****Suitability -- FINRA Rule 2111****: Under the reasonable-basis, customer-specific, and quantitative suitability components, Ketterick's recommendation fails on all three prongs. A triple-leveraged daily-resetting ETF is entirely inconsistent with Mrs. Hollowell's stated objectives of income generation and capital preservation, her conservative risk tolerance, her age (78), her limited investment experience, and her financial dependence on her \$340,000 portfolio as her sole liquid savings. Customer-specific suitability requires the advisor to have a reasonable basis to believe the

recommendation is suitable for the particular customer based on that customer's investment profile. Recommending a highly speculative, volatile, short-term trading instrument to a 78-year-old conservative retiree with no experience in complex products is a textbook violation.

2. ****Regulation Best Interest (Reg BI) -- Rule 15l-1****: Under the Care Obligation of Reg BI, which applies to broker-dealer recommendations to retail customers, the advisor must exercise reasonable diligence, care, and skill to understand the product, its risks, and potential consequences, and must have a reasonable basis to believe the recommendation is in the customer's best interest without placing the advisor's interest ahead of the customer's. Ketterick clearly failed this standard. The product was unsuitable and the recommendation appears driven by factors other than the customer's best interest. Additionally, under Reg BI's Disclosure Obligation, Ketterick failed to provide Mrs. Hollowell with material information about the product's daily-resetting mechanism, volatility decay, and the risks of long-term holding.

3. ****FINRA Regulatory Notices 09-31 and 22-08****: FINRA RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets, due to the effects of compounding (path dependency and volatility decay). The notice highlighted that these products can produce returns that diverge dramatically from the underlying index over time, exactly as occurred here (index down 4%, SOXL down 38%). FINRA RN 22-08 reinforced heightened obligations regarding complex products, including leveraged ETFs, emphasizing the need for robust supervisory systems, enhanced suitability analysis, and meaningful customer-specific disclosures before recommending such products. Neither the advisor nor the firm fulfilled these obligations.

4. ****Supervision Failures****: The branch manager had no record of any supervisory review of the trade. Given that the product is a complex, triple-leveraged ETF and the customer is a 78-year-old conservative retiree, the firm's supervisory system failed to flag what should have been an obvious red-flag transaction requiring enhanced review. This constitutes a violation of FINRA Rules 3110 (supervision) and the complex products supervision standards articulated in RN 12-03 and RN 22-08.

5. ****Senior Investor Exploitation****: Mrs. Hollowell's age, health condition (macular degeneration limiting her ability to independently monitor her account), dependence on a fixed income, conservative profile, and lack of sophistication make her a particularly vulnerable investor. FINRA has repeatedly emphasized heightened protections for senior investors, and placing a speculative leveraged product in the IRA of a 78-year-old conservative retiree is precisely the type of conduct that draws enhanced regulatory scrutiny and sanctions.

****Likely Regulatory Outcome****: Ketterick faces potential sanctions including fines, disgorgement, suspension, or bar. The firm faces supervisory failure charges. Mrs. Hollowell would likely recover her \$36,100 loss plus interest in an arbitration proceeding or regulatory restitution action. The firm's failure to implement enhanced review procedures for complex product recommendations to senior investors significantly compounds its exposure.

Item 310 of 350

NON-COMPLIANT

Topic: failure_to_know_customer

Difficulty: medium

Source: 25_Leveraged_Inverse ETFs

Fact Pattern

Margaret Kowalski, age 71, is a retired elementary school teacher living in suburban Milwaukee. She receives a monthly pension of \$2,800 and Social Security benefits of \$1,650 per month. Her total liquid savings amount to approximately \$340,000, held in an IRA rollover account that represents essentially all of her retirement assets aside from her pension. She owns her home outright, valued at approximately \$195,000. Margaret has no other sources of income and describes herself as someone who has "always kept money in CDs and savings bonds." She has no prior experience trading stocks, options, or ETFs of any kind.

In March 2023, Margaret's longtime advisor at a regional broker-dealer retired, and her account was reassigned to Kevin Pratt, a registered representative who had been with the firm for four years. Kevin scheduled an introductory phone call with Margaret lasting approximately twelve minutes, during which he asked her how she was doing and confirmed her address and beneficiary designations. He did not conduct a new account review, did not update her investor profile questionnaire, and did not ask about her risk tolerance, investment time horizon, liquidity needs, tax situation, or investment experience. The firm's records still contained an investor profile from 2016 that listed her risk tolerance as "moderate" and her investment objective as "growth and income" -- designations her prior advisor had selected when opening the account, though Margaret later stated she did not recall discussing those terms and believed her money was "in something safe."

Over the next two months, Kevin repositioned approximately \$185,000 of Margaret's IRA -- previously invested in a balanced fund of investment-grade bonds and large-cap equities -- into two leveraged ETF products. He allocated \$110,000 to a 3x leveraged ETF tracking the Nasdaq-100 index and \$75,000 to a 2x leveraged ETF tracking the S&P 500 Energy sector index. Kevin did not explain to Margaret that these products reset daily, that they were designed for short-term trading, or that holding them for extended periods could result in significant losses due to compounding effects and volatility decay, even if the underlying index was relatively flat over time. Margaret was not informed that these products carried expense ratios significantly higher than her prior balanced fund. Kevin's notes in the firm's CRM system for both trades simply read: "Client wants more growth."

Margaret did not check her account statements regularly. When she finally reviewed her year-end statement in January 2024, she discovered that her \$185,000 in leveraged ETF positions had declined to approximately \$121,000 -- a loss of roughly \$64,000, or about 34.6% -- during a period in which the Nasdaq-100 was approximately flat and the S&P Energy sector had declined modestly. Margaret called Kevin, who told her the market "had been choppy" and suggested she "hold on a little longer." By March 2024, the combined value had fallen to \$108,500. Margaret filed a complaint with the firm, stating she never understood what these products were and never would have agreed to put her retirement savings into anything so risky.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Pratt committed multiple serious violations of applicable regulatory standards.

****Failure to Know the Customer (FINRA Rule 2111 -- Reasonable-Basis, Customer-Specific, and Quantitative Suitability):****

Kevin failed to conduct any meaningful updated inquiry into Margaret's financial situation, investment experience, risk tolerance, time horizon, or liquidity needs before making recommendations. FINRA Rule 2111 requires that a representative have a reasonable basis to believe a recommendation is suitable based on the customer's investment profile, which the representative must make reasonable diligence to ascertain. A twelve-minute introductory call that addressed only administrative matters does not satisfy this obligation. Relying on a stale 2016 profile -- which Margaret herself did not recall agreeing to -- is insufficient, particularly when taking on a new client relationship.

****Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act):****

Under Reg BI's Care Obligation, a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill when making recommendations to retail customers. This includes understanding the potential risks, rewards, and costs of a recommendation and having a reasonable basis to believe the recommendation is in the retail customer's best interest. Kevin recommended complex, highly leveraged daily-resetting ETF products to a 71-year-old retiree with no trading experience, no risk appetite for speculative instruments, and total dependence on these retirement assets. This is a clear violation of the Care Obligation. Additionally, Reg BI's Know-Your-Customer component requires reasonable diligence to understand the customer's investment profile before making any recommendation.

****FINRA Regulatory Notices 09-31 and 22-08 -- Leveraged and Inverse ETFs and Complex Products:****

FINRA RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, due to the effects of daily compounding (volatility decay or path dependency). The notice emphasized that these products can produce returns that diverge significantly from the underlying index over time, even in flat or modestly trending markets -- exactly what happened here. FINRA RN 22-08 reinforced and expanded these concerns under a complex products framework, requiring firms and representatives to perform enhanced due diligence on complex products, ensure customers understand the material features and risks, and determine that such products are consistent with the customer's profile.

Kevin made no effort to explain daily resetting, compounding risk, or the short-term nature of these products. He placed over 54% of Margaret's entire retirement savings into 2x and 3x leveraged ETFs and then recommended she continue holding them as losses mounted.

****Firm Supervision Failures:****

The firm may also bear responsibility for failing to flag these trades through supervisory review systems. Concentrated leveraged ETF positions in a 71-year-old retiree's IRA should have triggered heightened supervisory review under FINRA Rules 3110 and 3120, as well as the firm's own written supervisory procedures for complex product transactions.

****Likely Regulatory Outcome:****

Kevin Pratt faces potential sanctions including fines, disgorgement, suspension, or a bar from the industry. Margaret has strong grounds for recovery of her approximately \$76,500 in losses (from \$185,000 to \$108,500) through arbitration or regulatory complaint. The firm faces potential supervisory liability for failure to implement adequate controls around complex product recommendations and failure to detect an unsuitable concentration of leveraged ETFs in a retired, conservative investor's account.

Item 311 of 350

NON-COMPLIANT

Topic: high_fees_unsuitable

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Tilson, age 71, is a retired elementary school teacher living in Omaha, Nebraska. She receives \$2,400 per month from her pension and \$1,850 per month from Social Security. Her total liquid savings amount to approximately \$310,000, held in an IRA rollover account and a small taxable brokerage account. She has no other significant assets beyond her home, which is fully paid off. Her stated investment objectives on her new account form are income generation and capital preservation, and her risk tolerance is marked as conservative. She has no prior experience trading options, futures, or leveraged products, and her investment history consists entirely of certificates of deposit and a target-date retirement fund held through her former employer's 403(b) plan.

In February 2023, Margaret's financial advisor, Kevin Dahl, age 38, recommended that she allocate \$95,000 of her IRA rollover -- roughly 31% of her total liquid net worth -- into a 3x leveraged daily-resetting ETF tracking the Nasdaq-100 index. Kevin told Margaret that the fund would 'triple her gains from the tech rally' and described it as 'like owning the Nasdaq but better.' He did not explain the daily reset mechanism, the compounding effects of holding the product beyond one trading session, or the fact that the fund carried an annual expense ratio of 0.95% -- significantly higher than a standard index ETF tracking the same benchmark, which typically charges between 0.03% and 0.20%. He also did not discuss the impact of the embedded financing costs inherent in leveraged ETF structures, which effectively add an additional drag of approximately 0.50% to 1.00% annually beyond the stated expense ratio.

Kevin executed the purchase on February 14, 2023, and did not set any stop-loss parameters, rebalancing triggers, or a defined holding period. He did not contact Margaret again regarding the position until she called him on October 30, 2023, after receiving her third-quarter account statement. By that time, the Nasdaq-100 index itself had gained roughly 10% from her purchase date, but Margaret's leveraged ETF position had gained only 18% rather than the 30% she expected -- a shortfall she did not understand. More critically, the position had experienced a drawdown of over 22% during a volatile stretch in August and September before partially recovering.

When Margaret expressed confusion and concern, Kevin told her to 'just hang on, it'll catch up,' and recommended she continue holding. He did not offer to rebalance, reduce the position size, or move her into a lower-cost, non-leveraged alternative. Margaret's account was charged approximately \$900 in explicit fund expenses over the holding period, on top of the hidden financing drag. No documentation exists showing that Kevin performed any product-specific due diligence, discussed the total cost of ownership with Margaret, or assessed whether a daily-resetting leveraged product was appropriate for a long-term, conservative, income-focused retiree.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Dahl violated multiple applicable standards governing the recommendation of complex, high-cost products to retail investors.

****Suitability Under FINRA Rule 2111:****

FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on that customer's investment profile. This rule encompasses three obligations: (1) reasonable-basis suitability (the advisor must understand the product), (2) customer-specific suitability (the recommendation must fit the specific customer), and (3) quantitative suitability (the advisor must not engage in excessive activity).

Here, Kevin failed on both reasonable-basis and customer-specific grounds. Margaret is a 71-year-old retired teacher with conservative risk tolerance, income-oriented objectives, modest liquid savings, and zero experience with leveraged products. A 3x leveraged daily-resetting ETF is designed for sophisticated, short-term traders who actively monitor positions and understand path dependency and volatility decay. Allocating 31% of a conservative retiree's IRA to such a product is facially unsuitable.

****Regulation Best Interest (Reg BI) -- Rule 15l-1:****

Under Reg BI's Care Obligation, a broker must exercise reasonable diligence, care, and skill in making a recommendation, must understand the potential risks, rewards, and costs of the recommendation, and must have a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made. The Cost component of the Care Obligation specifically requires consideration of reasonably available alternatives. Kevin recommended a fund with a 0.95% expense ratio plus hidden financing costs when standard Nasdaq-100 index ETFs were available at a fraction of the cost. He made no comparative cost analysis, did not disclose total cost of ownership, and failed to consider lower-cost alternatives -- a clear violation of the Care Obligation.

Reg BI's Disclosure Obligation also required Kevin to disclose all material facts about the recommendation, including the daily-reset mechanism, the impact of volatility decay on long-term returns, and the full cost structure. He did none of this.

****FINRA Regulatory Notice 09-31:****

This notice specifically warned firms and registered representatives that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. It highlighted the effects of daily compounding, which can cause returns to deviate significantly from the expected multiple of the underlying index's return over longer periods -- precisely the shortfall Margaret experienced. Kevin's recommendation to buy and hold a 3x leveraged ETF in a retirement account with no exit strategy or monitoring plan directly contravenes this guidance.

****FINRA Regulatory Notice 22-08:****

RN 22-08 imposed heightened obligations on firms regarding complex products, including leveraged and inverse ETFs. It emphasized the need for firms to establish robust supervisory frameworks, ensure that associated persons understand the products they recommend, and implement measures to assess whether customers can understand the risks. There is no evidence Kevin performed any product-level due diligence, and his firm apparently had no supervisory mechanism that flagged this transaction for review.

****FINRA Regulatory Notice 12-03:****

RN 12-03 reinforced suitability obligations with respect to complex products, stating that the more complex and risky the product, the more inquiry is needed into the customer's sophistication, financial situation, and ability to absorb losses. Kevin made no such inquiry and failed to document any heightened suitability analysis.

****Likely Regulatory Outcome:****

Kevin Dahl faces probable sanctions including fines, disgorgement of commissions earned on the transaction, potential suspension, and mandatory restitution to Margaret. His firm may also face supervisory deficiency charges for failing to flag a 3x leveraged ETF purchase in a conservative retiree's IRA. Margaret would likely prevail in a customer arbitration

claim seeking recovery of her excess costs and any losses attributable to the unsuitable recommendation.

Item 312 of 350**NON-COMPLIANT**

Topic: complex_products_unsophisticated_investor

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Dawson, age 71, is a retired elementary school teacher living in Tulsa, Oklahoma. She receives a monthly pension of \$3,200 and Social Security benefits of \$1,850 per month, giving her a total annual income of approximately \$60,600. Her investment portfolio, which constitutes her entire liquid savings, totals \$185,000 and is held in a rollover IRA. Margaret has no prior experience trading options, futures, or leveraged products. Her investment knowledge is limited to owning a few blue-chip stocks and a balanced mutual fund that her previous advisor selected for her over a decade ago. On her new account form completed in January 2023, her stated investment objective was 'income with capital preservation,' her risk tolerance was marked as 'conservative,' and her time horizon was listed as '10+ years' since she intended the IRA to supplement her pension throughout retirement.

In March 2023, her new financial advisor, Kevin Stahl, age 34, recommended that Margaret invest \$55,000 -- roughly 30% of her IRA -- into ProShares UltraPro QQQ (TQQQ), a 3x daily leveraged ETF that seeks to deliver three times the daily return of the Nasdaq-100 Index. Kevin told Margaret that with the technology sector poised for a rebound, this fund would 'supercharge her returns' and help her portfolio grow faster so she could leave more to her grandchildren. He described the product as 'basically a Nasdaq index fund, just with a little extra kick.' He did not explain the daily resetting mechanism, the concept of volatility decay, or the fact that the product is designed for short-term trading and can lose substantial value even if the underlying index is flat or modestly positive over time. No written materials or prospectus excerpts regarding leveraged ETFs were provided to Margaret.

Kevin did not consult with his branch manager or any supervisory principal before placing the trade. His firm, Ridgecrest Financial Partners, had an internal policy requiring heightened supervisory review and a signed risk disclosure acknowledgment for any client investing more than 10% of their account in leveraged or inverse ETFs. Kevin bypassed this process entirely.

Over the following ten months, the Nasdaq-100 experienced significant volatility, declining 8% from March to June 2023, recovering partially, then declining again. By January 2024, the Nasdaq-100 was approximately 2% below its level when Kevin made the purchase. However, due to the compounding effects of the daily leveraged reset and the path dependency of returns during the volatile period, Margaret's TQQQ position had declined from \$55,000 to approximately \$34,100 -- a loss of nearly \$20,900, or 38%. Margaret's overall IRA had dropped to approximately \$164,100. When Margaret called Kevin in January 2024 expressing alarm at her statement, Kevin told her to 'just hang on' and that 'it will come back.' He did not recommend liquidating the position or reassessing the allocation. Margaret filed a complaint with the firm in February 2024 after her granddaughter, a finance graduate student, explained to her how the leveraged ETF actually worked.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Stahl violated applicable suitability and best interest standards on multiple grounds.

1. **FINRA Rule 2111 (Suitability):** Under Rule 2111, a financial advisor must have a reasonable basis to believe that a recommended transaction is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and experience. Margaret's profile -- a 71-year-old retiree with conservative risk tolerance, income/capital preservation objectives, limited investment knowledge, and a 100% reliance on her IRA as liquid savings -- is fundamentally incompatible with a 3x daily leveraged ETF. TQQQ is designed for sophisticated, active traders seeking short-term tactical exposure. Kevin failed all three components of the suitability obligation: (a) reasonable-basis suitability, because he apparently did not understand the product's daily-reset mechanism and path dependency himself (calling it 'basically a Nasdaq index fund with a little extra kick'); (b) customer-specific suitability, because the product was wholly inappropriate for Margaret's conservative profile; and (c) quantitative suitability, given that 30% of her retirement account was concentrated in a single speculative leveraged instrument.

2. **Regulation Best Interest (Rule 15l-1):** Under Reg BI's Care Obligation, Kevin was required to exercise reasonable diligence, care, and skill in making the recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. He was further required to have no reasonable alternative available that would better serve Margaret's stated objectives. A 3x leveraged ETF in a conservative retiree's IRA fails this standard categorically. The Disclosure Obligation was also violated: Kevin affirmatively mischaracterized the product, failing to disclose its daily reset feature, volatility decay risk, and unsuitability for long-term holding. This is not merely an omission -- his description was materially misleading.

3. **FINRA Regulatory Notices 09-31, 12-03, and 22-08:** FINRA RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. It highlighted that these products can produce returns that deviate significantly from the underlying index over longer periods due to the mathematical effects of daily compounding, especially in volatile markets. RN 22-08 reinforced heightened obligations around complex products, emphasizing that firms and advisors must understand the products they recommend and must ensure that any recommendation of a complex product is in the customer's best interest given the totality of the customer's profile. Kevin's recommendation contravened the explicit guidance in all three notices.

4. **Failure of Firm Supervision:** Ridgecrest Financial Partners had an internal policy requiring heightened supervisory review and a signed risk disclosure for leveraged ETF allocations exceeding 10% of an account. Kevin bypassed this entirely, and the firm's supervisory systems apparently failed to flag the trade. This represents a supervisory failure under FINRA Rule 3110, which requires firms to establish and maintain a system to supervise the activities of each associated person that is reasonably designed to achieve compliance.

5. **Failure to Mitigate Ongoing Harm:** Even after Margaret contacted Kevin in January 2024, he advised her to 'just hang on,' compounding the initial suitability violation by continuing to recommend holding a product that was causing ongoing harm and remained unsuitable for her profile. This constitutes a continuing violation.

Likely Regulatory Outcome: Kevin Stahl faces potential sanctions including fines, disgorgement of commissions, suspension, or a bar from the industry. Ridgecrest Financial Partners faces supervisory failure charges. Margaret would likely prevail in a FINRA arbitration claim seeking recovery of her approximately \$20,900 in losses, plus potential consequential damages and interest. The firm's failure to enforce its own internal policies significantly strengthens the customer's case.

Item 313 of 350

NON-COMPLIANT

Topic: complex_products_unsophisticated_investor

Difficulty: medium

Source: 25_Leveraged_Inverse ETFs

Fact Pattern

Margaret Kowalski, age 67, is a retired elementary school teacher living in suburban Pittsburgh, Pennsylvania. She receives a monthly pension of \$3,200 and Social Security benefits of \$1,850, for a combined annual income of approximately \$60,600. Her total investable assets consist of a \$410,000 rollover IRA, which represents the entirety of her retirement savings. She has no other significant assets aside from her home, which is mortgage-free. Margaret has no prior experience with options, futures, margin accounts, or leveraged products. Her prior investment experience is limited to a target-date mutual fund offered through her employer's 403(b) plan, which she held for 22 years. On her new account form completed in March 2022, her stated investment objective was 'income and capital preservation,' her risk tolerance was marked as 'low,' her time horizon was listed as '5-10 years,' and her liquidity needs were noted as 'moderate -- may need funds for healthcare expenses.' Her financial advisor, Derek Simmons, had been registered for four years and worked at a mid-size broker-dealer. During their initial meeting, Margaret explained that she wanted her retirement savings to last through her lifetime, that she was concerned about inflation eroding her purchasing power, and that she could not afford to lose significant principal. In April 2022, Simmons recommended that Margaret allocate \$120,000 of her IRA -- roughly 29% of her total portfolio -- into three leveraged and inverse exchange-traded funds: \$45,000 into the ProShares UltraPro QQQ (TQQQ), a 3x daily leveraged ETF tracking the Nasdaq-100; \$40,000 into the Direxion Daily Semiconductor Bull 3X Shares (SOXL); and \$35,000 into the ProShares UltraShort S&P 500 (SDS), a 2x daily inverse ETF on the S&P 500. Simmons told Margaret that TQQQ and SOXL would 'turbocharge her growth to fight inflation' and that SDS would serve as a 'hedge against a market downturn.' He did not explain the daily reset mechanism of these products, the concept of volatility decay, or the fact that the products' compounding effects mean that returns over periods longer than one day can differ significantly -- and often negatively -- from the stated leverage multiple applied to the index's cumulative return. He did not provide Margaret with any written materials, product prospectuses, or investor bulletins about leveraged or inverse ETFs. There is no record that he discussed the specific risks of holding these products beyond a single trading session or that he set any stop-loss levels, monitoring schedule, or rebalancing plan. The firm's internal product catalog flagged all three ETFs as 'complex/high-risk -- suitable only for sophisticated, active traders with short-term horizons,' but Simmons did not seek or obtain any supervisory pre-approval before executing the trades. The firm's supervisory system generated an automated alert when the trades were placed due to the customer's age and risk profile, but the branch manager, Carol Denning, acknowledged the alert and approved the trades after a brief phone conversation with Simmons, during which Simmons characterized the allocation as a 'small tactical position.' Denning did not contact Margaret or review her account documentation before clearing the alert. Margaret did not log into her account or contact Simmons for the next nine months. By January 2023, TQQQ had declined from her \$45,000 cost basis to approximately \$21,600, a loss of 52%. SOXL had fallen from \$40,000 to roughly \$16,800, a loss of 58%. SDS, despite some periods of market decline, had also lost value due to volatility decay and compounding effects during periods of market recovery, declining from \$35,000 to approximately \$26,500, a loss of 24.3%. In total, Margaret's \$120,000 allocation was worth approximately \$64,900, reflecting a loss of roughly \$55,100, or 45.9% of her original investment. When Margaret received her year-end statement and called Simmons in a panic, he suggested she 'hold on and wait for a recovery.' She subsequently filed a complaint with the firm.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Simmons violated both the suitability requirements under FINRA Rule 2111 and the best interest standard under Regulation Best Interest (Reg BI), Rule 15l-1 under the Securities Exchange Act of 1934. The analysis proceeds on multiple grounds:

1. Customer-Specific Suitability (FINRA Rule 2111.05):

Margaret Kowalski's profile -- a 67-year-old retiree with low risk tolerance, income and capital preservation objectives, moderate liquidity needs, no experience with complex products, and total dependence on her IRA for retirement income -- is fundamentally incompatible with leveraged and inverse ETFs. FINRA Regulatory Notice 09-31 explicitly warns that leveraged and inverse ETFs 'are typically not suitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' FINRA Regulatory Notice 12-03 reinforces that complex products require heightened suitability analysis, including a reasonable basis to believe the customer can understand and bear the risks. Allocating 29% of a retired teacher's sole retirement account to 3x leveraged and 2x inverse daily-resetting ETFs is plainly unsuitable given her stated objectives, risk tolerance, financial situation, and investment experience.

2. Reasonable-Basis Suitability:

Simmons failed to demonstrate that he understood the products he was recommending. His characterization of SDS as a 'hedge' is misleading -- inverse ETFs with daily resets are not effective long-term hedging instruments due to path dependency and volatility decay, as extensively described in FINRA RN 09-31. A competent advisor would know that holding these products for months without active management virtually guarantees tracking error that compounds losses, especially in volatile markets. Simmons appears to have lacked reasonable-basis suitability for recommending these products to any investor in a buy-and-hold context.

**3. Reg BI -- Care Obligation (Rule 15l-1(a)(2)(ii)(B)):

Under Reg BI's Care Obligation, the broker-dealer and associated person must exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made. Simmons's recommendation fails this standard. The products' high expense ratios relative to traditional index funds, the daily compounding risk, the extreme volatility, and Margaret's complete lack of sophistication all demonstrate that no reasonable broker could conclude this recommendation was in Margaret's best interest. The recommendation also fails the quantitative component -- a 29% allocation to leveraged/inverse ETFs in a retirement account with a preservation mandate is excessive.

**4. Reg BI -- Disclosure Obligation (Rule 15l-1(a)(2)(ii)(A)):

Simmons failed to disclose material facts about the daily reset mechanism, volatility decay, path dependency, and the fact that these products are designed for short-term tactical trading, not buy-and-hold strategies. He provided no prospectuses, no risk disclosures, and no written materials. This is a clear violation of the Disclosure Obligation.

5. Supervisory Failures (FINRA Rule 3110; FINRA RN 22-08):

The firm's supervision was deficient. FINRA RN 22-08 emphasizes that firms must establish and maintain a supervisory system, including written supervisory procedures, reasonably designed to achieve compliance with complex products rules. The firm's own internal product catalog flagged these ETFs as suitable only for sophisticated active traders with short-term horizons. Despite an automated alert being triggered -- specifically because of the mismatch between Margaret's age, risk profile, and the product flags -- branch manager Carol Denning cleared the alert after only a brief phone call with Simmons and without contacting the customer, reviewing account documentation, or verifying the suitability basis. This represents a failure of the supervisory system and a violation of the firm's own internal policies.

6. Holding Period / Failure to Monitor:

Simmons made no effort to monitor the positions, establish any rebalancing triggers, or contact Margaret for nine months. Given that these products are designed for daily or very short-term holding periods, the absence of any

monitoring plan is itself a suitability violation. When Margaret finally reached out, Simmons's advice to 'hold on and wait for a recovery' further demonstrates a fundamental misunderstanding of how daily-resetting leveraged and inverse products behave -- they do not recover in the same manner as the underlying index due to compounding effects.

****Likely Regulatory Outcome:****

Simmons would likely face enforcement action for suitability violations (FINRA Rule 2111) and Reg BI violations (Rule 15l-1). Potential sanctions include fines, disgorgement, suspension, or a bar. The firm and the branch manager face supervisory failure charges under FINRA Rule 3110. Margaret would have strong grounds for a customer arbitration claim seeking recovery of her approximately \$55,100 in losses, plus interest, and potentially attorneys' fees. Given the clear mismatch between the customer profile and the products, the lack of disclosure, and the supervisory breakdowns, this case presents a textbook example of the regulatory concerns articulated in FINRA Regulatory Notices 09-31, 12-03, and 22-08 regarding leveraged and inverse ETF suitability for retail investors.

Item 314 of 350**NON-COMPLIANT**

Topic: complex_products_unsophisticated_investor

Difficulty: medium

Source: 25_Leveraged_Inverse ETFs

Fact Pattern

Margaret Sweeney, age 71, is a retired elementary school teacher living in suburban Columbus, Ohio. She receives a monthly pension of \$3,400 and Social Security payments of \$1,850. Her total liquid savings amount to approximately \$285,000, held primarily in a traditional IRA that she has been drawing down for required minimum distributions. She has no prior experience trading options, futures, or any leveraged financial products. Her account application, completed in March 2023, listed her investment objective as 'income and capital preservation,' her risk tolerance as 'conservative,' her time horizon as '5-10 years,' and her annual income as \$62,000. She has a high school diploma and described her investment knowledge as 'limited' during her onboarding meeting.

Her financial advisor, Craig Denham, had been her advisor for two years handling a straightforward portfolio of Treasury bonds, a broad market index fund, and a high-yield savings account. In August 2023, Denham called Sweeney and recommended she reallocate \$95,000--roughly one-third of her liquid retirement savings--into a 3x leveraged daily-resetting ETF that tracks the Nasdaq-100 index (ticker: TQQQ). Denham told Sweeney that the fund would 'triple the gains of tech stocks' and that 'the tech sector always comes back strong,' characterizing it as a way to 'supercharge her retirement nest egg.' He did not explain the daily resetting mechanism, the concept of volatility decay, or the mathematical certainty that such products diverge significantly from the cumulative return of the underlying index over periods longer than one trading day. He did not provide the fund's prospectus or any supplemental materials describing the risks of leveraged products.

Sweeney agreed to the purchase, and Denham executed the trade on August 14, 2023, buying 410 shares of TQQQ at approximately \$231.70 per share for a total investment of roughly \$95,000. Denham did not set any stop-loss order or establish a monitoring schedule. Over the following months, the Nasdaq-100 experienced a period of elevated volatility without a clear directional trend. By February 2024, TQQQ had declined to approximately \$164 per share despite the Nasdaq-100 being only modestly lower. Sweeney's position was now worth roughly \$67,240--a loss of approximately \$27,760 or 29.2%. The underlying Nasdaq-100 index had declined only about 7% during the same period, illustrating the compounding effect of daily leverage resets during choppy markets.

Sweeney called Denham multiple times between November 2023 and February 2024 expressing alarm at the losses. Denham advised her each time to 'hold on and be patient' because 'it will come roaring back.' He never discussed the path-dependency risk that made a full recovery increasingly unlikely without a sustained, low-volatility rally. By June 2024, after continued volatility, Sweeney's position had eroded further to approximately \$58,500--a total loss of \$36,500 or 38.4% of her original investment--even though the Nasdaq-100 was only about 4% below its August 2023 level.

Sweeney eventually liquidated her position on June 20, 2024, realizing the \$36,500 loss. She filed a written complaint with Denham's broker-dealer in July 2024, stating she was never told the product was designed for short-term traders and that she would not have purchased it had she understood how it worked. An internal review revealed that Denham had recommended TQQQ to four other retired clients with conservative profiles during the same period, and that the firm had no written supervisory procedures specifically addressing the sale of leveraged or inverse exchange-traded products to retail customers.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Denham violated multiple regulatory standards governing the recommendation of complex products to retail investors.

****Applicable Regulatory Framework:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. Rule 2111 encompasses three suitability obligations: (a) reasonable-basis suitability (the advisor must understand the product), (b) customer-specific suitability (the recommendation must fit the particular customer), and (c) quantitative suitability (the frequency of trading must not be excessive).

2. ****Regulation Best Interest (Reg BI), Rule 15l-1:**** For broker-dealer recommendations to retail customers after June 30, 2020, Reg BI imposes a best interest standard with four component obligations: Disclosure, Care, Conflict of Interest, and Compliance. The Care Obligation requires that the advisor exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile, and that the advisor have a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made.

3. ****FINRA Regulatory Notice 09-31:**** This notice specifically warned member firms that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. The notice highlighted that these products can produce returns that differ dramatically from the underlying index over longer holding periods due to daily compounding and volatility decay. It stressed that firms must train registered representatives on the features of these products and conduct heightened supervision.

4. ****FINRA Regulatory Notice 22-08:**** This more recent notice reinforced concerns about complex products and proposed measures requiring enhanced account-level approval processes before retail investors could purchase complex products such as leveraged and inverse ETFs. It emphasized the importance of ensuring customers understand the risks and that such products align with their investment objectives.

****Analysis of Violations:****

****Customer-Specific Suitability / Care Obligation Violation:**** Margaret Sweeney's profile is that of a 71-year-old retiree with conservative risk tolerance, limited investment knowledge, an income-and-capital-preservation objective, and dependence on her retirement savings for living expenses. A 3x daily-leveraged Nasdaq-100 ETF is an extremely aggressive, speculative instrument designed for sophisticated, short-term tactical traders. The recommendation to allocate one-third of her liquid retirement savings to TQQQ was grossly inconsistent with every element of her investment profile. Under both Rule 2111 and Reg BI's Care Obligation, this recommendation cannot be justified.

****Reasonable-Basis Suitability Violation:**** Denham's characterization of TQQQ as a way to 'supercharge her retirement nest egg' and his advice to hold through volatility suggest he either did not understand the daily-resetting mechanism and path-dependency risk of leveraged ETFs, or he understood these features and deliberately misrepresented them. Either way, he lacked a reasonable basis for the recommendation. FINRA RN 09-31 explicitly notes that associated persons must understand how leveraged ETFs perform over periods beyond a single day before recommending them.

****Disclosure Obligation Violation:**** Under Reg BI's Disclosure Obligation, Denham was required to disclose material

facts about the recommendation, including risks. He failed to provide the fund prospectus, failed to explain the daily reset mechanism, failed to explain volatility decay, and affirmatively mischaracterized the product as a straightforward way to capture amplified tech-sector returns over time. This constitutes a clear disclosure failure.

****Ongoing Duty and Holding Recommendation:**** Denham's repeated advice to 'hold on and be patient' constitutes an implicit hold recommendation, which is itself subject to suitability analysis under Rule 2111.03. Given the path-dependency dynamics that were causing accelerating losses even as the underlying index was nearly flat, advising Sweeney to continue holding compounded the harm and constituted a further suitability violation.

****Supervisory Failures:**** The firm's lack of written supervisory procedures specifically addressing leveraged and inverse ETF sales to retail customers is a violation of FINRA Rule 3110 (Supervision). FINRA RN 09-31 and RN 22-08 both emphasize that firms must implement targeted supervisory procedures for complex products, including pre-approval mechanisms, heightened review of recommendations to unsophisticated or elderly investors, and training for registered representatives.

****Pattern of Misconduct:**** The fact that Denham recommended the same product to four other retired conservative-profile clients during the same period suggests a systematic disregard for customer-specific suitability rather than an isolated lapse.

****Likely Regulatory Outcome:**** Denham would likely face an enforcement action resulting in a fine, disgorgement of commissions, restitution to Sweeney and the other affected clients, and a potential suspension or bar. The broker-dealer would likely face supervisory failure charges and be required to implement enhanced procedures for complex product sales consistent with FINRA RN 22-08 guidance. Sweeney would have a strong arbitration claim for her \$36,500 in losses plus consequential damages.

Item 315 of 350

NON-COMPLIANT

Topic: complex_products_unsophisticated_investor

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Donovan, age 71, is a retired elementary school teacher living in suburban Columbus, Ohio. She receives a monthly pension of \$3,200 and Social Security income of \$1,850 per month. Her total liquid savings amount to approximately \$285,000, held in an IRA rollover account at a regional broker-dealer. She has no other significant assets aside from her home, which is paid off and valued at roughly \$210,000. Margaret's prior investment experience is limited to a target-date retirement fund she held through her employer's 403(b) plan. On her new account forms, she indicated a conservative risk tolerance, an investment objective of capital preservation and income, and a time horizon of five to ten years. She told her advisor, Kevin Pratt, that she wanted to make sure her savings lasted through retirement and that she could not afford to lose a significant portion of her principal.

In March 2023, Kevin recommended that Margaret invest \$95,000 -- roughly one-third of her total liquid savings -- into ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index. Kevin told Margaret that the fund would give her 'triple the returns of the tech sector' and that it was a strong choice because 'technology always comes back.' He described the product as similar to a regular index fund but 'more aggressive.' He did not explain the daily resetting mechanism, the concept of volatility decay, or the fact that holding the product over periods longer than one day could produce returns that deviate substantially -- and potentially catastrophically -- from three times the index's cumulative return over the same period. He did not provide the fund's prospectus or any supplemental materials describing the risks unique to leveraged ETFs. No written suitability analysis or rationale memo was prepared by Kevin or reviewed by his branch manager. The firm's compliance department had a written supervisory procedure requiring heightened review for leveraged and inverse ETF transactions above \$25,000, but the branch office supervisor, Diane Fulton, approved the trade without conducting the required review or speaking to Margaret.

Margaret held the TQQQ position for fourteen months. During that period, the Nasdaq-100 experienced several volatile swings: a 12% drawdown in the summer of 2023, a recovery in the fall, another sharp 9% decline in early 2024, and a partial rebound. By May 2024, the Nasdaq-100 was approximately 3% above its level at the time of Margaret's purchase. However, due to the compounding effects of daily rebalancing and volatility drag, her TQQQ position was worth approximately \$71,400 -- a loss of roughly \$23,600, or about 24.8% of her invested principal -- even though the underlying index was slightly positive over the same period. Margaret contacted the firm in distress after reviewing her May 2024 statement, stating she did not understand how she could have lost money when she had been told technology stocks were up. Kevin advised her to 'hold on a little longer' and did not suggest liquidating the position or rebalancing into a more appropriate investment.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Pratt violated multiple regulatory standards governing the recommendation of complex products to retail investors.

****Suitability Under FINRA Rule 2111:****

FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile. This rule encompasses three obligations: (1) reasonable-basis suitability (the advisor must understand the product), (2) customer-specific suitability (the recommendation must be appropriate for the particular customer), and (3) quantitative suitability (the advisor must not engage in excessive activity). Here, Kevin failed on at least the first two prongs.

Regarding reasonable-basis suitability, Kevin's description of TQQQ as similar to a 'regular index fund but more aggressive' demonstrates a fundamental misunderstanding -- or deliberate mischaracterization -- of the product. TQQQ is a 3x daily-leveraged ETF that resets its exposure each day. As emphasized in FINRA Regulatory Notices 09-31 and 12-03, leveraged and inverse ETFs that reset daily are designed to achieve their stated objectives on a daily basis only. Over longer periods, especially in volatile markets, the effects of daily compounding (commonly called 'volatility decay' or 'path dependency') can cause returns to deviate dramatically from the leveraged multiple of the underlying index's cumulative return. An advisor recommending such a product must understand these mechanics.

Regarding customer-specific suitability, Margaret is a 71-year-old retiree with limited investment experience, conservative risk tolerance, capital preservation and income objectives, and a moderate time horizon. She explicitly stated she could not afford to lose significant principal. Allocating one-third of her liquid retirement savings to a 3x leveraged ETF is fundamentally incompatible with her stated profile. FINRA RN 09-31 specifically warned that leveraged ETFs are 'typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' Margaret held the position for fourteen months.

****Regulation Best Interest (Reg BI) -- SEC Rule 15l-1:****

Under Reg BI's Care Obligation (Rule 15l-1(a)(2)(ii)(B)), a broker-dealer must exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. Kevin failed to exercise such care. The product's risk profile was wholly mismatched to the customer's needs. Additionally, under the Disclosure Obligation, Kevin was required to disclose all material facts relating to the recommendation, including the risks of daily resetting, volatility decay, and the potential for significant loss even in flat or modestly positive markets. He did none of this. Under the Compliance Obligation, the firm was required to establish and enforce written policies reasonably designed to achieve compliance with Reg BI. The firm had a heightened review procedure for leveraged ETF transactions above \$25,000, but branch supervisor Diane Fulton approved the \$95,000 trade without conducting the required review or contacting the customer.

****FINRA Regulatory Notice 22-08 (Complex Products):****

FINRA RN 22-08 reinforced expectations that firms maintain robust supervisory frameworks for complex products, including leveraged and inverse ETFs. It emphasized the need for account approval processes, concentration limits, and heightened due diligence for customers with limited experience or conservative profiles. The firm's failure to enforce its own written supervisory procedures constitutes a supervisory failure under FINRA Rules 3110 and 3120.

****Likely Regulatory Outcome:****

Kevin Pratt would likely face disciplinary action for unsuitable recommendations and failure to disclose material risks. The firm would face supervisory failure charges. Potential sanctions include fines, disgorgement of commissions, restitution to the customer (approximately \$23,600 in losses plus any additional losses if the position was not subsequently liquidated), suspension or bar for the representative, and censure of the firm. Margaret would have strong grounds for a customer arbitration claim. The fact that Kevin advised Margaret to continue holding the position after she expressed distress, rather than recommending a liquidation and reallocation to suitable investments, compounds the violation.

Item 316 of 350

NON-COMPLIANT

Topic: high_fees_unsuitable

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Hollis, age 68, is a retired elementary school teacher in Tucson, Arizona, living on a fixed income of approximately \$42,000 per year from her pension and Social Security. She has \$310,000 in a rollover IRA, which represents the entirety of her liquid retirement savings. Her account application lists her risk tolerance as 'moderate,' her investment objective as 'income with capital preservation,' her investment experience as 'limited' (she had previously held only a target-date retirement fund and a municipal bond fund), and her time horizon as 10+ years since she plans to leave a portion of the account to her grandchildren.

In March 2023, her financial advisor, Dale Pritchard, recommended she allocate \$93,000 -- roughly 30% of her IRA -- into a 3x leveraged bull semiconductor ETF (ticker symbol: SOXL) and \$62,000 -- roughly 20% of her IRA -- into a 2x leveraged S&P 500 ETF (ticker symbol: SSO). Pritchard told Mrs. Hollis that semiconductors were 'the future of everything' and that these funds would 'turbocharge her returns so she could leave more to the grandkids.' He did not discuss the daily resetting mechanism of leveraged ETFs, the impact of volatility decay on long-term returns, or the substantially higher expense ratios of these products compared to traditional index funds. SOXL carried an expense ratio of 0.94% and SSO carried an expense ratio of 0.91%, compared to the approximately 0.03% expense ratio on the broad market index ETF she had previously held.

Pritchard did not document any analysis of whether the leveraged ETFs were appropriate for Mrs. Hollis's profile, nor did he present alternative products. He also did not discuss the compounding risk that, in volatile markets, these products could significantly underperform or lose value even if the underlying index was flat or slightly positive over a multi-month period.

Mrs. Hollis held both positions for 14 months. During that period, the semiconductor sector experienced significant volatility -- the underlying index rose roughly 8% on a cumulative basis, but SOXL declined approximately 11% due to path dependency and volatility drag inherent in the daily 3x reset. SSO performed somewhat better but still lagged a simple unleveraged position. In total, Mrs. Hollis's \$155,000 invested in leveraged ETFs was worth approximately \$127,400 by May 2024, a loss of \$27,600. Meanwhile, she paid roughly \$1,380 in excess expense ratio costs compared to what she would have paid in a standard index fund. Mrs. Hollis filed a complaint in June 2024 after her grandson, a finance graduate student, reviewed her account statements and explained the nature of the products she held.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dale Pritchard likely violated multiple regulatory standards governing suitability and the obligation to act in the customer's best interest.

****Applicable Standards:****

1. **FINRA Rule 2111 (Suitability):** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and experience. There are three components: (a) reasonable-basis suitability (understanding the product), (b) customer-specific suitability (matching the product to the customer), and (c) quantitative suitability (ensuring the volume/frequency of transactions is not excessive).
2. **Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934):** For recommendations made to retail customers, the advisor must act in the customer's best interest at the time of the recommendation without placing the advisor's financial interest ahead of the customer's. This includes the Care Obligation, requiring reasonable diligence, care, and skill in making recommendations, and considering reasonably available alternatives.
3. **FINRA Regulatory Notice 09-31:** This notice specifically warns that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. It emphasizes that in volatile markets, these products can produce returns that deviate significantly -- and negatively -- from the expected multiple of the underlying index over time due to the mathematical effects of daily compounding (volatility decay/path dependency).
4. **FINRA Regulatory Notice 22-08:** This notice addresses sales practice obligations for complex products, including leveraged ETFs, and emphasizes the need for enhanced supervision, meaningful investor education, and an assessment of whether the customer has the financial sophistication and risk capacity to understand and bear the risks of such products.

Analysis of Violations:

- **Customer-Specific Suitability Failure:** Mrs. Hollis was a 68-year-old retiree with limited investment experience, a moderate risk tolerance, an income/capital preservation objective, and total liquid savings of \$310,000. Allocating 50% of her IRA to leveraged ETFs -- products designed for short-term tactical trading by sophisticated investors -- is fundamentally misaligned with her profile. The concentration (30% in a single 3x leveraged sector fund) magnifies this concern.
- **Reasonable-Basis Suitability Failure:** Pritchard apparently failed to understand or convey the mechanics of daily-resetting leveraged ETFs, including volatility decay and path dependency. His characterization of the products as a way to 'turbocharge returns' suggests he either did not understand the products or deliberately mischaracterized them.
- **Reg BI Care Obligation Failure:** Pritchard did not consider reasonably available alternatives (such as unleveraged semiconductor or broad market index funds), did not document any analysis, and did not weigh the substantially higher costs and risks against the customer's stated objectives.
- **Disclosure and Cost Failures:** The expense ratios of the leveraged ETFs (0.91%-0.94%) were roughly 30 times higher than comparable unleveraged products. Pritchard did not disclose or discuss these cost differentials, nor did he explain the implicit cost of volatility drag, which in this case resulted in a loss even when the underlying index gained.
- **Long-Term Holding:** The 14-month holding period is precisely the scenario warned against in regulatory guidance. Daily-resetting leveraged products are designed for intraday or very short-term use. Holding them for over a year in a retirement account is a textbook example of misuse.

Likely Regulatory Outcome:

Pritchard would likely face enforcement action for unsuitable recommendations and failure to act in the customer's best interest. Potential sanctions include disgorgement of commissions, restitution of customer losses (\$27,600 plus excess fees), fines, a suspension, and enhanced supervisory requirements. The firm could also face liability for failure to supervise under FINRA Rule 3110, particularly if it lacked specific procedures for reviewing leveraged ETF recommendations to retail customers as contemplated by RN 09-31 and RN 22-08. Mrs. Hollis's arbitration claim would have strong prospects for recovery.

Item 317 of 350

NON-COMPLIANT

Topic: leveraged_etf_unsuitable

Difficulty: hard

Source: 25_Leveraged_Inverse ETFs

Fact Pattern

Margaret Hollis, age 71, is a retired school librarian living in suburban Philadelphia. She has a fixed annual income of \$38,000 consisting of Social Security and a modest state pension. Her total liquid savings amount to approximately \$410,000, held in an IRA rollover account at Ridgeline Wealth Partners. She has no other significant assets aside from her home, which is fully paid off. Her account opening documents from January 2021 list her risk tolerance as 'moderate,' her investment objective as 'income and capital preservation,' her time horizon as '5-10 years,' and her investment experience as 'limited -- primarily mutual funds and CDs.' She told her advisor, Derek Simmons, that her primary goal was to generate steady income to supplement her pension and avoid outliving her savings.

In March 2021, Simmons recommended that Mrs. Hollis allocate \$82,000 -- roughly 20% of her portfolio -- to a 3x leveraged daily-resetting ETF tracking the Nasdaq-100 index (ticker: TQQQ). He told her it was 'like a turbocharged version of the tech stocks that have been doing so well' and described it as a way to 'supercharge growth in part of her retirement account.' He did not explain the daily resetting mechanism, the compounding effect of leverage over time, or the concept of volatility decay. He did not provide any written materials about the product's risks, nor did he document any discussion of how a leveraged product's returns could diverge dramatically from three times the index return when held beyond a single trading session.

Simmons also placed \$45,000 of Mrs. Hollis's IRA funds into a -2x inverse leveraged ETF tracking the S&P 500 (ticker: SDS) in June 2021, telling her it would act as 'insurance' for her portfolio in case of a market downturn. Again, no disclosure was made regarding the product's daily reset feature or the risks of holding it beyond one day.

Mrs. Hollis held both positions for approximately 14 months without any contact or review from Simmons. During that period, the Nasdaq-100 experienced significant volatility, rising roughly 12% on a cumulative basis. However, due to volatility decay and the path-dependent nature of daily compounding, Mrs. Hollis's TQQQ position lost approximately 9% of its value rather than gaining roughly 36%. Her SDS position, held during a period when the S&P 500 was roughly flat but highly volatile, lost approximately 28% of its value. Combined, Mrs. Hollis suffered losses of approximately \$20,180 on these two positions -- nearly 5% of her total retirement savings.

Ridgeline Wealth Partners' compliance department had a general policy requiring enhanced review for complex product transactions, but no specific supervisory procedures were in place for leveraged or inverse ETFs. No supervisor reviewed or approved either trade before execution. The firm's product catalog listed TQQQ and SDS as approved for use in client accounts without any restrictions based on client profile, account type, or holding period. No automated alerts existed to flag when leveraged or inverse ETFs were held beyond 30 days in any account.

When Mrs. Hollis called in August 2022 to ask why her account value had dropped despite the market being 'roughly where it was,' Simmons told her the positions 'just needed more time to work out' and recommended she continue holding both. She liquidated both positions on her own initiative in September 2022 after speaking with her nephew, a CPA, who explained the products to her.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Simmons violated applicable suitability and best interest standards on multiple grounds, and Ridgeline Wealth Partners failed in its supervisory obligations regarding complex products.

****Applicable Standards:****

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and experience. This rule encompasses three components: (1) reasonable-basis suitability (the advisor must understand the product), (2) customer-specific suitability (the product must fit the customer's profile), and (3) quantitative suitability (excessive trading concerns).

Under Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934), broker-dealers and their associated persons must act in the retail customer's best interest at the time a recommendation is made, without placing their own interests ahead of the customer's. Reg BI's Care Obligation requires that the advisor exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and the product's risks, rewards, and costs.

FINRA Regulatory Notice 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. The notice emphasized that these products can produce returns that deviate significantly from the stated multiple of the underlying index over periods longer than one day due to the mathematical effects of daily compounding (volatility decay/path dependency). FINRA Regulatory Notice 12-03 reinforced heightened suitability obligations for complex products, requiring firms to perform reasonable diligence to understand such products before recommending them, and to ensure that recommendations are consistent with customers' profiles. FINRA Regulatory Notice 22-08 further addressed the sale of complex products to retail investors, emphasizing the need for enhanced supervisory frameworks, customer-specific considerations, and potential sales practice restrictions.

****Reasonable-Basis Suitability Violation:****

Simmons demonstrated a fundamental misunderstanding of the leveraged and inverse ETFs he recommended. His description of TQQQ as a 'turbocharged version of tech stocks' and SDS as 'insurance' against a downturn reflects either ignorance of or disregard for the daily-resetting mechanism and the path-dependent nature of these products. An advisor who does not understand that a 3x leveraged ETF can lose money even when the underlying index gains -- due to volatility decay -- lacks the reasonable basis required to recommend such products to any customer.

****Customer-Specific Suitability Violation:****

Mrs. Hollis's profile is fundamentally incompatible with leveraged and inverse ETFs: she is 71 years old, retired, living on a fixed income, with limited investment experience, a moderate risk tolerance, and objectives of income generation and capital preservation. Her investment time horizon of 5-10 years is antithetical to products designed for single-day holding periods. Allocating 20% of her retirement portfolio to a 3x leveraged ETF and an additional 11% to a -2x inverse ETF -- totaling approximately 31% of her entire liquid net worth in daily-resetting leveraged products -- is egregiously unsuitable for this customer profile.

****Disclosure and Communication Failures:****

Simmons failed to explain the daily resetting mechanism, the effects of volatility decay, the path-dependent nature of returns, or the risk of holding these products beyond a single trading day. His affirmative mischaracterizations of the products compounded the violation.

****Ongoing Duty and Hold Recommendation:****

When Mrs. Hollis contacted Simmons in August 2022 about her losses, his recommendation to continue holding the positions constituted an additional violation. Under both Rule 2111 and Reg BI, an implicit or explicit recommendation to hold a security triggers suitability/best interest obligations. Recommending that a 71-year-old retiree continue holding daily-resetting leveraged products after 14 months -- well beyond their intended use case -- with demonstrated losses attributable to volatility decay was plainly unsuitable.

****Supervisory Failures (FINRA Rule 3110):****

Ridgeline Wealth Partners failed to establish and maintain adequate supervisory systems for complex products. The firm's lack of specific supervisory procedures for leveraged/inverse ETFs, the absence of pre-trade supervisory review for these transactions, the unrestricted availability of these products regardless of customer profile or account type, and the absence of automated holding-period alerts all constitute supervisory deficiencies. FINRA RN 09-31 and RN 12-03 both emphasized that firms must adopt specific supervisory procedures tailored to leveraged and inverse ETFs.

****Likely Regulatory Outcome:****

Simmons would likely face sanctions including fines, disgorgement of commissions, and a potential suspension or bar for recommending grossly unsuitable complex products to a vulnerable retiree. Ridgeline Wealth Partners would likely face supervisory failure charges under FINRA Rule 3110, resulting in fines, a censure, and mandatory remediation of its complex products supervision framework. Mrs. Hollis would likely recover her losses (approximately \$20,180) plus interest through FINRA arbitration, with potential additional damages for the advisor's affirmative misrepresentations about the products.

Item 318 of 350**NON-COMPLIANT****Topic:** senior_investor_exploitation**Difficulty:** hard**Source:** 25_Leveraged_Inverse ETFs**Fact Pattern**

Margaret Ellison, age 79, is a retired elementary school teacher living in Tucson, Arizona. She has a fixed annual income of \$34,000, consisting of \$22,000 in Social Security benefits and \$12,000 from a small state pension. Her total liquid savings amount to approximately \$410,000, held in a brokerage account at a mid-sized regional firm, and she has an additional \$85,000 in a savings account at a local bank. Her stated investment objectives on file are capital preservation and income generation, and her risk tolerance is documented as conservative. She has no prior experience with options, futures, leveraged products, or any complex financial instruments. Her investment experience is limited to certificates of deposit, Treasury bonds, and a handful of blue-chip dividend stocks she has held for over fifteen years. Margaret's husband passed away in January 2022, and she became the sole client of advisor Dennis Koh, who had previously managed the couple's account.

In March 2022, Dennis recommended that Margaret reallocate \$175,000 of her \$410,000 brokerage account into three leveraged and inverse exchange-traded products. Specifically, he placed \$70,000 into a 3x leveraged daily-resetting ETF tracking the Nasdaq-100 (TQQQ), \$60,000 into a 2x inverse daily-resetting ETF tracking the S&P 500 (SDS), and \$45,000 into a 3x leveraged daily-resetting ETF tracking the energy sector (ERX). Dennis told Margaret these funds would "protect her portfolio against market downturns while also giving her growth potential" and described them as "like regular index funds but with a little more kick." He did not explain the daily reset mechanism, the concept of volatility decay, the effect of compounding on leveraged returns over time, or the fact that these products are generally designed for short-term tactical trading and not long-term holding. He did not provide Margaret with any product-specific risk disclosures, prospectuses, or supplemental materials for any of the three ETFs.

Dennis's firm had a written supervisory procedure requiring heightened review and principal pre-approval for any transaction involving leveraged or inverse ETFs in accounts belonging to clients aged 65 or older. The firm also required advisors to document a specific investment rationale and obtain a signed acknowledgment from the client confirming their understanding of the daily-resetting nature and risks of such products. Dennis did not submit the trades for pre-approval, did not document a rationale, and did not obtain any signed acknowledgment from Margaret. His branch manager, Patricia Noll, did not flag the trades despite the fact that automated exception reports identified the transactions as involving complex products in a senior client account. Patricia later stated she had been "overwhelmed with other reviews" and had not examined the alerts for that month.

Margaret held all three positions for approximately fourteen months, from March 2022 through May 2023. During that period, TQQQ experienced significant drawdowns during the 2022 technology sell-off and, despite a partial market recovery, her \$70,000 position was worth approximately \$31,500 by the time it was liquidated. Her \$60,000 in SDS, an inverse product, also lost substantial value as markets recovered in early 2023; by May 2023 it was worth roughly \$28,000. The ERX position fluctuated dramatically with energy price volatility; her \$45,000 investment was valued at approximately \$33,000 at liquidation. In total, Margaret's \$175,000 allocation to leveraged and inverse ETFs had declined to approximately \$92,500, a loss of \$82,500 or 47.1%. Meanwhile, during the same period, the S&P 500 returned approximately -2% on a total return basis.

Margaret's granddaughter, who works as a certified public accountant, reviewed the account statements in June 2023

and was alarmed by the losses. She contacted the firm's compliance department. Margaret subsequently filed a complaint stating she was never told the products could lose nearly half their value, that she believed they were similar to regular index funds, and that Dennis never mentioned the words "leveraged," "inverse," "daily reset," or "decay" during their conversation. Dennis's notes in the CRM system contain only the entry: "Client wants growth and protection -- placed in diversified ETF strategy 3/14/22."

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dennis Koh committed multiple serious violations, and supervisory failures by Patricia Noll compounded the harm.

****Suitability -- FINRA Rule 2111:****

Under Rule 2111, a broker must have a reasonable basis to believe that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, experience, and liquidity needs. Margaret was a 79-year-old retired teacher with conservative risk tolerance, capital preservation and income objectives, limited investment experience, and a modest fixed income. Allocating 42.7% of her liquid brokerage assets (\$175,000 of \$410,000) into three highly speculative, daily-resetting leveraged and inverse ETFs was patently unsuitable under all three components of the suitability obligation:

1. ***Reasonable-basis suitability*:** Dennis either did not understand or ignored the fundamental characteristics of leveraged and inverse ETFs -- specifically their daily-resetting mechanism, path dependency, volatility decay, and the near-universal consensus that they are designed for short-term tactical use by sophisticated traders, not for long-term holding. FINRA Regulatory Notice 09-31 explicitly warned that leveraged and inverse ETFs that reset daily are 'typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' RN 22-08 reaffirmed these concerns and imposed enhanced obligations around complex product recommendations.
2. ***Customer-specific suitability*:** Margaret's documented profile -- conservative risk tolerance, preservation/income objectives, advanced age, no experience with complex products, dependence on her savings -- made her a textbook unsuitable candidate for leveraged/inverse ETFs. The concentration (\$175,000 or roughly 35.5% of total liquid assets) amplified the unsuitability.
3. ***Quantitative suitability*:** While traditionally applied to excessive trading, the sheer magnitude of the allocation relative to her total assets and risk profile raises quantitative concerns as well.

****Regulation Best Interest (Reg BI) -- Rule 15l-1:****

If Dennis's firm is a broker-dealer (as indicated), Reg BI's Care Obligation requires that the advisor exercise reasonable diligence, care, and skill in making recommendations, considering the customer's investment profile and the potential risks, rewards, and costs. Placing a 79-year-old conservative widow into 3x leveraged and inverse products without any understanding-based justification violates the Care Obligation. The Disclosure Obligation was also violated because Dennis failed to provide any meaningful disclosure of the daily-resetting nature, compounding risks, or the specific risks of long-term holding. Dennis's characterization of the products as 'like regular index funds but with a little more kick' was materially misleading.

****FINRA Regulatory Notices 09-31, 12-03, and 22-08:****

RN 09-31 specifically warned firms and representatives that inverse and leveraged ETFs 'are typically unsuitable for retail investors who plan to hold them for longer than one trading session.' RN 12-03 reinforced supervisory obligations for complex products. RN 22-08 established heightened expectations for complex product supervision, including that

firms must reasonably supervise recommendations of complex products and that the products must be in the customer's best interest. Dennis's recommendations contravene the guidance in all three notices.

****Supervisory Failures -- FINRA Rules 3110 and 3120:****

Patricia Noll's failure to review automated exception alerts flagging leveraged/inverse ETF transactions in a senior investor's account constitutes a supervisory failure under Rule 3110. The firm's written supervisory procedures required heightened review and principal pre-approval for leveraged/inverse ETFs in accounts of clients aged 65+. Neither Dennis nor Patricia followed these procedures. Patricia's explanation of being 'overwhelmed' does not excuse the firm's obligation to ensure that supervisory systems are reasonably designed and implemented.

****Senior Investor Concerns:****

FINRA has repeatedly emphasized heightened obligations when dealing with senior investors, including through RN 07-43 (Senior Investors) and the establishment of senior-specific protections. Margaret's age, cognitive vulnerability following her husband's recent death, and financial dependence on her savings all warranted additional care, not less.

****Likely Regulatory Outcome:****

Dennis Koh faces potential sanctions including fines, disgorgement of commissions, suspension, or a bar. Patricia Noll and the firm face supervisory violation charges. Margaret would likely prevail in an arbitration claim for compensatory damages of approximately \$82,500 plus potential interest. The firm may also face enhanced scrutiny and remediation requirements for systemic supervisory deficiencies regarding complex products and senior investors.

Item 319 of 350**NON-COMPLIANT**

Topic: senior_investor_exploitation

Difficulty: medium

Source: 25_Leveraged_Inverse ETFs

Fact Pattern

Margaret Dawson, age 78, is a retired elementary school teacher living in Tallahassee, Florida. She receives \$2,400 per month in pension income and \$1,870 per month in Social Security benefits. Her total liquid savings amount to approximately \$340,000, held in an IRA rollover account and a modest taxable brokerage account. She has no other significant assets aside from her home, which is paid off. Her stated investment objectives on her new account form, completed in March 2022, are "income and capital preservation." Her risk tolerance is marked as "conservative." She has no prior experience trading options, futures, or leveraged products, and her investment history consists entirely of certificates of deposit and a balanced mutual fund held through her school district's retirement plan for 25 years.

Her financial advisor, Kevin Burgess, age 34, had been her advisor for approximately six months when, in September 2022, he recommended she invest \$95,000 -- roughly 28% of her liquid net worth -- into the Direxion Daily Semiconductor Bull 3x Shares (SOXL), a triple-leveraged ETF that seeks to deliver 300% of the daily return of the ICE Semiconductor Index. Burgess told Mrs. Dawson that semiconductors were "the backbone of the future economy" and that this fund would "triple her gains" as the sector recovered. He described the product as similar to a regular technology mutual fund but "with more upside potential." He did not explain the daily resetting mechanism, the effects of volatility decay, or the concept of path dependency. He did not provide any prospectus or supplemental materials regarding the product's compounding risks.

Mrs. Dawson agreed to the purchase based on Burgess's recommendation. Over the following eleven months, the semiconductor sector experienced significant volatility, with the underlying index fluctuating in a range-bound pattern, declining approximately 8% over the period. However, due to the compounding effects of daily resetting and the high volatility of the underlying index (realized annualized volatility of approximately 45%), Mrs. Dawson's \$95,000 position in SOXL declined to approximately \$41,200 -- a loss of nearly \$53,800, or 56.6%. During this same period, Burgess never contacted Mrs. Dawson to discuss the position, review whether continued holding was appropriate, or recommend liquidation. Mrs. Dawson discovered the losses in August 2023 when she requested a withdrawal to pay for home repairs and assisted living evaluations. She was shocked by the account value and filed a written complaint with the firm. The firm's compliance department reviewed the matter and found no evidence that Burgess had obtained supervisory pre-approval for the leveraged ETF purchase, despite the firm's written supervisory procedures requiring heightened review and branch manager sign-off for any complex or leveraged product recommended to clients over age 65.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Burgess violated applicable suitability and best interest standards on multiple grounds.

1. ****Regulation Best Interest (Reg BI), Rule 15l-1 under the Securities Exchange Act of 1934**:** Reg BI requires that a broker-dealer and its associated persons act in the best interest of a retail customer when making a recommendation,

without placing their own interests ahead of the customer's. This obligation encompasses four component obligations: Disclosure, Care, Conflict of Interest, and Compliance. Burgess failed the Care Obligation by recommending a triple-leveraged daily-resetting ETF to a 78-year-old conservative, income-oriented investor with no experience in complex products. The recommendation was inconsistent with Mrs. Dawson's stated investment objectives (income and capital preservation), her conservative risk tolerance, her age, her reliance on fixed income, and her limited investment knowledge. He also failed the Disclosure Obligation by mischaracterizing the product as similar to a regular technology mutual fund and by failing to provide the prospectus or explain the risks of daily compounding, volatility decay, and path dependency.

2. ****FINRA Rule 2111 (Suitability)**:** Although Reg BI has largely supplanted the suitability standard for broker-dealer recommendations to retail customers, the suitability framework remains analytically relevant. Under Rule 2111's three-component analysis -- reasonable-basis suitability, customer-specific suitability, and quantitative suitability -- Burgess failed at minimum on customer-specific suitability. A 3x leveraged semiconductor ETF is wholly unsuitable for a 78-year-old retiree seeking capital preservation and income. There is also a reasonable-basis suitability concern: Burgess appears not to have understood the product himself, given his description of it as akin to a standard mutual fund.

3. ****FINRA Regulatory Notices 09-31 and 22-08**:** FINRA RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, due to the effects of daily compounding in volatile markets. FINRA RN 22-08 further reinforced expectations for heightened supervision and due diligence around complex products, including leveraged ETFs, particularly for vulnerable investors such as seniors. Burgess not only recommended an extended hold but never monitored the position or contacted Mrs. Dawson over eleven months.

4. ****Path Dependency and Volatility Decay**:** The underlying index declined only approximately 8%, yet the 3x leveraged ETF lost 56.6%. This dramatic disparity is a textbook illustration of volatility decay (also called the "constant leverage trap"), where a daily-resetting leveraged product in a volatile, range-bound market erodes value far in excess of what the leverage ratio applied to the cumulative index return would suggest. This risk is well-documented and was central to the warnings in FINRA RN 09-31.

5. ****Senior Investor Protection Failures**:** Mrs. Dawson's age (78), dependence on pension and Social Security income, limited investment experience, and conservative objectives all placed her squarely in the category of vulnerable senior investors who require heightened care. Concentrating 28% of her liquid net worth in a single, highly speculative, triple-leveraged product exposed her to catastrophic loss potential that was entirely inconsistent with her financial situation and needs.

6. ****Supervisory Failures**:** The firm's own written supervisory procedures required pre-approval for complex or leveraged product recommendations to clients over age 65. No such approval was obtained. This constitutes a failure of the firm's supervisory system under FINRA Rules 3110 and 3120, and the firm may face its own liability for failure to enforce its procedures, in addition to Burgess's individual violations.

****Likely Regulatory Outcome**:** Burgess faces potential sanctions including fines, disgorgement, suspension, or a bar. The firm faces potential fines and censure for supervisory failures. Mrs. Dawson would likely prevail in an arbitration claim seeking compensatory damages of approximately \$53,800 plus interest, and potentially additional damages depending on jurisdiction and the panel's assessment of the egregiousness of the conduct.

Item 320 of 350

NON-COMPLIANT

Topic: inappropriate_risk_profile

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Donovan, age 67, is a retired elementary school principal living in Tucson, Arizona. She receives a monthly pension of \$3,800 and Social Security of \$2,100, for a combined annual fixed income of approximately \$70,800. Her total liquid savings amount to \$410,000, held primarily in a traditional IRA (\$295,000) and a taxable brokerage account (\$115,000). She has no other significant assets besides her home, which is paid off and valued at approximately \$280,000. Margaret's new account form at Ridgemont Financial Services lists her investment objective as 'income and capital preservation,' her risk tolerance as 'conservative,' her investment time horizon as '5-10 years,' and her investment experience as 'limited -- mostly certificates of deposit and government bonds.' She told her advisor, Craig Fenton, during their initial meeting in March 2023 that she wanted to supplement her pension income and avoid losing principal because she could not replace these savings. In April 2023, Fenton recommended that Margaret invest \$85,000 of her IRA -- roughly 29% of that account -- into the ProShares UltraPro QQQ (TQQQ), a 3x daily leveraged ETF tracking the Nasdaq-100 Index. Fenton told Margaret the fund would 'triple any gains in the Nasdaq' and was a 'great way to grow her retirement savings faster.' He did not discuss the daily reset mechanism, the concept of volatility decay, or the possibility that the fund could lose significant value even if the underlying index remained relatively flat over time. He also did not provide Margaret with the product's prospectus or any supplemental materials explaining the risks of leveraged ETFs. Margaret held the position for eleven months. During that period, the Nasdaq-100 experienced multiple sharp drawdowns and recoveries. By March 2024, even though the Nasdaq-100 was up approximately 4.5% from when Margaret purchased TQQQ, her position had declined by roughly 12%, resulting in an unrealized loss of approximately \$10,200. Margaret discovered the loss when she reviewed her annual tax documents and called another advisor for a second opinion. She subsequently filed a complaint against Fenton and Ridgemont Financial Services, alleging that the recommendation was wholly unsuitable for her age, income needs, risk tolerance, and investment objectives.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Fenton violated applicable suitability and best interest standards in multiple respects.

****Applicable Standards:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, time horizon, liquidity needs, and risk tolerance. Rule 2111 encompasses three components: reasonable-basis suitability (the advisor must understand the product), customer-specific suitability (the recommendation must fit the individual customer), and quantitative suitability (the overall pattern of recommendations must not be excessive).

2. **Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934):** Reg BI requires broker-dealers to act in the best interest of retail customers when making recommendations, without placing the financial interest of the broker-dealer ahead of the customer. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in understanding the product, assessing risks and rewards, and determining that the recommendation is in the customer's best interest given her specific profile.

3. **FINRA Regulatory Notices 09-31 and 22-08:** RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. The notice highlighted that in volatile markets, these products can produce results that diverge significantly -- and negatively -- from the stated multiple of the index return over periods longer than one day. RN 22-08 reinforced these concerns and expanded guidance on complex products, emphasizing heightened supervision and the need for firms to assess whether customers can understand and bear the risks of such products before recommending them.

Analysis of Violations:

- **Reasonable-Basis Suitability Failure:** Fenton's description that TQQQ would 'triple any gains in the Nasdaq' demonstrates a fundamental misunderstanding (or deliberate misrepresentation) of how daily-resetting leveraged ETFs work. The product's prospectus clearly states that returns are targeted on a daily basis only and that long-term returns can deviate substantially due to compounding (path dependency) and volatility decay. An advisor who does not understand these mechanics cannot form a reasonable basis for recommending the product to any customer.

- **Customer-Specific Suitability Failure:** Margaret is a 67-year-old conservative retiree with limited investment experience, a capital preservation objective, a moderate time horizon, and fixed income that she cannot replace. A 3x leveraged ETF is among the highest-risk equity products available to retail investors. Allocating 29% of her IRA to TQQQ is diametrically opposed to every element of her stated investment profile. There is no reasonable basis to conclude this recommendation was suitable for this customer.

- **Reg BI Care Obligation Failure:** Under Reg BI's Care Obligation, Fenton was required to exercise reasonable diligence in understanding the risks, rewards, and costs of TQQQ, and to have a reasonable basis to believe the recommendation was in Margaret's best interest. Recommending a highly volatile, daily-resetting 3x leveraged product to a conservative retiree with limited experience and income-supplementation needs plainly fails this standard.

- **Disclosure Failures:** Fenton failed to provide Margaret with the TQQQ prospectus, did not explain the daily reset mechanism, volatility decay, or path dependency, and affirmatively mischaracterized the product's return profile. This compounds the suitability failure and also raises potential concerns under Reg BI's Disclosure Obligation.

- **Firm Supervision:** Under FINRA Rules 3110 and 3120, Ridgmont Financial Services had an obligation to supervise recommendations of complex products. FINRA RN 22-08 specifically calls on firms to implement policies and procedures to evaluate whether complex products like leveraged ETFs are appropriate before they are recommended to retail customers. The firm's apparent failure to flag or prevent this recommendation suggests supervisory deficiencies.

Outcome:

Margaret's \$10,200 loss -- occurring even as the underlying Nasdaq-100 rose 4.5% -- vividly illustrates the volatility decay and path dependency risks that make daily-resetting leveraged ETFs unsuitable for long-term holding by conservative retail investors. Fenton and Ridgmont Financial Services face potential liability for compensatory damages, and the firm could face regulatory sanctions for inadequate supervision of complex product recommendations. In FINRA arbitration, Margaret would have strong grounds for recovery of her losses, and in a regulatory examination, both Fenton and the firm could face fines, suspensions, or enhanced supervisory requirements.

Item 321 of 350

NON-COMPLIANT

Topic: senior_investor_exploitation

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Holbrook, age 78, is a retired elementary school teacher living in Sarasota, Florida. She receives \$2,400 per month from her pension and \$1,850 per month from Social Security. Her total liquid net worth is approximately \$340,000, held primarily in a traditional IRA rollover account that constitutes virtually all of her retirement savings. Mrs. Holbrook's investment objectives, as documented on her new account form completed in January 2022, are capital preservation and income generation. Her risk tolerance is listed as conservative. She has no prior experience trading options, futures, or leveraged products, and her investment knowledge is described as 'limited' in her client profile. She told her advisor, Kevin Stafford, that her primary concern was making sure her money lasted through her remaining years and that she could cover potential assisted living costs in the future.

In March 2022, Stafford recommended that Mrs. Holbrook invest \$95,000--roughly 28% of her liquid net worth--into a 3x leveraged bull ETF tracking the semiconductor sector, and an additional \$45,000 into a 2x inverse ETF tracking the Nasdaq-100 index. Stafford told Mrs. Holbrook that the semiconductor fund was 'like buying the best tech companies but with more upside' and that the inverse Nasdaq fund would act as 'insurance for her portfolio if the market went down.' He did not explain the daily resetting mechanism, compounding effects, volatility decay, or path dependency of these products. No written disclosures or product-specific risk documents for leveraged or inverse ETFs were provided to Mrs. Holbrook.

Stafford placed the trades and did not set any stop-loss orders or establish any rebalancing schedule. He did not contact Mrs. Holbrook again to discuss the positions for the next eleven months. During that period, the semiconductor sector experienced significant volatility, rising approximately 8% on a cumulative basis, but the 3x leveraged ETF actually declined 14% due to volatility decay and daily compounding effects. The 2x inverse Nasdaq ETF lost approximately 38% of its value as the Nasdaq-100 index recovered from early 2022 lows. By February 2023, Mrs. Holbrook's combined \$140,000 investment in these two products had declined to approximately \$81,200, a loss of nearly \$58,800. When Mrs. Holbrook called Stafford in February 2023 after reviewing her annual statement, she was distressed and said she did not understand what these funds were or why she had lost so much money. Stafford told her to 'hang on because they'll bounce back eventually.' The positions were not liquidated until Mrs. Holbrook's daughter intervened and contacted the branch manager in April 2023, at which point the combined position value had further declined to approximately \$72,500, representing a total loss of roughly \$67,500 or 48% of the original investment.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Stafford violated applicable suitability and best interest standards in multiple ways.

****Applicable Regulatory Framework:****

Under FINRA Rule 2111 (Suitability), a financial advisor must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and investment experience. This rule encompasses three components: reasonable-basis suitability, customer-specific suitability, and quantitative suitability.

Under Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934), broker-dealers and their associated persons must act in the retail customer's best interest at the time a recommendation is made, without placing their own interests ahead of the customer's. This obligation includes a Care Obligation requiring reasonable diligence, care, and skill in understanding the product and forming a reasonable basis to believe the recommendation is in the customer's best interest given her specific profile.

FINRA Regulatory Notice 09-31 specifically warns that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. The notice emphasizes that in volatile markets, these products can produce results that diverge significantly from the underlying index performance multiplied by the leverage factor, due to the mathematical effects of daily compounding (often called volatility decay or path dependency). FINRA Regulatory Notice 12-03 and Regulatory Notice 22-08 further address complex products supervision, requiring heightened scrutiny, enhanced disclosure, and a reasonable basis for believing the customer can understand and bear the risks of complex products like leveraged and inverse ETFs.

****Specific Violations:****

1. ****Customer-Specific Suitability / Care Obligation Violation:**** Mrs. Holbrook was a 78-year-old retiree with conservative risk tolerance, capital preservation objectives, limited investment knowledge, no experience with leveraged products, and a finite pool of retirement assets. Allocating 28% of her liquid net worth to a 3x leveraged semiconductor ETF and an additional 13% to a 2x inverse ETF was fundamentally incompatible with her documented profile. These are among the most volatile and risky exchange-traded products available.

2. ****Reasonable-Basis Suitability Violation:**** Stafford either did not understand or chose to ignore the daily-reset mechanism and path dependency of these products. His statement that the leveraged ETF was 'like buying the best tech companies but with more upside' and that the inverse ETF was 'insurance' demonstrates a fundamental misunderstanding or willful misrepresentation of how these products work. An advisor must understand a product before recommending it.

3. ****Failure to Disclose Material Risks:**** Stafford failed to explain the daily compounding mechanism, volatility decay, or the fact that these products are designed for short-term tactical trading--not long-term buy-and-hold strategies. No written risk disclosures specific to leveraged or inverse ETFs were provided. This violates the Disclosure Obligation under Reg BI and general suitability requirements.

4. ****Failure to Monitor / Neglect of Account:**** FINRA Regulatory Notice 09-31 and 22-08 emphasize that firms and advisors must have supervisory systems to monitor positions in leveraged and inverse ETFs, particularly given that holding periods beyond a single day can produce unexpected results. Stafford placed \$140,000 in daily-resetting leveraged products and did not contact the client or review the positions for eleven months. When the client finally called, he advised her to continue holding--directly contradicting the nature of these products.

5. ****Senior Investor Considerations:**** Mrs. Holbrook's age, cognitive vulnerability, dependence on this money for potential long-term care needs, and limited sophistication all required heightened care. The concentration of nearly 41% of her liquid net worth in leveraged and inverse products represented an egregious mismatch with her needs.

****Likely Regulatory Outcome:****

This fact pattern would likely result in significant sanctions. The advisor faces potential suspension or bar, disgorgement of commissions, and fines. The firm faces supervisory failure charges under FINRA Rule 3110 for failing to have adequate systems to detect and prevent unsuitable recommendations of complex products to vulnerable customers. Mrs. Holbrook would likely recover her losses of approximately \$67,500 plus interest through arbitration or a regulatory restitution order. Cases involving leveraged ETF losses by senior investors with conservative profiles have historically resulted in substantial arbitration awards and regulatory sanctions.

Item 322 of 350**NON-COMPLIANT**

Topic: inappropriate_risk_profile

Difficulty: medium

Source: 25_Leveraged_Inverse ETFs

Fact Pattern

Margaret Colvin, age 67, is a retired elementary school teacher living in suburban Atlanta. She receives a monthly pension of \$3,200 and Social Security payments of \$1,850. Her total liquid savings amount to approximately \$410,000, representing the entirety of her retirement nest egg, held in an IRA rollover account. She has no other significant assets aside from her home, which is paid off. On her new account form completed in March 2023, her investment objective was listed as "income and capital preservation," her risk tolerance was marked "moderate," and her time horizon was noted as 5-10 years. She told her advisor, Derek Hutchins, that she wanted steady income and could not afford to lose principal because these savings needed to last through her retirement. She had limited investment experience, having previously owned only a target-date mutual fund through her employer's 403(b) plan.

In April 2023, Hutchins recommended that Margaret allocate \$82,000 -- roughly 20% of her portfolio -- into a 3x leveraged bull semiconductor ETF (ticker: SOXL), which seeks to deliver 300% of the daily return of a semiconductor index. Hutchins told Margaret the semiconductor sector was "the future" and that artificial intelligence demand would drive massive gains over the next two to three years. He described the product as an ETF, comparing it favorably to index funds she was familiar with, and suggested she hold it for at least 18 months to capture the sector's growth cycle. He did not explain that the fund resets daily, that compounding effects could cause significant deviation from 3x the index's cumulative return over time, or that volatility in the underlying index could erode value even if the index ended flat or slightly higher over a multi-month period.

Between April and November 2023, the semiconductor index experienced significant volatility, rising roughly 12% on a cumulative basis. However, due to the daily reset mechanism and the compounding effect of leveraged returns during volatile periods -- with multiple drawdowns of 8-15% interspersed with sharp recoveries -- the 3x leveraged ETF gained only about 9% over the same period instead of the approximately 36% Margaret might have expected based on Hutchins' description. During a sharp pullback in October 2023, the position lost 34% of its value in three weeks, temporarily reducing the \$82,000 investment to approximately \$54,000. Margaret called Hutchins in a panic, and he reassured her to continue holding. By January 2024, after additional volatility, the position stood at approximately \$71,500, representing a net loss of roughly \$10,500 from her original investment despite the underlying index being higher than when she purchased.

Margaret filed a complaint in February 2024, alleging that the investment was completely unsuitable for her situation and that Hutchins never explained how the product actually worked.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Hutchins violated applicable suitability and best interest standards in multiple respects.

****Applicable Standards:****

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommendation is suitable for the customer based on the customer's investment profile, including age, financial situation, tax status, investment objectives, risk tolerance, time horizon, liquidity needs, and investment experience. This rule encompasses three obligations: reasonable-basis suitability (understanding the product), customer-specific suitability (matching the product to the customer), and quantitative suitability.

Under Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act), broker-dealers must act in the retail customer's best interest at the time of recommendation, without placing the broker's interest ahead of the customer's. This includes a Care Obligation requiring the broker to exercise reasonable diligence, care, and skill in understanding the product, evaluating it in light of the customer's profile, and considering reasonably available alternatives. It also includes a Disclosure Obligation requiring full and fair disclosure of all material facts relating to the recommendation, including risks.

FINRA Regulatory Notices 09-31 and 22-08 provide specific guidance on leveraged and inverse ETFs. RN 09-31 explicitly warns that leveraged ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. The notice highlights that due to the effects of daily compounding (often called volatility decay or path dependency), these products can produce returns that deviate significantly -- and often negatively -- from the expected multiple of the underlying index's return over periods longer than one day. RN 22-08 reinforces heightened obligations when recommending complex products to retail investors, including enhanced due diligence and explicit risk disclosure.

****Specific Violations:****

1. ****Reasonable-Basis Suitability Failure:**** Hutchins either did not understand or chose to ignore the daily-reset mechanism and volatility decay characteristics of a 3x leveraged ETF. By recommending an 18-month hold for a daily-resetting leveraged product, he demonstrated a fundamental misunderstanding of the product, violating his obligation to understand what he was recommending.
2. ****Customer-Specific Suitability Failure:**** Margaret's profile -- a 67-year-old retiree with limited investment experience, moderate risk tolerance, income and capital preservation objectives, and total dependence on these savings for retirement -- is fundamentally incompatible with a 3x leveraged sector-specific ETF. This product carries extreme concentration risk, leverage risk, and path-dependency risk. Allocating 20% of her entire retirement portfolio to such a product was grossly unsuitable.
3. ****Disclosure Failure (Reg BI):**** Hutchins compared SOXL to a standard index fund and failed to disclose the daily-reset mechanism, the effects of compounding and volatility decay, or the possibility that the product could lose money even when the underlying index rises over time. This violates the Disclosure Obligation under Reg BI.
4. ****Care Obligation Failure (Reg BI):**** Even if Hutchins believed semiconductor stocks would perform well, he failed to consider reasonably available alternatives -- such as an unleveraged semiconductor ETF, a diversified technology fund, or a balanced income-oriented portfolio -- that could have provided sector exposure without the extreme risks of a 3x leveraged daily-resetting product.
5. ****Supervision Concerns:**** Under FINRA Rules 3110 and the complex products supervision framework emphasized in RN 22-08, the firm should have had heightened supervisory procedures for leveraged ETF recommendations, particularly to retirement-age clients with conservative objectives. The approval of this transaction suggests a supervisory failure as well.

****Likely Regulatory Outcome:**** Hutchins would likely face arbitration liability for unsuitable recommendation, with

damages measured by the difference between Margaret's losses and the performance of a suitable alternative investment. The firm could face supervisory deficiency findings. Potential sanctions include fines, disgorgement of commissions, suspension, and restitution to the customer. The facts present a clear case of an unsuitable leveraged ETF recommendation to a vulnerable retail investor, precisely the scenario regulators have repeatedly warned against.

Item 323 of 350**NON-COMPLIANT**

Topic: inappropriate_risk_profile

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Dolan, age 64, is a recently retired elementary school teacher in suburban Pittsburgh. She receives a state pension of \$3,200 per month and Social Security of \$1,850 per month. Her total liquid savings amount to approximately \$285,000, held primarily in a traditional IRA rolled over from her 403(b) plan. She has no other significant assets beyond her home, valued at roughly \$210,000 with \$45,000 remaining on the mortgage. Margaret's new account form, completed in March 2022 with her advisor Brian Hess at a mid-size broker-dealer, listed her risk tolerance as 'moderate,' her investment objective as 'income and preservation of capital,' her time horizon as '10-15 years,' her investment experience as 'limited -- mutual funds only,' and her annual income need from the portfolio as approximately \$8,000 to supplement her pension and Social Security.

In April 2022, Brian recommended that Margaret allocate \$60,000 of her IRA -- roughly 21% of her total liquid savings -- into ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index. Brian told Margaret that this was a 'turbocharged growth fund that tracks the big tech companies' and that it would 'really accelerate the growth side of her portfolio.' He did not explain that the product resets daily, that its compounded returns over periods longer than one day can diverge dramatically from three times the index return, or that volatility decay could erode principal even if the Nasdaq-100 were flat or modestly positive over time. He provided no written materials, no options disclosure, and no supplemental risk documentation specific to leveraged ETFs. Margaret's account records show no prior options trading, no margin agreement, and no history of speculative investments.

Margaret held the position for eleven months. During that period, the Nasdaq-100 experienced significant volatility, declining approximately 12% and then partially recovering to end down roughly 4% from the date of her purchase. A simple 3x leveraged position would have implied a loss of about 12%, but due to volatility decay and the daily-reset compounding effect, TQQQ declined approximately 29% over the same period. Margaret's \$60,000 investment was worth approximately \$42,600 by March 2023, a loss of \$17,400. She called Brian several times during the drawdown, and he advised her each time to 'hang tight, the Nasdaq always comes back.' Brian never recommended trimming or exiting the position, and he never documented any reassessment of whether the product remained appropriate for her. Margaret ultimately sold at a \$17,400 loss after reading a newspaper article warning retirees about leveraged funds.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Brian Hess violated applicable suitability and best interest standards on multiple grounds.

1. ****Customer-Specific Suitability (FINRA Rule 2111.05(a)):** Margaret's documented profile -- a 64-year-old retiree with limited investment experience, moderate risk tolerance, income and capital preservation objectives, and heavy reliance on her IRA for retirement supplementation -- is fundamentally inconsistent with a 3x daily-leveraged ETF. TQQQ is classified as a complex, speculative product designed for short-term trading by sophisticated investors. Allocating 21% of a retiree's liquid assets to such a product fails the customer-specific suitability obligation.

2. **Reasonable-Basis Suitability (FINRA Rule 2111.05(a)):** Brian appears to have lacked an adequate understanding of TQQQ's mechanics, particularly the daily-reset feature, path dependency, and volatility decay. FINRA Regulatory Notices 09-31 and 22-08 explicitly warn that leveraged and inverse ETFs are designed to achieve their stated objectives on a daily basis only, and that holding them for longer periods -- especially in volatile markets -- can produce returns that differ significantly from the leveraged return of the underlying index. Brian's description of TQQQ as a 'turbocharged growth fund' without any discussion of these critical risks demonstrates a failure to understand the product he recommended.

3. **Regulation Best Interest (Rule 15l-1 under the Exchange Act):** Under the Care Obligation of Reg BI, a broker must exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. Brian failed this obligation by recommending a product whose risk characteristics were plainly incompatible with Margaret's profile. Under the Disclosure Obligation, he was required to disclose material facts about the recommendation, including the daily-reset mechanism and the risk of volatility decay; he failed to provide any such disclosure. Under the Compliance Obligation, the firm was required to have policies and procedures to ensure adherence to Reg BI, including heightened supervision for complex products.

4. **Complex Products Supervision (FINRA RN 12-03, 22-08):** FINRA has repeatedly emphasized that firms must establish robust supervisory systems for complex products, including leveraged ETFs. This includes account approval processes, concentration limits, post-recommendation monitoring, and ensuring that registered representatives understand the products. Brian's firm apparently had no mechanism to flag or prevent the concentration of a retiree's IRA in a 3x leveraged ETF, and Brian conducted no subsequent review of the position's appropriateness.

5. **Ongoing Duty and Hold Recommendations:** Brian's repeated advice to 'hang tight' constitutes an implicit hold recommendation. Under FINRA Rule 2111 and Reg BI, hold recommendations are subject to the same suitability and best interest standards as buy recommendations. Each time Brian advised Margaret to continue holding TQQQ, he was obligated to reassess whether the position remained suitable given the ongoing losses and her unchanged risk profile. He failed to do so and failed to document any such analysis.

6. **Path Dependency and Volatility Decay:** The facts illustrate the precise harm regulators have warned about: the Nasdaq-100 declined only ~4%, yet TQQQ declined ~29% due to the compounding of daily returns in a volatile market. This \$17,400 loss (29% of the invested amount) on a 4% index decline vividly demonstrates why these products are unsuitable for long-term holding by retail investors seeking capital preservation.

Likely Regulatory Outcome: Brian and his firm face potential FINRA enforcement action, including fines, disgorgement of commissions, restitution to Margaret, and possible suspension. The firm could face additional sanctions for supervisory failures relating to complex product oversight. In an arbitration proceeding, Margaret would have a strong claim for compensatory damages of at least \$17,400, plus potential consequential damages.

Item 324 of 350

NON-COMPLIANT

Topic: complex_products_unsophisticated_investor

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Holden, age 71, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,800 per month from her state pension and \$1,400 per month in Social Security benefits. Her total liquid investable assets are approximately \$185,000, held in an IRA rollover account, which represents the bulk of her retirement savings aside from her pension. She has no other significant assets beyond her paid-off home valued at approximately \$210,000. On her new account form, her investment objective was listed as 'income and preservation of capital,' her risk tolerance was marked 'conservative,' her investment time horizon was listed as '5-10 years,' and her investment experience was described as 'limited -- mutual funds only.' She told her advisor, Kevin Shea, at a regional broker-dealer in March 2023 that she wanted to generate modest supplemental income without taking big risks, as she could not afford to lose her nest egg.

Shea, a registered representative with the firm for four years, recommended that Margaret allocate \$55,000 (approximately 30% of her IRA) into a 3x leveraged daily-resetting ETF tracking the Nasdaq-100 index (TQQQ), explaining that it would 'turbocharge her growth potential' and that the tech sector was poised for a strong recovery. He also placed \$25,000 into a -2x inverse daily-resetting ETF on the S&P 500 (SDS), telling her it would act as a 'hedge' to protect her portfolio if the market dropped. Shea did not provide Margaret with any written materials explaining how daily-resetting leveraged or inverse products work, did not discuss volatility decay or path dependency, and did not explain that these products are generally designed for short-term trading rather than long-term holding. He did not document any discussion of the risks specific to these products. No supervisor at the firm reviewed or approved the transactions before execution.

Margaret held both positions for 14 months. During that period, the Nasdaq-100 experienced significant intraday volatility, including multiple swings of 2-4% in single sessions. By May 2024, despite the Nasdaq-100 being roughly flat over the holding period, her TQQQ position had declined from \$55,000 to approximately \$38,200 -- a loss of roughly \$16,800, or about 30.5%. Her SDS position, despite the S&P 500 also being roughly flat, had declined from \$25,000 to approximately \$17,900 -- a loss of roughly \$7,100, or about 28.4%. In total, Margaret lost approximately \$23,900, or about 29.9% of the \$80,000 invested in these two products, even though the underlying indices were approximately unchanged. Margaret was unaware of how the products functioned until she received her May 2024 account statement and called her advisor to ask why she had lost so much money when the market had barely moved. Shea told her the losses were 'just bad luck' and suggested holding on longer. Margaret subsequently filed a complaint with the firm.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Shea violated multiple applicable standards governing the recommendation of complex products to retail investors.

****Regulation Best Interest (Reg BI) -- Rule 15l-1 under the Securities Exchange Act of 1934:****

Under Reg BI's Care Obligation, a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill when making a recommendation to a retail customer. This requires understanding the potential risks, rewards, and costs of the recommendation, and having a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made, based on the customer's investment profile. Margaret's profile -- a 71-year-old retiree with limited investment experience, conservative risk tolerance, income and preservation objectives, and a retirement account representing the vast majority of her savings -- is fundamentally incompatible with highly speculative leveraged and inverse ETFs. These products are designed for sophisticated, active traders, not buy-and-hold conservative retirees. The Care Obligation was clearly breached.

Reg BI's Disclosure Obligation also required Shea to disclose all material facts about the recommendation, including how daily resetting works, the effects of volatility decay and path dependency, and the fact that these products can lose substantial value even when the underlying index is flat. None of this was disclosed.

****FINRA Rule 2111 (Suitability):****

Rule 2111 requires that a recommended transaction or investment strategy be suitable for the customer based on reasonable diligence concerning the customer's investment profile. The rule encompasses three components: (1) reasonable-basis suitability -- the advisor must understand the product well enough to have a reasonable basis for recommending it to anyone; (2) customer-specific suitability -- the recommendation must be suitable for the particular customer; and (3) quantitative suitability. Here, both reasonable-basis and customer-specific suitability were violated. There is no reasonable basis for recommending 3x leveraged and -2x inverse daily-resetting ETFs for long-term holding in the IRA of a conservative, unsophisticated 71-year-old retiree whose stated objectives are income and capital preservation.

****FINRA Regulatory Notices 09-31 and 22-08:****

FINRA RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. The notice highlighted the effects of daily compounding, volatility decay, and path dependency, noting that returns over longer periods can differ dramatically from the multiple of the underlying index's return. RN 22-08 reinforced and expanded upon obligations related to complex products, requiring heightened supervision, enhanced due diligence, and robust suitability determinations before recommending complex products to retail investors. Both notices emphasize that firms must have reasonable supervisory systems, including pre-approval mechanisms for complex product transactions, particularly when involving unsophisticated or vulnerable investors.

****Supervisory Failures:****

The firm failed to implement any pre-transaction supervisory review of these leveraged and inverse ETF purchases. Under FINRA Rules 3110 and 3120, and consistent with FINRA's guidance in RN 12-03 (which addresses heightened supervision for complex products), firms are expected to have policies and procedures tailored to the risks posed by complex products, including approval requirements, concentration limits, and post-trade surveillance. No supervisor reviewed or approved these transactions.

****Path Dependency and Volatility Decay:****

The outcome in this case is a textbook illustration of the risks described in FINRA's guidance. Despite both underlying indices being approximately flat over the 14-month holding period, Margaret lost nearly 30% of the capital invested in these products due to the mathematical effects of daily resetting in volatile markets. This demonstrates precisely why these products are unsuitable for long-term holding and why regulators have repeatedly warned about the risks.

****Likely Regulatory Outcome:****

Shea and his firm would likely face enforcement action. Shea could be subject to fines, disgorgement, suspension, or a bar. The firm could face additional sanctions for supervisory failures. Margaret would likely recover her losses (approximately \$23,900 plus interest) through arbitration or a regulatory proceeding. The concentration of

approximately 43% of her total liquid assets in these two speculative products significantly compounds the severity of the violation.

Item 325 of 350**NON-COMPLIANT****Topic:** failure_to_know_customer**Difficulty:** medium**Source:** 25_Leveraged_Inverse ETFs**Fact Pattern**

Margaret Dawson, age 71, is a retired school librarian living in Tucson, Arizona. She receives \$2,400 per month from Social Security and a small pension of \$800 per month. Her total liquid savings amount to approximately \$185,000, held in a brokerage account that represents the vast majority of her net worth aside from her home. She has no other significant income sources. In March 2023, Margaret met with her financial advisor, Kevin Bledsoe, at a regional broker-dealer. During the account opening process, Margaret told Kevin that she wanted to preserve her savings to cover living expenses and potential medical costs, and that she could not afford to lose a significant portion of her portfolio. She described herself as a conservative investor with very limited experience -- she had previously owned only certificates of deposit and a single balanced mutual fund through her employer's retirement plan. Kevin's firm had a new account form that included fields for investment objectives, risk tolerance, time horizon, liquidity needs, and investment experience. Kevin filled in Margaret's investment objective as 'growth' and her risk tolerance as 'moderate,' despite her stated preferences. He did not ask her about her familiarity with exchange-traded products, derivatives, or leveraged instruments, and left the 'investment experience' section blank. In April 2023, Kevin recommended that Margaret invest \$55,000 -- nearly 30% of her liquid savings -- into a 3x leveraged ETF tracking the semiconductor sector, telling her it was 'like a mutual fund but with more upside.' He did not explain that the fund reset daily, that its returns over periods longer than one day could deviate significantly from three times the index's cumulative return, or that the product could experience severe losses due to volatility decay. He also did not discuss the fund's expense ratio of 0.95%, which was considerably higher than the balanced fund she previously owned. Margaret held the position for approximately nine months. During that period, the semiconductor index experienced significant volatility, rising and falling repeatedly without a clear trend. By January 2024, even though the underlying index was roughly flat over the holding period, Margaret's position had lost approximately \$16,500 -- a decline of 30% -- due to the compounding effects of daily resetting in a volatile, trendless market. Margaret filed a complaint with the firm alleging that her advisor never took the time to understand her financial situation and needs, placed inaccurate information on her account documents, and recommended a product she neither understood nor was suitable for her circumstances.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Bledsoe violated multiple regulatory requirements. First, under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile. This rule encompasses three components: reasonable-basis suitability (understanding the product), customer-specific suitability (matching the recommendation to the customer's profile), and quantitative suitability. Kevin failed at both the reasonable-basis and customer-specific levels.

Regarding the failure to know his customer: FINRA Rule 2111 requires brokers to use reasonable diligence to know and retain essential facts about the customer, including age, financial situation, tax status, investment objectives, investment experience, time horizon, liquidity needs, and risk tolerance. Kevin recorded Margaret's investment objective as 'growth' and risk tolerance as 'moderate' despite her explicit statements that she wanted capital

preservation and could not afford significant losses. He left the investment experience field blank entirely. This falsification and omission of customer profile information is a foundational failure -- it corrupted the entire suitability analysis that should have followed.

Under Regulation Best Interest (Rule 15l-1 under the Exchange Act), broker-dealers owe retail customers a best interest obligation when making recommendations. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of the recommendation and to have a reasonable basis to believe the recommendation is in the customer's best interest based on the customer's actual investment profile. Kevin's failure to accurately document and understand Margaret's profile, combined with the wholly unsuitable recommendation, constitutes a clear violation of Reg BI's Care Obligation.

FINRA Regulatory Notice 09-31 specifically warned firms and brokers that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets, due to the effects of daily compounding (volatility decay or path dependency). FINRA Regulatory Notice 12-03 further reinforced heightened suitability obligations for complex products, requiring brokers to perform a reasonable investigation of the product, understand its risks, and ensure the customer has the capacity to understand the product. FINRA Regulatory Notice 22-08 continued this scrutiny by proposing additional measures for complex products and emphasizing that firms must have robust supervisory systems to ensure that recommendations of complex products like leveraged ETFs meet suitability and best interest standards.

Margaret's profile -- a 71-year-old retiree with limited income, modest savings, a conservative risk tolerance, a capital preservation objective, and virtually no experience with complex products -- made a 3x leveraged semiconductor ETF fundamentally unsuitable. The 30% allocation of her liquid assets to a single highly volatile leveraged product compounded the unsuitability. Kevin's failure to explain daily resetting, volatility decay, the product's short-term tactical nature, or the elevated expense ratio further demonstrates he lacked a reasonable basis for the recommendation and failed to act in Margaret's best interest.

The likely regulatory outcome would include findings of suitability violations under FINRA Rule 2111, violations of Reg BI's Care and Disclosure Obligations, potential falsification of books and records (FINRA Rule 4511, FINRA Rule 2010 -- Standards of Commercial Honor), monetary restitution to the customer of at least \$16,500 in losses, potential fines, a suspension or bar for the advisor, and supervisory deficiency findings against the firm if it failed to flag the discrepancies in the account documentation or the concentration of a retiree's assets in a 3x leveraged product.

Item 326 of 350**NON-COMPLIANT****Topic:** inappropriate_risk_profile**Difficulty:** medium**Source:** 25_Leveraged_Inverse ETFs**Fact Pattern**

Margaret Collings, age 71, is a retired elementary school teacher living in Tulsa, Oklahoma. She receives \$2,800 per month from her state pension and \$1,650 per month in Social Security benefits. Her total liquid savings amount to approximately \$340,000, held in a rollover IRA that represents the entirety of her retirement nest egg aside from her pension and Social Security. She owns her home outright, valued at approximately \$185,000. On her new account form completed in January 2023, her stated investment objective was "income and preservation of capital," her risk tolerance was marked as "conservative," her investment time horizon was listed as "5-10 years," and her annual income was documented at \$53,400. She had no prior experience trading options, futures, or leveraged products, and her investment experience was limited to certificates of deposit and a target-date mutual fund she had held through her employer's retirement plan.

Her financial advisor, Derek Simmons, had been with a mid-sized broker-dealer in Tulsa for nine years. In February 2023, during a quarterly review meeting, Simmons told Margaret that interest rates were likely to decline over the coming year and that she could "supercharge" her bond returns by getting ahead of the rate cuts. He recommended she allocate \$120,000--approximately 35% of her IRA--into a 3x leveraged long Treasury bond ETF (ticker: TMF). He described the product to her as "like a regular Treasury bond fund, just with more upside potential" and told her it was "backed by U.S. government bonds, so it's very safe." He did not explain daily resetting, compounding effects, volatility decay, or the fact that the fund was designed for short-term tactical trading. No written materials specific to leveraged ETFs were provided. Margaret signed a general trade confirmation but was not asked to sign any supplemental risk disclosure for complex or leveraged products.

Simmons placed the initial \$120,000 purchase on February 14, 2023. Over the following eleven months, interest rates did not decline as Simmons predicted; instead, the Federal Reserve raised rates twice more before pausing. Treasury yields remained elevated and volatile. By January 2024, the position had declined to approximately \$61,800, a loss of roughly \$58,200 or 48.5%. During this period, Simmons did not contact Margaret to discuss the position, did not recommend any stop-loss or rebalancing strategy, and did not conduct any interim suitability review. Margaret discovered the extent of her losses when she received her year-end account statement and called Simmons in a panic. Simmons told her to "hang tight" because the fund would "bounce back once rates come down." Margaret held the position for another three months on his advice before liquidating in April 2024 at approximately \$54,300, realizing a total loss of \$65,700, or 54.75% of her original investment. This loss represented approximately 19.3% of her entire retirement savings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Simmons violated multiple regulatory requirements governing the recommendation of complex products to retail investors.

****Applicable Standards:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and experience. Rule 2111 encompasses three obligations: reasonable-basis suitability (understanding the product), customer-specific suitability (matching the product to the customer), and quantitative suitability.
2. ****Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act):**** Reg BI requires broker-dealers to act in the retail customer's best interest at the time of recommendation, without placing their own interests ahead of the customer's. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill to understand the product and have a reasonable basis to believe the recommendation is in the customer's best interest considering the customer's investment profile. The Disclosure Obligation requires full and fair disclosure of material facts, including risks.
3. ****FINRA Regulatory Notices 09-31 and 22-08:**** RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. The notice emphasized the effects of daily compounding, volatility decay, and path dependency, which can cause returns to diverge dramatically from the underlying index over time. RN 22-08 reinforced and expanded these concerns regarding complex products, emphasizing heightened supervision, explicit risk disclosures, and the need for firms to evaluate whether their registered representatives and customers understand the products.

****Analysis of Violations:****

- ****Customer-Specific Suitability Failure:**** Margaret was a 71-year-old retiree with conservative risk tolerance, a capital preservation objective, and no experience with leveraged or complex products. A 3x leveraged Treasury ETF--which can lose 50% or more of its value in a matter of months due to volatility decay and adverse rate movements--is fundamentally incompatible with her documented investment profile. Allocating 35% of her sole retirement account to this product was egregiously unsuitable.
- ****Reasonable-Basis Suitability Failure:**** Simmons either did not understand the mechanics of daily-resetting leveraged ETFs or chose to misrepresent them. His characterization of TMF as being "like a regular Treasury bond fund" and "very safe" because it is "backed by U.S. government bonds" was materially misleading. Leveraged ETFs use derivatives (swaps, futures) to achieve daily leveraged exposure and are not equivalent to holding Treasury bonds. This suggests Simmons lacked the product knowledge necessary to recommend this instrument.
- ****Disclosure Failures:**** Simmons failed to disclose the material risks of the product, including daily resetting, volatility decay, path dependency, and the potential for catastrophic losses even if the underlying index moves favorably over time. No supplemental risk disclosure documents were provided, contrary to the heightened disclosure expectations for complex products.
- ****Failure to Monitor and Supervise the Position:**** After placing a highly speculative, leveraged position in a conservative retiree's account, Simmons failed to monitor the position over eleven months as it lost nearly half its value. When Margaret finally contacted him, he advised her to continue holding--compounding the harm. This ongoing neglect further violated both suitability obligations and the duty of care.
- ****Concentration Risk:**** Placing 35% of a retiree's entire liquid retirement savings in a single leveraged product created an unreasonable concentration of risk, particularly for a conservative investor.

****Likely Regulatory Outcome:**** This fact pattern would likely result in a finding of multiple violations of FINRA Rule

2111 and Regulation Best Interest. Potential sanctions could include disgorgement of commissions, restitution to the customer of approximately \$65,700 in losses, a fine, a suspension or bar of the advisor, and potential supervisory action against the firm for failing to implement adequate controls around the sale of leveraged ETFs to retail customers. The firm's failure to require enhanced disclosures or approval processes for leveraged ETF purchases, as contemplated by FINRA RN 09-31 and RN 22-08, would compound the supervisory deficiency.

Item 327 of 350

NON-COMPLIANT

Topic: failure_to_know_customer

Difficulty: medium

Source: 25_Leveraged_Inverse ETFs

Fact Pattern

Margaret Collings, age 71, is a retired elementary school teacher living in Tucson, Arizona. She receives a monthly pension of \$3,200 and Social Security payments of \$1,850, for a combined annual income of approximately \$60,600. Her total investable assets consist of a \$410,000 IRA rollover from her teacher's retirement system and a \$45,000 savings account. She has no other sources of income and no dependents. Margaret has limited investment experience; she previously held only a target-date retirement fund and a certificate of deposit. When she opened her account at Ridgeline Financial Partners in March 2022, her new financial advisor, Derek Huang, conducted an initial meeting lasting roughly 20 minutes. During the meeting, Derek asked Margaret a handful of general questions about her goals -- she stated she wanted "safe income to supplement my pension" and "to not lose what I've saved." Derek did not ask Margaret about her understanding of complex financial products, her prior trading experience beyond the target-date fund, her time horizon for needing distributions, her tax situation, or her comfort with daily portfolio fluctuations. He recorded her risk tolerance as "moderate" on the new account form, though Margaret later stated she told him she was "very conservative" and "couldn't afford to lose money." No investment policy statement or financial plan was prepared. In April 2022, Derek recommended that Margaret invest \$125,000 -- roughly 27% of her IRA -- into a 3x leveraged bull semiconductor ETF and \$60,000 into a 2x leveraged inverse Treasury bond ETF, telling her these funds would "capture upside in the tech boom" and "protect her if interest rates kept climbing." He did not explain that these products reset daily, that holding them for extended periods could produce returns that deviate significantly from the underlying index due to compounding and volatility decay, or that they were designed primarily for short-term tactical traders. Margaret was not provided any supplemental risk disclosure materials for leveraged or inverse products. Derek did not set any stop-loss levels, establish a monitoring schedule, or discuss exit criteria. Over the following 14 months, the semiconductor sector experienced sharp swings -- a 22% drawdown from May to October 2022, a partial recovery, and another 15% decline in early 2023. Due to the compounding effects of the 3x daily leverage, Margaret's \$125,000 position in the leveraged semiconductor ETF declined to approximately \$54,000 by June 2023, a loss of roughly \$71,000, even though the underlying semiconductor index was down only about 11% over the same stretch. The inverse Treasury ETF, buffeted by volatile rate expectations, lost approximately \$19,500 on the \$60,000 investment despite Treasury yields being modestly higher over the period. In total, Margaret suffered realized and unrealized losses exceeding \$90,000 on these two positions -- more than 19% of her entire retirement savings. When Margaret called Derek in June 2023 to ask why her account had dropped so dramatically, he told her to "hang tight" because "these things bounce back." No rebalancing or liquidation was performed. Margaret filed a complaint with Ridgeline Financial in August 2023 after learning from a friend that leveraged ETFs were not intended to be held long-term.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Huang committed multiple violations. First and most fundamentally, he failed to satisfy the 'know your customer' obligation under FINRA Rule 2111(a) and its supplementary material, which requires a broker to use reasonable diligence to know the essential facts about a customer -- including age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance -- before

making any recommendation. Derek's cursory 20-minute intake, his failure to probe Margaret's understanding of complex products, and his apparent overstatement of her risk tolerance from 'very conservative' to 'moderate' all represent a clear failure to obtain and accurately document the customer's investment profile.

Second, under the customer-specific suitability component of FINRA Rule 2111, a representative must have a reasonable basis to believe that a recommendation is suitable for the particular customer based on that customer's profile. A 71-year-old retiree with no investment sophistication, limited income, a conservative stated objective of capital preservation and income, and total reliance on her retirement savings is among the least appropriate candidates for daily-resetting 3x and 2x leveraged and inverse ETFs. FINRA Regulatory Notices 09-31, 12-03, and 22-08 have all specifically warned that leveraged and inverse ETFs are complex products generally unsuitable for retail investors who plan to hold them for longer than one trading session, due to the effects of daily compounding, path dependency, and volatility decay. Derek's failure to understand or explain these mechanics constitutes a lack of 'reasonable-basis suitability' as well.

Third, under SEC Regulation Best Interest (Rule 15l-1), applicable to broker-dealer recommendations to retail customers after June 30, 2020, Derek was required to act in Margaret's best interest at the time the recommendation was made, exercising reasonable diligence, care, and skill, and considering the customer's investment profile including risk tolerance and financial needs. Placing over \$185,000 of a conservative retiree's IRA into leveraged and inverse daily-resetting ETFs -- without explanation of the products' mechanics, without a monitoring plan, and without providing required risk disclosures -- fails every prong of the Care Obligation under Reg BI.

Fourth, FINRA RN 22-08 reinforces firm and representative obligations for complex products supervision, including the requirement that firms establish written supervisory procedures ensuring customers receive targeted disclosures, that representatives assess whether the customer can understand the product, and that heightened scrutiny is applied before such products are recommended. There is no evidence that Ridgeline Financial implemented or Derek followed any such procedures.

The likely regulatory outcome includes potential disgorgement or restitution of the approximately \$90,000 in losses, fines against both Derek and Ridgeline Financial for supervisory failures, and possible suspension or bar for Derek depending on the scope of similar conduct. Margaret's arbitration claim would likely succeed given the overwhelming mismatch between her profile and the recommended products.

Item 328 of 350**NON-COMPLIANT**

Topic: complex_products_unsophisticated_investor

Difficulty: medium

Source: 25_Leveraged_Inverse ETFs

Fact Pattern

Margaret Colton, age 68, is a retired elementary school teacher in suburban Indianapolis with an annual pension income of \$42,000 and approximately \$285,000 in a rollover IRA, which represents virtually all of her liquid savings. She has no prior experience with options, futures, or leveraged products, and her account application lists her risk tolerance as "moderate" with investment objectives of "income and capital preservation." She told her advisor, Derek Haines, that she wanted something that could "keep up with inflation" without exposing her to significant losses, and that she expected to begin drawing from the IRA within two to three years to supplement her pension. In March 2022, Haines recommended that Mrs. Colton allocate \$95,000--roughly one-third of her IRA--into a 3x leveraged daily-resetting bull ETF tied to the Nasdaq-100 index, explaining that technology stocks had historically outperformed over the long run and that the triple leverage would "supercharge" her returns. He did not discuss the daily reset mechanism, the compounding effects of volatility on leveraged products, or the possibility that the fund could lose substantial value even if the underlying index was relatively flat over a multi-month period. He provided no written risk disclosures specific to leveraged ETFs and did not document any evaluation of whether Mrs. Colton understood the product. Mrs. Colton held the position for eleven months. During that period, the Nasdaq-100 experienced several sharp drawdowns and recoveries. By February 2023, the underlying Nasdaq-100 index had declined approximately 4% from her purchase date, but due to the effects of daily compounding and volatility decay, her 3x leveraged ETF position had lost roughly 29%, reducing her \$95,000 investment to approximately \$67,450--a loss of \$27,550. When Mrs. Colton called Haines in distress, he recommended she continue to hold, telling her the market would "come back eventually." She liquidated the position on her own in April 2023 at a value of \$61,200, realizing a total loss of \$33,800. Haines's branch manager had not established any specific supervisory procedures for reviewing leveraged ETF recommendations, and there was no heightened review process for recommendations of complex products to retirement accounts or customers over 65.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Haines violated multiple applicable regulatory standards in recommending a 3x leveraged daily-resetting ETF to Margaret Colton.

****Suitability under FINRA Rule 2111:**** The recommendation failed all three components of the suitability obligation. (1) Reasonable-basis suitability: Haines had an obligation to understand the risks and features of the product before recommending it. FINRA Regulatory Notice 09-31 specifically warns that leveraged and inverse ETFs that reset daily are complex products designed to achieve their stated objectives on a daily basis only, and that their performance over longer periods can differ significantly from the performance of the underlying index due to the effects of compounding and volatility decay. Haines's failure to understand or communicate the daily reset mechanism and path-dependency risk suggests he lacked a reasonable basis for the recommendation. (2) Customer-specific suitability: Mrs. Colton was a 68-year-old retiree with moderate risk tolerance, income and capital preservation objectives, no experience with complex or leveraged products, and a near-term need to draw on the account. A 3x leveraged equity ETF--one of the

most volatile and risky products available to retail investors--is fundamentally incompatible with this profile. Allocating one-third of her retirement savings to this product dramatically amplified the unsuitability. (3) Quantitative suitability: While this prong typically addresses excessive trading, the outsized concentration in a single highly volatile product effectively guaranteed outsized losses in a downturn.

****Regulation Best Interest (Rule 15l-1):**** Under Reg BI's Care Obligation, a broker-dealer and associated person must exercise reasonable diligence, care, and skill to understand the product and have a reasonable basis to believe the recommendation is in the retail customer's best interest. Recommending a 3x leveraged daily-resetting product for long-term holding in the IRA of an unsophisticated 68-year-old retiree with capital preservation objectives is virtually impossible to justify under this standard. The Disclosure Obligation also required Haines to disclose material facts about the recommendation, including the risks of daily compounding, volatility decay, and the product's unsuitability for holding periods beyond one day. He failed to provide any such disclosure.

****FINRA Regulatory Notice 22-08 (Complex Products):**** This notice reinforces the need for firms to adopt robust policies and procedures for complex product recommendations, including consideration of whether the customer can understand the product's risks, whether the product is consistent with the customer's objectives, and whether enhanced supervisory review is warranted. The branch manager's failure to implement any heightened review procedures for leveraged ETF recommendations--particularly for retirement accounts and senior investors--represents a supervisory failure under FINRA Rule 3110.

****FINRA Regulatory Notice 12-03:**** This notice reminds firms of their obligations when recommending complex products, including the need for a reasonable basis to believe the customer can understand the product. Haines made no effort to assess Mrs. Colton's ability to understand the 3x leveraged ETF, and his description of the product as something that would 'supercharge' returns was misleading and omitted critical risk information.

****Likely Regulatory Outcome:**** Haines would likely face sanctions including disgorgement of commissions, a fine, and a suspension. His firm would face supervisory deficiency charges for failing to implement procedures specific to complex product recommendations. Mrs. Colton would have strong grounds for a customer arbitration claim seeking recovery of her \$33,800 in losses plus consequential damages. The combination of an unsophisticated senior investor, a retirement account, capital preservation objectives, a near-term liquidity need, concentration of one-third of savings in a 3x leveraged product, no risk disclosure, and no supervisory oversight represents a textbook violation across multiple regulatory frameworks.

Item 329 of 350**NON-COMPLIANT****Topic:** failure_to_know_customer**Difficulty:** medium**Source:** 25_Leveraged_Inverse ETFs**Fact Pattern**

Margaret Kowalski, age 71, is a retired elementary school teacher living in suburban Milwaukee on a fixed income consisting of a \$2,400 monthly pension and \$1,850 in Social Security benefits. She has \$340,000 in a rollover IRA, which represents essentially all of her liquid savings. She has no other investments aside from a small savings account with \$12,000. In March 2023, Margaret visited the branch office of her brokerage firm to discuss her IRA. She told the receptionist she was concerned about inflation eroding her retirement savings and wanted 'something safe that could keep up.' She was assigned to Kevin Driscoll, a registered representative who had been with the firm for two years. During their initial meeting, Kevin spent approximately 25 minutes with Margaret. He asked her name, age, and account balance, but did not inquire about her monthly expenses, other sources of income, existing debts, tax situation, investment time horizon, prior investment experience, or how she would characterize her willingness to take risk. Margaret mentioned she had previously owned only certificates of deposit and a small balanced mutual fund. Kevin did not document any specific risk tolerance or investment objective on the new account form, leaving those fields marked as 'moderate' and 'growth,' respectively, which were the system defaults. Kevin recommended that Margaret invest \$170,000 -- half of her IRA -- into a 3x leveraged daily-resetting ETF tied to the Nasdaq-100 index, telling her it was 'like a tech index fund but with more upside.' He described it as a good way to 'fight inflation aggressively.' He did not explain the daily reset mechanism, the effects of compounding over multi-day periods, or the potential for significant losses in volatile or sideways markets. Margaret agreed and the trade was executed on March 14, 2023. Over the following seven months, the Nasdaq-100 experienced several sharp drawdowns and recoveries, but ended the period roughly flat. Due to volatility decay and the daily compounding effect of the 3x leverage, Margaret's \$170,000 position declined to approximately \$121,500 by October 2023 -- a loss of roughly \$48,500, or 28.5%, despite the underlying index being nearly unchanged. Margaret called the branch in October, distressed, and asked Kevin why she had lost so much money when 'the market didn't really go down.' Kevin told her to 'hang on' because 'it would come back.' She continued to hold the position. By January 2024, the position had further declined to \$109,000. Margaret filed a written complaint with the firm alleging she was never properly assessed as an investor and was placed in a product she did not understand.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Kevin Driscoll committed multiple serious violations. First and most fundamentally, he failed to satisfy his know-your-customer obligations under FINRA Rule 2111(a), which requires a representative to use reasonable diligence to know and retain the essential facts concerning every customer and the authority of each person acting on the customer's behalf. The know-your-customer obligation, codified in FINRA Rule 2090, requires reasonable efforts to ascertain a customer's investment profile, including but not limited to age, other investments, financial situation and needs, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance. Kevin gathered only the most superficial information -- name, age, and account balance -- and failed to ask about Margaret's income, expenses, debts, tax situation, time horizon, liquidity needs, experience, or risk tolerance. The account form fields for risk tolerance and investment objective were left at system defaults ('moderate' and 'growth')

with no documented basis, which violates the reasonable-basis and customer-specific components of the suitability analysis.

Second, the recommendation of a 3x leveraged daily-resetting ETF to a 71-year-old retired schoolteacher living on fixed income, with no investment experience beyond CDs and a balanced fund, fails the customer-specific suitability prong of FINRA Rule 2111. FINRA Regulatory Notice 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, due to the effects of daily compounding (volatility decay or path dependency). FINRA Regulatory Notice 22-08 further reinforced heightened obligations around complex products, requiring firms and representatives to evaluate whether investors have the capacity to understand such products and whether the products align with the investor's profile. Margaret's profile -- conservative, inexperienced, elderly, dependent on fixed income, with her IRA as her primary savings -- is fundamentally incompatible with a concentrated position in a 3x leveraged product.

Third, under Regulation Best Interest (SEC Rule 15l-1), Kevin owed Margaret a care obligation requiring him to exercise reasonable diligence, care, and skill in making the recommendation. This includes understanding the risks and rewards of the recommended security and having a reasonable basis to believe the recommendation was in the customer's best interest based on her investment profile. Kevin failed all three components of the Care Obligation: he did not understand the product well enough to explain daily reset mechanics to the customer; he did not gather sufficient information to form a customer-specific belief about suitability; and he recommended a highly volatile, leveraged instrument representing 50% of a retiree's liquid net worth.

Fourth, Kevin compounded the initial violation by advising Margaret to 'hang on' in October 2023 after the position had already lost 28.5% due to the very volatility decay effects that make long-term holding of daily-reset leveraged ETFs inappropriate. This constitutes an implicit hold recommendation that itself may be assessed for suitability under the quantitative suitability obligation.

The firm also bears supervisory liability under FINRA Rule 3110, as its systems apparently allowed a representative to default account form fields without completing a meaningful customer profile, and failed to flag a concentrated leveraged ETF position in a retirement account belonging to a senior investor.

The likely regulatory outcome would include findings of failure to know the customer, unsuitable recommendation, failure to disclose material risks of a complex product, and supervisory failures. Potential sanctions include fines, disgorgement of commissions, restitution to the customer, and possible suspension of the representative. FINRA has historically imposed significant sanctions in cases involving leveraged ETF sales to unsuitable customers, particularly elderly or retired individuals with conservative profiles.

Item 330 of 350**NON-COMPLIANT**

Topic: leveraged_etf_unsuitable

Difficulty: hard

Source: 25_Leveraged_Inverse ETFs

Fact Pattern

Margaret Delacroix, age 71, is a retired French teacher living in Baton Rouge, Louisiana, with an annual pension income of \$42,000 and Social Security benefits of \$22,800. Her total liquid investment portfolio was approximately \$385,000, representing substantially all of her retirement savings aside from a small emergency fund of \$15,000 in a credit union savings account. She had no other sources of income and described her investment objective as 'capital preservation with modest income' when she opened her brokerage account in January 2021. Her account new-client questionnaire indicated a 'conservative' risk tolerance and an investment time horizon of 10+ years, reflecting her desire to make her savings last through retirement. She had limited investment experience, having previously held only certificates of deposit and a small allocation to a balanced mutual fund through her 403(b) plan.

Her financial advisor, Craig Fontenot, age 38, had been registered for 11 years and worked at a mid-sized independent broker-dealer. In March 2021, Fontenot recommended that Mrs. Delacroix allocate \$115,000 -- roughly 30% of her liquid portfolio -- into three leveraged and inverse ETF positions: \$45,000 in a 3x leveraged daily-resetting ETF tracking the Nasdaq-100 index (TQQQ), \$40,000 in a 2x leveraged daily-resetting ETF tracking the S&P 500 (SSO), and \$30,000 in a -1x inverse daily-resetting ETF tracking the Russell 2000 (RWM). Fontenot told Mrs. Delacroix that the leveraged products would 'turbocharge her returns' while the inverse ETF would provide a 'hedge' against any market downturn, creating what he described as a 'balanced approach.' He did not explain the daily reset mechanism, the compounding effects of holding leveraged products over extended periods, the concept of volatility decay, or the path dependency risk inherent in these products. No written materials explaining these risks were provided, and Fontenot did not document any discussion of how these products might perform differently from the underlying indices over a holding period longer than one trading day.

Fontenot did not consult with his firm's complex products principal before making the recommendations, despite the firm's written supervisory procedures requiring pre-approval for leveraged and inverse ETF transactions exceeding \$25,000 in accounts belonging to clients over age 65 with conservative risk profiles. He also did not set any stop-loss orders, establish any rebalancing triggers, or schedule periodic reviews of the positions.

Mrs. Delacroix held all three positions for approximately 18 months, from March 2021 through September 2022. During this period, significant market volatility occurred, including the sharp technology-sector selloff that began in late 2021 and continued through much of 2022. By September 2022, the TQQQ position had declined from \$45,000 to approximately \$14,200 -- a loss of roughly 68%. The SSO position declined from \$40,000 to approximately \$27,500 -- a loss of roughly 31%. The RWM inverse position, despite the broader market decline, had also lost value due to whipsaw volatility and the daily-reset compounding effect, falling from \$30,000 to approximately \$22,100 -- a loss of roughly 26%. In total, Mrs. Delacroix's \$115,000 allocation had declined to approximately \$63,800, a combined loss of roughly \$51,200, or about 44.5% of the amount invested. During this same 18-month period, a standard (unleveraged) S&P 500 index fund would have declined approximately 6%.

When Mrs. Delacroix called in October 2022 alarmed by the losses reflected on her statement, Fontenot suggested she 'hold on a little longer because the market always comes back.' He did not recommend liquidating or reducing the positions. Mrs. Delacroix ultimately sold all three positions in December 2022 after consulting with her daughter,

realizing total losses of approximately \$48,700 on the combined positions after a modest partial recovery in late 2022. She filed a complaint with the firm in January 2023, stating she was never told these products could lose money even when parts of the market went down, and that she never understood what 'daily resetting' meant.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Fontenot committed multiple serious violations of applicable regulatory standards in recommending leveraged and inverse ETFs to Margaret Delacroix.

****FINRA Rule 2111 (Suitability) Analysis:****

Under FINRA Rule 2111, a broker must have a reasonable basis for believing that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and experience. This rule encompasses three components:

1. ***Reasonable-Basis Suitability (Rule 2111.05(a)):*** The advisor must understand the products being recommended. Leveraged and inverse ETFs are daily-resetting instruments whose returns over periods longer than one day can deviate significantly -- and unpredictably -- from the leveraged or inverse multiple of the underlying index's return due to the mathematical effects of daily compounding, known as 'volatility decay' or 'path dependency.' FINRA Regulatory Notice 09-31 explicitly warned that leveraged and inverse ETFs 'typically are unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' FINRA RN 22-08 reinforced supervisory expectations for complex products. An advisor who does not understand or cannot explain these mechanics lacks reasonable-basis suitability to recommend them.
2. ***Customer-Specific Suitability (Rule 2111.05(b)):*** Mrs. Delacroix's profile -- age 71, retired, conservative risk tolerance, capital preservation objective, limited investment experience, 10+ year time horizon, and dependence on her portfolio for retirement income -- is fundamentally incompatible with leveraged and inverse ETFs. These are among the most volatile and complex products available to retail investors. Allocating 30% of a conservative retiree's liquid savings to three daily-resetting leveraged/inverse products is a clear violation of customer-specific suitability.
3. ***Quantitative Suitability (Rule 2111.05(c)):*** While this component typically addresses excessive trading, the concentration of 30% of a conservative retiree's portfolio in complex, high-risk products effectively constitutes an unsuitable level of exposure.

****Regulation Best Interest (Rule 15l-1) Analysis:****

If Fontenot's firm was a broker-dealer subject to Reg BI (effective June 30, 2020), his recommendations also violated the Care Obligation under Rule 15l-1(a)(2)(ii), which requires that the broker-dealer exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of the recommendation and have a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. Recommending 3x and 2x leveraged daily-resetting ETFs and an inverse ETF to a 71-year-old conservative retiree, without explaining daily-reset mechanics, volatility decay, or path dependency, and without any plan for monitoring or rebalancing, cannot satisfy the Care Obligation. Additionally, the Disclosure Obligation was violated because Fontenot failed to provide material information about the products' risks.

****FINRA Regulatory Notice 09-31 & 12-03:****

FINRA RN 09-31 specifically states that 'inverse and leveraged ETFs that are reset daily typically are unsuitable for

retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' RN 12-03 reaffirmed heightened suitability obligations and emphasized that firms must train registered representatives to understand complex products before recommending them.

****FINRA Regulatory Notice 22-08 (Complex Products):****

RN 22-08 proposed enhanced sales practice requirements for complex products including leveraged/inverse ETFs. It reinforced expectations that firms implement robust supervisory procedures, including pre-approval requirements, enhanced training, and account-level restrictions for complex products sold to retail investors.

****Supervisory Failures:****

Fontenot bypassed his firm's own written supervisory procedures requiring pre-approval from a complex products principal for leveraged/inverse ETF transactions exceeding \$25,000 in accounts of clients over age 65 with conservative profiles. This is a violation of FINRA Rule 3110 (Supervision). The firm may also face liability under FINRA Rules 3110 and 3120 for failing to detect and prevent the unsuitable transactions.

****Additional Concerns:****

- Fontenot's characterization of the strategy as 'balanced' was misleading, as an inverse ETF does not function as a traditional hedge when held over extended periods due to daily reset mechanics.
- His October 2022 advice to 'hold on' compounded the harm by extending the holding period of unsuitable products.
- The absence of written disclosures, position monitoring, or rebalancing protocols further demonstrates a failure to meet applicable standards.

****Likely Regulatory Outcome:****

Fontenot faces potential disciplinary action including fines, suspension, and potential restitution. The firm faces supervisory failure charges. Mrs. Delacroix would likely prevail in a FINRA arbitration claim for unsuitable recommendations, with potential recovery of her approximately \$48,700 in realized losses plus interest. Her age, limited sophistication, conservative profile, and the advisor's failure to explain product mechanics or obtain required supervisory pre-approval create a compelling case for the customer.

Item 331 of 350

NON-COMPLIANT

Topic: high_fees_unsuitable

Difficulty: medium

Source: 25_Leveraged_Inverse ETFs

Fact Pattern

Gerald Whitfield, age 64, is a recently retired public school principal in Akron, Ohio, with a \$410,000 IRA rollover from his state pension system, \$38,000 in a savings account, and Social Security income of \$2,450 per month. He told his financial advisor, Craig Denning, at Ridgepoint Wealth Partners, that he needed the IRA to provide supplemental retirement income, that he had a moderate risk tolerance, and that capital preservation was his primary concern because he had no other significant assets and his wife, age 62, was not yet eligible for Medicare. Whitfield had no prior experience with exchange-traded funds, options, or leveraged products. In March 2022, Denning recommended that Whitfield allocate \$165,000 -- roughly 40% of his IRA -- into three leveraged and inverse ETFs: \$70,000 into a 3x leveraged daily-resetting semiconductor ETF (expense ratio 0.95%), \$55,000 into a 2x leveraged daily-resetting S&P 500 ETF (expense ratio 0.91%), and \$40,000 into a -1x inverse daily-resetting Nasdaq-100 ETF (expense ratio 0.95%). Denning told Whitfield that these products would "turbocharge" his returns and that the inverse fund would act as a hedge against downturns. He did not explain that these products reset daily, that their returns over periods longer than one day could diverge substantially from the leveraged or inverse return of the underlying index due to compounding and volatility decay, or that expense ratios on these products were significantly higher than standard index ETFs charging 0.03%-0.10%. Denning did not provide any written risk disclosures specific to leveraged or inverse products. Whitfield held all three positions for fourteen months without any contact from Denning. During that period, the semiconductor sector experienced sharp intraday swings, and the 3x semiconductor ETF lost 47% of its value despite the underlying index declining only 11%. The 2x S&P 500 ETF underperformed a standard S&P 500 ETF by 19 percentage points due to volatility drag. The inverse Nasdaq ETF lost 22% even during a period when the Nasdaq was essentially flat, entirely attributable to daily reset compounding and the elevated expense ratio. In total, Whitfield's \$165,000 allocation declined to approximately \$97,500, a loss of \$67,500. The cumulative expense charges across the three funds over the holding period totaled approximately \$2,200, compared to roughly \$120 that would have been incurred holding comparable non-leveraged index ETFs. When Whitfield called Denning in May 2023 to ask why his account had lost so much, Denning said the market was unpredictable and suggested holding the positions longer to recover. Ridgepoint's compliance department had no specific supervisory procedures for reviewing leveraged or inverse ETF recommendations, and no automated alerts were in place to flag when retail customers held daily-resetting leveraged products beyond 30 days.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Denning violated applicable suitability and best interest standards in multiple respects.

1. ****Suitability under FINRA Rule 2111****: The recommendation to place 40% of a 64-year-old retiree's sole retirement account into leveraged and inverse daily-resetting ETFs fails all three components of the suitability obligation. (a) Reasonable-basis suitability: Denning does not appear to have understood the mechanics of daily-resetting leveraged products -- specifically, that compounding causes significant return deviation (volatility decay or path dependency) over multi-day holding periods. FINRA Regulatory Notices 09-31 and 12-03 explicitly warn that leveraged and inverse ETFs

that reset daily are generally unsuitable for retail investors who plan to hold them for more than one trading session. (b) Customer-specific suitability: Whitfield's profile -- moderate risk tolerance, capital preservation objective, retirement income dependence, no experience with complex products -- is fundamentally incompatible with 3x and 2x leveraged and -1x inverse ETFs. (c) Quantitative suitability: The high expense ratios (0.91%-0.95%) and the implicit cost of daily rebalancing (structural slippage) made it highly unlikely these positions would generate suitable risk-adjusted returns for a retiree with Whitfield's objectives.

2. ****Regulation Best Interest (Rule 15l-1)****: As a broker-dealer representative making a recommendation to a retail customer, Denning was required to act in Whitfield's best interest at the time of the recommendation, considering reasonably available alternatives. The Care Obligation under Reg BI required Denning to understand the risks and costs of these products and to have a reasonable basis to believe they were in the customer's best interest. Recommending products with expense ratios nearly 10x higher than standard index alternatives, combined with embedded structural costs from daily rebalancing, without any corresponding benefit to Whitfield's stated objectives, violates this obligation. The Disclosure Obligation required Denning to disclose all material facts about the recommendation, including the daily-reset mechanism, the risk of volatility decay, and the dramatically higher cost structure. His failure to provide written or oral disclosure of these features is a clear violation.

3. ****FINRA RN 22-08 -- Complex Products****: FINRA's 2022 guidance on complex products specifically identifies leveraged and inverse ETFs as products requiring heightened supervision, enhanced disclosure, and a determination that the customer can understand and bear the risks. Denning made no such assessment and provided no tailored disclosure.

4. ****Supervisory Failures****: Ridgepoint Wealth Partners' lack of any supervisory procedures for leveraged or inverse ETF recommendations, and the absence of automated alerts for long-term holding of daily-resetting products, constitutes a failure of supervision under FINRA Rule 3110. The firm had an obligation to establish written supervisory procedures reasonably designed to ensure compliance with suitability and best interest requirements, particularly for complex products.

5. ****Post-Recommendation Conduct****: Denning's failure to monitor the positions for fourteen months and his advice to continue holding after a \$67,500 loss compounded the harm. While Reg BI does not impose a general ongoing monitoring obligation for broker-dealers, the recommendation to continue holding was itself a new implicit recommendation that was equally unsuitable.

****Likely Regulatory Outcome****: Denning faces potential sanctions including fines, disgorgement of commissions, suspension, or a bar. Ridgepoint faces supervisory deficiency charges and potential fines. Whitfield would have a strong arbitration claim for damages of at least \$67,500 plus the excess fees incurred. The fact pattern closely mirrors enforcement themes in FINRA's regulatory notices on leveraged ETFs and complex product supervision.

Item 332 of 350

NON-COMPLIANT

Topic: inappropriate_risk_profile

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Ellison, age 71, is a retired elementary school teacher in Tucson, Arizona, living on a fixed income consisting of a \$2,400 monthly pension and \$1,850 in Social Security benefits. Her total liquid savings amount to approximately \$340,000, held in an IRA that represents virtually all of her retirement assets. She has no other significant sources of income or wealth. On her new account form completed in March 2023, her stated investment objective was "income and capital preservation," her risk tolerance was marked as "low," and her investment time horizon was listed as "5-10 years." She had no prior experience with options, futures, margin accounts, or leveraged products. Her investment experience was limited to certificates of deposit and a target-date retirement fund offered through her former employer's 403(b) plan.

Her financial advisor, Derek Montoya, age 34, had been with his broker-dealer for three years. In April 2023, Montoya recommended that Mrs. Ellison allocate \$85,000 -- roughly 25% of her IRA -- into a 3x leveraged bull semiconductor ETF (ticker: SOXL), explaining that artificial intelligence was "the investment opportunity of a lifetime" and that semiconductor stocks were poised for enormous gains. He told her the fund would "triple the returns of the semiconductor sector" and described it as a way to "turbocharge" her retirement portfolio. He did not explain the daily resetting mechanism of the fund, the concept of volatility decay, or the fact that the product was designed for short-term tactical trading rather than long-term holding. No written materials or risk disclosures specific to leveraged ETFs were provided to Mrs. Ellison.

Montoya did not set any stop-loss orders or establish a monitoring schedule for the position. He did not discuss an exit strategy or explain under what conditions the position should be liquidated. Between April 2023 and February 2024, the semiconductor sector experienced significant volatility, including a drawdown of approximately 18% over a six-week period during the summer of 2023 before partially recovering. Due to the compounding effects of daily resetting during this volatile period, SOXL's cumulative return substantially underperformed three times the sector's cumulative return. By February 2024, when Mrs. Ellison called Montoya to express concern after reviewing her account statement, her \$85,000 position in SOXL had declined to approximately \$54,000 -- a loss of roughly \$31,000, or 36%. The underlying semiconductor index over the same period had declined only about 7%. Mrs. Ellison was distraught and told Montoya she could not afford to lose that money. Montoya advised her to "hold on and wait for a recovery." He did not recommend liquidating the position or reallocating to investments consistent with her stated objectives. The firm's compliance department had no record of any pre-trade review or supervisory approval for the leveraged ETF recommendation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Montoya violated applicable suitability and best interest standards in multiple respects.

****Applicable Regulatory Framework:****

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and experience. This rule encompasses three obligations: reasonable-basis suitability (the advisor must understand the product), customer-specific suitability (the recommendation must fit the specific customer), and quantitative suitability (excessive trading).

Under Regulation Best Interest (SEC Rule 15l-1), broker-dealers and their associated persons must act in the retail customer's best interest at the time a recommendation is made, without placing their own interests ahead of the customer's. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, including understanding the risks, rewards, and costs of the product; having a reasonable basis to believe the recommendation is in the customer's best interest considering the customer's investment profile; and having a reasonable basis to believe that a series of recommended transactions is not excessive.

FINRA Regulatory Notices 09-31 and 22-08 specifically address leveraged and inverse ETFs and complex products. RN 09-31 warned that leveraged ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, due to the effects of daily compounding and volatility decay (also called path dependency). RN 22-08 further reinforced heightened obligations for complex products, requiring firms to establish a reasonable basis for recommending complex products to retail investors and to implement robust supervisory systems.

****Specific Violations:****

1. ****Customer-Specific Suitability / Care Obligation Violation:**** Mrs. Ellison was a 71-year-old retiree with low risk tolerance, a capital preservation objective, no experience with complex products, and a retirement portfolio that represented her entire financial safety net. A 3x leveraged ETF -- among the most volatile and risky exchange-traded products available -- is fundamentally incompatible with her investment profile. Allocating 25% of her IRA to such a product dramatically increased portfolio risk far beyond what was appropriate.
2. ****Reasonable-Basis Suitability Violation:**** Montoya's description of SOXL as a way to "triple the returns" without disclosing the daily-reset mechanism, volatility decay, and the product's design as a short-term trading instrument suggests he either did not understand the product himself or deliberately omitted material information. Under both Rule 2111 and Reg BI, the advisor must understand the product's risks before recommending it.
3. ****Disclosure Failures / Reg BI Disclosure Obligation:**** Montoya failed to provide any written risk disclosures about leveraged ETFs. He did not explain path dependency, the compounding effects of daily resetting, or the risk that the product could significantly underperform the expected leveraged return of the underlying index over holding periods longer than one day. This omission is particularly egregious given Mrs. Ellison's lack of investment sophistication.
4. ****Failure to Monitor and Establish an Exit Strategy:**** FINRA guidance on leveraged ETFs (RN 09-31) specifically emphasizes that these products require active monitoring and are designed for short-term holding periods. Montoya established no monitoring schedule, no stop-loss, and no exit strategy. When the client expressed distress about losses, he compounded the problem by advising her to continue holding -- further inconsistent with the product's intended use.
5. ****Supervisory Failures (FINRA Rules 3110, 3120):**** The firm's compliance department had no record of pre-trade review or supervisory approval for the leveraged ETF recommendation. Under RN 22-08, firms are expected to implement heightened supervision for complex product recommendations, including pre-approval mechanisms, concentration limits, and post-trade surveillance. The absence of any supervisory involvement suggests systemic compliance failures at the firm level.

****Likely Regulatory Outcome:****

Montoya would likely face enforcement action for recommending an unsuitable complex product. Potential sanctions include fines, disgorgement of commissions, suspension or bar from the industry, and restitution to the customer. The firm would likely face separate supervisory failure charges. Mrs. Ellison's approximately \$31,000 loss would likely be recoverable through arbitration or a regulatory restitution order. The concentration of 25% of a retiree's IRA in a single 3x leveraged sector ETF, combined with the complete absence of disclosure and monitoring, represents a clear-cut suitability and best interest violation.

Item 333 of 350**NON-COMPLIANT**

Topic: complex_products_unsophisticated_investor

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Kovacs, age 71, is a retired elementary school teacher living in Scranton, Pennsylvania. She receives \$2,850 per month from her state pension and \$1,400 per month from Social Security. Her total liquid savings amount to approximately \$215,000, held in an IRA that she relies upon to supplement her fixed income and cover medical expenses. She has no other significant assets aside from her home, which is paid off. Mrs. Kovacs has no prior experience with options, futures, or any leveraged investment products. Her account application, completed in March 2021, lists her risk tolerance as 'conservative,' her investment objective as 'income and capital preservation,' her investment experience as 'limited -- CDs, money markets, and one balanced mutual fund,' and her time horizon as '1-5 years.' She told her advisor, Daniel Whitfield, that her primary concern was not outliving her money and that she could not afford to lose a significant portion of her savings.

In April 2021, Whitfield recommended that Mrs. Kovacs invest \$95,000 -- roughly 44% of her liquid net worth -- into two exchange-traded products: \$55,000 into a 3x leveraged daily-resetting ETF tracking the Nasdaq-100 index, and \$40,000 into a 2x leveraged daily-resetting ETF tracking the S&P 500 Financial sector. Whitfield told Mrs. Kovacs that these funds were 'like regular index funds but they grow faster,' and that she should 'hold them for at least a year or two to really see the gains.' He did not explain the daily reset mechanism, the concept of volatility decay, or the fact that these products are designed for short-term tactical trading and can diverge significantly from their benchmark's cumulative return over longer holding periods. He did not provide her with the ETF prospectuses or any supplemental educational material about leveraged products.

Whitfield's branch manager, Sandra Liu, approved the trades without conducting any additional review or flagging the transactions as involving complex products. The firm had no specialized approval process, enhanced supervision protocol, or required customer attestation for leveraged or inverse ETF purchases.

Mrs. Kovacs held both positions for fourteen months. During that period, the Nasdaq-100 experienced significant intraday and weekly volatility, including a sharp drawdown in early 2022. By June 2022, despite the Nasdaq-100 being down approximately 25% from her purchase date, the 3x leveraged ETF had lost approximately 62% of its value, reducing her \$55,000 position to roughly \$20,900. The 2x leveraged financial sector ETF, affected by rising interest rate volatility, lost approximately 38%, reducing her \$40,000 position to roughly \$24,800. In total, Mrs. Kovacs lost approximately \$89,300 -- over 41% of her total retirement savings. When she called Whitfield in distress, he suggested she 'hold on a little longer because it will bounce back.' She eventually liquidated both positions in August 2022 at a combined loss of \$84,200 after a slight partial recovery.

Mrs. Kovacs filed a complaint with the firm alleging that the investment was wholly inappropriate for her and that she was never told the products could lose far more than the underlying index.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Daniel Whitfield violated applicable suitability and best interest standards in multiple respects, and the firm failed in its supervisory obligations regarding complex products.

****Suitability Analysis under FINRA Rule 2111:****

FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on the customer's investment profile. This rule encompasses three components: (1) reasonable-basis suitability, (2) customer-specific suitability, and (3) quantitative suitability.

- ***Reasonable-Basis Suitability:** Whitfield failed to understand the products he recommended. Leveraged ETFs that reset daily are explicitly designed for short-term, typically single-day, holding periods. FINRA Regulatory Notice 09-31 specifically warned that leveraged and inverse ETFs 'are unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' Whitfield's recommendation that Mrs. Kovacs hold these products for 'at least a year or two' demonstrates a fundamental misunderstanding of path dependency and volatility decay -- the mathematical phenomenon by which daily-resetting leveraged products can lose substantial value even when the underlying index is flat or only modestly down over extended periods. A 3x leveraged product tracking an index that falls 25% will not simply lose 75%; compounding losses from daily resets in volatile markets cause far greater erosion, as demonstrated by the 62% loss here.

- ***Customer-Specific Suitability:** Mrs. Kovacs's profile -- a 71-year-old retiree with conservative risk tolerance, income/preservation objectives, limited investment experience, a 1-5 year time horizon, and dependence on her IRA for living expenses -- is fundamentally incompatible with concentrated leveraged ETF positions. Allocating 44% of her liquid net worth to 2x and 3x leveraged daily-resetting products exposes her to catastrophic, unrecoverable losses that directly contradict her stated objectives. This is a textbook customer-specific suitability violation.

****Regulation Best Interest (Reg BI) -- Rule 15l-1 under the Securities Exchange Act:****

For recommendations made after June 30, 2020, broker-dealers must comply with Reg BI's Care Obligation, which requires the advisor to exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile and the potential risks, rewards, and costs of the recommendation. The advisor must have a reasonable basis to believe the recommendation is in the customer's best interest and does not place the advisor's interest ahead of the customer's. Whitfield's recommendation fails all prongs of the Care Obligation. The recommendation of highly volatile, daily-resetting leveraged ETFs to a conservative, elderly, unsophisticated retiree who cannot absorb losses is plainly not in her best interest. Additionally, Reg BI's Disclosure Obligation required Whitfield to disclose material facts about the recommendation, including the risks of leveraged products, daily reset mechanics, and the potential for losses exceeding the underlying index decline. His characterization of these products as 'like regular index funds but they grow faster' is materially misleading.

****FINRA Regulatory Notice 22-08 -- Complex Products Supervision:****

FINRA RN 22-08 reinforced and expanded upon earlier guidance (including RN 09-31 and RN 12-03) emphasizing that firms must implement robust supervisory systems for complex products, including leveraged and inverse ETFs. Proposed measures include requiring customers to demonstrate an understanding of product mechanics before purchasing, instituting specialized approval processes, and ensuring heightened supervisory review. Sandra Liu's perfunctory approval of the trades -- without any enhanced review, risk assessment, or verification that Mrs. Kovacs understood the products -- constitutes a supervisory failure under FINRA Rule 3110, which requires firms to establish and maintain a system to supervise the activities of each associated person that is reasonably designed to achieve compliance.

****Specific Violations Summary:****

1. FINRA Rule 2111 -- Customer-specific and reasonable-basis suitability violations for recommending daily-resetting leveraged ETFs for long-term holding by a conservative, elderly, unsophisticated retail investor.
2. Reg BI Rule 15l-1 -- Failure to satisfy the Care Obligation (recommendation not in client's best interest) and Disclosure Obligation (misleading characterization of product risks).
3. FINRA Rule 3110 -- Firm supervisory failure for lacking any enhanced review protocol for complex product transactions.
4. Guidance from FINRA RN 09-31 -- Direct contravention of explicit warnings that leveraged ETFs are generally unsuitable for long-term holding by retail investors.

****Likely Regulatory Outcome:****

Whitfield would likely face sanctions including fines, disgorgement of commissions, and a potential suspension or bar. The firm would face supervisory deficiency findings and potential fines for failing to implement adequate complex product oversight. In an arbitration or enforcement proceeding, Mrs. Kovacs would have strong grounds for recovery of her approximately \$84,200 in losses, plus interest and costs. The combination of an unsuitable product, an unsuitable customer, misleading disclosures, and absent supervision presents a compelling case of regulatory violations.

Item 334 of 350**NON-COMPLIANT**

Topic: complex_products_unsophisticated_investor

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Ellison, age 71, is a retired elementary school teacher living in Tucson, Arizona. She has a fixed annual income of \$38,000 from her pension and Social Security, total liquid savings of approximately \$210,000 in an IRA rollover account, and an additional \$15,000 in a checking account. She owns her home outright. Her stated investment objectives on her new account form, completed in March 2021, were 'income and preservation of capital,' and her risk tolerance was marked as 'conservative.' She had no prior experience with options, futures, margin accounts, or exchange-traded products beyond a handful of blue-chip stocks and a balanced mutual fund she had held for over fifteen years. She told her financial advisor, Craig Dempsey, at their first meeting that she wanted her retirement savings 'to last' and that she could not afford to lose a significant portion of her nest egg.

In April 2021, Dempsey recommended that Mrs. Ellison invest \$95,000 -- roughly 45% of her IRA -- into the ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index. Dempsey told her the fund would 'triple her gains on tech stocks' and described it as a way to 'supercharge growth while the market is hot.' He did not explain that the product resets daily, that compounding effects over time can cause significant deviation from the expected 3x return of the underlying index, or that the fund's prospectus explicitly warns it is not intended to be held for periods longer than a single trading day. He did not discuss volatility decay, margin risk embedded in the leverage, or the product's 0.95% expense ratio. Mrs. Ellison was not given the fund's prospectus until after the trade was executed and the confirmation was mailed.

Dempsey's branch manager, Lisa Hoang, approved the trade the same day it was entered. The firm's internal product catalog flagged TQQQ as a 'complex/high-risk product' requiring enhanced review, but Hoang later acknowledged she did not speak with Mrs. Ellison or review her account profile before signing off.

Mrs. Ellison held the position for fourteen months. During that period, the Nasdaq-100 experienced substantial volatility, declining roughly 25% from its peak by June 2022. Due to the daily-reset leveraging mechanism and compounding losses during volatile periods, Mrs. Ellison's \$95,000 position declined to approximately \$31,400 -- a loss of about \$63,600, or 67%. By contrast, a hypothetical unleveraged Nasdaq-100 index fund purchased at the same time would have lost approximately 22% over the same period. Mrs. Ellison called Dempsey several times during the drawdown asking what was happening; Dempsey repeatedly advised her to 'hold on' and that 'it will bounce back.' He never recommended liquidating the position or rebalancing. When Mrs. Ellison's daughter, a CPA, reviewed the account in June 2022, she immediately flagged the holding and helped her mother sell the position and file a complaint.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, financial advisor Craig Dempsey violated multiple applicable regulatory standards in recommending and maintaining the TQQQ position for Margaret Ellison.

****Regulation Best Interest (Reg BI) -- Rule 15l-1 under the Securities Exchange Act:****

Under Reg BI's Care Obligation, a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill when making a recommendation, considering the retail customer's investment profile -- including age, financial situation, investment objectives, risk tolerance, and investment time horizon. Mrs. Ellison was a 71-year-old retired teacher on a fixed income with conservative risk tolerance and capital preservation objectives. Recommending that she place 45% of her retirement assets into a 3x daily-leveraged ETF is fundamentally inconsistent with her stated profile. Dempsey failed the Care Obligation's requirement that the recommendation be in the customer's best interest and that the advisor not place his own interests ahead of the customer's.

Under Reg BI's Disclosure Obligation, Dempsey was required to disclose material facts about the recommendation, including risks and conflicts. He failed to explain daily resetting, path dependency, volatility decay, the product's unsuitability for long-term holding, or the embedded costs. Providing the prospectus only after trade execution does not satisfy this obligation.

****FINRA Rule 2111 (Suitability):****

The recommendation fails all three components of the suitability framework. (1) Reasonable-basis suitability: Dempsey appears not to have understood the mechanics of the product himself, given his advice to 'hold on' during a drawdown in a daily-resetting leveraged ETF -- a strategy the product is explicitly not designed for. (2) Customer-specific suitability: A 3x leveraged Nasdaq ETF is wholly unsuitable for a conservative, income-oriented 71-year-old retiree with limited investment experience and no ability to absorb significant losses. (3) Quantitative suitability: While this is more commonly applied to excessive trading, concentrating 45% of a conservative retiree's IRA in a single speculative leveraged product raises similar concerns about excessive risk concentration.

****FINRA Regulatory Notices 09-31 and 22-08 (Complex Products Guidance):****

FINRA RN 09-31 specifically warns that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, especially in volatile markets. The notice emphasizes that these products can produce returns that differ dramatically from the leveraged multiple of the index's return over longer periods due to the mathematical effects of daily compounding (volatility decay or path dependency). Dempsey's recommendation to buy and hold TQQQ for over a year directly contravenes this guidance.

FINRA RN 22-08 reinforces and expands upon these concerns by proposing enhanced sales practice obligations for complex products, including requirements for firms to (a) exercise due diligence to understand product risks before recommending them, (b) implement reasonably designed policies to identify and approve complex products, (c) ensure that associated persons have a reasonable basis to believe the customer can evaluate the risks, and (d) provide targeted disclosure. None of these steps were adequately performed here.

****Supervisory Failures:****

Branch manager Lisa Hoang's approval of the trade without reviewing Mrs. Ellison's profile or contacting the customer constitutes a failure of supervision. The firm's own internal controls flagged TQQQ as complex/high-risk requiring enhanced review. Hoang's rubber-stamp approval undermines the firm's supervisory framework and may expose the firm to liability under FINRA Rules 3110 (Supervision) and 3120 (Supervisory Control System).

****Path Dependency and Volatility Decay:****

The outcome illustrates the precise risk warned about in regulatory guidance. The Nasdaq-100 declined approximately 22-25% peak-to-trough, but Mrs. Ellison's 3x leveraged position lost 67% -- far worse than the naively expected 3x loss of ~66-75% -- because of the compounding effect of daily resets during a period of high volatility. The daily-reset mechanism causes the product to lose more in volatile, declining markets than a simple 3x multiplier would suggest, and it does not recover proportionally when the index rebounds. This is exactly the path-dependency risk that should have been disclosed and that made this product categorically unsuitable for a long-term, conservative holder.

****Likely Regulatory Outcome:****

Dempsey would likely face enforcement action for unsuitable recommendations and failure to disclose material risks. The firm would likely face sanctions for supervisory failures. In arbitration or litigation, Mrs. Ellison would have strong claims for compensatory damages of approximately \$63,600, plus potential interest and costs. Given the egregiousness of the mismatch between customer profile and product, punitive damages or enhanced sanctions are also possible.

Item 335 of 350**NON-COMPLIANT****Topic:** leveraged_etf_unsuitable**Difficulty:** hard**Source:** 25_Leveraged_Inverse_ETFs**Fact Pattern**

Margaret Donovan, age 71, is a retired elementary school teacher in Tucson, Arizona, with a fixed annual income of \$42,000 from her pension and Social Security. She has a total liquid net worth of approximately \$310,000, the vast majority of which is held in a traditional IRA that she depends on for supplemental retirement income and eventual required minimum distributions. She has described her investment objective as 'income and capital preservation' on every account form she has completed since opening her brokerage account in 2016. Her risk tolerance is documented as 'conservative.' Margaret has no prior experience trading options, futures, or complex exchange-traded products. She holds a diversified portfolio of investment-grade bond funds and blue-chip dividend stocks.

In January 2022, Margaret's financial advisor, Kyle Brannigan, age 34, contacted her after attending an internal product training session on leveraged exchange-traded funds. During a phone call, Kyle told Margaret that he had identified a way to 'turbocharge' her portfolio returns without taking on much additional risk. He recommended that she allocate \$95,000--roughly 30% of her IRA--into ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index. Kyle explained that technology stocks had strong long-term track records and that a leveraged position would allow Margaret to 'catch up' on gains she had missed during the prior bull market. He did not explain that TQQQ resets its leverage daily, nor did he discuss the concept of volatility decay or path dependency. He did not mention that the fund's prospectus explicitly states it is designed for short-term trading and is not intended to be held for periods longer than one trading day. Kyle also did not document any analysis of why a 3x leveraged Nasdaq product was appropriate for Margaret's stated objectives, risk tolerance, or time horizon.

Margaret agreed to the recommendation based on Kyle's assurance. The \$95,000 was invested in TQQQ on January 18, 2022. Over the following eleven months, the Nasdaq-100 experienced significant volatility, declining sharply through mid-June 2022, partially recovering, and then declining again through the fall. Due to the compounding effects of daily resetting leverage during this volatile period, by December 15, 2022, Margaret's TQQQ position had declined to approximately \$31,400--a loss of roughly \$63,600, or 67% of her original investment. Meanwhile, the underlying Nasdaq-100 Index had declined approximately 29% over the same period. The additional losses beyond the index decline were attributable to the mathematical effects of daily leverage compounding in a volatile, downward-trending market.

Kyle never contacted Margaret during this period to recommend closing or reducing the position. No stop-loss order or monitoring protocol was established. Margaret discovered the extent of the loss only when she reviewed her year-end account statement in late December 2022 and called the firm in distress. She subsequently filed a written complaint with the brokerage firm, stating that she was never told the product could lose money at more than twice the rate of the underlying index and that the investment was completely inconsistent with her retirement income needs.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kyle Brannigan committed multiple serious violations of applicable regulatory standards.

1. ****Reg BI (Rule 15l-1) -- Care Obligation:**** Under Regulation Best Interest, a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill when making a recommendation to a retail customer. The recommendation must be in the retail customer's best interest and must not place the financial professional's interest ahead of the customer's. The Care Obligation requires that the advisor consider the investment's risks, rewards, and costs in light of the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, and time horizon. Margaret is a 71-year-old retiree with conservative risk tolerance, income and capital preservation objectives, a \$42,000 fixed income, and dependence on her \$310,000 IRA for retirement. A 3x daily-leveraged ETF--which is explicitly designed for short-term trading, carries extreme volatility risk, and is susceptible to devastating losses from path dependency and volatility decay--is fundamentally incompatible with this profile. The recommendation failed every element of the Care Obligation.

2. ****FINRA Rule 2111 -- Suitability (Customer-Specific and Reasonable-Basis):**** FINRA Rule 2111 requires that a recommended transaction or investment strategy be suitable for the specific customer based on that customer's investment profile. On a customer-specific basis, allocating 30% of a conservative retiree's IRA into a 3x leveraged equity ETF is unsuitable. On a reasonable-basis level, Kyle appears to have lacked a fundamental understanding of how TQQQ works. He failed to understand daily resetting leverage, volatility decay, and path dependency--core mechanics that make these products inappropriate for long-term holding. FINRA Regulatory Notice 09-31 specifically warns that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, because daily compounding causes returns to deviate significantly from the stated multiple of the underlying index over longer periods. FINRA Regulatory Notice 12-03 further requires heightened supervision of complex products and mandates that firms ensure associated persons understand the products before recommending them.

3. ****Failure to Disclose Material Risks:**** Kyle did not explain the daily-reset mechanism, volatility decay, or the prospectus warning that TQQQ is not intended for holding periods beyond one day. This constitutes a failure to provide full and fair disclosure of material risks, violating both Reg BI's Disclosure Obligation and general anti-fraud principles.

4. ****Failure to Monitor and Supervise:**** FINRA Regulatory Notice 22-08 emphasizes the need for firms to have robust supervisory systems for complex products, including leveraged and inverse ETFs. Kyle established no monitoring protocol, no stop-loss, and made no follow-up contact during an eleven-month period of extreme volatility and mounting losses. The firm's supervisory system also appears deficient for allowing this trade to be executed in a conservative retiree's IRA without triggering a review.

5. ****Concentration Risk:**** Placing 30% of the customer's entire liquid retirement assets in a single 3x leveraged sector-specific ETF creates dangerous concentration that is inconsistent with capital preservation and income objectives.

****Outcome Analysis:**** Margaret lost approximately \$63,600 (67%) on the position, while the underlying index lost only 29%--the additional 38 percentage points of loss are directly attributable to volatility decay and daily compounding inherent in leveraged ETFs held over extended periods. This is the precise harm that regulators have repeatedly identified and warned against.

****Likely Regulatory Outcome:**** Kyle and his firm face significant liability. Probable outcomes include customer arbitration damages for the full loss plus interest, potential FINRA enforcement action resulting in fines, suspension, and supervisory deficiency findings against the firm. The firm may also face a disgorgement of commissions or advisory fees earned on the transaction.

Item 336 of 350**NON-COMPLIANT****Topic:** failure_to_know_customer**Difficulty:** medium**Source:** 25_Leveraged_Inverse_ETFs**Fact Pattern**

Gerald Hoffman, age 61, is a retired municipal bus driver living in Dayton, Ohio. He receives a pension of \$3,200 per month and Social Security payments of \$1,850 per month. His total liquid savings amount to approximately \$285,000, held in an IRA rollover account at a regional broker-dealer. Gerald has no prior experience trading individual stocks, options, or exchange-traded products; his previous investments consisted solely of a target-date retirement fund offered through his employer's 403(b) plan. On his new account form, Gerald checked 'conservative' for risk tolerance and listed his investment objective as 'income and capital preservation.' He told his advisor, Marcus Crane, that he wanted his savings to last through retirement and that he could not afford to lose principal.

In March 2023, Marcus recommended that Gerald allocate \$85,000--approximately 30% of his IRA--into the ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index, and \$40,000 into the Direxion Daily Semiconductor Bull 3x Shares (SOXL). Marcus told Gerald these funds would 'supercharge his growth' and that the technology sector was 'a sure thing for the next couple of years.' Marcus did not explain the daily reset mechanism, the concept of volatility decay, or the fact that these products are designed to achieve their stated leverage ratio on a single-day basis only. He did not ask Gerald about his understanding of leveraged products, nor did he update the account documentation to reflect a higher risk tolerance or speculative objective. No account update form or risk disclosure was signed by Gerald.

Over the following ten months, the Nasdaq-100 experienced significant intraday volatility, including multiple drawdowns of 5% or more. By January 2024, despite the Nasdaq-100 being roughly flat over the period, Gerald's TQQQ position had declined to \$58,400 (a loss of approximately \$26,600 or 31%) and his SOXL position had fallen to \$24,800 (a loss of \$15,200 or 38%). Combined, Gerald lost \$41,800--roughly 14.7% of his total retirement savings. When Gerald called Marcus to ask why his account was down so much when 'the market hadn't really moved,' Marcus said the losses were 'just temporary' and recommended Gerald hold the positions. Gerald filed a complaint with the firm in February 2024.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Marcus Crane committed multiple violations related to the failure to know his customer and the recommendation of unsuitable leveraged exchange-traded products.

****Applicable Standards and Violations:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile. The rule encompasses three obligations: (a) reasonable-basis suitability, (b) customer-specific suitability, and (c) quantitative suitability. Marcus violated both reasonable-basis and customer-specific suitability.

- ***Reasonable-Basis Suitability:** Marcus failed to understand the products he recommended. FINRA Regulatory Notices 09-31 and 12-03 specifically warn that leveraged and inverse ETFs that reset daily are complex products whose performance over periods longer than one trading day can differ significantly--and sometimes dramatically--from the stated multiple of the underlying index's return over the same period. This is due to the mathematical effect of daily compounding (often called 'volatility decay' or 'path dependency'). A financial professional recommending these products must understand these mechanics. Marcus's failure to explain or apparently even comprehend the daily reset feature and its implications demonstrates a lack of reasonable-basis suitability.

- ***Customer-Specific Suitability:** Gerald's documented profile--conservative risk tolerance, income and capital preservation objectives, no experience with complex products, age 61, retired, and dependent on a fixed pension and Social Security--makes him a textbook unsuitable candidate for 3x leveraged ETFs. Allocating 44% of his liquid retirement savings (\$125,000 of \$285,000) to two of the most volatile exchange-traded products available is fundamentally inconsistent with every element of his investment profile.

2. ****Regulation Best Interest (Reg BI), Rule 15l-1:**** Under the Care Obligation of Reg BI, a broker-dealer must exercise reasonable diligence, care, and skill when making recommendations to retail customers. The advisor must understand the potential risks, rewards, and costs of a recommendation and must have a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made. Marcus's recommendation of daily-resetting 3x leveraged ETFs to a conservative, inexperienced retiree for long-term holding clearly fails the Care Obligation. Additionally, the Disclosure Obligation requires that material facts about the recommendation be disclosed; Marcus failed to disclose the daily reset mechanism, volatility decay, and the fact that these products are designed for short-term trading only.

3. ****FINRA Regulatory Notice 09-31:**** This notice specifically warns that leveraged and inverse ETFs that are reset daily typically are unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets. It states that due to the effects of compounding, the performance of these products over longer periods can differ significantly from the performance of their underlying index or benchmark during the same period. The notice places affirmative obligations on firms and advisors to ensure customers understand these risks before purchasing.

4. ****FINRA Regulatory Notice 22-08 (Complex Products):**** This notice reinforces heightened obligations for complex products, including leveraged and inverse ETFs, requiring firms to reasonably ensure that associated persons understand the characteristics and risks of complex products before recommending them and that recommendations are consistent with customers' investment profiles.

5. ****Failure to Update Customer Account Information:**** Marcus did not update Gerald's account documentation to reflect any change in risk tolerance or investment objectives, meaning the recommendations were made in direct contradiction to the account records. This compounds the suitability failure and raises additional supervisory concerns.

6. ****Misleading Statements:**** Marcus's characterization of the tech sector as 'a sure thing' and his post-loss advice that the decline was 'just temporary' constitute misleading communications. Telling a customer that any sector is a 'sure thing' violates the prohibition against making exaggerated or unwarranted claims.

****Likely Regulatory Outcome:**** Marcus would face potential sanctions including fines, disgorgement of commissions, suspension or bar from the industry, and the firm could face supervisory failure charges if it lacked adequate procedures to flag concentrated leveraged ETF positions in conservative retirement accounts. Gerald would have strong grounds for recovery through arbitration, given the clear mismatch between his profile and the products recommended, the lack of disclosure, and the documented losses of \$41,800.

Item 337 of 350**NON-COMPLIANT**

Topic: high_fees_unsuitable

Difficulty: hard

Source: 25_Leveraged_Inverse ETFs

Fact Pattern

Margaret Ellison, age 71, is a retired elementary school teacher living in Tucson, Arizona, with an annual pension income of \$42,000 and Social Security benefits of \$21,600. Her total liquid investment portfolio at the time of the events was approximately \$385,000, held in an IRA rollover account. She described her investment objective as "income with capital preservation" on her new account form and indicated a "conservative" risk tolerance. She had no prior experience with options, futures, margin accounts, or leveraged products. Her prior holdings consisted entirely of a balanced mutual fund, a short-term bond fund, and certificates of deposit.

In March 2023, her financial advisor, Derek Simmons, who had been registered for eleven years, recommended that Mrs. Ellison reallocate \$115,000 -- roughly 30% of her portfolio -- into a combination of three leveraged and inverse exchange-traded products. Specifically, he placed \$45,000 into a 3x leveraged daily-resetting ETF tracking the S&P 500 (with an expense ratio of 0.93%), \$40,000 into a 2x leveraged daily-resetting semiconductor sector ETF (expense ratio 0.94%), and \$30,000 into a -1x inverse daily-resetting ETF tracking the Nasdaq-100 (expense ratio 0.88%). Simmons told Mrs. Ellison these products would "turbocharge her returns" and that the inverse position would serve as a "hedge" to protect her portfolio during downturns.

Simmons did not provide Mrs. Ellison with any written materials explaining daily resetting mechanics, compounding effects, volatility decay, or the fact that these products are generally designed for short-term or single-day holding periods. He did not discuss the elevated expense ratios relative to her existing low-cost index holdings, nor did he explain that the total annual cost drag from these three positions -- between management fees, swap spreads, and daily rebalancing friction -- could amount to well over \$2,000 per year in addition to any losses from volatility decay. No documentation in the file reflects that a conversation about these risks occurred.

Mrs. Ellison held these positions for fourteen months without any further contact from Simmons. By May 2024, due to market volatility and the path-dependent compounding effects inherent in daily-resetting leveraged products, her \$45,000 position in the 3x S&P 500 ETF had grown to only \$47,200 despite the S&P 500 itself gaining approximately 22% over the same period (which would have implied far greater gains from a 3x product in a hypothetical straight-line scenario). The 2x semiconductor ETF position had declined from \$40,000 to \$31,400 after a period of sharp sector swings. The inverse Nasdaq-100 ETF had fallen from \$30,000 to \$16,800, as the Nasdaq-100 rose significantly over the period. Her combined \$115,000 allocation was now worth \$95,400 -- a loss of \$19,600, or approximately 17%. Meanwhile, the expense ratios and hidden costs of the leveraged products had consumed an estimated \$2,850 in fees over the fourteen months.

Mrs. Ellison's daughter, a CPA, reviewed her mother's account statements in June 2024 and was alarmed by both the nature of the products and the losses. She contacted Simmons's branch office to complain. The branch manager acknowledged that the firm had issued internal guidance in 2022 reminding advisors that leveraged and inverse ETFs require heightened supervisory review and are generally inappropriate for buy-and-hold retirement accounts, but a review of the firm's records showed that no supervisory principal had reviewed or approved Simmons's recommendation before or after the trades were placed. The firm's surveillance system had flagged the trades as requiring principal review, but the alerts had been cleared without documented action.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Simmons violated applicable suitability and best interest standards on multiple grounds, and the firm failed in its supervisory obligations.

1. Customer-Specific Suitability (FINRA Rule 2111.05(a)):

Mrs. Ellison's documented investment profile -- age 71, retired, conservative risk tolerance, income-with-preservation objective, no experience with complex products, and reliance on her portfolio for retirement security -- is fundamentally incompatible with leveraged and inverse daily-resetting ETFs. FINRA Regulatory Notice 09-31 explicitly warned that leveraged and inverse ETFs that reset daily are "typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets." FINRA RN 12-03 reinforced that heightened suitability obligations apply to complex products, requiring the advisor to perform reasonable diligence to understand the product and to have a reasonable basis to believe the customer can understand and bear the risks. A 3x leveraged equity ETF, a 2x leveraged sector ETF, and an inverse index ETF are all classified as complex products under these standards. Allocating 30% of a conservative retiree's IRA to such instruments fails customer-specific suitability under Rule 2111.

2. Reasonable-Basis Suitability:

The advisor's statement that the inverse ETF would serve as a long-term "hedge" suggests he did not adequately understand the product's daily-resetting mechanism and the effects of volatility decay and path dependency. An inverse ETF held over 14 months in a rising market will almost certainly suffer substantial losses unrelated to the simple inverse of the index's cumulative return. This mischaracterization indicates a failure of reasonable-basis suitability -- the advisor must understand the product before recommending it to anyone.

3. Regulation Best Interest (Rule 15l-1 -- Care Obligation):

Under Reg BI's Care Obligation, the advisor must exercise reasonable diligence, care, and skill in making a recommendation, considering the customer's investment profile and the product's risks, rewards, and costs. Recommending high-cost, daily-resetting leveraged products for long-term holding in a conservative retiree's IRA, without ensuring the customer understood the compounding mechanics and elevated fees, constitutes a clear violation. The cost component is also significant: Reg BI requires consideration of reasonably available alternatives. Low-cost broad index funds would have been plainly superior for this client's stated objectives, and the \$2,850 in annual product costs (plus volatility decay losses) were excessive relative to alternatives.

4. Disclosure Failures:

FINRA RN 22-08 reinforces that firms and advisors must ensure customers receive clear, meaningful disclosure about the risks and costs of complex products, and that the firm's written supervisory procedures address complex product recommendations. Simmons provided no written risk disclosures, no explanation of daily resetting, and no discussion of the implications of holding these products beyond a single trading day.

5. Supervisory Failures (FINRA Rules 3110, 3120):

The firm's own internal policies required principal review of leveraged and inverse ETF trades. The surveillance system flagged the transactions, but no supervisor documented a review or approval. Clearing alerts without substantive review is a well-established supervisory failure. FINRA RN 09-31 and RN 12-03 both emphasize that firms must implement reasonable supervisory systems specifically tailored to complex products, including post-trade surveillance for holding periods. The branch manager's admission that internal guidance existed but was not followed further evidences a systemic supervisory breakdown.

****Likely Regulatory Outcome:****

Simmons would likely face individual sanctions including fines and a potential suspension. The firm would likely face a supervisory deficiency action under FINRA Rules 3110 and 3120, with potential fines and a requirement to enhance its complex products supervision framework. Mrs. Ellison would likely recover her \$19,600 in losses plus the approximately \$2,850 in excess fees through arbitration, and potentially additional consequential damages if she can demonstrate opportunity cost versus appropriate conservative investments.

Item 338 of 350**NON-COMPLIANT****Topic:** senior_investor_exploitation**Difficulty:** medium**Source:** 25_Leveraged_Inverse_ETFs**Fact Pattern**

Margaret Owens, age 78, is a retired elementary school teacher living in Tucson, Arizona. She receives \$2,400 per month from her pension and \$1,850 per month from Social Security. Her total liquid savings amount to approximately \$340,000, held in a brokerage account that represents the vast majority of her net worth outside of her home, which is valued at roughly \$210,000 and fully paid off. Margaret's stated investment objectives on her account opening documents are income generation and capital preservation, and her risk tolerance is listed as conservative. She has no prior experience with options, futures, derivatives, or leveraged products, and her investment knowledge is described as 'limited' in her account profile. Margaret's husband passed away in 2021, and she relies on her portfolio to supplement her fixed income and cover medical expenses, which have been increasing due to treatment for early-stage macular degeneration.

In March 2023, Margaret's financial advisor, Craig Delmonico, age 41, recommended that she invest \$95,000 -- approximately 28% of her liquid portfolio -- into a 3x leveraged bull semiconductor ETF (ticker: SOXL). Craig told Margaret that semiconductors were 'the future' and that the leveraged product would help her 'catch up' on returns she had missed during the prior year's market downturn. He described the ETF as a 'turbo-charged technology fund' but did not explain the daily reset mechanism, the effect of compounding on leveraged returns over multi-day holding periods, or the concept of volatility decay. Craig did not provide Margaret with the product's prospectus or any supplemental educational materials about how leveraged ETFs function.

Margaret held the position for eleven months. During that period, the underlying semiconductor index experienced significant volatility, with multiple drawdowns exceeding 8% followed by partial recoveries. By February 2024, although the underlying index was roughly flat compared to where it stood when Margaret purchased the leveraged ETF, her position in SOXL had declined by approximately 31%, representing a loss of roughly \$29,450. Margaret called Craig in distress after receiving her February 2024 statement. Craig advised her to 'hold on a little longer' because 'these things bounce back.' Margaret ultimately sold the position in April 2024 at a total loss of approximately \$34,200.

Craig's branch manager, Laura Kessler, had no written supervisory procedures specifically addressing the review or approval of leveraged or inverse ETF transactions for senior clients. The firm's general compliance manual mentioned leveraged ETFs only in a single paragraph noting that 'advisors should exercise caution,' but imposed no concentration limits, no mandatory customer acknowledgment forms, and no heightened review for clients over age 65. There was no evidence that Laura reviewed or approved the SOXL trade before or after execution.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Craig Delmonico violated multiple regulatory standards governing suitability and the obligation to act in the customer's best interest.

****Suitability Analysis under FINRA Rule 2111:****

FINRA Rule 2111 requires that a financial advisor have a reasonable basis for believing that a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and investment experience. Margaret Owens is a 78-year-old retiree with conservative risk tolerance, income and capital preservation objectives, limited investment knowledge, no experience with leveraged products, and heavy dependence on her portfolio for living and medical expenses. A 3x leveraged daily-resetting ETF is the antithesis of a capital preservation instrument. This product is designed for short-term, tactical trading by sophisticated investors who understand compounding, path dependency, and volatility decay. The recommendation fails all three components of Rule 2111: reasonable-basis suitability (a 3x leveraged ETF is inappropriate for long-term holding by any investor), customer-specific suitability (Margaret's profile is entirely inconsistent with leveraged product exposure), and quantitative suitability (concentrating 28% of a senior retiree's liquid assets in a single volatile leveraged position is excessive).

****Reg BI -- Rule 15l-1 (Care Obligation):****

Under Regulation Best Interest, Craig had an obligation to exercise reasonable diligence, care, and skill in making the recommendation, and to consider reasonably available alternatives. He was required to consider the risks, rewards, and costs of the recommendation in light of Margaret's specific profile and to have a reasonable basis to believe the recommendation was in her best interest without placing his own interests ahead of hers. A 3x leveraged semiconductor ETF carries extreme risk, high expense ratios, and is explicitly warned against for long-term holding by product issuers themselves. Craig failed to consider lower-risk alternatives that would have been consistent with Margaret's income and preservation needs. The Reg BI Disclosure Obligation was also violated, as Craig failed to explain the daily reset mechanism, volatility decay, or the product's fundamental unsuitability for buy-and-hold strategies.

****FINRA Regulatory Notices 09-31 and 22-08:****

FINRA RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, because daily compounding can cause returns to deviate significantly from the underlying index over longer periods. The notice emphasized that these products require heightened supervision. FINRA RN 22-08 reinforced obligations around complex products, requiring firms to establish reasonably designed written supervisory procedures, including consideration of whether customers have the knowledge and experience to evaluate the risks, whether concentration limits should apply, and whether enhanced review and approval processes are needed -- particularly for vulnerable investors such as seniors.

****Supervisory Failures:****

Branch manager Laura Kessler's lack of written supervisory procedures addressing leveraged ETF transactions for senior clients constitutes a failure under FINRA Rules 3110 and 3110.09 (Senior Investor protections). The firm's compliance manual was perfunctory and imposed no meaningful controls -- no pre-approval requirements, no concentration limits, no mandatory acknowledgment forms, and no heightened review for elderly clients. This is precisely the type of supervisory deficiency that FINRA RN 09-31 and RN 22-08 were designed to address.

****Additional Concerns -- Senior Investor Exploitation:****

Margaret's age, cognitive vulnerability (early macular degeneration potentially affecting her ability to review statements and disclosures), dependence on portfolio assets for medical expenses, and limited sophistication make this a case of potential senior investor exploitation. Craig's characterization of the product as a 'turbo-charged technology fund' was materially misleading and obscured the true risks.

****Likely Regulatory Outcome:****

Craig Delmonico would likely face enforcement action for unsuitable recommendations in violation of FINRA Rule 2111 and Reg BI Rule 15l-1. Sanctions could include disgorgement of commissions, restitution of Margaret's approximately \$34,200 in losses, fines, a suspension, and potentially a bar depending on whether a pattern of similar conduct is

identified. Laura Kessler and the firm would likely face supervisory failure charges under FINRA Rules 3110 and 3110.09, with potential fines and mandated remediation of their written supervisory procedures.

Item 339 of 350**NON-COMPLIANT**

Topic: leveraged_etf_unsuitable

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Olsen, age 71, is a retired elementary school teacher living in Duluth, Minnesota. She receives \$2,800 per month from her pension and \$1,400 per month from Social Security. Her total liquid savings amount to approximately \$340,000, held in an IRA rollover account and a taxable brokerage account. She has no other significant assets beyond her home, which is paid off. Her stated investment objectives on her account opening documents were "income and capital preservation," and her risk tolerance was marked as "conservative." She told her financial advisor, Kevin Marsh, that she wanted her savings to last through retirement and was nervous about market downturns after losing money in 2008.

In September 2022, during a routine portfolio review, Marsh told Margaret that he was concerned about a potential prolonged market decline and recommended she invest \$95,000 -- roughly 28% of her total portfolio -- into a 3x inverse leveraged ETF tied to the S&P 500 (ProShares UltraPro Short S&P 500, ticker SPXU). He described it as "portfolio insurance" and told her it would "protect her retirement if the market goes south." He did not explain that the product resets daily, that its returns over periods longer than one day can deviate significantly from three times the inverse of the index's cumulative return, or that the product is subject to compounding losses in volatile or trending-upward markets. He did not provide the product's prospectus or any supplemental educational materials. There is no record in the firm's files that Margaret was given or signed a leveraged/inverse ETF risk disclosure, nor that Marsh conducted any additional due diligence regarding her understanding of the product.

Margaret held the position for approximately eleven months. During that time, the S&P 500 experienced significant volatility but ultimately gained roughly 14%. Due to the effects of daily resetting and volatility decay, Margaret's \$95,000 position in SPXU declined to approximately \$38,200 -- a loss of nearly \$56,800, or about 60% of the invested amount. When Margaret called Marsh in August 2023 alarmed at her losses, he told her the position "should come back" and recommended she continue holding. She finally liquidated the position in October 2023 at \$34,500, crystallizing a total loss of \$60,500.

Marsh's firm, Lakeshore Financial Group, had an internal policy requiring supervisory pre-approval for any leveraged or inverse ETF purchase exceeding \$25,000 in accounts belonging to clients over age 65 or with conservative risk profiles. Marsh did not seek or obtain this approval. His branch manager, Denise Whitfield, did not flag the trade in her monthly blotter review. The firm's compliance system generated an automated alert when the trade was executed, but Whitfield marked it as "reviewed -- no action needed" without contacting either Marsh or the client.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Marsh violated both the suitability and best interest standards applicable to this recommendation, and the firm's supervisory framework failed as well.

****Suitability Analysis under FINRA Rule 2111:****

FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on that customer's investment profile. This rule encompasses three component obligations: (1) reasonable-basis suitability (the advisor must understand the product), (2) customer-specific suitability (the recommendation must be appropriate given the customer's profile), and (3) quantitative suitability (the advisor must not engage in excessive activity).

Here, Marsh failed reasonable-basis suitability because his characterization of SPXU as "portfolio insurance" demonstrates either a fundamental misunderstanding of how daily-resetting 3x inverse leveraged ETFs function, or a deliberate misrepresentation. FINRA Regulatory Notice 09-31 specifically warns that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, because their performance over longer periods can differ dramatically from the stated multiple of the index return due to the mathematical effects of daily compounding (often called "volatility decay" or "path dependency"). FINRA Regulatory Notice 12-03 further emphasizes that firms must perform reasonable diligence to understand the risks and features of complex products before recommending them.

Marsh also failed customer-specific suitability. Margaret was a 71-year-old retiree with conservative risk tolerance, income and capital preservation objectives, limited liquid assets (\$340,000), and dependence on her portfolio for retirement security. Allocating 28% of her portfolio to a 3x inverse leveraged product -- one of the most volatile and risky instruments available to retail investors -- is fundamentally incompatible with her stated profile. This is precisely the scenario FINRA warned about in RN 09-31 and reiterated in RN 22-08, which discusses complex products and the heightened obligations firms owe retail investors.

****Regulation Best Interest (Reg BI) -- Rule 15l-1:****

Under the SEC's Regulation Best Interest, Marsh was required to act in Margaret's best interest at the time of the recommendation, without placing his own interests ahead of hers. Reg BI's Care Obligation requires the advisor to exercise reasonable diligence, care, and skill in making the recommendation, including understanding the product's risks, understanding the customer's investment profile, and having a reasonable basis to believe the recommendation is in the customer's best interest. The Disclosure Obligation requires full and fair disclosure of all material facts, including risks. Marsh failed both: he did not disclose the daily-reset mechanism, volatility decay, or the product's unsuitability for long-term holding, and his recommendation was manifestly not in Margaret's best interest given her profile.

****Supervisory Failures:****

The firm, Lakeshore Financial Group, also violated its supervisory obligations under FINRA Rule 3110, which requires firms to establish and maintain a system to supervise the activities of each associated person. The firm had a specific internal policy requiring pre-approval for leveraged ETF trades above \$25,000 for clients over 65 or with conservative risk profiles. Marsh circumvented this policy, and branch manager Denise Whitfield failed to enforce it despite receiving an automated compliance alert. Whitfield's perfunctory dismissal of the alert -- without any investigation -- constitutes a supervisory failure. Under FINRA RN 22-08, firms are expected to have robust supervisory procedures for complex products, including retrospective reviews, escalation protocols, and meaningful oversight of automated alerts.

****Likely Regulatory Outcome:****

Marsh would likely face sanctions including fines, disgorgement of commissions, suspension, or barment. The firm and Whitfield could face supervisory failure charges. Margaret would likely be entitled to full restitution of her \$60,500 loss, plus interest. In a FINRA arbitration, damages could also include consequential damages related to the impact on her retirement security. The case presents a textbook example of the harms identified in FINRA RN 09-31, 12-03, and 22-08 regarding unsuitable recommendations of daily-resetting leveraged and inverse ETFs to conservative retail investors.

Item 340 of 350

NON-COMPLIANT

Topic: inappropriate_risk_profile

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Kowalski, age 71, is a retired elementary school teacher living in suburban Milwaukee, Wisconsin. She receives a monthly pension of \$3,200 and Social Security of \$1,850, totaling approximately \$60,600 per year. Her total investable assets are \$410,000, consisting of a \$280,000 IRA rollover from her former employer's 403(b) plan and a \$130,000 taxable brokerage account. She has no other significant sources of income or wealth beyond her home, which is paid off. During her initial meeting with financial advisor Derek Yoon in March 2022, Margaret stated that her primary investment objective was capital preservation and income generation to supplement her fixed retirement income. She described herself as someone who 'cannot afford to lose money' and indicated she had never invested in anything beyond a target-date retirement fund and certificates of deposit. Her account opening documents reflected a conservative risk tolerance and a moderate investment time horizon of five to ten years.

In April 2022, Derek Yoon recommended that Margaret allocate \$82,000 -- representing 20% of her total portfolio -- into a 3x leveraged bull semiconductor ETF (ticker: SOXL) within her IRA account. Derek told Margaret that the semiconductor sector was 'the future of everything from cars to phones' and that the fund would 'triple the gains of a great sector.' He did not explain that the product resets daily, that its leveraged structure causes returns to deviate significantly from three times the underlying index's cumulative return over periods longer than one day, or that the compounding effect -- sometimes called volatility decay -- could erode the value of the position even if the underlying index ended flat over time. He did not discuss the product's 0.89% expense ratio or the embedded costs of maintaining leveraged exposure through swap contracts. No written materials about leveraged ETF mechanics were provided, and there is no record of any enhanced due diligence or supervisory review of the recommendation.

Margaret held the position for fourteen months. During that period, the semiconductor index experienced significant volatility, including a drawdown of approximately 35% followed by a partial recovery. By June 2023, her \$82,000 SOXL position had declined to approximately \$34,400 -- a loss of \$47,600, or 58%. Meanwhile, the underlying semiconductor index over the same period had declined only about 12%. Margaret called Derek in distress after reviewing her quarterly statement and asked how she could have lost so much when she read that 'chip stocks were only down a little.' Derek told her that 'markets go up and down' and suggested she hold the position longer to recover. Margaret subsequently filed a written complaint with Derek's firm, stating she was never told the product could lose dramatically more than the underlying sector and that the investment was completely inconsistent with her retirement needs.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Yoon violated applicable suitability and best interest standards in multiple respects.

****Customer-Specific Suitability (FINRA Rule 2111.05(a)):** Under the customer-specific obligation, a recommended transaction must be suitable in light of the customer's investment profile, including age, financial situation, risk tolerance, time horizon, liquidity needs, and investment objectives. Margaret Kowalski is a 71-year-old retiree on a fixed

income with conservative risk tolerance and a stated goal of capital preservation and income generation. A 3x daily-leveraged semiconductor ETF is a highly speculative, volatile instrument designed for short-term tactical trading by sophisticated investors. Allocating 20% of a conservative retiree's portfolio to such a product is fundamentally inconsistent with her stated profile. This constitutes a clear violation of customer-specific suitability.

****Reasonable-Basis Suitability (FINRA Rule 2111.05(a)):** The advisor must have a reasonable basis to believe the recommendation is suitable for at least some investors. FINRA Regulatory Notices 09-31 and 22-08 specifically warn that leveraged and inverse ETFs that reset daily are generally unsuitable for retail investors who intend to hold them for periods longer than one trading session. The mathematical reality of daily compounding (path dependency and volatility decay) means that over time, especially in volatile markets, the product's return can deviate dramatically from the leveraged multiple of the index's cumulative return. Derek appears to have lacked a fundamental understanding of these mechanics, as evidenced by his failure to explain them and his advice to simply 'hold longer' -- the opposite of appropriate guidance for a daily-resetting leveraged product.

****Regulation Best Interest (Rule 15l-1, Care Obligation):** Under Reg BI's Care Obligation, a broker-dealer or associated person must exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation, consider reasonably available alternatives, and have a reasonable basis to believe the recommendation is in the retail customer's best interest at the time it is made. Derek failed on all three elements: (1) he did not understand or disclose the product's daily-reset mechanism and volatility decay risk; (2) he did not consider lower-cost, non-leveraged semiconductor funds or more conservative alternatives consistent with Margaret's objectives; and (3) no reasonable analysis could support a conclusion that a 3x leveraged ETF was in the best interest of a conservative 71-year-old retiree.

****Disclosure Failures:** FINRA RN 09-31 emphasizes that firms and their representatives must ensure customers understand how leveraged and inverse ETFs work, particularly that holding periods beyond one day can produce results that differ dramatically from the stated leverage multiple. Derek provided no written disclosures, no discussion of the daily-reset mechanism, no explanation of volatility decay, and no cost analysis. This failure compounds the suitability violations.

****Supervisory Failures (FINRA Rule 3110):** FINRA RN 22-08 reiterates that firms must have robust supervisory systems for complex products, including heightened review of recommendations involving leveraged ETFs to retail investors. There is no evidence that Derek's firm conducted any enhanced supervisory review of this recommendation, despite its placement in the IRA of a conservative elderly retiree -- a combination of factors that should have triggered immediate supervisory scrutiny.

****Quantitative Unsuitability / Concentration:** Allocating 20% of a conservative retiree's total assets to a single 3x leveraged sector ETF also raises concentration concerns. This level of exposure to a single speculative position is inconsistent with prudent portfolio construction for Margaret's profile.

****Likely Regulatory Outcome:** Derek Yoon and his firm face significant regulatory exposure. Likely outcomes include a finding of violations of FINRA Rules 2111 (suitability) and 3110 (supervision), as well as Reg BI's Care and Disclosure Obligations. Sanctions could include fines, disgorgement of commissions, restitution of Margaret's \$47,600 loss, suspension or bar of the advisor, and censure of the firm. In a customer arbitration, Margaret would have a strong claim for compensatory damages based on the unsuitability of the recommendation and the advisor's material omissions regarding product risks.

Item 341 of 350**NON-COMPLIANT****Topic:** leveraged_etf_unsuitable**Difficulty:** medium**Source:** 25_Leveraged_Inverse_ETFs**Fact Pattern**

Margaret Ostrowski, age 71, is a retired elementary school teacher living in Columbus, Ohio. She receives \$2,800 per month from her pension and \$1,950 per month in Social Security benefits. Her total liquid savings amount to approximately \$340,000, held in a rollover IRA and a taxable brokerage account. She has no other significant assets aside from her home, which is paid off. On her new account form, her risk tolerance was marked as "moderate," her investment objective was listed as "income and capital preservation," and her investment time horizon was noted as 10+ years. She has limited investment experience, having previously owned only a target-date retirement fund and a certificate of deposit ladder.

In March 2023, her financial advisor, Kevin Driscoll, age 38, recommended that Mrs. Ostrowski invest \$95,000 -- roughly 28% of her liquid net worth -- into a 3x leveraged bull semiconductor ETF (ticker: SOXL) within her IRA. Driscoll told her that semiconductors were "the future" and that the fund would "triple the gains of the chip sector." He did not explain how the product resets daily, the concept of volatility decay, or the possibility that the fund could lose substantial value even if the underlying index was roughly flat over an extended period. He did not provide her with the fund's prospectus or any supplemental educational materials about leveraged products. No written documentation was created reflecting a discussion of the product's risks or an explanation of why it was appropriate for her.

Mrs. Ostrowski held the position for 14 months. During that time, the semiconductor sector experienced significant volatility, including a drawdown of approximately 30% in mid-2023 before recovering. Due to the compounding effects of the 3x daily reset, by May 2024 her \$95,000 position had declined to approximately \$41,200 -- a loss of roughly \$53,800, or 56.6% -- even though the underlying semiconductor index had declined only about 8% on a cumulative basis over the same period. Mrs. Ostrowski filed a complaint stating she never understood the product, was never told it could behave this way, and that she needed the money for long-term retirement expenses and potential healthcare costs. Driscoll's firm had an internal policy requiring supervisory pre-approval for any leveraged or inverse ETF purchase exceeding \$25,000, but no record of such approval exists for this transaction.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Driscoll likely violated multiple regulatory requirements in recommending a 3x leveraged semiconductor ETF to Margaret Ostrowski.

****Applicable Standards:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, and experience. There are three component obligations: reasonable-basis suitability, customer-specific suitability, and

quantitative suitability.

2. **Regulation Best Interest (Reg BI), Rule 15l-1:** Under the Care Obligation, a broker must exercise reasonable diligence, care, and skill in making a recommendation, must understand the risks and rewards of the product, and must have a reasonable basis to believe the recommendation is in the customer's best interest and does not place the financial professional's interest ahead of the customer's. The Disclosure Obligation requires material facts about the recommendation to be disclosed.

3. **FINRA Regulatory Notices 09-31 and 22-08:** These notices specifically address leveraged and inverse ETFs and complex products. RN 09-31 warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, because the effects of daily compounding can cause returns to deviate significantly -- sometimes dramatically -- from the expected multiple of the index return over longer periods. This phenomenon, known as volatility decay or path dependency, means that in volatile markets, a leveraged ETF can lose substantial value even when the underlying index is relatively flat or only modestly down. RN 22-08 further reinforced heightened obligations around complex product recommendations, requiring firms to establish robust supervisory systems, perform due diligence, and ensure customers understand the products.

Analysis of Violations:

- **Customer-Specific Unsuitability:** Mrs. Ostrowski is a 71-year-old retiree with limited investment experience, moderate risk tolerance, and stated objectives of income and capital preservation. A 3x leveraged ETF is among the most volatile and speculative instruments available to retail investors. Allocating 28% of her liquid retirement savings to such a product is fundamentally inconsistent with her profile. This constitutes a clear violation of the customer-specific suitability component of Rule 2111 and the Care Obligation under Reg BI.

- **Reasonable-Basis Unsuitability:** Even setting aside Mrs. Ostrowski's specific profile, Driscoll appears to have lacked an adequate understanding of the product himself or at minimum failed to communicate its mechanics. A 3x leveraged ETF that resets daily is designed for short-term tactical trading, not buy-and-hold strategies. Recommending a 14-month hold period for such a product demonstrates a failure to understand the product's fundamental characteristics, violating the reasonable-basis component of Rule 2111.

- **Failure to Disclose Material Risks:** Driscoll did not explain the daily reset mechanism, volatility decay, path dependency, or the risk that losses could far exceed the underlying index's decline. He did not provide the prospectus or supplemental materials. This violates the Disclosure Obligation under Reg BI and the general duty to ensure a customer has sufficient information to evaluate a recommendation.

- **Supervisory Failures:** The firm had an internal policy requiring pre-approval for leveraged ETF purchases over \$25,000, and no such approval was obtained for a \$95,000 trade. This constitutes a violation of FINRA Rules 3110 (Supervision) and potentially exposes the firm to liability for failing to enforce its own written supervisory procedures. Under FINRA RN 22-08, firms must have reasonably designed policies and procedures to identify and supervise complex product recommendations.

- **Concentration Risk:** Placing 28% of a retiree's liquid assets in a single 3x leveraged sector ETF creates an unreasonable concentration of risk that is inconsistent with any reasonable interpretation of a moderate risk tolerance or capital preservation objective.

Likely Regulatory Outcome: Driscoll would likely face disciplinary action including potential fines, suspension, and an order to pay restitution. The firm could face separate supervisory violation charges for failing to enforce its own pre-approval requirement. The customer's losses of approximately \$53,800 -- starkly illustrating the volatility decay phenomenon (56.6% loss on a 3x product versus only an 8% decline in the underlying index) -- would be strong

evidence of the harm caused. An arbitration panel or regulator would likely find in favor of the customer and order compensatory damages.

Item 342 of 350

NON-COMPLIANT

Topic: high_fees_unsuitable

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Kowalski, age 71, is a retired elementary school teacher living in suburban Milwaukee, Wisconsin. She has a fixed annual income of \$38,000, consisting of her pension and Social Security benefits. Her total investable assets are approximately \$285,000, held primarily in an IRA rollover account. She has described her investment objective as 'income and preservation of capital' and indicated on her new account form that she has a conservative risk tolerance and limited investment experience beyond certificates of deposit and a small allocation to a balanced mutual fund held for over fifteen years.

In March 2023, Margaret's financial advisor, Derek Holliday, age 34, recommended she invest \$70,000 -- roughly 25% of her portfolio -- into a 3x leveraged bull semiconductor ETF (ticker: SOXL) with an annual expense ratio of 0.94%. Derek told Margaret that semiconductors were 'the future of the economy' and that the leveraged product would help her 'catch up' on returns she had missed during prior years of conservative investing. He described the fund as similar to a regular technology stock fund but 'with more upside potential.' He did not explain the daily reset mechanism, the compounding effects of leverage over time, or the concept of volatility decay. He also did not discuss the fund's significantly higher expense ratio compared to a standard semiconductor index ETF (which carried an expense ratio of approximately 0.35%).

Derek did not document any analysis of why a triple-leveraged product was appropriate for Margaret's stated objectives. No written rationale appeared in his notes, and no supervisory review of the recommendation was conducted prior to the trade being placed. Margaret's account had no prior history of speculative or leveraged investments.

Margaret held the position for eleven months. During that period, the semiconductor sector experienced significant volatility, including a 22% drawdown followed by a partial recovery. Due to the effects of daily compounding and volatility decay inherent in the 3x leveraged structure, Margaret's \$70,000 investment declined to approximately \$41,300 by February 2024 -- a loss of roughly \$28,700 or 41% -- even though the underlying semiconductor index itself had declined only about 9% over the same period. In addition to the investment losses, Margaret paid approximately \$658 in embedded fund expenses over the holding period, substantially more than she would have paid in a non-leveraged equivalent.

When Margaret called Derek in February 2024 to ask why her account had dropped so dramatically, he told her to 'hang in there' and that the fund would 'bounce back eventually.' He did not recommend liquidating the position or reassessing its appropriateness. Margaret ultimately sold the position in April 2024 at \$43,500, locking in a net loss of \$26,500.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Holliday violated applicable suitability and best interest standards in multiple respects.

****Applicable Standards:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer, based on that customer's investment profile. The rule encompasses three components: (a) reasonable-basis suitability (understanding the product), (b) customer-specific suitability (matching the product to the specific customer), and (c) quantitative suitability (ensuring the frequency and cost of transactions are not excessive).
2. ****Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act):**** Reg BI requires that broker-dealers act in the retail customer's best interest at the time a recommendation is made, without placing their own interests ahead of the customer's. The Care Obligation under Reg BI requires the advisor to exercise reasonable diligence, care, and skill in making recommendations, including understanding the risks, rewards, and costs of recommended products and considering reasonably available alternatives.
3. ****FINRA Regulatory Notice 09-31:**** This notice specifically addresses leveraged and inverse ETFs, warning that these products are designed to achieve their stated objectives on a daily basis and that their performance over longer periods can differ significantly from their stated benchmarks due to the effects of compounding. The notice states that leveraged ETFs are typically unsuitable for retail investors who plan to hold them for more than one trading session, particularly in volatile markets.
4. ****FINRA Regulatory Notice 22-08 and 12-03 (Complex Products):**** These notices address firms' obligations to establish robust supervisory systems for complex products, including leveraged ETFs. They require heightened scrutiny before recommending complex products to retail customers and emphasize the need for adequate training, due diligence, and documentation.

****Analysis of Violations:****

****Customer-Specific Suitability / Care Obligation Failure:**** Margaret was a 71-year-old retiree with conservative risk tolerance, limited investment experience, fixed income of \$38,000, and stated objectives of income and capital preservation. A 3x leveraged semiconductor ETF is an aggressive, speculative instrument fundamentally at odds with every element of her investment profile. Recommending that she allocate 25% of her retirement assets to such a product was patently unsuitable and did not serve her best interest. Under both FINRA Rule 2111 and Reg BI's Care Obligation, this recommendation fails.

****Reasonable-Basis Suitability Failure:**** Derek's description of the product as similar to a 'regular technology stock fund but with more upside' demonstrates that he either did not understand the daily-reset mechanics and path dependency of leveraged ETFs or chose to misrepresent them. A financial professional recommending a 3x leveraged ETF must understand that the product is designed for short-term, typically intraday, tactical use and that holding it over weeks or months exposes the investor to volatility decay, which can cause dramatic divergence from the underlying index's cumulative return. The fact that the underlying index declined approximately 9% while Margaret's position lost 41% is a textbook illustration of this phenomenon.

****Disclosure Failures:**** Derek failed to explain the daily reset mechanism, compounding risk, volatility decay, or the significantly higher expense ratio of the leveraged product versus a standard index fund. Under Reg BI's Disclosure Obligation, material facts about costs, risks, and the nature of the product must be communicated to the customer.

****Cost-Related Unsuitability:**** The leveraged ETF carried an expense ratio of 0.94%, nearly three times the 0.35% expense ratio of a comparable non-leveraged ETF. For a conservative, cost-sensitive retiree, the higher embedded

costs further eroded returns and were not justified by any legitimate investment objective. Reg BI and FINRA guidance both require consideration of costs and reasonably available lower-cost alternatives.

****Supervisory Failures:**** No supervisory review was conducted before the leveraged ETF recommendation was placed in a 71-year-old retiree's IRA. FINRA Regulatory Notices 09-31 and 12-03 require firms to implement specific supervisory procedures for complex products, including pre-trade review, especially for vulnerable customer profiles. The firm's failure to flag this trade for review represents an independent supervisory violation under FINRA Rules 3110 and 3120.

****Post-Recommendation Failure:**** When Margaret contacted Derek about her losses in February 2024, he advised her to 'hang in there' rather than reassessing the position's appropriateness. This compounded the original violation by extending the holding period of a daily-reset product already demonstrating volatility decay.

****Likely Regulatory Outcome:**** Derek and his firm face potential enforcement action including monetary fines, restitution to Margaret of her approximately \$26,500 in losses plus the excess fees paid, suspension or bar for Derek, and censure of the firm for supervisory failures. The fact pattern closely mirrors cases that have resulted in substantial sanctions where leveraged ETFs were recommended to elderly, conservative, inexperienced investors and held for extended periods.

Item 343 of 350**NON-COMPLIANT**

Topic: leveraged_etf_unsuitable

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Olsen, age 72, is a retired elementary school teacher living in Cedar Rapids, Iowa. She receives \$2,800 per month from her pension and \$1,950 per month from Social Security. Her total liquid savings amount to approximately \$340,000, held in a traditional IRA rollover account and a small taxable brokerage account. She has no other significant assets aside from her home, which is paid off and valued at roughly \$185,000. Mrs. Olsen described her investment objectives as capital preservation and income generation. On her new account form completed in March 2022, she indicated a "conservative" risk tolerance and a time horizon of 10+ years, noting that her primary concern was making her savings last through retirement and leaving a modest inheritance for her two grandchildren.

Her financial advisor, Derek Huang, age 38, had been with Ridgeline Financial Group for four years. In April 2022, Mr. Huang recommended that Mrs. Olsen allocate \$95,000 -- approximately 28% of her total liquid savings -- into a 3x leveraged bull semiconductor ETF (ticker: SXXX) and \$45,000 into a 2x leveraged S&P 500 ETF (ticker: SPUU). Mr. Huang told Mrs. Olsen that semiconductors were "the backbone of the future economy" and that these funds would "supercharge her returns so she wouldn't have to worry about running out of money." He described the products as similar to regular index funds but with "a little extra kick." He did not explain the daily reset mechanism, compounding effects, or the concept of volatility decay. No written materials about leveraged ETF risks were provided, and there is no record that Mr. Huang discussed the products' prospectus disclosures -- which explicitly warned against holding the funds for periods longer than a single trading day.

Mrs. Olsen held both positions continuously from April 2022 through February 2023, approximately ten months. During this period, the semiconductor sector experienced significant volatility, with multiple drawdowns exceeding 8% in a single week followed by partial recoveries. Despite the underlying semiconductor index finishing the period down approximately 11%, the 3x leveraged semiconductor ETF lost approximately 47% of its value due to volatility decay and the compounding of daily returns. The 2x leveraged S&P 500 ETF lost approximately 19% over the same period while the S&P 500 itself declined roughly 7%. In total, Mrs. Olsen's \$140,000 investment in the two leveraged products declined to approximately \$80,500, a loss of roughly \$59,500. This represented approximately 17.5% of her entire liquid net worth.

Mrs. Olsen called Mr. Huang multiple times between September 2022 and January 2023 expressing concern about the declining values. Mr. Huang reassured her each time that the funds would "bounce back" and advised her to "stay the course." He did not recommend liquidating the positions or reducing the concentration. There is no evidence in the firm's records that any supervisor reviewed or approved the initial leveraged ETF purchases for Mrs. Olsen's account, despite the firm's internal procedures requiring supervisory pre-approval for complex product transactions in accounts belonging to customers over age 65.

Mrs. Olsen filed a complaint with the firm in March 2023 after learning from her grandson, a finance student, that leveraged ETFs are designed only for short-term tactical trading and are widely understood to be inappropriate for long-term buy-and-hold investors, particularly retirees with conservative risk profiles.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Huang violated applicable suitability and best interest standards in multiple respects.

****Applicable Regulatory Framework:****

Under FINRA Rule 2111 (Suitability), a broker must have a reasonable basis for believing that a recommended transaction or investment strategy is suitable for the customer, considering the customer's investment profile including age, financial situation, risk tolerance, investment objectives, time horizon, and liquidity needs. This rule encompasses three components: reasonable-basis suitability (understanding the product), customer-specific suitability (matching the product to the customer), and quantitative suitability (avoiding excessive activity).

Regulation Best Interest (Reg BI), Rule 15l-1 under the Securities Exchange Act, imposes a heightened standard requiring broker-dealers to act in the retail customer's best interest at the time of the recommendation and not place the financial interest of the broker ahead of the customer. The Care Obligation under Reg BI requires consideration of reasonably available alternatives and an evaluation of potential risks, rewards, and costs.

FINRA Regulatory Notices 09-31, 12-03, and 22-08 provide specific guidance on leveraged and inverse ETFs. RN 09-31 explicitly warned that leveraged ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets where path dependency and volatility decay can cause returns to deviate dramatically from the expected multiple of the underlying index. RN 22-08 reinforced these concerns and addressed the heightened supervisory obligations firms bear regarding complex products, including required escalated review for vulnerable investors.

****Specific Violations:****

1. ****Customer-Specific Suitability / Care Obligation Violation:**** Mrs. Olsen was a 72-year-old retiree with conservative risk tolerance, capital preservation and income objectives, limited liquid assets (\$340,000), and dependence on her portfolio for retirement security. Leveraged ETFs -- which carry magnified downside risk, are designed for intraday or very short-term tactical use, and generate no income -- are fundamentally incompatible with every element of her investment profile. Allocating 28% of her liquid net worth to 2x and 3x leveraged products was grossly unsuitable.

2. ****Reasonable-Basis Suitability Violation:**** Mr. Huang's description of the products as similar to regular index funds with "a little extra kick" demonstrates a failure to understand, or a willful misrepresentation of, the critical characteristics of daily-resetting leveraged ETFs -- specifically path dependency, compounding risk, and volatility decay. An advisor who does not understand these mechanics cannot form a reasonable basis for recommending the product to any customer.

3. ****Disclosure Failures:**** Mr. Huang failed to explain the daily reset mechanism, the mathematical certainty of performance deviation from the stated leverage multiple over holding periods longer than one day, or the explicit prospectus warnings against long-term holding. This constitutes a failure to provide adequate disclosure of material risks under both Rule 2111 and Reg BI's Disclosure Obligation.

4. ****Failure to Mitigate / Hold Recommendation:**** When Mrs. Olsen expressed concern about losses, Mr. Huang advised her to continue holding the leveraged ETFs -- effectively making an implicit hold recommendation that itself was unsuitable. Under FINRA Rule 2111, an explicit recommendation to hold a security is subject to suitability obligations. Advising a conservative 72-year-old retiree to continue holding 3x leveraged semiconductor exposure during a period of extreme sector volatility compounded the original violation.

5. ****Supervisory Failures (Firm Level):**** The firm's own written supervisory procedures required pre-approval for complex product transactions in accounts of customers over age 65. No supervisory review occurred. This constitutes a violation of FINRA Rule 3110 (Supervision) and the enhanced supervisory obligations described in FINRA RN 22-08, which specifically addresses the need for heightened supervision of complex products recommendations.

6. ****Concentration Risk:**** Placing approximately 41% of the invested amount (\$140,000 of the \$340,000 liquid portfolio) into two highly correlated leveraged equity products created a dangerous concentration that was inconsistent with the customer's conservative profile and preservation objectives.

****Likely Regulatory Outcome:****

Mr. Huang would likely face FINRA enforcement action resulting in a fine, disgorgement of commissions, and a potential suspension. The firm, Ridgeline Financial Group, faces liability for supervisory failures under Rule 3110 and could be required to pay restitution of Mrs. Olsen's approximately \$59,500 in losses, plus interest. In a customer arbitration proceeding, damages would likely be calculated based on a comparison of the leveraged ETF performance versus an appropriate benchmark portfolio (e.g., a conservative balanced allocation), potentially yielding damages exceeding the nominal loss amount when accounting for the opportunity cost of suitable alternative investments.

Item 344 of 350

NON-COMPLIANT

Topic: failure_to_know_customer

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Gerald Hoffman, age 71, is a retired postal worker living in Tallahassee, Florida. He receives \$2,400 per month in Social Security and a modest pension of \$1,100 per month. His total liquid savings amount to approximately \$185,000, held in an IRA rollover account, which represents the entirety of his retirement nest egg aside from his government benefits. Gerald has no prior experience trading options, futures, or leveraged financial products. When he opened his account with registered representative Dana Whitfield at Patriot Wealth Advisors in March 2021, he completed a new account form that listed his investment objective as "income and capital preservation," his risk tolerance as "conservative," his time horizon as "10+ years (retirement income)," and his annual income as \$42,000. The form did not include any questions about Gerald's familiarity with complex exchange-traded products, nor did Whitfield conduct any oral or written assessment of Gerald's understanding of leveraged or inverse funds, compounding risk, or daily reset mechanics.

In June 2021, Whitfield recommended that Gerald invest \$55,000 -- roughly 30% of his IRA -- into a 3x leveraged bull semiconductor ETF (ticker: SOXL), telling Gerald that semiconductors were "the future" and that this fund would give him "triple the upside of the chip boom." Whitfield did not explain that the product resets daily, that its returns over periods longer than one day can deviate substantially from three times the underlying index return, or that the product could suffer severe losses in volatile or declining markets due to compounding effects sometimes called volatility decay. Whitfield did not provide Gerald with the fund's prospectus or any supplemental educational materials about leveraged ETFs. No supervisor at Patriot Wealth reviewed the recommendation before the trade was executed.

Gerald held the position for fourteen months. During that period, the semiconductor sector experienced significant volatility, including a drawdown of approximately 35% in the underlying index between January and June 2022. By August 2022, Gerald's \$55,000 position in SOXL had declined to approximately \$14,800, a loss of roughly \$40,200 or 73%. Gerald contacted Whitfield multiple times during the decline, and each time Whitfield advised him to "hold tight" and that the position would "come roaring back." Gerald eventually liquidated the remaining position in August 2022 on the advice of a family friend who was a CPA. Gerald filed a complaint with the firm alleging that Whitfield never explained the risks, never asked about his knowledge of leveraged products, and placed an outsized and inappropriate bet with his retirement savings.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dana Whitfield violated multiple regulatory obligations in recommending SOXL to Gerald Hoffman.

****Failure to Know the Customer (FINRA Rule 2111 -- Reasonable-Basis, Customer-Specific, and Quantitative Suitability):****

Under FINRA Rule 2111, a broker must have a reasonable basis to believe that a recommendation is suitable for at least some investors (reasonable-basis suitability), and specifically suitable for the particular customer based on that

customer's investment profile (customer-specific suitability). The customer's investment profile includes age, financial situation, tax status, investment objectives, investment experience, investment time horizon, liquidity needs, and risk tolerance.

Gerald was a 71-year-old retiree with conservative risk tolerance, an income-and-preservation objective, limited liquid assets (\$185,000 total), and zero experience with leveraged or complex products. Allocating 30% of his sole retirement account to a 3x daily-resetting leveraged ETF is fundamentally inconsistent with every element of his stated profile. Whitfield failed to gather critical information about Gerald's understanding of complex products before making the recommendation, which is itself a violation of the know-your-customer obligation embedded in Rule 2111.

****Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act of 1934):****

Under Reg BI's Care Obligation, a broker must exercise reasonable diligence, care, and skill to understand the risks, rewards, and costs of a recommendation, and must have a reasonable basis to believe the recommendation is in the retail customer's best interest given the customer's investment profile. The Disclosure Obligation further requires the broker to disclose material facts about the recommendation, including risks. Whitfield failed both obligations: she did not disclose the daily-reset mechanism, path dependency, volatility decay, or the unsuitability of long-term holding, and the recommendation was plainly not in Gerald's best interest.

****FINRA Regulatory Notices 09-31 and 22-08 -- Complex Products and Leveraged/Inverse ETFs:****

FINRA RN 09-31 specifically warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, due to the effects of daily compounding in volatile markets. RN 22-08 reinforced and expanded these concerns, emphasizing that firms must have robust supervisory systems for complex products and that registered representatives must understand the products they recommend and ensure customers understand the material risks, including path dependency and volatility decay. Whitfield neither understood nor communicated these risks.

****Supervisory Failures:****

Patriot Wealth Advisors failed to review or approve the leveraged ETF recommendation before execution, despite the product's complexity and the customer's conservative profile. Under FINRA Rules 3110 and 3120, firms must establish and maintain supervisory systems reasonably designed to ensure compliance with applicable rules. The absence of any pre-trade supervisory review for a 3x leveraged ETF purchase in a 71-year-old conservative retiree's IRA constitutes a supervisory failure.

****Likely Regulatory Outcome:****

Whitfield would likely face sanctions including disgorgement of commissions, fines, and a potential suspension. The firm could face fines and be required to pay restitution of the approximately \$40,200 in losses. In a customer arbitration, the panel would likely find in Gerald's favor given the overwhelming mismatch between his profile and the product, the failure to disclose material risks, and the absence of any documented suitability analysis or supervisory review. The continued "hold tight" advice compounded the initial violation by encouraging long-term holding of a product explicitly warned against for such use.

Item 345 of 350

NON-COMPLIANT

Topic: failure_to_know_customer

Difficulty: medium

Source: 25_Leveraged_Inverse_ETFs

Fact Pattern

Margaret Doyle, age 71, is a retired school librarian living in Tucson, Arizona. She has a fixed income of approximately \$2,800 per month from Social Security and a small pension. Her total investable assets consist of a \$340,000 IRA rollover from her former employer's 403(b) plan, which represents virtually all of her liquid savings. She has no other meaningful sources of income or wealth beyond her home, which she owns outright. In March 2023, Margaret visited the branch office of her brokerage firm to discuss her portfolio with her advisor, Kevin Briggs. She told Kevin that she wanted to keep her money safe, generate modest income to supplement her pension, and ensure she would not outlive her savings. She mentioned she was anxious about market volatility after reading news about bank failures earlier that month. Kevin had been Margaret's advisor for less than two months, having been reassigned her account after her prior advisor retired. Kevin did not update Margaret's account profile or conduct a new account review. The existing profile on file, last updated in 2018 by her previous advisor, listed her risk tolerance as 'moderate' and her investment objective as 'growth and income.' Kevin did not ask Margaret about her current financial situation, monthly expenses, health status, tax bracket, liquidity needs, or time horizon. During the meeting, Kevin recommended that Margaret invest \$85,000 -- roughly 25% of her IRA -- into ProShares UltraPro QQQ (TQQQ), a 3x daily-leveraged ETF tracking the Nasdaq-100 Index. Kevin told Margaret that technology stocks 'always come back strong' and that this fund would 'turbocharge her returns so she could build a bigger cushion for the future.' He described it as an 'ETF, like any other index fund, just with a little extra kick.' He did not explain that TQQQ resets its leverage daily, that path dependency and volatility decay can cause severe losses even if the underlying index is flat or modestly positive over longer periods, or that the product was designed for short-term tactical trading and not for buy-and-hold retirement investors. He did not discuss the fund's 0.86% expense ratio relative to unleveraged alternatives, nor the potential for margin-like losses within the fund structure. Margaret signed the trade authorization, believing she was purchasing a standard technology index fund with somewhat higher growth potential. Kevin placed the trade on March 22, 2023. Over the following eleven months, Margaret did not receive any proactive communication from Kevin about the position. By February 2024, after a period of significant Nasdaq volatility that included a 12% drawdown and partial recovery, Margaret's \$85,000 TQQQ position had declined to approximately \$54,200 -- a loss of over \$30,000, or roughly 36%. When Margaret called the branch in distress after reviewing her quarterly statement, Kevin suggested she 'hold on and wait for the bounce.' Margaret ultimately liquidated the position in March 2024 at \$51,800, realizing a loss of \$33,200. She filed a complaint with the firm's compliance department.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Briggs committed multiple violations. First, under FINRA Rule 2111 (Suitability), an advisor must have a reasonable basis for believing a recommendation is suitable for a particular customer based on that customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, liquidity needs, and other factors. Kevin failed to satisfy the 'customer-specific suitability' obligation because he never updated Margaret's profile or gathered current information about her circumstances despite being newly assigned to her account. The outdated 2018 profile listing 'moderate' risk tolerance and 'growth and income' objectives did not reflect

Margaret's actual current needs as a 71-year-old retiree seeking capital preservation and income supplementation. This is a textbook 'failure to know your customer' violation.

Second, under Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act), broker-dealers and their associated persons owe retail customers a duty to act in the customer's best interest at the time of a recommendation. The Care Obligation under Reg BI requires advisors to exercise reasonable diligence, care, and skill in understanding the product, understanding the retail customer's investment profile, and having a reasonable basis to believe the recommendation is in the customer's best interest. Kevin failed all three prongs: he did not understand TQQQ's daily-reset mechanism and associated risks well enough to explain them, he did not understand Margaret's actual financial profile, and no reasonable advisor could conclude that concentrating 25% of a 71-year-old retiree's sole retirement assets in a 3x leveraged daily-resetting ETF was in her best interest.

Third, FINRA Regulatory Notices 09-31 and 22-08 specifically warn that leveraged and inverse ETFs are complex products generally unsuitable for retail investors who plan to hold them for longer than one trading session. RN 09-31 explicitly states that 'inverse and leveraged ETFs that are reset daily typically are unsuitable for retail investors who plan to hold them for longer than one trading session, particularly in volatile markets.' RN 22-08 further reinforces that firms must have robust supervisory systems for complex products and that representatives must understand and be able to explain the material features and risks -- including volatility decay and path dependency -- before recommending them. Kevin's description of TQQQ as an ETF 'like any other index fund, just with a little extra kick' was materially misleading and failed to disclose the core risks of the product.

Fourth, the firm's supervision appears deficient. The recommendation of a 3x leveraged ETF constituting 25% of a retirement account for a 71-year-old conservative retiree should have been flagged by supervisory systems. Under FINRA's complex products supervision framework, firms must establish written supervisory procedures to review recommendations of leveraged products and ensure suitability. The lack of any supervisory intervention or post-trade review over eleven months suggests a systemic failure.

The likely regulatory outcome would include findings of violation of FINRA Rule 2111 (customer-specific and reasonable-basis suitability), Reg BI's Care Obligation, and potentially FINRA Rule 2010 (Standards of Commercial Honor). Potential sanctions could include disgorgement, restitution of the \$33,200 loss plus interest, fines against both the advisor and the firm, a supervisory suspension or bar for the advisor, and enhanced supervisory requirements for the firm. In arbitration, Margaret would likely prevail on claims of unsuitability, failure to know the customer, misrepresentation by omission, and negligent supervision.

Item 346 of 350**NON-COMPLIANT****Topic:** senior_investor_exploitation**Difficulty:** hard**Source:** 25_Leveraged_Inverse_ETFs**Fact Pattern**

Margaret Kowalski, age 79, is a retired elementary school teacher living in Scottsdale, Arizona. She receives \$2,800 per month from her pension and \$1,950 per month in Social Security benefits. Her total liquid net worth is approximately \$410,000, held primarily in an IRA rollover account and a small taxable brokerage account. She has no other significant sources of income. Her stated investment objectives on her new account form, completed in March 2022, list 'income' and 'preservation of capital' as her primary goals. Her risk tolerance is marked as 'conservative.' Margaret has limited investment experience, having previously owned only certificates of deposit and a balanced mutual fund through her employer's retirement plan. She has early-stage cognitive decline, which her daughter, Karen, mentioned to the advisor during the initial account opening meeting, explaining that she accompanies her mother to most financial appointments to help her understand paperwork.

Her financial advisor, Dale Rennick, age 42, has been registered with his broker-dealer for nine years. In April 2022, Rennick recommended that Margaret allocate \$135,000--roughly 33% of her liquid net worth--into a 3x leveraged bull semiconductor ETF (ticker: SOXL) and \$80,000 into a 2x leveraged inverse Treasury bond ETF (ticker: TBT). Rennick told Margaret and Karen that semiconductors were 'the future' and that interest rates were 'guaranteed to keep rising,' making the inverse Treasury product a 'safe bet for income investors who want to stay ahead of inflation.' He did not explain the daily reset mechanism of either fund, the concept of volatility decay, or the compounding risk associated with holding leveraged or inverse products over extended periods. He did not provide any written materials specific to leveraged or inverse ETFs, nor did he document any discussion of the risks unique to these products.

Rennick placed the trades in Margaret's IRA account and did not set any stop-loss orders or schedule periodic reviews of the positions. Over the next fourteen months, the semiconductor ETF experienced severe volatility. Although the underlying semiconductor index declined approximately 8% over that period, SOXL lost roughly 41% of its value due to the compounding effect of daily resets during high-volatility periods. The inverse Treasury ETF similarly underperformed expectations: while long-term Treasury yields rose modestly over the holding period, TBT's daily reset mechanism and path dependency caused it to return only 3% compared to the roughly 14% gain a simple short Treasury position might have captured. By June 2023, Margaret's combined position in the two leveraged products had declined from \$215,000 to approximately \$134,000, a loss of about \$81,000. Karen discovered the extent of the losses when reviewing her mother's quarterly statement and filed a complaint with the broker-dealer. During the internal review, it was discovered that Rennick had recommended leveraged and inverse ETFs to seven other clients over the age of 70 in his book of business during the same period, none of whom had investment experience with complex products.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dale Rennick violated multiple regulatory standards governing the recommendation of complex products to retail investors, and particularly to senior investors.

1. ****Regulation Best Interest (Reg BI), Rule 15l-1 under the Securities Exchange Act of 1934:**** Under Reg BI's Care Obligation, a broker-dealer or associated person must exercise reasonable diligence, care, and skill when making a recommendation to a retail customer. This includes understanding the risks, rewards, and costs of the recommended security, and having a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made, considering the customer's investment profile (age, financial situation, investment objectives, risk tolerance, and other relevant factors). Rennick's recommendation of a 3x leveraged semiconductor ETF and a 2x inverse Treasury ETF to a 79-year-old conservative investor seeking income and capital preservation fails every prong of this analysis. The products are speculative, volatile, and structurally designed for short-term trading--none of which aligns with Margaret's profile. Additionally, Reg BI's Disclosure Obligation required Rennick to disclose all material facts about the recommendation, including the daily reset mechanism, volatility decay, and path dependency risk. He failed to do so.

2. ****FINRA Rule 2111 (Suitability):**** To the extent legacy suitability obligations apply, Rennick violated all three components. (a) Reasonable-basis suitability: He failed to understand the leveraged and inverse ETFs well enough to explain their mechanics, and appears not to have understood that long-term holding of daily-resetting products can produce returns that deviate dramatically from the underlying index return multiplied by the leverage factor. (b) Customer-specific suitability: A 79-year-old retiree with conservative risk tolerance, limited investment experience, income and capital preservation objectives, and early-stage cognitive decline is the paradigmatic unsuitable customer for leveraged and inverse ETFs. Allocating 33% of her liquid net worth to a single 3x leveraged sector ETF alone is grossly disproportionate. (c) Quantitative suitability: While the positions were buy-and-hold rather than actively traded, the magnitude of the unsuitable concentration effectively constitutes a de facto quantitative violation.

3. ****FINRA Regulatory Notices 09-31 and 22-08:**** FINRA has specifically warned that leveraged and inverse ETFs that reset daily are generally unsuitable for retail investors who plan to hold them for longer than one trading session. RN 09-31 explicitly states that the performance of these products over periods longer than one day can differ significantly from their stated daily objective times the return of the benchmark. RN 22-08 reinforces heightened obligations regarding complex products, including leveraged and inverse ETFs, requiring firms to establish written supervisory procedures, conduct reasonable diligence into the complexity and risk of such products, and consider whether customers can understand and bear the risks. Rennick's failure to explain daily resetting, volatility decay, or path dependency--and his affirmative mischaracterization of these products as suitable for an income and capital preservation strategy--directly contravenes these regulatory expectations.

4. ****Complex Products Supervision Failures:**** Rennick's broker-dealer may also face supervisory liability. The fact that Rennick recommended leveraged and inverse ETFs to at least seven other senior clients without complex product experience suggests a systemic supervision failure. Under FINRA Rules 3110 and 3120 and the heightened supervisory expectations outlined in RN 12-03 regarding complex products, the firm should have had written supervisory procedures requiring pre-approval or enhanced review of leveraged/inverse ETF recommendations, particularly for senior investors. The absence of documented risk discussions, written disclosures, or periodic position reviews indicates the firm's supervisory system was either inadequate or not enforced.

5. ****Senior Investor Considerations:**** Margaret's age (79), cognitive decline, dependence on fixed income, and limited investment sophistication create heightened duties. FINRA has repeatedly emphasized that firms must pay special attention to senior investors and implement policies to detect and prevent financial exploitation. Rennick's knowledge of Margaret's cognitive decline--communicated directly by her daughter--makes his recommendation even more egregious.

****Likely Regulatory Outcome:**** Rennick faces potential sanctions including fines, disgorgement of commissions, suspension, or a bar from the industry. The firm faces potential fines and required remediation for supervisory failures. Margaret would likely prevail in a customer arbitration claim seeking recovery of her approximately \$81,000 in losses, plus potential consequential damages. The pattern of similar recommendations to other senior clients could elevate this

to a broader enforcement action.

Item 347 of 350

NON-COMPLIANT

Topic: inappropriate_risk_profile

Difficulty: medium

Source: 25_Leveraged_Inverse ETFs

Fact Pattern

Margaret Delacroix, age 71, is a retired elementary school teacher in Baton Rouge, Louisiana, with a fixed annual income of \$42,000 from her pension and Social Security. She has \$310,000 in a brokerage account, which represents the bulk of her liquid savings aside from a \$15,000 emergency fund in a savings account. Her investment objectives, as documented on her new account form completed in January 2023, are listed as 'income and capital preservation,' and her risk tolerance is marked as 'conservative.' She has no prior experience with options, futures, margin accounts, or leveraged products. Her prior portfolio consisted entirely of Treasury bonds, a balanced mutual fund, and a dividend-paying utility stock.

In March 2023, her financial advisor, Dale Robichaux, recommended she invest \$85,000 -- approximately 27% of her brokerage account -- into the Direxion Daily Semiconductor Bull 3X Shares (SOXL), a triple-leveraged ETF that seeks 300% of the daily return of the ICE Semiconductor Index. Robichaux told Margaret that semiconductors were 'the future' and that this fund would 'triple her gains on the way up.' He did not explain the daily reset mechanism, the concept of volatility decay, or the fact that the product was designed for short-term tactical trading, not buy-and-hold strategies. No written materials or prospectus disclosures specific to leveraged ETFs were provided.

Robichaux did not escalate the recommendation for supervisory review, and the firm had no automated alerts or flags for leveraged ETF purchases in accounts designated as conservative. Margaret held the position for fourteen months. During that period, the semiconductor sector experienced significant volatility: the index rose roughly 8% cumulatively, but SOXL declined approximately 11% due to the compounding effects of daily resets during volatile trading periods. By May 2024, Margaret's \$85,000 investment had fallen to approximately \$75,650, a loss of \$9,350. She contacted the firm after reviewing her statement and expressed confusion about how she could lose money when she had read that the semiconductor sector was up overall.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Dale Robichaux violated applicable suitability and best interest standards in multiple respects.

****Customer-Specific Suitability (FINRA Rule 2111.05):**** Margaret's documented profile -- age 71, conservative risk tolerance, income/capital preservation objectives, no experience with complex products, and reliance on her portfolio for retirement security -- is fundamentally incompatible with a 3x leveraged ETF. FINRA Rule 2111 requires that a recommendation be suitable in light of the customer's investment profile, including age, financial situation, risk tolerance, time horizon, liquidity needs, and investment experience. A triple-leveraged daily-resetting product is among the most aggressive instruments available in the equity markets and is wholly inappropriate for a conservative retiree.

****Reg BI - Care Obligation (Rule 15l-1(a)(2)(ii)):**** Under Regulation Best Interest, the advisor must exercise reasonable diligence, care, and skill in making the recommendation. The Care Obligation requires the advisor to understand the

risks, rewards, and costs of the product recommended and to have a reasonable basis for believing the recommendation is in the customer's best interest given her specific profile. Recommending a concentrated 27% allocation to a 3x leveraged semiconductor ETF to a 71-year-old conservative retiree with no complex product experience fails this standard on every dimension.

****FINRA Regulatory Notices 09-31 and 22-08:**** FINRA RN 09-31 explicitly warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. The notice highlighted that in volatile markets, the compounding of daily returns can cause the product to diverge significantly from the leveraged multiple of the index's cumulative return -- which is exactly what happened here (index up ~8%, 3x product down ~11%). FINRA RN 22-08 reinforced these concerns in the context of complex products generally, emphasizing heightened supervisory obligations and the need for firms to ensure that registered representatives understand the products before recommending them.

****Disclosure Failures:**** Robichaux failed to explain the daily reset mechanism, volatility decay/path dependency, or the product's intended use as a short-term trading vehicle. He provided no prospectus or leveraged ETF-specific disclosure documents. This compounds the suitability violation and is also relevant under Reg BI's Disclosure Obligation.

****Supervisory Failures:**** The firm lacked automated surveillance to flag leveraged ETF purchases in conservative accounts and did not require heightened supervisory review for such transactions. This represents a violation of FINRA Rules 3110 and 3120 regarding supervisory systems and procedures, as well as the complex products supervision expectations outlined in FINRA RN 12-03.

****Likely Regulatory Outcome:**** Robichaux would likely face a fine, suspension, and potential restitution order. The firm would face separate supervisory charges for failing to implement adequate controls for complex product recommendations. Margaret would have strong grounds for recovery of her \$9,350 loss plus consequential damages in arbitration.

Item 348 of 350**NON-COMPLIANT**

Topic: complex_products_unsophisticated_investor

Difficulty: medium

Source: 25_Leveraged_Inverse ETFs

Fact Pattern

Margaret Delano, age 71, is a retired elementary school teacher living in Tucson, Arizona. She receives a monthly pension of \$3,200 and Social Security benefits of \$1,850 per month. Her total liquid savings amount to approximately \$340,000, held in an IRA that she relies on to supplement her fixed income and cover occasional medical expenses. She has no other significant assets besides her home, which is paid off. Mrs. Delano's investment experience is limited to certificates of deposit and a target-date retirement fund that her school district's 403(b) plan offered. She has described her risk tolerance as conservative on all account opening documents and indicated that her primary investment objective is capital preservation with modest income generation. She has no college education in finance or business and has never traded options, futures, or any leveraged financial products.

In March 2023, her financial advisor, Kevin Brandt, age 38, recommended that Mrs. Delano invest \$85,000 -- roughly 25% of her liquid retirement savings -- into a 3x leveraged bull semiconductor ETF (ticker symbol: SOXL). Brandt told Mrs. Delano that semiconductors were 'the future of everything' and that this fund would 'triple the gains of the semiconductor sector,' which he described as a 'sure thing for the next couple of years.' He did not explain that the product resets daily, nor did he discuss the concept of volatility decay or path dependency. He did not provide the fund's prospectus or any written risk disclosures specific to leveraged ETFs. Brandt's notes in the CRM system simply read: 'Client wants growth exposure -- recommended SOXL, client agreed.'

Mrs. Delano held the position for fourteen months. During that period, the semiconductor sector experienced significant volatility, including a 22% drawdown between July and October 2023 before recovering. Due to the compounding effects of daily resetting in a volatile market, Mrs. Delano's \$85,000 investment was worth approximately \$54,600 by May 2024 -- a loss of over \$30,000 -- even though the underlying semiconductor index was only down about 4% over the same period. When Mrs. Delano called Brandt in May 2024 to ask why she had lost so much money when she had read that chip stocks were 'roughly flat,' Brandt told her to 'hang tight' and that 'it will come back.' He did not recommend liquidating the position or reassess whether the product remained appropriate. The firm's compliance department had no record of conducting any heightened review of this transaction, and no supervisory principal had signed off on the leveraged ETF purchase.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Brandt violated multiple applicable regulatory standards in recommending the 3x leveraged semiconductor ETF to Mrs. Delano.

****Suitability Analysis under FINRA Rule 2111:****

FINRA Rule 2111 requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on that customer's investment profile, including age, financial situation, tax status, investment objectives, investment experience, investment time

horizon, liquidity needs, and risk tolerance. Rule 2111 encompasses three component obligations: reasonable-basis suitability (understanding the product), customer-specific suitability (matching the product to the client), and quantitative suitability.

Brandt failed reasonable-basis suitability. FINRA Regulatory Notices 09-31 and 12-03 specifically warn that leveraged and inverse ETFs that reset daily are complex products whose performance over periods longer than one trading day can differ significantly -- and sometimes dramatically -- from the performance of the underlying index or benchmark. The phenomenon of volatility decay (also called compounding risk or path dependency) means that in volatile markets, a 3x leveraged ETF can lose substantial value even when the underlying index is flat or modestly positive over the holding period. Brandt either did not understand these mechanics or chose to ignore them, as evidenced by his failure to explain daily resetting, volatility decay, or the prospectus risk disclosures to Mrs. Delano.

Brandt failed customer-specific suitability. Mrs. Delano was a 71-year-old retiree with conservative risk tolerance, capital preservation objectives, limited investment experience, and dependence on her IRA for living expenses. A 3x leveraged ETF is an aggressive, speculative instrument wholly inconsistent with her stated profile. Allocating 25% of her liquid retirement assets to this single leveraged product dramatically concentrated her portfolio in an instrument designed for sophisticated, short-term traders -- not retirees seeking to preserve capital.

****Regulation Best Interest (Reg BI) -- Rule 15l-1:****

Under Reg BI's Care Obligation, Brandt was required to exercise reasonable diligence, care, and skill in making the recommendation, including understanding the risks and rewards of the product and having a reasonable basis to believe the recommendation was in the customer's best interest, not just suitable. The recommendation of SOXL to a conservative, unsophisticated 71-year-old retiree cannot reasonably be characterized as in her best interest. Under Reg BI's Disclosure Obligation, the advisor was required to disclose all material facts about the recommendation, including risks. Brandt failed to disclose the daily-reset mechanism, volatility decay risk, or the prospectus warnings. Under the Compliance Obligation, the firm was required to establish and maintain written policies and procedures reasonably designed to achieve compliance with Reg BI, particularly regarding complex products.

****FINRA Regulatory Notice 22-08 -- Complex Products:****

FINRA RN 22-08 reinforces the obligation of firms to implement heightened supervision for complex products, including leveraged ETFs. This includes requiring enhanced due diligence before approving such transactions for retail customers, implementing approval processes for complex product transactions, and ensuring that registered representatives understand the products they recommend. The firm's compliance department had no record of any heightened review, and no supervisory principal signed off on the transaction, indicating a failure of the firm's supervisory system under FINRA Rules 3110 and 3120.

****Ongoing Duty:****

Brandt's advice in May 2024 to 'hang tight' rather than reassessing the appropriateness of continued holding further compounded the violation. FINRA has noted that even where an initial recommendation of a leveraged ETF might be appropriate for a short-term trading strategy, the decision to hold such a product over weeks or months effectively constitutes a new implicit recommendation that must independently satisfy suitability and best interest requirements.

****Likely Regulatory Outcome:****

Brandt would likely face individual liability including fines, disgorgement, suspension, or a bar. The firm would likely face supervisory failure charges for inadequate complex-product oversight. Mrs. Delano's losses of over \$30,000 (approximately 9% of her total retirement savings) would likely be subject to restitution. In arbitration, compensatory damages, interest, and potentially attorneys' fees would be awarded. The pattern of facts -- an elderly, conservative, unsophisticated retiree placed into a 3x daily-resetting leveraged ETF without disclosure, without supervisory review, and held for over a year -- represents a textbook violation of both the suitability framework and Regulation Best Interest.

Item 349 of 350

NON-COMPLIANT

Topic: high_fees_unsuitable

Difficulty: medium

Source: 25_Leveraged_Inverse ETFs

Fact Pattern

Margaret Dolan, age 71, is a retired elementary school teacher in Tucson, Arizona, living on a fixed income consisting of a \$2,800 monthly pension and \$1,400 in Social Security benefits. Her total liquid savings amount to approximately \$340,000, held in an IRA rollover account that represents her primary retirement nest egg. She has no other significant assets beyond her home, which is fully paid off. Margaret's account opening documents list her risk tolerance as 'conservative,' her investment objective as 'income and capital preservation,' her investment experience as 'limited' (she had previously only owned a target-date retirement fund through her employer plan), and her time horizon as '10+ years' since the funds need to last through retirement.

In March 2023, Margaret's financial advisor, Derek Huang, age 34, recommended she allocate \$85,000--roughly 25% of her retirement savings--into a 3x leveraged bull semiconductor ETF (ticker: SOXL) with an expense ratio of 0.94%. Derek told Margaret the fund would allow her to 'participate in the AI boom' and described it as an 'exchange-traded fund, just like the index funds you're used to.' He did not explain the daily resetting mechanism, the effects of compounding on leveraged returns over time, or the concept of volatility decay. He also did not discuss that the product's expense ratio was significantly higher than the broad market index ETFs that made up the rest of her portfolio, which carried expense ratios between 0.03% and 0.07%.

Derek's branch had recently circulated an internal memo noting that leveraged and inverse ETFs required enhanced documentation and supervisory review before being recommended to retail clients. Derek did not submit the required pre-approval form, and his branch manager, who was responsible for reviewing leveraged ETF transactions, did not flag the trade.

Margaret held the position for 14 months. During that period, the semiconductor sector experienced significant volatility, including a 22% drawdown in the underlying index between August and October 2023 followed by a sharp recovery. Due to the compounding effects of daily resetting on the 3x leveraged product, Margaret's \$85,000 investment was worth approximately \$61,400 by May 2024--a loss of roughly \$23,600 or 27.8%--even though the underlying semiconductor index was only down about 3% over the same period. The vast majority of the loss was attributable to volatility decay and path dependency rather than a directional decline in semiconductors. Over that same 14-month holding period, the leveraged ETF's internal costs (expense ratio plus the implicit cost of daily swap rebalancing) consumed approximately \$2,900 in value, far exceeding what Margaret would have paid holding a standard semiconductor index ETF or a broad market fund.

When Margaret called Derek in May 2024 to ask why her account had lost so much money when she had read that chip stocks were 'roughly flat,' Derek told her that 'markets are unpredictable' and suggested she hold on longer to 'wait for a recovery.' He did not explain volatility decay or path dependency at that time either. Margaret eventually liquidated the position herself through the firm's online platform at the \$61,400 value after speaking with her daughter, who has a background in finance.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Derek Huang violated applicable suitability and best interest standards in multiple respects.

****Applicable Standards:****

1. ****FINRA Rule 2111 (Suitability):**** This rule requires that a broker-dealer or associated person have a reasonable basis to believe that a recommended transaction or investment strategy is suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, time horizon, experience, and other factors. Rule 2111 encompasses three component obligations: reasonable-basis suitability (understanding the product), customer-specific suitability (matching it to the client), and quantitative suitability (avoiding excessive activity).
2. ****Regulation Best Interest (Rule 15l-1 under the Securities Exchange Act):**** For broker-dealer recommendations to retail customers, Reg BI imposes a best interest standard with four component obligations: Disclosure, Care, Conflict of Interest, and Compliance. The Care Obligation requires that the advisor exercise reasonable diligence, care, and skill in making recommendations, considering the retail customer's investment profile and the potential risks, rewards, and costs of the recommendation.
3. ****FINRA Regulatory Notices 09-31, 12-03, and 22-08:**** These notices specifically address leveraged and inverse ETFs and complex products. RN 09-31 warned that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session, due to the effects of daily compounding (volatility decay and path dependency). RN 12-03 reinforced heightened suitability obligations for complex products. RN 22-08 further addressed complex products and emphasized the need for robust supervisory systems, enhanced due diligence, and consideration of whether a firm's customers can understand and bear the risks of complex products.

****Analysis of Violations:****

****A. Reasonable-Basis Suitability Failure:**** Derek's description of SOXL as being 'just like the index funds you're used to' strongly suggests he either did not understand the product himself or deliberately mischaracterized it. A 3x daily-resetting leveraged ETF is fundamentally different from a traditional index fund. The daily reset mechanism means that returns over periods longer than one day can diverge dramatically from 3x the index return due to volatility drag. Derek's failure to understand or communicate this constitutes a reasonable-basis suitability violation under FINRA Rule 2111.01.

****B. Customer-Specific Suitability Failure:**** Margaret's profile--a 71-year-old retiree with conservative risk tolerance, limited investment experience, an income/capital preservation objective, and reliance on the IRA as her primary retirement asset--is the archetype of a customer for whom leveraged ETFs are unsuitable. Allocating 25% of her retirement savings to a 3x leveraged sector ETF is wildly inconsistent with her stated objectives and risk tolerance. This violates the customer-specific component of Rule 2111 and the Care Obligation of Reg BI.

****C. Disclosure Failures:**** Under Reg BI's Disclosure Obligation, Derek was required to disclose material facts about the recommendation, including risks, costs, and conflicts. He failed to disclose: (1) the daily-resetting mechanism, (2) the effects of volatility decay and path dependency on long-term holding, (3) the substantially higher expense ratio relative to her existing holdings, and (4) the implicit costs of daily swap rebalancing embedded in leveraged ETFs.

****D. Cost Considerations:**** The 0.94% expense ratio of SOXL is roughly 13 to 31 times higher than the expense ratios of Margaret's existing ETF holdings (0.03%-0.07%). Under Reg BI's Care Obligation, advisors must consider cost as a factor. The elevated costs of the leveraged ETF, combined with the hidden costs of daily rebalancing (approximately \$2,900 over 14 months), were material and not disclosed. For a capital preservation investor, these costs are

particularly damaging.

****E. Supervisory Failures:**** The firm's internal procedures required pre-approval and enhanced supervisory review for leveraged ETF recommendations to retail clients, consistent with the supervisory obligations outlined in FINRA RN 22-08 and FINRA Rule 3110. Derek did not submit the required pre-approval form, and his branch manager failed to detect and flag the transaction. This constitutes both an individual violation by Derek and a supervisory failure by the branch manager and firm.

****F. Ongoing Obligation and Post-Sale Conduct:**** When Margaret inquired about her losses, Derek again failed to explain volatility decay and instead advised her to 'hold on longer'--precisely the opposite of the guidance in FINRA RN 09-31, which warns against long-term holding of daily-resetting leveraged products. This compounded the initial unsuitable recommendation.

****Likely Regulatory Outcome:**** Derek would likely face enforcement action for unsuitable recommendations and failure to act in the customer's best interest. Potential sanctions include fines, disgorgement of commissions earned on the transaction, restitution to Margaret for her losses (approximately \$23,600), suspension, and potentially a bar if a pattern of similar conduct is found. The firm and branch manager would likely face supervisory failure charges under FINRA Rule 3110 for failing to enforce their own written supervisory procedures regarding leveraged ETF transactions. The firm may also face scrutiny under FINRA RN 22-08's expectation that firms establish robust frameworks--including approval processes, training, and ongoing monitoring--before permitting complex product recommendations to retail investors.

Item 350 of 350

NON-COMPLIANT

Topic: senior_investor_exploitation

Difficulty: medium

Source: 25_Leveraged_Inverse ETFs

Fact Pattern

Margaret Hendricks, age 78, is a retired schoolteacher in Tulsa, Oklahoma, living on a fixed income of approximately \$3,200 per month from Social Security and a small state pension. Her total liquid savings amount to roughly \$410,000, held in a brokerage account with Heartland Financial Services. Her account documents list her risk tolerance as 'conservative,' her investment objective as 'income and capital preservation,' her investment experience as 'limited,' and her time horizon as 'short (1-3 years).' She has no prior experience with options, futures, or leveraged products.

In January 2023, her financial advisor, Kevin Broussard, age 34, met with Mrs. Hendricks to discuss her portfolio. During the meeting, Broussard told her that interest rates were likely to keep rising and that she could 'make her money work harder' by investing in products that would profit from rate increases. He recommended she allocate \$125,000--roughly 30% of her liquid net worth--into a 3x leveraged inverse Treasury bond ETF (ticker: TMV), which seeks daily investment results corresponding to 300% of the inverse of the daily performance of ICE U.S. Treasury 20+ Year Bond Index. Broussard described the product as a way to 'short long-term bonds safely through an ETF' and told her it would be 'straightforward, like owning any other ETF.' He did not explain daily resetting mechanics, path dependency, volatility decay, or the compounding risks associated with holding leveraged inverse products beyond a single trading day. No written disclosure materials specific to leveraged or inverse ETFs were provided to Mrs. Hendricks.

Broussard entered the trade on January 19, 2023. Over the following eleven months, Mrs. Hendricks held the position continuously. Although long-term Treasury yields did rise modestly over portions of that period, significant intra-period volatility caused the 3x leveraged inverse ETF to experience substantial volatility decay. By December 15, 2023, the position had lost approximately \$38,000, or roughly 30.4% of its original value, despite the fact that the underlying index had moved only modestly over the same period on a point-to-point basis.

When Mrs. Hendricks called Broussard in mid-December to express alarm at the losses on her monthly statement, Broussard advised her to 'hold on a little longer because rates haven't peaked yet.' He did not recommend liquidating the position or revisiting her overall allocation. Mrs. Hendricks's daughter, a CPA, reviewed the account in January 2024 and immediately contacted the firm's branch manager to file a complaint, noting that her mother did not understand the product, that the concentration was excessive for a conservative retiree, and that no one had monitored the position or contacted her mother about the ongoing losses.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Answer

Yes, Kevin Broussard likely violated multiple regulatory standards governing the recommendation of complex leveraged and inverse products to a retail investor.

1. **Regulation Best Interest (Reg BI) -- Rule 15l-1 under the Securities Exchange Act of 1934:** Under Reg BI's Care

Obligation, a broker-dealer and its associated persons must exercise reasonable diligence, care, and skill when making a recommendation to a retail customer. This includes understanding the risks, rewards, and costs of the recommended security and having a reasonable basis to believe the recommendation is in the customer's best interest at the time it is made. A 3x leveraged inverse Treasury ETF is a highly complex, speculative instrument designed for short-term tactical trading by sophisticated investors. Recommending such a product to a 78-year-old conservative retiree with limited investment experience, a short time horizon, and a capital preservation objective fails all three components of the Care Obligation: reasonable-basis suitability, customer-specific suitability, and quantitative suitability (given the 30% portfolio concentration).

2. ****FINRA Rule 2111 (Suitability):**** Although Reg BI has largely superseded the traditional suitability standard for broker-dealer recommendations to retail customers, FINRA Rule 2111 remains relevant and applicable. The rule requires that a recommended transaction or investment strategy be suitable for the customer based on the customer's investment profile, including age, financial situation, risk tolerance, investment objectives, and experience. Mrs. Hendricks's profile is fundamentally incompatible with a 3x leveraged inverse ETF. Her conservative risk tolerance, income/preservation objective, limited experience, and advanced age all weigh heavily against this recommendation.

3. ****FINRA Regulatory Notice 09-31:**** This notice specifically warned member firms that leveraged and inverse ETFs that reset daily are typically unsuitable for retail investors who plan to hold them for longer than one trading session. The notice highlighted that the performance of these products over longer periods can differ significantly from the stated daily objective due to the mathematical effects of daily compounding (often called 'volatility decay' or 'path dependency'). Broussard not only recommended an initial purchase but also advised Mrs. Hendricks to continue holding the position for nearly eleven months--precisely the scenario FINRA cautioned against.

4. ****FINRA Regulatory Notice 12-03 and 22-08 (Complex Products Supervision):**** These notices emphasize that firms must establish robust supervisory systems for the sale of complex products, including heightened scrutiny for recommendations to retail and senior investors. Firms should ensure that registered representatives understand the products they recommend and that customers receive meaningful disclosure about product mechanics and risks. Broussard's description of the product as 'straightforward, like owning any other ETF' was materially misleading and failed to disclose the daily-reset mechanism, leverage risk, and compounding effects. No written risk disclosures specific to leveraged/inverse ETFs were provided.

5. ****Senior Investor Considerations:**** Mrs. Hendricks's age (78), fixed income, limited financial sophistication, and dependence on her savings for retirement needs all represent aggravating factors. Regulatory guidance consistently emphasizes that recommendations to senior investors warrant heightened scrutiny, and that products with high risk of principal loss are generally inappropriate for elderly clients in a capital preservation posture.

6. ****Failure to Monitor/Ongoing Obligation:**** Broussard's failure to monitor the position or recommend liquidation as losses mounted, and his affirmative advice to 'hold on,' compounded the violation. Given the daily-resetting nature of the product, ongoing monitoring was essential, and the failure to act as the position deteriorated further harmed the client.

****Likely Regulatory Outcome:**** Broussard faces potential sanctions including fines, suspension, or bar from the industry. The firm, Heartland Financial Services, faces potential supervisory failure charges under FINRA Rules 3110 and 3120 for inadequate oversight of complex product sales, particularly to a senior investor. Mrs. Hendricks would have strong grounds for recovery of her approximately \$38,000 in losses through FINRA arbitration, and potentially additional damages depending on the jurisdiction and arbitration panel findings. The firm may also face enhanced scrutiny of its broader leveraged ETF sales practices.